

Oracle® Assets

User Guide

Release 12.2

Part No. E48755-14

November 2022

Contributing Author: Gowri Arur, Elaine Chen, Gary Chen, Winifer Cheng, Gail D'Aloisio, John Hays, Gladys Leung, Julianna Litwin, Steve Paradisis, Brad Ridgway, Usha Thothathri, Stacey Tucker-Blosch, Somasundar Viswapathy, Eileen Wexler

This software and related documentation are provided under a license agreement containing restrictions on use and disclosure and are protected by intellectual property laws. Except as expressly permitted in your license agreement or allowed by law, you may not use, copy, reproduce, translate, broadcast, modify, license, transmit, distribute, exhibit, perform, publish, or display any part, in any form, or by any means. Reverse engineering, disassembly, or decompilation of this software, unless required by law for interoperability, is prohibited.

The information contained herein is subject to change without notice and is not warranted to be error-free. If you find any errors, please report them to us in writing.

If this is software or related documentation that is delivered to the U.S. Government or anyone licensing it on behalf of the U.S. Government, then the following notice is applicable:

U.S. GOVERNMENT END USERS: Oracle programs, including any operating system, integrated software, any programs installed on the hardware, and/or documentation, delivered to U.S. Government end users are "commercial computer software" pursuant to the applicable Federal Acquisition Regulation and agency-specific supplemental regulations. As such, use, duplication, disclosure, modification, and adaptation of the programs, including any operating system, integrated software, any programs installed on the hardware, and/or documentation, shall be subject to license terms and license restrictions applicable to the programs. No other rights are granted to the U.S. Government.

This software or hardware is developed for general use in a variety of information management applications. It is not developed or intended for use in any inherently dangerous applications, including applications that may create a risk of personal injury. If you use this software or hardware in dangerous applications, then you shall be responsible to take all appropriate fail-safe, backup, redundancy, and other measures to ensure its safe use. Oracle Corporation and its affiliates disclaim any liability for any damages caused by use of this software or hardware in dangerous applications.

Oracle and Java are registered trademarks of Oracle and/or its affiliates. Other names may be trademarks of their respective owners.

Intel and Intel Xeon are trademarks or registered trademarks of Intel Corporation. All SPARC trademarks are used under license and are trademarks or registered trademarks of SPARC International, Inc. AMD, Opteron, the AMD logo, and the AMD Opteron logo are trademarks or registered trademarks of Advanced Micro Devices. UNIX is a registered trademark of The Open Group.

This software or hardware and documentation may provide access to or information about content, products, and services from third parties. Oracle Corporation and its affiliates are not responsible for and expressly disclaim all warranties of any kind with respect to third-party content, products, and services unless otherwise set forth in an applicable agreement between you and Oracle. Oracle Corporation and its affiliates will not be responsible for any loss, costs, or damages incurred due to your access to or use of third-party content, products, or services, except as set forth in an applicable agreement between you and Oracle.

For information about Oracle's commitment to accessibility, visit the Oracle Accessibility Program website at <http://www.oracle.com/pls/topic/lookup?ctx=acc&id=docacc>.

Oracle customers that have purchased support have access to electronic support through My Oracle Support. For information, visit <http://www.oracle.com/pls/topic/lookup?ctx=acc&id=info> or visit <http://www.oracle.com/pls/topic/lookup?ctx=acc&id=trs> if you are hearing impaired.

Contents

Send Us Your Comments

Preface

1 Overview of Oracle Assets

Graphical User Interface.....	1-1
Oracle Assets Workbenches.....	1-1

2 Oracle Assets Command Center

Assets Command Center.....	2-2
Assets Command Center Overview.....	2-2
Asset Reconciliations Dashboard.....	2-4
Asset Cost Dashboard.....	2-7
Asset Aging Dashboard.....	2-10
Asset Location Dashboard.....	2-12
Asset Mass Transactions Dashboard.....	2-16
Asset Pipeline Dashboard.....	2-20

3 Asset Setup

Asset Setup Information.....	3-1
Asset Descriptive Details.....	3-2
Depreciation Rules (Books).....	3-5
Assignments.....	3-11
Source Lines.....	3-13
Construction-in-Process (CIP) Assets.....	3-14
Asset Setup Processes (Additions).....	3-16

Adding an Asset Accepting Defaults (QuickAdditions).....	3-18
Adding an Asset Specifying Details (Detail Additions).....	3-20
Entering Financial Information (Detail Additions Continued).....	3-22
Assigning an Asset (Detail Additions Continued).....	3-26
Correcting Current Period Addition Errors.....	3-27
Overview of the Mass Additions Process.....	3-28
Review Mass Additions.....	3-30
Post Mass Additions to Oracle Assets.....	3-34
Clean Up Mass Additions.....	3-35
Create Mass Additions from Invoice Distributions in Payables.....	3-36
Create Mass Additions from Capital Assets in Oracle Projects.....	3-41
Auto Prepare Mass Additions Lines.....	3-43
Adding an Asset Automatically from an External Source (Mass Additions).....	3-44
Reviewing Mass Addition Lines.....	3-45
Posting Mass Addition Lines to Oracle Assets.....	3-53
Deleting Mass Additions from Oracle Assets.....	3-54
About the Mass Additions Interface.....	3-56
Planning Your Import.....	3-57
Defining Oracle Assets for Mass Additions.....	3-59
Loading Your Asset Data.....	3-63
FA_MASS_ADDITIONS Interface Table.....	3-65
Importing Your Asset Information.....	3-87
Finishing Your Import.....	3-92
Creating Asset Additions Using Web ADI.....	3-93
Future Transactions.....	3-94
Adding a Future Transaction Manually.....	3-95
Invoice Additions.....	3-96
Merge Mass Additions.....	3-96
Split Mass Additions.....	3-97
Performing Adjustments with Future Effective Dates.....	3-97
Capitalize CIP Assets in Advance.....	3-98
View Pending Transactions.....	3-99
Adding Assets in Short Tax Years.....	3-100
Adding a Single Asset in a Short Tax Year.....	3-100
Adding Multiple Assets in a Short Tax Year.....	3-100
Uploading Tax Book Depreciation Information.....	3-101
How Oracle Assets Calculates Depreciation in a Short Tax Year.....	3-101
Short Tax Year Example.....	3-103

4 Oracle Assets Command Center Setup

Assets Command Center Configuration	4-2
Setting Up Assets Command Center.....	4-2
Setup and Configuration Steps for Assets Command Center.....	4-2
Configuring Descriptive Flexfields for Search.....	4-2
Loading Assets Data.....	4-3

5 Asset Maintenance

Changing Asset Details	5-1
Reclassifying Assets.....	5-1
Adjusting Units for an Asset.....	5-7
Adjusting Accounting Information	5-7
Changing Financial and Depreciation Information.....	5-7
Transferring Assets.....	5-14
Changing Invoice Information for an Asset.....	5-19
Mass External Transfers of Assets and Source Lines	5-20
Placing Construction-In-Process (CIP) Assets in Service	5-28
Revaluing Assets	5-29
Asset Management in a Highly Inflationary Economy (Revaluation)	5-32
Control Your Revaluation.....	5-34
Asset Impairments	5-37
Overview.....	5-37
Setting Up Impairments.....	5-37
Defining Cash Generating Unit	5-38
Assign Impairment Accounts.....	5-38
Asset Impairment Business Process.....	5-39
Assigning Cash-Generating Units to Assets (Optional).....	5-40
Manual Assignment.....	5-40
WebADI Assignment.....	5-41
Entering and Uploading Asset Impairments.....	5-42
Updating Asset Impairments.....	5-44
Reviewing Asset Impairment Reports.....	5-45
Posting Asset Impairments.....	5-46
Viewing Asset Impairments.....	5-46
Rolling Back Asset Impairments.....	5-47
Deleting Asset Impairments.....	5-48
Impairment Methods.....	5-48
Asset Impairment Considerations.....	5-67
Post-Impairment Transactions.....	5-67

Asset Impairment Reports.....	5-69
Loading Impairment Data	5-72
The United Kingdom Local Authority Revaluation and Impairment Enhancements.....	5-76
Application Setup.....	5-83
Managing Impairments.....	5-92
Managing Revaluations Gains and Losses.....	5-99
Accounting Entry Examples.....	5-104
Russian Legal Requirements for Recording Asset Revaluations.....	5-149
Physical Inventory.....	5-151
About Physical Inventory	5-152
Setting Up Oracle Assets Data to be Included in Physical Inventory.....	5-153
Loading Physical Inventory Data.....	5-154
Physical Inventory Comparison Program	5-163
Viewing Comparison Results.....	5-164
Reconciliation.....	5-166
Missing Assets.....	5-166
Purging Physical Inventory Data.....	5-166
Creating Physical Inventory Using Web ADI.....	5-167
Scheduling Asset Maintenance.....	5-167
Schedule Maintenance Events Window Reference.....	5-168
Maintenance Details Window Reference.....	5-170
Purge Maintenance Schedules Window Reference.....	5-171

6 Asset Retirements

About Retirements.....	6-1
Retiring Assets.....	6-4
Correcting Retirement Errors (Reinstatements).....	6-10
Mass External Retirements	6-11
Rules for Mass External Retirements.....	6-11
Entering Mass External Retirements.....	6-12
Mass External Retirements Interface Table.....	6-12
Calculating Gains and Losses for Retirements.....	6-18
Retirement Requests.....	6-19
Creating Retirement Requests in Oracle Projects - Field Employees.....	6-19
Processing Retirement Requests - Fixed Asset Accountant.....	6-20
Processing Imported Retirement Requests.....	6-21

7 Depreciation

Running Depreciation.....	7-2
Rolling Back Depreciation.....	7-3

Depreciation Override	7-4
About the Depreciation Override Interface.....	7-12
Loading Depreciation Override Data.....	7-13
Basic Depreciation Calculation.....	7-18
Depreciation Calculation.....	7-21
Depreciation Calculation for Flat-Rate Methods.....	7-25
Depreciation Calculation for Table and Calculated Methods.....	7-28
Depreciation Calculations for Double Declining Table Base Methods.....	7-33
Depreciation Calculation for the Units of Production Method.....	7-35
Assets Depreciating Under Units of Production.....	7-36
Using the Production Interface.....	7-39
Assigning Values to Required Columns in the FA_PRODUCTION_INTERFACE Table	7-40
Customize the Production Interface SQL*Loader Script.....	7-40
Uploading Production into Oracle Assets.....	7-42
Entering Production Amounts.....	7-42
Projecting Depreciation Expense.....	7-43
Forecasting Depreciation	7-45
Parameters.....	7-47
Process.....	7-50
Data Archive and Purge.....	7-51
Resizing the Archive Tables.....	7-52
Archive, Purge, and Restore Process.....	7-53
Archiving and Purging Transaction and Depreciation Data.....	7-55
Unplanned Depreciation.....	7-57
Entering Unplanned Depreciation for an Asset	7-64
Bonus Depreciation.....	7-65
Bonus Rule Accounts.....	7-65
Bonus Rule Examples.....	7-65
Defaulting Asset Salvage Value as a Percentage of Cost.....	7-73
Depreciating Assets Beyond the Useful Life	7-76

8 Accounting

Oracle Subledger Accounting.....	8-1
Create Accounting.....	8-1
Account Analysis Report.....	8-4
Asset Accounting.....	8-4
Journal Entries.....	8-4
Reviewing Journal Entries	8-6
Journal Entry Examples	8-6
Journal Entries for Depreciation.....	8-7

Journal Entries for Additions and Capitalizations.....	8-8
Journal Entries for Adjustments.....	8-11
Amortized and Expensed Adjustments.....	8-12
Recoverable Cost Adjustments	8-13
Cost Adjustments to Assets Using a Life-Based Depreciation Method.....	8-14
Cost Adjustments to Assets Using a Flat-Rate Depreciation Method.....	8-15
Cost Adjustments to Assets Using a Diminishing Value Depreciation Method.....	8-16
Cost Adjustments to Assets Depreciating Under a Units of Production Method.....	8-18
Cost Adjustments to Capitalized and CIP Source Lines.....	8-19
Cost Adjustment by Adding a Mass Addition to an Existing Asset.....	8-22
Amortized Adjustments Using a Retroactive Start Date.....	8-23
Depreciation Method Adjustments.....	8-24
Life Adjustments.....	8-24
Rate Adjustments.....	8-25
Rate Adjustments - Flat-Rate Depreciation Method.....	8-25
Rate Adjustments - Diminishing Value Depreciation Method.....	8-26
Capacity Adjustments.....	8-27
Journal Entries for Transfers and Reclassifications.....	8-28
Journal Entries for Retirements and Reinstatements.....	8-35
Journal Entries for Revaluations.....	8-42
Journal Entries for Tax Accumulated Depreciation Adjustments.....	8-55

9 Tax Accounting

Tax Book Maintenance.....	9-1
How Initial Mass Copy Works.....	9-2
Initial Mass Copy Example.....	9-4
How Periodic Mass Copy Works.....	9-6
Periodic Mass Copy Example.....	9-13
Tax Book Upload Interface.....	9-15
Populating the FA_TAX_INTERFACE Table.....	9-15
Upload Tax Book Interface.....	9-21
Tax Book Upload Example.....	9-22
Updating a Tax Book with Assets and Transactions.....	9-22
Deferred Income Tax Liability.....	9-24
Determining Deferred Income Tax Liability.....	9-27
Tax Credits.....	9-28
Assigning Tax Credits.....	9-29
Adjusted Current Earnings.....	9-31
Updating an ACE Book with Accumulated Depreciation.....	9-33
About the ACE Interface.....	9-36

ACE Conversion Table	9-36
Automatically Populate the ACE Conversion Table.....	9-38
Manually Load the ACE Conversion Table.....	9-41
Handle Tax Audits.....	9-42
Determine Adjusted Accumulated Depreciation	9-45
Mass Depreciation Adjustment Examples.....	9-47
Adjusting Tax Book Accumulated Depreciation.....	9-58

10 Capital Budgeting

Capital Budgeting	10-1
Budgeting for Asset Acquisition.....	10-3
Budget Open Interface.....	10-5
Upload Budget Process.....	10-7
Budget Interface Table	10-7
Customize the SQL*Loader Script	10-8

11 System Setup

Setting Up - Overview.....	11-2
Related Product Setup Steps.....	11-2
Setup Flowchart.....	11-5
Setup Checklist	11-6
Setup Steps	11-9
Oracle Assets With Multiple Ledgers.....	11-22
Defining the Asset Category Descriptive Flexfield.....	11-24
Using the Account Generator in Oracle Assets.....	11-25
Decide How to Use the Account Generator.....	11-26
The Default Account Generator Processes for Oracle Assets.....	11-27
Exceptions.....	11-32
Customizing the Account Generator for Oracle Assets.....	11-33
Asset Key Flexfield.....	11-36
Category Flexfield.....	11-39
Location Flexfield.....	11-44
Specifying System Controls.....	11-48
Defining Locations.....	11-49
Defining Asset Keys.....	11-50
Entering QuickCodes.....	11-50
Creating Fiscal Years.....	11-53
Specifying Dates for Calendar Periods.....	11-53
Setting Up Security by Book.....	11-55
Asset Organization Overview.....	11-56

Organization Hierarchies in Oracle Assets.....	11-58
Security Profiles.....	11-58
Security List Maintenance Process.....	11-58
Defining Responsibilities.....	11-58
Assigning Responsibilities to Users.....	11-59
Setting Up FA: Security Profile.....	11-59
Defining Depreciation Books.....	11-59
Entering Calendar Information for a Book.....	11-60
Entering Accounting Rules for a Book.....	11-62
Entering Natural Accounts for a Book.....	11-63
Entering Tax Rules for a Book.....	11-64
Defining Additional Depreciation Methods	11-65
Defining Formula-Based Depreciation Methods.....	11-68
Defining Bonus Depreciation Rules.....	11-74
Depreciation Methods for the Job Creation and Worker Assistance Act of 2002.....	11-75
Table-Based Depreciation Methods for the Job Creation and Worker Assistance Act of 2002	11-75
Changing the Depreciation Method.....	11-78
Adjusting Accumulated Depreciation for the Prior Fiscal Year.....	11-78
Depreciation Methods for the American Jobs Creation Act of 2004.....	11-78
Table-Based Depreciation Methods for the American Jobs Creation Act of 2004.....	11-79
Changing the Depreciation Method.....	11-82
Defining Depreciable Basis Rules.....	11-83
Polish Tax Depreciation.....	11-104
Polish Tax Depreciable Basis Rules.....	11-106
Polish 30% with a Switch to Declining Classic and Flat Rate.....	11-106
Polish 30% with a Switch to Flat Rate.....	11-109
Polish Declining Modified with a Switch to Declining Classic and Flat Rate.....	11-110
Polish Declining Modified with a Switch to Flat Rate.....	11-112
Polish Standard Declining with a Switch to Flat Rate.....	11-113
Adjusting Polish Tax Depreciation Transactions.....	11-115
Negative Cost Adjustments.....	11-115
Positive Cost Adjustments.....	11-126
Partial Retirements.....	11-131
Japan Tax Reforms - FY2007.....	11-136
Japanese Straight Line Depreciation Method.....	11-138
Japanese 250 (or 200%) Declining Balance Depreciation Method.....	11-138
Variables for Depreciation Formula	11-140
Japanese Straight Line Extended Depreciation.....	11-142
Windows, Window Tabs, and Menu Items Specific to Japan Tax Reforms.....	11-144
Rate Details Window.....	11-144

Extended Depreciation Menu Option.....	11-145
Find Eligible Assets Window.....	11-145
Set Extended Depreciation Window.....	11-147
What-If Analysis Window.....	11-150
Books Window - Japan Asset Additional Info Tab.....	11-151
Mass Additions Window - Japan Asset Additional Info Tab.....	11-152
Asset Impairment Changes for Japan.....	11-152
Revaluations.....	11-154
Application Setup.....	11-155
Processing Impairments.....	11-155
Asset Impairment Examples.....	11-155
Guarantee Rate Evaluation Method (JP-250DB): NBV Basis.....	11-155
Japanese Straight Line (JP-STL).....	11-159
Japanese Extended Depreciation Method (JP-STL-EXTND) - Impairment at the End of Fiscal Year.....	11-165
Fully Reserved Assets.....	11-169
Non-Depreciating Assets.....	11-172
Japan Depreciation Adjustment for DB Method in Corporate Tax Book.....	11-177
Setting Up Depreciation Ceilings.....	11-178
Defining Investment Tax Credit Rates.....	11-179
Specifying Dates for Prorate Conventions.....	11-180
About Prorate and Retirement Conventions.....	11-181
Prorate Convention Setup Examples.....	11-183
Defining Price Indexes.....	11-187
Setting Up Asset Categories.....	11-188
Entering General Ledger Accounts for the Category.....	11-189
Entering Default Depreciation Rules for a Category	11-191
Defining Distribution Sets.....	11-194
Lease Analysis.....	11-195
Entering Leases	11-202
Exporting Lease Payments to Oracle Payables	11-206
Defining Asset Warranties	11-208
Overview of Asset Insurance.....	11-209
Entering Asset Insurance Information.....	11-210
Fixed Asset Insurance Window Reference.....	11-212
Fixed Asset Insurance Policy Lines Window Reference.....	11-214
Fixed Asset Insurance Policy Maintenance Window Reference.....	11-215
Calculating Asset Insurance.....	11-215
Reviewing Asset Insurance Information.....	11-217

12 Standard Reports and Listings

Running Standard Reports and Listings	12-2
Variable Format Reports	12-3
Comparing Variable Format and Fixed Format Reports.....	12-5
Using Reports to Reconcile to the General Ledger	12-7
Reconciling Journal Entries to General Ledger Accounts.....	12-8
Reconciling Asset Cost Accounts.....	12-8
Reconciling CIP Cost Accounts.....	12-9
Reconciling Reserve Accounts	12-11
Reconciling Depreciation Expense Accounts	12-13
Tracking and Reconciling Mass Additions	12-14
Common Report Parameters	12-17
Common Report Headings	12-18
Budget Reports	12-20
Budget Report	12-20
Budget-To-Actual Report	12-20
Capital Spending Report	12-21
CIP Reports	12-22
Capitalizations Report.....	12-22
CIP Assets Report	12-23
CIP Capitalization Report	12-23
Asset Listings	12-24
Fixed Assets Book Report	12-24
Asset Description Listing	12-25
Asset Inventory Report	12-25
Asset Listing by Period	12-25
Asset Register Report	12-26
Asset Tag Listing	12-27
Assets by Category Report	12-27
Assets Not Assigned To Any Books Listing and Assets Not Assigned To Any Cost Centers Listing	12-28
Diminishing Value Report	12-28
Expensed Property Report	12-29
Fully Reserved Assets Report	12-29
Leased Assets Report	12-29
Non-Depreciating Property Report	12-30
Parent Asset Report	12-30
Physical Inventory Comparison Report.....	12-30
Physical Inventory Missing Assets Report.....	12-31

Maintenance Reports	12-31
Asset Maintenance Report	12-32
Asset Maintenance Report (Variable Format).....	12-32
Setup Data Listings	12-32
Asset Category Listing	12-32
Bonus Depreciation Rule Listing	12-33
Calendar Listing	12-33
Ceiling Listing	12-33
Database Index Listing	12-34
Depreciation Rate Listing	12-34
Insurance Data Report	12-35
Insurance Value Detail Report	12-35
ITC Rates Listing	12-36
Price Index Listing	12-36
Prorate Convention Listing	12-37
Depreciation Reports	12-37
Depreciation Projection Report	12-38
Hypothetical What-if Report.....	12-38
Hypothetical What-if Report (Variable Format).....	12-38
Unplanned Depreciation Report.....	12-39
What-if Depreciation Report.....	12-39
What-if Depreciation Report (Variable Format).....	12-40
Accounting Reports	12-40
Account Reconciliation Reserve Ledger Report	12-41
Accumulated Depreciation Balance Report.....	12-42
Asset Cost Balance Report.....	12-42
CIP Cost Balance Report.....	12-42
Cost and CIP Detail and Summary Reports	12-42
Cost Clearing Reconciliation Report	12-44
Cost Clearing Reconciliation Report (Variable Format)	12-45
Group Asset Report (Variable Format).....	12-45
Journal Entry Reserve Ledger Report	12-46
Production History Report	12-47
Reserve Detail and Summary Reports	12-47
Reserve Ledger Report.....	12-49
Revaluation Reserve Balance Report.....	12-49
Revaluation Reserve Detail and Summary Reports.....	12-49
Responsibility Reports	12-50
Responsibility Reserve Ledger Report	12-50
Tax Reports	12-51
Assets Update Report.....	12-51

ACE Depreciation Comparison Report.....	12-52
ACE Non-Depreciating Assets Exception Report.....	12-52
ACE Unrecognized Depreciation Method Code Exception Report.....	12-52
Form and Adjusted Form 4562 -Depreciation and Amortization Report	12-52
Form and Adjusted Form 4626 - AMT Detail and Summary Reports	12-53
Form 4684 - Casualties and Thefts Report	12-54
Form 4797 Reports	12-55
Investment Tax Credit Report	12-57
Mass Depreciation Adjustment Preview and Review Reports	12-57
Property Tax Report	12-58
Property Tax Report (Variable Format).....	12-58
Recoverable Cost Report	12-59
Reserve Adjustments Report	12-59
Retired Assets Without Property Classes Report and Retired Assets Without Retirement Types Report	12-59
Revalued Asset Retirements Report	12-60
Tax Additions Report	12-61
Tax Preference Report	12-61
Tax Reserve Ledger Report	12-62
Tax Retirements Report	12-62
Japanese Depreciable Assets Tax Reports	12-62
Transaction History Report	12-63
Transaction Types.....	12-63
Additions Reports	12-67
Additions by Date Placed in Service Report.....	12-67
Additions by Period Report.....	12-68
Additions by Responsibility Report.....	12-68
Additions by Source Report	12-68
Annual Additions Report	12-69
Asset Additions by Cost Center Report	12-69
Asset Additions Report	12-70
Asset Additions Responsibility Report	12-70
Conversion Assets Report	12-71
Mass Additions Reports	12-71
Delete Mass Additions Preview Report	12-72
Mass Additions Delete Report	12-72
Mass Additions Create Report	12-73
Mass Additions Invoice Merge and Split Reports.....	12-74
Mass Additions Posting Report	12-74
Mass Additions Purge Report	12-75
Mass Additions Report.....	12-75

Mass Additions Status Report	12-75
Unposted Mass Additions Report	12-76
Adjustments Reports.....	12-76
Cost Adjustments by Source Report	12-77
Cost Adjustments Report	12-77
Cost Adjustments Report (Variable Format).....	12-78
Financial Adjustments Report	12-78
Parent Asset Transactions Report	12-79
Transfers Reports.....	12-79
Asset Transfers Report	12-79
Asset Transfer Reconciliation Report	12-80
Asset Disposals Responsibility Report	12-80
Transfers Report.....	12-81
Reclassification Reports.....	12-81
Asset Reclassification Report	12-82
Asset Reclassification Reconciliation Report	12-82
Reclassifications Report.....	12-83
Retirements Reports.....	12-83
Asset Retirements by Cost Center Report	12-83
Asset Retirements Report	12-84
Reinstated Assets Report	12-84
Retirements Report.....	12-85
Mass Transaction Reports.....	12-85
Mass Change Preview and Review Reports	12-85
Mass Change Preview and Review Reports (Variable Format)	12-86
Mass Transfers Preview Report	12-86
Mass Retirements Report	12-86
Mass Revaluation Preview and Review Reports.....	12-87
Mass Reclassification Preview and Review Reports	12-88
Country-Specific Reports.....	12-88

13 Group Depreciation

Group Depreciation.....	13-1
Group Asset.....	13-2
Create Group and Member Assets.....	13-3
Set Up Group Assets in Book Controls.....	13-3
Create Group Assets Using Detail Additions.....	13-4
Create Group Assets Using QuickAdditions.....	13-11
Find a Group Asset in the Asset Workbench.....	13-12
Group and Member Asset Rules.....	13-13

Disabling Group Assets.....	13-14
Assigning Member Assets to a Group Asset.....	13-15
Transactions: Adding Member Asset Cost.....	13-17
Current Period Member Asset Addition.....	13-17
Prior Period Member Asset Addition.....	13-19
CIP Member Asset.....	13-24
CIP Member Asset Depreciation.....	13-26
Transactions: Member Asset Cost Adjustment.....	13-28
Current Period Member Asset Cost Adjustment.....	13-29
Prior Period Member Asset Cost Adjustment.....	13-33
Prior Period Member Asset Cost Adjustment - Flat Rate Method.....	13-33
Transactions: Group Adjustment	13-35
Adjustment for Changing Group Asset Depreciation Rules.....	13-35
Change Group Asset Depreciation Method	13-35
Life Changed with Straight Line Method.....	13-37
Method Changed From Flat Rate to Straight Line.....	13-39
Changing Group Asset Salvage Value	13-41
Group Assets Adjustment.....	13-44
Super Groups.....	13-45
Set Up Super Groups.....	13-46
Transactions: Group Reclassification.....	13-47
Transfer Types - Calculate and Enter	13-47
Transfer Type - Enter.....	13-63
Transactions: Retirements.....	13-70
Do Not Recognize Gain and Loss.....	13-71
Recognize Gain and Loss Immediately When Retired.....	13-80
Terminal Gain and Loss: Retiring the Last Asset in Group Asset.....	13-87
Member Asset Tracking.....	13-94
Tracking Depreciation of Member Assets.....	13-95
Group Depreciation Enabled Reports.....	13-102
Group Depreciation Restrictions.....	13-103
Mass Property.....	13-104
Creating Mass Property Assets.....	13-105
Energy Assets.....	13-107
Energy Assets Overview.....	13-107
Hierarchy Structure.....	13-107
Auto Create Assets.....	13-108
Depreciation.....	13-111
Impairment Expenses.....	13-115
Authority For Expenditures Reclass.....	13-115

14 Online Inquiries

Viewing Assets.....	14-1
Viewing MRC Details for a Transaction.....	14-5
Performing a Transaction History Inquiry.....	14-6
Viewing Accounting Lines.....	14-6
Viewing Accounting for Non-Upgraded Data.....	14-7
Drilling Down to Oracle Assets from Oracle General Ledger.....	14-9

A Oracle Assets Menu Paths

Oracle Assets Navigation Paths.....	A-1
-------------------------------------	-----

B Oracle Assets Profile Options and Profile Option Categories

Profile Options and Profile Option Categories Overview.....	B-1
Profile Option Category and Profile Options Descriptions.....	B-3
Account Generation Category.....	B-3
Archive and Purge Category.....	B-5
Concurrent Processing Category.....	B-6
Debug Category.....	B-7
Depreciation Category.....	B-8
Desktop Integration Category.....	B-10
Payables Integration Category.....	B-10
Performance Category.....	B-11
Security Category.....	B-12
Setup Category.....	B-12

C Oracle Assets Function Security

Function Security in Oracle Assets.....	C-1
---	-----

D Setting Up Business Events in Oracle Assets

Business Event System Seed Data for Oracle Assets.....	D-1
--	-----

E Oracle Assets Report Extracts

Oracle Assets Tax Accounting Card Extract.....	E-1
Oracle Assets Reserve Ledger Extract.....	E-6
Oracle Assets CIP Statistics Extract.....	E-11
Oracle Assets Retirement Tax Register Extract.....	E-16
Oracle Assets Tofes Yud Alef Extract.....	E-19
Oracle Assets Depreciation Summary Tax Extract.....	E-24

F Oracle Assets Common APIs

Introduction.....	F-1
Common Structures.....	F-2

G Oracle Assets Additions API

Introduction.....	G-1
Additions API Description.....	G-2
Sample Script: Using the Additions API via Invoices.....	G-30
Sample Script: Using the Additions API with No Invoices.....	G-33
Sample Script: Using the Additions API via Invoices with Alternative Ledger Currency	G-36

H Oracle Assets Adjustments API

Introduction.....	H-1
Adjustments API Description.....	H-3
Adjustment API Usage.....	H-30
Cost Adjustments.....	H-32
Calling the Adjustment API without Invoice Information.....	H-32
Calling the Adjustment API with Invoice Information.....	H-33
Calling the Adjustment API for a Group Reclassification.....	H-34
Sample Script: Using the Adjustment API without Invoice Information.....	H-35
Sample Script: Using the Adjustment API with Invoice Information.....	H-37
Sample Script: Using the Adjustment API with Invoice Information with Alternative Ledger Currency.....	H-41

I Oracle Assets Asset Description API

Introduction.....	I-1
Asset Description API Definition.....	I-1
Sample Script: Using the Asset Description API.....	I-7

J Oracle Assets CIP Capitalization and Reversal API

Introduction.....	J-1
CIP Capitalization API Description.....	J-2
CIP Reversal API Description.....	J-4
Standard Types Used For Capitalizations and Reversals.....	J-6
Sample Script: Using the CIP Capitalization API.....	J-20
Sample Script: Using the CIP Reversal API.....	J-22

K	Oracle Assets Common Invoice Transfer API	
	Introduction.....	K-1
	Common Invoice Transfer API Description.....	K-2
	Sample Script: Using the Invoice Transfer API.....	K-6
L	Oracle Assets Deletion API	
	Introduction.....	L-1
	Deletion API Description.....	L-1
	Sample Script: Using the Deletion API.....	L-3
M	Oracle Assets Invoice Description API	
	Introduction.....	M-1
	Invoice Description API Definition.....	M-2
	Sample Script: Using the Invoice Description API.....	M-6
N	Oracle Assets Reclass API	
	Introduction.....	N-1
	Reclass API Description.....	N-2
	Sample Script: Using the Reclass API.....	N-6
O	Oracle Assets Reserve Transfer API	
	Introduction.....	O-1
	Reserve Transfer API Description.....	O-1
	Sample Script: Using the Reserve Transfer API.....	O-6
P	Oracle Assets Retirement Adjustment API	
	Introduction.....	P-1
	Retirement Adjustment API Description.....	P-1
	Sample Script: Using the Retirement Adjustment API.....	P-6
Q	Oracle Assets Retirement Details API	
	Introduction.....	Q-1
	Retirement Details API Description.....	Q-2
	Sample Script: Using the Retirement Details API.....	Q-7
R	Oracle Assets Retirements and Reinstatements API	
	Introduction.....	R-1

Module: FA_RETIREMENT_PUB.DO_RETIREMENT ()	R-2
Retirement API Description.....	R-2
Module: FA_RETIREMENT_PUB.UNDO_RETIREMENT ()	R-9
Undo Retirement API Description.....	R-9
Module: FA_RETIREMENT_PUB.DO_REINSTATEMENT ()	R-12
Reinstatement API Description.....	R-12
Module: FA_RETIREMENT_PUB.UNDO_REINSTATEMENT ()	R-16
Undo Reinstatement API Description.....	R-16
Sample Scripts for Retirement, Reinstatement and Undo Transaction	R-19
Sample Script: Full Retirement.....	R-20
Sample Script: Partial Unit Retirement.....	R-21
Sample Script: Reinstatement.....	R-24
Sample Script: Undo Retirement.....	R-27
Sample Script: Undo Reinstatement.....	R-29

S Oracle Assets Revaluations API

Introduction	S-1
Revaluations API Description	S-1
Sample Script: Using the Revaluation API	S-6

T Oracle Assets Rollback Depreciation API

Introduction	T-1
Rollback Depreciation API Description	T-2
Sample Script: Using the Depreciation Rollback API	T-5

U Oracle Assets Tax Reserve Adjustment API

Introduction	U-1
Tax Reserve Adjustment API Description	U-2
Sample Script: Using the Tax Reserve Adjustment API	U-6

V Oracle Assets Transfers API

Introduction	V-1
Transfers API Description	V-2
Transfer API Usage	V-4
Sample Script: Using the Transfer API to Transfer Units	V-6

W Oracle Assets Unit Adjustments API

Introduction	W-1
Shared Framework	W-2

Unit Adjustment API Description.....	W-2
Sample Script: Using the Unit Adjustment API.....	W-7

X Oracle Assets Unplanned Depreciation API

Introduction.....	X-1
Unplanned Depreciation API Description.....	X-1
Sample Script: Using the Unplanned Deprecation API.....	X-5

Index

Send Us Your Comments

Oracle Assets User Guide, Release 12.2

Part No. E48755-14

Oracle welcomes customers' comments and suggestions on the quality and usefulness of this document. Your feedback is important, and helps us to best meet your needs as a user of our products. For example:

- Are the implementation steps correct and complete?
- Did you understand the context of the procedures?
- Did you find any errors in the information?
- Does the structure of the information help you with your tasks?
- Do you need different information or graphics? If so, where, and in what format?
- Are the examples correct? Do you need more examples?

If you find any errors or have any other suggestions for improvement, then please tell us your name, the name of the company who has licensed our products, the title and part number of the documentation and the chapter, section, and page number (if available).

Note: Before sending us your comments, you might like to check that you have the latest version of the document and if any concerns are already addressed. To do this, access the new Oracle E-Business Suite Release Online Documentation CD available on My Oracle Support and www.oracle.com. It contains the most current Documentation Library plus all documents revised or released recently.

Send your comments to us using the electronic mail address: appsdoc_us@oracle.com

Please give your name, address, electronic mail address, and telephone number (optional).

If you need assistance with Oracle software, then please contact your support representative or Oracle Support Services.

If you require training or instruction in using Oracle software, then please contact your Oracle local office and inquire about our Oracle University offerings. A list of Oracle offices is available on our Web site at www.oracle.com.

Preface

Intended Audience

Welcome to Release 12.2 of the *Oracle Assets User Guide*.

This guide assumes you have a working knowledge of the following:

- The principles and customary practices of your business area.
- Computer desktop application usage and terminology.

If you have never used Oracle E-Business Suite, we suggest you attend one or more of the Oracle E-Business Suite training classes available through Oracle University.

See Related Information Sources on page xxvi for more Oracle E-Business Suite product information.

Documentation Accessibility

For information about Oracle's commitment to accessibility, visit the Oracle Accessibility Program website at <http://www.oracle.com/pls/topic/lookup?ctx=acc&id=docacc>.

Access to Oracle Support

Oracle customers that have purchased support have access to electronic support through My Oracle Support. For information, visit <http://www.oracle.com/pls/topic/lookup?ctx=acc&id=info> or visit <http://www.oracle.com/pls/topic/lookup?ctx=acc&id=trs> if you are hearing impaired.

Structure

- 1 Overview of Oracle Assets
- 2 Oracle Assets Command Center

- 3 Asset Setup**
- 4 Oracle Assets Command Center Setup**
- 5 Asset Maintenance**
- 6 Asset Retirements**
- 7 Depreciation**
- 8 Accounting**
- 9 Tax Accounting**
- 10 Capital Budgeting**
- 11 System Setup**
- 12 Standard Reports and Listings**
- 13 Group Depreciation**
- 14 Online Inquiries**
- A Oracle Assets Menu Paths**
- B Oracle Assets Profile Options and Profile Option Categories**
- C Oracle Assets Function Security**
- D Setting Up Business Events in Oracle Assets**
- E Oracle Assets Report Extracts**
- F Oracle Assets Common APIs**
- G Oracle Assets Additions API**
- H Oracle Assets Adjustments API**
- I Oracle Assets Asset Description API**
- J Oracle Assets CIP Capitalization and Reversal API**
- K Oracle Assets Common Invoice Transfer API**
- L Oracle Assets Deletion API**
- M Oracle Assets Invoice Description API**
- N Oracle Assets Reclass API**
- O Oracle Assets Reserve Transfer API**
- P Oracle Assets Retirement Adjustment API**
- Q Oracle Assets Retirement Details API**
- R Oracle Assets Retirements and Reinstatements API**
- S Oracle Assets Revaluations API**
- T Oracle Assets Rollback Depreciation API**
- U Oracle Assets Tax Reserve Adjustment API**
- V Oracle Assets Transfers API**
- W Oracle Assets Unit Adjustments API**
- X Oracle Assets Unplanned Depreciation API**

Related Information Sources

Integration Repository

The Oracle Integration Repository is a compilation of information about the service endpoints exposed by the Oracle E-Business Suite of applications. It provides a complete catalog of Oracle E-Business Suite's business service interfaces. The tool lets users easily discover and deploy the appropriate business service interface for integration with any system, application, or business partner.

The Oracle Integration Repository is shipped as part of the Oracle E-Business Suite. As your instance is patched, the repository is automatically updated with content

appropriate for the precise revisions of interfaces in your environment.

Do Not Use Database Tools to Modify Oracle E-Business Suite Data

Oracle **STRONGLY RECOMMENDS** that you never use SQL*Plus, Oracle Data Browser, database triggers, or any other tool to modify Oracle E-Business Suite data unless otherwise instructed.

Oracle provides powerful tools you can use to create, store, change, retrieve, and maintain information in an Oracle database. But if you use Oracle tools such as SQL*Plus to modify Oracle E-Business Suite data, you risk destroying the integrity of your data and you lose the ability to audit changes to your data.

Because Oracle E-Business Suite tables are interrelated, any change you make using an Oracle E-Business Suite form can update many tables at once. But when you modify Oracle E-Business Suite data using anything other than Oracle E-Business Suite, you may change a row in one table without making corresponding changes in related tables. If your tables get out of synchronization with each other, you risk retrieving erroneous information and you risk unpredictable results throughout Oracle E-Business Suite.

When you use Oracle E-Business Suite to modify your data, Oracle E-Business Suite automatically checks that your changes are valid. Oracle E-Business Suite also keeps track of who changes information. If you enter information into database tables using database tools, you may store invalid information. You also lose the ability to track who has changed your information because SQL*Plus and other database tools do not keep a record of changes.

Overview of Oracle Assets

This chapter covers the following topics:

- Graphical User Interface

Graphical User Interface

Oracle Assets has a highly responsive, multi-window graphical user interface (GUI) with full point-and-click capability. You can use your mouse or keyboard to operate graphical controls such as pull-down menus, buttons, poplists, check boxes, or tabbed regions.

You can read more about the basic characteristics of the user interface in the *Oracle Applications User's Guide*.

Oracle Assets Workbenches

Oracle Assets workbenches let you find critical information in a flexible way, see the results in your defined format, and selectively take appropriate action. For example, in the Assets Workbench, you can find your assets based on asset detail, assignment, invoice, or lease information. Then, for that asset, you can review financial, assignment, and other detailed asset information, perform transfers, review the purchasing or other source information, or retire the asset. All the windows you need are accessible from just one form; you can query an asset then perform several transactions without having to find it again.

You can perform most of your transactions in Oracle Assets using just three windows: the Assets Workbench, Mass Additions Workbench, and Tax Workbench.

Asset Number	Description	Tag Number	Category	Serial Number	Asset Key
100051	BMW 850I	854213	VEHICLE-OWNED LUXURY	BMW3384140	
100071	LAND		LAND-OCCUPIED		
100072	OFFICE BUILDING		BUILDING-OFFICE		
100073	MANUFACTURING BUILDING		BUILDING-MANUFACTURING		
100074	MACK TRUCK	854210	VEHICLE-OWNED HEAVY	VIN88502T002	
100075	LEASED VEHICLE	853312	VEHICLE-LEASED STANDARD	VIN811190001	
100076	PERSONAL COMPUTER	854369	COMPUTER-PC	PC7559202	
100077	DESK		COMPUTER-PC		
100078	MACHINE	854333	MACHINE-FABRICATE	XV16666601	
100079	STANDARD VEHICLE	854444	VEHICLE-OWNED STANDARD	VIN557890091	
100080	AIR CONDITION		TENANT IMPROVEMENT-REMO	P0976655	
100081	DRILL PRESS	854226	MACHINE-FABRICATE	63218978	
100082	SOFTWARE FINANCIAL APP		COMPUTER-SOFTWARE		
100083	CAPITAL PROJECT		TENANT IMPROVEMENT-REMO		
100084	CIP OFFICE BUILDING		BUILDING-OFFICE		
100091	OAK DESK		FURNITURE-DESKS		

Additions	QuickAdditions	Source Lines	Books
Assignments	Retirements	Financial Inquiry	Open

Assets Workbench

Use the Assets Workbench windows to add new assets to the system, and to perform transactions, such as retirements, adjustments, source line adjustments, and transfers. You can also review asset detail, financial, and assignment information using this workbench.

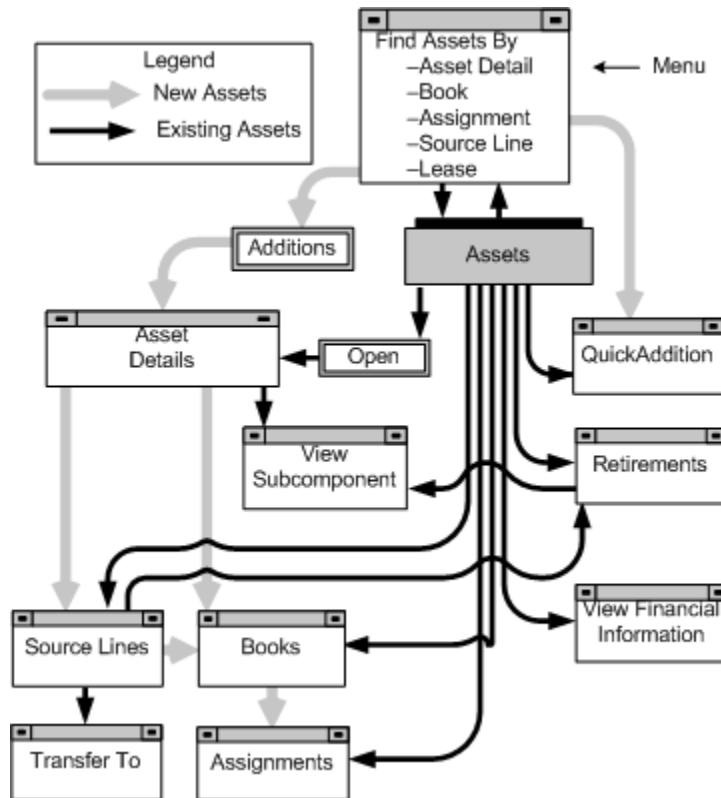
The Assets Workbench graphic is a graphical representation of the windows in the Assets Workbench and their relationship to each other. The following table describes these relationships:

From the Assets Workbench window...

Find Assets

You can navigate to the following windows...

QuickAdditions, View Financial Information, Retirements, Books, Source Lines, Assignments, Asset Details. Buttons include Additions and Open, which access Asset Details.



For example, to transfer an asset using the Assets Workbench:

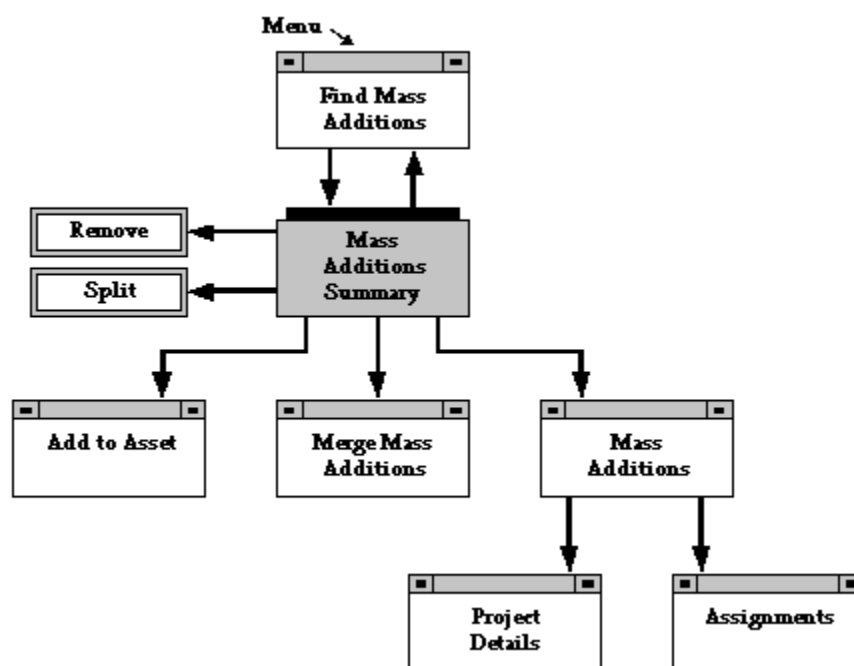
- Choose Assets:Assets Workbench from the Navigator window
- Find the asset you want to transfer using the Find Assets window
- Choose the asset in the Assets window
- Choose the Assignments button to open the Assignments window

Mass Additions Workbench

Use the Mass Additions workbench windows to review, merge, split, and remove mass additions.

The Mass Additions Workbench graphic is a graphical representation of the windows in the Mass Additions Workbench and their relationship to each other. The following table describes these relationships:

From the Mass Additions Workbench window...	You can navigate to the following windows...
Find Mass Additions	Mass Additions Summary
Mass Additions Summary	Add to Assets, Merge Mass Additions, Mass Additions Buttons include Split, Add to Assets, Merge and Open
Mass Additions	Project Details, Assignments



Tax Workbench

Use the Tax Workbench to assign investment tax credits and to perform reserve adjustments.

The Tax Workbench graphic is a graphical representation of the windows in the Tax Workbench and their relationship to each other. The following table describes these relationships:

From the Tax Workbench window...

You can navigate to the following windows...

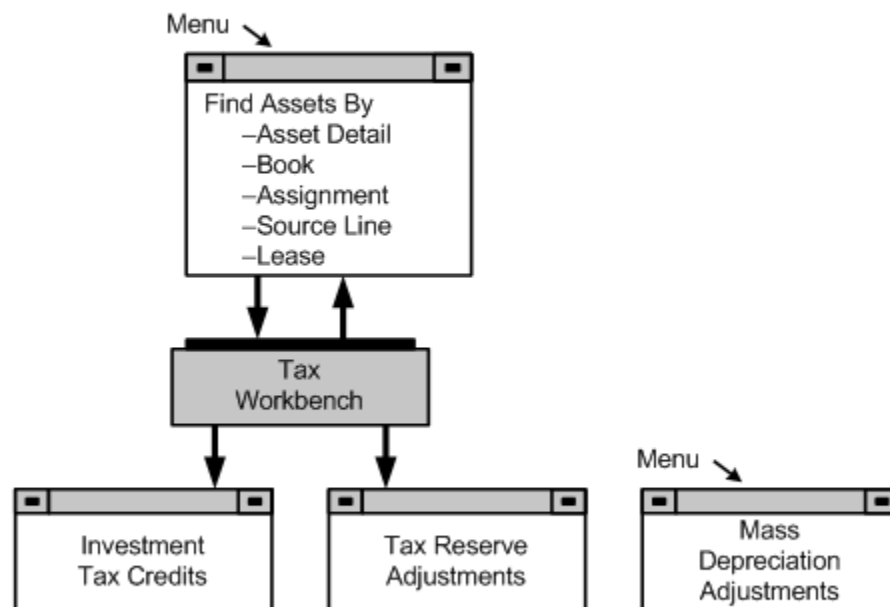
Find Assets

Assets

Assets

Investment Tax Credits, Tax Reserve
Adjustments

Mass Depreciation Adjustments



Oracle Assets Command Center

This chapter covers the following topics:

- Assets Command Center Overview
- Asset Reconciliations Dashboard
- Asset Cost Dashboard
- Asset Aging Dashboard
- Asset Location Dashboard
- Asset Mass Transactions Dashboard
- Asset Pipeline Dashboard

Assets Command Center

Assets Command Center Overview

Oracle Assets Command Center uses the Oracle Enterprise Command Center Framework to help you analyze and act on current asset-related data from across your enterprise. Improve your decision making and maximize operational efficiency with the sophisticated guided navigation and powerful search capability of the command center. Identify operational issues through metrics, graphs, and tag clouds, and take immediate action by drilling down directly to the underlying business processes in Oracle Assets.

As a fixed assets manager or fixed assets accountant, use the Assets Command Center to:

- Speed up period close.
 - Reconcile Oracle Assets and Oracle General Ledger accounting discrepancies.
 - Clear pending revalue, reclass, and transfer transactions, and more.
- Forecast and manage capitalization events.
 - Assess impact on key financial indicators.
 - Monitor capitalization spending.
- Increase asset utilization.
 - Resolve asset utilization, assignment, and location discrepancies.
 - Address data quality issues.

The Assets Command Center includes the following dashboards:

- **Asset Reconciliations:** Use this dashboard to investigate and correct discrepancies between asset cost accounts in Oracle General Ledger (GL) and in Oracle Subledger Accounting (SLA). See "Asset Reconciliations Dashboard", page 2-4 for more information.
- **Asset Cost:** Use this dashboard to analyze asset costs for major and minor categories. The dashboard displays an overview of asset costs and accumulated depreciation by category. See "Asset Cost Dashboard", page 2-7 for more information.
- **Asset Aging:** Use this dashboard to search for assets and to view asset aging. The dashboard provides useful asset life information for all assets depreciated by the

base-life method. See "Asset Aging Dashboard", page 2-10 for more information.

- **Asset Location:** Use this dashboard to track fixed assets across all locations and employee assignments, and to detect discrepancies in cost center assignments. The actionable links in this dashboard help you execute asset transfers and assignments in Oracle Assets to resolve missing assignments or mis-allocated resources. See "Asset Location Dashboard", page 2-12 for more information.
- **Asset Mass Transactions:** Use this dashboard to gain insight into pending transactions, such as mass additions, mass reclassifications, mass revaluations, and mass transfers. It provides actionable links to Oracle Assets for the fixed assets accountant to ensure that all pending transactions are processed on time to close asset books. See "Asset Mass Transactions Dashboard", page 2-16 for more information.
- **Asset Pipeline:** Use this dashboard to check all additions pipeline that exist in Oracle Payables and Oracle Projects that affect asset costs. See "Asset Pipeline Dashboard", page 2-20 for more information.

Note: You can use the Assets Command Center only after the installation and common configurations are completed as described in My Oracle Support Knowledge Document 2495053.1, *Installing Oracle Enterprise Command Center Framework, Release 12.2*. For additional ECC overview information, see Overview of Enterprise Command Centers, *Oracle E-Business Suite User's Guide*.

Searching Enterprise Command Center Dashboards

Use the dashboard sidebar to refine (filter) the data on each dashboard. You can select a value or record from the **Available Refinements** component, or use **Search** to find a keyword, a value, or a specific record. The type-ahead feature suggests matches for your entry that correspond to the available refinements. When you submit a search, the search term is added to the Selected Refinements list, and the dashboard data is refined to include only records that match the search. You can add multiple refinements and remove any of them at any time. Use **Saved Search** to create and save your search. You can edit, delete, or refer to this saved search. You can also use data sets to further refine your search.

Use an asterisk (*) or percent (%) to perform a partial keyword or record search that matches any string of zero or more characters. You can also use a question mark (?) to perform a partial search that matches any single character.

Additional Information: For more information about searching for and refining data in enterprise command centers, see "Search" in Highlights of an Enterprise Command Center, *Oracle E-Business Suite User's Guide*.

Asset Reconciliations Dashboard

See "Assets Command Center Overview", page 2-2 for more information.

The **Asset Reconciliations** dashboard targets to help fixed assets managers to validate the cost accounts balance and all other balances affected by the following accounting events:

1. Additions and Capitalizations
2. Adjustments
3. Transfers and Reclassifications
4. Revaluations
5. Retirements and Reinstatements

The dashboard displays an overview of and visibility into all asset cost accounts balances for Oracle Assets and Oracle General Ledger. It displays them side by side to help you identify asset cost accounts. Further, this dashboard enables you to analyze data using asset metrics, charts, graphs, and tables.

Use the **Asset Reconciliations** dashboard to:

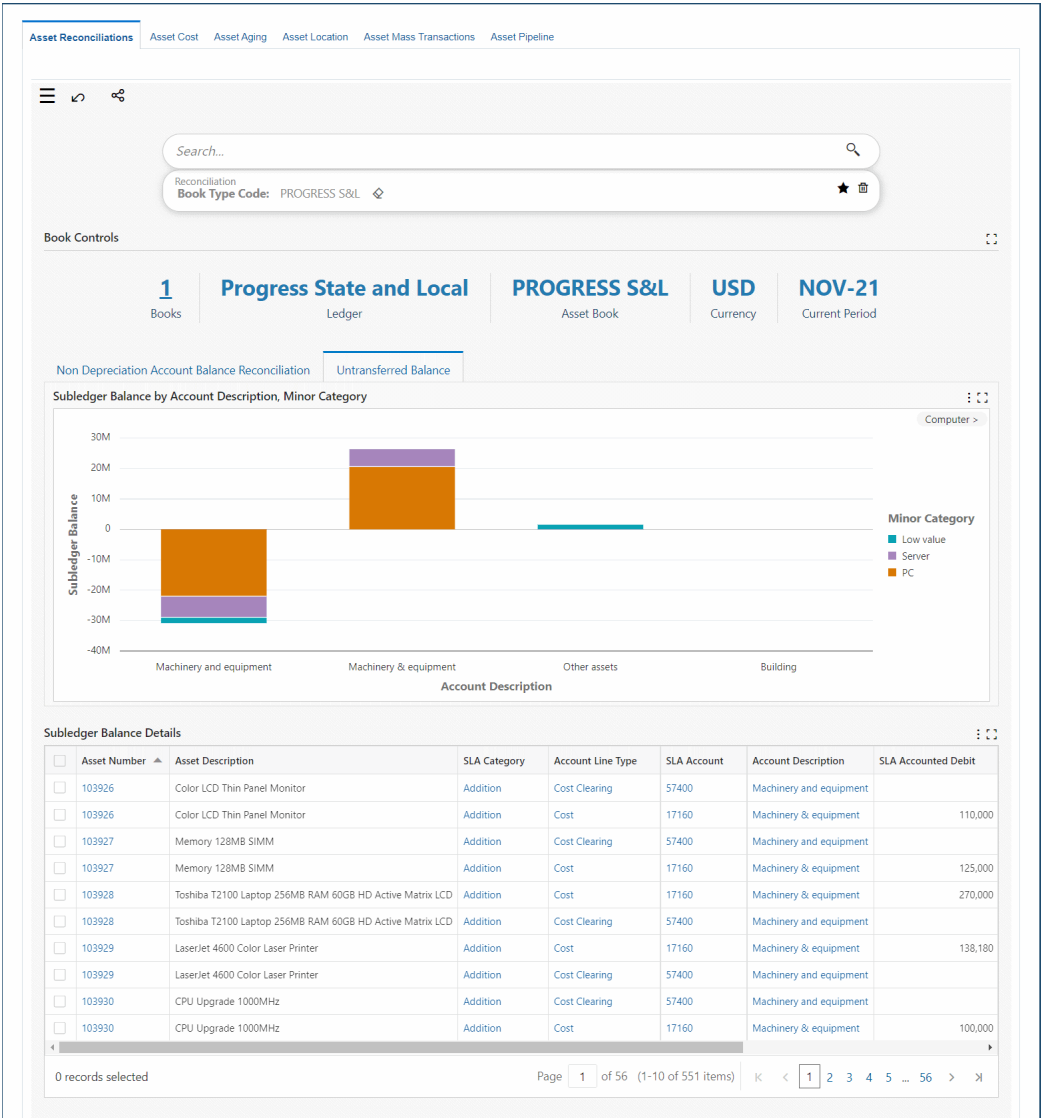
- Reconcile the year-to-date activities.
- Find discrepancies between Fixed Assets and General Ledger balances.
- Minimize errors and increase accuracy of financial statements.

Note: The Asset Reconciliations dashboard will not reconcile depreciation and accumulated depreciation accounts and will focus only on the Addition, Adjustment, Retirement, Revaluation, Transfer, and Reclass accounting events.

From the Fixed Assets Manager responsibility, navigate to the **Asset Reconciliations** dashboard:

(N) **Assets Command Center > Asset Reconciliations**

Asset Reconciliations Dashboard



The following table describes the dashboard:

Component	Description
Book Controls (summary bar)	This summary bar displays the following metrics. Metric items are configured to display the top value by record count. • Books • Ledger • Asset Book • Currency • Current Period
Non Depreciation Account Balance Reconciliation (tab) Accounts Reconciliation (chart)	This comparative bar chart shows the totals of account balances in the subledger and the General Ledger along with the account description.
Non Depreciation Account Balance Reconciliation (tab) Subledger Balance (aggregate table)	This aggregate table list all the subledger accounts and description with corresponding balance in the subledger with the option to break down the balance by the cost center.
Non Depreciation Account Balance Reconciliation (tab) General Ledger Balance (aggregate table)	This aggregate table list all the General Ledger accounts and description with corresponding balance in the GL with the option to break down the balance by the cost center.
Untransferred Balance (tab) Subledger Balance by Account Description, Major Category (chart)	The chart in this tab displays the total untransferred balance to the General Ledger by account description and assets major category, with the availability to drill down from major to minor category.
Subledger Balance Details (results table)	This table provides account balance details in journal form.
Options (table-level actions)	Export: Use this action to export the search results in a comma-separated values (CSV) file format.

Asset Cost Dashboard

See "Assets Command Center Overview", page 2-2 for more information.

The **Asset Cost** dashboard displays an overview of asset cost and accumulated depreciation by category. You can view asset cost metrics, asset cost charts, and results tables.

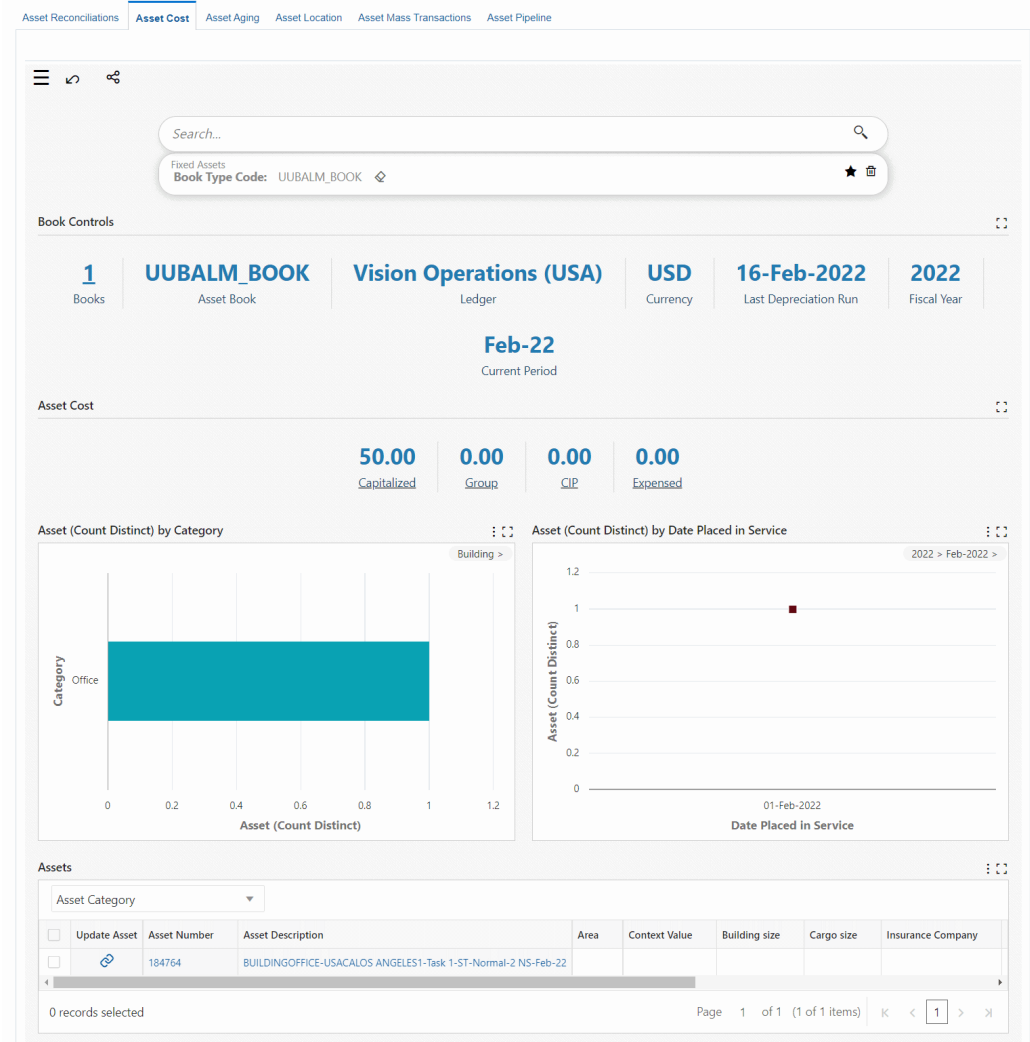
Use the **Asset Cost** dashboard to:

- Gain visibility into all financial transactions affecting asset value.
- Discover incorrect classification of assets across categories.
- Take action to resolve discrepancies, correctly categorize assets, and analyze root causes of inaccuracies.

From the Fixed Assets Manager responsibility, navigate to the **Asset Cost** dashboard:

(N) **Assets Command Center > Asset Cost**

Asset Cost Dashboard



The following table describes the dashboard:

Component	Description
Book Controls (summary bar)	This summary bar provides asset book information using the following metrics. Metric items are configured to display the top value by record count. • Books • Asset Book • Ledger • Currency • Last Depreciation Run • Fiscal Year • Current Period
Asset Cost (summary bar)	This summary bar displays the total asset cost by asset type for the following metrics: • Capitalized • Group • CIP • Expensed Note: All items are configured to calculate the total asset's count by asset type.
Asset (Count Distinct) by Category (chart)	This chart displays asset cost across categories.
Asset (Count Distinct) by Date Placed in Service (Year) (chart)	This line chart displays the number of assets placed in service by year, month, and day.

Component	Description
Assets (results table)	This table provides asset financial information. Select the following options to view specific asset details: • Asset • Financial • Source To update asset details, click the link icon in the Update Asset column to navigate to the Assets window.
Options (table-level actions)	Export: Use this action to export the search results in a comma-separated values (CSV) file format.

Asset Aging Dashboard

See "Assets Command Center Overview", page 2-2 for more information.

The **Asset Aging** dashboard displays aging assets and useful asset life information by category. You can view asset aging metrics, charts, and results tables.

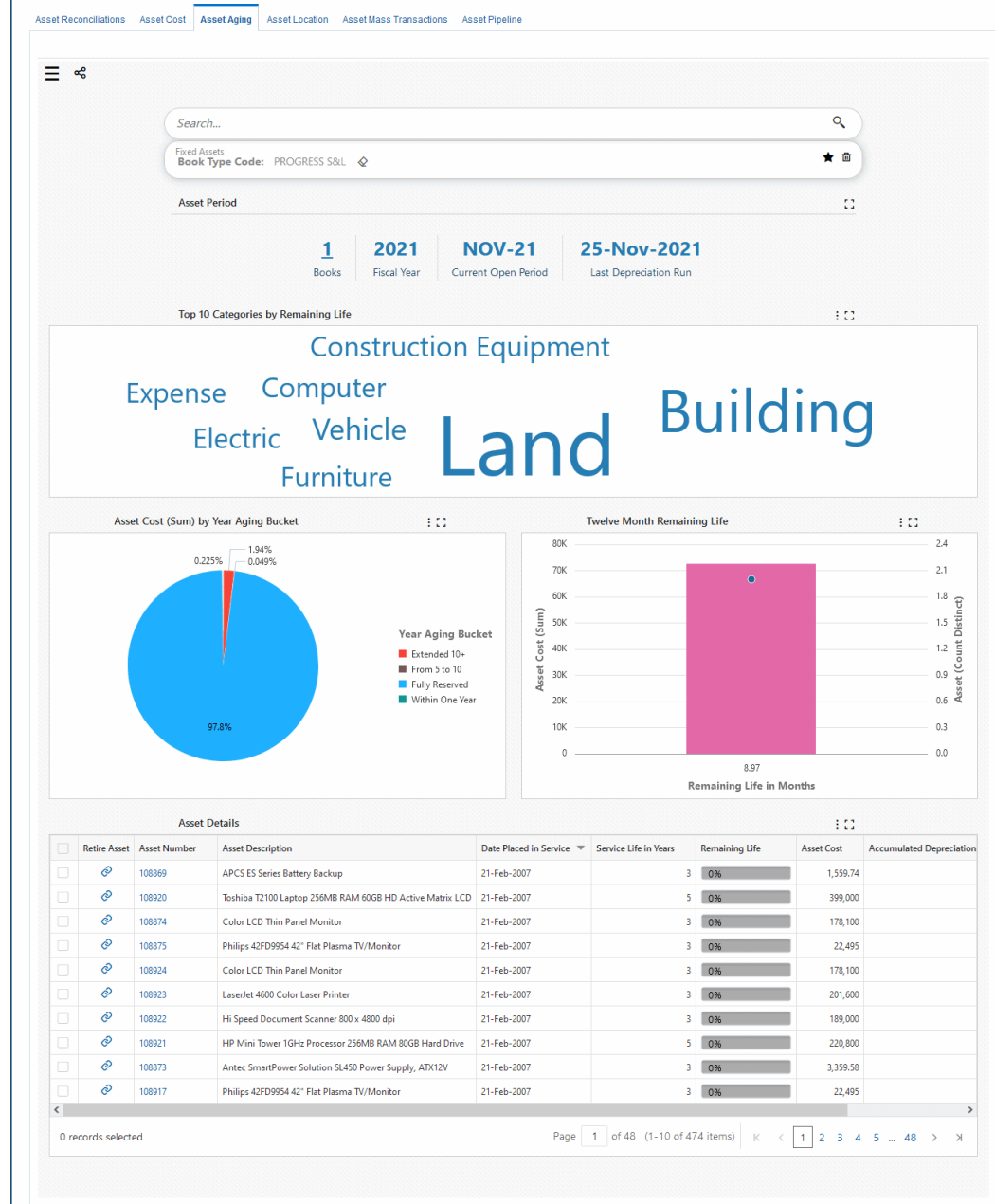
Use the **Asset Aging** dashboard to:

- Analyze asset remaining life.
- Verify asset cost, depreciated, and net book value.
- Take action to submit a work request or a new purchase requisition, or perform mass retirement.

From the Fixed Assets Manager responsibility, navigate to the **Asset Aging** dashboard:

(N) **Assets Command Center > Asset Aging**

Asset Aging Dashboard



The following table describes the dashboard:

Component	Description
Asset Period (summary bar)	This summary bar displays the following metrics. Metric items are configured to display the top value by record count. • Books • Fiscal Year • Current Open Period • Last Depreciation Run
Top 10 Categories by Remaining Life (tag cloud)	This tag cloud component displays the top ten asset categories by remaining life. The categories are displayed in relative sizes by frequency of occurrence.
Asset Cost (Sum) by Year Aging Bucket (chart)	This chart displays the aging buckets for assets (in years) and drills down to month aging.
Twelve Month Remaining Life (chart)	This chart displays the count and the cost of assets that will complete their life within a year (asset life due in a year).
Asset Details (results table)	This table displays financial information for an asset's useful life. To update asset details, click the link icon in the Retire Asset column to navigate to the Assets window.
Options (table-level actions)	Export: Use this action to export the search results in a comma-separated values (CSV) file format.

Asset Location Dashboard

See "Assets Command Center Overview", page 2-2 for more information.

The **Asset Location** dashboard displays assets by location or by employees assigned to asset groups. You can view asset location metrics, charts, and results tables.

Use the **Asset Location** dashboard to:

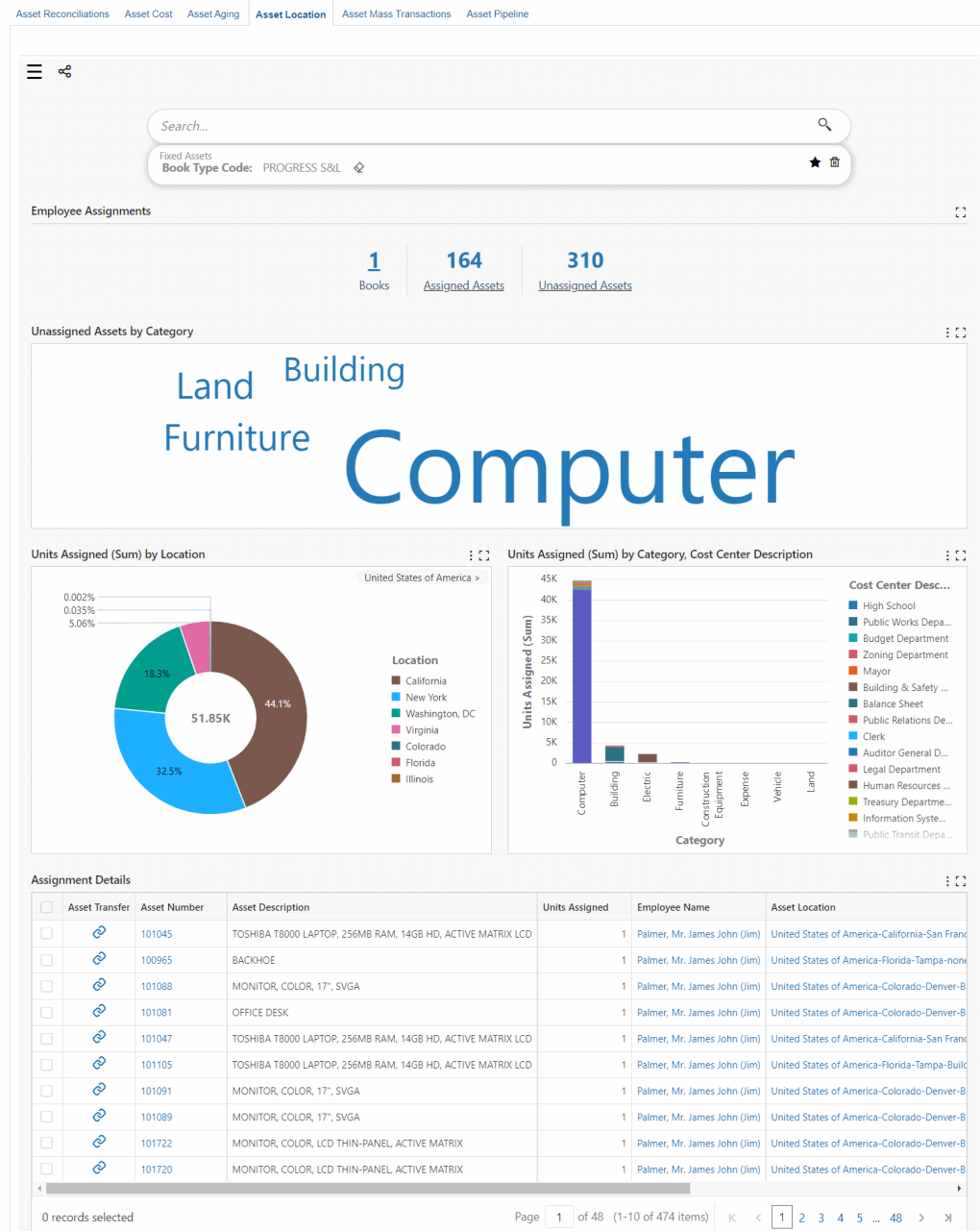
- Track fixed assets across all locations.
- Explore assignments to employees.
- Detect discrepancies in cost center assignments.
- Take action to resolve missing assignments or incorrect allocation of resources.

From the Fixed Assets Manager responsibility, navigate to the **Asset Location** dashboard:

(N) **Assets Command Center >Asset Location**

Within the **Asset Location** dashboard, you can select the ledger and asset book to check the location or assignment of a specific asset or group of assets. You can analyze data using asset location metrics, charts, graphs, and results tables.

Asset Location Dashboard



The following tables describe the dashboard:

Component	Description
Employee Assignments (summary bar)	This summary bar displays the number of assigned assets and unassigned assets to employees, and contains the following metrics: • Books • Assigned Assets • Unassigned Assets
Unassigned Assets by Category (tag cloud)	This tag cloud component displays the top unassigned assets by major category. You can drill down from the major category to the minor category by selecting a value within the tag cloud.
Units Assigned (Sum) by Location (chart)	This chart displays assets count by location segments.
Units Assigned (Sum) by Category, Cost Center Description (chart)	This chart displays the asset count by major category and by cost center.
Assignment Details (results table)	This table displays details related to assigned and unassigned assets. You can perform the following row-level actions: • To update asset details, click the link icon in the Asset Transfer column to navigate to the Assets window. • To filter data related to unassigned employee related asset records, click the Unassigned link in the Employee Name column.
Options (table-level actions)	Export: Use this action to export the search results in a comma-separated values (CSV) file format.

Asset Mass Transactions Dashboard

See "Assets Command Center Overview", page 2-2 for more information.

The **Asset Mass Transactions** dashboard helps fixed assets accountants to find pending transactions and take required actions. You can view pending transaction metrics, charts, and results tables.

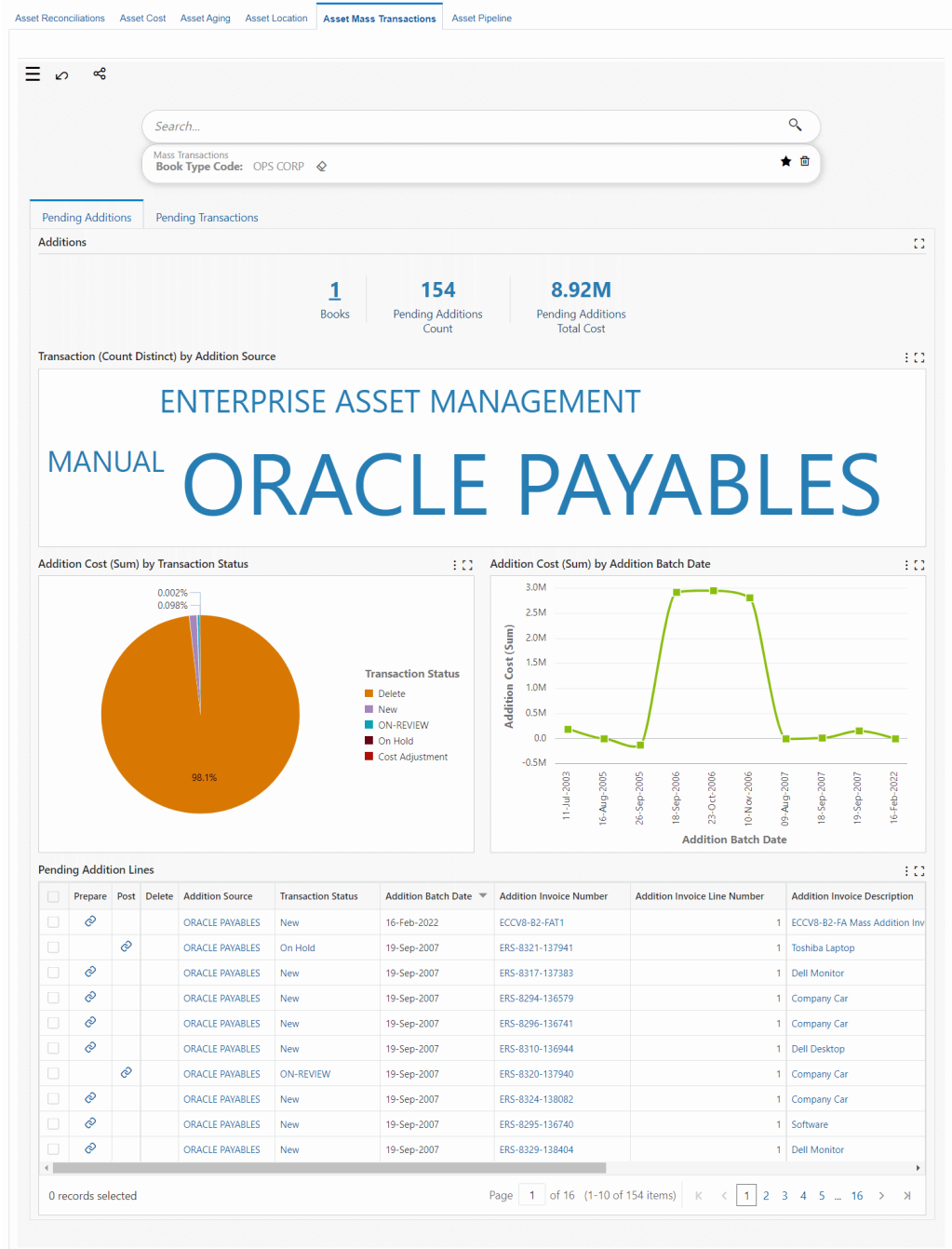
Use the **Asset Mass Transactions** dashboard to:

- Explore pending transactions across mass additions and transactions.
- Reflect pending transactions accurately and in a timely fashion.
- Take action to close asset books.

From the Fixed Assets Manager responsibility, navigate to the **Asset Mass Transactions** dashboard:

(N) **Assets Command Center > Asset Mass Transactions**

Asset Mass Transactions Dashboard



The following tables describe the dashboard:

Pending Additions (tab)

Component	Description
Additions (summary bar)	This summary bar displays the following metrics: • Books • Pending Additions Count: • Pending Additions Total Cost: The total sum of the asset costs of the Mass Addition Interface lines
Transaction (Count Distinct) by Addition Source (tag cloud)	This tag cloud component displays the top pending mass additions status by category. The categories are displayed in relative sizes by frequency of occurrence.
Addition Cost (Sum) by Transaction Status (chart)	This chart displays the total sum of the asset cost for each status type.
Addition Cost (Sum) by Addition Batch Date (chart)	This chart displays both the number and the total cost of the pending additions per mass additions batch date.
Pending Addition Lines (results table)	This table displays pending addition details. You can perform the following row-level actions: • To review, merge, split, post, and purge mass additions, click the link icon in the Prepare column to navigate to the Find Mass Additions window. • To submit the Post Mass Additions concurrent request, click the link icon in the Post column. • To submit the Delete Mass Additions concurrent request, click the link icon in the Delete column.

Pending Transactions (tab)

Component	Description
Pending Mass Transactions (summary bar)	This summary bar displays the following metrics: • Transfers: This metric shows the number of pending mass transfers. • Revaluations: This metric shows the number of pending mass revaluations. • Changes: This metric shows the number of pending mass changes. • Reclassifications: This metric shows the number of pending mass reclassifications. • Retirements: This metric shows the number of pending mass retirements.
Transaction (Count Distinct) by Transaction Type (chart)	This chart displays the number of pending transactions for each transaction type.
Transaction (Count Distinct) by Transaction Status, Transaction Type (chart)	This chart displays the number of pending transactions for each transaction type and transaction status.

Component	Description
Pending Transaction Details (results table)	This table displays pending mass transaction details. You can perform the following row-level actions: • To transfer a group of assets between general ledger expense accounts, employees, and locations, click the link icon in the Transfer column to navigate to the Mass Transfers window. • To reclassify assets to update information, correct data entry errors, or when consolidating categories, click the link icon in the Reclass column to navigate to the Mass Reclassifications window. • To correct an error or update financial and depreciation information for a single asset or for multiple assets, click the link icon in the Change column to navigate to the Run Mass Changes window. • To retire a group of assets, click the link icon in the Retirement column to navigate to the Mass Retirements window. You can also use this window to reinstate a mass retirement transaction. • To revalue assets to adjust the value of your capitalized assets, click the link icon in the Revaluation column to navigate to the Mass Revaluations window.
Options (table-level actions)	Export: Use this action to export the search results in a comma-separated values (CSV) file format.

Asset Pipeline Dashboard

See "Assets Command Center Overview", page 2-2 for more information.

The **Asset Pipeline** dashboard identifies all pending transactions that exist in Oracle Payables and Oracle Projects that affect asset costs.

Use the **Asset Pipeline** dashboard to identify:

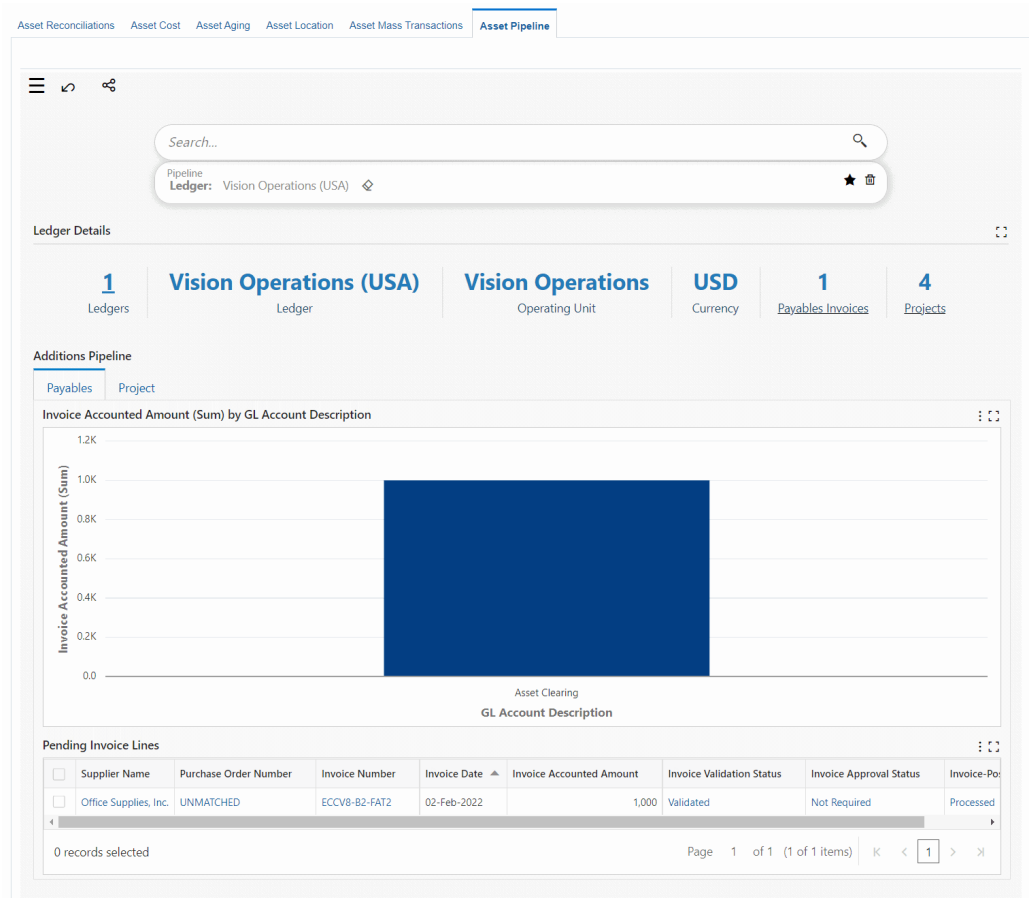
- Ledger details that include ledger name, operating unit, functional currency, and count of pending invoices and projects.
- Total pending additions by account description.
- Total amounts.
- Additions pipeline details (invoices, projects).

From the Fixed Assets Manager responsibility, navigate to the **Asset Pipeline** dashboard:

(N) **Assets Command Center >Asset Pipeline**

Within the **Asset Pipeline** dashboard, you can check the additions pipeline using metrics, graphs, and results tables.

Asset Pipeline Dashboard



The following tables describe the dashboard:

Component	Description
Ledger Details (summary bar)	This summary bar displays the following metrics. Metric items are configured to display the top value by record count. • Ledgers • Ledger • Operating Unit • Currency • Payables Invoices • Projects

Additions Pipeline - Payables (tab)

Component	Description
Invoice Accounted Amount (Sum) by GL Account Description (chart)	This chart displays the sum invoice accounted amount per GL account.
Pending Invoice Lines (results table)	This table displays payable invoice details.

Additions Pipeline - Project (tab)

Component	Description
Project Current Asset Cost (Sum) by Project Name, Project Task Name (chart)	This chart displays the total asset cost for each project by Project Name and Project Task Name.
Project Current Asset Cost (Sum) by GL Account Description (chart)	This chart displays the total asset cost for each project in a GL account.
Pending Project Details (results table)	This results table displays project asset lines details.

**Pending Invoice Lines, Pending Project
Details** (results tables)

Options (table-level actions)

Export: Use this action to export the search results in a comma-separated values (CSV) file format.

Asset Setup

This chapter covers the following topics:

- Asset Setup Information
- Asset Setup Processes (Additions)
- Adding an Asset Accepting Defaults (QuickAdditions)
- Adding an Asset Specifying Details (Detail Additions)
- Correcting Current Period Addition Errors
- Overview of the Mass Additions Process
- Auto Prepare Mass Additions Lines
- Adding an Asset Automatically from an External Source (Mass Additions)
- About the Mass Additions Interface
- Creating Asset Additions Using Web ADI
- Future Transactions
- Adding Assets in Short Tax Years

Asset Setup Information

This section includes everything you need to know about asset setup:

- Asset Descriptive Details
- Depreciation Rules (Books)
- Assignments
- Source Lines
- Construction-In-Process (CIP) Assets

Asset Descriptive Details

This section describes selected fields on the Asset Details window.

Asset Number

An asset number uniquely identifies each asset. When you add an asset, you can enter the asset number, or leave the field blank to use automatic asset numbering. If you enter an asset number, it must be unique and not in the range of numbers reserved for automatic asset numbering. You can enter any number that is less than the number in the Starting Asset Number field in the System Controls window, or you can enter any non-numeric value.

Description

Use list of values to choose a standard description you defined in the QuickCodes window, or enter your own.

Tag Number

If you enter a tag number, it must be unique. A tag number uniquely identifies each asset. For example, use the tag number to track asset barcodes, if you use them.

Category

Oracle Assets defaults depreciation rules based on the category, book, and date placed in service. All assets in a category share the same asset cost accounts and depreciation accounts for each depreciation book.

Category Descriptive Flexfield

Descriptive flexfields allow you to collect and store additional information about your assets. For each asset category, you can set up a descriptive flexfield to prompt you for additional information based on the asset category you enter. For example, you might want to track the license number for automobiles, but the square footage for buildings. When you specify a category for a new asset, you can enter your information in a descriptive flexfield.

Asset Key

The asset key allows you to group assets or identify groups of assets quickly. It does not have financial impact; rather it can be used to track a group of assets in a different way than the asset category. For example, use an asset key to group assets by project.

Asset Type

Valid asset types are:

- **Capitalized:** Assets included on the company balance sheet. Capitalized assets usually depreciate. Charged to an asset cost clearing account.
- **CIP (Construction-In-Process):** Unfinished assets being built, not yet in use and not yet depreciating. Once you capitalize a CIP asset, Oracle Assets begins depreciating it. Charged to a construction-in-process clearing account.
- **Expensed:** Items that do NOT depreciate; the entire cost is charged in a single period to an expense account. Oracle Assets tracks expensed items, but does not create journal entries for them. Oracle Assets does not depreciate expensed assets, even if the Depreciate check box in the Books and Mass Additions Prepare windows is checked for that asset.
- **Group:** A group asset is a collection of member assets. You can add member assets to a group asset, transfer assets out, or between groups assets. Group asset cost is the sum of all the associated member assets costs. A group may contain many individual assets that were placed into service in different years, but share one depreciation account maintained for the group. Group asset depreciation, known as group depreciation, is computed and stored at the group level.

Units

The number of units represents the number of components included as part of an asset. Use units to group together identical assets. For example, you might add an asset that is composed of ten separate but identical chairs. If you are adding an asset, accept the default value of one, or enter a different whole number of units.

Parent Asset

You can separately track and manage detachable asset components, while still automatically grouping them to their parent asset. For example, a monitor can be tracked as a subcomponent of its parent asset, a computer. You can specify a rule in the Asset Categories window by which Oracle Assets defaults the life for a subcomponent asset based on the category and the parent asset life.

Enter the parent asset to which your asset belongs if you are adding a subcomponent asset. The parent asset must be in the same corporate book. If you are adding a leasehold improvement, enter the asset number of the leased asset. To properly default the subcomponent life, add the parent asset before the subcomponent.

You must set up the depreciation method for the subcomponent asset life before you can use the method for that life. If your subcomponent asset uses a depreciation method of type Calculated, Oracle Assets sets up the depreciation method for you. If the depreciation method is not Calculated and if it is not already set up for the subcomponent life rule default, Oracle Assets uses the asset category default life.

Oracle Assets does not automatically perform the same transaction on a subcomponent asset when you perform it on the parent asset. Use the Parent Asset Transactions Report

to review the transactions that you have performed on parent assets during a period.

Warranty Number

You can set up and track manufacturer and supplier warranties online. Each warranty has a unique warranty number. Use the list of values or enter a previously defined warranty number to assign the asset to the coinciding warranty.

Lease Number

You can enter lease information only for an asset assigned to an asset category in which the Ownership field is set to Leased. You must define the lessor as a valid supplier in the Suppliers window, and define leases in the Lease Details window, before you can attach a lease to an asset you are adding in the Asset Details window.

If you are entering a leasehold improvement and you completed the Parent Asset field in the Asset Details window, Oracle Assets displays the related lease information from the parent asset. You cannot provide separate lease information for the leasehold improvement.

Ownership

You can track **Owned** and **Leased** assets. Choosing the value Leased from the Ownership list does not automatically allow you to enter lease information. You can enter lease information only if you assign the asset to a leased asset category.

If the lease has a Transfer of Ownership option, you can change the value of the Ownership field from Leased to Owned, even when the lease is attached to an asset. Changing the ownership of the lease does not affect the lease or any other financial attributes of the asset.

In Use

The In Use check box is for your reference only. It indicates whether the asset is in use. For example, a computer in storage still depreciates because it becomes obsolete over time whether or not it is in use. Use this check box to track that it is not in use.

In Physical Inventory

When you check the In Physical Inventory check box, it indicates that this asset will be included when you run the Physical Inventory comparison. When you set up categories, you define whether assets in a particular category should be included in physical inventory. You can use the In Physical Inventory check box in the Asset Details window to override the default.

Related Topics

Depreciation Rules (Books), page 3-5

Assignments, page 3-11

Source Lines, page 3-13

Oracle Assets System Setup, page 11-2

Asset Setup Processes (Additions), page 3-16

Adding an Asset Specifying Details (Detail Additions), page 3-20

Adding an Asset Accepting Defaults (QuickAdditions), page 3-18

Adding an Asset Automatically from an External Source (Mass Additions), page 3-44

Changing Asset Details, page 5-1

Entering Suppliers, *Oracle Payables User Guide*

Entering Leases, page 11-202

Depreciation Rules (Books)

This section describes selected fields on the Books window.

Book

An asset can belong to any number of depreciation books, but must belong to only one corporate depreciation book. You must assign a new asset to a corporate depreciation book before you can assign it to any tax books. You can only assign the asset to a book for which you defined the asset category. Oracle Assets defaults financial information from the asset category, book, and date placed in service.

Each book can have independent accounts, an independent calendar, and independent depreciation rules. You can specify for which ledgers a depreciation book creates journal entries.

The asset can also have different financial information in each book. For example, you can make the asset cost in your tax book different from the cost in your financial reporting book. The depreciation books are independent, so you can run depreciation for each book on a different schedule.

You can change financial and depreciation information for an asset in a book. You can choose whether to amortize or expense the adjustment. See: Amortized and Expensed Adjustments, page 8-12.

You can add an asset to a tax book using the Books window. To copy a group of assets to a tax book, use Mass Copy. See: Tax Book Maintenance, page 9-1.

Current Cost

The current cost can be positive, zero, or negative. Oracle Assets defaults a cost of zero for construction-in-process (CIP) assets and you cannot change it. Oracle Assets automatically updates the cost to the sum of the invoice line costs after you add invoice lines to a CIP asset using the Mass Additions process. You can also change the cost of a CIP asset manually by entering non-invoiced items or transferring invoice lines

between assets in the Source Lines window.

If this is a capitalized leased asset, and you previously calculated the cost to capitalize for the lease in the Lease Payments window and you have not override the result of the capitalization test, Oracle Assets automatically enters the Cost to Capitalize amount in the Current Cost field, and you can change it.

Original Cost

Oracle Assets displays the original cost of the asset and not updated neither if you make a cost adjustment in the period you added the asset nor after the first period, Oracle Assets does not update the original cost.

Salvage Value

The salvage value cannot exceed the asset cost.

You can specify a salvage value as a percentage of an asset's acquisition cost or as an amount. The percentage salvage value will be defaulted from the category default rules if you have defaulted the salvage value percentage at the category level in the Asset Categories window. The salvage value is calculated by multiplying the acquisition cost by the default salvage value percentage. Then you can define a default percentage salvage value at the category level in the Asset Categories window. Oracle Assets calculates the salvage value by multiplying the acquisition cost by the default salvage value percentage for the category, book, and date placed in service. If you specify the salvage value as an amount, you simply enter the amount.

You can also select Sum of Member Assets if you are using the Group Depreciation feature. For more information, see: *Create Group Assets Using Detail Additions*, page 13-4.

You can perform salvage value adjustments if necessary. You also can override the default salvage value when adding an asset during the Detail Additions process.

Recoverable Cost

The recoverable cost is the portion of the current cost that can be depreciated. It is the current cost less the salvage value less the Investment Tax Credit basis reduction amount. If you specify a depreciation cost ceiling, and if the recoverable cost is greater than that ceiling, Oracle Assets uses the cost ceiling instead.

Accumulated Depreciation

You normally enter zero accumulated depreciation for new capitalized assets. If you are adding an asset that you have already depreciated, you can enter the accumulated depreciation as of the last depreciation run date for this book, or let Oracle Assets calculate it for you. If you enter a value other than zero, Oracle Assets uses that amount as the accumulated depreciation as of the last depreciation run date. If you have bonus reserve, the amount should be added to the accumulated depreciation and is no longer tracked as bonus reserve.

If you enter too little accumulated depreciation, Oracle Assets adjusts depreciation to the correct amount for the current fiscal year. If you enter too much accumulated depreciation, the asset becomes fully reserved before the end of its life.

If you enter zero accumulated depreciation, Oracle Assets calculates the accumulated depreciation and the bonus reserve, if any, based on the date placed in service. You can have a different accumulated depreciation for each depreciation book.

Enter the amount of depreciation taken in the current fiscal year, if any, for the year-to-date depreciation. If the asset is placed in service in the current fiscal year, the accumulated depreciation amount and the year-to-date depreciation amount must be the same.

For Oracle Assets to recognize an asset as fully reserved when you add it, enter an accumulated depreciation amount equal to the recoverable cost.

You cannot change the accumulated depreciation after the period in which you added the asset. You can, however, change the depreciation taken for prior fiscal years in your tax books using the Tax Reserve Adjustments window.

You cannot enter year-to-date or life-to-date depreciation when you add a units of production asset. Instead, enter the asset with zero accumulated depreciation, and enter the total life-to-date production as production for the current period to catch up depreciation.

Limit Amount

Limit the annual depreciation expense that Oracle Assets calculates for an asset. You can enter a depreciation limit based on an amount or a percentage of the asset cost.

Ceiling

Limit the recoverable cost used to calculate annual depreciation expense. You can enter a ceiling only for assets in tax depreciation books. You can enter a depreciation ceiling only for assets in books that allow depreciation ceilings. You enable depreciation ceilings for a book in the Book Controls window.

Investment Tax Credit

The Investment Tax Credit (ITC) check box displays whether you claimed an ITC on an asset. You cannot claim an Investment Tax Credit on an asset unless it is using a life-based depreciation method. Allow ITC for a tax book in the Book Controls window and the category in the Asset Categories window. Assign ITC to an asset in a tax book in the Investment Tax Credits window.

Note: This field appears only when you are setting up a tax book.

Net Book Value

The net book value is defined as:

Net Book Value = Current Cost - Total Reserve (Accumulated Depreciation + Bonus Reserve)

Revaluation Reserve

If you are adding an asset, enter the revaluation reserve, if any. You cannot update the revaluation reserve after the period you added the asset. After that, Oracle Assets updates the revaluation reserve when you perform revaluations.

Revaluation Reserve = Existing Revaluation Reserve + Change in Net Book Value due to current revaluation

Note: You can only enter revaluation amounts if you allow revaluation in the Book Controls window.

Revaluation Ceiling

If you try to revalue the asset cost above the ceiling, Oracle Assets uses the revaluation ceiling instead.

Note: You can only enter revaluation amounts if you allow revaluation in the Book Controls window.

Method

The depreciation method you choose determines the way in which Oracle Assets spreads the cost of the asset over the time it is in use. You specify default depreciation rules for a category and book in the Asset Categories window. You can use predefined Calculated, Table, Units of Production, Flat-Rate, or Formula type methods, or define your own in the Methods window.

Depending on the type of depreciation method you enter in the Books window, Oracle Assets provides additional fields so you can enter related depreciation information. For example, if you enter a Calculated or Table depreciation method, you must also enter a life for the asset. In contrast, for a units of production depreciation method, you must enter a unit of measure and capacity. The table below illustrates information related to the depreciation types:

Method Type	Related Fields
Calculated or Table	Life in Years and Months

Method Type	Related Fields
Calculated or Table	Bonus Rule
Flat-Rate	Basic Rate
Flat-Rate	Adjusted Rate
Flat-Rate	Bonus Rule
Units of Production	Unit of Measure
Units of Production	Capacity
Units of Production	Year-to-Date Production - display only
Units of Production	Life-to-Date Production - display only
Formula-Based	Life in Years and Months
Formula-Based	Bonus Rule

Calculated and table methods must be set up with the same number of prorate periods per year as the prorate calendar for the book. The depreciation method must already be defined for the life you enter.

You cannot choose a units of production depreciation method in a tax book if the asset does not use a units of production method in the associated corporate book.

Date in Service

If the current date is in the current open period, the default date placed in service is the calendar date you enter the asset. If the calendar date is before the current open period, the default date is the first day of the open period. If the calendar date is after the current open period, the default date is the last day of the open period. Accept this date, or enter a different date placed in service in the current accounting period or any prior period. You cannot enter a date placed in service before the oldest date placed in service you specified in the System Controls window.

You can change the date placed in service at any time. If you change the date placed in service after depreciation has been processed for an asset, Oracle Assets treats it as a financial adjustment, and the accumulated depreciation is recalculated accordingly.

The asset category, book, and date placed in service determine which default depreciation rules Oracle Assets uses. If the asset category you entered is set up for

more than one date placed in service range for this book, the date placed in service determines which rules to use.

If you enter a date placed in service in a prior period and zero accumulated depreciation, Oracle Assets automatically calculates catchup depreciation when you save your changes and expense the catchup depreciation in current period.

The date placed in service for CIP assets is for your reference only. Oracle Assets automatically updates this field to the date you specify when you capitalize the asset using the Capitalize CIP Assets window.

Prorate Convention and Prorate Date

Oracle Assets uses the prorate convention to determine how much depreciation to take in the first and last years of asset life.

Oracle Assets determines the prorate date from the date placed in service and the prorate convention. It uses this date to determine how much depreciation to take during the first and last years of asset life.

Amortization Start Date

When you choose to amortize an adjustment, Oracle Assets uses the Amortization Start Date to determine the amount of catchup depreciation to take in the current open period. The remaining depreciation is spread over the remaining life of the asset.

The amortization start date defaults according to the rules described for the Date Placed in Service. You can change the default date to another date in the current period or a previous period.

When adding assets with depreciation reserve, you can choose to amortize the net book value over the remaining life of the asset. Oracle Assets uses the Amortization Start Date to spread the remaining recoverable cost over the remaining useful life of the asset. This can only be performed in the period of addition.

Related Topics

Entering Financial Information, page 3-22

Defining Depreciation Books, page 11-59

Defining Additional Depreciation Methods, page 11-65

Setting Up Asset Categories, page 11-188

Adding an Asset Specifying Detail (Detail Additions), page 3-20

Adding an Asset Accepting Defaults (QuickAdditions), page 3-18

Adding an Asset Automatically from an External Source (Mass Additions), page 3-44

Adjusting Accounting Information, page 5-7

Amortized and Expensed Adjustments, page 8-12

Updating a Tax Book with Assets and Transactions, page 9-22

Assigning Tax Credits, page 9-29

Adjusting Tax Book Accumulated Depreciation, page 9-58

Depreciation Calculation, page 7-21

Assignments

Note: The system does not allow assigning reserve to an asset that was placed in service in the current period.

Assign assets to employees, general ledger depreciation expense accounts, and locations. You can share your assets among several assignment lines. You can automatically assign distributions to an asset by choosing a predefined Distribution Set.

You can transfer an asset between employees, expense accounts, and locations. Changing the expense account has a financial impact, since Oracle Assets creates journal entries for depreciation expense to the general ledger using the account. Changing the location or employee information, however, has no financial impact because Oracle Assets uses them solely for property tax and responsibility reporting.

When you run a transaction report or create journal entries for a tax book, Oracle Assets uses the current assignment information from the associated corporate book.

The following are some of the fields that appear on the Assignments window:

Transfer Date

You can enter a date in the current or a prior accounting period. You cannot back-date transfers before the start of your current fiscal year, or before the date of the last transaction you performed on the asset. You also cannot enter a date that is after the last day of the current accounting period.

When you back-date a transfer, the depreciation program automatically adjusts the accumulated depreciation and year-to-date depreciation amounts for the affected general ledger accounts.

Distribution Set

You can use the Distribution Set poplist to choose a predefined distribution set for an asset. A distribution set allows you to automatically assign a predefined set of one or more distributions to an asset. When you choose a distribution set, Oracle Assets automatically enters the distributions for you.

Show Merged Distributions (Mass Additions only)

The Show Merged Distributions check box appears in the Assignments window for a mass addition line only. You can only view the distribution for a merged parent or a

merged child one at a time, unless you check the Show Merged Distributions check box.

Total Units

Oracle Assets displays the total of the number of units for the asset.

Units to Assign

Oracle Assets displays the number of units you must assign. For a two-sided transfer, the Units to Assign starts at zero. For one-sided transfers (additions, partial unit retirements, and unit adjustments) the Units to Assign starts at the number of units added, retired, or adjusted. The Units to Assign value automatically updates to reflect the assignment you enter or update. It must be equal to zero before you can save your work.

Unit Change

The Units field displays the number of units assigned to that assignment. You can transfer units between existing assignment lines or to a new assignment line. You can enter whole or fractional units. The number of units that you enter tells the depreciation program what fraction of depreciation expense to charge to that account.

You can transfer units out of only one assignment line in a single transaction, but you can transfer units into as many lines as you want. To transfer units out of a assignment, enter a negative number. To transfer units into a assignment, on a new line, enter a positive number.

Employee

Assign assets to the owner or person responsible for that asset. You must enter a valid, current employee number and name that you created in the Enter Person window.

Expense Account

Assign assets to depreciation expense accounts.

Oracle Assets charges depreciation expense to the asset using the expense account and runs Responsibility Reports using the cost center information.

Location

Enter the physical location of the asset. Oracle Assets uses location information for Property Tax reports.

Related Topics

[Adding an Asset Specifying Detail \(Detail Additions\), page 3-20](#)

[Adding an Asset Accepting Defaults \(QuickAdditions\), page 3-18](#)

[Adding an Asset Automatically from an External Source \(Mass Additions\), page 3-44](#)

Transferring Assets between Depreciation Expense Accounts, page 5-14

Moving Assets Between Employees and Locations, page 5-14

Defining Locations, page 11-49

Defining Distribution Sets, page 11-194

Defining Depreciation Books, page 11-59

Entering a New Person, *Oracle HRMS Documentation Set*

Source Lines

You can track information about where assets came from, including sources such as invoice lines from your accounts payable system and capital assets from Oracle Projects.

Each source line that came from another system through Mass Additions may include the following information:

- Cost
- Invoice Number
- Line
- Description
- Supplier
- Purchase Order Number
- Source Batch
- Project Number
- Task Number

You change invoice information for a line using the Source Lines window only if you manually added the source line. For example, you can manually add a line, adjust the cost of an existing line, or delete a line for a CIP asset. You also can transfer lines between assets.

You cannot change invoice information if the line came from another system through Mass Additions.

If the source of the line is Oracle Projects, choose the Project Details button to view detail project information for the line in the Asset Line Details window.

Related Topics

Adding an Asset Accepting Defaults (QuickAdditions), page 3-18

Adding an Asset Specifying Detail (Detail Additions), page 3-20

Adding an Asset Automatically from an External Source (Mass Additions), page 3-44

Changing Invoice Information for an Asset, page 5-19

Construction-in-Process (CIP) Assets

A construction-in-process (CIP) asset is an asset you construct over a period of time. You create and maintain your CIP assets as you spend money for raw materials and labor to construct them. Since a CIP asset is not yet in use, it does not depreciate. When you finish building the CIP asset, you can place it in service and begin depreciating it.

You can track CIP assets in Oracle Assets, or you can track detailed information about your CIP assets in Oracle Projects. If you use Oracle Projects to track CIP assets, you do not need to track them in Oracle Assets.

See: Create Mass Additions from Capital Assets in Oracle Projects, page 3-41.

Use the Asset Key to Track CIP Projects

The asset key is a set of key identifying information, such as project name and project number, that you define for each CIP asset. Use the asset key to group and track your CIP assets with common key words so you can find them easily for inquiry or transactions.

Acquire and Build CIP Assets

Create CIP assets using Mass Additions or manual additions.

Oracle Assets identifies invoices with distributions to CIP clearing accounts in Oracle Payables, and creates mass additions from them. You can create new CIP assets from your mass additions, or add them to existing assets. You can also add non-invoiced expenses, such as labor cost, to your CIP assets. You can perform transfers or adjustments on your CIP assets if necessary.

Automatically Adding CIP Assets to Tax Books

You can set up Oracle Assets to automatically copy CIP assets to a tax book when a CIP asset is added to the corporate book.

To enable CIP assets to be automatically added to a tax book:

1. Navigate to the Book Controls window.
2. Query the tax book to which you want CIP assets copied.
3. Choose Accounting Rules from the poplist in the Book Controls window.
4. In the Tax Rules region, check the Allow CIP Assets check box.

5. Save your work.

Conditions When CIP Assets are Copied to Tax Books

After you set up Oracle Assets to automatically add CIP assets to your tax book, all CIP assets you add to your corporate book will automatically be added to your tax book at the same time. When you capitalize these CIP assets in your corporate book, the same assets will automatically be capitalized in your tax book, even if the corporate and tax books are in different accounting periods.

Important: If your corporate and tax books' accounting periods are not in the same fiscal year, and you add and capitalize a CIP asset in the corporate book, the same CIP asset may be added and capitalized in a different fiscal year in the tax book.

Performing Transactions on CIP Assets

Although CIP assets can now appear in your tax books, you cannot perform any transactions directly to CIP assets in tax books. You can only perform transactions on CIP assets in your corporate book, and these transactions will automatically be replicated to the tax book.

Note: You cannot view CIP assets in tax books from the Asset Workbench. You can view this information in the View Financial Information window.

Place Finished Assets in Service

You capitalize CIP assets when you are ready to place them in service. You can capitalize or reverse capitalize a single asset or a group of assets.

When you capitalize an asset, Oracle Assets changes the asset type from CIP to Capitalized, changes the date placed in service to the date you enter, sets the cost to the sum of all source lines for the asset, and re-defaults the depreciation rules from the asset category. Oracle Assets creates an Addition transaction for an asset you added in a prior period or changes the CIP Addition transaction to an Addition for an asset you added in the current period.

When you reverse a capitalization, Oracle Assets changes the asset type from Capitalized back to CIP and leaves the date placed in service unchanged. It changes the Addition transaction to an Addition/Void for an asset you added in a prior period or changes the Addition transaction to a CIP Addition for an asset you added in the current period. It also creates a CIP Reverse transaction for assets you capitalized in a prior period.

Related Topics

Adding an Asset Automatically from an External Source (Mass Additions), page 3-44

Overview of the Mass Additions Process, page 3-28

CIP Reports, page 12-22

Entering Suppliers, *Oracle Payables User Guide*

Viewing Assets, page 14-1

Assignments, page 3-11

Source Lines, page 3-13

Parent Asset Report, page 12-30

Parent Asset Transactions Report, page 12-79

Adding an Asset Accepting Defaults (QuickAdditions), page 3-18

Adding an Asset Specifying Details (Detail Additions), page 3-20

Transferring Assets, page 5-14

Retiring Assets, page 6-4

Placing CIP Assets in Service (Capitalizing a CIP Asset), page 5-28

Asset Setup Processes (Additions)

You can use one of the following processes to enter new assets:

QuickAdditions

Use the QuickAdditions process to quickly enter ordinary assets when you must enter them manually. You can enter minimal information in the QuickAdditions window, and the remaining asset information defaults from the asset category, book, and the date placed in service.

Detail Additions

Use the Detail Additions process to manually add complex assets which the QuickAdditions process does not handle:

- Assets that have a salvage value
- Assets with more than one assignment
- Assets with more than one source line
- Assets to which the category default depreciation rules do not apply

- Subcomponent assets
- Leased assets and leasehold improvements

Mass Additions

Use the Mass Additions process to add assets automatically from an external source. Create assets from one or more invoice distribution lines in Oracle Payables, CIP asset lines in Oracle Projects, asset information from another assets system, or information from any other feeder system using the interface. You must prepare the mass additions to become assets before you post them to Oracle Assets.

Related Topics

Adding an Asset Accepting Defaults (QuickAdditions), page 3-18

Adding an Asset Specifying Detail (Detail Additions), page 3-20

Adding an Asset Automatically from an External Source (Mass Additions), page 3-44

Overview of the Mass Additions Process, page 3-28

Additions Reports, page 12-67

Mass Additions Reports, page 12-71

Adding an Asset Accepting Defaults (QuickAdditions)

QuickAdditions

Asset Number: 812
Tag Number:
Serial Number:
Asset Type: Capitalized
Supplier Name:
Invoice Number:
Description: OFFICE FURNITURE
Category: FURNITURE-DESKS
Asset Key:
Units: 1
Supplier Number:
PO Number:
Book
Book: OPS CORP
Group Asset:
Method: STL
Life Years: 10
Months: 0
Cost: 200
Date in Service: 01-JUN-2006
☒ Depreciate
Prorate Convention: MID-MONTH
Prorate Date: 01-JUN-2006
Assignment

Units	Employee Name	Number	Expense Account	Location
1			01-000-2225-0000-000	USA-CA-SAN FRANCISCO-NONE

Done Cancel

To add an asset quickly accepting default information:

1. Choose Assets > Asset Workbench from the Navigator window.
2. Choose QuickAdditions from the Find Assets window.
3. Enter a Description of the asset.
4. Enter the asset Category.
5. Select the Asset Type of the asset. For a description of the assets types, see: Asset Descriptive Details, page 3-2.
6. Assign your asset to a corporate depreciation Book.
7. Enter the current Cost.
8. Optionally update the Date Placed In Service.
9. If you are entering a member asset, enter the number of the associated group asset in the Group Asset field. See: Assigning Member Assets to a Group Asset, page 13-15.
10. Update the depreciation method and prorate convention, if necessary. The

depreciation method and prorate convention are defaulted from the category default rules. However, you can update them here.

11. Assign the asset to an Employee Name (optional), a general ledger depreciation Expense Account, and a Location.

12. Save your work.

Note: When you create a new member asset and add it to a group asset as a prior period addition, Oracle Assets automatically submits the Process Group Adjustments concurrent program to calculate the prior period depreciation expense for the group asset. You must acknowledge the message containing the request number of the program submission.

Related Topics

Asset Descriptive Details, page 3-2

Source Lines, page 3-13

Depreciation Rules (Books), page 3-5

Assignments, page 3-11

Setting Up Asset Categories, page 11-188

Defining Distribution Sets, page 11-194

Asset Setup Processes (Additions), page 3-16

Correcting Current Period Addition Errors, page 3-27

Create Group Assets Using QuickAdditions, page 13-11

Adding an Asset Specifying Details (Detail Additions)

The screenshot shows the 'Asset Details' window with the following fields and values:

Field	Value
Asset Number	100330
Tag Number	
Serial Number	
Asset Type	Capitalized
Parent Asset	
Manufacturer	
Warranty Number	
Lease Number	
Lessor	
☒ In Use	
☒ In Physical Inventory	
Property Type	Personal
Property Class	1245
Description	PERSONAL COMPUTERS
Category	COMPUTER-PC
Asset Key	
Units	3
Model	
Ownership	Owned
Bought	New

Buttons at the bottom: View Subcomponents, Done, Cancel.

Use the Detail Additions process to manually add complex assets that the QuickAdditions process does not handle.

Override default depreciation rules if necessary.

To add an asset specifying detail information:

1. Choose Assets > Asset Workbench from the Navigator window.
2. Choose Additions.
3. In the Asset Details window, enter a Description of the asset.
4. Enter the asset Category.
5. Select the Asset Type of the asset. For a description of the assets types, see: Asset Descriptive Details, page 3-2.
6. Enter the number of Units.
7. If you are adding a subcomponent asset, enter the Parent Asset number. If you are adding a leasehold improvement, enter the leased asset number.
8. Optionally enter the Manufacturer and Model of your asset.

9. Enter the Warranty Number if you want to assign a pre-defined warranty to an asset.
10. Use the list of values to choose a lease number if you are adding a leased asset in a leased asset category.
11. Choose whether to include the asset in physical inventory comparisons. By default, the In Physical Inventory check box is set according to the asset category you specified, but you can override that value here.
12. Enter additional information, such as Property Type and Class, and whether the asset is **Owned** or **Leased** and **New** or **Used**.
13. Optionally choose Source Lines to enter purchasing information such as the Supplier Name and Purchase Order Number for the asset.
14. Choose Continue to continue adding your asset. See: Entering Financial Information (Detail Additions Continued)., page 3-22

Note: The Detail Additions process requires you to provide descriptive, financial, and assignment information in the Asset Details, Books, and Assignments windows.

Related Topics

Asset Descriptive Details, page 3-2

Source Lines, page 3-13

Asset Setup Processes (Additions), page 3-16

Correcting Current Period Addition Errors, page 3-27

Entering Financial Information (Detail Additions Continued)

The screenshot shows the 'Books' window in Oracle Assets. It is divided into several sections:

- Asset Information:** Asset Number (empty), Book (ADB CORP), Reference Number (empty), and Comments (empty).
- Financial Information:** Current Cost (500), Original Cost (500), Salvage Value Type (Amount), Salvage Value (0), Recoverable Cost (500), Net Book Value (500), YTD Depreciation (0), Accumulated Depreciation (0), Salvage Value Percent (%), Revaluation Ceiling (empty), and Revaluation Reserve (empty).
- Depreciation:** Group Asset (selected), Short Fiscal Year (empty).
- Method:** Method (STL), Life Years (10), Months (0), Bonus Rule (empty), and Depreciation Limit (Type, Limit Amount, Percent).
- Depreciate:** Check box (checked), Date in Service (30-NOV-1998), Prorate Convention (MID-MONTH), Prorate Date (16-NOV-1998), Amortization Start Date (empty), Amortize NBV over Remaining Life (unchecked), and Ceiling (empty).

Buttons at the bottom: Continue, Cancel.

To continue adding your asset using the Detail Additions process, you must enter financial information in the Books window.

You can also use this window to add an asset to a tax book.

Note: You can use Mass Copy to copy groups of assets to a tax book.
See: Tax Book Maintenance, page 9-1.

Prerequisites

- Enter descriptive information for a new asset in the Asset Details window. See: Adding an Asset Specifying Details (Detail Additions), page 3-20
- Optionally enter the purchasing information for the new asset in the Source Lines window.

Continue Adding your Asset

To enter financial information for a new asset:

1. Assign your asset to a corporate depreciation Book.
2. Enter the current Cost.

Note: If this is a leased asset, and you previously calculated the cost to capitalize for the lease in the Lease Payments window and you have not overridden the result of the capitalization test, Oracle Assets automatically enters the Cost to Capitalize amount in the Current Cost field, and you can change it. If this is a group asset, you cannot update the Cost field. Group asset cost is derived from the sum of all member asset costs.

3. Enter the Salvage Value.

If you wish to enter a salvage value, select either Percent, Amount, or Sum of Member Assets in the Salvage Value Type field.

If you selected the Percent value type, enter the percentage in the Salvage Value Percent field. This is the percentage of the asset cost to use as the salvage value. When you subsequently adjust the cost of this asset, the salvage value amount is changed proportionally.

If you selected the Amount value type, enter the salvage amount in the Salvage Value Amount field. This is the salvage amount of the asset. When you perform a partial retirement by cost, the salvage value is reduced proportionately.

Select Sum of Member Assets only if you are using the Group Depreciation feature. For more information, see: Create Group Assets Using Detail Additions, page 13-4.

Note: If you plan to use mass copy, you must use the same salvage value type for both the corporate and tax books.

To continue adding your asset using the Detail Additions process, you must do one of the following:

- Choose Continue to continue adding your asset. See: Assigning an Asset (Detail Additions Continued), page 3-26
- Optionally, enter or override depreciation information using the tabs in the Books window. Instructions for adding this information are included in the following tasks.

To optionally enter or override the depreciation information for a new asset:

1. Indicate whether you want to Depreciate the asset.
2. If you are adding a group asset, indicate whether the group asset should be disabled.

Note: The Disable check box is displayed only if you are adding a

group asset.

3. Specify the date placed in service of the asset.
4. If necessary, override the Depreciation Method and associated depreciation information defaulted from the category. See: Changing Financial and Depreciation Information., page 5-7
5. Optionally specify the Bonus Rule.
6. Override the prorate convention defaulted from the category if necessary.
7. Check the Amortize NBV Over Remaining Life check box to amortize an adjustment in the period in which the asset is entered. This check box is available only in the period in which the asset was entered.

Note: Once you save the asset, you cannot change the asset type. If you want to capitalize a CIP asset, use the Capitalize CIP asset window.

8. Optionally select the depreciation limit Type of your asset. Choices include Amount and Percent. Sum of Member Assets is only available for group assets.
9. Enter the Limit Amount if you selected a depreciation limit Type of Amount.
10. Enter the Percent if you selected a depreciation limit Type of Percent.
11. Enter the Ceiling if you want to limit the recoverable cost used to calculate annual depreciation expense. You can enter a ceiling only for assets in tax depreciation books.

Note: You cannot enter a ceiling if the asset is a group asset or a member asset.

If the asset is a member of a group asset, enter advanced depreciation rules information:

1. Select the Group Asset tab.
2. Enter the group asset number in the Group Asset field. The description defaults automatically when you enter the group asset number.
3. Optionally enter the percentage to use as the reduction rate.

See: Set Up Group Assets in Book Controls, page 13-3 and Create Group Assets Using

Detail Additions, page 13-4 for more information on setting up group assets.

Optionally, enter short fiscal year information:

1. Select the Short Fiscal Year tab.
2. Check the Short Fiscal Year check box if this asset is a short fiscal year asset.
3. Enter the Conversion Date of the asset.
4. Enter the Original Depreciation Start Date of the asset. This is the depreciation start date of the asset prior to conversion.

To enter asset assignment information for a new asset:

1. Choose Continue to continue adding your asset. See: Assigning an Asset (Detail Additions Continued), page 3-26

Note: The Detail Additions process requires you to provide descriptive, financial, and assignment information in the Asset Details, Books, and Assignments windows.

Add an Individual Asset to Your Tax Book

To add an asset to a tax book:

1. Choose Assets:Asset Workbench from the Navigator window.
2. Find the asset you want to add to a tax book.
3. Choose the Books button.
4. Enter the tax Book to which you want to assign the asset and tab to the Current Cost field.

Oracle Assets automatically copies the date placed in service from the corporate book; however, if the date placed in service in the corporate book falls in a future period in the tax book, Oracle Assets defaults the date placed in service for the asset in the tax book to the last day of the current tax period.

5. You can change the financial information defaulted from the corporate book, such as cost, date placed in service, depreciation method, life, rate, prorate convention, ceiling, and bonus rule.
6. Save your work.

Related Topics

Depreciation Rules (Books), page 3-5

Changing Financial and Depreciation Information, page 5-7

Assigning an Asset (Detail Additions Continued)

Unit Change	Units	Employee Name	Number	Expense Account	Location
1	1	Black, Mr. Chris	25	01.000.6210.2270.000	USA-NY-NEW YORK-NONE
2	2	Adams, Mr. Brian	43	01.000.6210.2260.000	USA-CA-SAN FRANCISCO-NONE

To continue adding your asset using the Detail Additions process, you must assign your new asset to an employee, depreciation expense account, and location in the Assignments window. You can manually enter the distribution(s), or choose a predefined distribution set to automatically assign the appropriate distribution(s) to the asset.

Prerequisites

- Enter descriptive information for a new asset in the Asset Details window. See: Adding an Asset Specifying Details (Detail Additions)., page 3-20
- Optionally enter purchasing information for the new asset in the Source Lines window.
- Enter financial information in the Books window. See: Entering Financial Information (Detail Additions Continued)., page 3-22

Continue Adding your Asset

To assign your asset to an employee, depreciation expense account, and location:

Note: Choose a predefined distribution set from the Distribution Set poplist to automatically assign the appropriate distribution(s) to your new asset.

1. Optionally enter the Employee Name or Number of the person responsible for the asset.
2. Enter the default Expense Account to which you want to charge depreciation.

Oracle Assets defaults the natural account segment from the category and the book.

3. Enter the physical Location of the asset.
4. Choose Done to save your work.

Note: When you create a new member asset and add it to a group asset as a prior period addition, Oracle Assets automatically submits the Process Group Adjustments concurrent program to calculate the prior period depreciation expense for the group asset. You must acknowledge the message containing the request number of the program submission.

Related Topics

Assignments, page 3-11

Asset Setup Processes (Additions), page 3-16

Transferring Assets, page 5-14

Defining Distribution Sets, page 11-194

Correcting Current Period Addition Errors

If you incorrectly added an asset, you can delete it from the system if its accounting entries are not transferred to Subledger Accounting in final mode. You can only delete assets added in the current period.

Note: Do not add assets with reserve for current period addition. In Period of Addition, you cannot do YTD and Accumulated Depreciation adjustments.

To delete an asset you added in the current period:

1. Choose Assets > Asset Workbench from the Navigator window.
2. Find the asset you want to delete.

Note: For best performance, query by asset number or tag number since they are unique values.

3. Choose Open.
4. From the menu, select Edit, Delete Record.
5. Save your change to delete the asset from the system.

To change descriptive, financial, or assignment information for an asset you added in the current period:

- Correct any information for an asset added in the current period in any of the following windows: Asset Details, Source Lines, Books, and Assignments.

Related Topics

Changing Asset Details, page 5-1

Adjusting Accounting Information, page 5-7

Moving Assets Between Employees and Locations, page 5-14

Overview of the Mass Additions Process

The mass additions process lets you add new assets or cost adjustments from other systems to your system automatically without reentering the data. For example, you can add new assets from invoice lines brought over to Oracle Assets from Oracle Payables, or from CIP asset lines sent from Oracle Projects. The steps in the mass additions process are described below:

Steps in the Mass Addition Process

1. **Create** - Enter invoices in Oracle Payables, or source information in any other feeder system. Run Create Mass Additions for Oracle Assets in Oracle Payables, the Interface Assets process in Oracle Projects, or use the interface to convert data from other systems.
2. **Review** - Review mass additions to become assets. Add mass addition lines to existing assets. Split, merge, or adjust mass additions.
3. **Post** - Post your mass additions to Oracle Assets.
4. **Clean up** - Delete unnecessary and posted mass additions. Purge deleted mass addition lines from Oracle Assets.

Mass Addition Queues

Each mass addition belongs to a queue that describes its status, and the queue name changes according to the transactions you perform on the mass addition. You can define your own mass additions hold queues in the QuickCodes window. The following table describes each Oracle Assets mass addition queue name:

Queue Name	Definition	Set by
NEW	New mass addition line created but not yet reviewed	Set by Oracle Assets after line is brought over from an external source
ON HOLD, or user-defined hold queue	Mass addition line updated or put on hold by you, or a new single unit line created by a SPLIT	Set by you. Also set by Oracle Assets after any update to a NEW mass addition line
SPLIT	Mass addition line already split into multiple lines	Set by Oracle Assets when splitting a multi-unit mass addition line
MERGED	Mass addition line already merged into another line	Set by Oracle Assets when merging a line into another line
COST ADJUSTMENT	Mass addition line to be added to an existing asset; ready for posting	Set by Oracle Assets after you have put line in the POST queue

Queue Name	Definition	Set by
POST	Mass addition line ready to become an asset	Set by you
POSTED	Mass addition line already posted	Set by Post Mass Additions to Oracle Assets
DELETE	Mass addition line to be deleted	Set by you
CAPITALIZE	CIP asset you want to capitalize in the future	Set by you

Related Topics

Create Mass Additions from Invoice Distributions in Oracle Payables, page 3-36

Create Mass Additions from Capital Assets in Oracle Projects, page 3-41

Create Mass Additions for Oracle Assets Program (from Oracle Payables), *Oracle Payables User Guide*

Mass Additions Open Interface, page 3-56

Review Mass Additions, page 3-30

Post Mass Additions to Oracle Assets, page 3-34

Clean Up Mass Additions, page 3-35

Entering QuickCodes, page 11-50

Review Mass Additions

Review newly created mass addition lines before posting them to Oracle Assets. Enter additional mass addition source, descriptive, and depreciation information in the Mass Additions window. Assign the mass addition to one or more distributions, or change existing distributions, in the Assignments window. If the mass addition is not an asset, or if it was created in error, you can delete it.

Once you have verified that the mass addition is ready to become an asset, change the queue to POST. The next time you Post Mass Additions to Oracle Assets this mass addition becomes an asset. The Mass Additions post program defaults depreciation rules from the asset category, book, and date placed in service. You can override the depreciation rules in the Books window if necessary.

Add to Existing Asset

You can add a mass addition line to an existing asset as a cost adjustment. These mass additions lines can include future assets that have not yet been capitalized. Choose whether to change the category and description of the existing asset to those of the mass addition. Oracle Assets reclassifies the destination asset to the category and updates its description to that of the mass addition when you Post Mass Additions to Oracle Assets. Also choose whether to amortize or expense the cost adjustment.

Note: The only possibility to adjust a reserve, through mass addition line, is in the period of addition and not in later periods. The system does not adjust the reserve if the adjustment line is entered in the current open period with depreciation reserve.

When you change the queue name to POST for a mass addition line you are adding to an existing asset, Oracle Assets automatically changes the queue name to COST ADJUSTMENT. This makes it easy to differentiate between adding a new asset or adjusting an existing asset.

Merge Mass Additions

You can merge separate mass addition lines into a single mass addition line with a single cost. The mass addition line becomes a single asset when you Post Mass Additions to Oracle Assets.

For example, merge tax lines into the main invoice line distribution to maintain proper asset descriptions; merge a discount line with its appropriate mass addition line; or combine individual mass additions from different invoices into a single line and amount.

You can only merge mass additions in the NEW, ON HOLD, or user-defined hold queues. Choose whether to sum the number of units.

As an audit trail after the merge, the original cost of the invoice line distribution remains on the line. The cost of the parent line will not be altered as a result of the merge and will remain the same. You can view the merged lines and the total merged cost in the Merge submenu. When you post the merged line, the asset cost is the total merged cost.

If you undo a merge, the mass addition lines appear as they did before the merge.

Important: You cannot merge split mass addition lines. For example, if you split a mass addition line with 5 units into five separate mass additions, you cannot merge two of the new lines together. You can, however, post one of the lines to create a new asset, and then add the second mass addition line to the existing asset as a cost adjustment.

Example

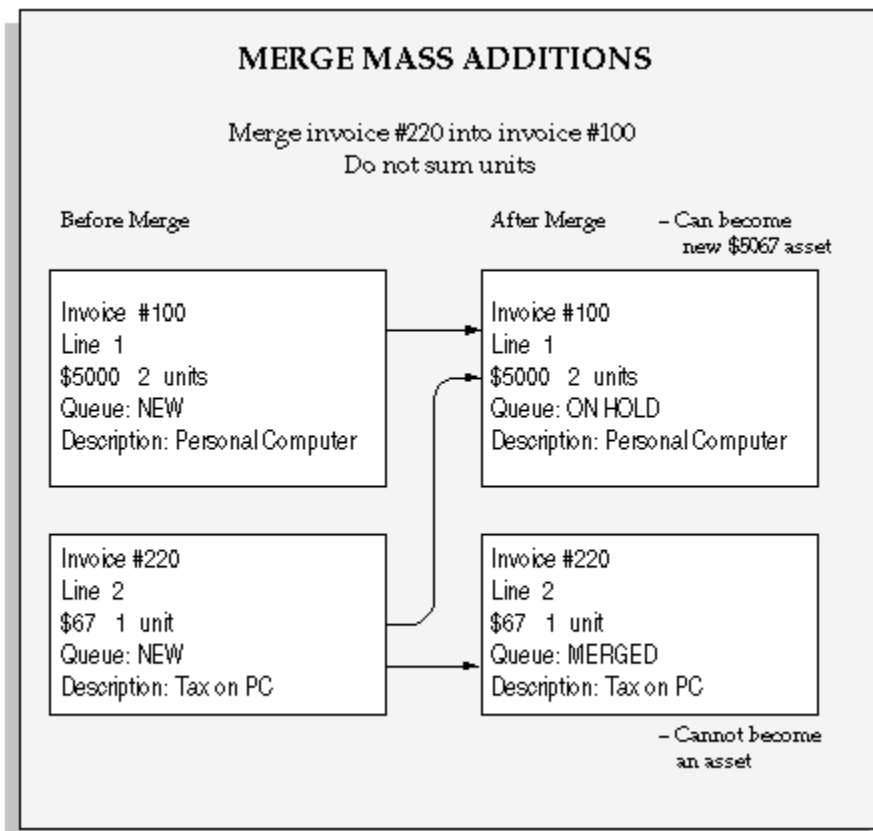
For example, you are asked to merge the mass additions line for invoice #220 into the line for invoice #100. Prior to the merge, both have a queue name of NEW. Details for the two lines are as follows:

- Invoice #100, Line 1, \$5000, 2 units, Queue = NEW, Description = Personal Computer
- Invoice #220, Line 2, \$67, 1 unit, Queue = NEW, Description = Tax on PC

After the merge, the line for invoice #100 has a queue name of ON HOLD and can become an asset. The line for invoice #220 has a queue name of MERGED and cannot become an asset. Details for the two lines are as follows:

- Invoice #100, Line 1, \$5000, 2 units, Queue = ON HOLD, Description = Personal Computer
- Invoice #220, Line 2, \$67, 1 unit, Queue = MERGED, Description = Tax on PC

The following graphic illustrates the example:



Split Mass Additions

You can split a mass addition line with multiple units into several single unit lines. You can split a previously merged mass addition line.

If you split a mass addition, the original line is put in the SPLIT queue as an audit trail of the split. The resulting split mass additions appear with one unit each, and with the same existing information from the source system. Each split child is now in the ON HOLD queue. You can review each line to become a separate asset.

If you undo a split, Oracle Assets places the original multiple unit mass addition line in the ON HOLD queue and deletes the single unit lines.

Example

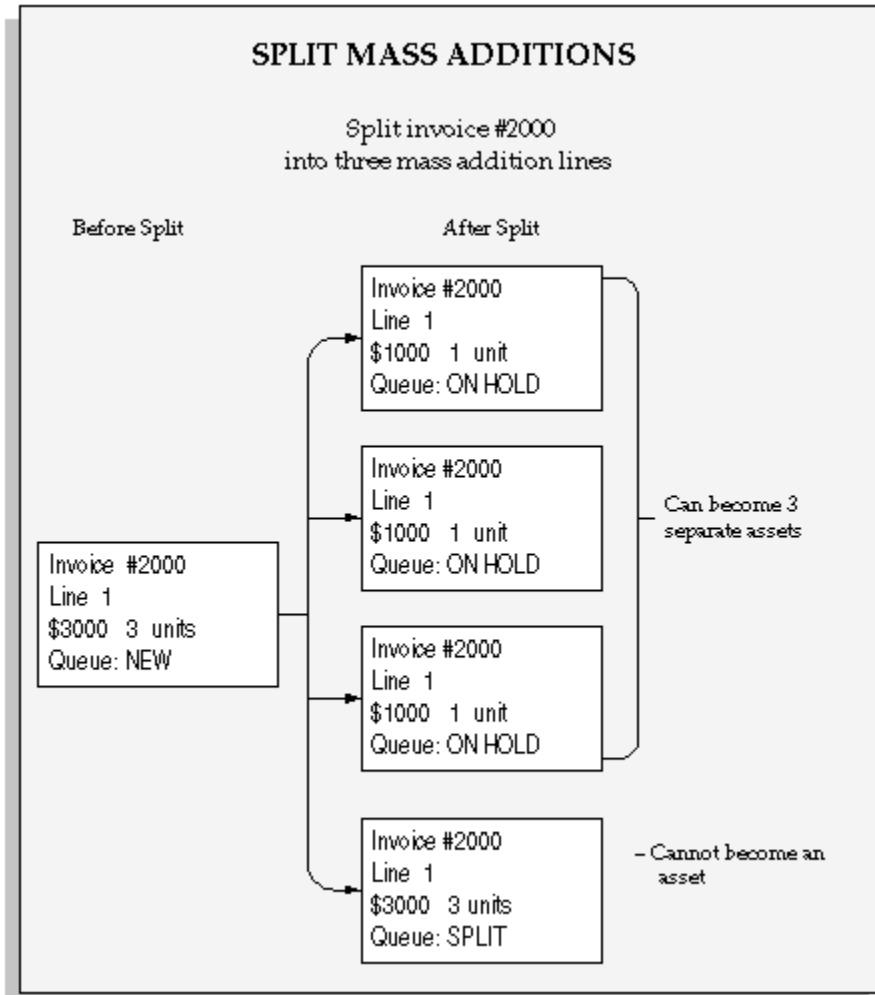
For example, you are asked to split a single mass addition line into three new lines. Prior to the split, the mass addition line has a queue name of NEW. Details for the line are as follows:

- Invoice #2000, Line 1, \$3000, 3 units, Queue = NEW

After the split, you have four mass additions lines. The original line now has a queue name of SPLIT and cannot be made into an asset. The three new lines have a queue name of ON HOLD and can become an asset. Details for the mass addition lines are now as follows:

- Invoice #2000, Line 1, \$3000, 3 units, Queue = SPLIT
- Invoice #2000, Line 1, \$1000, 1 unit, Queue = ON HOLD
- Invoice #2000, Line 1, \$1000, 1 unit, Queue = ON HOLD
- Invoice #2000, Line 1, \$1000, 1 unit, Queue = ON HOLD

The following graphic illustrates the example:



Related Topics

Mass Addition Queues, page 3-29

Reviewing Mass Addition Lines, page 3-45

Post Mass Additions to Oracle Assets

Use the Post Mass Additions to Oracle Assets program to create assets from mass addition lines in the POST queue using the data you entered in the Mass Additions window. It also adds mass additions in the COST ADJUSTMENT queue to existing assets. You can run this program as often as you want during a period.

If you post many mass additions, you can set up Oracle Assets to run more than one process in parallel. For information on the FA: Number Mass Addition Parallel Requests profile option, see: Profile Options and Profile Options Categories Overview, page B-1. The following table describes the effect of posting on each Oracle Assets

mass addition queue name.

Queue Name Before Post	Effect of Post Mass Additions	Queue Name After Post
POST	Creates new asset from mass addition line	POSTED
COST ADJUSTMENT	Adds mass addition line to existing asset	POSTED
MERGED	Mass Addition line already merged	POSTED
SPLIT	Mass Addition line already split; post does not affect	SPLIT
NEW	New mass addition line; post does not affect	NEW
ON HOLD or user-defined queue name	Mass addition line on hold; post does not affect	ON HOLD
DELETE	Mass Addition line awaiting deletion; post does not affect	DELETE

Related Topics

Mass Addition Queues, page 3-29

Reviewing Mass Addition Lines, page 3-45

Posting Mass Addition Lines to Oracle Assets, page 3-53

Clean Up Mass Additions

Delete unwanted mass addition lines

The Delete Mass Additions program removes mass addition lines in the following queues:

- Mass additions in the SPLIT queue for which you have already posted the child mass addition lines created by the split
- Mass additions in the POSTED queue that have already become assets

- Mass additions in the DELETE queue. Note that Oracle Assets does not create a journal entry to clear the clearing account, since the line does not become an asset

Oracle Assets maintains an audit trail by moving lines in the DELETE queue to the interim table FA_DELETED_MASS_ADDITIONS. After you run Delete Mass Additions, these lines no longer appear in the Mass Additions window.

Removing The Audit Trail For Deleted Mass Additions

The Purge Mass Additions from Oracle Assets program removes mass additions from the interim table FA_DELETED_MASS_ADDITIONS. The items in the interim table are the audit trail from the mass addition lines you marked DELETE and removed using Delete Mass Additions. When you purge the interim table, you lose your audit trail. For security, the Purge Mass Additions from Oracle Assets program can only be accessed through the Fixed Assets Administrator standard responsibility.

Related Topics

Reviewing Mass Addition Lines, page 3-45

Posting Mass Additions to Oracle Assets, page 3-53

Deleting Mass Additions from Oracle Assets, page 3-54

About the Mass Additions Interface, page 3-56

Create Mass Additions from Invoice Distributions in Payables

Mass Additions lets you add assets and cost adjustments directly into Oracle Assets from invoice information in Payables. The Create Mass Additions for Oracle Assets process sends valid invoice line distributions and associated discounts from Payables to an interface table in Oracle Assets. Then you review them in Oracle Assets and determine whether to create assets from the lines.

Register your Accounts

Account Type Must Be Asset

You must register the clearing accounts you want to use as Asset accounts in the Segment Values window. The create mass additions process selects Payables invoice line distributions charged to clearing accounts with the type of Asset.

Define Valid Clearing Accounts in Oracle Assets

For each asset category in Oracle Assets for which you want to import invoice line distributions from Payables, define valid asset clearing and construction-in-process clearing accounts. These accounts must be of type Asset. The create mass additions process only imports lines charged to accounts that are already set up in your asset categories.

Using Multiple Ledgers

Payables must be tied to the same ledger as the corporate book for which you want to create mass additions in Oracle Assets. If you use the multiple organization feature and have multiple corporate books in Oracle Assets, ensure that you create mass additions for the correct Oracle Assets corporate book. You cannot create mass additions for tax books.

Define Items with Asset Categories

You can define a default asset category for an item in Purchasing or Inventory. Then when you purchase and pay for one of these items using Purchasing and Payables, the mass additions process defaults this asset category. This is the only time Oracle Assets defaults an asset category for a new mass addition line.

If you want mass addition lines for an item to appear in Oracle Assets with an asset category, you must:

- Define a default asset category for an item in the Item window in Purchasing or Inventory
- Create a purchase order for that item
- Receive the item in either Purchasing or Inventory
- Enter an invoice in Payables and match it to the outstanding purchase order
- Approve the invoice
- Post the invoice to General Ledger

After you run create mass additions, the mass addition line appears with the asset category you specified for the item.

Enter Invoices in Payables

When you enter a new invoice in Payables, if you want the invoice line to be imported to Oracle Assets, you must charge the distribution to a clearing account that is already assigned to an asset category. The line amount can be either positive or negative.

Invoice Description Field

Any additional information you enter in the Description field in the Invoices Summary window in Payables appears in the Description field in the Mass Additions window in Oracle Assets.

Discount line distributions brought over to Oracle Assets automatically have a description of DISCOUNT.

Units

If you enter a purchase order in Purchasing with multiple units and match it completely to an invoice in Payables, the Create Mass Additions process uses the number of units specified by the original purchase order for the mass addition line. Mass addition lines created from invoices entered directly into Payables without matching to a purchase order default to one unit. You can update the number of units in the Mass Additions window.

After you approve and post the invoice in Payables, run the Create Mass Additions for Oracle Assets process to send valid invoice line distributions to Oracle Assets.

Handle Returns

You can easily process and track returns using mass additions. For example, you receive an invoice, post it, and create an asset using mass additions. You then discover that the asset is defective and you must return it.

First you reverse the invoice in Payables, charging the credit invoice line distribution to the same asset clearing account. Then you run mass additions to bring over the credit line. Add this line to the existing asset to bring the asset cost to zero. Now you can retire the asset. The asset does not affect your balance sheet, but its audit trail remains intact.

Conditions For Asset Invoice Line Distributions To Be Imported

For the mass additions create process to import an invoice line distribution to Oracle Assets, these specific conditions must be met:

- The line is charged to an account set up as an Asset account
- The account is set up for an existing asset category as either the asset clearing account or the CIP clearing account
- The Track As Asset check box is checked. (It is automatically checked if the account is an Asset account)
- The invoice is approved
- The invoice line distribution is posted to Oracle General Ledger from Payables
- The general ledger date on the invoice line distribution is on or before the date you specify for the create program
- If you use the multiple organization feature, your Payables operating unit must be tied to the same ledger as the corporate book for which you want to create mass additions.

Conditions For Expensed Invoice Line Distributions To Be Imported

You can create expensed items from expensed invoice line distributions in Oracle Payables. Oracle Assets does not depreciate or create journal entries for expensed items. You cannot change an expensed asset to a capitalized or CIP asset. However, you can change the asset type in mass additions form.

The create mass additions process imports an expensed line only if:

- The invoice line distribution is charged to an Expense account
- Track as Asset is checked
- The invoice is approved
- The invoice line distribution is posted to Oracle General Ledger from Payables
- The general ledger date on the invoice line distribution is on or before the date you specify for the create program
- Your installation of Payables must be tied to the same ledger as the corporate book for which you want to create mass additions

Running the Create Mass Additions For Oracle Assets Program in Payables

You can run Create Mass Additions for Oracle Assets as many times as you like during a period. Each time it sends potential asset invoice line distributions and any associated discount lines to Oracle Assets. Payables ensures that it does not bring over the same line twice.

Use the Post Accounting programs in Oracle Subledger Accounting to determine the line types that should be interfaced to Oracle Assets by the Mass Additions Create program. Please refer to the SLA user guide for more information on the Post Accounting programs.

Important: Verify that you are creating mass additions for the correct corporate book in Oracle Assets, because you cannot undo the process and resend them to a different book.

Payables sends line amounts entered in foreign currencies to Oracle Assets in the converted ledger currency. Since Oracle Assets creates journal entries for the ledger currency amount, you must clear any foreign currency invoices manually in your general ledger. Review the Mass Additions Create Report to see both foreign and ledger currency amounts.

Example

For example, you purchase an asset in euros, and place the asset into service. Oracle

Payables creates a journal entry for the purchase in euros, and sends it to Oracle General Ledger. The conversion rate and journal entry created are included below:

Conversion Rate: 1 EUR = 1.25 USD

Oracle Payables

Dr Asset Clearing EUR 4,000

Cr Accounts Payable Liability EUR 4,000

In Oracle Payables, the amounts are converted to dollars, the ledger currency, and sent to Oracle Assets via the Create Mass Additions process. Oracle Assets creates a journal entry for the asset addition in dollars. The conversion rate and journal entry created are included below:

Conversion Rate: 1 EUR = 1.25 USD

Oracle Assets

Dr Asset Cost USD 5,000.00

Dr Depreciation Expense USD 312.50

Cr Asset Clearing USD 5,000.00

Cr Accumulated Depreciation USD 312.50

In Oracle General Ledger, the Asset Clearing account becomes unbalanced after posting the debit amount in euros and the credit amount in dollars for the asset purchase. The asset purchase journal entry amounts in the Asset Clearing account are included below:

Oracle General Ledger

Dr Asset Clearing EUR 4,000.00

Cr Asset Clearing USD 5,000.00

You must manually clear the unbalanced amounts entered in the Asset Clearing account. You can clear these amounts by creating journal entries to reverse the unbalanced amounts, and bring the Asset Clearing account into balance. The journal entries required to balance the Asset Clearing account are included below:

Oracle General Ledger

Journal Entry 1:

Dr Asset Clearing USD 5,000.00

Cr Asset Cost USD 5,000.00

Journal Entry 2:

Dr Asset Cost EUR 4,000.00

Cr Asset Clearing EUR 4,000.00

Related Topics

Create Mass Additions for Oracle Assets Program (from Oracle Payables), *Oracle Payables User Guide*

About the Mass Additions Interface, page 3-56

Mass Additions Create Report, page 12-73

Entering Basic Invoices, *Oracle Payables User Guide*

Create Mass Additions for Oracle Assets Program (from Oracle Payables), *Oracle Payables User Guide*

Adding an Asset Automatically from an External Source (Mass Additions), page 3-44

Reviewing Mass Addition Lines, page 3-45

Defining Items, *Oracle Inventory User Guide*

Create Mass Additions from Capital Assets in Oracle Projects

You can collect CIP costs for capital assets you are building in Oracle Projects. When you finish building your CIP asset, you can capitalize the associated costs as asset lines in Oracle Projects and send them to Oracle Assets as mass addition lines. When you run the Interface Assets process, Oracle Projects sends valid capital asset lines to the Mass Additions interface table in Oracle Assets. You review these mass addition lines in Oracle Assets and determine whether to create assets from them.

If you use Oracle Projects to build CIP assets, you do not need to create CIP assets in Oracle Assets. For costs that originate in Oracle Payables, you should send CIP costs to Oracle Projects, and capitalized costs to Oracle Assets.

Build Capital Assets in Oracle Projects

You define and build capital assets in Oracle Projects using information specified in the project work breakdown structure (WBS). You define and assign the grouping method and levels for CIP costs to summarize them for capitalization. You can review and adjust the summarized CIP costs if necessary. You also can adjust capital project costs before and after capitalization.

When your CIP asset is built and ready to be placed in service, you can capitalize and send the associated costs as asset lines to Oracle Assets. Oracle Assets places these imported mass addition lines in a holding area, where you can post the capitalized costs to become assets. Now you can begin using and depreciating your assets. You can review detail project transactions associated with the asset lines in both Oracle Projects and Oracle Assets.

Conditions for Project Information to Be Imported

For Oracle Projects to send asset lines to Oracle Assets, the asset line must meet these specific conditions:

- The actual date in service must fall in the current or a prior Oracle Assets accounting period

- The CIP costs for summarized asset lines must be interfaced to Oracle General Ledger
- The CIP costs for supplier invoice adjustments must be interfaced to Oracle Payables
- A CIP asset must be associated with the asset line

Interface Assets Process

You run the Interface Assets process in Oracle Projects to send asset lines to Oracle Assets. This process creates a mass addition line for each asset line in Oracle Projects. It then merges all mass additions for one asset into a single parent mass addition line. All of the mass additions appear in the Prepare Mass Additions window. The merged children have a status of MERGED.

Oracle Assets places the parent mass addition in the POST queue if you completely defined the asset in Oracle Projects, and it is ready for posting. Oracle Assets places the parent mass addition in the NEW queue if the asset definition is not complete; you must enter additional information for the mass addition in the Prepare Mass Additions window, and then update the queue status to POST. You do not need to change the queue status for lines with a status of MERGED.

You can query mass additions by source, project number, and task number in the Mass Additions Summary window. Choose the Project Details button from the Mass Additions window to view detail project information for the mass addition. You can view detail information only for mass additions or assets that have a project number assigned to them. You also can query by source and view project information for the assets created from these mass additions in the Assets, View Assets, Source Lines, View Source Lines, and Tax Workbench windows. You can query by source in the Add to Asset window as well.

Related Topics

About the Mass Additions Interface, page 3-56

Reviewing Mass Addition Lines, page 3-45

Overview of Capital Projects, *Oracle Project Costing User Guide*

Creating and Preparing Asset Lines for Oracle Assets, *Oracle Project Costing User Guide*

Creating a Capital Asset in Oracle Projects, *Oracle Project Costing User Guide*

Sending Asset Lines to Oracle Assets, *Oracle Payables User Guide*

Adjusting Assets After Interface, *Oracle Project Costing User Guide*

Accounting for CIP and Asset Costs in Oracle Projects and Oracle Assets, *Oracle Project Costing User Guide*

Auto Prepare Mass Additions Lines

Auto Prepare Mass Additions Lines Overview

The preparation of mass addition lines can be performed automatically to avoid manual intervention in the mass additions process. The Prepare Mass Additions concurrent program uses the information provided for specific mass addition lines to populate other fields. Oracle Assets uses a standard set of rules for the Auto Prepare Mass Addition Lines process, but also allows you to customize your specific accounting needs. The rules you set up in public API will be used by the Prepare Mass Additions program to derive the data for all required fields.

The Auto Prepare Mass Addition Lines process consists of setting up rules, interfacing mass addition lines, running the Prepare Mass Additions concurrent program, and posting mass additions.

Auto Prepare Mass Additions Lines Process

This section consists of the following topics:

- Set Up Auto Prepare Mass Addition Lines Rules
- Interface Mass Addition Lines
- Run Prepare Mass Additions Concurrent Program
- Post Mass Additions

Set Up Auto Prepare Mass Addition Lines Rules

You need to set up the rules to prepare mass additions through Quickcodes. To set up rules, navigate to Set up > Asset System > Quick Code. The following table describes the rules and set up values for Prepare Automatic Mass Additions.

Rules to Prepare Automatic Mass Additions

Value	Description
Use Default	The Asset Category is derived based on the Asset Clearing Account, provided there is a one-to-one match in the Asset Category setup.

Value	Description
Use Custom	The Prepare Mass Additions concurrent program uses the custom logic coded in the Public API.
Use Custom Energy	The energy industry-specific custom rule.

The Prepare Mass Additions concurrent program processes lines in fa_mass_additions that have a queue status of NEW or ON HOLD.

If you set the Rule to Default, the category is derived through matching the cost clearing account of the line with the cost clearing account defined for the Asset Categories for that Asset Book. There must be a one-to-one mapping for cost clearing account and the asset category.

The Prepare Mass Additions program derives the expense account by taking the clearing account combination and overlaying the natural account segment with the value of the natural account segment of the depreciation expense defined in the category. If the program cannot derive the required information, the Queue status is set to ON HOLD and you can review and make the necessary changes to the asset line.

If you set the rule to Custom: the Prepare Mass Additions program uses the custom logic coded in the Public API.

For information on setting the rule to Energy, see Energy Assets, page 13-107.

Interface Mass Addition Lines

You can interface mass addition lines from Oracle Payables or an external system. For information of interfacing mass addition lines, see Overview of the Mass Additions Process.

Run Prepare Mass Additions Concurrent Program

Once you have created your mass addition lines, run the Prepare Mass Additions concurrent program from the Concurrent Manager. After the Prepare Mass Additions concurrent program is run, you can verify the mass additions data, if needed, and then post the mass additions.

Post Mass Additions

To post mass additions, see Post Mass Additions to Oracle Assets, page 3-34.

Adding an Asset Automatically from an External Source (Mass Additions)

Use the Mass Additions process to add an asset automatically from an external source.

Review new mass addition lines created from external sources before posting them to Oracle Assets. You can also delete unwanted mass addition lines to clean up the system. See: Overview of the Mass Additions Process, page 3-28.

You can also load data into Oracle Assets using the Create Assets Feature in the Applications Desktop Integrator (ADI), which allows you to import data from an Excel spreadsheet.

Create Mass Additions for Oracle Assets Program (from Oracle Payables), *Oracle Payables User Guide*

Sending Asset Lines to Oracle Assets (from Oracle Projects), *Oracle Project Costing User Guide*

Reviewing Mass Addition Lines, page 3-45

Posting Mass Addition Lines to Oracle Assets, page 3-53

Deleting Mass Additions from Oracle Assets, page 3-54

Create Assets Feature (*Oracle Applications Desktop Integrator User's Guide*)

Reviewing Mass Addition Lines

You must review newly created mass addition lines before you can post them to Oracle Assets to become assets. You can place a group of mass additions in the POST, ON HOLD, or DELETE queues all at once. You can also perform a split, merge, or cost adjustment on mass additions before you post them. You can continue to review a mass addition until you post it. To review mass additions that have not yet been posted, run the Unposted Mass Additions or Mass Additions Status Report.

Note: If you want to find mass additions by Invoice Number, PO Number, or Supplier Number in the Find Mass Additions window, your search criteria must match exactly, including capitalization.

Prerequisites

- Create mass additions from external sources. See: About the Mass Additions Interface, page 3-56, Sending Asset Lines to Oracle Assets (from Oracle Projects), *Oracle Project Costing User Guide*, and Mass Additions Create Program (from Oracle Payables), *Oracle Payables User Guide*

Mass Additions

Book: OPS CORP
Transaction Type:
Invoice Number: ERS-8294-136579
Category: COMPUTER-PC
Employee Name:
Expense Account:
Date in Service: 31-AUG-2007 ☒ Depreciate
Queue: NEW
Transaction Date:
Line Number: 1 [..]
Group Asset:
Employee Number:
Location:
Cost: 35,912.00

Source **Asset Details** **Depreciation**

Method: STL
Life Years: 3
Life Months: 0
YTD Depreciation:
Accumulated Depreciation:
Prorate Convention: MID-MONTH
Bonus Rule:
Depreciation Limit Type:
Limit Amount:
Percent:
Salvage Value Type:
Salvage Value:
Salvage Value Percent:

Project Details... Assignments... Cancel Done

To review a mass addition line:

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Find mass additions with the queue name NEW, ON HOLD, or user-defined hold queue in the Find Mass Additions window.

Note: If you want to find mass additions by Invoice Number, PO Number, or Supplier Number, your search criteria must match exactly, including capitalization.

3. Choose the mass addition line you want to review, and choose Open.
4. Optionally enter additional mass addition source, descriptive, and depreciation information.
5. If this mass addition was created from Oracle Projects, you can choose the Project Details button to review associated project information.

Assignments

Invoice Number **1001782** Line Number **1**
 Book **OPS CORP** Total Units **4**

Distribution Set ☐ Show Merged Distributions

Units Assigned **4** Units Remaining **0**

Distributions

Units	Employee Name	Employee Number	Expense Account	Location
4	Stock, Ms. Pat	24	01.410.7340.0000.000	USA.CA.SAN FRANCISCO

Cancel Done

6. If you want to assign this mass addition to multiple distributions, or you want to review or change existing distributions, choose the Assignments button.

Note: You can only view the distribution for a merged parent or a merged child one at a time in the Assignments window; however, if you check Show Merged Distributions, Oracle Assets displays all the distributions of both the parent and children.

In the Assignments window, manually enter or change the distribution(s) for the mass addition line. To automatically assign a predefined distribution set to your mass addition line, use the Distribution Set poplist. See: Assignments, page 3-11.

Choose Done to save your work and return to the Mass Additions window.

7. Change the queue name.

If you are ready to turn a mass addition line into an asset, change the queue name to POST. While you are processing, you can put a mass addition line in the ON HOLD or a user-defined queue. If you want to delete an unwanted line, assign it to the DELETE queue.

8. Save your work.

To place a group of mass additions in the POST, ON HOLD, or DELETE queue:

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Use the Find Mass Additions window to query the group of mass additions you want to place in the POST, ON HOLD, or DELETE queue. Oracle Assets displays the mass additions that meet your search criteria in the Mass Additions Summary window.
3. From the menu, choose Special, Post All, Hold All, or Delete All.

Caution: Oracle Assets places EACH mass addition that meets your search criteria into the queue you specify.

Post All: Oracle Assets checks each mass addition, ensures that it is prepared for posting, and places it in the POST queue. If it encounters a problem with a mass addition, Oracle Assets alerts you with an error message and terminates the Post All process. Note that this mass addition and all other subsequent mass additions are **not** yet in the POST queue.

For example, if you choose to Post All, and Oracle Assets alerts you that a mass addition is incomplete, you can supply the missing information for it in the Mass Additions window, save your work, return to the Mass Additions Summary window, and choose Special, Post All from the menu to resume the process.

If you receive an error message and you want to omit a mass addition from the Post All process, you can use Edit, Clear Record from the menu to clear the mass addition from the Mass Additions Summary window. Choose Special, Post All from the menu to resume the process.

Delete All: You may want to review the mass additions you query in the Mass Additions Summary window **before** you choose Delete All, since this process automatically places each mass addition that meets your search criteria in the DELETE queue.

Asset Number	Tag Number	Description	Category	Units	Asset Type	Manufacturer	Serial Number
104148		CAPITALIZA	TENANT IMPR	1	CAPITA...		

☒ Amortize Adjustment
☐ New Category and Description

Cancel Done

To add a mass addition line to an existing asset:

Note: You can only perform cost adjustments for mass additions in the NEW, ON HOLD, or user-defined hold queues.

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Find the mass addition(s) for this transaction in the Find Mass Additions window.
3. Choose the mass addition line you want to add to an existing asset as a cost adjustment.
4. Choose Add to Asset.
5. Query and choose the asset to which to add the line. You can find assets by Asset Detail, Assignment, Source, and Lease.
6. Choose whether to amortize or expense the adjustment to the existing asset.
7. Check New Category and Description to change the category and description of the existing asset to those of the mass addition you are adding as a cost adjustment.
8. Save your work.
9. Choose Open and change the queue name to POST.
10. Save your work.

To undo an addition to an existing asset:

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Find the mass addition(s) for this transaction in the Find Mass Additions window.
3. Choose the cost adjustment you want to undo in the Mass Additions window.
4. Choose Remove from Asset.
5. Save your work.

Invoice Number 123456 Line Number 1

Units 5 Line Amount 12,500.00

Merged Units 5 Total Merged Cost 37,500.00

☐ Sum Units

Lines

Merged

Queue	Invoice Number	Line	Cost	Description
☒ MERGED	123456	2	25,000.00	DESK - CAPITALIZABLE, TA
☐				
☐				
☐				
☐				
☐				
☐				

Cancel Done

To merge mass addition lines:

Note: You can only merge mass additions in the NEW or ON HOLD queues.

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Find the mass addition(s) for this transaction in the Find Mass Additions window.
3. Choose the mass addition line **into** which you want to merge other lines (the merged parent).

4. Choose Merge.
5. Choose whether to sum the number of units or keep the original number of units for the line. The Units field shows the total units for the new merged mass addition, depending on the value of the Sum Units check box. The Merged Units field displays the sum of children's units only.

If you are merging a **multi-distributed** mass addition, and you do not check the Sum Units check box, Oracle Assets uses the distribution of the merged parent for the new merged mass addition line. If you check the Sum Units check box, Oracle Assets uses BOTH the merged parent and child distributions for the new merged mass addition line.

If you are adjusting the cost of a parent mass addition, and Sum Units is checked, you are cost adjusting the SUM. Otherwise, the adjustment difference is applied to the parent line only.

6. In the Merged Lines block, choose the line(s) you want to merge into the merged parent. If you want to merge **all** the lines, choose Special, Merge All from the menu.

Oracle Assets assigns the line(s) to the MERGED queue.

Note: If you use the default query or blind query, only the other lines in the same invoice are shown. Use Query - Run with a % in any field to bring up all potential invoice lines for the same book.

7. Save your work.

To undo a merge:

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Find the mass addition(s) for this transaction in the Find Mass Additions window.
3. Choose the merged parent(s) you want to undo.
4. Choose Merge.
5. Uncheck the line(s) for which you want to undo the merge. If you want to unmerge **all** the lines, choose Special, Unmerge All from the menu.
6. Save your work. Oracle Assets changes the queue name for the unmerged lines to

the original queue name before the merge.

To split a mass addition line:

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Find the mass addition(s) for this transaction in the Find Mass Additions window.
3. Choose the mass addition line that you want to split.
4. Choose Split. Oracle Assets splits the line into multiple single-unit mass addition lines. Review the new lines in the Mass Additions window.

Note: This also splits any merged children on the line, and keeps them merged into the split child.

If you split a multi-distributed mass addition line, Oracle Assets proportionately divides each split child's unit between all of the parent's distributions.

To undo a previously split mass addition line:

- Choose the split mass addition line you want to undo in the Mass Additions window. Choose Undo Split. You can undo a split only before posting the split children.

Related Topics

Overview of the Mass Additions Process, page 3-28

Mass Additions Queues, page 3-29

Asset Descriptive Details, page 3-2

Financial Information (Books), page 3-5

Assignments, page 3-11

Defining Distribution Sets, page 11-194

Recoverable Cost Adjustments (Journal Entry Examples), page 8-13

Create Mass Additions from Invoice Distribution Lines in Oracle Payables, page 3-36

Create Mass Additions from Capital Assets in Oracle Projects, page 3-41

Posting Mass Addition Lines to Oracle Assets, page 3-53

Deleting Mass Additions from Oracle Assets, page 3-54

Mass Additions Reports, page 12-71

Sending Asset Lines to Oracle Assets (from Oracle Projects), *Oracle Project Costing User Guide*

Create Mass Additions for Oracle Assets Program (from Oracle Payables), *Oracle Payables User Guide*

Posting Mass Addition Lines to Oracle Assets

When you post mass additions, Oracle Assets creates assets from your mass additions in the POST queue and adds mass additions in the COST ADJUSTMENT queue to existing assets.

Prerequisites

- Create mass additions from external sources. See: About the Mass Additions Interface, page 3-56, Sending Asset Lines to Oracle Assets (from Oracle Projects), *Oracle Project Costing User Guide*, and Mass Additions Create Program (from Oracle Payables), *Oracle Payables User Guide*
- Review mass additions. See: Reviewing Mass Addition Lines, page 3-45.

To post mass addition lines to Oracle Assets:

1. Choose Mass Additions > Post Mass Additions from the Navigator.
2. In the Parameters window, specify the corporate book for which you want to post your mass additions.

If your corporate book is not listed in the list of values, one of the errors shown in the following table may have occurred:

Error	Solution
No mass additions lines in the post queue.	Navigate to the Mass Additions window and change the queue to POST for the mass additions that are ready to be posted.
The corporate book is not effective for these mass additions lines	Check the effective date range of the corporate book in the Book Controls window.
Depreciation has been run with errors.	Fix the errors and resubmit Depreciation. When Depreciation has been run successfully, re-submit Post Mass Additions.

Error	Solution
Depreciation is currently running for the corporate book you specified.	Wait until Depreciation completes successfully, then re-submit Post Mass Additions.

3. Choose Submit to submit a concurrent process to post your mass additions to Oracle Assets.

When the program completes successfully, Oracle Assets automatically runs the Mass Additions Posting Report, which gives you an audit trail of the processed mass additions.

4. Review the log file and report after the request completes.

Related Topics

Reviewing Mass Addition Lines, page 3-45

Overview of the Mass Additions Process, page 3-28

Mass Additions Reports, page 12-71

Mass Additions Posting Report, page 12-74

Unposted Mass Additions Report, page 12-76

Deleting Mass Additions from Oracle Assets

The Delete Mass Additions program removes mass additions in the DELETE and POSTED queues. It also removes SPLIT parents if the split children have been posted or deleted. The program archives mass additions in the DELETE queue only to an audit trail table, FA_DELETED_MASS_ADDITIONS.

Note: Lines assigned to the DELETE queue do not get journal entries; you must clear them manually.

Prerequisites

- Change queue name to DELETE for unwanted or erroneous mass addition lines in the Mass Additions window. See: Reviewing Mass Addition Lines, page 3-45.
- Run the Delete Mass Additions Preview Report.

To delete mass additions from Oracle Assets:

1. Choose Mass Additions > Delete Mass Additions from the Navigator.
2. In the Parameters window, specify the corporate book for which you want to clean up mass additions.
3. Choose Submit to submit a concurrent process to remove the lines.

When the program completes successfully, Oracle Assets automatically runs the Mass Additions Delete Report, which gives you an audit trail of the processed mass addition lines.
4. Review the log file and report after the request completes.

To purge the audit trail for deleted mass additions:

1. Change Responsibilities to Fixed Assets Administrator.
2. Choose Purge > Mass Additions from the Navigator.
3. Enter the Batch Number of the Create Mass Additions batch associated with the deleted mass additions for which you want to purge the audit trail from Oracle Assets. The create batch number is on the Mass Additions window and the Create Mass Additions Report.
4. Choose Submit to submit a concurrent process that removes archived lines from the audit trail table for deleted mass additions.

When the program completes successfully, Oracle Assets automatically runs the Mass Additions Purge Report, which lists the mass addition lines you purged.
5. Review the log file and report after the request completes.

Related Topics

Reviewing Mass Addition Lines, page 3-45
Overview of the Mass Additions Process, page 3-28
Mass Additions Queues, page 3-29
Mass Additions Reports, page 12-71
Delete Mass Additions Preview Report, page 12-72
Mass Additions Delete Report, page 12-72

About the Mass Additions Interface

You can create assets automatically from information in any other system using Mass Additions. Oracle Assets is already integrated with Oracle Payables; you can easily integrate it with other payables systems. You can also use the mass additions process to convert your assets from an outside system to Oracle Assets.

Important: Plan your conversion carefully and thoroughly, since you cannot undo it.

Create Assets From Oracle Payables

The Create Mass Additions program creates mass additions from invoice information in Oracle Payables. The concurrent process places the new mass additions in a holding area (the table FA_MASS_ADDITIONS) that is separate from the main Oracle Assets tables, so that you can review and approve the mass additions before they become asset additions.

Create Asset Additions From Another Payables System

To integrate Oracle Assets with another system, develop your own program to add mass additions to the FA_MASS_ADDITIONS table. Also, you may want to add another window to the Oracle Assets menu to run your concurrent process. A description of the columns in the FA_MASS_ADDITIONS table is included later in this essay.

Convert From Other Systems

Oracle Assets lets you convert from your previous asset system using mass additions. Instead of loading your asset information into multiple Oracle Assets tables, load your information into the FA_MASS_ADDITIONS table and use the mass additions process to simplify your work.

Use Mass Additions to Import Your Asset Data

The Mass Additions feature of Oracle Assets is normally used to import asset information from Oracle Payables. Mass Additions automatically populates the many Oracle Assets tables from the relatively simple FA_MASS_ADDITIONS table. By placing your data in this table, you can use the power of the Post Mass Additions to Oracle Assets program to perform the bulk of your import.

Mass Additions has three main components:

- **Create:** finds potential new assets in Oracle Payables and brings them into the FA_MASS_ADDITIONS table

- **Prepare:** allows you to review potential new assets and enter additional information
- **Post:** creates assets by importing asset information from the FA_MASS_ADDITIONS table into several Oracle Assets tables

To import asset information from another payables system, load the FA_MASS_ADDITIONS table and then use Prepare and Post to add your assets to Oracle Assets.

To convert assets from another assets system, use only the Post component to move the asset information you store in the FA_MASS_ADDITIONS table into Oracle Assets.

Data Import Checklist

Complete these steps to import your asset data into Oracle Assets.

1. Plan your import. See: Planning Your Import., page 3-57
2. Define your Oracle Assets setup information and perform the Oracle Assets setup process. See: Defining Oracle Assets for Mass Additions., page 3-59
3. Load your asset data into an interim table or file you define. See: Loading Your Asset Data., page 3-63
4. Import or load your asset data from the interim table or file into FA_MASS_ADDITIONS. See: Importing Your Asset Information., page 3-87
5. Reconcile your Oracle Assets data with your old asset information. See: Finishing Your Import., page 3-92

Related Topics

FA_MASS_ADDITIONS Interface Table, page 3-65

Planning Your Import

You must plan each step of the import process. Prepare a complete step-by-step procedure to follow, with distinct checkpoints.

1. Decide when to begin your import project. Schedule it when you are able to devote enough time to complete the entire import process.
2. Determine who, if not you, can make the decisions required to complete the definition phase found in the next section. Ensure that you have the correct person available to make these decisions.
3. Schedule and confirm the computer resources you need, well in advance. Specifically, ensure that you have:

- Disk space sufficient to handle multiple copies of your asset data
 - Access to a terminal
 - Access to a media drive (if required)
 - Sufficient CPU and memory to handle the database operations you perform as part of the import
 - Access to operating system documentation
4. Know the status of your Oracle Assets installation.

Oracle Assets must be installed and confirmed before your import. If you plan an install, consult your Oracle Applications Installation Manual for complete installation instructions. Determine if you are using Oracle General Ledger and if it is installed and set up.
 5. Know in what form the other system stores its data, and what tools are available to convert that data, so you can plan the conversion of the existing asset data into a form that SQL*Loader can read.
 6. Know the number of assets, categories, locations, and exceptions in your data. You need these numbers to estimate the amount of time required for the import.
 7. Define an import schedule and procedure.

Estimate how long it will take you to complete your import. Base your schedule on the information you gained in the preceding steps. Try to include a buffer in your schedule in case you have difficulty during the import.
 8. Ensure that all parties agree on the schedule.
 9. Complete your schedule documentation. It should clearly state the start and end dates for each major step, and the amount of time for each detail step.

Related Topics

About the Mass Additions Interface, page 3-56

Defining Oracle Assets for Mass Additions, page 3-59

Loading Your Asset Data, page 3-63

FA_MASS_ADDITIONS Interface Table, page 3-65

Importing Your Asset Information, page 3-87

Finishing Your Import, page 3-92

Defining Oracle Assets for Mass Additions

Defining Oracle Assets is the most important phase of a conversion, so take sufficient care to make decisions that you can live with in the long term. Complete the following steps to define Oracle Assets before you begin importing your asset data:

During this phase, make important business decisions about how to define Oracle Assets and then actually perform the setup process.

1. Define your Account structure.

Most sites do not run Oracle Assets as a stand-alone system, so an account flexfield may already exist for your Oracle General Ledger. If you plan to run Oracle Assets as a stand-alone system, you need to define the account.

2. Define your location flexfield.

Most companies plan to do business internationally, if they do not already, so the location flexfield must begin with the country. State, possibly county, city, and site are the typical segments of a location flexfield. Many companies find it useful to pinpoint the exact building and room for some assets, for example, for barcoding. Add these segments if needed.

3. Define your category flexfield.

Most companies prefer to set up categories which match their chart of accounts. Each chart account defines a major category. Usually the first segment, or major category, corresponds to the asset accounts in the company's chart of accounts. Define at least one subcategory segment to allow for distinctions within a major category. You can define up to seven segments if necessary.

You probably want to set up no more than 3 category segments due to maintenance issues, and limited reporting space on Oracle Assets reports.

Potential uses for a subcategory segment include such information as personal/real, capitalized/expensed, owned/leased, project numbers, foreign, and luxury items.

4. Define your asset key flexfield.

A company may have a system for grouping similar assets. Many companies find it useful to group assets associated with a specific project, department, or location. For example, you can use the asset key flexfield to track your construction-in-process assets. Define an asset key flexfield that describes asset groups in your organization.

If you do not choose to track assets using the asset key, define a one segment asset key flexfield without validation. Then, when you navigate to the asset key flexfield on a window, the flexfield window does not open and you can return through the field. You can define up to ten segments for the asset key flexfield if required.

5. Define default locations, cost centers, asset key flexfield combinations and suppliers.

If you track this information electronically, set up each location, expense code combination, asset key flexfield combination, and supplier before import. If you do not already track this information, define default values. The defaults you define are used in place of actual values until the actual value is known.

- **Default Location**

Many companies do not currently track asset location. If you do not, then set up a default location to be used in the import. Once the assets are imported, you can locate the assets by performing an asset inventory and then transfer the assets from the default location to the actual location. If you already track location, then set up each location before import.

- **Default Cost Center**

Some companies do not track assets on a cost center level. If you do not, then set up a default cost center for your incoming assets. To define the default cost center, create a code combination in each depreciation expense account for the default cost center. When you start tracking assets by cost center, you can transfer each asset from the default cost center the actual one. If you already track assets by cost center, create each expense account code combination.

- **Default Asset Key Flexfield Combination**

Some companies do not use the asset key flexfield. If you do not, then define a default combination to be used for incoming assets. Give the default combination an 'inactive date' so you do not use the combination accidentally at a future time. If you start using the asset key flexfield, you can change the combination from the default combination to the actual one. If you already use the asset key flexfield, create each asset key flexfield combination.

- **Default Suppliers**

Many companies do not track suppliers on an asset level. If you do not, then define a default supplier to be used for incoming assets. Give the default supplier an 'inactive date' so you do not use the supplier name accidentally at a future time. When you start tracking asset suppliers, you can change the supplier from the default supplier to the actual one. If you already track asset suppliers, then enter all suppliers for all incoming assets. If you use Oracle Payables or Oracle Purchasing, your suppliers are already defined there and Oracle Assets shares the information.

6. Define when to perform the initial depreciation run.

Typically, the best time for the initial depreciation run after a conversion is the end of the fiscal year just before the current one. This year provides accumulated depreciation numbers that you can reconcile with your company's financial statements. It also ensures that the year-to-date numbers on your reports are correct during the current fiscal year.

Decide whether to enter assets with accumulated depreciation, or enter them without accumulated depreciation and let Oracle Assets calculate it for you. If you do not enter accumulated depreciation, Oracle Assets calculates the accumulated depreciation and revaluation reserve if necessary the first time you run depreciation. If you enter your assets with accumulated depreciation, Oracle Assets does not recalculate it, unless you make an adjustment to that asset. You must enter the correct accumulated depreciation.

Year-to-date numbers are important because the Depreciation program expenses all the catchup depreciation to the period in which it is run. If you enter your assets without accumulated depreciation, the first time you run depreciation, the depreciation expense is equal to the accumulated depreciation. The first period absorbs that one-time expense and, since the result from that period is not be posted to the general ledger, the general ledger is not affected and your year-to-date numbers in the next year are correct in Oracle Assets.

When you want to use the values for accumulated depreciation from the old assets system, you should start with the first period of the current fiscal year. Otherwise, your year-to-date values will not include the year-to-date depreciation you specify in the FA_MASS_ADDITIONS table.

You determine the initial depreciation period when you set up your books using the Book Controls window. Enter the period of your initial depreciation period in the Current Period Name field.

7. Define your asset numbering scheme.

Determine if you want to use your own asset numbering system, or if you want to use Oracle Assets automatic numbering system. In either case you must choose a starting value for automatic numbering in the System Controls window. Even if you do not use automatic numbering for the conversion, Oracle Assets uses the value internally as the ASSET_ID, so you must still choose the starting value carefully. You must use a value that is large enough to leave sufficient asset numbers unclaimed by automatic numbering. However, you cannot use asset numbers larger than 2,000,000,000.

If you do use automatic numbering, enter a value on the System Controls window that is the starting value you want to use plus the number of assets you are converting. By entering a value larger than you use for any conversion asset, you ensure that Oracle Assets does not try to assign an existing asset ASSET_ID to a newly added asset after the conversion. Using specific ranges of numbers for groups of assets makes it easier to keep track of related items.

8. Define your depreciation methods for all assets in all books.

Determine the depreciation methods for all assets in all books. Oracle Assets seeds most depreciation methods, but you must enter any customized method. Decide what depreciation method, prorate convention, and other depreciation rules will be used for each asset in each book. You must set up the depreciation methods and

rates, depreciation ceilings, investment tax credit rates, prorate conventions, and price indexes you will need before you can define your categories.

9. Define your asset categories.

Use category names that match the corresponding chart asset account. Define subcategories so that all the assets in a subcategory have the same depreciation method, prorate convention, and other depreciation rules. For assets in your tax books that you acquired under different, past tax laws, you can set up the asset category with different depreciation rule defaults for different date placed in service ranges. The asset category and date placed in service determine the depreciation rule defaults for an asset.

You need to set up categories because the Mass Additions Posting program gets depreciation method information for each asset from the defaults defined in the Asset Categories window.

If you have only a few assets that use a particular depreciation method, you do not necessarily need to define a separate category for them. Instead, you can place them in another category and then manually change the depreciation information using the Books window before you run depreciation for the first time. Note that you should place these assets in a compatible category because the asset and reserve accounts are determined by your category choice, and the capitalize flag and the category type cannot be changed on the Books window.

For each book, create a plan to give all assets the correct depreciation information. Most assets should receive the correct information from the category books values. You can change the depreciation information for individual exceptions. Create your categories to minimize the number of individual transactions.

Try to keep the major category names short, ideally less than 20 characters, since Oracle Assets reports print only a limited number of characters for the category.

10. Define your Oracle Assets installation.

Complete the standard setup procedure with the information you obtained in the previous steps.

11. Define your asset key values.

Define values for your Asset Key flexfield that describe the different groups of assets within the company. Many companies find it useful to group assets associated with a specific project, department, or location. You can use the asset key flexfield to track your construction-in-process assets.

Related Topics

About the Mass Additions Open Interface, page 3-56

Planning Your Import, page 3-57

Loading Your Asset Data, page 3-63

FA_MASS_ADDITIONS Interface Table, page 3-65

Importing Your Asset Information, page 3-87

Finishing Your Import, page 3-92

Loading Your Asset Data

This section describes how to define, load, and confirm your interim asset table. In many cases you have to load asset information into the Oracle7 tables from a non-Oracle file system. This section shows you how to use SQL*Loader to import your information. Complete the following steps to load your asset data:

Note: If you are using Multiple Reporting Currencies (MRC), when loading the FA_MASS_ADDITIONS table with data from a legacy system (a feeder system other than Oracle Payables or Oracle Projects), you must also load the FA_MC_MASS_RATES table. For each mass addition line in FA_MASS_ADDITIONS, you need to provide exchange rate information in the FA_MC_MASS_RATES table for each reporting ledger associated with the corporate book into which the assets will be added. It is recommended that you use the calculated exchange rate, not the official exchange rate, for each ledger. This will minimize rounding issues. See: *Multiple Reporting Currencies in Oracle Applications*, *Multiple Reporting Currencies in Oracle Applications*.

1. Define your interim table in the Oracle database.

Use a single interim table if possible. You can use multiple tables if the data exists in multiple tables or files in the old asset system. In either case, you must eventually place the data in a single table, the FA_MASS_ADDITIONS table.

If you wish, you may load data directly into FA_MASS_ADDITIONS, but it is more difficult due to the complexity of the table.

2. Load your interim table (Using SQL*Loader if asset data is external).

Use SQL*Loader to import information from outside your Oracle database. SQL*Loader accepts a number of input file formats and loads your old asset data into your interim table.

If the data already resides within an Oracle database, there is no need to use SQL*Loader. Simply consolidate the asset information in your interim table using SQL*Plus or import, and go directly to .

Follow these steps if you plan to use SQL*Loader:

- **Get the asset information in text form**

Most database or file systems can output data in text form. Usually you can generate a variable or fixed format data file containing comma or space delimiters from the existing system. If you can't find a way to produce clean text data, try generating a report to disk, using a text editor to format your data. Another option is to have SQL*Loader eliminate unnecessary information during its run. If there is a large volume of information, or if the information is difficult to get in a loadable format, you can write your own import program. Construct your program to generate a SQL*Loader readable text file.

- **Create the SQL*Loader control file**

In addition to the actual data text file, you must write a SQL*Loader control file. The control file tells SQL*Loader how to import the data into your interim table. Be sure to specify a discard file if you are planning to use SQL*Loader to filter your data.

- **Run SQL*Loader to import your asset data**

Once you have created your asset data file and SQL*Loader control file, run SQL*Loader to import your data. SQL*Loader produces a log file with statistics about the import, a bad file containing records that could not be imported due to errors, and a discard file containing all the records which were filtered out of the import by commands placed in the control file.

3. **Compare record counts and check the SQL*Loader files.**

Check the number of rows in the interim table against the number of records in your original asset data file or table to ensure that all asset records are imported.

The log file shows if records were rejected during the load, and the bad file shows which records were rejected. Fix and re-import the records in the bad file.

4. **Spot check interim table.**

Check several records throughout the interim table and compare them to the corresponding records in the original asset data file or table. Look for missing or invalid data. This step ensures that your data was imported into the correct columns and that all columns were imported.

Related Topics

About the Mass Additions Interface, page 3-56

Planning Your Import, page 3-57

Defining Oracle Assets for Mass Additions, page 3-59

FA_MASS_ADDITIONS Interface Table, page 3-65

Importing Your Asset Information, page 3-87

Finishing Your Import, page 3-92

FA_MASS_ADDITIONS Interface Table

The database definition of the FA_MASS_ADDITIONS table does not require that you provide values for any columns, but in order for the Mass Additions Posting program to work properly, you must follow the rules in the following list of column descriptions. The Mass Additions Posting program uses some of the columns in the FA_MASS_ADDITIONS table, so these columns are marked NULL. Do not import your data into columns marked NULL. You must fill columns marked REQUIRED before you run Mass Additions Post.

You can either load the column directly from your other system, or you can fill in some values in the Mass Additions window before you post. Columns marked OPTIONAL are for optional asset information that you can track if you want. VARCHAR2 columns are case sensitive.

Column Name	Null	Type	Comments
ACCOUNTING_DATE	Null	DATE	Required. Use this column for the accounting date of the invoice. The Unposted Mass Additions Report reports on this date.
ADD_TO_ASSET_ID		NUMBER(15)	Do not use this column.
ADJUSTED_RATE		NUMBER	Actual rate used to calculate the depreciation for flat rate method.

Column Name	Null	Type	Comments
ALLOWED_DEPRN_LIMIT		NUMBER	Depreciation limit percentage for the asset.
ALLOWED_DEPRN_LIMIT_AMOUNT		NUMBER	Depreciation limit amount for the asset.
AMORTIZATION_START_DATE		DATE	Optional. This column indicates the date to start amortizing the net book value for the asset, if the AMORTIZE_NBV_FLAG column is set to Yes.
AMORTIZE_FLAG		VARCHAR2(3)	Optional. Use this column to determine whether an asset should be amortized. This column should be set to yes if either the AMORTIZATION_START_DATE or the AMORTIZE_NBV_FLAG columns contain values.
AMORTIZE_NBV_FLAG		VARCHAR2(1)	Optional. Use this column to determine whether to enable the asset to amortize the net book value over the remaining useful life

Column Name	Null	Type	Comments
AP_DISTRIBUTION_ LINE_NUMBER		NUMBER(15)	Optional. Use this column for the distribution line number. The value must be a valid in the AP_DISTRIBUTION_ LINE_NUMBER column on the table AP_INVOICE_DISTRIBUTIONS, and tied to the INVOICE_ID given above.
ASSET_CATEGORY_ ID		NUMBER(15)	Required. Use this column for the category id that corresponds with the asset category of the asset. See: Importing Your Asset Information , page 3-89.
ASSET_ID	Null	NUMBER(15)	Do not use this column.
ASSET_KEY_CCID		NUMBER(15)	Use this column for the code combination id that corresponds to the asset key. Use an enabled value from the CODE_COMBINATION_ID column of the FA_ASSET_KEYWORD table.

Column Name	Null	Type	Comments
ASSET_NUMBER		VARCHAR2(15)	Optional. This column is a unique external identifier for assets. If you enter a value in this column it is used for asset numbering. The numbers you supply must be unique. It identifies the asset in Oracle Assets windows and reports. If you leave this column blank Oracle Assets assigns an asset number using automatic numbering, in which case the asset number is the same as the asset id.
ASSET_TYPE		VARCHAR2(11)	Use this column for the asset type of the asset. Enter one of the following values: Capitalized: For your capitalized assets. CIP: For your construction-in-process (CIP) assets. Expensed: For your expensed assets. Group: For your group assets.

Column Name	Null	Type	Comments
ASSIGNED_TO		NUMBER(15)	Optional. Use this column for the employee id of the employee responsible for this asset. Use a value from the EMPLOYEE_ID column in FA_EMPLOYEES. Note that EMPLOYEE_ID is the unique internal identifier, and not the same as the external identifier EMPLOYEE_NUMBER.
ATTRIBUTE_CATEGORY_CODE	Null	VARCHAR2(30)	Do not use this column.
ATTRIBUTE1 through ATTRIBUTE30		VARCHAR2(150)	Optional Use these columns to copy the Asset Workbench descriptive flexfield segments setup on the Asset Workbench. To access these values in the Asset Workbench, you need to define the descriptive flexfield on the Asset Workbench. The values stored in ATTRIBUTE1 through ATTRIBUTE30 are copied to the columns in FA_ADDITIONS.
BASIC_RATE		NUMBER	Base rate used to calculate the depreciation amount for flat rate.

Column Name	Null	Type	Comments
BEGINNING_NBV	Null	NUMBER	Do not use this column.
BONUS_DEPRN_RESERVE		NUMBER	Optional. This column contains the bonus depreciation reserve for the asset. This amount should also be included in the DEPRN_RESERVE column.
BONUS_RULE		VARCHAR2(30)	Name of the bonus rule for the asset.
BONUS_YTD_DEPRN		NUMBER	Optional. This column contains the year-to-date bonus depreciation expense for the asset. This amount should also be included in the YTD_DEPRN column.
BOOK_TYPE_CODE		VARCHAR2(15)	Required. Use this column for the book to which you want to assign the asset. You must choose a book that you have set up in the Book Controls window, and the book class must be CORPORATE. Values in this column must be in upper case.
CONTEXT		VARCHAR2(210)	Optional. Use this column for the date you load this asset into the FA_MASS_ADDITIONS table.

Column Name	Null	Type	Comments
CONVERSION_DATE		DATE	Optional. This column indicates the date the short fiscal year asset was added to the acquiring company.
CREATE_BATCH_DATE		DATE	Optional. Use this column for the date you load this asset into the FA_MASS_ADDITIONS table.
CREATE_BATCH_ID		NUMBER(15)	Optional. Use the value 1 for this column to distinguish it from subsequent Mass Additions for a conversion, or use the same number for all mass additions from your payables system that you load at once.
CREATED_BY		NUMBER(15)	Required. Use the value 1 in this column, or the specific user id of the person working on the import.
CREATION_DATE		DATE	Required. Use this column for the date you load this asset into the FA_MASS_ADDITIONS table.
CUA_PARENT_HIERARCHY_ID		NUMBER	CRL users should use this column to assign the asset to a hierarchy parent node.

Column Name	Null	Type	Comments
DATE_PLACED_IN_SERVICE		DATE	Required. Use this column for the date you placed the asset in service.
DEPRECIATE_FLAG		VARCHAR2(3)	Required. Use this column to indicate if you want Oracle Assets to depreciate this asset. If you want to calculate depreciation on this asset, enter YES in this column. If you do not want to calculate depreciation, enter NO.
DEPRN_LIMIT_TYPE		VARCHAR2(30)	Depreciation limit type of the asset, such as the amount or percent.
DEPRN_METHOD_CODE		VARCHAR2(12)	Name of the depreciation method for the asset.
DEPRN_RESERVE		NUMBER	Optional. Use this column for the accumulated depreciation of the asset as it currently appears in your general ledger. You can enter a value, or have Oracle Assets calculate it. For CIP, expensed and group assets, you must enter zero or leave it blank.
DESCRIPTION		VARCHAR2(80)	Required. Use this column for a description of the asset.

Column Name	Null	Type	Comments
DIST_NAME		VARCHAR2(25)	Optional. Use this column to indicate the name of the distribution set.
EXPENSE_CODE_COMBINATION_ID		NUMBER(15)	Required. Use this column for the code combination id of the general ledger account to which depreciation expense should be charged. See: Importing Your Asset Information , page 3-88.
FEEDER_SYSTEM_NAME		VARCHAR2(40)	Optional. Use this column to note that this asset came from a import process. Use a word like CONVERSION or PAYABLES to denote the nature of the import.

Column Name	Null	Type	Comments
FIXED_ASSETS_COST		NUMBER	Required. Use this column for the cost of the asset as it currently appears in your general ledger. For group assets, you must enter zero or leave it blank. The cost of a group asset is derived from the sum of all member assets when the member assets are assigned to the group. For group assets, you must enter zero or null. The cost of a group asset is the sum of the assigned member asset costs.
FIXED_ASSETS_UNITS		NUMBER(15)	Required. Use this column for the number of units that make up the asset. You must use a positive integer value.
FULLY_RSVD_REVALS_COUNTER		NUMBER	Optional. Use this column for the number of times you have revalued this asset as fully reserved. If you do not revalue your assets, do not use this column.
GLOBAL_ATTRIBUTE_CATEGORY	Null	VARCHAR2(30)	Do not use this column.

Column Name	Null	Type	Comments
GLOBAL_ ATTRIBUTE1-20		VARCHAR2(150)	Optional. Use these columns to copy the Asset Workbench global descriptive flexfield segments setup on the Asset Workbench. To access these values in the Asset Workbench, you need to define the global descriptive flexfield on the Asset Workbench. The values stored in GLOBAL_ATTRIBUTE1 through GLOBAL_ATTRIBUTE20 are copied to the columns in FA_ADDITIONS.
GROUP_ASSET_ID		NUMBER(15)	Optional. Use this column for member assets only. Group_Asset_ID is the Asset_ID of the group asset to which the member asset is assigned. Note that if you leave this field null, any applicable default from the category default will be applied. If a group association exists in the category, and you wish to enforce no group association, you should populate this field with FND_API. G_MISS_NUM.

Column Name	Null	Type	Comments
IN_USE_FLAG		VARCHAR2(3)	Optional. Use this column to indicate whether the asset is in use.
INVENTORIAL		VARCHAR2(3)	Optional. Use this column to indicate whether an asset should be included in physical inventory. The value is defaulted from the category but can be overridden. The valid values for this column are YES or NO.
INVOICE_CREATED_BY	Null	NUMBER(15)	Do not use this column.
INVOICE_DATE	Null	DATE	Do not use this column.
INVOICE_ID		NUMBER(15)	Optional. Use this column for the invoice id, if available. Use the appropriate value from the INVOICE_ID column of the AP_INVOICES table. Note that INVOICE_ID is the unique internal identifier, and not the same as the external identifier INVOICE_NUMBER.
INVOICE_NUMBER		VARCHAR2(15)	Optional. Use this column for the invoice number for this asset, if available.

Column Name	Null	Type	Comments
INVOICE_UPDATED_BY	Null	NUMBER(15)	Do not use this column.
LAST_UPDATE_DATE		DATE	Required. Use this column for the date you load this asset into the FA_MASS_ADDITIONS table.
LAST_UPDATE_LOGIN		NUMBER(15)	Required. Use the value 1 in this column, or the specific user id of the person working on the import.
LAST_UPDATED_BY		NUMBER	Required. Use the value 1 in this column, or the specific user id of the person working on the import.
LEASE_ID		NUMBER(15)	Optional. This column identifies the lease number.
LESSOR_ID		NUMBER(15)	Optional. This column identifies the lessor number.
LIFE_IN_MONTHS		NUMBER(4)	Life of the Asset in total months.
LOCATION_ID		NUMBER(15)	Required. Use this column for the location id that corresponds with the location of the asset. See: Importing Your Asset Information , page 3-89.

Column Name	Null	Type	Comments
MASS_ADDITION_ID		NUMBER(15)	Required. Oracle Assets uses this column as a unique identifier for mass additions. The values in MASS_ADDITION_ID are generally sequential. You can use a sequence generator to populate this column. Note that the value of this column must be less than 2,000,000,000.
MANUFACTURER_NAME		VARCHAR2(30)	Optional. Use this column for the name of the manufacturer of the asset.
MERGE_INVOICE_NUMBER		VARCHAR2(50)	Optional. Optionally set this column to INVOICE_NUMBER for unmerged lines.
MERGE_PARENT MASS_ADDITIONS_ID	Null	NUMBER(15)	Do not use this column.
MERGE_VENDOR_NUMBER		VARCHAR2(30)	Optional. Optionally set this column to VENDOR_NUMBER for unmerged lines.
MERGED_CODE	Null	VARCHAR2(3)	Do not use this column.
MODEL_NUMBER		VARCHAR2(40)	Optional. Use this column for the model number of the asset.
NEW_MASTER_FLAG	Null	VARCHAR2(3)	Do not use this column.

Column Name	Null	Type	Comments
NEW_USED		VARCHAR2(4)	Optional. Use this column to indicate whether the asset is new or used.
ORIGINAL_DEPRN_START_DATE		DATE	Optional. This column indicates the date the short fiscal year asset began depreciating in the acquired company's books.
OWNED_LEASED		VARCHAR2(15)	Optional. Use this column to indicate whether the asset is owned or leased.
PARENT_ASSET_ID		NUMBER(15)	Optional. If you are importing asset information from another payables system, use this column for the asset id of the parent asset if this asset is a subcomponent of another asset. The parent asset must be an existing asset. Note that ASSET_ID is the unique internal identifier, and not the same as the external identifier ASSET_NUMBER. For a conversion, do not use this column. If an asset is a subcomponent, you can enter this relationship in the Subcomponents window after you post.

Column Name	Null	Type	Comments
PARENT_ MASS_ADDITION_I D	Null	NUMBER(15)	Do not use this column.
PAYABLES_ BATCH_NAME	Null	VARCHAR2(50)	Do not use this column.
PAYABLES_CODE_ COMBINATION_ID		NUMBER(15)	Required. Use this column for the code combination id of the asset clearing account you assigned to the asset category. See: Importing Your Asset Information Step 2, page 3-88; page 1 - 92, page 3-88.
PAYABLES_COST		NUMBER	Required. Use this column for the original cost of the asset. If you do not have the original cost of the asset, use the asset cost as it appears in the general ledger.
PAYABLES_UNITS		NUMBER	Required. Use this column for the number of units that make up the asset. You must use a positive integer value. Use the same value in this column that you use in the FIXED_ASSETS_UNITS column.
PERCENT_SALVAG E_VALUE		NUMBER	Salvage percentage of the asset.

Column Name	Null	Type	Comments
PO_NUMBER		VARCHAR2(15)	Optional. Use this column for the purchase order number for this asset, if available.
PO_VENDOR_ID		NUMBER(15)	Optional. Use this column for the supplier id. See: Importing Your Asset Information Step 5, page 3-90: page 1 - 94, page 3-90.
POST_BATCH_ID	Null	NUMBER(15)	Do not use this column.
POSTING_STATUS		VARCHAR2(15)	Required. To import asset information from another payables system, use the value NEW or ON HOLD for this column if you want to review this asset in the Mass Additions window. Use the value POST for this column if you are entering all required information and want to post the asset immediately, such as for a conversion.

Column Name	Null	Type	Comments
PRODUCTION_CAPACITY		NUMBER	Optional. Use this column for the capacity of a units of production asset. If you do not enter a capacity, Oracle Assets uses the capacity from the asset category. If this asset is not a units of production asset, do not use this column.
PROJECT_ASSET_LINE_ID	Null	NUMBER(15)	Do not use this column.
PROJECT_ID	Null	NUMBER(15)	Do not use this column.
PROPERTY_1245_1250_CODE		VARCHAR2(4)	Optional. Use this column to indicate that the property type class is 1245 (personal) or 1250 (real).
PROPERTY_TYPE_CODE		VARCHAR2(10)	Optional. Use this column to indicate the property type.
PRORATE_CONVENTION_CODE		VARCHAR2(10)	Depreciation prorate convention used for the asset.
QUEUE_NAME		VARCHAR2(15)	Required. Use the same value you entered into the POSTING_STATUS column (e.g. NEW, ON HOLD, POST).

Column Name	Null	Type	Comments
REVAL_ AMORTIZATION_B ASIS		NUMBER	Optional. Use this column for the basis for amortization of revaluation reserve for a revalued asset, usually the current revaluation reserve. If you do not revalue your assets, do not use this column.
REVAL_RESERVE		NUMBER	Optional. Use this column for the revaluation reserve of a revalued asset. If you do not revalue your assets, do not use this column.
REVIEWER_ COMMENTS		VARCHAR2(60)	Optional. Use this column to note that this asset came from a import process and any other details about this asset.
SALVAGE_TYPE		VARCHAR2(30)	Salvage type of the asset, such as the amount or percent.
SALVAGE_VALUE		NUMBER	Optional. Use this column for the salvage value of the asset, if available.
SERIAL_NUMBER		VARCHAR2(35)	Optional. Use this column for the serial number of the asset.
SHORT_FISCAL_YE AR_FLAG		VARCHAR2(3)	Optional. Use this column to indicate if the asset was added in a short fiscal year.

Column Name	Null	Type	Comments
SPLIT_CODE	Null	VARCHAR2(3)	Do not use this column.
SPLIT_MERGED_CODE	Null	VARCHAR2(3)	Do not use this column.
SPLIT_PARENT_MASS_ADDITIONS_ID	Null	NUMBER(15)	Do not use this column.
SUM_UNITS	Null	VARCHAR2(3)	Do not use this column.
TAG_NUMBER		VARCHAR2(15)	Use this column for the asset tag number if required. You can use this column for barcode values if you track assets by barcodes. Oracle Assets allows no duplicate values except null.
TASK_ID		NUMBER(15)	Optional. This column identifies the task from which costs were collected, summarized, and transferred from Oracle Projects. This column is only populated if the costs were summarized by task.
TRANSACTION_DATE		DATE	Optional. This column indicates the date on which the transaction is processed.

Column Name	Null	Type	Comments
TRANSACTION_TY PE_CODE		VARCHAR2(20)	Optional. Use this column to identify the type of future transaction. Possible values are: FUTURE ADD, FUTURE ADJ, and FUTURE CAP.
UNIT_OF_MEASURE		VARCHAR2(25)	Optional. Use this column for the unit of measure for a units of production asset. If you do not enter a unit of measure, Oracle Assets uses the unit of measure from the asset category. If this asset is not a units of production asset, do not use this column.
UNITS_TO_ADJUST		NUMBER(15)	Do not use this column.
UNREVALUED_COST		NUMBER	Optional. Use this column for the cost without regard to any revaluations of a revalued asset. If you do not revalue your assets, do not use this column.
VENDOR_NUMBER	Null	VARCHAR2(15)	Do not use this column.
WARRANTY_ID		NUMBER(15)	Optional. Use this column to identify the warranty number.

Column Name	Null	Type	Comments
YTD_DEPRN		NUMBER	Optional. Use this column for the year-to-date depreciation of the asset as it currently appears in your general ledger. You can enter a value, or have Oracle Assets calculate it for an asset with a date placed in service in a prior period. For CIP, expensed and group assets, you must enter zero or leave it blank. Note: If you enter the YTD_DEPRN manually, make sure you are aware of how this affects depreciation calculation in subsequent periods. For more information, see: Journal Entries for Additions and Capitalizations, page 8-8. If you are using the FA: Annual Rounding profile option, see: Profile Options and Profile Options Categories Overview, page B-1.

Column Name	Null	Type	Comments
YTD_REVAL_DEPR N_EXPENSE		NUMBER	Optional. Use this column for the year-to-date depreciation expense due to revaluation of a revalued asset. If you do not revalue your assets, do not use this column. Some columns do not apply to group, CIP, or expensed assets. These columns include the following: YTD_REVAL_DEPR N_EXPENSE, UNREVALUED_COST, SHORT_FISCAL_YEAR_FLAG, REVAL_RESERVE, REVAL_AMORTIZATION_BASIS, ORIGINAL_DEPRN_START_DATE, FULLY_RSVD_REVALS_COUNTER, YTD_DEPRN

Related Topics

About the Mass Additions Open Interface, page 3-56

Planning Your Import, page 3-57

Defining Oracle Assets for Mass Additions, page 3-59

Loading Your Asset Data, page 3-63

Importing Your Asset Information, page 3-63

Finishing Your Import, page 3-92

Importing Your Asset Information

During this phase, use SQL*Plus to move your asset data into the FA_MASS_ADDITIONS table. Run the Mass Additions Status Report and the Unposted

Mass Additions Report to check your data. Then prepare the assets using Prepare Mass Additions if necessary and post them using Mass Additions Post.

Once you have set up Oracle Assets, you are ready to import your asset information.

If you are importing asset information from another payables system, load the FA_MASS_ADDITIONS table directly. Then use Prepare Mass Additions and Mass Additions Post to add your assets to Oracle Assets.

If you are converting asset information from another assets system, use SQL*Plus to move the asset information from the interim table into the FA_MASS_ADDITIONS table. After you load and confirm the FA_MASS_ADDITIONS table, run Mass Additions Post to post your assets to Oracle Assets.

1. Load your asset data into the FA_MASS_ADDITIONS table.

You use SQL*Plus to load your asset information into the FA_MASS_ADDITIONS table from the interim table. Be sure to check the table after each SQL*Plus script to ensure that the script updated the table correctly. Also load the LAST_UPDATE_DATE column and all the other columns that are the same for all your assets.

Tip: Load your data into the FA_MASS_ADDITIONS table in stages, posting and cleaning the table, to avoid exceeding tablespace allocations.

2. Load expense code combination IDs.

Use SQL*Plus to match expense account information in your interim table with the correct segments of the GL_CODE_COMBINATIONS table. To do this, you must first determine the mapping between segment numbers and segment names. Find the name of your chart of accounts using the Ledgers window to query on the ledger that you entered for the depreciation book in the Book Controls window. When you know the chart of accounts, perform the following SQL*Plus script:

Example:

```
select segment_name, application_column_name
  from fnd_id_flex_segments
 where id_flex_code = 'GL#'
 and enabled_flag = 'Y'
 and id_flex_num in (
    select id_flex_num
    from fnd_id_flex_structures
   where id_flex_structure_name =
         Your Chart of Accounts Name
         and id_flex_code = 'GL#')
```

Match the information you have in the interim table with the appropriate segments to determine the correct code combination id for each asset. You might have only an account in your interim table, or you might have a company, division, and cost center that you need to match with segments in the GL_CODE_COMBINATIONS table. Make certain that your SQL*Plus script selects only one code combination id

for each asset.

You can create the combinations you need using the Account Flexfield Combinations window.

3. Load category IDs.

The asset category determines many of the accounts to which each asset belongs. The category and date placed in service also determine the depreciation method, prorate convention, and other depreciation rules for the asset based on default values you defined for each category. Unless the interim table contains explicit information about the category to which each asset belongs, you must use all the information you have about each asset to determine its category. Asset account and reserve account are often useful in determining an asset's major category.

You need to determine the name of the category flexfield structure using the System Controls window. When you know the name of the category flexfield, perform the following SQL*Plus script:

Example:

```
select segment_name, application_column_name
from fnd_id_flex_segments
where id_flex_code = 'CAT#'
and enabled_flag = 'Y'
and id_flex_num in (
    select id_flex_num
    from fnd_id_flex_structures
    where id_flex_structure_name =
        Your Category Flexfield Name
    and id_flex_code = 'CAT#')
```

Match the information you have with the corresponding columns in the FA_CATEGORIES table, the FA_CATEGORY_BOOKS table, and the FA_CATEGORY_BOOK_DEFAULTS table. These tables join using the CATEGORY_ID column in each. The FA_CATEGORY_BOOKS table contains information about a category that is specific to a book, e.g. accounts. The FA_CATEGORY_BOOK_DEFAULTS table contains information about a category that is specific to a book and date placed in service range, e.g. depreciation method. The FA_CATEGORIES table contains information about a category that is common for all books, including the category flexfield segment values. You can match on segments the same way you do for the Expense Code Combination ID if you have enough information in the interim table.

You can set up categories using the Asset Categories window.

4. Load location IDs.

Use SQL*Plus to match location information in your interim table with the location segments in the FA_LOCATIONS table. To do this, you need to determine the mapping between segment names and segment numbers. Determine the name of the location flexfield structure you defined on the System Controls window and then perform the following SQL*Plus script:

Example:

```
select segment_name, application_column_name
  from fnd_id_flex_segments
 where id_flex_code = 'LOC#'
 and enabled_flag = 'Y'
 and id_flex_num in (
    select id_flex_num
      from fnd_id_flex_structures
     where id_flex_structure_name =
           Your Location Flexfield Name
           and id_flex_code = 'LOC#')
```

Match the location information in your interim table with the location segments in the FA_LOCATIONS table. Load the LOCATION_ID of the matching location record into the FA_MASS_ADDITIONS table. Be certain you select only one location id for each asset.

You can set up locations using the Locations window.

5. Load supplier information.

If you have supplier information for your assets, use SQL*Plus to match the supplier name in the interim table with the PO_VENDOR_NAME column in the PO_VENDORS table. Load the PO_VENDOR_ID of the matching record into the FA_MASS_ADDITIONS table.

You need to set up suppliers in the Suppliers window if you are not using Oracle Payables or Oracle Purchasing. Note that PO_VENDOR_ID is the unique internal identifier, and not the same as the external identifier supplier number.

6. Prepare mass additions for posting.

Once the FA_MASS_ADDITIONS table is loaded, you must change the POSTING_STATUS column to HOLD for any assets that have a date placed in service after the end of the conversion period. For most conversions, the conversion period is the last period of the previous fiscal year.

When you are ready to post the FA_MASS_ADDITIONS table, use the Send Mass Additions to Oracle Asset program to run Mass Additions Post. This program moves your assets into Oracle Assets.

Run the Mass Additions Status Report to see the results. Compare this report with the expected results, and investigate missing or incomplete items. Check the PERIOD_FULLY_RESERVED column in FA_BOOKS for fully reserved assets.

For assets that you placed in service after the conversion period, you can run Mass Additions Post after you have opened the appropriate period. For example, if your fiscal year ends December 31, December is your conversion period. If you have some assets that you placed in service in January, set the posting status to ON HOLD for the January assets while you post the first time. After you run depreciation for December, then you set the posting status of the January assets to POST and run Mass Additions Post again.

7. Fix exceptions.

During this step you fix all the exceptions which were not properly imported using Mass Additions. You only need to perform these steps if they apply to your import:

- **Assets With Multiple Distributions:**

If you want some of your assets to have multiple distribution lines, then you need to use the Assignments window to correct the distribution information for each of these assets.

- **Assets With Investment Tax Credits:**

After you have posted your assets with Mass Additions, use the Assign Investment Tax Credit window to add ITC information.

- **Leased Assets And Leasehold Improvements:**

After you have posted your assets with Mass Additions Post, use the Asset Details window to add leasing information for your leased assets and your leasehold improvements. Verify that the life of your leasehold improvements is correct when you run depreciation.

- **Assets With Parent Or Child Assets:**

After you have posted your assets using Mass Additions Post, use the Asset Details to add parent asset information to each child asset.

- **Units of Production Assets:**

You cannot load units of production assets with accumulated depreciation. For more information about this restriction, see Assets Depreciating Under Units of Production, page 7-36.

If you want to load a large number of units of production assets, please use the production interface instead of the mass additions interface. See: Using the Production Interface, page 7-39

Related Topics

About the Mass Additions Interface, page 3-56

Planning Your Import, page 3-57

Defining Oracle Assets for Mass Additions, page 3-59

FA_MASS_ADDITIONS Interface Table, page 3-65

Loading Your Asset Data, page 3-63

Finishing Your Import, page 3-92

Finishing Your Import

When you have all your asset information moved into Oracle Assets, you need to verify that the financial information matches your records. Once you are satisfied that the value of your assets is correct, you can run depreciation and then verify that the accumulated depreciation matches your records. When you are satisfied that your corporate book is correct, you can copy the assets into your tax books. You reconcile each tax book using a similar procedure.

If some of the assets in the FA_MASS_ADDITIONS table have dates placed in service after the import, you need to bring these assets into Oracle Assets in the correct period.

Complete the following steps to finish your import:

- 1. Verify your assets.**

Before you run depreciation you should run the Asset Additions Report. Use this report to verify that each asset has the correct depreciation method, life, and date placed in service. Also verify that each asset has the correct cost and accumulated depreciation and that the totals for each asset account are correct. If you find any errors, make adjustments using the Books window and reclassifications using the Asset Details window.

For additional verification, project depreciation to the asset and cost center level to see that the expense projections agree with your estimates, and that the assets appear properly.

- 2. Run Depreciation.**

When you are satisfied that your assets are correct, run depreciation for the conversion period. After depreciation completes, Oracle Assets automatically runs the Journal Entry Reserve Ledger report.

- 3. Reconcile depreciation amounts.**

Use the Journal Entry Reserve Ledger Report from Step 2 to verify that the depreciation amounts are correct. If Oracle Assets calculated depreciation for you, verify that the calculated amount is correct. If you find any errors, make adjustments using the Books window and reclassifications using the Asset Details window.

- 4. Run Mass Additions for post-dated assets.**

If necessary, run Mass Additions to add assets into the periods following your import period. Add any other new assets and perform any transactions that you made during the period. Verify all these transactions and run depreciation again. Repeat this procedure until you have caught up to the current period.

- 5. Copy assets to your tax books using Mass Copy.**

When you are satisfied that your corporate book is correct, use Mass Copy to copy

your assets into your tax books. You should set up your tax books so that the first period starts at the same time as the associated corporate book. If your import period is the last period of the previous fiscal year, use Initial Mass Copy. If your import is the first period of the current fiscal year, use Periodic Mass Copy since there is no historical data in Oracle Assets.

6. Reconcile your tax books.

Reconcile your tax books the same way you did your corporate book, but use the Tax Reserve Ledger Report in place of the Journal Entry Reserve Ledger Report.

Run Periodic Mass Copy each period to bring over any new assets, cost adjustments, retirements, and reinstatements from the corporate book.

7. Clean up the Mass Additions holding area.

After you have successfully imported a group of assets, you should remove them from the mass additions holding area. First, run the Unposted Mass Additions Report and verify the status of any unposted mass additions. Afterward, use the Delete Mass Additions window, and the Purge Mass Additions window if necessary.

Related Topics

About the Mass Additions Interface, page 3-56

Planning Your Import, page 3-57

Defining Oracle Assets for Mass Additions, page 3-59

FA_MASS_ADDITIONS Interface Table, page 3-65

Loading Your Asset Data, page 3-63

Importing Your Asset Information, page 3-87

Creating Asset Additions Using Web ADI

Oracle Assets integrates with Web ADI to enable you to create assets additions through the Additions Integrator. The Additions Integrator allows you to enter or load data into a spreadsheet using pre-defined mappings and layouts. Web ADI validates all required fields. If the Pre-Validate check box is checked, Web ADI validates both required and optional fields. After validating data, you can automatically upload your assets to Oracle Assets.

To use Web ADI to create assets additions, refer to Creating a Document in *Oracle Web ADI Implementation and Administration Guide*.

In the Integrator page, you need to select a corporate asset book. In the Layout page, you need to select a layout.

You can create custom layouts or select one of the following seeded layouts:

- Add Assets – Default
- Add Assets – Detailed
- Add CIP Assets
- Add Leased Assets

After creating your spreadsheet, you can upload the data into Oracle Assets. See: *Uploading and Downloading Data from Spreadsheets in Oracle Web ADI Implementation and Administration Guide*.

During the Create Assets Upload, check the Create Assets Now check box if you want to run the Mass Additions Post program automatically when you upload.

Future Transactions

Oracle Assets supports one open asset accounting period. However, Oracle Assets allows you to enter transactions for future accounting periods. When you enter a future transaction, it is temporarily stored in the FA_MASS_ADDITIONS interface table. This pending transaction does not become effective until the transaction date for the transaction is within the current open period in Oracle Assets. For example, if the current open period is May 2000, and you enter an adjustment transaction with a transaction date of 01-Sep-2000, the transaction does not become effective until Sep-2000 is the current open period.

When you open a new accounting period, the Process Pending Transactions concurrent program runs and automatically processes all pending transactions with a transaction date that falls within the open period. You do not need to enter any further transaction detail to complete the transaction in the effective open period.

The Process Pending Transactions program looks up the transaction date of each pending transaction. If the transaction date falls within the current open period of the corporate book, the program processes that transaction. Any exceptions are written to the log file.

It is not necessary to enter future transactions in chronological order. The Process Pending Transactions program automatically processes pending transactions in chronological order.

You can also add assets from invoice lines from Oracle Payables, and provide a future date placed in service. These invoices must first be posted to future General Ledger periods from Oracle Payables and satisfy all other mass addition criteria to be successfully interfaced from Oracle Payables to Oracle Assets.

Related Topics

[Adding a Future Transaction Manually, page 3-95](#)

Invoice Additions, page 3-96
Merge Mass Additions, page 3-96
Split Mass Additions, page 3-97
Performing Adjustments with Future Effective Dates, page 3-97
Capitalize CIP Assets in Advance, page 3-98
View Pending Transactions, page 3-99

Adding a Future Transaction Manually

Oracle Assets allows you to add an asset with a future date placed in service using the Prepare Mass Additions Workbench.

You can enter future transactions only in your corporate depreciation book. You cannot enter future assets directly into tax books or budget books. Once a future asset becomes effective in the corporate book in the designated accounting period, you can use Mass Copy to copy the asset into associated tax books.

You can update distribution information (location, employee, depreciation, and expense account information) in the Assignment window for a future asset with a future date placed in service. However, this will be considered an update, and not a transfer, such that when the future period becomes the effective open period, the asset will be assigned to the updated distribution without any history of previous distributions.

Oracle Assets defaults depreciation parameters when you enter the addition transaction via the Prepare Mass Additions window. When an asset is placed in service using a future date placed in service, it does not re-inherit category defaults.

For example, you enter a future asset in the VEHICLE-OWNED LUXURY category during the current open period, Dec-1999, and enter the date placed in service as Feb-2000. The VEHICLE-OWNED LUXURY category defaults the salvage value to be 15 percent of the cost for assets having a date placed in service from Jun-1999 to Dec-1999. In Jan-2000, you changed the default salvage value to 10 percent, applicable to assets with a date placed in service of Jan-2000 onward. When the system places the vehicle in service in Feb-2000, the asset inherits a salvage value of 15 percent instead of 10 percent.

To enter a future transaction manually:

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Choose the New button on the Find Assets window to bring up the Mass Additions Detail window
3. Enter the corporate depreciation book to which the asset will be added.
4. Enter the transaction date for this addition. The date must be a future date. In other words, the date must be later than the last day of the current open period.

5. Refer to Overview of the Mass Additions Process on page: , page 3-28 for information on entering remaining fields.

Note: Before running the Process Pending Transaction process, you must set the queue name to POST. Otherwise, the addition will not be processed in the appropriate period.

Invoice Additions

Oracle Payables allows you to enter invoices with a future date placed in service. However, you cannot post these invoices to General Ledger until the period is open. Invoices that are not yet posted to Oracle General Ledger cannot be transferred to Oracle Assets.

Normally, the Mass Additions Create program in Oracle Payables forces the date placed in service to be in the current open period, even if the General Ledger date and invoice date are in the future. To use Oracle Assets to process future invoice additions, you must set the FA: Default DPIS to Invoice Date profile option to Yes. This allows you to default the date placed in service to the invoice date, even though the invoice date is in a future accounting period.

To review future mass additions lines:

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Enter the selection criteria for the mass additions lines and choose Find.
3. Highlight the desired invoice line and choose Open.
4. Review the future mass addition.
5. When you are ready to run the Process Pending Transactions process, change the queue name to POST for any future transactions that need to be processed. The date placed in service, or transaction date, defaults to the invoice date. However, you can overwrite the transaction date.

Merge Mass Additions

You can post merged mass addition lines to a future period. To do this, you must enter a future transaction date and change the queue name to POST. The merged children inherit the date placed in service from their merged parent.

Note: You can merge and split mass additions as much as you like until you set the status to POST. Once you set the status to POST, Oracle Assets creates an asset ID, and you can no longer split or merge the

mass addition line.

Split Mass Additions

After you split mass additions, each split child will be in the ON HOLD queue. You can review each line to become a separate asset. If you intend to post the split mass additions line to a future period, you must set the line to the POST queue for it to be processed.

Note: You can split and merge mass additions as much as you like until you set the status to POST. Once you set the status to POST, Oracle Assets creates an asset ID, and you can no longer split or merge the mass addition line.

Performing Adjustments with Future Effective Dates

Oracle Assets allows you to adjust both current and future assets, including CIP assets. Oracle Assets does not process these future transactions until the system opens the period in which the effective date falls. Future adjustments are limited to cost adjustments only. These adjustments can be made to capitalized assets, including fully reserved ones, that have already been placed in service. You cannot, however, adjust retired assets.

Adjust Asset Costs in Advance Manually

You can make non-invoiced or manual cost adjustments in advance to a current capitalized or CIP asset, or a capitalized or CIP asset that is pending to be placed in service in future periods. To perform such cost adjustments, you must first create a cost adjustment record and attach it to an asset using the Add to Asset feature.

To adjust asset cost in advance manually:

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Choose Adjust.
3. At the Mass Additions window, enter the cost adjustment amount in the Cost field. Note that you must enter the net change in cost, not the new cost.
4. Enter the Transaction Date.
5. Choose Add to Asset.
6. In the Add to Asset window, query the asset you want to adjust.

7. Highlight the asset.
8. Check Amortize Adjustment if you want to amortize the adjustment over the remaining useful life of the assets. Otherwise, leave the check box blank to expense the adjustment.

To adjust asset costs in advance by invoice additions:

1. In the Find Mass Additions window, enter the selection criteria for the invoice lines you are about to add to an asset.
2. Choose Find.
3. In the Mass Additions Summary window, highlight the desired invoice line and choose Open.
4. Optionally change the Date Place in Service and Transaction Date, and choose Save.
5. Choose Add to Asset.
6. Highlight an asset.
7. Check Amortize Adjustment if you want to amortize the adjustment or leave it blank to expense the adjustment.
8. Check New Category and Description to change the category and description of the existing asset to those of the mass addition you are adding as a cost adjustment.
9. Choose Done.

Capitalize CIP Assets in Advance

You can capitalize current and future CIP assets in advance using the Mass Additions workbench.

Note: Oracle Assets does not support reverse capitalization for future transactions.

To capitalize CIP assets in advance:

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Choose Capitalize.
3. In the Add to Asset window, query the CIP assets to be capitalized.

4. Check the check boxes for the assets you want to capitalize.
5. Enter the transaction date. This date must be a in future period.
6. Choose Done.

View Pending Transactions

When you enter a future transaction, the system assigns a transaction type to that transaction for audit trail. Available transaction types are:

- FUTURE ADD -- manual or invoice addition of asset
- FUTURE ADJUST - a manual or invoice adjustment
- FUTURE CAPITALIZE - capitalization of current or future CIP assets

You are encouraged to view all pending transactions of an asset before performing adjustments and other future transactions.

To view pending transactions:

1. Choose Mass Additions > Prepare Mass Additions from the Navigator window.
2. Enter selection criteria and click Find.
3. Click Open to drill down to further details of the transaction.

You can update pending ADJUSTMENT and ADDITION transactions. However, this will be considered an update, and not a transfer, such that when the future period becomes the effective open period, the asset will be assigned to the updated distribution without any history of previous distributions.

Related Topics

Overview of the Mass Additions Process, page 3-28

Create Mass Additions from Invoice Distributions in Oracle Payables, page 3-36

Mass Additions Open Interface, page 3-56

Review Mass Additions, page 3-30

Post Mass Additions to Oracle Assets, page 3-34

Clean Up Mass Additions, page 3-35

Create Mass Additions for Oracle Assets Program (from Oracle Payables), *Oracle Payables User Guide*

Adding Assets in Short Tax Years

When assets are acquired as a result of a merger, in the first year during which the assets are acquired, these assets are usually depreciated during a shorter than normal tax year. It is essential that the acquiring company is able to depreciate the acquired assets correctly during the short tax year.

When you add assets in a short tax year, you identify the asset as a short tax year asset. When you add short tax year assets, you must use either the detail additions process or the mass additions process. You cannot use the quick additions process to add short tax year assets.

You can define custom depreciation formulas to help you to properly depreciate newly acquired assets in a short tax year. See: Defining Formula-Based Depreciation Methods, page 11-68.

Adding a Single Asset in a Short Tax Year

To add an asset to the corporate book in a short tax year:

1. Follow the steps to add an asset using the detail additions process. See: Adding an Asset Specifying Details, page 3-20.
2. While in the Books window, check the Short Fiscal Year check box to indicate the current year is a short tax year.
3. Enter the conversion date. This is the date the short tax year asset begins depreciating in Oracle Assets in the acquiring company.
4. Enter the original depreciation start date of the acquired assets. This is the date when the assets began depreciating in the acquired company.
5. Continue adding the asset.

Adding Multiple Assets in a Short Tax Year

To add multiple assets in a short tax year:

1. Add assets using the mass additions process. See: Overview of the Mass Additions Process, page 3-28.

Note: In the period you added short tax year assets, we recommend that you run depreciation without closing the period, verify the depreciation amounts, then close the period. See: Rolling Back

Depreciation, page 7-3.

2. Use the mass copy process to copy the asset information into your tax books. See: Tax Book Maintenance, page 9-1.
3. Upload depreciation information for tax books to the FA_TAX_INTERFACE table. See: Uploading Tax Book Depreciation Information, page 3-101.
4. Run the Upload Short Tax Year Reserves concurrent program to update reserve in your tax book.

Note: You should run this program after running mass copy.

Uploading Tax Book Depreciation Information

When you use the mass copy process to copy asset information into your tax books, no depreciation or depreciation reserve amounts are copied into the tax books. After running mass copy, you use the FA_TAX_INTERFACE table and Upload Short Tax Year Reserves program to update depreciation information for the short tax year assets in your tax books.

You use SQL*Loader to load the FA_TAX_INTERFACE table, using the same procedure you used to load the FA_MASS_ADDITIONS table when you created mass additions. See: Loading Your Asset Data, page 3-63. For detailed information on the FA_TAX_INTERFACE table, see: Populating the FA_TAX_INTERFACE table, page 9-15.

How Oracle Assets Calculates Depreciation in a Short Tax Year

To depreciate assets properly in a short tax year, Oracle Assets needs to account for the acquired assets up to the date on which the assets are converted to the acquiring company's Oracle Assets system. When adding assets that will depreciate in a short tax year, you must enter a conversion date and original depreciation start date, and check the Short Fiscal Year check box on the Books window.

Note: The prorate date is determined by the date placed in service and the prorate convention. If the original prorate convention is different from that in the acquiring company, you may need to set up a new prorate convention for the converted assets to map the prorate date correctly.

The conversion date is the date an asset begins depreciating under the acquiring company's Oracle Assets system. Therefore, the year-to-date depreciation is zero at that time. The conversion date enables Oracle Assets to calculate the remaining life of the

asset. You must choose a conversion date in the current open period of the corporate and tax books. Otherwise, the depreciation calculations may be incorrect. You cannot enter a conversion date in a past fiscal year or in future periods.

Note: Oracle Assets does not calculate any depreciation before the conversion date. You must enter the total depreciation taken (depreciation reserve) up to the conversion date.

The prorate convention and depreciation method control when Oracle Assets starts to depreciate new assets. For assets using the flat-rate method, if the Depreciate When Placed In Service option is selected for the prorate convention, depreciation starts from the DPIS date (not from convention date).

Depreciation in a short tax year is calculated as follows:

Depreciable Basis * Annual Rate * No. of Months in Short Tax Year / No. of Months in the Full Tax Year

If the depreciation method has a calculation basis of NBV, the value of the depreciable basis is the net book value (NBV) as of the conversion date. The NBV is derived from the depreciation reserve.

MACRS Deductions in a Short Tax Year

You can define a formula-based MACRS depreciation method to calculate depreciation in a short tax year. For example, you could define a MACRS method with a straight-line switch as follows:

Greatest (2/Life, Decode (Short Year, 1, 1/Remaining Life 1, 0, 1/ Remaining Life 2))

In this example, Decode means the following: if the current year is a short tax year, then use Remaining Life 1. Otherwise, use Remaining Life 2.

- Remaining Life 1

Oracle Assets calculates the remaining life of the asset as of the conversion date or prorate date, whichever is later. If the prorate date is later than the conversion date, Oracle Assets calculates the remaining life based on the prorate date to avoid over-depreciating the asset.

- Remaining Life 2

Oracle Assets calculates the remaining life of the asset as of the first day of the fiscal year of the acquiring company, after the conversion date.

Note: Oracle Assets finds the number of months between the beginning of the fiscal year of the acquiring company and the end of the asset life. It then converts the value to years.

Adjustments and Revaluation

You cannot revalue short tax year assets or perform financial adjustments on short tax year assets.

Retiring Assets

Oracle Assets may take additional depreciation or reverse depreciation expense when you retire an asset. These amounts are controlled by the asset's retirement convention, date retired, and depreciation method. You may need to retire a short tax year asset during the short tax year in which it was acquired. You may want to set up special retirement conventions specifically for this scenario.

For example, your company has a short tax year that starts in May 1998 and ends in December 1998. You set up a half-year retirement convention with a prorate date in the mid-point of the short tax year (September 1). If you retire a short tax year asset in November 1998 using that half-year retirement convention, Oracle Assets backs out depreciation expense taken in September and October.

Short Tax Year Example

XYZ has a fiscal year that begins on August 1 and ends on July 31. XYZ has assets that were placed in service during XYZ's fiscal year 1996, using a half-year prorate convention. The prorate date is February 1, 1996.

At Work has a fiscal year that begins January 1 and ends December 31. In 1997, ABC acquired XYZ and decided to begin depreciating the acquired assets in Oracle Assets on April 1, 1997.

Defining a MACRS Depreciation Formula

Because ABC acquired XYZ and its assets in the middle of ABC's fiscal year, the asset manager at ABC needs to add assets as short tax year assets. For assets depreciating under MACRS with a 5-year life, the asset manager defines a formula-based depreciation method:

Depreciation method	5YRMACRS - STY
Calculation basis rule	NBV
Depreciate in year retired	Yes

The asset manager defines the following depreciation formula:

Greatest (2/Life, Decode (Short Year, 1, 1/Remaining Life 1, 0, 1/Remaining Life 2))

The acquired assets depreciate under a 5-year MACRS depreciation method, with a

half-year prorate convention. The depreciation basis is net book value.

Adding Acquired Assets

ABC adds the acquired assets to its books on April 1, 1997. The asset manager specifies a conversion date of 4/1/97 and enters the cost (\$10,000) and accumulated depreciation (\$4133.30) for the assets. In the Books window, the asset manager checks the Short Fiscal Year check box. The original depreciation start date is 2/1/96. The asset manager uses the mass copy feature to copy the assets to the tax book, and uploads the reserves accordingly.

Calculating Depreciation

When the asset manager runs depreciation for the acquired assets, Oracle Assets uses the defined formula to derive the rates during the short tax year and in the following years.

The following table illustrates how depreciation is taken throughout the remaining life of the acquired assets, which were placed in service in XYZ's fiscal year 1996 with a half-year prorate convention. The rates in boldface indicate which rate is used for each fiscal year. Note that the rate switches from declining balance to straight-line in fiscal year 1999:

Company	Declining Balance Rate (2/Life)	Straight-Line Rate (1/ Remaining Life 1 or 1/ Remaining Life 2)	Depreciation	Year End Net Book Value
ABC Short Tax Year 1997 (4/1/97-12/31/98)	0.40000 Rate used for the fiscal year.	0.26000	1760.01	4106.69
ABC FYR 1998	0.40000 Rate used for the fiscal year.	0.32000	1642.68	2464.01
ABC FYR 1999	0.40000	0.48000 Rate used for the fiscal year.	1182.73	1281.29
ABC FYR 2000	0.40000	0.92308 Rate used for the fiscal year.	1182.73	98.56

Company	Declining Balance Rate (2/Life)	Straight-Line Rate (1/ Remaining Life 1 or 1/ Remaining Life 2)	Depreciation	Year End Net Book Value
ABC FYR 2001	0.40000	12.00000 Rate used for the fiscal year.	98.56	0.00

The following figure graphically illustrates information discussed in the preceding text. It shows the acquisition of XYZ Company by ABC Corporation, and how Oracle Assets determines the short tax year and the Remaining Life 1.

Oracle Assets Command Center Setup

This chapter covers the following topics:

- Setting Up Assets Command Center
- Setup and Configuration Steps for Assets Command Center
- Configuring Descriptive Flexfields for Search
- Loading Assets Data

Assets Command Center Configuration

Setting Up Assets Command Center

See "Assets Command Center Overview", page 2-2 for more information.

The Assets Command Center configuration setup must be completed after the installation and common configurations are completed as described in My Oracle Support Knowledge Document 2495053.1, *Installing Oracle Enterprise Command Center Framework*, 12.2.

Setup and Configuration Steps for Assets Command Center

See "Assets Command Center Overview", page 2-2 for more information.

To set up the Assets Command Center:

1. Ensure that the roles that provide access to the command center's dashboards are set up correctly.
 - Fixed Assets Command Center Manager Access Role: Enables access to Asset Reconciliation, Asset Cost, Asset Aging, Asset Location, Asset Mass Transactions, and Asset Pipeline dashboards.
 - Fixed Assets Command Center Accountant Access Role: Enables access to only the Asset Mass Transactions page to resolve pending mass additions or pending mass transactions.
2. Configure descriptive flexfields for search, page 4-2
3. Load Assets data, page 4-3

Configuring Descriptive Flexfields for Search

See "Assets Command Center Overview", page 2-2 for more information.

Enterprise command centers support searching on descriptive flexfield (DFF) attributes. After you configure DFFs, you must run the data load process to make the DFF attributes available in the command center.

For additional information about configuring and customizing flexfields, see *Oracle E-Business Suite Flexfields Guide* and My Oracle Support Knowledge Document 2495053.1, *Installing Oracle Enterprise Command Center Framework*, Release 12.2.

The following table describes the DFFs that are available in the Assets Command Center:

Dashboard	Data Set	DFF Title	DFF Name	DFF Attribute Group Name	Displayed in
Asset Cost	fa-asset	Asset Category	FA_ADDITIONS	Asset Category	Available Refinements, Assets results table
Asset Aging	fa-asset	Asset Category	FA_ADDITIONS	Asset Category	Available Refinements
Asset Location	fa-asset	Asset Category	FA_ADDITIONS	Asset Category	Available Refinements

Loading Assets Data

See "Assets Command Center Overview", page 2-2 for more information.

To import the data from Oracle E-Business Suite to Assets Command Center's data sets, run the Assets Command Center Data Load concurrent program, which is located under **Fixed Assets Manager >Other**.

This program loads the following data sets based on the load rule of each data set.

Data Set Name	Purpose	Associated Assets Command Center Dashboard
fa-asset	Stores all assets information regarding asset cost, locations, and aging	Asset Cost Asset Aging Asset Location
fa-masstrans	Stores all pending mass transaction information	Asset Mass Transactions
fa-rec	Stores all account balances from SLA and GL	Asset Reconciliations
fa-clr	Stores all additions pipeline information from Payables and Projects	Asset Pipeline

Run the concurrent program from the **Submit Request** window.

The screenshot shows two overlapping windows from the 'Navigator - Fixed Assets Manager' application. The top window is titled 'Submit Request' and contains the following fields and buttons:

- Run this Request** section: Includes a 'Copy' button and fields for 'Name' (Assets Command Center Data Load), 'Operating Unit', 'Parameters', and 'Language' (American English). There are also 'Language Settings' and 'Debug Options' buttons.
- At these Times** section: Includes a 'Run the Job' dropdown set to 'As Soon as Possible' and a 'Schedule' button.

The bottom window is titled 'Parameters' and contains the following fields and buttons:

- Load Type**: A dropdown menu.
- Languages**: A text input field.
- Log Level**: A dropdown menu set to 'ERROR'.
- SQL Trace**: A text input field.
- Buttons: 'OK', 'Cancel', 'Clear', and 'Help'.

To load Fixed Assets data:

1. In the **Name** field, enter **Assets Command Center Data Load**.
2. Select the appropriate load type.
 - **Full Load:** Loads all assets data and is required to be run for the first data load. The full data load process also includes metadata load. If you run full load for subsequent requests, then this program clears all assets data from ECC and loads fresh data.
 - **Incremental Load:** Loads only the data that has been modified since the previous load for all dashboards. Schedule incremental load to run as often as required to keep the ECC dashboards current.
 - **Metadata Load:** Loads Descriptive Flexfield (DFF) metadata. If there are any changes to the DFF definition, then you must run the program first with the Metadata Load option and then the Full Load option so that the DFF changes are reflected in the command center.
3. In the **Languages** field, enter one or more language codes for the output. For multiple language codes, use the format AA,BB,NN. For example, enter US,AR,KO. If the field is left blank, then the data will be loaded for the base language only

(usually US).

4. Select the log level that you want the program to report. The default value is **Error**.
5. Select **True** to enable SQL trace. Otherwise, select **False**.
6. Submit the concurrent request.
7. Review your request using the **Requests** page.
8. Monitor data loading using the **Data Load Tracking** page of the ECC Developer responsibility.

Asset Maintenance

This chapter covers the following topics:

- Changing Asset Details
- Adjusting Accounting Information
- Mass External Transfers of Assets and Source Lines
- Placing Construction-In-Process (CIP) Assets in Service
- Revaluing Assets
- Asset Management in a Highly Inflationary Economy (Revaluation)
- Asset Impairments
- The United Kingdom Local Authority Revaluation and Impairment Enhancements
- Russian Legal Requirements for Recording Asset Revaluations
- Physical Inventory
- Scheduling Asset Maintenance

Changing Asset Details

You can change descriptive information for an asset at any time. Changing asset descriptive information other than category and units has no financial impact on the asset.

Reclassifying Assets, page 5-1

Adjusting Units for an Asset, page 5-7

Reclassifying Assets

Reclassify assets to update information, correct data entry errors, or when consolidating categories. You cannot reclassify fully retired assets.

Note: When you reclassify an asset in a period after the period you entered it, Oracle Assets creates journal entries to transfer the cost and accumulated depreciation to the asset cost and accumulated depreciation accounts of the new asset category. This occurs when you create journal entries for your general ledger. Oracle Assets also changes the depreciation expense account to the default depreciation expense account for the new category, but does not adjust for prior period expenses.

Reclassifying an Asset to Another Category

To reclassify an asset to another category:

1. Choose Asset > Asset Workbench from the Navigator window.
2. Find the asset you want to reclassify.

Tip: For best performance, find by asset number or tag number since they are unique values.

3. Choose Open.
4. Enter the new category.
5. Save your changes.

Note: Reclassification does not redefault the depreciation rules to the default rules from the new category. Manually change the depreciation rules in the Books or Mass Change windows if necessary.

Reclassifying a Group of Assets

You can reclassify a group of assets using the Mass Reclassifications window. In addition to reclassifying assets to a new category, when you run the Mass Reclassification process, you have the option to have assets inherit the depreciation rules of the new category. If you choose to have the reclassified assets inherit depreciation rules, you can also choose to either amortize or expense the resulting depreciation adjustments. See: Depreciation Rules (Books), page 3-5.

If you want only fully reserved assets to be reclassified, check the Fully Reserved - Yes check box. If you want only assets that are not fully reserved to be reclassified, check the Fully Reserved - No check box. If you do not check either check box, both fully reserved assets and assets that are not fully reserved will be reclassified.

When you run the Mass Reclassification process, Oracle Assets first reclassifies the assets (changes the assets from one category to another), then changes the depreciation rules, if you have chosen to have the reclassified assets inherit the depreciation rules of the new category. Oracle Assets reclassifies assets to a new category, even if inheriting depreciation rules fails. However, if reclassification fails (assets are not changed to the new category), assets will not inherit the depreciation rules of the new category.

Reclassification

Reclassification is done at the asset level. If an asset cannot be reclassified in one book, the asset will not be reclassified in any of the books to which it belongs.

If you attempt to reclassify assets to the same category (for example, you have a group of assets assigned to category PC, and you run the Mass Reclassification process to reclassify the assets to category PC), the assets will not be reclassified and will not inherit depreciation rules.

You cannot reclassify an asset in a prior period.

Inheriting Depreciation Rules

Inheriting depreciation rules is performed at the book level, meaning that if assets do not inherit depreciation rules in one book to which the assets belong, it will not prevent assets from successfully inheriting depreciation rules in other books to which they belong.

When you choose to have assets inherit the depreciation rules of the new category, you can choose to have all rules inherited by checking the Inherit Depreciation Rules of New Category check box on the Mass Reclassifications window, or no rules by ensuring that the check box is not checked. You cannot choose to have assets inherit only specified depreciation rules. When an asset with a salvage value is reclassified to a category that does not have a default salvage value, the asset will retain the salvage value even after the reclassification.

When you choose to have assets inherit depreciation rules, you can also choose to amortize the resulting adjustments by checking the Amortize Adjustments check box on the Mass Reclassifications window. If you do not check the Amortize Adjustments check box, adjustments will be expensed. Note that if you choose to expense adjustments on the Mass Reclassifications window (the Amortize Adjustments check box is not checked), reclassification will fail for any assets for which you have previously amortized an adjustment.

Note: Depreciation rules are inherited in both the corporate and tax books. The rules set up for the category in the corporate book are inherited in the corporate book and the rules set up for the category in the tax book are inherited in the tax book. Depreciation rules are not copied from the corporate book to the tax book. Therefore, you do not need to check the Allow Mass Copy - Copy Adjustments check box in the Accounting Rules tabbed region of the Books Controls window.

Setting Up Assets to Depreciate

If the Depreciate check box on the Books window is checked for an asset before the asset is reclassified, the check box will remain checked after reclassification. If the Depreciate check box is not checked for an asset before the asset is reclassified, that asset will inherit the depreciation rules of the new category, but the Depreciate check box will remain unchecked.

See: Entering Financial Information, page 3-22

Allowing Mass Changes

If you check the Inherit Depreciation Rules of New Category check box, you must also ensure you have checked the Allow Mass Changes check box in the Accounting Rules region of the Book Controls window, for any assets that you want to inherit depreciation rules. If the Allow Mass Changes check box is not checked, reclassified assets will not inherit depreciation rules, even though you checked the Inherit Depreciation Rules of New Category check box on the Mass Reclassifications window.

Note: You cannot perform a mass change on the depreciation method on assets with unplanned depreciation.

See: Entering Accounting Rules for a Book, page 11-62

Copying Descriptive Flexfield Information

You can choose to copy descriptive flexfield information to the new category by checking the Copy Category Descriptive Flexfield to New Category check box on the Mass Reclassifications window. Descriptive flexfield information will be copied only if assets are being reclassified within the same major category. The descriptive flexfields should be set up with the same segments in both the old and the new category. Otherwise, descriptive flexfield information in the old category may be copied incorrectly into an incorrect segment in the new category. If a segment in the old category and a corresponding segment in the new category have different formats (for example, segment 1 in the old category is alphanumeric and segment 1 in the new category is in date format), the information will be copied, but you will need to correct the descriptive information in that segment.

Note: If you do not choose to copy category descriptive flexfield information to the new category, the category descriptive flexfield information from the old category will be deleted.

Previewing Your Mass Reclassifications

You can run the Mass Reclassification Preview Report before submitting the Mass Reclassifications process. The report allows you to preview the changes before actually submitting them. The report lists all the assets that the mass reclassification process will reclassify.

See: Mass Reclassification Preview and Review Reports, page 12-88

Running the Mass Reclassification Process

After reviewing the Mass Reclassification Preview Report, run the mass reclassification process. If reclassification fails for any of the assets, the mass reclassification process completes with a warning. You need to review the log file to determine the reasons the assets were not reclassified.

To review the changes to category and depreciation rules, run the Mass Reclassification Review Report.

See: Mass Reclassification Preview and Review Reports, page 12-88

Note: You can run the Mass Reclassification Review Report from either Oracle Assets or the ADI Request Center.

To reclassify a group of assets:

1. Choose Mass Transactions > Reclassifications from the Navigator window.
2. Find the assets you want to reclassify.
3. Specify the corporate book on which you want to run reclassification.
4. Optionally specify other asset selection criteria in the following fields:
 - Asset Type
 - Expense Accounts
 - Location
 - Group Asset
 - Employee Name
 - Employee Number
 - Category
 - Asset Key
 - Cost Range
 - Asset Numbers
 - Dates In Service

5. Enter the new category.
6. Specify if you want the current category descriptive flexfield information copied to the new category.

If you do not choose to copy the flexfield information, the current category descriptive flexfield information will be deleted.
7. Specify whether to inherit the depreciation rules of the new category.
8. Specify whether to inherit the group asset of the new category.
9. If you choose to inherit the depreciation rules of the new category, specify whether to amortize the changes.
10. Choose Preview to run the Mass Reclassification Preview report.
11. Query the Mass Transaction number and choose Run to submit the Mass Reclassification concurrent process.

If you wish to simultaneously run this program in more than one process to reduce processing time, Oracle Assets can be set up to run this program in parallel. For more information on setting up parallel processing and the FA: Number of Parallel Requests profile option, see: Profile Options and Profile Options Categories Overview, page B-1.

Note: If Oracle Assets encounters assets with invalid employee names and numbers during the Mass Reclassification concurrent process, it will set the employee name and number to null (blank) and will process the reclassification for those assets. The process completes with a warning status, and the log file displays the affected asset numbers and the invalid employee names and numbers assigned at the time of the reclassification.

Related Topics

Asset Descriptive Details, page 3-2

Reclassification Reports, page 12-81

Journal Entries for Transfers and Reclassifications, page 8-28

Changing Financial and Depreciation Information, page 5-7

Viewing Assets, page 14-1

Adjusting Units for an Asset

To adjust the number of units for an asset:

1. Choose Asset > Asset Workbench from the Navigator window.
2. Find the asset whose units you want to adjust.

Tip: For best performance, find by asset number or tag number since they are unique values.

3. Choose Open.
4. Change the number of Units.
5. Update assignment information to reflect the new number of units in the Assignments window. See: Assigning an Asset (Detail Additions Continued)., page 3-26
6. Save your work.

Related Topics

Viewing Assets, page 14-1

Asset Descriptive Details, page 3-2

Assignments, page 3-11

Unit Adjustment Journal Entry, page 8-33

Adjustments Reports, page 12-76

Adjusting Accounting Information

You can adjust financial, depreciation, distribution, and invoice information for an asset.

Changing Financial and Depreciation Information, page 5-7

Transferring Assets Between General Ledger Depreciation Expense Accounts, page 5-14

Changing Invoice Information for an Asset, page 5-19

Changing Financial and Depreciation Information

You can correct an error or update financial and depreciation information for a single

asset or for multiple assets. You can also override depreciation information for an asset while adding it using the Detail Additions process. See: Asset Setup Processes (Additions), page 3-16

Before running depreciation (in the period in which you added the asset), you can change any field.

After you have run depreciation (in any period after the one in which you added the asset), you can change asset cost, salvage value, prorate convention, depreciation method, life, capacity and unit of measure (in the corporate book), rate, bonus rule, depreciation ceiling, and revaluation ceiling.

If the asset is fully reserved, you can adjust the same fields as for an asset for which you have run depreciation. If the asset is fully retired, you cannot change any fields.

You can choose whether to amortize or expense the adjustment. See: Amortized and Expensed Adjustments, page 8-12.

Changing Financial Information for a Single Asset

To change financial information for a single asset:

1. Choose Asset > Asset Workbench from the Navigator window.
2. Find the asset for which you want to change financial information.

Tip: For best performance, find by asset number or tag number since they are unique values.

3. Choose Books.
4. Choose the Book to which the asset belongs.
5. Choose whether to Amortize Adjustment or expense it in the current period.

Note: When you adjust a group or member asset using a prior period amortization start date, Oracle Assets automatically submits the Process Group Adjustments concurrent program to calculate the prior period depreciation expense for the group asset. You must acknowledge the message containing the request number of the program submission.

6. Enter the new financial information for the asset.

Note: You can change the depreciation method from units of production to a flat-rate or life-based method if the asset is not

depreciating by units of production in any associated tax book.

You can only change the depreciation method from life-based or flat-rate to units of production in the period you added the asset.

7. Save your work.

Changing Financial Information for Multiple Assets (Mass Change)

When you change financial information for multiple assets using the Mass Changes window, the mass change transaction will exclude the following assets from the mass change transaction:

- CIP assets.
- Retired assets.

To change financial information for multiple assets

1. Choose Mass Transactions > Changes from the Navigator window.
2. Enter the Book to which the assets belong.
3. Select Amortize Adjustments if you wish to amortize your adjustments. If Amortize Adjustments is not selected, the adjustments will be expensed in the current period. When Amortize Adjustments is selected, enter the Amortization Start Date in the Change Date field. This allows you to select the date the amortization begins. The new date selected defaults to the current period date.

Note: When you adjust a group or member asset using a prior period amortization start date, Oracle Assets automatically submits the Process Group Adjustments concurrent program to calculate the prior period depreciation expense for the group asset. You must acknowledge the message containing the request number of the program submission.

4. In the Change Date field, enter the date of the mass change.

You can perform a prior period depreciation rule change by entering a prior period date in the Change Date field and checking the Amortize Adjustment check box. The date in the Change Date field defaults to the current period date.
5. Select the assets you wish to change. Specify the asset numbers, dates placed in service, and category for which the mass change applies.
6. Select the asset type of the assets you wish to change in the Asset Type field, you

can select one of the following values:

- Capitalized
- Group

The system will automatically include assets with an asset type of Capitalized or Group if you do not select an Asset Type.

7. Choose whether to Change Fully Reserved Assets.
8. You can use the Before and After fields as either information to change or as a selection criterion without changing the information. When you enter the same value for the Before and After fields, the mass change affects only assets that match that information.
9. Specify the new financial information for these assets in the After column.
10. Select the group asset association of the assets you wish to change. In the Group Association field, you can select one of the following values:
 - Member: The system will select only member assets belonging to a group asset for the mass change transaction.
 - Standalone: The system will select only standalone assets for the mass change transaction. All the member assets are excluded from the mass change transaction.
 - No Selection: The system will include all assets, regardless of the group association of the assets. For example, the system will include group, member, and standalone assets for the mass change transaction. If you do not select the group asset association in a Before field, you cannot select the Member or Standalone values in the corresponding After field. The default value of the Before and After fields is No Selection.
11. If you selected the Member value for the Group Association field, you must enter a valid group asset number in the Group Asset field.
12. The following fields are applicable only to the requirements related to Japan Tax Reforms FY2007 .
 - Salvage Type
 - Salvage Value
 - Salvage Value Percent
 - Depreciation Limit Type

- Limit Amount
- Limit Percent

Note: The system displays the above fields only if you set the **FA: Japan 2007 Tax Reforms Features** profile option, page B-8 to Yes.

For more information, see: Japan Tax Reforms FY2007 Requirements, page 11-136.

13. Choose Preview to run the Mass Change Preview report. Use this report to preview what effects to expect from the Mass Change before you perform it. If necessary, update the definition and run the preview report again.

The mass change status determines what action to perform next. The following table defines each mass change status and their next actions available.

Status	Definition	Possible Action
New	Newly created mass change definition	Preview
Preview	Preview report currently running	None
Previewed	Preview report completed successfully	Run
Updated	Mass change definition updated after previewing	Preview
Running	Mass change currently running	None
Completed	Mass Change completed successfully	Review Copy
Error	Preview report or mass change completed in error	Preview or Run, whichever failed

14. To perform the mass change, query the definition and choose Run. Oracle Assets submits a concurrent process to perform the change.

If you wish to simultaneously run this program in more than one process to reduce

processing time, Oracle Assets can be set up to run this program in parallel. For more information on setting up parallel processing and the FA: Number of Parallel Requests profile option, see: Profile Options and Profile Options Categories Overview, page B-1.

15. To review a completed mass change, query the definition and choose Review. Oracle Assets runs the Mass Change Review report.
16. Review the log file and report after the request completes.

Performing Group Reclassifications Using Mass Change

You can also use the Mass Changes window to perform a group reclassification by changing the group asset assignment of a range of assets. However, you cannot change both the depreciation rules and the group asset assignment of the capitalized assets in the same mass change transaction. You must perform the mass group reclassification as a separate mass change transaction.

When you use the Mass Changes window to change the group asset assignment of capitalized assets, the system will always use the Calculate transfer type to process the reclassification. The date placed in service of the asset changed is used as the group amortization start date. The date in the Change Date field has no effect on the group amortization start date. For more information about the group amortization start date and group reclassifications, see: Transfer Type - Calculate, page 13-47

Note: If the mass change will change the group asset membership, the following restrictions apply:

- You cannot change other asset attributes, such as prorate convention, depreciation method, life, and bonus rule, in the same mass change transaction.
 - Oracle Assets will only process the change using the Calculated transfer type. For more information about reassigning group asset membership, see: Transactions: Group Reclassification, page 13-47

You can change the group membership of an asset by performing the following reclassification transactions:

- Transfer a member asset from a source group asset to a target group asset
- Remove a member asset from a group asset
- Add a standalone asset to a group asset

The following examples describe the ways in which you can change the group membership of an asset.

Transferring Member Assets Between Group Assets

The table below describes the group assignment of a member asset before and after it is reassigned from a source group asset to a target group asset.

Asset Attribute	Before	After
Group Association	Member	Member
Group Asset Assignment	Group Asset 1	Group Asset 2

Removing Member Assets from a Group Asset

The table below describes the group assignment of an asset before and after it is reassigned from a member asset to a standalone asset.

Asset Attribute	Before	After
Group Association	Member	Standalone
Group Asset Assignment	Group Asset 1	Null

Adding Standalone Assets to a Group Asset

The table below describes the group assignment of an asset before and after it is reassigned from a standalone asset to a member asset.

Asset Attribute	Before	After
Group Association	Standalone	Member
Group Asset Assignment	Null	Group Asset 1

If you select Standalone in the Group Association field, you cannot enter a group asset number in the Group Asset field. However, if you select Member in the Group Association field, you must enter a valid group asset number in the Group Asset field.

Related Topics

Depreciation Rules (Books), page 3-5

Journal Entries for Adjustments, page 8-11

Recoverable Cost Adjustments , page 8-13
Amortized and Expensed Adjustments, page 8-12
Adjustments Reports, page 12-76
Depreciation Calculation, page 7-21
Mass Change Preview and Review Reports, page 12-85
Assets Depreciating Under Units of Production, page 7-36
Defining Additional Depreciation Methods, page 11-65

Transferring Assets

You can transfer assets between employees, depreciation expense accounts, and locations. When transferring assets, you should consider the following:

- You can change the transfer date to a date in a prior period for a particular transfer, but the transfer must occur within the current fiscal year
- You can change the transfer date of an asset to a prior period only once per asset.
- You cannot transfer an asset to a future period.

Note: You cannot transfer assets from one corporate book to another corporate book.

Transferring a Single Asset

To transfer an asset between employees, expense accounts, and locations:

1. Choose Asset > Asset Workbench from the Navigator window.
2. Find the asset you want to transfer between employees, expense accounts, and/or locations.

Note: For best performance, find by asset number or tag number since they are unique values.

3. Choose Assignments.
4. Optionally update the Transfer Date.

Note: If you transfer an asset during the period in which it was added, the Transfer Date automatically defaults to the Period open

date of the period in which asset's date placed in service falls.

5. In the Units Change field, enter a negative number for the assignment line **from** which you want to transfer the asset.
6. Create one or more new lines, entering a positive number in the Units Change field for the assignment lines **to** which you want to transfer the asset.
7. Enter the new Employee Name, Expense Account, and/or Location for the new distribution.
8. Save your changes.

Transferring Multiple Assets in One Transaction

Oracle Assets allows you to transfer multiple assets in one transaction. You use the Transfer From and Transfer To fields to identify the assets to be transferred.

You can transfer between expense accounts, locations, and employees and employee numbers. By selecting any combination of these criteria, you can further restrict the range of assets to be transferred.

Transferring Between Expense Accounts

For the From account, you can enter a single expense account or a range of expense accounts. When entering a single account number, you need to enter the account number in both the low and high fields for the From account. You can enter the entire account combination or only a partial combination.

For the To account, you can enter the entire account combination or only a partial combination. Note that when specifying partial combinations for both From and To accounts, you do not need to specify the same segment in both. For example, you can specify the first segment for the From account, and the second segment for the To account.

The following table shows an example of transferring between expense accounts:

In the following example, both the From and To fields contain complete account combinations. Assets with expense accounts in the From range will be transferred to the 02-300-5000-600 expense account.

From	To
Complete	Complete

From	To
01-100-2000-500	02-300-5000-600
01-110-2000-500	

In the following example, the From field contains a partial account combination, and the To field contains a complete account combination. Regardless of the value of the other segments, assets with a second segment between 200 and 400 are transferred to the 02-300-5000-600 expense account.

From	To
Partial	Complete
XX-200-XXXX-XXX	02-300-5000-600
XX-400-XXXX-XXX	

In the following example, the From field contains a complete account combination, and the To field contains a partial account combination. Assets with the expense account 01-100-2000-500 will be transferred to the expense account 01-300-2000-600.

From	To
Complete	Partial
01-100-2000-500	XX-300-XXXX-600
01-100-2000-500	

In the following example, both the From and To fields contain partial account combinations. Assets with expense accounts in which the second segment is between 200 and 400 will be transferred to an expense account in which the second segment is 600. The other segments will remain unchanged.

From	To
Partial	Partial

From	To
XX-200-XXXX-XXX	XX-600-XXXX-XXX
XX-400-XXXX-XXX	

In the following example, both the From and To fields contain partial account combinations. However, the second segment is specified in the From fields, and the fourth segment is specified in the To field. Assets with expense accounts in which the second segment is between 200 and 400 will be transferred to an expense account in which the fourth segment is 600. The second segment will remain unchanged.

From	To
Partial	Partial
XX-200-XXXX-XXX	XX-XXX-XXXX-600
XX-400-XXXX-XXX	

Transferring Between Locations and Employees

You can transfer an asset between two locations, for example from the New York office to the Dallas office. You can also transfer assets between employee name and number. For example, you can transfer an asset from Robert Smith (employee 103) to Janet Jones (employee 214).

The following is an example of an asset transfer:

From	To
Expense Accounts: 1 - 100	Expense Account: 10000
Location: New York	Location: Dallas
Employee Name: Robert Smith	Employee Name: Janet Jones

The above transfer affects all assets that are assigned to Robert Smith in New York with an expense account in the range of 1 through 100. An asset must satisfy all three criteria to be transferred to Janet Jones in Dallas with an expense account of 10000.

To transfer multiple assets between employees, expense accounts, and locations:

1. Choose Mass Transactions > Transfers from the Navigator window.
2. Choose the corporate depreciation Book for the assets you want to transfer.
3. Optionally select a Category to use as a selection criterion for the mass transfer.
4. Optionally update the Transfer Date.
You can change the transfer date to a a prior period date. You cannot change the date to a future period date.
5. Enter one or more selection criteria for the mass transfer in the Transfer From and Transfer To fields.
6. Choose Preview to run the Mass Transfers Preview report. Use this report to preview the expected effects of the Mass Transfer before you perform it. If necessary, update the definition and run the preview report again.
7. To perform the Mass Transfer, query the mass transfer and choose Run. Oracle Assets submits a concurrent process to perform the transfer.
If you wish to simultaneously run this program in more than one process to reduce processing time, Oracle Assets can be set up to run this program in parallel. For more information on setting up parallel processing and the FA: Number of Parallel Requests profile option, see: Profile Options and Profile Options Categories Overview, page B-1.
8. Review the log file after the request completes.

Transferring Invoice Lines Between Assets

To transfer invoice lines between assets:

1. Choose Asset > Asset Workbench from the Navigator window.
2. Find the asset whose invoice information you want to change.
Note: For best performance, find by asset number or tag number since they are unique values.
3. Choose Source Lines.
4. Choose the line(s) you want to transfer.
To transfer the entire amount, check the check box to the left of the source line.

Otherwise, enter a partial amount.

Note: When you perform a source line transfer on a member asset using a prior period amortization start date, Oracle Assets automatically submits the Process Group Adjustments concurrent program to calculate the prior period depreciation expense for the group asset. You must acknowledge the message displaying the request number of the program submission.

5. Choose Transfer To.
6. In the Transfer To window, query the destination asset to which you want to transfer the line.
7. Save your work.

Related Topics

Assignments, page 3-11

Viewing Assets, page 14-1

Source Lines, page 3-13

Journal Entries for Transfers and Reclassifications, page 8-28

Transfers Reports, page 12-79

Changing Invoice Information for an Asset

If you brought over mass addition lines from invoices or discounts in your payables system, use the Source Lines window to change invoice information for an asset. You can:

- Add a new invoice line to an asset
- Change the cost of a invoice line
- Delete an invoice line from an asset
- Transfer invoice lines between assets, page 5-18

To change invoice information for an asset

1. Choose Asset > Asset Workbench from the Navigator window.
2. Find the asset whose invoice information you want to change.

Note: For best performance, find by asset number or tag number since they are unique values.

3. Choose Source Lines.

- Enter a description and cost to manually add a new invoice line to the asset.
- Change the cost of a line for a CIP asset if necessary.
- To delete an invoice line, uncheck Active.

Note: When you adjust a source line or add a new source line to an existing member asset using a prior period amortization start date, Oracle Assets automatically submits the Process Group Adjustments concurrent program to calculate the prior period depreciation expense for the group asset. You must acknowledge the message containing the request number of the program submission.

4. Save your changes.

Mass External Transfers of Assets and Source Lines

The Mass External Transfers features provides a mechanism for accepting data about asset transfers and source line transfers from external systems. The system includes an interface table that allows other systems to pass details of assets and source lines to be transferred. A preview screen lets you view, accept, or reject the transfers from external systems. A new process, similar to the existing Post Mass Additions program, processes the transfer detail information from the new table directly to Oracle Assets.

Phase	Description
Create	Enter mass external transfer information into the FA_MASS_EXTERNAL_TRANSFERS interface table. Make note of the system-generated transfer number so you can use it to locate the batch if you must modify the batch information.

Phase	Description
Post	Submit the Post Mass External Transfers request to post the external asset transfer information to Oracle Assets. Similarly, submit the Post Mass Source Line Transfers request to post the external source line transfer information to Oracle Assets.
Review	Query on the mass external transfer batch to check for errors.
Clean up	Set the status of posted transfers to Delete. Submit the Purge Mass External Transfers program to delete these rows from the interface table.

To process asset and source line transfers from external systems:

1. After populating the interface table, from the Navigator, select Other > Requests > Run.
2. In the Submit Request window, select Post Mass External Transfers in the Request Name field to process asset transfers. To process source line transfers, select Post Mass Source Line Transfers.
3. Choose Submit Request to post the mass external transfer information to Oracle Assets.

If the system finds errors in the batch information, the mass external transfer process is aborted. You can view the errors to determine what transactions caused the process to abort. After you have submitted the mass external transfer batch for posting, use the following process to look for possible errors.

To check a mass external transfer batch for errors:

1. From the Navigator, choose Mass Transactions > External Transfers.
2. In the Find External Transfers window, enter the Transfer Number or other information in the window and click Find.
3. In the External Transfers Summary window, scroll down to view the Transaction Status for each transaction.

4. If you locate a transaction with a status of Error, highlight that row and click Open to view and correct the transaction details in the Modify External Transfer window.

After you determine what corrections need to be made, use the following process to make those corrections.

To correct mass external transfer transaction errors:

1. From the Navigator, select Mass Transactions > External Transfers.
2. In the Find External Transfers window, enter the Transfer Number or other information in the window and choose Find.
3. In the External Transfers Summary window, select the transaction you want to modify and click Open.
4. In the Modify External Transfer window, modify specific information as appropriate and click Done. Repeat this process to make all the necessary corrections before you resubmit the batch.
5. From the Navigator, select Other > Requests > Run to submit a request to run the Post Mass External Transfer process again. This process resubmits the batch for processing.

After the mass external transfer batch has completed successfully, you can delete the mass transfer information from the interface table using the following process:

To delete the mass external transfer information from the interface table:

1. Open the batch that you want to purge in the Modify External Transfer window.
2. Change the Transaction Status to Delete.
3. From the Navigator, select Other > Requests > Run.
4. In the Submit Request window, select Purge Mass External Transfers in the Request Name field.
5. Click Submit Request to delete the mass external transfer information from the interface table.

For details on the accounting for Asset Transfers and Source Line Transfers, see: Transferring Assets, page 5-14.

Column Name	Null?	Type	Remarks	Apply to Asset Transfer (A), Source Line Transfer (S), or Both (B)
BATCH_NAME	Not Null	VARCHAR2(15)	Name of Batch.	B
MASS_EXTERNAL_TRANSFER_ID	Not Null	NUMBER(15)	System-generated identifier of the external transfer.	B
EXTERNAL_REFERENCE_NUM		VARCHAR2(15)	Reference number used by external system.	B
TRANSACTION_REFERENCE_NUM		NUMBER(15)	Indicates the order of transactions for the same asset ID.	B
TRANSACTION_TYPE	Not Null	VARCHAR2(15)	Type of transaction for this record: Adjustment or Transfer. Use Adjustment for source line transfers and Transfer for asset transfers.	B
BOOK_TYPE_CODE		VARCHAR2(15)	Corporate Book Type Code.	B
TRANSACTION_STATUS	Not Null	VARCHAR2(20)	Status of Transaction: New, Post, Posted, On Hold, Delete or Error.	B
TRANSACTION_DATE_ENTERED		DATE	Date when this transaction is entered into Oracle Assets.	B

Column Name	Null?	Type	Remarks	Apply to Asset Transfer (A), Source Line Transfer (S), or Both (B)
DESCRIPTION		VARCHAR2 (200)	Description of transaction.	B
CREATED_BY	Not Null	NUMBER(15)	Person who created the record.	B
CREATION_DATE	Not Null	DATE	Record creation date.	B
LAST_UPDATE_BY	Not Null	NUMBER(15)	Last updated by person.	B
LAST_UPDATE_DATE	Not Null	DATE	Last updated date.	B
LAST_UPDATE_LOGIN		NUMBER(15)	Last update login user.	B
ATTRIBUTE columns 1 to 15		VARCHAR2 (150)	Descriptive flexfield segments.	B
ATTRIBUTE_CATEGORY_CODE		VARCHAR2(30)	Descriptive flexfield structure defining column.	B

Column Name	Null?	Type	Remarks	Apply to Asset Transfer (A), Source Line Transfer (S), or Both (B)
WORKER_ID		NUMBER(15)	When the program is run in parallel, this is the worker that is processing the asset. The worker number corresponds to the sequence number assigned by the program, which is used to match assets with available processors.	B
POST_BATCH_ID		NUMBER(15)	Unique identifier for a Post Mass External Transfer or Post Source Line Transfer request.	B
FROM_DISTRIBUTION_ID		NUMBER(15)	Originating Distribution ID. Applicable to Transfer transactions only.	A
FROM_LOCATION_ID		NUMBER(15)	Originating Location ID. Applicable to Transfer transactions only.	A

Column Name	Null?	Type	Remarks	Apply to Asset Transfer (A), Source Line Transfer (S), or Both (B)
FROM_GL_CCI D		NUMBER(15)	Originating GL Code Combination ID. Applicable to Transfer transactions only.	A
FROM_EMPLO YEE_ID		NUMBER(15)	Originating Employee ID. Applicable to Transfer transactions only.	A
TO_DISTRIBUTI ON_ID		NUMBER(15)	Destination Distribution ID. Applicable to Transfer transactions only.	A
TO_LOCATION _ID		NUMBER(15)	Destination Location ID. Applicable to Transfer transactions only.	A
TO_GL_CCID		NUMBER(15)	Destination GL Code Combination ID. Applicable to Transfer transactions only.	A

Column Name	Null?	Type	Remarks	Apply to Asset Transfer (A), Source Line Transfer (S), or Both (B)
TO_EMPLOYEE_ID		NUMBER(15)	Destination Employee ID. Applicable to Transfer transactions only.	A
TRANSFER_UNITS		NUMBER	Number of asset units to transfer. Applicable to Transfer transactions only.	A
FROM_ASSET_ID		NUMBER(15)	Source asset for source line transfer. Applicable to Adjustment transactions only.	S
TO_ASSET_ID		NUMBER(15)	Destination asset for source line transfer. Applicable to Adjustment transactions only.	S
TRANSFER_AMOUNT		NUMBER	Amount of cost to transfer. Applicable to Adjustment transactions only.	S

Column Name	Null?	Type	Remarks	Apply to Asset Transfer (A), Source Line Transfer (S), or Both (B)
SOURCE_LINE_ID		NUMBER(15)	Source line identifier. Applicable to Adjustment transactions only.	S

Related Topics

Source Lines, page 3-13

Reviewing Mass Addition Lines, page 3-45

Viewing Assets, page 14-1

Placing Construction-In-Process (CIP) Assets in Service

Capitalize finished assets that are ready to be placed in service. You can capitalize a single asset or a group of assets in a transaction. If you erroneously capitalize a CIP asset, you can reverse the capitalization.

Note: If you have CIP assets in both your corporate book and your tax book, you capitalize the CIP assets in your corporate book, and they are automatically capitalized in the tax book. See: Automatically Adding CIP Assets to Tax Books, page 3-14.

Prerequisites

- Create CIP assets using Mass Additions or manual additions. See: Asset Setup Processes (Additions), page 3-16
- Create CIP assets using Mass Additions or manual additions. See: Overview of the Mass Additions Process, page 3-28
- Build CIP assets as you spend money for raw materials and labor to construct them.

To capitalize a CIP asset:

1. Navigate to the Capitalize CIP Assets window.

2. Find assets with asset type CIP.
3. Enter the date you placed the asset in service. Oracle Assets uses this date to begin calculating depreciation for the assets you are placing in service.
4. Choose the CIP asset(s) you want to capitalize. Choose Special, Check All if you want to capitalize all the assets in the Capitalize CIP Assets window.
5. Choose Capitalize.
6. Override the depreciation rules re-defaulted from the asset category if necessary. See: Changing Financial and Depreciation Information., page 5-7

To reverse capitalize an asset:

1. Navigate to the Capitalize CIP Assets window.
2. Query assets with type Capitalized.
3. Choose the asset(s) you want to reverse capitalize. Choose Special, Check All to reverse capitalize all the assets in the Capitalize CIP Assets window.

Note: You can reverse capitalize an asset only in the period you capitalized it, and only if you did not perform any transactions on it.

4. Choose Reverse.

Related Topics

Construction-In-Process (CIP) Assets, page 3-14

CIP Reports, page 12-22

Capitalization Journal Entry Example, page 8-10

Revaluing Assets

Revalue assets to adjust the value of your capitalized assets in a highly inflationary economy. You can revalue all categories in a book, all assets in a category, or individual assets.

You can revalue all assets using the Mass Revaluation process. The Mass Revaluation process does not use price indexes to revalue assets.

The Mass Revaluation process includes the following steps:

- Create Mass Revaluation Definition
- Preview Revaluation
- Run Revaluation
- Optionally Review Revaluation

Tip: To obtain a value for replacement cost for insurance purposes, run the Mass Revaluation Preview Report without performing the revaluation.

Prerequisites

- Set up your Revaluation Rules and Accounts. See: Defining Depreciation Books., page 11-59

To revalue all assets in a category:

1. Navigate to the Mass Revaluation window.
2. Enter the Book for which you want to revalue assets.
3. Enter a Description of the revaluation definition.
4. Specify revaluation rules. See: Asset Management In a Highly Inflationary Economy (Revaluation), page 5-32
5. Enter the category you want to revalue.
6. Enter the revaluation percentage rate to revalue your assets. Enter either a positive or negative number.
7. Override revaluation rules if necessary.
8. Choose Preview.

Oracle Assets runs the Mass Revaluation Preview Report so you can preview what effect this revaluation will have when you perform it. If necessary, update the definition and run the preview report again.

Note: You must preview the revaluation definition before you perform it.

9. Find the revaluation definition using the Mass Transaction Number.

10. Choose Run. Oracle Assets begins a concurrent process to perform the revaluation.
11. Review the log file after the request completes.

Note: You cannot run Mass Revaluation more than once per period. Once you run Mass Revaluation, values are changed in the Oracle Assets system. If you re-run Mass Revaluation in the same period, the Mass Revaluation calculation will be based on the previous Mass Revaluation calculation. You can run the Mass Revaluation Preview report as many times as you like, without affecting actual values in the system.

To revalue an individual asset:

- Enter the asset number you want to revalue instead of a category. If you revalue a single asset in a category which is also being revalued, the rate you enter for the asset overrides the category rate.

To review the effects of a revaluation:

1. Navigate to the Mass Revaluations window.
2. Find the revaluation definition you want to review.
3. Choose Review to run the Mass Revaluation Review Report.
4. Review the log file and report after the request completes.

To copy an existing revaluation definition:

1. Navigate to the Mass Revaluations window.
2. Query the revaluation definition you want to copy.
3. Choose Special, Copy Definition from the menu.
4. Specify your rates and override any of the copied information in your new definition.
5. Save your work.

Related Topics

Asset Management in a Highly Inflationary Economy (Revaluation), page 5-32

Journal Entries for Revaluations, page 8-42

Mass Revaluation Preview and Review Reports, page 12-87

Revaluation Reserve Detail and Summary Reports, page 12-49

Revaluation Reserve Balance Report, page 12-49

Asset Management in a Highly Inflationary Economy (Revaluation)

Oracle Assets allows you to periodically adjust the value of your capitalized assets due to inflation or deflation, according to rates you enter. This process is known as revaluation. The rules for revaluation often differ from country to country. Oracle Assets has the flexibility to handle your specific requirements.

Oracle Assets multiplies the asset cost by the revaluation rate you enter in the Mass Revaluations window to determine the adjustment to the asset cost.

Revaluations are not processed for:

- Fully retired assets
- Assets with pending retirements

Tip: Since Oracle Assets does not Mass Copy revaluations, when you perform a revaluation in your corporate book, also perform it in each tax book associated with that corporate book.

Set Up Revaluation Accounts

You must set up the following revaluation accounts before you can perform a revaluation:

- Revaluation reserve account and revaluation amortization account for each category in the Asset Categories window
- Revaluation reserve retired gain and loss accounts in the Book Controls window

Specify Default Revaluation Rules

Allow revaluation and specify default revaluation rules for a book in the Book Controls window. If necessary, you can override these rules when creating a revaluation definition in the Mass Revaluations window.

Revalue Accumulated Depreciation

If you decide to revalue accumulated depreciation, Oracle Assets revalues the accumulated depreciation by the same rate by which you revalue your asset cost. Then

it determines the change in net book value and transfers the difference to the revaluation reserve account. Oracle Assets calculates current depreciation expense based on the net book value after revaluation, salvage value, and the remaining life.

Revalue YTD Depreciation

If you need to revalue depreciation expense, Oracle Assets creates a journal entry including a line crediting or debiting the depreciation expense account. The amount credited or debited results from applying the revaluation rate to the year-to-date depreciation. Assets that are fully reserved will be adjusted for inflation without extending the life of the asset.

Change In Net Book Value = Change In Asset Cost - Change In Accumulated Depreciation

If you decide not to revalue accumulated depreciation, Oracle Assets transfers the current accumulated depreciation to revaluation reserve. In this case, Oracle Assets calculates current depreciation expense based on the recoverable cost after revaluation and the remaining life.

If you do not amortize the revaluation reserve, the amount remains in the revaluation reserve account until you retire the asset.

Retire Revaluation Reserve

If you want to retire revaluation reserve, Oracle Assets creates journal entries for the remaining reserve to the revaluation reserve retired gain or loss accounts when you retire assets.

Revalue Fully Reserved Assets

You can revalue fully reserved assets that are depreciating under a life-based method. If you choose to revalue fully reserved assets, Oracle Assets also requires you to enter a life extension factor to extend the asset life.

Oracle Assets does not revalue fully retired assets. So if you retire an asset, revalue its category, and reinstate it, the asset is reinstated without being revalued. You can revalue it individually if necessary.

Maximum Fully Reserved Revaluations

You can limit the number of times an asset can be revalued as fully reserved. If you allow revaluation of fully reserved assets, Oracle Assets does not revalue a fully reserved asset if the revaluation exceeds the maximum number of times you can revalue an asset as fully reserved.

Life Extension Factor

When you revalue a fully reserved asset, you must extend the asset life so its revalued cost can be depreciated over one or more periods. To determine the new asset life,

Oracle Assets multiplies the original asset life by the life extension factor. The new life is calculated from the Date Placed in Service (DPIS). Then the new depreciation starts in the month after the asset has become fully reserved or matured and not on the date the asset was revalued.

Example:

DPIS	Original Term	Original Maturity Date	Fully Reserved Date	Life Extension Factor	New Term	Revised Maturity Date	New Depreciation Start Date
Jan 1, 2010	4M	April 30, 2010	Feb 28, 2010	2	8M	Aug 30, 2010	Mar 1, 2010
Mar 1, 2010	1M	Mar 30, 2010	Mar 30, 2010	4	4M	Jul 30, 2010	April 1, 2010

Revalue CIP Assets

If you want to include CIP assets in the revaluation of a tax book, Oracle Assets includes all the tax book CIP assets in the revaluation calculation. This rule is only available for tax books. By default, this rule is selected if the tax book allows CIP assets.

Life Extension Ceiling

The life extension ceiling limits the amount of depreciation you can back out when you revalue fully reserved assets. If your life extension factor is greater than the life extension ceiling, Oracle Assets uses the life extension ceiling to calculate the new accumulated depreciation and the depreciation adjustment. It uses the life extension factor to calculate the new asset life regardless of whether a life extension ceiling exists.

Revaluation Ceiling

Use the ceiling to prevent revaluation above the fair market value. Enter the revaluation ceiling in the Books window.

Related Topics

Control Your Revaluation, page 5-34

Revaluing Assets, page 5-29

Control Your Revaluation

Use the status to track your revaluation. The revaluation status determines what action to perform next. The following table defines each revaluation status and their next

action available.

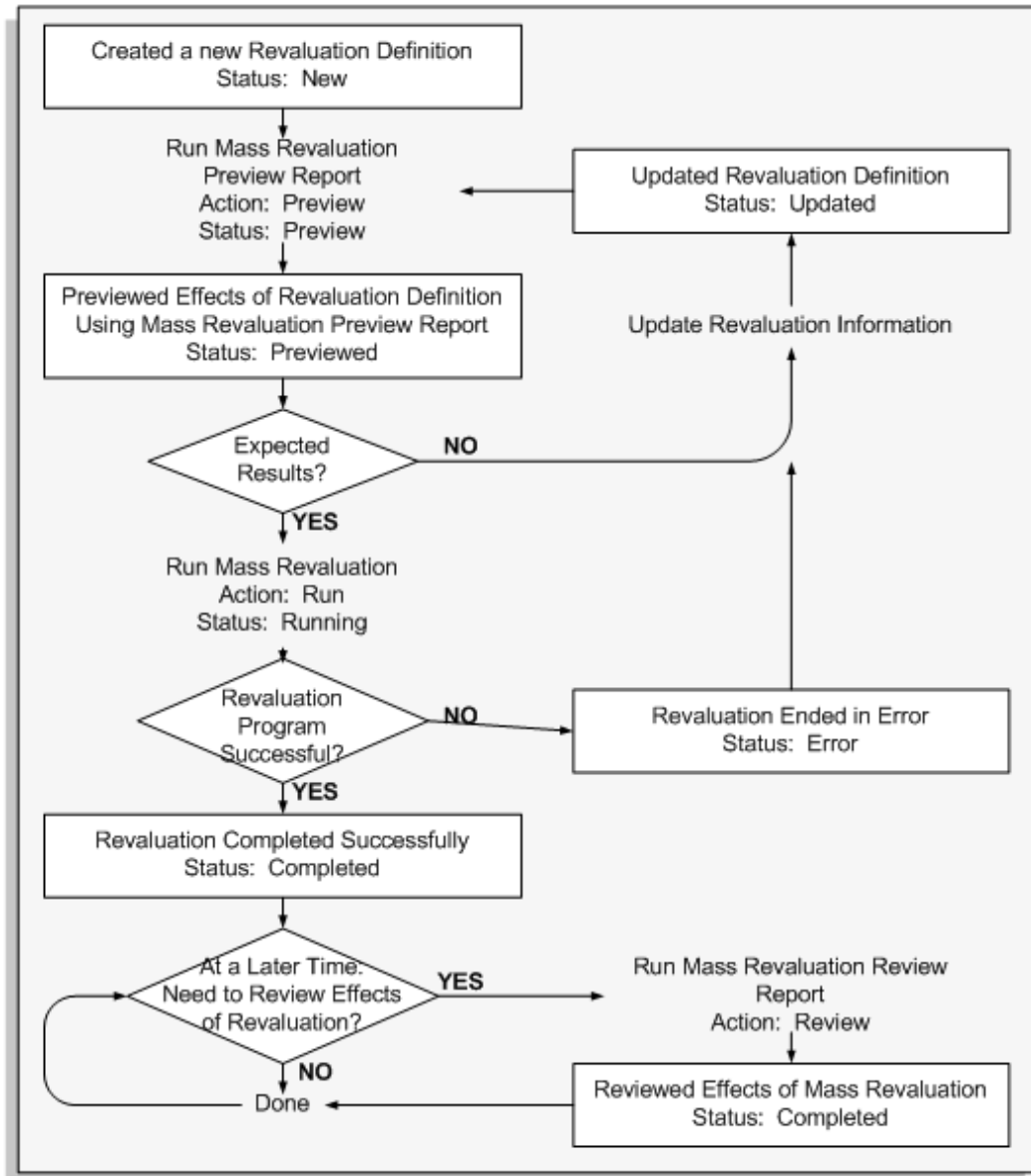
Status	Definition	Possible Action
New	Newly created mass depreciation definition	Preview
Preview	Preview report currently running	None
Previewed	Preview report completed successfully	Run
Updated	Revaluation definition updated after previewing	Preview
Running	Revaluation currently running	None
Completed	Revaluation completed successfully	Review Copy
Error	Preview report or revaluation completed in error	Preview or Run, whichever failed

Use Mass Transaction Number to Track Your Revaluation Definition

When you save a new definition, Oracle Assets gives it a unique Mass Transaction Number. Use this number to find your revaluation definition when you want to perform the next stage in the transaction cycle.

Mass Revaluation Process

The following figure graphically illustrates the Mass Revaluation process. A detail description of the process was provided in the preceding text.



Related Topics

Defining Depreciation Books, page 11-59

Setting Up Asset Categories, page 11-188

Revaluing Assets, page 5-29

Mass Revaluation Preview and Review Reports, page 12-87

Revaluation Reserve Detail and Summary Reports, page 12-49

Revaluation Reserve Balance Report, page 12-49

Asset Impairments

This section covers the following topics:

- Overview, page 5-37
- Application Setup, page 5-37
- Asset Impairment Business Process, page 5-39
- Impairment Methods, page 5-48
- Asset Impairment Considerations, page 5-67
- Post-Impairment Transactions, page 5-67
- Asset Impairment Reports, page 5-69
- Loading Impairment Data, page 5-72

Overview

Capital assets may incur unexpected or sudden decline in value. This decline in value could be due to physical damage to the asset, obsolescence due to technological innovation, or changes to legal codes. When the recoverable cost of an asset is less than its carrying amount, the amount by which the carrying amount of the asset exceeds its recoverable cost is treated as an impairment loss and is recognized as an expense on the income statement.

- Salvage value of an asset does not influence its carrying amount.
- The Impairment date should be always from the current open period.

It is possible to use Asset Impairments with Asset Revaluations. By default, when an asset that has a revaluation reserve is impaired, the revaluation reserve is backed out completely. Similarly, when an asset with impairment reserve is revalued, the impairment reserve is backed out completely before processing the revaluation impact. Only when the Depreciation book is set up to use UK Local Authority Accounting for Revaluations and Impairments, it is possible to offset Impairments Reserve with Revaluation Reserve (and vice-versa).

Setting Up Impairments

To process asset impairments with Oracle Assets, complete the following setup tasks:

- Define Cash Generating Unit , page 5-38
- Assign Impairment Accounts, page 5-38

Defining Cash Generating Unit

A Cash Generating Unit is the smallest identifiable group of assets that generates cash inflows from continuous use and is independent of cash inflows from other assets or group of assets. If your organizations groups assets into Cash Generating Units, perform the following setup to define a cash generating unit.

Define the Cash Generating Units based on the cash inflow criteria for each unit.

1. Navigate to the Define Cash Generating Units window.

Navigation: Setup > Asset System > Cash Generating Units

The screenshot shows the 'Define Cash Generating Units' window. On the left is a navigation tree with the following structure:

- Setup: Asset System: Cash Generating
 - Define Cash Generating Units
 - Setup
 - Asset System
 - Book Controls
 - Asset Categories
 - Fiscal Years
 - Calendars
 - Prorate Conventions
 - System Controls
 - Locations
 - Asset Keys
 - QuickCodes
 - Price Indexes
 - + Leases
 - Distribution Sets
 - Warranties
 - Cash Generating Units**
 - Japanese Depreciable As
 - + Depreciation
 - + Financials
 - + Security

The main window area contains a 'Book' field set to 'ASSET BOOK' and a table with the following data:

Cash Generating Unit	Description	Disabled
Impairments CGU	Impairments Cash Generating Unit	☐
		☐
		☐
		☐
		☐
		☐
		☐
		☐
		☐

An 'Open' button is located at the bottom right of the window.

2. In the Book field, select the asset book name for the Cash Generating Unit.
3. Enter the name and description for unit in the Cash Generating Unit and Description fields.
4. Save your work.

Assign Impairment Accounts

Impairment losses are accounted for in the Organization's General Ledger and are reported on the income statement. In order for the impairment transactions to be accounted for correctly in the general ledger, the general ledger impairment accounts are assigned for the asset category.

Perform the following steps to assign impairment accounts to asset categories:

1. Navigate to the Asset Categories window.

Navigation: Setup > Asset System > Asset Categories

2. Use the Search tool to query the asset category.
3. Query the asset book the impairment accounts are to be assigned.

Asset Categories

Category: COMPUTER-PC
Description: Owned Personal computer
Category Type: Non-Lease
Ownership: Owned
Property Type: PERSONAL
Property Class: 1245

Enabled
Capitalize
In Physical Inventory

General Ledger Accounts

Account	Book
Asset Cost	ASSET BOOK
Asset Clearing	01-000-1560-0000-000
Depreciation Expense	01-000-1570-0000-000
Accumulated Depreciation	01-000-7360-0000-000
Bonus Expense	01-000-1660-0000-000
Bonus Reserve	01-000-7360-0000-000
Revaluation Reserve	01-000-1660-0000-000
Revaluation Amortization	01-000-1560-0000-000
CIP Cost	01-000-1680-0000-000
CIP Clearing	
Impairment Expense	
Accumulated Impairment	01-000-7365-0000-000
Unplanned Depreciation Expense	01-000-1710-0000-000
Alternate Asset Cost	
Write-Off Expense	

4. Enter the impairment account combination in the Impairment Expense and Accumulated Impairment fields.
5. Save your work.

Asset Impairment Business Process

The following are the processes for creating, posting and managing asset impairment:

- Assigning Cash-Generating Units to Assets (Optional), page 5-40
- Entering and Uploading Asset Impairments, page 5-42
- Updating Asset Impairments, page 5-44

- Reviewing Asset Impairment Reports, page 5-45
- Posting Asset Impairments, page 5-46
- Viewing Asset Impairments, page 5-46
- Rolling Back Asset Impairments, page 5-47
- Deleting Asset Impairments, page 5-48

Assigning Cash-Generating Units to Assets (Optional)

Use one of the following options, to assign assets to a Cash Generating Unit:

- Manual Assignment, page 5-40
- WebADI Assignment, page 5-41

Manual Assignment

Perform the following steps to manually assign an existing asset to a Cash Generating Unit:

1. Navigate to the Asset Workbench window.
Navigation: Assets > Asset Workbench
2. Query the asset to be assigned.
3. Click the Book button to open the Books window.
4. In the Book field, select the asset book from the list of values.
5. Click the Impairment tab.

The screenshot shows a software window titled "Books" with a tabbed interface. The "Impairment" tab is selected. The window is divided into several sections:

- Asset Information:** Asset Number (109662), Book (ASSET BOOK), Reference Number, and Comments.
- Financial Information:**
 - Current Cost: 5,000.00
 - Original Cost: 5,000.00
 - Salvage Value Type: Amount (dropdown)
 - Salvage Value: 0.00
 - Recoverable Cost: 5,000.00
 - Net Book Value: 3,000.00
- Depreciation/Impairment Summary:**
 - YTD Depreciation: 694.45
 - Accumulated Depreciation: 694.45
 - Salvage Value Percent: %
 - Revaluation Ceiling: (empty)
 - Revaluation Reserve: 0.00
- Impairment Details (under the 'Impairment' tab):**
 - Accumulated Impairment: 1,305.55
 - YTD Impairment: 1,305.55
 - Cash Generating Unit: Impairments CGU

At the bottom of the window are three buttons: "Unplanned Depreciation", "Done", and "Cancel".

6. Select the Cash Generating Unit from the list of values.
7. Save your work.

WebADI Assignment

Perform the following steps to use the Cash Generating Units WebADI spreadsheet to assign assets to a cash generating unit:

1. Navigate to the Assign Cash Generating Units spreadsheet.
Navigation: Assets > Impairment > Assign Cash Generating Units
2. In the spreadsheet enter the following data:
 - Book: From the list of values, select the asset book from which the assets are to be assigned to the cash generating unit.
 - Asset Number: From the list of values, select the asset numbers to be assigned to the cash generating unit.
 - Cash Generating Unit: From the list of values, select the cash generating unit.

View Context	View Header	View Line
Database	RWS60180REMS.FZ1UT21	
Book	* List - Text Asset Book	
Upl Asset Number	Cash Generating Unit	Messages
* List - Text	* List - Text	
109662	Impairments CGU	☐

Tip: This is not the end of the Template. Unprotect the sheet and insert as many rows as needed.

3. Upload the assignments. From the main menu go to Oracle > Upload.

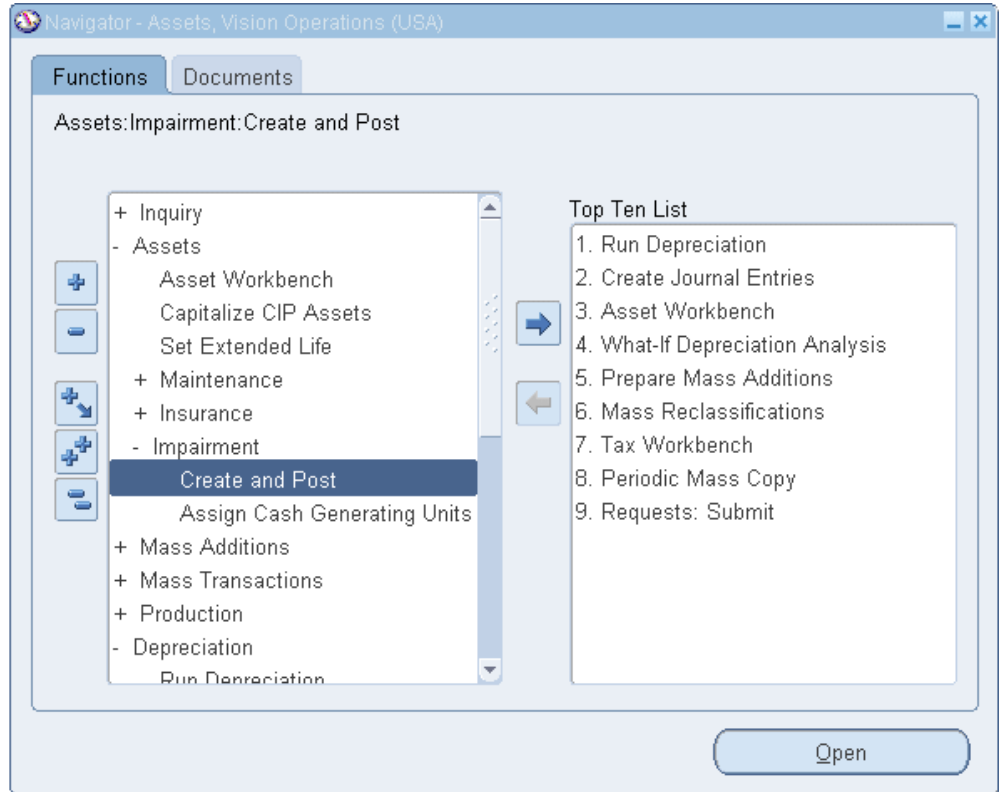
Entering and Uploading Asset Impairments

Oracle Assets uses the WebADI for creating, loading and maintaining impairment transactions.

Perform the following steps to create and upload asset impairment transactions:

1. Navigate to the Create and Post Impairments window

Navigation: Assets > Impairment > Create and Post



2. Click the New Impairment button. The File Download window is displayed.
3. Choose to Open the file when prompted. The system will download and display the Impairments spreadsheet. The Confirmation window will appear. Click Close to return to the spreadsheet.
4. Populate the mandatory header fields (Book, Impairment Name and Impairment Date) and Impairment detail information (Status, Cash Generating Unit / Asset Number, Net Selling Price, Value in Use, Impairment Loss, Goodwill, and optionally Comments).

5. Upload the records to the system for processing. From the main menu go to Oracle > Upload; The Upload Parameter window is displayed. Accept the defaults and click Upload to start the process.
6. The Process Impairments request is executed. When the process is successfully completes, the Upload Parameters window displays the Request ID for the Impairment Preview Process.

A	B	C	D	E	F	G	H	I	J	K
View Context		View Header		View Line						
Database		RWS60180REMS.FZ1UT212								
Book		* List - Text Asset Book								
Impairment Name		* Text IAS 36 Impairment								
Impairment Date		* Date 1-May-09								
User Entered Date		Date								
Upl		Cash Generating Unit	Asset Number	Net Selling Pric	Value in Use	Impairment Lo:	Goodwill Amou	Goodwill Asset	Status	Comments
		Conditionally required	Conditionally requir	Value	Value	Value	Value	Value	* List - Text	Text
Rs			109662	3000					Preview	
Rs			109682	3500	2800				Preview	
Rs			109664			1000			Preview	

Updating Asset Impairments

Use the Update Impairment icon to modify the impairment's status or transaction details. Only impairments processed with a status of Preview can be posted.

Perform the following steps to update an existing unposted impairment:

1. Navigate to the Create and Post Impairments window.

Navigation: Assets > Impairments > Create and Post

2. Enter the query criteria: Book, Cash-Generating Unit, Impairment Name, Asset Number, Impairment Date and/or Status. Click the Go button.

Asset Impairment

Search or Enter Impairment

* Book: Cash Generating Unit:

Impairment Name: Asset Number:

Impairment Date: Status:

Select Object:

Select All | Select None

Select	Impairment Name	Book	Impairment Date	Cash Generating Unit	Asset Number	Currency	Net Book Value	Net Selling Price	Value In Use	Impairment Loss	Status	Comments	Update Impairment	Update Allocation
☒	IAS 36 Impairment	ASSET BOOK	01-May-2009		110562	USD		3000			New		Update	Allocation

About this Page Privacy Statement Diagnostics Home Logout Preferences Copyright (c) 2006, Oracle. All rights reserved.

3. Click Update Impairment button for the row of the impairment to update. The File Download window is displayed.
4. Choose to Open the file when prompted. The system will download and display the Impairments spreadsheet. The Confirmation window will appear, Click Close to return to the spreadsheet.
5. Make the necessary updates to the impairment record.
6. Upload the records to the system for processing. From the main menu go to Oracle > Upload; The Upload Parameter window is displayed. Accept the defaults and click Upload to start the process.
7. The Process Impairments request is executed. When the process is successfully completed, the Upload Parameters window displays the Request ID for the Impairment Preview process.

Reviewing Asset Impairment Reports

The Asset Impairment report is created as part of the upload process. The report displays the following details of the impairments entered: cost, new net book value, net selling price, value in use and impairment loss amount. Only impairments with a status of Preview are included in the report. Use the Asset Impairment report to review and validate the impairment transactions prior to posting the transaction to Oracle Assets.

Perform the following steps to view the Asset Impairment Report:

- Navigate to Requests window.

Navigation: View > Requests

- Search or Enter in the Request ID for the Impairment Preview Process displayed in the Upload Parameters Confirmation window.
- Select the Request ID row for the Asset Impairment report.
- Click View Output.

Posting Asset Impairments

Impairments are not reflected against the asset until the impairment is posted to Oracle Assets. After confirming the impairment transactions are correct using the Asset Impairment report, commit the results by posting the impairment.

Perform the following to post the impairment transaction to Oracle Assets:

1. Navigate to the Create and Post Impairments window.

Navigation: Assets > Impairments > Create and Post

2. Enter the query criteria: Book, Cash-Generating Unit, Impairment Name, Asset Number, Impairment Date and/or Status. Click the Go button.
3. Check Select box for the row of the impairments to be posted. Press Post button to launch the process.
4. Click Yes to confirm and post the impairments.
5. The Process Impairments concurrent program is executed and the concurrent request id is displayed.
6. Upon successful completion of the posting process, the Asset Impairment report is generated once again and the impairment's status is updated to Posted.

Viewing Asset Impairments

After the posting process is complete, use the Financial Inquiry feature in Oracle Assets to view the results of the impairment transaction posted to the asset.

Perform the following to view impairments posted to an asset:

1. Navigate to Financial Inquiry window.

Navigation: Inquiry > Financial Information

2. Query the asset by Asset Detail or Book. The View Financial Information window will appear displaying financial data for the selected asset.

Financial Information		Depreciation	
Asset Number	109662	Reference Number	
Book	ASSET BOOK	Comments	[]
Current Cost	5,000.00	YTD Depreciation	694.45
Original Cost	5,000.00	Accumulated Depreciation	694.45
Salvage Value Type	Amount	Salvage Value Percent	%
Salvage Value	0.00	Revaluation Ceiling	
Recoverable Cost	5,000.00	Revaluation Reserve	0.00
Net Book Value	3,000.00		

Impairment	
Accumulated Impairment	1,305.55
YTD Impairment	1,305.55
Cash Generating Unit	Impairments CGU

Buttons: Unplanned Depreciation, Done, Cancel

3. Click the Impairments tab to display the Impairment details for the asset.

Rolling Back Asset Impairments

If after the impairment is posted to Oracle Assets it is determined that the impairment transactions was invalid, the effects of the impairment can be "rolled back". Impairments can only be rolled back in the asset period the transaction was posted and as long as the asset period is still open. Once the impairment is rolled back, the impairment cannot be posted again. A new impairment transaction will need to be created.

Perform the following steps to rollback an impairment:

1. Navigate to the Create and Post Impairments window.
Navigation: Assets > Impairments > Create and Post
2. Enter the query criteria such as Book, Cash-Generating Unit, Impairment Name, Asset Number, Impairment Date and Status. Click the Go button.
3. Check Select box for the impairments to be rolled back. Click the Rollback button to launch the process.
4. Click Yes to confirm and rollback the impairments.
5. The Process Impairments concurrent program is executed and the concurrent request id is displayed.
6. Upon successful completion of the process the impairment's status is updated to

Deleted.

Deleting Asset Impairments

Use the Delete functionality to delete unposted asset impairments from the system.

Perform the following to delete unposted impairments:

1. Navigate to the Create and Post Impairments window.
Navigation: Assets > Impairments > Create and Post
2. Enter the query criteria such as Book, Cash-Generating Unit, Impairment Name, Asset Number, Impairment Date and Status. Click the Go button.
3. Check Select box for the row of the unposted impairments to be deleted. Click Delete button to launch the process.
4. Click Yes to confirm and delete the impairments.
5. The Confirmation is displayed with the Impairment ID of the deleted impairment and the impairment's status is updated to Deleted.

Impairment Methods

There are several methods for deriving the impairments loss amount on an asset. The method used is based on customer's business practices and regulatory guidance. The methods supported by Oracle Assets are as follows:

- Calculate Impairment Loss using either Fair Value (Net Selling Price) or Value in Use for the asset., page 5-50
- Calculate Impairment Loss using both Fair Value (Net Selling Price) and Value in Use for the asset., page 5-52
- Using Known Impairment Loss Amount, page 5-53.
- Reversing Impairment Losses in a future period., page 5-54

Examples of Impairment Methods and Corresponding Accounting Entries

Below highlights the logic and accounting entries generated for the various methods mentioned above.

- The account entries detailed may not reflect all the accounting entries created by Oracle Assets for an asset.
- For Japan Depreciation methods specific calculations and examples,

see the FY2007 Japan Tax Reforms - Asset Impairment Changes for Japan section, page 11-152 .

Initial Data for Impairments Transactions Examples

A. Asset Addition

Asset Setup Item	Asset Setup Information
Book Type Code	Asset Book
Asset Numbers	109662,109663,109664,109682
Method	STL 3Y
Cost	5,000
Addition Period	Feb-2009
DPIS	01-JAN-2009
Prorate Date	01-JAN-2009
Depreciate	Y
Divide Depreciation	Evenly

Depreciation has been run until MAY- 2009. As of May 01, 2009 the assets' details are as follows:

B. Current Asset Data

Asset Item	Asset Information
Cost	5,000
Depreciation Reserve	555.56
Monthly Depreciation	138.89

Calculate Impairment Loss Using Either Fair Value (Net Selling Price) or Value in Use for the Asset

Users can enter in either the Fair Value (Net Selling Price) or the Value in Use to determine the impairment loss amount. The system calculates the impairment loss amount based on which value has been entered.

Example 1: Using Fair Value (Net Selling Price)

The impairment is created with the following transaction details:

Impairment Transaction

Impairment Item	Impairment Value
Book	Asset Book
Impairment Name	IAS 36 Impairment
Impairment Date	01-May-2009
Status	Preview
Asset Number	109662
Fair Value (Net Selling Price)	3,000

The impairment transaction is uploaded to the interface and posted to the asset.

Impairment calculations are as follows:

Carrying Amount (NBV) = Cost - (Accumulated Depreciation + Current Period Depreciation) - Previous Impairment Expense

$$5,000 - 694.45 - 0 = 4,305.55$$

Note: When determining the NBV, the depreciation for the current period is added to the Accumulated Depreciation. That is, May-09, 694.45 = (555.56 + 138.89).

Since the Carrying Amount > Net Selling Price, the Impairment Loss amount (Expense) is calculated as:

Impairment Loss Amount Expense = Carrying Amount - Net Selling Price

$$4,305.55 - 3,000 = 1,305.55$$

The Adjusted Cost is equal to the Net Selling Price (3000) and will depreciate over the remaining life of the asset. The monthly depreciation is recalculated as follows:

Monthly Depreciation = Adjusted Cost / Remaining life in years
 $3,000 / 31 = 96.77$

Example 2: Using Value in Use

The impairment is created with the following transaction details:

Impairment Transaction

Impairment Item	Impairment Value
Book	Asset Book
Impairment Name	IAS 36 Impairment
Impairment Date	01-May-2009
Status	Preview
Asset Number	109663
Value in Use	3,000

The impairment transaction is uploaded to the interface and posted to the asset.

Impairment calculations are as follows:

Carrying Amount (NBV) = Cost - (Accumulated Depreciation + Current Period Depreciation) - Previous Impairment Expense

$5,000 - 694.45 - 0 = 4,305.55$

Note: When determining the NBV, the depreciation for the current period is added to the Accumulated Depreciation. That is, May-09, $694.45 = (555.56 + 138.89)$.

Since the Carrying Amount > Value in Use, the Impairment Loss Amount (Expense) is calculated as:

Impairment Loss Amount (Expense) = Carrying Amount - Value in Use

$4,305.55 - 3,000 = 1,305.55$

The Adjusted Cost will be equal to the Value in Use (3,000) and will depreciate over the remaining life of the asset. The monthly depreciation is recalculated as follows:

Monthly Depreciation = Adjusted Cost / Remaining life in years

$3,000 / 31 = 96.77$

Calculate Impairment Loss Using Fair Value (Net Selling Price) and Value in Use for the Asset

Users can enter in both the Fair Value and Value in Use for the asset or cash-generating unit to determine the impairment loss amount. The system calculates the impermanent loss amount based on both values entered.

Example 3: Using both Fair Value and Value in Use

The impairment is created with the following transaction details:

Impairment Transaction

Impairment Item	Impairment Value
Book	Asset Book
Impairment Name	IAS 36 Impairment
Impairment Date	01-May-2009
Status	Preview
Asset Number	109682
Value in Use	2,800
Net Selling Price	3,500

The impairment transaction is uploaded to the interface and posted to the asset.

Impairment calculations are as follows:

Carrying Amount = Cost - (Accumulated Depreciation + Current Period Depreciation) - Previous Impairment Expense

$$5,000 - 694.45 - 0 = 4,305.55$$

Note: When determining the NBV the depreciation for the current period is added to the Accumulated Depreciation. That is, May-09, 694.45 = (555.56 + 138.89).

Since the Carrying Amount > Max (Value in Use, Net Selling Price), the Impairment Loss Amount (Expense) is calculated as:

Impairment Loss Amount (Expense) = Carrying Amount - Net Selling Price

$$4,305.55 - 3,500 = 805.55$$

The Adjusted Cost is equal to the Maximum (Value in Use, Net Selling Price) = 3,500 and will depreciate over the remaining life of the asset. The monthly depreciation is recalculated as follows:

Monthly Depreciation = Adjusted Cost / Remaining life in years

$$3,500 / 31 = 112.90$$

Using Known Impairment Loss Amount

When the Impairment Loss amount is known, users can enter in the Impairment Loss amount directly into the system and the system will use the entered amount for the impairment calculations.

Example 4: Known Impairment Loss Amount

Impairment Transaction

Impairment Item	Impairment Value
Book	Asset Book
Impairment Name	IAS 36 Impairment
Impairment Date	01-May-2009
Status	Preview
Asset Number	109664
Impairment Expense	1,000

The Impairment transaction is uploaded to the interface and posted to the asset.

Impairment Calculations are as follows:

Adjusted Cost = Cost - (Accumulated Depreciation + Current Period Depreciation) - Impairment Loss Amount

$$3,305.55 = 5,000 - 694.45 - 1,000$$

Note: When determining the Adjusted Cost (NBV), the depreciation for the current period is added to the Accumulated Depreciation. That is, May-09, 694.45 = (555.56 + 138.89).

The monthly depreciation is recalculated as follows:

Monthly Depreciation = Adjusted Cost / Remaining life in years

$$106.63 = 3,305.55 / 31$$

Reversing the Impairment Loss in a Future Period

There are two ways to reverse impairment transactions once the impairment loss has been posted to Oracle Asset:

- In the transaction period the impairment was posted (Rollback).
- In a future period when the asset's Value in Use and/or Net Selling Price are different.

Reversing Impairments in a future period may be necessary to:

- Correct a previous impairment transaction that was mistakenly added to the asset.
- Reverse the previous impairment by actualizing the asset information in the future current period as the result of change in Value in Use and/or Net Selling Price.

Current Asset Data Before Reversal

Asset Item	Asset Information
Current Period Counter	AUG-2009
Asset Numbers	109662, 109663
Cost	5,000
Depreciation Reserve	984.76
Monthly Depreciation	96.77
Previous Impairment Expense	1,305.55
Carrying Amount (NBV)	2,709.69

Correcting Previous Impairment Transaction

Users will use this method when it is necessary to remove the effects of a previous impairment transaction and the depreciation to be expensed going forward is as if the impairment transaction had never taken place. As a result, at the end of the asset life, the depreciation reserve on the asset will be the same value as the cost of the asset.

In order to reverse the impairment transaction it is necessary to calculate the asset's NBV on the Impairment Date as if the impairment had not taken place.

For example, on 01-May-2009 the asset's Value in Use and Net Selling Price would have been 4,305.55 (5000 - (5*138.89)). In order to reverse the effects of the impairment, a backdated amortized adjustment is performed using the impairment date and the Value in Use / Net Selling Price of 4,305.55 or the Impairment Loss (Expense) amount of <1,305.55>.

Example 5: Reversing Impairments using Value in Use and Net Selling Price:

The impairment is created with the following transaction details:

Impairment Transaction

Impairment Item	Impairment Value
Book	Asset Book
Impairment Name	IAS 36 Impairment
Impairment Date	01-May-2009
Status	Preview
Asset Number	109662
Fair Value (Net Selling Price)	4,305.55

The impairment transactions is uploaded to the interface and posted to the asset.

Impairment calculations are as follows:

Carrying Amount = Cost - (Accumulated Depreciation + Current Period Depreciation) - Previously Impairment Expense

$$3,000 = 5,000 - (5*138.89) - 1,305.55$$

Since the Carrying Amount < Max (Value in Use, Net Selling Price). The Impairment Loss Amount (Expense) is calculated as:

Impairment Loss Amount (Expense) = Carrying Amount - Value in Use

$$-1,305.55 = 3,000 - 4,305.55$$

Depreciation Catch-up

$$(3*138.89) - (3*96.77) = 416.67 - 290.31 = 126.36$$

Adjusted Cost = Cost - (Accumulated Depreciation + Current Period Depreciation) - Previously Impairment Expense - Impairment Loss Amount (Expense)

$$3,888.89 = 5,000 - (984.76 + 126.36) - 1,305.55 - (-1,305.55)$$

The Adjusted Cost is now equal to 3,888.89 and will be depreciated over the remaining life of the asset.

The monthly depreciation is recalculated as follows:

Monthly Depreciation = Adjusted Cost / Remaining life in years

$138.89 = 3,888.89 / 28$

Reverse Previous Impairment by Actualizing Asset Data Starting from Current Period

Due to the economic changes, the Value in Use and Fair Value of the asset are considered as if the assets have not had a prior impairment. Meaning the values for period AUG-2009 will be 3,888.89 ($5,000 - (8 * 138.89)$). The same result would also occur if used the Impairment Loss amount of <1,305.55 > with an Impairment Date in the AUG-2009 period.

Example 6: Reversing Impairment by Actualizing the Asset Data Starting from Current Period

In this example, Value in Use and Net Selling Price will be used.

The impairment is created with the following transaction details:

Impairment Transaction

Impairment Item	Impairment Value
Book	Asset Book
Impairment Name	IAS 36 Impairment Reversal
Impairment Date	01-Aug-2009
Status	Preview
Asset Number	109663
Value in Use / Net Selling Price	3,888.89

The impairment transaction is uploaded to the interface and posted to the asset.

Impairment calculations are as follows:

Carrying Amount (NBV) = Cost - (Accumulated Depreciation + Current Period Depreciation) - Previously Impairment Expense

$2,709.69 = 5,000 - 984.76 - 1,305.55$

Since the Carrying Amount < Max (Value in Use, Net Selling Price), the Impairment

Loss Amount (Expense) is calculated as:

Impairment Loss Amount (Expense) = Carrying Amount - Value in Use

-1,179.2 = 2,709.69 - 3,888.89

Depreciation is calculated from now on the Adjusted Cost (Value in Use) over the remaining life.

The monthly depreciation is recalculated as follows:

3,888.89 / 28 = 138.89

Impairment Journals

The following examples provide the accounting entries that are generated for:

- Asset impairment with no prior revaluation, page 5-57
- Asset impairment with a prior revaluation, page 5-60

Example of Accounting for Impairment Loss with no Prior Revaluation

This example is related to an asset impairment where the asset has had no prior revaluation.

On February 1, 2009, an asset was purchased and recorded into Oracle Assets with the following details:

A. Asset Addition

Asset Setup Item	Asset Setup Information
Book Type Code	Asset Book
Method	STL 3Y
Cost	5,000
Addition Period	Feb-2009
DPIS	01-JAN-2009
Prorate Date	01-JAN-2009
Depreciate	Y
Divide Depreciation	Evenly

Asset Setup Item	Asset Setup Information
Salvage Value	0.00

Depreciation has been run until MAY- 2009. As of May 01, 2009 the assets' details are as follows:

B. Current Asset Data

Asset Item	Asset Information
Cost	5,000
Depreciation Reserve	555.56
Monthly Depreciation	138.89

On May 1, 2009, it was determined the asset was damaged. The following impairment transaction is recorded:

Impairment Transaction

Impairment Item	Impairment Value
Book	Asset Book
Impairment Name	IAS 36 Impairment
Impairment Date	01-May-2009
Status	Preview
Impairment Loss Amount (Expense)	1,000

Impairment calculations are as follows:

Adjusted Cost (NNBV) = Cost - (Accumulated Depreciation + Current Period Depreciation) - Impairment Loss Amount

3,305.55 = 5,000 - 694.45 - 1000

Note: When determining the Adjusted Cost (NNBV) the depreciation for the current period is added to the Accumulated Depreciation. That is, May-09, 694.45 = (555.56 + 138.89).

The monthly depreciation is recalculated as follows:

Monthly Depreciation = Adjusted Cost (NNBV) / Remaining life in years

106.63 = 3,305.55 / 31

The effect of the impairment is illustrated in the following table:

Date	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period) *1	Asset NNBV *2	Revaluation Reserve	Revaluation Amortization	Accumulated Impairment
Feb-09	5,000	277.78	277.78	4,722.22				
Mar-09		138.89	416.67	4,583.33				
Apr-09		138.89	555.56	4,444.44				
Impairment				4,305.55	3,305.55			1,000.00
May-09	5,000	138.89	694.45	3,305.55				1,000.00
Jun-09		106.63	801.08	3,198.92				1,000.00

*1 Current Net Book Value

*2 New Net Book Value

The following accounting entries are generated to record the impairment loss without an existing revaluation balance:

Account Description	Debit	Credit
Impairment Loss Expense (Impairment Loss Amount (Expense))	1,000.00	

Account Description	Debit	Credit
Accumulated Impairment (Impairment Loss Amount (Expense))		1,000.00

At the end of the month, the following accounting entry is booked to record the depreciation expense for the May-09 period:

Account Description	Debit	Credit
Depreciation Expense	138.89*	
Accumulated Depreciation		138.89

* Since the current month depreciation is considered in the NBV calculation, depreciation is not recalculated until the following month.

Example of Accounting for Impairment Loss with Prior Revaluation

This example is related to an asset impairment where the asset has had a revaluation and there is an existing revaluation reserve balance.

On February 1, 2009, a used asset was purchased and recorded into Oracle Assets with the following details:

A. Asset Addition

Asset Setup Item	Asset Setup Information
Book Type Code	Asset Book
Method	STL 3Y
Cost	5,000
Addition Period	Feb-2009
DPIS	01-JAN-2009
Prorate Date	01-JAN-2009

Asset Setup Item	Asset Setup Information
Depreciate	Y
Divide Depreciation	Evenly
Salvage Value	0.00

Depreciation has been run until MAY- 2009. As of May 01, 2009 the asset's details are as follows:

B. Current Asset Data

Asset Item	Asset Information
Cost	5,000
Depreciation Reserve	555.56
Monthly Depreciation	138.89

On May 1, 2009, it was determined the asset was undervalued. The following revaluation transaction is recorded:

Revaluation Transaction

Revaluation Item	Revaluation Value
Book	Asset Book
Revaluation Date	01-May-2009
Status	Preview
Revaluation (Adjusted Cost: 6,000)	20%

Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations - Accumulated Depreciation - Accumulated Impairments - Retirements

$$\text{CNBV} = 5,000.00 + 0.00 + 0.00 - 555.56 - 0.00 - 0.00$$

CNBV = 4,444.44

Adjusted Cost (NNBV) = Asset value change as deemed by professional valuation

Adjusted Cost (NNBV) = Cost + (Cost * Rate %)

6,000 = 5,000 + (5,000 * 20%)

Revaluation Amount = NNBV - CNBV

Revaluation Amount = 1,555.56

The effect of the revaluation is illustrated in the following table:

Date	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period) *1	Asset NNBV *2	Revaluation Reserve	Revaluation Amortization	Accumulated Impairment
Feb-09	5,000	277.78	277.78	4,722.22				
Mar-09		138.89	416.67	4,583.33				
Apr-09		138.89	555.56	4,444.44				
Revaluation			555.56	4,444.44	6,000.00	1,555.56	48.61	
May-09	6,000	187.50	187.50	5,812.50		1,506.95	48.61	
Jun-09		187.5	375.00	5,625.00		1,458.34	48.61	

*1 Current Net Book Value

*2 New Net Book Value

The following accounting entries are generated to record the revaluation.

When booking a revaluation on the asset, an entry to the Accumulated Depreciation account is made to reverse the accumulated depreciation to date on the asset and set the account balance to zero. This will cause the fixed asset cost to be equal to the new net book value.

Account Description	Debit	Credit
Accumulated Depreciation	555.56	

Account Description	Debit	Credit
Fixed Asset Cost (Revaluation Amount – Accumulated Depreciation)	1,000.00	
Revaluation Reserve		1,555.56

- If the result of (Revaluation Amount - Accumulated Depreciation) is positive, then the Fixed Asset Cost account is debited.
- If the result of (Revaluation Amount - Accumulated Depreciation) is negative, then the Fixed Asset Cost account is credited.

At the end of the month, the following accounting entry is booked to record the new depreciation expense for the period (May-09):

Account Description	Debit	Credit
Depreciation Expense	187.50*	
Accumulated Depreciation		187.50

* Depreciation is recalculated and is based on the revalued net book value.

Monthly Depreciation = Adjusted Cost (NNBV) / Remaining deprecation periods

$$187.50 = (6,000 / 32)$$

On September 1, 2009 the asset suffered damage due to flooding in the area. The following impairment transaction is recorded:

Impairment Transaction

Impairment Item	Impairment Value
Book	Asset Book
Impairment Name	IAS 36 Impairment
Impairment Date	01-Sep-2009

Impairment Item	Impairment Value
Status	Preview
Impairment Loss Amount (Expense)	4,000

When determining the current net book value (CNBV), the current period's depreciation is included in the CNBV calculation.

Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations - (Accumulated Depreciation + Current Period Depreciation) - Accumulated Impairments - Retirements

$CNBV = 5,000.00 + 0.00 + 1,000.00 - 937.50 - 0.00 - 0.00$

$CNBV = 5,062.50$

Impairment Loss Amount = 4,000.00

Adjusted Cost (NNBV) = CNBV - Impairment Loss Amount

$1,062.50 = 5,062.50 - 4,000.00$

The monthly depreciation is recalculated as follows:

Monthly Depreciation = Adjusted Cost (NNBV) / Remaining life in years

$39.35 = 1,062.50 / 27$

The effect of the impairment is illustrated in the following table:

Date	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period) *1	Asset NNBV *2	Revaluation Reserve	Revaluation Amortization	Accumulated Impairment
Feb-09	5,000	277.78	277.78	4,722.22				
Mar-09		138.89	416.67	4,583.33				
Apr-09		138.89	555.56	4,444.44				
Revaluation			555.56	4,444.44	6,000.00	1,555.56	48.61	
May-09	6,000	187.50	187.50	5,812.50		1,506.95	48.61	

Date	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period) *1	Asset NNBV *2	Revaluation Reserve	Revaluation Amortization	Accumulated Impairment
Jun-09		187.50	375.00	5,625.00		1,458.34	48.61	
Jul-09		187.50	562.50	5,437.50		1,409.72	48.61	
Aug-09		187.50	750.00	5,250.00		1,361.11	48.61	
Impairment				5,062.50	1,062.50	1,312.50	48.61	4,000
Sep-09		187.50	937.50	1,062.50			48.61	4,000
Oct-09	6,000	39.35	976.85	1,023.15				4,000
Nov-09		39.35	1,016.20	983.80				4,000
Dec-09		39.35	1,055.56	944.44				4,000

*1 Current Net Book Value

*2 New Net Book Value

The following accounting entries are generated to record the impairment with a prior revaluation reserve balance:

Debit	Credit
Revaluation Reserve (Up to the amount of the impairment loss)	
Impairment Loss (Impairment loss not covered by the Revaluation Reserve)	
	Accumulated Impairment (Impairment loss amount)

Note: When determining the amount of the revaluation reserve available, the current month revaluation reserve amortization is taken

in to account. For example, the Revaluation Reserve balance is reduced by the current month's amortization. The remaining balance is then applied to the impairment loss amount to determine the amount to be booked to the Impairment Loss expense account.

At the end of the month, the following accounting entries are booked:

To record the impairment for the period:

Account Description	Debit	Credit
Revaluation Reserve	1,312.50	
Impairment Loss Expense	2,687.50	
Accumulated Impairment		4,000.00

To record the depreciation expense for the period (Sep-09):

Account Description	Debit	Credit
Depreciation Expense	187.50*	
Accumulated Depreciation		187.50

* Since the current month depreciation is considered in the CNBV calculation, depreciation is not recalculated until the following month.

To record the revaluation amortization reserve for the period (Sep-09):

Account Description	Debit	Credit
Revaluation Reserve	45.61*	
Revaluation Amortization		45.61

* The available revaluation reserve is reduced by the current month revaluation amortization to the current period revaluation reserve amortization is recorded to set the accounts to zero.

Asset Impairment Considerations

The following conditions are to be considered when performing impairments in Oracle Assets:

- Mass copy does not copy the impairment transactions to the Tax book.
- Impairment transaction can be performed separately in the Tax book.
- Transfer, reclassification, or Source Line Transfer will move the Accumulated Impairment balance from source to destination asset or distribution.
- If the goodwill asset number is provided in the impairment WebADI spreadsheet and a goodwill amount is not given, the entire net book value of the goodwill asset is considered as goodwill applicable for the Cash Generating Unit.
- Only one impairment transaction in a period is allowed. If additional impairments are required for the asset, rollback the impairment to undo the transactions and create a new impairment transaction for the revised amount.
- The Accumulated Impairment amount is reversed at the time of retirement. Backdated impairment transactions are not allowed.
- Impairment of Group asset and allocation of corporate asset are not supported.
- Accounting entries are created for goodwill only if goodwill is being tracked as a fixed asset and the goodwill asset number is entered against the Cash Generating Unit at the time of impairment creation.

Post-Impairment Transactions

After Impairment transactions are complete, Oracle Assets enables the following post-impairment transactions

- Depreciation, page 5-67
- Revaluation, page 5-68
- Retirement, page 5-68

Depreciation

After the recognition of an impairment loss, the depreciation charge for the asset is adjusted in future periods to allocate the asset revised carrying amount, less its residual value, on a systematic basis over the asset remaining useful life. The formula for this calculation is:

Depreciable Basis after Impairment = (Cost - Salvage Value - Accumulated Depreciation

- Accumulated Impairment)

Revaluation

Revaluations can be performed on previously impaired assets. When a revaluation is performed on an asset where there is an existing balance in the Accumulated Impairment Loss account, the accumulated impairment loss is first reversed, and the remaining amount is applied to the asset cost.

Example of accounting for asset revaluation after impairment loss:

Asset	Amount
Cost	10,000
Accumulated Depreciation	2,000
Accumulated Impairment	1,000
Net Book Value after Impairment	7,000

The asset is revalued by 20%, then the accounting entries for reversing Accumulated Impairment are

Account Description	Debit	Credit
Accumulated Impairment	1,000	
Revaluation Reserve		1,000

The remaining revaluation cost is accounted as:

Account Description	Debit	Credit
Asset Cost	1,000	
Accumulated Depreciation		400
Revaluation Reserve		600

Retirement

An asset may be retired after the recognition of the impairment loss. Since the

impairment loss is already recognized in the financial statements, the impairment is considered in the calculation of asset's NBV Retired amount. The formula for calculating NBV Retired is:

$$\text{NBV Retired} = \text{Cost} - \text{Accumulated Depreciation} - \text{Accumulated Impairment}$$

Example of accounting for asset revaluation after impairment loss:

Asset	Amount
Cost	10,000
Depreciation Reserve	3,000
Impairment Reserve	500
Net Book Value Retired	6,500

The asset is retired and the following accounting entries are recorded:

Account Description	Debit	Credit
Depreciation Reserve	3,000	
Impairment Reserve	500	
NBV Retired	6,500	
Asset Cost		10,000

Asset Impairment Reports

Oracle Assets provides the following Asset Impairment reports:

- Asset Impairment Report, page 5-69
- List Assets By Cash Generating Unit Report, page 5-71

Asset Impairment Report

Use the Asset Impairment report to view and validate impairment transactions uploaded to the Oracle Assets interface table prior to posting the transactions into Oracle Assets. The Asset Impairment report is automatically executed when impairment transactions are uploaded to the Oracle Asset interface from WebADI and

when impairment transactions are posted. It can also be executed manually via the concurrent manager.

Only impairment transactions with a status of Preview, Previewed or Posted are displayed in the Asset Impairment report.

Report Parameters:

The Asset Impairment report includes the following parameters:

- Required:
 - Book: Asset Book
 - Ledger Currency: Currency the Ledger associated with the Asset book
 - Period: Fixed asset period transactions are recorded.
- Optional:
 - Impairment: Name of the Impairment
 - Cash Generating Unit: Name or value of the Cash Generating unit

Report Headings:

The headings for Asset Impairment report are:

Heading	Description
Current Net Book Value	The asset's current carrying value calculated as of the date of the impairment transaction. It contains the depreciation amount for the period in which the impairment transaction occurred.
Net Selling Price	The amount entered in as the Net Selling Price for the asset to be used to derive the impairment loss on the asset.
Value in Use	The amount entered in for the Value in Use for the asset to be used to derive the impairment loss on the asset.
Impairment Loss	The amount of the impairment loss on the asset. Either calculated based on Net Selling Price and/or Value in Use or entered in manually.

Heading	Description
Revaluation Reserve Adjustment	The amount of the revaluation reserve available on the asset before applying the impairment.
New Net Book Value	The asset's new carrying value after applying the impact of the impairment.

ORACLE

Vision Operations (USA)

Book:UK_FACILITY

Set of Books:Vision Operations (USA)

Asset Impairment Report

Impairment Description:

Impairment Date:

Report Date: 12/10/2008

Impairment Id:

Page 1 of 1

Asset Number	Current Net Book Value	Net Selling Price	Value in Use	Impairment Loss	Revaluation Reserve Adjustment	New Net Book Value	Impairment Class Type	Reason	Impairment Expense Account	Split Impairment
UKF_BLDNG_2	4,458,333.32			500,000.00		3,958,333.32	Change in Property Prices	Mkt Value, Excessive Use, Misc.	5600	Yes

Split Impairment Class Type	Split Impairment Loss	Revaluation Reserve Adjustment	Split Reason	Split Impairment Expense Account
Change in Property Prices	250,000.00	0.00	Rezoning of District	5600
Consumption of Economic Benefit	125,000.00	0.00	Deterioration due to excessive use	5601
Others	125,000.00	0.00	Misc. damages	5602

Report Totals	Current Net Book Value	Net Selling Price	Value in Use	Impairment Loss	Revaluation Reserve Adjustment	New Net Book Value
	4,458,333.32	0.00	0.00	500,000.00	0.00	3,958,333.32

List Assets By Cash Generating Unit Report

Use the List Assets by Cash Generating Unit report to review and validate impairment transactions on an individual asset or all the assets within a Cash Generating unit.

Report Parameters:

The List Assets By Cash Generating Unit report includes the following parameters:

- Required:
 - Book: Asset Book
 - Ledger Currency: Currency the Ledger associated with the Asset book
- Optional:
 - Cash Generating Unit: Name or value of the Cash Generating unit
 - Asset Number: The asset number of the individual asset to be reported

Report Headings:

The headings for the List Assets By Cash Generating Unit report are:

Column Name	Description	Type	Optional or Required
IMPAIRMENT_NAME	The name of the Impairment transaction.	VARCHAR2(30)	Required
DESCRIPTION	The description of the Impairment transaction.	VARCHAR2(240)	Optional
REQUEST_ID	System-generated request id when impairment line is uploaded, posted, adjusted, rolled back or deleted.	NUMBER(15)	System-generated
STATUS	Current Impairment status. You can upload impairments only with New or Preview status.	VARCHAR2(30)	Required
BOOK_TYPE_CODE	Use the column for the book that will receive the Impairment transaction.	VARCHAR2(15)	Required
CASH_GENERATING_UNIT_ID	The identification number for Cash Generating Unit. If you enter the value for this column then you cannot enter the Asset_Id information.	NUMBER(15)	Conditionally required
ASSET_ID	The identification number for the Asset. If using this column then Cash_Generating_Unit_Id shouldn't be used.	NUMBER	Conditionally required

Column Name	Description	Type	Optional or Required
NET_BOOK_VALUE	System-generated amount for Net Book Value used as reference in Impairment transaction.	NUMBER	System-generated
NET_SELLING_PRICE	The value entered for Net Selling Price of Asset/CGU. You can use this column and/or Value_In_Use or Impairment_Amount.	NUMBER	Conditionally required
VALUE_IN_USE	The value entered for Value in Use of Asset/CGU. You can use this column and/or Net_Selling Price or Impairment_Amount.	NUMBER(15)	System-generated
GOODWILL_AMOUNT	The entered Goodwill amount for the Asset/CGU.	NUMBER	Optional
USER_DATE	The extra date that users can use as reference for the Impairment transaction.	DATE	Optional
PERIOD_COUNTER_IM PAIRED	The system-generated period counter of the impairment transaction.	NUMBER(15)	System-generated

Column Name	Description	Type	Optional or Required
IMPAIRMENT_AMOUNT	The Impairment expense amount for Asset/CGU. If used then Net_Selling_Price and Value_In_Use shouldn't be used.	NUMBER	Conditionally required
DATE_INEFFECTIVE	The system-generated date in the moment when the impairment is deleted.	DATE	System-generated
CREATION_DATE	Standard who columns. The date when Impairment was created.	DATE	System-generated
CREATED_BY	Standard who columns. Typically the user id of the person that created the Impairment.	NUMBER(15)	System-generated
LAST_UPDATE_DATE	Standard who columns. This date corresponds to the date a user updated the Impairment transaction.	DATE	System-generated
LAST_UPDATED_BY	Standard who columns. The user id of the person that updated the transaction.	NUMBER(15)	System-generated
LAST_UPDATE_LOGIN	Standard who columns. The user id of the last person that updated the transaction.	NUMBER(15)	System-generated

The United Kingdom Local Authority Revaluation and Impairment Enhancements

This section covers the following topics:

- Overview, page 5-76
- Application Setup, page 5-83
- Managing Impairments, page 5-92
- Managing Revaluations Gains and Losses, page 5-99
- Accounting Entry Examples, page 5-104

Overview

CIPFA/LASAAC Joint Committee produced, in accordance with the Accounting Standards Board's code of practice, a "Code of Practice on Local Authority Accounting in the United Kingdom 2006" on proper accounting practice. This is also generally referred to as "A Statement of Recommended Accounting Practice (SORP) 2006". The SORP is required to be adhered to by all local authorities in the United Kingdom (UK). The SORP includes recommendations on how fixed assets are to be revalued from April 1, 2007 and onwards.

Subsequently, Authorities were advised, that by March 31, 2011 UK local authorities were to account for their fixed assets in accordance with new guidelines as detailed in the Code of practice on local authority accounting in the United Kingdom 2010/11 based on International Reporting Standards, released by CIPFA in December 2009, also referred to as the "Code". The move to the Code from the UK GAAP-based SORP resulted in changes to the accounting entries related to revaluations and impairments for property, plant and equipment assets.

The UK Local Authority Accounting for Revaluations and Impairments feature enhances the existing functionality in Oracle Assets in order to address the above fixed asset revaluation requirements that apply to UK local authorities. The enhanced Revaluation and Impairment functionality for fixed assets in Oracle Assets addresses the following requirements:

Revaluation Reserve Accounting – Net Book Value

The accounting for revaluations and impairments is based on the difference between new net book value (professional valuation) and current net book value of the assets at the time of revaluation or impairment. The revaluation reserve, capital adjustment and statement of movement on general fund balances are stored at the asset level. As required by the guidelines, impairment and revaluation of fixed assets are now accounted for using the Revaluation Reserve and Capital Adjustment accounts instead

of the Fixed Asset Restatement account.

For impairments, when calculating the current net book value, the current net book value includes the depreciation amount of the period where the Impairment date is entered when determining the impairment loss on the asset.

Revaluation Loss

When the carrying amount of an item of property, plant and equipment is decreased as a result of a revaluation, such as a significant decline in an asset's carrying amount that is not specific to the asset (as opposed to an impairment), is considered a revaluation loss and the decrease is to be recognized in the Revaluation Reserve up to the credit balance existing for the asset (up to its historical cost) and thereafter in the Surplus or Deficit on the Provision of Services account.

The revaluation loss is treated as a revaluation and as a consequence any accumulated depreciation and accumulated impairment is written off against the gross carrying amount. The revaluation loss itself is posted as a net credit against the cost account, making the asset cost account balance after the revaluation loss equal to the new net book value.

Since the revaluation reserve account is never to become a negative (Debit) balance under the guidelines, any revaluation loss that exceeds the revaluation reserve balance is posted to the Profit and Loss account.

Reversal of Revaluation Loss

Any revaluation gain is to be used to reverse any previous revaluation loss on the same asset charged to the Comprehensive Income and Expenditure Statement (adjusted for depreciation which would have been charged if the revaluation loss had not occurred).

The key principles of a reversal are:

- The revaluation gain is used to reverse the revaluation loss previously charged to the Comprehensive Income and Expenditure statement account. The reversal is adjusted for depreciation to take account of the depreciation impact on the prior revaluation loss i.e. the previous revaluation loss is neutralized or negated.
- The reversal goes back to the point where the original revaluation loss took place. Note: This cannot be earlier than April 1, 2007 when the Revaluation Reserve was first introduced.
- Original revaluation loss may be reversed up to the value of the asset prior to the original value before the revaluation loss. Any remaining gain is treated as a revaluation gain (a credit to the Revaluation Reserve account).
- The accounting entries for the reversal mirror the original entries of the revaluation loss charged to the Comprehensive Income and Expenditure Statement account and the reversal of the depreciation adjustment will mirror the accounting entries for depreciation.

- The reversal will always be against the historic cost revaluation loss first (if applicable).
- If the revaluation gain is lower than the original revaluation loss, resulting in a loss remaining, a pro-rata of the annual depreciation adjustment and a record of the balance of the remaining revaluation loss not reversed is tracked on the asset in lieu of any future revaluation gain.

Revaluation Loss and Impairment Loss Neutralizing Accounting Entries

When posting a revaluation loss or impairment loss additional accounting entries are required for the neutralization of the revaluation or impairment loss amount that has been recorded in Profit and Loss accounts.

When a revaluation or impairment loss occurs it is a requirement that the effect of the revaluation or impairment expense loss accounting entry to the profit and loss account be neutralized through the use of the Capital Adjustment and General Fund Balance accounts.

Oracle Assets creates the required neutralizing accounting entry for the revaluation or impairment expense loss. Whenever a revaluation or impairment accounting entry is debited to the Revaluation or Impairment Loss of income and expenditure account, regardless of its impairment classification, the neutralizing accounting entries are created. The Capital Adjustment and General Fund Balance accounts assigned to the asset's category are used for generating the neutralizing accounting entries.

The neutralizing accounting entries consist of:

Debit	Credit
Capital Adjustment (for Revaluation / Impairment Loss Amount)	General Fund Balance (for Revaluation / Impairment Loss Amount)

Note: General Fund Balance account is also referred to as Housing Revenue Account (HRA) or Movement in Reserves Statement.

Conversely, when posting a revaluation gain which results in the reversal of a previous revaluation loss or impairment loss, the neutralizing entries previously recorded for the original loss are reversed.

The accounting entries to reverse the original loss neutralizing entries consist of:

Debit	Credit
General Fund Balance (for Revaluation/Impairment Loss Amount)	Capital Adjustment (for Revaluation/Impairment Loss Amount)

Depreciation Neutralizing Entries

Any debit entry to an Income or Expenditure account that impacts a Profit and Loss account is to be neutralized which also applies to depreciation. The effect of the depreciation charge on revenue is neutralized by booking an accounting entry to the Capital Adjustment and General Fund Balance (General Fund) accounts. The neutralizing entry is generated and posted in conjunction with the depreciation accounting entry for the asset. The Depreciation program of Oracle Assets creates the neutralizing accounting entry. The accounting entries are generated based on the asset's assigned depreciation schedule and the amount used is the same as the corresponding standard depreciation accounting entry.

The accounts assigned for the Capital Adjustment and General Fund Balance for the asset's category are used.

The neutralizing accounting entries consist of:

Debit	Credit
Capital Adjustment (for Depreciation Expense Amount)	General Fund Balance (for Depreciation Expense Amount)

Note: General Fund account is also referred to as Housing Revenue Account (HRA) or Movement in Reserves Statement.

Revaluation of Donated and Discounted Assets

Assets, which are acquired as donations or at a discount, are required to be revalued and accounted for through the Revaluation Reserve account. Inherited assets are to be treated in the same manner as discounted or donated assets. Whenever a donated asset is acquired, the asset must be revalued to its current market value. The revaluation is accounted through the revaluation reserve account as any other revalued asset.

The Oracle Assets functionality previously only supported revaluation based on a percentage increase of the historical cost. To accommodate the above requirement, users now can enter the asset's revalued amount in the Revaluation window using the following approaches:

- Percentage increase based on Net Book Value
- Enter the actual Revalued Net Book Value
- Incremental Amount of the Net Book Value

Impairment Classification Types

Impairments are required to be classified as either Consumption of Economic Benefit, Change in Property Prices, or Other.

The Impairment WebADI feature contains additional columns to capture the impairment data elements for the impairment classification type, reason, impairment amount, and impairment expense account number fields. Users can select the impairment classification type; enter in the reason for the impairment and the portion of the impairment amount to attribute to the type of impairment event in addition to the impairment expense account to be used to record the impairment loss.

Reason and Purpose Descriptions

Per guidelines, the reason or purpose for the impairment is to be recorded and maintained at the Asset and Event levels. Both the Revaluation and Impairment windows now contain the Reason field in which you can enter the reason for the asset's impairment or revaluation.

Revaluations Directly Related to Prior Impairments

In rare circumstances, a revaluation may reverse the impact of a prior impairment on an asset. When a revaluation can be linked to a prior impairment, it is required that the effect of the impairment be taken in account when booking the revaluation.

To accommodate this requirement, the Revaluation window contains the Link Impairments feature that allows users to select an asset's impairment or impairment classification type to link to the Revaluation.

When the Link option is selected for an individual asset or asset category, the system displays the Link Impairments window. The Link Impairments window includes the following tabs:

- Asset Level tab: This tab displays all the historic impairment transactions for the asset. Users select a single historic impairment record to link to the revaluation. Only impairments with an impairment classification type of Change in Property Prices or Other are enabled for selection.

- **Category tab:** This tab displays the impairment classifications types to be linked to the assets within the category. Only the most recent impairment for the impairment classification type selected is reversed for the assets within the category.

Oracle Assets contains the necessary logic to generate the accounting entries for reversing the impact of the prior impairment on linked revaluations.

Note: Revaluations cannot be linked to impairments with an impairment classification type of Consumption of Economic Benefit.

Generate Asset Decommission and Disposal Entries

When disposing or decommissioning an asset, the carrying amount of the asset is to be removed from the balance sheet.

The accounting entries to record the removal are:

Debit	Credit
Disposal Gain or Loss (Income Statement account)	
	Fixed Asset Cost

The accounting entry is based on the assumption that the Fixed Asset Cost, Accumulated Depreciation, Accumulated Impairment, and Revalued Cost are posted to the Fixed Asset Cost account. However, under the guidelines, it requires the reversal of the carrying amount for the asset be from the balance sheet account that it was originally posted. As a result, the following reversal accounting entries (based on Asset Category setup and Asset Book level setup) are required:

Debit	Credit
Disposal Gain or Loss (Income Statement account)	
Accumulated Depreciation	
Accumulated Impairment	
	Fixed Asset Cost

Additionally, the neutralizing accounting entries to the Capital Adjustment and General

Fund balance are posted. Any remaining balance in the Revaluation Reserve for the asset is also removed and transferred to the Capital Adjustment account.

The accounting entries to transfer the remaining revaluation reserve balances are:

Debit	Credit
Revaluation Reserve	
	Capital Adjustment

Accounting for Grants and Contributions

Accounting entries for government grants and contributions (apart from the asset acquisition and depreciation on asset, which is fulfilled by standard Oracle Asset functionality) will be managed by UK local authorities through the creation of manual journal entries in Oracle General Ledger.

Accounting for Usable Capital Receipts

Funding and write-off charges to revenue can be performed by the UK local authorities on an annual basis using Manual Journals and Recurring Journals features in Oracle General Ledger.

Maintaining Historical and Revalued Asset Information Separately at the Asset Level

The existing functionality of Oracle Assets addresses the UK authority requirements by maintaining historical and revaluation information separately for each asset.

The historical record contains the following data elements:

- Gross Cost (Acquisition and adjustments)
- Accumulated Depreciation
- Impairment
- Net Book Value

For the current value record (Revalued):

- Revalued Amount
- Revalued Accumulated Depreciation
- Impairment
- Net Book Value

- Revaluation Reserve
- Capital Adjustment
- Statement of Movement on the General Fund Balance

The UK Local Authority Accounting for Revaluations and Impairments feature provides additional fields, at the Asset level, to support the generation of accounting entries for revaluation gains and losses, storing purpose description, impairment classification code, impairment and revaluation identifiers to link back to the impairment.

The UK Local Authority Accounting for Revaluations and Impairments feature addresses the requirement to adjust the amortization of the asset's revaluation reserve in the event of a Salvage or Life adjustment done on already revalued asset. Based on SORP guidelines, when the salvage value of the asset exceeds the Historic Net Book value during revaluation or as a result of any other subsequent salvage value/life change adjustment, the revaluation reserve amortization basis is to be adjusted in order for the revaluation reserve amortization not to exceed the depreciation charge. With these changes, it will be noted that the Capital Adjustment and Revaluation Reserve balance at the asset level will not be set to zero until the asset is retired. This adjustment applies only to the revaluation reserve basis and not the revaluation reserve balance. A balance will remain in the Revaluation Reserve account equivalent to the difference between the Historic Net Book Value and the Salvage Value at the time of the adjustment.

variable definitions:

- Historic Net Book Value (HNBV): The Current Net Book Value calculated based on un-revalued costs at time of revaluation. This value ignores the effects of revaluation and impairments.

Historic Net Book Value (HNBV) = Additions + Cost Adjustments + Historic Accumulated Depreciation - Retirements

- Revaluation Reserve Basis: Amount of the revaluation reserve that can be amortized over the remaining life of the asset.

Revaluation Reserve Basis = (Revaluation reserve) - (Salvage Value - Historic NBV)

Application Setup

To use the UK Local Authority Accounting for Revaluations and Impairments feature, complete the following setup tasks:

- Create and Assign UK Local Authority Application Accounting Definition to a Specific Subledger Accounting Method (SLAM), page 5-84
 - Create a New SLAM by Creating a Copy of Seeded Application Standard

Accrual SLAM, page 5-84

- End Date the Standard Application Accounting Definition Assignment for Assets, page 5-84
- Enable the UK Local Authority Application Accounting Definition for Assets, page 5-84
- Assign New SLAM to Ledger, page 5-84
- Enable the UK Local Authority Accounting Option, page 5-89
- Add Additional Account Information to Asset Categories, page 5-90

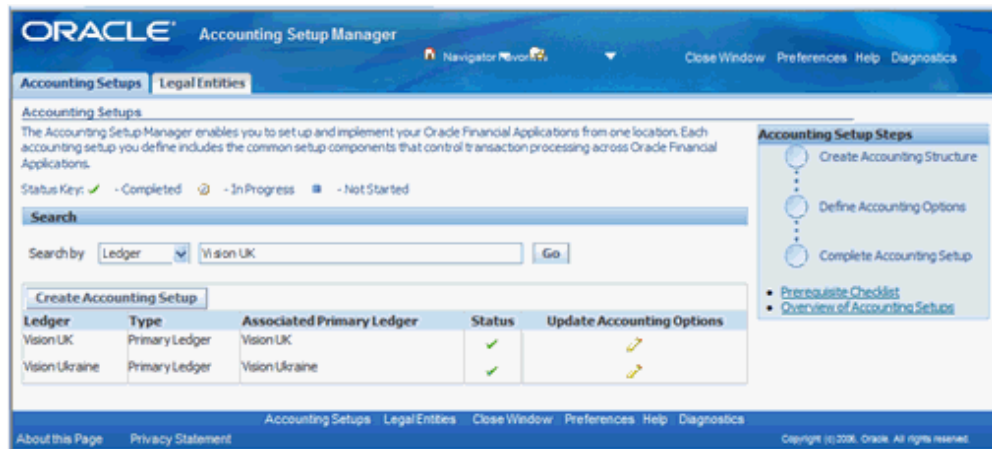
Create and Assign UK Local Authority Application Accounting Definition to a Specific Subledger Accounting Method

In Release 12, an application Subledger Accounting Method (SLAM) is used to define the accounting definitions for Oracle Assets. To enable and use the seeded UK Local Authority specific accounting definitions, for the UK Local Authority Revaluation and Impairment feature, you must update the Applications Accounting Definition Assignment for Oracle Assets for your ledger.

Perform the following steps to create and assign the UK Local Authority specific SLAM:

1. Navigate to Oracle General Ledger Accounting Setup Manager:

General Ledger > Setup > Financials > Account Setup Manager > Accounting Setup > Open



2. Search and select the Associated Primary Ledger for the Asset Book for which the UK Local Authority Accounting feature will be enabled.
3. Click Update Accounting Options for the associated Primary Ledger.

ORACLE® Accounting Setup Manager Navigator Close Window Preferences Help Diagnostics

Accounting Setups Legal Entities

Accounting Setups >

Accounting Options: Vision UK

✓ **TIP** Each required setup step must be completed before you can complete your accounting setup. [Return to Accounting Setups](#)

[Show Key Notation](#)
* Indicates required setup step

Legal Entities

[Add Legal Entity](#)

Legal Entity	Country	Legal Entity Identifier	Balancing Segment Value	Update Balancing Segment Values	View Details
Vision Industries	GB	GBGB38571097	03		

Primary Ledger: Vision UK

Setup Step	Description	Last Update Date	Updated By	Status	Update
*Vision UK	Define and update the journal processing options for your ledger.	23-Jul-1999	OPERATIONS	✓	
*Reporting Currencies	Create reporting currencies and update currency conversion and journal processing options.	23-Jul-1999	OPERATIONS	✓	
Balancing Segment Value Assignments	Assign balancing segment values to the ledger.	23-Jul-1999	OPERATIONS	✓	
Subledger Accounting Options	Define rules to generate your accounting entries from subledger transactions.	14-Mar-2011	OPERATIONS	✓	
Operating Units	Define and maintain operating units for your primary ledger.	23-Jul-1999	OPERATIONS	✓	
Intercompany Accounts	Define intercompany accounts to account for transactions across legal entities.	23-Jul-1999	OPERATIONS	✓	
Intracompany Balancing Rules	Define intracompany balancing rules to balance entries between balancing segment values within the same legal entity or ledger.	23-Jul-1999	OPERATIONS	✓	
Sequencing	Define and maintain accounting and reporting sequencing options for ledgers and reporting currencies.	23-Jul-1999	OPERATIONS	✓	

- In the Primary Ledger section, click Update for the Setup Step Define and update the journal processing options for your Ledger. System displays the Update Ledger: Ledger Definition page.

ORACLE Accounting Setup Manager

Accounting Setups > Legal Entities

Update Ledger: Ledger Definition

* Indicates required fields

Standard Information

* Ledger: Vision UK
Ledger name must be unique

* Short Name: Vision UK
Ledger short name must be unique

Description: Vision UK

Currency: GBP

Chart of Accounts: UK Accounting Flex

Accounting Calendar

Accounting Calendar: Accounting13

Period Type: Month

First Ever Opened Period: 01-99

* Number of Future Enterable Periods: 4

Subledger Accounting

☒ TIP These fields are only required if using Oracle Subledger Accounting.

* Subledger Accounting Method: Standard Accrual

Subledger Accounting Method Owner: Oracle

Open Subledger Accounting Method

5. Scroll down the Ledger Definition page to the Subledger Accounting Section: Subledger Accounting Method field.
6. Click Open Subledger Accounting Method button to open the Subledger Accounting Methods window for the STANDARD_ACCRUAL SLAM.

Subledger Accounting Methods

Method Code: SLAM UK

Method Name: SLAM UK

Description: UK Local Authority Accounting

Owner: User

☒ Enabled

Chart of Accounts

Transaction: UK Accounting Flex

Accounting: UK Accounting Flex

Application Accounting Definition Assignments

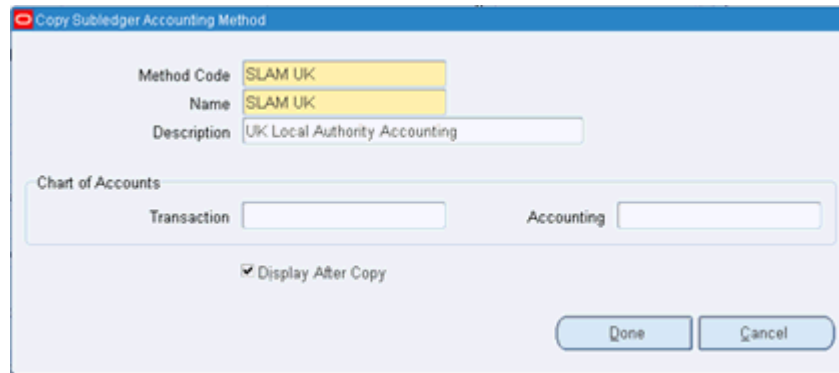
Application	Name	Owner	Start Date	End Date
Assets	Assets Standard Accounting	Oracle	01-AUG-1980	13-MAR-2011
Assets	United Kingdom Local Authority	Oracle	14-MAR-2011	
Cash Management	Cash Management Standard Ac	Oracle	01-DEC-2005	
Cost Management	Cost Management	Oracle	01-JUN-2001	
Lease and Finance Manage	Lease Default	Oracle	01-JAN-2000	
Loans	Loans Standard Accrual	Oracle	01-JAN-1990	

Description: Standard Accounting for United Kingdom Local Authorities

Accounting Setups Application Accounting Definition Copy

7. Click Copy button to open the Copy Subledger Accounting Method window to make a copy of the STANDARD ACCRUAL SLAM.

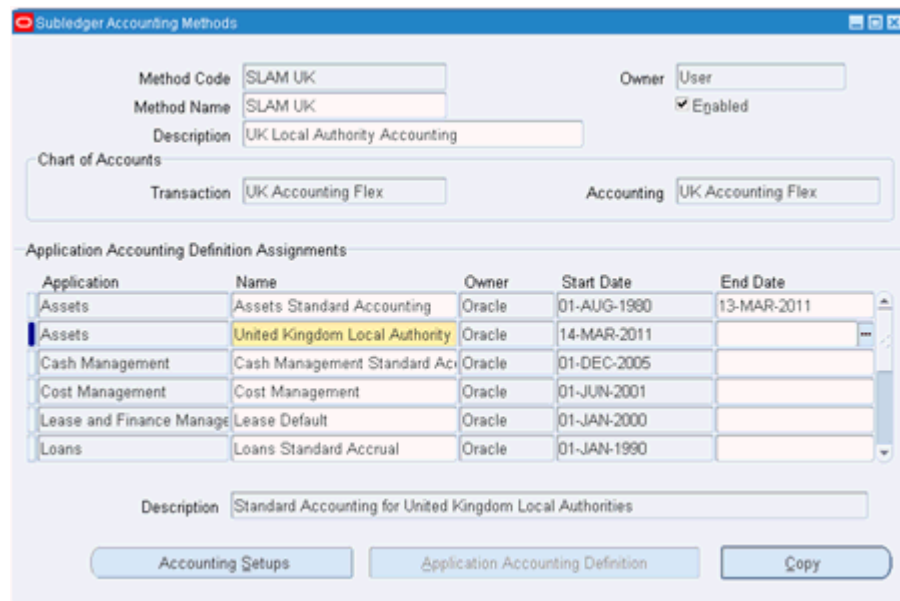
8. In the Method Code field, enter the name for the new accounting definition



The dialog box titled "Copy Subledger Accounting Method" contains the following fields and controls:

- Method Code: SLAM UK
- Name: SLAM UK
- Description: UK Local Authority Accounting
- Chart of Accounts section with two sub-fields:
 - Transaction: (empty)
 - Accounting: (empty)
- A checked checkbox labeled "Display After Copy".
- Buttons: Done, Cancel.

9. In the Name field, enter a name for the Subledger Accounting Method. This will be the name that is displayed when assigning the method to a ledger.
10. In the Description field, enter a description of the accounting methods.
11. In the Chart of Accounts section, enter a specific Transaction or Accounting chart of accounts the SLAM is to be used or leave blank. If entered, only ledgers defined with the same charts of accounts are available for assignment to the new subledger accounting method. The accounting chart of accounts, if entered, must match the chart of accounts of the ledger that this new subledger accounting method is to be assigned.
12. Click Done to create a copy and display your version of the SLAM.



The "Subledger Accounting Methods" window displays the following information:

- Method Code: SLAM UK
- Method Name: SLAM UK
- Description: UK Local Authority Accounting
- Owner: User
- Enabled: ☒
- Chart of Accounts section:
 - Transaction: UK Accounting Flex
 - Accounting: UK Accounting Flex
- Application Accounting Definition Assignments table:

Application	Name	Owner	Start Date	End Date
Assets	Assets Standard Accounting	Oracle	01-AUG-1980	13-MAR-2011
Assets	United Kingdom Local Authority	Oracle	14-MAR-2011	
Cash Management	Cash Management Standard Ac	Oracle	01-DEC-2005	
Cost Management	Cost Management	Oracle	01-JUN-2001	
Lease and Finance Manage	Lease Default	Oracle	01-JAN-2000	
Loans	Loans Standard Accrual	Oracle	01-JAN-1990	

Below the table is a Description field containing: Standard Accounting for United Kingdom Local Authorities.

Buttons at the bottom: Accounting Setups, Application Accounting Definition, Copy.

13. Enter the End Date for the original Application Accounting Definition Assignments for the Assets application.
14. Insert a new row in the Application Accounting Definition Assignments area and then enter Assets in the Application Field, select United Kingdom Local Authority in the Name field, and in the Start Date field enter the date the new SLAM is to take effect.
15. Save your work.

16. Select the name of the SLAM you created (SLAM UK) in the Subledger Accounting Method field on the Update Ledger: Ledger Definition window to assign the new SLAM to your ledger.

17. Click Finish to apply the new assignment. The system displays the Confirmation window for ledger update.
18. Click Close Window to Exit.

Enable the UK Local Authority Accounting Option

In order to use the UK Local Authority Accounting for Revaluations and Impairments feature for an accounting or tax book, the UK Local Authority Accounting option must be enabled at the book level.

Perform the following steps to enable the UK Local Authority Accounting option for an accounting or tax book:

1. Navigate to the Book Controls window.

Navigation: Setup> Asset System > Book Controls

The screenshot shows the 'Book Controls' window for a book named 'UK FACILITY' (Class: Corporate). The 'Accounting Rules' tab is selected. The 'Associated Corporate Book' is 'UK FACILITY'. The 'Capital Gain Threshold Years' is set to 1 and 'Months' to 0. The following options are checked: 'Allow Amortized Changes', 'Allow Mass Changes', 'UK Local Authority Accounting', and 'Allow Cost Sign Changes'. The 'Allow Revaluations' section is expanded, showing 'Retire Revaluation Reserve' and 'Revalue Fully Reserved Assets (E)' checked, and 'Amortize Revaluation Reserve' checked. The 'Life Extension Factor' is set to 2. The 'Allow Group Depreciation' section is collapsed. The 'Maximum Revaluations' and 'Life Extension Ceiling' fields are empty.

2. Create a new book or query an existing book.
3. Select the Accounting Rules tab.
4. Select the UK Local Authority Accounting check box.

The system automatically enables the Allow Revaluations region and the necessary revaluations rules to perform revaluations for the UK Local Authority Accounting:

- Retire Revaluation Reserve
- Revalue Fully Reserved Assets
- Amortize Revaluation Reserve

Note: If you select the UK Local Authority Accounting check box, changes to the revaluation rules within the Allow Revaluations region will be prohibited.

5. If defining a new book, complete the remaining necessary Book Control setup.
6. Save your work.

Add Additional Account Information to Asset Categories

After enabling the UK Local Authority Accounting option for the book, assign the book to the relevant assets categories and add additional required accounting information.

Perform the following steps for assigning and adding additional account information for each asset category to be used:

1. Navigate to the Asset Categories window.
Navigation: Setup> Asset System > Asset Categories
2. Query the asset category to be assigned and updated.
3. In the Book field, select the book from the list of values.

Asset Categories

Category: BUILDING-BRICK
 Description: Brick buildings
 Category Type: Non-Lease
 Ownership: Owned
 Property Type:
 Property Class: []

☒ Enabled
☒ Capitalize
☒ In Physical Inventory

General Ledger Accounts

Book: UK FACILITY

Asset Cost	03-000-1520-000-000
Asset Clearing	03-000-1570-000-000
Depreciation Expense	03-000-7320-000-000
Accumulated Depreciation	03-000-1620-000-000
Bonus Expense	03-000-7320-000-000
Bonus Reserve	03-000-1620-000-000
Revaluation Reserve	03-000-1670-000-000
Revaluation Amortization	03-000-1680-000-000
CIP Cost	
CIP Clearing	
Impairment Expense	03-000-5900-000-000
Accumulated Impairment	03-000-1800-000-000
Unplanned Depreciation Expense	
Alternate Asset Cost	
Write-Off Expense	
Capital Adjustment	03-000-1920-000-000
General Fund	03-000-3020-000-000
Revaluation Loss Expense	03-000-5920-000-000

[]

Default Rules

4. For the books that the UK Local Authority Accounting option is enabled, the system displays the following additional fields for setting up account assignments for the Capital Adjustment, General Fund Balance and Revaluation Loss Expense accounts:
 - Capital Adjustments
 - General Fund
 - Revaluation Loss
5. In the Capital Adjustment and General Fund fields, enter the appropriate balance sheet accounts to be used when creating the neutralizing accounting entries. These are mandatory fields for the UK Local Authority Accounting enabled asset books.
6. In the Revaluation Loss field, enter the expense account revaluation losses are to be recorded.
7. Save your work.

Note: If you have not previously performed asset impairments for fixed

assets, ensure that you also enter Accumulated Impairment and Impairment Expense accounts for each asset category to be used.

Managing Impairments

The UK Local Authority Accounting for Revaluations and Impairments feature enables users to manage fixed asset impairments based on the regulatory requirements for UK local authorities.

Prerequisites:

Enable the UK Local Authority Accounting for Revaluations and Impairments feature. For more information, see *Setting Up UK Local Authority Accounting for Revaluations and Impairment*, page 5-83 section.

Asset Impairment Considerations

The following conditions are to be considered when performing impairments using the UK Local Authority Accounting for Revaluations and impairments feature in Oracle Assets:

- Impairments are defined at the asset level only.
- Impairments must be performed through the WebADI Impairments user interface. Impairments may not be performed through the Mass Revaluations window; a negative revaluation in the Mass Revaluation window is considered a revaluation loss and will be accounted as such.
- To reverse a prior impairment once it has been posted and the period closed, perform an upward revaluation through the Mass Revaluation user interface.
- An asset can have only one posted impairment event per period. If a second impairment is required, the first posted impairment must be rolled back prior to uploading the second impairment.
- To ensure proper accounting treatment, the Generate Accounts process, invoked during the depreciation process, must be executed and is not to be disabled or cancelled.
- Consumption of Economic Benefit impairments are not eligible for linking to Revaluations for impairment reversal.

This section covers the following topics:

- Performing Impairments, page 5-93
- Rolling Back Impairments, page 5-98

- Deleting Impairments, page 5-98

Performing Impairments

Oracle Assets uses the WebADI for creating, loading and maintaining impairment transactions.

The steps for performing impairments are:

- Enter and Upload Asset Impairments, page 5-93
- Review Impairment Results and Post, page 5-96

Entering and Uploading Asset Impairments

Perform the following steps to create and upload impairment transactions:

1. Navigate to the Asset Impairment window.

Navigation: Assets > Impairment > Create and Post

ORACLE® Impairment

Navigator Favorites Diagnostics Home Logout Preferences

Asset Impairment

Search or Enter Impairment

* Book Cash Generating Unit
 Impairment Name Asset Number
 Impairment Date Status
 Go Clear New Impairment

Select Object: Post Delete Rollback

Select All Select None

Select	Impairment Name	Book	Impairment Date	Cash Generating Unit	Asset Number	Currency	Net Book Value	Net Selling Price	Value Use	Impairment Loss	Status	Comments	Update Impairment	Update Allocation
☒	Building-2 Impairment	UK FACILITY	01-Apr-2008		UKF_BLDNG_2	USD	4458333.32			500000	Previewed			

About this Page Privacy Statement Diagnostics Home Logout Preferences Copyright (c) 2006, Oracle. All rights reserved.

2. Click the New Impairment button. The File Download window is displayed.
3. Choose to Open the file when prompted. The system will download and display the Impairments spreadsheet. On completion, the Confirmation window will appear, Click Close to return to the spreadsheet.
4. Populate the mandatory spreadsheet fields.

View Context	View Header	View Line
Database	RWS60180REMS.F235T212	
Book	* List - Text UK FACILITY	
Impairment Name	* Text Building-2 Impairment	
Impairment Date	* Date 1-Apr-08	
User Entered Date	Date	

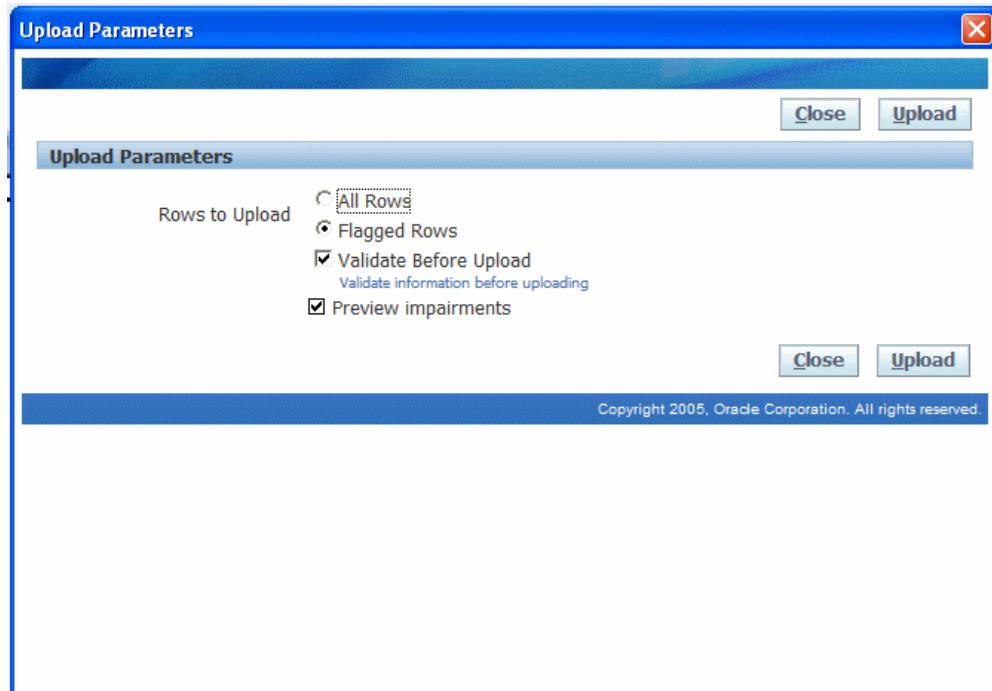
Upl Cash Generating Unit	Asset Number	Net Selling Price	Value in Use	Impairment Loss	Goodwill Amount	Goodwill Asset	Status	Comments	Classification
Conditionally required	Conditionally required	Value	Value	Value	Value	Value	* List - Text	Text	* List - Text
	UKF_BLDNG_2			500000			Preview		Change

- In the Book field, enter or select the asset book of the asset to be impaired from the list of values.
 - In the Impairment Name field, enter a name for the impairment event.
 - In the Impairment Date field, enter the date for the impairment. The system populates the User Entered Date field when the worksheet is uploaded.
 - In the Status field, select the Preview option from the list of values. By selecting the Preview option when the spreadsheet is uploaded, Oracle Assets submits the Impairment Preview process to the concurrent request manager to generate the Asset Impairment report for the records with the Preview status. Use the report to preview the impairment results before posting.
5. Enter the necessary information in the following fields:
- Cash Generating Unit: If Applicable, enter the name of Cash Generating Unit.
 - Asset Number: Enter the asset number or select it from the list of values.
 - Net Selling Price: If applicable, enter the Net Selling Price amount.
 - Value in Use: If applicable, enter the Value in Use amount.
 - Impairment Loss: Enter the Impairment Loss amount or leave it blank if the Net Selling Price or Value in Use fields are populated. When the Net Selling Price or Value in Use field is populated, the system calculates impairment loss.
 - Goodwill Amount and Asset: If applicable, enter the Goodwill Amount and Asset.
 - Comments: Enter a description about the impairment in this field.
6. The following fields are specific to the asset books that use the UK Local Authority Accounting for Revaluations and Impairments feature and are not used when defining impairments for assets of non-UK Local Authority Accounting asset books.

- **Classification Type:** Indicates the type of impairment being defined. Select one of the following impairment classification types from the list of values:
 - Select Consumption of Economic Benefit if the impairment is fully attributed to an event such as demolition or vandalism.
 - Select Change in Property Prices if the impairment is fully attributed to a decrease in the value of the property due to events such as rezoning or market conditions.
 - Select 'Other' if the cause of the impairment is unclear.
- **Reason Description:** Enter the reason or cause for impairment.
- **Impairment Account:** Enter the natural account number for the impairment loss expense account if you want to select a specific impairment loss expense account for the impairment classification type or leave blank to use the impairment expense account assigned for the asset category.
- **Split Indicator:** If the impairment is the result of a combination of events, such as both consumption of economic benefit and change in property prices, set the Split Indicator option to Yes. The accounting for the impairment components is similar as if the impairment is fully attributed to a specific event. Each component is accounted for separately based on its classification type.
- If the Split Indicator is set to Yes, enter in the required information for each split in the following fields:
 - Split: Classification Type
 - Split: Reason Description
 - Split: Loss Percent
 - Split: Impairment Account

Note: Impairments can be split into two or three components. Each component is assigned a percentage allocation of the impairment loss. The sum of the percentage allocation of the impairment loss for all components must equal 100%.

7. Upload the records to the system for processing. From the main menu go to Oracle > Upload. The Upload Parameters window is displayed. Accept the default settings and click Upload to start the process. If errors are encountered during the upload process, an error message is displayed in the Messages Column of the spreadsheet.



8. The Process Impairments request is executed. When the process successfully completes, the Upload Parameters window displays the Request ID for the Impairment Preview process and you can review the impairment results using the Asset Impairment report.

Note: Ensure that the Validate Before Upload check box is selected.

Reviewing and Posting Impairment Results

After successfully uploading the impairments to Oracle Assets, review the Asset Impairment report generated during the upload process. Confirm that the impairment details uploaded and results are correct. If the results are correct, commit the results to the system by posting the impairments.

Perform the following steps to review and post impairments:

1. To review the Asset Impairment report, navigate to the View Request window and enter in the Request ID.
2. Select View Output to display the report. In addition to the impairment details entered, the report includes the following information:
 - New Net Book Value of the asset after the effects of the impairment.
 - Split Impairment Loss amounts as calculated using percentages entered.

- Summary Totals for all the impairment records defined in the spreadsheet for the following columns: Current Net Book Value, Net Selling Price, Value in Use, Impairment Loss and New Net Book Value.

ORACLE

Vision Operations (USA)

Book:UK_FACILITY

Set of Books:Vision Operations (USA)

Asset Impairment Report

Impairment Description:

Impairment Date:

Report Date: 12/10/2008

Impairment Id:

Page 1 of 1

Asset Number	Current Net Book Value	Net Selling Price	Value in Use	Impairment Loss	Revaluation Reserve Adjustment	New Net Book Value	Impairment Class Type	Reason	Impairment Expense Account	Split Impairment
UKF_BLDNG_2	4,458,333.32			500,000.00		3,958,333.32	Change in Property Prices	Mkt Value, Excessive Use, Misc.	5600	Yes

Split Impairment Class Type		Split Impairment Loss		Revaluation Reserve Adjustment	Split Reason	Split Impairment Expense Account
Change in Property Prices		250,000.00		0.00	Reasoning of District	5600
Consumption of Economic Benefit		125,000.00		0.00	Deterioration due to excessive use	5601
Others		125,000.00		0.00	Misc. damages	5602

Report Totals	Current Net Book Value	Net Selling Price	Value in Use	Impairment Loss	Revaluation Reserve Adjustment	New Net Book Value
	4,458,333.32	0.00	0.00	500,000.00	0.00	3,958,333.32

- To post the impairment, navigate to the Asset Impairment window.

Navigation: Assets: Impairment > Create and Post

- Enter the query criteria for the impairment: Asset Book or Asset Number. For more information about running a Query, see Oracle Assets User Guide. The system displays the impairment records for the search criteria entered. Only impairments that are in the Previewed status can be posted.

ORACLE Impairment

Navigator
Favorites
Diagnostics Home Logout Preferences

Asset Impairment

Search or Enter Impairment

* Book UK FACILITY
Impairment Name
Impairment Date

Cash Generating Unit
Asset Number
Status

Go Clear New Impairment

Select Object: Post Delete Rollback

Select All Select None

Select	Impairment Name	Book	Impairment Date	Cash Generating Unit	Asset Number	Currency	Net Book Value	Net Selling Price	Value in Use	Impairment Loss	Status	Comments	Update Impairment	Update Allocation
☒	Building-2 Impairment	UK FACILITY	01-Apr-2008		UKF_BLDNG_2	USD	4458333.32			500000	Previewed			

Diagnostics Home Logout Preferences

About this Page Privacy Statement
Copyright (c) 2008, Oracle. All rights reserved.

- Select the check box for the row of the impairment to be posted. Click the Post button to launch the process.
- Click Yes to confirm and post the impairments. The Process Impairments concurrent program is executed and the concurrent request id is displayed.
- Upon successful completion of the Posting process, the Asset Impairment report is

generated once again and the status of impairment is updated to Posted.

Rolling Back Impairments

Impairment transactions can only be rolled back in the fixed asset's period the transaction is posted and the period is still open. Once the fixed assets period is closed, the transactions cannot be rolled back.

To rollback an impairment transaction:

1. Navigate to the Create and Post Impairments window.
Navigation: Assets > Impairments > Create and Post
2. Enter the query criteria for the impairment: Asset Book or Asset Number. For more information about running a Query, see Oracle Assets Users Guide. The system displays the impairment records for the search criteria entered.
3. Select the check box for the row of the impairments to be rolled back. Press Rollback button to launch the process.
4. Click Yes to confirm and rollback impairments. The Process Impairments concurrent program is executed and the concurrent request id is displayed.
5. Upon successful completion of the process the impairment's status is updated to Deleted.

Note: After an impairment transaction is rolled back, the transaction cannot be posted again.

Deleting Impairments

Use the Delete functionality to delete unposted asset impairments from the system.

Perform the following steps to delete unposted impairments:

1. Navigate to the Create and Post Impairments window
Navigation: Assets > Impairments > Create and Post
2. Enter the query criteria for the impairment to be deleted. Click the Go button. The system displays the impairment records for the search criteria entered.
3. Select the check box for the row of the unposted impairment to be deleted.
4. Click the Delete button to launch the process
5. Click Yes to confirm and delete the impairments.
6. The Confirmation is displayed with the Impairment ID of the deleted impairment

and the impairment's status is updated to Deleted.

Managing Revaluations Gains and Losses

The UK Local Authority Accounting for Revaluations and Impairments feature enables users to manage fixed assets revaluation gains and losses based on the regulatory requirements for UK local authorities.

Revaluations can be performed on an asset category or individual asset level.

Prerequisites: Enable the UK Local Authority Accounting for Revaluations and Impairments feature. For more information, see Setting Up UK Local Authority Accounting for Revaluations and Impairment , page 5-83section.

Revaluation Considerations:

The following conditions are to be considered when performing revaluations using the UK Local Authority Accounting for Revaluations and Impairments feature in Oracle Assets:

- Fully reserved assets can only be revalued at the asset level since their Net book value is equal to zero. If the category level is selected and the fully reserve assets flag enabled, then the asset will be processed, however, the revalued amount will be zero. The asset first must be revalued prior to recording a revaluation loss.
- Revaluation gains and losses can be performed in the same period as an impairment transaction only before the impairment is posted to the asset and not after an impairment event has been posted. Once the impairment is posted to the asset, the impairment will have to be reversed before the revaluation loss can be performed
- The revaluation is based on the asset's net book value at the time of the revaluation.
- The net book value for historic and revalued assets is stored at the asset level.
- To ensure proper accounting treatment, the Generate Accounts process, invoked during the depreciation process, must be executed and is not to be disabled or cancelled.

Performing Revaluation Gains and Losses

Perform the following steps to execute a revaluation gain or loss for an asset:

1. Navigate to the Mass Revaluations window.

Navigation: Assets > Mass Revaluations

Mass Revaluations

Book: UK_FACILITY Mass Transaction Number: 328
 Comments: May 2010 Revaluations Revaluation Date: 31-MAY-2010
 Status: New

Rules

☒ Revalue Fully Reserved Assets Life Extension Factor: 2 Maximum Revaluations:
☐ Revalue CIP Assets Life Extension Ceiling:

Rates

Category	Asset Number	Reason	Value Type	Value	Linked	Rules Overridden
	BUILDING 1	Decline in Real Estate Mkt	Amount	-36000	☐	☐
	BUILDING 3	Decline in Real Estate Mkt	Amount	-36000	☐	☐
	BUILDING 5	Gain in Market Value	Amount	36000	☐	☐
	...				☐	☐
					☐	☐
					☐	☐
					☐	☐

Description:

Override Rules Link Review Ryn Preview

2. In the Book field, select the asset book that you want to process from the list of values.
3. In the Comments field, enter the reason or other information about the revaluation. This is a required field.
4. The Mass Transaction Number, Revaluation Date, and Status fields are populated by the system.
5. In the Rules region, the following fields are defaulted based on the values that were assigned to the asset book during setup:
 - Revalue Fully Reserved Assets
 - Life Extension Factor
 - Maximum Revaluations
 - Life Extension Ceiling

Note: You cannot revalue CIP assets. Only once the CIP asset is capitalized, can you revalue the asset.

6. In the Category or Asset Number field, select the asset category or individual asset from the list of values.

7. In the Reason field, provide a description for the revaluation. This is a required field.

Note: In Release 12, Revaluation gains and losses can be performed on assets that are added in the current period. Revaluation gains and losses are not processed on assets that are:

- Fully retired
- With pending retirements

8. If a value is entered for the Asset Number field, from the list of values for the Value Type field select one of the following options:
 - Net Book Value: This is the new net book value for the asset based on the professional valuation.
 - Amount: This is the incremental amount increase to the asset's current net book value based on the professional valuation.
 - Percentage: This is the percentage increase to the asset's current net book value based on the professional valuation.
9. If an asset category is selected in the Category field, the value for the Value Type field is automatically set to Percentage and cannot be changed.
10. In the Value field, enter an amount based on the option that was selected for the Value Type field. The format of the Value field is based on the Value Type selection and the Currency Precision definition for the base currency as defined for the Ledger linked to the selected Asset Book.
11. To define override rules for the asset or category that are different than the default set for the book, select the Rules Overridden check box and then click the Override Rules button. The system displays the Override Rules window that you can use to override defaults for the asset or category.
12. To link a prior impairment to a revaluation for an asset or category, highlight the revaluation row and then click the Link button. The system displays the appropriate Link Impairments window. For more information, see Using the Link Impairments window, page 5-102.

Note: The Link button is disabled for revaluation loss rows since you cannot reverse a prior impairment if you are processing a revaluation loss. You can only reverse a prior impairment if you are processing a revaluation gain.

13. Once the revaluation criteria are defined, process the revaluations and preview the revaluation results prior to committing them. To process and preview the revaluations, click the Preview button on the Mass Revaluation form. The Revaluation concurrent program is submitted, a Request ID is displayed and the Mass Transaction Number field is populated. When the process is complete, the transaction status is changed to Preview on the Mass Revaluation window. Use the Request ID to query and display the Revaluation Preview report in the Request window.
14. After verifying the information provided in the Revaluation Preview report, navigate to the Mass Revaluations window and query your revaluation using the number that was provided in the Mass Transaction Number field.
15. If the Preview results are correct, click the Run button to process and commit the revaluation results. If the results are incorrect, make the necessary changes to the revaluation criteria and press Preview to process the changes.
16. Once the revaluation is executed in the run mode, the revaluation gain or loss is committed and the status on the Mass Revaluation Transaction record is changed to Completed and cannot be updated.

Using the Link Impairments Window

If the revaluation can be directly linked to a prior impairment event and will negate the impairment, the effects of the impairment must be taken into consideration when accounting for the revaluation. To link an impairment or impairment classification type to a revaluation, in the Mass Revaluation window, highlight the row of the revaluation to be linked and click the Link button. The system launches the Link Impairments window and displays the appropriate tab for the type of revaluation that is being linked.

The Link Impairment window consists of following tabs:

- **Category Level:** If you selected an asset category revaluation for linking, the system displays the Category Level tab of the Linked Impairment window. The tab displays the Impairment Classification Type codes available for linking to a category. The tab contains the following check boxes:
 - Change in Property Prices
 - Other

The screenshot shows a software window titled "Link Impairments". It has two tabs: "Asset Level" and "Category Level", with "Category Level" currently selected. Inside the window, there is a section titled "Impairment Classification Type" containing two radio button options: "Change in Property Prices" (which is selected) and "Other". At the bottom of the window, there are two buttons: "Save" and "Cancel".

Note: For each asset in the category that links to prior impairments, only one impairment per asset will be reversed (the most recent impairment record) for the Impairment Classifications selected.

- **Asset Level:** If an asset level revaluation is selected for linking, the system displays the Asset Level tab of the Linked Impairment window. The Asset Level tab displays all existing impairments for the asset. Only impairments with the classification type of Change in Property Prices (CPP) or Other (OTH) can be selected for linking and reversal. Only one asset impairment can be linked and reversed per revaluation. The Asset Level tab displays the following impairment details:
 - **Reference Number:** Assigned to record at the time it was originally processed.
 - **FA Period:** The fixed asset period that the impairment was posted.
 - **Impairment Date:** The original date of the impairment.
 - **Impairment Classification Type:** The Impairment Classification type that was assigned to the record.
 - **Reason:** The detail reason or cause for the impairment.
 - **Impairment Loss Amount:** Amount of the Impairment transaction.
 - **Unused Impairment Loss Amount:** The remaining impairment loss amount

available for future reversal. Impairment Loss Amount is the unused portion of the impairment loss amount from a previous linked event.

Reference Number	FA Period	Impairment Date	Impairment Classification Type	Reason	Impairment Loss Amount	Unused Impairment Loss Amount
☒ 10161.1	Apr-08	01-APR-2008	Change in Prog	Rezoning of District	250000	250000
☐ 10161.3	Apr-08	01-APR-2008	Others	Misc. Damages	125000	125000
☐ 10161.2	Apr-08	01-APR-2008	Consumption o	Deterioration due to exce	125000	125000
☐						
☐						
☐						
☐						
☐						
☐						
☐						
☐						
☐						
☐						
☐						
☐						
☐						

After making your selections, click:

- Save to link the transaction.
- Cancel to discard your selection, close the window, and return to the Mass Revaluation window.

Note: Use the existing RXi Revaluation Reserve Balance report to review the Revaluation Reserve balance before or after a revaluation has been performed.

Accounting Entry Examples

This section highlights the logic and accounting entries generated for the UK Local Authority Accounting for Revaluations and Impairments feature. It does not reflect all the accounting entries created by Oracle Assets for the asset.

Depreciation Neutralizing Accounting Entries

Under the guidelines, any debit entry to an Income or Expenditure account that impacts a profit and loss account is to be neutralized. This includes depreciation. The affects of the depreciation charge on revenue are neutralized by booking an accounting entry to the Capital Adjustment and General Fund Balance (General Fund) accounts. The

neutralizing entry is generated and posted in conjunction with the depreciation accounting entry for the asset.

The Depreciation program of Oracle Assets creates the neutralizing accounting entry. The accounting entries are generated based on the asset's assigned depreciation schedule and the amount used is the same as the corresponding standard depreciation accounting entry.

The accounting entry uses the Capital Adjustment and General Fund Balance accounts assigned to the asset category of the asset.

The neutralizing accounting entry consists of:

Debit	Credit
Capital Adjustment (Depreciation Expense Amount)	General Fund Balance (Depreciation Expense Amount)

Revaluation Loss Neutralizing Accounting Entries

Under the revised guidelines, any debit entry to an Income or Expenditure account that impacts a profit and loss account is to be neutralized. This includes revaluation and impairment losses. The effect of the revaluation or impairment loss charge on expense is to be neutralized by booking an accounting entry to the Capital Adjustment and General Fund Balance (General Fund/Housing Revenue Account) account. The neutralizing entry is generated and posted in conjunction with the revaluation loss accounting entry for the asset.

The accounting entry uses the Capital Adjustment and General Fund Balance accounts assigned to the asset's category.

The neutralizing accounting entry consists of:

Debit	Credit
Capital Adjustment (Revaluation or Impairment Loss Expense Amount)	General Fund Balance (Revaluation or Impairment Loss Expense Amount)

Revaluations

The guidelines for UK Local Authority, requires the use of Revaluation Reserve account for revaluations of assets, including discounted and donated assets and the revaluation is to be based on the asset's current net book value.

A revaluation occurs when a professional valuation on an asset is greater than the asset's current net book value. Where:

- $\text{Current Net Book Value (CNBV)} = \text{Cost} + \text{Cost Adjustments} + \text{Revaluations} - \text{Accumulated Depreciation} - \text{Accumulated Impairments} - \text{Retirements}$
- $\text{New Net Book Value (NNBV)} = \text{Asset value as deemed by professional valuation}$
- $\text{Revaluation Amount} = \text{NNBV} - \text{CNBV}$. When the revaluation amount is positive it is considered a revaluation. If the amount is negative, it is an impairment.

Note: For revaluations, the CNBV does not include depreciation for the period of the Revaluation Date.

The accounting entries generated for revaluation are dependent on whether the asset has been previously impaired or the revaluation can be linked to a prior impairment.

Revaluations - Example 1

Building #1 has had its first professional revaluation. The building has not been previously impaired and there is no balance in the Accumulated Impairment account for this asset.

Building #1 was purchased on April 1, 2009 and recorded into Oracle Assets with the following details:

Asset Addition

Asset Setup Item	Asset Setup Information
Cost	5,000,000
Life	10 Years
Addition Period	April - 2009
Method	STL – 10 yr
Prorate Convention	Monthly

Asset Setup Item	Asset Setup Information
Monthly Depreciation	41,667
Salvage Value	0.00

Depreciation has been run up to and including March - 2010.

On April 1, 2010, a professional valuation was performed on Building #1 and was revalued to 5,500,000.

As of April 1, 2010, the accounting and asset details are as follows:

Current Asset Data

Asset Item	Asset Information
Cost	5,000,000
Accumulated Depreciation	500,000
Accumulated Impairment	0.00
Cost Adjustment	0.00
Salvage Value	0.00
Retirements	0.00
Remaining Life	108 Months
Professional Valuation	5,500,000

Revaluation Calculations are as follows:

Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations -
Accumulated Depreciation - Accumulated Impairments - Retirements

$CNBV = 5,000,000 + 0.00 + 0.00 - 500,000 - 0.00 - 0.00$

$CNBV = 4,500,000$

New Net Book Value (NNBV) = Asset value as deemed by professional valuation

$NNBV = 5,500,000$

Revaluation Amount = NNBV - CNBV

Revaluation Amount = 1,000,000

When booking a revaluation on the asset, an entry to the Accumulated Depreciation account is made to reverse the accumulated depreciation to date on the asset and set the account balance to zero. This will cause the fixed asset cost to be equal to the new net book value.

The effect of the revaluation is illustrated in the following table:

Period	Cost	Depreciation Expense	Depreciation Reserve	Asset CNBV (End of Period)	Asset NNBV	Revaluation Reserve	Revaluation Amortization
Apr-09	5,000,000	41,667	41,667	4,958,333			
May-09		41,667	83,333	4,916,667			
Jun-09		41,667	125,000	4,875,000			
Jul-09		41,667	166,667	4,833,333			
Aug-09		41,667	208,333	4,791,667			
Sep-09		41,667	250,000	4,750,000			
Oct-09		41,667	291,667	4,708,333			
Nov-09		41,667	333,333	4,666,667			
Dec-09		41,667	375,000	4,625,000			
Jan-10		41,667	416,667	4,583,333			
Feb-10		41,667	458,333	4,541,667			
Mar-10		41,667	500,000	4,500,000			
Revaluation			500,000	4,500,000	5,500,000	1,000,000	9,259
Apr-10	5,500,000	50,926	50,926	5,449,074		990,741	9,259

Period	Cost	Depreciation Expense	Depreciation Reserve	Asset CNBV (End of Period)	Asset NNBV	Revaluation Reserve	Revaluation Amortization
May-10		50,926	101,852	5,398,148		981,481	9,259

The following accounting entries are generated to record the revaluation:

Account Description	Debit	Credit
Accumulated Depreciation (Current Balance)	500,000	
Fixed Asset Cost (Revaluation Amount - Accumulated Depreciation)	500,000	
Revaluation Reserve		1,000,000

- If the result of (Revaluation Amount - Accumulated Depreciation) is positive, then the Fixed Asset Cost account is debited.
- If the result of (Revaluation Amount - Accumulated Depreciation) is negative, then the Fixed Asset Cost account is credited.

Revaluation Reserve Amortization Gain Neutralizing Accounting Entry:

At the end of the month, the following accounting entry is booked to record the amortization of the Revaluation Reserve for the period:

Account Description	Debit	Credit
Revaluation Reserve	9,259 *	
Capital Adjustment		9,259

* Monthly Revaluation Reserve Amortization = Revaluation Reserve / Remaining Life
 $9,259 = 1,000,000 / 108$

Depreciation and Depreciation Neutralizing Accounting Entries:

At the end of the month, the following accounting entry is booked to record the depreciation expense and its corresponding neutralizing entries for the period:

Account Description	Debit	Credit
Depreciation Expense	50,926 *	
Accumulated Depreciation		50,926

* Depreciation is recalculated and is based on the revalued net book value.

New Monthly Depreciation Expense = NNBV / Remaining depreciation periods

50,926 = 5,500,000 / 108

The following is the neutralizing depreciation accounting entry:

Account Description	Debit	Credit
Capital Adjustment	50,926	
General Fund		50,926

Revaluations - Example 2

Building #2 has undergone a professional revaluation. The building had been previously impaired and has an existing balance in the Accumulated Impairment account.

Building #2 was purchased on April 1, 2009 and recorded into Oracle Assets with the following details:

Asset Addition

Asset Setup Item	Asset Setup Information
Cost	5,000,000
Life	10 Years
Addition Period	April-2009
Method	STL – 10 yr

Asset Setup Item	Asset Setup Information
Prorate Convention	Monthly
Monthly Depreciation	41,667
Salvage Value	0.00

On March 1, 2010, a professional valuation was performed on Building #2 and the building's value had decreased by 500,000. The monthly depreciation after the impairment is 37,037.

On March 1, 2010, the accounting and asset details are as follows:

Current Asset Data

Asset Item	Asset Information
Cost	5,000,000
Accumulated Depreciation	458,333*
Accumulated Impairment	0.00
Salvage Value	0.00
Remaining Life	109 Months
Monthly Depreciation	41,667

* Excludes depreciation for March 2010.

Impairment Calculations are as follows:

When determining the impairment loss amount, the current period's (March 2010) depreciation is included in the CNBV calculation. Where:

- Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations - Current Period Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements
- New Net Book Value (NNBV) = Asset value as deemed by professional valuation
- Impairment Amount = NNBV - CNBV is negative

Note: CNBV includes depreciation for the period of the Impairment Date.

Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations - Current Period Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements

$$4,500,000 = 5,000,000 + 0.00 + 0.00 - 41,667 - 458,333 - 0.00 - 0.00$$

Impairment Amount = Provide by professional valuation

Impairment Amount = 500,000

New Net Book Value (NNBV) = CNBV - Impairment Amount

$$4,000,000 = 4,500,000 - 500,000$$

The following accounting entries are generated to record the impairment loss without an existing revaluation reserve balance for all impairment classification types:

Account Description	Debit	Credit
Impairment Loss Expense (Expensed Impairment Loss Amount)	500,000	
Accumulated Impairment (Expensed Impairment Loss Amount)		500,000

The following is the impairment loss neutralizing accounting entry:

Account Description	Debit	Credit
Capital Adjustment	500,000	
General Fund (Expensed Impairment Loss Amount)		500,000

Depreciation and Depreciation Neutralizing Accounting Entries:

At the end of the month, the following accounting entry is booked to record the depreciation expense and its corresponding neutralizing entries for the period (March 2010):

Account Description	Debit	Credit
Depreciation Expense	41,667 *	
Accumulated Depreciation		41,667

* Since the current month depreciation is considered in the CNBV calculation, depreciation is not recalculated until the following month.

Monthly Depreciation Expense = CNBV / Remaining depreciation periods

$$41,667 = 4,541,667 / 109$$

The following is the neutralizing depreciation accounting entry:

Account Description	Debit	Credit
Capital Adjustment	41,667	
General Fund		41,667

On April 1, 2011, another professional valuation was performed and the building's value had increased to 5,500,000. The revaluation is not linked to the prior impairment.

On April 1, 2011, the accounting for the building is as follows:

Current Asset Data

Asset Item	Asset Information
Cost	5,000,000
Accumulated Depreciation	944,444
Accumulated Impairment	500,000
Salvage Value	0.00
Remaining Life	96 Months
Impairment Loss Amount	500,000

Asset Item	Asset Information
Professional Valuation	5,500,000
Monthly Depreciation	37,037

The revaluation calculations are as follows:

Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations -
Accumulated Depreciation - Accumulated Impairments - Retirements

$3,555,556 = 5,000,000 + 0.00 + 0.00 - 944,444 - 500,000 - 0.00$

New Net Book Value (NNBV) = Asset value as deemed by professional valuation

NNBV = 5,500,000

Revaluation Amount = NNBV - CNBV

$1,944,444 = 5,500,000 - 3,555,556$

The effect of the revaluation is illustrated in the following table:

Period	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period)	Asset NNBV	Revaluation Reserve	Revaluation Amortization	Accumulated Impairment
Apr-09	5,000,000	41,667	41,667	4,958,333				
May-09		41,667	83,333	4,916,667				
Jun-09		41,667	125,000	4,875,000				
Jul-09		41,667	166,667	4,833,333				
Aug-09		41,667	208,333	4,791,667				
Sep-09		41,667	250,000	4,750,000				
Oct-09		41,667	291,667	4,708,333				
Nov-09		41,667	333,333	4,666,667				
Dec-09		41,667	375,000	4,625,000				

Period	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period)	Asset NNB V	Revaluation Reserve	Revaluation Amortization	Accumulated Impairment
Jan-10		41,667	416,667	4,583,333				
Feb-10		41,667	458,333	4,541,667				
Impairment			500,000	4,041,667	4,000,000			500,000
Mar-10	5,500,000	41667	500,000	4,000,000				500,000
Apr-10		37,037	537,037	3,962,963				500,000
May-10		37,037	574,074	3,925,926				500,000
Jun-10		37,037	611,111	3,888,889				500,000
Jul-10		37,037	648,148	3,851,852				500,000
Aug-10		37,037	685,185	3,814,815				500,000
Sep-10		37,037	722,222	3,777,778				500,000
Oct-10		37,037	759,259	3,740,741				500,000
Nov-10		37,037	796,296	3,703,704				500,000
Dec-10		37,037	833,333	3,666,667				500,000
Jan-11		37,037	870,370	3,629,630				500,000
Feb-11		37,037	907,407	3,592,593				500,000
Mar-11		37,037	944,444	3,555,556				500,000
Revaluation					5,500,000	1,944,444	20,255	0

Period	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period)	Asset NNB V	Revaluation Reserve	Revaluation Amortization	Accumulated Impairment
Apr-11	5,500,000	57,292	57,292	5,442,708		1,924,190	20,255	0

When booking a revaluation on the asset with a prior impairment, an entry to the Accumulated Depreciation and Accumulated Impairment accounts will be made to set the accounts balance to zero.

Accounting entries are:

Account Description	Debit	Credit
Accumulated Depreciation (Entire current balance in the account)	944,444	
Accumulated Impairment (Entire current balance in the account)	500,000	
Fixed Asset Cost (Revaluation Amount - (Accumulated Depreciation + Accumulated Impairment))	500,000	
Revaluation Reserve (Revaluation Amount)		1,944,444

- If the result of (Revaluation Amount - Accumulated Depreciation - Accumulated Impairment) is positive, then debit the Fixed Asset Cost account.
- If the result of (Revaluation Amount - Accumulated Depreciation - Accumulated Impairment) is negative, then credit the Fixed Asset Cost account.

The following accounting entry is booked to record the amortization of the Revaluation Reserve for the month:

Account Description	Debit	Credit
Revaluation Reserve	20,255 *	
Capital Adjustment		20,255

* Monthly Revaluation Reserve Amortization = Revaluation Reserve / Remaining Life
 $20,255 = 1,944,444 / 96$

At the end of the month, the following accounting entry is booked to record the depreciation expense and its corresponding neutralizing entries for the period:

Account Description	Debit	Credit
Depreciation Expense	57,292 *	
Accumulated Depreciation		57,292

* Monthly Depreciation is recalculated and is based on the revalued net book value.
 Monthly Depreciation = NNBV / Remaining depreciation periods
 $57,292 = 5,500,000 / 96$

The following is the neutralizing depreciation accounting entry:

Account Description	Debit	Credit
Capital Adjustment	57,292	
General Fund		57,292

Revaluation Loss

Revaluation losses are the result of a business trend and are not specific to the asset, for instance a temporary change in property price values due to a down turn in the real estate market. This is different from an asset impairment which is specific to the asset, such as damage due to fire. A revaluation loss is treated as a revaluation where any accumulated depreciation and accumulated impairment loss on the balance sheet account is written off against the gross carrying amount. The revaluation loss itself is posted as a net credit against the cost account, thus the cost account balance after the revaluation loss equals the new net book value. Where:

- Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations - Accumulated Depreciation - Accumulated Impairments - Retirements
- New Net Book Value (NNBV) = Asset value as deemed by professional valuation
- Revaluation Amounts = NNBV - CNBV. The resulting value is positive in order to be considered a revaluation gain. If the value is negative, it is a revaluation loss.

Note: CNBV does not include depreciation for the current open period of the Revaluation Date when processing revaluation gains or revaluation losses.

The accounting entries generated for revaluation loss are dependent on whether the asset has been previously revalued or impaired.

Example 1: Revaluation Loss

You want to perform a revaluation loss for Building #1 that has not been previously revalued and the balance in the Revaluation Reserve account for this asset is zero. Building #1 was purchased on April 1, 2010 and recorded into Oracle Assets with the following details:

Building #1 Details	Date
Cost	200,000
Life	10 Months
Depreciation Method	STL – 10 Months
Prorate Convention	Monthly
Monthly Depreciation	20,000
Salvage Value	0.00

On May 1, 2010, a professional valuation was performed on Building #1 and incurred a revaluation loss of 36,000 due to decline in the real estate market.

On May 1, 2010, the accounting for the building is as follows:

Building #1 Details	Date
Cost	200,000
Accumulated Depreciation	20,000
Accumulated Impairment	0.00
Cost Adjustment	0.00
Salvage Value	0.00
Retirements	0.00
Remaining Life	9 Months
Professional Valuation: New Net Book Value	144,000

Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations -
Accumulated Depreciation - Accumulated Impairments - Retirements

$$\text{CNBV} = 200,000 + 0.00 + 0.00 - 0.00 - 20,000 - 0.00 - 0.00$$

$$\text{CNBV} = 180,000$$

New Net Book Value (NNBV) = Asset value as deemed by professional valuation

$$\text{NNBV} = 180,000 - 36,000$$

$$\text{NNBV} = 144,000$$

$$\text{Revaluation Amount} = \text{NNBV} - \text{CNBV}$$

$$\text{Revaluation Amount} = -36,000$$

When booking a revaluation loss on the asset, a Debit accounting entry to the Accumulated Depreciation account is made to reverse the accumulated depreciation to date on the asset and set the account balance to zero and a Credit accounting entry is posted to the Fixed Asset Cost account. This will cause the fixed asset cost to be equal to the new net book value.

The effect of the revaluation loss is illustrated in the following table:

Period	Cost	Depreciat ion Expense	Accumulat ed Depreciati on	Asset CNBV (End of Period)	Asset NNBV	Revaluation Loss
Apr-10	200,000	20,000	20,000	180,000		
Revaluati on Loss			20,000	180,000	144,000	(36,000)
May-10	144,000	16,000	16,000	128,000		
Jun-10	144,000	16,000	32,000	112,000		
Jul-10	144,000	16,000	48,000	96,000		
Aug-10	144,000	16,000	64,000	80,000		
Sep-10	144,000	16,000	80,000	64,000		
Oct-10	144,000	16,000	96,000	48,000		
Nov-10	144,000	16,000	112,000	32,000		
Dec-10	144,000	16,000	128,000	16,000		
Jan-11	144,000	16,000	144,000	0		

The following accounting entries are generated to record the revaluation loss:

Account Description	Debit	Credit
Accumulated Depreciation (Current Balance)	20,000	
Revaluation Loss Expense (Revaluation Amount)	36,000	
Fixed Asset Cost (Revaluation Amount + Accumulated Depreciation)		56,000

- If the result of (Revaluation Amount - Accumulated Depreciation) is positive, then the Fixed Asset Cost account is debited.
- If the result of (Revaluation Amount - Accumulated Depreciation) is negative, then the Fixed Asset Cost account is credited.

Revaluation Loss Neutralizing Accounting Entry:

The following accounting entry is booked to record the Revaluation Loss neutralizing accounting entry:

Account Description	Debit	Credit
Capital Adjustment Account	36,000 *	
General Fund Account		36,000

* Amount posted to the Revaluation Loss account = 36,000

Depreciation and Depreciation Neutralizing Accounting Entries::

The following accounting entry is booked to record the depreciation expense and its corresponding neutralizing entries for the period:

Account Description	Debit	Credit
Depreciation Expense	16,000 *	
Accumulated Depreciation		16,000

* Depreciation is recalculated and is based on the revalued net book value. $\text{NNBV} / \text{Remaining depreciation periods} (144,000 / 9 = 16,000)$

The following is the neutralizing depreciation accounting entry:

Account Description	Debit	Credit
Capital Adjustment	16,000*	
General Fund		16,000

Example 2: Revaluation Loss on Prior Impaired Asset

You want to perform a revaluation loss on Building #2 that has been previously impaired and there is a balance in the Accumulated Impairment account for this asset. Building #2 was purchased on April 1, 2010 and recorded into Oracle Assets with the following details:

Building #2 Details	Date
Cost	200,000
Life	1 Year
Depreciation Method	STL – 1 Yr
Prorate Convention	Monthly
Monthly Depreciation	16,667
Salvage Value	0.00

On May 1, 2010, a professional valuation was performed on Building #2 and the its value had decreased by 36,000 due to impairment. The monthly depreciation after the impairment is 13,067.

On May 1, 2010, the accounting for the building is as follows:

Building #2 Details	Date
Cost	200,000
Accumulated Depreciation	16,667 *
Accumulated Impairment	0.00
Cost Adjustment	0.00
Revaluation	0.00
Salvage Value	0.00
Retirements	0.00

Building #2 Details	Date
Remaining Life	11 Months
Monthly Depreciation	16,667
Professional Valuation: Impairment	30,000

* Excludes depreciation for May 2010.

When determining the impairment loss amount, the current period's (May 2010) depreciation is included in the CNBV calculation. Where:

- Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations - Current Period Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements
- New Net Book Value (NNBV) = Asset value as deemed by professional valuation
- Impairment Amount = NNBV - CNBV is negative

Note: CNBV includes depreciation for the current open period of the Impairment Date when processing an impairment loss.

- Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations - Current Period Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements
- $CNBV = 200,000 + 0.00 + 0.00 - 16,667 - 0.00 - 16,667 - 0.00 - 0.00$
- $CNBV = 166,666$
- Impairment Amount = Provide by professional valuation
- Impairment Amount = 36,000
- New Net Book Value (NNBV) = CNBV - Impairment Amount
- $NNBV = 130,667$

The following accounting entries are generated to record the impairment loss without an existing revaluation reserve balance for all impairment classification types:

Account Description	Debit	Credit
Impairment Loss Expense (Expensed Impairment Loss Amount)	36,000	
Accumulated Impairment (Expensed Impairment Loss Amount)		36,000

The following is the impairment loss neutralizing accounting entry:

Account Description	Debit	Credit
Capital Adjustment (Expensed Impairment Loss Amount)	36,000	
General Fund (Expensed Impairment Loss Amount)		36,000

Depreciation and Depreciation Neutralizing Accounting Entries:

The following accounting entry is booked to record the depreciation expense and its corresponding neutralizing entries for the period (May 2010):

Account Description	Debit	Credit
Depreciation Expense	16,667 *	
Accumulated Depreciation		16,667

* Since the current month depreciation is considered in the CNBV calculation, depreciation is not recalculated until the following month. CNBV / Remaining depreciation periods (183,333 / 11 = 16,667)

The following is the neutralizing depreciation accounting entry:

Account Description	Debit	Credit
Capital Adjustment	16,667	

Account Description	Debit	Credit
General Fund (Expensed Impairment Loss Amount)		16,667

On Oct 1, 2010, another professional valuation was performed and the building's value had decreased its market value by 50,000 due to decline in the general real estate market.

On Oct 1, 2010, the accounting for the building is as follows:

Building #2 Details	Date
Cost	200,000
Accumulated Depreciation	85,600
Accumulated Impairment	36,000
Cost Adjustment	0.00
Salvage Value	0.00
Retirements	0.00
Remaining Life	6 Months
Impairment Loss Amount	36,000
Professional Valuation – New Net Book Value	28,400
Monthly Depreciation	13,067

Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations -
Accumulated Depreciation - Accumulated Impairments - Retirements

$CNBV = 200,000 + 0.00 + 0.00 - 0.00 - 85,600 - 36,000 - 0.00$

$CNBV = 78,400$

New Net Book Value (NNBV) = Asset value as deemed by professional valuation

$NNBV = 28,400$

Revaluation Amount = NNBV - CNBV

Revaluation Amount = (50,000)

The effect of the revaluation is illustrated in the following table:

Period	Cost	Depreciat ion Expense	Accumul ated Depreciat ion	Asset CNBV (End of Period)	Asset NNBV	Revalua tion Loss	Accumula ted Impairme nt
Apr-10	200,000	16,667	16,667	183,333			
Impairm ent				166,667	130,667		36,000
May-10	200,000	16,667	33,333	130,667			36,000
Jun-10	200,000	16,667	46,400	117,600			36,000
Jul-10	200,000	13,067	59,467	104,533			36,000
Aug-10	200,000	13,067	72,533	91,467			36,000
Sep-10	200,000	13,067	85,600	78,400			36,000
Revaluati on Loss			85,600	78,400	28,400	50,000	
Oct-10	28,400	4,733	4,733	23,667			
Nov-10	28,400	4,733	9,467	18,933			
Dec-10	28,400	4,733	14,200	14,200			
Jan-11	28,400	4,733	18,933	9,467			
Feb-11	28,400	4,733	23,667	4,733			
Mar-11	28,400	4,733	28,400				

When booking a revaluation loss on the asset with a prior impairment, an entry to the Accumulated Depreciation and Accumulated Impairment accounts will be made to set the accounts balance to zero.

Accounting entries are:

Account Description	Debit	Credit
Accumulated Depreciation (Entire current balance in the account)	85,600	
Accumulated Impairment (Entire current balance in the account)	36,000	
Revaluation Loss Expense (Revaluation Amount)	50,000	
Fixed Asset Cost (Revaluation Amount - (Accumulated Depreciation + Accumulated Impairment))		171,600

- If the result of (Revaluation Amount - Accumulated Depreciation - Accumulated Impairment) is positive, then debit the Fixed Asset Cost account.
- If the result of (Revaluation Amount - Accumulated Depreciation - Accumulated Impairment) is negative, then credit the Fixed Asset Cost account.

The following accounting entry is booked to record the Revaluation Loss neutralizing accounting entry:

Account Description	Debit	Credit
Capital Adjustment	50,000 *	
General Fund		50,000

* Amount posted to the Revaluation Loss account = 50,000

The following accounting entry is booked to record the depreciation expense and its corresponding neutralizing entries for the period:

Account Description	Debit	Credit
Depreciation Expense	4,733 *	
Accumulated Depreciation		4,733

* Depreciation is recalculated and is based on the revalued net book value. $NNBV / \text{Remaining depreciation periods } (28,400 / 6 = 4,733)$.

Revaluation: Reversal of Revaluation Loss

Under the revised guidelines, when revaluing an asset upward which has previously incurred a revaluation loss, the revaluation gain is to reverse the previous revaluation loss and its depreciation adjusted as if the revaluation loss had not occurred. As a result, when recording the revaluation gain, the following will occur:

- The revaluation gain will reverse all revaluation losses up to the revaluation gain amount with any remaining revaluation gain booked to the revaluation reserve.
- The revaluation gain will reverse revaluation losses previously charged to the Comprehensive Income and Expenditure statement accounts. The reversal is adjusted for depreciation to take in account the depreciation that would have been charged had the loss not taken place. Basically, the previous revaluation loss is neutralized or negated.
- The reversal goes back to the point where the original revaluation loss took place. **Note:** This can be no earlier than April 1, 2007 when the Revaluation Reserve was first introduced.
- If the revaluation gain is lower than the original revaluation loss, resulting in a loss remaining, a pro-rata of the annual depreciation adjustment and a record of the balance of the remaining revaluation loss not reversed is tracked on the asset and is used in lieu of any future revaluation gain.

Example 3 – Revaluation: Reversal of Prior Revaluation Loss

You want to perform a revaluation for Building #3 has a previous revaluation loss recorded. Building #3 was purchased on April 1, 2010 and recorded into Oracle Assets with the following details:

Building #3 Details	Date
Cost	200,000
Life	1 Year

Building #3 Details	Date
Depreciation Method	STL – 1 Yr
Prorate Convention	Monthly
Monthly Depreciation	16,667
Salvage Value	0.00

On May 1, 2010, a professional valuation was performed on Building #3 and the building's value had decreased by 36,000. The monthly depreciation after the revaluation loss is 13,394.

On May 1, 2010, the accounting for the building is as follows:

Building #3 Details	Date
Cost	200,000
Accumulated Depreciation	16,667*
Accumulated Impairment	0.00
Cost Adjustment	0.00
Revaluation	0.00
Salvage Value	0.00
Retirements	0.00
Remaining Life	11 Months
Monthly Depreciation	16,667
Professional Valuation: New Net Book Value	147,333

When determining the revaluation loss amount, the current period's (May 2010) depreciation is excluded in the CNBV calculation. Where:

- Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations -

Accumulated Depreciation - Accumulated Impairments - Retirements

- New Net Book Value (NNBV) = Asset value as deemed by professional valuation
- Revaluation Amount = NNBV - CNBV is negative

Note: CNBV excludes depreciation for the period of the Revaluation Loss Date.

- Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations - Accumulated Depreciation - Accumulated Impairments - Retirements
- $CNBV = 200,000 + 0.00 + 0.00 - 16,667 - 0.00 - 0.00$
- $CNBV = 183,333$
- Revaluation Amount = Provide by professional valuation
- Revaluation Amount = (36,000)
- New Net Book Value (NNBV) = CNBV - Revaluation Amount
- $NNBV = 147,333$

The following accounting entries are generated to record the revaluation loss:

Account Description	Debit	Credit
Accumulated Depreciation (Current Balance)	16,667	
Revaluation Loss Expense (Revaluation Amount)	36,000	
Fixed Asset Cost (Revaluation Amount + Accumulated Depreciation)		52,667

- If the result of (Revaluation Amount - Accumulated Depreciation) is positive, then the Fixed Asset Cost account is debited.
- If the result of (Revaluation Amount - Accumulated Depreciation) is negative, then the Fixed Asset Cost account is credited.

Revaluation Loss Neutralizing Accounting Entry

The following accounting entry is booked to record the Revaluation Loss neutralizing accounting entry:

Account Description	Debit	Credit
Capital Adjustment	36,000 *	
General Fund		36,000

* Amount posted to the Revaluation Loss account = 36,000

Depreciation and Depreciation Neutralizing Accounting Entries:

The following accounting entry is booked to record the depreciation expense and its corresponding neutralizing entries for the period:

Account Description	Debit	Credit
Depreciation Expense	13,394 *	
Accumulated Depreciation		13,394

* Depreciation is recalculated and is based on the revalued net book value. $NNBV / \text{Remaining depreciation periods} (147,333 / 11 = 13,394)$

The following is the neutralizing depreciation accounting entry:

Account Description	Debit	Credit
Capital Adjustment	13,394	
General Fund		13,394

On October 1, 2010, another professional valuation was performed and the building's value had increased to 150,000.

On October 1, 2010, the accounting for the building is as follows:

Building #3 Details	Date
Cost	147,333
Accumulated Depreciation	66,970
Accumulated Impairment	0.00
Cost Adjustment	0.00
Salvage Value	0.00
Retirements	0.00
Remaining Life	6 Months
Professional Valuation: New Net Book Value	150,000
Monthly Depreciation	13,394

Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations -
Accumulated Depreciation - Accumulated Impairments - Retirements

$CNBV = 147,333 + 0.00 + 0.00 - 0.00 - 66,970 - 0.00 - 0.00$

$CNBV = 80,364$

New Net Book Value (NNBV) = Asset value as deemed by professional valuation

$NNBV = 150,000$

Revaluation Amount = $NNBV - CNBV$

Revaluation Amount = 69,636

When recording revaluation gains on an asset with a prior revaluation loss, it is a requirement to reverse the previous revaluation losses. With this reversal, the asset depreciation is adjusted as if the revaluation loss had not occurred on the asset.

Steps to determine the revaluation loss reversal amount to be applied to the revaluation gain.

Determine Revaluation Loss Depreciation Impact:

- $\text{Revaluation Loss Depreciation Impact} = \text{Revaluation Loss} * \text{Depreciation Impact Factor}$
- $\text{Depreciation Impact Factor} = (\text{Remaining asset life (time periods) at time of Revaluation Loss} - \text{Remaining asset life (time periods) at the revaluation gain}) /$

Remaining asset life (time periods) at time of revaluation loss

- $= 36,000 * (11 - 6)/11$
- $= 36,000 * .454545$
- $= 16,364$

Determine Net Revaluation Loss impact:

- Net Revaluation Loss = Revaluation Loss - Revaluation Loss Depreciation Impact
- $= 36,000 - 16,364$
- $= 19,636$

Determine Revaluation Loss Reversal Amount:

- If $(\text{Revaluation Amount} - \text{Net Revaluation Loss}) > 0$
Then:
 - Revaluation Loss Reversal Amount = Net Revaluation Loss
- Else:
 - Revaluation Loss Reversal Amount = Revaluation Amount
 - $= 19,636$

Determine amount to be booked to Revaluation Reserve:

- Revaluation Reserve = Revaluation Amount - Revaluation Loss Reversal Amount
- $= 69,636 - 19,636$
- $= 50,000$

The effect of the revaluation is illustrated in the following table:

Period	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period)	Asset NNB V	Revaluation Reserve	Revaluation Amortization	Revaluation Loss
Apr-10	200,000	16,667	16,667	183,333				

Period	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period)	Asset NNB V	Revaluation Reserve	Revaluation Amortization	Revaluation Loss
Revaluation Loss			16,667	183,333	147,333			36,000
May-10	147,333	13,394	13,394	133,939				
Jun-10	147,333	13,394	26,788	120,545				
Jul-10	147,333	13,394	40,182	107,152				
Aug-10	147,333	13,394	53,576	93,758				
Sep-10	147,333	13,394	66,970	80,364				
Revaluation Loss			66,970		150,000	50,000	8,333	
Oct-10	150,000	25,000	25,000	125,000		41,667	8,333	
Nov-10	150,000	25,000	50,000	100,000		33,333	8,333	
Dec-10	150,000	25,000	75,000	75,000		25,000	8,333	
Jan-11	150,000	25,000	100,000	50,000		16,667	8,333	
Feb-11	150,000	25,000	125,000	25,000		8,333	8,333	
Mar-11	150,000	25,000	150,000				8,333	

The following accounting entries are created to record the revaluation and the effects of the reversal of the revaluation loss.

Account Description	Debit	Credit
Accumulated Depreciation (Entire current balance in the account)	66,970	
Fixed Asset Cost (Revaluation Amount - (Accumulated Depreciation + Accumulated Impairment))	2,666	
Revaluation Loss (Revaluation Loss Reversal Amount)		19,636
Revaluation Reserve (Revaluation Amount)		50,000

- If the result of (Revaluation Amount - Accumulated Depreciation - Accumulated Impairment) is positive, then debit the Fixed Asset Cost account.
- If the result of (Revaluation Amount - Accumulated Depreciation - Accumulated Impairment) is negative, then credit the Fixed Asset Cost account.

The following accounting entry is booked to record the reversal of the original Revaluation Loss Neutralizing Entry:

Account Description	Debit	Credit
General Fund (Amount of the Revaluation Loss)	36,000*	
Capital Adjustment (Amount of Revaluation Loss)		36,000

* This is the gross amount booked to the revaluation loss account originally

The following accounting entry is booked to record the depreciation impact portion of the reversal of the revaluation loss:

Account Description	Debit	Credit
Depreciation Expense (Revaluation Loss Depreciation Impact)	16,364	
Revaluation Loss Expense (Revaluation Loss Depreciation Impact)		16,364

The following accounting entry is booked to record the neutralizing entries for the depreciation impact portion for the reversal of the revaluation loss:

Account Description	Debit	Credit
General Fund (Revaluation Loss Depreciation Impact)	16,364	
Capital Adjustment (Revaluation Loss Depreciation Impact)		16,364

At the end of the month, the following accounting entry is booked to record the amortization of the Revaluation Reserve for the month:

Account Description	Debit	Credit
Revaluation Reserve	8,333*	
Capital Adjustment		8,333

* Revaluation Reserve / Remaining Life (50,000/6 = 8,333)

At the end of the month, the following accounting entry is booked to record the depreciation expense and its corresponding neutralizing entries for the period:

Account Description	Debit	Credit
Depreciation Expense	25,000 *	

Account Description	Debit	Credit
Accumulated Depreciation		25,000

* Depreciation is recalculated and is based on the revalued net book value. $NNBV / \text{Remaining depreciation periods } (150,000 / 6 = 25,000)$

The following is the neutralizing depreciation accounting entry:

Account Description	Debit	Credit
Capital Adjustment	25,000	
General Fund		25,000

Impairments

Impairment occurs when a professional valuation on an asset is less than the asset's current net book value. When booking impairment, the impairment loss amount booked to the Impairment Loss account is reduced by the amount available in the Revaluation Reserve account for the asset, up to the impairment loss amount.

The following examples provide the accounting entries that are generated for an asset impairment with no revaluation reserve balance and impairment classification type that is equal to Change in Property Prices, Other, or Consumption of Economic Benefit.

Impairments - Example 1:

On April 1, 2008, Building #2 was purchased and recorded into Oracle Assets with the following details:

Asset Addition

Asset Setup Item	Asset Setup Information
Cost	5,000,000
Life	10 Years
Addition Period	April-2008
Method	STL – 10 yr

Asset Setup Item	Asset Setup Information
Prorate Convention	Monthly
Salvage Value	0.00

On March 1, 2009, a professional valuation was performed on Building #2 and the building's value had decreased due to a decline in property values in the area. The building was impaired by 500,000.

On March 1, 2009, the accounting for the building is as follows:

Current Asset Data

Asset Item	Asset Information
Cost	5,000,000
Accumulated Depreciation	458,333 *
Accumulated Impairment	0.00
Cost Adjustment	0.00
Revaluation	0.00
Salvage Value	0.00
Retirements	0.00
Remaining Life	109 Months
Monthly Depreciation	41,667

* Excludes depreciation for March 2009.

When determining the impairment loss amount, the current period's (March 2009) depreciation is included in the CNBV calculation. Where:

- Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations - Accumulated Depreciation - Accumulated Impairments - Retirements)
- New Net Book Value (NNBV) = Asset value as deemed by professional valuation

- Impairment Amount = NNBV - CNBV is negative

Note: CNBV includes depreciation for the period of the Impairment Date.

Impairment calculations are as follows:

Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations - Current Period Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements

$$4,500,000 = 5,000,000 + 0.00 + 0.00 - 41,667 - 458,333 - 0.00 - 0.00$$

Impairment Amount = Provided by professional valuation

Impairment Amount = 500,000

New Net Book Value (NNBV) = CNBV - Impairment Amount

$$4,000,000 = 4,500,000 - 500,000$$

The effect of the impairment is illustrated in the following table:

Period	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period)	Asset NNBV	Revaluation Reserve	Revaluation Amortization	Accumulated Impairment
Apr-08	5,000,000	41,667	41,667	4,958,333				
May-08		41,667	83,333	4,916,667				
Jun-08		41,667	125,000	4,875,000				
Jul-08		41,667	166,667	4,833,333				
Aug-08		41,667	208,333	4,791,667				
Sep-08		41,667	250,000	4,750,000				
Oct-08		41,667	291,667	4,708,333				
Nov-08		41,667	333,333	4,666,667				
Dec-08		41,667	375,000	4,625,000				

Period	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period)	Asset NNBV	Revaluation Reserve	Revaluation Amortization	Accumulated Impairment
Jan-09		41,667	416,667	4,583,333				
Feb-09		41,667	458,333	4,541,667				
Impairment				4,500,000	4,000,000			500,000
Mar-09	5,000,000	41667	500,000	4,000,000				500,000
Apr-09		37,037	537,037	3,962,963				500,000

The following accounting entries are generated to record the impairment loss without an existing revaluation reserve balance for all impairment classification types:

Account Description	Debit	Credit
Impairment Loss Expense (Expensed Impairment Loss Amount)	500,000	
Accumulated Impairment (Expensed Impairment Loss Amount)		500,000

The following is the impairment loss neutralizing accounting entry:

Account Description	Debit	Credit
Capital Adjustment (Expensed Impairment Loss Amount)	500,000	
General Fund (Expensed Impairment Loss Amount)		500,000

Depreciation and Depreciation Neutralizing Accounting Entries:

At the end of the month, the following accounting entry is booked to record the depreciation expense and its corresponding neutralizing entries for the period (March 2009):

Account Description	Debit	Credit
Depreciation Expense	41,667 *	
Accumulated Depreciation		41,667

* Since the current month depreciation is considered in the CNBV calculation, depreciation is not recalculated until the following month.

Monthly Depreciation = CNBV / Remaining depreciation periods

$$41,667 = 4,541,667 / 109$$

The following is the neutralizing depreciation accounting entry:

Account Description	Debit	Credit
Capital Adjustment	41,667	
General Fund		41,667

Impairments - Example 2

Building #3 is being impaired as a result of a change in property values. The building has had a previous revaluation and there is an existing revaluation reserve balance for this asset.

Building #3 was purchase on April 1, 2008, and recorded into Oracle Assets with the following details:

Asset Addition

Asset Setup Item	Asset Setup Information
Cost	5,000,000
Life	10 Years
Addition Period	April-2008

Asset Setup Item	Asset Setup Information
Method	STL – 10 yr
Prorate Convention	Monthly
Monthly Depreciation	41,667
Salvage Value	0.00

On April 1, 2009, a professional valuation was performed on Building #3 and the building's value had increased due to improvements made. The building was revalued to a net book balance of 5,500,000. With a new monthly depreciation of 50,926, revaluation reserve balance of 1,000,000, and a monthly revaluation reserve amortization amount of 9,259, and a remaining life of 108 months.

On March 1, 2010, a professional valuation was performed on Building #3 and the building's value had decreased due to a decline in property values in the area. The buildings value is now 3,500,000 resulting in an impairment of 1,388,889.

On March 1, 2010, the accounting for the building is as follows:

Current Asset Data

Asset Item	Asset Information
Cost	5,000,000
Accumulated Depreciation	560,185 *
Accumulated Impairment	0.00
Revaluation Reserve	898,148 **
Salvage Value	0.00
Remaining Life	97 Months
Monthly Depreciation	50,926
Monthly Revaluation Reserve Amortization	9,259

* Accumulated Depreciation at end of February 2010.

** Revaluation Reserve at end of February 2010.

When determining the impairment loss amount, the current period's (March 2010) depreciation is included in the CNBV calculation.

Impairment calculations are as follows:

Current Net Book Value (CNBV) = Cost + Cost Adjustments + Revaluations - Current Period Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements

$$4,888,889 = 5,000,000 + 0.00 + 500,000 - 50,926 - 560,185 - 0.00 - 0.00$$

New Net Book Value (NNBV) = Provided by professional valuation

$$\text{NNBV} = 3,500,000$$

Impairment Amount = NNBV - CNBV

$$-1,388,889 = 3,500,000 - 4,888,889$$

The effect of the impairment is illustrated in the following table:

Period	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period)	Asset NNBV	Revaluation Reserve	Revaluation Amortization	Impairment Loss	Accumulated Impairment
Apr-08	5,000,000	41,667	41,667	4,958,333					
May-08		41,667	83,333	4,916,667					
Jun-08		41,667	125,000	4,875,000					
Jul-08		41,667	166,667	4,833,333					
Aug-08		41,667	208,333	4,791,667					
Sep-08		41,667	250,000	4,750,000					
Oct-08		41,667	291,667	4,708,333					

Period	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period)	Asset NNBV	Revaluation Reserve	Revaluation Amortization	Impairment Loss	Accumulated Impairment
Nov-08		41,667	333,333	4,666,667					
Dec-08		41,667	375,000	4,625,000					
Jan-09		41,667	416,667	4,583,333					
Feb-09		41,667	458,333	4,541,667					
Mar-09		41,667	500,000	4,500,000					
Revaluation			500,000	4,500,000	5,500,000	1,000,000	9,259		
Apr-09	5,500,000	50,926	50,926	5,449,074		990,741	9,259		
May-09		50,926	101,852	5,398,148		981,481	9,259		
Jun-09		50,926	152,778	5,347,222		972,222	9,259		
Jul-09		50,926	203,704	5,296,296		962,963	9,259		
Aug-09		50,926	254,630	5,245,370		953,704	9,259		
Sep-09		50,926	305,556	5,194,444		944,444	9,259		
Oct-09		50,926	356,481	5,143,519		935,185	9,259		

Period	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period)	Asset NNBV	Revaluation Reserve	Revaluation Amortization	Impairment Loss	Accumulated Impairment
Nov-09		50,926	407,407	5,092,593		925,926	9,259		
Dec-09		50,926	458,333	5,041,667		916,667	9,259		
Jan-10		50,926	509,259	4,990,741		907,407	9,259		
Feb-10		50,926	560,185	4,939,815		898,148	9,259		
Impairment				4,888,889	3,500,000	888,889	9,259	500,000	500,000
Mar-10		50,926	611,111	3,500,000				500,000	500,000
Apr-10	5,500,000	36,458	647,569	3,463,542				500,000	500,000
May-10		36,458	684,028	3,427,083				500,000	500,000
Jun-10		36,458	720,486	3,390,625				500,000	500,000
Jul-10		36,458	756,944	3,354,167				500,000	500,000
Aug-10		36,458	793,403	3,317,708				500,000	500,000
Sep-10		36,458	829,861	3,281,250				500,000	500,000
Oct-10		36,458	866,319	3,244,792				500,000	500,000

Period	Cost	Depreciation Expense	Accumulated Depreciation	Asset CNBV (End of Period)	Asset NNBV	Revaluation Reserve	Revaluation Amortization	Impairment Loss	Accumulated Impairment
Nov-10		36,458	902,778	3,208,333				500,000	500,000
Dec-10		36,458	939,236	3,171,875				500,000	500,000
Jan-11		36,458	975,694	3,135,417				500,000	500,000

The following accounting entries are generated to record the impairment with a prior revaluation reserve balance:

Debit	Credit
Revaluation Reserve (Up to the amount of the impairment loss)	
Impairment Loss Expense (Impairment loss not covered by the Revaluation Reserve balance)	
	Accumulated Impairment (Impairment loss amount)

Note:

- Revaluation Reserve: When determining the amount of the revaluation reserve available, the current month revaluation reserve amortization is taken in account. For example, the Revaluation Reserve balance is reduced by the current month's amortization. The remaining balance is then applied to the impairment loss amount to determine the amount to be booked to the impairment loss account.
- For example, the Revaluation Reserve balance is reduced by the current month's amortization. The remaining balance is then applied to the impairment loss amount to determine the amount to be booked to the impairment loss account.

Account Details	Data
Revaluation Reserve	898,148
Current Month Amortization	9,259
Available Revaluation Reserve	888,889
Amount to Book to the Impairment Loss Account	$1,388,889 - 888,889 = 500,000$

- Current Net Book Value: When determining the impairment loss amount, the Current Net Book Value calculation will take in account the current month's depreciation as previously mentioned.

Account Description	Debit	Credit
Revaluation Reserve	888,889	
Impairment Loss Expense	500,000	
Accumulated Impairment		1,388,889

Impairment Loss Neutralizing Accounting Entry:

Under guidelines, any debit to the Impairment Loss account must have a corresponding neutralizing entry to the Capital Adjustment and General Fund Balance (General Fund) accounts. As a result, the following neutralizing entry is also created:

Account Description	Debit	Credit
Capital Adjustment (Expensed impairment loss amount)	500,000	
General Fund (Expensed impairment loss amount)		500,000

Depreciation and Depreciation Neutralizing Accounting Entries:

At the end of the month, the following entry is booked to record the depreciation

expense and its corresponding neutralizing entries for the period:

Account Description	Debit	Credit
Depreciation Expense	50,926 *	
Accumulated Depreciation		50,926

* Since the current month depreciation is considered in the CNBV calculation, depreciation is not recalculated until the following month.

Monthly Depreciation = CNBV / Remaining depreciation periods

50,926 = 4,939,815 / 97

The following is the neutralizing depreciation accounting entry:

Account Description	Debit	Credit
Capital Adjustment	50,926	
General Fund		50,926

Asset Decommission and Disposal Accounting Entries:

When an asset is disposed of or decommissioned, the carrying amount (NVB) of the asset is removed from the balance sheet. The following accounting entries are generated to remove the remaining NBV from the balance sheet accounts (based on Asset Category and Asset Book level setup):

Debit	Credit
Disposal Gains or Loss (Income Statement account)	
Accumulated Depreciation	
Accumulated Impairment	
	Fixed Asset Cost

Additionally, a neutralizing entry to the Capital Adjustment and General Fund balance is posted. Any remaining balance in the Revaluation Reserve for the asset is also cleared out and transferred to the Capital Adjustment account.

Disposal Neutralizing Accounting Entries:

Carrying Amount (NBV)

Debit	Credit
Capital Adjustment (NBV)	
	General Fund (NBV)
Revaluation Reserve	
Debit	Credit
Revaluation Reserve (Remaining balance on the account)	
	Capital Adjustment (Remaining balance on the account)

Russian Legal Requirements for Recording Asset Revaluations

This section covers the following topics:

- Overview, page 5-149
- Managing Post Depreciation Revaluation, page 5-150

Overview

The new legal requirement appeared in the Minfin Order N 186n on December 24, 2010 which impacted PBU 6/01. It requires that year end revaluation should be performed after depreciation is calculated for the last month of current fiscal year. In other words, financial result of revaluation should be reflected in the year which is being closed.

Requirements before and after 2011:

- **Before 2011:** Revaluation should be performed at start of new year. It does not have any impact on financial results of current year. In other words, you should close and complete all financial reporting for current year. Then, open the new year, reevaluate assets and reflect revaluation results in the first quarter of new year.
- **In 2011 and Later:** Revaluation should be performed at the year end and its result should be reflected in financial results of year which is being closed. In other word,

you should record the depreciation for December, revalue assets (Accumulated Depreciation which is being revaluated should include depreciation for December) and reflect the result of revaluation in financial reporting of current year.

Managing Post Depreciation Revaluation

To achieve above requirements, the following windows were modified:

- Mass Revaluations Window: The Rules section of Mass Revaluations window now includes the **Include Current Period Depreciation** check box. To perform post depreciation revaluation, the check box must be selected . It will be applicable to all the assets entered in the Rates section. The value for this check box is defaulted from the Book Controls window.

Mass Revaluations

Book OPS CORP Mass Transaction Number
Comments reval testing PDR Revaluation Date 31/08/2007
Status New

Rules

☐ Revalue Fully Reserved Assets Life Extension Factor Maximum Revaluations
☐ Revalue CIP Assets Life Extension Ceiling
☒ Include Current Period Depreciation

Rates

Category	Asset Number	Rate %
	100051	50

Description BMW 850I

Rules Overridden

Override Rules Review (B) Run Preview

- Book Controls Window: The Accounting Rules section of Book Controls window now includes the Include Current Period Depreciation check box. To perform post depreciation revaluation, select the check box.

- When revaluation is performed with the new check box selected:
 - Depreciation will be automatically calculated for the assets being revalued.
 - Depreciation reserve values, after running depreciation, will be used for performing the revaluation.
- Any transaction performed in the same period after the post depreciation revaluation will automatically rollback the post depreciation revaluation and depreciation values for the asset

Physical Inventory

Physical inventory is the process of ensuring that the assets a company has listed in its production system match the assets it actually has in inventory. A company takes physical inventory by manually looking at all assets to ensure they exist as recorded, are in the appropriate locations, and consist of the recorded number of units.

A person taking physical inventory can collect physical inventory data in a number of ways, such as by writing down information about the asset manually, or by using a barcode scanner to automatically scan asset information into a file such as an Excel spreadsheet. After this information is collected, any discrepancies need to be reconciled. For example, if a computer is located in Room 549 according to your production data, but is actually in Room 346, you need to either change the record to reflect the true

location of the computer, or move it to Room 549.

About Physical Inventory

The Physical Inventory feature in Oracle Assets assists you in comparing and reconciling your physical inventory data. To use the Physical Inventory feature, you must first take physical inventory of your assets. You need to include the following information about your assets:

- A unique identifier, which can be either the asset number, tag number, or serial number
- The location
- The number of units

You can include other information that may make it easier for you to keep track of the assets you are comparing, such as a description of each asset, but only the information listed above is required.

You load your physical inventory data into Oracle Assets using the Physical Inventory Entries window, or you can use the Record Physical Inventory process in the Applications Desktop Integrator (ADI), which allows you to import data from an Excel spreadsheet. You can also use SQL*Loader to import physical inventory data from a non-Oracle file system.

When you finish entering physical inventory data into Oracle Assets, you run the Physical Inventory comparison program, which highlights the differences between the asset information in Oracle Assets and the actual assets in physical inventory. This program compares your physical inventory data with your Oracle Assets data for all assets that have the In Physical Inventory check box checked.

You can view the results of the comparison online in the Physical Inventory Comparison window, or by running the Physical Inventory Comparison Report. The comparison results highlight differences between the assets in your production system and those in physical inventory. You can reconcile the differences between physical inventory and the information in your database by updating each asset manually, or you can use the mass additions process to add assets that are missing from the production system.

When you have completed your physical inventory, you can run the Missing Assets Report, which lists all assets that have not been accounted for in the physical inventory process.

Prerequisites

- Ensure that the In Physical Inventory check box is checked for all assets in Oracle Assets that you want included in the physical inventory comparison program. See: Setting Up Oracle Assets Data to be Included in Physical Inventory, page 5-153.

To gather and reconcile physical inventory information:

1. Take physical inventory of your assets by using a barcode scanner (if your assets are set up with barcodes) or by manually noting the location, number of units, and a unique identifier.
2. Navigate to the Physical Inventory window.
3. Enter the inventory name (for example, Q2 Physical Inventory USA) and the start date. Entering an end date indicates that the physical inventory is complete, so you should not enter an end date until you have completed all physical inventory tasks.
4. Save your changes.
5. Load the physical inventory data into Oracle Assets using the Physical Inventory window, the Record Physical Inventory process in ADI, or SQL*Loader. See: Loading Physical Inventory Data, page 5-154.
6. Run the Physical Inventory Comparison program. See: Physical Inventory Comparison Program, page 5-163.
7. Run the Physical Inventory Comparison Report or review the results online using the Find Physical Inventory Comparison window. See: Viewing Comparison Results, page 5-164.
8. Analyze the report results.
9. Change Oracle Assets data to reconcile with the physical inventory data and ensure you have accounted for all assets. See: Reconciliation, page 5-166.
10. Run the Missing Assets Report. See: Missing Assets, page 5-166
11. Purge the physical inventory data. See: Purging Physical Inventory Data, page 5-166

Related Topics

Overview of the Mass Additions Process, page 3-28

Setting Up Asset Categories, page 11-188

Adding an Asset Specifying Details (Detail Additions), page 3-20

Record Physical Inventory Feature (*Oracle Applications Desktop Integrator User Guide*)

Setting Up Oracle Assets Data to be Included in Physical Inventory

Assets listed in Oracle Assets will be compared by the Physical Inventory Comparison program only if the In Physical Inventory check box is checked for those assets. If the In

Physical Inventory check box is not checked for a particular asset, that asset will be ignored in the comparison.

The In Physical Inventory check box allows you to determine which assets are included in the physical inventory process. For example, you may have several buildings that you track as assets in Oracle Assets, but you do not want the buildings included in the physical inventory process.

Mass Additions

You can designate a group of assets to be included in the physical inventory process by checking the In Physical Inventory check box in the Mass Additions window.

Asset Categories

When you set up asset categories in the Asset Categories window, the In Physical Inventory check box is checked by default. If you do not want assets in a particular category to be included in physical inventory, you can uncheck the In Physical Inventory check box when you set up the category. For example, you may set up a category called BUILDING, which includes all of the buildings owned by your company. You may not want your buildings included in the physical inventory process, so you can uncheck the In Physical Inventory check box so that all assets with a category of BUILDING will not be included in physical inventory.

After setting up categories, you can override the value of the In Physical Inventory check box for individual assets using the Asset Details window.

Asset Details

You can use the Asset Details window to override the value of the In Physical Inventory check box. For example, you may have assets with a category of COMPUTER designated to be included in the physical inventory process. You may also have a particular asset with a category of COMPUTER that you do not want included in the physical inventory process. You can open the Asset Details window for that particular asset and uncheck the In Physical Inventory check box.

Loading Physical Inventory Data

To use the Physical Inventory feature in Oracle Assets, you must load physical inventory data that you have collected into the FA_INV_INTERFACE table in Oracle Assets. The Usage column in the following table indicates whether a field is required, optional, or system-generated.

The following table lists the column name, type, description, and usage for each column in the FA_INV_INTERFACE table.

Column Name	Type	Description	Usage
INVENTORY	VARCHAR2 (80)	The user-defined inventory identification number to which this entry belongs.	Required
ASSET_ID	NUMBER (15)	The system-generated asset identification number.	System-generated
ASSET_NUMBER	VARCHAR2 (15)	The unique asset number assigned by either the user or Oracle Assets during asset setup. Although this field is not required, it is recommended, because it is the first field compared by the Physical Inventory Comparison program when it attempts to match an asset in physical inventory with one in the production system.	Conditionally required. When you enter physical inventory data in the Physical Inventory window, either the asset number, tag number, or serial number is required.
ASSET_KEY_CCID	NUMBER (15)	The asset key flexfield combination.	Optional
TAG_NUMBER	VARCHAR2 (15)	The tag number of the asset. The Physical Inventory Comparison program uses the tag number to uniquely identify an asset if it was unable to do so using the asset number, because it was not provided.	Conditionally required. When you enter physical inventory data in the Physical Inventory window, either the asset number, tag number, or serial number is required.
DESCRIPTION	VARCHAR2 (80)	The description of the asset.	Optional

Column Name	Type	Description	Usage
MODEL_NUMBER	VARCHAR2 (40)	The model number of the asset.	Optional
SERIAL_NUMBER	VARCHAR2 (35)	The serial number of the asset. The Physical Inventory Comparison program uses the serial number to uniquely identify an asset if it was unable to do so using the asset number or tag number, because neither was provided.	Conditionally required. When you enter physical inventory data in the Physical Inventory window, either the asset number, tag number, or serial number is required.
MANUFACTURER_NAME	VARCHAR2 (30)	The name of the manufacturer that made the asset.	Optional
ASSET_CATEGORY_ID	NUMBER (15)	The category to which the asset belongs.	Optional
UNITS	NUMBER	The number of units in physical inventory for the asset.	Required
LOCATION_ID	NUMBER (15)	The location ID that corresponds to the location of the asset.	Required

Column Name	Type	Description	Usage
STATUS	VARCHAR2 (15)	The status of the asset will be one of the following: NEW TO RECONCILE RECONCILED DIFFERENCE NO ASSET NUMBER NON-INVENTORIAL NOT UNIQUE	Initially system-generated, but can be manually changed by the user.
UNIT_ADJ	VARCHAR2 (1)	Indicates whether this entry needs a location adjustment. A NULL value indicates that this physical inventory entry has not been compared.	System-generated
UNIT_RECONCILE_MTH	VARCHAR2 (20)	The unit adjustment reconciliation method must be one of the following: NONE ADDITION UP - UNIT ADJUSTMENT DOWN - UNIT ADJUSTMENT REINSTATEMENT FULL RETIREMENT PARTIAL RETIREMENT	System-generated

Column Name	Type	Description	Usage
LOCATION_ADJ	VARCHAR2 (1)	Indicates whether this entry needs a location adjustment. If there is no value in this field, it indicates that this physical inventory entry has not been compared.	System-generated
LOC_RECONCILE_MTH	VARCHAR2 (20)	The location adjustment reconciliation method: NONE TRANSFER	System-generated
CREATED_BY	NUMBER (15)	Standard who columns. Typically, the username or user ID of the person running Physical Inventory.	System-generated
CREATION_DATE	DATE	Standard who columns. The date when the physical inventory was opened.	System-generated
LAST_UPDATE_DATE	DATE	Standard who columns. This date corresponds to the last date a user entered physical inventory information.	System-generated
LAST_UPDATED_BY	NUMBER (15)	Standard who columns. The user ID of the last user to update physical inventory information.	System-generated

Column Name	Type	Description	Usage
LAST_UPDATE_LO GIN	NUMBER (15)	Standard who columns. The user ID of the last user to update physical inventory information.	System-generated

Status Codes

After you have loaded your physical inventory data and run the Physical Inventory comparison program, Oracle Assets generates a status code based on the information it has stored about an asset and the information you provided during the physical inventory process. The following table contains descriptions of these codes.

Status Code	Description	Set by
DIFFERENCE	During the comparison, Oracle Assets identified a difference in the location or number of units for this asset.	Oracle Assets
NEW	When you enter a new physical inventory entry, the status is automatically set to NEW. A status of NEW indicates the entry has not been compared. After an entry has been compared, you also have the option to reset the status to NEW, so that it will be compared again. You can reset the status to New in the Inventory Entries window.	Oracle Assets/User
NO ASSET NUMBER	The comparison program could not locate the asset number in Oracle Assets.	Oracle Assets

Status Code	Description	Set by
NON-INVENTORIAL	The asset associated with the physical inventory entry is not designated to be included in physical inventory (the In Physical Inventory check box is not checked).	Oracle Assets
NOT UNIQUE	During the comparison, more than one asset listed in Oracle Assets matched a single physical inventory entry.	Oracle Assets
RECONCILED	The asset is the same in Oracle Assets and in physical inventory, and is automatically set to a status of RECONCILED.	User/Oracle Assets
TO RECONCILE	When a difference is identified in the comparison, you change the status to TO RECONCILE to indicate that the entry is ready to be reconciled.	User

Unit Reconciliation Methods

When you run the Physical Inventory Comparison program, Oracle Assets updates the UNIT_RECONCILE_MTH field in the FA_INV_INTERFACE table with the appropriate unit reconciliation code. The code indicates whether the asset needs an adjustment in the number of units stored in Oracle Assets, and if so, the type of unit adjustment needed. The following table lists the unit reconciliation codes and a description of each code:

Code	Description
ADDITION	An asset was found in physical inventory that is not in Oracle Assets. The asset needs to be added to Oracle Assets.

Code	Description
DOWN - UNIT ADJUSTMENT	For a particular asset, more units are listed in Oracle Assets than are found in physical inventory. The number of units needs to be adjusted down in Oracle Assets.
FULL RETIREMENT	An asset needs to be fully retired, because it is listed in Oracle Assets but not found in physical inventory.
NONE	No unit adjustment is necessary.
PARTIAL RETIREMENT	An asset needs to be partially retired. Usually, you would do this when for a particular asset, you found less units in physical inventory than are listed in Oracle Assets.
REINSTATEMENT	An asset needs to be reinstated. Although it was retired, during the physical inventory process, it was found that the asset was still being used.
UP - UNIT ADJUSTMENT	For a particular asset, less units are listed in Oracle Assets than are found in physical inventory. The number of units needs to be adjusted up in Oracle Assets.

Methods for Loading Physical Inventory Data

You can load physical inventory data into Oracle Assets using several different methods. You can:

- Import data from an Excel spreadsheet using ADI
- Enter data in the Physical Inventory Entries window
- Import data from a non-Oracle system using SQL*Loader

Import data from an Excel spreadsheet using the ADI

You can use ADI to load your physical inventory data into an Excel spreadsheet and import the data into Oracle Assets.

See: Uploading Physical Inventory Data into Oracle Assets (*Oracle Applications Desktop Integrator User Guide*)

Enter data using the Physical Inventory Entries window

You can enter data for each asset directly into Oracle Assets using the Physical Inventory Entries window. Keep in mind that you can only enter data for one asset at a time when using this method.

Import data from a non-Oracle system using SQL*Loader

You can use SQL*Loader to import physical inventory data by completing the following steps:

- 1. Define your interim table in the Oracle database.**

Use a single interim table if possible. You can use multiple tables if the data exists in multiple tables or files in the system from which you are loading data. In either case, you must eventually place the data in a single table, the FA_INV_INTERFACE table.

If you prefer, you can load data directly into the FA_INV_INTERFACE table, but it is more difficult due to the complexity of the table.

- 2. Load your interim table using SQL*Loader.**

Use SQL*Loader to import information from outside your Oracle database. SQL*Loader accepts a number of input file formats and loads your physical inventory data into your interim table.

If the data already resides within an Oracle database, there is no need to use SQL*Loader. Simply consolidate the physical inventory information in your interim table using SQL*Plus or import, and go directly to .

- Convert the physical inventory information into text form.**

Most database or file systems can output data in text form. Usually you can generate a variable or fixed format data file containing comma or space delimiters from the existing system. If you cannot find a way to produce clean text data, try generating a report to disk, using a text editor to format your data. Another option is to have SQL*Loader eliminate unnecessary information during its run. If there is a large volume of information, or if the information is difficult to convert into a loadable format, you can write your own import program. Construct your program to generate a SQL*Loader readable text file.

- Create the SQL*Loader control file.**

In addition to the actual data text file, you must write a SQL*Loader control file. The control file tells SQL*Loader how to import the data into your interim table. Be sure to specify a discard file if you are planning to use SQL*Loader to filter your data.

- Run SQL*Loader to import your physical inventory data.**

Once you have created your physical inventory data file and SQL*Loader control file, run SQL*Loader to import your data. SQL*Loader produces a log file with statistics about the import, a bad file containing records that could not be imported due to errors, and a discard file containing all the records that were filtered out of the import by commands placed in the control file.

3. Compare record counts and check the SQL*Loader files.

Check the number of rows in the interim table against the number of records in your original physical inventory data file or table to ensure that all physical inventory records were imported.

The log file shows if records were rejected during the load, and the bad file shows which records were rejected. Fix and re-import the records in the bad file.

4. Spot check the interim table.

Check several records throughout the interim table and compare them to the corresponding records in the original physical data file or table. Look for missing or invalid data. This step ensures that your data was imported into the correct columns and that all columns were imported.

Physical Inventory Comparison Program

To run the Physical Inventory Comparison program, navigate to the Run Comparison window. You must enter the name of the physical inventory being compared. You can also enter either the location, the category, or both, if you want to narrow the search criteria. If you do not enter either of these parameters, the comparison program compares all assets in the physical inventory with the assets in your production system.

Note: The Physical Inventory Comparison program only compares physical inventory entries with a status of NEW. If an entry has been compared and you want it to be compared again, you must change the status of that entry back to NEW in the Inventory Entries window.

During the comparison, the comparison program attempts to match each asset in the physical inventory data to an asset in the production system. It begins the comparison by searching for matching unique identifiers. The matching unique identifier can be either the asset number, tag number, or serial number.

The program first determines whether the physical inventory data includes an asset number. If an asset number has been provided, the comparison program searches the Oracle Assets production system for a matching asset number. If it finds a matching asset number, the program continues the comparison by determining whether the location and number of units match. If they do not match, the program updates the status of that asset to DIFFERENCE. For a list of status codes, see: Loading Physical Inventory Data, page 5-154.

If the program cannot find a matching asset number in the Oracle Asset production system, it terminates the comparison for that asset and continues on to the next asset.

If an asset number has not been recorded as part of the physical inventory, the program next determines whether the physical inventory data includes a tag number. If there is a tag number, the program searches the Oracle Assets production system for a matching tag number. Similarly, if the physical inventory data includes neither an asset number nor a tag number, the program determines whether a serial number has been recorded for the asset. If so, it searches the Oracle Assets production system for a matching serial number. In both cases, if the program finds a match, it will continue the comparison to determine whether the location and number of units match. If they do not match, the program updates the status of that asset to DIFFERENCE. For a list of status codes, see: Loading Physical Inventory Data, page 5-154.

In both cases, if the program cannot find a matching identifier in the Oracle Assets production system, it terminates the comparison for that asset and continues on to the next asset.

If none of the three unique identifiers are present for that asset, the program attempts to match the asset using other criteria, such as description and asset key CCID.

Note: When the program attempts to match assets using criteria other than the three unique identifiers, the matching criteria may not be unique and the program may not be able to uniquely identify an asset. Therefore, we strongly recommend that when bringing physical inventory data into Oracle Assets using any method other than the Physical Inventory window (which does not allow you to save your changes unless you have entered an asset number, tag number, or serial number), that you include at least one of the three unique identifiers for each asset in physical inventory.

After completing the comparison, the comparison program updates the FA_INV_INTERFACE table, indicating the assets in physical inventory that cannot be reconciled with the assets in Oracle Assets, and, if necessary, the type of adjustment that needs to be made (either a unit adjustment or location adjustment). If there are no differences between the Oracle Assets data and the physical inventory data for a particular asset, and the asset meets the other requirements for inclusion in the physical inventory process, the asset will automatically have a status of RECONCILED. If there are differences between the Oracle Assets data and the physical inventory data for a particular asset, or the asset does not meet the requirements for inclusion in the physical inventory process, another status code will be assigned to the asset. You can view the comparison data online using the Find Physical Inventory Comparison window, or by running the Physical Inventory Comparison Report.

Viewing Comparison Results

There are two ways to view the results of the Physical Inventory Comparison.

- Physical Inventory Comparison window
- Physical Inventory Comparison Report

Physical Inventory Comparison Window

You can view the results of the comparison online on the Physical Inventory Comparison window. The Physical Inventory Comparison window displays the asset number, location, and number of units for each asset in your Oracle Assets production system, and the corresponding asset number in physical inventory, along with its location and number of units. If the location or number of units differs, the comparison highlights the differences in the comparison results. It also indicates when it cannot find a corresponding asset number in the production system, and when it finds duplicate assets.

Note: Assets with a status of New or Not Unique are not included on the Physical Inventory Comparison window.

To view the results of the Physical Inventory Comparison online:

1. Navigate to the Find Physical Inventory Comparison window.
2. Enter the name of the physical inventory to view the results for the entire physical inventory. If you want to narrow the search criteria, you can enter additional parameters, such as category or location.
3. Choose Find.

Physical Inventory Comparison Report

Similar to the Physical Inventory Comparison window, the Physical Inventory Comparison Report displays information on each asset in your production system, along with the corresponding asset number in physical inventory. This report displays all assets, including those with a status of New and Not Unique.

This report is a standard variable format report. You can run this report from Oracle Assets or from the Applications Desktop Integrator (ADI) Request Center. The Request Center allows you to manipulate data in the desktop application of your choice.

Related Topics

Request Center (*Oracle Applications Desktop Integrator User Guide*)

Physical Inventory Comparison Report, page 12-30

Reconciliation

After you finish running physical inventory and generating reports, you need to reconcile your physical inventory data with your Oracle Assets data.

To reconcile your physical inventory with stored asset information:

1. Analyze your reports to determine the assets that need to be reconciled.
2. Obtain proper approval to change assets that need to be reconciled.
3. Change the asset information by using the Asset Workbench or the Mass Change window.

Related Topics

Changing Financial and Depreciation Information, page 5-7

Missing Assets

When you are finished with reconciling your physical inventory, you can run the Physical Inventory Missing Assets Report to determine if there are any assets in your production system that could not be found during the physical inventory process.

This report is a standard variable format report. You can run this report from Oracle Assets or from the ADI Request Center. The Request Center allows you to manipulate data in the desktop application of your choice.

Related Topics

Request Center (*Oracle Applications Desktop Integrator User Guide*)

Physical Inventory Missing Assets Report, page 12-31

Purging Physical Inventory Data

After you close your physical inventory, you can purge the physical inventory data. Oracle Assets will not allow you to purge the data unless the physical inventory is closed. You close the physical inventory by entering an end date in the Physical Inventory window.

To purge physical inventory data:

1. Navigate to the Physical Inventory window.
2. Choose the Purge button.

Creating Physical Inventory Using Web ADI

Oracle Assets integrates with Web ADI to enable you to create physical inventory through the Physical Inventory Integrator. The Physical Inventory Integrator allows you to enter or load data into a spreadsheet using pre-defined mappings and layouts. Web ADI validates all required fields. If the Pre-Validate check box is checked, Web ADI validates both required and optional fields. After validating data, you can automatically upload your physical inventory to Oracle Assets.

To use Web ADI to create physical inventory, refer to Creating a Document in the Oracle Web ADI Implementation and Administration Guide.

In the Integrator page, you need to select an inventory. In the Layout page, you need to select one of the following layouts:

- Physical Inventory – Default
- Physical Inventory – Line Entry
- Physical Inventory – Single Category
- Physical Inventory – Single Location
- Physical Inventory – Tag number entry

After creating your spreadsheet, you can upload the data into Oracle Assets. See: Uploading and Downloading Data from Spreadsheets in the Oracle Web ADI Implementation and Administration Guide.

Before running the Physical Inventory Upload, check the Run Comparison check box if you want to automatically run the Comparison report and the View Comparison Results check box if you want to view the comparison results.

Scheduling Asset Maintenance

Oracle Assets allows you to schedule repair and service events for your long-term capital assets, to help ensure you maintain your long-term assets in a timely manner. You can plan for maintenance to occur at appropriate times, such as seasonal downtime. You can also schedule maintenance to occur at specific intervals, for example, monthly. Using Oracle Assets to schedule your asset maintenance also allows you to record the maintenance history of assets, in addition to scheduling future maintenance events.

To schedule asset maintenance:

1. Navigate to the Schedule Maintenance Events window.

2. Enter the Start Date and End Date.
3. Enter the depreciation book containing the assets for which maintenance will be scheduled.
4. Optionally enter additional selection criteria, such as asset numbers, date placed in service, and category.
5. Enter event information, such as the Event name and Description of the event.
6. Choose Run to schedule maintenance events.

To view maintenance schedules:

1. Navigate to the Maintenance Details window.
2. Query the asset for the maintenance event you want to view.
3. Optionally enter changes.
4. Save your work.

To purge maintenance schedules:

1. Navigate to the Purge Maintenance Schedules window.
2. Enter the selection criteria to select the maintenance schedules that need to be purged, such as Schedule ID, Asset Number, or Maintenance Date.
3. Choose Purge.

Schedule Maintenance Events Window Reference

Schedule ID. The unique identification number assigned to the transaction.

Status. Status of the concurrent request (NEW, ERROR, or COMPLETED).

Maintenance Period Region

You can schedule maintenance events during a particular range of dates. For example, if you want to schedule maintenance yearly, you might enter a Start Date of January 1 and an End Date of December 31.

Start Date. Enter the date the maintenance event will begin.

End Date. Enter the date the maintenance event will end.

Selection Criteria Region

Book. Enter the depreciation book containing the asset for which you are scheduling maintenance. This field is required.

Currency. The currency of the depreciation book displays automatically when you enter the name of the depreciation book.

Asset Number. You can enter the asset number or a range of asset numbers for which you want to schedule maintenance events. This field is optional.

Date Placed in Service. Enter the date the asset was placed in service. This field is optional.

Category. Enter the category of the assets for which you want to schedule maintenance events. This field is optional.

Location. Enter the location of the assets for which you want to schedule maintenance events. This field is optional.

Asset Key. Enter the asset key of the asset for which you want to schedule maintenance events. This field is optional.

Events Region

Event. Use the list of values to select the name of the maintenance event, for example, tire rotation, or oil change. This field is required.

Description. Enter a description of the maintenance event. This field is required.

Frequency in Days. Enter the frequency (in days) at which the event should occur. For example, for a monthly service, you would enter 30. This field is required if no date is specified.

Date. Enter the date the service event will occur. This field is required if no frequency is specified.

Cost. Enter the cost per event. This field is optional.

Supplier Number. Enter the number of the supplier who will perform the maintenance. This field is optional.

Supplier Name. Enter the name of the supplier who will perform the maintenance. This field is optional.

Contact Number. Enter the contact number of the person responsible for the maintenance task.

Contact Name. Enter the name of the person responsible for the maintenance task.

Descriptive flexfield. Enter any detail information pertaining to each event to be scheduled.

Buttons

Run. Choose this button to schedule maintenance events.

Maintenance Details Window Reference

Use the Maintenance Details Window to query assets and review maintenance events that have been scheduled for those assets.

Selection Criteria Region

Use the Selection Criteria region to select the assets for which you want to view maintenance details.

Book. Enter the depreciation book containing the asset for which you want to view maintenance details.

Asset Number. You can enter the asset number as selection criteria for assets for which you want to view maintenance events. This field is optional.

Description. You can enter an asset description as selection criteria for assets for which you want to view maintenance events. This field is optional.

Tag Number. You can enter an asset tag number as selection criteria for assets for which you want to view maintenance events. This field is optional.

Category. You can enter the category of the assets for which you want to view maintenance events. This field is optional.

Serial Number. You can enter the serial number of the assets for which you want to view maintenance events. This field is optional.

Asset Key. You can enter the asset key of the assets for which you want to view maintenance events. This field is optional.

Events Region

This region displays details of the maintenance schedule you queried. You cannot create maintenance events here, but you can modify certain values in an existing event.

Event. The name of the maintenance event, for example, tire rotation, or oil change.

Description. The description of the maintenance event. This field is required.

Maintenance Due Date. The frequency (in days) at which the event should occur. You can update the maintenance due date in this window.

Status. The status of the event, either NEW, COMPLETED, or ERROR. You can update the status in this window.

Cost. The cost per event. You can update the cost in this window.

Supplier Number. The number of the supplier who will perform the maintenance. You can update the supplier number in this window.

Supplier Name. The name of the supplier who will perform the maintenance. You can update the supplier name in this window.

Contact Number. The contact number of the person responsible for the maintenance task. You can update the contact number in this window.

Contact Name. The name of the person responsible for the maintenance task. You can update the contact name in this window.

Purge Maintenance Schedules Window Reference

Use this window to specify the selection criteria for maintenance schedules that should be purged.

Book Name. Enter the name of the depreciation book. This field is optional.

Asset Number. Enter a range of assets for which maintenance schedules need to be purged. This field is optional.

Maintenance Date. Enter the range of maintenance dates for which maintenance schedules need to be purged. This field is optional.

Category. Enter the category of the assets for which you want to purge maintenance events. This field is optional.

Status. Enter the status of the assets for which you want to purge maintenance events. This field is optional.

Asset Retirements

This chapter covers the following topics:

- About Retirements
- Retiring Assets
- Correcting Retirement Errors (Reinstatements)
- Mass External Retirements
- Calculating Gains and Losses for Retirements
- Retirement Requests

About Retirements

Retire an asset when it is no longer in service. For example, retire an asset that was stolen, lost, or damaged, or that you sold or returned.

Full and Partial Retirements by Units or Cost

You can retire an entire asset or you can partially retire an asset.

- When you retire an asset by units, Oracle Assets automatically calculates the fraction of the cost retired
- When you retire an asset by cost, the units remain unchanged and the cost retired is spread evenly among all assignment lines

Restrictions

You cannot retire assets by units in your tax books; you can only perform partial and full cost retirements in a tax book. Also, you can only perform full retirements on CIP assets; you cannot retire them by units, or retire them partially by cost.

If you perform multiple partial retirements on an asset within a period, you must run

the calculate gains and losses program between transactions.

**Gain/Loss = Proceeds of Sale - Cost of Removal - Net Book Value Retired +
Revaluation Reserve Retired**

If you partially retire a units of production asset, you must manually adjust the capacity to reflect the portion retired.

Full Retirement for a Group of Assets (Mass Retirement)

Use the Mass Retirements window to retire a group of assets at one time. You specify selection criteria, including asset category, asset key, location, depreciation expense account segments, employee, asset number range, and date placed in service range, to select the assets you want to retire. You can also elect to automatically retire subcomponents along with the parent asset.

When you define a mass retirement, you can choose to immediately submit the concurrent request to retire the selected assets, or you can save the mass retirement definition for future submission. You can change the details of any mass retirement before you submit the concurrent request.

When you submit a mass retirement, Oracle Assets automatically runs the Mass Retirements Report and the Mass Retirements Exception Report. You can review these reports, perform a mass reinstatement, or adjust an individual retirement transaction if necessary.

If you wish to simultaneously run this program in more than one process to reduce processing time, Oracle Assets can be set up to run this program in parallel. For more information on setting up parallel processing and the FA: Number of Parallel Requests profile option, see: Profile Options and Profile Options Categories Overview, page B-1

.

Exceptions

Oracle Assets does not retire the following types of assets, even if they are selected as part of a mass retirements transaction:

- Assets with transactions dated after the retirement date you enter
- Assets that are multiply distributed and one or more values do not meet the mass retirement selection criteria
- For reinstatements, assets retired during a prior fiscal year

Independence Across Depreciation Books

You can retire an asset or a group of assets from any depreciation book without affecting other books. To retire an asset from all books, retire it from each book separately, or set up Mass Copy to copy retirements to the other books in the Book

Controls window.

Retirement and Reinstatement Statuses

Each retirement transaction has a status. A new retirement receives the status PENDING. After you run depreciation or calculate gains and losses, the status changes to PROCESSED.

When you reinstate a PENDING retirement, Oracle Assets deletes the retirement transaction and the asset is immediately reinstated. If you reinstate a PROCESSED retirement, Oracle Assets changes the status to REINSTATE, and you must rerun the Calculate Gains and Losses program or run depreciation to process the reinstatement.

When you perform a mass retirement, Oracle Assets creates PENDING retirement transactions. If you submit a mass reinstatement before running the Calculate Gains and Losses program, Oracle Assets immediately reinstates these assets. If you submit a mass reinstatement to reinstate PROCESSED retirements, you must rerun the Calculate Gains and Losses program or run depreciation to process the reinstatements.

ITC Recapture

If you retire an asset for which you took an investment tax credit (ITC) and the ITC recapture applies, Oracle Assets automatically calculates it.

Correct Retirement Errors

You can undo asset retirement transactions, and Oracle Assets creates all the necessary journal entries for your general ledger to catch up any missed depreciation expense. You can reinstate an individual or mass retirement transaction. For multiple partial retirements, You can reinstate only most recent or processed retirement. You cannot reinstate an asset retired in a previous fiscal year. You can only reinstate assets retired in the current fiscal year.

Retirement Conventions

Oracle Assets lets you use a different prorate convention when you retire an asset than when you added it. The retirement convention in the Retirements window and the Mass Retirements window defaults from the retirement convention you set up in the Asset Categories window. You can change the retirement convention for an individual asset in the Retirements window before running the Calculate Gains and Losses program.

Per Diem Retirements

If you set up a book to divide depreciation by days and to use both a daily prorate convention and a daily prorate calendar, and if you retire an asset in that book in the current period, Oracle Assets takes depreciation expense for the number of days up to,

but not including, the date of retirement. If you perform a prior period retirement, Oracle Assets backs out the depreciation expense through the date of retirement. If you reinstate the asset, Oracle Assets catches up depreciation expense through the end of the current period.

Retirement Transactions

For prior-period retirement dates:

You can retire retroactively only in the current fiscal year, and only after the most recent transaction date.

Proceeds of Sale and Cost of Removal

You can enter proceeds of sale and cost of removal amounts when you perform a retirement or mass retirement. For a mass retirement, you enter the *total* proceeds of sale and/or the *total* cost of removal amounts, and Oracle Assets prorates the total amounts over the assets being retired according to each asset's current cost.

Oracle Assets uses the following formula to prorate the **proceeds of sale** amount across the assets you select:

Proceeds of Sale (per asset) = Current cost of asset/Total current cost of all selected assets X Proceeds of Sale

Oracle Assets uses the following formula to prorate the **cost of removal** amount across the assets you select:

Cost of removal (per asset) = Current cost of asset/Total current cost of all selected assets X Cost of Removal

Related Topics

Retiring Assets, page 6-4

Correcting Retirement Errors (Reinstatements), page 6-10

Calculating Gains and Losses for Retirements, page 6-18

Journal Entries for Retirements and Reinstatements, page 8-35

Mass Retirements Report and Mass Retirements Exception Report, page 12-86

Retiring Assets

You can retire an individual asset in the Retirements window. You can retire a group of assets in the Mass Retirements window.

Partially or fully retiring an asset

Partially or fully retire an asset by cost or units.

To FULLY retire an asset:

1. Choose Assets > Asset Workbench from the Navigator window.
2. Find the asset you want to retire.

Tip: For best performance, find by asset number or tag number since they are unique values.

3. Choose Retirements.
4. Select the depreciation Book from which you want to retire the asset.
5. Enter the date of the retirement. It must be in the current fiscal year, and cannot be before any other transaction on the asset.
6. To fully retire the asset, enter all the units or the entire cost.
7. If you are retiring an asset before it is fully reserved, enter the Retirement Convention.
8. Enter the Retirement Type.
9. If you are retiring an asset with a 1250 property class in a tax book:
Select the Straight Line Method and life you want Oracle Assets to use for the Form 4797 - Gain from Disposition of 1250 Property Report.
10. If there is a trade-in asset that will be used to replace the asset you are retiring, enter the asset number of the trade-in asset.

Note: The trade-in asset must have been added to the Oracle Assets system before you retire the current asset, if you want to track the trade-in asset in the retirement transaction.

11. If you are retiring a parent asset, choose Subcomponents to view the subcomponents asset(s) affected by the retirement transaction. You can separately retire these subcomponents if necessary.
12. Save your work.

Oracle Assets assigns each retirement transaction a unique Reference Number that

you can use to track the retirement.

13. Optionally calculate gains and losses to change the status of the retirement transaction from PENDING to PROCESSED. See: Calculating Gains and Losses for Retirements., page 6-18

To retire asset costs using Source Lines:

1. Select Assets > Asset Workbench from the Navigator window.
2. Find the asset whose invoice information you want to change.

Tip: For best performance, find by unique values, such as asset number or tag number.

3. Select Find to navigate to the Assets window.
4. Choose the asset whose source lines you want to retire.
5. Select Source Lines to navigate to the Source Lines window.
6. Choose the source line or enter the amount you want to retire.
7. Select Retire to navigate to the Source Line Retirement window.
8. Modify the necessary fields.

Note: You cannot modify units retired or cost retired. You must cancel out of the retire window before changing the units or cost information. You can change this information in the Source Lines window. Source Line window changes are propagated to the Retire window when you navigate to it.

9. Select Done to save your work.

To PARTIALLY retire an asset:

- Enter the number of units or cost you want to retire. The salvage value is reduced proportionately by the ratio (Retired Cost)/ Cost.

Note: If you partially retire by units, you must choose Continue to specify which units to retire in the Assignments window.

Retiring a group of assets

You can retire a group of assets at one time. You enter selection criteria in the Mass Retirements window to choose the group of assets you want to retire.

When you define a mass retirement, you can choose to immediately submit the concurrent request to retire the selected assets, or you can save the mass retirement definition for future submission. You can change the details of any mass retirement before you submit the concurrent request.

You can also reinstate a mass retirement transaction. See: Correcting Retirement Errors (Reinstatements), page 6-10.

Note: When you perform a mass retirement, Oracle Assets creates PENDING transactions that are not PROCESSED until you run the Calculate Gains and Losses program. An exception to this is when you perform mass retirements by units, the status is automatically set to PROCESSED.

To retire a GROUP of assets:

1. Navigate to Mass Retirements window.
2. Enter the Book from which you want to retire multiple assets.
3. Enter the date for the mass retirement. You can back date retirements to a prior period in the same fiscal year, or enter a date in the current open period. You cannot enter a date in a future period.
4. Enter the Retirement Type, or reason for this mass retirement. The type you enter applies to all the assets that meet your selection criteria.
5. Enter the total Proceeds of Sale and the total Cost of Removal for the mass retirement, if any. Oracle Assets prorates these amounts across the assets you select for the mass retirement according to each asset's cost.
6. Choose whether to retire all levels of subcomponents of all parent assets that meet your mass retirement selection criteria.
7. In the Retirements region, use the Asset Type poplist to indicate whether you want to retire CIP, Capitalized, or Expensed assets. Choose the blank option to retire CIP, Capitalized, Expensed, and Group assets.
8. Choose whether to:
 - Retire only fully reserved assets by checking the Fully Reserved - Yes check box

- Retire only assets that are not fully reserved by checking the Fully Reserved - No check box
- Retire all assets specified in the window. Do not check either of the Fully Reserved check boxes.

9. Enter one or more of the following selection criteria for your mass retirement:

- General Ledger Depreciation Expense Account range
- Location
- Group Asset
- Employee Name and Number
- Asset Category
- Asset Key
- Cost Range
- Asset Number range
- Dates in Service range
- Group Asset Association
- Group Asset

If you enter a value in more than one field, Oracle Assets includes only those assets that meet all the selection criteria in the mass retirement. For example, if you enter a location and employee, Oracle Assets includes all assets assigned to that employee AND location. Oracle Assets does not include assets in that location which are not assigned to the employee.

Note: Oracle Assets selection criteria is based on an alphabetical sort. For example, if you enter an asset number range of 100 to 200, asset numbers such as 1044 or 100234 are included in the selection.

10. Choose Create, Oracle Assets saves all the retirement information input, but does not execute the retirement transaction. The status field changes from New to Created. If you are satisfied with the retirement created, you may proceed to the next step. Optionally, you may choose to discard or further modify the criteria of the retirement transaction created.

- Discard your mass retirement transaction: Choose Discard if you wish to discard the created retirement. The status will change to Discard and all the information you entered will be purged.
 - Refine your retirement criteria: To further refine or modify the criteria of the created retirement, navigate to the Prepare Mass Retirement window. Mass Transaction > Retirements > Prepare In the Prepare Mass Retirement window, you can modify or further refine your retirement criteria. For example, you may change the backdate range, convert selected retirements to partial retirements, or reallocate the proceeds amounts as desired.
11. Choose Retire if you want Oracle Assets to automatically complete and post the retirement you created. Selecting Retire also runs the Mass Retirements Report and the Mass Retirements Exception Report. The status of transaction will change from Created to Pending momentarily, and finally to Completed when the mass retirement process completes.
 - You can also complete the retirement transaction by running the Post Mass Retirements concurrent program. To run this program, navigate to Mass Transactions > Retirements > Post. The Post Mass Retirement concurrent program will prompt for the Book and batch number parameters of the retirement transaction you wish to post. After the parameters are entered, select Submit to complete the mass retirement transaction.
 12. Choose Review to submit the Mass Retirement Report. This step can be done at any time after the Post process has completed.
 13. When you are ready to process gains and losses for the completed mass retirement transaction, run the Calculate Gains and Losses program. See: Calculating Gains and Losses, page 6-18

Note: Gains and losses are calculated automatically when performing mass retirements by units.

Related Topics

Viewing Assets, page 14-1

Correcting Retirement Errors (Reinstatements), page 6-10

About Retirements, page 6-1

Journal Entries for Retirements and Reinstatements, page 8-35

Mass Retirements Report and Mass Retirements Exception Report, page 12-86

Correcting Retirement Errors (Reinstatements)

You cannot reinstate assets retired in the previous fiscal year. You can reinstate only most recent or processed retirement. You can reinstate both individual and mass retirement transactions.

To correct a retirement error:

1. Choose Assets > Asset Workbench from the Navigator window.
2. Find the asset you want to reinstate.

Tip: For best performance, find by asset number or tag number since they are unique values.

3. Choose Retirements.
4. Query the retirement transaction you want to undo.
5. If the retirement has a status of PROCESSED, choose Reinstate. If it is PENDING, choose Undo Retirement.
6. If the retirement has a status of PROCESSED, calculate gains and losses to reinstate the asset. If it is PENDING, Oracle Assets deletes the retirement transaction.

To correct a reinstatement error:

- Query the reinstatement transaction in the Retirements window and choose the Undo Reinstatement button.

To undo/reinstate a mass retirement transaction:

1. Navigate to the Mass Retirements window.
2. Use the mass transaction number to query the mass retirement transaction you want to reinstate.
3. Choose Undo. To reverse retirements for which you have not yet run the Calculate Gains and Losses program.
4. Choose Reinstate. To reverse retirements for which you have already run the Calculate Gains and Losses program.

Note: If you reinstate a mass retirement after you have run the Calculate Gains and Losses program, you must rerun the Calculate Gains and Losses program to process the mass reinstatement.

Related Topics

Retiring Assets, page 6-4

Calculating Gains and Losses for Retirements, page 6-18

About Retirements, page 6-1

Journal Entries for Retirements and Reinstatements, page 8-35

Asset Retirements By Cost Center Report, page 12-83

Asset Retirements Report, page 12-84

Asset Disposals Responsibility Report, page 12-80

Reinstated Assets Report, page 12-84

Tax Retirements Report, page 12-62

Retired Assets Without Property Classes Report and Retired Assets Without Retirement Types Report, page 12-59

Mass Retirements Report and Mass Retirements Exception Report, page 12-86

Retirements Report, page 12-85

Mass External Retirements

You can use Oracle Assets to retire a group of assets by populating an external interface table with these assets, setting the line status to POST, and running the Post Mass Retirements process.

Oracle Assets allows both partial cost and partial unit retirements. However, retirements can only be grouped using a Batch Number, which restricts you from fully utilizing the benefit of the Oracle Assets Mass Retirements feature.

Related Topics

Rules for Mass External Retirements, page 6-11

Entering Mass External Retirements, page 6-12

Rules for Mass External Retirements

To process the cost or unit retirements for the external retirement batch, you must populate the FA_MASS_EXT_RETIREMENTS table with the correct retirement batch.

To perform the source line retirement you need to populate the source line details in table FA_EXT_INV_RETIREMENTS in addition to populating values in FA_MASS_EXT_RETIREMENTS. The following business rules apply to Mass External Retirements:

- The Review Status should be initially set to NEW, ON HOLD or POST by an external system.
- A Review Status of NEW indicates that the data is new and may require additional information before retirement can take place in the Post Mass Retirements process.
- A Review Status of ON HOLD indicates that the data should remain unprocessed by the Post Mass Retirements process until it is set to a Review Status of POST.
- A Review Status of POST indicates that the data is ready for retirement to take place in the Post Mass Retirements process.
- A Review Status of ERROR indicates that the data was invalid and will not be submitted for retirement in the Post Mass Retirements process. You can set these errored records to DELETE if they need to be removed from the database. Remove them by running the Purge Mass External Retirements program.
- A Review Status of DELETE indicates that the data will not be submitted for retirement in the Post Mass Retirements process.
- You can use the Purge Mass External Retirements process to remove posted or deleted records completely from the database.
- All displayed data passed from an external system or Oracle Projects is subject to modification.

Entering Mass External Retirements

To enter mass external retirements:

1. Populate the FA_MASS_EXT_RETIREMENTS table with the assets to be retired along with relevant details. For source line retirement you need to populate both FA_MASS_EXT_RETIREMENTS and FA_EXT_INV_RETIREMENTS.
2. Set the Retirement line to a status of POST.
3. Submit the Post Mass Retirements concurrent process.

Mass External Retirements Interface Table

The following table describes the columns and their dependencies found in the

FA_MASS_EXT_RETIREMENTS table.

Column Name	Type	Comments
BATCH_NAME	VARCHAR2(15)	Required. Use this column to distinguish a retirement batch from subsequent retirement batches, or use the same name for all mass retirements from the external system that you load at once.
MASS_EXTERNAL_RETIRE_ID	NUMBER(15)	Required. Oracle Assets uses this column as a unique identifier for mass retirements. The values in MASS_EXTERNAL_RETIRE_ID are generally sequential. You can use a sequence generator to populate this column.
RETIREMENT_ID	NUMBER(15)	Do not use this column.
BOOK_TYPE_CODE	VARCHAR2(15)	Optional. Use this column for the book that contains the asset you want to retire. You must choose a book that you have set up in the Book Controls window, and the asset must be defined for this book. Values in this column must be in uppercase.
REVIEW_STATUS	VARCHAR2(8)	Required. To import retirement information from an external system, use the value of NEW for this column if you want to review this asset in the Mass External Retirements window. Use the value of POST for this column if you are entering all the required information and want to post the retirement immediately.

Column Name	Type	Comments
ASSET_ID	NUMBER	Optional. Use this column for the identifier of the asset that you want to retire. Note that the ASSET_ID is the unique internal identifier, and not the same as the external identifier ASSET_NUMBER.
TRANSACTION_NAME	VARCHAR2(30)	Optional. Use this column to note any details about the retirement of this asset or any other details.
DATE_RETIRED	DATE	Optional. Use this column to indicate the date you want to retire this asset, or you can leave it blank and the system determines it. The date must be in the current fiscal year, and cannot be before any other transaction on the asset.
DATE_EFFECTIVE	DATE	Optional. Reserved for future use.
COST_RETIRED	NUMBER	Optional. Use this column for the asset cost you want to retire.
RETIREMENT_PRORATE_CONVENTION	VARCHAR2(10)	Optional. Enter the valid prorate convention for the retirement. You can leave it blank for the system to determine it for the asset
UNITS	NUMBER	Optional. Use this column for the number of units. If a partial number of units is supplied, the distribution_id column must be populated accordingly.
PERCENTAGE	NUMBER	Optional. Reserved for future use.

Column Name	Type	Comments
COST_OF_REMOVAL	NUMBER	Optional. Use this column to enter the cost of removal of the asset, if any.
PROCEEDS_OF_SALE	NUMBER	Optional. Use this column to enter the proceeds from the sale of the asset, if any.
RETIREMENT_TYPE_CODE	VARCHAR2(15)	Optional. Enter a valid predefined RETIREMENTQuickCode.
REFERENCE_NUM	VARCHAR2(15)	Optional. Use this column for the reference number, if any.
SOLD_TO	VARCHAR2(30)	Optional. Use this column to enter the name of the party to whom this asset was sold.
TRADE_IN_ASSET_ID	NUMBER	Optional. Use this column for the asset identifier of the new asset for which this asset was traded in. Note that the ASSET_ID is the unique internal identifier, and not the same as the external identifier ASSET_NUMBER.
CALC_GAIN_LOSS_FLAG	VARCHAR2(3)	Required. To run the Calculate Gains and Losses process immediately after the retirements process, enter YES. Otherwise enter NO.
STL_METHOD_CODE	VARCHAR2(12)	Optional. Use this column for the straight line method for retirement reporting of 1250 property in a tax book.
STL_LIFE_IN_MONTHS	NUMBER	Optional. Use this column for the straight line life for retirement.

Column Name	Type	Comments
STL_DEPRN_AMOUNT	NUMBER	Optional. Use this column for straight line depreciation amount for reporting of 1250 property in a tax book.
CODE_COMBINATION_ID	NUMBER(15)	Optional. Use this column, together with the LOCATION_ID and ASSIGNED_TO columns, if partial units have been entered in the units column. The combination of these columns determines which assignment should be partially unit retired.
LOCATION_ID	NUMBER(15)	Optional. Use this column, together with the CODE_COMBINATION_ID and ASSIGNED_TO columns, if partial units have been entered in the units column. The combination of these columns determines which assignment should be partially unit retired.
ASSIGNED_TO	NUMBER(15)	Optional. Use this column, together with the CODE_COMBINATION_ID and LOCATION_ID columns, if partial units have been entered in the units column. The combination of these columns determines which assignment should be partially unit retired.
CREATED_BY	NUMBER(15)	Required. Use the value of 1 in this column, or the specific user ID of the person processing the mass retirements.

Column Name	Type	Comments
CREATION_DATE	DATE	Required. Use the column for the date you load this retirement line into the FA_MASS_EXT_RETIREMENTS table.
LAST_UPDATED_BY	NUMBER(15)	Required. Use the value of 1 in this column, or the specific user ID of the person processing the mass retirements.
LAST_UPDATE_DATE	DATE	Required. Use the column for the date you load this retirement line into the FA_MASS_EXT_RETIREMENTS table.
LAST_UPDATE_LOGIN	NUMBER(15)	Optional. Use the value of 1 in this column, or the specific user ID of the person processing the mass retirements.

The following table describes the columns and their dependencies found in the FA_EXT_INV_RETIREMENTS table.

Column Name	Null	Type	Comments
MASS_EXTERNAL_RETIRE_ID	Not null	NUMBER(15)	Mass External Retirement identifier.
SOURCE_LINE_ID	Not null	NUMBER(15)	Source line identifier against which retirement will be processed.
COST_RETIRED	Not null	NUMBER	Amount to be retired from source line.
SOURCE_LINE_ID_RETIRED		NUMBER(15)	Identifier of the source line retired.

Calculating Gains and Losses for Retirements

Run the calculate gains and losses program to:

- Calculate gains and losses resulting from retirements
- Correct the accumulated depreciation for reinstated assets
- Calculate Investment Tax Credit recapture for retired assets in a tax book, if necessary

Tip: Although the depreciation program automatically processes retirements, you can run the Calculate Gains and Losses program several times during the period to reduce period end processing time.

To calculate gains and losses for retirements:

Note: If you are using Multiple Reporting Currencies (MRC), you can only run the Calculate Gains and Losses program using the standard Fixed Assets or MRC primary responsibility. You cannot run this program using an MRC reporting responsibility.

When you run the Calculate Gains and Losses program using the standard Fixed Assets or MRC primary responsibility, this program will also run automatically for the associated reporting responsibilities. See: *Multiple Reporting Currencies in Oracle Applications, Multiple Reporting Currencies in Oracle Applications*.

1. Choose Depreciation > Calculate Gains and Losses from the Navigator window.
2. In the Parameters window, enter the Book for which you want to calculate gains and losses.
3. Choose Submit to submit a concurrent process to calculate gains and losses.

If you wish to simultaneously run this program in more than one process to reduce processing time, Oracle Assets can be set up to run this program in parallel. For more information on setting up parallel processing and the FA: Number of Parallel Requests profile option, see: Profile Options and Profile Options Categories Overview, page B-1.

4. Review the log file after the request completes.

Related Topics

Retiring Assets, page 6-4

Correcting Retirement Errors (Reinstatements), page 6-10

Running Depreciation, page 7-2

Submitting a Request, *Oracle Applications User's Guide*

About Retirements, page 6-1

Depreciation Calculation, page 7-21

Retirement Requests

Field employees can use the Retirement Requests feature to identify and submit requests for asset retirements. These requests are received and reviewed by those responsible for asset retirements in Oracle Assets, who then edit the requests and complete the retirement process.

The retirement request captures all of the information about the asset that is available in the field, such as asset category, location, date placed in service, quantity retired, serial number, manufacturer, model number, tag number, and more. Information captured about the retirement transaction also includes project, task, and any removal cost or sales proceeds. The person responsible for asset retirements in Oracle Assets, the fixed asset accountant, reviews the request, makes any necessary additions or corrections, and completes processing of the retirement request.

An inbound API enables retirement information from external asset tracking systems to be interfaced directly into Oracle Assets as retirement requests. Since the imported retirement requests may result in high volumes of required processing each period, you have the option of batch processing all imported retirement requests. Using batch processing can eliminate the need for manual intervention and review of individual requests. See: Retiring a Group of Assets, page 6-7.

Creating Retirement Requests in Oracle Projects - Field Employees

A field employee identifies one or more disposed field assets that should be retired from the financial systems. The employee enters the retirement request, which captures as much information about the assets and its retirement that is known to the field personnel.

To create a retirement request in Oracle Projects (Field Employee):

1. Navigate to the Mass Retirements window in Oracle Projects.
2. In the top region of the window, enter the name of the asset book, and any information regarding the asset retirement.

Note: The Status field defaults to New and cannot be changed by field employees.

3. Using the Retirement Criteria and Additional Criteria tabs, enter the available asset identification information.
4. From the menu, select Save to save your work.

Note: The mass transaction number is automatically created when the request is saved. Field and accounting staff can use this number to query and track the retirement request.

5. You can delete the retirement request by selecting Delete from the menu. You can only delete the retirement requests that you created, and only those that have a status of New.

Processing Retirement Requests - Fixed Asset Accountant

The fixed asset accountant reviews the newly created retirement request for validity and information content. Information in the retirement request can be added or corrected as needed.

The create mass retirements process finds and selects assets to be retired based on the criteria entered in the retirement request. This process also applies retirement cost to each retirement, based on the cost retired.

You can review the mass retirement batch and the individual assets it contains, and subsequently edit, add, or delete information. The mass retirement transactions are then posted into Oracle Assets.

To process retirement requests - Fixed Asset Accountant:

1. Navigate to the Mass Retirements window.
2. Query the retirement request you wish to review. Add or correct information if needed.

Note: All new retirement requests have a status of New. You can change the status to Pending or On Hold.

3. Select the Create button to create a mass retirement batch containing assets meeting the retirement request criteria. The selection process also applies retirement cost to each selected retirement, based on the cost retired. The status of the request changes from New or Pending to Created.
4. To discard the mass retirement and end further processing, select the Discard button.
5. Optionally, navigate to Find Mass Retirements window to review, edit, or delete any of the individual retirements.

You can enter or modify the cost of removal and proceeds of sale for non-project related assets. For project related assets, the cost of removal and proceeds of sale cannot be changed, since the retirement costs are handled separately using the retirement cost processing feature.

6. In the Mass Retirements window, select the Retire button to submit the Post Mass Retirements process and posts the mass retirement. The Mass Retirements Report and the Mass Retirements Exception Report run automatically when the process completes. The status of the mass retirement will change from Created to Pending momentarily, and finally to Completed when the process completes.

Processing Imported Retirement Requests

You can process the imported retirement requests individually or by batch. Processing imported requests individually is similar to processing manually created retirement requests, as previously described.

Retirement requests originating in external systems are imported into Oracle Assets via the Retirement Requests API. The status field of the imported request is automatically set to Pending. Optionally, you can review the request for validity and information content.

Submitting the batch asset selection program finds all retirement requests with a status of Pending, from these, it selects assets for retirement that meet the criteria of the requests.

The batch program generates an error log indicating if an insufficient asset quantity is found to meet the criteria of a retirement request, or one or more of the required fields were not populated on a retirement request. The batch process also applies retirement cost to each selected retirement, based on the cost retired.

You can review the batch of selected assets, and use the batch posting process to post the mass retirement batches into Oracle Assets.

To process imported retirement requests individually:

1. Use the Retirement Requests API to import a retirement request from an external system into Oracle Assets.
2. Navigate to the Mass Retirements window. Use the mass transaction number to query the individual request you wish to review. Review the new retirement request for valid and complete information. Add, edit, or delete information as needed.
3. Select the Create button to create a mass retirement containing assets meeting the retirement request criteria. The selection process also applies retirement cost to each selected retirement, based on the cost retired. The status of the request changes from New or Pending to Created.
4. To discard the mass retirement and end further processing, select the Discard button.
5. Optionally, navigate to the Find Mass Retirements window to find, review, edit, or delete any of the individual retirements.

Cost of Removal and Proceeds of Sale can be entered or modified for non-project related assets. For project related assets, cost of removal and proceeds of sale cannot be changed, since retirement costs are handled separately using the Retirement Cost Processing feature.
6. In the Mass Retirements window, select the Retire button to submit the Post Mass Retirements process and posts the mass retirement. The Mass Retirements Report and the Mass Retirements Exception Report run automatically when the process completes. The status of the mass retirement will change from Created to Pending momentarily, and finally to Completed when the post mass retirement process completes.

To process imported retirement requests by batch:

1. Use the Retirement Requests API to import retirement requests from an external system into Oracle Assets.
2. Optionally, review the new retirement requests for valid and complete information. Navigate to the Mass Retirements window and query all or selected imported retirement requests. You can find all newly imported retirement requests by querying for Pending in the Status field. Review the requests and enter any needed corrections or additions.
3. Navigate to the Submit Request window and select the Process Pending Retirements Criteria program.

4. The parameters include Book and Extended Search, Yes or No. Selecting Yes or No for the Extended Search parameter will result in the following behavior:

Yes: If Yes is selected for the Extended Search Criteria parameter, and the number of asset units found using the retirement request criteria is less than the number of units specified in the retirement request, the system will also include assets outside of the specified date place in service range. Assets outside the specified date place in service range are selected on a FIFO basis.

No: If No is selected for the Extended Search Criteria parameter, and the number of asset units found using the retirement request criteria is less than the number of units specified in the retirement request, the system will put the request on hold.

5. Submit the Process Pending Retirements Criteria program to automatically select and process all retirement requests with a status of Pending.

If the retirement request specifies the cost retired, it will be prorated by the original cost.

Note: Imported retirements requests have an initial Status of Pending.

6. Review the error log for error conditions. Possible error conditions include the following:
 - The program found an insufficient number of assets that meet the retirement request criteria.
 - The retirement request has one or more required fields that were not populated.
7. Optionally, navigate to the Mass Retirements window to query, review, or edit the mass retirements created. To discard a mass retirement and end further processing, select the Discard button.
8. Optionally, navigate to Find Mass Retirements to find, review, edit, or delete any of the individual retirements.
9. Navigate to the Submit Request window and select the Post Mass Retirements program. The parameters include Book and Batch Name. You must select a book for the Book parameter. The Batch Name parameter is optional. If you select a batch, posting is limited to the batch. If you do not select a batch, the program will post all mass retirement batches that have a status of Created, and are associated with the selected book parameter.

The Mass Retirements Report and the Mass Retirements Exception Report run automatically when the process completes. The status of selected mass retirements will change from Created to Pending momentarily, and finally to Completed when

the post mass retirement process completes.

Related Topics

[Viewing Assets, page 14-1](#)

[About Retirements, page 6-1](#)

[Retiring Assets, page 6-4](#)

[Mass Retirements Report and Mass Retirements Exception Report, page 12-86](#)

Depreciation

This chapter covers the following topics:

- Running Depreciation
- Rolling Back Depreciation
- Depreciation Override
- About the Depreciation Override Interface
- Loading Depreciation Override Data
- Basic Depreciation Calculation
- Depreciation Calculation for Flat-Rate Methods
- Depreciation Calculation for Table and Calculated Methods
- Depreciation Calculations for Double Declining Table Base Methods
- Depreciation Calculation for the Units of Production Method
- Assets Depreciating Under Units of Production
- Using the Production Interface
- Entering Production Amounts
- Projecting Depreciation Expense
- Forecasting Depreciation
- Data Archive and Purge
- Archiving and Purging Transaction and Depreciation Data
- Unplanned Depreciation
- Bonus Depreciation
- Defaulting Asset Salvage Value as a Percentage of Cost
- Depreciating Assets Beyond the Useful Life

Running Depreciation

Run depreciation to process all assets in a book for a period. If you have assets that have not depreciated successfully, these assets are listed in the log file created by Oracle Assets when you run depreciation.

Closing a Depreciation Period

When you run depreciation, Oracle Assets gives you the option of closing the current period if you check the Close Period check box on the Run Depreciation window. If all of your assets depreciate successfully, Oracle Assets automatically closes the period and opens the next period for the book. If you do not check the Close Period check box when you run depreciation, Oracle Assets does not close the period.

Once depreciation has been processed for an asset in the current open period, you cannot perform any transactions on those assets unless depreciation is rolled back or the current period is closed. See: *Rolling Back Depreciation*, page 7-3.

Note: Ensure that you have entered all transactions for the period before you run depreciation. Once the program closes the period, you cannot reopen it.

Multiple Reporting Currencies

If you are using Multiple Reporting Currencies (MRC), you can only run the Calculate Gains and Losses and depreciation programs using the standard Fixed Assets or MRC primary responsibility. You cannot run these programs using an MRC reporting responsibility.

When you run the Calculate Gains and Losses and depreciation programs using the standard Fixed Assets or MRC primary responsibility, these program will also run automatically for the associated reporting responsibilities. See: *Multiple Reporting Currencies in Oracle Applications*, *Multiple Reporting Currencies in Oracle Applications*.

Prerequisites

- Run the Assets Not Assigned to Any Cost Centers Listing and the Assets Not Assigned to Any Books Listing to ensure that all assets are assigned to expense accounts and books. See: *Assets Not Assigned to Any Books Listing/Assets Not Assigned to any Cost Centers Listing*, page 12-28.
- Optionally process retirements regularly throughout the period. See: *Calculating Gains and Losses for Retirements.*, page 6-18

To run depreciation:

1. Open the Run Depreciation window.
2. Choose the Book for which you want to run depreciation.
3. Choose whether you want Oracle Assets to close the period after successfully depreciating all assets.
4. Choose Run to submit concurrent requests to run the calculate gains and losses, depreciation, and reporting programs.

Note: You cannot enter transactions for the book while depreciation is running.

Oracle Assets automatically runs the Journal Entry Reserve Ledger report when you run the depreciation program for a corporate book, and the Tax Reserve Ledger report for a tax book, so you can review the depreciation calculated. These reports are run automatically for the primary currency only. You can use the Standard Report Submission (SRS) process to manually run these reports for the reporting currencies.

5. Review the log files and report after the request completes.
6. If the log file lists assets that did not depreciate successfully, correct the errors and re-run depreciation.

Related Topics

Depreciation Calculation, page 7-21

Depreciation Reports, page 12-37

Submitting a Request, *Oracle Applications User's Guide*

Rolling Back Depreciation, page 7-3

Rolling Back Depreciation

Depreciation rollback restores assets to their state prior to running depreciation. For example, you may have outstanding adjustments or transactions that you need to process for a period. However, you have already run depreciation for that period. If the Close Period check box was not checked when you ran depreciation, depreciation is automatically rolled back when you process transactions on these assets.

Financial adjustments and other transactions can be made to one or more assets through

the asset workbench, Mass Transactions or Depreciation Override window. Oracle Assets will automatically rollback depreciation on the selected assets and allow the transactions to be processed normally. The assets for which depreciation was rolled back are automatically included in the next depreciation run.

Depreciation is rolled back automatically by Oracle Assets provided the following conditions are met:

- Depreciation has been processed in that period
- The period is not Closed

Related Topics

Running Depreciation, page 7-2

Depreciation Calculation, page 7-21

Depreciation Reports, page 12-37

Depreciation Override

Depreciation Override allows you to optionally override the depreciation amounts calculated by Oracle Assets. Using this feature, you can manually override the calculated default depreciation amounts for standalone and group assets.

Before running depreciation or performing adjustments, you must provide the necessary information in the Depreciation Override window or the FA_DEPRN_OVERRIDE table, and indicate whether the override data is for depreciation or adjustments. When running depreciation, the system will upload and use the depreciation amounts provided in the interface table.

If you do not use the Depreciation Override window to input the override amounts, you must first populate the FA_DEPRN_OVERRIDE table with the necessary depreciation data. Next, the feature uploads and overrides the system calculated depreciation amounts with the amounts you provided in the override interface table.

Prerequisite

- Set the profile option FA: Enable Depreciation Override to Yes.

Note: For MRC-enabled books, you do not need to provide the override amounts for the reporting currency books. The system will derive the reporting currency values based on the ratio of asset cost in the reporting currency to asset cost in the ledger currency.

To override the system calculated depreciation amounts using the Depreciation Override window:

1. Navigate to the Depreciation Override window.
2. You can use the Find Assets window to find assets for which you want to change depreciation.
3. If you did not use the Find Assets window, or query, to find the assets records you wish to modify, enter the asset number, book, and period of the asset in the rows of Depreciation Override window.
4. In the Depreciation field, you can enter the override depreciation amount.
5. In the Bonus Depreciation field you can enter the override bonus depreciation amount.
6. In the Use By field, you can select the adjustment type of Depreciation or Adjustment. The default value is Depreciation when creating a new record.
7. The Status field displays the current status of the override record, which may be New, Post, or Posted. If the status is Post or Posted, you cannot update the record, you can only delete the record and reenter the updated record.
8. Select Save from the menu to save your work.

To override the system calculated depreciation amounts using the FA_DEPRN_OVERRIDE table:

1. Define the override data in the FA_DEPRN_OVERRIDE table. In the FA_DEPRN_OVERRIDE table, enter all basic override depreciation information: BOOK_TYPE_CODE, ASSET_ID, PERIOD_NAME, DEPRN_AMOUNT, BONUS_DEPRN_AMOUNT and USED_BY. You can provide depreciation amounts for depreciation expense and bonus expense separately using the columns: DEPRN_AMOUNT and BONUS_DEPRN_AMOUNT. Define either DEPRECIATION or ADJUSTMENT in the USED_BY column depending on your requirement.

Note: You can assign multiple override data for each asset as long as PERIOD_NAME and USED_BY do not overlap for records with a non-posted status.

2. Optionally run What-If Analysis or Projection to review the estimated depreciation amounts for that period.

3. Run Depreciation or perform adjustments (single asset adjustment and mass change) to incorporate the override data.
4. If the override fails, the system will roll back the depreciation for the asset. You first need to correct the override information in the interface table, then rerun depreciation. For example, if any assets became over-reserved during the overriding process, the override will fail and the system will return an error.

Depreciation Example

The following table contains asset setup information used in this example.

Asset Setup Item	Asset Setup Information
Book Type Code	CORP
Asset Number	ASSET-A (Asset ID: 100869)
Method	Flat COST
Rate	10%
Bonus Rule	10%
Cost	1,000,000
Addition Date	Qtr-2-95
Salvage Value	0

Load the following override data in the FA_DEPRN_OVERRIDE table before running depreciation:

BOOK_ TYPE_ CODE	ASSET ID	PERIOD NAME	DEPRN_ AMOUNT	BONUS_ DEPRN_ AMOUNT	USED BY
CORP	100869	Qtr-2-1996	80,000	(NULL)	DEPRECIATI ON
CORP	100869	Qtr-3-1996	(NULL)	50,000	DEPRECIATI ON

BOOK_ TYPE_ CODE	ASSET ID	PERIOD NAME	DEPRN_ AMOUNT	BONUS_ DEPRN_ AMOUNT	USED BY
CORP	100869	Qtr-2-1997	100,000	0	DEPRECIATI ON
CORP	100869	Qtr-4-1998	(NULL)	0	DEPRECIATI ON
CORP	100869	Qtr-3-1999	(NULL)	20,000	DEPRECIATI ON

Expected depreciation results for Asset ID 100869 are included in the following table:

Fiscal Year	1995	1996	1997	1998	1999
Adjusted Cost	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
Q1	0	50,000	50,000	50,000	50,000
Q2	50,000	105,000	100,000	50,000	50,000
Q3	50,000	75,000	50,000	50,000	45,000
Q4	50,000	50,000	50,000	25,000	0
Accumulated	150,000	430,000	680,000	855,000	1,000,000
Basic Rate	10%	10%	10%	10%	10%
Bonus Rate	10%	10%	10%	10%	10%

For this example:

- System Calculated Depreciation Amount for each period = 25,000
- System Calculated Bonus Depreciation Amount for each period = 25,000
- Qtr2-96 = (override depreciation amount + (system calculated bonus depreciation amount) = 80,000 + 25,000 = 105,000

- Qtr3-96 = (system calculated depreciation amount + (override bonus depreciation amount) = 25,000 + 50,000 = 75,000
- Qtr2-97 = (override depreciation amount + (override bonus depreciation amount) = 100,000 + 0 = 100,000
- Qtr4-98 = (system calculated depreciation amount + (override bonus depreciation amount) = 25,000 + 0 = 25,000
- Qtr3-99 = (system calculated depreciation amount + (override bonus depreciation amount) = 25,000 + 20,000 = 45,000

Note: Currently, Oracle Assets does not support bonus depreciation amounts in the last period of an asset's life (Qtr3-99 in this example). As a default, the depreciation amount for Qtr3-99 is calculated as follows:

- The system calculated Depreciation Amount for Qtr3-99 = Adjusted Recoverable Cost - Depreciation Reserve = (1,000,000 - 955,000) = 45,000.
- The system calculated Bonus Depreciation Amount for Qtr3-99 = 0.

Using the override feature, you can define the bonus amount even at the last period of life for the asset, provided ((Depreciation Reserve + Current Period Depreciation Total) = Adjusted Recoverable Cost). If the total of depreciation reserve and current period depreciation is greater than the adjusted recoverable cost, the system will return an error. Next, you need to correct the amount and run depreciation again.

Adjustment Example

The following table contains asset setup information used in this example.

Asset Setup Item	Asset Setup Information
Book Type Code	CORP
Asset Number	ASSET-B (Asset ID: 100870)
Method	Flat NBV
Rate	10%

Asset Setup Item	Asset Setup Information
Bonus Rule	0%
Cost	10,000
Addition Date	Qtr-2-95
Salvage Value	0

Load the following override data in the FA_DEPRN_OVERRIDE table before performing the adjustment:

BOOK_ TYPE_ CODE	ASSET ID	PERIOD NAME	DEPRN_ AMOUNT	BONUS_ DEPRN_ AMOUNT	USED BY
CORP	100870	Qtr-3-1995	0	1,000	ADJUSTMEN T

Non-Override Example

For this example:

- Expensed Adjustment on Qtr-1-96
- Adjustment Amount from 10,000 to 20,000
- Missed Depreciation = Re-calculated Depreciation Total - Depreciation Reserve = $(20,000 * 0.1 / 4 * 3) - 750 = 750$
- New Adjusted Cost for 1996 = New Cost - Recalculated Depreciation Reserve for 1995 = $20,000 - (20,000 * 0.1 / 4 * 3) = 20,000 - 1,500 = 18,500$

Expected depreciation results for Asset ID 100870 are included in the following table:

	1995	1996	1997
Adjusted Cost	10,000	18,500	17,400
Q1	0	1,213 (=463+750)	435

	1995	1996	1997
Q2	250	463	435
Q3	250	463	435
Q4	250	461	435
Accumulated	750	2,600	4,340
Basic Rate	10%	10%	10%
Bonus Rate	0%	0%	0%

Override Example

For this example:

- Enter the override amount as indicated in the following table:

BOOK_ TYPE_ CODE	ASSET ID	PERIOD NAME	DEPRN_ AMOUNT	BONUS_ DEPRN_ AMOUNT	USED BY
CORP	100870	Qtr-3-1995	(NULL)	1,000	DEPRECIAT ION

Scenario:

- Expensed Adjustment on Qtr-1-96
- Adjustment Amount from 10,000 to 20,000
- Missed Depreciation = Re-calculated Depreciation Total - Depreciation Reserve=
 $(20,000 * 0.1 / 4 * 3 + 1,000) - 750 = 1,750$
- New Adjusted Cost for 1996 = New Cost - Recalculated Depreciation Reserve for
1995 = $20,000 - (20,000 * 0.1 / 4 * 3 + 1,000) = 20,000 - 2,500 = 17,500$

The expected depreciation results for asset ID 100870 are included in the following table:

	1995	1996	1997
Adjusted Cost	10,000	17,500	16,500
Q1	0	2,188 (=438+1,750)	413
Q2	250	438	413
Q3	250	438	413
Q4	250	436	411
Accumulated	750	3,500	5,150
Basic Rate	10%	10%	10%
Bonus Rate	0%	0%	0%

As above, override effect will appear in the adjusted period, in this case, Qtr-1-96.

For this example:

- Expensed Adjustment on Qtr1-96
- Adjustment Amount: From 10,000 To 20,000
- Missed Depreciation = Re-calculated Depreciation Total - Depreciation Reserve = $(20,000 \times 0.1/4 \times 3 + 1,000) - 750 = 2,500 - 750 = 1,750$
- New Adjusted Cost for 1996 = New Cost - Recalculated Depreciation Reserve for 1995 = $20,000 - (20,000 \times 0.1/4 \times 3 + 1,000) = 20,000 - 2,500 = 17,500$

The expected depreciation results for asset ID 100870 are included in the following table:

Fiscal Year	1995	1996	1997
Adjusted Cost	10,000	17,500	15,750
Q1	0	438	394
Q2	250	438	394

Fiscal Year	1995	1996	1997
Q3	250	438	394
Q4	250	437	393
Accumulated	750	2,500	4,075
Basic Rate	10%	10%	10%
Bonus Rate	0%	0%	0%

In the above example:

- The FA: Annual Rounding profile option is set to always.
- $\text{Qtr1-96} = \text{Periodic Depreciation Amount} + \text{Missed Depreciation Amount} = 438 + 1750 = 2188$.

Currently, Oracle Assets does not support bonus depreciation for back-dated amortized adjustments. If you provide override bonus depreciation amounts, and back-dated amortized adjustments are used, the override will fail with an error.

About the Depreciation Override Interface

You can use the Depreciation Override feature to manually override the default depreciation amounts calculated by Oracle Assets. The depreciation override information is loaded in the FA_DEPRN_OVERRIDE table. The necessary information must be loaded prior to depreciating or adjusting the assets that will have their depreciation overridden.

FA_DEPRN_OVERRIDE Interface Table

The database definition of the FA_DEPRN_OVERRIDE table does not require values for any columns. However, to properly override the system-calculated depreciation amounts, you should consider the points below:

- Since no user interface is currently available for this feature, you must ensure the interface table is properly populated before running depreciation or making adjustments.
- The status of the records is updated from NEW to POSTED when the record information actually overrides the depreciation calculated by Oracle Assets.

- You cannot update records after they are inserted and stored in the table. For records with a status of New, you can delete the record and then re-enter the record with the correct information.

Loading Depreciation Override Data

To use the Depreciation Override feature in Oracle Assets, you must load your depreciation override data into the FA_DEPRN_OVERRIDE table in Oracle Assets. The Usage column in the following table indicates whether a field is required, optional, or system-generated.

Column Name	Type	Description	Usage
DEPRN_OVERRIDE_ID	NUMBER(15)	This is a unique identifier for the depreciation override records in this interface table. This number is automatically assigned to each record when you insert override data into this table.	System-generated
BOOK_TYPE_CODE	VARCHAR2(15)	Use this column for the book that will receive the depreciation override. You must choose a book that you have set up in the Book Controls window, and the book class must be CORPORATE or TAX.	Required
ASSET_ID	NUMBER(15)	This column is a unique identifier for assets.	Required

Column Name	Type	Description	Usage
PERIOD_NAME	VARCHAR2(15)	Use this column for the period on which you want to perform overriding the system-calculated depreciation amounts.	Required
DEPRN_AMOUNT	NUMBER	Use this column to store the override depreciation amounts. This depreciation amount does not include bonus depreciation amounts.	Optional
BONUS_DEPRN_AMOUNT	NUMBER	Use this column to store the override bonus depreciation amounts. For assets with bonus depreciation, you need to set up the bonus rule for the asset as a prerequisite. Otherwise, depreciation and adjustments will fail with an error. You need to enter the overriding amount in either the DEPRN_AMOUNT or BONUS_DEPRN_AMOUNT column.	Optional
SUBTRACTION_FLAG	VARCHAR2(1)	Do not use this column.	Null

Column Name	Type	Description	Usage
USED_BY	VARCHAR2(15)	Enter either DEPRECIATION or ADJUSTMENT in this column depending on the situation in which you want to use this data.	Required
STATUS	VARCHAR2(1)	When you insert asset depreciation information into this table, it automatically assigns NEW in this status column. When depreciation or adjustments are performed, the status of the used record is updated to POSTED. You cannot delete any records with a POSTED status from this table. You can assign multiple override data for each asset, as long as the PERIOD_NAME and USED_BY do not overlap for records with a non-posted status.	System-generated
TRANSACTION_HEADER_ID	NUMBER(15)	This column stores the TRANSACTION_HEADER_ID in the FA_TRANSACTION_HEADERS table. The number is automatically assigned to this column when you perform adjustments.	System-generated

Column Name	Type	Description	Usage
REQUEST_ID	NUMBER(15)	Use this column to store the REQUEST_ID if you use any loading program.	Optional
PROGRAM_APPLICATION_ID	NUMBER(15)	Use this column to store the application ID if you use any loading program.	Optional
PROGRAM_ID	NUMBER(15)	Use this column to store the request ID if you use any loading program.	Optional
CREATED_BY	NUMBER(15)	Use the value 1 in this column, or the specific user ID of the person working on the import.	Optional
CREATION_DATE	NUMBER(15)	Use this column for the date you load this asset into FA_DEPRN_OVERRIDE table.	Optional

Import data from a non-Oracle system using SQL*Loader

You can use SQL*Loader to import depreciation override data by completing the following steps:

1. Define your interim table in the Oracle database.

Use a single interim table if possible. You can use multiple tables if the data exists in multiple tables or files in the system from which you are loading data. In either case, you must eventually place the data in a single table, the FA_DEPRN_OVERRIDE table.

If you prefer, you can load data directly into the FA_DEPRN_OVERRIDE table, but it is more difficult due to the complexity of the table.

2. Load your interim table using SQL*Loader.

Use SQL*Loader to import information from outside your Oracle database. SQL*Loader accepts a number of input file formats and loads your depreciation override data into your interim table.

If the data already resides within an Oracle database, there is no need to use SQL*Loader. Simply consolidate the depreciation override information in your interim table using SQL*Plus or import, and go directly to the next step.

- Convert the depreciation override information into text form.

Most database or file systems can output data in text form. Usually you can generate a variable or fixed format data file containing comma or space delimiters from the existing system. If you cannot find a way to produce clean text data, try generating a report to disk, using a text editor to format your data. Another option is to have SQL*Loader eliminate unnecessary information during its run. If there is a large volume of information, or if the information is difficult to convert into a loadable format, you can write your own import program. Construct your program to generate a SQL*Loader readable text file.

- Create the SQL*Loader control file.

In addition to the actual data text file, you must write a SQL*Loader control file. The control file tells SQL*Loader how to import the data into your interim table. Be sure to specify a discard file if you are planning to use SQL*Loader to filter your data.

- Run SQL*Loader to import your depreciation override data.

Once you have created your depreciation override data file and SQL*Loader control file, run SQL*Loader to import your data. SQL*Loader produces a log file with statistics about the import, a bad file containing records that could not be imported due to errors, and a discard file containing all the records that were filtered out of the import by commands placed in the control file.

3. Compare record counts and check the SQL*Loader files.

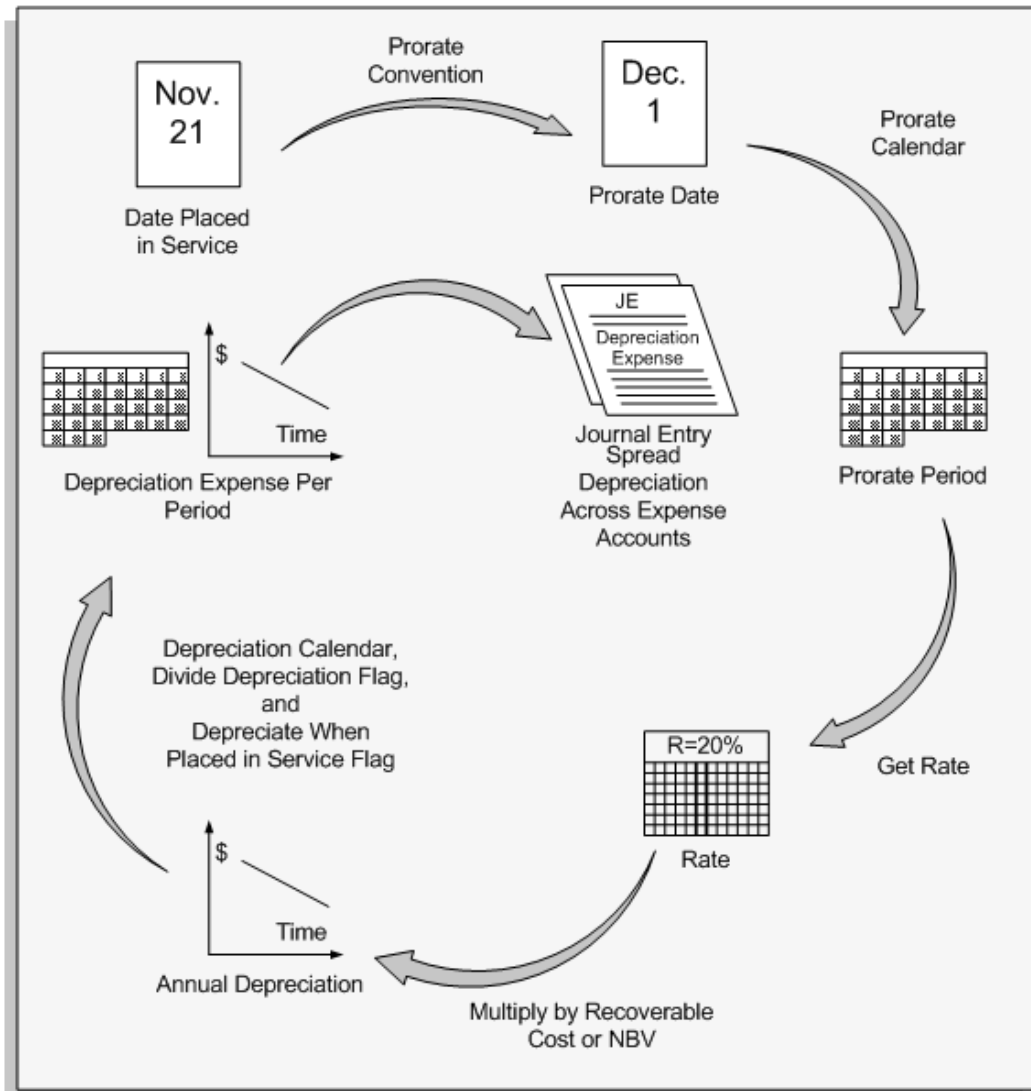
Check the number of rows in the interim table against the number of records in your original depreciation override data file or table to ensure that all depreciation override records were imported.

The log file shows if records were rejected during the load, and the bad file shows which records were rejected. Fix and re-import the records in the bad file.

4. Spot check the interim table.

Check several records throughout the interim table and compare them to the corresponding records in the original data file or table. Look for missing or invalid data. This step ensures that your data was imported into the correct columns and that all columns were imported.

Basic Depreciation Calculation



Prorate Date

Oracle Assets prorates the depreciation taken for an asset in its first fiscal year of life according to the prorate date. Oracle Assets calculates the prorate date when you initially enter an asset. The prorate date is based on the date placed in service and the asset prorate convention. For example, if you use the half-year prorate convention, the prorate date of all assets using that convention is simply the mid-point of your fiscal year. So assets acquired in the same fiscal year take the same amount (half a year's worth) of depreciation in the first year. If however, you use the following month prorate convention, the prorate date is the beginning of the month following the month placed

in service, so the amount of depreciation taken for assets acquired in the same fiscal year varies according to the month they were placed in service.

Your reporting authority's depreciation regulations determine the amount of depreciation to take in the asset's first year of life. For example, some governments require that you prorate depreciation according to the number of months you hold an asset in its first fiscal year of life. In this case, your prorate convention has twelve rate periods--one for each month of the year. Other reporting authorities require that you prorate depreciation according to the number of days that you hold an asset in its first year of life. This means that the fiscal year depreciation amount would vary depending on the day you added the asset. Thus, your prorate convention contains 365 prorate periods--one for each day of the year.

Depreciation Rate

Calculation Basis

Oracle Assets calculates depreciation using either the recoverable cost or the recoverable net book value as a basis. If the depreciation method uses the asset cost, Oracle Assets calculates the fiscal year depreciation by multiplying the recoverable cost by the rate.

If the depreciation method uses the asset net book value, Oracle Assets calculates the fiscal year depreciation by multiplying the recoverable net book value as of the beginning of the fiscal year, or after the latest amortized adjustment or revaluation, by the rate.

Determining the Prorate Period

Oracle Assets uses the prorate date to choose a prorate period from the prorate calendar.

For life-based methods, the prorate period and asset age then determine which rate Oracle Assets selects from the rate table. The depreciation program calculates asset age from the date placed in service as the number of fiscal years that you have held the asset. If two assets are placed in service at different times, but have the same depreciation method and life, Oracle Assets uses the same rate table, but may choose a different rate from a different column and row in the table.

Flat-rate methods use a fixed rate and do not use a rate table.

Determining the Depreciation Rate

For life-based depreciation methods, Oracle Assets uses the depreciation method and life to determine which rate table to use. Then, it uses the prorate period and year of life to determine which of the rates in the table to use. Note that the life of an asset has more fiscal years than its asset calendar life if it is placed in service during a fiscal year.

Flat-rate depreciation methods determine the depreciation rate using fixed rates,

including the basic rate, adjusting rate, and bonus rate.

Calculate Annual Depreciation

Calculated and table-based methods calculate annual depreciation by multiplying the depreciation rate by the recoverable cost or net book value as of the beginning of the fiscal year.

Flat-rate methods calculate annual depreciation as the depreciation rate multiplied by the recoverable cost or net book value, multiplied by the fraction of year the asset was held.

Allocate Annual Depreciation Across Periods

After calculating the annual depreciation amount, Oracle Assets uses your depreciation calendar, the divide depreciation flag, and the depreciate when placed in service flag to determine how much of the fiscal year depreciation to allocate to the period for which you ran depreciation.

If you choose to allocate depreciation evenly to each of your accounting periods, Oracle Assets divides the annual depreciation by the number of depreciation periods in your fiscal year to get the depreciation per period. If, however, you choose to allocate it according to the number of days in each period, Oracle Assets divides the annual depreciation by the number of days the asset depreciates in the fiscal year and multiplies the result by the number of days in the appropriate accounting period.

Spreading Depreciation Across Expense Accounts

Finally, Oracle Assets allocates the periodic depreciation to the assignments to which you have assigned the asset. Oracle Assets does this according to the fraction of the asset units that is assigned to each depreciation expense account in the Assignments window.

Related Topics

Depreciation Calculation for Flat-Rate Methods, page 7-25

Depreciation Calculation for Table and Calculated Methods, page 7-28

Depreciation Calculation for Units of Production Methods, page 7-35

Running Depreciation, page 7-2

Asset Accounting, page 8-4

Depreciation Rules (Books), page 3-5

Assignments, page 3-11

Depreciation Calculation

Run the depreciation program independently for each of your depreciation books. The depreciation program calculates depreciation expense and adjustments, and updates the accumulated depreciation and year-to-date depreciation.

When you run depreciation, the depreciation program submits three separate requests to:

- Calculate gains and losses for retired assets and catch up depreciation for retired and reinstated assets
- Calculate depreciation expense and adjustments for the period, and close the current period
- Run the reserve ledger report

Depreciation Calendar

The depreciation calendar determines the number of accounting periods in your fiscal year.

Prorate Calendar

The prorate calendar determines what rate Oracle Assets uses to calculate annual depreciation by mapping each date to a prorate period, which corresponds to a set of rates in the rate table.

Period Close

Oracle Assets automatically closes the book's current period and opens the next when you run the depreciation program. You cannot have more than one open period for a given depreciation book.

Year-End Processing

You can close the year independently in each depreciation book. The depreciation program automatically resets year-to-date amounts on a book the first time the depreciation program is run on that book in a fiscal year. Oracle Assets automatically creates the depreciation and prorate periods for your new year when you run depreciation for the last period of the previous fiscal year.

Note: Verify the depreciation and prorate periods that Oracle Assets creates before you enter transactions in the new year.

Suspend Depreciation

You can suspend depreciation by unchecking Depreciate in the Books window. If you suspend depreciation of an asset when you add the asset, Oracle Assets expenses the missed depreciation in the period you start depreciating the asset.

For table and calculated methods, Oracle Assets calculates depreciation expense for the asset based on an asset life that includes the periods you did not depreciate it. If you suspend depreciation after an asset has started depreciating, Oracle Assets catches up the missed depreciation expense in the last period of life.

For flat-rate methods, Oracle Assets continues calculating depreciation expense for the asset based on the flat-rate. For flat-rate methods that use net book value, Oracle Assets uses the asset net book value at the beginning of the fiscal year in which you resume depreciation. The asset continues depreciating until it becomes fully reserved.

Recoverable Cost

For depreciation methods with a calculation basis of cost, Oracle Assets calculates depreciation using the recoverable cost. The recoverable cost is calculated as the lesser of either the cost less the salvage value less the investment tax credit basis reduction amount, or the cost ceiling. Oracle Assets depreciates the asset until the accumulated depreciation equals the recoverable cost.

Adjustments

The following are some examples of financial adjustments you can expense or amortize:

- Recoverable Cost Adjustments
- Depreciation Method Adjustments
- Life Adjustments
- Rate Adjustments
- Capacity Adjustments

For more information about amortized and expensed adjustments and how they affect depreciation calculation, see Amortized and Expensed Adjustments, page 8-12.

Prior Period Transactions

Prior Period Additions

If you enter an asset with a date placed in service before the current accounting period, Oracle Assets automatically calculates the missed depreciation and adjusts the accumulated depreciation on the next depreciation run.

If you provide accumulated depreciation when you add the asset, Oracle Assets does

not recalculate the accumulated depreciation. It accepts the amount you entered.

For table and calculated methods, even if the entered accumulated depreciation differs from what Oracle Assets would have calculated, Oracle Assets does not depreciate the asset beyond the recoverable cost. If the accumulated depreciation is too low, Oracle Assets takes additional depreciation in the last period of the asset's life so that the asset becomes fully reserved. If the asset's accumulated depreciation is too high, Oracle Assets stops depreciating the asset when it becomes fully reserved, effectively shortening the asset life.

Prior Period Transfers

If you back date an asset transfer, Oracle Assets automatically reallocates depreciation expense by reversing some of the depreciation charged to the "from" account, and redistributing it proportionally to the "to" accounts. Retroactive transfers do not impact the total depreciation. You cannot backdate a transfer to a prior fiscal year.

Prior Period Retirements / Reinstatements

If you back date a retirement, Oracle Assets automatically adjusts the depreciation for the year by the appropriate amount, resulting in a one-time adjustment in depreciation expense for the period. Oracle Assets then computes the gain or loss using the resulting net book value. You cannot backdate a retirement to a previous fiscal year, nor can you reinstate a retirement performed in a previous fiscal year.

Prior Period Amortized Adjustments

If you back date an amortized adjustment, Oracle Assets automatically calculates depreciation from the retroactive amortization start date, and adds the retroactive depreciation to the current period. You can perform multiple prior period amortized adjustments to an asset.

Credit Assets

You can enter a credit asset as an asset with a negative cost, and Oracle Assets credits depreciation expense and debits accumulated depreciation each period for the life of the asset.

Depreciation Projections

Oracle Assets estimates depreciation expense for the periods for which you project depreciation based on the financial information for your existing assets at the start of that period. The projection includes additions, transfers, and reclassification transactions you perform in the current period. It ignores other asset transactions you make in the current period, such as the depreciation adjustment for retroactive additions and retroactive transfers you enter in the current period. The program also ignores fully reserved and fully retired assets.

If you do not start your projection beyond the current period, the projection does not include your most recent transactions. For example, if the current period in your

corporate book is JUL-92, and you request an annual projection starting with JAN-92, Oracle Assets projects depreciation expense based on the financial information for your existing assets as of the start of January 1992. The projection does not include some of the transactions you entered between January and June 1992. If instead you request an annual projection starting with JAN-93, Oracle Assets projects depreciation expense based on the financial information for your existing assets as of the start of July 1992.

Note: You cannot run depreciation projections for prior periods.

Related Topics

Defining Additional Depreciation Methods, page 11-65

Running Depreciation, page 7-2

Projecting Depreciation Expense, page 7-43

Asset Accounting, page 8-4

Depreciation Rules (Books), page 3-5

Depreciation Calculation for Flat-Rate Methods, page 7-25

Depreciation Calculation for Table and Calculated Methods, page 7-28

Depreciation Calculation for the Units of Production Method, page 7-35

Depreciation Reports, page 12-37

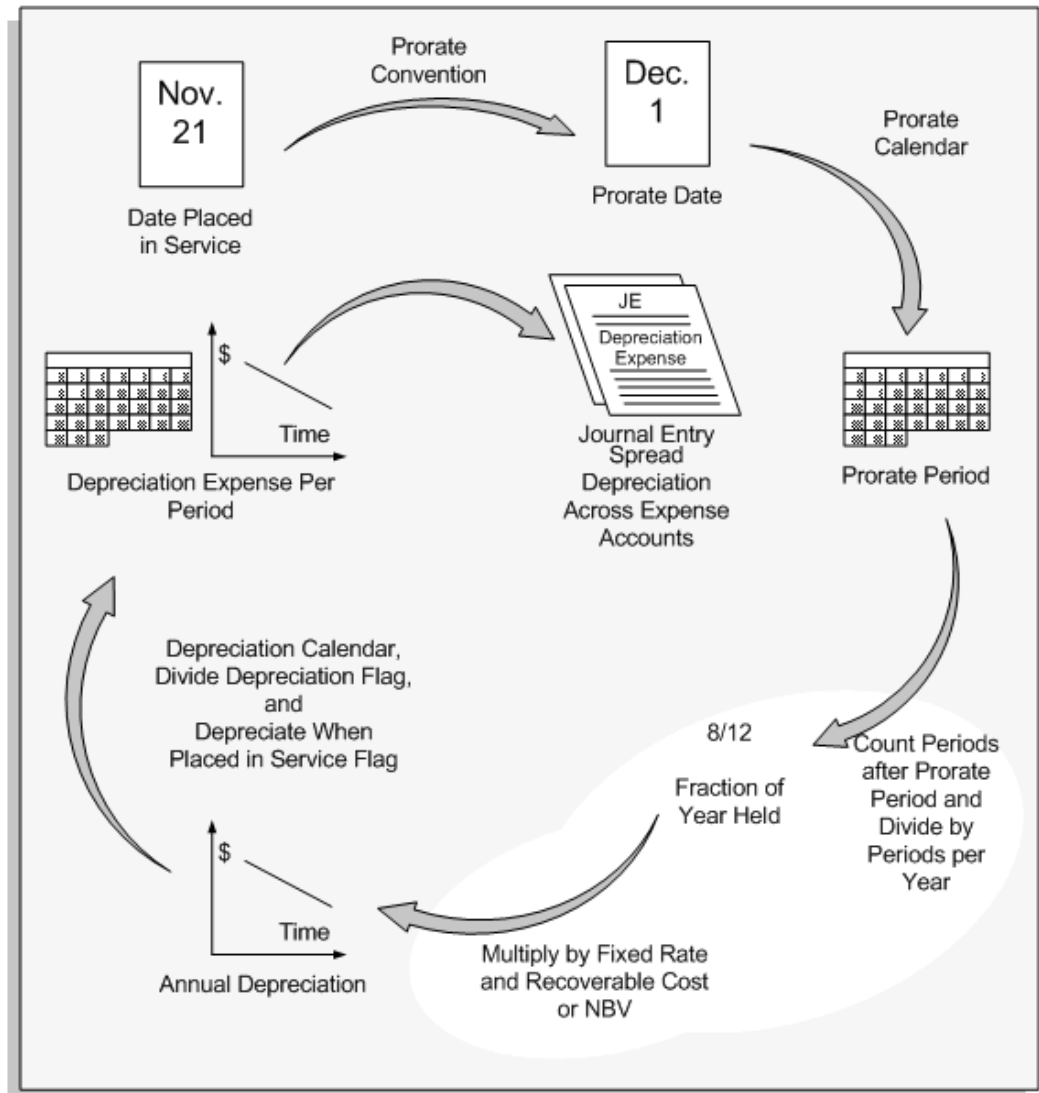
Profile Options and Profile Options Categories Overview, page B-1

Depreciation for Retirements, page 8-36

Depreciation for Reinstatements, page 8-36

Amortized and Expensed Adjustments, page 8-12

Depreciation Calculation for Flat-Rate Methods



Use a flat-rate method to depreciate the asset over time using a fixed rate.

Oracle Assets uses a flat-rate and either the recoverable cost or the recoverable net book value as of the beginning of the fiscal year to calculate depreciation using a flat-rate depreciation method. The asset continues to depreciate until its recoverable cost and accumulated depreciation are the same.

Depreciation in the First Year of Life

An asset's prorate convention and depreciation method control when Oracle Assets starts to depreciate new assets. For assets using flat-rate methods, depreciation starts in the accounting period that either the date placed in service or the prorate date falls into,

depending on the depreciate when placed in service flag. Oracle Assets allocates the first year's depreciation to the accounting periods remaining in the fiscal year.

Example

Suppose your fiscal year ends in May, you have a monthly (12 period) depreciation calendar, and you want to allocate depreciation evenly to each period in the year. You place a \$10,000 asset in service in the third period of your fiscal year (AUG-92) using a half-year prorate convention. The rate for the diminishing value (calculation basis of NBV) depreciation method is 20%.

Since the asset is using a half-year prorate convention, the prorate date is in December--the mid-point of your fiscal year. For assets that have a prorate date at the mid-point of the fiscal year, depreciation expense for the first fiscal year of life is 50% of the amount for a full fiscal year. For the asset in our example, a full fiscal year depreciation amount is \$2,000 (20% of \$10,000), so the depreciation for the first year (fiscal 1993) is \$1,000.

You can specify whether to start taking depreciation in the period of the date placed in service or the prorate date using the depreciate when placed in service flag for the prorate convention. If you elect to start depreciation in the accounting period corresponding to the date placed in service, Oracle Assets starts to depreciate the asset in AUG-92, and the depreciation for each period is \$100 (\$1000 divided by 10--the number of periods from August to May).

If you elect to start depreciation on the prorate date, Oracle Assets does not start to depreciate the asset until December. The depreciation for each period from DEC-92 to MAY-93 is \$166.67 (\$1,000 divided by 6--the number of periods from December to May).

Depreciation in the Remaining Years of Life

For methods using the net book value, you use the flat-rate and the recoverable net book value at the beginning of each fiscal year to calculate the annual depreciation. In the second year of the asset life (fiscal 1994), the net book value as of the beginning of the fiscal year is \$9,000. Applying the 20% rate yields an annual depreciation amount of \$1,800. Oracle Assets divides this amount evenly across all twelve accounting periods in the year, so depreciation expense for each period is \$150.

Similarly, the net book value at the beginning of the 1995 fiscal year is \$7,200. Oracle Assets calculates annual depreciation of \$1,440 and divides this amount evenly to get the depreciation amount for each period. Oracle Assets repeats this process until the asset is fully depreciated or retired.

Calculation Basis

Flat-rate methods use a calculation basis of either the recoverable cost or recoverable net book value to calculate annual depreciation. Assets depreciating under flat-rate methods with a calculation basis of recoverable net book value do not become fully reserved. Rather, the annual depreciation expense becomes smaller and smaller over time.

Reset Recoverable Net Book Value

At the beginning of each fiscal year, Oracle Assets automatically resets each asset's year-to-date depreciation expense to zero and recalculates the recoverable net book value as of the beginning of the fiscal year. Oracle Assets also recalculates the recoverable net book value by which to multiply the flat-rate when you perform an amortized adjustment or revalue an asset.

Adjusting Rates

In some countries, the flat-rate consists of a basic rate and an adjusting rate, or loading factor. These rates vary according to your reporting authority's depreciation regulations.

When you add an asset, you can select a basic rate and an adjusting rate. Oracle Assets increases the basic rate by the adjusting rate to give you the adjusted rate. This is your flat-rate for the fiscal year.

Depreciation Rate = Basic Rate x (1 + Adjusting Rate) + Bonus Rate

Annual Depreciation Amount = Depreciation Rate x Depreciation Calculation Basis x Fraction of Year Held

The following table provides examples of how the rate is calculated.

Basic Flat-Rate	Adjusting Rate	Adjusted Rate
10%	10%	11%
10%	20%	12%
10%	25%	12.5%
10%	40%	14%

Bonus Depreciation

For reporting authorities that allow additional depreciation in the early fiscal years of an asset life, you can assign an additional bonus rate on top of the flat-rate. Oracle Assets adds the bonus rate to the adjusted rate to give you the flat-rate for the fiscal year. The following table provides examples of how the rate is calculated

Fiscal Year	Adjusted Rate	Bonus Rate	Flat-Rate for Fiscal Year
1	20%	10%	30%
2	20%	7%	27%
3	20%	5%	25%

In this example, starting with year four, there is no bonus rate so the adjusted rate is the normal 20%. From fiscal year four until the asset is fully reserved, the flat-rate for each fiscal year is 20%.

Related Topics

Defining Additional Depreciation Methods, page 11-65

Specifying Dates for Prorate Conventions, page 11-180

Running Depreciation, page 7-2

Defining Bonus Depreciation Rules, page 11-74

Asset Accounting, page 8-4

About Prorate and Retirement Conventions, page 11-181

Depreciation Reports, page 12-37

Depreciation Calculation for Table and Calculated Methods

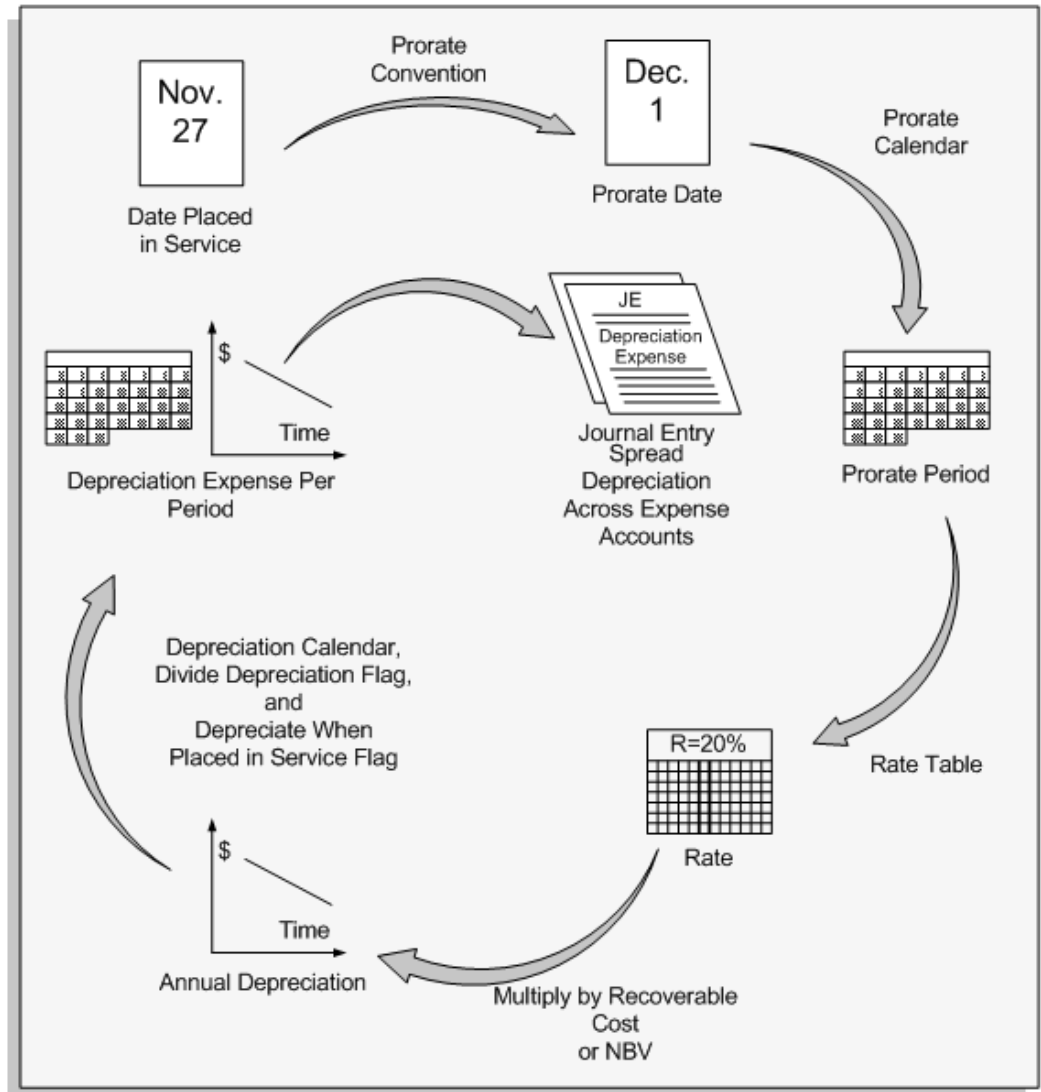
Use a life-based method to depreciate the asset over a fixed time using specified rates. There are two types of life-based methods:

Table: Oracle Assets gets the annual depreciation rate from a rate table.

Calculated: For straight-line depreciation, the depreciation program calculates the annual depreciation rate by dividing the life (in years) into one. Calculated methods spread the asset value evenly over the life.

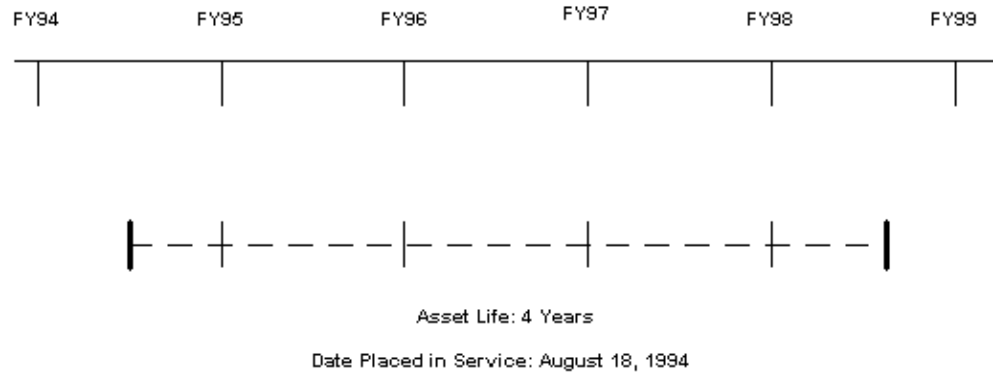
You can accommodate new depreciation methods using rate tables instead of formulas. Add the appropriate rates to create a new method at any time.

Oracle Assets uses asset recoverable cost or net book value, salvage value, date placed in service, prorate convention, depreciation method, and life to calculate depreciation for life-based methods. Oracle Assets, using rates from a table or calculated rates, depreciates assets with life-based depreciation methods to be fully reserved at the end of a fixed lifetime.



Determining the Depreciation Rate

The rate tables contain annual rates for each fiscal year of asset life. The annual rate varies according to your reporting authority's depreciation regulations.



For example, some reporting authorities require that you prorate depreciation according to the number of months you hold an asset in its first fiscal year of life. In this case, your prorate calendar has 12 prorate periods and your rate table has 12 rates (one for each month of the year) per year of life. Other governments require that you prorate depreciation according to the number of days that you hold an asset in its first fiscal year of life. This means that there is a different depreciation rate for each day of the year. Thus, the number of rates in your rate table is a factor of 365. For example, the rate table would have 1825 rates for an asset with a 4 year life (365 x 5). This means that your prorate calendar must contain 365 prorate periods and correspondingly, your rate table must have 365 rates (one for each day of the year) for each year of life.

To determine the rates, calculate an annual depreciation rate for each fiscal year of an asset's life, for each period in your prorate calendar. This rate is the annual rate for the year for an asset where the prorate date falls into this prorate period. You do not need to calculate the depreciation rate for each depreciation period in each year of the asset life. You only enter annual depreciation rates in the Annual Rate field of the Rates window. The depreciation program uses this annual depreciation rate to determine the fraction of an asset cost or net book value to allocate to this fiscal year. It then uses the depreciation calendar and divide depreciation flag to spread the annual depreciation over the depreciation periods of the fiscal year.

Annual Depreciation Amount = Depreciation Rate x Depreciation Calculation Basis x Fraction of Year Held

Oracle Assets standard rate tables contain 12 rates per year of life. If your government requires daily rates, set up the appropriate rates using the Depreciation Methods window.

Depreciation in the first year of life

An asset prorate convention and depreciation method control when Oracle Assets starts to depreciate new assets. For assets using the straight-line method, depreciation starts in the first accounting period that the prorate date falls into. For assets using other life-based depreciation methods, depreciation starts in the first accounting period that either the date placed in service or the prorate date falls into, depending on whether

Depreciate When Placed In Service is checked for the prorate convention. In both cases, Oracle Assets allocates the first year's depreciation to the depreciation periods remaining in the fiscal year.

Example

Suppose your fiscal year ends in May, you have monthly (12 period) depreciation and prorate calendars, and you want to allocate depreciation evenly to each period in the year. You place a \$10,000 asset in service in the third period of your fiscal year (AUG-95) using the half-year prorate convention. Its life is 5 years and the depreciation method is 200% declining balance with a straight-line switch and a calculation basis rule of cost. Since the asset is using the half-year prorate convention, the prorate date is in December (the mid-point of your fiscal year) which corresponds to prorate period 7 in your prorate calendar shown in the following table:

Prorate Calendar

Period Number	Period Name	From Date	To Date
1	JUN-95	01-JUN-95	30-JUN-95
2	JUL-95	01-JUL-95	31-JUL-95
3	AUG-95	01-AUG-95	31-AUG-95
4	SEP-95	01-SEP-95	30-SEP-95
5	OCT-95	01-OCT-95	31-OCT-95
6	NOV-95	01-NOV-95	30-NOV-95
7	DEC-95	01-DEC-95	31-DEC-95
8	JAN-96	01-JAN-96	31-JAN-96
9	FEB-96	01-FEB-96	28-FEB-96
10	MAR-96	01-MAR-96	31-MAR-96
11	APR-96	01-APR-96	30-APR-96
12	MAY-96	01-MAY-96	31-MAY-96

For assets that have a prorate period of 7, the rates listed in the following table show a 20% annual depreciation rate for the first year of life. If, however, you had used a

prorate convention that resulted in a prorate period at the beginning of your fiscal year, Oracle Assets would have used the full rate for the year (40%).

Prorate Periods

Year	1	2	3	4	5	6	7	8	9	10	11	12
1	. 4000 0	. 3666 7	. 3333 3	. 3000 0	. 2666 7	. 2333 3	. 2000 0	. 1666 7	. 1333 3	. 1000 0	. 0666 7	. 0333 3
2	. 2400 0	. 2533 3	. 2666 7	. 2800 0	. 2933 3	. 3066 7	. 3200 0	. 3333 3	. 3466 7	. 3600 0	. 3733 3	. 3266 7
3	. 1440 0	. 1520 0	. 1600 0	. 1620 0	. 1760 0	. 1840 0	. 1920 0	. 2000 0	. 2080 0	. 2160 0	. 2240 0	. 2320 0
4	. 1020 0	. 1094 4	. 1107 7	. 1120 0	. 1131 4	. 1142 1	. 1152 0	. 1200 0	. 1248 0	. 1296 0	. 1344 0	. 1392 0
5	. 1020 0	. 1094 4	. 1107 7	. 1120 0	. 1131 5	. 1142 0	. 1152 0	. 1136 2	. 1123 2	. 1110 9	. 1099 6	. 1089 4
6	. 0000 0	. 0091 2	. 0184 6	. 0280 0	. 0377 1	. 0475 9	. 0576 0	. 0663 2	. 0748 8	. 0833 1	. 0916 4	. 0998 6
Total	1.000 00	1.000 00	1.000 00	1.000 00	1.000 00	1.000 00	1.000 00	1.000 00	1.000 00	1.000 00	1.000 00	1.000 00

For the asset in this example, Oracle Assets uses a rate of 20%, so the depreciation for fiscal 1996 is \$2,000 (20% of \$10,000).

You can specify whether to start taking depreciation in the period of the date placed in service or the prorate date using the Depreciate When Placed In Service flag for the prorate convention. If you elect to start depreciation in the period corresponding to the date placed in service, Oracle Assets starts to depreciate the asset in AUG-95, and the depreciation for each period is \$200 (\$2,000 divided by 10--the number of periods from August to May).

If you elect to start depreciation in the period corresponding to the prorate date, Oracle Assets does not start to depreciate the asset until DEC-95, and the depreciation for each

period from DEC-95 to MAY-96 is \$333.33 (\$2,000 divided by 6--the number of periods from December to May).

Depreciation In The Middle Years Of Life

For the rest of the asset life, you use annual depreciation rates that correspond to the asset's prorate period in the rate table. Thus, in the second fiscal year of the asset's life (fiscal 1996), Oracle Assets uses a 32% annual depreciation rate (prorate period 7, year 2.). This yields a depreciation amount of \$3,200. Oracle Assets divides this amount evenly across all the accounting periods in the year, so depreciation expense for each period is \$266.67.

Similarly, the rates for 1995, 1996, and 1997 are 19.20%, 11.52%, and 11.52% respectively. Oracle Assets calculates annual depreciation for these years as \$1,920, \$1,152, and \$1,152 and divides these amounts evenly across all the accounting periods in the appropriate fiscal years.

Depreciation In The Last Year Of Life

In the asset's final year of life (fiscal 1998), the rate is 5.76%, so the final year's depreciation is \$576. This amount is divided evenly across the number of periods remaining in the asset's life (in this case 6), to yield a depreciation amount of \$96 per period.

Related Topics

Defining Additional Depreciation Methods, page 11-65

Running Depreciation, page 7-2

Asset Accounting, page 8-4

Depreciation Reports, page 12-37

Depreciation Calculations for Double Declining Table Base Methods

Below describes how regular depreciation, depreciation after revaluation, and revaluation reserve amortization are calculated for the following table based methods: 200DB, 150DB, and other method.

- Regular Annual Depreciation = Depreciable Basis * Rate

In this case depreciable basis will be either cost or net book value based on the method definition.

For the 200DB method:

- Depreciable Basis = Cost

- Rate = Rate corresponding to the period in which the asset was added

For example, if the fiscal year is from January to December and an asset is added in March, the rate of depreciation to be used is the rate for period 3 in each year. So, for first year, the rate would be for Year 1, Period 3. For second year, the rate used would be for Year 2, Period 3 and so on.

For monthly depreciation, divide the yearly depreciation by the number of periods in the fiscal year for which the asset is held. So, continuing with the example above, in the first year, the asset is held for 10 months (March to December) and the monthly depreciation is calculated as: Monthly depreciation = Annual depreciation * 1/10

- Depreciation after Revaluation

Once the asset undergoes revaluation, the Rate Adjustment Factor (RAF) is recalculated. The formula for the RAF recalculation is:

$$\frac{[\text{New Cost} - (\text{Depreciation on New cost from DPIS till Period of Revaluation})]}{\text{New Cost}}$$

Where:

- New Cost = Cost after Revaluation
- Periodic Depreciation after Revaluation = $[\text{New Cost} / \text{RAF}] * \text{Depreciation Rate} * 1 / \text{Number of periods for which the asset is held in the year}$

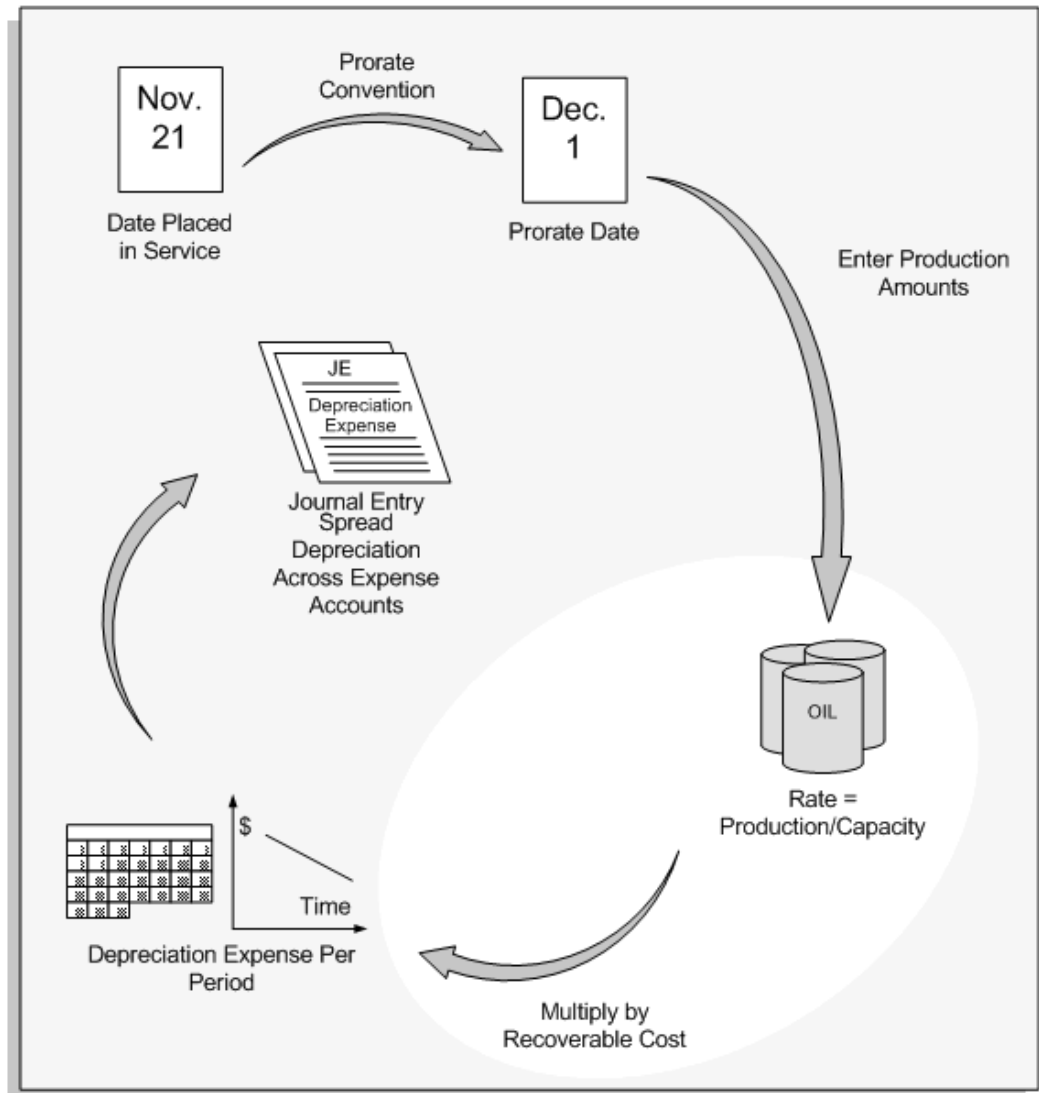
Note: The depreciation rate will be the same rate that was used originally. In other words, it continues to be the rate corresponding to the period in which the asset was added.

- Revaluation Reserve Amortization

The Periodic Revaluation Reserve Amortization amount is calculated as follows:

$$\text{Revaluation Reserve} * \text{Depreciation for the Period} / \text{Depreciable Basis}$$

Depreciation Calculation for the Units of Production Method



Units of production methods depreciate the asset cost based on actual use or production each period.

Units of production depreciation differs from other methods because it bases depreciation only on how much you use the asset. While methods such as straight-line divide depreciation over the asset life regardless of use, units of production disregards the passage of time.

Units of production depreciation is used for assets for which it is better to measure the life in terms of the quantity of the resource you expect to extract from them, such as mines or wells. For example, the production capacity of an oil well is the number of barrels of oil you expect to extract from it. For machinery or equipment, you measure

the production capacity in terms of the expected total hours of use.

You can enter the production capacity as the expected total production or expected total use. First, you enter the units of production depreciation method, production capacity, and unit of measure. You then enter the production each period to depreciate the asset according to actual use that period.

Basic Depreciation Calculation

For a units of production depreciation method, Oracle Assets uses asset cost, cost ceiling, salvage value, capacity, and production entered for the period to calculate depreciation. It depreciates assets according to the actual production you enter. Oracle Assets calculates the period depreciation rate by dividing the production for the period by the capacity. The depreciation for the period is the depreciation rate multiplied by the recoverable cost.

Depreciation Expense = (Production for the Period / Capacity) X Recoverable Cost

Oracle Assets then allocates the period depreciation to the depreciation expense accounts to which you have assigned the asset. Notice that for units of production depreciation there is no annual depreciation amount.

Depreciation Based on Actual Production

The units of production method does not use depreciation expense ceilings. Also, since depreciation for these assets is calculated on actual production, if you resume depreciation for an asset, reinstate the asset, or perform a prior period transaction, there is no missed depreciation.

Related Topics

Assets Depreciating Under Units of Production, page 7-36

Units of Production Interface, page 7-39

Entering Production Amounts, page 7-42

Depreciation Reports, page 12-37

Assets Depreciating Under Units of Production

You can use the units of production method to allocate the cost of an asset by the quantity of resource extracted or used each period. You can automatically or manually enter production amounts for the asset, and project future production amounts if necessary. There are some restrictions when using the units of production depreciation method. For example, since Oracle Assets only stores production amounts for an asset in the corporate book, there are some restrictions on changing depreciation information in corporate or tax books.

Production Interface

You can load production automatically each period using the production interface. You also can enter or update production manually in the Periodic Production window.

Production Amount

The start date and end date you enter to which production amounts apply must fall within a single depreciation period in Oracle Assets.

You cannot enter production for dates before the asset's prorate date in the corporate book or for a period for which you have already run depreciation.

You cannot enter production for periods prior to the current open period in your corporate book.

You also cannot enter production for date ranges which overlap. For example, if you enter production for 01-JUN-1995 through 15-JUN-1995, you cannot enter production for 15-JUN-1995 through 30-JUN-1995. You can enter production for 16-JUN-1995 through 30-JUN-1995.

Projected Production Information

You can enter production for dates in the future to calculate depreciation projections for future periods. You can update the projected amounts when you know the actual production for the period and want to actually depreciate the asset.

Retirements

If you have entered production information for future periods to project depreciation expense, you may have to remove this projected production information before you retire a units of production asset. Oracle Assets uses all of the production amounts you entered for dates before the retirement prorate date to calculate depreciation expense. If your retirement prorate date is after the retirement date, you may have to remove projected production to avoid using it to calculate actual depreciation expense.

When you partially retire a units of production asset, you must manually adjust the capacity in the Books window. Adjust the capacity to reflect the decrease only for production not already taken, since you already entered the actual production amounts.

Prior Period Transactions

If you enter a retroactive addition or reinstatement, you must enter the missed production information so Oracle Assets can calculate depreciation. If you enter a retroactive retirement, Oracle Assets reverses the depreciation taken since the date of the retirement.

Category Defaults

You can specify a production capacity and unit of measure that you usually use for assets in a category. When you enter an asset in this category, Oracle Assets defaults the capacity and unit of measure. You can override the default values for an individual asset if necessary.

Restrictions

You cannot enter production for a construction-in-process (CIP) asset before you capitalize it. Similarly, you cannot enter production for an asset before its prorate date. If you use a prorate convention such as actual months, you can enter production for the period you added the asset.

You cannot enter or upload units of production assets with accumulated depreciation. Instead, add the asset with zero accumulated depreciation, and then provide the life-to-date production amount for the current period in the periodic production table using the Periodic Production window. Oracle Assets uses the production amount you enter to calculate the catchup depreciation.

Changing the Depreciation Method

You can change the method from calculated, table, or flat-rate to production only in the period you add the asset.

Since Oracle Assets only stores production amounts for an asset in the corporate book, there are some restrictions on changing depreciation information in corporate or tax books.

An asset can have a production method in the tax book only if it has a production method in the corporate book. You can change the depreciation method from production to calculated, table, or flat-rate type in the corporate book only if the asset does not use a production method in any associated tax book. An asset can have any kind of method in the tax book and a production method in the corporate book.

Note: Depreciation will fail with an `adjusted_capacity` error when a period's production is entered that would result in `ltd_production` becoming greater than the asset's production capacity.

Changing the Capacity

The capacity must be the same in all books in which the asset uses a production method. You can change the capacity for the asset in the corporate book only. Use Mass Copy to copy the capacity adjustment to each tax book.

Mass Copy

Use Mass Copy to copy adjustments to your tax books. If you use a units of production method in a tax book, you must Mass Copy from the associated corporate book each period to ensure that the capacity is up-to-date.

Mass Copy always copies capacity adjustments for your units of production assets, regardless of the Mass Copy rules you specified for the book. If you do not allow amortized adjustments in your tax book, Mass Copy copies an amortized capacity adjustment as an expensed adjustment.

Related Topics

Depreciation Calculation for the Units of Production Method, page 7-35

Using the Production Interface, page 7-39

Production History Report, page 12-47

About Prorate and Retirement Conventions, page 11-181

Specifying Dates for Prorate Conventions, page 11-180

Entering Production Amounts, page 7-42

Defining Depreciation Books, page 11-59

Using the Production Interface

You can enter production information manually, or you can maintain your production information in another system and upload the information using the production interface. Prepare and analyze your production information on any feeder system and then automatically transfer your production information into Oracle Assets. Oracle Assets uses that information to calculate depreciation for your units of production assets.

To import production information to Oracle Assets:

1. Use an import program or utility to export data from your feeder system and populate the FA_PRODUCTION_INTERFACE table.
2. Run the Upload Production program to move your production information into Oracle Assets.
3. Run the Production History report to review the status of all imported items.
4. Use the Periodic Production window to review or change your production information.

Related Topics

Assigning Values to Required Columns in the FA_PRODUCTION_INTERFACE Table, page 7-40

Customize the Production Interface SQL*Loader Script, page 7-40

Uploading Production into Oracle Assets, page 7-42

Entering Production Amounts, page 7-42

Assigning Values to Required Columns in the FA_PRODUCTION_INTERFACE Table

FA_PRODUCTION_INTERFACE, the production interface table, is organized into columns in which Oracle Assets stores production information. Enter values for the following required columns:

ASSET_NUMBER: Alphanumeric column. The asset number of the units of production asset for which you want to enter production.

PRODUCTION: Numeric column. The production amount for the asset between Start_Date and End_Date.

START_DATE: Date column. The first date to which this production amount applies.

END_DATE: Date column. The last date to which this production applies

Related Topics

Customize the Production Interface SQL*Loader Script, page 7-40

Uploading Production into Oracle Assets, page 7-42

Entering Production Amounts, page 7-42

Customize the Production Interface SQL*Loader Script

Listed below are a sample SQL*Loader script (filename: *production_information.ctl*) and production information data file (filename: *production_information.dat*) that Oracle Assets uses for units of production depreciation. You can easily modify this script to load your production information into the production interface.

Sample SQL*Loader script

```
LOAD DATA
  INFILE production_information.dat
  INTO TABLE FA_PRODUCTION_INTERFACE
  FIELDS TERMINATED BY WHITESPACE

  (ASSET_NUMBER,
   PRODUCTION,
   START_DATE DATE "DD-MON-YYYY",
   END_DATE DATE "DD-MON-YYYY")
```

Sample Production Information Data file

321456	10000	01-JUL-1995	31-JUL-1995
322345	1100	01-AUG-1995	05-AUG-1995
322534	1200	16-AUG-1995	26-AUG-1995
323242	1300	24-AUG-1995	31-AUG-1995
334261	1400	01-SEP-1995	30-SEP-1995
433251	1500	01-OCT-1995	13-NOV-1995

Production Information

For each asset and date range for which you want to enter a production amount, you must specify the following information in the SQL*Loader script:

- Asset Number
- Production Amount
- Start Date
- End Date

Important: You must enter the start and end dates in your data file in the same format which you specify in the SQL*Loader script.

Remember that you must enter the asset number exactly as it appears in Oracle Assets. For example, do not to enter the asset number 'uopasset1' in the script file when your asset number is actually 'UOPASSET1'.

Running SQL*Loader

To execute the SQL*Loader script and load your production data into the production interface, type the following at the system prompt:

```
$ sqlload <account_name/password>  
control = production_information.ctl
```

Related Topics

Assigning Values to Required Columns in the FA_PRODUCTION_INTERFACE Table,

page 7-40

Uploading Production into Oracle Assets, page 7-42

Entering Production Amounts, page 7-42

Uploading Production into Oracle Assets

Prerequisites

- Load production information into the production interface table FA_PRODUCTION_INTERFACE.
- Load production information into the production interface table FA_PRODUCTION_INTERFACE. See: Using the Production Interface, page 7-39.

To upload production to Oracle Assets:

1. Choose Production:Upload from the Navigator window.
2. Enter the corporate depreciation Book for which you want to upload production information in the Parameters window.

If you have not yet run depreciation for a period, you can update or reload production amounts for the same date ranges. Oracle Assets overwrites the production amounts with the new production if you reload.
3. Choose Submit to upload the production.
4. Review and update uploaded production amounts in the Enter Production window. See: Entering Production Amounts., page 7-42

Related Topics

Assigning Values to Required Columns in the FA_PRODUCTION_INTERFACE Table, page 7-40

Customize the Production Interface SQL*Loader Script, page 7-40

Entering Production Amounts, page 7-42

Submitting a Request, *Oracle Applications User's Guide*

Entering Production Amounts

You can enter or update production amounts for assets depreciating under units of production. You can enter production information online, or you can load it automatically from a feeder system using the Upload Periodic Production program. Enter production more than once a period if necessary.

To enter production amounts:

1. Open the Periodic Production window.
2. Find assets within a corporate Book for which you want to enter production information.
3. Enter the from and to date and the total Production for an asset.
Optionally enter production for multiple non-overlapping date ranges within a single period.
4. Save your work.

To update production amounts

- If you have not yet run depreciation for a period, you can update production amounts if necessary.

Related Topics

Using the Production Interface, page 7-39

Uploading Production into Oracle Assets, page 7-42

Depreciation Calculation for the Units of Production Method, page 7-35

Assets Depreciating Under Units of Production, page 7-36

Production History Report, page 12-47

Depreciation Reports, page 12-37

Projecting Depreciation Expense

Depreciation projections are estimates of actual depreciation expense. You can project depreciation expense for any depreciation book.

You can run depreciation projection only for the current depreciation parameters set up in your system. If you need to project depreciation for scenarios other than your current setup, you can run what-if depreciation using parameters that are not yet set up in your system. See: Forecasting Depreciation, page 7-45.

Note: You cannot run depreciation projections for group or member assets, or any asset using the unit of production depreciation method in budget books.

Prerequisites

- Define fiscal years, depreciation and prorate calendars, and prorate conventions for the periods for which you want to run the projection. See: Creating Fiscal Years, page 11-53, Specifying Dates for Calendar Periods, page 11-53, and Specifying Dates for Prorate Conventions, page 11-180.
- If you want to project depreciation for assets depreciating under the units of production method, enter production amounts for the periods for which you want to run the projection. See: Entering Production Amounts, page 7-42.

To project depreciation expense:

1. Navigate to the Depreciation Projections window.
2. Enter the Projection Calendar to specify how you want to summarize the projection.
You can summarize the results by year, quarter, month, or any other interval. For example, you can choose a monthly or quarterly calendar.
3. Enter the Number of Periods for which you want to project depreciation. You can project depreciation expense for the current open period or any number of future periods, on up to four depreciation books at once.

Note: You cannot run depreciation projections for prior periods.

4. Enter the Starting Period for your projection.
5. Check Cost Center Detail to print a separate depreciation projection amount for each cost center. Otherwise, Oracle Assets prints a consolidated projection report for each expense account without cost center detail.
6. Check Asset Detail to print a separate depreciation amount for each asset. Otherwise, Oracle Assets prints a consolidated projection report without asset detail.
7. Enter the Book(s) that you want to include in your projection. You can enter a maximum of four books, and all of them must use the same Account structure. The fiscal year name for the Calendar and each Book must be the same.
8. Save your work.
Oracle Assets submits a concurrent process to calculate the projection, and automatically runs the Depreciation Projection Report.

Related Topics

Depreciation Projections (Depreciation Calculation), page 7-23

Forecasting Depreciation

You can use what-if depreciation analysis to forecast depreciation for groups of assets in different scenarios without making changes to your Oracle Assets data. You can run what-if depreciation analysis on assets defined in your Oracle Assets or on hypothetical assets that are not defined in Oracle Assets.

Important: You may use What-if Analysis to project depreciation for a group asset. However, you may not create a hypothetical group asset. Note that Prorate Convention has no relevance to group or member assets.

What-if depreciation analysis differs from depreciation projections in that what-if depreciation analysis allows you to forecast depreciation for many different scenarios without changing your Oracle Assets data. Depreciation projection allows projection only for the parameters set up in Oracle Assets. See: Projecting Depreciation Expense, page 7-43.

To perform what-if depreciation analysis in Oracle Assets, you enter different combinations of parameters for a set of assets in the What-If Depreciation Analysis window. When you run what-if analysis based on the parameters you entered, Oracle Assets automatically launches a report, from which you can review the results of the analysis. You can run what-if analysis for as many scenarios as you like. Each time you run what-if analysis, Oracle Assets launches a separate report.

If you are satisfied with the results of your analysis, you can enter the new parameters in the Mass Changes window to update your assets according to the parameters you specified in the what-if analysis.

You may want to run what-if depreciation analysis for several different scenarios for comparison purposes. You can run what-if depreciation analysis for any number of scenarios. The results of an analysis will not overwrite the results of previous analyses.

Note: What-if Depreciation cannot be run for assets with the Units of Production method.

To forecast depreciation using what-if depreciation analysis:

1. Navigate to the What-If Depreciation Analysis window in Oracle Assets.
2. The value in the Currency field defaults to the book's currency. If you are using MRC, the Currency field defaults to the primary currency. If you want to run What-if Analysis for the reporting currency, change the value in the Currency field to the reporting currency.

3. Enter the starting period for which you want to run What-if Analysis.
4. Enter the number of periods for which you want to run What-if Analysis.

Note: You cannot run What-if Analysis for hypothetical assets in the reporting currency.

5. Enter the book containing the assets for which you want to run what-if analysis.
6. In the Assets to Analyze tabbed region, enter the parameters you want to use to identify the set of assets for which you want to run what-if depreciation analysis.

OR

In the Hypothetical Assets tabbed region, enter the parameters to identify the hypothetical asset for which you want to run what-if depreciation analysis.

See: Parameters, page 7-47.

7. Enter the Depreciation Scenario parameters to identify the depreciation rules to be used in the analysis.

See: Depreciation Scenario Parameters, page 7-49.

8. Choose Run to run what-if depreciation analysis.
9. Review the results of the What-If Depreciation Report or the Hypothetical What-If Report by navigating to the View My Requests window.
10. Update your assets according to the specified parameters in the Mass Changes window.

OR

Repeat this procedure using different parameters.

To forecast depreciation using the Request Center:

1. From the Request Center, navigate to the Report Submission and Publishing window.
2. Choose Standard (Variable Format).
3. In the Report field, choose What-If Depreciation Analysis from the list of values and choose the Submission button.
4. Enter the book containing the assets for which you want to run what-if analysis.
5. Enter the begin period and the number of periods.

6. Enter the Assets to Analyze parameters to identify the set of assets for which you want to run what-if depreciation analysis.
See: Assets to Analyze Parameters, page 7-47.
7. Enter the Depreciation Scenario parameters to identify the depreciation rules to be used in the analysis.
See: Depreciation Scenario Parameters, page 7-49.
8. Submit the What-If Depreciation Analysis report from the Request Center.
9. Review the results of the What-If Depreciation Analysis Report.
10. Update your assets according to the specified parameters in the Mass Changes window
OR
Repeat this procedure using different parameters.

Parameters

You run what-if depreciation analysis based on parameters you specify in the What-If Depreciation Analysis window in Oracle Assets. You enter these parameters for purposes of analysis only. The parameters you enter in these windows do not affect depreciation of your Oracle Assets data.

Assets to Analyze Parameters

Use the Assets to Analyze tabbed region when you want to perform what-if depreciation analysis on assets that exist in your Oracle Assets system. You use this group of parameters to tell Oracle Assets on which assets to perform what-if analysis. If you leave the optional fields blank, Oracle Assets defaults to performing analysis on all possible assets. The following table provides explanations of the parameters:

Parameter	Usage	Explanation
Asset Number	Optional	You can enter a beginning range, and ending range, or both. If both fields are blank, Oracle Assets performs analysis on all assets in the specified book. If only the beginning asset number is specified, Oracle Assets performs analysis on all assets including and following the beginning asset number. Similarly, if only the ending asset number is specified, Oracle Assets performs analysis on all assets up to and including the ending asset number.
Dates in Service	Optional	You can enter a beginning range, and ending range, or both. Similar to the Asset Number field, if you leave both fields blank, Oracle Assets will perform analysis on all assets in the specified book, or on all assets preceding or following the beginning or ending date.
Description	Optional	If you only want assets of a particular description included in your analysis, enter the description.
Category	Optional	If you only want assets of a particular category included in your analysis, enter the category.
Analyze Fully Reserved Assets	Optional	Check the Analyze Fully Reserved Assets check box to include fully reserved assets in your analysis.

Hypothetical Assets Parameters

Use the Hypothetical Assets tabbed region when you want to perform what-if depreciation analysis on assets that have not been defined in your Oracle Assets system. The following table provides explanations of the parameters:

Parameter	Usage	Explanation
Category	Required	Enter the category of the hypothetical asset.
Date in Service	Required	Enter a hypothetical date placed in service.
Cost	Required	Enter a hypothetical asset cost.
Accumulated Depreciation	Optional	Enter hypothetical accumulated depreciation.

Depreciation Scenario Parameters

Use this group of parameters to indicate the depreciation rules you want applied in the analysis. If you leave any of the fields blank, Oracle Assets applies the rules already set up in Oracle Assets. You can enter any combination of parameters. No specific parameters are required, but you must enter at least one parameter. The following table provides explanations of the parameters:

Parameter	Explanation
Method	Enter the depreciation method, for example, flat-rate. This field is not required, however, if you do enter a depreciation method in this field, it affects other fields you can enter, depending on the value you entered in the Method field. If you enter a life-based method, the Life field appears where you can enter the life of the asset. If you enter a rate-based method, the Rate field appears where you can enter the rate.

Parameter	Explanation
Life	Enter the life of the asset in years and months. If you entered a value in the Method field, it must be a life-based method for the Life field to be valid.
Rate	Enter the depreciation rate. If you entered a value in the Method field, it must be a rate-based method for the Rate field to be valid.
Prorate Convention	Enter the prorate convention you want applied to the assets in the what-if analysis.
Salvage Value %	Enter the percentage of the cost of your assets that should be equivalent to the salvage value, based on the following formula: Salvage Value=Cost x Default Percentage
Amortize Adjustments	Check the Amortize Adjustments check box if you want your adjustments to be amortized in your analysis. If you do not check the check box, adjustments will be expensed on the analysis.
Bonus Rule	If you will be using bonus rules, add the bonus rule used to depreciate the asset.

Process

After you have entered the parameters you want used in your analysis, select the Run button to launch the What-if Depreciation Report or the Hypothetical What-If Report.

For every asset you specified, Oracle Assets will compute depreciation data for the number of periods you specified.

Related Topics

What-If Depreciation Report, page 12-39

Hypothetical What-If Report, page 12-38

Request Center (*Oracle Applications Desktop Integrator User Guide*)

Data Archive and Purge

Archive and purge transaction and depreciation data for the book and fiscal year you specify to release disk space for current data.

If you do not need to run reports for previous fiscal years, you can copy the data onto tape or any storage device, and then delete it from your system. If you later need these records online, you can reload them into Oracle Assets.

What the Purge Program Removes

The purge program removes the depreciation expense and adjustment transaction records for the book and year you specify. However, it does **not** remove the asset identification, financial, and assignment information for your assets, including assets you retired or that became fully reserved during that fiscal year.

Maintain Audit Trail of Purge Transactions

Oracle Assets maintains an audit trail of which fiscal years you have archived, purged, and restored, and how many records were processed. If your system fails during a purge, you can safely resubmit it. Oracle Assets only processes those records which it has not yet processed.

Purge Fiscal Years in Chronological Order

You must purge fiscal years in chronological order. Before you purge a fiscal year, you must archive and purge all earlier fiscal years. You cannot purge periods in the current fiscal year. If your current period is the first period of a new fiscal year, you cannot purge the previous period. You can only restore the most recently purged fiscal year, so you must restore fiscal years in reverse chronological order. You cannot archive and purge the period prior to the current period.

Purge Security

You must allow purge for the depreciation book you want to purge in the Book Controls window. To prevent accidental purge, leave Allow Purge unchecked for your books, and check it only just before you perform a purge.

You submit archive, purge, and restore in the Archive and Purge window. Oracle Assets provides this window only under the standard Fixed Assets Administrator responsibility. You should limit access to this responsibility to only users who require it.

Note: A Corporate book will only appear in the List of Values of Purge window if related Tax Books are also enabled for purge. You should purge Corporate Books and related Tax Books at the same time, as

distributions are shared.

Related Topics

Archiving and Purging Transaction and Depreciation Data, page 7-55

Defining Depreciation Books, page 11-59

Resizing the Archive Tables, page 7-52

Archive, Purge, and Restore Process, page 7-53

Resizing the Archive Tables

If you are archiving a large number of records for a fiscal year, you can update the FA: Archive Table Sizing Factor to specify the size of the temporary tables created by an archive. Specifically, if the number of rows Oracle Assets will archive multiplied by the average rowsize of that table for all three tables is very different from 100,000 bytes, you may want to adjust the FA: Archive Table Sizing Factor.

Contact your Database Administrator to find out if you need to update this factor. You can tell your Database Administrator that the Sizing Factor specifies how many kilobytes of storage to reserve for the initial extent. The default value is 100.

You can determine approximately how many rows Oracle Assets will archive for a fiscal year using the following SQL script. You can expect to have about six FA_ADJUSTMENTS rows per transaction performed that year, and one FA_DEPRN_DETAIL row and one FA_DEPRN_SUMMARY row for each asset for each period in each book.

To find out about how many FA_ADJUSTMENTS rows Oracle Assets will archive:

```
select count(ADJ.ASSET_ID)
      from FA_ADJUSTMENTS ADJ,
           FA_DEPRN_PERIODS DP,
           FA_FISCAL_YEAR FY
where
      FY.FISCAL_YEAR = Fiscal Year To Archive and DP.
CALENDAR_PERIOD_OPEN_DATE >= FY.START_DATE and
      DP.CALENDAR_PERIOD_CLOSE_DATE <= FY.END_DATE and
      ADJ.PERIOD_COUNTER_CREATED = DP.PERIOD_COUNTER;
```

To find out about how many FA_DEPRN_DETAIL rows Oracle Assets will archive:

```
select count(DD.ASSET_ID)
      from FA_DEPRN_DETAIL DD,
           FA_DEPRN_PERIODS DP,
           FA_FISCAL_YEAR FY
where
      FY.FISCAL_YEAR = Fiscal Year To Archive and
      DP.CALENDAR_PERIOD_OPEN_DATE >= FY.START_DATE and
      DP.CALENDAR_PERIOD_CLOSE_DATE <= FY.END_DATE and
      DD.PERIOD_COUNTER = DP.PERIOD_COUNTER;
```

To find out about how many FA_DEPRN_SUMMARY rows Oracle Assets will archive:

```

select count(DS.ASSET_ID)
  from FA_DEPRN_SUMMARY DS,
       FA_DEPRN_PERIODS DP,
       FA_FISCAL_YEAR FY
 where
       FY.FISCAL_YEAR = Fiscal Year To Archive and
       DP.CALENDAR_PERIOD_OPEN_DATE >= FY.START_DATE and
       DP.CALENDAR_PERIOD_CLOSE_DATE <= FY.END_DATE and
       DD.PERIOD_COUNTER = DP.PERIOD_COUNTER;

```

You can determine the average rowsize for each table using something like the following SQL script. You can expect each row to be about 50 bytes.

```

select avg(nvl(vsize(column_1),0)) +
       avg(nvl(vsize(column_2),0)) +
       .
       .
       .
       avg(nvl(vsize(column_N),0))
  from table_name;

```

Related Topics

Archiving and Purging Transaction and Depreciation Data, page 7-55

User Profiles in Oracle Assets, page B-1

Archive, Purge, and Restore Process, page 7-53

Archive, Purge, and Restore Process

There are several steps to archive, purge, and restore a fiscal year. Some of these steps you can do using the Mass Purge window. Others you should ask your Database Administrator to perform. To archive and purge a fiscal year, you need to:

1. Archive and purge all earlier fiscal years.
2. Update FA: Archive Table Sizing Factor if necessary (Database Administrator).
3. Run Archive (Fixed Assets Administrator).
4. Export temporary archive tables to storage device (Database Administrator).
5. Run Purge (Fixed Assets Administrator).
6. Drop temporary archive tables (Database Administrator).
7. Export current data from tables from which you purged (Database Administrator).
8. Drop tables from which you purged (Database Administrator).
9. Recreate tables from which you purged (Database Administrator).
10. Import current data into tables from which you purged (Database Administrator).
11. Verify tables and indexes (Database Administrator).

If you later need the data online, you can restore it. To restore a fiscal year you need to:

12. Restore all later fiscal years.
13. Import temporary archive tables from storage device (Database Administrator).
14. Run Restore (Fixed Assets Administrator).

Archiving Data

When you perform the archive, Oracle Assets assigns a reference number to it and copies the depreciation expense and adjustment transaction records to three temporary tables:

- FA_ARCHIVE_SUMMARY_<Archive_Number>
- FA_ARCHIVE_DETAIL_<Archive_Number>
- FA_ARCHIVE_ADJUSTMENT_<Archive_Number>

You can export the temporary archive tables onto tape or any storage device. If you need these records again, you can restore them. You must archive records before you can purge them, and Oracle Assets prevents you from running purge if these tables do not exist. You should not drop the tables until after you have exported the tables and run purge.

Purging Data

Oracle Assets prevents you from running purge if the temporary archive tables from the archive transaction do not exist. Since the archive number is part of the temporary table name, Oracle Assets purges only the records that were archived during the archive you specify.

Recreate Database Objects From Which You Purge

After you purge your database, contact your Database Administrator to export, drop, and recreate the tables from which you purged data. By recreating these objects, you can reduce the memory each object occupies in your tablespace and perhaps increase the performance of your system.

You can tell your Database Administrator that you purged from the FA_DEPRN_SUMMARY, FA_DEPRN_DETAIL, and FA_ADJUSTMENTS tables. After recreating the tables and importing the data, check that all the appropriate indexes were recreated. The *Oracle Assets Technical Reference Manual* provides information on which indexes each database table requires.

Restoring Data

To restore records that you have purged from Oracle Assets, you must first import the tables from your archive, then perform the restore. You do not need to archive the records before you purge them again.

Since the archive number is part of the temporary table name, Oracle Assets restores only the records that were archived during that archive you specify.

Controlling Your Archive

Use the Status field to determine the next possible action.

Status	Definition	Possible Action
New	Newly created archive definition	Archive
Archived	Archive completed successfully	Purge
Purged	Purge completed successfully	Restore
Restored	Restoration completed successfully	Purge

Related Topics

Archiving and Purging Transaction and Depreciation Data, page 7-55

Resizing the Archive Tables, page 7-52

Archiving and Purging Transaction and Depreciation Data

If you no longer need to run reports for previous fiscal years, you can archive and purge historical data to free hardware resources. You can only restore the most recently purged fiscal year, so you must restore fiscal years in reverse chronological order.

Prerequisites

- If necessary, update the FA:Archive Table Sizing Factor profile option. See: Profile Options and Profile Options Categories Overview, page B-1
- Allow Purge for the book in the Book Controls window before you perform the purge. See: Defining Depreciation Books., page 11-59

To archive and purge transaction and depreciation data:

1. Change Responsibilities to Fixed Assets Administrator.
2. Open the Archive and Purge window.
3. Enter the Book and Fiscal Year you want to archive. You must archive and purge in chronological order.
4. Choose Archive to submit a concurrent request that changes the status from New to Archived and creates temporary archive tables with the data to be purged.

Oracle Assets automatically assigns an Archive Number when you save your work.

Note: The temporary table name includes a five-digit archive number.

5. Export the archive tables to a storage device.
6. Return to the Archive and Purge window and use the Archive Number to find the archive you want to purge.
7. Choose Purge to submit a concurrent request that changes the status from Archived to Purged and removes the archived data from Oracle Assets tables. Now your database administrator can drop the temporary archive tables.

You can only purge definitions with a status of Archived or Restored.

To restore archived data to Oracle Assets:

1. Import the archive tables from your storage device.
2. Open the Archive and Purge window under the standard Fixed Assets Administrator responsibility.
3. Use the Archive Number to query the archive you want to restore.
4. Choose Restore to submit a concurrent process that changes the status from Purged to Restored and inserts the previously purged data into Oracle Assets tables.

You can purge the restored data again if necessary.

Related Topics

Data Archive and Purge, page 7-51

Unplanned Depreciation

Unplanned depreciation is a feature used primarily to comply with special depreciation accounting rules in Germany and the Netherlands. However, you also can use this feature to handle unusual accounting situations in which you need to adjust the net book value and accumulated depreciation amounts for an asset without affecting its cost.

For more specific information about using the unplanned depreciation feature to satisfy statutory requirements in Germany, see: Unplanned Depreciation Report, page 12-39.

You can enter unplanned depreciation amounts by asset and book for any current period during the useful life of an asset. You can enter unplanned depreciation for an asset in both the corporate and/or tax books. When you enter unplanned depreciation, Oracle Assets immediately updates the year-to-date and life-to-date depreciation, and the net book value of the asset. You can change the depreciation method after entering unplanned depreciation.

The unplanned depreciation expense you enter must not exceed the current net book value (cost - salvage value - accumulated depreciation) of the asset. If necessary, you can enter multiple unplanned depreciation amounts, both positive and negative, in a single period, provided that the net amount does not exceed the current net book value of the asset. Thus, it is possible to enter unplanned amounts that back out depreciation taken in prior periods, including previously entered unplanned depreciation amounts.

When you enter unplanned depreciation expense, you can choose in which period to begin amortization of the asset's remaining net book value. You can begin amortization in the current or a subsequent period, or you can choose not to amortize the remaining net book value. Note that if you do not amortize the unplanned depreciation or make an amortized adjustment in a subsequent period, the asset will be fully reserved before the end of the useful life. If you choose to amortize in a subsequent period, simply enter an unplanned depreciation amount of zero, and check the Amortize from Current Period check box. Oracle Assets will begin to amortize the remaining net book value as of that period.

Oracle Assets uses the unplanned depreciation amount, in addition to regular depreciation, to calculate depreciation for the period in which you entered the unplanned depreciation. When you create journal entries for the general ledger, Oracle Assets posts the expense due to unplanned depreciation to the account you selected when you entered the unplanned depreciation for the asset.

Enable Function Security

You can enable or disable unplanned depreciation entry by responsibility if you want to allow or restrict user access to this function. See: Function Security in Oracle Assets, page C-1.

View Unplanned Depreciation Amounts

You can use the Financial Information inquiry windows to view the effects of the unplanned depreciation amounts you enter. Oracle Assets includes unplanned depreciation amounts in the current and prior period accumulated depreciation, year-to-date depreciation, and net book value amounts of the asset. The View Depreciation History window includes unplanned depreciation amounts in the depreciation expense per period for each asset and book. Note that unplanned depreciation amounts appear as ADJUSTMENT transactions.

Note: Unplanned depreciation in the period the asset is added is not tracked as an adjustment transaction in the system. The effect is reflected in the net book value and accumulated depreciation amounts for the asset.

If you want to view unplanned depreciation amounts separately, use the Transaction Detail window. In this window, you can view the unplanned depreciation type and the unplanned depreciation expense account for each unplanned amount.

Restrictions

You cannot enter unplanned depreciation for assets shared between balancing segments. In other words, you cannot allocate unplanned depreciation amounts to specific distributions of an asset. Oracle Assets posts the unplanned depreciation expense only to the depreciation expense account you enter in the Unplanned Depreciation window.

You cannot enter unplanned depreciation for assets depreciating under table-based methods. If you need to enter unplanned depreciation for an asset depreciating under a table-based method, you must first change the depreciation method to a method that is not table-based.

You cannot enter unplanned depreciation to a unit of production asset that was placed in service in the current period. You can only add unplanned depreciation to a unit of production asset that has historical reserves.

You cannot make expensed adjustments to assets for which you have previously entered unplanned depreciation and have since amortized the amount. You may, however, perform expensed adjustments to the asset until you choose to amortize the unplanned depreciation amount. In addition, you cannot perform a mass change for assets that have unplanned depreciation.

You need to run Depreciation again to process an asset after entering Unplanned Depreciation (if the asset was processed by Depreciation and the period is not yet closed).

Examples

Example 1: Unplanned Depreciation

You place an asset in service with a life of five years, and a cost of 120,000 DEM. The depreciation method is straight-line. There is no salvage value. The calendar has four periods per year. The following table shows quarterly depreciation amounts for the first seven quarters:

Year of Life	Net Book Value (Start of period)	Depreciation Expense	Unplanned Depreciation	Accumulated Depreciation
Yr 1, Q1	120,000	6,000	0	6,000
Yr 1, Q2	114,000	6,000	0	12,000
Yr 1, Q3	108,000	6,000	0	18,000
Yr 1, Q4	102,000	6,000	0	24,000
Yr 2, Q1	96,000	6,000	0	30,000
Yr 2, Q2	90,000	6,000	0	36,000
Yr 2, Q3	84,000	6,000	0	42,000

In Year 2, Quarter 4 you enter an unplanned depreciation amount of 10,000 DEM. You choose NOT to amortize the unplanned amount this period. Oracle Assets continues depreciating the asset taking the regular depreciation expense in subsequent periods until you choose to amortize the unplanned depreciation or make an amortized adjustment.

If you do not amortize the unplanned depreciation or make an amortized adjustment in a subsequent period, the asset will be fully reserved before the end of the useful life. The following table shows quarterly depreciation amounts for the last twelve quarters:

Year of Life	Net Book Value (Start of period)	Depreciation Expense	Unplanned Depreciation	Accumulated Depreciation
Yr 2, Q4	78,000	6,000	10,000	58,000
Yr 3, Q1	62,000	6,000	0	64,000

Year of Life	Net Book Value (Start of period)	Depreciation Expense	Unplanned Depreciation	Accumulated Depreciation
Yr 3, Q2	56,000	6,000	0	70,000
Yr 3, Q3	50,000	6,000	0	76,000
Yr 3, Q4	44,000	6,000	0	82,000
Yr 4, Q1	38,000	6,000	0	88,000
Yr 4, Q2	32,000	6,000	0	94,000
Yr 4, Q3	26,000	6,000	0	100,000
Yr 4, Q4	20,000	6,000	0	106,000
Yr 5, Q1	14,000	6,000	0	112,000
Yr 5, Q2	8,000	6,000	0	118,000
Yr 5, Q3	2,000	6,000	0	120,000

Example 2: Unplanned Depreciation Amortized from Following Period

You place an asset in service with a life of five years, and a cost of 120,000 DEM. The depreciation method is straight-line. There is no salvage value. The calendar has four periods per year.

You enter an unplanned depreciation of 10,000 DEM in Year 2, Quarter 4, but you choose to amortize the unplanned depreciation expense over the remaining life of the asset, starting in the period following the unplanned depreciation. The following table shows quarterly depreciation amounts:

Year of Life	Net Book Value (Start of period)	Depreciation Expense	Unplanned Depreciation	Accumulated Depreciation
Yr 2, Q1	96,000	6,000	0	30,000
Yr 2, Q2	90,000	6,000	0	36,000
Yr 2, Q3	84,000	6,000	0	42,000

Year of Life	Net Book Value (Start of period)	Depreciation Expense	Unplanned Depreciation	Accumulated Depreciation
Yr 2, Q4	78,000	6,000	10,000	58,000
Yr 3, Q1	62,000	*5,167	0	63,167
Yr 3, Q2	56,833	5,167	0	68,334
Yr 3, Q3	51,666	5,167	0	73,501
Yr 3, Q4	46,499	5,166	0	78,667
Yr 4, Q1	41,333	5,167	0	83,834
Yr 4, Q2	36,166	5,167	0	89,001
Yr 4, Q3	30,999	5,167	0	94,168
Yr 4, Q4	25,832	5,166	0	99,334
Yr 5, Q1	20,666	5,167	0	104,501
Yr 5, Q2	15,499	5,167	0	109,668
Yr 5, Q3	10,332	5,167	0	114,835
Yr 5, Q4	5,165	5,165	0	120,000

*** Depreciation Expense Per Period = Net Book Value / Remaining Periods in Life**

For Year 3, Quarter 1 = 62,000 / 12 = 5,167 DEM

The asset is fully reserved at the end of the useful life.

Example 3: Upward and Downward Unplanned Depreciation

Using the asset from the previous example, you enter another unplanned depreciation of -5,000 DEM in Year 4, Quarter 4, which partially reverses the previous unplanned depreciation. Oracle Assets amortizes the unplanned depreciation amount from the current period since you chose to amortize the unplanned depreciation from Year 2, Quarter 4 (See Example 2) for the same asset. The following table shows quarterly depreciation amounts:

Year of Life	Net Book Value (Start of period)	Depreciation Expense	Unplanned Depreciation	Accumulated Depreciation
Yr 4, Q1	41,333	5,167	0	83,834
Yr 4, Q2	36,166	5,167	0	89,001
Yr 4, Q3	30,999	5,167	0	94,168
Yr 4, Q4	25,832	*6,166	<5,000>	95,334
Yr 5, Q1	24,666	6,167	0	101,501
Yr 5, Q2	18,499	6,167	0	107,668
Yr 5, Q3	12,332	6,167	0	113,835
Yr 5, Q4	6,165	6,165	0	120,000

*** Depreciation Expense Per Period = Net Book Value / Remaining Periods in Life**

For Year 5, Quarter 1 = 24,666 / 4 = 6,167 DEM

The asset is fully reserved at the end of the useful life.

Example 4: Amortized Adjustment after Unplanned Depreciation

You place an asset in service with a life of five years, and a cost of 120,000 DEM. The depreciation method is straight-line. There is no salvage value. The calendar has four periods per year.

You enter an unplanned depreciation in Year 1, Quarter 3, which you amortize from the following period, and then perform an amortized cost adjustment of 30,000 DEM in Year 2, Quarter 1. The new cost is 150,000 DEM and there is no catchup depreciation since this is an amortized adjustment. The following table shows quarterly depreciation amounts:

Year of Life	Net Book Value (Start of period)	Depreciation Expense	Unplanned Depreciation	Accumulated Depreciation
Yr 1, Q1	120,000	6,000	0	6,000
Yr 1, Q2	114,000	6,000	0	12,000

Year of Life	Net Book Value (Start of period)	Depreciation Expense	Unplanned Depreciation	Accumulated Depreciation
Yr 1, Q3	108,000	6,000	10,000	28,000
Yr 1, Q4	92,000	**5,412	0	33,412
Yr 2, Q1	*116,588	***7,287	0	40,699
Yr 2, Q2	109,301	7,287	0	47,986
Yr 2, Q3	102,014	7,287	0	55,273
Yr 2, Q4	94,727	7,286	0	62,560
Yr 3, Q4	65,580	7,286	0	91,708
Yr 4, Q4	36,433	7,286	0	120,856
Yr 5, Q4	7,286	7,286	0	150,000

* Cost adjustment of 30,000 DEM; new cost is 150,000 DEM

** Depreciation Expense Per Period = Net Book Value / Remaining Periods in Life

For Year 1, Quarter 4, the depreciation expense per period is $92,000 / 17 = 5,412$ DEM

*** Depreciation Expense = (New Cost - Accumulated Depreciation) / Remaining Periods in Life

For Year 2, Quarter 1, the new depreciation expense is $(150,000 - 33,412) / 16 = 7,287$ DEM

Oracle Assets includes the unplanned depreciation amount when it calculates the accumulated depreciation.

Note: If you choose to amortize unplanned depreciation in the current period, and then perform a cost adjustment on the same asset in the same book, Oracle Assets automatically amortizes the cost adjustment as well as the unplanned depreciation amount. You cannot expense the cost adjustment.

If you choose to expense an unplanned depreciation amount, and then perform an expensed cost adjustment, Oracle Assets will override the unplanned depreciation amount to expense the cost adjustment. You can re-enter the unplanned depreciation for the asset later if necessary.

Related Topics

Entering Unplanned Depreciation for an Asset, page 7-64

Unplanned Depreciation Report, page 12-39

Entering Unplanned Depreciation for an Asset

You can enter unplanned depreciation expense for an asset to comply with your country's accounting rules, or to handle an unusual accounting situation. When you enter unplanned depreciation, you can choose in which period to begin amortization of the asset's remaining net book value.

To enter unplanned depreciation for an asset:

1. Navigate to the Asset Workbench.
2. Find the asset for which you want to enter unplanned depreciation, and choose the Books button.
3. In the Books window, enter a Book. You can enter unplanned depreciation for an asset in a corporate or tax book.

Note: You cannot mass copy unplanned depreciation amounts from the corporate to the tax book. If you want to enter the same unplanned depreciation in the tax book, you must enter it manually.
4. Optionally enter a reason for the unplanned depreciation in the Comments field. You can use this field to find the transaction later if necessary.
5. Choose the Unplanned Depr button to open the Unplanned Depreciation window.
6. Choose the unplanned depreciation Type. See: Entering QuickCodes, page 11-50.
7. Enter the amount of unplanned depreciation expense as a positive or negative currency amount. Unless you are entering unplanned depreciation for a credit asset, the unplanned depreciation amount cannot exceed the net book value of the asset.
8. Enter the complete unplanned depreciation expense account.
9. Check the Amortize From Current Period check box to amortize the unplanned depreciation starting in the current period.

Alternatively, leave the check box unchecked if you want to amortize the remaining net book value in a subsequent period. Then, in the period you want

amortization to start, enter an unplanned depreciation amount of zero for the same asset and expense account, and check the Amortize From Current Period check box. Oracle Assets amortizes the net book value starting in the period you perform this change.

Note: The value of this check box overrides the value of the Amortize Adjustment check box in the Books window.

If you make **any amortized** adjustment, for example a cost or life adjustment, to the asset after entering an expensed or amortized unplanned depreciation, Oracle Assets begins amortizing the remaining net book value, which includes the unplanned depreciation amount, from the period you make the amortized adjustment.

10. Choose Done to save your work.

Related Topics

Unplanned Depreciation Report, page 12-39

Bonus Depreciation

The bonus rate is applied based on either the cost or on the nbv following the depreciation method calculation basis. That is, the bonus rate is based on the asset cost for straight-line, but on the nbv for flat rate methods using nbv as the calculation basis:

Bonus Expense=Depreciable Basis*Bonus Rate

You can also set up Oracle Assets to charge bonus reserve to an account that is different from the normal accumulated depreciation expense.

Bonus Rule Accounts

You can set up Oracle Assets to charge bonus depreciation expense to a different account from that of normal depreciation expense.

You can also set up Oracle Assets to charge bonus depreciation reserve to a different account from that of the normal accumulated depreciation account.

Bonus Rule Examples

The examples presented in the following tables illustrate how bonus depreciation works in various situations. and use the rate tables and depreciation methods provided:

Rate Tables

Bonus Rule 1: VEHICLES

From Year	To Year	Rate
1	1	20%
2	2	10%
3	3	5%

Bonus Rule 2: MACHINERY

From Year	To Year	Rate
1	3	40%
-	-	-
-	-	-

Bonus Rule 3: BUILDINGS

From Year	To Year	Rate
1	1	20%
2	2	15%
3	3	15%
4	8	-10%

Depreciation Methods

The examples presented in the following tables illustrate how bonus depreciation works in various situations, and use the rate tables and depreciation methods provided:

T_COST Method

Attributes for the following table are Type = TABLE, Basis = COST, Life = 8 year and 1 prorate period per year.

Year	Pd.	Rate
1	1	0.10
2	1	0.09
3	1	0.06
4	1	0.15
5	1	0.15
6	1	0.15
7	1	0.15
8	1	0.15
9	1	0.00

T_NBV Method

Attributes for the following table are Type = TABLE, Basis = NBV, Life = 3 year and 1 prorate period per year.

Year	Pd.	Rate
1	1	0.40
2	1	0.50
3	1	1.00
-	-	-
-	-	-

Year	Pd.	Rate
-	-	-
-	-	-
-	-	-
-	-	-

Example 1: Straight-Line Method

The following tables illustrate using bonus rules with a straight-line depreciation method:

Asset Number:	101
Cost:	4000 USD
Date in Service:	01-JAN-2000
Method:	STL
Life:	4 years
Bonus Rule:	VEHICLES

Quarter	Depreciation Expense	Accumulated Depreciation	Bonus Deprn Expense	Bonus Deprn Reserve	Total Accum Depreciation	NBV
Y1Q1	250	250	200	200	450	3550
Y1Q2	250	500	200	400	900	3100
Y1Q3	250	750	200	600	1350	2650
Y1Q4	250	1000	200	800	1800	2200

Quarter	Depreciation Expense	Accumulated Depreciation	Bonus Deprn Expense	Bonus Deprn Reserve	Total Accum Depreciation	NBV
Y2Q1	250	1250	100	900	2150	1850
Y2Q2	250	1500	100	1000	2500	1500
Y2Q3	250	1750	100	1100	2850	1150
Y2Q4	250	2000	100	1200	3200	800
Y3Q1	250	2250	50	1250	3500	500
Y3Q2	250	2500	50	1300	3800	200
Y3Q3	200	2700	0	1300	4000	0

Example 2: NBV-Based Table Method

The following tables illustrate calculations using a table-based depreciation method where the depreciable basis is the net book value of the asset:

Asset Number:	102
Cost:	100000 USD
Date in Service:	01-JAN-2000
Method:	T_NBV
Life:	3 years
Bonus Rule:	MACHINERY

Quarter	Depreciation Expense	Accumulated Depreciation	Bonus Deprn Expense	Bonus Deprn Reserve	Total Accum Depreciation	NBV
Y1Q1	10000	10000	10000	10000	20000	80000
Y1Q2	10000	20000	10000	20000	40000	60000
Y1Q3	10000	30000	10000	30000	60000	40000
Y1Q4	10000	40000	10000	40000	80000	20000
Y2Q1	2500	42500	2000	42000	84500	15500
Y2Q2	2500	45000	2000	44000	89000	11000
Y2Q3	2500	47500	2000	46000	93500	6500
Y2Q4	2500	50000	2000	48000	98000	2000
Y3Q1	500	50500	200	48200	98700	1300
Y3Q2	500	51000	200	48400	99400	600
Y3Q3	500	51500	100	48500	100000	0
Y3Q4	0	51500	0	48500	100000	0

Example 3: Table Method, Negative Bonus Rates

The following tables illustrate calculations using a table-based depreciation method with negative bonus rates:

Asset Number:	103
Cost:	100000 DEM
Date in Service:	01-JAN-2000
Method:	T_COST

Life:	8 years
Bonus Rule:	BUILDINGS

Quarter	Depreciation Expense	Accumulated Depreciation	Bonus Deprn Expense	Bonus Deprn Reserve	Total Accum Depreciation	NBV
Y1Q1	2500	2500	5000	5000	7500	92500
Y1Q2	2500	5000	5000	10000	15000	85000
Y1Q3	2500	7500	5000	15000	22500	77500
Y1Q4	2500	10000	5000	20000	30000	70000
Y2Q1	2250	12250	3750	23750	36000	64000
Y2Q2	2250	14500	3750	27500	42000	58000
Y2Q3	2250	16750	3750	31250	48000	52000
Y2Q4	2250	19000	3750	35000	54000	46000
Y3Q1	1500	20500	3750	38750	59250	40750
Y3Q2	1500	22000	3750	42500	64500	35500
Y3Q3	1500	23500	3750	46250	69750	30250
Y3Q4	1500	25000	3750	50000	75000	25000
Y4Q1	3750	28750	-2500	47500	76250	23750
Y4Q2	3750	32500	-2500	45000	77500	22500
Y4Q3	3750	36250	-2500	42500	78750	21250
Y4Q4	3750	40000	-2500	40000	80000	0000

Quarter	Depreciation Expense	Accumulated Depreciation	Bonus Deprn Expense	Bonus Deprn Reserve	Total Accum Depreciation	NBV
Y5Q1	3750	43750	-2500	37500	81250	18750
Y5Q2	3750	47500	-2500	35000	82500	17500
Y5Q3	3750	51250	-2500	32500	83750	16250
Y5Q4	3750	55000	-2500	30000	85000	15000
Y6Q1	3750	58750	-2500	27500	86250	13750
Y6Q2	3750	62500	-2500	25000	87500	12500
Y6Q3	3750	66250	-2500	22500	88750	11250
Y6Q4	3750	70000	-2500	20000	90000	10000
Y7Q1	3750	73750	-2500	17500	91250	8750
Y7Q2	3750	77500	-2500	15000	92500	7500
Y7Q3	3750	81250	-2500	12500	93750	6250
Y7Q4	3750	85000	-2500	10000	95000	5000
Y8Q1	3750	88750	-2500	7500	96250	3750
Y8Q2	3750	92500	-2500	5000	97500	2500
Y8Q3	3750	96250	-2500	2500	98750	1250
Y8Q4	3750	100000	-2500	0	100000	0

Related Topics

Depreciation Calculation for Flat-Rate Methods, page 7-25

Bonus Depreciation Rule Listing, page 12-33

Bonus Depreciation, page 7-65

Defaulting Asset Salvage Value as a Percentage of Cost

You can default the salvage value of your assets as a percentage of cost, according to percentages you define for each category and book. Oracle Assets uses the defaults whether you add assets manually, automatically, or using Mass Additions. You can override the default value using the Detail Additions process. You also can adjust the default salvage value after an asset has been added. The following transactions affect salvage value:

- Additions, page 7-73
- Adjustments, page 7-74
- Mass Copy, page 7-74

Transfers, retirements, and reclassifications do not affect asset salvage value.

You define a default salvage value percentage for a particular category, book, and range of dates placed in service in the Asset Categories window. See: *Entering Default Depreciation Rules for a Category*, page 11-191.

When you perform transactions that affect asset cost, Oracle Assets uses this default percentage to calculate the salvage value according to the following formula:

Salvage Value = Cost * **Default Percentage**

Additions

When you add an asset using Mass Additions or QuickAdditions, Oracle Assets calculates the default salvage value using the cost you enter and the default salvage value percentage. If you do not specify a default percentage, Oracle Assets uses a default salvage value of zero. To change the salvage value, make a salvage value adjustment in the Books window of the Asset Workbench. See: *Changing Financial and Depreciation Information*, page 5-7.

You can override the default salvage value when you add the asset during Detail Additions. Oracle Assets displays the calculated salvage value, and you can change it to a different amount if necessary.

For example, you define the AUTO.LUXURY category as follows:

- Book: US CORP
- Dates Placed in Service: 01-JAN-1990 until 31-DEC-1999
- Default Salvage Value Percentage = 5%

You then add a luxury automobile to the US CORP book:

- Category: AUTO.LUXURY

- Date Placed in Service: 16-DEC-1995
- Cost: 50,000 USD

The default salvage value is $50,000 * 5\% = 2,500$ USD.

Adjustments

If you adjust the cost of an asset or perform another transaction which affects asset cost, such as adding an invoice line, Oracle Assets recalculates the salvage value using the new cost.

For example, in 1997 you buy a new radio for the luxury automobile you added to the US CORP book. To record this cost, you add an invoice of 500 USD. The adjusted cost is 50,500 USD, and the new salvage value is $50,500 * 5\% = 2525$ USD.

Mass Copy

When you Mass Copy additions, cost adjustments, or salvage value adjustments to a tax book, there are three strategies by which you can affect asset salvage value in your tax book. You must choose one of these strategies when you enable Mass Copy for a book in the Book Controls window. You can choose one of the following options from the Salvage Value poplist: Copy, Do Not Copy, and Use Default Percent. See: Entering Accounting Rules for a Book, page 11-62.

In Example 1, 2, and 3, the following rules apply for the US TAX book:

- Category: AUTO.LUXURY
- Dates Placed in Service: 01-JAN-1990 until 31-DEC-1999
- Default Salvage Value Percentage = 10%

Example 1: Mass Copying an Addition

In Q1-95, you add a luxury automobile to the US CORP book. The cost is 100,000 USD, and the salvage value is 15,000 USD. You mass copy this transaction to the US TAX book in the same quarter. The following table provides examples of how mass copy works in various situations:

If You Use This Mass Copy Strategy...	The New Salvage Value in US TAX Is...
Copy	15,000 USD
Do Not Copy	0 USD

If You Use This Mass Copy Strategy...	The New Salvage Value in US TAX Is...
Use Default %	100,000 * 10% = 10,000 USD

Example 2: Mass Copying a Cost Adjustment

You place an asset in service in the US CORP and US TAX books as illustrated in the following table:

Field	US CORP	US TAX
Category	AUTO.LUXURY	AUTO.LUXURY
Date in Service	16-DEC-1995	16-DEC-1995
Cost	25,000 USD	25,000 USD
Salvage Value	2500 USD	1250 USD

You adjust the asset cost in the US CORP book to 20,000 USD, leaving the salvage value at 2500 USD. You then Mass Copy the cost adjustment to the US TAX book. The following table shows how mass copy works in these situations:

If You Use This Mass Copy Strategy...	The New Salvage Value in US TAX Is...
Copy	2500 USD
Do Not Copy	1250 USD
Use Default %	20,000 * 10% = 2000 USD

Note: Oracle Assets only mass copies the cost adjustment if the cost is the same in both books before the adjustment.

Example 3: Mass Copying a Salvage Value Adjustment

You place an asset in service in the US CORP and US TAX books as illustrated in the following table:

FIELD	US CORP	US TAX
Category	AUTO.LUXURY	AUTO.LUXURY
Date in Service	16-DEC-1995	16-DEC-1995
Cost	25,000 USD	25,000 USD
Salvage Value	1250 USD	1250 USD

You adjust the salvage value in the US CORP book to 1000 USD (cost remains 25,000 USD). You Mass Copy the salvage value adjustment to the US TAX book. The following table shows how mass copy works in these situations:

If You Use This Mass Copy Strategy...	The New Salvage Value in US TAX Is...
Copy	1000 USD
Do Not Copy	1250 USD
Use Default %	$25,000 * 10\% = 2500$ USD

Note: Oracle Assets only mass copies the adjustment if the salvage value is the same in both books before the adjustment.

Related Topics

Entering Accounting Rules for a Book, page 11-62

Entering Default Depreciation Rules for a Category, page 11-191

Depreciating Assets Beyond the Useful Life

You can depreciate an asset in the years following its useful life if the asset uses a straight-line or flat-rate depreciation method. You must specify a depreciation limit, defined as a flat amount or as a percentage. Oracle Assets depreciates the asset up to the salvage value during the normal useful life. Then Oracle Assets continues to depreciate it, up to the depreciation limit you choose, in periods after the useful life has ended.

You can set up a default limit for each asset category, book, and range of dates in service in the Asset Categories window. See: Entering Default Depreciation Rules for a

Category, page 11-191.

For assets using a straight-line depreciation method, you can use the Set Extended Life window to control the amount of depreciation expense taken for each period. If you do not specify an extended life in years, Oracle Assets continues to depreciate the asset at the same rate it depreciated during the last fiscal year of the asset's normal useful life.

Additions

When you add an asset to a book, category, and date placed in service range for which you set up a default depreciation limit as an **amount**, Oracle Assets calculates the recoverable cost using the following formula:

$$\text{Recoverable Cost} = \text{Cost} - \text{Default Depreciation Limit}$$

For example, an asset cost of 100,000 yen with a depreciation limit of 1 yen has a recoverable cost of $100,000 - 1 = 99,999$ yen.

When you add an asset for which you set up a default depreciation limit **percentage**, Oracle Assets calculates the recoverable cost using the following formula:

$$\text{Recoverable Cost} = \text{Cost} * \text{Default Depreciation Limit}$$

For example, an asset cost of 100,000 yen with a depreciation limit of 95% has a recoverable cost of $100,000 * 95\% = 95,000$ yen.

If you add the asset using Detail Additions, Oracle Assets shows the recoverable cost in the Books window. You can override this value if necessary. If you add the asset using QuickAdditions or Mass Additions, Oracle Assets automatically calculates the recoverable cost for the asset. You can adjust the recoverable cost at any time during the normal useful life of the asset. This does not affect the depreciation expense during the normal useful life, unless the recoverable cost is less than the cost less the salvage value.

Note: You cannot adjust the recoverable cost for assets that do not depreciate using the special depreciation limits. For these assets, the recoverable cost must equal (cost - salvage value).

Restrictions

You cannot perform the following transactions on an asset depreciating under a straight-line method that is beyond its normal useful life:

- Cost Adjustments
- Life Adjustments
- Salvage Value Adjustments
- Revaluations

- Prior Period Transfers
- Invoice Transfers
- Addition of a Mass Addition to an Existing Asset
- Date Placed In Service Change
- Prorate Convention Change
- Depreciation Method Change
- Invoice Adjustments
- Prior-Period Retirements

Depreciation

Depreciation Methods

If you define a depreciation limit, you must use a straight-line or flat-rate depreciation method for the asset.

Depreciation During Normal Useful Life

During the normal useful life of the asset, the amount of depreciation taken per fiscal year depends solely on the cost less the salvage value. For example, you place in service an asset with a cost of 100,000 yen and a salvage value of 1000 yen. The asset depreciates using a straight-line method and a nine year life. Regardless of the depreciation limit, the depreciation expense for this asset is $(100,000 - 1000) / 9 = 11,000$ yen per year for the first nine years.

Depreciation During Extended Life

In the years following the useful life, Oracle Assets continues to depreciate the asset until accumulated depreciation equals recoverable cost. Note that recoverable cost is calculated by (cost - depreciation limit amount) or (cost * depreciation percent limit). By default, the amount of depreciation taken per period is the minimum of the following:

- Depreciation expense per period in the last fiscal year of the useful life
- Recoverable cost less the life-to-date depreciation

For assets depreciating under a straight-line method, the corresponding formula is:

Depreciation per period =

min ((recoverable cost - life-to-date depreciation),

(cost - salvage value) / life in periods)

For assets using a straight-line depreciation method, you can control the depreciation expense taken per period in the extended life. To do this, specify the length of the extended life in years in the Set Extended Life window.

Depreciation per period = (1/ periods per year)*(Salvage Value/Extended Life in years)

Example 1

You place an asset in service as follows:

- Cost = 100,000 yen
- Salvage value = 10,000 yen
- Depreciation limit = 1 yen
- Useful life = 10 years
- Depreciation method = Straight Line

The example is illustrated by the following table:

Year of Life	Annual Depreciation (Yen)	Accumulated Depreciation (Yen)
1	9000	9000
2	9000	18,000
:	:	:
9	9000	81,000
10	9000	90,000 = (cost - salvage value)
11	9000 = less of (9000, 9999)	99,000
12	999 = less of (9000, 999)	99,999

Recoverable cost is (100,000 - 1) = 99,999 yen.

For the first ten years, Oracle Assets takes an annual depreciation expense of (100,000 - 10,000) / 10 = 9000 yen. If there are four periods per year and you are dividing depreciation evenly, Oracle Assets takes a depreciation expense of 2250 yen per period.

In the 11th year, depreciation expense is also 9000 yen for the year, or 2250 yen per

period.

In the 12th year, the depreciation expense is 999 yen. Thus Oracle Assets fully reserves the asset in the first period of this year. Note that in the final year, Oracle Assets does not divide the remaining recoverable cost evenly among the periods in the fiscal year. The depreciation expense per period remains the same in all but the last period of life, when it is equal to the amount necessary to fully reserve the asset.

Example 2

You place another asset in service as follows:

- Cost = 500,000 yen
- Salvage Value = 50,000 yen
- Depreciation percent limit = 95%
- Useful life = 5 years
- Depreciation method = Straight Line

The example is illustrated by the following table:

Year of Life	Annual Depreciation (Yen)	Accumulated Depreciation (Yen)
1	90,000	90,000
2	90,000	180,000
3	90,000	270,000
4	90,000	360,000
5	90,000	450,000 = (cost - salvage value)
6	25,000	475,000

Recoverable cost is $(500,000 * 95\%) = 475,000$ yen.

For the first five years, Oracle Assets takes an annual depreciation expense of $(500,000 - 50,000) / 5 = 90,000$ yen. If there are 12 periods per year and you divide depreciation evenly, Oracle Assets takes depreciation expense of 7500 yen per period.

In the sixth year, the depreciation expense is 25,000 yen for the year. Depreciation expense is 7500 yen per month for the first three months, and 2500 yen in the fourth

month.

Example 3

You place a third asset in service as follows:

- Cost = 4,000,000 won
- Useful life = 4 years
- Salvage value = 400,000 won
- Depreciation limit = 1,000

Based on this information, the depreciable basis (4,000,000 - 400,000) is 3,600,000. The recoverable cost (4,000,000 - 1,000) is 3,999,000. The annual depreciation amount (3,600,000/4) is 900,000.

The depreciation over the useful life of the asset is illustrated in the following table:

Year	Cost (Won)	Salvage Value	Deprn Basis	Annual Deprn.	NBV
1	4,000,000	400,000	3,600,000	900,000	3,100,000
2	4,000,000	400,000	3,600,000	900,000	2,200,000
3	4,000,000	400,000	3,600,000	900,000	1,300,000
4	4,000,000	400,000	3,600,000	900,000	400,000

When the asset has completed its useful life, you query the asset in the Set Extended Life window. You enter the number of years to depreciate the salvage value, for example, three years.

The depreciation over the extended life of the asset is illustrated in the following table:

Year	Cost (Won)	Salvage Value	Deprn Basis	Annual Deprn.	NBV
5	4,000,000	400,000	400,000	133,333	266,667
6	4,000,000	400,000	400,000	133,333	133,334
7	4,000,000	400,000	400,000	132,334	1,000

To set the extended life of an asset:

1. Navigate to the Set Extended Life window.
2. Query the asset for which you want to set the extended life by asset number or description.
3. Navigate to the Books field.
A list of values window appears containing the books in which you can set the extended life of the asset.
4. Select the applicable book.
5. Enter the number of years over which you want to depreciate the salvage value.
6. Save your work.

Accounting

This chapter covers the following topics:

- Oracle Subledger Accounting
- Asset Accounting
- Journal Entries for Depreciation
- Journal Entries for Additions and Capitalizations
- Journal Entries for Adjustments
- Recoverable Cost Adjustments
- Depreciation Method Adjustments
- Life Adjustments
- Rate Adjustments
- Capacity Adjustments
- Journal Entries for Transfers and Reclassifications
- Journal Entries for Retirements and Reinstatements
- Journal Entries for Revaluations
- Journal Entries for Tax Accumulated Depreciation Adjustments

Oracle Subledger Accounting

Oracle Assets is fully integrated with Oracle Subledger Accounting for generating accounting entries, transaction drilldown, and reporting.

Create Accounting

The Create Accounting - Assets concurrent program creates journal entries for transaction events in Oracle Assets. The journal entries can be transferred to and posted in General Ledger. If you choose not to transfer the journal entries to General Ledger at

this time, you can run the Transfer Journal Entries to GL - Assets concurrent program to do this at a later time.

Submit the process from the Create Accounting menu.

Note: If you are upgrading from Release 11i and you have asset books set up, then the upgrade program automatically sets the value of the FA: Use Workflow Account Generation profile option to Yes, meaning the account generation rules set up in Oracle Workflow will be used.

You should analyze your current customizations in the Oracle Workflow setup. If you need to use the rules in Oracle Workflow for generating code combinations for asset transactions, do one of the following:

- Re-implement the custom rules in Oracle Subledger Accounting.
- Use the Workflow rules as they are, using the default value upon upgrade.

Additional Information: Account Generation Category, page B-3

Process Parameters:

Book Type Code: Choose the corporate book or the tax book from the list of values.

Process Category: Choose the transaction event from the list of values for which you want to run Create Accounting. If this field is left blank, then Create Accounting is run for all transaction events in Oracle Assets.

End Date: The default value for this is the system date. You can change the date. All transactions with an accounting date that is the same or prior to this date will be processed by this program.

Accounting Mode: The default value is Final. You can change the value to Draft. If the accounting is done in Draft mode, the accounting can be re-run later again in Draft mode or in Final mode.

If the mode is Draft, you can neither transfer accounting entries to General Ledger nor post them in General Ledger.

Errors Only: The default value is No. Select Yes to limit the creation of accounting to events for which accounting has previously failed. If you select Yes, the process selects only those events that have a status of Error for processing. Select No to process all events. This field is required.

Report: The default value is summary. You can select Detail or No Report. The value determines whether there will be a report output and also whether the output will be in Summary or in Detail.

Transfer to General Ledger: The default value is Yes. You can select No if you do not want to transfer journal entries to General Ledger.

Post in General Ledger: This field is enabled only if the Transfer to General Ledger value is set to Yes. The default value for this field is No. If you set the value to Yes, the journal entries that are transferred to General Ledger will be posted in General Ledger.

General Ledger Batch Name: This field is enabled only if the Transfer to General Ledger value is set to Yes. You can optionally enter a batch name for the transfer. The batch name will be prefixed to the Journal Entry Batch name.

Include User Transaction Identifiers: The default value is No. You can set the value to Yes if you want the transaction identifiers to appear in the report output.

Event Model

Oracle Assets creates accounting events for every asset transaction that has accounting impact. The Create Accounting process creates subledger accounting entries for these accounting events.

For example, an asset transaction takes place when an asset is acquired. Simultaneously Oracle Assets creates an accounting event for this asset addition. When you run the Create Accounting process, accounting entries are generated and transferred to General Ledger for this event.

Note: You do not need to run depreciation to process accounting for additions.

Event Entities

Similar accounting events called event classes are grouped under event entities. Oracle Assets groups all the accounting events classes into the following four event entities

- **Transactions:** This event entity groups the following event classes: Additions, Adjustment, Capitalization, Category Reclass, CIP Additions, CIP Adjustments, CIP Category Reclass, CIP Retirements, CIP Revaluation, CIP Transfers, CIP Unit Adjustments, Depreciation Adjustments, Retirements, Retirement Adjustments, Revaluation, Terminal Gain and Loss, Transfers, Unit Adjustments, and Unplanned Depreciation.
- **Depreciation:** This event entity groups the following event classes: Depreciation and Rollback Depreciation.
- **Inter Asset Transactions:** This event entity groups the following event classes: Source Line Transfers, CIP Source Line Transfers, and Reserve Transfers.
- **Deferred Depreciation:** This event entity groups the following event classes: Deferred Depreciation.

Some event classes are further divided into event types. For example, the Retirements event class is divided into the Retirements and Reinstatements event types. This is done to provide more granular accounting flexibility.

Event classes are associated with process categories using the Event Class options. Process categories allow you to run Create Accounting for a specific process. For example, if you want to run accounting for the Revaluation transaction then you can specify the Revaluation process category while running Create Accounting program.

Account Analysis Report

Use the Account Analysis report in Oracle Subledger Accounting to reconcile accounting entries.

Asset Accounting

Run the Create Accounting process to create accounting entries.

Run the Create Accounting process to create accounting entries.

Note: You do not need to run Depreciation before creating accounting transactions. You can run the Create Accounting process as many times as necessary within a period.

Journal Entries

The Create Accounting process creates journal entries for the appropriate ledger. You can review these journal entries in the general ledger and post them.

Adjusting Journal Entries

Prior Period Transactions

Oracle Assets creates adjusting journal entries to depreciation expense, bonus expense, accumulated depreciation accounts, and bonus reserve accounts when you enter prior period additions, transfers, or retirements:

- For a prior period addition, Oracle Assets creates journal entries for the missed depreciation
- For a prior period transfer, Oracle Assets reverses a portion of the depreciation expense posted to the "from" depreciation expense account and posts it to the "to" depreciation expense account
- For prior period retirements, Oracle Assets creates journal entries that reverse the depreciation taken for periods after the retirement prorate date

Depreciation Adjustments

Oracle Assets creates separate journal entries for adjustments to depreciation expense and current period depreciation. You can review the effect of your adjustment transaction and your current period depreciation expense separately in the general ledger.

Any General Ledger

You can create journal entries for any general ledger. If you do not use Oracle General Ledger, you can copy the journal entry information from the GL tables.

Oracle Assets Accounts

Oracle Assets creates journal entries for the following general ledger accounts:

- Accumulated Depreciation
- Asset Clearing
- Asset Cost
- Bonus Expense
- Bonus Reserve
- CIP Clearing
- CIP Cost
- Cost of Removal Gain, Loss, and Clearing
- Deferred Accumulated Depreciation
- Deferred Depreciation Expense
- Depreciation Adjustment
- Depreciation Expense
- Intercompany Payables
- Intercompany Receivables
- Net Book Value Retired Gain and Loss
- Proceeds of Sale Gain, Loss, and Clearing
- Revaluation Amortization

- Revaluation Reserve
- Revaluation Reserve Retired Gain and Loss

Debit (Dr.) A debit to the asset cost, asset clearing, bonus expense, CIP cost, CIP clearing, depreciation expense, proceeds of sale clearing, or intercompany receivables account is an addition to the account. A debit to the accumulated depreciation, bonus reserve, cost of removal clearing, or intercompany payables account is a subtraction from the account. In the journal entry examples, debits are in the left column.

Credit (Cr.) A credit to the accumulated depreciation, bonus reserve, cost of removal clearing, or intercompany payables account is an addition to the account. A credit to the asset cost, asset clearing, bonus expense, CIP cost, CIP clearing, depreciation expense, proceeds of sale clearing, or intercompany receivables account is a subtraction from the account. In the journal entry examples, credits are in the right column.

Reviewing Journal Entries

After sending journal entries from Oracle Assets to your general ledger, you can review or modify journal entries in your general ledger before posting them.

If you integrate Oracle Assets with Oracle General Ledger, use the Enter Journals window in Oracle General Ledger to review, change or correct your entries.

If you use a different general ledger, you can review or change entries in that general ledger.

Journal Entry Examples

This guide contains examples of asset transactions you can perform and the journal entries that Oracle Assets creates.

The journal entries are for the period that the asset transaction was entered into Oracle Assets. Oracle Assets creates these journal entries when you run the Create Accounting - Assets program.

The asset cost, accumulated depreciation, bonus reserve, and year-to-date depreciation numbers in the following tables are end of quarter balances. The depreciation expense numbers are per period.

Note: In the following examples, if you have set up specific bonus expense and bonus reserve accounts, they behave like depreciation and accumulated depreciation accounts. However, bonus expense and bonus reserve are treated separately in certain cases.

Journal Entry Transaction Examples:

- Depreciation, page 8-7

- Additions and Capitalizations, page 8-8
- Adjustments, page 8-11
- Transfers and Reclassifications, page 8-28
- Revaluations, page 8-42
- Retirements and Reinstatements, page 8-35
- Tax Accumulated Depreciation Adjustments, page 8-55

Related Topics

Running Depreciation, page 7-2

Entering Journals, *Oracle General Ledger User Guide*

Journal Entries for Depreciation

When you run depreciation, Oracle Assets creates journal entries for your accumulated depreciation accounts and your depreciation expense accounts. Oracle Assets creates journal entries for your bonus reserve accounts and your bonus depreciation accounts, if any. Oracle Assets creates separate journal entries for current period depreciation expense and for adjustments to depreciation expense for prior period transactions and changes to financial information.

Oracle Assets creates the following journal entries for a current period depreciation charge of \$200 and a bonus charge of \$50:

Account Description	Debit	Credit
Depreciation Expense	200.00	
Bonus Expense	50.00	
Accumulated Depreciation		200.00
Bonus Reserve		50.00

Related Topics

Depreciation Calculation, page 7-21

Running Depreciation, page 7-2

Journal Entries for Additions and Capitalizations

This section includes addition and capitalization journal entry examples for the following transactions:

Current and Prior Period Addition, page 8-8

Merge Mass Additions, page 8-9

Construction-in-Process (CIP) Addition, page 8-10

Deleted Mass Additions, page 8-10

Capitalization, page 8-10

Asset Type Adjustments, page 8-11

For manual additions, Oracle Assets gets the clearing account from the category. For mass additions, the clearing account comes from your source system.

Example: The recoverable cost is \$4,000 and the method is straight-line 4 years.

Current and Prior Period Addition

You purchase and place the asset into service in Year 1, Quarter 1.

Payables System

Account Description	Debit	Credit
Asset Clearing	4,000.00	
Accounts Payable Liability		4,000.00

Oracle Assets - CURRENT PERIOD ADDITION

Account Description	Debit	Credit
Asset Cost	4,000.00	
Depreciation Expense	250.00	
Asset Clearing		4,000.00
Accumulated Depreciaton		250.00

You place an asset in service in Year 1, Quarter 1, but you do not enter it into Oracle

Assets until Year 2, Quarter 2. Your payables system creates the same journal entries to asset clearing and accounts payable liability as for a current period addition.

Oracle Assets - PRIOR PERIOD ADDITION

Account Description	Debit	Credit
Asset Cost	4,000.00	
Depreciation Expense	250.00	
Depreciation Expense (Adjustment)	1,250.00	
Asset Clearing		4,000.00
Accumulated Depreciaton		1,500.00

Merge Mass Additions

When you merge two mass additions, Oracle Assets adds the asset cost of the mass addition that you are merging to the asset account of the mass addition you are merging into. Oracle Assets records the merge when you perform the transaction. Oracle Assets does not change the asset clearing account journal entries it creates for each line, so each of the appropriate clearing accounts clears separately.

As an audit trail after the merge, the original cost of the invoice line remains on each line. When you create an asset from the merged line, the asset cost is the total merged cost.

Oracle Assets creates journal entries for the asset cost account for the mass addition into which the others were merged. Oracle Assets creates journal entries for each asset clearing account. For example, you merge mass addition #1 into mass addition #2, so Oracle Assets creates the following journal entries:

Account Description	Debit	Credit
Asset Cost (mass addition #2 asset cost account)	4,000.00	
Depreciation Expense	1,500.00	

Account Description	Debit	Credit
Asset Clearing (mass addition #1 accounts payable clearing account)		3,000.00
Asset Clearing (mass addition #2 accounts payable clearing account)		1,000.00
Accumulated Depreciaton		1,500.00

Construction-In-Process (CIP) Addition

You add a CIP asset. (CIP assets do not depreciate)

Oracle Assets

Account Description	Debit	Credit
CIP Cost	4,000.00	
CIP Clearing		4,000.00

Deleted Mass Additions

Oracle Assets creates no journal entries for deleted mass additions and does not clear the asset clearing accounts credited by accounts payable. You clear the accounts by either reversing the invoice in your payables system, or creating manual journal entries in your general ledger.

Capitalization

When you capitalize CIP assets, Oracle Assets creates journal entries that transfer the cost from the CIP cost account to the asset cost account. The clearing account has already been cleared.

Account Description	Debit	Credit
Asset Cost	4,000.00	

Account Description	Debit	Credit
Depreciation Expense	250.00	
CIP Cost		4,000.00
Accumulated Depreciation		250.00

Asset Type Adjustments

If you change the asset type from capitalized to CIP, Oracle Assets creates journal entries to debit the CIP cost account and credit the asset clearing account. Oracle Assets does not create capitalization or reverse capitalization journal entries for CIP reverse transactions.

Oracle Assets - CHANGE TYPE FROM CAPITALIZED TO CIP (CURRENT PERIOD)

Account Description	Debit	Credit
CIP Cost	4,000.00	
Asset Cost		4,000.00

Related Topics

Asset Setup Processes (Additions), page 3-16

Depreciation Rules (Books), page 3-5

Construction-In-Process (CIP) Assets, page 3-14

Cost Adjustment by Adding a Mass Addition to an Existing Asset, page 8-22

Adding an Asset Accepting Defaults (QuickAdditions), page 3-18

Adding an Asset Specifying Details (Detail Additions), page 3-20

Adding an Asset Automatically from External Sources (Mass Additions), page 3-44

Placing Construction-In-Process (CIP) Assets in Service, page 5-28

Journal Entries for Adjustments

Refer to the following sections for examples of different types of adjustments:

Recoverable Cost Adjustments, page 8-13

Depreciation Method Adjustments, page 8-24

Life Adjustments, page 8-24

Rate Adjustments - Flat-Rate Depreciation Method, page 8-25

Rate Adjustments - Diminishing Value Depreciation Method, page 8-26

Capacity Adjustments, page 8-27

Amortized and Expensed Adjustments

In the period you add an asset or for CIP assets, changing financial information does not adjust depreciation, since no depreciation has been taken. If you change financial information after you have run depreciation, you must choose whether to expense or amortize the adjustment:

Expensed Adjustment

For expensed adjustments, Oracle Assets recalculates depreciation using the new information and expenses the entire adjustment amount in the current period. Expensing the adjustment results in a one-time adjusting journal entry.

Amortized Adjustment

For amortized adjustments, Oracle Assets spreads the adjustment amount over the remaining life or remaining capacity of the asset. For flat-rate methods, Oracle Assets starts depreciating the asset using the new information. You can set up your amortized adjustments to have a retroactive start date by changing the default amortization start date (usually the system date) to a date in a previous period. Any adjustment amount missed since the amortization start date is taken in the current period.

If you amortize an adjustment for an asset, you cannot expense any future adjustments for that asset in that book.

You can allow an amortized adjustment for the book in the Book Controls window.

- **Method Adjustments:** For amortized method changes, Oracle Assets does not recalculate accumulated depreciation, but uses the new information for the remaining time the asset is in service.
 - For table and calculated methods, Oracle Assets depreciates the cost less the accumulated depreciation over the remaining life of the asset.
 - For diminishing value methods, Oracle Assets calculates depreciation based on the recoverable net book value of the asset as of the period you make the change.
 - If, instead, your depreciation method multiplies the flat-rate by the cost, Oracle Assets begins using the new information to calculate depreciation.

- **Bonus Adjustments:**

- For assets with a cost-based depreciation basis, the bonus rate is applied to the cost.
- For assets with a net book value depreciation method basis, the bonus rate is applied to the cost less total reserve (accumulated depreciation and bonus reserve).

Related Topics

Changing Financial and Depreciation Information, page 5-7

Depreciation Rules (Books), page 3-5

Defining Depreciation Books, page 11-59

Recoverable Cost Adjustments, page 8-13

Recoverable Cost Adjustments

A cost adjustment includes any adjustment that affects the recoverable cost, including a change in cost, salvage value, depreciation, and cost, depreciation expense, ITC ceilings, or bonus rules. You can manually perform a cost adjustment in the Books window or in the Source Lines window. You can automatically perform a cost adjustment by adding a mass addition to an existing asset using Mass Additions.

You can choose to expense or amortize the adjustment. See: Amortized and Expensed Adjustments, page 8-12

Cost Adjustment Examples

This section illustrates the following types of cost adjustments:

- Cost Adjustments to Assets Using a Life-Based Depreciation Method, page 8-14
- Cost Adjustments to Assets Using a Flat-Rate Depreciation Method, page 8-15
- Cost Adjustments to Assets Using a Diminishing Value Depreciation Method, page 8-16
- Cost Adjustments to Assets Depreciating Under a Units of Production Depreciation Method, page 8-18
- Cost Adjustments to Capitalized and CIP Source Lines, page 8-19
- Cost Adjustment by Adding a Mass Addition to an Existing Asset, page 8-22

Cost Adjustments to Assets Using a Life-Based Depreciation Method

Example: You place an asset in service in Year 1, Quarter 1. The recoverable cost is \$4,000. The life of your asset is 4 years, and you are using straight-line depreciation. The bonus rate is 10%. In Year 1, Quarter 4, you receive an additional invoice for the asset and change the recoverable cost to \$4,800.

Account Description	Debit	Credit
Asset Clearing	800.00	
Accounts Payable Liability		800.00

Account Description	Debit	Credit
Asset Cost	800.00	
Asset Clearing		800.00

Expensed

Account Description	Debit	Credit
Depreciation Expense	300.00	
Bonus Expense	120.00	
Depreciation Expense (adjustment)	150.00	
Bonus Expense (adjustment)	60.00	
Accumulated Depreciation		450.00
Bonus Reserve		180.00

Amortized

Account Description	Debit	Credit
Depreciation Expense	311.53	
Bonus Expense	124.62	
Accumulated Depreciation		311.53
Bonus Reserve		124.62

Related Topics

Changing Financial and Depreciation Information, page 5-7

Amortized and Expensed Adjustments, page 8-12

Depreciation Rules (Books), page 3-5

Cost Adjustments to Assets Using a Flat-Rate Depreciation Method

Example: You place an asset in service in Year 1, Quarter 1. The recoverable cost is \$4,000. You are depreciating the asset cost at a 20% flat-rate. The bonus rate is 10%. In Year 1, Quarter 4, you change the recoverable cost to \$4,800.

Account Description	Debit	Credit
Asset Clearing	800.00	
Accounts Payable Liability		800.00

Account Description	Debit	Credit
Asset Cost	800.00	
Asset Clearing		800.00

Expensed

Account Description	Debit	Credit
Depreciation Expense	240.00	
Bonus Expense	120.00	
Depreciation Expense (adjustment)	120.00	
Bonus Expense (adjustment)	60.00	
Accumulated Depreciation		360.00
Bonus Reserve		180.00

Amortized

Account Description	Debit	Credit
Depreciation Expense	240.00	
Bonus Expense	120.00	
Accumulated Depreciation		240.00
Bonus Reserve		120.00

Related Topics

Changing Financial and Depreciation Information, page 5-7

Amortized and Expensed Adjustments, page 8-12

Depreciation Rules (Books), page 3-5

Cost Adjustments to Assets Using a Diminishing Value Depreciation Method

Example: You place an asset in service in Year 1, Quarter 1. The recoverable cost is \$4,000. You are using a 20% flat-rate that you apply to the beginning of year net book value. The bonus rate is 10%. In Year 2, Quarter 1, you change the recoverable cost to \$4,800.

Account Description	Debit	Credit
Asset Clearing	800.00	
Accounts Payable Liability		800.00

Account Description	Debit	Credit
Asset Cost	800.00	
Asset Clearing		800.00

Expensed

Account Description	Debit	Credit
Depreciation Expense	168.00	
Bonus Expense	84.00	
Depreciation Expense (adjustment)	160.00	
Bonus Expense (adjustment)	80.00	
Accumulated Depreciation		328.00
Bonus Reserve		164.00

Amortized

Account Description	Debit	Credit
Depreciation Expense	180.00	
Bonus Expense	90.00	

Account Description	Debit	Credit
Accumulated Depreciation		180.00
Bonus Reserve		90.00

Related Topics

Changing Financial and Depreciation Information, page 5-7

Amortized and Expensed Adjustments, page 8-12

Depreciation Rules (Books), page 3-5

Cost Adjustments to Assets Depreciating Under a Units of Production Method

Example: You purchase an oil well for \$10,000. You expect to extract 10,000 barrels of oil from this well. Each quarter you extract 2,000 barrels of oil. In Year 1, Quarter 3, you realize that you entered the wrong asset cost. You adjust the recoverable cost to \$15,000.

Account Description	Debit	Credit
Asset Clearing	5,000.00	
Accounts Payable Liability		5,000.00

Account Description	Debit	Credit
Asset Cost	5,000.00	
Asset Clearing		5,000.00

Expensed

Account Description	Debit	Credit
Depreciation Expense	3,000.00	

Account Description	Debit	Credit
Depreciation Expense (adjustment)	2,000.00	
Accumulated Depreciation		5,0000.00

Amortized

Account Description	Debit	Credit
Depreciation Expense	3,666.67	
Accumulated Depreciation		3,666.67

Related Topics

Changing Financial and Depreciation Information, page 5-7

Amortized and Expensed Adjustments, page 8-12

Depreciation Rules (Books), page 3-5

Cost Adjustments to Capitalized and CIP Source Lines

When you transfer source lines you adjust the recoverable cost of an asset. Depreciation is calculated based on the asset type.

Transfer Source Lines Between Capitalized Assets

Oracle Assets creates the following journal entries for a source line transfer between capitalized assets.

Account Description	Debit	Credit
Asset Cost (from destination asset category)	400.00	
Asset Cost (from source asset category)		400.00

Account Description	Debit	Credit
Accumulated Depreciation (from source asset category)	70.00	
Depreciation Expense		70.00
Account Description	Debit	Credit
Depreciation Expense	55.00	
Depreciation Expense (adjustment)	70.00	
Accumulated Depreciation (from source asset category)		125.00

Transfer Source Lines From Capitalized Assets to CIP Assets

When you transfer source lines from capitalized to CIP assets, Oracle Assets must back out some of the depreciation from the capitalized asset, because CIP assets do not depreciate.

Oracle Assets creates the following journal entries for a source line transfer between capitalized assets and CIP assets:

Account Description	Debit	Credit
CIP Asset Cost (from destination asset category)	400.00	
Asset Cost (from source asset category)		400.00
Account Description	Debit	Credit
Accumulated Depreciation (from source asset category)	70.00	

Account Description	Debit	Credit
Depreciation Expense		70.00

Transfer Source Lines from CIP Assets to Capitalized Assets

When you transfer source lines from CIP to capitalized assets, Oracle Assets takes catchup depreciation as for any cost adjustment transaction.

Oracle Assets creates the following journal entries for a source line transfer between CIP assets and capitalized assets:

Account Description	Debit	Credit
Asset Cost (from destination asset category)	400.00	
CIP Asset Cost (from source asset category)		400.00

Account Description	Debit	Credit
Depreciation Expense (from source asset category)	125.00	
Accumulated Depreciation Expense (from destination asset category)		125.00

Transfer Source Lines Between CIP Assets

Oracle Assets does not need to reverse depreciation expense when you transfer invoice lines between CIP assets. Because CIP assets do not depreciate.

Oracle Assets creates the following journal entries for a source line transfer between CIP assets:

Account Description	Debit	Credit
CIP Asset Cost (from destination asset category)	400.00	
CIP Asset Cost (from source asset category)		400.00

Related Topics

Changing Invoice Information for an Asset, page 5-19

Cost Adjustment by Adding a Mass Addition to an Existing Asset

If you add a mass addition to an asset, Oracle Assets creates a journal entry to the asset cost account of the existing asset. Oracle Assets also credits the clearing account you assigned to the invoice distribution line in accounts payable to net it to zero.

If you want the existing asset to assume the asset category and description of the mass addition, Oracle Assets creates a journal entry for the new total asset cost to the asset cost account of the mass addition's category. It also creates journal entries for the clearing account you assigned to the invoice line in accounts payable, and for the clearing or cost account of the original addition category.

Oracle Assets creates the following journal entries for a capitalized \$2,000 mass addition added to a new, manually added \$500 asset, where the asset uses the category of the mass addition:

Account Description	Debit	Credit
Asset Cost (from asset category of mass addition)	2,500.00	
Asset Clearing (from original asset category)		500.00
Asset Clearing (from original asset category)		2,000.00

Related Topics

Changing Financial and Depreciation Information, page 5-7

Amortized and Expensed Adjustments, page 8-12

Depreciation Rules (Books), page 3-5

Changing Invoice Information for an Asset, page 5-19

Reviewing Mass Addition Lines, page 3-45

Amortized Adjustments Using a Retroactive Start Date

Example: You place an asset in service in Year 1, Quarter 1. The recoverable cost is \$4,000. The life of your asset is four years, and you are using straight-line depreciation. In Year 2, Quarter 2, you receive an additional invoice for the asset and change the recoverable cost to \$4,800. Since, the invoice date is in Year 1, Quarter 4, you want to amortize the change from that period.

Account Description	Debit	Credit
Asset Clearing	800.00	
Accounts Payable Liability		800.00

Account Description	Debit	Credit
Asset Cost	800.00	
Asset Clearing		800.00

Account Description	Debit	Credit
Depreciation Expense	311.53	
Depreciation Expense (adjustment)	123.06	
Accumulated Depreciation		434.59

Account Description	Debit	Credit
Depreciation Expense	311.53	

Account Description	Debit	Credit
Accumulated Depreciation		311.53

Depreciation Method Adjustments

Example: You place an asset in service in Year 1, Quarter 1. The recoverable cost is \$4,000, the life is 4 years, and you are using the 200 declining balance depreciation method. In Year 2, Quarter 1, you change the depreciation method to straight-line.

Expensed

Account Description	Debit	Credit
Depreciation Expense	250.00	
Accumulated Depreciation	750.00	
Depreciation Expense (adjustment)		1,000.00

Amortized

Account Description	Debit	Credit
Depreciation Expense	166.67	
Accumulated Depreciation		166.67

Related Topics

Depreciation Rules (Books), page 3-5

Changing Financial and Depreciation Information, page 5-7

Life Adjustments

Example: You place an asset in service in Year 1, Quarter 1. The asset cost is \$4,000, the

life is 4 years, and you are using straight-line depreciation. In Year 2, Quarter 2, you change the asset life to 5 years.

Expensed

Account Description	Debit	Credit
Depreciation Expense	200.00	
Accumulated Depreciation	50.00	
Depreciation Expense (adjustment)		250.00

Amortized

Account Description	Debit	Credit
Depreciation Expense	183.33	
Accumulated Depreciation		183.33

Related Topics

Depreciation Rules (Books), page 3-5

Changing Financial and Depreciation Information, page 5-7

Rate Adjustments

Rate Adjustments - Flat-Rate Depreciation Method

Example: You place an asset in service in Year 1, Quarter 1. The recoverable cost is \$4,000 and you are depreciating the asset cost at a 20% flat-rate. In Year 2, Quarter 3, you change the flat-rate to 25%.

Expensed

Account Description	Debit	Credit
Depreciation Expense	250.00	
Depreciation Expense (adjustment)	300.00	
Accumulated Depreciation		550.00

Amortized

Account Description	Debit	Credit
Depreciation Expense	250.00	
Accumulated Depreciation		250.00

Related Topics

Depreciation Calculation, page 7-21

Depreciation Rules (Books), page 3-5

Changing Financial and Depreciation Information, page 5-7

Rate Adjustments - Diminishing Value Depreciation Method

Example: You place an asset in service in Year 1, Quarter 1. The recoverable cost is \$4,000 and you are using a 20% flat-rate that you apply to the beginning of year net book value. In Year 2, Quarter 3, you change the flat-rate to 25%.

Expensed

Account Description	Debit	Credit
Depreciation Expense	187.50	
Depreciation Expense (adjustment)	255.00	

Account Description	Debit	Credit
Accumulated Depreciation		442.50

Amortized

Account Description	Debit	Credit
Depreciation Expense	200.00	
Accumulated Depreciation		200.00

Related Topics

Depreciation Calculation, page 7-21

Depreciation Rules (Books), page 3-5

Changing Financial and Depreciation Information, page 5-7

Capacity Adjustments

Example: You purchase an oil well for \$10,000. You expect to extract 10,000 barrels of oil from this well. Each quarter you extract 2,000 barrels of oil. In Year 1, Quarter 4 you discover that you entered the wrong capacity. You increase the production capacity to 50,000 barrels.

Expensed

Account Description	Debit	Credit
Depreciation Expense	400.00	
Accumulated Depreciation	4,400.00	
Depreciation Expense (adjustment)		4,800.00

Amortized

Account Description	Debit	Credit
Depreciation Expense	181.82	
Accumulated Depreciation		181.82

Related Topics

Assets Depreciating Under Units of Production, page 7-36

Amortized and Expensed Adjustments, page 8-12

Changing Financial and Depreciation Information, page 5-7

Entering Production Amounts, page 7-42

Journal Entries for Transfers and Reclassifications

Example: You place an asset in service in Year 1, Quarter 1. The recoverable cost is \$4,000, the life is 4 years, and you are using straight-line depreciation.

This section illustrates the following journal entry examples:

- Current Period Transfer Between Cost Centers, page 8-28
- Prior Period Transfer Between Cost Centers, page 8-29
- Current Period Transfer Between Balancing Segments, page 8-30
- Prior Period Transfer Between Balancing Segments, page 8-31
- Unit Adjustment, page 8-33
- Reclassification, page 8-34

Current Period Transfer Between Cost Centers

In Year 2, Quarter 2, you transfer the asset from cost center 100 to cost center 200 in the current period.

Cost Center 100

Account Description	Debit	Credit
Accumulated Depreciation	1,250.00	
Asset Cost		4,000.00

Cost Center 200

Account Description	Debit	Credit
Asset Cost	4,000.00	
Depreciation Expense	250.00	
Accumulated Depreciation		1,500.00

Prior Period Transfer Between Cost Centers

In Year 3, Quarter 4, you discover that an asset was transferred in Year 3, Quarter 3, from cost center 100 to cost center 200.

Cost Center 100

Period (Yr.,Qtr.)	Asset Cost	Accumulated Depreciation	Yr-to-Date Depreciation	Depreciation Expense
Y3,Q1	4,000.00	2,250.00	250.00	250.00
Y3,Q2	4,000.00	2,500.00	500.00	250.00
Y3,Q3	4,000.00	2,750.00	750.00	250.00
Y3,Q4	0.00	0.00	500.00	-250.00*

Cost Center 200

Period (Yr.,Qtr.)	Asset Cost	Accumulated Depreciation	Yr-to-Date Depreciation	Depreciation Expense
Y3,Q1	0.00	0.00	0.00	0.00
Y3,Q2	0.00	0.00	0.00	0.00
Y3,Q3	0.00	0.00	0.00	0.00
Y3,Q4	4,000.00	3,000.00	500.00	500.00*

Cost Center 100

Account Description	Debit	Credit
Accumulated Depreciation	2,750.00	
Asset Cost		4,000.00
Depreciation Expense (adjustment)		250.00

Cost Center 200

Account Description	Debit	Credit
Asset Cost	4,000.00	
Depreciation Expense	250.00	
Depreciation Expense (adjustment)	250.00	
Accumulated Depreciation		3,000.00

Current Period Transfer Between Balancing Segments

In Year 3, Quarter 4, you transfer the asset from the ABC Manufacturing Company to

the XYZ Distribution Company.

ABC Manufacturing

Account Description	Debit	Credit
Accumulated Depreciation	2,750.00	
Intercompany Receivables	1,250.00	
Asset Cost		4,000.00

XYZ Distribution

Account Description	Debit	Credit
Asset Cost	4,000.00	
Depreciation Expense	250.00	
Accumulated Depreciation		3,000.00
Intercompany Payables		1,250.00

Prior Period Transfer Between Balancing Segments

In Year 3, Quarter 4, you discover that the asset was transferred in Year 3, Quarter 3, from the ABC Manufacturing Company to the XYZ Distribution Company.

ABC Manufacturing

Period (Yr.,Qtr.)	Asset Cost	Accumulated Depreciation	Yr-to-Date Depreciation	Depreciation Expense
Y3,Q1	4,000.00	2,250.00	250.00	250.00
Y3,Q2	4,000.00	2,500.00	500.00	250.00

Period (Yr.,Qtr.)	Asset Cost	Accumulated Depreciation	Yr-to-Date Depreciation	Depreciation Expense
Y3,Q3	4,000.00	2,750.00	750.00	250.00
Y3,Q4	0.00	0.00	500.00	-250.00*

XYZ Distribution

Period (Yr.,Qtr.)	Asset Cost	Accumulated Depreciation	Yr-to-Date Depreciation	Depreciation Expense
Y3,Q1	0.00	0.00	0.00	0.00
Y3,Q2	0.00	0.00	0.00	0.00
Y3,Q3	0.00	0.00	0.00	0.00
Y3,Q4	4,000.00	3,000.00	500.00	500.00*

ABC Manufacturing

Account Description	Debit	Credit
Accumulated Depreciation	2,750.00	
Intercompany Receivables	1,500.00	
Asset Cost		4,000.00
Depreciation Expense (adjustment)		250.00

XYZ Distribution

Account Description	Debit	Credit
Asset Cost	4,000.00	
Depreciation Expense	250.00	
Depreciation Expense (adjustment)	250.00	
Accumulated Depreciation		3,000.00
Intercompany Payables		1,500.00

Unit Adjustment

A unit adjustment is similar to a transfer, since you must update assignment information when you change the number of units for an asset. For example, you place the same \$4,000 asset in service with two units assigned to cost center 100. In Year 2, Quarter 3, you realize the asset actually has four units, two of which belong to cost center 200.

Cost Center 100

Account Description	Debit	Credit
Accumulated Depreciation	750.00	
Asset Cost		2,000.00

Cost Center 200

Account Description	Debit	Credit
Asset Cost	2,000.00	
Accumulated Depreciation		750.00

Note: If all units remain in the original cost center, Oracle Assets creates

journal entries with zero amounts.

Reclassification

Example: You reclassify an asset from office equipment to computers in Year 1, Quarter 3. The asset cost is \$4,000, the life is 4 years, and you are using straight-line depreciation.

When you reclassify an asset in a period after the period you entered it, Oracle Assets creates journal entries to transfer the cost and accumulated depreciation to the asset and accumulated depreciation accounts of the new asset category. This occurs when you create journal entries for your general ledger. Oracle Assets also changes the depreciation expense account to the default depreciation expense account for the new category, but does not adjust for prior period expense.

Office Equipment

Period (Yr., Qtr.)	Asset Cost	Accumulated Depreciation	Yr-to-Date Depreciation	Depreciation Expense
Yr1,Q1	4,000.00	250.00	250.00	250.00
Yr1,Q2	4,000.00	500.00	500.00	250.00
Yr1,Q3	0.00	0.00	500.00	0.00*
Yr1,Q4	0.00	0.00	500.00	0.00

Computers

Period (Yr.,Qtr.)	Asset Cost	Accumulated Depreciation	Yr-to-Date Depreciation	Depreciation Expense
Yr1,Q1	0.00	0.00	0.00	0.00
Yr1,Q2	0.00	0.00	0.00	0.00
Yr1,Q3	4,000.00	750.00	250.00	250.00*

Period (Yr.,Qtr.)	Asset Cost	Accumulated Depreciation	Yr-to-Date Depreciation	Depreciation Expense
Yr1,Q4	4,000.00	1,000.00	500.00	250.00

Office Equipment

Account Description	Debit	Credit
Accumulated Depreciation	500.00	
Asset Cost		4,000.00

Computers

Account Description	Debit	Credit
Asset Cost	4,000.00	
Depreciation Expense	250.00	
Accumulated Depreciation		750.00

Note: The new Depreciation Expense account will only inherit the natural account from the new category. The other segment values will remain the same.

Related Topics

Assignments, page 3-11

Transferring Assets, page 5-14

Reclassifying an Asset to Another Category, page 5-2

Journal Entries for Retirements and Reinstatements

When you retire an asset and create journal entries for that period, Oracle Assets creates journal entries for your general ledger for each component of the gain/loss amount.

Oracle Assets creates journal entries for either the gain or the loss accounts for the following components: proceeds of sale, cost of removal, net book value retired, and revaluation reserve retired. Oracle Assets also creates journal entries to clear the proceeds of sale and cost of removal.

Oracle Assets creates journal entries for the retirement accounts you set up in the Book Controls window. If you enter distinct gain and loss accounts for each component of the gain/loss amount, Oracle Assets creates multiple journal entries for these accounts. You can enter different sets of retirement accounts for retirements that result in a gain and retirements that result in a loss.

Depreciation for Retirements

The retirement convention, date retired, and depreciation method control how much depreciation Oracle Assets takes when you retire an asset.

Oracle Assets reverses the year-to-date depreciation if the asset's depreciation method does not depreciate it in the year of retirement. In this case, when you perform a full retirement, Oracle Assets reverses the year-to-date depreciation of the asset, and computes the gain or loss using the resulting net book value. For partial retirements, Oracle Assets reverses the appropriate fraction of the year-to-date depreciation and computes the gain or loss using the appropriate fraction of the resulting net book value.

If the depreciation method takes depreciation in the year of retirement, Oracle Assets uses your retirement convention to determine whether the asset is eligible for additional depreciation in that year or whether some of that year's depreciation must be reversed.

When you perform a partial retirement, Oracle Assets depreciates the portion of the asset you did not retire based on the method you use. If your depreciation method multiplies a flat-rate by the cost, Oracle Assets depreciates the asset's cost remaining after a partial retirement. For assets that use a diminishing value method, Oracle Assets depreciates the remaining fraction of the asset's net book value as of the beginning of the fiscal year.

Depreciation for Reinstatements

The retirement convention, date retired, and period in which you reinstate an asset control how much depreciation Oracle Assets calculates when you reinstate an asset.

When you reinstate a retired asset, Oracle Assets usually calculates some additional depreciation expense in the period in which you perform the reinstatement, unless you perform it in the same period that you retired the asset. This additional depreciation is the depreciation that would have been taken if you had not retired the asset.

Sometimes, however, a reinstatement results in a reversal of depreciation. This occurs if the retirement convention caused some additional depreciation when you retired the asset, and then you reinstate the asset before the retirement prorate date. Then Oracle Assets reverses the extra depreciation that it took at retirement, and waits until the appropriate accounting periods to take it.

Current Period Retirements

Example: You place an asset in service in Year 1, Quarter 1. The asset cost is \$4,000, the life is 4 years, and you are using straight-line depreciation. In Year 3, Quarter 3, you sell the asset for \$2,000. The cost to remove the asset is \$500. The asset uses a retirement convention and depreciation method which take depreciation in the period of retirement. You retire revaluation reserve in this book.

Account Description	Debit	Credit
Accounts Receivable	2,000.00	
Proceeds of Sales Clearing		2,000.00

Account Description	Debit	Credit
Cost of Removal Clearing	500.00	
Accounts Payable		500.00

Account Description	Debit	Credit
Accumulated Depreciation	2,500.00	
Proceeds of Sale Clearing	2,000.00	
Cost of Removal Gain	500.00	
Revaluation Reserve	600.00	
Net Book Value Retired Gain	1,500.00	
Asset Cost		4,000.00
Proceeds of Sale Gain		2,000.00
Cost of Removal Clearing		500.00

Account Description	Debit	Credit
Revaluation Reserve Retired Gain		600.00

If you enter the same account for each gain and loss account, Oracle Assets creates a single journal entry for the net gain or loss as shown in the following table:

Book Controls window:

Accounts	Gain	Loss
Proceeds of Sale	1000	1000
Cost of Removal	1000	1000
Net Book Value Retired	1000	1000
Revaluation Reserve Retired	1000	1000

Account Description	Debit	Credit
Accumulated Depreciation	2,500.00	
Proceeds of Sale Clearing	2,000.00	
Revaluation Reserve	600.00	
Asset Cost		4,000.00
Cost of Removal Clearing		500.00
Gain/Loss		600.00

Prior Period Retirement

Example: You place an asset in service in Year 1, Quarter 1. The asset cost is \$4,000, the life is 4 years, and you are using straight-line depreciation. In Year 3, Quarter 3, you discover that the asset was sold in Year 3, Quarter 1, for \$2,000. The removal cost was \$500. The asset uses a retirement convention and depreciation method which allow you

to take depreciation in the period of retirement.

Account Description	Debit	Credit
Accounts Receivable	2,000.00	
Proceeds of Sale Clearing		2,000.00

Account Description	Debit	Credit
Cost of Removal Clearing	500.00	
Accounts Payable		500.00

Account Description	Debit	Credit
Accumulated Depreciation	2,500.00	
Proceeds of Sale Clearing	2,000.00	
Cost of Removal Loss	500.00	
Net Book Value Retired Loss	1,750.00	
Proceeds of Sale Loss		2,000.00
Cost of Removal Clearing		500.00
Asset Cost		4,000.00
Depreciation Expense		250.00

Current Period Reinstatement

Example: You discover that you retired the wrong asset. Oracle Assets creates journal entries for the reinstatement to debit asset cost, credit accumulated depreciation, and reverse the gain or loss you recognized for the retirement. Oracle Assets reverses the journal entries for proceeds of sale, cost of removal, net book value retired, and revaluation reserve retired. Oracle Assets also reverses the journal entries you made to

clear the proceeds of sale and cost of removal.

Oracle Assets also creates journal entries to recover the depreciation not charged to the asset and for the current period depreciation expense.

Account Description	Debit	Credit
Asset Cost	4,000.00	
Cost of Removal Clearing	500.00	
Gain / Loss	600.00	
Depreciation Expense	250.00	
Accumulated Depreciation		2,750.00
Proceeds of Sale Clearing		2,000.00
Revaluation Reserve		600.00

Prior Period Reinstatement

Example: You place an asset in service in Year 1, Quarter 1. The asset cost is \$4,000, the life is 4 years, and you are using straight-line depreciation. In Year 2, Quarter 1, you retire the asset. In Year 2, Quarter 4, you realize that you retired the wrong asset so you reinstate it.

Account Description	Debit	Credit
Asset Cost	4,000.00	
Cost of Removal Clearing	500.00	
Proceeds of Sale Loss	2,000.00	
Depreciation Expense	250.00	
Depreciation Expense (adjustment)	500.00	
Net Book Value Retired Loss		2,750.00

Account Description	Debit	Credit
Cost of Removal Loss		500.00
Proceeds of Sale Clearing		2,000.00
Accumulated Depreciation		2,000.00

Assets Fully Reserved Upon Addition

If you add an asset with an accumulated depreciation equal to the recoverable cost, it is fully reserved upon addition. When you retire it, Oracle Assets does not back out any depreciation, even if you assigned the asset a depreciation method that backs out all depreciation in the year of retirement. However, it creates all the other journal entries associated with retiring a capitalized asset.

Non-Depreciated Capitalized/Construction-In-Process (CIP) Assets

A non-depreciated capitalized asset or a CIP asset has no accumulated depreciation. Therefore, Oracle Assets does not create journal entries to catch up depreciation to the retirement prorate date, and does not remove the accumulated depreciation. However, Oracle Assets creates all other journal entries associated with retiring a capitalized asset.

Reinstatement Transactions

PENDING Asset Retirement

When you reinstate an asset retired in the current accounting period that the calculate gains and losses program has not yet processed, the retirement transaction is deleted, and the asset is immediately reinstated. No journal entries are created.

PROCESSED Asset Retirement

When you reinstate an asset retired in a previous accounting period or already processed in the current period, the existing retirement transaction gets a new Status REINSTATE, and the asset is reinstated when you process retirements. Oracle Assets creates journal entries to catch up any missed depreciation expense.

Related Topics

About Retirements, page 6-1

Retiring Assets, page 6-4

Correcting Retirement Errors (Reinstatements), page 6-10

Journal Entries for Revaluations

The following examples illustrate the effect on your assets and your accounts when you specify different revaluation rules.

Revalue Accumulated Depreciation

Example 1: You place an asset in service in Year 1, Quarter 1. The asset cost is \$10,000, the life is 5 years, and you are using straight-line depreciation.

In Year 2, Quarter 1 you revalue the asset using a revaluation rate of 5%. Then in Year 4, Quarter 1 you revalue the asset again using a revaluation rate of -10%.

Revaluation Rules:

- Revalue Accumulated Depreciation = Yes
- Amortize Revaluation Reserve = No
- Retire Revaluation Reserve = No

Oracle Assets bases the new depreciation expense on the revalued remaining net book value.

In Year 5, Quarter 4, at the end of the asset's life, you retire the asset with no proceeds of sale or cost of removal.

The effects of the revaluations are illustrated in the following table:

Period (Yr, Qtr.)	Asset Cost	Deprn. Expense	Accum. Deprn.	Reval. Reserve
Yr1,Q1	10,000.00	500.00	500.00	0.00
Yr1,Q2	10,000.00	500.00	1,000.00	0.00
Yr1,Q3	10,000.00	500.00	1,500.00	0.00
Yr1,Q4	10,000.00	500.00	2,000.00	0.00
Reval. 1 5%	10,500.00	0.00	*2,100.00	**400.00
Yr2,Q1	10,500.00	525.00	2,625.00	400.00
Yr2,Q2	10,500.00	525.00	3,150.00	400.00

Period (Yr, Qtr.)	Asset Cost	Deprn. Expense	Accum. Deprn.	Reval. Reserve
Yr2,Q3	10,500.00	525.00	3,675.00	400.00
Yr2,Q4	10,500.00	525.00	4,200.00	400.00
Yr3,Q1	10,500.00	525.00	4,725.00	400.00
Yr3,Q2	10,500.00	525.00	5,250.00	400.00
Yr3,Q3	10,500.00	525.00	5,775.00	400.00
Yr3,Q4	10,500.00	525.00	6,300.00	400.00
Reval. 2 -10%	9,450.00	0.00	*5,670.00	** -20.00
Yr4,Q1	9,450.00	472.50	6,142.50	-20.00
Yr4,Q2	9,450.00	472.50	6,615.00	-20.00
Yr4,Q3	9,450.00	472.50	7,087.50	-20.00
Yr4,Q4	9,450.00	472.50	7,560.00	-20.00
Yr5,Q1	9,450.00	472.50	8,032.50	-20.00
Yr5,Q2	9,450.00	472.50	8,505.00	-20.00
Yr5,Q3	9,450.00	472.50	8,977.50	-20.00
Yr5,Q4	9,450.00	472.50	9,450.00	-20.00
Retire	0.00	0.00	0.00	-20.00

REVALUATION 1

Year 2, Quarter 1, 5% revaluation

***Accumulated Depreciation = Existing Accumulated Depreciation + [Existing Accumulated Depreciation x (Revaluation Rate / 100)]**

$$2,000 + [2,000 \times (5/100)] = 2,100$$

****Revaluation Reserve = Existing Revaluation Reserve + Change in Net Book Value**

$$0 + (8,400 - 8,000) = 400$$

Account Description	Debit	Credit
Asset Cost	500.00	
Revaluation Reserve		400.00
Accumulated Depreciation		100.00

REVALUATION 2

-10% revaluation in Year 4, Quarter 1:

Account Description	Debit	Credit
Revaluation Reserve	420.00	
Accumulated Depreciation	630.00	
Asset Cost		1,050.00

Retirement in Year 5, Quarter 4:

Account Description	Debit	Credit
Accumulated Depreciation	9,450.00	
Asset Cost		9,450.00

Accumulated Depreciation Not Revalued

Example 2: You place an asset in service in Year 1, Quarter 1. The asset cost is \$10,000, the life is 5 years, and you are using straight-line depreciation.

In Year 2, Quarter 1 you revalue the asset using a revaluation rate of 5%. Then in Year 4, Quarter 1 you revalue the asset again using a revaluation rate of -10%.

Revaluation Rules:

- Revalue Accumulated Depreciation = No
- Amortize Revaluation Reserve = No
- Retire Revaluation Reserve = Yes

For the first revaluation, the asset's new revalued cost is \$10,500. Since you do not revalue the accumulated depreciation, Oracle Assets transfers the balance to the revaluation reserve in addition to the change in cost.

Since you are also not amortizing the revaluation reserve, this amount remains in the revaluation reserve account until you retire the asset, when Oracle Assets transfers it to the appropriate revaluation reserve retired account. Oracle Assets bases the new depreciation expense on the revalued net book value.

For the second revaluation, the asset's revalued cost is \$9,450. Again, since you do not revalue the accumulated depreciation, Oracle Assets transfers the balance to the revaluation reserve along with the change in cost.

You retire the asset in Year 5, Quarter 4, with no proceeds of sale or cost of removal.

The effects of the revaluations are illustrated in the following table:

Period (Yr, Qtr.)	Asset Cost	Deprn. Expense	Accum. Deprn.	Reval. Reserve
Yr1,Q1	10,000.00	500.00	500.00	0.00
Yr1,Q2	10,000.00	500.00	1,000.00	0.00
Yr1,Q3	10,000.00	500.00	1,500.00	0.00
Yr1,Q4	10,000.00	500.00	2,000.00	0.00
Reval. 1 5%	10,500.00	0.00	0.00	*2,500.00
Yr2,Q1	10,500.00	**656.25	6,56.25	2,500.00
Yr2,Q2	10,500.00	656.25	1,312.50	2,500.00
Yr2,Q3	10,500.00	656.25	1,968.75	2,500.00
Yr2,Q4	10,500.00	656.25	2,625.00	2,500.00
Yr3,Q1	10,500.00	656.25	3,281.25	2,500.00

Period (Yr, Qtr.)	Asset Cost	Deprn. Expense	Accum. Deprn.	Reval. Reserve
Yr3,Q2	10,500.00	656.25	3,937.50	2,500.00
Yr3,Q3	10,500.00	656.25	4,593.75	2,500.00
Yr3,Q4	10,500.00	656.25	5,250.00	2,500.00
Reval. 2 -10%	9,450.00	0.00	0.00	*6,700.00
Yr4,Q1	9,450.00	**1,181.25	1,181.25	6,700.00
Yr4,Q2	9,450.00	1,181.25	2,362.50	6,700.00
Yr4,Q3	9,450.00	1,181.25	3,543.75	6,700.00
Yr4,Q4	9,450.00	1,181.25	4,725.00	6,700.00
Yr5,Q1	9,450.00	1,181.25	5,906.25	6,700.00
Yr5,Q2	9,450.00	1,181.25	7,087.50	6,700.00
Yr5,Q3	9,450.00	1,181.25	8,268.75	6,700.00
Yr5,Q4	9,450.00	1,181.25	9,450.00	6,700.00

REVALUATION 1

5% revaluation in Year 2, Quarter 1:

Account Description	Debit	Credit
Asset Cost	500.00	
Accumulated Depreciation	2,000.00	
Revaluation Reserve		2,500.00

REVALUATION 2

-10% revaluation in Year 4, Quarter 1:

Account Description	Debit	Credit
Accumulated Depreciation	5,250.00	
Asset Cost		1,050.00
Revaluation Reserve		4,200.00

Retirement in Year 5, Quarter 4:

Account Description	Debit	Credit
Accumulated Depreciation	9,450.00	
Revaluation Reserve	6,700.00	
Revaluation Reserve Retired Gain		6,700.00
Asset Cost		9,450.00

Amortizing Revaluation Reserve

Example 3: You place an asset in service in Year 1, Quarter 1. The asset cost is \$10,000, the life is 5 years, and you are using straight-line depreciation.

In Year 2, Quarter 1 you revalue the asset using a rate of 5%. Then in Year 4, Quarter 1 you revalue the asset again using a rate of -10%.

Revaluation Rules:

- Revalue Accumulated Depreciation = No
- Amortize Revaluation Reserve = Yes

For the first revaluation, the asset's new revalued cost is \$10,500. Since you do not revalue the accumulated depreciation, Oracle Assets transfers the entire amount to the revaluation reserve. Since you are amortizing the revaluation reserve, Oracle Assets sets the revaluation amortization basis at the time of revaluation and calculates the revaluation amortization using the asset's revalued net book value to spread the revaluation amortization basis based on the periodic depreciation expense calculated (Oracle Assets also bases the new depreciation expense on the revalued net book value).

For the second revaluation, the asset's revalued cost is \$9,450. Again, since you do not

revalue the accumulated depreciation, Oracle Assets transfers the entire amount to the revaluation reserve.

The effects of the revaluations are illustrated in the following table:

Period (Yr, Qtr.)	Asset Cost	Deprn. Expense	Accum. Deprn.	Reval. Amortize	Reval. Reserve
Yr1,Q1	10,000.00	500.00	500.00	0.00	0.00
Yr1,Q2	10,000.00	500.00	1,000.00	0.00	0.00
Yr1,Q3	10,000.00	500.00	1,500.00	0.00	0.00
Yr1,Q4	10,000.00	500.00	2,000.00	0.00	0.00
Reval. 1 5%	10,500.00	0.00	0.00	0.00	*2,500.00
Yr2,Q1	10,500.00	**656.25	656.25	***156.25	2,343.75
Yr2,Q2	10,500.00	656.25	1,312.50	156.25	2,187.50
Yr2,Q3	10,500.00	656.25	1,968.75	156.25	2,031.25
Yr2,Q4	10,500.00	656.25	2,625.00	156.25	1,875.00
Yr3,Q1	10,500.00	656.25	3,281.25	156.25	1,718.75
Yr3,Q2	10,500.00	656.25	3,937.50	156.25	1,562.50
Yr3,Q3	10,500.00	656.25	4,593.75	156.25	1,406.25
Yr3,Q4	10,500.00	656.25	5,250.00	156.25	1,250.00
Reval. 2 -10%	9,450.00	0.00	0.00	0.00	*5,450.00
Yr4,Q1	9,450.00	**1,181.25	1,181.25	***681.25	4,768.75
Yr4,Q2	9,450.00	1,181.25	2,362.50	681.25	4,087.50
Yr4,Q3	9,450.00	1,181.25	3,543.75	681.25	3,406.25
Yr4,Q4	9,450.00	1,181.25	4,725.00	681.25	2,725.00

Period (Yr, Qtr.)	Asset Cost	Deprn. Expense	Accum. Deprn.	Reval. Amortize	Reval. Reserve
Yr5,Q1	9,450.00	1,181.25	5,906.25	681.25	2,043.75
Yr5,Q2	9,450.00	1,181.25	7,087.50	681.25	1,362.50
Yr5,Q3	9,450.00	1,181.25	8,268.75	681.25	681.25
Yr5,Q4	9,450.00	1,181.25	9,450.00	681.25	0.00

REVALUATION 1

Year 2, quarter 1, 5% revaluation

Account Description	Debit	Credit
Asset Cost	500.00	
Accumulated Depreciation	2,000.00	
Revaluation Reserve		2,500.00

Oracle Assets creates the following journal entries each period to amortize the revaluation reserve:

Account Description	Debit	Credit
Revaluation Reserve	158.25	
Revaluation Amortization		158.25

REVALUATION 2

Year 4, quarter 1, -10% revaluation

Account Description	Debit	Credit
Accumulated Depreciation	5,250.00	

Account Description	Debit	Credit
Asset Cost		1,050.00
Revaluation Reserve		4,200.00

Oracle Assets creates the following journal entries each period to amortize the revaluation reserve:

Account Description	Debit	Credit
Revaluation Reserve	681.25	
Revaluation Amortization		681.25

Revaluation of a Fully Reserved Asset

Example 4: You place an asset in service in Year 1, Quarter 1. The asset cost is \$10,000, the life is 5 years, and you are using straight-line depreciation. The asset's life extension factor is 2 and the maximum fully reserved revaluations allowed for this book is 3.

In year 5, quarter 4 the asset is fully reserved. In Year 9, Quarter 1 you want to revalue the asset with a revaluation rate of 5%.

Revaluation Rules:

- Revalue Accumulated Depreciation = Yes
- Amortize Revaluation Reserve = No

First, Oracle Assets checks whether this fully reserved asset has been previously revalued as fully reserved, and that the maximum number of times is not exceeded by this revaluation. Since this asset has not been previously revalued as fully reserved, this revaluation is allowed.

The asset's new revalued cost is \$10,500. The life extension factor for this asset is 2, so the asset's new life is 2 * 5 years = 10 years. Oracle Assets calculates depreciation expense over its new life of 10 years. Oracle Assets calculates the depreciation adjustment of \$2,000 using the new 10 year asset life. It transfers the change in net book value to the revaluation reserve account.

Oracle Assets revalues the accumulated depreciation using the 5% revaluation rate. The change in net book value is transferred to the revaluation reserve account. Since you do not amortize the revaluation reserve, the amount remains in the revaluation reserve account.

The effect of the revaluation is illustrated in the following table:

Period (Yr, Qtr.)	Asset Cost	Deprn. Expense	Accum. Deprn.	Reval. Reserve
Yr1 to Yr4				
Yr5,Q1	10,000.00	500.00	8,500.00	0.00
Yr5,Q2	10,000.00	500.00	9,000.00	0.00
Yr5,Q3	10,000.00	500.00	9,500.00	0.00
Yr5,Q4	10,000.00	500.00	10,000.00	0.00
Reval. 5%	10,500.00	0.00	*8,400.00	**2,100.00
Yr9,Q1	10,500.00	***262.50	8,662.50	2,100.00
Yr9,Q2	10,500.00	262.50	8,925.00	2,100.00
Yr9,Q3	10,500.00	262.50	9,187.50	2,100.00
Yr9,Q4	10,500.00	262.50	9,450.00	2,100.00
Yr10,Q1	10,500.00	262.50	9,712.50	2,100.00
Yr10,Q2	10,500.00	262.50	9,975.00	2,100.00
Yr10,Q3	10,500.00	262.50	10,237.50	2,100.00
Yr10,Q4	10,500.00	262.50	10,500.00	2,100.00

Account Description	Debit	Credit
Asset Cost	500.00	
Accumulated Depreciation	1,600.00	
Revaluation Reserve		2,100.00

Revaluation with Life Extension Ceiling

Example 5: You place an asset in service in Year 1, Quarter 1. The asset cost is \$10,000, the life is 5 years, and you are using straight-line depreciation. The asset's life extension factor is 3.0 and its life extension ceiling is 2.

In Year 5, Quarter 4 the asset is fully reserved. In year 9, quarter 1 you want to revalue the asset with a revaluation rate of 5%.

Revaluation Rules:

- Revalue Accumulated Depreciation = Yes
- Amortize Revaluation Reserve = No

To determine the depreciation adjustment, Oracle Assets uses the smaller of the life extension factor and the life extension ceiling. Since the life extension ceiling is smaller than the life extension factor, Oracle Assets uses the ceiling to calculate the depreciation adjustment. The new life used to calculate the depreciation adjustment is $2 * 5 \text{ years} = 10$ years, the life extension ceiling of 2 multiplied by the original 5 year life of the asset.

Oracle Assets calculates the asset's depreciation expense under the new life of 10 years up to the revaluation period, and moves the difference between this value and the existing accumulated depreciation from accumulated depreciation to revaluation reserve.

Oracle Assets then determines the new asset cost using the revaluation rate of 5% and revalues the accumulated depreciation with the same rate. Oracle Assets calculates the asset's new life by multiplying the current life by the life extension factor. The asset's new life is $3 * 5 \text{ years} = 15$ years. Oracle Assets bases the new depreciation expense on the revalued net book value and the new 15 year life.

The effect of the revaluation is illustrated in the following table:

Period (Yr, Qtr.)	Asset Cost	Deprn. Expense	Accum. Deprn.	Reval. Reserve
Yr1 to Yr4				
Yr5,Q1	10,000.00	500.00	8500.00	0.00
Yr5,Q2	10,000.00	500.00	9000.00	0.00
Yr5,Q3	10,000.00	500.00	9,500.00	0.00
Yr5,Q4	10,000.00	500.00	10,000.00	0.00
Reval. 5%	10,500.00	0.00	*8,400.00	**2,100.00

Period (Yr, Qtr.)	Asset Cost	Deprn. Expense	Accum. Deprn.	Reval. Reserve
Yr9,Q1	10,500.00	***75.00	8,475.00	2,100.00
Yr9,Q2	10,500.00	75.00	8,550.00	2,100.00
Yr9,Q3	10,500.00	75.00	8,625.00	2,100.00
Yr9,Q4	10,500.00	75.00	8,700.00	2,100.00
Yr10 to Yr15				

Depreciation Adjustment (calculated using life extension **ceiling**)= 2,000

Account Description	Debit	Credit
Asset Cost	500.00	
Accumulated Depreciation	1,600.00	
Revaluation Reserve		2,100.00

Revaluation with a Revaluation Ceiling

Example 6: You own an asset which has been damaged during its life. You placed the asset in service in Year 1, quarter 1. The asset cost is \$10,000, the life is 5 years, and you are using straight-line depreciation. You entered a revaluation ceiling of \$10,300 for the asset.

In year 3, quarter 3 you revalue the asset's category with a revaluation rate of 5%.

Revaluation Rules:

- Revalue Accumulated Depreciation = No
- Amortize Revaluation Reserve = Yes

If Oracle Assets applied the new revaluation rate of 5%, the asset's new cost would be higher than the revaluation ceiling for this asset, so instead Oracle Assets uses the ceiling as the new cost. The ceiling creates the same effect as revaluing the asset at a rate of 3%. Oracle Assets bases the asset's new depreciation expense on the revalued asset cost.

The effect of the revaluation is illustrated in the following table:

Period (Yr, Qtr.)	Asset Cost	Deprn. Expense	Accum. Deprn.	Reval. Amortize	Reval. Reserve
Yr1 to Yr 2					
Yr3,Q1	10,000.00	500.00	4,500.00	0.00	0.00
Yr3,Q2	10,000.00	500.00	5,000.00	0.00	0.00
Reval. *3%	10,300.00	0.00	0.00	0.00	**5,300.00
Yr3,Q3	10,300.00	***1,030.00	1,030.00	****530.00	4,770.00
Yr3,Q4	10,300.00	1,030.00	2,060.00	530.00	4,240.00
Yr4,Q1	10,300.00	1,030.00	3,090.00	530.00	3,710.00
Yr4,Q2	10,300.00	1,030.00	4,120.00	530.00	3,180.00
Yr4,Q3	10,300.00	1,030.00	5,150.00	530.00	2,650.00
Yr4,Q4	10,300.00	1,030.00	6,180.00	530.00	2,120.00
Yr5,Q1	10,300.00	1,030.00	7,210.00	530.00	1,590.00
Yr5,Q2	10,300.00	1,030.00	8,240.00	530.00	1,060.00
Yr5,Q3	10,300.00	1,030.00	9,270.00	530.00	530.00
Yr5,Q4	10,300.00	1,030.00	10,300.00	530.00	0.00
Account Description	Debit		Credit		
Asset Cost	300.00				
Accumulated Depreciation	5,000.00				
Revaluation Reserve			5,300.00		

Oracle Assets creates the following journal entries each period to amortize the revaluation reserve:

Account Description	Debit	Credit
Revaluation Reserve	530.00	
Revaluation Amortization		530.00

Related Topics

Asset Management in a Highly Inflationary Economy (Revaluation), page 5-32

Revaluing Assets, page 5-29

Journal Entries for Tax Accumulated Depreciation Adjustments

Example: You place an asset in service in Year 1, Quarter 1. The asset cost is \$4,000, the life is 4 years, and you are using straight-line depreciation. In Year 4, Quarter 1, your tax authority requests that you change the depreciation taken in Year 2 from \$1000 to \$800.

Oracle Assets creates the following journal entries for the reserve adjustment:

Account Description	Debit	Credit
Accumulated Depreciation	200.00	
Depreciation Adjustment		200.00

Related Topics

Depreciation Calculation, page 7-21

Running Depreciation, page 7-2

Tax Accounting

This chapter covers the following topics:

- Tax Book Maintenance
- Tax Book Upload Interface
- Updating a Tax Book with Assets and Transactions
- Deferred Income Tax Liability
- Determining Deferred Income Tax Liability
- Tax Credits
- Assigning Tax Credits
- Adjusted Current Earnings
- Updating an ACE Book with Accumulated Depreciation
- About the ACE Interface
- Handle Tax Audits
- Adjusting Tax Book Accumulated Depreciation

Tax Book Maintenance

You can copy your assets and transactions from your corporate book to your tax books automatically using Mass Copy. You can create as many tax books as you need, maintain your asset information in your corporate book, and then update your tax books with assets and transactions from your corporate book.

You must allow Mass Copy and choose whether to copy additions, cost adjustments, retirements, and salvage value for your tax book in the Book Controls window before you can run mass copy. You also specify which corporate book mass copy uses as the source. You cannot copy assets from one corporate book into another corporate book.

If you choose to copy adjustments, Oracle Assets copies cost adjustments from the associated corporate book if the unrevalued cost in the corporate book before the

adjustment matches the unrevalued cost in the tax book. It copies both adjustments that are ADJUSTMENT type in the tax book and adjustment transactions that create a new ADDITION type and update the ADDITION/VOID in the tax book.

Related Topics

How Initial Mass Copy Works, page 9-2

Initial Mass Copy Example, page 9-4

How Periodic Mass Copy Works, page 9-6

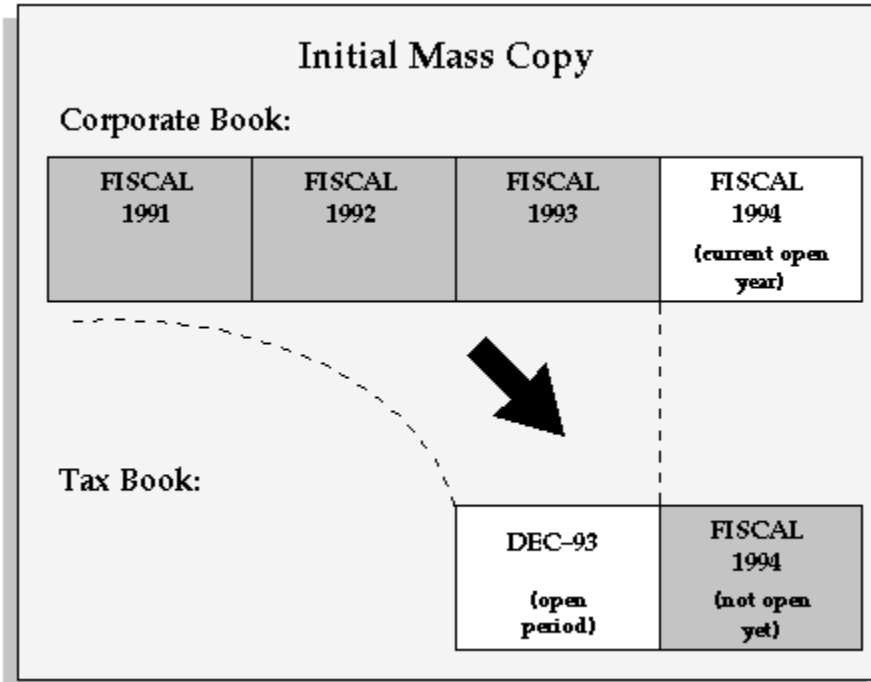
Periodic Mass Copy Example, page 9-13

Updating a Tax Book with Assets and Transactions, page 9-22

How Initial Mass Copy Works

Use Initial Mass Copy to initially populate your tax book by adding existing assets to a tax book.

Initial Mass Copy copies all the assets added to your corporate book before the end of the current tax fiscal year into the open accounting period in your tax book. The following graphic illustrates the Initial Mass Copy process. In the following example, your fiscal year is from January to December. Your corporate book open accounting period is February 1994 and your tax book open period is December 1993.



When using Initial Mass Copy for the first time in your tax book, you can run it as many

times as necessary for the first period to copy all existing assets. When you rerun the process, Initial Mass Copy only looks at assets which it did not copy into the tax book during previous attempts, so no data is duplicated.

If you wish to simultaneously run this program in more than one process to reduce processing time, Oracle Assets can be set up to run this program in parallel. For more information on setting up parallel processing and the FA: Number of Parallel Requests profile option, see: Profile Options and Profile Options Categories Overview, page B-1.

What Gets Copied

The current fiscal year in your tax book determines which assets Initial Mass Copy copies into your tax book. If the current fiscal year of your tax book is 1994, Initial Mass Copy copies all assets into your tax book as they appeared at the end of 1994 in your corporate book, even if 1995 is the current fiscal year of your corporate book. Only run Initial Mass Copy for the first period of your tax book. For following periods in your tax book, run Periodic Mass Copy.

Initial Mass Copy does not copy assets retired before the end of that year or assets added after the end of that year. You do not need to copy any adjustments or partial retirements you performed before the end of the fiscal year. When you close this initial period, Oracle Assets calculates the net book value of your assets that have zero accumulated depreciation in the tax book, and opens the next period.

When the Initial Mass Copy program copies an asset into a tax book, the following basic financial information comes from the corporate book:

- Cost
- Original Cost
- Units
- Date Placed in Service
- Capacity and unit of measure, for units of production assets
- Salvage Value, if you choose to Copy Salvage Value for the tax book in the Book Controls window

The remaining depreciation information comes from the default category information for your tax book according to the asset category and the date placed in service. You must set up your asset categories with default information for your tax book before you run Initial Mass Copy.

Since tax books share the category and assignments with their associated corporate book, you do not need to copy reclassifications or transfers from one book to another. Tax books also share production amounts with their associated corporate books for assets depreciating under units of production. Initial Mass Copy does not copy any

transactions on CIP assets or expensed items.

For subcomponent assets, copy the parent asset first. Then copy the subcomponent asset, defaulting the asset life according to the subcomponent life rule you defined for the tax category and the parent asset life. You must set up the depreciation method for the subcomponent asset life before you can use the method and life. If your subcomponent asset uses straight-line depreciation, Oracle Assets sets up the depreciation method for the calculated life for you. If the depreciation method is not straight-line, and not already set up for the subcomponent life rule default, Oracle Assets uses the asset category default life.

Group and member assets are copied like any other asset in Oracle Assets. As with any asset in Oracle Assets, the group assets must exist in a corporate book before they are added to the associated tax book. Mass copy will copy group assets from a corporate book to the associated tax book only if the same category exist in both books.

Related Topics

How Periodic Mass Copy Works, page 9-6

Updating a Tax Book with Assets and Transactions, page 9-22

Initial Mass Copy Example

You add an asset to your CORP book in the AUTO.DELIVERY category on 01-OCT-1994. You then continue depreciating your CORP book. You run initial mass copy for OCT-94 to your FEDERAL book. Notice that the asset has not yet been depreciated in the FEDERAL book.

	CORP	FED
Cost	12,000.00	12,000.00
Net Book Value	10,000.00	10,000.00

	CORP book	FEDERAL book
Open Period	APR-94	Q4-93
Depreciation Method	STL	MACRS HY
Life	3 years	3 years
Prorate Convention	Current Month	Half Year

Choose the first period for your tax book

Choose the period you begin your tax book carefully. For example, assume that 1994 is the current fiscal year in your corporate book, and you want to calculate your federal taxes for 1994. Also, assume you use a monthly calendar in your corporate book and a quarterly calendar in your tax book. If you start your new tax book for the end of the last quarter of 1993, you can reconcile your new book with the audited results from the accounting system you previously used to calculate your tax depreciation. This provides you with a verified starting point.

Use the Book Controls window to create a new federal tax book with Q4-93 as the Current Period Name. Enter 1993 as the current fiscal year for your tax book. When you run Initial Mass Copy, it copies all active assets from your corporate book, as of the end of 1993, into the Q4-93 period in your federal tax book. When you run the depreciation program, it calculates the net book value of each asset in your tax book using the depreciation method you specified in the Asset Categories window for the tax book. Reconcile these results with those of your previous tax system.

Verifying Initial Mass Copy

To verify that all assets were processed successfully, review the log file for your initial mass copy concurrent request. The log file lists the assets and transactions that did not copy into your tax book, the reasons why, and the actions you must take to resolve the problem.

After you run the program, run the Tax Additions Report to verify that initial mass copy added all the assets to the tax book. When you are satisfied with the information copied into your tax book, run depreciation to close the initial period and open the first period of the next fiscal year, 1993.

Now you can run Periodic Mass Copy. Since the corporate book uses a calendar fiscal year, run Periodic Mass Copy for JAN-93, FEB-93, and MAR-93 for the tax book while Q1-93 is open.

Note: You can use Periodic Mass Copy to populate a new tax book only if you added all your assets to your corporate book in the period for which you are running Mass Copy.

Related Topics

How Initial Mass Copy Works, page 9-2

Periodic Mass Copy Example, page 9-13

Tax Additions Report, page 12-61

Defining Depreciation Books, page 11-59

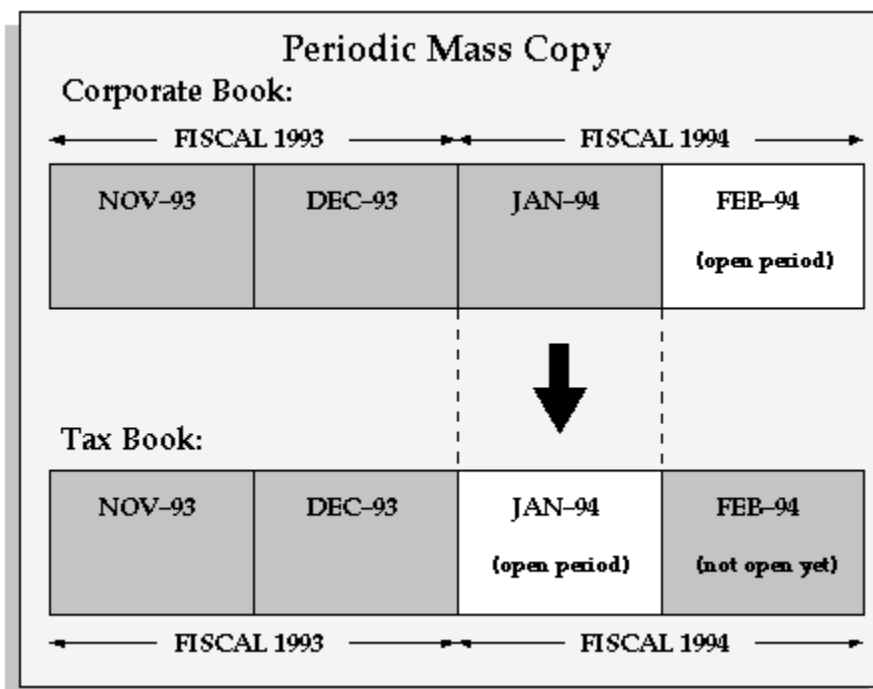
Updating a Tax Book with Assets and Transactions, page 9-22

How Periodic Mass Copy Works

Use Periodic Mass Copy each period to keep your tax book up to date with your corporate book.

Oracle Assets copies new assets and transactions you made in your corporate book during one accounting period in the current fiscal year into the open period of your tax book. You can run periodic mass copy on a daily basis, allowing tax books to be synchronized daily with the corporate book activity.

The following graphic illustrates the Periodic Mass Copy process. In the following example, your fiscal year is from January to December. Your corporate book open accounting period is February 1994 and your tax book open period is January 1994.



If you wish to simultaneously run this program in more than one process to reduce processing time, Oracle Assets can be set up to run this program in parallel. For more information on setting up parallel processing and the FA: Number of Parallel Requests profile option, see: Profile Options and Profile Options Categories Overview, page B-1.

Note: You can only run Periodic Mass Copy sequentially without skipping periods. When running Periodic Mass Copy, only the last period run and the following period are available in the period list of values.

Different Fiscal Year

Associated tax books can have different fiscal years than their corporate books. For example, the corporate book can have a fiscal year from January through December. The associated tax book can have a fiscal year from April through March.

Retirements/Reinstatements in the Tax Book Due to Different Fiscal Years

Retirements/Reinstatements are not allowed if a retirement with a transaction date in the current fiscal year in the corporate book falls into a prior year in the fiscal year of the tax book.

Retirement example:

- Corporate - Book Fiscal Year: July to June
- Tax Book - Fiscal Year: January to December
- Books are synchronized in March 2004.

Scenario 1:

Corporate book - March 2004: Retire asset backdated to December 2003 (fiscal 2004)

This transaction is possible since both December 2003 and March 2004 are in same fiscal year in the corporate book.

Scenario 2:

Tax book - March 2004: Periodic Mass Copy Retirement to the tax book.

This transaction fails because December 2003 and March 2004 are not in the same fiscal year in the tax book. Therefore the retirement crosses a fiscal year boundary in the tax book, which is not currently allowed.

Tip: Retire the asset as of January 2004 in the tax book. Since January is the first period of the open fiscal year in the tax book, it is the earliest period to which a retirement can be backdated in the tax book.

Reinstatement example:

- Corporate - Book Fiscal Year: July to June
 - Tax Book - Fiscal Year: January to December
 - Books are synchronized in December 2003.
1. Corporate book - December 2003: Retire asset.
 2. Tax book - December 2003: Periodic Mass Copy retirement to the tax book.

3. Corporate book - January 2004: Reinstate January retirement.
4. Tax book - January 2004 - Periodic mass copy reinstatement to tax book. The transaction fails because December 2003 and January 2004 are not in the same fiscal year in the tax book. Therefore the reinstatement crosses a fiscal year boundary in the tax book, which is not currently allowed.

Tip: Reinstatement is not possible in this case. The cost can be manually adjusted to effectively reinstate the cost but the retirement transaction, including gain/loss and reserve, cannot be reversed.

Period Date Range Gaps and Overlaps

If the tax book has a different date range than the corporate book for individual periods, the gap between the periods can cause certain transactions to be ignored. Transactions that do not have a transaction date within or prior to the tax period into which they are being copied will be rejected. For example, transactions dated in February can not be mass copied into a tax book in which the open period ends in January. The transactions can be copied into a subsequent month in the tax book. These scenarios can be managed by the sequence and periods for which mass copy is run.

Future Transaction example (corporate period overlaps tax period):

- Books are synchronized in January 2004.
 - Corporate book period range: DEC-29-2003 through FEB-01-2004
 - Tax book period range: JAN-01-2004 through JAN-31-2004
1. Corporate book - January 2004: Add/adjust/retire asset with a transaction date of FEB-01-2004. Any transaction subject to mass copy will be affected.
 2. Tax book - January 2004: Periodic Mass Copy for January 2004. The January period in the tax book ends on JAN-31-2004 so transactions dated on FEB-01-2004 are not copied. After closing the January 2004 period in the tax book, re-run Periodic Mass Copy for the January 2004 period (copy January 2004 from the corporate book into February 2004 in the tax book). Periodic mass copy will pick up the previously rejected transactions dated FEB-01-2004 since they now fall into the current open tax period.

Note: The January 2004 re-run of mass copy must be completed prior to running Periodic Mass Copy for February 2004. The first time Periodic Mass Copy is run for February 2004, then January 2004 will no longer be available in the parameters.

Future Transaction example (tax period overlaps corporate period):

- Books are synchronized in January 2004.
 - Corporate book period range:
 - January: JAN-01-2004 through JAN-31-2004
 - February: FEB-01-2004 through FEB-28-2004
 - Tax book period range:
 - January: DEC-30-2003 through FEB-01-2004
 - February: FEB-02-2004 through MAR-01-2004
1. Corporate book - January 2004: Perform transactions for month of January
 2. Tax book - January 2004: Periodic Mass Copy for January 2004.
 The two previous transactions (to which mass copy applies) will successfully copy since the transaction dates are through JAN-31-2004, which is included in the open tax period.
 3. Corporate book: Close January 2004 (leave tax book open).
 At this stage you would normally close the tax book to keep the periods synchronized. However, the tax period extends through FEB-01-2004. If you want to copy the FEB-01-2004 transactions into the corporate book, follow steps 4 and 5.
 4. Corporate book - February 2004: Enter transactions dated on FEB-01-2004
 5. Tax JAN 2004: Since Periodic Mass Copy is allowed for the open corporate period, run Periodic Mass Copy and copy the February corporate book into the January tax book immediately after the transactions for FEB-01-2004 are complete in the corporate book. Transactions with a transaction date of FEB-01-2004 will be copied to the January tax period.

Transaction Sequence in Tax Book

Transaction Sequence Example (Corporate period overlaps tax period):

- Books are synchronized in January 2004.
 - Corporate book period range: DEC-29-2003 through FEB-04-2004
 - Tax book period range: JAN-01-2004 through JAN-31-2004
 - An existing asset was added in the prior year to both books.
1. Corporate book - January 2004: Adjust the cost of the asset with a JAN-31-2004

transaction date.

2. Corporate book January 2004: Adjust the cost of the asset with a FEB-01-2004 transaction date.
3. Corporate book - January 2004: Retire the asset with a JAN-31-2004 transaction date.
4. Tax book - January 2004: Periodic Mass Copy for JAN 2004.

The January period in the tax book ends on JAN-31-2004 so transactions dated on FEB-01-2004 will not copy. Therefore, the transaction on line 2 fails to copy and the transactions on lines 1 and 3 copy successfully.

Since the cost adjustment on line 2 was not copied, the result is that the retirement on line 3 is applied to a different cost in the tax book than in the corporate book. This occurs because multiple transactions are entered in the overlap period with transaction dates that do not all fall into the same tax period. To avoid this result, it must be controlled from the point of transaction entry.

Note: If all of the transactions were entered with transaction dates backdated prior to the end date of the open tax period, then all transactions would copy and there would be no issue with the transaction sequence.

Transaction Grouping in Tax Book

Typically each transaction in the corporate book that is subject to mass copy is copied as a separate transaction into the tax book. In the case of addition transactions, the state of the asset in corporate as of the close of the period of addition is used to create a single addition transaction in the tax book.

The ability to run mass copy before the period is closed means that the addition can be copied prior to adjustments in the period of addition. Therefore, depending on the timing and number of times mass copy is run, the tax book may reflect a different number of transactions than the corporate book. Please refer to the following example for clarification.

Grouping Example:

- Books are synchronized in January 2004
 - Corporate book period: January
 - Tax Book Period: January
1. Corporate book - January 2004: Add asset.
 2. Tax book - January 2004: Periodic Mass Copy Addition to Tax.

3. Corporate book - January 2004: Cost Adjustment 1.
4. Corporate book - January 2004: Cost Adjustment 2.
5. Corporate book - January 2004: Cost Adjustment 3.
6. Tax book - January 2004: Periodic Mass Copy

If Periodic Mass Copy is run after each cost adjustment then the tax book reflects all three of the adjustments. If Periodic Mass Copy is run after several adjustments (as in the example above) then they are grouped in the tax book into a single adjustment transaction.

What Gets Copied

The Periodic Mass Copy program copies addition, adjustment, retirement, and reinstatement transactions to your tax book from the current period in the associated corporate book.

Note: You can use Periodic Mass Copy to populate a new tax book if you added all your assets to your corporate book in the period for which you are running Mass Copy.

Periodic Mass Copy copies all qualifying transactions for an asset one at a time. It does not combine transactions, and only copies transactions from an accounting period in the associated corporate book.

Since tax books share the category and assignments with their associated corporate book, you do not need to copy reclassifications or transfers from your corporate book to your tax books. Tax books also share production information with their associated corporate book for your units of production assets. Periodic Mass Copy does not copy any transactions on CIP assets or expensed items. Finally, it does not copy revaluations.

When you use the same calendar in both the tax and the corporate book, Periodic Mass Copy copies asset transactions into your tax book just as they appear in your corporate book. If two transactions that fall into separate corporate periods fall into the same tax period, Periodic Mass Copy may copy the transactions differently.

Addition Transactions

Oracle Assets copies additions from your corporate book to your tax book if you chose to Copy Additions in the Book Controls window.

If you use different calendars in the tax and the corporate books, some **prior period additions** in your corporate book might be current period additions in your tax book. Oracle Assets treats an addition in your tax book as prior period only if the asset's date placed in service is before the first day of the current tax book accounting period.

Capitalizations

The Periodic Mass Copy program treats CIP asset capitalization transactions exactly the same way it treats addition transactions, since the CIP asset is not already in the tax book.

Adjustments

Oracle Assets always copies capacity adjustments and unit of measure changes for your units of production assets, regardless of what you enter for the Copy Adjustments flag in the Book Controls window. If you do not allow amortized adjustments in your tax book, Mass Copy copies an amortized capacity adjustment as an expensed adjustment.

Oracle Assets copies other adjustments from your corporate book to your tax book if you check Copy Adjustments in the Book Controls window. Oracle Assets copies all adjustments, whether your tax book periods are the same as your corporate book periods or longer. It only copies cost adjustments if the unrevalued cost before the adjustment in the corporate book and the unrevalued cost in the tax book are the same.

Oracle Assets copies salvage value adjustments if you chose Copy Salvage Value in the Book Controls window. It only copies adjustments if the salvage value before the adjustment in the corporate book and the current salvage value in the tax book are the same.

Retirements

Oracle Assets copies retirement (partial and full) and reinstatement transactions from your corporate book to your tax books if you check Copy Retirements in the Book Controls window.

Oracle Assets does not allow partial unit retirements in tax books, so Oracle Assets translates partial unit retirements in the corporate book into partial cost retirements for your tax books.

For partial cost retirements, if the asset cost is not the same in the two books, Oracle Assets retires an amount from the tax book that is proportional to the cost retired in the corporate book, using this formula:

$$\text{Tax Cost Retired} = (\text{Corporate Cost Retired} / \text{Total Corporate Cost}) \times \text{Total Tax Cost}$$

Oracle Assets copies full retirements, even when the cost is different in the tax book. If you have fully or partially retired an asset in your tax book, Oracle Assets does not copy over any more transactions for the asset. When the asset is reinstated manually in the tax book, all future transactions must be entered manually.

Oracle Assets copies reinstatement transactions into your tax book, unless you already performed the reinstatement in your tax book.

Oracle Assets treats a retirement in your tax book as prior period only if the asset's retirement date is before the first day of the current tax book accounting period.

Related Topics

How Initial Mass Copy Works, page 9-2

Periodic Mass Copy Example, page 9-13

Periodic Mass Copy Example

You adjust the cost of an asset on 15-APR-94. The new asset cost is \$15,000.00, and you expense the adjustment.

Field	CORP	FED
Cost	15,000.00	15,000.00
Net Book Value	12,000.00	8,333.31

	CORP book	FEDERAL book
Open Period	APR-94	Q2-94
Depreciation Method	STL	MACRS HY
Life	3 years	3 years
Prorate Convention	Current Month	Half Year

Verifying Periodic Mass Copy

After the Periodic Mass Copy process runs, it will return a status of Error, Warning, or Normal. These are described in the table below:

Status	Description
ERROR	One or more fatal errors
WARNING	One or more non-fatal errors
NORMAL	No errors

To verify that all assets were processed successfully, review the log file of your periodic mass copy concurrent request. The log file lists the assets and associated transaction numbers that did not copy into your tax book. The transaction number is a unique

reference to the transaction being copied from the corporate to the tax book. The log file lists the reason for the error, and may include the action you must take for resolution. You can also use Transaction History to query the transaction number of the error to determine the cause of the error and to determine the corrections required.

The difference between a fatal and a non-fatal error is where the failure occurs in the program. Mass copy performs various basic validation routines for all transactions being copied. If the validation fails, it is treated as a non-fatal error and the reason is noted in the execution report as shown in the following example:

Asset Number	Transaction Number	Action
10-02	585	The adjustment is not a cost, salvage value, or production capacity adjustment

Some errors cannot be resolved and are just noted, as illustrated by the example above. You can optionally address some non-fatal errors, such as a category not being defined in the tax book for an asset addition being copied.

A fatal error occurs when the transaction passes all the initial validation within mass copy, but fails within the corresponding transaction. Any such failure will be noted in the exception report as illustrated in the following example:

Asset Number	Transaction Number	Action
10-27	587	Mass Copy failed on this asset transaction

More details about such problems must be retrieved from the log file to determine what action must be taken. For example, this could include addressing disabled accounts causing account generator failures or suggesting a call to support for additional debugging or assistance.

Next, run the Tax Additions Report, Financial Adjustments Report, and Tax Retirements Report on your tax book to view all the transactions that Oracle Assets copied to the tax book.

Related Topics

How Initial Mass Copy Works, page 9-2

Tax Additions Report, page 12-61

Financial Adjustments Report, page 12-78

Tax Retirements Report, page 12-62

Defining Depreciation Books, page 11-59

Updating a Tax Book with Assets and Transactions, page 9-22

Tax Book Upload Interface

The Tax Book Upload interface table allows you to enter tax information via SQL. Once the assets have been added into your tax books, you can change basic financial information, such as year-to-date depreciation, accumulated reserve, cost, and salvage value, for an unlimited number of assets in the tax books. You can use the Tax Book Upload interface table to enter tax information only in the period you added the assets to your tax book. You can also use the Tax Book Upload interface table to upload short tax year information.

Note: You cannot use the Tax Book Upload interface to update the tax information of CIP assets in your tax book.

You can use the FA: Copy All Cost Adjustments profile option to allow the Mass Copy program to copy all cost adjustments, even when the unvalued cost is different in the corporate book and the associated tax books. See: Profile Options in Oracle Assets, page B-1.

Populating the FA_TAX_INTERFACE Table

Use SQL*Plus to enter the appropriate information into the FA_TAX_INTERFACE table for each asset and tax book name. See: Tax Book Upload Example, page 9-22.

Required fields are Asset Number, Asset ID, and Tax Book. You cannot run the Upload Tax Book Interface concurrent process unless these fields contain values.

If you need to make changes to the Tax Book Upload Interface table that include changes to the DEPRECIATE_FLAG column, you must upload the changes to the DEPRECIATE_FLAG column separately from other changes. For example, you cannot upload changes to the COST column and the DEPRECIATE_FLAG column at the same time. You should make all changes to the asset (excluding changes to the DEPRECIATE_FLAG column) and post them. You can then delete the original rows in the table, and for those assets requiring a change to the DEPRECIATE_FLAG column insert new rows with only the ASSET_ID, BOOK, and DEPRECIATE_FLAG specified. You can also submit the changes to the DEPRECIATE_FLAG column first, before submitting the other changes.

If you specify a depreciation method in the table, other fields may be required. For Calculated and Table-based methods, LIFE_IN_MONTHS is required. For Units of Production methods, PRODUCTION_CAPACITY is required. For Flat Rate methods, ADJUSTED_RATE and BASIC_RATE are required. Also note that if you enter values for any of these fields, you must enter the depreciation method. For example, if you enter a value for LIFE_IN_MONTHS, you should enter Calculated or Table for the

depreciation method.

Note: Only the values you are changing need to be populated, with the exception of required fields.

The following table lists the name, type, and description of each column in the FA_TAX_INTERFACE table, along with whether each column is null or not null.

FA_TAX_INTERFACE TABLE

Column Name	Null / Not Null	Type	Comments
ADJUSTED_RATE	NULL	NUMBER	The actual rate used to calculate depreciation for flat-rate methods.
AMORTIZATION_START_DATE	NULL	DATE	The date to start amortizing the net book value over the remaining useful life, if AMORTIZE_NBV_FLAG is set to Y.
AMORTIZE_NBV_FLAG	NULL	VARCHAR2(3)	Determines whether to amortize the net book value over the remaining useful life.
ASSET_NUMBER	NOT NULL	VARCHAR2(15)	Enter the assigned asset number of the short tax year assets.
BASIC_RATE	NULL	NUMBER	The base rate used to calculate the depreciation amount for flat-rate methods.
BONUS_RULE	NULL	VARCHAR2(30)	Identifies the bonus rule to use in calculating depreciation for flat-rate methods.

BOOK_TYPE_CODE	NOT NULL	VARCHAR2(15)	The tax book name.
CEILING_NAME	NULL	VARCHAR2(30)	This field identifies a depreciation ceiling to use in calculating depreciation.
CONVERSION_DATE	NULL	DATE	The date the short tax year asset was added to the acquiring company.
COST	NULL	NUMBER	The current cost of the asset.
CREATED_BY	NULL	NUMBER(15)	Standard Who column.
CREATION_DATE	NULL	DATE	Standard Who column.
DATE_PLACED_IN_SERVICE	NULL	DATE	The date the asset was placed in service.
DEPRECIATE_FLAG	NULL	VARCHAR2(3)	Indicates whether the asset is depreciating.
DEPRN_METHOD_CODE	NULL	VARCHAR2(12)	The name of the depreciation method for the asset.
DEPRN_RESERVE	NULL	NUMBER	The amount of depreciation reserve.
FULLY_RSVD_REVALSCOUNTER	NULL	NUMBER	The number of time an asset has been revalued as fully reserved.
ITC_AMOUNT_ID	NULL	NUMBER(15)	The amount of the investment tax credit (ITC).
LAST_UPDATE_DATE	NULL	DATE	Standard Who column.

LAST_UPDATE_LO GIN	NULL	NUMBER(15)	Standard Who column.
LAST_UPDATED_BY	NULL	NUMBER(15)	Standard Who column.
LIFE_IN_MONTHS	NULL	NUMBER(4)	The life of the asset in total months.
ORIGINAL_COST	NULL	NUMBER	The original cost of the asset.
ORIGINAL_DEPRN_ START_DATE	NULL	DATE	Enter the original depreciation start date. This is the date when the asset began depreciating in the acquired company.
POSTING_STATUS	NULL	VARCHAR2(15)	The tax upload status: New, On Hold, Post, or Posted.
PRODUCTION_CAP ACITY	NULL	NUMBER	The capacity of a units of production asset.
PRORATE_CONVEN TION_CODE	NULL	VARCHAR2(10)	The depreciation prorate convention used for the asset.
REVAL_AMORTIZA TIONBASIS	NULL	NUMBER	The revaluation reserve used in calculating amortization of revaluation reserve. This is updated only when the asset is revalued or an amortized adjustment is performed on the asset.
REVAL_CEILING	NULL	NUMBER	The upper limit for revaluing asset cost.

REVAL_RESERVE	NULL	NUMBER	For a period in which the asset was revalued, this field shows the change in the net book value due to revaluation of asset cost, and sometimes, revaluation of depreciation reserve. For all other periods, this field shows the revaluation reserve amount after depreciation is run.
SALVAGE_VALUE	NULL	NUMBER	The asset salvage value.
SHORT_FISCAL_YEAR_FLAG	NULL	VARCHAR2(3)	Determines whether the asset should be set up as a short tax year asset.
TAX_REQUEST_ID	NULL	NUMBER(15)	The concurrent request number for the Tax Book Upload program.
TRANSACTION_NAME	NULL	VARCHAR2(30)	Description of the transaction.
UNREVALUED_COST	NULL	NUMBER	The cost of the asset without regard to any revaluations.
YTD_DEPRN	NULL	NUMBER	The year to date depreciation.

YTD_REVAL_DEPR NEXPENSE	NULL	NUMBER	The year-to-date depreciation expense due to revaluation. Oracle Assets does not create journal entries for this amount. It is for reporting purposes only.
ATTRIBUTE1- ATTRIBUTE15	NULL	VARCHAR2(150)	Descriptive flexfield segment.
GLOBAL_ATTRIBUT E1- GLOBAL_ATTRIBUT E20	NULL	VARCHAR2(150)	Reserved for country-specific functionality.
GLOBAL_ATTRIBUT ECATEGORY	NULL	VARCHAR2(150)	Reserved for country-specific functionality.
NBV_AT_SWITCH	NULL	NUMBER	The net book value of an asset at the date the original rate was switched to the revised rate.
PERIOD_FULL_RESE RVE	NULL	VARCHAR2(30)	The period in which the asset became fully reserved.
PERIOD_EXTD_DEP RN	NULL	VARCHAR2(30)	The first period for which the asset begins extended depreciation.
PRIOR_DEPRN_LIMI T_TYPE	NULL	VARCHAR2(30)	The depreciation limit type for the asset immediately before it began extended depreciation.

PRIOR_DEPRN_LIMIT_AMOUNT	NULL	NUMBER	The depreciation limit amount for the asset immediately before it began extended depreciation.
PRIOR_DEPRN_LIMIT	NULL	NUMBER(15)	The depreciation limit as a percentage of cost for the asset immediately before it began extended depreciation.
PRIOR_DEPRN_METHOD	NULL	VARCHAR2(12)	The depreciation method for the asset immediately before it began extended depreciation.
PRIOR_LIFE_IN_MONTHS	NULL	NUMBER(6)	The life in months for the asset immediately before it began extended depreciation.
PRIOR_BASIC_RATE	NULL	NUMBER	The basic rate of the asset immediately before it began extended depreciation.
PRIOR_ADJUSTED_RATE	NULL	NUMBER	The adjusted rate of the asset immediately before it began extended depreciation.

Upload Tax Book Interface

To copy tax book information into your tax book, you need to run the Upload Tax Book Interface concurrent process from the Submit Request window. Before running the Upload Tax Book Interface concurrent process, make sure POSTING_STATUS is set to Post.

If you wish to simultaneously run this program in more than one process to reduce processing time, Oracle Assets can be set up to run this program in parallel. For more

information on setting up parallel processing and the FA: Number of Parallel Requests profile option, see: Profile Options and Profile Options Categories Overview, page B-1

Tax Book Upload Example

The following example shows how you can use the Tax Book Upload feature and the FA: Copy All Cost Adjustments profile option to copy cost adjustments when the unrevalued cost in the corporate book is different from the unrevalued cost in the tax book:

1. You add an asset in the corporate book with an original cost of \$100.
2. After running mass copy, the asset now appears in your tax book with an original cost of \$100.
3. You want to change the original cost amount in the tax book to \$80, so you execute the following SQL script:

```
insert into fa_tax_interface
(asset_number, book_type_code, cost, posting_status)
values ('12345', 'ABCTAX', 80, 'POST');
```

4. You run the Upload Tax Book Interface program so that the asset in the tax book now has an original cost of \$80.
5. Next, you adjust the asset cost in the corporate book from \$100 to \$200.
6. You run the Mass Copy program to the tax book with the profile option FA: Copy All Cost Adjustments set to Yes.
7. This adjustment is reflected in the tax book with a new cost of \$180.

Note: If you have two different cost values for your corporate and tax books, and you want the Periodic Mass Copy program to copy all cost adjustments to your tax books, you must set the FA: Copy All Cost Adjustments profile option to Yes. If you do not set the FA: Copy All Cost Adjustments profile option to Yes, you will not be able to take advantage of the Periodic Mass Copy functionality that allows subsequent cost adjustments to be copied to the tax books.

Updating a Tax Book with Assets and Transactions

Use Initial Mass Copy once to set up your tax book with assets from your corporate book. Then use Periodic Mass Copy each period to update the tax book with new assets and transactions.

If an asset already exist in the corporate book, you can manually add it to the tax book. To add the asset, use the Asset Workbench to query the asset and select the Tax Book.

Oracle Assets defaults the depreciation rules you defined for the category and date placed in service in the tax book. For assets depreciating under the units of production method, Oracle Assets automatically copies the cost, date placed in service, and capacity from the corporate book.

Prerequisites for Initial Mass Copy

- Specify Mass Copy rules, and Allow Mass Copy for the tax book in the Book Controls window. See: Defining Depreciation Books., page 11-59
- Set up your asset categories for the tax book in the Asset Categories window. See: Setting Up Asset Categories, page 11-188.
- Set up your prorate calendar for the tax book for the first tax period. See: Specifying Dates for Calendar Periods, page 11-53.

To initially populate a new tax book with assets and transactions:

1. Choose Tax > Initial Mass Copy from the Navigator window.
2. In the Parameters window, enter the name of the tax depreciation Book to which you want to copy your corporate book assets and transactions.
3. Choose Submit to submit a concurrent process that copies assets and transactions into your new tax book.
4. Review the log file and correct any errors.
5. Run the Initial Mass Copy program again if necessary.
6. Review the log file after the request completes.

To periodically update a tax book with assets and transactions:

Note: Ensure that you have run Initial Mass Copy for your tax book if you added assets to the corporate book before this period. You also must close the appropriate period in the corporate book before copying assets and transactions to a tax book.

- Choose Tax:Periodic Mass Copy from the Navigator window. Enter the Book and Corporate Period from which you want to copy assets and transactions for the period. Review the log file and correct any errors.

To manually add a single asset to a tax book:

1. Choose Assets > Asset Workbench from the Navigator window.
2. Find the asset you want to add to a tax book.
3. Choose Books.
4. Enter the name of the tax Book to which you want to add the asset.
5. Review the depreciation rules.
6. Save your work.

Related Topics

Submitting a Request, *Oracle Applications User's Guide*

Tax Book Maintenance, page 9-1

Depreciation Rules (Books), page 3-5

Tax Additions Report, page 12-61

Tax Retirements Report, page 12-62

Financial Adjustments Report, page 12-78

Deferred Income Tax Liability

Your tax authority determines how you account for temporary differences in expenses between the corporate book and the tax book. One of the largest temporary differences is depreciation expense. For example, in the corporate book, you may depreciate assets using a straight-line method. For tax purposes, however, you can often use an accelerated depreciation method to take more depreciation in the early years of an asset's life and less in the later years. The higher depreciation expense in the early years reduces your taxes at that time. Your tax authority may require that you create a liability on your balance sheet to account for the tax payment delay. Deferred depreciation, the temporary difference in depreciation expense between the corporate book and the tax book, is a part of this liability.

To determine the depreciation contribution to your tax liability, calculate the two types of depreciation differences that exist between the corporate book and the tax book. Some differences are temporary; they occur when you use different depreciation methods in the corporate and the tax books. The depreciation calculation reduces, and eventually eliminates, the temporary difference as the asset becomes fully reserved.

Permanent differences occur when you define different recoverable costs for an asset in the corporate book and the tax book. Permanent differences arise from differences in

cost or salvage value, or the effect of investment tax credit basis reductions. The difference is permanent because you never eliminate it through depreciation. The following equations describe how permanent differences affect the recoverable cost in the corporate book and the tax book:

Corporate Recoverable Cost = Corporate Cost - Corporate Salvage Value

Tax Recoverable Cost = the lesser of (Tax Cost - Tax Salvage Value - ITC Basis ReductionAmount) or Depreciation Cost Ceiling, if any

You can use these calculations to determine your FASB 109 tax liability under United States tax law.

Determine Your Future Income Tax Liability

You can determine the contribution that depreciation makes to your tax liability by projecting depreciation expense for future years and then adjusting depreciation expense for permanent differences. To determine your future income tax liability, you can:

1. Project annual depreciation expense in the corporate and tax books.
2. Determine the recoverable cost in the corporate and tax books as of the end of the fiscal year.
3. Adjust the depreciation projection values to account for the permanent differences in depreciation.

For each projected year, you need three values: corporate depreciation expense, tax depreciation expense, and adjusted tax depreciation expense. You take the corporate and tax depreciation expense values directly from the Depreciation Projection Report. To determine the adjusted tax depreciation expense, you calculate the ratio of the corporate recoverable cost to the tax recoverable cost. You take the corporate and tax recoverable cost values directly from the Recoverable Cost Report. You then multiply the ratio by the tax depreciation expense.

Adjusted Tax Depreciation Expense = Tax Depreciation Expense X (Corporate Recoverable Cost / Tax Recoverable Cost)

You can use the difference between the corporate depreciation expense and the adjusted tax depreciation expense for each projection year as the net amount in your tax liability calculations.

Use this information to determine the tax liability depreciation contribution net of the permanent differences.

Example: Future Income Tax Liability Calculation

You have closed your corporate and tax books for your 1992 fiscal year. You run the Depreciation Projections program to project depreciation for five years, beginning with

fiscal year 1993. The Depreciation Projection Report prints the following results:

Year	Corporate Depreciation Expense	Tax Depreciation Expense
1993	15,000	25,000
1994	15,000	20,000
1995	15,000	15,000
1996	10,000	10,000
1997	10,000	5,000

Next, you run the Recoverable Cost Report for the last period of your 1992 fiscal year to determine the recoverable cost in both depreciation books.

Corporate Recoverable Cost = 65,000

Tax Recoverable Cost = 75,000

You then calculate the ratio of the corporate recoverable cost to the tax recoverable cost.

Corporate Recoverable Cost/Tax Recoverable Cost

= 65,000/75,000

= 0.867

Now you have the information you need to adjust the tax depreciation projections.

Using the ratio 0.867, you can calculate the adjusted tax depreciation expense:

Year	Tax Depreciation Expense	Adjusted Tax Depreciation Expense
1993	25,000	21,675
1994	20,000	17,340
1995	15,000	13,005
1996	10,000	8,670
1997	5,000	4,335

You now can determine the tax liability depreciation contribution net of the permanent differences:

Year	Corporate	Adjusted Tax	Net Taxable (Deductible)
1993	15,000	21,675	(6,675)
1994	15,000	17,340	(2,340)
1995	15,000	13,005	1,995
1996	10,000	8,670	1,330
1997	10,000	4,335	5,665

You can use the net taxable (deductible) amount in your tax liability calculations for each projection year in your financial statement.

Related Topics

Determining Deferred Income Tax Liability, page 9-27

Projecting Depreciation Expense, page 7-43

Depreciation Projection Report, page 12-38

Determining Deferred Income Tax Liability

You can determine either actual income tax liability or future deferred income tax liability. You can calculate deferred depreciation and create deferred depreciation journal entries for your general ledger. Deferred depreciation is the difference in depreciation expense taken for an asset between a tax book and its associated corporate book. You can also project depreciation expense and use those values to determine future income tax liability.

Your tax book and associated corporate book must use the same number of periods per fiscal year. The general ledger period for which you want to create journal entries must be open.

Note: You cannot roll back deferred journal entries, nor can you run the Deferred Create Journal Entries program multiple times.

Prerequisite

- Run the Depreciation program for your corporate and tax books for this period. See: Running Depreciation., page 7-2

To calculate journal entries for ACTUAL income tax liability:

1. Choose Journal Entries > Deferred from the Navigator window.
2. Enter the tax book from which you want to create journal entries for your general ledger.
3. Enter the period in your tax book from which you want to create journal entries.
4. Choose Submit to submit a concurrent process to create deferred depreciation journal entries.
5. Review the log file after the request completes.

To calculate FUTURE income tax liability:

1. Project annual depreciation expense in the corporate book and the tax book. See: Projecting Depreciation Expense., page 7-43

You can project depreciation expense for future periods based on the asset's current financial information. To calculate your tax liability, run depreciation projections as soon as you close your corporate and tax books for the fiscal year. You project depreciation expense for several years, beginning with the next fiscal year. When you wait until the end of a fiscal year to project depreciation, Oracle Assets calculates depreciation expense using financial information from the entire previous fiscal year.
2. Run the Recoverable Cost Report for the last period of the fiscal year you just closed to determine the recoverable cost in the corporate and the tax book as of the end of the fiscal year.
3. Adjust the depreciation projection values to account for the permanent differences in depreciation between the two books.

Related Topics

Submitting a Request, *Oracle Applications User's Guide*

Deferred Income Tax Liability, page 9-24

Recoverable Cost Report, page 12-59

Tax Credits

You can automatically calculate an asset's Investment Tax Credit (ITC). You can use investment tax credit as specified in United States tax law that affects assets placed in

service before 1987. Oracle Assets calculates the ITC amount and basis reduction amount and reduces the asset's depreciable basis.

An asset is eligible for ITC only if you allow ITC on your book. ITC only applies to assets depreciating under life-based depreciation methods.

Enter an asset's ITC

ITC rates vary according to asset life. You choose a rate from a list of rates that are defined for the asset life and date placed in service. After you enter the ITC Rate for your asset, Oracle Assets automatically calculates and displays the ITC Amount and the Recoverable Cost.

Calculate ITC

Oracle Assets calculates the ITC for an asset. The ITC Basis for an asset is the lesser of its original cost and the ITC Ceiling, if one is used.

ITC Basis Reduction Amount = ITC Basis X Basis Reduction Rate

ITC Amount = ITC Basis X ITC Rate

When you retire an asset for which you have claimed an Investment Tax Credit, Oracle Assets checks if the retirement is premature. If you retire an asset before it is fully reserved, the Calculate Gains and Losses program calculates the recapture amount.

ITC Recapture = ITC Amount X ITC Recapture Rate X (Cost Retired / Current Cost)

Related Topics

Assigning Tax Credits, page 9-29

Defining Investment Tax Credit Rates, page 11-179

Defining Depreciation Books, page 11-59

Setting Up Asset Categories, page 11-188

Investment Tax Credit Report, page 12-57

Assigning Tax Credits

You can assign an Investment Tax Credit to an asset in a tax book only if you allow ITC for that tax book, and if it is depreciating using a life-based method.

You can assign an ITC for an asset in as many tax books as you want. For each tax book, Oracle Assets shows you the current cost and the recoverable cost, which is reduced by the basis reduction amount.

Prerequisites

- Allow ITC for the book and the category. See: Defining Depreciation Books., page

- Set up investment tax credit rates and ceilings. See: Defining Investment Tax Credit Rates., page 11-179
- Add your assets to your tax book. See: Updating a Tax Book with Assets and Transactions., page 9-22

To assign tax credit rates for an asset:

1. Choose Tax > Tax Workbench from the Navigator window.
2. Find your asset.
3. Choose Investment Tax Credits.
4. Scroll to the record to which you want to assign tax credit rates.
5. Specify the ITC rate and the Basis Reduction Rate for the asset.
Note the new recoverable cost of the asset. Oracle Assets calculates the ITC basis, ITC amount, and the recoverable cost automatically.
6. Save your work

To cancel ITC for an asset:

Note: You can cancel ITC for assets added in the current period only.

- Erase the rate and save your change.

To change a previously assigned ITC rate for an asset:

- Change the rate and save your change.
You cannot change any ITC information if retirements are pending or if the asset is fully reserved or fully retired.

Related Topics

Tax Credits, page 9-28

Investment Tax Credit Report, page 12-57

Adjusted Current Earnings

United States tax law defines the Adjusted Current Earnings (ACE) depreciation rules. You can update your ACE book according to ACE rules automatically.

To provide sufficient ACE information for your tax purposes, you must create a separate ACE book for your existing assets. Assign each asset a depreciation method, life, and prorate convention according to ACE rules. Oracle Assets converts your assets to the new depreciation methods automatically when you update the ACE book. Oracle Assets also provides two exception reports that list the assets that Oracle Assets cannot update in the ACE book.

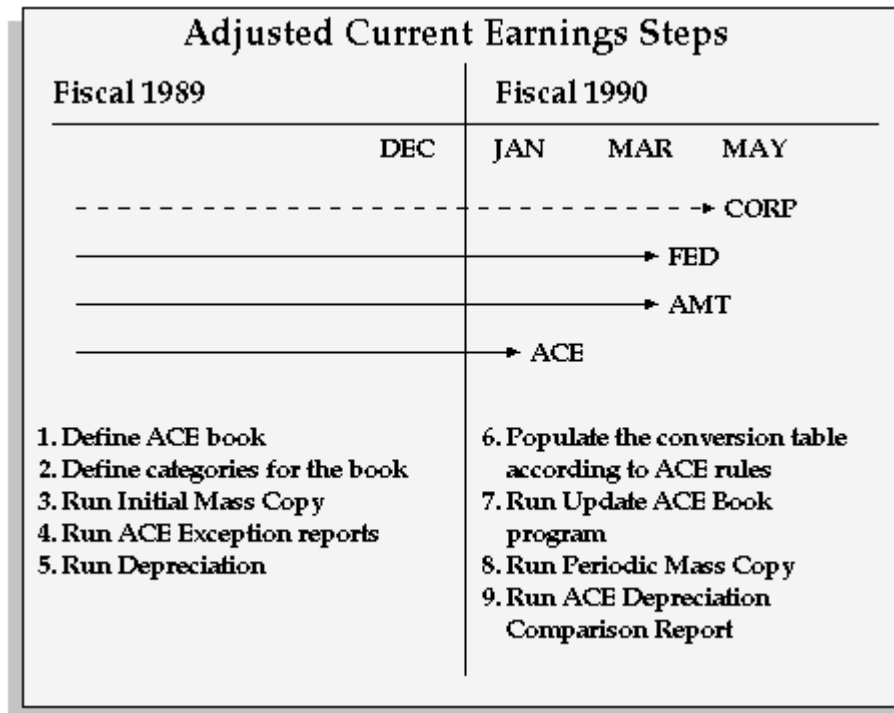
To implement ACE, you must define the initial open period of your corporate, ACE, federal, and Alternate Minimum Tax (AMT) books as a period on or before the last period in the last tax year beginning before 1990. Each book must also use the same depreciation calendar

Note: If you have ACE accumulated depreciation information from a previous assets system, you can set up your books for the last period for which you have the information and upload it using the ACE conversion table.

You must set up the ACE book, mass copy your assets into the ACE book, and then update the ACE book according to ACE rules.

Adjusted Current Earning Steps:

1. Define ACE book
2. Define categories for the book
3. Run Initial Mass Copy
4. Run ACE Exception reports
5. Run Depreciation
6. Populate the conversion table according to ACE rules
7. Run Update ACE Book program
8. Run Periodic Mass Copy
9. Run ACE Depreciation Comparison Report



ACE Depreciation Rules

The ACE depreciation rules require you to depreciate your assets using specific methods, lives, and prorate conventions. The ACE rules for depreciation focus on assets you depreciate in the federal tax book under ACRS and MACRS methods. In some cases, the ACE rules require you to use the asset's net book value, not the cost, as the depreciable basis.

According to ACE rules, you calculate ACE depreciation beginning with your fiscal year that begins in 1990. Thus, the first open period in the ACE book is the last period of the last fiscal year beginning before 1990. When you copy your assets into this period, ACE rules determine the depreciable basis, depreciation method, and other financial information for each asset.

Oracle Assets looks at the asset's financial information in either the AMT or the federal book to determine new ACE information. If an asset is depreciating in the federal tax book using ACRS, Oracle Assets uses the federal book information. If the asset is depreciating in the federal book using MACRS, Oracle Assets uses the AMT book information. Oracle Assets automatically updates your assets when you run the Update ACE Book program.

The following table summarizes the ACE rules:

Federal Book Depreciation Method	ACE Book Depreciation Method	ACE Book Asset Life	ACE Book Prorate Convention	ACE Book Depreciable Basis
ACRS	STL	Remaining Life	New	Federal NBV at the start of 1990
MACRS before 1990	STL	Remaining Life	New	AMT NBV at the start of 1990
All after 1989 (including MACRS)	STL	Whole Life	New	Federal Book Cost
All Others	Federal Book	Remaining Life	Old	Federal NBV at the start of 1990

Note: Oracle Assets does not change the asset cost or life in your ACE book. Instead, it uses an internal factor to adjust the depreciation rates to depreciate the net book value over the remaining life.

Note: Assets placed in service after December 31, 1993 are not subject to ACE depreciation rules.

Related Topics

Tax Book Maintenance, page 9-1

About the ACE Interface, page 9-36

Tax Reports, page 12-51

Updating a Tax Book with Assets and Transactions, page 9-22

Updating an ACE Book with Accumulated Depreciation, page 9-33

Defining Depreciation Books, page 11-59

Updating an ACE Book with Accumulated Depreciation

If you are providing historical information for Oracle Assets to calculate ACE information for you, set up and update your book as described in the steps below.

Note: If you have calculated ACE information already, define the initial

period of your ACE book as the last period of the last fiscal year you completed on your previous system. Then load the accumulated depreciation for your ACE assets using the ACE interface and update the ACE book with the information.

Prerequisites

- Create your ACE book using the Book Controls window; define the initial open period on or before the last period in the last tax year beginning before 1990. See: Defining Depreciation Books., page 11-59
- Set up asset categories for your ACE book with the appropriate depreciation methods, lives, and prorate conventions using the Asset Categories window. See: Setting Up Asset Categories., page 11-188
- Run the Initial Mass Copy program to copy assets from the corporate book into the ACE book. See: Updating a Tax Book with Assets and Transactions., page 9-22

To update the ACE book to the current period:

1. Run the ACE exception reports (ACE Unrecognized Depreciation Method Code Exception Report and the ACE Non-Depreciating Assets Exception Report). See: To run the ACE reports., page 9-35

The reports evaluate the financial information in your federal tax book as of the end date of the open period in your ACE book and list the assets that Oracle Assets cannot update in the ACE book. Manually update these assets in the federal book according to ACE rules.
2. Run depreciation on your ACE book to close the period. See: Running Depreciation., page 7-2
3. Run the Populate ACE Interface program to automatically insert information into the ACE conversion table for your assets according to ACE rules. See: To populate the ACE interface table., page 9-35
4. Run the Update ACE Book program to update the financial information in your ACE book as of the end date of the most recent closed period. Update your ACE book in the first period of a fiscal year, before you enter any transactions. See: To update the ACE book from an interface., page 9-35
5. Run depreciation and periodic mass copy to update the ACE book to the current period if necessary. To prevent assets added after December 31, 1993 from being copied to your tax book, uncheck Copy Additions after that date in the Book Controls window.

Note: If you run the balances reports for the first period of your ACE book, expect the report to be out of balance. Oracle Assets only updates the accumulated depreciation, not the depreciation expense, when you update an ACE book.

6. Run the ACE Depreciation Comparison Report to review a list of differences in depreciation between your ACE, federal, and AMT books. You can use this information in your tax calculations. See: To run the ACE reports., page 9-35

To run the ACE reports:

1. Choose Tax > Adjusted Current Earnings > Run Exception Reports from the Navigator window.
2. In the Parameters window, enter the ACE Book and Federal Book.
3. Choose Submit.
4. Review the reports after the request completes.

To populate the ACE interface table:

1. Choose Tax > Adjusted Current Earnings > Populate ACE Interface from the Navigator window.
2. In the Parameters window, enter the ACE Book you want to populate. The ACE book must use the same associated corporate book as the federal tax book and the AMT book.
3. Choose Submit.
4. Review the log file after the request completes.

To update the ACE book from an interface:

1. Choose Tax > Adjusted Current Earnings > Update ACE Book from the Navigator window.
2. In the Parameters window, enter the ACE Book you want to update.
3. Choose Submit.
4. Review the log file after the request completes.

Related Topics

Adjusted Current Earnings, page 9-31

Tax Reports, page 12-51

About the ACE Interface, page 9-36

About the ACE Interface

You can either have Oracle Assets calculate ACE information for you, or enter it yourself. If you want Oracle Assets to calculate ACE accumulated depreciation for you, enter historical asset information beginning no later than the last period of fiscal 1989. Start your depreciation books in Oracle Assets before the end of fiscal 1989, and enter asset transactions through the current period.

If you have ACE information from another asset system, you can load it into Oracle Assets using the ACE interface. Define the initial open period of your ACE book as the last period of the last fiscal year you completed on your previous system. Then load the accumulated depreciation for your ACE assets using this interface.

ACE Update Process Using the ACE Interface

1. Create an ACE tax book with ACE depreciation rules. Copy your assets into the ACE book from the corporate book.
2. Populate the ACE conversion table. Either use the Populate ACE Interface Table program, or load the table manually with the ACE information from your previous system.
3. Update the ACE book with the information in the ACE conversion table.

Related Topics

Adjusted Current Earnings, page 9-31

ACE Conversion Table, page 9-36

Automatically Populate the ACE Conversion Table, page 9-38

Manually Load the ACE Conversion Table, page 9-41

Updating a Tax Book with Accumulated Depreciation, page 9-33

ACE Conversion Table

The following table shows how FA_ACE_BOOKS, the ACE conversion table, stores ACE information:

Column Name	Type	Description
ASSET_ID	Numeric	Asset identification number
MLC_UPDATE_FLAG	Alphanumeric	YES if update ACE book program needs to update the depreciation method, life, prorate convention, and rate adjustment factor with the values in this table
COST	Numeric	Current asset cost
ADJUSTED_COST	Numeric	Depreciable basis of the asset, calculated as recoverable cost for cost-based depreciation methods, less the accumulated depreciation for NBV-based methods
DEPRN_METHOD_CODE	Alphanumeric	Depreciation method for the asset
LIFE_IN_MONTHS	Numeric	Whole life of the asset in months
PRORATE_CONVENTION_CODE	Alphanumeric	Prorate convention for the asset
RATE_ADJUSTMENT_FACTOR OR	Numeric	Internal factor used to adjust depreciation rates to depreciate the net book value over the remaining life
YTD_DEPRN	Numeric	Not currently used
DEPRN_RESERVE	Numeric	Starting accumulated depreciation for the asset
PRODUCTION_CAPACITY	Numeric	Production capacity for assets that use a units of production method

Column Name	Type	Description
ADJUSTED_CAPACITY	Numeric	Remaining capacity to use for depreciation for assets that use a units of production method
LTD_PRODUCTION	Numeric	Life-to-date production for assets that use a units of production method
ADJUSTED_RATE	Numeric	Not currently used
BASIC_RATE	Numeric	Not currently used

Related Topics

Adjusted Current Earnings, page 9-31

About the ACE Interface, page 9-36

Automatically Populate the ACE Conversion Table, page 9-38

Manually Load the ACE Conversion Table, page 9-41

Updating a Tax Book with Accumulated Depreciation, page 9-33

Automatically Populate the ACE Conversion Table

The Populate ACE Interface Table program uses the existing asset information in your federal and AMT tax books to load the table. Cost, depreciation rule, and rate adjustment factor information comes from the FA_BOOKS row that was active for the source tax book at the beginning of fiscal 1990. Accumulated depreciation information comes from the FA_DEPRN_SUMMARY row for the source tax book for the last period in fiscal 1989.

The program creates a row in the table for each asset in the ACE book that you placed in service before the end of fiscal 1989.

The following table shows rows created for assets placed in service before fiscal 1981 or assets not using ACRS or MACRS depreciation methods:

Column	Value	Source Tax Book
ASSET_ID	Asset Identification Number	Federal Book

Column	Value	Source Tax Book
MLC_UPDATE_FLAG	YES	
COST	Current Cost	Federal Book
ADJUSTED_COST	Adjusted Cost	Federal Book
DEPRN_METHOD_CODE	Depreciation Method	Federal Book
LIFE_IN_MONTHS	Life	Federal Book
PRORATE_CONVENTION_CODE	Prorate Convention	Federal Book
RATE_ADJUSTMENT_FACTOR OR	Rate Adjustment Factor	Federal Book
DEPRN_RESERVE	Accumulated Depreciation	Federal Book at end of fiscal 1989

The following table shows rows created for assets depreciating under ACRS:

Column	Value	Source Tax Book
ASSET_ID	Asset Identification Number	Federal Book
MLC_UPDATE_FLAG	NO	
COST	Current Cost	Federal Book
ADJUSTED_COST	Recoverable Cost - Accumulated Depreciation	Federal Book
DEPRN_METHOD_CODE	NULL	
LIFE_IN_MONTHS	NULL	
PRORATE_CONVENTION_CODE	NULL	

Column	Value	Source Tax Book
RATE_ADJUSTMENT_FACT OR	Remaining Life in Months / Whole Life in Months	Federal Book
DEPRN_RESERVE	Accumulated Depreciation	Federal Book at end of fiscal 1989

The following table shows rows created for assets depreciating under MACRS and placed in service before fiscal 1990:

Column	Value	Source Tax Book
ASSET_ID	Asset Identification Number	AMT Book
MLC_UPDATE_FLAG	NO	
COST	Current Cost	AMT Book
ADJUSTED_COST	Recoverable Cost - Accumulated Depreciation	AMT Book
DEPRN_METHOD_CODE	NULL	
LIFE_IN_MONTHS	NULL	
PRORATE_CONVENTION_ CODE	NULL	
RATE_ADJUSTMENT_FACT OR	Remaining Life in Months / Whole Life in Months	AMT Book
DEPRN_RESERVE	Accumulated Depreciation	AMT Book at end of fiscal 1989

Related Topics

Adjusted Current Earnings, page 9-31

About the ACE Interface, page 9-36

ACE Conversion Table, page 9-36

Manually Load the ACE Conversion Table, page 9-41

Manually Load the ACE Conversion Table

When you manually load the ACE conversion table, you must enter the existing ACE information for all assets that you placed in service before fiscal 1990.

The following table shows how to load asset information for assets placed in service before fiscal 1981 or assets with unrecognized depreciation methods:

Column	Value	Source Tax Book
ASSET_ID	Asset Identification Number	Federal Book
MLC_UPDATE_FLAG	YES	
COST	Current Cost	Federal Book
ADJUSTED_COST	Adjusted Cost	Federal Book
DEPRN_METHOD_CODE	Depreciation Method	Federal Book
LIFE_IN_MONTHS	Life	Federal Book
PRORATE_CONVENTION_CODE	Prorate Convention	Federal Book
RATE_ADJUSTMENT_FACTOR OR	Rate Adjustment Factor	Federal Book
DEPRN_RESERVE	Accumulated Depreciation	Federal Book at end of conversion period

For all assets placed in service before fiscal 1981 and assets that are not using ACRS or MACRS methods, load asset information from the federal book as of the end of the conversion period. The conversion period is the first period of your ACE book in Oracle Assets.

If you have not performed any amortized adjustments or revaluations on the asset, the adjusted cost is the same as the current cost, and the rate adjustment factor is 1. Otherwise, the adjusted cost is the recoverable cost less the accumulated depreciation and the rate adjustment factor is the remaining life divided by the whole life at the time of the adjustment.

The following table shows how to load asset information for assets depreciating under ACRS or MACRS placed in service before fiscal 1994:

Column	Value	Source Tax Book
ASSET_ID	Asset Identification Number	Federal Book
MLC_UPDATE_FLAG	NO	
COST	Current Cost	Federal Book
ADJUSTED_COST	Recoverable Cost - Accumulated Depreciation	Calculated
DEPRN_METHOD_CODE	NULL	
LIFE_IN_MONTHS	NULL	
PRORATE_CONVENTION_CODE	NULL	
RATE_ADJUSTMENT_FACTOR	Remaining Life in Months / Whole Life in Months	Calculated
DEPRN_RESERVE	Accumulated Depreciation	Entered

For all assets depreciating under ACRS or MACRS that you placed in service before fiscal 1994, load accumulated depreciation and cost information from your old ACE system as of the end of the conversion period. The conversion period is the first period of your ACE book in Oracle Assets.

Related Topics

Adjusted Current Earnings, page 9-31

Updating a Tax Book with Accumulated Depreciation, page 9-33

About the ACE Interface, page 9-36

Automatically Populate the ACE Conversion Table, page 9-38

Handle Tax Audits

You can adjust the depreciation taken for one or all assets for a previous fiscal year in a tax book. Use the Reserve Adjustments window to adjust the tax book accumulated depreciation for a single asset. Use Mass Depreciation Adjustments to adjust the depreciation expense taken for all the assets in a tax book. Some tax authorities allow you to prorate the depreciation expense you recognize, such as for French Fiscal

Depreciation.

You can adjust tax book depreciation between minimum and maximum depreciation expense amounts according to a factor you enter. The minimum and maximum amounts are determined by comparing the accumulated depreciation in your tax book, in a control tax book, and in the associated corporate book.

Prepare for a Mass Depreciation Adjustment

You must define your corporate, tax, and control tax books before performing a mass depreciation adjustment. The adjusted tax book and control tax book must be associated with the same corporate book.

In addition, the fiscal year must be closed in all three books to run a mass depreciation adjustment. You must be in the first period of your fiscal year immediately following the closed year you are adjusting. You can only adjust the previous fiscal year in your tax book.

You cannot adjust depreciation if you have performed any transactions in the tax book in the current period. You also cannot adjust depreciation if you have performed any transactions in the corporatebook that affect the distribution, units, or category of the assets in the current period, such as transfers, reclassifications, unit adjustments, or partial retirements.

You cannot adjust the depreciation expense taken in a previous fiscal year for assets that use a units of production depreciation method in the adjusted tax book. Oracle Assets does not adjust depreciation for assets where the cost at the end of the fiscal year is not the same in all three books, or where there was an asset retirement during the fiscal year. The log file for the mass depreciation adjustment concurrent request lists assets that the program did not adjust and the reasons why.

Control Your Mass Depreciation Adjustment

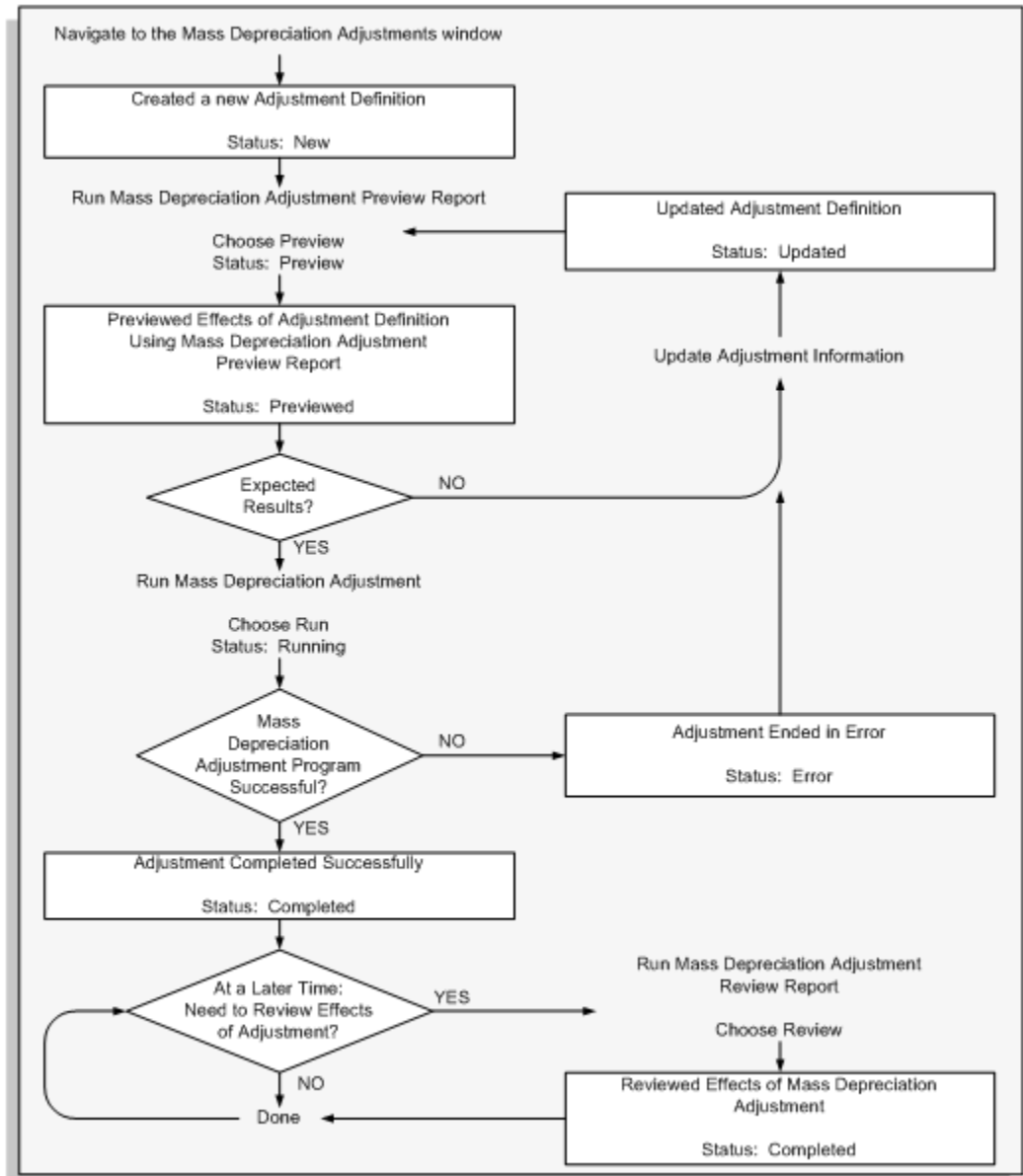
Use the Status field to see the current status of the adjustment and to determine the next possible action, as shown in the following table. Each adjustment definition has a unique Mass Transaction Number that you can use to find your adjustment definition when you want to perform the next step.

Status	Definition	Possible Action
New	Newly created mass depreciation definition	Preview
Preview	Preview report currently running	None

Status	Definition	Possible Action
Previewed	Preview report completed successfully	Run
Updated	Adjustment definition updated after previewing	Preview
Running	Adjustment currently running	None
Completed	Adjustment completed successfully	Review
Error	Preview report or adjustment completed in error	Preview or Run, whichever failed

Mass Depreciation Adjustment Process

The following diagram is a graphical representation of the mass depreciation adjustment steps. See: Adjusting Tax Book Accumulated Depreciation, page 9-58.



Related Topics

Mass Depreciation Adjustment Examples, page 9-47

Determine Adjusted Accumulated Depreciation, page 9-45

Adjusting Tax Book Accumulated Depreciation, page 9-58

Determine Adjusted Accumulated Depreciation

The Mass Depreciation Adjustment program calculates the minimum accumulated depreciation as follows:

Minimum Accumulated Depreciation is the greatest of accumulated depreciation in:

- The adjusted tax book at the *beginning* of the fiscal year
- The control tax book at the end of the fiscal year
- The corporate book at the end of the fiscal year

The Mass Depreciation Adjustment program calculates the maximum accumulated depreciation as follows:

Maximum Accumulated Depreciation is the greatest of accumulated depreciation in:

- The adjusted tax book at the *end* of the fiscal year
- The control tax book at the end of the fiscal year
- The corporate book at the end of the fiscal year

The Mass Depreciation Adjustment program calculates the minimum depreciation expense as follows:

Minimum Depreciation Expense = Minimum Accumulated Depreciation - Accumulated Depreciation in the Adjusted Book at the Beginning of the Fiscal Year

The Mass Depreciation Adjustment program calculates the maximum depreciation expense as follows:

Maximum Depreciation Expense = Maximum Accumulated Depreciation - Accumulated Depreciation in the Adjusted Book at the Beginning of the Fiscal Year

The minimum and maximum depreciation expense amounts are the depreciation amounts necessary to bring the accumulated depreciation in the adjusted tax book at the beginning of the fiscal year to the minimum and maximum amounts that have been calculated for accumulated depreciation at the end of the fiscal year.

Oracle Assets modifies the depreciation expense for all assets in your tax book according to the depreciation adjustment factor you enter.

The Mass Depreciation Adjustment program calculates the adjusted depreciation expense as follows:

Adjusted Depreciation Expense = Minimum Depreciation Expense + Depreciation Adjustment Factor * (Maximum Depreciation Expense - Minimum Depreciation Depreciation)

Mass Depreciation Adjustment does not adjust fully retired assets. However, it adjusts the depreciation expense for credit (negative cost) assets between the minimum (least negative) and maximum (most negative) depreciation expense.

Related Topics

Handle Tax Audits, page 9-42

Mass Depreciation Adjustment Examples

Example 1

Asset scenario and depreciation information are as follows:

Beginning Value	10000
Life	5 years
Corporate Book Depreciation	Straight-Line
Control Book Depreciation	20% Flat-Rate with 3% Bonus Rate in the first year
Adjusted Tax Book	DMV with STL switch
Depreciation Adjustment Factor	.5

Before the adjustment, the accumulated depreciation and net book value for each book are as illustrated in the following table:

Book	Accumulated Depreciation	Net Book Value
Adjusted tax book at beginning of year	4000	6000
Adjusted tax book at end of year	6400	3600
Corporate book at end of year	4000	6000
Control book at end of year	4300	5700

Oracle Assets calculates the minimum and maximum accumulated depreciation as:

- Minimum = 4300 (control book at end of year)
- Maximum = 6400 (adjusted tax book at end of year)

Oracle Assets calculates the minimum and maximum depreciation expense as:

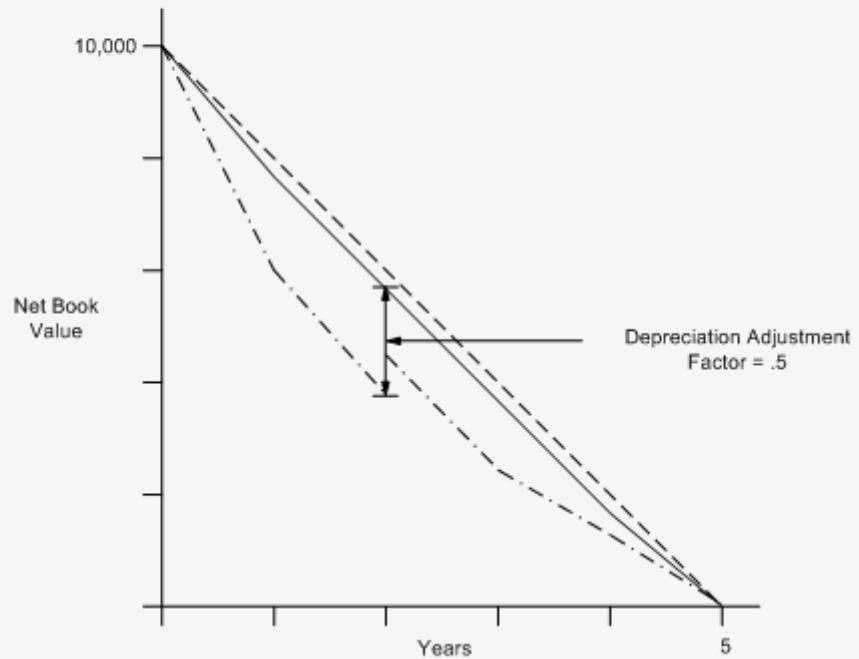
- Minimum = 300 (control book at end of year)
- Maximum = 2400 (adjusted tax book at end of year)

So, with a depreciation adjustment factor of .5, the adjusted depreciation is:

- Adjusted depreciation expense = 1350 = $300 + .5 * (2400 - 300)$

The effect of this adjustment is shown in the following graph of net book value over time.

EXAMPLE 1



LEGEND	
-----	Corporate Book (Straight-Line)
————	Control Book (20% Flat-Rate with 3% Bonus Rate in the first year)
- . - . - .	Adjusted Tax Book (DMV with STL switch)

Example 2

Asset scenario and depreciation information are as follows:

Beginning Value	10000
Life	5 years
Corporate Book Depreciation	Straight-Line

Control Book Depreciation	20% Flat-Rate with 3% Bonus Rate in the first year
Adjusted Tax Book Depreciation	DMV with STL switch
Depreciation Adjustment Factor	.75

Before the adjustment, the accumulated depreciation and net book value for each book are as illustrated in the following table:

Book	Accumulated Depreciation	Net Book Value
Adjusted tax book at beginning of year	6400	3600
Adjusted tax book at end of year	7840	2160
Corporate book at end of year	6000	4000
Control book at end of year	6300	3700

Oracle Assets calculates the minimum and maximum accumulated depreciation as:

- Minimum = 6400 (adjusted tax book at beginning of year)
- Maximum = 7840 (adjusted tax book at end of year)

Oracle Assets calculates the minimum and maximum depreciation expense as:

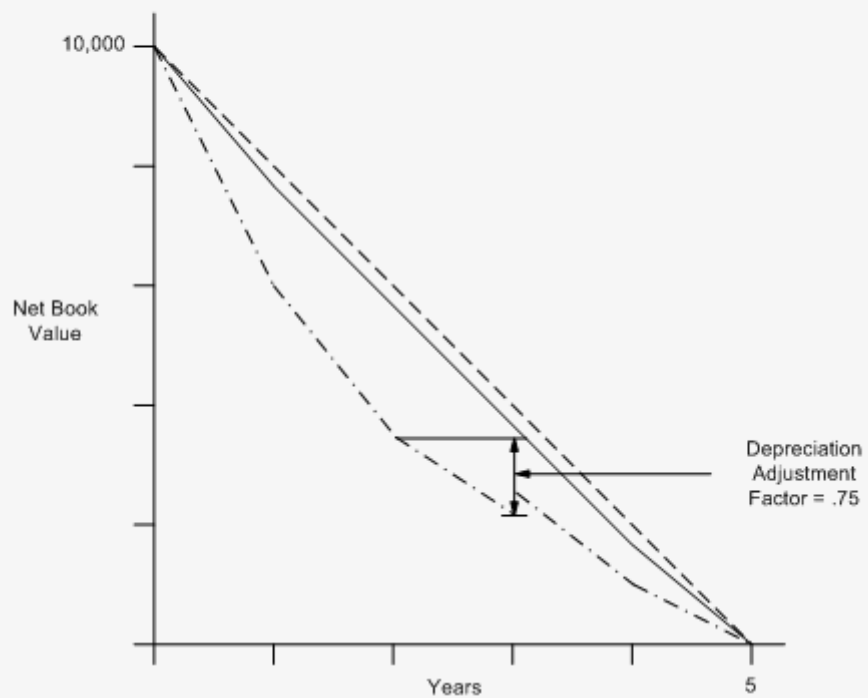
- Minimum = 0 (adjusted tax book at beginning of year)
- Maximum = 1440 (adjusted tax book at end of year)

So, with a depreciation adjustment factor of .75, the adjusted depreciation is:

- Adjusted depreciation expense = $1080 = 0 + .75 * (1440 - 0)$

The effect of this adjustment is shown in the following graph of net book value over time.

EXAMPLE 2



LEGEND

- Corporate Book (Straight-Line)
- Control Book (20% Flat-Rate with 3% Bonus Rate in the first year)
- · - · - Adjusted Tax Book (DMV with STL switch)

Example 3

Asset scenario and depreciation information are as follows:

Beginning Value	10000
Life	5 years
Corporate Book Depreciation	Straight-Line

Control Book Depreciation	20% Flat-Rate with 15% Bonus Rate in the first year
Adjusted Tax Book Depreciation	DMV with STL switch
Depreciation Adjustment Factor	N/A

Before the adjustment, the accumulated depreciation and net book value for each book are as illustrated in the following table:

Book	Accumulated Depreciation	Net Book Value
Adjusted tax book at beginning of year	7840	2160
Adjusted tax book at end of year	8704	1296
Corporate book at end of year	8000	2000
Control book at end of year	9500	500

Oracle Assets calculates the minimum and maximum accumulated depreciation as:

- Minimum = 9500 (control book at end of year)
- Maximum = 9500 (control book at end of year)

Oracle Assets calculates the minimum and maximum depreciation expense as:

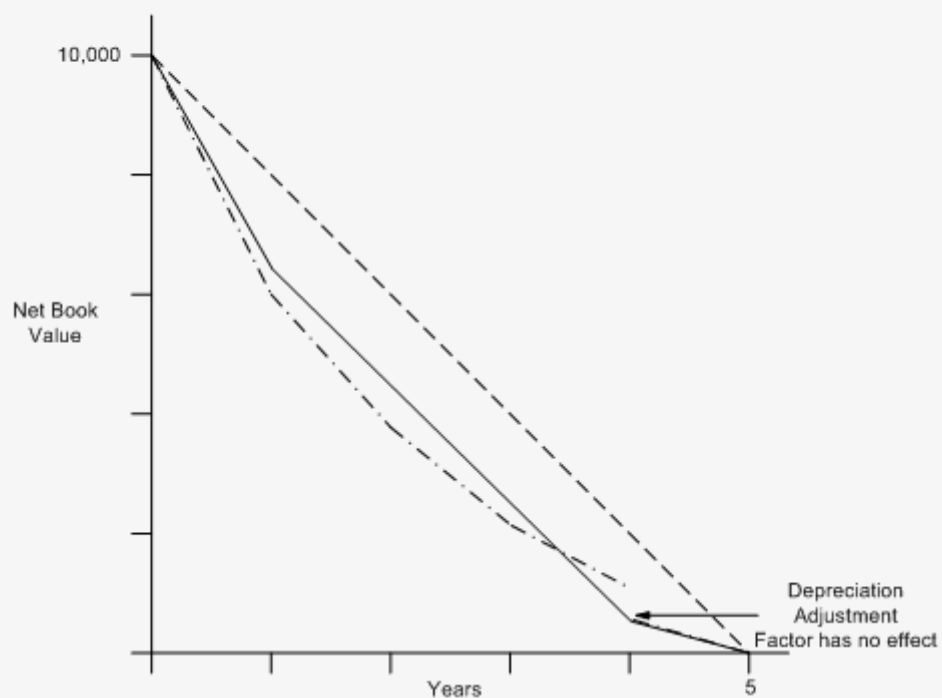
- Minimum = 1660 (control book at end of year)
- Maximum = 1660 (control book at end of year)

Notice that both the minimum and maximum amounts are the control book accumulated depreciation. Since the minimum and maximum depreciation expense are the same, the depreciation adjustment factor has no effect and the adjusted depreciation is:

- Adjusted depreciation expense = 1660 (Minimum and Maximum depreciation expense have the same value of 1660)

The effect of this adjustment is shown in the following graph of net book value over time.

EXAMPLE 3



LEGEND	
-----	Corporate Book (Straight-Line)
————	Control Book (20% Flat-Rate with 15% Bonus Rate in the first year)
- · - · - ·	Adjusted Tax Book (DMV with STL switch)

Example 4

Asset scenario and depreciation information are as follows:

Beginning Value	10000
Life	5 years
Corporate Book Depreciation	Sum of the Years-Digits

Control Book Depreciation	20% Flat-Rate with 3% Bonus Rate in the first year
Adjusted Tax Book Depreciation	DMV with STL switch
Depreciation Adjustment Factor	.66667

Before the adjustment, the accumulated depreciation and net book value for each book are as illustrated in the following table:

Book	Accumulated Depreciation	Net Book Value
Adjusted tax book at beginning of year	0	10000
Adjusted tax book at end of year	4000	6000
Corporate book at end of year	3334	6666
Control book at end of year	2300	7700

Oracle Assets calculates the minimum and maximum accumulated depreciation as:

- Minimum = 3334 (corporate book at end of year)
- Maximum = 4000 (adjusted tax book at end of year)

Oracle Assets calculates the minimum and maximum depreciation expense as:

- Minimum = 3334 (corporate book at end of year)
- Maximum = 4000 (adjusted tax book at end of year)

So, with a depreciation adjustment factor of .67, the adjusted depreciation is:

- Adjusted depreciation expense = 3778 = 3334 + .66667 * (4000 - 3334)

Example 5

Asset scenario and depreciation information are as follows:

Beginning Value	10000
-----------------	-------

Life	5 years
Corporate Book Depreciation	Sum of the Years-Digits
Control Book Depreciation	20% Flat-Rate with 3% Bonus Rate in the first year
Adjusted Tax Book Depreciation	DMV with STL switch
Depreciation Adjustment Factor	N/A

Before the adjustment, the accumulated depreciation and net book value for each book are as illustrated in the following table:

Book	Accumulated Depreciation	Net Book Value
Adjusted tax book at beginning of year	6267	3733
Adjusted tax book at end of year	7760	2240
Corporate book at end of year	7996	2004
Control book at end of year	6300	3700

Oracle Assets calculates the minimum and maximum accumulated depreciation as:

- Minimum = 7996 (corporate book at end of year)
- Maximum = 7996 (corporate book at end of year)

Oracle Assets calculates the minimum and maximum depreciation expense as:

- Minimum = 1729 (corporate book at end of year)
- Maximum = 1729 (corporate book at end of year)

Notice that both the minimum and maximum amounts are the corporate book accumulated depreciation. Since the minimum and maximum depreciation expense are the same, the depreciation adjustment factor has no effect and the adjusted depreciation is:

- Adjusted depreciation expense = 1729 (Minimum and Maximum depreciation expense have the same value of 1729)

Example 6

Asset scenario and depreciation information are as follows:

Beginning Value	10000
Life	5 years
Corporate Book Depreciation	Sum of the Years-Digits
Control Book Depreciation	20% Flat-Rate with 3% Bonus Rate in the first year
Adjusted Tax Book Depreciation	DMV with STL switch
Depreciation Adjustment Factor	N/A

Before the adjustment, the accumulated depreciation and net book value for each book are as illustrated in the following table:

Book	Accumulated Depreciation	Net Book Value
Adjusted tax book at beginning of year	7996	2004
Adjusted tax book at end of year	8798	1202
Corporate book at end of year	9333	667
Control book at end of year	8300	1700

Oracle Assets calculates the minimum and maximum accumulated depreciation as:

- Minimum = 9333 (corporate book at end of year)
- Maximum = 9333 (corporate book at end of year)

Oracle Assets calculates the minimum and maximum depreciation expense as:

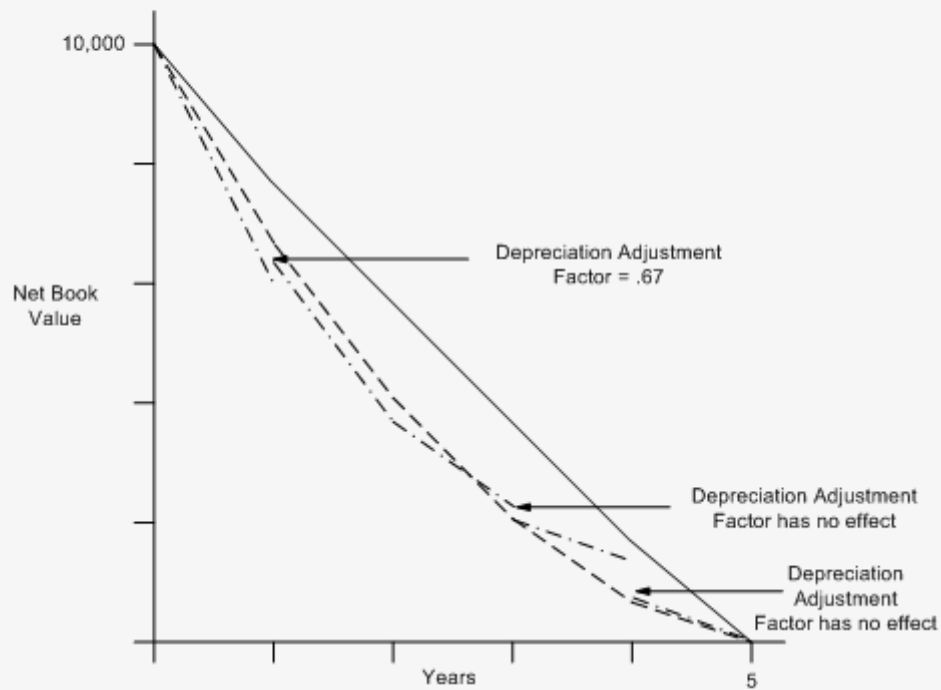
- Minimum = 1337 (corporate book at end of year)
- Maximum = 1337 (corporate book at end of year)

Notice that both the minimum and maximum amounts are the corporate book accumulated depreciation. Since the minimum and maximum depreciation expense are the same, the depreciation adjustment factor has no effect and the adjusted depreciation is:

- Adjusted depreciation expense = 1337 (Minimum and Maximum depreciation expense have the same value of 1337)

The effect of these three adjustments is shown in the following graph of net book value over time.

EXAMPLE 4, 5, and 6



LEGEND	
---	Corporate Book (Sum of the Years-Digits)
—	Control Book (20% Flat-Rate with 3% Bonus Rate in the first year)
- . - . -	Adjusted Tax Book (DMV with STL switch)

Related Topics

Handle Tax Audits, page 9-42

Determine Adjusted Accumulated Depreciation, page 9-45

Adjusting Tax Book Accumulated Depreciation, page 9-58

Adjusting Tax Book Accumulated Depreciation

If your tax authority requires you to change the depreciation taken for an asset in a previous fiscal year, you can adjust the depreciation for one or more assets for that year

in your tax book. When you perform the change, Oracle Assets adjusts the depreciation for the year you make the change and all subsequent years up to the current fiscal year.

If you make an expensed adjustment to an asset after you perform a reserve adjustment on it, Oracle Assets recalculates the asset's depreciation using the depreciation limitations created by the reserve adjustment. For assets using the flat-rate method, Oracle Assets recalculates depreciation expense for each year the asset was in service except the year in which you made the reserve adjustment. For that year, depreciation remains the same.

You can review depreciation reserve adjustments to previous fiscal years using the Adjusted Form 4562 - Depreciation and Amortization Report or the Adjusted Form 4626 - AMT Detail or Summary Reports.

Prerequisites

- Allow Reserve Adjustments for the tax book. See: Defining Depreciation Books, page 11-59
- Add your assets to your tax book using Mass Copy. See: Updating a Tax Book with Assets and Transactions, page 9-22
- Close the fiscal year you want to adjust.

To adjust tax book depreciation for a single asset:

1. Choose Tax > Tax Workbench from the Navigator window.
2. Find the asset for which you want to adjust the depreciation expense.
3. Choose the Reserve Adjustments button.
4. Enter the tax Book in which you want to make the adjustment.
5. Enter the Fiscal Year for which you want to adjust depreciation.
6. Enter the asset's new depreciation expense for the fiscal year you are adjusting.
7. Optionally check the Strict Calculation Method check box. When you check this check box, Oracle Assets calculates the new depreciable basis based on the net book value as of the beginning of the current fiscal year instead of as of the current period.

Note: To use the Strict Calculation Method check box, the asset must have a depreciation method of Flat and a calculation basis of NBV.

You cannot adjust the depreciation taken in a previous fiscal year

for assets using a units of production depreciation method.

Note: You also cannot adjust the depreciation for assets on which you have performed an amortized cost adjustment since the end of the fiscal year you are adjusting.

8. Save your work to automatically adjust the asset's accumulated depreciation for that year and all subsequent years up to the current fiscal year.

To adjust tax book depreciation for a group of assets:

Note: Ensure that you have run depreciation to close the previous fiscal year for the tax book you want to adjust, its associated corporate book, and the control tax book.

1. Choose Tax > Mass Depreciation Adjustments from the Navigator window.
2. Enter the Adjusted tax Book for which you want to adjust depreciation. The open period of the book must be the first period of the following fiscal year with no transactions entered.
3. Enter the name of the Control Book that holds the minimum accumulated depreciation control.

Oracle Assets does not adjust the depreciation for each asset in the adjusted book to be less than the depreciation in the control book. The control book must have the same associated corporate book as the adjusted book.

4. Enter the factor by which you want to adjust depreciation above the minimum. Oracle Assets adjusts the previous year's depreciation expense in the adjusted book according to this formula:

Adjusted Depreciation Expense = Minimum Depreciation + Depreciation Adjustment Factor *(Maximum Depreciation - Minimum Depreciation)

5. Choose Preview. You must preview the effects of the adjustment in the Mass Depreciation Adjustment Preview Report before you perform it. If necessary, modify the adjustment definition and run preview again.

6. Find the definition you want to perform using the Mass Transaction Number.
7. Choose Run to perform the adjustment.
8. Review the log file after the request completes.
9. Optionally choose Review to run the review report to show the effects of the adjustment.

Related Topics

Adjusted Form 4562 - Depreciation and Amortization Reports, page 12-52

Adjusted Form 4626 - AMT Detail and Summary Reports, page 12-53

Mass Depreciation Adjustment Preview and Review Reports, page 12-57

Handle Tax Audits, page 9-42

Mass Depreciation Adjustment Examples, page 9-47

Journal Entries for Tax Accumulated Depreciation Adjustments, page 8-55

Capital Budgeting

This chapter covers the following topics:

- Capital Budgeting
- Budgeting for Asset Acquisition
- Budget Open Interface

Capital Budgeting

You can enter budget information manually, or you can maintain your budget information in another system and upload the information using the budget interface. You prepare and analyze your budget information on any feeder system and then automatically transfer it into Oracle Assets. You can use this information to project depreciation expense for your capital budgets and compare actual and planned capital spending in Oracle Assets.

After you create a budget book and budget assets, you can run budget reports and project depreciation expense for amounts budgeted to each category.

You can project depreciation expense on any of your budget books. You can enter budget information and create budget assets for each category from the information. Then you project depreciation for the budget assets in the budget book using the category default depreciation rules from the associated corporate book.

Compare Actual to Budgeted Spending to Plan Purchases

You can compare the cost of the assets you actually acquired in a period to the cost you budgeted for that period using the Budget-to-Actual Report. This report lists the actual and budgeted amounts for each category, and the percent variance between the two amounts. It also shows you how much you spent for each category for which you did not enter a budget amount.

Enter budget information either at the major category level, or for each full category flexfield combination. Enter a budget amount for each period.

You can create an asset in the budget book for each budget amount, category, and general ledger depreciation expense account you enter. The budget asset is placed in service in the period for which you specified the budget amount. The budget book depreciation calendar must be the same as the associated corporate book and can have up to twelve periods.

When you project depreciation, Oracle Assets projects depreciation for these budget assets, to the detail entered. It projects on a budget book based on the budget amounts you enter for each period. So, if you have entered budget amounts for a year in advance, the projection includes projected depreciation for additions during all twelve periods.

To run the Capital Spending Report, Oracle Assets requires full category flexfield combinations. However, when you compare spending using the Budget-to-Actual Report, Oracle Assets reports on the major category and cost center for each company, regardless of the budget information detail. The report compares budgeted and actual amounts for all categories for which there exists a budget, and it sums them by major category. It also sums the actual expenditures for non-budgeted categories by major category.

If you enter budget amounts for each major category, Oracle Assets projects depreciation expense using the depreciation rules from the major category where the other segments have a value such as NONE. To enter major category budget amounts for the purposes of depreciation projection, set up a category combination for the associated corporate book for each major category. Define the category using the major category value and a value such as NONE for the other segments. Specify the general depreciation rules for assets in this major category.

Note: The value NONE is an example of a dummy category; Oracle Assets does not compare budget amounts entered for this dummy category with actual expenditures in other categories with the same major category.

If you entered a budget amount for each full category combination, the depreciation program projects depreciation expense for each category using the depreciation rules from that category.

Related Topics

Budget Open Interface, page 10-5

Upload Budget Process, page 10-7

Budget Reports, page 12-20

Budgeting for Asset Acquisition, page 10-3

Projecting Depreciation Expense, page 7-43

Budget Report, page 12-20

Budgeting for Asset Acquisition

After you create a budget book, you can enter or upload capital budget information. You can change the budget amounts for your existing budget assets at any time. You must delete the existing budget before uploading a new capital budget from a spreadsheet.

You can enter budget information for each full category combination, or for each major category. Then you can project depreciation expense for each category you entered. Use the budget reports to review your capital budgets.

To prepare the budget book for budget information:

- Open the Upload Capital Budgets window and enter a new budget Book name.

Note: The budget book must use the same calendar as its associated corporate book so you can compare actual and budgeted spending.

To delete a budget

1. Open the Upload Capital Budgets window.
2. Enter the name of your budget Book.
3. Choose Delete Existing Budget.
4. Save your work.

To manually enter or update a budget:

1. Open the Capital Budgets window.
2. Choose the budget Book, asset Category, and general ledger Expense Account for which you want to budget.
3. Enter or update the budget amounts for this period. The budget amount is the amount you plan to spend on new assets in this category in this period for this expense account.
4. Save your work.
5. Review the capital budget for the year using the Budget Report.

To automatically upload a budget:

1. Open the Upload Capital Budget window.
2. Enter the name of your budget Book.
3. Choose Delete Existing Budget to remove your old budget.
4. Save your work.
5. Load your budget information into the budget interface from a feeder system.
6. Return to the Upload Capital Budgets window and choose Upload Capital Budget.
7. Save your work.

To create budget assets in a budget book:

1. Open the Upload Capital Budget window.
2. Enter the name of your budget Book.
3. Choose Create Budget Assets.

Oracle Assets creates a budget asset for each category, expense account, and budget amount you enter for each period in the Capital Budgets window. The period is determined by the calendar you assigned to the budget book.
4. Save your work.

Related Topics

Projecting Depreciation Expense, page 7-43

Capital Budgeting, page 10-1

Budget Reports, page 12-20

Budget Open Interface, page 10-5

Budget Report, page 12-20

Budget-To-Actual Report, page 12-20

Capital Spending Report, page 12-21

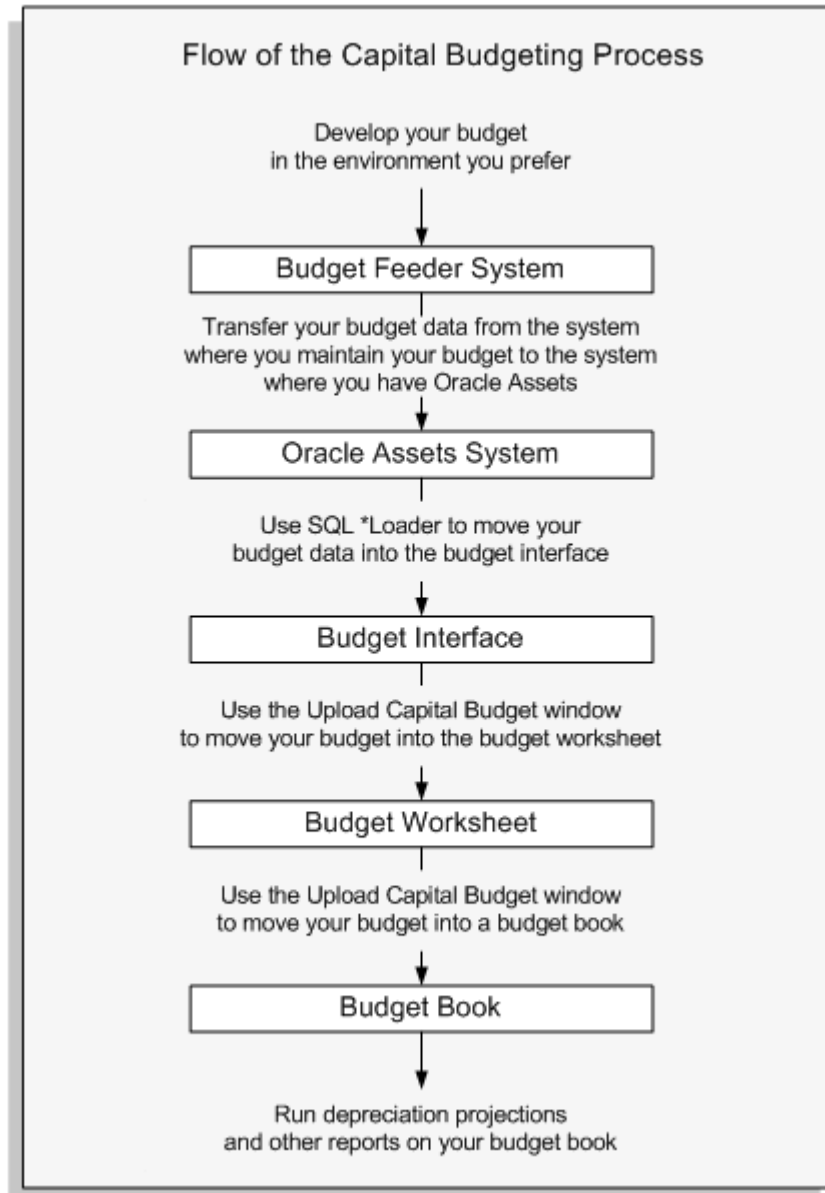
Budget Open Interface

Capital Budgeting Process

If you maintain your budget information in a spreadsheet, you can upload it to Oracle Assets using the budget interface. You can transfer budget data from any software package that prints to an ASCII file, and then use SQL*Loader to load the FA_BUDGET_INTERFACE table.

Steps in the Capital Budgeting Process

1. Develop your budget in the environment you prefer.
2. Transfer your budget data from the system where you maintain your budget to the system where you have Oracle Assets.
3. Use SQL*Loader to move your budget data into the budget interface.
4. Use the Upload Capital Budget window to move your budget into the budget worksheet.
5. Use the Upload Capital Budget window to move your budget into a budget book.
6. Run depreciation projections and other reports on your budget book.



Related Topics

Upload Budget Process, page 10-7

Budget Interface Table, page 10-7

Customize the SQL*Loader Script, page 10-8

Budgeting for Asset Acquisition, page 10-3

Upload Budget Process

Uploading budgets from other systems (such as a spreadsheet on a personal computer) into Oracle Assets is a five step process.

1. Use a file transfer program to upload your ASCII budget file from your personal computer to the computer where you have Oracle Assets.
2. Use SQL*Loader to move your budget into the Budget Interface. See: Customize the SQL*Loader Script., page 10-8
3. Use the Upload Capital Budget window to move your budget into the Budget Worksheet. Check Delete Existing Budget if you are replacing an existing budget.
4. Use the Capital Budgets window to review or change your budget.
5. Use the Upload Capital Budget window to move your budget into a budget book.

Related Topics

Budget Open Interface, page 10-5

Budget Interface Table, page 10-7

Budgeting for Asset Acquisition, page 10-3

Budget Interface Table

FA_BUDGET_INTERFACE, the budget interface table, is organized into columns in which Oracle Assets stores budget information. The following table provides the data type and a description of the columns:

Column Name	Type	Description
BOOK_TYPE_CODE	Alphanumeric	The name of the budget book
PERIOD1_AMOUNT through PERIOD12_AMOUNT	Numeric	The budget amount you allocate to an asset category and cost center for one period in your fiscal year. For a budget book, you allocate the annual budget over up to 12 periods
ACCT_SEGMENT1 through ACCT_SEGMENT30	Numeric	Segment of your accounting flexfield

Column Name	Type	Description
CAT_SEGMENT1 through CAT_SEGMENT7	Alphanumeric	Segment of your category flexfield

Related Topics

Budget Open Interface, page 10-5

Upload Budget Process, page 10-7

Customize the SQL*Loader Script, page 10-8

Budgeting for Asset Acquisition, page 10-3

Customize the SQL*Loader Script

The first script is a sample SQL*Loader script (filename: **budget.ctl**) and the next script is a budget information data file (filename: **budget.dat**). You can easily modify the SQL*Loader script to load your budget into the Budget Interface. This script only expects the company, cost center, and major category. Modify it to accept whatever detail you provide.

Sample SQL*Loader script

```
LOAD DATA
INFILE budget.dat
INTO TABLE FA_BUDGET_INTERFACE
FIELDS TERMINATED BY WHITESPACE

(BOOK_TYPE_CODE CONSTANT 'FY90',

PERIOD1_AMOUNT,
PERIOD2_AMOUNT,
PERIOD3_AMOUNT,
PERIOD4_AMOUNT,
PERIOD5_AMOUNT,
PERIOD6_AMOUNT,
PERIOD7_AMOUNT,
PERIOD8_AMOUNT,
PERIOD9_AMOUNT,
PERIOD10_AMOUNT,
PERIOD11_AMOUNT,
PERIOD12_AMOUNT,

ACCT_SEGMENT1,
ACCT_SEGMENT2,
ACCT_SEGMENT3 CONSTANT '0000',
ACCT_SEGMENT4 CONSTANT '000',
ACCT_SEGMENT5 CONSTANT '000',
ACCT_SEGMENT6 CONSTANT '0000',

CAT_SEGMENT1,
CAT_SEGMENT2 CONSTANT 'NONE')
```

The accounting flexfield structure is composed of the following segments: Company Code (nn), Cost Center (nnn), Account (nnnn), Product (nnn), Product Line (nnn), Sub Account (nnnn).

The category flexfield structure flexfield is composed of the following segments: Primary Category, Subcategory.

Sample budget data file

1200 15000 15000 15000 36000 20000 20000 20000 20000 20000 15000 15000 01 100
COMPUTER

15000 12000 17500 25000 28000 28000 28000 28000 15000 15000 15000 20000 01 200 AUTO

The SQL*Loader script reads in three kinds of data: budget amounts, general ledger numbers, and categories.

Budget Amounts

You must define a PERIOD#_AMOUNT in the SQL*Loader script for each period of your corporate calendar.

Therefore, edit the SQL*Loader script to:

- Reflect the number of periods in your company's corporate calendar

General Ledger Number

You must define an ACCT_SEGMENT# in the SQL*Loader script for each segment in your accounting flexfield. In this case, only the company and cost center are specified in the data file. The other ACCT_SEGMENT#s are held constant in the control file with values such as zeros as place holders.

Therefore, edit the SQL*Loader script to:

- Reflect the number of segments in your company's accounting flexfield
- Reflect the position of each segment in your company's accounting flexfield

When creating your budget data file, make sure that each segment value has the correct number of digits. For example, if your cost center consists of three digits, you must enter cost centers 5 and 25 as 005 and 025.

Categories

You must define a CAT_SEGMENT# in the SQL*Loader script for each segment in your category flexfield. In this example, only the major category is specified in the data file. The other CAT_SEGMENT#s are held constant in the control file with the word NONE. Note that each asset category must be defined with subcategory NONE for the corporate book.

Therefore, edit the SQL*Loader script to:

- Reflect the number of segments used in your company's category flexfield
- Reflect the position of each segment used in your company's category flexfield

For your SQL*Loader script to work properly, you must define your segments as one word. For instance, you could define the asset category name Leasehold Improvements as LImprove or Lease_Improvement. For information on how to change the SQL*Loader script to accept asset category names of more than one word, consult the SQL*Loader manual.

You must also change the name of the data file, budget book, and company number in the SQL*Loader script (see italicized words in script). Remember that you must enter names exactly as they appear in Oracle Assets. Thus, do not enter the budget book name *fy90* in the script file when your budget book name is actually *FY90*.

To execute the SQL*Loader script and load your budget data into the Budget Interface, type the following at the system prompt:

```
sqlload <account_name/password> control=budget.ct1
```

Related Topics

Budget Open Interface, page 10-5

Upload Budget Process, page 10-7

Budget Interface Table, page 10-7

Budgeting for Asset Acquisition, page 10-3

System Setup

This chapter covers the following topics:

- Setting Up - Overview
- Oracle Assets With Multiple Ledgers
- Defining the Asset Category Descriptive Flexfield
- Using the Account Generator in Oracle Assets
- Asset Key Flexfield
- Category Flexfield
- Location Flexfield
- Specifying System Controls
- Defining Locations
- Defining Asset Keys
- Entering QuickCodes
- Creating Fiscal Years
- Specifying Dates for Calendar Periods
- Setting Up Security by Book
- Defining Depreciation Books
- Defining Additional Depreciation Methods
- Defining Formula-Based Depreciation Methods
- Defining Bonus Depreciation Rules
- Depreciation Methods for the Job Creation and Worker Assistance Act of 2002
- Depreciation Methods for the American Jobs Creation Act of 2004
- Defining Depreciable Basis Rules
- Polish Tax Depreciation

- Polish Tax Depreciable Basis Rules
- Adjusting Polish Tax Depreciation Transactions
- Partial Retirements
- Japan Tax Reforms - FY2007
- Setting Up Depreciation Ceilings
- Defining Investment Tax Credit Rates
- Specifying Dates for Prorate Conventions
- Defining Price Indexes
- Setting Up Asset Categories
- Defining Distribution Sets
- Lease Analysis
- Entering Leases
- Exporting Lease Payments to Oracle Payables
- Defining Asset Warranties
- Overview of Asset Insurance

Setting Up - Overview

This section contains a brief overview of each task required to set up Oracle Assets.

Related Topics

Related Product Setup Steps, page 11-2

Setup Flowchart, page 11-5

Setup Checklist, page 11-6

Setup Steps, page 11-9

Related Product Setup Steps

Perform the following steps to implement Oracle Assets. The steps are discussed in detail in the Setting Up sections of required Oracle product user guides. The following tables list the related product setup steps.

To set up the underlying Oracle Applications technology, complete the following setup steps:

- Performing system-wide setup tasks such as configuring concurrent managers and printers.

- Managing data security which includes setting up responsibilities to allow access to a specific set of business data and complete a specific set of transactions, and assigning individual users to one or more of these responsibilities.
- Setting up Oracle Workflow.

General Ledger Setup Steps

Refer to the Setting Up General Ledger section of *Oracle General Ledger Implementation Guide* for additional details in how to complete the following setup steps.

Step

Define a Ledger

See: Defining Ledgers., *Oracle General Ledger User Guide*

Note: If you are not implementing Oracle General Ledger, use the Ledgers window in Oracle Assets to define a ledger.

Define Additional Journal Entry Sources

See: Defining Journal Sources, *Oracle General Ledger User Guide*

Note: If you are not implementing Oracle General Ledger, use the Journal Entry Sources window in Oracle Assets to define journal entry sources.

Define Additional Journal Entry Categories

See: Defining Journal Categories, *Oracle General Ledger User Guide*

Note: If you are not implementing Oracle General Ledger, use the Journal Entry Categories window in Oracle Assets to define journal entry categories.

Oracle Inventory Setup Steps

Refer to the Setting Up Oracle Inventory section of *Oracle Inventory User Guide* for additional details in how to complete the following setup steps.

Step

Define Unit of Measure Classes

See: Defining Units of Measure Classes, *Oracle Inventory User Guide*

Note: If you are not implementing Oracle Inventory, use the Unit of Measure Classes window in Oracle Assets to define unit of measure classes.

Step

Define Units of Measure

See: Defining Units of Measure, *Oracle Inventory User Guide*

Note: If you are not implementing Oracle Inventory, use the Units of Measure window in Oracle Assets to define units of measure.

Oracle Human Resources Setup Steps

Refer to the *Managing Your Workforce Using Oracle HRMS* for additional details in how to complete the following setup steps.

Step

Define Employees

See: Entering a New Person, *Managing Your Workforce Using Oracle HRMS*

Note: If you are not implementing Oracle Human Resources, you can use the Enter Person window in Oracle Assets to define your employees.

Oracle Payables Setup Steps

Refer to the Setting Up Oracle Payables section of *Oracle Payables User Guide* for additional details in how to complete the following setup steps.

Step

Define Supplier and Employee Numbering Schemes

See: Defining Financials Options., *Oracle Payables User Guide*

Note: If you are not implementing Oracle Payables, use the Financial Options window in Oracle Assets to define supplier and employee numbering schemes.

iSupplier Setup Steps

Refer to the *iSupplier Portal Implementation Guide* for additional details in how in complete the following setup steps.

Step

Define Suppliers

See: Entering Suppliers., *iSupplier Portal Implementation Guide*

Note: If you are not implementing Oracle Payables, use the Suppliers window in Oracle Assets to define suppliers.

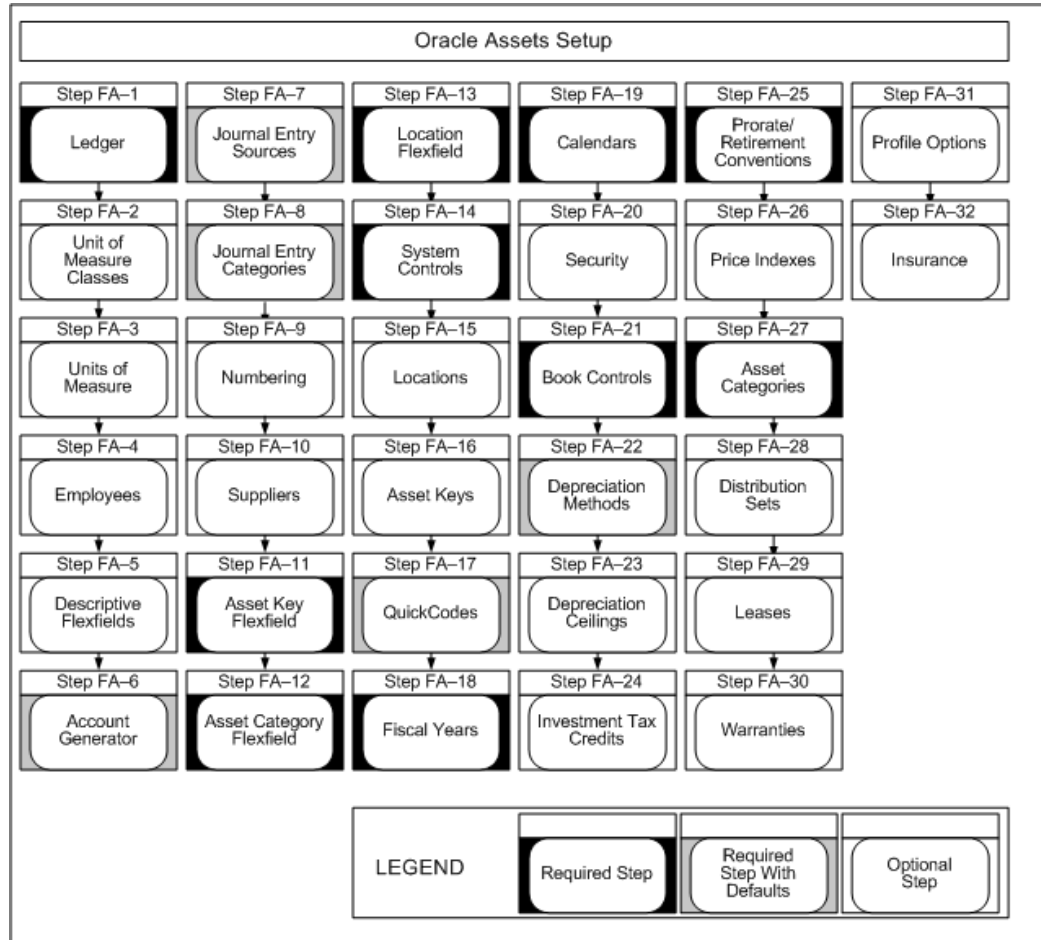
Related Topics

Oracle Applications System Administrator's Guide

Oracle Workflow Guide

Setup Flowchart

The following flowchart outline contains the required and optional setup steps for Oracle Assets. Required steps with Defaults refer to setup functionality that is pre-seeded and contains default values in the database. Review the default values and determine if changes are necessary to suit your business needs. If changes are required, perform the corresponding setup step. Optional steps are only performed if you plan to use the related feature or need to perform the particular business functions.



Setup Checklist

The following table lists Oracle Assets setup steps and whether the step is optional or required. After you log on to Oracle Applications, complete these steps to implement Oracle Assets:

Step No.	Required	Step
Step 1	Required	Define Your Ledgers, page 11-9
Step 2	Optional	Define Your Unit of Measure Classes, page 11-10

Step No.	Required	Step
Step 3	Optional	Define Your Units of Measure, page 11-10
Step 4	Optional	Define Your Employees, page 11-11
Step 5	Optional	Define Your Descriptive Flexfields, page 11-11
Step 6	Optional	Set Up Oracle Subledger Accounting, page 11-12
Step 7	Optional	Decide How to Use the Account Generator, page 11-12
Step 8	Required with defaults	Define Additional Journal Entry Sources, page 11-12
Step 9	Required with defaults	Define Additional Journal Entry Categories, page 11-13
Step 10	Optional	Define Your Supplier and Employee Numbering Schemes, page 11-13
Step 11	Optional	Define Your Suppliers, page 11-13
Step 12	Required	Define Your Asset Key Flexfield, page 11-14

Step No.	Required	Step
Step 13	Required	Define Your Asset Category Flexfield, page 11-14
Step 14	Required	Define Your Location Flexfield, page 11-14
Step 15	Required	Define Your System Controls, page 11-15
Step 16	Optional	Define Your Locations, page 11-15
Step 17	Optional	Define Your Asset Keys, page 11-15
Step 18	Required with defaults	Define Your Standard Asset Descriptions and Other QuickCode Values, page 11-16
Step 19	Required	Define Your Fiscal Years, page 11-16
Step 20	Required	Define Your Calendars, page 11-16
Step 21	Optional	Set Up Security by Book, page 11-17
Step 22	Required	Define Your Book Controls, page 11-17
Step 23	Required with defaults	Define Additional Depreciation Methods and Rates, page 11-18
Step 24	Optional	Define Your Depreciation Ceilings, page 11-19

Step No.	Required	Step
Step 25	Optional	Define Your Investment Tax Credits, page 11-19
Step 26	Required	Define Your Prorate and Retirement Conventions, page 11-20
Step 27	Optional	Define Your Price Indexes, page 11-20
Step 28	Required	Define Your Asset Categories, page 11-21
Step 29	Optional	Define Distribution Sets, page 11-21
Step 30	Optional	Enter Leases, page 11-21
Step 31	Optional	Define Warranties, page 11-21
Step 32	Optional	Set Profile Options, page 11-22
Step 33	Optional	Define Asset Insurance, page 11-22

Setup Steps

For each step, we include a Context section that indicates whether you need to repeat the step for each set of tasks, ledger, inventory organization, HR organization, or other operating unit under Multiple Organizations.

1. Define Your Ledger

You need to define at least one ledger before you can implement and use Oracle Assets.

A ledger includes an accounting calendar, a ledger currency, and an account structure. The account defines the structure of your general ledger accounts. If you have not defined your account while setting up a ledger, you need to set the account to match your accounting structure and provide valid values for expense, cash, and accounts payable liability accounts.

If you previously defined your ledger while setting up a different Oracle Financials product, proceed to the next step.

You can use Oracle Assets with multiple ledgers within a single installation. See: *Oracle Assets with Multiple Ledgers*, page 11-22.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: You need to perform this step only once per installation.

See: *Defining Ledgers*, *Oracle General Ledger Implementation Guide*

2. Define Your Unit of Measure Classes (optional)

If you do not install Oracle Inventory or Oracle Purchasing, use the Unit of Measure Classes window in Oracle Assets to define your unit of measure classes. You can define classes for the units you use to measure production for your units of production assets.

If you previously defined your unit of measure classes while setting up a different Oracle Applications product, proceed to the next step.

Important: You must set up an organization before you can define units of measure classes. See: *Creating an Organization*, *Oracle Human Resources Management System User Guide*

Important: You must define the profile option HR:User Type before you can set up an organization. See: *Setting User Profile Options*, *Oracle Applications System Administrator's Guide*

Default - If you skip this step, Oracle Assets will use the defaults set up in Oracle Inventory or Oracle Purchasing. If neither Oracle Inventory nor Oracle Purchasing are installed, you will not be able to use unit of measure classes.

Context: Perform this step once for each Inventory organization.

See: *Defining Units of Measure Classes*, *Oracle Inventory User Guide*

3. Define Your Units of Measure (optional)

If you do not install Oracle Inventory or Oracle Purchasing, use the Units of

Measure window in Oracle Assets to define your units of measure. You can define the units you use to measure production for your units of production assets.

Important: You must set up an organization before you can define units of measure. See: *Creating an Organization, Oracle Human Resources Management System User Guide*

Important: You must define the profile option HR:User Type before you can set up an organization. See: *Setting User Profile Options, Oracle Applications System Administrator's Guide*.

If you previously defined your units of measure while setting up a different Oracle Applications product, proceed to the next step.

Default - If you skip this step, Oracle Assets will use the defaults set up in Oracle Inventory or Oracle Purchasing. If neither Oracle Inventory nor Oracle Purchasing are installed, you will not be able to use units of measure.

Context: Perform this step once for each Inventory organization.

See: *Defining Units of Measure., Oracle Inventory User Guide*

4. Define Your Employees (optional)

If you do not install Oracle Personnel, Oracle Payroll, Oracle Purchasing, or Oracle Payables, use the Enter Person window in Oracle Assets to define employees. You must enter an employee before you can assign an asset to the employee. Oracle Assets only uses the employee name, number, and termination date.

If you previously defined your employees while setting up a different Oracle Applications product, proceed to the next step.

Default - If you skip this step, you will not be able to track assets by employee name.

Context: Perform this step once for each business group.

See: *Entering a New Person., Managing Your Workforce Using Oracle HRMS*

5. Define Your Descriptive Flexfields (optional)

You can set up descriptive flexfields to track additional information. For example, you can set up a descriptive flexfield for each asset category to collect information relevant to your business. For example, you might want to track the license number for cars, but the square footage for buildings. Then, when you assign a new asset to a category, you can enter the additional information.

There are many other descriptive flexfields in Oracle Assets. For example, you can set up a descriptive flexfield to store additional information about your

transactions.

Note: To set up the Leases GUI descriptive flexfield or the Retirements GUI descriptive flexfield, see: Defining Descriptive Flexfield Structures, *Oracle Applications Flexfields Guide*.

Default - If you skip this step, you will not be able to enter additional descriptive information to track assets.

Context: You need to perform this step only once per installation.

See: Defining the Asset Category Descriptive Flexfield, page 11-24 and

6. Set Up Oracle Subledger Accounting (conditionally required)

Note: This step is required if the FA: Use Workflow Account Generation profile option is set to No.

Oracle Assets uses Oracle Subledger Accounting to create journal entries.

Default - If you skip this step, Oracle Assets will use the default value of No for the FA Use Workflow Account Generation and will use Subledger Accounting to create journal entries.

Context: Perform this step once for each ledger.

See: Subledger Accounting Options Setup Overview, *Oracle Subledger Accounting Implementation Guide*

7. Decide How to Use the Account Generator (conditionally required)

Oracle Assets uses the Account Generator to generate accounting flexfield combinations for journal entries. You must review the default process that Oracle Assets uses to see if it meets your accounting requirements. You can optionally customize the Account Generator for each ledger that you have defined. Note that you must set up Oracle Workflow in order to use the Account Generator.

Default - If you skip this step, Oracle Assets will use the default Account Generator settings to build accounting flexfield code combinations.

Context: Perform this step once for each (entity) i.e. organization operating unit, business group, or legal entity.

See: Using the Account Generator in Oracle Assets, page 11-25

8. Define Additional Journal Entry Sources (required with defaults)

If you do not install Oracle General Ledger, use the Journal Entry Sources window in Oracle Assets to define additional journal entry sources. Journal entry sources are used to identify the origin of your journal entry transactions.

If you previously defined your journal entry sources while setting up Oracle General Ledger, proceed to the next step.

Default - If you skip this step, Oracle Assets will use the journal entry sources set up in Oracle General Ledger.

Context: Perform this step once for each operating unit.

See: Defining Journal Sources., *Oracle General Ledger User Guide*

9. Define Additional Journal Entry Categories (required with defaults)

If you do not install Oracle General Ledger, use the Journal Entry Categories window in Oracle Assets to define additional journal entry categories. Journal entry categories describe the purpose or type of your journal entries.

If you previously defined your journal entry categories while setting up Oracle General Ledger, proceed to the next step.

Default - If you skip this step, Oracle Assets will use the journal entry categories set up in Oracle General Ledger.

Context: Perform this step once for each operating unit.

See: Defining Journal Categories., *Oracle General Ledger User Guide*

10. Define Your Supplier and Employee Numbering Schemes (optional)

If you do not install Oracle Purchasing or Oracle Payables, use the Financials Options window in Oracle Assets to define your supplier and employee numbering schemes. You need to specify how to number your suppliers and employees before you can enter suppliers or employees.

If you previously defined your supplier and employee numbering schemes while setting up a different Oracle Applications product, proceed to the next step.

Default - If you skip this step, you will not be able to track asset assignments against employees and assignments.

Context: Perform this step once for each operating unit.

See: Defining Financials Options., *Oracle Payables User Guide*

11. Define Your Suppliers (optional)

If you do not install Oracle iSupplier, use Setup > Assets System > Financials > Suppliers in Oracle Assets to define your suppliers. You must enter a supplier before you can enter assets or bring over mass additions purchased from that supplier. Oracle Assets only uses the supplier name, number, and inactive date.

If you previously defined your suppliers while setting up a different Oracle Applications product, proceed to the next step.

Default - If you skip this step, you will not be able to track assets assigned to

specific suppliers.

Context: Perform this step once for each operating unit.

See: Entering Suppliers., *iSupplier Portal Implementation Guide*

12. Define Your Asset Key Flexfield

The asset key flexfield allows you to define asset keys that let you name and group your assets so you do not need an asset number to find them. The asset key is similar to the asset category in that it allows you to group assets. However, the asset key has no financial impact.

This flexfield lets you assign the same name to many assets so you can find similar assets. You can provide additional descriptive data to group assets by project or other functional group. You can use this flexfield to track your CIP assets. You use the same setup windows to create your asset key flexfield as you do for your other key flexfields.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: You need to perform this step only once per installation.

See: Asset Key Flexfield., page 11-36

13. Define Your Asset Category Flexfield

The asset category flexfield allows you to define asset categories and subcategories. For example, you can create an asset category for your computer equipment. You can then create subcategories for personal computers, terminals, printers, and software. You must assign the major category segment qualifier to one segment of your category flexfield. The major category segment facilitates capital budgeting. You must assign the minor category segment qualifier to one segment of your category flexfield. This is needed as some variable format report use it as a parameter. All other segments are optional. You use the same setup windows to create your asset category flexfield as you do for your other key flexfields.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: You need to perform this step only once per installation.

See: Category Flexfield, page 11-39

14. Define Your Location Flexfield

The location flexfield allows you to specify and track the exact location of your assets. You must assign the state segment qualifier to one segment of your location flexfield. The state segment facilitates property tax reporting. All other segments are optional. You use the same setup windows to create your location flexfield as you do for your other key flexfields.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: You need to perform this step only once per installation.

See: Location Flexfield, page 11-44

15. Define Your System Controls

Set up your system controls. You specify your enterprise name, asset numbering scheme, and key flexfield structures in the System Controls window. You also specify the oldest date placed in service of your assets.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: You need to perform this step only once per installation.

See: Specifying System Controls., page 11-48

16. Define Your Locations (optional)

Define valid locations. Your location flexfield combinations tell Oracle Assets what locations are valid for your company. Oracle Assets uses location for tracking assets and for property tax reporting.

If your location flexfield has dynamic insertion turned off, this is the only place you can define valid combinations. If dynamic insertion is turned on, Oracle Assets automatically updates the Locations window with the values you enter in the Assignments window.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: Perform this step once per ledger.

See: Defining Locations., page 11-49

17. Define Your Asset Keys (optional)

Define valid asset keys. You can use the list of values to choose these combinations for your assets when you enter them.

If dynamic insertion is disabled for your asset key flexfield, Asset Keys is the only window where you can define valid combinations. If dynamic insertion is enabled, Oracle Assets automatically updates the Define Asset Keys window with the values you enter when you add assets.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: Perform this step once per ledger.

See: Defining Asset Keys., page 11-50

18. Define Your Standard Asset Descriptions and Other QuickCode Values (required with defaults)

QuickCode values are values that you can choose from a list of values when you enter and maintain assets. You can define the QuickCode values that you want for the following items:

- Standard Asset Descriptions
- Journal Entries
- Mass Additions Queue Names
- Property Type
- Retirement
- Asset Category
- Asset Subcategory

Default - If you skip this step, the list of values you receive for maintaining assets will be the seeded defaults.

Context: Perform this step once per ledger.

See: Entering QuickCodes., page 11-50

19. Define Your Fiscal Years

Use the Fiscal Years window to define the beginning and end of each fiscal year since the start of your company.

Your fiscal year groups your accounting periods. You must define the start and end date of each fiscal year since the oldest date placed in service. If you are using a 4-4-5 calendar, your start and end dates change every year. Create fiscal years from the oldest date placed in service through at least one fiscal year beyond the current fiscal year. Depreciation will fail if the current fiscal year is the last fiscal year.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: Perform this step once per ledger.

See: Creating Fiscal Years., page 11-53

20. Define Your Calendars

Use the Calendars window to set up as many depreciation and prorate calendars as you need. Calendars break down your fiscal year into accounting periods. Define your calendars with as many periods as you need.

Define a prorate calendar and a depreciation calendar for each depreciation book.

Depreciation books can share a calendar, and you can use the same calendar for your depreciation calendar and prorate calendar if appropriate.

- **Depreciation Calendar:** Determines, with the divide depreciation flag, what fraction of the annual depreciation amount to take each period.
- **Prorate Calendar:** Determines, with the date placed in service, which depreciation rate to select from the rate table.

You can set up different calendars for each depreciation book. For example, you might set up a monthly calendar for financial reporting and a quarterly calendar for tax reporting.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: Perform this step once per ledger.

See: Specifying Dates for Calendar Periods., page 11-53

21. Set Up Security by Book (optional)

If you have multiple depreciation books, you may need to set up security for each book. For example, you may have operations in the U.S., Europe, and Asia, and may have ledgers and associated depreciation books set up for each country, according to that country's currency and tax laws. For a variety of reasons, you may prefer that the staff at the different sites are unable to view depreciation information for another site.

Oracle Assets allows you to limit access to each book so that only certain individuals can view the information. You do this by creating asset organizations and organization hierarchies that determine which organizations have access to a specific depreciation book.

Default - If you skip this step, all asset depreciation books will be accessible to all users.

Context: Perform this step once per ledger.

See: Setting Up Security by Book., page 11-55

22. Define Your Book Controls

Use the Book Controls window to set up your depreciation books. You can set up an unlimited number of independent depreciation books. Each book has its own set of accounting rules and accounts so you can organize and implement your fixed assets accounting policies.

When you define a tax book, you must specify an associated corporate book. You can mass copy assets and transactions from the source book into your tax book. You specify the current open period, and Initial Mass Copy copies each asset into the tax book from the corporate book as of the end of that fiscal year in the corporate book.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: Perform this step once per ledger.

To set up security for your ledgers, you need to complete the following steps:

- Define organizations. See: Asset Organizations Overview, page 11-56
- Define organizations hierarchies. See: Organization Hierarchies in Oracle Assets, page 11-58
- Define security profiles. See: Security Profiles, page 11-58
- Run the Security List Maintenance process. See: Security List Maintenance Process, page 11-58
- Define responsibilities. See: Defining Responsibilities. See: Defining Responsibilities, page 11-58
- Assign responsibilities to users. See: Assigning Responsibilities to Users, page 11-59
- Set up the FA: Security Profile profile option. See: Setting Up FA: Security Profile, page 11-59

See: Defining Depreciation Books., page 11-59

23. Define Additional Depreciation Methods and Rates (required with defaults)

Depreciation methods specify how to spread the asset cost. Oracle Assets includes many standard depreciation methods, and you can define additional methods in the Methods window, if necessary.

- **Life_Based Depreciation Method:** Oracle Assets includes standard life-based depreciation methods and rates. However, you can define additional life-based methods.
- **Flat-Rate Depreciation Method:** You can define additional flat-rate methods, such as Diminishing Value. You can define your methods to calculate depreciation using either the net book value or the cost of the asset.
- **Bonus Depreciation Rules:** Use the Bonus Depreciation Rules window to enter bonus rates for your flat-rate depreciation methods. Bonus rules allow you to take additional depreciation in the early years of an asset's life.
- **Units of Production:** You can define a units of production method so you can calculate depreciation for an asset based on actual production or use for the period.

- **Formula-Based Depreciation:** You can define specific formulas to derive annual depreciation rates for your assets. You can use these user-defined depreciation formulas in lieu of table-based, flat rate, calculated, or units of measure depreciation methods.

Default - If you skip this step, you will be able to use only the standard depreciation methods included in Oracle Assets.

Context: Perform this step once per ledger.

See: Defining Additional Depreciation Methods, page 11-65, Defining Formula-Based Depreciation Methods, page 11-68 and Defining Bonus Depreciation Rules., page 11-74

24. Define Your Depreciation Ceilings (optional)

Depreciation ceilings limit the depreciation expense you can take for an asset. Set up depreciation expense ceilings to limit the annual amount of depreciation expense you can take on an asset. Or set up depreciation cost ceilings to limit the recoverable cost of an asset.

- **Depreciation Expense Ceilings:** Use the Ceilings window to define your depreciation expense ceilings. If you are subject to United States tax law, you must set up depreciation ceilings for luxury automobiles.
- **Depreciation Cost Ceilings:** If you do business in a country which requires cost ceilings, such as Australia, you can limit the cost Oracle Assets uses to calculate depreciation. When you use a cost ceiling, Oracle Assets bases depreciation expense on the lesser of the cost ceiling and the asset cost.

Default - If you skip this step, depreciation expense will not be limited by depreciation ceilings.

Context: Perform this step once per ledger.

See: Setting Up Depreciation Ceilings., page 11-178

25. Define Your Investment Tax Credits (optional)

Set up your Investment Tax Credit (ITC) rates, recapture rates, and ceilings. Investment tax credits (ITC) allow you to reduce the recoverable cost of an asset.

- **ITC Rates:** Oracle Assets allows you to set up ITC rates for assets that are eligible for Investment Tax Credit. ITC rates determine the amount of ITC for an asset.
- **ITC Recapture Rates:** Oracle Assets allows you to set up ITC recapture rates for assets with Investment Tax Credits. ITC recapture rates determine the portion of the investment tax credit that must be recaptured if you retire the asset prematurely.

See: Defining Investment Tax Credit Rates., page 11-179

- **ITC Ceilings:** Oracle Assets allows you to define Investment Tax Credit (ITC) ceilings. ITC ceilings limit the amount of ITC for an asset. If you are subject to United States tax law, you must set up ITC ceilings for luxury automobiles.

Default - If you skip this step, you will not be able to use investment tax credits.

Context: Perform this step once per ledger.

See: Setting Up Depreciation Ceilings., page 11-178

26. Define Your Prorate and Retirement Conventions

Use the Prorate Conventions window to set up your prorate and retirement conventions. Prorate and retirement conventions determine how much depreciation expense to take in the first and last year of life, based on when you place the asset in service. Oracle Assets lets you set up as many prorate and retirement conventions as you need.

- **Prorate Conventions:** Determines how much depreciation expense to take in the first year of life.
- **Retirement Conventions:** If you do business in a country that requires you to use a different prorate convention for retirements than for additions, set up retirement conventions to determine how much depreciation to take in the last year of life, based on the retirement date.

You must set up your prorate conventions for the entire year. When you run the depreciation program for the last period in your fiscal year, Oracle Assets automatically generates the dates for your next fiscal year.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: Perform this step once per ledger.

See: Specifying Dates for Prorate Conventions., page 11-180

27. Define Your Price Indexes (optional)

A price index lets you calculate gains and losses for retirements using current value rather than historical cost. If you do business in a country that requires you to base gains and losses on current value rather than historical cost, Oracle Assets lets you set up price indexes to calculate the gains and losses for your asset upon retirement. When you retire an asset assigned to a category and book for which you have defined a price index, you can run the Revalued Asset Retirements Report which uses the revalued asset cost in calculating gains and losses.

You can use a different index for each asset category or the same index for all categories. You associate an index with an asset category by entering the name of

the price index in the Price Index field on the Asset Categories window.

Default - If you skip this step, you will not be able to use price indexes with features such as retirements and insurance.

Context: Perform this step once per ledger.

See: Defining Price Indexes., page 11-187

28. Define Your Asset Categories

Asset categories let you define information that is common to all assets in a category, such as depreciation method and prorate convention. Oracle Assets uses this information to provide default values to help speed asset entry.

Default - This is a required step. If you skip this step, you will not be able to use Oracle Assets.

Context: Perform this step once per ledger.

See: Setting Up Asset Categories., page 11-188

29. Define Distribution Sets (optional)

Distribution sets let you automatically assign distributions to a new asset or mass addition quickly and accurately by using a predefined distribution set. Default distribution sets appear in the Distribution Set poplist in the Assignments window.

Default - If you skip this step, you will not be able to use distribution sets to automatically assign distributions to new asset additions.

Context: Perform this step once per ledger.

See: Defining Distribution Sets, page 11-194.

30. Enter Leases (optional)

Define leases in the Lease Details window. You can assign leases to one or more assets in the Asset Details window. You can also test your leases in accordance with generally accepted accounting principles in the Lease Details window, and you can analyze alternate leasing strategies using the Lease Payments window.

Default - If you skip this step, you will not be able to assign a lease to an asset.

Context: Perform this step once per ledger.

See: Entering Leases, page 11-202 and Lease Analysis, page 11-195.

31. Define Warranties (optional)

Define and track descriptive information on manufacturer and vendor warranties. You define the warranty information in the Asset Warranties window. You can then assign assets to these previously defined warranties in the Asset Details window. You can assign any number of assets to the same warranty.

Default - If you skip this step, you will not be able to track descriptive information

on manufacturer and vendor warranties.

Context: Perform this step once per ledger.

See: Defining Asset Warranties, page 11-208.

32. Set Profile Options (optional)

Profile options specify how Oracle Assets controls access to and processes data. In general, profile options can be set at one or more of the following levels: site, application, responsibility, and user.

Oracle Assets users use the Personal Profile Values window to set profile options only at the user level. System administrators use the Update System Profile Options window to set profile options at the site, application, responsibility, and user levels.

You can set or view the following profile options in Oracle Assets. The table also includes profile options from other applications that are used by Oracle Assets.

Default - If you skip this step, you will not be able to control access to and process data optimally in Oracle Assets.

Context: Perform this step once per ledger.

See: Overview of User Profiles, *Oracle Applications System Administrator's Guide* and Setting User Profile Options, *Oracle Applications System Administrator's Guide*.

33. Define Asset Insurance (optional)

You can use the Fixed Asset Insurance window to define insurance information for your assets, such as insurance policy information and calculation methods. You can enter multiple insurance policies for an asset for different categories of insurance. Oracle Assets uses the insurance information that you enter here to calculate the current insurance value of the asset.

Default - If you skip this step, you will not be able to track insurance information for assets.

Context: Perform this step once per ledger.

See: Overview of Asset Insurance, page 11-209.

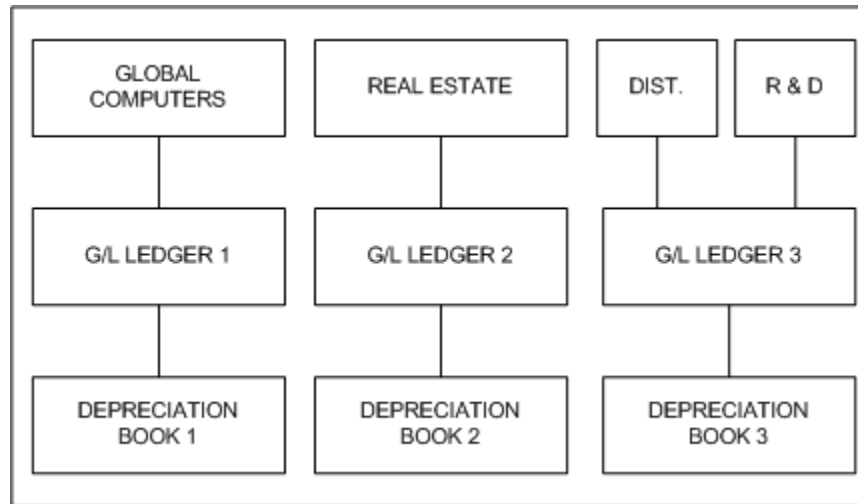
Oracle Assets With Multiple Ledgers

You can use Oracle Assets with multiple ledgers, within a single Oracle Assets installation.

You can handle multiple companies in two different ways. You can have multiple companies within one ledger, or you can have multiple companies each with its own ledger. Regardless of the way you choose, you create at least one depreciation book for each ledger that you want to use.

Example: Global Computers is a parent company with three subsidiaries. They are:

Global Computers	G/L ledger 1
Real Estate	G/L ledger 2
Research & Development	G/L ledger 3
Distribution	G/L ledger 3



Since Global Computers and the Real Estate subsidiary are in different ledgers, they must be in different depreciation books. The Research & Development and Distribution subsidiaries are in the same ledger so you can either set up one depreciation book for both, or a separate depreciation book for each.

Implementation

You need only one copy of Oracle Assets to implement multiple ledgers. Use AutoInstall to install the single copy.

Once you install Oracle Assets, use the Book Controls window to set up as many depreciation books as you need. For each depreciation book, you choose to create journal entries to the appropriate ledger.

Remember that before you use the Book Controls window to set up your depreciation books, you must:

- Set up the Account structure (chart of accounts) associated with each ledger
- Use Oracle General Ledger to set up the ledger you need. If you do not have Oracle General Ledger, you can set up your ledgers using the Ledgers window in Oracle Assets

Limitations

Implementing multiple ledgers in Oracle Assets has the following limitations:

- If you want to transfer assets that are in different corporate depreciation books, you must retire the asset from one depreciation book and add it to the other.
- You can run depreciation projections for several books at once if all books have the same Account flexfield structure. If they have different structures, you must project them separately.

Related Topics

Oracle Assets System Setup, page 11-2

Defining Ledgers, *Oracle General Ledger Implementation Guide*

Defining Depreciation Books, page 11-59

Defining the Asset Category Descriptive Flexfield

You can set up the Asset Category descriptive flexfield to store additional information based on the asset category. The Asset Category descriptive flexfield appears in both the Additions and Quick Additions forms.

Enter ATTRIBUTE_CATEGORY_CODE as the reference field to base the descriptive flexfield structure on the value of your Category Flexfield (key flexfield). See: Category Flexfield, page 11-39.

You define your context field values (structure names) to exactly match your concatenated Category Flexfield combinations. For example, if you have a Major Category value of BUILDING, and a Minor Category of OFFICE, your Category Flexfield combination is BUILDING.OFFICE, so you would define BUILDING.OFFICE as your context value (structure name). Similarly, you could define another context value as VEHICLE.DELIVERY. Note that the segment separator, spelling and case must exactly match your Category Flexfield combination.

You need not define a descriptive flexfield structure for each combination of your Category Flexfield; define structures only for those categories where you want to capture additional information (such as license number, insurance policy number, and so on).

Note that you may want to "share" segment names (not necessarily the same as your segment prompts) among different structures of context-sensitive segments if you plan to use flexfield views for reporting.

Related Topics

Overview of Flexfield Views, *Oracle Applications Flexfield Guide*

Segment Naming Conventions, *Oracle Applications Flexfield Guide*

Descriptive Flexfield View Example, *Oracle Applications Flexfield Guide*

Using the Account Generator in Oracle Assets

This essay describes how to use and customize the default Account Generator process in Oracle Assets.

The Account Generator in Oracle Assets utilizes Oracle Workflow. You can view and customize Account Generator processes through the Oracle Workflow Builder. See: *Predefined Workflows Embedded in Oracle E-Business Suite, Oracle Workflow Developer User Guide* and *Overview of the Account Generator, Oracle Applications Flexfield Guide*.

Oracle Assets uses the Account Generator to generate accounting flexfield combinations for journal entries. The Account Generator allows you to designate a specific source for each segment in the account for which Oracle Assets creates a journal entry. The Account Generator gives you the flexibility to create journal entries according to your requirements. You can specify to what detail to create journal entries, and you can specify the detail level for each book and account type.

For example, when creating journal entries for asset cost, you can specify that the cost center segment comes from the depreciation expense account of the distribution line you entered for the asset in the Assignments window. Or, you can specify that the cost center comes from the default value you defined for the depreciation book.

Oracle Assets sets up the Account Generator to create journal entries using default assignments when you set up a depreciation book.

Oracle Assets provides two seeded Account Generator processes.

- Generate Default Account process
- Generate Distribution Detail Account process

The Generate Default Account process creates journal entries without cost center level detail, except for depreciation expense. Using the default assignments, it creates journal entries using the balancing segment from the distribution line in the Assignments window and the natural account segment from the asset category or book, depending on the account type. The Account Generator gets the other segments from the default segment values you entered for the book. You can modify the default Account Generator processes so that Oracle Assets creates journal entries to a different detail level.

The Generate Distribution Detail Account process creates journal entries with cost center level detail. It creates journal entries using the distribution expense account for

all segment values, except the natural account segment. The natural account segment is created from the asset category or book, depending on the account type. You can modify the default Account Generator processes so that Oracle Assets creates journal entries to a different detail level.

Tip: You only need to read this essay and modify the default process if you want to use the Account Generator to post to a different level of detail.

Important: Notice that the default process is different for the depreciation expense account and the bonus depreciation expense account. Using the default process, Oracle Assets creates full detail journal entries for depreciation expense. Oracle Assets creates journal entries for depreciation expense using all the segments from the distribution line you enter for the asset in the Assignments window. For bonus depreciation expense, Oracle Assets creates journal entries using the account segment from the asset category and the other segments from the distribution line.

Related Topics

Overview of the Account Generator, *Oracle Applications Flexfield Guide*.

Decide How to Use the Account Generator

In Release 10, several Oracle Applications products used FlexBuilder to derive account code combinations for certain account transactions. In Release 11, FlexBuilder is replaced by the Account Generator to provide implementation teams with even greater flexibility and a better user interface with Oracle Workflow.

If you are upgrading from Release 10 and used FlexBuilder, then you should perform the equivalent of this setup step as part of your upgrade. See the FlexBuilder chapter of the *Oracle Applications Upgrade Preparation Manual*.

If you are implementing Oracle Assets for the first time, then you need to review how Assets uses the Account Generator to build Accounting Flexfield code combinations. Consider whether the default Account Generator process is appropriate for each ledger that uses a unique Accounting Flexfield structure. For each structure and ledger, you can choose one of the following:

- Use the Generate Default Account process
- Use the Generate Distribution Detail Account process
- Customize the default Account Generator processes

This decision determines which setup steps your implementation team needs to perform.

Note: You cannot create a new Account Generator process. However, you can customize the default Account Generator processes, as stated above.

Before Using the Account Generator

Before using the Account Generator on a production database in Oracle Assets to generate accounting flexfield combinations, you must:

- Define your Accounting Flexfield structure for each ledger.
- Define flexfield segment values and validation rules.
- Set up Oracle Workflow, *Oracle Workflow Guide*
- Choose whether you want to use the default Account Generator process, or if you need to customize it to meet your accounting needs.
- Do one of the following for each ledger:
 - Choose to use the default Account Generator process.
 - Customize the default Account Generator process, test your customizations, and choose the process for a flexfield structure, if necessary.

Related Topics

The Default Account Generator Processes for Oracle Assets, page 11-27

Customizing the Account Generator for Oracle Assets, page 11-33

The Default Account Generator Processes for Oracle Assets

Evaluate whether the default Account Generator processes meet your accounting requirements. No setup steps are required to use the default processes. The default processes can also be updated later as your needs change. You can make minor changes to the default processes without changing the name.

Note: If you used FlexBuilder in Release 10 but did not customize the default configuration, you can use the default Account Generator process in Release 11, which gives you the same result as the default assignments in FlexBuilder.

Each Account Generator workflow is called an *item type*. Oracle Assets comes with the

following Account Generator item type:

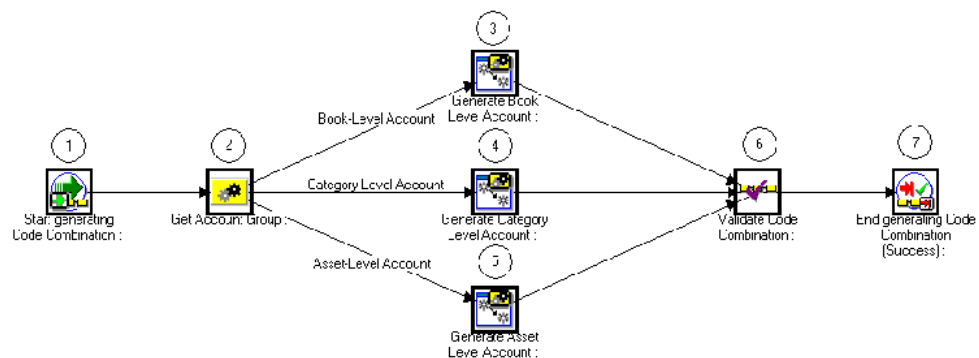
- FA Account Generator

The FA Account Generator contains the following workflow processes:

- Generate Default Account
- Generate Distribution Detail Account
- Generate Account Using FlexBuilder Rules

Generate Default Account Process

Use the Generate Default Account process to generate asset-level, book-level, and category-level accounts. You can use the default settings or customize it as required.



Start Generating Code Combination (Node 1)

This is a standard activity that marks the start of the process.

Get Account Group (Node 2)

This function returns the group to which the account belongs, either book level, category level, or asset level.

Generate Book Level Account (Node 3)

This activity generates the code combination ID (CCID) for a book-level account. The FA Account Generator finds the name of the account for which it is generating code combinations. Possible account names are:

- Cost of Removal Clearing
- Cost of Removal Gain
- Cost of Removal Loss
- Deferred Depreciation Expense
- Deferred Depreciation Reserve
- Depreciation Adjustment
- Intercompany Accounts Payable
- Intercompany Accounts Receivable
- Net Book Value Retired Gain
- Net Book Value Retired Loss
- Proceeds of Sale Clearing
- Proceeds of Sale Gain
- Proceeds of Sale Loss
- Revaluation Reserve Retired Gain
- Revaluation Reserve Retired Loss

Generate Category Level Account (Node 4)

This activity generates the code combination ID (CCID) for a category-level account. The FA Account Generator finds the name of the account for which it is generating code combinations. Possible account names are:

- Asset Clearing
- Asset Cost
- Bonus Expense
- Bonus Reserve
- Construction-In-Process Clearing
- Construction-In-Process Cost
- Depreciation Reserve

- Revaluation Amortization
- Revaluation Reserve

Generate Asset Level Account (Node 5)

This activity generates the code combination ID (CCID) for an asset-level account. The FA Account Generator finds the name of the account for which it is generating code combinations. Possible account names are:

- Depreciation Expense

Validate Code Combination (Node 6)

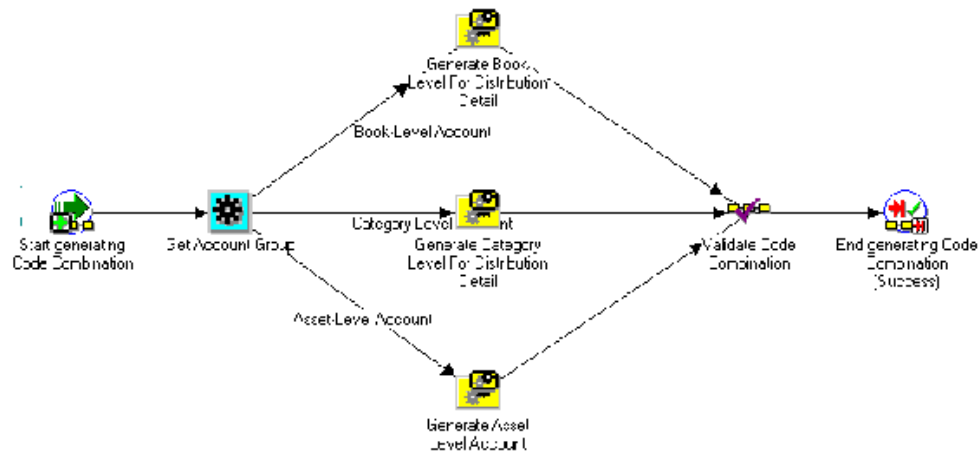
The FA Account Generator validates the generated code combination.

End Generating Code Combination (Node 7)

It is always the End function for an Account Generator process.

Generate Distribution Detail Account Process

Use the Generate Distribution Detail Account process to generate asset-level, book-level, and category-level accounts. You can use the default settings or customize it as required.



Start Generating Code Combination (Node 1)

This is a standard activity that marks the start of the process.

Get Account Group (Node 2)

This function returns the group to which the account belongs, either book level,

category level, or asset level.

Generate Book Level For Distribution Detail (Node 3)

This activity generates the code combination ID (CCID) for a book-level account. The FA Account Generator finds the name of the account for which it is generating code combinations. Possible account names are:

- Cost of Removal Clearing
- Cost of Removal Gain
- Cost of Removal Loss
- Deferred Depreciation Expense
- Deferred Depreciation Reserve
- Depreciation Adjustment
- Intercompany Accounts Payable
- Intercompany Accounts Receivable
- Net Book Value Retired Gain
- Net Book Value Retired Loss
- Proceeds of Sale Clearing
- Proceeds of Sale Gain
- Proceeds of Sale Loss
- Revaluation Reserve Retired Gain
- Revaluation Reserve Retired Loss

Generate Category Level for Distribution Detail (Node 4)

This activity generates the code combination ID (CCID) for a category-level account. The FA Account Generator finds the name of the account for which it is generating code combinations. Possible account names are:

- Asset Clearing
- Asset Cost
- Bonus Expense

- Bonus Reserve
- Construction-In-Process Clearing
- Construction-In-Process Cost
- Depreciation Reserve
- Revaluation Amortization
- Revaluation Reserve

Generate Asset Level Account (Node 5)

This activity generates the code combination ID (CCID) for an asset-level account. The FA Account Generator finds the name of the account for which it is generating code combinations. Possible account names are:

- Depreciation Expense

Validate Code Combination (Node 6)

The FA Account Generator validates the generated code combination.

End Generating Code Combination (Node 7)

It is always the End function for an Account Generator process.

Generate Account Using FlexBuilder Rules Process

If you used FlexBuilder in a previous release to generate account combinations, you can use the Generate Account Using FlexBuilder Rules process to replicate your FlexBuilder setup automatically, without changing any of your predefined FlexBuilder Rules, and without customizing the Account Generator. The Generate Account Using FlexBuilder Rules process includes a function generated during your upgrade from Release 10 to Release 11.

If you are upgrading from Release 10, follow the guidelines in the FlexBuilder chapter of the *Oracle Applications Upgrade Preparation Manual*.

Exceptions

In a few special cases, Oracle Assets does not use the Account Generator to determine for which account to create journal entries. These special cases are for the clearing account for an asset added using mass additions, and for the depreciation expense account after a reclassification.

When you add an asset using mass additions, Oracle Assets clears the asset clearing or CIP clearing account to which your payables system charged the asset in your corporate book, without using the Account Generator.

When you reclassify an asset, Oracle Assets changes the depreciation expense account segment for all books to that of the new asset category, without using the Account Generator, or the account segment from the distribution you specified for the asset in the Assignments window.

When Generate Accounts is run, all required accounts are generated and stored in fa_distribution_accounts if they pass account validation.

If the account combination already exists in fa_distribution_accounts, Generate Accounts will use the account combination without revalidation.

Related Topics

Defining Depreciation Books, page 11-59

Setting Up Asset Categories, page 11-188

Assigning an Asset, page 3-26

Customizing the Account Generator for Oracle Assets

Oracle Assets provides two default Account Generator processes for you to use. If the default processes do not satisfy your accounting requirements, you can use the Oracle Workflow Builder to customize the default process or create a new one.

If you want to create a new process to meet your company's needs, use the Oracle Workflow Builder to create a new process, or copy the existing default and change the name before making extensive changes to it.

Customization Guidelines

You can define to what level of detail Oracle Assets creates journal entries by specifying how the Account Generator generates the account combination. You can indicate the source in Oracle Assets for the value of each segment in the account combination.

Important: If you create journal entries to the detail level for segments without qualifiers, the Journal Entry Reserve Ledger Report does not directly reconcile with the general ledger. Most Oracle Assets reports do not report to unqualified segment detail.

Oracle Assets standard reports show the balancing segment from the distribution line, and the cost center and natural account from the asset category or book. They show these values even if you modify the Account Generator process to create journal entries using different segment values.

Functions

In addition to the functions used in the default processes, the FA Account Generator contains several unique functions, which you can use along with the Standard and

Standard Flexfield Workflow functions to customize the FA Account Generator.

Note: You cannot delete or modify any of the functions listed in this section.

Get Book Account Name. This function returns only one of the book level accounts.

Get Book Class. This function determines the book class of the book, either corporate, tax, or budget.

Get Book Type Code. This function returns the book type code to be used in the workflow process. To use this function in a process, you must do the following:

- Define a new lookup type called Books.
- Add the lookup codes you have defined to the lookup type Books. The lookup codes should be valid book type codes you defined in the Book Controls window, for example, MYCORP or MYTAX.
- In the Get Book Type Code properties, enter Books in the Result Type field.

Oracle Assets Default Account Generator Assignments

The following table illustrates default segment sources for each segment:

Account Structure

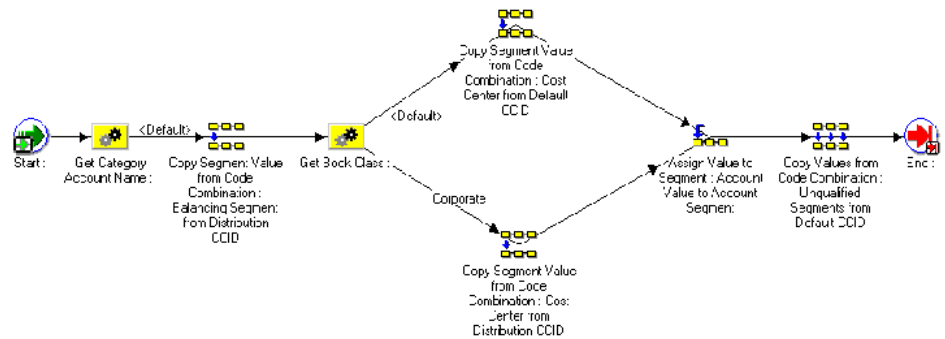
Segment Name	Default Segment Sources
Company	Distribution CCID
Cost Center	Default CCID
Account	Account Segment Value
Product	Default CCID
Sub-Account	Default CCID

Customization Example

The Account Generator uses several sources to fill in the account combination for which to create a journal entry.

Example 1: Cost Center Detail

To create journal entries to the cost center level for all your category-level accounts in your Corporate book, you specify that the Account Generator uses the cost center segment value in the distribution line attribute.



Using these attributes, Oracle Assets creates journal entries using the balancing and cost center segments from the distribution line. The account segment still comes from the asset category, and the other segments still come from the defaults you entered for the book.

Testing a Customized Account Generator Process

You must test any modified Account Generator process before using it on a production database.

You can test the supplier invoice account generation process by running the SQL script **faxagtst.sql**. At the system prompt, type:

```
$FA_TOP/admin/sql/faxagtst.sql
```

The script prompts you to enter a value for the following parameters:

- account_type (for example, asset_cost or asset_cost_clearing)
- book
- distribution_ccid
- account_segment

- default_ccid
- account_ccid

Implementing a Customized Account Generator Process

If you have customized your Account Generator process for the FA Account Generator item type and assigned a new name to it, use the Account Generator Processes window to associate the new process name with the appropriate Accounting Flexfield structure and item type.

If you made customizations to the default process, but did not change the name of it, you do not need to perform this step.

Choosing the Process for a Flexfield Structure

1. Navigate to the Account Generator Processes window.

In the System Administrator responsibility, this window is under the navigation path Application > Flexfield > Key > Accounts. In your Oracle Assets responsibility, it is under Setup > Flexfields > Key > Accounts.

1. Select the structure to which you want to assign a process. You can choose the application, flexfield title, structure, and description from the row list of values.
2. Specify the FA Account Generator item type.
3. Specify the process you want to use to generate the accounts.

The Generate Default Account process will default in. If you want to use a different process, such as the Generate Distribution Detail Account process, enter the name of the process you want to use.

Related Topics

Customization Guidelines, page 11-33

Customizing the Account Generator, *Oracle Applications Flexfields Guide*

Asset Key Flexfield

Oracle Assets uses the asset key flexfield to group your assets by non-financial information. You design your asset key flexfield to record the information you want. Then you group your assets by asset key so you can find them without an asset number.

Warning: Plan your flexfield carefully. Once you have started entering assets using the flexfield, you cannot change it.

Asset Key Flexfield

Owner	Oracle Assets
Flexfield Code	KEY#
Table Name	FA_ASSET_KEYWORDS
Number of Columns	10
Width of Columns	30
Dynamic Inserts Possible	Yes
Unique ID Column	CODE_COMBINATION_ID
Structure Column	None

Group Assets According To Your Needs

Use the asset key flexfield to group your assets. Group your assets according to non-financial information. You can assign the same asset key to many assets to easily find similar assets. All Oracle Assets transaction forms allow you to query using the asset key, and help you find your assets without an asset number.

Asset Key Flexfield Structure

You define your asset key flexfield structure to fit the specific needs of your organization. You choose the number of segments, the length of each segment, and the name and order of each segment in your asset key flexfield. You can define up to ten asset key segments. This key flexfield supports only one structure.

Not Using The Asset Key Flexfield

If you choose not to track assets using the asset key, you must define at least one segment asset key flexfield without validation.

Determine Your Needs

Asset Key Structure

Consider the way you group and query your assets. You need to decide how many

levels (segments) your asset key structure needs.

Value Sets

Each segment of your asset key structure needs a value set. The terms you used to group your assets are the values you enter for these value sets.

Tip: The asset key name (all segments concatenated) appears on forms and reports which display only a limited number of characters. You may want to abbreviate some asset key segment values.

Define Your Asset Key Flexfield

Create A Value Set For Each Segment

Create a value set for each segment using the Value Set windows. If you want to set up a segment which is dependent on another segment, create an independent value set for the segment which the user enters first, and a dependent value set for the segment which depends on the value entered. See: Value Set Windows, *Oracle Applications Flexfields Guide*.

Alternatively you can set up cascading dependencies for your category flexfield value sets.

Alternatively you can set up cascading dependencies for your category flexfield value sets. See: Example of \$FLEX\$ Syntax, *Oracle Applications Flexfields Guide*.

Enable Each Segment For Your Asset Asset Key Flexfield

Define new asset key segments using the Define Key Segments form. Remember, you must log into Oracle Assets again before you add assets after you recompile your key flexfield.

If you want to define all valid combinations and prevent users from creating additional combinations while entering assets, uncheck Allow Dynamic Inserts. If you do not need to limit valid combinations, check Allow Dynamic Inserts. You can define valid combinations in the Define Asset Key Flexfield Combinations form. See: Key Flexfield Segments, *Oracle Applications Flexfield Guide*.

Define Values For Each Segment

Create a list of valid values for each segment using the Segment Values Window. Since Oracle Assets only displays a limited number of characters of the asset key flexfield on forms and reports, you may want to keep the values short. See: Segment Values Window, *Oracle Applications Flexfields Guide*.

Create Asset Key Flexfield Combinations

Use the Define Asset Key Flexfield Combinations form to enter the combination using the segments you defined. You do not need to use this form to define combinations if you checked Allow Dynamic Inserts.

See: Defining Asset Keys, page 11-50

Example

You decide to use a two segment asset key flexfield. A typical asset key combination might be JET 10.ENGINE. To set up your asset key flexfield you must set up value sets, enable your segments, and enter valid segment values.

First, use the Value Set windows to set up a value set for each segment. For example, you create the value sets Project and Component.

Then use the Key Flexfield Segments window to enable your segments. Enter each segment and the value set for validation in the Segments window.

Now use the Segment Values windows to enter the valid values for each asset key segment. For example, you enter JET 10 as a valid value for the Project segment.

Now, when you enter an asset, you can specify JET 10.ENGINE as the asset key. Since you checked Allow Dynamic Inserts, Oracle Assets creates the combination for you if it doesn't already exist. Or you can create the combination explicitly in the Define Asset Key Flexfield Combinations form.

Related Topics

Key Flexfields by Flexfield Name, *Oracle Applications Flexfields Guide*

Key Flexfields by Owning Application, *Oracle Applications Flexfields Guide*

Category Flexfield

Oracle Assets uses the category flexfield to group your assets by financial information. You design your category flexfield to record the information you want. Then you group your assets by category and provide default information that is usually the same for assets in that category.

Warning: Plan your flexfield carefully. Once you have started entering assets using the flexfield, you cannot change it.

Category Flexfield

Owner	Oracle Assets
Flexfield Code	CAT#
Table Name	FA_CATEGORIES
Number of Columns	7
Width of Columns	30
Dynamic Inserts Possible	No
Unique ID Column	CATEGORY_ID
Structure Column	None

Group Assets According To Your Needs

Define the category flexfield to fit the way you group your assets. Use the category flexfield to group your assets. Group your assets according to depreciation rules. By standardizing category names, you can more easily track your assets.

Category Flexfield Structure

You define your category flexfield structure to fit the specific needs of your organization. You must define a major category segment and you can also define up to six subcategory segments. This key flexfield supports only one structure.

Warning: The combination of segment values plus segment value separators must be 30 characters or less, since the combination is used as a context field value for the Asset Category descriptive flexfield. An example of a valid combination is VEHICLE.DELIVERY, which contains 16 characters including the segment separator.

Category Hierarchy

You can set up your category flexfield so that the valid values for the subcategory segment are dependent on the major category value entered. Then, if you have a dependent segment, only the valid values appear in the list of values for that segment.

Category Default Depreciation Rules

You can default asset financial information for new assets based on the asset category. You can enter default depreciation rules for each category flexfield combination for each book. When you add an asset to a book, Oracle Assets defaults the depreciation rules from the asset category. If necessary, you can specify different depreciation rule defaults for different date placed in service ranges.

Category Budget

You can track actual spending versus budgeted amounts for each category. Enter budgeting information based on asset category. Enter budget amounts for each category for each period and then run depreciation projections for your budgeted additions. You can also run reports that compare budgeted and actual spending or show asset additions to categories for which you did not enter budget amounts.

Descriptive Flexfield Based on the Asset Category

You can set up a descriptive flexfield that stores additional information based on the asset category. Enter the asset category flexfield as the reference field, and the concatenated category segments as the context field value for that descriptive flexfield structure.

Determine Your Needs

Category Structure

Consider the way you group your assets. Determine which assets share depreciation information such as prorate convention and depreciation method. You also need to decide how many levels (segments) your category structure needs. Decide which is the top level (major category segment).

You may want to set up your categories to match your chart of accounts. Each chart account defines a major category. You can define at least one subcategory segment to allow for distinctions within a major category.

Tip: You can define up to seven segments for your asset category flexfield. Since Oracle Assets only displays a limited number of characters on its forms and reports, you may wish to use only two or three segments so they can be displayed. Also, since you must define depreciation rules for each category flexfield combination, more segments require more setup and maintenance effort.

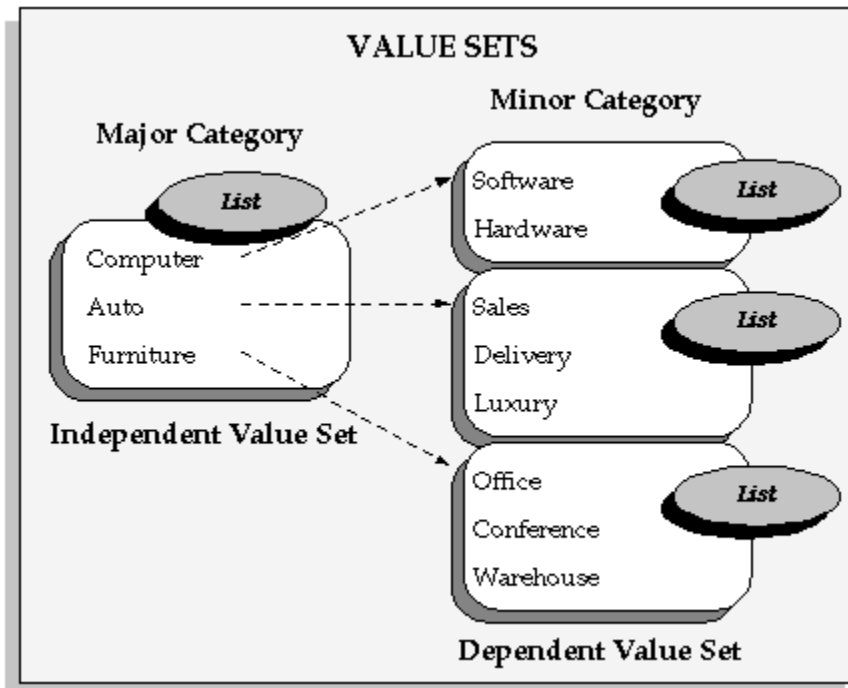
Value Sets

Each segment of your category structure needs a value set. The terms you used to group your assets are the values you enter for these value sets.

Tip: The category name (all segments concatenated) appears on forms and reports which only display a limited number of characters. You may want to abbreviate some category segment values.

Dependent Segments

To set up a subcategory segment for which the valid values are dependent on the value of a previously entered segment, create a dependent value set. Create an independent value set for the first segment using the Value Set windows. Then create a dependent value set for the dependent segment. Enter the name of the independent value set, and specify the value which must be entered for the dependent value set to be valid.



The valid values for the minor category segment are dependent on the value of the major category segment.

Alternatively you can set up cascading dependencies for your category flexfield value sets. See: Example of \$FLEX\$ Syntax, *Oracle Applications Flexfields Guide*.

Major Category Qualifier

You must define exactly one Major Category segment when setting up your category

flexfield. Specify which segment is your major category segment by entering Yes for the Major Category qualifier in the Define Key Segments form. You can enter capital budgeting information for your major categories.

Define Your Category Flexfield

Create A Value Set For Each Segment

Create a value set for each segment using the Value Set windows. If you want to set up a segment which is dependent on another segment, create an independent value set for the segment which the user enters first, and a dependent value set for the segment which depends on the value entered. See: Value Set Windows, *Oracle Applications Flexfields Guide*.

Enable Each Segment For Your Asset Category Flexfield

Define new asset category segments using the Define Key Segments form. For your major category segment, check Enabled for the Major Category qualifier. Remember, you must log into Oracle Assets again to add assets after you recompile your key flexfield.

Because you must enter dependent values for each asset category and assign the category to at least one book, Oracle Assets does not allow dynamic insertion when you use the Category flexfield. Make sure the Allow Dynamic Inserts check box on the Key Flexfield Segments window is unchecked and the flexfield registration (Key Flexfields window) is not modified to alter the availability of dynamic insertion. See: Key Flexfield Segments, *Oracle Applications Flexfields Guide*.

Define Values For Each Segment

Create a list of valid values for each segment using the Segment Values Window. Since Oracle Assets only displays a limited number of characters of the asset category flexfield on forms and reports, you may want to keep the values short. See: Segment Values Window, *Oracle Applications Flexfields Guide*.

Tip: If you are setting up the descriptive flexfield on forms where you add assets to reference the asset category, you may want to enter all values in uppercase. Then, when you enter the concatenated category flexfield segments value for which the descriptive flexfield structure applies, you can just enter the segment values in all uppercase separated by your segment separator.

Create Asset Categories

Use the Asset Categories form to enter the asset category name using the segments you defined. Also enter the asset category default information. You must define your

category for a book using the Asset Categories form before you can enter assets in that category and book.

See: Setting Up Asset Categories, page 11-188

Example

You decide to use a two segment category flexfield with a dependent segment. A typical category combination might be COMPUTER.HARDWARE, where HARDWARE is a valid value for the second segment only if the value of the first segment is COMPUTER. To set up your category flexfield you must set up value sets, enable your segments, enter valid segment values, and set up the category.

First, use the Value Set windows to set up a value set for each segment. For example, you create the value sets Major, and Minor Computer. Since you want the Minor Computer value set to be dependent on the Major value set, create an independent value set for Major and a dependent value set for Minor Computer. The Independent Value Set on which Minor Computer depends is Major, and the Dependent Default Value is COMPUTER.

Then use the Key Flexfield Segments windows to enable your segments. Enter each segment and the value set for validation in the Segments window. For the major category segment, check Enabled for the Major Category qualifier.

Now use the Segment Values windows to enter the valid values for each subcategory segment. For example, you enter HARDWARE as a valid value for the Minor segment.

Finally, use the Asset Categories window to enter the asset category name and information.

Flexfield Qualifiers

Major Category

You must have exactly one Major Category segment in your Category Flexfield. Oracle Assets uses the Major Category segment for capital budgeting.

Related Topics

Asset Category Descriptive Flexfield in Oracle Assets, page 11-24

Key Flexfields by Flexfield Name, *Oracle Applications Flexfields Guide*

Key Flexfields by Owning Application, *Oracle Applications Flexfields Guide*

Descriptive Flexfield Segments, *Oracle Applications Flexfields Guide*

Location Flexfield

Oracle Assets uses the location flexfield to group your assets by physical location. You

design your location flexfield to record the information you want. Then you can report on your assets by location. You can also transfer assets that share location information as a group, such as when you move an office to a new location.

Warning: Plan your flexfield carefully. Once you have started entering assets using the flexfield, you cannot change it.

Location Flexfield

Owner	Oracle Assets
Flexfield Code	LOC#
Table Name	FA_LOCATIONS
Number of Columns	7
Width of Columns	30
Dynamic Inserts Possible	Yes
Unique ID Column	LOCATION_ID
Structure Column	None

Track Asset Location According To Your Needs

Define the location flexfield to fit the way you track your asset locations. Use the location flexfield to track the physical location of your assets. For example, if you do business internationally (or plan to do so in the future), you may want to track the country an asset is in. Other segments you may want include are state, city, and site. If you track asset location to more detail, such as for barcoding, you can also add segments for building and room number.

Location Flexfield Structure

You define your location flexfield structure to fit the specific needs of your organization. You choose the number of segments, the length of each segment, and the name and order of each segment in your location flexfield. You must define a state segment and you can also define up to six other location segments.

Property Tax Reporting

You can run the Property Tax Report for your states. The Property Tax Report sorts your assets by the location segment with the state qualifier set to Yes.

See: Property Tax Report, page 12-58

Mass Transfer By Location

You can transfer assets that share location information as a group. Or you can use the location as a criterion to select assets to transfer between employees or general ledger expense accounts.

See: Transferring Assets, page 5-14

Determine Your Needs

Location Structure

Consider the way you track asset location. You need to decide how many levels (segments) your location structure needs. Also decide which is the state segment.

Value Sets

Each segment of your location structure needs a value set. The terms you used to describe your asset locations are the values you enter for these value sets.

Tip: The location name (all segments concatenated) appears on forms and reports which only display a limited number of characters. You may want to abbreviate some location segment values.

State Qualifier

You must define exactly one State segment when setting up your location flexfield. Specify which segment is your state segment by checking Enabled for the State qualifier in the Segments window. You can run the Property Tax Report for your states.

Define Your Location Flexfield

Create A Value Set For Each Segment

Create a value set for each segment using the Value Set windows. If you want to set up a segment which is dependent on another segment, create an independent value set for the segment which the user enters first, and a dependent value set for the segment which depends on the value entered. See: Value Set Windows, *Oracle Applications Flexfields Guide*.

Alternatively you can set up cascading dependencies for your category flexfield value sets. See: Example of \$FLEX\$ Syntax, *Oracle Applications Flexfields Guide*.

Enable Each Segment For Your Location Flexfield

Define new location segments using the Define Key Segments form. For your state segment, check Enabled for the State qualifier. Remember, you must log into Oracle Assets again to add assets after you recompile your key flexfield.

If you want to define all valid locations and prevent users from creating additional location flexfield combinations while entering assets, uncheck Allow Dynamic Inserts. If you do not need to limit valid locations, check Allow Dynamic Inserts. You can define valid location flexfield combinations in the Locations form.

If you want to define shorthand aliases for your location flexfield, check Enable Shorthand Flexfield Entry. You can then set up aliases to represent your locations in the Shorthand Aliases window. See: Key Flexfield Segments, *Oracle Applications Flexfields Guide*. See: Shorthand Aliases, *Oracle Applications Flexfields Guide*.

Define Values For Each Segment

Create a list of valid values for each segment using the Segment Values form. Since Oracle Assets only displays a limited number of characters of the location flexfield on forms and reports, you may want to keep the values short. See: Segment Values Window, *Oracle Applications Flexfields Guide*.

Create Locations

Use the Locations form to enter the location name using the segments you defined. You do not need to use this form to define locations if you checked Allow Dynamic Inserts.

See: Defining Locations, page 11-49

You decide to use a three segment location flexfield. A typical location combination might be UK.OXFORDSHIRE.BDG3. To set up your location flexfield you must set up value sets, enable your segments, enter valid segment values, and set up the location.

First, use the Value Set windows to set up a value set for each segment. For example, you create the value sets Country, District Council, and Site.

Then use the Key Flexfield Segments windows to enable your segments. Enter each segment and the value set for validation in the Segments window. For the District Council segment, enable the State qualifier.

Now use the Segment Values windows to enter the valid values for each segment. For example, you enter UK as a valid value for the Country segment.

Finally, use the Locations window to enter the location flexfield combination UK.OXFORDSHIRE.BDG3.

Flexfield Qualifiers

State

You must have exactly one State segment in your Location Flexfield. Oracle Assets uses the State segment for property tax reporting.

Related Topics

Key Flexfields by Flexfield Name, *Oracle Applications Flexfields Guide*

Key Flexfields by Owning Application, *Oracle Applications Flexfields Guide*

Specifying System Controls

Use this form to specify your company name, asset numbering scheme, and key flexfield structures.

Prerequisites

- Set up your Category, Location, and Asset Key Flexfields. See: Setting Up the Asset Category Flexfield,, page 11-39 Setting Up the Asset Key Flexfield,, page 11-36 and Setting Up the Location Flexfield., page 11-44

To specify system controls:

1. Open the System Controls window.
2. Enter the enterprise name as you want it to appear on reports.
3. Enter the Oldest Date Placed In Service, which controls what dates are valid to place assets in service and on what date to begin your calendars.

If you change this field, you do not affect the assets already in the system. However, you cannot place new assets in service before the new date.

Note: You can only update the Oldest Date Placed in Service *before* you assign any calendars to depreciation books.

4. Enter the Starting Number at which you want Oracle Assets to begin automatically numbering your assets. Note that some asset numbers may be skipped.

Tip: If you are converting from another system, enter a starting number greater than the number of assets you want to convert so

converted assets keep the same number from the previous system. For example, if you are converting 75,000 assets, you may want to enter 100,000 as the Starting Number to reserve the numbers 1 to 100,000 for manual asset numbering. Note that adding the 75,000 assets will increment the automatic numbering sequence by 75,000 (automatically numbered assets will begin at 175,001).

Note that asset numbers with a letter in them are not reserved for automatic asset numbering, since the automatic numbers are a numerical sequence.

If you are using automatic numbering, then manual numbering must be less than the starting asset number that you have in the System Controls window. Oracle Assets does not support asset numbers that exceed 2,000,000,000.

5. Enter the Location, Category, and Asset Key Flexfield structures you want to use.
6. Save your work.

Related Topics

Asset Descriptive Details , page 3-2

Oracle Assets System Setup, page 11-2

Defining Locations

If you chose to Allow Dynamic Inserts in the Define Key Segments form, you do not need to define valid locations, since you automatically create locations when you assign assets to assignment.

Prerequisite

- Specify the location flexfield structure you want to use. See: Specifying System Controls., page 11-48

To define location flexfield combinations:

1. Open the Locations window.
2. Enter valid location flexfield combinations.
3. Choose whether to Enable the combination.
4. Save your work.

Related Topics

Oracle Assets System Setup, page 11-2

Setting Up the Location Flexfield, page 11-44

Defining Asset Keys

If you chose to Allow Dynamic Inserts in the Define Key Segments form, you do not need to define valid asset keys.

Prerequisite

- Specify the asset key flexfield structure you want to use. See: Specifying System Controls., page 11-48

To define location flexfield combinations:

1. Open the Asset Keys window.
2. Enter valid asset key flexfield combinations.
3. Choose whether to Enable the combination.
4. Save your work.

Related Topics

Oracle Assets System Setup, page 11-2

Setting Up the Asset Key Flexfield, page 11-36

Entering QuickCodes

Use this window to enter QuickCode values in addition to those provided. These values appear in Lists of Values throughout Oracle Assets.

To enter QuickCode values:

1. Open the QuickCodes window.
2. Query the QuickCode Name for which you want to define values.
3. Enter a Value for the QuickCode type.

QuickCode Types and their values are listed in the table below:

QuickCode Type	QuickCode Values
Asset Description	Enter values such as PERSONAL COMPUTER and DELIVERY VEHICLE to standardize asset descriptions.
Journal Entries	You cannot enter new Journal Entry values, but you can change the descriptions.
Queue Name	Enter values such as ACCOUNT HOLD, or LOCATION HOLD to describe your hold queues for Mass Additions. You cannot change values DELETE, ON HOLD, and POST.
Property Type	Enter values such as PERSONAL, REAL, or RESIDENTIAL to describe your property.
Retirement	Enter values such as EXTRAORDINARY and SALE to describe your retirements.
Asset Category	Enter values such as AUTO and COMPUTER to describe your major asset categories. You enter major category values in the QuickCodes window if you are using table-based validation for your asset categories.
Asset Subcategory	Enter values such as SALES and DELIVERY to describe your asset subcategories. For example, you can use these values to create AUTO.SALES and AUTO.DELIVERY asset categories. You enter minor category values in the QuickCodes window if you are using table-based validation for your asset categories.
Unplanned Depreciation Type	You can enter values in addition to UNPLANNED DEPRN to describe different types of unplanned depreciation adjustments.

QuickCode Type	QuickCode Values
Lease Frequency	The possible values for Lease Compounding Frequency are: Monthly, Quarterly, Semi-Annually, and Annually. You cannot alter existing or enter new Lease Frequency values, but you can change the existing descriptions.
Lease Payment Type	You can enter lease payment types in addition to Annuity, Balloon Payment, Bargain Purchase Option, and Bargain Renewal Option.

Tip: If you want to create hierarchical asset category flexfield segment values, use the Define Value Set, Define Key Segment, and Define Key Segment Value windows to define your asset category flexfield. Then, to set up the value of the minor segment to be dependent on the value of the major segment, define the Value Set for the minor segment to be dependent on the value of the major segment.

If you create hierarchical asset category values, you do not need to enter category and subcategory QuickCode values.

Tip: The values you enter appear in List of Values windows which allow no more than 12 spaces. You may want to limit your values to 12 characters.

4. Enter a description of your QuickCode value.
5. Optionally enter a Disable Date after which this value no longer appears in Lists of Values.
6. Save your work.

Related Topics

Setting Up the Asset Category Flexfield, page 11-39

Oracle Assets System Setup, page 11-2

Creating Fiscal Years

Specify the start and end dates of each fiscal year for a fiscal year name. Create fiscal years from the oldest date placed in service through at least one fiscal year beyond the current fiscal year. Depreciation will fail if the current fiscal year is the last fiscal year.

You can set up multiple fiscal years in this window. You can assign different fiscal years to your different corporate books. The calendar for a tax book must use the same fiscal year name as the calendar for the associated tax book.

Prerequisite

- Specify the Oldest Date Placed in Service. See: Specifying System Controls., page 11-48

To create a fiscal year:

1. Open the Asset Fiscal Years window.
2. Enter a Fiscal Year Name and Description. You can set up multiple fiscal years with different names.

Tip: The name you enter appears in List of Values windows which allow no more than 30 spaces. You may want to limit your name to 30 characters.

3. Enter the start and end date of each fiscal year.
4. Enter the Fiscal Year you are defining.
5. Save your work.

Related Topics

Oracle Assets System Setup, page 11-2

Specifying Dates for Calendar Periods

You can set up as many calendars as you need. Each book you set up requires a depreciation calendar and a prorate calendar. The depreciation calendar determines the number of accounting periods in a fiscal year, and the prorate calendar determines the number of prorate periods in your fiscal year. You can use one calendar for multiple depreciation books, and as both the depreciation and prorate calendar for a book.

Your corporate books can share the same calendar. A tax book can have a different

calendar than its associated corporate book. The calendar for a tax book must use the same fiscal year name as the calendar for the associated tax book.

The depreciation program uses the prorate calendar to determine the prorate period which is used to choose the depreciation rate. The depreciation program uses the depreciation calendar and divide depreciation flag to determine what fraction of the annual depreciation expense to take each period. For example, if you have a quarterly depreciation calendar, Oracle Assets calculates one-fourth of the annual depreciation each time you run depreciation.

You must initially set up all calendar periods from the period corresponding to the oldest date placed in service to the current period. You must set up at least one period before the current period. At the end of each fiscal year, Oracle Assets automatically sets up the periods for the next fiscal year.

You can define your calendar however you want. For example, to define a 4-4-5 calendar, set up your fiscal years, depreciation calendar, and prorate calendar with different start and end dates, and fill in the uneven periods. To divide annual depreciation proportionately according to the number of days in each period, enter By Days in the Divide Depreciation field in the Book Controls window.

Prerequisites

- Set up your Oldest Date Placed in Service. See: Specifying System Controls., page 11-48
- Set up your fiscal years. See: Creating Fiscal Years., page 11-53

To specify dates for calendar periods:

1. Open the Asset Calendars window.
2. Enter the name of your Calendar.

Tip: The name you enter appears in List of Values windows which allow no more than 15 spaces. You may want to limit your name to 15 characters.

3. Choose Fiscal or Calendar to append either the fiscal or calendar year to get the accounting period name. If you do not want the fiscal or calendar year automatically appended, choose None.

For example, if your fiscal year runs from June 1 to May 31, and the current date is July 15, 1995, you are in calendar 1995 and fiscal 1996. If you specify FISCAL, your period name is JUL-96. If you specify CALENDAR, your period name is JUL-95.

4. Enter the Fiscal Year Name you want to use for this calendar.

5. Enter the number of periods in the fiscal year for this calendar.

Note: You cannot enter more than 365 periods per year.

6. Enter the Name of this period.

If your periods include the year, such as JAN-1995, and you are using the hyphen (-) as the suffix delimiter, you must use either a two or four-digit year suffix. Oracle Assets automatically adds a four-digit year to the end of the period name if you do not enter a year. Otherwise, you can enter a two-digit year suffix.

7. Enter the start and end dates of this period.
8. Save your work.

To change period names for future periods:

Note: Use this procedure if you have already created periods, but need to change them to correspond with GL periods. You can only change the names of future period names.

1. Open the Asset Calendars window.
2. Query the calendar for which you want to change period names and scroll to the last period.
3. From the Main menu, select Edit/Delete Record. Delete all of the periods you plan to rename.
4. Reenter the deleted periods with the correct name.

Related Topics

Oracle Assets System Setup, page 11-2

Defining Calendars (in Oracle General Ledger), *Oracle General Ledger User Guide*

Calendar Listing, page 12-33

Setting Up Security by Book

Oracle Assets shares organization and hierarchy information with Oracle Human Resources. If your business does not currently use Oracle Human Resources, you define this data using the Oracle Human Resources windows provided with Oracle Assets.

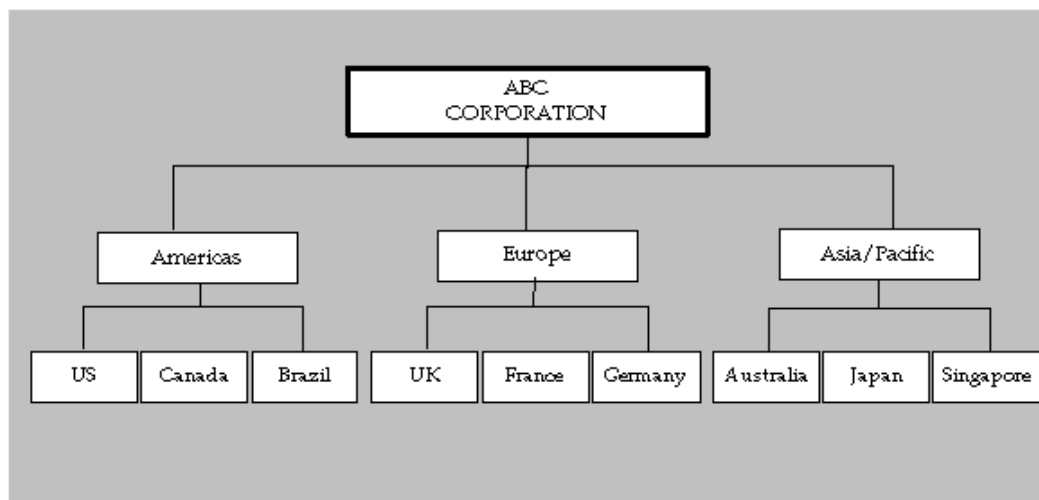
If you have already implemented Oracle Human Resources, you can skip many of the

steps included in this section. Ensure that the organizations and hierarchies you defined in Oracle Human Resources corresponds to the data you want to use with Oracle Assets.

Asset Organization Overview

Organizations are departments, sections, divisions, companies, or other organizational units in your business.

The illustration below depicts ABC Corporation's organization structure. There are three levels of organizations. ABC Corporation, the top-level organization, has three child organizations Americas, Europe, and Asia/Pacific. Each of these organizations also has several child organizations. For example, the Americas organization has the following child organizations: US, Canada, and Brazil.



ABC Corporation uses the following information to define its default reporting organization hierarchy:

Name	Oracle Assets
Version	1
Organization Name	ABC Corporation

Business Groups

A business group is the highest level of organization and the largest grouping of employees across which you may report.

Oracle Human Resources includes a predefined organization named *Setup Business Group*. We recommend that you modify the definition of this predefined business group

rather than defining a new one. If you define a new business group instead of modifying the predefined *Setup Business Group*, you need to set the *HR: Security Profile* profile option to point to the security profile for the new business group. Oracle Human Resources automatically creates a security profile with the business group name when you define a new business group. Oracle Human Resources incorporates all other organizations you specify into the business group you define. See: *Security*., *Oracle Human Resources Documentation Set*

You use the Organization window to retrieve the predefined *Setup Business Group*. Then, you can create your own business group by changing the name of the Setup Business Group. The business group you define here appears in the list of values when you set up the *HR: Security Profile* profile option.

Note: If you already use Oracle Human Resources, we recommend that you continue using the same business group you defined in Human Resources. If you are using a shared installation of Human Resources, we recommend you use the pre-defined Setup Business Group.

A business group is a special classification of an organization, so you also need to specify its organization type, location, and whether it is an internal or external organization. It is also essential to select the correct legislation code for a business group for correct functioning of Oracle Human Resources. You cannot change the legislation code after entering employees in a business group. See also: *Entering Business Group Information*., *Oracle Human Resources Documentation Set*

Important: Employees, organizations, and other entities are partitioned by business group. If you set up more than one business group, your data will be partitioned accordingly. In addition, classifying an organization as a business group is not reversible. Be sure to plan your business group setup carefully. For more information, refer to the *Oracle Human Resources Documentation Set*.

Organization Window

You use the Organization window in Oracle Assets or Oracle Human Resources to specify all the organizations within your company. By choosing the Others button on this window, you can then set up the corporate and tax book information for that particular organization.

Organization Classifications

Oracle Human Resources uses organization classifications to determine the type of organizations being set up. To flag an organization for use in Oracle Assets, you enable the Asset Organization classification.

An asset organization is an organization that allows you to perform asset-related activities for specific Oracle Assets corporate depreciation books. Oracle Assets uses

only organizations designated as asset organizations.

If you require other types of organization classifications, see the *Oracle Human Resources Documentation Set*.

Related Topics

Creating an Organization, *Oracle Human Resources Documentation Set*

Defining Depreciation Books, page 11-59

Organization Hierarchies in Oracle Assets

Organization hierarchies show reporting lines and other hierarchical relationships among the organizations in your business.

You use the Organization Hierarchy window to specify your organization hierarchy.

You need to define the top organization in the hierarchy and at least one organization subordinate to it.

Related Topics

Organization Hierarchies, *Oracle Human Resources Documentation Set*

Security Profiles

A security profile allows you to control access to Oracle Assets through responsibilities that you create and assign to users of the system. Users can sign on to Oracle Assets only through the responsibilities that you give them. Their responsibilities control what they can see and do in the system.

A responsibility always includes a security profile, which you associate with a work structure such as an organization hierarchy.

See: Security Profiles, *Oracle Human Resources Documentation Set*

Security List Maintenance Process

This process maintains the lists of organizations, positions, employees, and applicants that security profile holders can access. You should schedule it to run every night to take account of changes made during the day. If a disruption, such as a power outage, occurs while the process is running, you can manually restart it from the Submit Requests window.

See: Security Processes, *Oracle Human Resources Documentation Set*

Defining Responsibilities

A responsibility is a level of authority in Oracle Applications that allows users to access

only those Oracle Applications functions and data appropriate to their roles in an organization. Each responsibility allows access to specific applications, ledgers, windows, functions, and reports.

Related Topics

Defining a Responsibility, *Oracle Applications System Administrator Guide*

Overview of Oracle Applications Security, *Oracle Applications System Administrator Guide*

Assigning Responsibilities to Users

When defining Applications users, you need to assign each user to a responsibility. You do this by navigating to the the Users Window in the System Administration responsibility.

See: User's Window, *Oracle Applications System Administrator Guide*

Setting Up FA: Security Profile

The FA: Security Profile profile option restricts access to the organizations defined in the security profile. The options available for the FA: Security Profile are the previously defined security profile values.

For example, you may want to set up the security profiles for the ABC Corporation. Since there is a one to one correspondence between an organization and a security profile, a logical naming standard for the security profile value would include the organization name and the organization identification number. In this case, the organization ABC Corporation might have a security profile value of ABC_Corporation_100, the organization Americas might have a profile value of Americas_200, and so forth.

Related Topics

Profile Options and Profile Options Categories Overview, page B-1

Setting User Profile Options, *Oracle Applications System Administrator Guide*

Defining Depreciation Books

You can define corporate, tax, and budget depreciation books. You must set up your depreciation books before you can add assets to them. You can set up multiple corporate books that create journal entries for different ledger, or to the same ledger. In either case, you must both run depreciation and create journal entries for each depreciation book. For each corporate book, you can set up multiple tax and budget books that are associated with it.

Prerequisites

- Specify system controls. See: Specifying System Controls., page 11-48
- Define your calendars. See: Specifying Dates for Calendar Periods., page 11-53
- Set up your Account segment values and combinations. See: Defining Accounts., *Oracle General Ledger User Guide*
- Set up your journal entry formats. See: Defining Journal Sources, *Oracle General Ledger User Guide* and Defining Journal Categories., *Oracle General Ledger User Guide*

To define a depreciation book:

1. Open the Book Controls window.
2. Enter the name of the book you want to define.
The book name cannot contain any special characters.

Tip: The name you enter appears in List of Values windows which allow no more than 15 spaces. You may want to limit the book name to 15 characters.

3. Enter a brief, unique description of the book.
4. Choose a Corporate, Tax, or Budget book class.
5. Enter calendar information for your book, page 11-60.
6. Enter accounting rules for your book, page 11-62.
7. Enter natural accounts for your book, page 11-63.
8. Enter tax rules for your book, page 11-64.
9. Save your work.

Related Topics

Setting Up Asset Categories, page 11-188

Depreciation Rules (Books), page 3-5

Oracle Assets System Setup, page 11-2

Entering Calendar Information for a Book

1. In the Book Controls window, choose the Calendar tabbed region.

2. Optionally enter a disable date for the depreciation book.

Note: Once a book has been disabled, you cannot re-enable it.

3. Choose whether to Allow Purge for the book.
4. Enter the ledger for which you want to create journal entries. Allow GL Posting if you want to create journal entries for this book. You cannot allow general ledger posting for your budget books.

You can enter a different ledger for your tax book than the ledger of the associated corporate book. The different ledger must be a secondary ledger of the ledger assigned to the corporate book and the following conditions must be satisfied:

- Oracle Subledger Accounting should be enabled and Use Primary Ledger Amounts should be set to No in the Accounting options of the secondary ledger setup.
- Oracle Assets must be enabled for Oracle Subledger Accounting for the secondary ledger.

Note: When setting up a Tax book that is linked to a Secondary ledger, the chart of accounts and currency must be the same as the Primary ledger which is linked to the Corporate book.

5. Enter the name of the Depreciation Calendar you want to use for this book.
6. Enter the name of the Prorate Calendar that you want to use for this book.

Use the prorate calendar with the smallest period size or resolution you need for determining your depreciation rate. For example, you may want to use a monthly prorate calendar in a tax book that uses a quarterly depreciation calendar to allow finer control of the annual depreciation amount for some monthly prorate/method combinations.

7. Enter the current open period name for this book.

Note: You must set up the depreciation calendar for at least one period before the current period. See: Specifying Dates for Calendar Periods., page 11-53

8. Enter the method for dividing the annual depreciation amount over the periods in your fiscal year for this book.
 - Choose Evenly to divide depreciation evenly to each period

- Choose By Days to divide it proportionally based on the number of days in each period
9. Choose whether to depreciate assets in this book that are retired in their first year of life.
 10. Enter the date on which you last calculated depreciation for this book. Oracle Assets updates this date when you run depreciation.
 11. Enter accounting rules for your book, page 11-62.

Related Topics

Defining Ledgers., *Oracle General Ledger User Guide*

Specifying Dates for Calendar Periods., page 11-53

Entering Accounting Rules for a Book

1. In the Book Controls window, choose the Accounting tabbed region.
2. To allow amortized changes in this book, check the Allow Amortized Changes check box.
3. Choose Allow Mass Changes to allow mass changes in this book.
4. Enter the minimum time you must hold an asset for Oracle Assets to report it as a capital gain when you retire it. If you want Oracle Assets to report a capital gain for all assets when you retire them, enter zero for the threshold.

If you hold the asset for less than the threshold, Oracle Assets reports it as ordinary income.

5. If you choose to Allow Revaluation, specify revaluation rules:

Revalue Accumulated Depreciation If you do not revalue accumulated depreciation, Oracle Assets transfers the accumulated depreciation to the revaluation reserve account upon revaluation.

Revalue YTD Depreciation Check this check box to revalue year-to-date depreciation.

Retire Revaluation Reserve Check this check box to retire revaluation reserve.

Amortize Revaluation Reserve Check this check box to allow revaluation reserve to be amortized in this book. See: Asset Management in a Highly Inflationary Economy (Revaluation), page 5-32.

Revalue Fully Reserved Assets Check this check box to revalue fully reserved assets.

Maximum Revaluations Enter the maximum number of times an asset in this book can be revalued as fully reserved. If you leave this field blank, Oracle Assets does not limit the number of times you can revalue an asset as fully reserved.

Life Extension Factor Enter the life extension factor for fully reserved assets in this book. Oracle Assets multiplies the life extension factor by the asset original life to determine the asset's new, extended life.

Life Extension Ceiling The life extension ceiling limits the depreciation adjustment when revaluing fully reserved assets.

6. Choose Allow Group Depreciation to allow group assets to be added in this book. If you choose to allow group depreciation, specify these group depreciation rules:

Allow CIP Depreciation in Group Assets Check this check box to allow depreciation of member CIP asset cost.

Allow Intercompany Member Asset Assignments Check this check box to allow the group asset and its member assets to have a different balancing segment value. If the check box is not checked, the group asset and each of its member assets must have the same balancing segment value.

7. **Prevent Previous Periods Amortized Changes** check this check box to prevent backdated transactions on amortized assets. Transactions include additions, adjustments, retirements, and transfers. Value in this field does not impact assets without amortization.

Entering Natural Accounts for a Book

1. In the Book Controls window, choose the Natural Accounts tabbed region.

2. Enter Retirement Accounts.

You can set up your gain and loss accounts so that Oracle Assets creates individual journal entries for each component of the gain/loss amount to separate accounts, or to a single account for the net gain or loss.

3. Enter Deferred Depreciation Reserve and Deferred Depreciation Expense accounts.
4. Enter the general ledger account that you want to use as an offset account for the entry against accumulated depreciation when you perform reserve adjustments.
5. Enter the Account Generator default segment values for this book's journal entries.

By default, Oracle Assets creates journal entries without cost center level detail for all accounts except the depreciation expense account. Using the default assignments, it creates journal entries using the balancing segment from the expense account in the Assignments window and the account segment from the asset category or book, depending on the account type. Oracle Assets uses the other

segments from the default segment values you enter for the book in this field.

Related Topics

Journal Entries for Additions and Capitalizations, page 8-8

Journal Entries for Depreciation, page 8-7

Journal Entries for Retirements and Reinstatements, page 8-35

Journal Entries for Revaluations, page 8-42

Journal Entries for Tax Accumulated Depreciation Adjustments, page 8-55

Entering Tax Rules for a Book

The Tax Rules tabbed region is only available for tax books. This tabbed region will not appear if you did not select Tax in the Class field in the Book Controls window.

1. In the Book Controls window, choose the Tax Rules tabbed region.

Check **Allow Reserve Adjustments** if you want to allow changes to the accumulated depreciation in your tax book.

You can **Allow Cost/Expense Ceilings** in a depreciation book; however, you cannot apply a cost ceiling and an expense ceiling to the same asset in a depreciation book.

2. Check Allow CIP Assets if you want to be able to automatically add CIP assets to your tax book when you add them to your corporate book.
3. If you choose to Allow Mass Copy into this tax book, choose whether to copy additions, adjustments, retirements, and/or salvage value.
4. In the Group Asset Additions field, choose Copy if you wish to allow mass copy of group assets into this tax book. The default value is Do Not Copy.

Note: Mass Copy does not copy group reclassification transactions that are performed when changing member assets' group assignment. Mass Copy does not copy an type of group adjustment, including group reserve transfer, group retirement adjustments, and group unplanned depreciation.

5. In the Member Asset Assignments field, choose Copy if you wish to allow mass copy of the member asset group asset assignments into this tax book. The default value is Do Not Copy.
6. Enter natural accounts for your book, page 11-63.

Related Topics

Entering Default Depreciation Rules for a Category, page 11-191.

Depreciation Rules (Books), page 3-5

Determine Adjusted Accumulated Depreciation, page 9-45

Tax Credits, page 9-28

Tax Book Maintenance, page 9-1

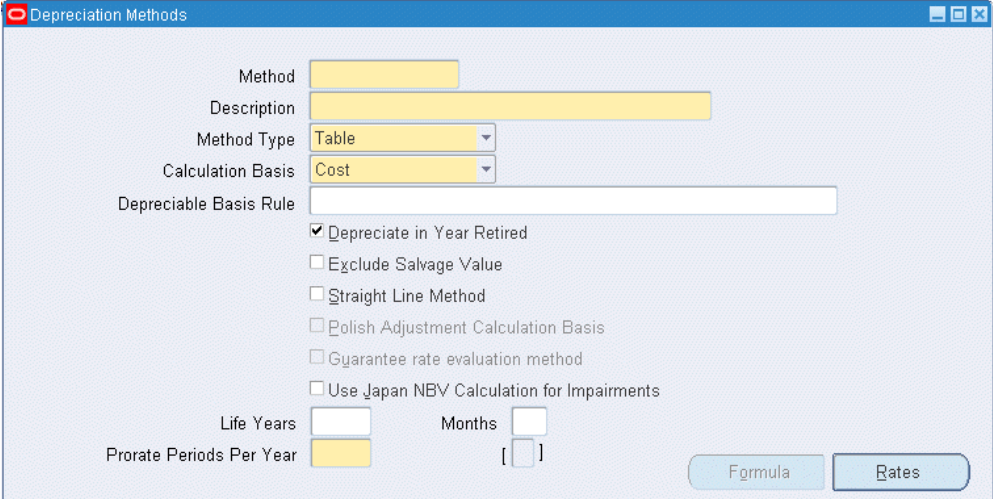
Defining Additional Depreciation Methods

Once a depreciation method is in use, it cannot be modified. Therefore, any modification to existing rates within a method will require a new depreciation method to be defined.

To define a calculated depreciation method:

1. Navigate to the Depreciation Methods window.

Navigation: Setup: Depreciation > Methods



The screenshot shows the 'Depreciation Methods' window with the following fields and options:

- Method: [Text Field]
- Description: [Text Field]
- Method Type: [Table] (dropdown)
- Calculation Basis: [Cost] (dropdown)
- Depreciable Basis Rule: [Text Field]
- ☒ Depreciate in Year Retired
- ☐ Exclude Salvage Value
- ☐ Straight Line Method
- ☐ Polish Adjustment Calculation Basis
- ☐ Guarantee rate evaluation method
- ☐ Use Japan NBV Calculation for Impairments
- Life Years: [Text Field]
- Months: [Text Field]
- Prorate Periods Per Year: [Text Field]
- [Formula] [Rates] (buttons)

2. Enter a depreciation Method name and Description.
3. Select Calculated from the Method Type poplist.
4. The calculation basis automatically defaults to Cost (NBV is not valid for calculated methods).
5. Choose whether the depreciation method allows asset depreciation in the year it is retired.

6. Choose the Exclude Salvage Value check box if the method is to exclude the salvage value from the depreciable basis.
7. Enter the number of Years and Months of asset life.
8. Save your work.

To define a table-based depreciation method:

1. Navigate to the Depreciation Methods window.
2. Enter a depreciation Method name and Description.
3. Select Table from the Method Type poplist.
4. Choose whether to use Cost or NBV as the basis for calculating depreciation from the Calculation Basis poplist.
5. Choose whether this depreciation method allows asset depreciate in the year it is retired.
6. Choose the Exclude Salvage Value check box if the method is to exclude the salvage value from the depreciable basis.
7. Choose whether this method is a straight-line method.
8. Enter the number of Years and Months of asset life.
9. Enter the number of Prorate Periods Per Year the method uses.
10. Choose the Rates button to enter rates in the Depreciation Rates window.
11. Enter annual depreciation rates.

Rates entered must fully depreciate an asset over its life. When specifying a calculation basis rule of Cost, the sum of all the years' rates for each period must be one. When specifying a calculation basis rule of NBV, the rate for the last year of life for each period must be one and all the other rates must be between zero and one.

Important: For table methods, the annual rate entered for each prorated period must reflect the fraction of the fiscal year the asset was in service. The rate must be prorated based on the number of periods in the year and on the prorate convention.

12. Save your work.

To define units of production depreciation method:

1. Navigate to the Depreciation Methods window.
2. Enter a depreciation Method name and Description.
3. Select Production from the Method Type poplist.
4. The calculation basis automatically defaults to Cost (NBV is not valid for units of production methods).
5. Choose the Exclude Salvage Value check box if the method is to exclude the salvage value from the depreciable basis.
6. Save your work.

To define a flat-rate depreciation method:

1. Navigate to the Depreciation Methods window.
2. Enter a depreciation Method name and Description.
3. Select Flat from the Method Type poplist.
4. Choose whether to use Cost or NBV as the basis for calculating depreciation from the Calculation Basis poplist.
5. Choose whether this depreciation method allows asset depreciation in the year it is retired.
6. In the Depreciable Basis Rule field, select a depreciable basis rule from the poplist.
7. Choose the Exclude Salvage Value check box if the method is to exclude the salvage value from the depreciable basis. Salvage value can only be excluded if the flat-rate method uses NBV as the calculation basis.
8. Check the Polish Adjustment Calculation Basis check box, if applicable. This check box affects the calculation when creating negative cost adjustments to assets depreciating under Polish tax depreciation. See: Adjusting Polish Tax Depreciation Transactions, page 11-115.

Note: This check box is available only if you have selected one of the Polish tax depreciable basis rules as your depreciable basis rule.

9. Choose the Rates button to enter rates in the Depreciation Rates window.

10. Enter basic rates.
11. Enter the adjusting rate, or loading factor.
12. Save your work.

Note: If using the Japan Tax Reforms features, when navigating to the Depreciation Methods window, the Use Japan NBV Calculation for Impairments check box will be available. Select this check box if the Japan NBV Calculation for Impairments formula is to be used with this depreciation method.

For seeded JP-STL Depreciation Methods, an additional rate line was added to the Depreciation rates as a result of changes to the Japan Tax Reforms and the Use Japan NBV Calculation for Impairments has been enabled. For more information, see Japan Tax Reforms features, page 11-136.

Related Topics

- Running Depreciation, page 7-2
- Basic Depreciation Calculation, page 7-18
- Depreciation Calculation, page 7-21
- Depreciation Calculation for Flat-Rate Methods, page 7-25
- Depreciation Calculation for Table and Calculated Methods, page 7-28
- Depreciation Calculation for the Units of Production Method, page 7-35
- Asset Depreciating Under Units of Production, page 7-36

Defining Formula-Based Depreciation Methods

Oracle Assets allows you to define depreciation formulas to calculate annual depreciation rates.

The Depreciation Formula window is used to define depreciation formulas. When finished defining your formula, it is recommended that the formula be tested using the Test Formula tabbed region.

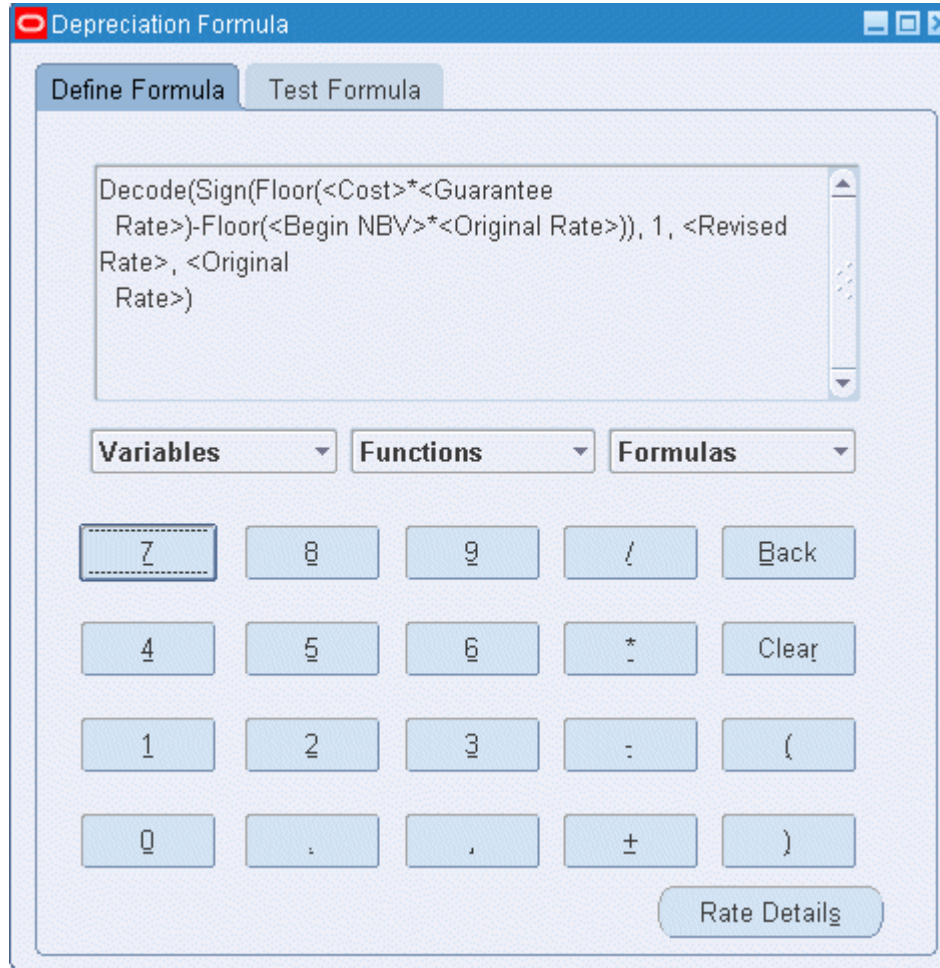
Note: Defining depreciation formulas requires some knowledge of SQL.
See: *Oracle 8i SQL Reference*.

Note: To meet the requirements for the Japan 250% Declining Balance

depreciation method, the Guarantee Rate Evaluation check box was added to the Depreciation Method window in addition to the Use Japan NBV Calculation for Impairments. The check boxes are only displayed when the **FA: Japan 2007 Tax Reforms Features** profile option is set to Yes. For more information, see Japan Tax Reforms features, page 11-136.

To define a depreciation formula:

1. Navigate to the Depreciation Methods window.
Navigation: Setup: Depreciation > Methods
2. Enter a depreciation Method name and Description.
3. Select Formula from the Method Type poplist.
4. Choose whether to use Cost or NBV as the basis for calculating depreciation from the Calculation Basis poplist.
5. Optionally select one of the following depreciable basis rules, if NBV is selected as the basis for calculating depreciation:
 - Beginning Period Balance
 - Period End AverageSee: Defining Depreciable Basis Rules, page 11-83.
6. Choose whether the depreciation method allows asset depreciation in the year it is retired.
7. Choose the Exclude Salvage Value check box if the method is to exclude the salvage value from the depreciable basis. Salvage value can only be excluded if the flat-rate method uses NBV as the calculation basis.
8. Choose whether the method is a straight-line method.
9. Enter the life in years and months.
10. Choose the Formula button to define depreciation formulas in the Depreciation Formula window.



11. While in the Define Formula tabbed region, enter a formula by clicking buttons to insert elements into the formula.
12. Optionally test the formula by choosing the Test Formula tab.
13. Save the formula.

Note: To meet the requirements for the Japan 250% Declining Balance depreciation method, the Rate Details button was added to the Depreciation Formula window. The Rate Details button is displayed only when one of the seeded Japan depreciation methods is used. For more information, see Japan Tax Reforms features, page 11-136.

To test a depreciation formula:

1. In the Depreciation Formula window, go to the Test Formula tabbed region.

2. Optionally enter parameters, such as Life in Years or Salvage Value.

Note: To meet the requirements for the Japan Tax Reforms, the **Cost** and **NBV at Beginning of Year** parameters were added to the Test Formula tabbed region. The system displays these parameters only when the **FA: Japan 2007 Tax Reforms Features** profile option is set to Yes. For more information, see Japan Tax Reforms features, page 11-136.

3. Review the test results confirming the results depreciated the asset correctly.
4. Save the formula.

Using the Calculator to Define a Formula

The Depreciation Formula window contains a calculator that is used to insert elements into formulas.

Important: Click on the different buttons on the calculator to enter in the formula in to the display field. Formulas cannot be entered directly into the display field. In addition to the standard calculator keys used to insert constants and operators directly into the display, the Depreciation Formula: Method Name window contains the following special keys: Variables, Functions, and Formulas.

In addition to the standard calculator keys, which insert constants and operators directly into the display, the Depreciation Formula: Method Name window contains the following special keys: Variables, Functions, and Formulas.

Variables

Oracle Assets provides a poplist of variables. When a variable is selected, Oracle Assets inserts the value for the asset it is depreciating. For example, if you enter 1/<Salvage Value>, when depreciation is executed for the asset using the formula, Oracle Assets retrieves the salvage value of the asset when calculating depreciation.

See: How Oracle Assets Calculates Depreciation in a Short Tax Year, page 3-101.

Functions

Displays previously defined formulas in the Formulas poplist. Use the Formulas poplist to insert existing user-defined formulas into the display field.

Formulas

Any formulas you defined previously appear in the Formulas poplist. Use the Formulas

poplist to insert existing user-defined formulas into the display field.

Changing the Depreciation Rate at a Specified Point in Time

For some companies, it may be advantageous to depreciate an asset at a certain rate, or at a specific point in time, or to begin depreciating the asset at a different rate. Oracle Assets allows you to define depreciation formulas in which the depreciation rate changes at a specified point in time. In order to define specify a formula the change a depreciation rate at a specified time; define the formula using a combination of the SQL DECODE and SIGN functions.

For more information on SQL, see: *Oracle 8i SQL Reference*.

Example 1

You have an asset with a life of 15 years. The asset's depreciates at a rate of 0.05 while the asset's remaining life is greater than 10 years. See: How Oracle Assets Calculates Depreciation in a Short Tax Year, page 3-101.

When the asset has a remaining life of 10 years, the asset's depreciates at a rate of 0.07. When the remaining life of the asset is less than 10 years, the asset's depreciates at a rate of 0.08. To accomplish this, enter in the following formula in the Depreciation Formula window:

DECODE (SIGN (<Remaining Life2> - 10), 1, 0.05, 0, 0.07, -1, 0.08)

Example 2

Switch from one depreciation method to another, depending on the rate:

GREATEST (1 / <Life> * 2, 1 / <Remaining Life1>)

The following table provides examples of how to use the available functions:

Function	Example	Result
Decode	Decode(Remaining Life 1, 3, 0.3, 2, 0.2, 0.1)	If Remaining Life 1 is 3, Oracle Assets returns the value 0.3; if Remaining Life 1 is 2, Oracle Assets returns the value 0.2; otherwise, Oracle Assets returns the value 0.1
Greatest	Greatest(2/Life, 0.5)	Oracle Assets returns the greater of 2 divided by the life or 0.5.

Function	Example	Result
Least	Least(2/Life, 0.5)	Oracle Assets returns the smaller of 2 divided by the life or 0.5.
Power	Power(0.5, 3)	Oracle Assets returns 0.5 to the power of 3 (0.125).
Round	Round(2.33333, 4)	Oracle Assets rounds to the fourth position and returns a value of 2.3333.
Sign	Sign(Life - 5)	If Life minus 5 is a positive number, Oracle Assets returns a value of 1; if Life minus 5 is zero, Oracle Assets returns a value of zero. Otherwise, Oracle Assets returns a value of -1.
Sqrt	Sqrt(25)	Oracle Assets returns the square root of 25 (5).

Guidelines for Defining Depreciation Formulas

When you use formula-based depreciation, you have the flexibility to create custom depreciation methods to meet your specific needs. However, it is essential that you plan and thoroughly test your custom depreciation formulas to ensure that your assets will depreciate correctly. Poorly thought out depreciation formulas can cause unexpected and incorrect depreciation rates.

Note: Oracle Assets does not validate custom depreciation formulas.

The following is an example of a poorly thought out depreciation formula:

$$100 / \text{<Salvage Value>} + 0.01$$

If the salvage value of an asset is greater than 100, the asset depreciates at an expected rate (between 0 and 100). However, if the salvage value of the asset is less than 100, the asset actually appreciates over time.

Also, if the salvage value for an asset is zero, Oracle Assets automatically sets any amount you divide by the salvage value to zero ($100 / 0 = 0$). In this case, the rate when you use the above depreciation formula would always equal 0.01.

Finally, if the salvage value is set to null for an asset, the value is automatically set to 0. Again, the rate when you use the above depreciation formula would always equal 0.01.

Related Topics

Adding Assets in Short Tax Years, page 3-100

Defining Bonus Depreciation Rules

A bonus rule can have a different bonus rate for each year of the asset's life. You can modify the rate at any time for current and future fiscal years.

You can use bonus rules with corporate books as well as tax books. Bonus rates let you increase the annual depreciation expense for assets using flat-rate, straight-line, table-based, and formula-based depreciation methods. Oracle Assets also allows you to set up negative bonus rates to amortize bonus reserve.

For reporting purposes, you can set the bonus year and rate to 0. Oracle Assets does not calculate any bonus expense.

You can use the One-Time Depreciation check box to limit bonus rules to one fiscal year.

Note: After assigning a bonus rule to an asset, it cannot be removed. The solution is to set up a bonus rule with 0 rate and assign it to the asset or the category default.

To define your bonus rules:

1. Open the Bonus Depreciation Rules window.
2. Enter a Bonus Rule name and description.
3. Check the One-Time Depreciation check box, if applicable.
4. Enter the fiscal year range of the asset life to which the bonus rate applies.
5. Enter the bonus rate for each fiscal year range.
6. If you are setting up a bonus rule for use with Polish tax depreciation, enter a depreciation factor and an alternate depreciation factor. When you enter either a depreciation factor or an alternate depreciation factor, the value in the Rate % field is automatically set to 0%.

Note: You need to ensure the depreciation factor and alternate

depreciation factor are set up appropriately. Oracle Assets does not validate that the factor is between a predetermined range.

7. Save your work.

Related Topics

Depreciation Calculation for Flat-Rate Methods, page 7-25

Oracle Assets System Setup, page 11-2

Bonus Depreciation Rule Listing, page 12-33

Depreciation Methods for the Job Creation and Worker Assistance Act of 2002

Oracle Assets provides special depreciation methods to help you take advantage of the additional first-year depreciation deduction provided by the Job Creation and Worker Assistance Act of 2002.

The Job Creation and Worker Assistance Act of 2002 provides an additional depreciation deduction for both regular tax and alternative minimum tax purposes in the United States. It provides an additional first-year depreciation deduction that is equal to 30 percent of the qualified asset's depreciable basis. The depreciable basis of the asset and the depreciation deduction in the year of purchase and in later years would be adjusted to reflect the additional first-year depreciation deduction. Refer to the Job Creation and Worker Assistance Act of 2002 for compliance.

Table-Based Depreciation Methods for the Job Creation and Worker Assistance Act of 2002

The following table shows the table-based depreciation methods Oracle Assets provides to help you take advantage of the additional first-year depreciation deduction allowed by the Job Creation and Worker Assistance Act of 2002.

Method	Life	Method Description	Derived From Method
MACRS 30B HY	3, 5, 7, 10, 15, 20 years	MACRS: Half-Year Convention - 30% Bonus	MACRS HY

Method	Life	Method Description	Derived From Method
MACRS 30B MQ	3, 5, 7, 10, 15, 20 years	MACRS: Mid-Quarter Convention - 30% Bonus	MACRS MQ
MACRS STL30B	27.5, 39 years	MACRS: Straight-line Mid-Month Convention - 30% Bonus	MACRS STL MM
AMT 30B HY	2.5 - 20 years	Alternative Minimum Tax: Half-Year Convention - 30% Bonus	AMT HY
AMT 30B MQ	2.5 - 20 years	Alternative Minimum Tax: Mid-Quarter Convention - 30% Bonus	AMT MQ
STL 30B	3 years	Straight-Line - 30% Bonus (Applies to Mid-Month Convention)	N/A

Important: The table-based methods referred to above represent modified versions of methods previously included with Oracle Assets. The methods from which they were derived are listed in the Derived From Method column. If you currently use customized rate tables for tax depreciation methods, you will need to modify the rate tables accordingly.

Example

On June 1, 2002, a corporation acquires and places in service qualified property that costs \$1 million. The corporation is allowed an additional first-year depreciation deduction of \$300,000. The depreciation calculation is computed as shown in the following table:

Field	Value
-------	-------

Asset Cost:	\$1 million
Date placed in service:	June 1, 2002
Prorate date:	January 1, 2002
Life:	5 years
Period:	Yearly calendar ending December 31
Depreciation method:	MACRS 30B HY
Prorate convention:	Half Year

The following table shows the yearly depreciation:

Period	Cost	Depreciation	Accumulated Depreciation	Depreciation Rates for MACRS 30B HY - 5 Years	Depreciation Rates for MACRS HY - 5 Years
FY 2002	1,000,000	440,000	440,000	44%	20%
FY 2003	1,000,000	224,000	664,000	22.4%	32%
FY 2004	1,000,000	134,400	798,000	13.44%	19.2%
FY 2005	1,000,000	80,640	879,040	8.064%	11.52%
FY 2006	1,000,000	80,640	959,680	8.064%	11.52%
FY 2007	1,000,000	40,320	1,000,000	4.032%	5.76%

Depreciation is calculated as follows:

$$\text{FY 2002} = 44\% * 1,000,000 = 440,000$$

$$\text{FY 2003} = 22.4\% * 1,000,000 = 224,000$$

$$\text{FY 2004} = 13.44\% * 1,000,000 = 134,400$$

$$\text{FY 2005} = 8.064\% * 1,000,000 = 80,640$$

$$\text{FY 2006} = 8.064\% * 1,000,000 = 80,640$$

$$\text{FY 2007} = 4.032\% * 1,000,000 = 40,320$$

Depreciation rates of MACRS 30B HY - 5 years are modified from MACRS HY - 5 years table rates, listed as follows:

FY 2002 = $30\% + 20\% * (1 - 30\%) = 44\%$

FY 2003 = $32\% * (1 - 30\%) = 22.4\%$

FY 2004 = $19.2\% * (1 - 30\%) = 13.44\%$

FY 2005 = $11.52\% * (1 - 30\%) = 8.064\%$

FY 2006 = $11.52\% * (1 - 30\%) = 8.064\%$

FY 2007 = $5.76\% * (1 - 30\%) = 4.032\%$

Changing the Depreciation Method

You can change the depreciation method of existing assets to take the additional first-year depreciation deduction. You can perform a prior period depreciation method change and execute the depreciation method change as an expensed adjustment. The catch-up expense will be taken in the current period of change.

You can change the depreciation method of an asset via the Asset Workbench. For a range of affected assets, use Mass Change to perform the depreciation method change. See: Changing Financial and Depreciation Information, page 5-7.

You cannot perform an expensed adjustment if you have previously performed an amortized adjustment for the asset.

Note: If you need to adjust prior fiscal year accumulated depreciation, you should perform the reserve adjustment on your assets prior to any depreciation method change.

Adjusting Accumulated Depreciation for the Prior Fiscal Year

Because the additional first-year depreciation deduction retroactively applies to assets placed in service after September 10, 2001, many users may have closed their previous fiscal year before the additional first-year depreciation deduction was available.

If you need to file amended prior year tax returns, you can use Reserve Adjustment to adjust the depreciation for one or more assets for the previous fiscal year in your tax book.

See: Adjusted Tax Book Accumulated Depreciation, page 9-58.

Depreciation Methods for the American Jobs Creation Act of 2004

Oracle Assets provides special depreciation methods for qualified leasehold and restaurant improvements to help you take advantage of the additional first-year depreciation deduction provided by the American Jobs Creation Act of 2004.

The American Jobs Creation Act of 2004 provides that qualified leasehold and restaurant improvements placed in service between October 22, 2004 and Dec. 31, 2005 will be depreciated over 15 years using the straight-line method. These improvements can still qualify for the 50 percent bonus depreciation if they were placed in service before Dec. 31, 2004.

The 50 percent bonus depreciation provides an additional first-year depreciation deduction that is equal to 50 percent of the qualified asset's depreciable basis. The depreciable basis of the asset and the depreciation deduction in the year of purchase and in later years will be adjusted to reflect the additional first-year depreciation deduction.

The qualified asset is depreciated using the same depreciation method, useful life, and convention that apply to the qualified asset for both regular tax and alternative minimum tax (AMT) purposes in the United States.

Table-Based Depreciation Methods for the American Jobs Creation Act of 2004

The following table shows the table-based depreciation methods Oracle Assets provides to help you take advantage of the additional first-year depreciation deduction allowed by the American Jobs Creation Act of 2004. The same depreciation method, life, and prorate convention apply to both regular tax and AMT purposes on the qualified asset.

Table-Based Depreciation Methods for the American Jobs Creation Act of 2004

Method	Life	Method Description	Derived From Method
STL 50B HY	15 years	Straight-Line Half-Year Convention with 50% Bonus Depreciation	MACRS STL HY
STL 50B MQ	15 years	Straight-line Mid-Quarter Convention with 50% Bonus Depreciation	MACRS STL MQ

Important: The table-based methods referred to above represent modified versions of methods previously included with Oracle Assets. The methods from which they were derived are listed in the Derived From Method column. If you currently use customized rate tables for tax depreciation methods, you will need to modify the rate tables accordingly.

Example

On December 1, 2004, a corporation acquires and places in service a qualified asset that costs \$1 million. The corporation is allowed an additional first-year depreciation deduction of \$500,000. The depreciation calculation is computed as shown in the following table:

Field	Value
Asset Cost	\$1 million
Date Placed in Service	December 1, 2004
Prorate Date	July 1, 2004
Life	15 years
Period	Yearly calendar ending December 31
Depreciation Method	STL 50B HY
Prorate Convention	Half Year

The above depreciation method, life and prorate convention are used for both regular tax and AMT purposes on the qualified asset.

The following table shows the yearly depreciation:

Yearly Depreciation Calculations

Period	Cost	Depreciation	Accumulated Depreciation	Depreciation Rates for STL 50B HY - 15 Years	Depreciation Rates for MACRS STL HY - 15 Years
FY 2004	1,000,000	516,665	516,665	51.6665%	3.333%
FY 2005	1,000,000	33,335	550,000	3.3335%	6.667%
FY 2006	1,000,000	33,335	583,335	3.3335%	6.667%
FY 2007	1,000,000	33,330	616,665	3.333%	6.666%

Period	Cost	Depreciation	Accumulated Depreciation	Depreciation Rates for STL 50B HY - 15 Years	Depreciation Rates for MACRS STL HY - 15 Years
FY 2008	1,000,000	33,335	650,000	3.3335%	6.667%
FY 2009	1,000,000	33,335	683,335	3.3335%	6.667%
FY 2010	1,000,000	33,330	716,665	3.333%	6.666%
FY 2011	1,000,000	33,335	750,000	3.3335%	6.667%
FY 2012	1,000,000	33,335	783,335	3.3335%	6.667%
FY 2013	1,000,000	33,330	816,665	3.333%	6.666%
FY 2014	1,000,000	33,335	850,000	3.3335%	6.667%
FY 2015	1,000,000	33,335	883,335	3.3335%	6.667%
FY 2016	1,000,000	33,330	916,665	3.333%	6.666%
FY 2017	1,000,000	33,335	950,000	3.3335%	6.667%
FY 2018	1,000,000	33,335	983,335	3.3335%	6.667%
FY 2019	1,000,000	16,665	1,000,000	1.6665%	3.333%

Depreciation is calculated as follows:

FY 2004 = 51.6665% * 1,000,000 = 516,665

FY 2005 = 3.3335% * 1,000,000 = 33,335

FY 2006 = 3.3335% * 1,000,000 = 33,335

FY 2007 = 3.333% * 1,000,000 = 33,330

FY 2008 = 3.3335% * 1,000,000 = 33,335

FY 2009 = 3.3335% * 1,000,000 = 33,335

FY 2010 = 3.333% * 1,000,000 = 33,330

FY 2011 = 3.3335% * 1,000,000 = 33,335

FY 2012 = 3.3335% * 1,000,000 = 33,335

FY 2013 = $3.333\% \times 1,000,000 = 33,330$

FY 2014 = $3.3335\% \times 1,000,000 = 33,335$

FY 2015 = $3.3335\% \times 1,000,000 = 33,335$

FY 2016 = $3.333\% \times 1,000,000 = 33,330$

FY 2017 = $3.3335\% \times 1,000,000 = 33,335$

FY 2018 = $3.3335\% \times 1,000,000 = 33,335$

FY 2019 = $1.6665\% \times 1,000,000 = 16,665$

Depreciation rates of STL 50B HY - 15 years are modified from MACRS STL HY - 15 years table rates, listed as follows:

FY 2004 = $50\% + 3.333\% \times (1 - 50\%) = 51.6665\%$

FY 2005 = $6.667\% \times (1 - 50\%) = 3.3335\%$

FY 2006 = $6.667\% \times (1 - 50\%) = 3.3335\%$

FY 2007 = $6.666\% \times (1 - 50\%) = 3.333\%$

FY 2008 = $6.667\% \times (1 - 50\%) = 3.3335\%$

FY 2009 = $6.667\% \times (1 - 50\%) = 3.3335\%$

FY 2010 = $6.666\% \times (1 - 50\%) = 3.333\%$

FY 2011 = $6.667\% \times (1 - 50\%) = 3.3335\%$

FY 2012 = $6.667\% \times (1 - 50\%) = 3.3335\%$

FY 2013 = $6.666\% \times (1 - 50\%) = 3.333\%$

FY 2014 = $6.667\% \times (1 - 50\%) = 3.3335\%$

FY 2015 = $6.667\% \times (1 - 50\%) = 3.3335\%$

FY 2016 = $6.666\% \times (1 - 50\%) = 3.333\%$

FY 2017 = $6.667\% \times (1 - 50\%) = 3.3335\%$

FY 2018 = $6.667\% \times (1 - 50\%) = 3.3335\%$

FY 2019 = $3.333\% \times (1 - 50\%) = 1.6665\%$

Changing the Depreciation Method

You can change the depreciation method of existing assets to take the additional first-year depreciation deduction. You can perform a prior period depreciation method change and execute the depreciation method change as an expensed adjustment. The catch-up expense will be taken in the current period of change.

You can change the depreciation method of an asset via the Asset Workbench. For a range of affected assets, use Mass Change to perform the depreciation method change. See: Changing Financial and Depreciation Information, page 5-7.

You cannot perform an expensed adjustment if you have previously performed an amortized adjustment for the asset.

Note: If you need to adjust prior fiscal year accumulated depreciation, you should perform the reserve adjustment on your assets prior to any depreciation method change.

Defining Depreciable Basis Rules

Depreciable Basis Rules

Oracle Assets provides the Depreciable Basis Rules feature to accommodate depreciation method setup requirements not met by the Cost or NBV calculation basis types. The combination of depreciable basis rule and depreciation method determine how depreciable basis is derived.

Applying Depreciable Basis Rules

Choose the desired depreciable basis rule when you set up the depreciation methods. When you create transactions, the depreciable basis of the asset is calculated based on the depreciable basis rules specified in the Depreciable Basis Rule field.

Note: You can only use depreciable basis rules with flat-rate based methods, with the following exceptions: Beginning Period Balance and Period End Average can also be used with formula-based methods.

- Use Recoverable Cost
- Use Transaction Period Basis
- Use Fiscal Year Beginning Basis
- Flat Rate Extension
- Period End Balance
- Beginning Period Balance
- Period End Average
- Year to Date Average Balance
- Year to Date Average with Half Year Rule

- Year End Balance
- Year End Balance with Positive Reduction Amount
- Year End Balance with Half Year Rule

The following depreciable basis rules are applicable only to Polish tax depreciation. See: Polish Tax Depreciable Basis Rules, page 11-106.

Note: When you use one of the Polish Tax depreciable basis rules, the Method Type must be set to Flat and the Calculation Basis must be set to Cost.

- Polish 30% with a Switch to Declining Classic and Flat Rate
- Polish 30% with a Switch to Flat Rate
- Polish Declining Modified with a Switch to Declining Classic and Flat Rate
- Polish Declining Modified with a Switch to Flat Rate
- Polish Standard Declining with a Switch to Flat Rate

The depreciable basis rules provide calculations as described below:

Use Recoverable Cost Rule

When the Use Recoverable Cost rule is used, the depreciable basis is equal to the new recoverable cost or Cost - Salvage Value. This depreciable basis rule is only available for the Flat rate method with Cost basis.

Current Period Depreciation Expense with Use Recoverable Cost = (Cost - Salvage Value) * Annual Depreciation Rate / Periods per Year

Example: Use Recoverable Cost

The following table contains asset setup information used in this example.

Asset A

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with Cost Basis Depreciation Basis Rule: Use Recoverable Cost
Depreciation Rate:	30%

Asset Setup Item	Asset Setup Information
Salvage Value:	20%
Group DPIS / Prorate Date:	01-JAN-2000
Depreciation Calendar:	Monthly

The following table contains asset setup information used in this example.

Asset A - Current Period Cost Adjustment

Asset Setup Item	Asset Setup Information
Cost Adjustment:	10,000
Period Performed:	Mar-2000
Amortization Start Date:	01-MAR-2000

The table below illustrates asset and calculated amounts for the first four periods of 2000.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset A Cost	30,000	30,000	40,000	40,000
Asset A Depreciable Basis	24,000	24,000	32,000	32,000
Asset A Depreciation Expense	600	600	800*	800
Asset A Accumulated Depreciation	600	1,200	2,000	2,800

* Depreciation Expense in Mar-2000 = 32,000 * 30% / 12 = 800

Use Transaction Period Basis Rule

This depreciable basis rule is available for Flat rate method with NBV basis only. NBV basis = Cost - Salvage Value - Accumulated Depreciation. The basis will be reset at the end of each fiscal year. If you have performed an amortize adjustment, the NBV basis will be reset at the amortization date.

Use Transaction Period Basis = (Cost - Salvage Value) - Accumulated Depreciation

Use Fiscal Year Beginning Basis Rule

This depreciable basis rule is available for the Flat rate method with NBV basis only. NBV basis = Cost - Salvage Value - Accumulated Depreciation as of the beginning of the fiscal year. The basis will be reset at the end of each fiscal year.

Use Fiscal Year Beginning Basis = (Cost - Salvage Value) - Accumulated Depreciation as of Beginning of the Fiscal Year

If you have performed an adjustment, the NBV basis will be reset as follows:

Use Fiscal Year Beginning Basis = Current Cost - Current Salvage Value - Recalculated Accumulated Depreciation as of the Beginning of the Fiscal Year

Flat Rate Extension Rule

This rule supports depreciation method changes from flat-rate and NBV-based methods, to flat-rate and cost-based methods, which are legally required in Japan.

When you change the depreciation method from flat-rate and NBV-based, to flat-rate and cost-based depreciation, the adjustment is amortized. The depreciable basis becomes the NBV on the date amortization begins.

When this rule is applied to flat-rate and NBV-based depreciation methods, the behavior is the same as when the depreciable basis rule is set to Use Fiscal Year Beginning Basis. You can only apply this rule to flat-rate and cost/NBV-based depreciation methods.

For group assets, when member asset tracking is enabled with the Allocate Group Amount option, the depreciable basis of the fully reserved member assets will be removed from the group level depreciable basis. When member tracking is enabled with the Calculate Member Asset Amounts option, and the depreciation method selected is Cost, the depreciable basis of the fully reserved member assets will be removed from the group level depreciable basis.

The following is an example of flat rate extension.

The following table contains asset setup information used in this example.

Asset Before Adjustment Added in Q1-1998

Asset Setup Item	Asset Setup Information
Method Type	Flat-Rate
Calculation Basis	NBV
Rate	20%
Exclude Salvage Value	On
Depreciable Basis Rule	Use Fiscal Year Beginning Basis
Period	Q1-1998
Calculation Basis Rate	NBV, 20%
Cost	1,000,000
Activity	Add new Assets

The following table contains asset setup information used in this example.

Asset After Adjustment Adjusted in Q1-2000

Asset Setup Item	Asset Setup Information
Method Type	Flat-Rate
Calculation Basis	Cost
Rate	25%
Salvage Value	10%
Exclude Salvage Value	Off
Depreciable Basis Rule	Flat Rate Extension
Period	Q1-2000
Calculation Basis Rate	Cost, 25%

Asset Setup Item	Asset Setup Information
Cost	1,000,000
Activity	Amortized Adjustment: Method Change Amortization Start Date: 01-JAN-2000 (Q1-2000)

The table below illustrates depreciation calculated after the adjustment.

Period	Cost	Depreciable Basis	Depreciation Expense	Accumulated Depreciation
Q4-1998	1,000,000	1,000,000	50,000	200,000
Q1-1999	1,000,000	800,000	40,000	240,000
Q2-1999	1,000,000	800,000	40,000	280,000
Q3-1999	1,000,000	800,000	40,000	320,000
Q4-1999	1,000,000	800,000	40,000	360,000
Q1-2000	1,000,000	540,000	33,750	393,750
Q2-2000	1,000,000	540,000	33,750	427,500
Q3-2000	1,000,000	540,000	33,750	461,250
Q4-2000	1,000,000	540,000	33,750	495,000
Q1-2001	1,000,000	540,000	33,750	528,750
Q2-2001	1,000,000	540,000	33,750	562,500
Q3-2001	1,000,000	540,000	33,750	596,250
Q4-2001	1,000,000	540,000	33,750	630,000

The following are calculations for the period Q1-2000:

- [Depreciable Basis] = (1,000,000 - [Salvage Value]) - [Accumulated Depreciation] +

[YTD Depreciation]

$$= (1,000,000 - 1,000,000 * 10\%) - 360,000 - 0 = 540,000$$

- $[\text{Depreciation Expense}] = [\text{Depreciable Basis}] * [\text{Rate}] * (1 / [\text{Period}])$
 $= 540,000 * 0.25 * (1/4) = 33,750$

Period End Balance Rule

When the Period End Balance rule is used, current period depreciation is calculated as follows:

Current Period Depreciation Expense for Period End Balance = (Group Asset Balance at Period End * Annual Depreciation Rate) / Periods Per Year

Example: Period End Balance

The following table contains asset setup information used in this example.

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Period End Balance
Depreciation Rate:	30%
Depreciation Calendar:	Monthly
Group Asset DPIS / Prorate Date:	01-JAN-2000

The following table contains asset setup information used in this example.

Asset 1 - Current Period Cost Adjustment

Asset Setup Item	Asset Setup Information
Cost Adjustment:	10,000
Period Performed:	Mar-2000

Asset Setup Item	Asset Setup Information
Amortization Start Date:	01-MAR-2000

The table below illustrates asset and calculated amounts for the first four periods of 2000.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	20,000	20,000
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	40,000	40,000
Group A Depreciable Basis	30,000	30,000	40,000	40,000
Group A Depreciation	750	750	1,000*	1,000
Group A Accumulated Depreciation	750	1,500	2,500	3,500

* Group Depreciation Expense in Mar-2000 = (Group Asset Depreciable Basis * Annual Depreciation Rate) / Periods Per Year = (40,000 * 30%) / 12 = 1,000

Beginning Period Balance Rule

When the Beginning Period Balance rule is used, current period depreciation is calculated as follows:

Current Period Depreciation Expense for Beginning Period Balance = (Group Asset Balance at Beginning of Period * Annual Depreciation Rate) / Periods Per Year

Example: Beginning Period Balance

The following table contains asset setup information used in this example.

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2
Depreciation Method:	Flat Rate with Cost Basis Depreciation Basis Rule: Beginning Period Balance
Depreciation Rate:	30%
Depreciation Calendar:	Monthly
Group Asset DPIS / Prorate Date:	01-JAN-2000

The following table contains asset setup information used in this example.

Asset 1 - Current Period Cost Adjustment

Asset Setup Item	Asset Setup Information
Cost Adjustment:	10,000
Period Performed:	Mar-2000
Amortization Start Date:	01-MAR-2000

The table below illustrates asset and calculated amounts for the first four periods of 2000.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	20,000	20,000
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	40,000	40,000

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Group A Depreciable Basis	0	30,000	30,000	40,000
Group A Depreciation	0	750	750	1,000*
Group A Accumulated Depreciation	0	750	1,500	2,500

* Group Depreciation Expense in Apr-2000 = (Group Asset Depreciable Basis) * Annual Depreciation Rate / Periods Per Year = 40,000 * 30% / 12 = 1,000

Period End Average Rule

When the Period Average Balance rule is used, current period depreciation is calculated as follows:

Current Period Depreciation Expense for Period Average Balance = (End of Current Period Balance + End of Previous Period Balance) / 2 * Rate / Periods Per Year.

Example: Period End Average

The following table contains asset setup information used in this example.

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2
Depreciation Method:	Flat Rate with Cost Basis Depreciation Basis Rule: Period Average Balance
Depreciation Rate:	30%
Depreciation Calendar:	Monthly
Group DPIS / Prorate Date:	01-JAN-2000

The following table contains asset setup information used in this example.

Asset 1 - Current Period Cost Adjustment

Asset Setup Item	Asset Setup Information
Cost Adjustment:	10,000
Period Performed:	Mar-2000
Amortization Start Date:	01-MAR-2000

The table below illustrates asset and calculated amounts for the first four periods of 2000.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	20,000	20,000
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	40,000	40,000
Group A Depreciable basis	15,000	30,000	35,000*	40,000
Group A Depreciation	375	750	875**	1,000
Group A Accumulated Depreciation	375	1,125	2,000	3,000

* Group Asset Depreciable Basis in Mar-2000 = (End of Current Period Balance + End of Previous Period Balance) / 2 = (40,000 + 30,000) / 2 = 35,000

** Group Asset Depreciation Expense Mar-2000 = Group Asset Depreciable Basis * Annual Depreciation Rate / Periods Per Year = 35,000 * 30% / 12 = 875

Year to Date (YTD) Average Balance Rule

When the Year to Date Average Balance rule is used, current period depreciation is

calculated as follows:

Current Period Depreciation Expense for Year to Date Average Balance = (End of Current Period Balance + End of Previous Year Balance) / 2 * Rate / Periods Per Year

Example: Year to Date (YTD) Average Balance

The following table contains asset setup information used in this example.

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 - cost adjusted in Mar-2000 Asset 2 - cost adjusted in Feb-2000
Depreciation Method:	Flat Rate with Cost Basis Depreciation Basis Rule: YTD Average Balance
Depreciation Rate:	30%
Depreciation Calendar:	Monthly
Group DPIS / Prorate Date:	01-JAN-2000

The following table contains asset setup information used in this example.

Asset 1 - Current Period Cost Adjustment

Asset Setup Item	Asset Setup Information
Cost Adjustment:	10,000
Period Performed:	Mar-2000
Amortization Start Date:	01-MAR-2000

The following table contains asset setup information used in this example.

Asset 2 - Current Period Cost Adjustment

Asset Setup Item	Asset Setup Information
Cost Adjustment:	20,000
Period Performed:	Feb-2000
Amortization Start Date:	01-FEB-2000

The table below illustrates asset and calculated amounts for the first four periods of 2000.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	20,000	20,000
Asset 2	20,000	40,000	40,000	40,000
Group A Cost	30,000	50,000	60,000	60,000
Group A Depreciable Basis	15,000	25,000*	30,000**	30,000
Group A Depreciation	375	625	750***	750
Group A Accumulated Depreciation	375	1,000	1,750	2,500

* Group Asset Depreciable Basis in Feb-2000 = (End of Current Period Balance + End of Previous Year Balance) / 2 = (50,000 + 0) / 2 = 25,000

** Group Asset Depreciable Basis in Mar-2000 = (End of Current Period Balance + End of Previous Year Balance) / 2 = (60,000 + 0) / 2 = 30,000

*** Group Asset Depreciation Expense Mar-2000 = (Group Asset Depreciable Basis * Annual Depreciation Rate) / Periods Per Year = (30,000 * 30%) / 12 = 750

Year to Date (YTD) Average with Half Year Rule

This depreciable basis rule is only available for the Flat rate method with Cost basis. When the Year to Date Average with Half Year rule is used, current period depreciation is calculated as follows:

Current Period Depreciation Expense for Year to Date Average with Half Year rule =
 (((End of Current Period Balance + End of Previous Year Balance) / 2 * Rate) - Year to
 Date Depreciation) / Remaining Fiscal Periods

Example: Year to Date (YTD) Average with Half Year Rule

The following table contains asset setup information used in this example.

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2
Depreciation Method:	Flat Rate with Cost Basis Depreciation Basis Rule: Year to Date Average with Half Year rule
Depreciation Rate:	30%
Depreciation Calendar:	Monthly
Group DPIS / Prorate Date:	01-JAN-2000

The following table contains asset setup information used in this example.

Asset 1 - Current Period Cost Adjustment

Asset Setup Item	Asset Setup Information
Cost Adjustment:	10,000
Period Performed:	Mar-2000
Amortization Start Date:	01-MAR-2000

The following table contains asset setup information used in this example.

Asset 2 - Current Period Cost Adjustment

Asset Setup Item	Asset Setup Information
Cost Adjustment:	20,000
Period Performed:	Feb-2000
Amortization Start Date:	01-FEB-2000

The table below illustrates asset and calculated amounts for the first four periods of 2000.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	20,000	20,000
Asset 2	20,000	40,000	40,000	40,000
Group A Cost	30,000	50,000	60,000	60,000
Group A Depreciation	375*	647.73**	797.73***	797.73
Group A Accumulated Depreciation	375	1,022.73	1,820.46	2,618.19
Group A Year to Date Depreciation	375	1,022.73	1,820.46	2,618.19

* Group A Depreciation Expense in Jan-2000 = (((End of Current Period Balance + End of Previous Year Balance) / 2) x Annual Depreciation Rate - Year to Date Depreciation) / Remaining Fiscal Year Periods = (((30,000 + 0) / 2) x 30% - 0) / 12 = 375

** Group A Depreciation Expense in Feb-2000 = (((End of Current Period Balance + End of Previous Year Balance) / 2) x Annual Depreciation Rate - Year to Date Depreciation) / Remaining Fiscal Year Periods = (((50,000 + 0) / 2) x 30% - 375) / 11 = 647.73

*** Group A Depreciation Expense in Mar-2000 = (((End of Current Period Balance + End of Previous Year Balance) / 2) x Annual Depreciation Rate - Year to Date Depreciation) / Remaining Fiscal Year Periods = (((60,000 + 0) / 2) x 30% - 1,022.73) / 10 = 797.73

Year End Balance Rule

End of Current Fiscal Year balance. This depreciable basis rule is available for the Flat method with NBV basis only.

Current Period Expense for Year End Balance = Current Period YTD Depreciation - Prior Period Ytd Depreciation

Example: Year End Balance - NBV Basis

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Cost adjusted in FY2002 Asset 2

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with NBV Basis Depreciation Basis Rule: Year End Balance
Depreciation Rate:	30%
Group DPIS / Prorate Date:	01-JAN-2000
Depreciation Calendar:	Yearly

The following table contains asset setup information used in this example.

Asset 1 - Current Period Cost Adjustment

Asset Setup Item	Asset Setup Information
Cost Adjustment:	10,000
Period Performed:	FY-2002
Amortization Start Date:	01-JAN-2002

The table below illustrates asset and calculated amounts for four years.

	FY 2000	FY 2001	FY 2002	FY 2003
Asset 1	10,000	10,000	20,000	20,000
Asset 2	20,000	20,000	20,000	20,000
Group Asset A Cost	30,000	30,000	40,000	40,000
Group Asset A Depreciable Basis	30,000	21,000	24,700*	17,290
Group A Depreciation Expense	9,000	6,300	7,410**	5,187
Group A Accumulated Depreciation	9,000	15,300	22,710	27,897

* Group Asset A Depreciable Basis in FY-2002 = Cost - Salvage Value - Accumulated Depreciation = 40,000 - 15,300 - 24,700

(Additions + / - Adjustments) - (Proceeds of Sales - Cost of Removal) > 0

** Group Asset Depreciation Expense in FY-2002 = Depreciable Basis * Annual Rate = 24,700 * 30% = 7,410

Year End Balance with Positive Reduction Amount Rule

This rule can be applied to Flat method with Cost or NBV basis. The Reduction Rate field is enabled only for group and member assets, and it is not enabled for standalone assets.

In Canada, if the following calculation is greater than zero in any given period for a group asset, then half of the excess amount must be deducted from the depreciable basis when calculating the group depreciation amount. The calculation is as follows:

$(\text{Additions} + / - \text{Adjustments}) - \text{Proceeds of Sales} - \text{Cost of Removal} > 0$

However, some groups may be exempted from 50% rule. In order to accommodate Canada's 50% rule, you must select the Year End Balance with Positive Reduction Amount depreciable basis rule for the group asset depreciation method, and enter the reduction rate of 50% for the group asset.

You may enter a reduction rate for the group asset if the group asset has this depreciable basis rule setup in the depreciation method.

Note: The Year End Balance with Positive Reduction Amount rule is applicable only to Group Assets (not for standalone assets).

Example: Year End Balance with Positive Reduction Amount

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Cost adjusted in FY2002 Asset 2

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with NBV Basis Depreciation Basis Rule: Year End Balance with Positive Adjustment Amount
Depreciation Rate:	30%
Reduction Rate:	50%

Asset Setup Item	Asset Setup Information
Group DPIS / Prorate Date:	01-JAN-2000
Depreciation Calendar:	Yearly

The following table contains asset setup information used in this example.

Asset 1 - Current Period Cost Adjustment

Asset Setup Item	Asset Setup Information
Cost Adjustment:	10,000
Period Performed:	FY-2002
Amortization Start Date:	01-JAN-2002

The table below illustrates asset and calculated amounts for four years.

	FY 2000	FY 2001	FY 2002	FY 2003
Asset 1	10,000	10,000	20,000	20,000
Asset 2	20,000	20,000	20,000	20,000
Group Asset A Cost	30,000	30,000	40,000	40,000
Group Asset A Depreciable Basis	15,000*	25,500**	22,850***	20,995
Group A Depreciation Expense	4,500	7,650	6,855****	6,298.50
Group A Accumulated Depreciation	4,500	12,150	19,005	25,303.50

* Group A Depreciable Basis in FY 2000 = Cost - Salvage Value - Accumulated Depreciation - Reduced Amount = 30,000 - (30,000 * 50%) = 15,000

** Group A Depreciable Basis in FY 2001 = 30,000 - 4,500 = 25,500

*** Group A Depreciable Basis in FY 2002 = 40,000 - 12,150 - 10,000 * 50% = 22,850

**** Group A Depreciation Expense in FY 2002 = Depreciable Basis * Annual Rate = 22,850 * 30% = 6,855

Year End Balance with Half Year Rule

The Year End Balance with Half Year Rule basis rule can be applied to the Flat method with NBV basis. The Reduction Rate field is enabled only for group and member assets, and it is not enabled for standalone assets.

In India, if a member asset is added during the second half of the fiscal year, the depreciation rate is reduced by 50% for the member asset. Otherwise, 100% of depreciate rate can be used if the member asset is placed into service during the first half of the fiscal year.

In order to accommodate India's 50% rule, you must select the Year End Balance with Half Year Rule depreciable basis rule for the group asset depreciation method, and enter the reduction rate of 50% for the group asset. You also need to enter the Mid Year Start Date on the Fiscal Year setup window.

- If the date placed in service is in the first half of the year, use 100% of Group Depreciation Rate.
- If the date placed in service is in the second half of the year, use 50% of Group Depreciation Rate.

You may enter a reduction rate for the group asset if the group asset has this depreciable basis rule setup in the depreciation method.

Example: Year End Balance with Half Year Rule

The following table contains asset setup information used in this example.

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 DPIS: 01-JAN-2000 Asset 2 DPIS: 01-AUG-2000

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with NBV Basis Depreciation Basis Rule: Year End Balance with Half Year Rule
Depreciation Rate:	30%
Reduction Rate:	50%
Group DPIS / Prorate Date:	01-JAN-2000
Depreciation Calendar:	Yearly
Mid Year Start Date:	01-JUL-2000

The table below illustrates asset and calculated amounts for four years.

	FY 2000	FY 2001	FY 2002	FY 2003
Asset 1	10,000	10,000	10,000	10,000
Asset 2	20,000	20,000	20,000	20,000
Group Asset A Cost	30,000	30,000	30,000	30,000
Group Asset A Depreciable Basis	20,000*	24,000***	16,800	11,760
Group A Depreciation Expense	6,000**	7,200	5,040	3,528
Group A Accumulated Depreciation	6,000	13,200	18,240	21,768

* Group A Depreciable Basis in FY 2000 = Cost - Salvage Value - Accumulated Depreciation - Reduced Amount = 30,000 - (20,000 * 50%) = 20,000

** Group A Depreciation Expense in FY 2000 = Depreciable Basis * Annual Rate = 20,000

* 30% = 6,000

***Group A Depreciable Basis in FY 2001 = 30,000 - 6,000 = 24,000

Defining Depreciable Basis Rules

To define depreciable basis rules:

1. Navigate to the Depreciation Methods window.
2. In the Method field, enter a name for your depreciation method.
3. In the Description field, enter a description for your depreciation method.
4. Select Flat from the Method Type poplist.
5. Choose whether to use Cost or NBV as the basis for calculating depreciation from the Calculation Basis Rule poplist.
6. Select the Depreciable Basis Rule.

Note: When you select Flat in the Method Type field, the Depreciable Basis Rule field becomes required. You can update the defaulted value.

7. Check the Depreciate in Year Retired check box if you want depreciation calculated in the year retired.
8. Check the Exclude Salvage Value check box if you want this method to exclude the salvage value from the calculation of Cost - Salvage Value.
9. Choose the Rates button to enter rates in the Depreciation Rates window.
10. Enter the basic rates.
11. Enter the adjusting rate, or loading factor.
12. Save your work.

Polish Tax Depreciation

Oracle Assets provides five seeded depreciable basis rules to support Polish tax depreciation requirements. Each of these five depreciable basis rules is comprised of several Polish tax depreciation methods. These Polish tax depreciation methods are in

effect in a predetermined or conditional sequence. For example, if a depreciable basis rule consists of three Polish tax depreciation methods, then the first Polish tax depreciation method may be effective in fiscal year one, the second Polish tax depreciation method may be effective from fiscal year two through fiscal year four, and the third Polish tax depreciation method may be effective for the remaining fiscal years until the asset is fully depreciated.

Polish tax depreciation methods are similar to depreciation methods, except they cannot be set up or used individually to depreciate assets. That is, you cannot assign an asset to depreciate using one of these Polish tax depreciation methods.

Note: If you are using Polish tax depreciation methods, you cannot use Depreciation Projections to determine future depreciation. You can use What-if Depreciation.

The Polish tax depreciation methods are as follows:

- 30% Flat Rate: Assets depreciate at the rate of 30 percent in the period of addition and depreciation is suspended for the rest of the periods in the fiscal year.
- Declining Classic: Assets depreciate at the defined flat rate multiplied by the depreciation factor. When this Polish tax depreciation method is used in a depreciable basis rule, it always begins in the second fiscal year.
- Declining Modified: Assets depreciate at the defined flat rate multiplied by the alternate depreciation factor.
- Standard Declining: Assets depreciate at the defined flat rate multiplied by the depreciation factor.
- Flat Rate: Assets depreciate at the defined flat rate.

The Polish tax depreciable basis rules are each comprised of two or more of the Polish tax depreciation methods listed above. The depreciable basis rules for Polish tax depreciation are as follows:

- Polish 30% with a Switch to Declining Classic and Flat Rate
- Polish 30% with a Switch to Flat Rate
- Polish Declining Modified with a Switch to Declining Classic and Flat Rate
- Polish Declining Modified with a Switch to Flat Rate
- Polish Standard Declining with a Switch to Flat Rate

To set up Polish tax depreciation:

1. Define a new depreciation method in the Depreciation Methods window. See: Defining Additional Depreciation Methods, page 11-65.
2. Choose one of the Polish tax depreciable basis rules from the Depreciable Basis Rule list of values, for example, Polish 30% with a Switch to Flat Rate. See: Polish Tax Depreciable Basis Rules, page 11-106.
3. Navigate to the Depreciation Rates window and enter the flat rate.
4. Save your work.
5. Navigate to the Bonus Depreciation Rules window and define the bonus rule. See: Defining Bonus Depreciation Rules, page 11-74.
6. Enter the depreciation factor and the alternate depreciation factor. See: Defining Bonus Depreciation Rules, page 11-74.
7. Navigate to the Books window and assign the method and bonus rule to the asset. See: Entering Financial Information (Detail Additions Continued), page 3-22.

You can also assign the method to an asset category. See: Entering Default Depreciation Rules for a Category, page 11-191.

Polish Tax Depreciable Basis Rules

Oracle Assets provides five seeded polish tax depreciable basis rules:

- Polish 30% with a Switch to Declining Classic and Flat Rate, page 11-106
- Polish 30% with a Switch to Flat Rate, page 11-109
- Polish Declining Modified with a Switch to Declining Classic and Flat Rate, page 11-110
- Polish Declining Modified with a Switch to Flat Rate: , page 11-112
- Polish Standard Declining with a Switch to Flat Rate: , page 11-113

Polish 30% with a Switch to Declining Classic and Flat Rate

In the first fiscal year this depreciable basis rule uses the 30% Flat Rate Polish tax depreciation method. The asset is depreciated at a fixed depreciation rate of 30 percent in the period of addition. After that, the depreciation is suspended for the remainder of the periods in the fiscal year. There should be no catchup depreciation even if an

adjustment is made in subsequent periods in the first fiscal year after the 30 percent depreciation has been charged.

In the second fiscal year, the depreciation rate is calculated using the Declining Classic Polish tax depreciation method. The formula to be used by the Declining Classic Polish tax depreciation method is calculated by multiplying the flat rate with the depreciation factor defined in the Bonus Depreciation Rules window.

The formula used to calculate the rate of depreciation used by the Declining Classic Polish tax depreciation method is as follows:

Flat Rate * Depreciation Factor

For example, if the flat rate = 20 percent and the depreciation factor is 2, then the resulting depreciation rate for this Polish tax depreciation method is:

$$20\% * 2 = 40\%$$

Depreciation in the second fiscal year is always calculated on the basis of cost. Depreciation in the subsequent fiscal years (where the Declining Classic depreciation Polish tax depreciation method is used) is calculated on the following basis:

Cost - Depreciation Reserve + First Year Reserve

After the end of the second fiscal year, at the beginning of every fiscal year, a test is performed to verify whether the estimated depreciation amount calculated based on the Declining Classic Polish tax depreciation method is equal to or less than the estimated depreciation amount calculated based on the flat rate.

If the estimated depreciation calculation based on the Declining Classic Polish tax depreciation method is equal to or less than the estimated depreciation amount calculated based on the flat rate (the depreciation basis for the Flat Rate method is always cost), then the depreciation method from that fiscal year onward needs to switch to the Flat Rate method. Otherwise, depreciation will continue with the Declining Classic Polish tax depreciation method.

Example - Polish 30% with a Switch to Declining Classic and Flat Rate

Month	Year 1: 30% (3000.00)	Year 2: 20% * 2 (4000.00)	Year 3: 20% * 2 (2400.00)	Year 4: 20% (600.00)
M1	3000.00	333.33	200.00	166.67
M2	0.00	333.33	200.00	166.67
M3	0.00	333.33	200.00	166.67
M4	0.00	333.33	200.00	99.99

Month	Year 1: 30% (3000.00)	Year 2: 20% * 2 (4000.00)	Year 3: 20% * 2 (2400.00)	Year 4: 20% (600.00)
M5	0.00	333.33	200.00	--
M6	0.00	333.33	200.00	--
M7	0.00	333.33	200.00	--
M8	0.00	333.33	200.00	--
M9	0.00	333.33	200.00	--
M10	0.00	333.33	200.00	--
M11	0.00	333.33	200.00	--
M12	0.00	333.37	200.00	--

In this example:

- The asset cost is \$10,000.
- Year 1 uses the 30% Flat Rate Polish tax depreciation method with a depreciation basis of 10,000.
- Year 2 uses the Declining Classic Polish tax depreciation method with a depreciation basis of 10,000.
- Year 3 uses the Declining Classic Polish tax depreciation method with a depreciation basis of 6000.

Note: In this case, the basis has changed to Cost - Reserve + First year reserve.

- Year 4 uses the Flat Rate method with a depreciation basis of 10,000.

The depreciation reserve amounts at the end of each year are as follows:

- Year 1: 3000.00
- Year 2: 7000.00
- Year 3: 9400.00

- Year 4: 10,000.00

Polish 30% with a Switch to Flat Rate

In the first fiscal year this depreciable basis rule uses the 30% Flat Rate Polish tax depreciation method. The asset is depreciated at a fixed depreciation rate of 30 percent in the period of addition. After that, the depreciation is suspended for the remainder of the periods in the fiscal year.

In the second fiscal year this depreciable basis rule automatically switches from the 30% Flat Rate Polish tax depreciation method to the Flat Rate method.

Example - Polish 30% with a Switch to Flat Rate

Month	Year 1: 30% (3000.00)	Year 2: 20% (2000.00)	Year 3: 20% (2000.00)	Year 4: 20% (2000.00)	Year 5: 20% (1000.00)
M1	3000.00	166.67	166.67	166.67	166.67
M2	0.00	166.67	166.67	166.67	166.67
M3	0.00	166.67	166.67	166.67	166.67
M4	0.00	166.67	166.67	166.67	166.67
M5	0.00	166.67	166.67	166.67	166.67
M6	0.00	166.67	166.67	166.67	166.65
M7	0.00	166.67	166.67	166.67	--
M8	0.00	166.67	166.67	166.67	--
M9	0.00	166.67	166.67	166.67	--
M10	0.00	166.67	166.67	166.67	--
M11	0.00	166.67	166.67	166.67	--
M12	0.00	166.63	166.63	166.63	--

In this example:

- The asset cost is \$10,000.

- Year 1 uses the 30% Flat Rate Polish tax depreciation method with a depreciation basis of 10,000.
- Years 2 through 5 use the Flat Rate method with a depreciation basis of 10,000.

The depreciation reserve amounts at the end of each year are as follows:

- Year 1: 3000.00
- Year 2: 5000.00
- Year 3: 7000.00
- Year 4: 9000.00
- Year 5: 10,000.00

Polish Declining Modified with a Switch to Declining Classic and Flat Rate

When you use this depreciable basis rule the depreciation for the first fiscal year is based on the Declining Modified Polish tax depreciation method. The rate of depreciation used by the Declining Modified Polish tax depreciation method is obtained by multiplying the flat rate with the alternate depreciation factor.

The formula used to calculate the rate of depreciation used by the Declining Modified Polish tax depreciation method is as follows:

Flat Rate * Alternate Depreciation Factor

For example if the flat rate is 20 percent and the alternate depreciation factor is 3, then the depreciation rate is:

$$20\% * 3 = 60\%$$

At the beginning of the second fiscal year the Polish tax depreciation method automatically switches from the Declining Modified Polish tax depreciation method to the Declining Classic Polish tax depreciation method. The depreciation rate is calculated using the Declining Classic Polish tax depreciation method.

The formula used to calculate the rate of depreciation used by the Declining Classic Polish tax depreciation method is as follows:

Flat Rate * Depreciation Factor

For example if the flat rate is 20 percent and the depreciation factor is 2, then the resulting depreciation rate for this Polish tax depreciation method is:

$$20\% * 2 = 40\%$$

Depreciation in the second fiscal year is always calculated on the basis of cost. Depreciation in the subsequent fiscal years (where the Declining Classic Polish tax depreciation method is used), is calculated on the following basis:

Cost - Depreciation Reserve + First Year Reserve

After the second fiscal year, at the beginning of every fiscal year, a test is performed to verify whether the estimated depreciation amount calculated based on the Declining Classic Polish tax depreciation method is equal to or less than the estimated depreciation amount calculated based on the flat rate.

If the estimated depreciation calculation based on the Declining Classic Polish tax depreciation method is equal to or less than the estimated depreciation amount calculated based on the flat rate, then from that fiscal year onward, the depreciation method needs to change to the Flat Rate method. Otherwise depreciation will continue with the Declining Classic Polish tax depreciation method.

Example - Polish Declining Modified with a Switch to Declining Classic and Flat Rate

Month	Year 1: 20% * 2.5 (5000.00)	Year 2: 20% * 2 (4000.00)	Year 3: 20% * 2 (1000.00)
M1	416.67	333.33	200.00
M2	416.67	333.33	200.00
M3	416.67	333.33	200.00
M4	416.67	333.33	200.00
M5	416.67	333.33	200.00
M6	416.67	333.33	--
M7	416.67	333.33	--
M8	416.67	333.33	--
M9	416.67	333.33	--
M10	416.67	333.33	--
M11	416.67	333.33	--
M12	416.63	333.37	--

In this example:

- The asset cost is \$10,000.

- Year 1 uses the Declining Modified Polish tax depreciation method with a depreciation basis of 10,000.
- Year 2 uses the Declining Classic Polish tax depreciation method with a depreciation basis of 10,000.
- Year 3 uses the Declining Classic Polish tax depreciation method with a depreciation basis of 6000.

Note: In this case, the basis has changed to Cost - Reserve + First year reserve.

The depreciation reserve amounts for each year are as follows:

- Year 1: 5000.00
- Year 2: 9000.00
- Year 3: 10,000.00

Polish Declining Modified with a Switch to Flat Rate

The Polish tax depreciation method used in the first fiscal year is the Declining Modified Polish tax depreciation method. The calculations are similar to the first year calculation in the Polish Declining Modified with a Switch to Declining Classic and Flat Rate depreciable basis rule. See: Polish Declining Modified with a Switch to Declining Classic and Flat Rate, page 11-110.

In the second fiscal year, the depreciation method automatically changes to the Flat Rate method and the asset continues to depreciate using the Flat Rate method until the asset is fully depreciated.

Example - Polish Declining Modified with a Switch to Flat Rate

Month	Year 1: 20% * 2.5 (5000.00)	Year 2: 20% (2000.00)	Year 3: 20% (2000.00)	Year 4: 20% (1000.00)
M1	416.67	166.67	166.67	166.67
M2	416.67	166.67	166.67	166.67
M3	416.67	166.67	166.67	166.67
M4	416.67	166.67	166.67	166.67

Month	Year 1: 20% * 2.5 (5000.00)	Year 2: 20% (2000.00)	Year 3: 20% (2000.00)	Year 4: 20% (1000.00)
M5	416.67	166.67	166.67	166.67
M6	416.67	166.67	166.67	166.65
M7	416.67	166.67	166.67	--
M8	416.67	166.67	166.67	--
M9	416.67	166.67	166.67	--
M10	416.67	166.67	166.67	--
M11	416.67	166.67	166.67	--
M12	416.63	166.63	166.63	--

In this example:

- The asset cost is \$10,000.
- Year 1 uses the Declining Modified Polish tax depreciation method with a depreciation basis of 10,000.
- Years 2 through 4 use the Flat Rate method with a depreciation basis of 10,000.

The depreciation reserve amounts at the end of each year are as follows:

- Year 1: 5000.00
- Year 2: 7000.00
- Year 3: 9000.00
- Year 4: 10,000.00

Polish Standard Declining with a Switch to Flat Rate

The Polish tax depreciation method used in the first fiscal year is the Standard Declining Polish tax depreciation method. The rate of depreciation is derived by multiplying the flat rate with the depreciation factor.

The formula used to calculate the rate of depreciation used by the Declining Standard Polish tax depreciation method is as follows:

Flat Rate * Depreciation Factor

For example if the flat rate is 20 percent and the depreciation factor is 3, then the depreciation rate is:

$$20\% * 3 = 60\%$$

After the first fiscal year, at the beginning of every fiscal year a test is performed to verify whether the estimated depreciation amount calculated based on the Standard Declining Polish tax depreciation method is equal to or less than the estimated depreciation amount calculated based on the flat rate.

If the estimated depreciation calculation based on the Standard Declining Polish tax depreciation method is equal to or less than the estimated depreciation amount calculated based on the flat rate, then the depreciation method from that fiscal year onward changes to the Flat Rate method. Otherwise, depreciation should continue with the Standard Declining Polish tax depreciation method. The depreciation basis for the Standard Declining Polish tax depreciation method is always net book value.

Example - Polish Standard Declining with a Switch to Flat Rate

Month	Year 1: 20% * 2 (4000.00)	Year 2: 20% * 2 (2400.00)	Year 3: 20% (2000.00)	Year 4: 20% (1600.00)
M1	333.33	200.00	166.67	166.67
M2	333.33	200.00	166.67	166.67
M3	333.33	200.00	166.67	166.67
M4	333.33	200.00	166.67	166.67
M5	333.33	200.00	166.67	166.67
M6	333.33	200.00	166.67	166.67
M7	333.33	200.00	166.67	166.67
M8	333.33	200.00	166.67	166.67
M9	333.33	200.00	166.67	166.67
M10	333.33	200.00	166.67	99.97
M11	333.33	200.00	166.67	--

Month	Year 1: 20% * 2 (4000.00)	Year 2: 20% * 2 (2400.00)	Year 3: 20% (2000.00)	Year 4: 20% (1600.00)
M12	333.37	200.00	166.63	--

In this example:

- The asset cost is \$10,000.
- Year 1 uses the Standard Declining Polish tax depreciation method with a depreciation basis of 10,000.
- Year 2 uses the Standard Declining Polish tax depreciation method with a depreciation basis of 6000.
- Years 3 and 4 use the Flat Rate method with a depreciation basis of 10,000.

The depreciation reserve amounts at the end of each year are as follows:

- Year 1: 4000.00
- Year 2: 6400.00
- Year 3: 8400.00
- Year 4: 10,000.00

Adjusting Polish Tax Depreciation Transactions

You can perform cost adjustments on assets that are depreciating using Polish Tax Depreciation transactions. The cost adjustments can be for either a positive (higher cost) or a negative (lower cost) amount. You can perform a current dated adjustment, which means the adjustment applies to any date in the current period, or you can perform a prior period adjustment.

Related Topics

Negative Cost Adjustments, page 11-115

Positive Cost Adjustments, page 11-126

Negative Cost Adjustments

A negative cost adjustment occurs when the cost of an asset is reduced from the current cost. When you perform negative cost adjustments, depreciation is calculated based on whether you have checked the Polish Adjustment Calculation Basis check box.

Note: The Polish Adjustment Calculation Basis check box applies only to negative cost adjustments.

Polish Adjustment Calculation Basis Checked

If this check box is checked, Oracle Assets uses special rules to calculate the new depreciation basis. The new depreciation basis is calculated using the following formula:

Old Cost - Net Book Value of Adjustment Amount

To calculate the net book value of the adjustment amount, Oracle Assets first calculates the calculated proportion of the reserve. This is calculated using the following formula:

Old Reserve * Adjustment Amount/Old Cost

Oracle Assets then uses the calculated proportion of the reserve to calculate the net book value of the adjusted amount using the following formula:

Adjusted Amount - Calculated Proportion of Reserve

For example, assume the old cost is 20,000, the old reserve is 10,800, and the adjustment amount is 8,000. Oracle Assets first calculates the proportion of the reserve:

$$10,800 * 8,000/20,000 = 4,320$$

Oracle Assets then calculates the net book value of the adjustment amount:

$$8,000 - 4,320 = 3,680$$

Finally, Oracle Assets calculates the new depreciation basis:

$$20,000 - 3,680 = 16,320$$

Polish Adjustment Calculation Basis Unchecked

If this check box is unchecked, Oracle Assets uses the following formula to calculate the new depreciation basis:

Old Basis - Old Basis * Adjustment Amount/Old Cost

For example, if the old cost is 20,000 and the old basis is 12,000, the adjustment amount is 8,000. The new basis is calculated as follows:

$$12,000 - 12,000 * 8,000/20,000 = 7,200$$

Example: Current Dated Negative Cost Adjustment: Polish Adjustment Calculation Basis Checked

In the following example:

- Depreciable basis rule: Polish Standard Declining with a Switch to Flat Rate
- Flat rate: 20 percent

- Factor: 2
- In year 1, no test is performed to determine whether to switch the depreciation method. In all subsequent years, the test is performed.

In this example, the negative cost adjustment occurs in year 2, month 8.

The following table shows depreciation information for year one:

Note: The rounding in this table and subsequent tables is approximate.

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	20,000.00	666.67	666.67	20,000.00
2	20,000.00	666.67	1,333.33	20,000.00
3	20,000.00	666.67	2,000.00	20,000.00
4	20,000.00	666.67	2,666.67	20,000.00
5	20,000.00	666.67	3,333.33	20,000.00
6	20,000.00	666.67	4,000.00	20,000.00
7	20,000.00	666.67	4,666.67	20,000.00
8	20,000.00	666.67	5,333.33	20,000.00
9	20,000.00	666.67	6,000.00	20,000.00
10	20,000.00	666.67	6,666.67	20,000.00
11	20,000.00	666.67	7,333.33	20,000.00
12	20,000.00	666.67	8,000.00	20,000.00

The following table shows depreciation information for year two:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	20,000.00	400.00	8,400.00	12,000.00
2	20,000.00	400.00	8,800.00	12,000.00
3	20,000.00	400.00	9,200.00	12,000.00
4	20,000.00	400.00	9,600.00	12,000.00
5	20,000.00	400.00	10,000.00	12,000.00
6	20,000.00	400.00	10,400.00	12,000.00
7	20,000.00	400.00	10,800.00	12,000.00
8	12,000.00	544.00	11,344.00	16,320.00
9	12,000.00	544.00	11,888.00	16,320.00
10	12,000.00	544.00	12,432.00	16,320.00
11	12,000.00	544.00	12,976.00	16,320.00
12	12,000.00	544.00	13,520.00	16,320.00

The following table shows depreciation information for year three:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	12,000.00	272.00	13,792.00	16,320.00
2	12,000.00	272.00	14,064.00	16,320.00
3	12,000.00	272.00	14,336.00	16,320.00
4	12,000.00	272.00	14,608.00	16,320.00
5	12,000.00	272.00	14,880.00	16,320.00

Month	Cost	Depreciation	Reserve	Depreciation Basis
6	12,000.00	272.00	15,152.00	16,320.00
7	12,000.00	272.00	15,424.00	16,320.00
8	12,000.00	272.00	15,696.00	16,320.00
9	12,000.00	272.00	15,968.00	16,320.00
10	12,000.00	272.00	16,240.00	16,320.00
11	12,000.00	80.00	16,320.00	16,320.00
12				

Example: Back Dated Negative Cost Adjustment: Polish Adjustment Calculation Basis Checked

In the following example:

- Depreciable basis rule: Polish Standard Declining with a Switch to Flat Rate
- Flat rate: 20 percent
- Factor: 2
- In year 1, no test is performed to determine whether to switch the depreciation method. In all subsequent years, the test is performed.

In this example, the negative cost adjustment occurs in year 3, month 7, and is back dated to year 2, month 8. Note that the depreciation amount of 624.00 shown for year 3, month 7 includes the current period depreciation expense of 272.00 plus the catchup depreciation.

The following table shows depreciation information for year one:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	20,000.00	666.67	666.67	20,000.00
2	20,000.00	666.67	1,333.33	20,000.00

Month	Cost	Depreciation	Reserve	Depreciation Basis
3	20,000.00	666.67	2,000.00	20,000.00
4	20,000.00	666.67	2,666.67	20,000.00
5	20,000.00	666.67	3,333.33	20,000.00
6	20,000.00	666.67	4,000.00	20,000.00
7	20,000.00	666.67	4,666.67	20,000.00
8	20,000.00	666.67	5,333.33	20,000.00
9	20,000.00	666.67	6,000.00	20,000.00
10	20,000.00	666.67	6,666.67	20,000.00
11	20,000.00	666.67	7,333.33	20,000.00
12	20,000.00	666.67	8,000.00	20,000.00

The following table shows depreciation information for year two:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	20,000.00	400.00	8,400.00	12,000.00
2	20,000.00	400.00	8,800.00	12,000.00
3	20,000.00	400.00	9,200.00	12,000.00
4	20,000.00	400.00	9,600.00	12,000.00
5	20,000.00	400.00	10,000.00	12,000.00
6	20,000.00	400.00	10,400.00	12,000.00
7	20,000.00	400.00	10,800.00	12,000.00

Month	Cost	Depreciation	Reserve	Depreciation Basis
8	20,000.00	400.00	11,200.00	12,000.00
9	20,000.00	400.00	11,600.00	12,000.00
10	20,000.00	400.00	12,000.00	12,000.00
11	20,000.00	400.00	12,400.00	12,000.00
12	20,000.00	400.00	12,800.00	12,000.00

The following table shows depreciation information for year three:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	20,000.00	333.33	13,133.33	20,000.00
2	20,000.00	333.33	13,466.67	20,000.00
3	20,000.00	333.33	13,800.00	20,000.00
4	20,000.00	333.33	14,133.33	20,000.00
5	20,000.00	333.33	14,466.67	20,000.00
6	20,000.00	333.33	14,800.00	20,000.00
7	12,000.00	624.00	15,424.00	16,320.00
8	12,000.00	272.00	15,696.00	16,320.00
9	12,000.00	272.00	15,968.00	16,320.00
10	12,000.00	272.00	16,240.00	16,320.00
11	12,000.00	80.00	16,320.00	16,320.00
12				

Example: Current Dated Negative Cost Adjustment: Polish Adjustment Calculation Basis Unchecked

In the following example:

- Depreciable basis rule: Polish Standard Declining with a Switch to Flat Rate
- Flat rate: 20 percent
- Factor: 2
- In year 1, no test is performed to determine whether to switch the depreciation method. In all subsequent years, the test is performed.

In this example, the negative adjustment from 20,000.00 to 12,000.00 occurs in year 2, month 8. The new depreciation basis is 7,200.00.

The following table shows depreciation information for year one:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	20,000.00	666.67	666.67	20,000.00
2	20,000.00	666.67	1,333.33	20,000.00
3	20,000.00	666.67	2,000.00	20,000.00
4	20,000.00	666.67	2,666.67	20,000.00
5	20,000.00	666.67	3,333.33	20,000.00
6	20,000.00	666.67	4,000.00	20,000.00
7	20,000.00	666.67	4,666.67	20,000.00
8	20,000.00	666.67	5,333.33	20,000.00
9	20,000.00	666.67	6,000.00	20,000.00
10	20,000.00	666.67	6,666.67	20,000.00
11	20,000.00	666.67	7,333.33	20,000.00
12	20,000.00	666.67	8,000.00	20,000.00

The following table shows depreciation information for year two:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	20,000.00	400.00	8,400.00	12,000.00
2	20,000.00	400.00	8,800.00	12,000.00
3	20,000.00	400.00	9,200.00	12,000.00
4	20,000.00	400.00	9,600.00	12,000.00
5	20,000.00	400.00	10,000.00	12,000.00
6	20,000.00	400.00	10,400.00	12,000.00
7	20,000.00	400.00	10,800.00	12,000.00
8	12,000.00	240.00	11,040.00	7,200.00
9	12,000.00	240.00	11,280.00	7,200.00
10	12,000.00	240.00	11,520.00	7,200.00
11	12,000.00	240.00	11,760.00	7,200.00
12	12,000.00	240.00	12,000.00	7,200.00

Example: Back Dated Negative Cost Adjustment: Polish Adjustment Calculation Basis Unchecked

In the following example:

- Depreciable basis rule: Polish Standard Declining with a Switch to Flat Rate
- Flat rate: 20 percent
- Factor: 2
- In year 1, no test is performed to determine whether to switch the depreciation method. In all subsequent years, the test is performed.

In this example, the negative adjustment from 20,000.00 to 12,000.00 occurs in year 3, month 7, but is back dated to year 2, month 8. The negative 2,800.00 shown as the depreciation amount in year 3 month 7 is the amount of excess depreciation expense

and reserve that is backed out.

The following table shows depreciation information for year one:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	20,000.00	666.67	666.67	20,000.00
2	20,000.00	666.67	1,333.33	20,000.00
3	20,000.00	666.67	2,000.00	20,000.00
4	20,000.00	666.67	2,666.67	20,000.00
5	20,000.00	666.67	3,333.33	20,000.00
6	20,000.00	666.67	4,000.00	20,000.00
7	20,000.00	666.67	4,666.67	20,000.00
8	20,000.00	666.67	5,333.33	20,000.00
9	20,000.00	666.67	6,000.00	20,000.00
10	20,000.00	666.67	6,666.67	20,000.00
11	20,000.00	666.67	7,333.33	20,000.00
12	20,000.00	666.67	8,000.00	20,000.00

The following table shows depreciation information for year two:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	20,000.00	400.00	8,400.00	12,000.00
2	20,000.00	400.00	8,800.00	12,000.00
3	20,000.00	400.00	9,200.00	12,000.00

Month	Cost	Depreciation	Reserve	Depreciation Basis
4	20,000.00	400.00	9,600.00	12,000.00
5	20,000.00	400.00	10,000.00	12,000.00
6	20,000.00	400.00	10,400.00	12,000.00
7	20,000.00	400.00	10,800.00	12,000.00
8	20,000.00	400.00	11,200.00	12,000.00
9	20,000.00	400.00	11,600.00	12,000.00
10	20,000.00	400.00	12,000.00	12,000.00
11	20,000.00	400.00	12,400.00	12,000.00
12	20,000.00	400.00	12,800.00	12,000.00

The following table shows depreciation information for year three:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	20,000.00	333.33	13,133.33	20,000.00
2	20,000.00	333.33	13,466.67	20,000.00
3	20,000.00	333.33	13,800.00	20,000.00
4	20,000.00	333.33	14,133.33	20,000.00
5	20,000.00	333.33	14,466.67	20,000.00
6	20,000.00	333.33	14,800.00	20,000.00
7	12,000.00	(2800.00)	12,000.00	7,200.00

Positive Cost Adjustments

A positive cost adjustment occurs when the cost of an asset is increased from the current cost.

Example: Current Dated Positive Cost Adjustment

In the following example:

- Depreciable basis rule: Polish Standard Declining with a Switch to Flat Rate
- Flat rate: 20 percent
- Factor: 2
- In year 1, no test is performed to determine whether to switch the depreciation method. In all subsequent years, the test is performed.

In this example, the positive cost adjustment from 10,000.00 to 20,000.00 occurs in year 3, month 7.

Note: In this example, although depreciation is shown only through year 3, it should be assumed that depreciation will continue until the asset is fully reserved.

The following table shows depreciation information for year one:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	10,000.00	333.33	333.33	10,000.00
2	10,000.00	333.33	666.67	10,000.00
3	10,000.00	333.33	1,000.00	10,000.00
4	10,000.00	333.33	1,333.33	10,000.00
5	10,000.00	333.33	1,666.67	10,000.00
6	10,000.00	333.33	2,000.00	10,000.00
7	10,000.00	333.33	2,333.33	10,000.00

Month	Cost	Depreciation	Reserve	Depreciation Basis
8	10,000.00	333.33	2,666.67	10,000.00
9	10,000.00	333.33	3,000.00	10,000.00
10	10,000.00	333.33	3,333.33	10,000.00
11	10,000.00	333.33	3,666.67	10,000.00
12	10,000.00	333.33	4,000.00	10,000.00

The following table shows depreciation information for year two:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	10,000.00	200.00	4,200.00	6,000.00
2	10,000.00	200.00	4,400.00	6,000.00
3	10,000.00	200.00	4,600.00	6,000.00
4	10,000.00	200.00	4,800.00	6,000.00
5	10,000.00	200.00	5,000.00	6,000.00
6	10,000.00	200.00	5,200.00	6,000.00
7	10,000.00	200.00	5,400.00	6,000.00
8	10,000.00	200.00	5,600.00	6,000.00
9	10,000.00	200.00	5,800.00	6,000.00
10	10,000.00	200.00	6,000.00	6,000.00
11	10,000.00	200.00	6,200.00	6,000.00
12	10,000.00	200.00	6,400.00	6,000.00

The following table shows depreciation information for year three:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	10,000.00	166.67	6,566.67	10,000.00
2	10,000.00	166.67	6,733.33	10,000.00
3	10,000.00	166.67	6,900.00	10,000.00
4	10,000.00	166.67	7,066.67	10,000.00
5	10,000.00	166.67	7,233.33	10,000.00
6	10,000.00	166.67	7,400.00	10,000.00
7	20,000.00	333.33	7,733.33	20,000.00
8	20,000.00	333.33	8,066.67	20,000.00
9	20,000.00	333.33	8,400.00	20,000.00
10	20,000.00	333.33	8,733.33	20,000.00
11	20,000.00	333.33	9,066.67	20,000.00
12	20,000.00	333.33	9,400.00	20,000.00

Example: Back Dated Positive Cost Adjustment

In the following example:

- Depreciable basis rule: Polish Standard Declining with a Switch to Flat Rate
- Flat rate: 20 percent
- Factor: 2
- In year 1, no test is performed to determine whether to switch the depreciation method. In all subsequent years, the test is performed.

In this example, the positive cost adjustment from 10,000.00 to 20,000.00 occurs in year 3, month 7, with an effect beginning year 2, month 7. Note that the depreciation amount of 1,333.33 shown for year 3, month 7 includes the current period depreciation expense

of 333.33 plus the catchup depreciation. The amount of catchup depreciation between year 2, month 7 and year 3, month 2 is 1,000.00.

Note: In this example, although depreciation is shown only through year 3, it should be assumed that depreciation will continue until the asset is fully reserved.

The following table shows depreciation information for year one:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	10,000.00	333.33	333.33	10,000.00
2	10,000.00	333.33	666.67	10,000.00
3	10,000.00	333.33	1,000.00	10,000.00
4	10,000.00	333.33	1,333.33	10,000.00
5	10,000.00	333.33	1,666.67	10,000.00
6	10,000.00	333.33	2,000.00	10,000.00
7	10,000.00	333.33	2,333.33	10,000.00
8	10,000.00	333.33	2,666.67	10,000.00
9	10,000.00	333.33	3,000.00	10,000.00
10	10,000.00	333.33	3,333.33	10,000.00
11	10,000.00	333.33	3,666.67	10,000.00
12	10,000.00	333.33	4,000.00	10,000.00

The following table shows depreciation information for year two:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	10,000.00	200.00	4,200.00	6,000.00

Month	Cost	Depreciation	Reserve	Depreciation Basis
2	10,000.00	200.00	4,400.00	6,000.00
3	10,000.00	200.00	4,600.00	6,000.00
4	10,000.00	200.00	4,800.00	6,000.00
5	10,000.00	200.00	5,000.00	6,000.00
6	10,000.00	200.00	5,200.00	6,000.00
7	10,000.00	200.00	5,400.00	6,000.00
8	10,000.00	200.00	5,600.00	6,000.00
9	10,000.00	200.00	5,800.00	6,000.00
10	10,000.00	200.00	6,000.00	6,000.00
11	10,000.00	200.00	6,200.00	6,000.00
12	10,000.00	200.00	6,400.00	6,000.00

The following table shows depreciation information for year three:

Month	Cost	Depreciation	Reserve	Depreciation Basis
1	10,000.00	166.67	6,566.67	10,000.00
2	10,000.00	166.67	6,733.33	10,000.00
3	10,000.00	166.67	6,900.00	10,000.00
4	10,000.00	166.67	7,066.67	10,000.00
5	10,000.00	166.67	7,233.33	10,000.00
6	10,000.00	166.67	7,400.00	10,000.00

Month	Cost	Depreciation	Reserve	Depreciation Basis
7	20,000.00	1,333.33	8,733.33	20,000.00
8	20,000.00	333.33	9,066.67	20,000.00
9	20,000.00	333.33	9,400.00	20,000.00
10	20,000.00	333.33	9,733.33	20,000.00
11	20,000.00	333.33	10,066.67	20,000.00
12	20,000.00	333.33	10,400.00	20,000.00

Partial Retirements

Oracle Assets does not provide any special treatment for partial retirements on assets using one of the five Polish tax depreciation methods. Oracle Assets calculates the new reserve, depreciation basis and the new cost as it would for any other partial retirement transaction.

The calculation for the new basis is the same as for a negative cost adjustment in which the Polish Adjustment Calculation Basis check box is unchecked, except the adjustment amount is replaced by the partial retirement amount:

Old Basis - Old Basis * Partial Retirement Amount/Old Cost

For example, if the old cost is 20,000 and the old basis is 12,000, and the partial retirement amount is 8,000, the new basis is calculated as follows:

$$12,000 - 12,000 * 8,000/20,000 = 7,200$$

Example: Current Dated Partial Retirement

In the following example:

- Depreciable basis rule: Polish Standard Declining with a Switch to Flat Rate
- Flat rate: 20 percent
- Factor: 2
- In year 1, no test is performed to determine whether to switch the depreciation method. In all subsequent years, the test is performed.

In this example, the partial retirement of 8,000 occurs in year 2, month 8. The new reserve is calculated as follows:

Old Reserve + Current Period Depreciation - Old Reserve * Retirement Amount/Old Cost

The following table shows depreciation information for year one:

Month	Cost	Depreciation	Reserve	Depreciation Basis	Method
1	20,000.00	666.67	666.67	20,000.00	SD
2	20,000.00	666.67	1,333.33	20,000.00	SD
3	20,000.00	666.67	2,000.00	20,000.00	SD
4	20,000.00	666.67	2,666.67	20,000.00	SD
5	20,000.00	666.67	3,333.33	20,000.00	SD
6	20,000.00	666.67	4,000.00	20,000.00	SD
7	20,000.00	666.67	4,666.67	20,000.00	SD
8	20,000.00	666.67	5,333.33	20,000.00	SD
9	20,000.00	666.67	6,000.00	20,000.00	SD
10	20,000.00	666.67	6,666.67	20,000.00	SD
11	20,000.00	666.67	7,333.33	20,000.00	SD
12	20,000.00	666.67	8,000.00	20,000.00	SD

The following table shows depreciation information for year two:

Month	Cost	Depreciation	Reserve	Depreciation Basis	Method
1	20,000.00	400.00	8,400.00	12,000.00	SD
2	20,000.00	400.00	8,800.00	12,000.00	SD

Month	Cost	Depreciation	Reserve	Depreciation Basis	Method
3	20,000.00	400.00	9,200.00	12,000.00	SD
4	20,000.00	400.00	9,600.00	12,000.00	SD
5	20,000.00	400.00	10,000.00	12,000.00	SD
6	20,000.00	400.00	10,400.00	12,000.00	SD
7	20,000.00	400.00	10,800.00	12,000.00	SD
8	12,000.00	240.00	6,720.00	7,200.00	SD
9	12,000.00	240.00	6,960.00	7,200.00	SD
10	12,000.00	240.00	7,200.00	7,200.00	SD
11	12,000.00	240.00	7,440.00	7,200.00	SD
12	12,000.00	240.00	7,680.00	7,200.00	SD

The following table shows depreciation information for year three:

Month	Cost	Depreciation	Reserve	Depreciation Basis	Method
1	12,000.00	200.00	7,880.00	12,000.00	FR
2	12,000.00	200.00	8,080.00	12,000.00	FR
3	12,000.00	200.00	8,280.00	12,000.00	FR
4	12,000.00	200.00	8,480.00	12,000.00	FR
5	12,000.00	200.00	8,680.00	12,000.00	FR
6	12,000.00	200.00	8,880.00	12,000.00	FR
7	12,000.00	200.00	9,080.00	12,000.00	FR

Month	Cost	Depreciation	Reserve	Depreciation Basis	Method
8	12,000.00	200.00	9,280.00	12,000.00	FR
9	12,000.00	200.00	9,480.00	12,000.00	FR
10	12,000.00	200.00	9,680.00	12,000.00	FR
11	12,000.00	200.00	9,880.00	12,000.00	FR
12	12,000.00	200.00	10,080.00	12,000.00	FR

Example: Back Dated Partial Retirement

In the following example:

- Depreciable basis rule: Polish Standard Declining with a Switch to Flat Rate
- Flat rate: 20 percent
- Factor: two
- In year 1, no test is performed to determine whether to switch the depreciation method. In all subsequent years, the test is performed.

In this example, the partial retirement of 8,000 occurs in year 2, month 12. Note that the depreciation amount of (400.00) shown for year 2, month 12 includes the current period depreciation expense of 240.00 plus the excess depreciation amount of 640.00 from year 2, month 8 through year 2, month 11, that was backed out.

The following table shows depreciation information for year one:

Month	Cost	Depreciation	Reserve	Depreciation Basis	Method
1	20,000.00	666.67	666.67	20,000.00	SD
2	20,000.00	666.67	1,333.33	20,000.00	SD
3	20,000.00	666.67	2,000.00	20,000.00	SD
4	20,000.00	666.67	2,666.67	20,000.00	SD

Month	Cost	Depreciation	Reserve	Depreciation Basis	Method
5	20,000.00	666.67	3,333.33	20,000.00	SD
6	20,000.00	666.67	4,000.00	20,000.00	SD
7	20,000.00	666.67	4,666.67	20,000.00	SD
8	20,000.00	666.67	5,333.33	20,000.00	SD
9	20,000.00	666.67	6,000.00	20,000.00	SD
10	20,000.00	666.67	6,666.67	20,000.00	SD
11	20,000.00	666.67	7,333.33	20,000.00	SD
12	20,000.00	666.67	8,000.00	20,000.00	SD

The following table shows depreciation information for year two:

Month	Cost	Depreciation	Reserve	Depreciation Basis	Method
1	20,000.00	400.00	8,400.00	12,000.00	SD
2	20,000.00	400.00	8,800.00	12,000.00	SD
3	20,000.00	400.00	9,200.00	12,000.00	SD
4	20,000.00	400.00	9,600.00	12,000.00	SD
5	20,000.00	400.00	10,000.00	12,000.00	SD
6	20,000.00	400.00	10,400.00	12,000.00	SD
7	20,000.00	400.00	10,800.00	12,000.00	SD
8	20,000.00	400.00	11,200.00	12,000.00	SD
9	20,000.00	400.00	11,600.00	12,000.00	SD

Month	Cost	Depreciation	Reserve	Depreciation Basis	Method
10	20,000.00	400.00	12,000.00	12,000.00	SD
11	20,000.00	400.00	12,400.00	12,000.00	SD
12	12,000.00	(400.00)	7,680.00	12,000.00	SD

The following table shows depreciation information for year three:

Month	Cost	Depreciation	Reserve	Depreciation Basis	Method
1	12,000.00	200.00	7,880.00	12,000.00	FR
2	12,000.00	200.00	8,080.00	12,000.00	FR
3	12,000.00	200.00	8,280.00	12,000.00	FR
4	12,000.00	200.00	8,480.00	12,000.00	FR
5	12,000.00	200.00	8,680.00	12,000.00	FR
6	12,000.00	200.00	8,880.00	12,000.00	FR
7	12,000.00	200.00	9,080.00	12,000.00	FR
8	12,000.00	200.00	9,280.00	12,000.00	FR
9	12,000.00	200.00	9,480.00	12,000.00	FR
10	12,000.00	200.00	9,680.00	12,000.00	FR
11	12,000.00	200.00	9,880.00	12,000.00	FR
12	12,000.00	200.00	10,080.00	12,000.00	FR

Japan Tax Reforms - FY2007

On March 30, 2007, the Japan Tax Reform act was published by the Ministry of Finance

Japan and was enacted on April 1, 2007. The reform significantly impacted the methods used for depreciation of assets in Japan and provided new guidelines on the calculation and treatment of depreciation of assets. The purpose of the new depreciation rules laid down in the FY2007 Tax Reforms is to increase the Depreciation expenses by abolishing salvage value and increasing the depreciation limit on assets so that the companies can reduce National and Local taxes. Additionally, new depreciation methods were introduced and extended depreciation feature made available for assets acquired before April 1, 2007. In order to address the Japanese depreciation requirements, the following Japan specific depreciation methods have been created and seeded within Oracle Assets.

Method	Method Type	Calculation Basis	Depreciable Basis Rule
JP-STL XXYYR	Flat Rate	Cost	FLAT RATE EXTENSION
JP-DB XXYYR	Flat Rate	NBV	FLAT RATE EXTENSION
JP-250DB XX	Formula	NBV	DUAL RATE EVALUATION (Guarantee Rate Evaluation method)
JP-200DB XX	Formula	NBV	DUAL RATE EVALUATION (Guarantee Rate Evaluation method)
JP-STL-EXTND	Calculated	Cost	Straight Line Method

This section covers the following topics:

- Japanese Straight Line Depreciation Method, page 11-138
- Japanese 250 (or 200%) Declining Balance Depreciation Method, page 11-138
- Japanese Straight Line Extended Depreciation, page 11-142
- Windows, Tabs, and Menu Items Specific to Japan Tax Reforms, page 11-144
- Asset Impairment Changes for Japan, page 11-152

Japanese Straight Line Depreciation Method

As a result of the reform, new Straight Line depreciation rates were published for assets acquired on or after April 1, 2007. The Straight Line depreciation rate calculation for assets acquired prior to April 1, 2007 used rates rounded downward rather than upward as required by the new reform. As a result, the existing seeded JP-STL XXYYR depreciation methods were modified. For depreciation terms where the rate calculation required by the reform impacted the rate, an additional rate line was added to the depreciation method. For depreciation methods where there was not an impact, the method continues to contain a single rate line. For example, in the JP-STL depreciation methods for assets with a life of four or five years the change in the rounding did not impact the rate, therefore, only one rate line is defined. Whereas in JP-STL depreciation methods for asset with lives of three to six, there was an impact on the rate, so an additional rate line was added. The method contains one rate that can be used for assets with a DPIS of prior to April 1, 2007 with another for assets with a DPIS on or after April 1, 2007.

Japanese 250 (or 200%) Declining Balance Depreciation Method

As part of the reform, the Japan government published a new 250 (or 200%) Declining Balance Depreciation Method which can be used on assets acquired on or after April 1, 2007 (200% Declining Balance Depreciation Method after April 1, 2012). For this method, the rate applied for depreciation is an accelerated balance method which is 250 (or 200%) of the rates used under the straight line method or more commonly known as 250DB (or 200DB). The method comes with an added feature of a straight-line switch. As a result, a new Guarantee Rate Evaluation Method check box was introduced to the Depreciation Method window to support the new 250DB (or 200DB) method. This option enables five new variables to be available in defining depreciation formulas within the window.

The rates provided under this method are the basic 250DB (or 200DB) rates, the guarantee rates and revised rates. The 250% (or 200%) DB Depreciation methods, as specified by the Japan government, are seeded as JP-250DB XX (and JP-200DB XX) depreciation methods in Oracle Assets with one depreciation method for each possible asset life year.

The following table describes the JP-250DB (or JP-200DB) depreciation methods:

Field Name	Value
Method	JP-250DB XX or JP-200DB XX
Description	Japan 250 or 200 Declining Balance XX years

Field Name	Value
Method Type	Formula
Calculation Basis	NBV
Depreciable Basis Rule	Dual Rate Evaluation, page 11-139
Depreciate in Year Retired	Yes
Exclude Salvage Value	Yes
Straight Line Method	No
Polish Adjustment Calculation Basis	No
Guarantee Rate Evaluation Method	Yes
Use Japan NBV Calculation for Impairments	Yes
Life Years	XX Years
Months	0
Formula	Decode(Sign(Floor(<Cost> * <Guarantee Rate>) – Floor(<NBV at beginning of year> * <Original Rate>)),1,<Revised Rate>, <Original Rate>)

Dual Rate Evaluation Depreciable Basis Rule

Oracle Assets provides the Depreciable Basis Rules feature to accommodate depreciation method setup requirements not met by the Cost or NBV calculation basis types. The combination of depreciable basis rule and depreciation method determines how depreciable basis is derived.

The Dual Rate Evaluation depreciable basis rule is part of the predefined rules. This depreciable basis rule determines the basis for the calculation of depreciation. The rule checks the rate that is used for calculating depreciation and accordingly determines the depreciable basis. This depreciable basis rule is available only if the FA: Japan 2007 Tax Reforms Features profile option, page B-8 is set to Yes.

The Dual Rate Evaluation depreciable basis rule is available only for depreciation methods that satisfy both of the following conditions:

- Depreciation method must be a Formula based method.
- The Guarantee Rate Evaluation Method check box is selected for the depreciation method.

The formula that is specified in the Formula field of the depreciation method determines which rate is used for the calculation of depreciation. When the Original rate is used, the depreciation calculation basis is the net book value at the beginning of the fiscal year for the asset. When the Revised rate is used, the basis of depreciation calculation is the NBV of the asset as at the date of the switch from Original rate to the Revised rate.

The following changes have been made for Formula Based methods to support the Japan Tax Reforms:

Variables for Depreciation Formula

Five additional variables were added to the list of variables on the Depreciation Formula window. These variables are used in the formula for the predefined 250% (or 200%) Declining Balance Depreciation (JP-250DB or JP-200DB) methods and are available only for those formula-based depreciation methods that have the Guarantee Rate Evaluation Method check box selected.

The following table describes the new variables on the Depreciation Formula window for the formula-based methods:

Variable Name	Purpose
Cost	The original cost of the asset.
NBV at Beginning of Year	The net book value of the asset at the beginning of the first period of the fiscal year.
Original Rate	The original rate of depreciation is specified in the Original Rate field on the Rate Details window.
Revised Rate	The revised rate of depreciation is specified in the Revised Rate field on the Rate Details window.
Guarantee Rate	The guarantee rate is specified in the Guarantee Rate field on the Rate Details window.

The Rate Details Window is available for Formula Based depreciation methods. Use the Rate Details window to enter the Original Rate, Revised Rate and Guarantee Rate of

depreciation for Formula Based Depreciation methods that have the Guarantee Rate Evaluation Method check box selected.

To accommodate the above variables, the system displays **Cost** and **NBV at Beginning of Year** parameters in the Test Formula tabbed region of Depreciation Formula window. In order to have access to these parameters, the FA: Japan 2007 Tax Reforms Features profile option, page B-8 must be set to Yes.

Example for JP-250DB depreciation method

Assumptions:

- Asset added on: April 1st, 2007
- Depreciation method = JP250DB 3
- Life of asset = 3 Years
- Asset cost = 1000 Yen
- Original Rate = 0.833
- Guarantee Rate = 0.02789
- Revised Rate = 1.00

Year 1

Depreciation Calculation:

Rate to be used =

= Decode (Sign (Floor (<Cost> * <Guarantee Rate>) - Floor (<NBV at beginning of year> * <Original Rate>)),1,<Revised Rate>, <Original Rate>)

= 27 - 833

= -806

Therefore depreciation rate for the first year is the Original rate.

Rate = 0.833

Thus, depreciation for the first year is as follows:

Year 1 = NBV * Original Rate

= 1000 * 0.833

= 833

Year 2

Depreciation Calculation:

= Decode (Sign(Floor(<Cost> * <Guarantee Rate>) - Floor(<NBV at beginning of year> * <Original Rate>)),1,<Revised Rate>, <Original Rate>)

= Decode (sign(1000 * 0.02789)-((1000 - 833)* 0.833)),1,Revised Rate, Original Rate)
 = 27 - 139
 = -112

Therefore, depreciation method for the second year is the Original rate.

Rate = .833

Thus, depreciation for the second year is as follows:

Year 2 = NBV * Original Rate

= 167 * 0.833

= 139

Year 3

Depreciation Calculation:

Rate to be used =

= Decode (Sign(Floor(<Cost> * <Guarantee Rate>) - Floor(<NBV at beginning of year> * <Original Rate>)),1,<Revised Rate>, <Original Rate>)

= Decode (sign(floor(1000 * 0.02789)-((1000 - 833- 139) * 0.833)),1,Revised Rate, Original Rate)

= 27 - 23

= 4

Therefore, depreciation method for the second year is the Revised rate.

Rate = 1.00

Thus, depreciation for the second year is as follows:

Year 3 = NBV at time of switch * Revised Rate

= 28 * 1.00

= 28

Japanese Straight Line Extended Depreciation

The reform provided an extended depreciation benefit to assets acquired before April 1, 2007 which have already reached the earlier depreciation limit of 95%. Under this benefit, these assets could now be depreciated further to 1 Yen using the Straight Line method over a 60 month period. Through the Find Eligible Assets window, you can search for the eligible assets and then use the Set Extended Depreciation window to record the decision whether or not a particular asset should be avail for extended depreciation. Once the decision is recorded on the asset and then you click on the Submit button of Set Extended Depreciation window, a concurrent process is launched to update the depreciation method to JP-STL-EXTND and depreciation limit is set to 1 Yen.

The new straight line depreciation method (JP-STL-EXTND) has been seeded in Oracle Assets in support of the extended depreciation benefit. This new method is used for all assets for which the extended depreciation decision has been set to Yes.

The screenshot shows the 'Depreciation Methods' window in Oracle Assets. The 'Method' field is set to 'JP-STL-EXTND'. The 'Description' field is 'Japan STL method for Extended Depreciation'. The 'Method Type' is 'Calculated' and the 'Calculation Basis' is 'Cost'. The 'Depreciable Basis Rule' is empty. The 'Depreciate in Year Retired' checkbox is checked. The 'Exclude Salvage Value' checkbox is checked. The 'Straight Line Method' checkbox is checked. The 'Polish Adjustment Calculation Basis' checkbox is unchecked. The 'Guarantee rate evaluation method' checkbox is unchecked. The 'Use Japan NBV Calculation for Impairments' checkbox is checked. The 'Life Years' field is '5' and the 'Months' field is '0'. The 'Prorate Periods Per Year' field is empty. There are 'Formula' and 'Rates' buttons at the bottom right.

The following table describes the fields related to JP-STL-EXTND depreciation method:

Field Name	Value
Method	JP-STL-EXTND
Description	Japan STL Method for Extended Depreciation
Method Type	Calculated
Calculation Basis	Cost
Depreciable Basis Rule	N/A
Depreciate in Year Retired	Yes
Exclude Salvage Value	Yes
Straight Line Method	Yes
Polish Adjustment Calculation Basis	No
Guarantee Rate Evaluation Method	No

Field Name	Value
Use Japan NBV Calculation for Impairments	Yes
Life Years	5 Years
Months	0
Formula	N/A

Windows, Window Tabs, and Menu Items Specific to Japan Tax Reforms

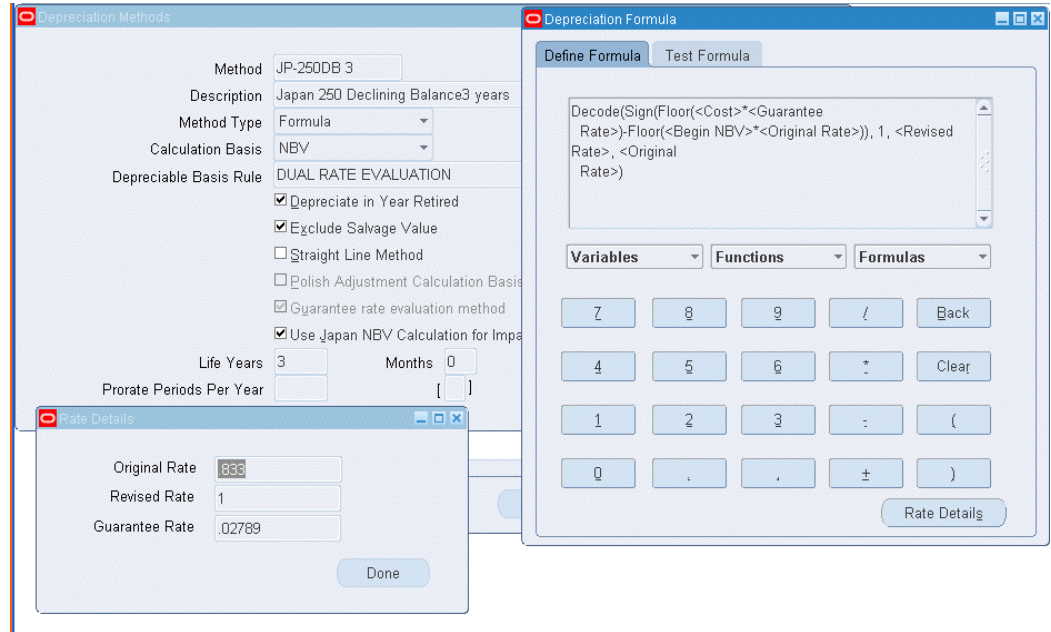
The following are available windows, window tabs, and menu items that support Japan Tax Reforms feature:

- Rate Details Window, page 11-144
- Extended Depreciation Menu Option, page 11-145
- Find Eligible Assets Window, page 11-145
- Set Extended Depreciation Window, page 11-147
- What-If Analysis Window, page 11-150
- Books Window, page 11-151
- Mass Additions Window, page 11-152

Rate Details Window

The Rate Details window is accessed through the Depreciation Methods window, page 11-65 and is only available when the Guarantee Rate Evaluation Method check box is selected on the Depreciation Methods window. This window was added in support of the new 250DB depreciation methods and is only available for Formula Based depreciation methods. The window is used to capture the Original Rate, Revised Rate and Guarantee Rate of depreciation.

The Guarantee Rate Evaluation Method check box is applicable only for seeded methods and cannot be used for defining new depreciation rules.



Extended Depreciation Menu Option

The system adds the Extended Depreciation menu option to the Depreciation menu if the FA: Japan 2007 Tax Reforms Features profile option, page B-8 is set to Yes. The Extended Depreciation menu provides access to the following:

- Find Eligible Assets Window, page 11-145
- Set Extended Depreciation Window, page 11-147

Find Eligible Assets Window

In order to be eligible for extended depreciation, an asset should satisfy the following criteria:

- Acquired on or before 31st March 2007
- Fully reserved as of the date of inquiry

Use the Search By region of Find Eligible Assets window to search for assets eligible for extended depreciation. Navigate to the Depreciation Menu then to the Extended Depreciation menu option; the Find Eligible window is displayed.

Enter in at least one search criteria for the assets.

The Date in Service is defaulted to a high range of March 31, 2007.

Extended Depreciation Decision Status - Default: Decision not taken.

- Decision not taken: This option results in query results that show all the eligible assets that are being evaluated for Extended depreciation for the first time.
- Decision deferred: This option results in the query results that show all assets for which the user has set the Extended Depreciation decision to Deferred.
- Decision to avail: This option results in the query results that show all assets for which the user has set the Extended Depreciation decision to Yes and excludes those assets which have finished availing extended depreciation.
- Decision to not avail. This option results in query results that show all assets for which the user has set the Extended depreciation decision to No.

The Set Extended Depreciation Defaults region of Find Eligible Assets window provides access to Avail Extended Depreciation field. Use the Avail Extended Depreciation field to indicate the Extended Depreciation status to default for the assets being retrieved using the query parameters in the Search By region. Using the Set Extended Depreciation Defaults is optional.

- If the Avail Extended Depreciation field is set to Yes, all assets retrieved in the Set Extended Depreciation window, page 11-147 will have a default status of Yes in the

Avail Extended Depreciation field. The first eligible period for extended depreciation will be defaulted in the First Period field for each asset.

- If the Avail Extended Depreciation field is set to No, all assets retrieved in the Set Extended Depreciation window will have a default status of No in the Avail Extended Depreciation field. In this case, the first eligible period will not be defaulted in the First Period field for any asset.
- If the Avail Extended Depreciation field is set to Defer, all assets retrieved in the Set Extended Depreciation window will have a default status of Defer in the Avail Extended Depreciation field. In this case, the first eligible period will not be defaulted for any asset.
- If you accept the default value (null) for the Avail Extended Depreciation field, assets retrieved in the Set Extended Depreciation window will not have any default status. In this case, you need to manually choose the value for the Avail Extended Depreciation field in the Set Extended Depreciation window. Additionally, you will need to manually choose the first period from when the extended depreciation is to be availed.

In order to access the Find Eligible Assets window, set the FA: Japan 2007 Tax Reforms Features profile option, page B-8 to Yes.

Set Extended Depreciation Window

The Set Extended Depreciation window displays the results of the query executed using the parameters in the Find Eligible Assets window, page 11-145.

Use this window to record the decision of whether or not a particular asset should be available for extended depreciation

Asset Number	Description	Accumulated Depreciation	Net Book Value	Avail Extended Depreciation	First Period
AK20100413302	002 OLD STL FR	000000	950000	20000	Apr-10
AK20100413303	003 OLD STL FR	000000	950000	30000	Apr-10
AK20100413304	004 OLD STL FR	000000	950000	50000	Apr-10
AK20100413305	005 OLD STL FR	000000	950000	50000	Apr-10

Submit Cancel

For every asset, set the Avail Extended Depreciation field to:

- Yes
- No
- Defer Decision

For more information about the Avail Extended Depreciation field, see Find Eligible Assets Window, page 11-145.

- The normal depreciation program picks up the assets selected for extended depreciation based on the First Period specified for individual assets.

In order to access the Set Extended Depreciation Window, set the FA: Japan 2007 Tax Reforms Features profile option, page B-8 to Yes.

What-If Analysis Window

In accordance with the Japan Tax Reforms 2007, Oracle Assets now supports calculation of What-if Projections Analysis for JP-250DB and JP-STL-EXTND depreciation methods. Also, you can use the What-If analysis for assets that are in Extended Depreciation using the JP-STL EXTND method.

In order to use the What-If Analysis for JP-250DB and JP-STL EXTND depreciation methods, set the FA: Japan 2007 Tax Reforms Features profile option, page B-8 to Yes.

By setting the FA: Japan 2007 Tax Reforms Features profile option to Yes, the system adds the following to the What-If Analysis window:

- Calculate Extended Depreciation check box: Select the check box to indicate that extended depreciation calculations should be made in the current What-If run.
- First Period field: Select the first period from which projections of extended depreciation is to be calculated for a single or group of assets. This field is enabled if the Calculate Extended Depreciation box is checked. Periods that are displayed in the First Period are first periods of the fiscal year for which extended depreciation should start for the assets selected.

Books Window - Japan Asset Additional Info Tab

The Japan Asset Additional Info tab enables users to provide additional information when migrating individual assets that are being depreciated with JP-250DB or JP-STL-EXTND depreciation method into Oracle Assets through the Books window, page 3-22.

The screenshot displays the 'Books' window with the 'Japan Asset Additional Info' tab selected. The window is divided into several sections:

- Asset Information:** Asset Number (LISJP-3), Book (LISJP), Reference Number, and Comments.
- Financial Information:** Current Cost (10,000), Original Cost (1), Salvage Value Type (Amount), Salvage Value (0), Recoverable Cost (10,000), and Net Book Value (4,584).
- Depreciation:** Method (JP-STL 4YR), Basic Rate (25%), Adjusted Rate (25%), Bonus Rule, and Depreciation Limit (Type, Limit Amount, Percent).
- Japan Asset Additional Info:** YTD Depreciation (5,416), Accumulated Depreciation (5,416), Salvage Value Percent (%), Revaluation Ceiling, Revaluation Reserve (0), Date in Service (25-FEB-2006), Prorate Convention (MONTHLY), Prorate Date (01-FEB-2006), Amortization Start Date, Amortize Adjustment, and Ceiling.

Buttons at the bottom include 'Unplanned Depreciation', 'Done', and 'Cancel'.

The Japan Asset Additional Info tab includes following fields:

- NBV at the Time of Switch
- Period When Fully Reserved
- Earlier Depreciation Limit
- Limit Amount
- Percent
- First Period of Extended Depreciation
- Earlier Depreciation Method
- Life Years
- Months

Mass Additions Window - Japan Asset Additional Info Tab

The Japan Asset Additional Info tab enables users to provide additional information while migrating an individual asset that is being depreciated with JP-250DB or JP-STL-EXTND depreciation method into Oracle Assets through Mass Additions Window. The Japan Asset Additional Info tab includes following fields:

- NBV at the Time of Switch
- Period When Fully Reserved
- Earlier Depreciation Limit
- Limit Amount
- Percent
- First Period of Extended Depreciation
- Earlier Depreciation Method
- Life Years
- Months

Asset Impairment Changes for Japan

Though Japan is one of the countries that has not fully adopted IFRS, Japan has incorporated various principles of IFRS to increase visibility and transparency of reporting one of which being Asset Impairment. Oracle Assets now addresses the requirements of impairments for Japan depreciation methods in addition to International Accounting Standards (IAS36). The Oracle Assets Impairment functionality addresses the following business requirements for Asset Impairments for Japan:

- Asset Impairments, page 11-153
- Non-Depreciating Assets Impairments, page 11-153
- Impairment of Assets Beyond Asset's Deprecation Limits, page 11-153
- Japan Depreciation Methods Impairment Loss Calculations, page 11-153
- Post Impairment Depreciation Calculations, page 11-154
- Accounting, page 11-154

Asset Impairments

For all Japanese depreciation method assets, users are now able to perform impairments on individual assets or as a group of assets within a Cash Generating Unit. Users can assign assets to a Cash Generating Unit within Asset Workbench or through the WedADI Impairment Worksheet. This includes assets being depreciated using guarantee rate depreciation methods such as JP-250DB or JP-STL-EXTND.

Note: You can reverse any asset impairment posted in a prior period by entering a negative impairment, by manually entering the correct amount.

Non-Depreciating Assets Impairments

Japanese companies are allowed to impair non-depreciating assets such as Land, Construction in Process, and idle assets. Assets using the Japan depreciation methods, which are fully reserved or have the depreciation flag set to No, can now be included in the Impairment process.

Impairment of Assets Beyond Asset's Deprecation Limits

In Japan, depreciation limits are legislated by the tax regulation and are set to 95% of the asset cost for assets with a date place in service (DPIS) before March 31, 2007. Most Japanese companies use the same depreciation limit for accounting purposes and depreciation is calculated up to the depreciation limit. While depreciation is limited to the depreciation limit, assets may be impaired beyond the depreciation limits. For assets using the Japan depreciation methods, are not longer prevented from impairing asset which have reached their depreciation limits.

Japan Depreciation Methods Impairment Loss Calculations

The formula for calculating net book value varies with the Japan depreciation methods.

The calculations are as follows:

Net book Value

For assets acquired prior to March 31, 2007 and are being depreciated using the seeded depreciation methods of JP-STL XXYYR, JP-DB XXYYR, and JP-STL-EXTND, the net book value for the impairment calculation, the salvage value is **not** considered in the calculation.

The net book value is calculated as follows when:

- $NBVC_{Current} = \text{Cost} - \text{Cost Adjustment} + \text{Revaluations} - \text{Accumulated Depreciation (including current period depreciation)} - \text{Accumulated Impairment} - \text{Retirements}$

When performing impairments on assets using the Japanese depreciation method of JP-250DB, the salvage value is considered in the net book value calculation and is as

follows:

- The net book value is calculated as follows when deriving the impairment loss account:

$$\text{NBVCurrent} = \text{Cost} - \text{Cost Adjustment} + \text{Revaluations} - \text{Accumulated Depreciation (including current period depreciation)} - \text{Accumulated Impairment} - \text{Retirements} - \text{Salvage Value}$$

Post Impairment Depreciation Calculations

After the impairment has been posted to the asset, the depreciation components are recalculated as detailed below for the various depreciation methods.

Depreciable Basis

Once the impairment has been posted to the asset, the asset's depreciable basis after impairment is calculated:

- JP-DB, JP-250DB

Depreciable Basis = Net Book Value

- JP-STL

Depreciable Basis = Net Book Value - Salvage Value

- JP-STL-EXTND

Depreciable Basis = Net Book Value - Depreciation Limit (Memorandum Price)

Guarantee Rate Recalculation

For the JP-250DB depreciation method only, the guarantee rate will not change or be recalculated after the impairment posting. The rate will be recalculated at the beginning of the fiscal year as if the impairment had not taken place.

Accounting

Impairment losses are accounted for in the organization's general ledger and are reported on the income statement. The journals for recording of impairment loss, additions, depreciation, reclassification, adjustments and retirements for the Japanese depreciation methods is the same as non-Japanese depreciation methods and is addressed using the standard Oracle Assets journal process.

Revaluations

Based on asset impairment requirements in accordance with Japanese Accounting Principles, revaluation or reversal of impairments are currently not allowed or supported for assets using the Japan depreciation methods.

Application Setup

In order to perform impairments on asset's using the Japan depreciation methods, ensure that the FA: Japan 2007 Tax Reforms Features profile option is set to Yes. Then, follow the setup steps as detailed in the Application Setup for Asset Impairments section of Oracle Assets User Guide.

Processing Impairments

For details on how to create, post, and manage asset impairments, see the Asset Maintenance: Asset Impairment Business Process section of Oracle Assets User Guide.

Asset Impairment Examples

Below details the processing events and accounting for impairing asset's depreciated using the various Japan depreciation methods.

- Guarantee Rate Evaluation Method (JP-250DB): NBV Basis, page 11-155
 - Using a Revised Rate (Normal Depreciation < Guarantee Amount) with Switch, page 11-155
- Japanese Straight Line (JP-STL), page 11-159
 - Salvage Value 10% and Depreciation Limit 95%, DPIS before March 31, 2007, page 11-159
 - No Salvage Value or Depreciation Limit, DPIS After April 1, 2007, page 11-162
- Japanese Extended Depreciation Method (JP-STL-EXTND), page 11-165
 - Impairment at the End of Fiscal Year, page 11-165
- Fully Reserved Assets, page 11-169
- Non-Depreciating Assets, page 11-172

Guarantee Rate Evaluation Method (JP-250DB): NBV Basis

Using a Revised Rate (Normal Depreciation < Guarantee Amount) With Switch

On April 1, 2007, an asset was recorded into Oracle Assets with the following details:

Current Asset Data

Asset Item	Asset Information
Cost	1,000,000 Yen
DPIS	01-Apr-2007
Salvage Value	0
Limit	1 Yen
Guarantee Rate/Amount	0.05111
Guarantee Amount	(1,000,000 * .05111) or 51,110
Original Rate	31.3%
Revised Rate	.334
Depreciation Method Details	JP-250DB 8
Method Type	Formula
Depreciation Basis	NBV
Depreciation Basis Rule	Dual Rate Evaluation
Depreciate in Year Retired	No
Excluding Salvage Value	No
Straight Line Method	No
Guarantee Rate Evaluation	Yes
Impairment Loss	150,000
Impairment Date	31-Mar-2010
FA: Annual Rounding	Yes

Fiscal Year: April – March

On March 31, 2010, a professional evaluation was performed on the asset and an impairment loss was recorded on the asset.

The effect of the impairment is illustrated in the following table:

Period	Cost	Depreciation Expense	Accumulated Depreciation Expense	Asset CNBV (End of Period)	Asset NNBV	Depreciable Basis	Impairment Loss	Accumulated Impairment
2008FY1	1,000,000	313,000	313,000	687,000		1,000,000		
2009FY		215,031	528,031	471,969		687,000		
2010FY		147,726	675,757	324,243		471,969		
		Impairment			174,243		150,000	
2011FY		54,438	730,295	119,705		174,243		150,000
		Switch						
2012FY		39,981	770,276	79,724		119,705		150,000
2013FY		39,981	810,257	39,743		119,705		150,000
2014FY		39,742	849,999	1		1		150,000
2015FY		0	849,999	1		1		150,000

When determining the impairment loss, the current period's (March 2010) is included in the CNBV calculation.

Impairment loss calculations are as follows:

Current Net Book Value (CNBV) = Cost + Cost Adjustment - Current Period Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements

$$324,243 = 1,000,000 - 12,305 - 663,452 - 0 - 0$$

Impairment Loss = 150,000

New Net Book Value = CNBV - Impairment Loss

$$174,243 = 324,243 - 150,000$$

Depreciable Basis = New Net Book Value

$$\text{Depreciable Basis} = 174,243$$

Since this impairment happen at the end of the fiscal year and depreciation for the current period is included in the impairment loss calculation, the depreciation expense is not recalculated until the next period.

Depreciation Expense for next fiscal year:

$$\text{Depreciation Expense} = (\text{Depreciable Basis} * \text{Deprecation Rate})$$

Note: Depreciation Rate Revision: Original Rate or Revised Rate only happens at the beginning of the next fiscal year of the impairment period. The guarantee amount calculation is always based on the formula: Cost * Guarantee Rate. There is no rate change before or after the impairment.

Determine if rate revision:

Depreciable Basis * Original Rate = > Guarantee Amount (51,110)...Use Original Rate (0.313)

$$174,243 * 0.313 = 54,538 > 51,110 \dots 54,538$$

Accounting Entries:

The following accounting entries are generated to record the impairment loss:

Account Description	Debit	Credit
Impairment Expense	150,000	
Accumulated Impairment		150,000

At the end of the month, the following accounting entry is booked to record the depreciation expense for March 2010:

Account Description	Debit	Credit
Depreciation Expense	12,305 *	
Accumulated Depreciation		12,305

* Since the current month depreciation is considered in the CNBV calculation, depreciation is not recalculated until the following month.

Japanese Straight Line (JP-STL)

Salvage Value 10% and Depreciation Limit 95%, DPIS before March 31, 2007

On April 1, 2007, an asset was recorded into Oracle Assets with the following details:

Current Asset Data

Asset Item	Asset Information
Cost	1,000,000 Yen
DPIS	01-Apr-2005
Salvage Value	10%, 100,000
Limit	95%, 50,000
Months	-
Adjusted Rate	12.5%
Guarantee Rate	-
Guarantee Amount	-
Original Rate	-
Revised Rate	-
Depreciation Method Details	JP-STL 8YR
Method Type	Flat
Depreciation Basis	Cost
Depreciation Basis Rule	FLAT RATE EXTENSION
Depreciate in Year Retired	Yes
Excluding Salvage Value	No
Straight Line Method	No

Asset Item	Asset Information
Guarantee Rate Evaluation	No
Impairment Loss	300,000
Impairment Date	31-Mar-2010
Salvage Value after Impairment	Asset NNBV * 10%
FA: Annual Rounding	Yes

Fiscal Year: April – March

On March 31, 2010, a profession evaluation was performed on the asset and an impairment loss was recorded on the asset.

The effect of the impairment is illustrated in the following table:

Period	Cost	Depreciation Expense	Accumulated Depreciation Expense	Asset CNBV (End of Period)	Asset NNBV	Depreciable Basis	Impairment Loss	Accumulated Impairment
2006FY	1,000,000	112,500	112,500	887,500		900,000		
2007FY		112,500	225,000	775,000		900,000		
2008FY		112,500	337,500	662,500		900,000		
2009FY		112,500	450,000	550,000		900,000		
2010FY		112,500	562,500	437,500		900,000		
	Impairment				137,500		300,000	
2011FY		15,468	577,968	122,032		123,750		300,000
2012FY		15,468	593,436	106,564		123,750		300,000

Period	Cost	Depreciation Expense	Accumulated Depreciation Expense	Asset CNBV (End of Period)	Asset NNBV	Depreciable Basis	Impairment Loss	Accumulated Impairment
2013FY		15,468	608,904	91,096		123,750		300,000
2014FY		15,468	624,372	75,628		123,750		300,000
2015FY		15,468	639,840	60,160		123,750		300,000
2016FY		10,160	650,000	50,000		123,750		300,000

When determining the impairment loss, the current period's (March 2010) is included in the CNBV calculation.

Impairment loss calculations are as follows:

Current Net Book Value (CNBV) = Cost + Cost Adjustment - Current Period
Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements

$$437,500 = 1,000,000 - 9,375 - 553,125 - 0 - 0$$

Impairment Loss = 300,000

New Net Book Value = CNBV - Impairment Loss

$$137,500 = 437,500 - 300,000$$

Depreciable Basis = New Net Book Value

$$\text{Depreciable Basis (Before Salvage Value Adjustment)} = 137,500 - 100,000 = 37,500$$

$$\text{Depreciable Basis (After Salvage Value Adjustment)} = 137,500 - (137,500 * 10\%) = 123,750$$

Since this impairment happen at the end of the fiscal year and depreciation for the current period is included in the impairment loss calculation, the depreciation expense is not recalculated until the next period.

Depreciation Expense for next fiscal year:

$$\text{Depreciation Expense} = (\text{Depreciable Basis} * 12.5\%) = 15,468$$

Accounting Entries:

The following accounting entries are generated to record the impairment loss:

Account Description	Debit	Credit
Impairment Loss Expense	300,000	
Accumulated Impairment		300,000

At the end of the month, the following accounting entry is booked to record the depreciation expense for March 2010:

Account Description	Debit	Credit
Depreciation Expense	9,375 *	
Accumulated Depreciation		9,375

* Since the current month depreciation is considered in the CNBV calculation, depreciation is not recalculated until the following month.

No Salvage Value or Depreciation Limit, DPIS After April 1, 2007

On April 1, 2007, an asset was recorded into Oracle Assets with the following details:

Current Asset Data

Asset Item	Asset Information
Cost	1,000,000 Yen
DPIS	01-Apr-2007
Salvage Value	0
Limit	1 Yen
Months	
Adjusted Rate	12.5%
Guarantee Rate	-

Asset Item	Asset Information
Guarantee Amount	-
Original Rate	-
Revised Rate	-
Depreciation Method Details	JP-STL 8YR
Method Type	Flat
Depreciation Basis	Cost
Depreciation Basis Rule	FLAT RATE EXTENSION
Depreciate in Year Retired	Yes
Excluding Salvage Value	No
Straight Line Method	No
Guarantee Rate Evaluation	No
Impairment Loss	300,000
Impairment Date	31-Mar-2010
FA: Annual Rounding	Yes

Fiscal Year: April – Mar

On March 31, 2010, a profession evaluation was performed on the asset and an impairment loss was recorded on the asset.

The effect of the impairment is illustrated in the following table:

Period	Cost	Depreciation Expense	Accumulated Depreciation Expense	Asset CNBV (End of Period)	Asset NNBV	Depreciable Basis	Impairment Loss	Accumulated Impairment
2008FY		125,000	125,000	875,000		1,000,000		
2009FY		125,000	250,000	750,000		1,000,000		
2010FY		125,000	375,000	625,000		1,000,000		
	Impairment				325,000		300,000	
2011FY		40,625	415,625	284,375		325,000		300,000
2012FY		40,625	456,250	243,750		325,000		300,000
2013FY		40,625	496,875	203,125		325,000		300,000
2014FY		40,625	537,500	162,500		325,000		300,000
2015FY		40,625	578,125	121,875		325,000		300,000
2016FY		40,625	618,750	81,250		325,000		300,000
2017FY		40,625	659,375	40,625		325,000		300,000
2018FY		40,625	699,999	1		325,000		300,000

When determining the impairment loss, the current period's (March 2010) is included in the CNBV calculation.

Impairment loss calculations are as follows:

Current Net Book Value (CNBV) = Cost + Cost Adjustment - Current Period Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements

$$625,000 = 1,000,000 - 7,812 - 367,188 - 0 - 0$$

Impairment Loss = 300,000

New Net Book Value = CNBV - Impairment Loss

$$325,000 = 625,000 - 300,000$$

Depreciable Basis = New Net Book Value

$$\text{Depreciable Basis} = 325,000$$

Since this impairment happens at the end of the fiscal year and depreciation for the current period is included in the impairment loss calculation, the depreciation expense is not recalculated until the next period.

Depreciation Expense for next fiscal year:

$$\text{Depreciation Expense} = (325,000 \times 0.125) = 40,625$$

Accounting Entries:

The following accounting entries are generated to record the impairment loss:

Account Description	Debit	Credit
Impairment Loss Expense	300,000	
Accumulated Impairment		300,000

At the end of the month, the following accounting entry is booked to record the depreciation expense for March 2010:

Account Description	Debit	Credit
Depreciation Expense	7,812 *	
Accumulated Depreciation		7,812

* Since the current month depreciation is considered in the CNBV calculation, depreciation is not recalculated until the following month.

Japanese Extended Depreciation Method (JP-STL-EXTND) - Impairment at the End of Fiscal Year

Prior depreciation method JP-STL 8YR, date placed in service before April 1, 2007, Depreciation limit reached, converted to extended depreciation on April 1, 2007.

On April 1, 2006, an asset was recorded into Oracle Assets with the following details:

Current Asset Data

Asset Item	Asset Information
Cost	1,000,000 Yen
DPIS	01-Apr-1995
Salvage Value	10%, 100,000
Limit	95%, 50,000
Extended	JP-STL 8YR =>JP-STL-EXTND
Adjusted Rate	12.5%
Guarantee Rate	-
Guarantee Amount	-
Original Rate	-
Revised Rate	-
Depreciation Method Details	JP-STL-EXTND
Method Type	Calculated
Depreciation Basis	Cost
Depreciation Basis Rule	-
Depreciate in Year Retired	Yes
Excluding Salvage Value	Yes
Straight Line Method	Yes
Guarantee Rate Evaluation	No
Impairment Loss	30,000

Asset Item	Asset Information
Impairment Date	31-Mar-2008
Depreciation Limit	1 Yen
FA: Annual Rounding	Yes

Fiscal Year: April – March

The asset has reached its depreciation limit and is no longer depreciating. The asset's current net book value is 50,000. As a result of the 2007 tax reform, the asset's depreciation method was changed on April 1, 2007 and the remaining value is being depreciated using the Extended Straight Line Depreciation method. Then on March 31, 2008, a professional evaluation was performed on the asset and an impairment loss was recorded on the asset.

The effect of the impairment is illustrated in the following table:

Period	Cost	Depreciation Expense	Accumulated Depreciation Expense	Asset CNBV (End of Period)	Asset NNBV	Depreciable Basis	Impairment Loss	Accumulated Impairment
2007FY	1,000,000	0	950,000	50,000		900,000		
	Extend STL Depreciation							
2008FY		9,999	959,999	40,001		49,999		
	Impairment				10,001		30,000	
2009FY		2,500	962,499	7,501		10,000		30,000
2010FY		2,500	964,999	5,001		10,000		30,000
2011FY		2,500	967,499	2,501		10,000		30,000

Period	Cost	Depreciation Expense	Accumulated Depreciation Expense	Asset CNBV (End of Period)	Asset NNBV	Depreciable Basis	Impairment Loss	Accumulated Impairment
2012FY		2,500	969,999	1		10,000		30,000

When determining the impairment loss, the current period's (March 2010) is included in the CNBV calculation.

Impairment loss calculations are as follows:

Current Net Book Value (CNBV) = Cost + Cost Adjustment - Current Period
Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements

$$40,001 = 1,000,000 - 833 - 959,166 - 0 - 0$$

Impairment Loss = 30,000

New Net Book Value = CNBV - Impairment Loss

$$10,001 = 40,001 - 30,000$$

Depreciable Basis = New Net Book Value

$$\text{Depreciable Basis} = 10,001 - 1 (\text{Memorandum Price}) = 10,000$$

Since this impairment happen at the end of the fiscal year and depreciation for the current period is included in the impairment loss calculation, the depreciation expense is not recalculated until the next period.

Depreciation Expense for next fiscal year:

$$\text{Depreciation Expense} = (10,000 / 4) = 2,500$$

Accounting Entries:

The following accounting entries are generated to record the impairment loss:

Account Description	Debit	Credit
Impairment Loss Expense	30,000	
Accumulated Impairment		30,000

At the end of the month, the following accounting entry is booked to record the depreciation expense for March 2010:

Account Description	Debit	Credit
Depreciation Expense	833 *	
Accumulated Depreciation		833

* Since the current month depreciation is considered in the CNBV calculation, depreciation is not recalculated until the following month.

Fully Reserved Assets

Below details the processing events and accounting for impairment an asset after it has been fully reserved.

On April 1, 2000, an asset was recorded into Oracle Assets with the following details:

Current Asset Data

Asset Item	Asset Information
Cost	1,000,000 Yen
DPIS	01-Apr-2000
Salvage Value	10%, 100,000
Limit	95%, 50,000
Months	JP-STL 5YR
Adjusted Rate	20%
Guarantee Rate	-
Guarantee Amount	-
Original Rate	-
Revised Rate	-
Depreciation Method Details	JP-STL 5YR

Asset Item	Asset Information
Method Type	Flat
Depreciation Basis	Cost
Depreciation Basis Rule	Flat Rate Extension
Depreciate in Year Retired	Yes
Excluding Salvage Value	No
Straight Line Method	No
Guarantee Rate Evaluation	No
Impairment Loss	50,000
Impairment Date	31-Mar-2010
Depreciation Limit	50,000 Yen
FA: Annual Rounding	Yes

Fiscal Year: April – Mar

As of March 2005, the asset has reached its depreciation limit and is no longer depreciating. The asset's current net book value is 50,000. Then on March 31, 2010, a professional evaluation was performed on the asset and a 50,000 impairment loss was recorded on the asset.

The effect of the impairment is illustrated in the following table:

Period	Cost	Depreciation Expense	Accumulated Depreciation Expense	Asset CNBV (End of Period)	Asset NNBV	Depreciable Basis	Impairment Loss	Accumulated Impairment
2010-Q1	1,000,000	0	950,000			900,000		
2010-Q2		0	950,000					

Period	Cost	Depreciation Expense	Accumulated Depreciation Expense	Asset CNBV (End of Period)	Asset NNBV	Depreciable Basis	Impairment Loss	Accumulated Impairment
2010-Q3		0	950,000					
2010-Q4		0	950,000	50,000				
	Impairment				0		50,000	
2010-Q1		0	950,000	0		0		50,000

Impairment loss calculations are as follows:

Current Net Book Value (CNBV) = Cost + Cost Adjustment - Current Period Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements

$$50,000 = 1,000,000 - 0 - 950,000 - 0 - 0$$

Impairment Loss = 50,000

New Net Book Value = CNBV - Impairment Loss

$$0 = 50,000 - 50,000$$

Depreciable Basis = New Net Book Value

$$\text{Depreciable Basis} = 0$$

Since the asset had reached its depreciation limit and stopped depreciating, the current and future period depreciation expense is zero.

Depreciation Expense for next fiscal year:

$$\text{Depreciation Expense} = 0$$

Accounting Entries:

The following accounting entries are generated to record the impairment loss:

Account Description	Debit	Credit
Impairment Loss Expense	50,000	
Accumulated Impairment		50,000

At the end of the month, the following accounting entry is booked to record the

depreciation expense for March 2010:

Account Description	Debit	Credit
Depreciation Expense	0 *	
Accumulated Depreciation		0

* Since the current month depreciation is considered in the CNBV calculation, depreciation is not recalculated until the following month.

Non-Depreciating Assets

Below details the processing events and accounting for impairing non-depreciating assets (Depreciation Flag is set to No).

On April 1, 2000, an asset was recorded into Oracle Assets with the following details:

Current Asset Data

Asset Item	Asset Information
Cost	1,000,000 Yen
DPIS	01-Apr-2000
Salvage Value	10%, 100,000
Limit	95%, 50,000
Months	JP-STL 5YR
Adjusted Rate	20%
Guarantee Rate	-
Guarantee Amount	-
Original Rate	-
Revised Rate	-

Asset Item	Asset Information
Depreciation Method Details	JP-STL 5YR
Method Type	Flat
Depreciation Basis	Cost
Depreciation Basis Rule	Flat Rate Extension
Depreciate in Year Retired	Yes
Excluding Salvage Value	No
Straight Line Method	No
Guarantee Rate Evaluation	No
Impairment Loss	50,000
Impairment Date	31-Mar-2010
Depreciation Limit	50,000 Yen
FA: Annual Rounding	Yes

Fiscal Year: April – Mar

As of March 2004, the asset has been depreciated by 800,000 and the depreciation flag is manually set to No and is no longer depreciating. The asset's current net book value is 200,000. Then on March 31, 2010, a professional evaluation was performed on the asset and a 100,000 impairment loss was recorded on the asset.

The effect of the impairment is illustrated in the following table:

Period	Cost	Depreciation Expense	Accumulated Depreciation Expense	Asset CNBV (End of Period)	Asset NNBV	Depreciable Basis	Impairment Loss	Accumulated Impairment
2000FY	1,000,000	180,000	180,000			900,000		

Period	Cost	Depreciation Expense	Accumulated Depreciation Expense	Asset CNBV (End of Period)	Asset NNBV	Depreciable Basis	Impairment Loss	Accumulated Impairment
2001FY		180,000	360,000			900,000		
2002FY		180,000	540,000			900,000		
2003FY		180,000	720,000			900,000		
2004FY		80,000	800,000	200,000		900,000		
	Impairment				0		100,000	
2010-Q1		0	800,000	100,000		100,000		100,000

Impairment loss calculations are as follows:

Current Net Book Value (CNBV) = Cost + Cost Adjustment - Current Period Depreciation - Accumulated Depreciation - Accumulated Impairments - Retirements

$$200,000 = 1,000,000 - 0 - 800,000 - 0 - 0$$

Impairment Loss = 100,000

New Net Book Value = CNBV - Impairment Loss

$$100,000 = 200,000 - 100,000$$

Depreciable Basis = Net Book Value - Salvage Value

$$0 = 100,000 - 100,000$$

Adjusted cost is recalculated after the posting of the impairment as:

$$\text{Adjusted Cost} = \text{New Net Book Value} - \text{Salvage Value}$$

$$0 = 100,000 - 100,000$$

Since the asset had reached its depreciation limit and stopped depreciating, the current and future period depreciation expense is zero.

Depreciation Expense for next fiscal year:

$$\text{Depreciation Expense} = 0$$

Accounting Entries:

The following accounting entries are generated to record the impairment loss:

Account Description	Debit	Credit
Impairment Loss Expense	100,000	
Accumulated Impairment		100,000

At the end of the month, the following accounting entry is booked to record the depreciation expense for March 2010:

Account Description	Debit	Credit
Depreciation Expense	0 *	
Accumulated Depreciation		0

* Since the current month depreciation is considered in the CNBV calculation, depreciation is not recalculated until the following month.

Restarting Depreciation

On April 1, 2011, it was decided that the depreciation on the asset was to be restarted. To restart depreciation on a non-depreciating asset, perform the following:

1. In Asset Workbench, change the depreciation attributes as follows:

Attribute	Value
Depreciation Flag	Yes
Amortize Adjustment	Yes
Amortization Start Date	April 1, 2011

2. Set the Salvage Value equal to the Net Book Value after impairment multiply by salvage rate.

Attribute	Value
Salvage Value	10,000 (100,000 * 10%)

Attribute	Value
Amortize Adjustment	Yes
Amortization Start Date	April 1, 2011

Adjusted Cost is calculated as:

Adjusted Cost = Net Book Value after impairment - Salvage Value

$$90,000 = 100,000 - 10,000$$

3. Create an adjustment to change the depreciation method to the new depreciation method to be used.

Attribute	Value
Depreciation Method	Change JP-STL 5YR => JP-STL-2YR
Amortize Adjustment	Yes
Amortization Start Date	April 1, 2011

After completing these steps, depreciation will be determined using the following:

Attribute	Value
Adjusted Cost	90,000
Adjusted Rate	50%
Annual Depreciation	45,000

4. After running depreciation for the period, the following entries will be generated to record the new depreciation expense:

Account Description	Debit	Credit
Depreciation Expense	45,000	

Account Description	Debit	Credit
Accumulated Depreciation		45,000

Japan Depreciation Adjustment for DB Method in Corporate Tax Book

According to the Japanese tax legislations, if the depreciation method is Japanese Declining Balance method, depreciation can be expensed up to the accounted (depreciated) amount in the Corporate book or depreciated amount in Tax Book.

If the depreciation amount in the Corporate book (for example, 200) is less than the tax book (for example, 400), the depreciation can be expensed up to the corporate book amount of 200 for corporate tax reporting. The case also affects the depreciation calculation for the next fiscal year, if the asset has a depreciation method of Japanese DB methods (for example, JP-DB, JP-250DB, or JP-200DB).

The Japan Depreciation Adjustment for DB Method in Corporate Tax Book concurrent program is provided to extract eligible assets and post the adjustment data.

Process Flow

Use the Japan Depreciation Adjustment for DB Method in Corporate Tax Book concurrent program to create an adjustment automatically before finally closing the tax book, if the adjustment needs to be created with Japanese DB methods for calculating depreciation properly in the next fiscal year.

Process Flow Summary:

- Prerequisites
 - Run Depreciation without closing Corporate Book and Tax Book in the last period of the fiscal year.
 - Run this concurrent program in the last period of the fiscal year.
- Preview Adjustments
 - This concurrent program collects all eligible assets with Depreciation Method JP-DB, JP-250DB, JP-200DB in the selected Tax Book to process.
 - This concurrent program extracts the necessary NBV information, both of corporate book and TAX book, and creates the tax adjustment amount in the Interface table.
 - You can preview and check the adjustment amount by the output, which is created by this concurrent program in Preview mode.

- Post Adjustments
 - In Post Mode, you can specify the Preview ID, which is created in Preview mode to post all adjustments as unplanned depreciation by the unplanned API.
 - Provides validation between the Preview mode and Post mode before finally posting the adjustment.
- Alerts and Checks
 - Between the Preview mode and Post mode, if you execute the transaction to the asset, an error is raised for that asset.
 - Checks if this concurrent program should be executed after running the depreciation program without the last period of the fiscal year closing; an error is raised.
 - If you run the concurrent program for other than the last period of the fiscal year, an error is raised.
- Confirm and Run Depreciations
 - Run depreciation without closing the Corporate and Tax Books and check if the adjustments were properly created.
 - Finally, run depreciation with closing the Corporate and Tax books.

Setting Up Depreciation Ceilings

You can set up or review expense, cost, and investment tax credit (ITC) ceilings. You can associate either an expense ceiling or a cost ceiling with an asset category. If you are subject to United States tax law, you must set up depreciation ceilings for your luxury automobiles.

To set up cost, expense, or investment tax credit ceilings:

1. Open the Asset Ceilings window.
2. Choose the type of ceiling you want to set up: Cost, Expense, or ITC.
3. Enter a Name and Description of the ceiling
4. Enter the Currency for which you are defining the depreciation expense ceiling.
5. Enter Start and End dates for which the ceiling is effective. If you leave the End Date field blank, the ceiling is effective indefinitely.

6. If you are defining a depreciation **Expense** ceiling, enter the fiscal year of life of the asset to which the ceiling applies.
7. Enter a Ceiling amount:

Expense: Enter the maximum annual depreciation allowance for each year of the asset life. Oracle Assets uses the ceiling from the last year you set up for each year thereafter.

Cost: Enter the maximum recoverable cost Oracle Assets can use to calculate depreciation expense.

Investment Tax Credit: Enter the maximum cost that Oracle Assets can use to calculate ITC.
8. Save your work.

Related Topics

Depreciation Rules (Books), page 3-5
Tax Credits, page 9-28
Oracle Assets System Setup, page 11-2
Ceiling Listing, page 12-33

Defining Investment Tax Credit Rates

You can set up and review your Investment Tax Credit (ITC) rates and recapture rates. Oracle Assets displays the rates in ascending order by year and life. Oracle Assets automatically recaptures a portion of the investment tax credit for assets with ITC that you retire before they are fully reserved. Once you set up your rates, you can claim ITC for an asset.

To define ITC rates:

1. Open the Investment Tax Credit Rates window.
2. Enter the year the ITC rate is effective.

You must set up ITC recapture rates for all tax years for which ITC recapture applies.
3. Enter the life for which this ITC rate applies.
4. Enter the ITC Amount Rate as a percentage. The ITC Basis for an asset is the lesser of its original cost and the ITC Ceiling, if one is used.

5. Enter the Basis Reduction Rate as a percentage. Oracle Assets uses the basis reduction rate to reduce the recoverable cost of the asset.
6. Save your work.

To define ITC recapture rates:

1. Open the Investment Tax Credit Recapture Rates window.
2. Enter the Tax Year the recapture rate is effective.
3. Enter the Year and Month of life to which the recapture rate applies.
4. Enter the Year of Retirement to which the rate applies. If you retire an asset during this year of life, it is subject to this recapture rate.
5. Enter the recapture rate as a percentage. Oracle Assets uses this rate to determine the amount of investment tax credit to recapture upon retirement.
6. Save your work.

Related Topics

Assigning Tax Credits, page 9-29

Tax Credits, page 9-28

Oracle Assets System Setup, page 11-2

Setting Up Depreciation (ITC) Ceilings, page 11-178

ITC Rates Listing, page 12-36

Specifying Dates for Prorate Conventions

You can set up or review prorate and retirement conventions in the Prorate Conventions window.

You must initially set up all your prorate conventions from the convention period corresponding to the oldest date placed in service through the end of the current fiscal year. At the end of each fiscal year, Oracle Assets automatically sets up your prorate conventions for the next fiscal year.

Prerequisites

- Set up your Oldest Date Placed in Service. See: Specifying System Controls., page 11-48
- Set up your fiscal years. See: Creating Fiscal Years., page 11-53

- Set up your depreciation and prorate calendars. See: Specifying Dates for Calendar Periods., page 11-53

To specify dates for prorate conventions:

1. Open the Prorate Conventions window
2. Enter a Convention name and Description.
3. Enter the Fiscal Year Name for which you want to set up this convention.
4. Select the Depreciate When Placed in Service check box if you want to start taking depreciation in the accounting period that corresponds to the date placed in service, instead of the period that corresponds to the prorate date.

This option determines over how many periods to spread the annual depreciation amount. For assets that use a calculated (straight-line) method, Oracle Assets ignores this option and always starts taking depreciation in the accounting period that corresponds to the prorate date.

5. Enter date ranges and corresponding prorate dates for assets where the date placed in service is between the From Date and the To Date.

Note: Your convention must include every date in your fiscal year; otherwise, Oracle Assets cannot calculate depreciation properly.

6. Save your work.

Related Topics

About Prorate and Retirement Conventions, page 11-181

Prorate Convention Listing, page 12-37

About Prorate and Retirement Conventions

Oracle Assets uses the **prorate convention** to determine how much depreciation to take in the first and last year of an asset's life, based on when you place the asset in service. Since assets can be acquired at any time in a given period, there must be a convention for determining how much depreciation to take in each instance. The prorate convention and the date placed in service determine the prorate date.

Note: For assets to depreciate properly, prorate conventions must account for every date in the fiscal year.

Oracle Assets uses the prorate date to determine the prorate period in your prorate calendar. If you retire the asset before it is fully reserved, then Oracle Assets uses the prorate date from the retirement convention to determine how much depreciation to take in the asset's last year of life.

If you retire an asset before it is fully reserved, Oracle Assets uses the **retirement convention** to determine how much depreciation to take in the last year of life based on the retirement date.

Important: Remember that the prorate convention, retirement convention, and depreciation method work together to produce the depreciation amounts. You must set up depreciation rates for each prorate period.

User-Defined Conventions

Oracle Assets allows you to create your own prorate conventions.

Example 1

In this example, you create a prorate convention called Half-Quarter, in which you divide each quarter into two periods. This prorate convention requires you to create a total of eight prorate periods (two per quarter):

Prorate Convention	Period	Prorate Date	# of Prorate Periods
Half-Quarter	01-JAN-1998 to 15-FEB-1998	15-FEB-1998	8
Half-Quarter	16-FEB-1998 to 31-MAR-1998	31-MAR-1998	8

Example 2

In this example, you create a prorate convention called Following Half-Year, in which the prorate date is the first day of the following period:

Prorate Convention	Period	Prorate Date	# of Prorate Periods
Following Half Year	01-JAN-1998 to 30-JUN-1998	01-JUL-1998	2
Following Half Year	01-JUL-1998 to 31-DEC-1998	01-JAN-1999	2

Example 3

In this example, you create another half-year prorate convention called Mid-Half-Year, in which the prorate date falls at the half-way point of the period:

Prorate Convention	Period	Prorate Date	# of Prorate Periods
Mid-Half Year	01-JAN-1998 to 30-JUN-1998	31-MAR-1998	2
Mid-Half Year	01-JUL-1998 to 31-DEC-1998	30-SEP-1999	2

Prorate Convention Setup Examples

Month-to-Month

Month-to-month is the most common prorate convention and calendar setup. In this scenario:

- The depreciation calendar and the prorate calendar are identical: a standard 12-month calendar with each period corresponding to a different month.
 - An asset with a date placed in service any time in a given month will have a full month of depreciation taken for that period.
1. You set up your depreciation calendar on the Asset Calendars window. You enter one depreciation period for each month as follows:

Period	Date
Depreciation Period 1	01-JAN - 31 JAN
Depreciation Period 2	01 FEB - 28 FEB
Depreciation Period 3	01 MAR - 31 MAR
Depreciation Period 4	01-APR - 30-APR
...	...

2. Next, you set up your prorate calendar. Since the prorate calendar and the

depreciation calendar are the same, you can enter the same calendar name for both the depreciation calendar and the prorate calendar.

3. When adding an asset, choose the Current Month prorate convention on the Books window.

In this case, the prorate date is the last day of the period. For example:

Period	Period Dates	Prorate Date
Period 1	01-JAN - 31 JAN	31-JAN
Period 2	01 FEB - 28 FEB	28-FEB
Period 3	01 MAR - 31 MAR	31-MAR
...	...	...

Mid-Month

When you use a mid-month prorate convention, half a month of depreciation is taken in the first and last periods of an asset's life. For a mid-month prorate convention, you need to set up a prorate calendar with semi-monthly periods.

1. Set up your depreciation calendar with monthly periods.
2. Set up a prorate calendar with 24 semi-monthly periods. For example:

Period	Date
Prorate Period 1	01-JAN - 15-JAN
Prorate Period 2	16-JAN - 31-JAN
Prorate Period 3	01-FEB - 15-FEB
Prorate Period 4	16-FEB - 28-FEB
...	...

3. Set up a prorate convention called Mid-Month with 24 semi-monthly periods.
Select the Depreciate When Placed in Service check box if you want to start taking

depreciation in the accounting period that corresponds to the date placed in service, instead of the period that corresponds to the prorate date. This option determines over how many periods to spread the annual depreciation amount. For straight-line depreciating assets, Oracle Assets always starts taking depreciation in the accounting period that corresponds to the prorate date.

4. When adding an asset, you want to override the default prorate convention for the category and use the Mid-Month prorate convention you set up. On the Default Depreciation Rules region of the Asset Categories window, change the prorate convention to Mid-Month.

Period	Period Dates	Prorate Date
Period	Period Dates	Prorate Date
Period 1	01-JAN - 15-JAN	15-JAN
Period 2	15-JAN - 31-JAN	31-JAN
Period 3	01-FEB - 15-FEB	15-FEB
Period 4	16-FEB - 28-FEB	28-FEB
Period 5	01-MAR - 15-MAR	15-MAR
...	...	...

In this example, if an asset has a date placed in service in the first half of January (for example, 04-JAN-1998), an entire month of depreciation is taken for the period of addition. The depreciation is charged for the first prorate period, 01-JAN-1998 through 15-JAN-1998, as well as the second prorate period, 16-JAN-1998.

If the asset is retired in the first half of a depreciation period, no depreciation is taken for the last depreciation period of its life. That is, if the asset is retired one year later on 04-JAN-1999, no depreciation is taken during the depreciation period January 1999. If the asset is retired in the second half of the last depreciation period of the asset's life, half a month of depreciation is taken. For instance, if the asset is retired on 18-JAN-1998, depreciation is taken for the prorate period 01-JAN-1998 through 15-JAN-1998, but not for the prorate period 16-JAN-1998 through 31-JAN-1998.

If an asset is placed in service in the second half of January, for example, 18-JAN-1998, a half month of depreciation is taken in the period of addition (16-JAN-1998 through 31-JAN-1998).

If the asset is retired in the first half of a depreciation period, no depreciation is taken

for the last depreciation period of its life. That is, if the asset is retired on 04-JAN-1999, no depreciation is taken for the depreciation period January 1999. If the asset is retired in the second half of the last depreciation period of the asset's life, a half a month of depreciation is taken. For instance, if the asset is retired on 18-JAN-1999, depreciation is taken for the prorate period 01-JAN-1999 through 15-JAN-1999, but not for the prorate period 16-JAN-1999 through 31-JAN-1999.

Daily

If you need to depreciate on a daily basis, you need to set up daily depreciation and prorate calendars (365 periods).

1. Set up your daily depreciation calendar as follows:

Period	Date
Depreciation Period 1	01-JAN - 01 JAN
Depreciation Period 2	02-JAN - 02 JAN
Depreciation Period 3	03-JAN - 03 JAN
Depreciation Period 4	04-JAN - 04 JAN
...	...

2. Set up a daily prorate calendar.
3. On the Prorate Conventions window, set up a prorate convention called Daily with the same daily periods as the prorate calendar you set up.
4. When adding assets that should use this prorate convention, choose the Daily prorate convention on the Books window.

Related Topics

Specifying Dates for Prorate Conventions, page 11-180

Oracle Assets System Setup, page 11-2

Depreciation Calculation, page 7-21

Specifying Dates for Calendar Periods, page 11-53

Defining Price Indexes

You must set up your price indexes before you can assign them to an asset category and book in the Asset Categories window. You can use one price index for several asset categories in the same or different books. Or you can have a different price index for each asset category in each depreciation book.

The Revalued Asset Retirement Report uses your price indexes to determine the revalued asset cost. It then uses this cost to calculate gains and losses for your retired assets. You can review all of the price indexes you defined by running the Price Index Listing.

If you want to actually revalue the cost of your assets in your books, you must revalue the asset or category.

To define price indexes:

1. Open the Price Indexes window.
2. Enter the name of the Index you want to define.

Tip: The name you enter appears in list of values windows which allow no more than 40 spaces. You may want to limit your name to 40 characters.
3. Enter the index value as a percentage.
4. Enter the dates that this index value is effective. If you leave the To Date blank, the index is effective indefinitely.
5. Save your work.

Related Topics

Setting Up Asset Categories, page 11-188

Revaluing Assets, page 5-29

Asset Management in a Highly Inflationary Economy (Revaluation), page 5-32

Oracle Assets System Setup, page 11-2

Revalued Asset Retirements Report, page 12-60

Price Index Listing, page 12-36

Setting Up Asset Categories

Category information is common for a group of assets. Oracle Assets defaults these depreciation rules when you add an asset, to help you add assets quickly. If the default does not apply, you can override many of the defaults for an individual asset in the Asset Details or Books windows. You set up default values for each category in each book. The default depreciation rules that you set up for a category also depend upon the date placed in service ranges you specify.

Prerequisites

- Set up your Category Flexfield. See: Setting Up the Asset Category Flexfield, page 11-39.
- Set up your Account segment values and combinations. See: Defining Accounts, *Oracle General Ledger User Guide*.
- Set up your depreciation books. See: Defining Depreciation Books, page 11-59.
- Set up your QuickCode values. See: Entering QuickCodes, page 11-50.
- Set up your prorate conventions. See: Specifying Dates for Prorate Conventions, page 11-180.
- Set up your depreciation methods. See: Defining Additional Depreciation Methods, page 11-65.

To set up an asset category:

1. Open the Asset Categories window.
2. Enter a Category name and Description to identify the asset category you want to set up.

Tip: The concatenated name you enter appears in fields which display 20 spaces. You may want to limit your name to 20 characters.

3. Check Enabled if you want to use this category.
4. Check Capitalize if you want to charge items in this category to an asset account when you pay for them and if you want to depreciate items in this category.
5. Check In Physical Inventory if you want assets in this category to be included in physical inventory comparisons.

6. Choose Lease, Leasehold Improvement, or Non-Lease from the Category Type poplist.

You can only enter lease information in the Asset Details window if you assign the asset to a Lease category type.
7. Choose Owned or Leased from the Ownership poplist.
8. Enter the Property Type and Class to which the assets in this category usually belong.

You set up your QuickCode values for Property Type in the QuickCodes window. If you have assets in the United States, enter 1245 for personal property and 1250 for real property.
9. Enter general ledger accounts for the category, page 11-189.
10. Enter general ledger accounts. See: Entering General Ledger Accounts for the Category, page 11-189.
11. Enter default depreciation rules, page 11-191 for each depreciation book for which the category is defined.
12. Enter default depreciation rules for each depreciation book for which the category is defined. See: Entering Default Depreciation Rules for a Category, page 11-191.
13. Save your work.

Related Topics

Adding an Asset Accepting Defaults (QuickAdditions), page 3-18

Adding an Asset Specifying Details (Detail Additions), page 3-20

Adding an Asset Automatically from External Sources (Mass Additions), page 3-44

Asset Setup Processes (Additions), page 3-16

Asset Descriptive Details, page 3-2

Oracle Assets System Setup, page 11-2

Entering General Ledger Accounts for the Category

Tip: You may have to temporarily disable your cross-validation rules and allow dynamic insertion for the Account structure to be able to enter these accounts, since they may not be valid combinations.

Important: If you want to create journal entries using other segments in addition to the natural account from the combination you enter in the Asset Categories window, you must modify the default Account Generator values to fill in those segments from the category.

To enter general ledger accounts for a category:

1. In the Asset Categories window, enter the Book for which you want to set up this asset category.
2. Enter the Asset Cost account for this category and book.

Oracle Assets uses this account to reconcile asset costs to your general ledger. Oracle Assets creates journal entries for this account to reflect additions, retirements, cost changes, revaluations, transfers, reclassifications, and capitalizations.
3. Enter the Asset Clearing account for this category and book.

For manual asset additions and cost adjustments, Oracle Assets uses this account to reconcile your payables system and Oracle Assets.

For mass additions, it uses the complete Account combination that comes over with a mass addition line to reconcile the asset addition or cost adjustment with your payables system.
4. Enter the general ledger Depreciation Expense Segment to which you charge depreciation for assets in this category and book. This is the default value for the account segment of the depreciation expense account in the Assignment window.
5. If you have set up bonus rates, enter the Bonus Expense account. If you do not enter a value in this field, it defaults to the Depreciation Expense account.
6. Enter the Accumulated Depreciation account for this category and book. This account is the contra-account for the asset cost account for this category.
7. If you have set up bonus rates, enter the Bonus Reserve account. If you do not enter a value in this field, it defaults to the Accumulated Depreciation account.
8. Enter the Revaluation Reserve account for this category and book. This account is used for the change in net book value due to revaluation, if you revalue accumulated depreciation.
9. Enter the Revaluation Amortization account for this category and book. This account is used to amortize the revaluation reserve over the remaining life of the asset after you revalue it, if you amortize revaluation reserve.

10. Enter the CIP Cost account for this category and book. This account is used to reconcile CIP asset costs to your general ledger.
11. Enter the CIP Clearing account for this category and book if you entered a CIP Cost account.
12. Enter default depreciation rules, page 11-191 for each depreciation book for which the category is defined.
13. Enter default depreciation rules for each depreciation book for which the category is defined. See: Entering Default Depreciation Rules for a Category, page 11-191.

Related Topics

Asset Accounting, page 8-4

Overview of the Mass Additions Process, page 3-28

Oracle Assets System Setup, page 11-2

Entering Default Depreciation Rules for a Category

To enter default depreciation rules for a category:

1. In the Default Depreciation Rules window, enter the date Placed in Service range for which these category defaults are effective. When you add an asset, the depreciation rules default according to the date placed in service of the asset, the category, and the book.

You can specify as many ranges of default depreciation rules as you wish. If you leave the end date blank, Oracle Assets uses that set of depreciation rules indefinitely. To add a new range of valid depreciation rules, terminate your current record by adding an end date, then choose Edit, New Record from the menu to add the new record.

2. Check Depreciate if you normally depreciate assets in this book and category.

Note: Oracle Assets does not depreciate EXPENSED assets, regardless of the default value you enter in this field.

3. Enter the depreciation Method that you normally use for assets in this book and category:
 - If you enter a **life-based** method, you must enter the asset Life in Years and Months. The method you enter must have the same number of periods as the prorate calendar for this book.

- If you enter a **flat-rate** method, you must enter default values for the Basic Rate and Adjusted Rate that you normally use to depreciate assets in this book and category. If you are defining this category for a tax book, you also can enter a Bonus Rule.
 - If you enter a **units of production** method, you must enter the unit of measure (UOM) and production Capacity that you normally use to depreciate assets in this book and category. If you are defining this category a tax book, enter the UOM and capacity you entered for the corporate book.
4. Enter the bonus rule that you normally use for assets in this book and category. You can use bonus rules for corporate books and tax books, using all depreciation methods except UOM.
 5. Enter the Prorate Convention and Retirement Convention that you normally assign to assets in this book and category.
 6. If you chose Use Default Percent from the Salvage Value poplist in the Book Controls window for this book, you can enter a Default Salvage Value percentage for this category, book, and range of dates placed in service. See: Entering Accounting Rules for a Book, page 11-62 and Defaulting Asset Salvage Value as a Percentage of Cost, page 7-73.

For example, if you want the salvage value to default to 10% of the cost, enter 10 in this field. When you perform transactions affecting asset cost, Oracle Assets uses this default percentage to calculate the salvage value according to the following formula:

$$\text{Salvage Value} = \text{Cost} * \text{Default Percentage}$$

7. If you are defining this category for a tax book, optionally enter either a depreciation expense or cost ceiling.
8. Enter a Price Index if you want to run reports that use the revalued asset cost to calculate gains and losses.
9. Enter a default subcomponent life Rule you want to use to determine the default life of the subcomponent asset based on the life of the parent asset.

Choose one of the following rules:

None (Leave field blank): There is no connection between the life of the subcomponent asset and the parent asset life. Oracle Assets defaults the subcomponent asset life from the asset category.

Same End Date (Without specifying a minimum life): The subcomponent asset becomes fully depreciated on the same day as the parent asset or at the end of the category default life, whichever is sooner. The default subcomponent asset life is based on the end of the parent asset life and the category default life. If the parent

asset is fully reserved, Oracle Assets gives the subcomponent asset a default life of one month.

Same End Date (Specifying a minimum life): The subcomponent asset becomes fully depreciated on the same day as the parent asset, unless the parent asset life is shorter than the minimum life you specify. The subcomponent asset's life is determined based on the end of the parent asset's life, the category default life, and the minimum life. If the parent asset's remaining life and the category default life are both less than the minimum life you enter, Oracle Assets uses the minimum life for the subcomponent asset. Otherwise, it uses the lesser of the parent asset's remaining life and the category default life.

Same Life: The subcomponent asset uses the same life as the parent asset. It depreciates for the same total number of periods. If the subcomponent asset is acquired after the parent asset, it depreciates beyond the end date of the parent asset life.

10. If you choose Same End Date for the subcomponent life rule, you also can specify a minimum life for the subcomponent asset.

If the parent asset's remaining life and the category default life are both less than the minimum life you enter, Oracle Assets uses the minimum life for the subcomponent asset. Otherwise, it uses the lesser of the parent asset's remaining life and the category default life.

11. Check Straight Line for Retirements if you are setting up an asset category with a 1250 property class in a tax book. Oracle Assets uses a straight-line depreciation method in determining the gain or loss resulting from the retirement of 1250 (real) property.

If you check Straight Line For Retirements, enter the straight-line depreciation Method and Life you want to use for the Gain From Disposition of 1250 Property Report. This is the default method for your asset in the Retirements window and in the tax book if you use mass copy.

12. Check the Use Depreciation Limit check box if you want to depreciate an asset beyond its useful life. You can enter the default depreciation limit as a percentage or an amount. See: Depreciating Assets Beyond the Useful Life, page 7-76.

13. Enter the minimum time you must hold an asset for Oracle Assets to report it as a capital gain when you retire it.

If you want Oracle Assets to report a capital gain for all assets in this category when you retire them, enter zero. If you want to report a capital gain for assets which you have held for at least one year, such as for United States federal tax form 4797, enter one in the Years field and zero in the Months field. If you need a different capital gains threshold for different dates placed in service, such as for United States federal tax form 4797, set up the asset category several times for the different date placed in service ranges.

14. If you are defining this category for a tax book, indicate whether assets in this category are eligible for Investment Tax Credit (ITC), and whether assets in this category Use ITC Ceilings.
15. Check the Mass Property Eligible check box if you want to make assets added to this category eligible for mass property treatment.
16. In the Group Asset field, you can enter the group asset to which all assets added to this category will be assigned. If you enter a group asset number in this field, all capitalized and CIP assets using this category will be automatically assigned to the group asset entered.
17. Save your work.

Related Topics

Oracle Assets System Setup, page 11-2
Defining Depreciation Books, page 11-59
Defining Additional Depreciation Methods, page 11-65
Defining Units of Measure, *Oracle Inventory User Guide*
Defining Depreciation Bonus Rules, page 11-74
Defining Price Indexes, page 11-187
Setting Up Depreciation Ceilings, page 11-178
Depreciation Rules (Books), page 3-5
Prorate and Retirement Conventions, page 11-181
Parent Asset Transactions Report, page 12-79
Form 4797 Reports, page 12-55
Asset Category Listing, page 12-32

Defining Distribution Sets

Use this window to define default distribution sets. Then, when you add a new asset using the Detail Additions or Mass Additions process, you can choose a predefined distribution set from a poplist in the Assignments window to quickly assign the appropriate distributions to a new asset.

You can define a distribution set to allocate percentages of asset units to different depreciation expense accounts, locations, and employees. You can define one or more distributions in a set. You can also change the distribution information for a distribution set at any time.

Important: If you change the distribution information for a distribution set, note that it does not affect assets already assigned to that distribution set.

To define a distribution set:

1. Navigate to the Distribution Sets window.
2. Enter a unique Name and a Description of the Distribution Set you want to define.
3. Enter the corporate Book for the distribution set.

Note: You cannot assign distribution sets to assets in tax or budget books.

4. Optionally enter the date placed in service range this distribution set is effective. You can leave the to date blank if you want the distribution set to be effective indefinitely.
5. For each distribution in the set, enter the Units Percent, Depreciation Expense Account, and Location. Optionally enter the Employee Name or Number.

Units Percent: Enter the percentage of the asset you want to assign to this distribution. You can enter 100% for one distribution, or break up the total percentage into several distributions. The total percentage for the set must equal 100%.

6. Save your work.

Related Topics

Adding an Asset Specifying Details (Detail Additions), page 3-20

Reviewing Mass Addition Lines, page 3-45

Lease Analysis

Oracle Assets allows you to test leased assets in accordance with generally accepted accounting principles to determine whether to capitalize and depreciate your leased assets.

Note: The Financial Accounting Standards Board (FASB) has defined certain criteria used to determine whether a lease qualifies for

capitalization. Many other countries use similar test criteria.

In addition, Oracle Assets lets you analyze alternate leasing strategies so you can structure your leases to best meet your business requirements.

Lease Capitalization Test

Many countries require that a leased asset be capitalized and depreciated if any one of the following four criteria is met:

- The ownership of the asset transfers to the lessee at the end of the lease (Test 1)
- A bargain purchase option exists (Test 2)
- The term of the lease is more than 75% of the economic life of the leased asset (Test 3)
- The present value of the minimum lease payments exceeds 90% of the fair market value of the asset at lease inception (Test 4)

When you set up a lease, you can enter information that Oracle Assets uses to automatically calculate the present value of the payment schedule, and to determine if any of the tests listed above are met. If your lease meets one of the four tests, Oracle Assets defaults the lease type to Capitalized, and the asset cost to the lesser of the fair value or the present value of the payment schedule for any assets assigned to the lease.

Payment Schedules

You can define and calculate the present value of a payment schedule. Oracle Assets can accommodate all types of lease payment structures and lease payment types. These include normal annuities, balloon payments, bargain purchase options, bargain renewal options, and guaranteed residual values, penalties, skipped payments, and overlapping payments.

Amortization Schedules

You can create amortization schedules that allocate capital lease payments between principal and interest based on the effective interest rate implicit in the lease contract.

Operating Leases

Oracle Assets tracks your payments under operating leases, or leases which do not meet any of the criteria, for informational purposes. You can use this information to create a schedule of future minimum payments under operating leases, information that may require disclosure in the footnotes of your financial statements.

Lease Evaluation

Oracle Assets allows you to evaluate alternate leasing strategies by manipulating variables such as the periodic lease payment, balloon payments, payment dates, and the fair value of the asset.

Example 1: Set Up Lease

Coastal Landscapes is entering a five year equipment lease with Marine Technologies on March 1, 1993. The fair value of the equipment is \$100,000. The lessee's incremental borrowing rate is 12%. The minimum lease payments consist of monthly payments of \$1,900 of which three payments are due at lease inception. The first regular payment is due on April 1, 1996. There is no bargain purchase option, and the title does not transfer to Coastal Landscapes at the end of the lease. The economic life of the asset is six years.

Before you add any of the assets to the lease, enter the following information in the Lease Details window to set up the lease:

Lease Number	325
Description	Equipment Lease
Lessor	Marine Technologies
Payment Schedule	Marine Lease
Currency	USD
Transfer of Ownership	No
Bargain Purchase Option	No
Lease Type	Capitalized
Lease Term	60
Asset Life	72
Fair Value	100,000

Note: You can choose a predefined payment schedule in the Lease Details window to attach to your lease.

If you have not already defined the lease's payment schedule, choose the Payment Schedule button from the Lease Details window to enter the payment schedule information for this asset and calculate the present value of the payment schedule. Enter the following Payment Schedule information:

Payment Schedule	Marine Lease
Currency	USD
Present Value	-
Lease (inception) Date	3/1/93
Interest Rate	.12
Compounding Frequency	Monthly

Lease Payments

Start Date	Payment Amount	Number	Payment Type	End Date
3/1/93	\$5,700	1		
4/1/93	\$1,900	57	Annuity	12/1/97

You can now choose the Calculate button to determine the present value of the payment schedule. The present value in this example is \$87,945.53. Since \$87,945.53 is less than \$100,000 (fair value), it is also the cost to capitalize if one of the four tests is met.

Oracle Assets updates your lease information after calculation as follows:

Payment Schedule	Marine Lease
Present Value	87,945.53
Lease (inception) Date	3/1/93
Interest Rate	.12

Lease Payments

Start Date	Payment Amount	Number	Period	End Date
3/1/93	\$5,700	1		
4/1/93	\$5,700	57	Monthly	12/1/97

Once you calculate the present value, you can create an amortization schedule by choosing the View Amortization button on the Lease Payments window. In this example, the present value of the payment schedule is \$87,945.53. The total amount to be paid under the lease is \$114,000. The difference of \$26,054.47 represents interest expense that must be recognized over the life of the lease. This example is illustrated below:

Start Date	Payment	Interest (12% yr.) Portion of Payment	Reduction of Principal	Lease Obligation
		(a)	(b)	(c)
3/1/93				87,945.53
3/1/93	5,700.00	0	5,700.00	82,245.53
4/1/93	1,900.00	822.46	1,077.54	81,167.99
5/1/93	1,900.00	811.68	1,088.32	80,079.67
...	...	...	...	...
11/1/97	1,900.00	37.44	1,862.56	1,881.19
12/1/97	1,900.00	18.81	1,900.00	0
Total:	114,000	26,054.47	87,945.53	0

(a) The interest rate per period (in this example, $12\%/12=1\%$) multiplied by the prior period lease obligation, except for the 3/1/93 payment; since no time has elapsed, no interest has accrued.

(b) The Payment amount less (a).

(c) Prior period amount (c) less current period amount (b).

When you save the payment schedule, Oracle Assets automatically returns to the Lease Details window, where you can attach the schedule you just defined to your lease.

Note: To attach the payment schedule to the lease, you must also save the amortization schedule.

Note that Oracle Assets defaults the Present Value field in the Lease Details window from the attached payment schedule. The 90% test has not been met. The lease still qualifies for capitalization, however, as the economic life test was met. The cost to capitalize is \$87,945.53, since this is the lesser of the present value of the payment schedule or the fair value. When you attach this lease to an asset, the Books window displays the cost to capitalize as the default value for current cost of the leased asset. You can change this value if necessary.

Example 2: Set Up Payment Schedule

Fremont Corporation has entered a lease agreement dated January 1, 1990. The term of the lease is five years, requiring equal rental payments of \$20,000 at the beginning of each year. The equipment has a fair value of \$100,000 and an economic life of ten years. The lease contains a bargain purchase option for \$5,000. The lessee's incremental borrowing rate is 10%.

You would enter the following information in the Lease Payments window:

Payment Schedule	Schedule 1
Present Value	
Lease (inception) Date	1/1/90
Interest Rate	.10
Compounding Frequency	Annually

Lease Payments

Start Date	Payment Amount	Number	Payment Type	End Date
1/1/90	\$20,000	5	Annuity	1/1/94

Start Date	Payment Amount	Number	Payment Type	End Date
1/1/95	\$5,000	1		

The present value of the payment schedule is \$86,501.92.

Example 3: Analyze Lease to Maximize Use of Existing Funds

CDI Technology has set aside \$18,000 to finance the lease of chip manufacturing equipment. CDI wants to lease the equipment for four years. The money is currently deposited in an account that earns 10% interest compounded semi-annually. CDI wants the lease to commence immediately, with the first payment due six months from today (1/1/90). What is the maximum amount that CDI can pay in semi-annual lease payments over the next four years without exhausting the fund until the last payment?

You would enter the following information in the Lease Payments window:

Payment Schedule	Chip costs
Currency	USD
Present Value	\$18,000
Lease (inception) Date	1/1/90
Interest Rate	.10
Compounding Frequency	Semi-annually

Lease Payment:

Start Date	Payment Amount	Number	Payment Type	End Date
7/1/90	2,784.99	8	Annuity	1/1/94

Once Oracle Assets calculates the present value, you can create an amortization schedule for the projection by choosing the View Amortization button on the Lease Payments window. In this example, the present value of the payment schedule is \$18,000. The total amount to be paid under the lease is \$22,279.22. The difference of

\$4,279.92 represents interest expense that must be recognized over the life of the lease. This example is illustrated below:

Start Date	Payment	Interest (10% yr.) Portion of Payment	Reduction of Principal	Lease Obligation
		(a)	(b)	(c)
1/1/90				18,000.00
7/1/90	2,784.99	900.00	1,884.99	16,115.01
1/1/91	2,784.99	805.75	1,979.24	14,135.77
7/1/91	2,784.99	706.79	2,078.20	12,057.57
1/1/92	2,784.99	602.88	2,182.11	9,875.46
7/1/92	2,784.99	493.77	2,291.22	7,584.24
1/1/93	2,784.99	379.21	2,405.78	5,178.46
7/1/93	2,784.99	258.92	2,526.07	2,652.39
1/1/94	2,784.99	132.60	2,652.39	0
Total:	22,279.92	4,279.92	18,000.00	0

(a) The interest rate per period (in this example, 10%/2=5%) multiplied by the prior period lease obligation, except for the 3/1/93 payment; since no time has elapsed, no interest has accrued.

(b) The Payment amount less (a).

(c) Prior period amount (c) less current period amount (b).

Related Topics

Entering Leases, page 11-202

Entering Leases

You can use the Lease Details window and the Lease Payments window to perform the following tasks:

- Enter a Lease
- Enter a Payment Schedule
- Create an Amortization Schedule

Enter a Lease

Use the Lease Details window and Lease Payments window to define new leases. You cannot update or delete leases that are in use.

If you want Oracle Assets to test your lease to determine whether to capitalize and depreciate assets assigned to it, enter information in the Capitalization Test region of the Lease Details window. If you have already defined a payment schedule for your lease, attach it to the lease in the Lease Details window. Otherwise, you can navigate to the Lease Payments window to define a payment schedule and to calculate the present value of your lease payments. Oracle Assets depreciates Capitalized leased assets and expenses Operating leased assets. Oracle Assets will capitalize and depreciate leased assets if any one of the following criteria is met:

- Test 1: The ownership of the asset transfers to the lessee at the end of the lease
- Test 2: A bargain purchase option exists
- Test 3: The term of the lease is more than 75% of the economic life of the leased asset
- Test 4: The present value of the minimum lease payments exceeds 90% of the fair market value of the asset at lease inception

When you add leased assets using the Detail Additions process, you can attach the assets to leases you have previously defined. You can assign multiple assets to the same lease.

Create a Payment Schedule

Use the Lease Payments window to enter information Oracle Assets uses to calculate the present value of a given set of lease payments, or to analyze alternative leasing structures. After saving a payment schedule, you can attach it to a lease defined in the Lease Details window.

Create an Amortization Schedule

You create amortization schedules to allocate capital lease payments between principal and interest based on the effective interest rate implicit in the lease contract.

To define a lease:

1. Open the Lease Details window.
2. Enter the Lease Number and a Description.
3. Enter the Lessor.
4. Enter the Lessor Site, which is the location to which the payment will be sent. This field is required if you plan to export lease payments to Oracle Payables.
5. Choose a Lease Type of Capitalized or Operating. If you have already performed a capitalization test on this lease, you can use this field to manually override the test result displayed in the Test Determination field. Only capitalized leases can be set up for automatic lease payment to Oracle Payables.
6. You can choose from a list of predefined Payment Schedules to attach to this lease, or leave this field blank and choose the Payment Schedule button to define a schedule for this lease. See: To define a payment schedule, page 11-205.

If, after the lease start date, you want to change existing lease payments, you must enter a new lease, or manually adjust the individual payment lines to change the existing lease.

7. Enter the payment account. This field is required if you plan to export lease payments to Oracle Payables.

You must enter a lessor site before you can enter a payment account. This is because the lessor site determines the operating unit, which in turn determines the account structure.

8. Optionally enter a payment term.

Note: We strongly recommend that you set up an immediate payment term in Oracle Payables, and that you apply the Immediate payment term to any leases that will use the Exporting Lease Payments feature in Oracle Assets. If this payment term is not provided, then Oracle Payables defaults to the payment term associated with the lessor site. This can cause the payments to be issued late by Oracle Payables. See: *Payment Terms., Oracle Payables User Guide*

9. Enter the Currency you are using for this lease.
10. If you want to test this lease for capitalization, enter the following information in the Capitalization Test region:

Check **Transfer of Ownership** if the lease transfers ownership of the asset to the lessee at the end of the lease.

Check **Bargain Purchase Option** if a bargain purchase option is included in this lease.

Enter the **Lease Term** and the **Asset Life** in months for the leased asset. The Criterion Met check box indicates whether the term of the lease exceeds 75% of the economic life of the leased asset.

Enter the **Fair Value** of the leased asset.

Optionally enter the **Present Value** of the leased asset if you have previously calculated it outside of Oracle Assets. Otherwise, Oracle Assets will automatically populate this field when you select a lease payment schedule for the lease. The Criterion Met check box indicates whether the present value of the minimum lease payments exceeds 90% of the fair market value.

11. If you need to define a payment schedule for this lease, choose the Payment Schedule button. See: To define a payment schedule, page 11-205.

Oracle Assets displays the result of the capitalization test in the Test Determination field. If the lease qualifies for capitalization, Oracle Assets automatically populates the Cost to Capitalize field with the lesser of the fair value of the asset or the present value of the minimum lease payments. This amount also appears as the Current Cost for the asset in the Books window when you perform an asset addition.

12. Choose Done to save your work.

To define a payment schedule:

1. If you are defining a new lease in the Lease Details window, choose the Payment Schedule button. Alternatively, open the Lease Payments window directly from the Navigator window.
2. Enter the date the lease begins. This date must coincide with the first day of the month.
3. Enter the Interest Rate. The interest rate is the lesser of the lessee's incremental borrowing rate or the rate implicit in the lease contract.
4. Enter the Currency you are using for this payment schedule.
5. Enter the Compounding Frequency you want to use. For annuity events, select monthly, quarterly, semi-annual, or annual payment periods.

If you change the Compounding Frequency, Oracle Assets automatically recalculates the End Date for each payment line, but does not change the Start Date.
6. Enter one or more payment lines for your payment schedule. You can enter any

combination of lump sum lease payments and annuities (homogeneous series of lease payments).

Start Date: Enter the date of this payment. The payment date should be the first day of the month.

Amount: Enter the amount of the individual lease payment.

You can leave this field blank for one of the payment lines, and allow Oracle Assets to calculate the amount for you. If you leave this field blank, you must specify a present value for the payment schedule in the Present Value field.

Number: Enter the number of payments you want to make as part of this event.

Payment Type: Choose a payment type of Annuity, Balloon Payment, Bargain Purchase Option, or Bargain Renewal Option.

End Date: The Compounding Frequency, Start Date, and Number of payments you enter determine the end date.

7. After you have defined the payment schedule, choose the Calculate button. Oracle Assets calculates the present value of the payment lines you entered.

When you save the payment schedule and return to the Lease Details window, attach the payment schedule to the lease. Once you attach a payment schedule to a lease, you cannot change it.

8. Save your work.

To create an amortization schedule:

- Once you have calculated a lease payment schedule, choose the View Amortization button to create an amortization schedule for the lease. The difference between the present value of the minimum lease payments and the total amount to be paid under the lease represents the interest expense that must be recognized over the life of the asset.

Exporting Lease Payments to Oracle Payables

Oracle Assets allows you to send lease payments automatically to Oracle Payables. You do this by selecting the lease payment lines to be sent to Oracle Payables in the Export Lease Payments to Payables window, then choosing Export to run the Export Lease Payments to Payables concurrent process. The Export Lease Payments to Payables process imports the lease payment data into the Oracle Payables interface tables AP_INVOICES_INTERFACE and AP_INVOICE_LINES_INTERFACE.

You have the option to select all lease payment lines or only certain lease payment lines to be exported to Oracle Payables. For example, if you have paid the first two months and would like the final payment to be paid by another party, you can select only those lease payment lines that you want processed by Oracle Payables.

To export lease payments to Oracle Payables:

1. Choose Setup > Asset Systems > Leases > Lease Payments to Payables from the Navigator window.
2. Query the lease payments you want to export to Oracle Payables.
3. In the Export Lease Payments to Payables window, check the Export check box for each lease payment you want exported to Oracle Payables. When the Export check box is checked, the Status field updates to POST. If you uncheck an Export check box, the Status field resets to NEW. To check all lease payments, choose Select All from the Edit menu. If you have checked lease payments in error, you can choose Deselect All from the Edit menu.
4. Verify the due date, payment amount, lease number, and lessor name.
5. Enter, verify, or change the lessor site. The lessor site is required to export lease payments to Oracle Payables.
6. Verify or change the invoice number. The invoice number is required to export lease payments to Oracle Payables.
7. Enter, verify, or change the payment account. The payment account is required to export lease payments to Oracle Payables.
8. Optionally enter or change the payment term.

Note: We strongly recommend that you set up an immediate payment term in Oracle Payables, and that you apply the Immediate payment term to any leases that will use the Exporting Lease Payments feature in Oracle Assets. If this payment term is not provided, then Oracle Payables defaults to the payment term associated with the lessor site. This can cause the payments to be issued late by Oracle Payables. See: *Payment Terms., Oracle Payables User Guide*

We strongly recommend that you set up an immediate payment term in Oracle Payables, and that you apply the Immediate payment term to any leases that will use the Exporting Lease Payments feature in Oracle Assets. If this payment term is not provided, then Oracle Payables defaults to the payment term associated with the lessor site. This can cause the payments to be issued late by Oracle Payables. See: *Payment Terms (Oracle Payables User Guide).*

9. Optionally choose View Schedule to view the amortization schedule.

Note: You cannot make changes to an amortization schedule from the Export Lease Payments to Payables window.

10. Optionally choose Save to save changes without exporting the lines to Oracle Payables.
11. When you are ready to send payment lines to Oracle Payables, choose Export to populate the Oracle Payables interface tables, AP_INVOICES_INTERFACE and AP_INVOICE_LINES_INTERFACE.

Related Topics

Lease Analysis, page 11-195

Defining Asset Warranties

You can define and track descriptive information on manufacturer and vendor warranties in Oracle Assets. You define the warranty information in the Asset Warranties window. You can then assign assets to these previously defined warranties in the Asset Details window. You can assign any number of assets to the same warranty. If a warranty has any assets assigned to it, you cannot update or delete the warranty. You can attach the asset to a different warranty at any time.

To define warranties in Oracle Assets:

1. Navigate to the Asset Warranties window.
2. Enter a unique warranty number and a description of the warranty.
3. Optionally enter the start and end dates. If you enter one date, you must also enter the other date. If you specify start and end dates, any asset you assign to this warranty must have a date placed in service that falls between the specified start and end dates.
4. Enter the currency code. The currency code of the warranty must be the same as that of the asset you are assigning to the warranty.
5. Enter a cost of \$0 or greater.
6. Check the Renewable check box if you want the warranty to be renewable. The Renewable check box is unchecked by default. If you do not specify an end date, the Renewable check box is disabled.
7. Optionally enter employee information.

8. Enter supplier information.
9. Save your work.

To assign an asset to a previously defined warranty:

1. Navigate to the Find Assets window.
2. Query the asset you are assigning to the warranty.
3. In the Asset Details window, enter a previously defined warranty number or select a warranty number from the list of values.
4. Save your work.

Overview of Asset Insurance

Oracle Assets provides a window and reports to help you manage insurance values and other insurance information for your assets. You can view and enter insurance information for an asset and assign more than one type of insurance to an asset. Asset insurance information includes insurance categories, current insurance value, and optional updates that affect the insurance value, such as additions or retirements.

Calculation Methods

Oracle Assets uses three methods to calculate the insurance value of an asset:

- **Value as New** - This method calculates the base insurance value of the asset, based on acquisition/production costs. This value can be indexed annually to give a current insurance value. It can also incorporate the indexed value of transactions that affect the asset value.
- **Market Value** - This method calculates the current market value of the asset. Oracle Assets automatically calculates the current value from the net book value of the asset, incorporating indexation factors and the indexed value of any transactions that affect the asset value.
- **Manual Value** - This method allows you to manually enter an insurance value for an asset, usually in agreement with the insurer. With this calculation method you can also manually enter updates to the asset insurance value. Oracle Assets only updates the current insurance value automatically if you enter an optional maintenance date for the asset.

If an asset is partially retired, the insurance calculation process reduces the insurance value of the asset in the same proportion as the current cost is reduced for the partial retirement.

For certain types of assets, such as buildings, the Swiss business practice is that the insurance value may occasionally be reassessed by the insurance company, and manually redefined. Indexation of the insurance value can then recommence from this point. The manual update of an automatically calculated insurance value will only be allowed for these special Swiss assets, which must be flagged in the Asset Insurance window.

Reports

Oracle Assets provides two reports for reviewing asset insurance information. The Asset Insurance Data report lists all insurance policy data for an asset. The Asset Insurance Value report lists insurance values, current insurance amounts, and a calculation of the insurance coverage.

Entering Asset Insurance Information

Use the Fixed Asset Insurance window to enter insurance information for your assets, such as insurance policy information and calculation methods. You can enter multiple insurance policies for an asset for different categories of insurance. Oracle Assets uses the insurance information that you enter here to calculate the current insurance value of the asset.

Prerequisites

- Enter suppliers in Oracle Payables with a supplier type of Insurance Company.
- Set up Asset Price Indexes, if required.
- Set up Insurance Category QuickCodes, such as Fire, Storm, Theft. See: Fixed Asset Insurance Policy Lines Window Reference, page 11-214.
- Set up Hazard Class QuickCodes. See: Fixed Asset Insurance Policy Lines Window Reference, page 11-214.
- Set the profile option FA: Allow Swiss Special Assets to Yes if you are planning to enter Swiss special case assets, such as Swiss buildings.

To enter insurance information for an asset:

1. Navigate to the Fixed Asset Insurance window.
2. Query the assets for which you want to enter insurance information.
3. In the Policy region, enter insurance information, such as Policy Number and Insurance Company.
4. Enter the Calculation Method to use for this asset insurance, either Value as New,

Market Value, or Manual Value.

5. If the asset is a Swiss special-case asset, check the Special Swiss Asset check box.
6. In the Base Index Date field, enter the date that is used as the base date for indexation.
7. In the Insurance Index field, enter the name of the price index that is used to calculate the annual adjusted insurance value.
8. In the Base Insurance Value field, enter the base insurance value of the asset as defined in the insurance policy
9. If you chose the Manual Value calculation method or if you asset is flagged as a Swiss special-case asset, enter the current insurance value. Otherwise, this field displays the current insurance value of the asset, calculated automatically.
10. In the Insured Amount field, enter the amount for which the asset is insured under that policy.

To enter insurance policy information:

1. From the Fixed Asset Insurance window, choose the Lines button to display insurance policy line information.
2. At the Fixed Asset Insurance Policy Lines window, enter insurance policy information, such as the insurance policy line number, the insurance category, and the hazard class.
3. Enter any additional comments in the Comments field.
4. Save your work.

To enter insurance policy maintenance information:

1. From the Fixed Asset Insurance window, choose the Maintenance button.
2. In the Fixed Asset Insurance Policy Maintenance window, update any information that needs to be changed.
3. Save your changes.

Fixed Asset Insurance Window Reference

Assets Region

Asset Number. Contains the asset number of the asset on which you queried.

Description. Contains the description of the asset on which you queried.

Tag Number. Contains the tag number of the asset on which you queried.

Asset Key. Contains the asset key of the asset on which you queried.

Asset Book. Contains the asset depreciation book of the asset on which you queried.

Policy Region

Policy Number. Enter the insurance policy number.

Insurance Company. Enter a valid insurance company name. The list of values for this field will only display suppliers that have been set up in Oracle Payables with a supplier type of Insurance Company.

Supplier Site. Enter the supplier site for the insurance company.

Address. The company address for the supplier site displays automatically.

Calculation Method. Enter the method of calculation to use for this asset insurance:

- Value as New - the base insurance value, which can be indexed annually.
- Market Value - the current market value, calculated as the base insurance value less depreciation, which can be indexed annually.
- Manual Value - a value you enter manually. This calculation method allows you to update the Current Value field.

Note: If you enter a duplicate policy to cover another asset with the same policy number and insurance company as an existing insurance record, the Calculation Method automatically defaults to the method that was defined on the existing policy. The Calculation Method must be the same for all occurrences of the same insurance policy.

Special Swiss Asset. If the asset is a Swiss special-case asset, check the Special Swiss Asset check box. This field will not be enabled unless you have set the profile option FA: Allow Swiss Special Assets to Yes. See: User Profiles in Oracle Assets, page B-1.

If an asset is marked as a Swiss special asset, you will be able to update the Current Insurance Value, Insurance Index, and Base Index Date for the asset to reflect the reassessment of the insurance value by the insurance company.

The insurance company may provide a new series of indexation factors to be applied to the asset. You can record this by defining a new Price Index and then updating the Insurance Index field.

Record the new insurance value provided by the insurance company, by updating the Current Value field and recording the effective date for this new valuation in the Base Index Date field. If the Base Index Date is set to a date in the future, the insurance value will not be indexed again until that date is reached. The period up to this date represents a manual maintenance period for the asset. Any adjustments or retirements affecting the asset value during this period will not be incorporated into the new insurance value when the automatic insurance calculations begin again.

Base Index Date. Enter the date that is used as the base date for indexation. The Base Index Date must be one of the following:

- For new assets, enter the date the asset was placed in service.
- For assets purchased second-hand, enter the original date of construction of the asset.
- For the Manual Value calculation method, you can enter a maintenance date. This represents the date the optional indexation of the manual value begins.
- For updated Swiss assets, record the date on which automatic indexation of the insurance value will begin again. Until this date, you should maintain the insurance value manually

Insurance Index. Enter the name of the price index that is used to calculate the annual adjusted insurance value. If you want the Insurance Calculation process to automatically take account of cost adjustments, retirements, and so on, but you do not want indexation adjustment factors to be used, then enter a value in the Base Index Date field, but do not enter an Insurance Index.

Base Insurance Value. Enter the base insurance value of the asset as defined in the insurance policy. Enter one of the following:

- For new assets, Oracle Assets displays the current cost of the asset. For Value as New assets, you can overwrite this default with another value. For Current Market Value assets, the value is shown in this field but is disabled. The value is disabled because the Base Insurance Value is not used in this asset insurance calculation; instead, the insurance value is derived from the asset net book value. For Manual Value assets, the Base Insurance Value field is disabled because the Base Insurance Value is not used; instead, you can manually enter a Current Value.
- For assets purchased second-hand, enter the original construction cost of the asset.

Current Value. This field displays the current insurance value of the asset, calculated automatically, unless you chose the Manual Value calculation method or your asset is flagged as a Swiss special-case asset.

The value displayed depends upon the calculation method:

- For Value as New, the value displayed is the indexed base insurance value. This value will also be updated to account for transactions, such as adjustments or retirements, that affect the asset value.
- For Market Value, the value displayed is the indexed net book value of the asset (original cost less depreciation). This value will also be updated to account for transactions, such as adjustments or retirements, that affect the asset value.
- For Manual Value, the value displayed can be updated. If you enter a maintenance date for the asset in the Base Index Date field, indexation of the manual value begins with this date, and then follows the Value as New calculation method.
- For Swiss Assets with a calculation method of Value as New, the calculated value will be the same as for all other assets. For Swiss Assets with a calculation method of Current Market Value, the Current Value will calculate the insurance value following the Value as New calculation method and adjust this value using the fraction Asset Remaining Life / Asset Total Life. Also note that the calculated Current Value for Swiss Assets can be manually updated.

Insured Amount. Enter the amount for which the asset is insured under that policy. The information in this field is for reference only and is not used in the Oracle Assets calculations.

Last Indexation Date. This field displays the end date of the closed depreciation period for which the indexation process was last run.

Buttons

Maintenance. Use the Maintenance button to launch the Fixed Asset Insurance Policy Maintenance window.

Lines. Use the Lines button to launch the Fixed Asset Insurance Policy Lines window

Related Topics

Overview of Asset Insurance, page 11-209

Entering Asset Insurance Information, page 11-210

Fixed Asset Insurance Policy Lines Window Reference

Line. Enter the insurance policy line number for the category of insurance covered by the policy. The combination of policy number and policy line number must be unique. You cannot enter duplicate line numbers on the same policy, even if there are multiple occurrences of the same policy to cover a number of assets.

Insurance Category. Enter the insurance category in the Insurance Category field. Note that an asset can only be insured once for each category of insurance, even if it is

covered by multiple insurance policies. You must have already defined your insurance category lookup values for the lookup type FA_INS_CATEGORY (Application Developer: Application > Validation > QuickCodes > Special).

Hazard Class. Enter the hazard class assigned to this policy line. You must have already defined your hazard class lookup values for the lookup type FA_INS_HAZARD (Application Developer: Application > Validation > QuickCodes > Special).

Comments. Enter any additional comments in the Comments field.

Related Topics

Overview of Asset Insurance, page 11-209

Entering Asset Insurance Information, page 11-210

Fixed Asset Insurance Policy Maintenance Window Reference

Use the Fixed Asset Insurance Policy Maintenance window to update the information for an insurance policy that covers more than one asset. The Fixed Asset Insurance Policy Maintenance window applies the policy information changes to all the assets covered by that policy.

Policy Number. This field defaults to the policy number for the current policy record. You can update the Insurance Company and Supplier Site for this policy. You can also update the Calculation Method, as long as the automatic calculation routine has not yet been run for any assets covered by this policy.

Insurance Company. This field displays the current insurance company for the policy number. In this window, you can update the Insurance Company.

Supplier Site. This field displays the current supplier site for the policy number. In this window, you can update the Supplier Site for this policy.

Calculation Method. This field displays the current calculation method for the policy number. From this window, you can update the Calculation Method, as long as the automatic calculation routine has not yet been run for any assets covered by this policy.

Related Topics

Overview of Asset Insurance, page 11-209

Entering Asset Insurance Information, page 11-210

Calculating Asset Insurance

Use the Insurance Calculation Routine program to automatically update the current insurance values of your assets. The Insurance Calculation Routine program takes into account indexation factors or transactions that affect the asset value, such as cost adjustments and retirements.

Normally, you should run the Insurance Calculation Routine program on a yearly basis to update all your asset insurance values.

If you run the program part way through a year, the calculation process will run up to the end of the last closed period in that year (i.e. the last period for which depreciation has been run). You can then run the process again later in the year, when it will incorporate any new cost adjustments, retirements, or reinstatements since the last run date, and it will also use a new indexation factor if the factor has changed since the last run date.

The Insurance Calculation Routine program does not produce any output. When the program finishes, the program updates the insurance values for all selected assets. You can review the new insurance values in the Asset Insurance window or by running the Asset Insurance Values report. See: Insurance Value Detail Report, page 12-35

Prerequisites

- Set up insurance policy details using the Asset Insurance window. See: Overview of Asset Insurance, page 11-209.
- Run depreciation for at least one period of the year for which you are running the process. See: Running Depreciation, page 7-2
- Set up indexation factors for the year for which you are running the process. If you do not define an index factor for that year, the process will use the latest available index factor. See: Defining Price Indexes, page 11-187.

To run the Insurance Calculation Routine program:

1. Navigate to Assets > Insurance > Insurance Calculation Routine to open the Submit Request window.

See: Submitting a Request, *Oracle Applications User's Guide*

2. In the Parameters window, enter the depreciation book.
3. Enter the fiscal year for the report.

If you run the process for a year where all the depreciation periods are not yet closed, the process will run up to the end of the last closed period within the year. Before running the insurance calculation process, you must run depreciation for at least one period in this year. You cannot run the process for years prior to the current open year.

4. Optionally enter the insurance company.

If you do not enter a value, the report includes assets insured by all insurance companies. The list of values for this field will display suppliers that have been set up in Oracle Payables with a supplier type of Insurance Company.

5. Optionally enter an asset number range.

Reviewing Asset Insurance Information

Oracle Assets provides two reports to help you monitor your insurance information.

Insurance Data Report

Use the Insurance Data report to review insurance details for assets and to verify that the assignments for insurance records are correct. The Insurance Data report prints all insurance details for the selected assets.

Insurance Value Detail Report

Use the Insurance Value Detail Report to review calculations of insurance coverage for selected assets. The Insurance Value Detail Report prints all insurance amounts for the selected assets and displays totals at Balancing Segment level, Insurance Calculation Method level, Insurance Company level, and Insurance Policy Number level. The insurance coverage calculation indicates the differences between insured amounts and current insurance values.

Related Topics

Calculating Asset Insurance, page 11-215

Insurance Data Report, page 12-35

Insurance Value Detail Report, page 12-35

Standard Reports and Listings

This chapter covers the following topics:

- Running Standard Reports and Listings
- Variable Format Reports
- Using Reports to Reconcile to the General Ledger
- Common Report Parameters
- Common Report Headings
- Budget Reports
- CIP Reports
- Asset Listings
- Maintenance Reports
- Setup Data Listings
- Depreciation Reports
- Accounting Reports
- Responsibility Reports
- Tax Reports
- Transaction History Report
- Additions Reports
- Mass Additions Reports
- Adjustments Reports
- Transfers Reports
- Reclassification Reports
- Retirements Reports
- Mass Transaction Reports

- Country-Specific Reports

Running Standard Reports and Listings

Use Oracle Assets standard reports and listings to keep track of your assets, and to reconcile Oracle Assets to your general ledger.

Oracle Assets standard reports and listings include both standard fixed format reports and standard variable format reports. You run standard reports and listings from Oracle Assets or from the Application Desktop Integrator (ADI) Request Center.

- Oracle Assets standard reports show the balancing segment and the cost center from the distribution line, and the natural account from the asset category or book. The reports show these values even if you modify the Account Generator process or the Subledger Accounting Account Derivation Rules to create journal entries using different segment values.
- Many Oracle Assets reports show the correct information for a period only if that period is closed.
- When you run reports for assets using bonus rules, the bonus depreciation is included in the depreciation expense column and the bonus reserve is included in the accumulated depreciation column.

Running Standard Fixed Format Reports and Listings from Oracle Assets

You can run a single report, or submit a request set to submit several reports as a group.

To run a standard report, listing, or request set:

1. Open the Submit Requests window.
2. Choose whether to run a request or request set, then choose the request or request set you want to run.
3. Enter the request parameters.
4. Choose Submit to submit your request.
5. Review the status of your request.

For information on running variable format reports, see: Variable Format Reports, page 12-3.

Related Topics

Using Reports to Reconcile to the General Ledger, page 12-7

Defining Request Sets, *Oracle Applications User's Guide*

Submitting a Request, *Oracle Applications User's Guide*

Common Report Parameters, page 12-17

Request Center (*Oracle Applications Desktop Integrator User's Guide*)

Variable Format Reports

Many of the Oracle Assets reports are available as variable format reports, which means you can view and manipulate the report data in the desktop application of your choice. For example, you can download the information into Microsoft Excel and sort, analyze, and manipulate the report data using familiar spreadsheet features. You can also format the report as an HTML file and place it on your Web server or directly into the database for general access.

To create a variable format report, an attribute set that contains formatting instructions is applied to Oracle Assets report data. You also have a variety of options to publish your report.

In Oracle Applications, attribute sets are defined using the RXi Report Administration Tool. In Applications Desktop Integrator, you can apply ADI defined attribute sets to format and publish your report from the Request Center.

Each Oracle Assets variable format report has two submission options:

- One-Step - You generate, apply an attribute set, and publish your report, all in one step.

Note: In the list of values on the Submit Request window, for reports you run using the one-step process, the title of the report is followed by RXi. For example, Mass Additions Report: RXi.

- Two-Step - You can generate your report and note the concurrent request ID. Use this ID to apply an attribute set in:

ADI - apply an ADI defined attribute set using the Request Center to publish your report.

Oracle Applications - apply an attribute set defined by the RXi Report Administration Tool. Concurrent processing applies the attribute set to your generated report. Additional parameters are applied to publish your report.

Note: In the list of values on the Submit Request window, for reports you run using the two-step process, the title of the report is preceded by RX-only. For example, RX-only: Mass Additions Report.

To generate and publish a variable format report using the one-step process:

1. Navigate to the Submit Request window and select the variable format report you want to run (report title is followed by RXi).
2. Enter the parameters in the Parameters window.
3. Choose OK.
4. Submit your request.

Your one-step report will be published automatically.

Note: Two concurrent request IDs are created: one initial ID to generate your report and a second ID to apply formatting and to publish your report.

To generate and publish a variable format report using the two-step process:

1. Navigate to the Submit Request window and select the variable format report you want to run (report title is preceded by RX-only).
2. Enter the parameters in the Parameters window.
3. Choose OK.
4. Submit your request. Note the concurrent request ID for your request.
5. Navigate to the Submit Request window and select Publish RXi Report.
The Parameters window appears.
6. Enter the Request ID.
7. Specify the Attribute Set you want to apply to your report.
8. Specify the Output Format: Text, HTML, CSV, or Tab Delimited.

Your report will be published as specified.

To publish a variable format report in ADI using the two-step process:

1. Navigate to the Submit Request window and select the variable format report you want to run (report title is preceded by RX-only).
2. Complete the remaining parameters and submit your request.
3. Note the Concurrent Request ID for your report.
4. Launch the Request Center and log onto the database where your generated report is stored.
5. Select the report with your Request ID from the list under the Completed tab.
6. From the Request Center toolbar, choose the Publishing button.
The Report Submission and Publishing window appears.
7. Apply an ADI defined attribute set and complete the remaining fields in the Report Submission and Publishing window.
8. Choose OK to publish your report.

Related Topics

Oracle Applications Desktop Integrator User's Guide

Oracle Financials RXi Report Administration Tool User's Guide

Comparing Variable Format and Fixed Format Reports

Many of the fixed format and variable format reports contain the same information.

The following table lists the standard variable format reports available in Oracle Assets and the corresponding standard fixed format reports. Note that many of the variable format reports include functionality of two or more fixed format reports and could include additional features.

Variable Format Report	Corresponding Fixed Format Reports
Accumulated Depreciation Balance Report	Reserve Detail Report Reserve Summary Report
Additions by Date Place in Service Report	Annual Additions Report

Variable Format Report	Corresponding Fixed Format Reports
Additions by Period Report	Asset Additions Report
Additions by Responsibility Reports	Asset Additions Responsibility Report
Asset Cost Balance Report	Cost Detail Report Cost Summary Report
Asset Listing by Period Report	None
Capitalizations Report	CIP Capitalization Report
CIP Cost Balance Report	CIP Detail Report CIP Summary Report
Cost Adjustments Report	Cost Adjustments by Source Report Cost Adjustments Report Financial Adjustments Report Parent Asset Transactions Report
Cost Clearing Reconciliation Report	Cost Clearing Reconciliation Report
Fixed Assets Book Report	None
Hypothetical What-if Report	None
Mass Additions Report	Delete Mass Additions Preview Report Mass Additions Delete Report Mass Additions Create Report Mass Additions Invoice Merge Report Mass Additions Invoice Split Report Mass Additions Posting Report Mass Additions Purge Report Mass Additions Status Report Unposted Mass Additions Report

Variable Format Report	Corresponding Fixed Format Reports
Mass Reclassification Review Report	None
Physical Inventory Comparison Report	None
Physical Inventory Missing Assets Report	None
Property Tax Report	Property Tax Report
Reclassifications Report	Asset Reclassification Report Asset Reclassification Reconciliation Report
Reserve Ledger Report	Journal Entry Reserve Ledger Report
Retirements Report	Asset Retirements by Cost Center Report Asset Retirements Report Reinstated Assets Report
Revaluation Reserve Balance Report	Revaluation Reserve Detail Report Revaluation Reserve Summary Report
Transfers Report	Asset Transfers Report Asset Transfer Reconciliation Report Asset Disposals Responsibility Report
What-If Depreciation Analysis Report	None

Related Topics

Oracle Applications Desktop Integrator User's Guide

Oracle Financials RXi Report Administration Tool User's Guide

Using Reports to Reconcile to the General Ledger

All Reconciliation to the General Ledger reports require you to run the Create Accounting Process successfully for the periods or dates involved as a prerequisite.

You can use reports to reconcile journal entries to your general ledger accounts. The following sections illustrate the relationships among Oracle Assets accounting reports:

- Reconciling Journal Entries to General Ledger Accounts, page 12-8
- Reconciling Asset Cost Accounts, page 12-8
- Reconciling CIP Cost Accounts, page 12-9
- Reconciling Reserve Accounts, page 12-11
- Reconciling Depreciation Expense Accounts, page 12-13
- Tracking and Reconciling Mass Additions, page 12-14

Reconciling Journal Entries to General Ledger Accounts

Use the Unposted Journals Report in Oracle General Ledger, to match GL batch totals with the asset batch totals found in the Subledger Accounting Account Analysis report.

Related Topics

Unposted Journals Report, *Oracle General Ledger User Guide*

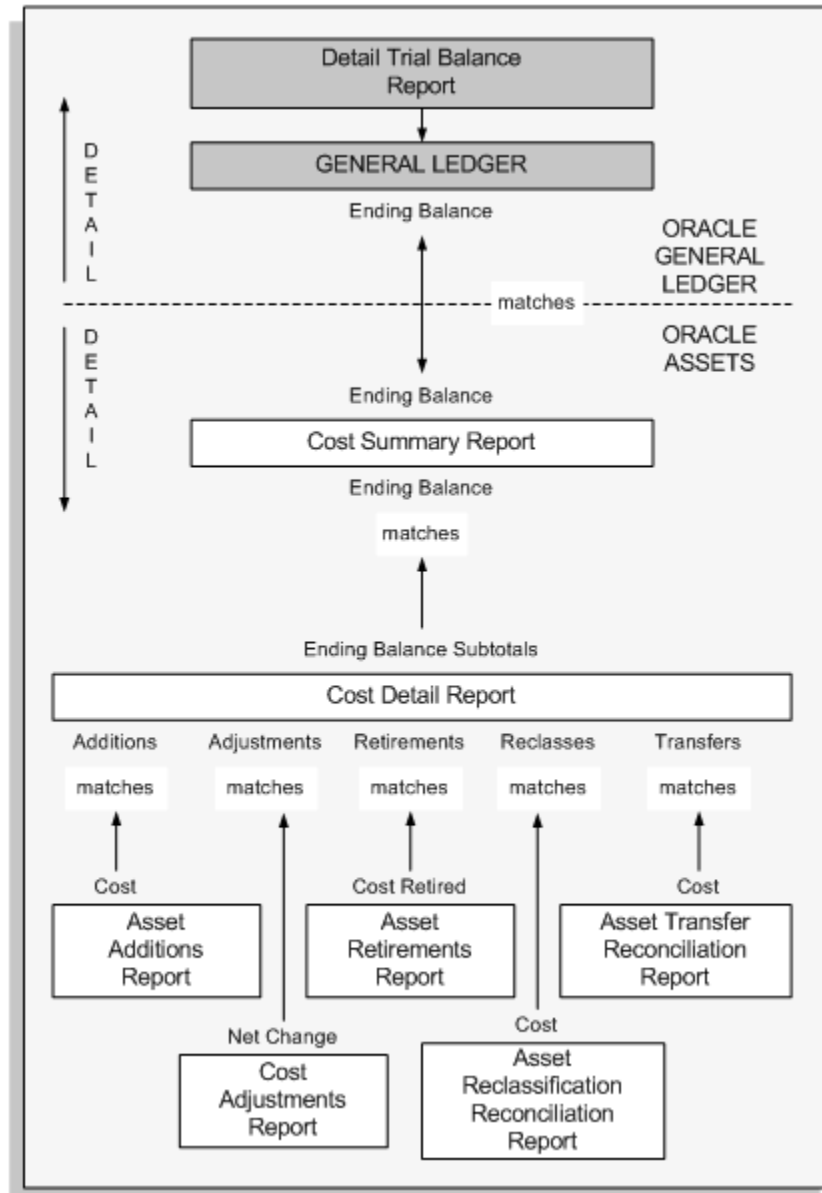
Account Analysis Report, *Oracle Subledger Accounting Implementation Guide*

Reconciling Asset Cost Accounts

Steps to reconcile asset cost accounts:

1. In Oracle General Ledger, match the ending balances in the Detail Trial Balance report with the ending balances in the ledger Subledger Accounting Account Analysis report.
2. Match the general ledger ending balances with those of the Cost Summary Report.
3. Match the ending balances of the Cost Summary Report with those of the Cost Detail Report.

Match the individual source amounts of the Cost Detail Report to the detail reports in the next steps.
4. Match additions to cost in the Asset Additions report.
5. Match adjustments to net change in the Cost Adjustment Report.
6. Match retirements to cost retired in the Asset Retirements Report.
7. Match reclasses to cost in the Asset Reclassification Reconciliation Report.
8. Match transfers to cost in the Asset Transfer Reconciliation Report.



Related Topics

Cost Summary and Detail Reports, page 12-42

Reconciling CIP Cost Accounts

Steps to reconcile CIP cost accounts:

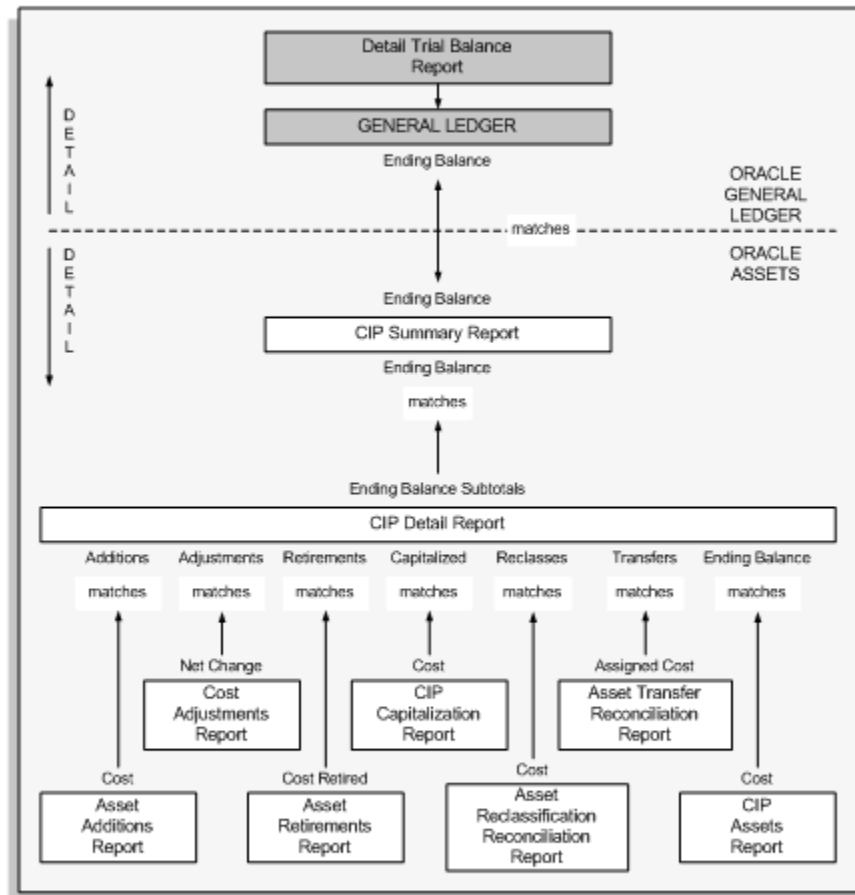
1. In Oracle General Ledger, match the ending balances in the Detail Trial Balance Report with the ending balances in the Subledger Accounting Account Analysis

report..

2. Match the general ledger ending balances with those of the CIP Summary Report.
3. Match the ending balances of the CIP Summary Report with those of the CIP Detail Report.

Match the individual source amounts of the CIP Detail Report to the detail reports in the next steps.

4. Match additions to CIP cost in the Asset Additions report.
5. Match adjustments to CIP net change in the Cost Adjustment Report.
6. Match retirements to CIP cost retired in the Asset Retirements Report.
7. Match capitalized to CIP cost in the CIP Capitalization Report.
8. Match reclasses to CIP cost in the Asset Reclassification Reconciliation Report.
9. Match transfers to CIP cost in the Asset Transfer Reconciliation Report.
10. Match ending balances to CIP cost in the CIP Asset Report.



Related Topics

CIP Summary and Detail Reports, page 12-42

CIP Reports, page 12-22

Reconciling Reserve Accounts

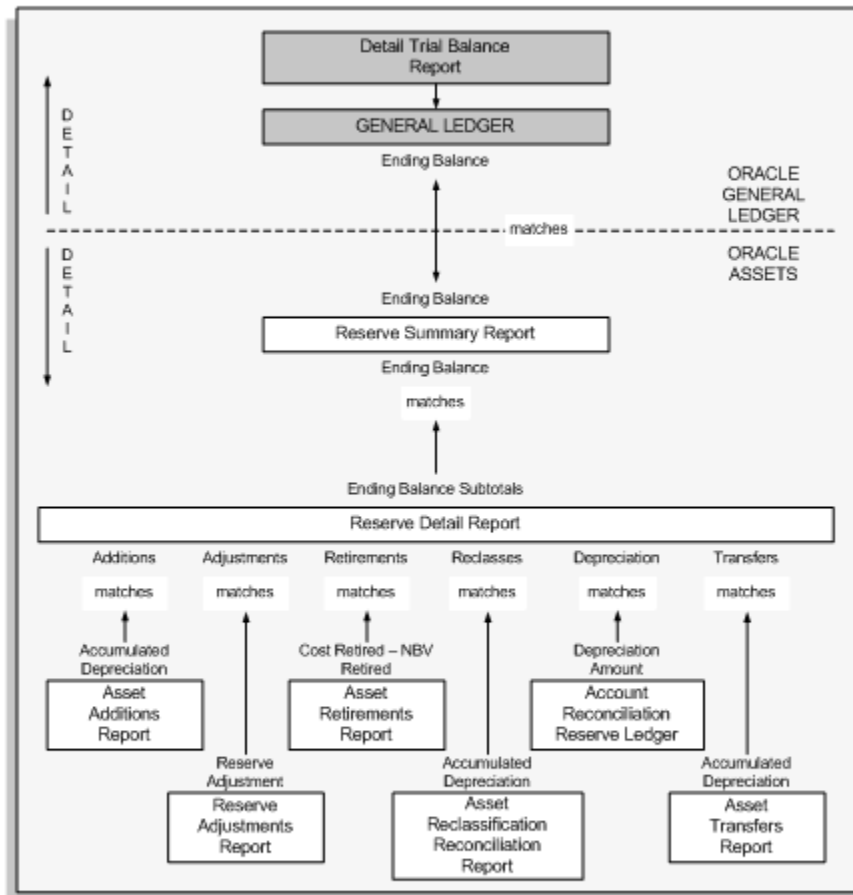
Steps to reconcile reserve accounts:

1. In Oracle General Ledger, match the ending balances in the Detail Trial Balance

Report with the ending balances in the Subledger Accounting Account Analysis Report.

2. Match the general ledger ending balances with those of the Reserve Summary Report.
3. Match the ending balances of the Reserve Summary Report with those of the Reserve Detail Report.

Match the individual source amounts of the Reserve Detail Report to the detail reports in the next steps.
4. Match additions to accumulated depreciation in the Asset Additions report.
5. Match adjustments to reserve adjustment in the Reserve Adjustments Report.
6. Match retirements to cost retired and NBV retired in the Asset Retirements Report.
7. Match reclasses to accumulated depreciation in the Asset Reclassification Reconciliation Report.
8. Match depreciation to depreciation amounts in the Account Reconciliation Reserve Ledger report.
9. Match transfers to accumulated depreciation in the Asset Transfer Reconciliation Report.



Related Topics

Account Analysis Report, *Oracle Subledger Accounting Implementation Guide*

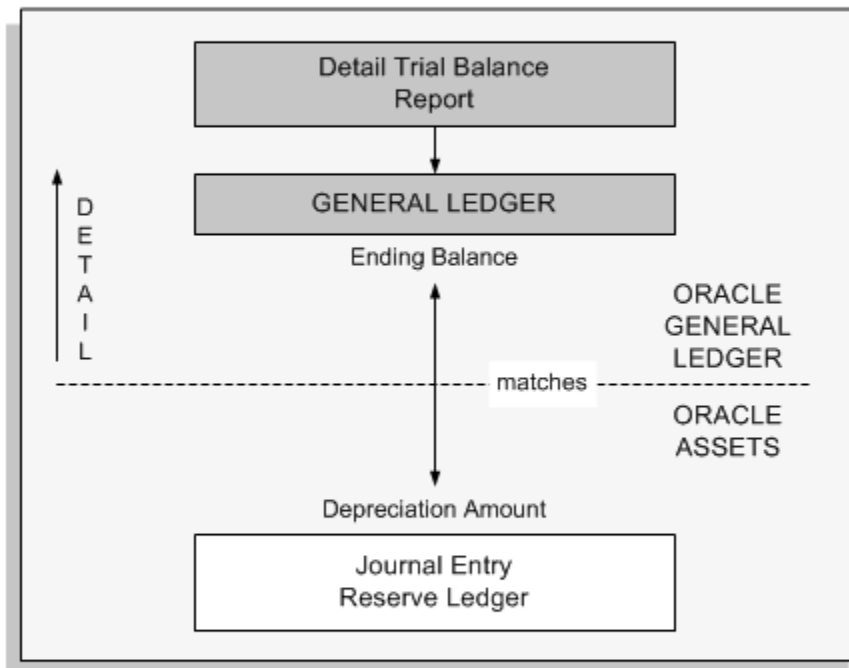
Reserve Summary and Detail Reports, page 12-47

Reconciling Depreciation Expense Accounts

In Oracle General Ledger, use the Detail Trial Balance Report to match with the ending balances for the Subledger Accounting Account Analysis Report.

Use the Journal Entry Reserve Ledger report to match the depreciation balances with

the ending GL depreciation balances.



Related Topics

Account Analysis Report, *Oracle Subledger Accounting Implementation Guide*

Journal Entry Reserve Ledger Report, page 12-46

Tracking and Reconciling Mass Additions

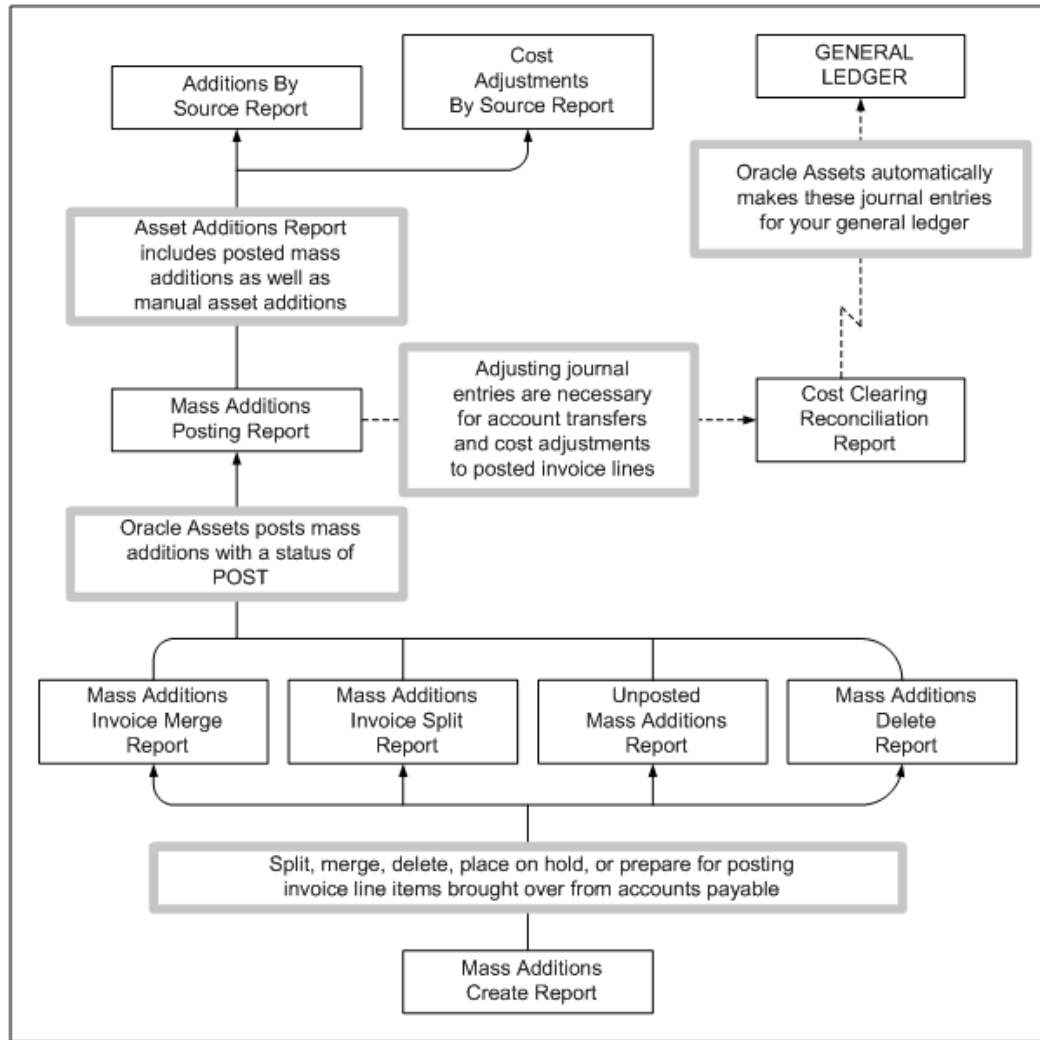
You can use reports to track your mass additions from the time you bring them over from your accounts payable system to the time you post them into Oracle Assets:

Steps to reconcile Mass Additions:

1. Match asset journal amounts found in your general ledger with those in the Cost Clearing Reconciliation Report Oracle Assets automatically makes these journal entries for your general ledger.
2. Match amounts in the Cost Clearing Reconciliation Report with those in the Mass Additions Posting Report. Adjusting journal entries are necessary for account transfers and cost adjustments to posted invoice lines.
3. Match amounts in Mass Additions Posting Report with those of the Mass Additions Invoice Merge Report, Mass Additions Invoice Split Report, Unposted Mass Additions Report and Mass Additions Delete Report. Oracle Assets posts mass additions with a status of post.

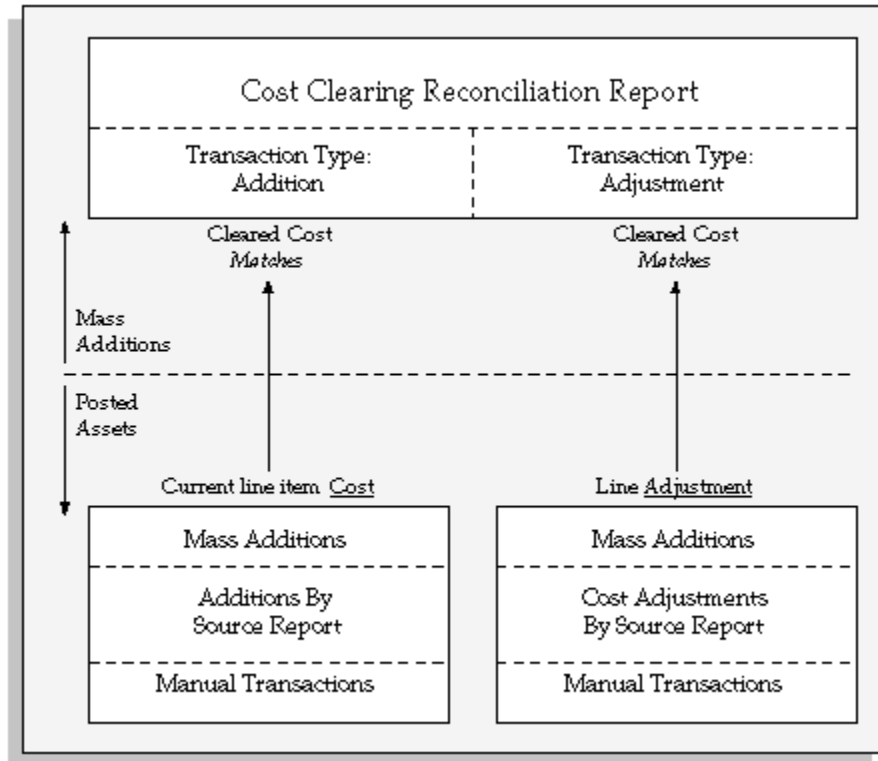
You can also match amounts in the Mass Additions Posting Report with those in Additions by Source Report and Cost Adjustments By Source Report. The Asset Additions Report includes posted mass additions as well as manual asset additions.

4. Match amounts in the Mass Additions Invoice Merge Report, Mass Additions Invoice Split Report, Unposted Mass Additions Report and Mass Additions Delete Report with amounts in the Mass Additions Create Report. Split, merge, delete, place on hold, or prepare for posting invoice line items brought over from accounts payable.



Use the Cost Clearing Reconciliation Report to match additions with those found in the Additions By Source Report.

Use the Cost Clearing Reconciliation Report to match adjustments with those found in the Cost Adjustment By Source Report.



Related Topics

Overview of the Mass Additions Process, page 3-28

Common Report Parameters

The following are report parameters common to many Oracle Assets reports:

Book/ACE Book/AMT Book/Budget Book/Federal Book/Tax Book Enter the depreciation book for which you want to run the report.

Fiscal Year Enter the fiscal year for which you want to run the report.

Fiscal Year Name Enter the fiscal year name for which you want to run the report.

From/To Account Enter the account range for which you want to run the report.

From/To Asset Number Enter the asset number range for which you want to run the report.

Note: Oracle Assets sorts asset numbers alphanumerically. Since an asset number can include characters and numbers, the report selects assets based on how the asset numbers compare alphanumerically, not numerically, to the range you selected. For example, this type of

comparison places the asset number 100 between 1 and 5.

The lowest and highest values in a range depend on your operating system. The lowest value is either the character A or the number 0. If the lowest value is character A, then the highest value is the number 9. If the lowest value is the number 0, then the highest value is the character Z. You must determine which combination is correct for your computer system.

From/To Cost Center Enter the cost center range for which you want to run the report.

From/To Date Placed In Service Enter the date placed in service range for which you want to run the report.

From/To Period Enter the period range for which you want to run the report. For accounting reports, you must have run depreciation for this period.

Period Enter the period for which you want to run this report. For accounting reports, you must have run depreciation for the period.

Related Topics

Running Standard Reports and Listings, page 12-2

Common Report Headings

The following are report headings common to many Oracle Assets reports:

Basis Reduction Amount: ITC Basis X Basis Reduction Rate

Comments: Some Mass Additions reports print the comments you entered in the Prepare Mass Additions window.

Company: The balancing segment to which you assigned these assets. Assets that you share among different companies are included in several lines of the report.

Cost: The current cost of the asset.

Cost Retired: Total cost retired.

Date Retired: The date the retirement actually occurred, not the date you entered the transaction into Oracle Assets.

Depreciation Amount: The depreciation taken for the period you selected.

Depreciation Reserve: The total depreciation calculated for the asset (as of the accounting period you selected, if you entered a Period as a parameter for this report). Also known as accumulated depreciation.

Expense Account: The depreciation expense account number of the asset.

Fiscal Year: The fiscal year you placed the asset in service, if you placed the asset in

service during the fiscal year you requested. For assets placed in service in years prior to the fiscal year you selected, the Form and Adjusted Form 4562 reports print "Previous".

From/To Date: The date range effective.

Gain/Loss: The gain or loss realized upon retirement. Oracle Assets prorates the gain or loss according to the number of units disposed from the cost center, location, and employee.

Gain/Loss = Proceeds of Sale - Cost of Removal - Net Book Value Retired - Revaluation Reserve Retired

In Physical Inventory: If this is set to yes for a particular asset, it indicates that the asset is set up to be included in physical inventory (the In Physical Inventory check box is checked).

Invoice Number: The invoice number your accounts payable department used to pay for the asset. If you created this asset from Oracle Payables using Mass Additions, Oracle Assets prints the invoice number.

ITC Basis: The lesser of the current cost or the applicable ITC ceiling for the asset.

ITC Amount: ITC Basis X ITC Rate

Life: Years and Months: The life in years and months (for assets using life-based methods). For assets using flat-rate depreciation methods, the report prints the adjusted rate plus the bonus rate as a percentage.

Mass Transaction Number: Unique reference number of the revaluation definition.

Net Book Value Retired: The asset's net book value at retirement.

Net Book Value = Recoverable Cost - Accumulated Depreciation

Original Cost: Fraction of the cost assigned to this balancing segment when you added, mass copied, or capitalized the asset. Includes any adjustments before you depreciated the asset for the first time.

Owner: Name of the employee who is responsible for the asset.

Payables Batch Name: Invoice batch name that originated the mass addition.

Period Name: The period to which the depreciation expense or production amount applies.

Period Number: The number of the period. All periods within a calendar are numbered sequentially. The first period of the fiscal year is number 1.

Proceeds of Sale: Amount for which you sold the asset.

Transaction Number: The reference number that uniquely identifies this transaction.

Vendor Name: The name of the vendor whose invoice originated the asset or mass addition

Related Topics

Running Standard Reports and Listings, page 12-2

Budget Reports

Use the budget reports to review your capital budgets.

Budget Report, page 12-20

Budget-To-Actual Report, page 12-20

Capital Spending Report, page 12-21

Budget Report

Use this report to review the annual capital budget by category for each of your cost centers. The report is sorted by company, cost center, and category. It prints totals for each category, cost center, and company.

You must enter a budget Book when you request this report.

Selected Headings

Cost: The budget amount assigned for the period.

Related Topics

Budget-To-Actual Report, page 12-20

Capital Spending Report, page 12-21

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Budget-To-Actual Report

This report shows the difference between your budgeted purchases and actual asset purchases. It also separately lists categories to which you have added assets during the period, but for which you have not allocated a budget amount.

The report is sorted by addition type, company, and cost center. It prints totals for each cost center, company, and addition type.

You must enter a Budget Book and Corporate Period when you request this report.

Selected Headings

Type: *Budgeted*, for additions to cost centers and categories with budget amounts, or *Non-Budgeted*, for additions without budget amounts.

Period/Quarter/Year-To-Date Budget: The budget amount for additions in this major category for the period, quarter, and year, if any.

Period/Quarter/Year-To-Date Actual: The total current cost of the assets you purchased in this major category placed in service for the period, quarter, and year.

Period/Quarter/Year-To-Date Variance (%): The percentage difference between your purchases and your budget for this period, quarter, and year, if you entered budget amounts. A negative number indicates that your purchases are more than your budget.

Related Topics

Budget Report, page 12-20

Capital Spending Report, page 12-21

Capital Spending Report

This report compares the cost of your additions before the date you specify with the cost for the whole fiscal year. For actual additions, the report lists the original cost of assets placed in service during the whole fiscal year thus far, and compares it to the cost of assets placed in service before the date you specify. For budgeted additions, the report lists the cost of budget amounts for the whole fiscal year, and compares it to the budget amounts for periods that end before the date you specify. Notice that since the report compares the asset cost when you originally add an asset, it does not reflect any adjustments entered after the period you added the asset.

Important: To list budgeted additions for each depreciation method, you must enter budget information for the full category flexfield combination. If you only enter major category budget information or do not enter any budget information, you can run this report without comparing a budget book.

The report also shows what percentage of your budgeted amount the actual additions for the fiscal year represent. The report sorts by and prints totals for each depreciation method and balancing segment.

For the United States, you can use this report to determine the percentage of asset cost added in the final quarter of your fiscal year. For the Mid-Quarter Convention Rule, if that percentage is greater than 40% of the total asset cost added in that year, all assets must use the mid-quarter convention. Use the Mass Changes window to change the prorate convention of the assets if necessary.

You must enter a Budget Book, Tax Book and Cut-Off Date when you request this report. Enter a date range start date as the cut-off date to compare the cost of assets added before this date to the cost of all additions for the fiscal year. Enter the last day in the third quarter as the cut-off date to determine the percentage of asset cost added in your final quarter.

Selected Headings

Depreciation Method: The tax book depreciation method.

Actual Additions: Cost: The original cost of the assets added in the whole fiscal year.

Actual Additions Before Date Range: Cost: The original cost of the assets added in the fiscal year before the date you requested.

Actual Additions Before Date Range: Percent of Actual: The original cost of assets placed in service before the date you specified as a percentage of the cost for the whole fiscal year.

Budgeted Additions: Cost: The budgeted additions for the whole fiscal year.

Budgeted Additions Before Date Range: Cost: The cost of budgeted additions in the fiscal year before the date you requested.

Budgeted Additions Before Date Range: Percent of Budget: The cost of budget assets placed in service during the date range as a percentage of the cost budgeted for the fiscal year.

Additions to Budget (%): The percentage of actual additions for the fiscal year compared to the total budgeted additions.

Related Topics

Capital Budgeting, page 10-1

Changing Financial and Depreciation Information (Mass Changes), page 5-7

Budget Report, page 12-20

Budget-To-Actual Report, page 12-20

Common Report Headings, page 12-18

CIP Reports

Use the CIP reports to view your CIP assets. To review CIP account information, see CIP Detail and Summary Reports, page 12-42.

Capitalizations Report, page 12-22

CIP Assets Report, page 12-23

CIP Capitalization Report, page 12-23

Capitalizations Report

This report shows the CIP assets that you capitalized during a range of accounting periods

The Cost column on this report matches the Capitalizations column on the CIP Detail

and CIP Cost Balance Report.

You must enter a Book and From/To Period range when you request this report.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

CIP Assets Report

This report shows all the invoice line items and manually entered source line items for your CIP assets. Use this report to review your CIP assets at the end of each accounting period.

The report is sorted by balancing segment, CIP cost account, cost center, and asset number. For assets with multiple invoice lines, the report sorts by supplier number, invoice number, and invoice line number. The report prints totals for each asset if the asset has multiple source lines, and for each cost center, account, and balancing segment as well.

This report provides supporting detail for the CIP Detail Report.

You must enter a Book and Period when you request this report.

Selected Headings

Cost: The Cost column on this report matches the Ending Balance column on the CIP Detail Report.

Related Topics

CIP Capitalization Report, page 12-23

CIP Summary and Detail Reports, page 12-42

Common Report Parameters, page 12-17

CIP Capitalization Report

This report shows the CIP assets that you capitalized during a range of accounting periods. The report is sorted by balancing segment, CIP cost account, cost center, and asset cost account. It prints totals for asset cost account, cost center, CIP cost account, and balancing segment.

The Cost column on this report matches the Capitalizations column on the CIP Detail Report.

You must enter a Book and From/To Period range when you request this report.

Selected Headings

Date Placed in Service: The date you capitalized the CIP asset. Oracle Assets calculates

depreciation using this date and the prorate convention.

Reverse Capitalization: An asterisk (*) denotes a reverse capitalized asset.

Depreciation Method: The default method assigned to the asset category of the Capitalized CIP Asset.

Related Topics

CIP Assets Report, page 12-23

CIP Summary and Detail Reports, page 12-42

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Asset Listings

Use the asset listings to review assets and asset information. For example, you can review all the assets in an asset category, or all the leased assets you have entered for a book.

Fixed Assets Book Report

This report allows you to print asset information, cost information, and depreciation information, as of a specified period, for a specified asset book, balancing segment, asset account, cost center, and asset type. Use this information to prepare corporate tax returns.

You can also report by minor category.

You must enter a book and period when you request this report. You can optionally enter the balancing segment, account, cost center, category information, and property type.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3

Selected Headings

Units: The number of units.

Depreciation Method: The depreciation method used for the asset.

Date of Acquisition: The date the asset was acquired.

NBV at Beginning of Fiscal Year: The net book value of the asset as of the beginning of the fiscal year.

YTD Depreciation: The year to date depreciation for the asset as of the month for which

the report was run.

Asset Description Listing

Use this listing to review the descriptions assigned to your assets. This helps you standardize your asset descriptions by helping you ensure that similar assets have similar descriptions.

Asset Inventory Report

Use this report to ensure an accurate asset inventory. You can send it to each of your managers periodically to show them the assets under their control. Your managers can use the report as a turnaround document to inform your fixed asset manager of additions, transfers, retirements, and other changes. You can have your managers sign the report to provide you and your auditors with confirmation that your asset inventory is accurate.

The report is sorted by, and prints totals for the balancing segment, cost center, owner, and location.

You must enter a Book when you request this report. Optionally enter a From/To Cost Center range and a From/To Date Placed In Serviceto limit the report output.

Selected Headings

Initials: Space for your cost center managers to approve the report.

Net Book Value: The net book value of the asset as of the last time you ran depreciation.

New: "New" appears if you added this asset within the range of dates you selected.

<Flag>:

- **E:** Expensed item
- **C:** Construction-in-process asset

Asset Listing by Period

This report lists assets according to status. Use this report to track assets for a specific period for internal management purposes and tax reporting purposes. You can list assets and cost information (and where applicable, depreciation information) for these assets, as of a specified period for a specified asset book, balancing segment, and cost center.

You can also report by minor category.

You must enter a book, period, and attribute set when you request this report. You can optionally enter the balancing segment, account, cost center, category information,

property type, net book value, and whether to list only assets that are fully reserved.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Selected Headings

Depreciation Reserve: The year to date depreciation for the asset as of the month for which the report was run.

NBV at Period End: The net book value of the asset as of the period for which the report was run.

Asset Register Report

Use this report to get a snapshot of any asset. The report shows a line with asset information for the corporate book you specify and for each associated tax book. It provides information that is current as of the day you request the report. It does not provide historical information. The report is sorted by asset number.

You must enter a Book and From/To Asset Number range when you request this report.

Note: You should run depreciation before running this report to ensure all of the current period adjustments are reflected in the report output.

Selected Headings

Parent Asset Number/Description: Parent asset information appears if this asset is a subcomponent of another asset.

Property Class: 1245 (personal) or 1250 (real)

Purchase Order Number: The purchase order number that your purchasing department used to approve the purchase of this asset.

Prorate Date: The date the depreciation program uses to determine how much depreciation to take during the first and last years of the asset's life.

Months of Depreciation in First Year: The number of months of depreciation allowed for the asset in its first year of life according to the prorate convention.

Depreciate: Indicates whether you enabled the Depreciate flag in the Books window.

Depreciate When Placed In Service: Yes if Oracle Assets begins depreciating the asset on the date you placed the asset in service, or No if it begins depreciating on the prorate date. This is determined by the prorate convention.

Adjusted Rate (%): The adjusted rate (for assets using flat-rate methods). The basic rate and the adjusting rate determine the adjusted rate. The adjusted rate is used to calculate annual depreciation expense for flat-rate methods.

Adjusted Rate = Basic Rate X (1 + Adjusting Rate)

Depreciate in Last Year: Indicates whether the asset depreciates in the year you retire it. This is determined by the depreciation method.

Period Reserved: The depreciation period in which the asset became fully reserved.

Period Retired: The depreciation period in which the asset was fully retired.

Revaluation Reserve: The change in net book value that occurred due to revaluing the depreciation reserve. If you do not revalue depreciation reserve, Oracle Assets prints the depreciation reserve when you revalued the asset.

Ceiling Name/Ceiling Type: The name and type (depreciation cost, depreciation expense, or investment tax credit) of ceiling that you entered for the asset.

Rate Adjustment Factor: The depreciation rate adjustment factor resulting from any amortized adjustments or revaluations. The depreciation program uses this number to calculate depreciation for assets with amortized adjustments or revaluations.

Cost: It reflects any cost adjustments and revaluations.

Recoverable Cost: The portion of the current cost which may be depreciated. The recoverable cost is defined as:

Recoverable Cost = Current Cost - Salvage Value - ITC Basis Reduction Amount

Depreciable Basis: The depreciable basis that the depreciation program uses to calculate depreciation. The depreciable basis updates when you adjust financial information, revalue the asset, or enter retirements. It is also updated for assets in your tax book when you assign investment tax credits.

Net Book Value: The recoverable cost less the depreciation reserve.

Year-To-Date Depreciation: The fiscal year-to-date depreciation calculated through the last depreciation period.

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Asset Tag Listing

Use this listing to review the tag numbers assigned to your assets.

Assets by Category Report

Use the Assets by Category Report to find and review all the assets in an asset category. The assets are sorted by balancing segment and category in this report. The report prints the total cost for each category and balancing segment.

You must enter a Book when you request this report. If you do not enter an Asset

Category, all categories appear on this report.

Note: This report does not display fully retired assets.

Assets Not Assigned To Any Books Listing and Assets Not Assigned To Any Cost Centers Listing

If you want to calculate depreciation for assets, you must add them to a depreciation book using the Books window, and assign them to the appropriate depreciation expense accounts using the Assignments window.

Use the Assets Not Assigned To Any **Books** Listing to find assets that you have not assigned to any depreciation books. The listing is sorted by asset number.

Use the Assets Not Assigned To Any **Cost Centers** Listing to find assets that you did not assign to any cost centers. The listing is sorted by book and asset number.

Related Topics

Entering Financial Information, page 3-22

Assigning an Asset, page 3-26

Diminishing Value Report

This report shows all assets using a diminishing value depreciation method, a flat-rate method that uses the net book value as the calculation basis. This report is sorted by balancing segment, asset account, and asset number. It prints totals for each asset account and balancing segment.

You must enter a BookandPeriod when you request this report.

Selected Headings

Rate (%): The adjusted rate you assigned to your asset as a percentage.

Cost: The asset cost, or zero if you retired the asset during the fiscal year; the asset appears on this report until the end of the fiscal year.

Previous Years Depreciation: The cumulative depreciation for the asset for all prior fiscal years, or zero if you added the asset during this fiscal year.

Opening Net Book Value: The net book value at the beginning of the current fiscal year, or zero if you added the asset during the fiscal year. The net book value updates if you perform an amortized adjustment or revaluation.

Year-To-Date Depreciation: As of the accounting period you select.

Closing Net Book Value: The net book value at the end of the current fiscal year, or zero if you retired the asset during the fiscal year; the asset appears on this report until the end of the fiscal year.

Related Topics

Defining Additional (Flat-Rate) Depreciation Methods, page 11-65

Common Report Parameters, page 12-17

Expensed Property Report

Use this report to find all your expensed assets. When you added these assets to Oracle Assets, you classified the assets under non-capitalized asset categories. The report is sorted by balancing segment, asset category, and asset number. It prints the current total cost for each category and balancing segment.

You must enter a Book when you request this report.

Fully Reserved Assets Report

Use this report to find the assets that became fully depreciated in a range of accounting periods. The report is sorted by period, balancing segment, asset account, and asset number. It prints totals for each asset account, balancing segment, and period.

The report prints a line for each of the periods the asset is fully reserved which fall in the period range you requested. If you adjust a fully reserved asset, the report only shows the asset in the period you adjusted it if it again becomes fully reserved. If you run the report for a range of periods an asset may appear more than once on the report.

You must enter a Book and From/To Period range when you request this report.

Selected Headings

Depreciation Amount: The depreciation taken in the period the asset became fully reserved.

Year-To-Date Depreciation: The depreciation taken during the current fiscal year.

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Leased Assets Report

Use this report to find all your leased assets. This report is sorted by balancing segment, asset category, and lease number. It prints totals for each category and balancing segment.

You must enter a Book when you request this report.

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Non-Depreciating Property Report

Use this report to locate property that is not depreciating. For these assets, you unchecked the Depreciate check box in the Books window. The report is sorted by, and prints the total cost for each balancing segment, asset type, and asset category.

You must enter a Book when you request this report.

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Parent Asset Report

Use the Parent Asset Report to review the parent-subcomponent relationships among your assets. You associate a parent with a subcomponent in the Asset Details window by entering a parent asset number for the subcomponent asset. Oracle Assets sorts the report by parent asset number.

You must enter a Book and From/To Asset Number range when you request this report.

Related Topics

Adding an Asset Specifying Details (Detail Additions), page 3-20

Common Report Parameters, page 12-17

Physical Inventory Comparison Report

Use the Physical Inventory Comparison Report to display the results of the Physical Inventory Comparison. The report shows discrepancies between the physical inventory data and the Oracle Assets production data, highlighting differences in the location and the number of units. The information in this report is the same as the information you receive when you choose Submit in the Physical Inventory Comparison window. You can run this report for the entire physical inventory, or specify only certain locations or categories.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Selected Headings

Inventory Name: The name of the physical inventory from which you ran this report.

Status: Indicates the status of the asset after the comparison. If the asset has a status of NEW, it indicates the asset has not been compared.

Unit Adjustment: Indicates whether you need to adjust the number of units listed for the asset. If there is no value in this field, the entry has not been compared.

Location Adjustment: Indicates whether you need to change the location of the asset. If the value is NULL, the entry has not been compared.

Related Topics

Physical Inventory, page 5-151

Physical Inventory Missing Assets Report

This report lists all the assets in your Oracle Assets production system that have not been accounted for during physical inventory. Assets are listed on this report when all of the following conditions are true:

- The asset is listed in your production system, but could not be found during the physical inventory process.
- The In Physical Inventory check box is checked.
- The date the asset was placed in service is before the start of the physical inventory.

You must enter the name of the physical inventory for which you want to run this report.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Selected Headings

Inventory Name: The name of the physical inventory from which you ran this report.

Related Topics

Physical Inventory, page 5-151

Maintenance Reports

Use the maintenance reports to view maintenance schedules, warranty, cost, and supplier information for groups of assets.

Asset Maintenance Report

Use this listing to view assets' maintenance schedules, warranty information, and cost and supplier information.

You must enter a book when you request this report. Optional parameters you can enter are the event name, maintenance date ranges, asset number ranges, date-placed-in-service ranges, and asset category.

Selected Headings

Event: The name of the maintenance event, for example, Service or Inspection.

Cost: The cost of the maintenance event.

Maintenance Date: The date the maintenance event took place.

Supplier: The name of the supplier who performs the maintenance event.

Warranty Number: The unique warranty number assigned to the warranty when it was defined in Oracle Assets.

Maintenance Contact: The name of the person responsible for the maintenance task.

Asset Maintenance Report (Variable Format)

Use this listing to view assets' maintenance schedules, warranty information, and cost and supplier information.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Setup Data Listings

Use the setup data listings to view your Oracle Assets setup information. For example, you can review all the asset categories or prorate conventions you have set up.

Asset Category Listing

Use this listing to review all your asset categories. This report prints the following default information for each category:

- Asset, reserve, and expense accounts
- Depreciation method and life (or adjusted rate plus the bonus rate for flat-rate methods)
- Prorate convention

- Price index name, if any

You must enter a Book when you request this report.

Selected Headings

Use Ceilings: Yes if you use depreciation ceilings or investment tax credit ceilings for the asset category.

Related Topics

Setting Up Asset Categories, page 11-188

Bonus Depreciation Rule Listing

Use this listing to review the bonus rules you have set up. Bonus rules specify additional depreciation to take in the early years of an asset's life.

Selected Headings

From/To Year: The fiscal year range during which the bonus rule is effective.

Bonus Rate: The rate allowed for an asset. For example, if you are using a flat-rate depreciation method of 20%, and you allow a 10% bonus rate for 1994 to 1995 and a bonus rate of 15% for 1996, Oracle Assets calculates your depreciation expense as 30% of the cost for 1994 and 1995, and 25% for 1996.

Related Topics

Defining Bonus Depreciation Rules, page 11-74

Calendar Listing

Use this listing to review your calendar periods by fiscal year. You must enter a Fiscal Year Name and Fiscal Year when you request this report.

Related Topics

Specifying Dates for Calendar Periods, page 11-53

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Ceiling Listing

Use this listing to review the depreciation expense, cost, and investment tax credit ceilings you have set up, sorted by ceiling type.

Selected Headings

Ceiling Type: Depreciation Expense, Depreciation Cost, or Investment Tax Credit

Start/End Date: The date range the ceiling is effective.

Year of Life: For depreciation expense ceilings, Oracle Assets prints the year of the asset's life to which the ceiling applies.

Ceiling Amount: The ceiling amount allowed for an asset.

Related Topics

Setting Up Depreciation Ceilings, page 11-178

Database Index Listing

Use the Database Index Listing to examine indexes for each Oracle Assets table, sorted by table name and index name. The listing includes all predefined indexes and any new indexes you create.

Selected Headings

Created: The date the index was created.

Modified: The date the index was last modified.

Unique: Yes if the column is unique within the table, or No otherwise.

Column Name: The columns associated with the index.

Depreciation Rate Listing

Use this listing to review the rates for your life-based depreciation methods. This listing only includes depreciation methods which have 12 prorate periods. Notice that, for methods that use a calculation basis of Cost, the sum of each column must equal one. The listing is sorted by depreciation method and prints the total for each period.

You must enter the short name of the depreciation Method Code and the Life in months for which you want to run the report.

Selected Headings

Straight-Line Method: Yes if this is a straight-line depreciation method.

Depreciate in Year Retired: Yes if it calculates depreciation in the year you retire an asset that uses this depreciation method.

Year: The year of life for which the depreciation rate applies.

Month Placed in Service: The annual depreciation rate that applies to the prorate period.

Related Topics

Defining Additional Depreciation Methods, page 11-65

Insurance Data Report

Use the Insurance Data Report to review insurance details for assets and to verify that the assignments for insurance records are correct. The Insurance Data Report prints all insurance details for the selected assets.

Selected Headings

Insurance Company: The name of the insurance company.

Policy Number: The insurance policy number.

Calculation Method: The calculation method for this asset's insurance valuation.

Insurance Base Value: The base value of the asset.

Related Topics

Overview of Asset Insurance, page 11-209

Calculating Asset Insurance, page 11-215

Insurance Value Detail Report

Use the Insurance Value report to review calculations of insurance coverage for selected assets. The Insurance Value report prints all insurance amounts for the selected assets and displays totals at Balancing Segment level, Insurance Calculation Method level, Insurance Company level, and Insurance Policy Number level. The insurance coverage calculation indicates the differences between insured amounts and current insurance values.

Selected Headings

Policy Number: The insurance policy number.

Date Last Indexed: The last indexation date for the asset within the reported year.

Insurance Base Value: The base value of the asset.

Insurance Value: The current calculated insurance value.

Insurance Amount: The current insured amount.

Coverage: The value of the current insurance coverage (insured amount less current insurance value).

Related Topics

Overview of Asset Insurance, page 11-209

Calculating Asset Insurance, page 11-215

ITC Rates Listing

Use this listing to review the Investment Tax Credit (ITC) rates and ITC recapture rates you have set up. The listing is sorted by tax year and life.

Selected Headings

Tax Year: The tax year when the ITC rate becomes effective.

ITC Rate: The ITC rate that is valid for the asset life and tax year.

Basis Reduction (%): The basis reduction rate for the ITC rate. Oracle Assets reduces the recoverable cost of your asset by this rate.

Year of Retirement: The year of asset life for which the recapture rate applies. If you retire the asset in this year of life, Oracle Assets recaptures ITC using this recapture rate.

Recapture Rate: The recapture rate for the year of life that you retire an asset. Oracle Assets uses this rate to determine the amount of investment tax credit to recapture when you retire an asset.

Related Topics

Defining Investment Tax Credit Rates, page 11-179

Common Report Headings, page 12-18

Price Index Listing

Use this listing to review the price indexes you have set up. The Revalued Asset Retirement Report uses your price indexes to determine the revalued asset cost, which is used to calculate gains and losses for your retired assets.

Selected Headings

From/To Date: The date range the index value is effective.

Index Value (%): The index value that applies to the date range as a percentage.

Related Topics

Defining Price Indexes, page 11-187

Revalued Asset Retirements Report, page 12-60

Prorate Convention Listing

Use this listing to review the prorate and retirement conventions you have set up. You must enter the Fiscal Year Name and Fiscal Year when you request this report.

Selected Headings

Depreciate When Acquired: Yes if assets begin depreciating in the accounting period you place them in service under this convention. No if assets begin depreciating in the accounting period that corresponds to the prorate date instead.

From/To Date: The date placed in service range for which this prorate date applies.

Prorate Date: The date the depreciation program uses to determine how much depreciation to take in the first and last year of an asset's life.

Related Topics

Specifying Dates for Prorate Conventions, page 11-180

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Depreciation Reports

Use the depreciation reports to review depreciation information for your assets.

Related Topics

Assets Not Assigned to Any Books Listing and Assets Not Assigned to Any Cost Centers Listing, page 12-28

Diminishing Value Report, page 12-28

Expensed Property Report, page 12-29

Fully Reserved Assets Report, page 12-29

Non-Depreciating Property Report, page 12-30

Depreciation Projection Report, page 12-38

Hypothetical What-If Report, page 12-38

Hypothetical What-If Report (variable format), page 12-38

Unplanned Depreciation Report (variable format), page 12-39

What-If Depreciation Report, page 12-39

What-If Depreciation Report (variable format), page 12-40

Depreciation Projection Report

Use this report to review projected depreciation expense for your assets for each book you request. The report is sorted by, and prints the total depreciation for each balancing segment, cost center, and expense account. You can request report detail at the Cost Center and/or Asset level.

Use the Depreciation Projections window to submit this report.

Related Topics

Projecting Depreciation Expense, page 7-43

Common Report Headings, page 12-18

Hypothetical What-if Report

Use the Hypothetical What-if Report to display and analyze the results of hypothetical what-if depreciation analysis. This report contains depreciation projection data based on depreciation parameters for hypothetical assets. This report is available for group and member asset amounts.

You must enter a category, date in service, and cost when you submit this report. You can optionally enter an accumulated depreciation amount.

Note: You must submit this report using the What-If Analysis window. You cannot submit this report using the Submit Request window.

Related Topics

Forecasting Depreciation, page 7-45

Hypothetical What-if Report (Variable Format)

Use the Hypothetical What-if Report to display and analyze the results of hypothetical what-if depreciation analysis. This report contains depreciation projection data based on depreciation parameters for hypothetical assets.

You must enter a category, date in service, and cost when you submit this report. You can optionally enter an accumulated depreciation amount.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Related Topics

Forecasting Depreciation, page 7-45

Unplanned Depreciation Report

Use the Unplanned Depreciation report to print details of the unplanned depreciation you enter in the Unplanned Depreciation Entry window. This report lists all unplanned depreciation entries for a specific depreciation book, unplanned depreciation type, and depreciation period.

Important: You must manually adjust the life of the asset before you run the final depreciation formula for the current period. If you do not, the asset depreciates at the original amount. The formula for calculating the new life is printed at the end of the report.

If the resulting new life is the same as the original life, you still must change the life of the asset to calculate the expected future depreciation amount. Change the asset life to any other life, save the change, and requery the asset to change the life back to the original life. If you do not make a change to the asset life, the depreciation amount is the same as before you entered unplanned depreciation.

You must enter the depreciation book name. You can optionally enter the unplanned depreciation type, and period start and end dates.

Selected Headings

Period Effective: The current depreciation period for the asset.

Unplanned Depreciation Type: The type of unplanned depreciation as specified in the Unplanned Depreciation Entry window. This column is left blank for unplanned depreciation entered before the asset begins to depreciate.

Unplanned Depreciation Amount: The amount by which the asset is depreciated. If the unplanned depreciation is entered after the asset begins to depreciate, this amount is followed by DR or CR to indicate positive or negative depreciation.

Unplanned Depreciation Expense Account: The Accounting Flexfield to which the unplanned depreciation is assigned. This column is left blank for unplanned depreciation entered before the asset begins to depreciate.

What-if Depreciation Report

Use the What-if Depreciation Report to display and analyze the results of what-if depreciation analysis. This report contains depreciation data based on depreciation parameters you entered for analysis purposes. The report also lists depreciation projections for your current depreciation parameters so that you can use the report to compare your current depreciation projections with the what-if depreciation projections.

You must enter a book, start period, and number of periods when you submit this report.

Note: You must submit this report using the What-If Analysis window. You cannot submit this report using the Submit Request window.

Selected Headings

Current Convention: The prorate convention currently set up in your production system for this asset.

Current Cost: The cost of the asset.

Current Method: The method currently set up in your production system for this asset.

Current Salvage Value: The salvage value currently set up in your production system for this asset.

New Depreciation: The hypothetical depreciation for this asset based on what-if parameters.

Related Topics

Forecasting Depreciation, page 7-45

What-if Depreciation Report (Variable Format)

Use the What-if Depreciation Report to display and analyze the results of what-if depreciation analysis. This report contains depreciation data based on depreciation parameters you entered for analysis purposes. The report also lists depreciation projections for your current depreciation parameters so that you can use the report to compare your current depreciation projections with the what-if depreciation projections.

You must enter a book, start period, and number of periods when you submit this report.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Related Topics

Forecasting Depreciation, page 7-45

What-if Depreciation Report, page 12-39

Accounting Reports

Use the accounting reports to review accounting information for your assets, and to reconcile to the general ledger. Refer to the following additional accounting reports for

more information:

Asset Reclassification Reconciliation Report, page 12-82

Asset Retirements By Cost Center Report, page 12-83

Asset Transfer Reconciliation Report, page 12-80

Account Reconciliation Reserve Ledger Report

Use this report to review how much depreciation Oracle Assets charged to a depreciation reserve account in an accounting period. The report is sorted by, and prints totals for each balancing segment, asset account, reserve account, and cost center. It is not necessary to close the period before running the report. You can run this report for the current open period, as long as you have run depreciation before running the report.

If you partially retire, reclassify, or transfer an asset, the report prints the asset's year-to-date depreciation as of the transaction date on a separate line and marks each line on the right side of the report. These lines show zero for cost and depreciation amount because Oracle Assets allocates depreciation expense only to the distribution lines which were active at the end of the report period.

You must enter a Book and Period when you request this report.

This report provides supporting detail for the Reserve Detail Report.

Selected Headings

Depreciation Amount: This column matches the Depreciation Expense column on the Reserve Detail Report.

Year-To-Date Depreciation: The cost center fiscal year-to-date depreciation for the accounting period.

Percent: The percentage of the asset cost and depreciation allocated to the cost center.

<Flag>:

- **P:** partial retirement
- **F:** full retirement
- **N:** asset is not depreciating
- **T:** transfer, either to a new cost center, employee, or location

Related Topics

Reconciling Reserve Accounts, page 12-11

Common Report Parameters, page 12-17

Accumulated Depreciation Balance Report

Use the Accumulated Depreciation Balance Report to reconcile your reserve accounts to your general ledger.

You must enter a Book and From/To Period range when you request this report.

To reconcile with the general ledger, compare this report with the Account Analysis Report in General Ledger. This report can include group asset amounts.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Asset Cost Balance Report

Use the Asset Cost Balance Reports to reconcile your standalone and member asset cost accounts to your general ledger.

You must enter a Book and From/To Period range when you request these reports. This report can include member asset amounts.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

CIP Cost Balance Report

Use the CIP Cost Balance Reports to reconcile your CIP cost accounts to your general ledger.

You must enter a Book and From/To Period range when you request these reports. This report can include member asset amounts.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Cost and CIP Detail and Summary Reports

Use the **Cost Detail** and **Cost Summary** reports to reconcile your asset cost accounts to your general ledger. Use the **CIP Detail** and **CIP Summary** reports to reconcile your CIP cost accounts to your general ledger. To reconcile with Oracle General Ledger, compare the **Cost** or **CIP Summary** report with the Account Analysis Report.

The following reports provide supporting detail for both detail reports: Asset Additions Report, Cost Adjustments Report, Asset Retirements Report, Asset Reclassifications

Reconciliation Report, and the Asset Transfer Reconciliation Report. In addition, the CIP Capitalization Report and the CIP Assets Report provide supporting detail for the CIP Detail Report. If you retired any CIP assets during the periods you requested, the Retirements column on the CIP Detail Report matches the Cost Retired column on the Asset Retirements Report.

The **detail** reports are sorted by balancing segment, asset or CIP cost account, cost center, and asset number, and print totals for each asset or CIP cost center, account, and balancing segment. Both **summary** reports are sorted by, and print totals for each balancing segment and asset or CIP account.

You must enter a Book and From/To Period range when you request these reports.

Note: Before running these reports, you must first run the Create Accounting process.

Selected Headings

All four reports show the beginning balance, additions, adjustments, retirements, capitalizations, reclassifications, transfers, and ending balance for each asset or CIP account and cost center:

Beginning Balance: The asset or CIP cost account balance for each asset as of the beginning of the period range you requested. The sum of this column on the Detail Report matches the Beginning Balance column on the Summary Report for this account and cost center.

Additions: This column on the Cost Detail Report matches the Cost column on the Asset Additions Report for capitalized assets.

Adjustments: This column on the Detail Report matches the Net Change column on the Cost Adjustments Report.

Retirements: This column on the Detail Report matches the sum of the Cost Retired column on the Asset Retirements Report.

Revaluation (Cost Detail and Summary Reports): The net change to the asset account resulting from asset revaluations made during the period range you requested.

Capitalizations (CIP Detail and Summary Reports): The change to the CIP cost account resulting from CIP asset capitalizations made during the period range you requested. This column on the CIP Detail Report matches the sum of the Cost column on the CIP Capitalization Report.

Reclassifications: This column on the Detail Report matches the Cost column on the Asset Reclassification Reconciliation Report.

Transfers: The net change to the asset or CIP cost account resulting from interaccount transfers that move cost from one general ledger number to another. This column on the Detail Report matches the Cost column on the Asset Transfer Reconciliations Report.

Ending Balance: This column on the CIP Detail Report matches the Cost column on the

CIP Assets Report. The sum of this column on the Detail Report matches the Ending Balance column on the Summary Report for this account.

Out of Balance: Oracle Assets compares an asset's actual ending balance with a calculated ending balance, and prints an asterisk (*) in the column if they are different. If Oracle Assets finds any differences, your system is out of balance.

Calculated Ending Balance = Beginning Balance + Additions + Adjustments - Retirements + Capitalizations + Reclassifications + Transfers

Related Topics

CIP Assets Report, page 12-23

CIP Capitalization Report, page 12-23

Account Analysis With Payables Detail Report, *Oracle General Ledger User Guide*

Reconciling Asset Cost Accounts, page 12-8

Reconciling CIP Cost Accounts, page 12-9

Common Report Parameters, page 12-17

Cost Clearing Reconciliation Report

This report shows all assets you created or adjusted during an accounting period for which Oracle Assets creates journal entries to asset clearing accounts. Use this report to reconcile your clearing accounts between your general ledger and Oracle Assets. The report is sorted by, and prints totals for each transaction type, balancing segment, clearing account, cost center, and asset number.

You must enter a Book and Period when you request this report.

Selected Headings

Transaction Type:

- **(CIP) Additions** for (CIP) assets added during the accounting period
- **(CIP) Adjustments** for adjustments you made to (CIP) assets added before the accounting period

Clearing Account: The asset clearing account for your capitalized assets, or the CIP clearing account for your CIP assets.

Cleared Cost: The cleared cost of the asset for this cost center. This column is the amount posted to the cost center and clearing account. If asset costs are split among different cost centers, and if they clear to different clearing accounts, the asset may have lines on different pages of the report.

Related Topics

Tracking and Reconciling Mass Additions, page 12-14

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Cost Clearing Reconciliation Report (Variable Format)

This report shows all assets you created or adjusted during an accounting period for which Oracle Assets creates journal entries to asset clearing accounts. Use this report to reconcile your clearing accounts between your general ledger and Oracle Assets.

You must enter a Book and Period when you request this report. This report can include member asset amounts.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Group Asset Report (Variable Format)

This report is designed to assist with the regulatory reporting requirement of Canada and India. You can use this report if you use group depreciation. When you run this report you can choose one of the three seeded attribute sets. These attribute sets are formatted to accommodate specific regulatory requirements. The attribute set and the regulatory requirement addressed are included in the list below:

Default: This attribute set is based on the Canadian 50% rule, and assists compliance with the Canadian capital cost allowance (CCA). Schedule 8

Group Summary: Summary for Half Year Rule: This attribute set provides group asset amounts. The output is based on the Indian 50% rule, and the Indian Income Tax Authorities regulatory requirement of summary depreciation reporting.

Group Detail: Detail for Half Year Rule: This attribute set provides group and member asset detail amounts, and is based on the Indian 50% rule. This report is for use by management.

You must enter an Attribute Set, Output Format, Book, Start Fiscal Year, and End Fiscal Year when you request these reports. This report is available with group and member asset amounts

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Journal Entry Reserve Ledger Report

Use this report to find out how much depreciation expense Oracle Assets charged to a depreciation expense account for any accounting period. The report lists all active (not yet retired) capitalized assets, as well as any assets that you have retired in the period's fiscal year. The report is sorted by balancing segment, expense and reserve accounts, and cost center. It prints totals for each cost center, account, and balancing segment.

If you partially retire, reclassify, or transfer an asset, the report prints the asset's year-to-date depreciation as of the transaction date on a separate line, and marks the line on the right side of the report. These lines show zero for cost and depreciation amount because Oracle Assets allocates depreciation expense only to the distribution lines which were active at the end of the report period.

You can reconcile depreciation expense with your general ledger using this report and the Account Analysis Report in Oracle General Ledger.

You must enter a Book, Currency, and Period when you request this report.

Selected Headings

Depreciation Amount: This column matches the Debit or Credit column of the Account Analysis With Payables Detail Report in Oracle General Ledger.

Year-To-Date Depreciation: The cost center fiscal year-to-date depreciation for the accounting period you select.

Percent: The percentage of the asset cost and depreciation allocated to this general ledger account and cost center.

<Flag>:

- **P:** partial retirement
- **F:** full retirement
- **N:** asset is not depreciating
- **T:** transfer, either to a new cost center, employee, or location
- **R:** reclassification
- **B:** bonus depreciation amount for assets using bonus depreciation rules

Related Topics

Account Analysis Report, *Oracle Subledger Accounting Implementation Guide*

Reconciling Depreciation Expense Accounts, page 12-13

Common Report Parameters, page 12-17

Production History Report

Use this report to review the production amounts for your units of production assets each period. The report sorts by unit of measure, asset number, and the production start date. It prints the total production for each unit of measure.

You must enter a Book and Period when you request this report.

Selected Headings

Production Start/End Date: The date range for which the production amount applies.

<Flag>: The report prints an asterisk (*) if the production has not been used to calculate depreciation. For example, if you enter production for future periods for depreciation projections, the report marks the future production with an asterisk (*).

Related Topics

Entering Production Amounts, page 7-42

Uploading Production to Oracle Assets, page 7-42

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Reserve Detail and Summary Reports

Use the Reserve Detail and Summary reports to reconcile your reserve accounts to your general ledger. The **detail** report is sorted by balancing segment, depreciation reserve account, cost center, and asset number. It prints totals for cost center, account, and balancing segment. The **summary** report is sorted by, and prints totals for each balancing segment and depreciation reserve account.

The following reports provide supporting detail for the **detail** report: Asset Additions Report, Reserve Adjustments Report, Asset Retirements Report, Asset Reclassification Reconciliation Report, Account Reconciliation Reserve Ledger, and the Asset Transfers Report.

You must enter a Book and From/To Period range when you request these reports.

To reconcile with the general ledger, compare the **summary** report with the Account Analysis Report in General Ledger.

Selected Headings

Both detail and summary reports show the beginning balance, transactions, and ending balance for each depreciation reserve account:

Beginning Balance: The sum of this column for the asset account on the detail report

matches the Beginning Balance column on the summary report.

Additions: The change to the depreciation reserve account resulting from asset additions that you entered with a reserve during the period range you requested. This column on the detail report matches the Depreciation Reserve column of the Asset Additions Report. The sum of this column for the asset account on the detail report matches the Additions column on the summary report.

Depreciation: The change to the depreciation reserve account resulting from depreciation expense calculated during the period range you requested. This column on the detail report matches the Depreciation Amount column of the Account Reconciliation Reserve Ledger. The sum of this column for the asset account on the detail report matches the Depreciation Expense column on the summary report.

Adjustments: The change to the depreciation reserve account resulting from tax reserve adjustments or revaluations performed during the period range you requested. These lines are marked on the right side of the report to distinguish tax adjustments from revaluations. For tax adjustments this column on the detail report matches the Reserve Adjustment column of the Reserve Adjustments Report. The sum of this column for the asset account on the detail report matches the Adjustments column on the summary report.

Retirements: This column on the detail report matches the difference between the Cost Retired and Net Book Value Retired columns of the Asset Retirements Report. The sum of this column for the asset account on the detail report matches the Retirements column on the summary report.

Reclassifications: This column on the detail report matches the Depreciation Reserve column of the Asset Reclassification Reconciliation Report. The sum of this column for the asset account on the detail report matches the Reclassifications column on the summary report.

Transfers: This column on the detail report matches the Depreciation Reserve column of the Asset Transfers Report. The sum of this column for the asset account on the detail report matches the Transfers column on the summary report.

Ending Balance: The sum of this column for the asset account on the detail report matches the Ending Balance column on the summary report.

Out of Balance: This report compares an asset's actual ending depreciation reserve balance with a calculated ending balance, and prints an asterisk (*) in this column if they are different. If Oracle Assets finds any differences, your system is out of balance.

Calculated Ending Balance = Beginning Balance + Additions + Depreciation Expense + Adjustments - Retirements + Reclassifications + Transfers

<Flag>:

- R: revaluation adjustment
- T: tax reserve adjustment

- **B:** both tax and revaluation adjustments have been made on this asset

Related Topics

Account Analysis Report, *Oracle Subledger Accounting Implementation Guide*

Reconciling Reserve Accounts, page 12-11

Common Report Parameters, page 12-17

Reserve Ledger Report

Use this report to find out how much depreciation expense Oracle Assets charged to a depreciation expense account for any accounting period. The report lists all active (not yet retired) capitalized assets, as well as any assets that you have retired in the period's fiscal year.

You must enter a Book and Period when you request this report. This report can include group and member asset amounts.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Revaluation Reserve Balance Report

Use the Revaluation Reserve Balance Report to reconcile your asset revaluation reserve accounts to your general ledger.

You must enter the Book and From/To Period range when you request this report.

If you are using the UK Local Authority Revaluation and Impairment feature, as this is the only reconciliation report available, you need to manually modify the default attribute set to display the Revaluations and Adjustments separately.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Revaluation Reserve Detail and Summary Reports

Use the Revaluation Reserve Detail and Summary reports to reconcile your asset revaluation reserve accounts to your general ledger. The **detail** report prints totals for cost center, revaluation reserve account, and balancing segment. The **summary** report prints totals for revaluation reserve account and balancing segment. Both reports are sorted by balancing segment, revaluation reserve account, and cost center.

You must enter the Book and From/To Period range when you request this report.

Selected Headings

Both detail and summary reports show the beginning balance, transactions, and ending balance for each revaluation reserve account:

Beginning Balance: This column in the summary report matches the total of the Beginning Balance column on the detail report for this account and balancing segment.

Additions: Change to the revaluation reserve account resulting from asset additions made during the period range you requested. This amount represents any revaluation reserve you entered when adding the asset.

Amortization: Change to the revaluation reserve account resulting from amortization of the revaluation reserve for this asset during the period range you requested.

Revaluations: Change to the revaluation reserve account due to revaluation of the asset during the period range you requested.

Out of Balance: Oracle Assets compares the asset's actual ending balance at the end of the period range you requested with a calculated ending balance and prints an asterisk (*) in this column if they are different.

Calculated Ending Balance = Beginning Balance + Additions + Amortization + Revaluations - Retirements + Reclassifications + Transfers

Related Topics

Using Reports to Reconcile to the General Ledger, page 12-7

Common Report Parameters, page 12-17

Responsibility Reports

Use the responsibility reports to view depreciation expense, asset additions, and asset removals by balancing segment and cost center. Refer to the following additional responsibility reports for more information:

Asset Additions By Cost Center Report, page 12-69

Asset Additions Responsibility Report, page 12-70

Asset Disposals Responsibility Report, page 12-80

Responsibility Reserve Ledger Report

Use this report to find out how much depreciation expense Oracle Assets charged to a cost center in any depreciation period. The report is sorted by balancing segment, cost center, asset account, and asset number. It prints totals for each asset account, cost center, and balancing segment.

You must enter a Book and Period when you request this report. You can optionally enter a From/To Cost Center range to limit the output.

Selected Headings

Year-To-Date Depreciation: The depreciation charged to the cost center during the current fiscal year as of the period you selected.

Percent: The percentage of the asset cost and depreciation allocated to the cost center and balancing segment.

<Flag>:

- **P** if you removed the asset through a partial retirement
- **F** if you removed the asset through a full retirement
- **N** if you do not depreciate the asset
- **T** if either you transferred the asset from the cost center, or you assigned a new employee or location to the asset

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Tax Reports

Use the tax reports to review tax accounting information for your assets.

Assets Update Report

Use this report to review the information that Oracle Assets compiled when you populated the ACE conversion table. You can also use it to review the information you have manually loaded into the ACE conversion table. If the Update Flag is Yes on this report, it prints the depreciation method, life, and prorate convention Oracle Assets will assign to your assets in the ACE book when you update the ACE book.

Selected Headings

Adjusted Cost: The depreciable basis that the depreciation program uses to calculate depreciation. The depreciable basis is updated when you adjust financial information, revalue the asset, enter retirements, or assign investment tax credits.

Rate Adjustment Factor: The rate adjustment factor resulting from any amortized adjustments or revaluations. The depreciation program uses this number to calculate depreciation for assets with amortized adjustments or revaluations.

ACE Depreciation Comparison Report

This report shows the difference in year-to-date depreciation between the federal, AMT, and ACE tax books through the period you specify. If an asset depreciates under an ACRS method, Oracle Assets lists the difference between the federal tax book and the ACE tax book as of the period you requested. If the asset depreciates under a MACRS method, the report lists the difference between the AMT tax book and the ACE tax book as of the period you requested.

The report compares year-to-date depreciation for the books through the End Period you select. You also must enter an ACE, Federal, and AMT Book to run this report.

The report is sorted by balancing segment, federal book depreciation method, category, and asset number. It prints totals for each category, depreciation method, and balancing segment.

Selected Headings

Use Book: The book used to calculate the difference in year-to-date depreciation.

Difference: The difference in year-to-date depreciation between the ACE tax book and the book printed in the Use Book column.

ACE Non-Depreciating Assets Exception Report

Use this report to review the assets that Oracle Assets cannot update according to the ACE rules because you do not depreciate the asset in the federal tax book.

ACE Unrecognized Depreciation Method Code Exception Report

Use this report to review the assets that Oracle Assets cannot update according to ACE rules because the ACE program cannot recognize the asset's depreciation method code in the federal tax book. It cannot recognize methods that do not begin with ACRS or MACRS. This report only shows assets placed in service before the end of fiscal 1989.

Related Topics

Updating an ACE Book with Accumulated Depreciation, page 9-33

Adjusted Current Earnings (ACE), page 9-31

About the ACE Interface, page 9-36

Form and Adjusted Form 4562 -Depreciation and Amortization Report

Use the **Form 4562 - Depreciation and Amortization Report** to review the depreciation taken for the fiscal year you specify.

Alternatively, use the **Adjusted Form 4562 - Depreciation and Amortization Report** to

include the effects of any tax reserve adjustments you made for the fiscal year you specify.

Both reports are sorted by balancing segment, fiscal year added, depreciation method, asset category, and asset number. They print totals for each category, method, fiscal year added, and balancing segment.

To run a form 4562 report, you must enter a Book and Fiscal Year.

Selected Headings

Cost: The fraction of the current cost assigned to this balancing segment.

Annual Special Depreciation: You can use this column to assist with the compliance reporting requirements of the Job Creation Act of 2002 and the Jobs and Growth Tax Relief Reconciliation Act of 2003.

This column displays the first year depreciation amount of each asset that meets all of the following criteria:

- The date placed in service of the asset must be in the same fiscal year as the report.
- No amortized adjustments have been performed on the asset.
- The special depreciation amount calculated is less than the amount reported in the Year-To-Date Depreciation column.
- For the Job Creation Act of 2002, this column displays the first-year depreciation deduction that is equal to 30 percent of the qualified asset's depreciable basis for any depreciation method containing 30B.
- For the Jobs and Growth Tax Relief Reconciliation Act of 2003, this column displays the first-year depreciation deduction that is equal to 50 percent of the qualified asset's depreciable basis for any depreciation method containing 50B.

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Form and Adjusted Form 4626 - AMT Detail and Summary Reports

Use the **Form 4626 - AMT Detail and Summary Reports** to review the difference in year-to-date depreciation between any tax book and an alternative minimum tax (AMT) book through the period you select.

You also can run the Form 4626 reports on a corporate book and a tax book to show the difference in depreciation between the two books if both books use the same depreciation calendar.

Use the **Adjusted Form 4626 - AMT Detail or Summary Reports** to see the effects of reserve adjustments of the period you select if you adjusted the accumulated depreciation for the fiscal year.

When you request these reports, the Federal Book and AMT Book you choose to compare must use the same depreciation calendar. You also must enter the End Period for which you want to run the report. You can optionally enter an Asset Account range to limit output.

The **detail** reports are sorted by balancing segment, depreciation method, asset account, category, and asset number. They print totals for each category, asset account, method, and balancing segment.

The **summary** reports are sorted by balancing segment, depreciation method, asset account, and category. The reports show totals for each asset account, method, and balancing segment.

Selected Headings

Difference: The difference between the year-to-date depreciation in your tax and AMT book as of the period you selected.

Difference = Tax Book Depreciation - AMT Book Depreciation

Related Topics

Determine Adjusted Accumulated Depreciation, page 9-45

Adjusting Tax Book Accumulated Depreciation, page 9-58

Common Report Parameters, page 12-17

Form 4684 - Casualties and Thefts Report

This report shows asset retirements which have the retirement type you request, and whether you held this asset as a long or short term asset. For reinstated assets, the report shows one line for the retirement, and one for the reinstatement.

You must enter a Book and From/To Period range when you request this report. Do not enter a Retirement Type if you want the report to show all retirement types.

The report is sorted by balancing segment, term, asset category, and asset number. It prints totals for each asset term and balancing segment.

You define retirement types in the QuickCodes window, and then associate a retirement type with an asset retirement in the Retirements window.

Selected Headings

Asset Term:

- Long: for assets held more than one year

- Short: for assets held one year or less

Cost: The cost retired.

<Flag>: An asterisk (*) indicates the asset has been reinstated.

Related Topics

Entering QuickCodes, page 11-50

Retiring Assets, page 6-4

Common Report Parameters, page 12-17

Form 4797 Reports

When you request a 4797 report, you must enter the Book and From/To Period range.

Gain From Disposition of 1245/1250 Property Reports

These reports calculate gain or loss amounts for sales of 1245 or 1250 property held longer than the capital gain threshold you entered for the book in the Book Controls form. Personal property is section 1245 or 1250 business property under United States tax law.

To use the 1245 or 1250 report, complete Part III of the United States federal tax form 4797 - Sales of Business Property and enter a capital gain threshold of one year. If you need different capital gains thresholds for different dates placed in service, such as the six month threshold for assets placed in service before January 1, 1988 in the United States, set up your asset category for the different date placed in service ranges with different thresholds.

The reports only show assets that were sold, so assets without proceeds of sale do not appear. For items that were lost or stolen, run the Form 4684 - Casualties and Thefts Report.

The reports are sorted by balancing segment, into gains and losses, by asset account, and by asset number. The reports print totals for each asset account, for gains or losses, and for each balancing segment.

Selected Headings of the 1245 Report:

Capital Gain: The capital gain resulting from the sale of the asset as the amount by which the gain exceeds the depreciation reserve. Or zero if the gain does not exceed the depreciation reserve or if the sale results in a loss.

You can use this amount as your section 1231 gain for the form 4797.

Ordinary Income: The ordinary income resulting from the sale of the asset as the lesser of the gain amount or the depreciation reserve retired. Or zero if the sale results in a loss.

Capital Loss: The loss resulting from the sale as the loss amount. Or zero if the sale

results in a gain.

Selected Headings of the 1250 Report:

Gain Limitation: The gain/loss amount, or zero if the sale results in a loss.

Excess Depreciation: For assets you held for more than a year, the excess depreciation is:

Revaluation Reserve Retired - STL Depreciation Amount

If you held the asset for less than one year, excess depreciation is the Depreciation Reserve Retired.

Section 1231 Gain: Gain Limitation - Ordinary Income + Recapture Gain

where:

$\text{Recapture Gain} = (\text{Reserve Retired} - \text{Excess Depreciation}) \times 20\%$

The report prints zero if the sale results in a loss.

Ordinary Income: The lesser of:

Gain Limitation + Recapture Gain

or:

Excess Depreciation + Recapture Gain

where:

$\text{Recapture Gain} = (\text{Reserve Retired} - \text{Excess Depreciation}) \times 20\%$

The report prints zero if the sale results in a loss.

Section 1231 Loss: The loss amount, or zero if the sale results in a gain.

Ordinary Gains and Losses Report and Sales or Exchanges of Property Report

The **Ordinary Gains and Losses Report** calculates gain or loss amounts for sales of business property (both 1245 and 1250) held for **less time** than the capital gain threshold you entered for the book in the Book Controls form. The **Sales or Exchanges of Property Report** calculates amounts for sales held **longer** than the capital gain threshold you entered for the book in the Book Controls form.

Both reports are sorted by balancing segment (into gains and losses), by property class, asset account, and asset number. The reports print totals for each asset account, for each property class, for gains or losses, and for each balancing segment.

To use the Ordinary Gains and Losses Report, complete **Part II** (**Part I** for the Sales or Exchanges of Property Report) of the United States federal tax form 4797 - Sales of Business Property, enter a capital gain threshold of one year. If you need different capital gains thresholds for different dates placed in service, such as the six month threshold for assets placed in service before January 1, 1988 in the United States, you should set up your asset category for the different date placed in service ranges with different thresholds.

Investment Tax Credit Report

This report shows the amount of investment tax credit (ITC) you can claim on the assets you add. The report is sorted by asset account and asset number. It prints totals for each asset account.

You must enter a tax Book when you request this report.

Selected Headings

Recoverable Cost: Current Cost - Salvage Value - ITC Basis Reduction Amount

<ITC Ceiling>: An asterisk (*) in this column indicates that the asset has an ITC ceiling. You can review the ceiling amount in the Ceilings form.

Related Topics

Setting Up Depreciation Ceilings, page 11-178

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Mass Depreciation Adjustment Preview and Review Reports

The Mass Depreciation Adjustment **Preview** Report shows you the effect the adjustment you specified will have on the year-to-date depreciation for assets in your adjusted tax book. You must submit this report to preview the effect of a mass depreciation adjustment before you can perform it. If you modify the adjustment definition, you must rerun the preview report before you perform the mass depreciation adjustment. You can only run this report if the current open period in your adjusted book is the first period of the fiscal year. Submit the Mass Depreciation Adjustment **Review** Report to review the effect of a mass depreciation adjustment after you run it.

Oracle Assets sorts the reports by, and prints totals for the reserve account.

To submit the Preview report, choose Preview from the Mass Depreciation Adjustment form for an adjustment definition with status New or Updated. To submit the Review Report, choose Review from the Mass Depreciation Adjustment form for an adjustment definition with status Completed.

Selected Headings

Old /New Year-To-Date Depreciation: Oracle Assets prints the year-to-date depreciation amount prior to and after the depreciation adjustment.

Depreciation Adjustment: The amount by which the year-to-date depreciation will be adjusted.

Related Topics

Determine Adjusted Accumulated Depreciation, page 9-45

Adjusting Tax Book Accumulated Depreciation, page 9-58

Property Tax Report

This report shows information for property tax forms. It lists the assets at a particular location as of the cut-off date you specify. The report is sorted by balancing segment, location, asset account, year acquired, and asset number. It prints the total cost for each year acquired, asset account, location, and balancing segment.

You must enter a Book and End Date Acquired. To ensure all assets added for a period are included in the report, the End Date Acquired must be the date following the period close date.

To run this report, make sure the State segment of the Location flexfield is set to Independent. See: Location Flexfield, page 11-44 for additional requirements.

Example: End Date Acquired

Description	Period / Date
Period Asset Added	SEP-99
Period Start Date	01-SEP-1999
Period End Date	30-SEP-1999

Depreciation is run and the period closed on 18-OCT-1999. If the report is run with the End Date Acquired of 30-SEP-1999, it will not show the assets added in the period SEP-99. The report will show the assets added when run with an End Date Acquired of 19-OCT-1999. 19-OCT-1999 is one day greater than the period close date.

Property Tax Report (Variable Format)

This report shows information for property tax forms. It lists the assets at a particular location as of the cut-off date you specify.

You must enter a Book and End Date Acquired. To ensure all assets added for a period are included in the report, the End Date Acquired must be the date following the period close date. See: Example: End Date Acquired page , page 12-58.

Optionally enter the State segment of the location flexfield to limit report output.

To run this report, make sure the State segment of the Location flexfield is set to

Independent. See: Location Flexfield, page 11-44 for additional requirements.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Recoverable Cost Report

This report shows the recoverable cost for each asset in both the corporate book and a tax book for a specific accounting period. Use this report to calculate deferred depreciation. The report is sorted by balancing segment and asset number. The report prints totals for each balancing segment.

You must enter a Tax Book and Period when you request this report.

Selected Headings

<Flag>: An asterisk (*) indicates one of the following:

- The corporate recoverable cost does not equal the cost minus the salvage value
- The tax recoverable cost is not equal to the cost minus the salvage value minus the basis reduction amount

Related Topics

Determining Deferred Income Tax Liability, page 9-27

Tax Credits, page 9-28

Reserve Adjustments Report

This report provides an audit trail of the adjustments you make to depreciation reserve. The report is sorted by, and prints the total reserve adjustment for each balancing segment, fiscal year, and reserve account.

You must enter a Book and From/To Period range when you request this report.

Related Topics

Adjusting Tax Book Accumulated Depreciation, page 9-58

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Retired Assets Without Property Classes Report and Retired Assets Without Retirement Types Report

The Retired Assets Without **Property Classes** Report shows retired assets without a

1245 or 1250 property class.

The Retired Assets Without **Retirement Types** Report shows retired assets to which you did not assign retirement types.

Both reports are sorted by balancing segment and asset account.

Revalued Asset Retirements Report

This report shows asset retirements revalued according to a price index. Use this report to report gains and losses in accordance with Australian tax law. The report only selects assets placed in service after September 20, 1985. The report sorts your assets by balancing segment, asset account, and asset number and prints totals for each asset account and balancing segment.

If you want to actually revalue the cost of your assets in your books, use Mass Revaluation.

You must enter a Book and From/To Period range when you request this report.

Selected Headings

Actual Cost: The retired cost of the asset before applying the price index. The actual cost does not include removal costs.

Recoverable Cost: The retired recoverable cost of the asset before applying the price index.

Index Factor: The index factor as the price index rate valid at the time of retirement divided by the index rate valid at the date placed in service.

In accordance with Australian tax law, if the ratio of price indexes is less than one, or if you held the asset for less than one year, the index factor defaults to one.

Indexed Cost Base: Indexed Cost Base = (Recoverable Cost X Index Factor) + Removal Cost

Reduced Cost Base: The greater of the proceeds of sale or reduced cost base:

Reduced Cost Base = Net Book Value + Removal Cost

However, the reduced cost base can never be greater than the actual cost plus the removal cost.

Ordinary Income: The lesser of depreciation reserve or ordinary income:

Ordinary Income = Proceeds of Sale - Removal Cost - Net Book Value

where

Net Book Value = Recoverable Cost- Depreciation Reserve

Or zero if the sale results in a loss.

Gain/Loss: The greater of zero or the capital gain or loss:

Capital Gain/Loss = Proceeds of Sale - Indexed Cost Base

or, if the proceeds of sale are less than the reduced cost base:

Capital Gain/Loss = Proceeds of Sale - Reduced Cost Base

Related Topics

Asset Management in a Highly Inflationary Economy, page 5-32

Revaluing Assets, page 5-29

Common Report Parameters, page 12-17

Tax Additions Report

This report shows your asset additions and capitalizations for the period range you select. The report is sorted by balancing segment, fiscal year added, asset account, and asset number. It prints totals for asset account, fiscal year, and balancing segment.

You must enter a Book and From/To Period range when you request this report.

Selected Headings

Cost: The cost you entered for the asset when you added or capitalized it. It does not include adjustments made after the period you added or capitalized the asset.

Depreciation Reserve: The accumulated depreciation entered when the asset was added, if any.

Related Topics

Asset Additions Report, page 12-70

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Tax Preference Report

Use this report to compare the year-to-date depreciation between your federal and corporate books for a range of asset accounts. The report shows the difference in year-to-date depreciation between the tax book you specify and its associated corporate book through the period you select. If the corporate book year-to-date depreciation is greater than that of the tax book, the report prints zero in the Difference column.

The report compares tax depreciation as of the Tax Period you select with corporate depreciation as of the last corporate period ending before the end of this tax period. You must have run depreciation for the period in your tax book.

The report is sorted by balancing segment, tax depreciation method, asset account, category, and asset number. The report prints totals for category, asset account, depreciation method, and balancing segment.

You must enter a Book and Tax Period when you request this report. Optionally enter a From/To Account range to limit output.

Tax Reserve Ledger Report

This report shows how much depreciation expense Oracle Assets calculated for the period you select. The report is sorted by balancing segment, fiscal year placed in service, asset account, and asset number. The report prints totals for asset account, year, and balancing segment.

Oracle Assets automatically runs the Tax Reserve Ledger Report when you use the Run Depreciation form for a tax book. You can also submit this report from the Submit Requests form.

You must enter a Book, Currency, and Period when you submit this report.

Selected Headings

Year-To-Date Depreciation: As of the accounting period you select.

Related Topics

Using the Reports to Reconcile to the General Ledger, page 12-7

Running Depreciation, page 7-2

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Tax Retirements Report

This report shows gain or loss and any ITC recapture for your asset retirements. The report is sorted by balancing segment, fiscal year placed in service, asset account, and asset number. The report prints totals for each year and balancing segment.

You must enter a Book and From/To Period range when you request this report.

Selected Headings

Net Book Value Retired: Current Cost Retired - Depreciation Reserve Retired

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Japanese Depreciable Assets Tax Reports

If you do business in Japan, refer to your country-specific documentation for

information on the Japanese Depreciable Assets Tax Summary Report, the Japanese Detail by Asset Type (Addition/All Assets) Report 132 Characters, the Japanese Detail by Asset Type (Addition/All Assets) Report 180 Characters, and the Japanese Detail by Asset Type (Decrease Assets) Report.

Note: To run this report, you need to assign both the major and minor category segment qualifiers when defining the Category flexfield.

See: Japanese Depreciable Assets Tax Reports, *Oracle Financials for Japan* in the Japan section of Oracle E-Business Suite Financials for Asia/Pacific User Guide.

Transaction History Report

Use this report to review all the transactions that you performed on your assets for the Book and Asset Number range you choose. To get additional detail about any of the transactions, use the appropriate transaction reports. The report is sorted by asset number.

Selected Headings

Reference Number: Uniquely identifies this transaction. This number appears on the transaction reports so that you can find additional detail about the transaction. You can also use the reference number to query the transaction in transaction or inquiry forms.

Accounting Period: The accounting period in which the transaction was effective. To get additional detail about any of the transactions, use this depreciation period when you request one of the transaction reports.

Related Topics

Asset Additions Report, page 12-70

Asset Transfers Report, page 12-79

Asset Retirements Report, page 12-84

Transaction Types, page 12-63

Common Report Parameters, page 12-17

Transaction Types

Transaction types and their description are described in the following table:

TRANSACTION TYPE	DESCRIPTION
ADDITION	The Books window, the QuickAdditions window, and the Mass Additions Post program create this transaction type when you add an asset. The Books window also creates this transaction type if you make changes to an asset's financial information in the period you added it. Also, the Capitalize CIP Assets window creates this transaction type when you capitalize a CIP asset. If this transaction type appears without a TRANSFER IN, you did not set up the asset's general ledger depreciation expense account, location, and employee assignments.
ADDITION/VOID	The Books window creates this transaction type when you make changes to an asset's financial information in the period you added it. The Mass Additions Post program creates this transaction type when you perform a cost adjustment by adding a mass addition line to an asset in the period you added it. Oracle Assets voids the original ADDITION by changing the transaction type to ADDITION/VOID and creating a new ADDITION transaction with the updated financial information.
ADJUSTMENT	The Books and Mass Change windows create this transaction type when you make changes to an asset's financial information after the period you added it. The Mass Copy program creates this transaction type when copying adjustment transactions into a tax book. The Mass Additions Post program creates this transaction type when you perform cost adjustments by adding mass additions lines to existing assets.
CIP ADDITION	The Books window, the QuickAdditions window, and the Mass Additions Post program create this transaction type when you add a CIP asset. The Mass Additions Post program creates this transaction type when you perform cost adjustments by adding mass additions lines to new CIP assets.

TRANSACTION TYPE	DESCRIPTION
CIP ADDITIONS/VOID	The Books window creates this transaction type when you make changes to an asset's financial information in the period you added it. The Mass Additions Post program creates this transaction type when you perform a cost adjustment by adding a mass addition line to an asset in the period you added it. Oracle Assets voids the original ADDITION by changing the transaction type to ADDITION/VOID and creating a new ADDITION transaction with the updated financial information.
CIP ADJUSTMENT	The Sources window creates this transaction type when you change the cost of a CIP asset in a period after the period you added the asset. The Mass Additions Post program creates this transaction type when you perform a cost adjustment to a CIP asset after the period you added it by adding mass additions lines.
CIP REVERSE	The Capitalize CIP Assets form creates this transaction type when you reverse capitalize a CIP asset in the period you capitalized it.
FULL RETIREMENT	The Retirements window creates this transaction type when you fully retire an asset. The Mass Copy program creates this transaction type when copying retirement transactions into a tax book.
PARTIAL RETIREMENT	The Retirements window creates this transaction type when you do a partial retirement by units or cost. The Mass Copy program creates this transaction type when copying retirement transactions into a tax book.

TRANSACTION TYPE	DESCRIPTION
RECLASS	The Asset Details window creates this transaction type when you change the category of an asset. The Mass Additions Post program creates this transaction type when you perform a cost adjustment by adding a mass addition line and change the asset category of the existing asset to the category you assigned to the mass addition.
REINSTATEMENT	The Retirements window creates this transaction type when you reinstate a retired asset. The Mass Copy program creates this transaction type when copying reinstatement transactions into a tax book.
RESERVE ADJUSTMENT	The Tax Reserve Adjustments window creates this transaction type when you change an asset's depreciation reserve in a tax book.
REVALUATION	The Mass Revaluation program creates this transaction type when you revalue an asset.
TRANSFER	The Assignments window and Mass Transfers program create this transaction type when you transfer an asset.
TRANSFER IN	The Assignments window, the QuickAdditions window, and the Mass Additions Post program create this transaction type when you initially assign new assets to general ledger accounts, locations and employees.
TRANSFER IN/VOID	The Assignments window creates this transaction type when you change general ledger accounts, locations, or employees in the period you added the asset. The Asset Details window also creates this transaction type when there is a change in the asset category in the period of addition. It voids the original TRANSFER IN by changing the transaction type to TRANSFER IN/VOID and creating a new TRANSFER IN transaction with the updated distribution information.

TRANSACTION TYPE	DESCRIPTION
TRANSFER OUT	The Assignments window creates this transaction type when you use it to complete a partial retirement by units.
UNIT ADJUSTMENT	The Assignments window creates this transaction type when you use it to complete a change in the number of units of an asset.

Related Topics

Transaction History Report, page 12-63
 Asset Additions Report, page 12-70
 Asset Transfers Report, page 12-79
 Asset Retirements Report, page 12-84
 Common Report Parameters, page 12-17

Additions Reports

Use the additions reports to review asset additions to Oracle Assets. To review asset additions in a tax book, see the Tax Additions Report, page 12-61.

Additions By Date Placed in Service Report, page 12-67
 Additions By Period Report, page 12-68
 Additions By Responsibility Report, page 12-68
 Additions By Source Report, page 12-68
 Annual Additions Report, page 12-69
 Asset Additions By Cost Center Report, page 12-69
 Asset Additions Report, page 12-70
 Asset Additions Responsibility Report, page 12-70
 Conversion Assets Report, page 12-71
 Tax Additions Report, page 12-61

Additions by Date Placed in Service Report

This report mainly shows all assets placed in service in the date range you specify. You must enter the Book and From/To Date range when you submit the report.

If any of the assets have any related invoice lines, the report will also show the related Invoice lines. This information is not sorted.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Additions by Period Report

The report lists all the assets you added to Oracle Assets or capitalized during the specified accounting periods.

You must enter a Book and From/To Period when you request this report. This report can include member asset amounts.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Additions by Responsibility Report

This report shows assets that you added to your cost centers through additions and transfers in the accounting period you specify. The report shows the owner and location of each unit.

You must enter a Book and Period when you request this report. Optionally enter a From/To Cost Center range to limit output.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Additions by Source Report

This report shows all assets added during an accounting period range and the invoice lines associated with that asset. The report groups the assets by source: Mass Additions or Manual Transactions.

The report is sorted by source, balancing segment, asset type, asset account, cost center, and asset number. For assets with multiple invoice lines, the report sorts by supplier number, invoice number, and invoice line number. The report prints totals for each asset if the asset has multiple invoice lines, and for each cost center, asset account, asset type, balancing segment, and source.

You must enter a Book and From/To Period when you request this report.

The Current Invoice Cost column for the assets added using Mass Additions matches the Cost column for the addition transactions on the Mass Additions Posting Report. This report also provides supporting detail for the Asset Additions Report by showing

which line items were part of each addition transaction.

Selected Headings

<Flag>: Additional information about your assets and source lines:

- **Asterisk (*)**: For CIP assets, if the asset cost is not equal to the total of all the invoice line costs for that asset
- **M**: For invoice lines you manually added in the Sources window
- **A**: For invoice lines you adjusted in the period added
- **T**: For invoice lines you transferred in the period added
- **R**: For reinstated invoice lines

Related Topics

Additions By Cost Center Report, page 12-69

Asset Additions Responsibility Report, page 12-70

Common Report Parameters, page 12-17

Annual Additions Report

This report shows all assets placed in service in the date range you specify. The report is sorted by balancing segment, asset account, and asset number, and prints totals for each asset account and balancing segment. You must enter the Book and From/To Date range when you request this report.

Related Topics

Asset Additions Report, page 12-70

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Asset Additions by Cost Center Report

Use this report to review the assets you added to Oracle Assets or capitalized during any depreciation period. The report is sorted by, and prints totals for each balancing segment, asset type, cost center, asset account, and expense account.

You must enter a Book and Period when you request this report. Optionally enter a From/To Cost Center range to limit output.

The Initial Cost and Initial Depreciation Reserve columns reflect the Cost and Depreciation Reserve of the asset in the period it was added to the system, respectively.

Related Topics

Additions By Source Report, page 12-68

Asset Additions Responsibility Report, page 12-70

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Asset Additions Report

Use this report to reconcile asset cost to your general ledger asset accounts. The report lists all the assets you added to Oracle Assets or capitalized during the specified accounting periods. The report is sorted by, and prints totals for each balancing segment, asset type, asset account, cost center, and reserve account.

You must enter a Book and From/To Period when you request this report.

The Asset Additions By Source Report provides supporting detail for this report by showing the invoicing information associated with your asset additions.

For your asset cost accounts, this report provides supporting detail for the Cost Detail Report and the Reserve Detail Report. For your CIP cost accounts, this report provides supporting detail for the CIP Detail Report.

Selected Headings

Initial Cost: This column matches the Additions column of the Cost Detail report for your capitalized assets, and the Additions column of the CIP Detail report for your CIP assets if the report is run for the period prior to capitalization. This column reflects the cost of the asset in the period it was added to the system.

Initial Depreciation Reserve: The amounts in this column match the Additions column of the Reserve Detail Report for your capitalized assets. This column reflects the depreciation reserve of the asset in the period it was added to the system.

Related Topics

Tax Additions Report, page 12-61

Additions By Source Report, page 12-68

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Asset Additions Responsibility Report

This report shows assets that you added to your cost centers through additions, capitalizations, and transfers in the accounting period you specify. The report shows the owner and location of each unit. The report is sorted by balancing segment, cost center,

owner, location, and asset number. It prints totals for each cost center and balancing segment.

You must enter a Book and Period when you request this report. Optionally enter a From/To Cost Center range to limit output.

Selected Headings

Cost: Prorated according to the number of units assigned to the cost center, location, and employee. The total cost is the cost you entered when you added the asset.

$\text{Assigned Cost} = \text{Total Cost} \times (\text{Units Assigned} / \text{Total Units})$

Net Book Value: Prorated according to the number of units assigned to the cost center, location, and employee.

$\text{Net Book Value} = (\text{Recoverable Cost} - \text{Depreciation Reserve}) \times (\text{Units Assigned} / \text{Total Units})$

<Flag>: "T" denotes that you added the asset to the cost center as a result of a transfer. Oracle Assets prints nothing in this column if you added the asset as a result of an addition.

Related Topics

Additions By Source Report, page 12-68

Asset Additions By Cost Center Report, page 12-69

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Conversion Assets Report

Use this report to review the assets you entered with a depreciation reserve. The report is sorted by balancing segment, asset type, and asset account. The report prints totals for each account, asset type, and balancing segment.

You must enter a Book and From/To Period range when you request this report.

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Mass Additions Reports

Use the mass additions reports to view mass addition lines created from external sources.

Note: The variable format version of the Mass Additions Report is a composite of all the other reports listed in this section.

Delete Mass Additions Preview Report, page 12-72

Mass Additions Delete Report, page 12-72

Mass Additions Create Report, page 12-73

Mass Additions Invoice Merge and Split Reports, page 12-74

Mass Additions Posting Report, page 12-74

Mass Additions Purge Report, page 12-75

Mass Additions Report, page 12-75

Mass Additions Status Report, page 12-75

Unposted Mass Additions Report, page 12-76

Delete Mass Additions Preview Report

Use this report to review mass additions with a status of DELETE only and verify that you will delete the correct mass additions before you submit the Mass Additions Delete program. The report is sorted by, and prints the total cost for each book, source system, and supplier.

Selected Headings

Source System: Source of the mass addition.

Updated By: Name of the last person who changed the invoice line that originated this mass addition.

Related Topics

Mass Additions Delete Report, page 12-72

Deleting Mass Additions from Oracle Assets, page 3-54

Common Report Headings, page 12-18

Mass Additions Delete Report

This report provides an audit trail of the deleted mass additions.

Note: To submit this report, choose Mass Additions:Delete Mass Additions from the menu and enter the Book for which you want to run this report.

Related Topics

Delete Mass Additions Preview Report, page 12-72

Deleting Mass Addition Lines from Oracle Assets, page 3-54

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Mass Additions Create Report

Use this report to review mass additions created from invoice distribution lines in Oracle Payables for the Book you choose. The report provides you with a complete audit trail of the mass additions created by Oracle Payables. Oracle Assets sorts the report by, and prints the total cost in both the functional and foreign currency for each currency, company, asset account, and cost center.

Use the Mass Additions Create Report to review mass additions created from invoice distribution lines in Oracle Payables. The report provides you with a complete audit trail of the mass additions created by Oracle Payables. Oracle Assets sorts the report by currency, fund, asset account, and organization. Oracle Assets prints the total cost in both the functional and foreign currency for each organization, asset account, fund, and foreign currency.

This report lists mass additions created for both functional and foreign currency invoices. The mass addition line is created in the ledger currency only; however, the report lists the invoice in both the ledger currency and the foreign currency, if applicable. Since Oracle Assets only creates journal entries in the ledger currency, you can use this report to find and clear foreign currency mass additions in your general ledger.

This report prints automatically when you submit the Create Mass Additions for Oracle Assets program in Oracle Payables. You also can submit this report from the Submit Requests form; it shows the mass additions created by your last Create Mass Additions run.

Selected Headings

Accounting Date: GL date you entered when you used the Create Mass Additions from Oracle Assets program.

Asset Account: Asset or CIP clearing account to which you assigned the invoice distribution line in your payables system.

AP Company: Balancing segment to which you assigned the invoice distribution line in your accounts payable system.

AP Fund: The fund to which you coded the invoice distribution line.

Asset Description: The invoice distribution line description becomes the asset description. If the mass addition is a discount line, the report prints 'DISCOUNT' as the

asset description.

Cost: Mass addition cost in the ledger currency.

Related Topics

Create Mass Additions from Invoice Distribution Lines in Oracle Payables, page 3-36

Common Report Headings, page 12-18

Mass Additions Invoice Merge and Split Reports

Use the Mass Additions Invoice **Merge** Report to review mass additions that you merged into a single asset.

Use the Mass Additions Invoice **Split** Report to review mass additions that you created by splitting multi-unit mass additions.

Both reports are sorted by asset number.

The Mass Additions Invoice Merge and Split reports do not include mass additions added to existing assets.

Any mass additions that you merged and then split only appear on the Mass Additions Invoice Split Report.

You must enter a Book and Period when you request these reports.

Note: These reports show only split/merge invoice lines that were posted by Post Mass Additions.

Selected Headings

Payable Account: Asset account to which you charged the asset in your accounts payable system.

Assets Account: Asset account for the asset when you posted it to Oracle Assets.

Payables Cost: Asset cost you entered into Oracle Payables.

Fixed Assets Cost: Asset cost when you posted the asset to Oracle Assets.

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Mass Additions Posting Report

For the Book you choose, this report gives you an audit trail of the assets that Oracle Assets created from your mass additions. The report sorts by transaction type and asset

number.

The report divides your mass additions by transaction type: Additions are mass additions that became assets; Adjustments are mass additions that you added to existing assets. Oracle Assets prints the total cost for each transaction type. It also prints the total number of mass addition lines posted in the batch.

Oracle Assets automatically runs the Mass Additions Posting Report when you create assets from mass additions using the Send Mass Additions to Oracle Assets program. You must enter a Book if you submit this report from the Submit Requests form.

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Mass Additions Purge Report

This report provides a list of the purged mass additions. The report is sorted by mass addition number.

Oracle Assets automatically prints this report when you run the Purge Mass Additions program. If you run this report from the Submit Requests form, you must enter the mass additions post Batch Number for which you want to purge the audit trail.

Mass Additions Report

Use this report to review your mass additions by status (queue name).

Enter the Book and optionally enter the Queue Name to limit report output. This report can include group and member asset amounts.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Mass Additions Status Report

Use this report to review your mass additions by status (queue name). This report is sorted by asset account, accounts payable batch name, and invoice number. It prints the total cost for each asset account.

You must enter the Book and Queue Name for which you want to run the report.

Selected Headings

Asset Account: Asset cost account for your capitalized assets, or the CIP cost account for your CIP assets.

Related Topics

Mass Additions Queues, page 3-29

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Unposted Mass Additions Report

Use this report to review mass additions that you have not yet posted. An unposted mass addition appears under the date that the invoice distribution line was posted to the general ledger. Oracle Assets sorts this report by period, asset account, and status. It prints the total cost for each asset account and period. You must enter the Book when you request this report.

Selected Headings

Period: An unposted mass addition appears under the period which includes the date that the invoice distribution line was posted to the general ledger.

Clearing Account: Asset clearing account for your capitalized assets, or the CIP clearing account for your CIP assets.

Status: Queue name of the unposted mass addition.

Adjustments Reports

Use the adjustments reports to review cost adjustments, financial adjustments, and parent asset transactions.

Note: The variable format version of the Cost Adjustments Report is a composite of all the other reports listed in this section.

Related Topics

Cost Adjustments By Source Report, page 12-77

Cost Adjustments Report, page 12-77

Cost Adjustments Report (Variable Format), page 12-78

Financial Adjustments Report, page 12-78

Parent Asset Transaction Report, page 12-79

CIP Capitalization Report, page 12-23

Mass Change Preview and Review Reports, page 12-85

Cost Adjustments by Source Report

This report shows all the cost adjustments you made in the Book and during an accounting Period range you choose. It groups them by asset type and source: Mass Additions or Manual Transactions.

The report is sorted by source, balancing segment, asset type, asset account, cost center, and asset number. For assets with multiple source lines, the report sorts by supplier number, invoice number, and invoice line number. The report prints totals for each asset if the asset has multiple source lines, and for each cost center, asset account, asset type, balancing segment, and source.

The Invoice Adjustment column for the Mass Additions matches the Cost column for the adjustment transactions on the Mass Additions Posting Report. This report also provides supporting detail for the Cost Adjustments Report by showing which line items were part of each adjustment transaction.

Selected Headings

Invoice Adjustment: Adjustment amount for the line item.

Asset Adjustment: Total adjustment for the asset.

<Flag>: Additional information about your source lines:

- **M:** invoice line you manually added to an asset
- **A:** invoice line adjustment
- **T:** invoice line transfer
- **D:** invoice line deletion
- **R:** invoice line reinstatement
- **Asterisk (*):** For CIP assets, if the total Invoice Adjustment does not equal the Asset Adjustment

Related Topics

Cost Adjustments Report, page 12-77

Common Report Parameters, page 12-17

Cost Adjustments Report

This report provides an audit trail of the cost adjustments that you made to your assets in the Book and during the accounting Period range you choose. It includes changes you made to the asset itself and changes you made to source lines. Oracle Assets sorts this report by balancing segment, asset type, asset cost account, cost center, and asset

number. It prints totals for each cost center, account, asset type, and balancing segment. This report can include member asset amounts.

For your asset cost accounts, this report provides supporting detail for the Cost Detail Report and the Reserve Detail Report. For your CIP cost accounts, this report provides supporting detail for the CIP Detail Report.

Selected Headings

Net Change: The difference between the old cost and the new cost. This column matches the Adjustments column of the Cost Detail Report for your capitalized assets, and the Adjustments column of the CIP Detail Report for your CIP assets.

Related Topics

Cost Adjustments By Source Report, page 12-77

Cost Adjustments Report (Variable Format)

This report provides an audit trail of the cost adjustments that you made to your assets in the Book and during the accounting Period range you choose. It includes changes you made to the asset itself and changes you made to source lines.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Financial Adjustments Report

Use this report to find all the adjustments you made to the financial information for your assets for the Book and Period you choose. The report is sorted by asset number and by when the transaction was effective.

Selected Headings

Transaction Type: Expensed or Amortized adjustment.

From/To: Two lines for each adjustment:

- The From line shows the financial information before the adjustment
- The To line shows the financial information that has changed and the effect on the cost

Depreciate: Indicates whether the asset depreciates.

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Parent Asset Transactions Report

Use this report to review transactions on parent assets for the Book and Period you choose. The report is sorted by transaction type and transaction number.

Related Topics

Parent Asset Report, page 12-30

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Transfers Reports

Use the transfers reports to review transfer transactions for your assets.

Note: The variable format version of the Transfers Report is a composite of all the other reports listed in this section.

Asset Transfers Report, page 12-79

Asset Transfer Reconciliation Report, page 12-80

Asset Disposals Responsibility Report, page 12-80

Mass Transfer Preview Report, page 12-86

Transfers Report, page 12-81

Asset Transfers Report

Use this report to review asset transfers for the Book and Period you choose. For each transaction Oracle Assets lists the expense account, balancing segment, cost center, and location of the asset before and after the transfer. Oracle Assets sorts the report by asset number.

You can run this report for corporate books only. You cannot run this report for tax or budget books.

This report provides supporting detail for the Reserve Detail Report.

Selected Headings

From/To: These lines describe where you transferred the asset from and to.

Date of Transfer: The date the transfer actually occurred, not the date you entered the transaction into Oracle Assets.

Assigned Cost: The fraction of asset cost allocated to this cost center.

Depreciation Reserve: The total depreciation charged to the cost center as of the transfer date.

Units: The number of units transferred.

Related Topics

Asset Transfer Reconciliation Report, page 12-80

Asset Transfer Reconciliation Report

Run this report to view the transfer transactions for a corporate book. This report shows the transfers you made during an accounting period that affect a general ledger account. It shows the transfers for the Book and From/To Period range you choose. Transfers between employees and transfers between locations do not appear on this report since the general ledger number does not change. Oracle Assets sorts this report by balancing segment, asset type, asset account, and cost center. It prints the total cost for each cost center, asset account, asset type, and balancing segment.

For your asset cost accounts, this report provides supporting detail for the Cost Detail Report. For your CIP cost accounts, this report provides supporting detail for the CIP Detail Report.

Selected Headings

Date: Date the transfer actually occurred, not the date you entered the transaction into Oracle Assets.

In/Out: Indicates whether you transferred the asset **into** or **out of** the asset account. Transfers out of an account have a negative assigned cost.

Cost: The amounts in this column match the Interaccount Transfers column on the Cost Detail Report for your capitalized assets, and the Interaccount Transfers column on the CIP Detail report for your CIP assets.

Related Topics

Asset Transfers Report, page 12-79

Asset Disposals Responsibility Report

This report shows assets that you removed from your cost centers through retirements and transfers. It also shows the location of each unit. The report is sorted by, and prints totals for each balancing segment, cost center, and owner. You must enter a Book and Period when you request this report. Optionally enter a From/To Cost Center range to limit report output.

Selected Headings

Units: Number of units disposed from this location, cost center, and employee.

Cost Disposed: Oracle Assets prorates the cost disposed according to the number of units disposed from the cost center, location, and employee.

Cost Disposed = Total Cost Disposed X (Units Disposed / Total Units Disposed)

Net Book Value: The net book value disposed prorated according to the number of units disposed from the cost center, location, and employee.

Net Book Value Disposed = Total Net Book Value Disposed X (Units Disposed / Total Units Disposed)

Type: Oracle Assets prints nothing in this column if you removed the asset as the result of a full retirement.

T: if you transferred the asset out of the cost center

P: if you removed the asset through a partial retirement

*** (Asterisk):** if you reinstated the asset

Related Topics

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Transfers Report

Use this report to review asset transfers for the Book and Period you choose. For each transaction Oracle Assets lists the expense account, balancing segment, cost center, and location of the asset before and after the transfer. This report can include group and member asset amounts.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Reclassification Reports

Use the reclassification reports to review reclassification transactions for your assets.

Note: The variable format version of the Reclassifications Report is a composite of all the other reports listed in this section.

Asset Reclassification Report, page 12-82

Asset Reclassification Reconciliation Report, page 12-82

Asset Reclassification Report

Use this report to review the assets for which you changed the asset category. The report is sorted by balancing segment, asset account, and asset number. It prints totals for each asset account and balancing segment. You must enter a Book and From/To Period range when you request this report.

Selected Headings

From/To Asset Account: Asset cost account or CIP cost account for the asset before and after reclassification.

From/To Reserve Account: Reserve account for the asset before and after reclassification.

From/To Category: Category of the asset before and after reclassification.

Cost: Cost transferred to the new asset account.

Depreciation Reserve: Accumulated depreciation transferred to the new reserve account.

Related Topics

Asset Reclassification Reconciliation Report, page 12-82

Reclassifying an Asset to Another Category, page 5-2

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Asset Reclassification Reconciliation Report

Use this report to reconcile Oracle Assets to your general ledger asset accounts. The report is sorted by, and prints totals for each balancing segment, asset type, asset account, and cost center.

You must enter a Book and From/To Period range when you request this report.

When you submit the Create Accounting - Assets program, Oracle Assets creates adjusting journal entries for the appropriate asset cost and reserve accounts in your general ledger to reflect the reclassification.

For your asset cost accounts, this report provides supporting detail for the Cost Detail Report and the Reserve Detail Report. For your CIP cost accounts, this report provides supporting detail for the CIP Detail Report.

Selected Headings

In/Out: Indicates whether you reclassified the asset **into** or **out of** the asset account.

Cost: The cost transferred to the new asset account. This column matches the Reclassifications column on the Cost Detail Report for capitalized assets, and the CIP Detail report for CIP assets.

Depreciation Reserve: The accumulated depreciation transferred to the new depreciation reserve account. This column matches the Reclassifications column on the Reserve Detail Report.

From/To Category: Category of the asset before and after reclassification.

Related Topics

Asset Reclassification Report, page 12-82

Reclassifying an Asset to Another Category, page 5-2

Common Report Parameters, page 12-17

Reclassifications Report

Use this report to review the assets for which you changed the asset category.

You must enter a Book and From/To Period range when you request this report.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Retirements Reports

Use the retirements reports to review retirement transactions for your assets. Refer to the following additional retirements reports for more information:

Asset Disposals Responsibility Report, page 12-80

Tax Retirements Report, page 12-62

Retired Assets Without Property Classes Report and Retired Assets Without Retirement Types Report, page 12-59

Note: The variable format version of the Retirements Report is a composite of all the other reports listed in this section.

Asset Retirements by Cost Center Report

This report shows the asset retirements for each of your cost centers for the Book and during the Period you select. Optionally enter a Cost Center range to limit report output. The report is sorted by balancing segment, cost center, employee name, location, asset account, and asset number. It prints totals for each owner, cost center,

and balancing segment. An asterisk (*) appears on the report for reinstated assets.

Related Topics

Asset Retirements Report, page 12-84

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Asset Retirements Report

Use this report to review the assets you retired for the Book and accounting Period range you choose. The report is sorted by balancing segment, asset type, asset account, cost center, and asset number. It prints totals for each cost center, account, asset type, and balancing segment.

For your asset cost accounts, this report provides supporting detail for the Cost Detail Report and the Reserve Detail Report. For your CIP cost accounts, this report provides supporting detail for the CIP Detail Report. Retirements in the current period do not show up on this report until you use the Calculate Gains and Losses form to process retirements.

Use the Tax Retirements Report to review retirements in your tax books.

Selected Headings

Cost Retired: This column matches the Retirements column on the Cost Detail Report.

Net Book Value Retired: The difference between Cost Retired and this column is the depreciation reserve retired, which matches the Retirements column of the Reserve Detail Report.

Removal Cost: Cost of removing the asset, if any.

<Flag>: An asterisk (*) appears for reinstated assets.

Related Topics

Asset Retirements By Cost Center Report, page 12-83

Tax Retirements Report, page 12-62

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Reinstated Assets Report

Use this report to review the retirements you reinstated for the Book and From/To Period range you choose. This report is sorted by balancing segment, asset type, asset account, cost center, and asset number. It prints totals for cost center, asset account, asset type, and balancing segment.

Selected Headings

Period Reinstated: The depreciation period when you cancelled the retirement.

ITC Recapture Reversed: The amount of investment tax credit recapture from the retirement.

Related Topics

About Retirements, page 6-1

Correcting Retirement Errors (Reinstatements), page 6-10

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Retirements Report

Use this report to review the assets you retired for the Book and accounting Period range you choose. This report can include member asset amounts.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Mass Transaction Reports

Use the mass transaction reports to review mass change, mass transfer, mass retirement, and mass revaluation transactions for your assets.

Mass Change Preview and Review Reports

This Mass Change **Preview** Report shows you the effect the mass change criteria you specified will have on your assets. You must run this report to preview a mass change before you perform it. If you modify the Mass Change definition, you must rerun the preview report. Use the Mass Change **Review** Report to review the effect of mass changes on your assets after Oracle Assets performs them. Both reports are sorted by asset number.

Submit the Mass Change **Preview** Report from the Mass Change form by choosing the Preview button for a definition with status New or Updated. The Mass Change **Review** Report is automatically submitted when you perform your mass change. You can also run this report for any completed Mass Change by querying the definition and choosing the Review button.

Important: These reports are not valid when using Group Depreciation. If you are using Group Depreciation, you must use the RXi version of

the Mass Change Preview and Review Reports. See: Mass Change Preview and Review Reports (Variable Format), page 12-86

Related Topics

Changing Financial and Depreciation Information, page 5-7

Depreciation Rules (Books), page 3-5

Mass Change Preview and Review Reports (Variable Format)

The variable format versions of the Mass Change Preview and Mass Change Review Reports contain information similar to the standard versions. See: Mass Change Preview and Review Reports, page 12-85.

Note: This report is a standard variable format report. See: Variable Format Reports, page 12-3.

Mass Transfers Preview Report

Use this report to preview the effect of your mass transfer definition before you perform it. It shows you the general ledger number, location, and employee your assets are assigned to before and after the Mass Transfer. This report is sorted by asset number, general ledger number, location, and employee number.

To submit the Mass Transfers Preview Report, choose the Preview button from the Mass Transfers form.

Related Topics

Transferring Assets, page 5-14

Common Report Parameters, page 12-17

Common Report Headings, page 12-18

Mass Retirements Report

Use the **Mass Retirements Report** to review the effect of a mass retirement to review the effect of a completed Mass Retirements process. If necessary, you can delete or make adjustments to an individual retirement transaction in the Retirements window before you calculate gains and losses, unless retiring by units then gains and losses are automatically calculated. You can also reinstate the mass retirement transaction in the Mass Retirements window. This report sorts by balancing segment, asset type, and asset account. It prints totals for each cost center, account, asset type, and balancing segment.

Oracle Assets automatically runs the Mass Retirements report when you choose the

Retire or Review button for a mass retirement transaction on the Mass Retirements window.

Related Topics

About Retirements, page 6-1

Retiring Assets, page 6-4

Correcting Retirement Errors (Reinstatements), page 6-10

Mass Revaluation Preview and Review Reports

Use the Mass Revaluation **Preview** Report to preview the effects of a mass revaluation before you perform it. You must run this report to preview the effect of a mass revaluation before you perform it. If you modify the revaluation definition, you must run this report again before you can run the revaluation. Use the Mass Revaluation **Review** Report to review the effect of a mass revaluation on your assets.

For assets revalued separately from their category, both reports print the revaluation rate used for the asset. For assets where you have chosen to override the default revaluation rules for the book, the reports print the rules you specified beneath the asset to which they apply. The rules which appear on this line are:

- Revaluation Rate for the category as a percentage
- Whether to Revalue Fully Reserved assets in this category
- Maximum Times you allow assets to be revalued as fully reserved in this category
- Life Extension Factor
- Life Extension Ceiling

Both reports print the Life, Revalued Cost, Depreciation Reserve, and Revaluation Reserve before and after the revaluation. Both reports are sorted by category and asset number. These reports can include group and member asset amounts.

You can submit the Mass Revaluation Preview Report from the Mass Revaluation form by choosing the **Preview** button for a revaluation definition with status New or Updated. You can submit the Mass Revaluation Review Report from the Mass Revaluation form by choosing the **Review** button for a revaluation definition with status Completed.

Selected Headings

<Flag>: An asterisk (*) appears if the new life for a fully reserved asset is not defined for the asset's depreciation method, and it did not create the life.

Related Topics

Asset Management in a Highly Inflationary Economy (Revaluation), page 5-32

Revaluing Assets, page 5-29

Common Report Headings, page 12-18

Mass Reclassification Preview and Review Reports

The Mass Reclassification **Preview** Report shows you the effect the mass reclassification criteria you specified will have on your assets. You must run this report to preview a mass reclassification before you perform it. If you modify the Mass Reclassification definition, you must rerun the preview report. Use the Mass Reclassification **Review** Report to review the effect of mass reclassifications on your assets after Oracle Assets performs them. Both reports are sorted by asset number.

Submit the Mass Reclassification Preview Report from the Mass Reclassification window by choosing the Preview button for a definition with status New, Updated, or Previewed. Submit the Mass Reclassification Review Report from the Mass Reclassification window by choosing the Review button after you have run mass reclassification.

Note: This report is a standard variable format report See: Variable Format Reports, page 12-3.

Country-Specific Reports

Oracle Assets provides country-specific reports to meet the global reporting requirements.

The following reports are documented in regional Oracle Financials user guides:

- Australian Revalued Assets Sale Report
- Australian Assets Revaluation Report
- Fixed Assets Register Report
- Finnish Asset Summary Report
- Hungarian Asset Movement Schedule: Gross Changes Report
- Hungarian Accumulated Depreciation Movement Scheduled Report
- Hungarian Depreciation Analysis Report
- Statutory Asset Ledger Report

- Statutory Asset Cost Detail Report
- Statutory Asset Reserve Detail Report
- Argentine Exhibit of Fixed Assets Report
- Regional Fixed Assets Inflation Adjusted Asset Summary Report
- Statutory Asset Ledger Report
- Statutory Asset Cost Detail Report
- Statutory Asset Reserve Detail Report
- Fixed Assets Register Report
- Colombian Fixed Assets Inflation Adjusted Drill Down Report
- Colombian Fixed Assets Inflation Adjusted Account Drill Down Report
- Colombian Inflation Adjusted Fixed Assets Report
- Colombian Fixed Assets Technical Appraisal Additions Report
- Colombian Fixed Assets Technical Appraisal Revaluation Report
- Mexican Fixed Assets ISR Report
- Mexican Fixed Assets IMPAC Report
- Mexican Fixed Assets Fiscal Gain and Loss on Assets Retirement Report

Group Depreciation

This chapter covers the following topics:

- Group Depreciation
- Create Group and Member Assets
- Assigning Member Assets to a Group Asset
- Transactions: Adding Member Asset Cost
- Transactions: Member Asset Cost Adjustment
- Transactions: Group Adjustment
- Transactions: Group Reclassification
- Transactions: Retirements
- Member Asset Tracking
- Mass Property
- Energy Assets

Group Depreciation

The Group Depreciation feature enables you to set up logical groupings of assets based on regulatory requirements and your own business needs. These logical groupings of assets are referred to as Group Assets. You can reduce data entry requirements by defining depreciation parameters for group assets rather than at the individual asset level. Group Depreciation also handles complex transactions for group assets and their member assets.

In many countries, local tax regulations require companies to depreciate assets in a composite or aggregate form, rather individually, for each asset. Group Depreciation addresses the requirements of depreciating assets in a composite or aggregate form.

Due to the large volume of assets in a major corporate enterprises, collections of similar assets are often pooled together to ease financial reporting. A group may contain many

individual assets that were placed in service in different years, but only one depreciation amount is maintained for the group. Depreciation is computed and stored at the group level, and is known as Group Depreciation.

Group Depreciation aids accommodating many of the composite or aggregate depreciation requirements imposed by the following global regulatory requirements:

- United States Telecomm (FCC) and Utility (FERC) compliance reporting.
- United Kingdom: Writing Down Allowance (WDA) compliance reporting.
- Canada Capital Cost Allowance (CCA) compliance reporting.
- Japanese group asset financial and compliance reporting.
- Indian group asset management and compliance reporting.

Group Asset

A group asset is a collection of member assets. Member assets are individual assets that belong to a group asset. You can add member assets to a group asset, or delete member assets from a group asset. You can transfer member assets in or out of a group asset, as well as transfer member assets between group assets. The group asset cost is equal to the sum of all the member asset costs.

Group Asset Cost = Sum of all Member Asset Costs

Generally, the member asset cost is posted to General Ledger for the individual member asset, and the member asset accumulated depreciation is only maintained and reported at the group level. Group assets may contain member assets that were added in different years or accounting periods.

The asset type of the group is used only for group assets. The type of assets supported by each asset type is illustrated in the table below.

Asset	Asset Type
Group Asset	Group
Individual Asset *	Capitalized, CIP or Expensed,
Member Asset	Capitalized or CIP

* Individual Asset refers to a standalone asset that does not belong to a group asset.

You can create a group asset using the Asset Workbench or Mass Additions. Creating group assets is very similar to creating individual assets; however, you must select an asset type of Group when creating a group asset.

Create Group and Member Assets

Note: Bonus methods are not supported for Group and Member Assets.

Set Up Group Assets in Book Controls

To set up group assets in the Book Controls window:

1. Navigate to the Book Controls window.
2. In the Class field, select Corporate. You can only create group assets in a corporate book.
3. Select the Accounting Rules tabbed region.
4. Allow Amortized Changes: This option does not affect group or member assets, or individual assets that previously belonged to a group asset. See: Defining Depreciation Books, page 11-59.
5. You must check the Allow Group Depreciation check box before creating group assets in the book.

If group assets are not allowed in the tax book, mass copy results in the following:

- If you allow group assets in the associated corporate book: The group asset will not be copied to the tax book. All member assets will be copied to the tax book as standalone assets.
- If you do not allow group assets in the associated corporate book: No group asset is allowed in either the corporate or tax books.

If group assets are allowed in a tax book, mass copy results in the following:

- If you allow group assets in the associated corporate book: The group and member assets will be copied to the tax book based on the mass copy options in the Tax Rule tabbed region.
- If you do not allow group assets in the associated corporate book: No group asset is allowed in either the corporate or tax books. In Oracle Assets, any asset must exist in the corporate book before being added to the tax book. A group asset is no exception to this rule. Therefore, a group asset must be allowed in the corporate book in order to be copied to the tax book.

Note: Mass Copy does not copy any type of group adjustment,

including group reserve transfer, group retirement adjustments, and group unplanned depreciation.

6. Optionally check the Allow CIP Members in Group Assets check box to enable adding CIP assets to group assets. If this check box is not checked, you will not be able to add a CIP asset to a group asset, even if you have set the default group asset on the Default Depreciation Rules window on the Categories form. If the Allow CIP Members in Group Assets check box is unchecked, the Allow CIP Depreciation in Group Assets check box is disabled.

Once the Allow CIP Members in Group Assets check box is checked and saved, you cannot uncheck it.

7. You must check the Allow CIP Depreciation in Group Assets check box to depreciate the CIP asset cost for member assets.
8. Optionally check the Allow Member Asset Tracking check box to enable member asset tracking for the depreciation book. Once the check box is checked and saved, you cannot uncheck it.
9. You must check the Allow Intercompany Member Asset Assignments check box if you want to allow member assets to have balancing segment values that are different than the balancing segment value of the group asset.

If the check box is unchecked for a particular depreciation book, you cannot set up member asset tracking for that book.

Create Group Assets Using Detail Additions

To create a group asset using Detail Additions:

1. Navigate to the Asset Workbench window.
2. Select the Additions button to create a new group asset.
3. In the Asset Number field, optionally enter a unique asset number for the group asset. If no value is entered, the system will automatically assign a numeric number using the asset number sequencing. Group assets use the same automatic number sequencing as individual assets.
4. In the Description field, enter a description for the group asset. This is a required field.
5. In the Asset Type field, select Group as the asset type when creating a group asset.

6. In the Category field, enter a category for the group asset. This is a required field.
7. In the Units field, accept the default value of 1, or enter the desired value. This is a required field.

Note: You cannot assign group or member assets as parent or child assets.

The Physical Inventory function is not supported for group assets, and you cannot check the Physical Inventory check box when the asset type is Group.

8. Select the Continue button to enter information in the Books window for the new group asset.

To define financial information for a new group asset:

1. In the Books window, enter information for the group asset.

Note: For group assets, some financial information, such as current cost, original cost, recoverable cost and net book value cannot be updated.

During the addition period, the group asset year to date depreciation expense and accumulated depreciation can be adjusted after assigning a member asset to the group asset.

2. In the Book field, enter the corporate book of the new group asset.

Note: You cannot update the Cost field for a group asset.

3. In the Salvage Value field, there are two options to calculate the salvage value for a group asset. You can select the following:

- **Percentage:** Enter a salvage value percentage for the group asset. The salvage value is calculated as a percentage of group asset cost, as shown in the example below:

Group Asset Salvage Value = Group Asset Cost * Group Asset Salvage Value Percentage.

- **Sum of Member Assets:** The group asset salvage value is the total of all member asset salvage values. You can subsequently change the salvage value type.

4. In the YTD Depreciation field, enter the year to date depreciation for the group

asset. You can only update this field during the addition period of the group asset and if at least one member asset has been assigned to the group asset.

5. In the Accumulated Depreciation field, enter the accumulated depreciation for the group asset. You can only update this field during the addition period of the group asset and if at least one member asset has been assigned.

Note: You cannot update the Revaluation Ceiling or Revaluation Reserve field for a group asset.

To continue adding your group asset using the Detail Additions process, you must do one of the following:

- Choose Continue to continue adding your asset. See: Assigning an Asset (Detail Additions Continued), page 3-26
- Optionally, enter or override depreciation information using the tabbed regions in the Books window. Instructions for adding this information are included in the following tasks.

To enter or override depreciation information for a new group asset (optional):

1. Select the Depreciation tabbed region
2. Check the Depreciate check box if this group asset is depreciable. If the Depreciate check box is not checked, depreciation will not be calculated for the group asset.
3. Check the Disable check box if this group asset is disabled. You can not assign member assets or perform transactions on this group asset after checking this check box. See: Disable Group Assets., page 13-15
4. In the Method field, optionally override the default value and enter the depreciation method and associated information.

The Units of Production method is not allowed for group or member assets.

Note: If the Over Depreciate field is set to Allow and Depreciate, you cannot choose the depreciation methods of Calculate, Table, Formula, or Flat-NBV. If the Over Depreciate field is set to Allow, you cannot choose the depreciation methods of Calculate and Table. See: Depreciation Override, page 7-4.

5. The date placed in service is defaulted to the current period for group assets. For group assets, you can only enter a prior period date placed in service while in the addition period. This date is used to determine the group depreciation start date. This is a required field for group assets. You can only change the group asset date

placed in service before the group asset begins depreciating.

6. The Prorate Convention field displays the defaulted value from the Default Depreciation Rules window.
7. The Prorate Date will display the depreciation start date of the group asset, which is the same as the date placed in service of the group asset.
8. The Type field has three options to calculate the depreciation limit for a group asset. These options include the following:

Note: You can use depreciation limits even if you select the Over Depreciate options of Allow or Allow and Depreciate

- Null: No depreciation limit is set up for the group asset.
 - Percentage: Enter a depreciation limit percentage for the group asset.
 - Sum of Member Assets: The group asset depreciation limit is the total of all member asset depreciation limits.
9. In the Over Depreciate field, you can specify if the group asset accumulated depreciation can exceed the group asset cost.

The three options available include the following:

- Do Not Allow: The group asset accumulated depreciation may not exceed the group asset recoverable cost. The system must check if the accumulated depreciation is greater than the recoverable cost whenever a transaction occurs that affects the group asset cost or accumulated depreciation, such as additions, adjustments, depreciation, retirements, and group reclassifications. Oracle Assets defaults this option.
- Allow: The group asset accumulated depreciation can exceed group asset cost, but depreciation will stop for the group asset when the accumulated depreciation is greater than the recoverable cost.
- Allow and Depreciate: The group asset accumulated depreciation may exceed the group asset recoverable cost, and depreciation will continue for the group assets until the group asset cost becomes zero.

You may still change the selection in subsequent period if the group asset accumulated depreciation is less than the total group asset recoverable cost at the time of change.

10. In the Super Group field, optionally enter a super group that you previously defined. See: Transactions: Group Adjustments, page 13-35.

To define retirement options for a group asset:

1. Select the Advanced Rulestabbed region.

Important: You can only update retirement rules information during the addition period of the group asset, and before assigning a member asset.

Retirement Options Region

2. In the Recognize Gain and Loss field, there are two options available for member asset retirements, which include the following:
 - **Do Not Recognize:** The gain and loss is not recognized. This is the default value.
 - **Immediately When Retired:** The gain and loss is recognized at retirement. The retirement treatment for the member asset is defaulted from the group asset setup, found in the Retirement tabbed region.
3. Check the Recapture Excess Reservecheck box if you want to indicate that the accumulated depreciation of a group asset can exceed its recoverable cost (NBV less than 0) without triggering the recognition of a gain.
4. The Limit Net Proceeds to Cost check box is available ifRecognize Gainand Loss is set to Do Not Recognize. If the check box is checked, the amount of proceeds (net of cost of removal) that may be added to accumulated depreciation is limited to the recoverable cost of the retiring member asset.
5. For the Terminal Gain and Loss field, you can choose from three option. The three options available include the following:
 - Recognize Immediately (default value)
 - Defer Recognition to End of Fiscal Year
 - Do Not Recognize

When the last member asset is retired in a group asset, and no additional assets are added into the group asset, the remaining group accumulated depreciation balance is defined as a terminal gain or loss.

To set the tracking option method to Allocate Group Amount:

Important: You can only update member asset tracking options during the addition period of the group asset, and before assigning a member

asset.

Tracking Options Region

1. In the Tracking Method field, select the Allocate Group Amount option if you want the system to allocate the calculated group depreciation amount to its member assets. The allocation is based on the depreciable basis of the member assets.
2. If you select Allocate to Fully Retired and Reserved Assets, the system will allocate the group depreciation amount to fully reserved or fully retired member assets.
3. If Reduce Excess is selected, the excess group depreciation amount will be reduced from the calculated group depreciation amount. This field is selected automatically, if the Allocate to Fully Retired and Reserved Assets check box is not checked.
4. If Distribute Excess is selected, the excess group depreciation amount will be distributed proportionally among other member assets in the group.

When the amount allocated to the member asset is greater than the depreciation limit of the member asset or the recoverable cost, the excess amount is calculated as the allocated amount over the greater of the following:

- The depreciation limit of the member asset.
- The recoverable cost of the member asset.

To set the tracking method option to Calculate Member Asset Amount:

Tracking Options Region

1. In the Tracking Method field, selecting the Calculate Member Asset Amount option allows you to specify if depreciation is calculated at the member asset level. By selecting this option, the system will calculate depreciation for each member asset.
2. In the Depreciation By field, enter the member asset depreciation select how member asset depreciation will be calculated. The two rules available include the following:
 - Group Method
 - Member Method
3. If the Sum Member Asset Depreciation to Group check box is checked, group depreciation is calculated as the sum of all member asset calculated depreciation. If this check box is not checked, group depreciation is calculated using the default group asset depreciation rules.

4. Select the Continue button to enter the group asset distribution information.

To define reduction rates for group assets:

Reduction Rules Region

1. The Reduction Rate field is only available for group assets. Enter the percentage to use as the reduction rate. The reduction rate is applied when calculating the depreciable basis for the group assets, and is used to satisfy the 50 percent rule in Canada and India.

Note: The Reduction Rate field is enabled only if the depreciation method used has the following depreciable basis rules:

- Year End Balance with Positive Reduction Amount
- Year End Balance with Half Year Rule

See: Defining Depreciable Basis Rule, page 11-83.

2. Select Addition to apply the reduction rate to member asset addition transactions.
3. Select Adjustment to apply the reduction rate to member asset adjustment transactions.
4. Select Retirement to apply the reduction rate to member asset retirement transactions.

The reduction rate is setup as a default rate for the group asset. You may update the default reduction rate for the member asset when you perform a transaction on the member asset.

To enter distribution information for a group asset:

1. In the Assignments window, enter distribution information for a group asset.
2. In the Units field, enter the number of units for the group asset.
3. In the Depreciation Expense field, enter a valid depreciation expense account for the group asset. This is a required field. No inter-company asset transfer is allowed for a group asset, unless Allow Intercompany Member Asset Assignment is enabled during book controls setup.

Important: For a group asset with multiple distribution lines, you can only specify different balancing segment values if you checked the Allow Intercompany Member Asset Assignments check box in

the Book Controls window.

4. In the Location field, enter a location for the group asset. This is a required field.
5. Select the Done button to save the new group asset.

Create Group Assets Using QuickAdditions

You can add a group asset via QuickAdditions. When assets are added via QuickAdditions, the depreciation rules are defaulted from the category default rules. After you have created the group asset, you can query and change any rule for the group asset on the Asset Workbench before the first member asset is added.

To create a group asset using QuickAdditions:

1. Navigate to the Asset Workbench window.
2. Select the QuickAdditions button.
3. Enter a description for the group asset in the Description field.
4. Enter a category for the group asset in the Category field.
5. In the Asset Type field, select Group for asset type to create a group asset.
6. Enter the number of units for the group asset.
7. Enter a valid book name for the group asset.
8. The cost is zero for a group asset. No cost amounts are allowed for group assets. The group asset cost is derived from the sum of all member asset costs.
9. The date placed in service for the group asset is defaulted to the current period. You can enter a prior period date placed in service while in the addition period of the group asset. You cannot change the group asset date placed in service after depreciation has begun.
10. Check the Depreciate check box if this group asset is depreciable. If the Depreciate check box is not checked, depreciation will not be calculated for the group asset.
11. The Prorate Convention field displays the defaulted value from the Default Depreciation Rules window.
12. The Prorate Date will display the depreciation start date of the group asset, which is the same as the date placed in service of the group asset.

13. In the Depreciation Expense field, enter a valid expense account for the group asset. This is a required field.
14. Enter a location for the group asset. This is a required field.
15. Select the Done button to save the new group asset.

Find a Group Asset in the Asset Workbench

In order to search for group, member, or individual assets, you can use the search criteria provided in the Asset Workbench. The steps to query an asset using the Asset Workbench are illustrated in the steps below.

To find a group asset in the Asset Workbench:

1. Navigate to the Asset Workbench.

In the Find Assets window, you can find assets by asset detail, book, assignment, source line, or lease information.
2. In the By Asset Detail region, you can find assets by descriptive information, for example:
 - In the Asset Number field, enter the group asset number.
 - In the Description field, enter the description of the group asset.
 - In the Asset Type field, select Group as the asset type to find group assets.

Important: Do not use the Groupasset type when searching for member or individual assets.
3. In the By Book region, you can find assets by asset book information. For example, in the Group Asset field, enter the number of the group asset that is associated with a member asset.

Note: Do not use the Group Asset field to search for a group asset. You can enter a group asset number in the Group Asset field to find all of the member assets that are associated with the group asset.
4. In the By Assignment region, you can find assets by accounting information. For example, in the Expense Account field, enter the account number of the asset.
5. In the By Source Line region, you can find assets by invoice information. For example, in the Invoice Number field, enter the invoice number of the asset.

6. In the By Lease region, you can find assets by lease information. For example, in the Lessor field, enter the name of the asset lessor.
7. Select the Find button to execute your search criteria.

Group and Member Asset Rules

1. A group asset and the associated member assets must belong to the same corporate book.
2. The depreciation rules defined for the group asset generally supersede those of the associated member assets. Depreciation is generally calculated and stored for the group asset only.
3. The addition of a member asset will be treated as an amortized cost adjustment to the group asset.
4. Member asset transactions, such as additions, adjustments and group reclassifications, are treated as amortized adjustments. Expensed adjustments are not allowed for group assets.
5. The group asset date placed in service is used to determine when depreciation starts for the group asset. This date cannot be updated after depreciation has started for the group asset.
6. Member assets can be added with a date placed in service that is different than that of its group asset, but a member asset date placed in service may not be older than the date placed in service of the group asset.
7. If a member asset is added with a prior period date placed in service, the system will treat the member asset addition as an amortized cost adjustment to the group asset from the date placed in service of the member asset. Also, Oracle Assets automatically submits the Process Group Adjustments concurrent program to calculate the prior period depreciation expense for the group asset. You must acknowledge the message containing the request number of the program submission.
8. When you add a CIP member asset to a group asset, the CIP member asset cost is not added to the group asset until the CIP member asset is capitalized, with one important exception. The exception occurs when you check the Allow CIP Depreciation in the Group Assets check box on the Book Controls window. You may add the CIP member asset cost to the group asset by setting the Depreciate in Group option on the Source Lines window.
9. Unplanned depreciation is only available for member assets with the Member Asset Tracking option set up for the Calculate Member Asset option.

10. Cost is stored and tracked at the member asset level and summarized to the group asset.
11. Accumulated depreciation is generally stored and tracked for the group asset only.
12. The asset cost is posted to General Ledger in the period the member asset is added. Depreciation expense is posted to General Ledger from the group asset only, even when member asset tracking is enabled.

Disabling Group Assets

You can disable a group asset on the Books window of the Asset Workbench by checking the Disable check box on the Depreciation tabbed region of the Books window. Disabling a group asset for one book, does not affect its status in another book. For example, if you disable a group asset in the corporate book, this will not affect its enabled status in the tax book.

Before you can disable a group asset, all of its member assets must be fully retired or removed from the group asset via group reclassification. Also, the cost of a group asset must be zero before it can be disabled.

You can re-enable a disabled group asset at any time.

You can view disabled group assets on the View Financial Information window and the Asset Workbench by selecting the Show Disabled Groups check box on the Find Assets window.

Restrictions

You need to consider the following restrictions when disabling group assets:

- You cannot perform any adjustment transactions on a disabled group asset and its member assets in the book in which the group has been disabled.
- No depreciation will be calculated for disabled group assets.
- You cannot add member assets to disabled group assets.
- Disabled group assets are excluded from the group asset list of values on the Asset Workbench, Mass Additions, Mass Change, and Mass Reclassifications windows.
- If you try to add an asset to a category in which a disabled group asset is set as the default group asset on the Default Depreciation Rules window on the Categories form, you need to first manually remove the category default. Otherwise, you will receive an error when trying to add an asset via the Asset Workbench or Mass Additions window.

Disable Group Assets

To disable a group asset:

1. Choose Asset:Asset Workbench from the Navigator window.
2. Find the group asset you want to disable.
3. Choose Books to open the Books window.
4. In the Book field, enter the book in which you want to disable the group asset.
5. Check the Disable check box on the Depreciation tabbed region to disable this group asset.
6. Choose Done to save this transaction.

Re-enabling a Disabled Group Asset

You can re-enable a disabled group asset at any time. After you re-enable a group asset, all functional restrictions are restored. The group asset can be displayed on the Asset Workbench, Mass Additions and Mass Transactions forms. Oracle Assets calculates depreciation for the group asset going forward and you can perform transactions on the group asset and its member assets. You can also set the re-enabled group asset as the default group asset on the Default Depreciation Rules window on the Categories form.

To re-enable a disabled group asset:

1. Choose Asset:Asset Workbench from the Navigator window.
2. Find the group asset you want to re-enable.
3. Choose Books to open the Books window.
4. In the Book field, enter the Book in which you want to re-enable the group asset.
5. Uncheck the Disable check box in the Depreciation tabbed region to re-enable this group asset.
6. Choose Done to save this transaction.

Assigning Member Assets to a Group Asset

You can assign a member asset to a group asset using the following three options:

- You can use the Asset Workbench to assign an asset to a group asset.

- You can use an asset category that is assigned to a group asset.
- You can use Prepare Mass Addition to assign an asset to a group asset.

If you create an asset in the period of addition, you can assign the asset to a group asset by manually entering the group asset number in the Asset Workbench. The asset is added as a member asset of the group asset you manually specified.

Note: The Depreciate check box for a member asset has no impact on the group asset depreciation calculation. In General, the Depreciate check box for a member asset has no impact on the group asset depreciation calculation. However, if you have set up the Member Asset Tracking option to be Calculate Member Asset Amount for the group asset, the system will not calculate member asset depreciation when the Depreciate check box is not checked for the member asset.

To enter group asset information for a member asset:

1. Detail Additions: Enter the group asset number under the Group Asset tabbed region in the Books window.

QuickAdditions: Enter the group asset number in the Book region of the QuickAdditions window.

Prepare Mass Additions: Enter the group asset number in the Mass Additions window.
2. If this member asset belongs to a group asset, the Group Asset field will display the group asset number. The group asset number can be numeric or character based.
3. The Description field is a display only field. When a valid group asset number is displayed, the group asset description will automatically display the description of the group asset.
4. The Reduction Rate field is enabled for the member asset whenever it is enabled for the group asset, and it defaults to the reduction rate setup of the group asset. However, you can override the default reduction rate for each transaction. The reduction rate is enabled on the Asset Workbench Books window in the Advanced Rules tabbed region. Refer to the group asset advanced rules for details on the reduction rate default setup. See: Define Advanced Rules, page 13-8.

Assigning Group Assets via Category

After a group asset is created, you can enter the group asset number in the category default rules. All new assets for this category will be member assets of the group asset entered in the category. These member assets will inherit the group asset membership

as part of the default rules. You can change the group asset membership by using the Asset Workbench or Mass Change. See: Changing Financial and Depreciation Information, page 5-7.

Transactions: Adding Member Asset Cost

When you add a member asset to a group asset, the cost of the member asset is added to the group asset cost as an amortized adjustment.

$$\text{Group Asset Cost} = \text{Sum of all Member Asset Costs}$$

Current Period Member Asset Addition

Example: Current Period Member Asset Addition

Asset Information

The following table contains asset setup information used in this example.

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with Cost basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	20%
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Monthly

The following table contains asset setup information used in this example.

Member Asset 1 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	10,000
Date Added to Group Asset A	01-Jan-2000
Amortization Start Date:	01-Jan-2000

The following table contains asset setup information used in this example.

Member Asset 2 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	20,000
Date Added to Group Asset A:	01-Feb-2000
Amortization Start Date:	01-Feb-2000

The table below contains the annual cost and calculated amounts for the group and member assets.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	20,000	10,000
Asset 2		20,000	20,000	20,000
Group A Cost	10,000	30,000	30,000	30,000
Group A Depreciation Expense	166.67	500*	500	500
Group A Accumulated Depreciation	166.67	666.67	1,166.67	1,666.67

* Group A Depreciation Expense in Feb-2000 = Group A Cost * Annual Depreciation Rate / Periods per Year = 30,000 * 20% / 12 = 500

The journal entries created in the addition period include the following:

In Jan-2000, journal entries for Asset 1:

Account Description	Debit	Credit
Asset 1 Cost	10,000.00	
Asset 1 Cost Clearing		10,000

In Feb-2000, journal entries for Asset 2:

Account Description	Debit	Credit
Asset 2 Cost	20,000.00	
Asset 2 Cost Clearing		20,000

If you checked the Allow Intercompany Member Asset Assignments check box for the book, and the balancing segment values are different for the group and member assets, the following journal entries are created.

In Jan-2000, the journal entries for Asset 1 are as follows:

Account Description	Debit	Credit
Company 01 Asset 1 Cost	10,000.00	
Company 02 Asset 1 Cost Clearing		10,000
Company 02 Intercompany AR	10,000.00	
Company 01 Intercompany AP		10,000

Prior Period Member Asset Addition

When you back date a member asset addition, it is treated as an amortized adjustment

to the group asset in a prior period. Included below is an example of a prior period member asset addition.

Example: Prior Period Member Asset Addition

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	30%
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Monthly

Member assets added with prior period date placed in service

The following table contains asset setup information used in this example.

Member Asset 1 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	10,000
Date Added to Group Asset A	01-Jan-2000

Asset Setup Item	Asset Setup Information
Amortization Start Date:	01-Jan-2000

The following table contains asset setup information used in this example.

Member Asset 2 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	20,000
Date Added to Group Asset A	01-Mar-2000
Amortization Start Date:	01-Feb-2000

The table below contains the annual cost and calculated amounts for the group and member assets.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	20,000	10,000
Asset 2			20,000	20,000
Group A Cost	10,000	30,000	30,000	30,000
Group A Depreciation Expense	250	250	1,250*	750
Group A Accumulated Depreciation	250	500	1,750	2,500

* Group A Depreciation Expense in Mar-2000

= Periodic Depreciation Expense in Mar-2000 + Catchup Expense For Asset 2 Through Feb-2000 = $[30,000 * 30\% / 12] + [20,000 * 30\% / 12] = 1,250$

Example: Multiple Member Asset Additions with Prior Period Date Placed in Service

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	30%
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Monthly

Member assets added with prior period date placed in service

The following table contains asset setup information used in this example.

Member Asset 1 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	10,000
Date Added to Group Asset A	01-Jan-2000
Amortization Start Date:	01-Jan-2000

The following table contains asset setup information used in this example.

Member Asset 2 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	20,000
Date Added to Group Asset A	01-May-2000
Amortization Start Date:	01-Feb-2000

The following table contains asset setup information used in this example.

Member Asset 3 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	60,000
Date Added to Group Asset A	01-Jul-2000
Amortization Start Date:	01-Mar-2000

The table below contains the annual cost and calculated amounts for the group and member assets.

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Jan-2000	10,000	250	250
Feb-2000	10,000	250	250
Mar-2000	10,000	250	250
Apr-2000	10,000	250	250
May-2000	30,000	2,250*	3,250
Jun-2000	30,000	750	4,000

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Jul-2000	90,000	8,250**	11,750
Aug-2000	90,000	2,250	14,000

* Group A Depreciation Expense in May-2000 = Periodic Depreciation Expense in May-2000 + Catchup Expense for Asset 2 Through Feb-2000 = $[30,000 * 30\% / 12] + [30,000 * 30\% * 3 / 12 - (250 + 250 + 250)] = 2,250$

** Group A Depreciation Expense in Jul-2000 = Periodic Depreciation Expense in Jul-2000 + Catch Up Expense For Asset 3 Through Mar-2000 = $[90,000 * 30\% / 12] + [90,000 * 30\% * 4 / 12 - (250 + 250 + 1,750 + 750)] = 8,250$

CIP Member Asset

You can add a CIP member asset to a group asset, but the CIP member asset cost is not added to the group asset cost until the CIP member asset is capitalized. An exception to this is explained in the following section.

Example: CIP Member Asset Addition

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 CIP Asset Asset 2 Capitalized Asset

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost

Asset Setup Item	Asset Setup Information
Depreciation Rate:	30%
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Monthly

The following table contains asset setup information used in this example.

Member Asset 1 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	10,000
Date Added to Group Asset A	01-Jan-2000
Date Place in Service:	01-Jan-2000

The following table contains asset setup information used in this example.

Member Asset 2 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	20,000
Date Added to Group Asset A	01-Mar-2000
Date Place in Service:	01-Mar-2000

The table below contains the annual cost and calculated amounts for the group and member assets.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	10,000	10,000

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 2			20,000	20,000
Group A Cost	0	0	20,000	20,000
Group A Depreciation Expense	0	0	500*	500
Group A Accumulated Depreciation	0	0	500	1,000

* Group A Depreciation Expense for Mar-2000 = Group A Cost * Annual Depreciation Rate / Periods per Year = 20,000 * 30% / 12 = 500

CIP Member Asset Depreciation

You can add CIP member assets to a group asset, but the costs of the CIP member assets will not be included in the group asset cost unless you enabled the Allow CIP Depreciation in Group Asset check box, found in the Book Controls window.

If the Allow CIP Depreciation in Group Asset check box is checked, you can elect to depreciate the CIP member asset cost when the CIP member asset is assigned to a group asset. This is accomplished by checking the Depreciate check box on the Source Line window of the CIP member asset. See: Source Lines, page 3-13.

Example: CIP Member Asset Depreciation

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 CIP Asset Asset 2 Capitalized Asset

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	30%
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Monthly
Allow CIP Depreciation in Group Asset:	Yes

The following table contains asset setup information used in this example.

Member Asset 1 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	10,000
Date Added to Group Asset A	01-Jan-2000
Date Place in Service:	01-Jan-2000
Depreciate in Group Check Box:	Checked: 01-Feb-2000

The following table contains asset setup information used in this example.

Member Asset 2 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	20,000
Date Added to Group Asset A	01-Mar-2000
Date Place in Service:	01-Mar-2000

The table below contains the annual cost and calculated amounts for the group and member assets.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	10,000	10,000
Asset 2			20,000	20,000
Group A Cost	0	10,000	20,000	20,000
Group A Depreciation Expense	0	250*	500	500
Group A Accumulated Depreciation	0	250	750	1,250

* Group A Depreciation Expense in Feb-2000 = Group A Cost * Annual Depreciation Rate / Periods per Year = 30,000 * 30% / 12 = 250

Transactions: Member Asset Cost Adjustment

Adjusting the member asset costs will have an indirect impact on the associated group asset. Since the group asset cost is equal to the sum of all member asset costs, changing the cost of a member asset will result in changing the group asset cost. Changing the salvage value of a member asset may also affect the group asset when the Use Sum of Member Assets salvage value option is selected for the group asset.

When you perform a cost adjustment to a member asset, the cost of the member asset is updated for the adjustment amount. The cost adjustment is treated as an amortized adjustment to the group asset. The cost adjustment will be treated as a current period transaction for the member asset. You can enter a prior period amortization start date for the member asset cost adjustment. The amortization start date entered for the member asset is restricted to dates between the date placed in service of the member asset and the current period date.

If the salvage value is expressed as a percentage of cost, the salvage value will be changed proportionally during the cost adjustment. If the salvage value is expressed as an amount, it will not be affected by the cost adjustment.

Example: Member Asset Cost Adjustment Calculations

The steps below explain the various calculations involved in a member asset cost

adjustment.

1. The group asset depreciable basis is increased or decreased by the sum of all the member asset cost adjustment amounts.
2. The adjustment is an amortized adjustment, and the adjustment amount is amortized evenly over the amortization period of the group asset.
3. The system calculates the periodic depreciation amount using the adjusted cost of the group asset.
4. The journal entries created are as follows:

Account Description	Debit	Credit
Member Asset Cost	xxxx	
Member Asset Cost Clearing		xxxx
Group Asset Depreciation Expense	xxxx	
Group Asset Accumulated Depreciation		xxxx

Current Period Member Asset Cost Adjustment

Example: Current Period Cost Adjustment - Flat Rate Method

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	30%
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Monthly

The following table contains asset setup information used in this example.

Member Asset 1

Asset Setup Item	Asset Setup Information
Cost Adjustment:	10,000
Period Performed:	Mar-2000
Amortization Start Date:	01-Mar-2000

The table below contains the annual cost and calculated amounts for the group and member assets.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	20,000	20,000
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	40,000	40,000
Group A Depreciation Expense	750	750	1,000*	1,000

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Group A Accumulated Depreciation	750	1,500	2,500	3,500

* Group A Depreciation Expense in Mar-2000 = Group Asset Cost * Annual Depreciation Rate / Periods per Year = 40,000 * 30% / 12 = 1,000

Example: Current Period Cost Adjustment - Life Based Method

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Straight Line with Cost Basis Life: 1 Year
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Monthly

The following table contains asset setup information used in this example.

Member Asset 1

Asset Setup Item	Asset Setup Information
Cost Adjustment:	10,000

Asset Setup Item	Asset Setup Information
Period Performed:	Mar-2000
Amortization Start Date:	01-Mar-2000

The table below contains the annual cost and calculated amounts for the group and member assets.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	20,000	20,000
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	40,000	40,000
Group A Depreciation	2,500	2,500	3,500	3,500
Group A Accumulated Depreciation	2,500	5,000	8,500	12,000

Group A Depreciation Expense in Mar-2000 = (Cost - Accumulated Depreciation) / Remaining Life = (40,000 - 5,000) / 10 = 3,500

The journal entries created are as follows:

1. Create Member Asset 1 cost adjustment journal entries in Mar-2000:

Account Description	Debit	Credit
Member Asset 1 Cost	10,000	
Member Asset 1 Cost Clearing		10,000

2. Create group depreciation expense journal entries in Mar-2000:

Account Description	Debit	Credit
Group Depreciation Expense	3,500	
Group Accumulated Depreciation		3,500

Prior Period Member Asset Cost Adjustment

When you back date a member asset cost adjustment, it is treated as a prior period amortized adjustment to the group asset. Multiple dated adjustments may occur when member asset cost adjustments are backdated to prior periods.

Prior Period Member Asset Cost Adjustment - Flat Rate Method

Example: Prior Period Cost Adjustment - Flat Rate Method

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	30%

Asset Setup Item	Asset Setup Information
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Monthly

The following table contains asset setup information used in this example.

Member Asset 1

Asset Setup Item	Asset Setup Information
Cost Adjustment:	10,000
Period Performed:	Mar-2000
Amortization Start Date:	01-Feb-2000

The table below contains the annual cost and calculated amounts for the group and member assets.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	20,000	20,000
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	40,000	40,000
Group A Depreciation	750	750	1,250	1,000
Group A Accumulated Depreciation	750	1,500	2,750	3,750

Group A Catchup Expense for Feb-2000 = $40,000 * 30\% / 12 - 750 = 250$

Group A Depreciation Expense in Mar-2000 = $40,000 * 30\% / 12 = 1,000$

The journal entries created for the group asset depreciation expense in Mar-2000 are as follows:

Account Description	Debit	Credit
Group Depreciation Expense	1,250	
Member Asset Cost Clearing		1,250

Transactions: Group Adjustment

There are two types of group asset adjustments that directly impact a group asset, these include the following:

- **Changing the depreciation rules of the group asset:** The list of depreciation rules that can impact a group asset include the following:
 - Depreciate check box
 - Depreciation method
 - Salvage value rule
 - Depreciation limit
 - Super group rule
- **Group Asset Adjustment:** You can make adjustments directly to a group asset by changing the accumulated depreciation amount of the group asset.

Adjustment for Changing Group Asset Depreciation Rules

You can change the depreciation method of a group asset in the Books window.

Change Group Asset Depreciation Method

Example: Depreciation Rate Changed with Flat Rate Method

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A

Asset Setup Item	Asset Setup Information
Member Assets:	Asset 1 Asset 2

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 (Cost: 10,000; dpis: 01-Jan-2000), Asset 2 (Cost: 20,000; dpis: 01-Jan-2000)
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	30%
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Monthly

The following table contains asset setup information used in this example.

Depreciation Rate Change for Group Asset A

Asset Setup Item	Asset Setup Information
Original Depreciation Rate:	30%
Depreciation Rate Change:	50%
Period Performed:	Mar-2000
Amortization Start Date:	01-Mar-2000

The table below contains the annual cost and calculated amounts for the group and member assets.

	Jan-2000	Feb-2000	Mar-2000	Apr-2000
Asset 1	10,000	10,000	10,000	10,000
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	30,000	30,000
Group A Depreciation	750	750	1,250	1,250
Group A Accumulated Depreciation	750	1,500	2,750	4,000

Group A Depreciation Expense in Mar-2000 = Group Asset Cost * Annual Depreciation Rate / Periods per Year = 30,000 X 50% / 12 = 1,250

Life Changed with Straight Line Method

Example: Life Changed with Straight Line Method

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A

Asset Setup Item	Asset Setup Information
Member Assets:	Asset 1 (cost: 10,000; dpis: 01-Jan-2000), Asset 2 (cost: 20,000; dpis: 01-Jan-2000)
Depreciation Method:	Straight Line with Cost Basis Life: STL 3 years
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Monthly

The following table contains asset setup information used in this example.

Depreciation Method Change for Group Asset A

Asset Setup Item	Asset Setup Information
Original Depreciation Method:	Straight Line with Cost Basis Life: 3 years
Depreciation Method Change / Date Changed:	Straight Line with Cost Basis Life: 5 years
Year Performed:	FY-2001
Amortization Start Date:	01-Jan-2001

The table below contains the annual cost and calculated amounts for the group and member assets.

	FY-2000	FY-2001	FY-2002	FY-2003
Asset 1	10,000	10,000	10,000	10,000
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	30,000	30,000
Group A Depreciation	10,000	5,000	5,000	5,000

	FY-2000	FY-2001	FY-2002	FY-2003
Group A Accumulated Depreciation	10,000	15,000	20,000	25,000

Group A Depreciation Expense in FY 2001 = (Cost - Accumulated Depreciation) /
Remaining Life = (30,000 - 10,000) / 4 = 5,000

Method Changed From Flat Rate to Straight Line

Example: Method Changed From Flat Rate to Straight Line

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	20%
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Monthly

The following table contains asset setup information used in this example.

Member Asset 1 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	10,000
Date Added to Group Asset A	01-Jan-2000
Date Place in Service:	01-Jan-2000

Member Asset 2 Setup

Asset Setup Item	Asset Setup Information
Cost Added:	20,000
Date Added to Group Asset A	01-Jan-2000
Date Place in Service:	01-Jan-2000

The following table contains asset setup information used in this example.

Depreciation Method Change for Group Asset A

Asset Setup Item	Asset Setup Information
Original Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost Rate: 20%
Depreciation Method Change	Changed to Straight Line (STL) Life: 4 Year
Year Performed:	FY-2002
Amortization Start Date:	01-Jan-2002

The table below contains the annual cost and calculated amounts for the group and member assets.

	FY-2000	FY-2001	FY-2002	FY-2003
Asset 1	10,000	10,000	10,000	10,000
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	30,000	30,000
Group A Depreciation	6,000	6,000	9,000	9,000
Group A Accumulated Depreciation	6,000	12,000	21,000	30,000

Group A Depreciation Expense in FY 2002 = (Cost - Accumulated Depreciation) / Remaining Life = (30,000 - 12,000) / 2 = 9,000

Group A four year life begins 01/01/2000, and becomes fully reserved at the end of 2003.

Changing Group Asset Salvage Value

You can calculate the group asset salvage value by using the following methods:

- **Percentage:** You can enter a salvage value percentage for the group asset. The salvage value is calculated using the following formula:

Group Asset Salvage Value = Group Asset Salvage Value Percentage * Aggregated Group Cost.

When you change the salvage value of any member asset, it has no effect on the group asset salvage value.

- **Sum of Member Asset:** The group asset salvage value is equal to the sum of all member asset salvage values.

Group Asset Salvage Value = Sum of all Member Asset Salvage Values

Changing the salvage value of a member asset will result in the group asset changing by the same amount.

Example: Salvage Value Change of Group Asset A - Percentage

The following table contains asset setup information used in this example.

Group Asset Salvage Value = 5%

Asset	Date Placed in Service	Cost	Salvage Value
Asset 1	01/01/2000	10,000	2,000
Asset 2	01/01/2000	20,000	3,000
Group Asset A	01/01/2000	30,000	1,500

Group A Salvage Value = 5% X 30,000 = 1,500

The following table contains asset setup information used in this example.

Changing Group A Salvage Value Percent

Asset Setup Item	Asset Setup Information
Salvage Value Percentage:	Change Group A Salvage Value to 10%
Period Performed:	01-Mar-2000
Amortization Date:	01-Mar-2000
Group A Salvage Value:	3,000

Example: Salvage Value Change of Member Asset 1 - Sum of Member Asset

The following table contains asset setup information used in this example.

Asset	Date Placed in Service	Cost	Salvage Value
Asset 1	01/01/2000	10,000	4,000
Asset 2	01/01/2000	20,000	1,000
Group Asset A	01/01/2000	30,000	5,000

Group A Salvage Value = 4,000 + 1,000 = 5,000

The following table contains asset setup information used in this example.

Changing Asset 1 Salvage Value Amount

Asset Setup Item	Asset Setup Information
Salvage Value:	Change Asset 1 Salvage Value to 2,000
Period Performed:	01-Mar-2000
Amortization Date:	01-Mar-2000
Group A Salvage Value:	3,000

Example: Salvage Value Change from Group Asset Percentage to Sum of Member Asset

The following table contains asset setup information used in this example.

Group Asset Salvage Value = 5%

Asset	Date Placed in Service	Cost	Salvage Value
Asset 1	01/01/2000	10,000	2,000
Asset 2	01/01/2000	20,000	1,000
Group Asset A	01/01/2000	30,000	1,500

Group A Salvage Value = 5% X 30,000 = 1,500

The following table contains asset setup information used in this example.

Changing Group A Salvage Value Type

Asset Setup Item	Asset Setup Information
Salvage Value:	Change Group A Salvage Value Type to Sum of Member Assets
Period Performed:	01-Mar-2000
Amortization Date:	01-Mar-2000

Asset Setup Item	Asset Setup Information
Group A Salvage Value:	3,000

Group Assets Adjustment

Transfer Reserve

A transfer reserve allows you to move part of the accumulated depreciation from one group asset to another, and is treated as a current period amortized adjustment. When you select the **TransfersReserve** button, a dialog box prompts you to enter the transfer amount and the receiving group asset. When you enter these values and select the **Done** button, the following journals are created for the current period:

Account Description	Debit	Credit
Source Group Asset Accumulated Depreciation	xxxx	
Target Group Asset Accumulated Depreciation		xxxx

Unplanned Depreciation

You can enter an unplanned depreciation amount for a group asset using the **Asset Workbench**. An unplanned depreciation adjustment is treated as a current period amortized adjustment. Unplanned depreciation is available if the group asset is depreciating with the **Flat Rate** depreciation method.

When you select the **Unplanned Depreciation** button, a dialog box prompts you to select a type and enter an amount. When you enter these values and select the **Done** button, the following journals are created:

Account Description	Debit	Credit
Group Asset Depreciation Expense	xxxx	
Group Asset Accumulated Depreciation		xxxx

Note: Unplanned Depreciation is entered at the group asset level.

Adjust Retirement

For project related assets, it may be more convenient to enter the cost of removal and proceeds of sale against the group, rather than apportioning the amounts to the individual member assets. Also, at the time of the individual asset retirements, the costs of removal and proceeds of sales are not always known. This requires entering the cost of removal and proceeds of sale directly to the group asset, independent of any retirement transactions.

Note: You cannot enter the cost of removal and proceeds of sale directly to a group asset in the period it was added.

To enter the cost of removal and proceeds of sale directly to the group asset, select the Adjust Retirement button. In the resulting dialog box, enter the cost of removal and proceeds of sale for the group asset, and select the Done button. The following journal entries are created:

Account Description	Debit	Credit
Group Asset Accumulated Depreciation	<Cost of Removal>	
Cost of Removal		<Cost of Removal>
Proceeds of Sale	<Proceeds of Sale>	
Group Asset Accumulated Depreciation		<Cost of Removal>

Reserve Adjustments

While in the first period of the asset's life, you may enter or adjust the group asset accumulated depreciation balance on the books window, after a member asset has been assigned to the group asset. However, no journal entries will result from this reserve adjustment. This functionality is intended, and provided to facilitate migration from legacy systems. If you have enabled the member asset tracking selection for the group asset, you cannot enter a or update the accumulated depreciation for the group asset.

Super Groups

The Super Group function is designed to assist compliance with the telecommunication

industry regulations that specify classifying group assets together.

You can use the Super Group function to override depreciation rules, including the depreciation methods, depreciation rates, and depreciation limit, on a group asset. The depreciation expense of each group asset is tracked and stored individually.

Set Up Super Groups

To set up super groups in the Super Groups window:

1. Navigate to the Super Groups window.
2. In the Name field, enter a name for the super group.
3. In the Description field, enter a description for the super group.
4. Check the Enabled check box to enable the super group.
5. In the Book field, enter the name of the corporate or tax book of the super group.
6. In the Periods From fields, enter the range of periods in which the depreciation method and depreciation limit rules are effective. You can specify as many depreciation rule ranges of as you wish. If you do not enter an end date, Oracle Assets will use the entered set of depreciation rules indefinitely.

You can add a new range of valid depreciation rules by entering an end period for the current record, saving, and then enter a new range of valid depreciation rules.

7. Enter the depreciation method, basis, and adjusted rates. You can only enter a depreciation method that has a method type of Flat and a calculation basis of Cost.
8. Enter a depreciation limit percentage in the Depreciation Limit field. You can enter a positive or a negative depreciation limit.

You can assign a super group to a group asset in the Advanced Rules tabbed region of the Books window. You can only assign a super group to one group asset within an asset book. When you assign a super group to a group asset, the group asset depreciation expense is calculated using the depreciation method and rules specified for the super group. The group asset depreciation expense is calculated according to the following formula:

$$\text{Group Asset Depreciation} = \text{Group Asset Cost} * \text{Super Group Annual Depreciation Rate} / \text{Periods per Year}$$

The group asset depreciation amount is limited by the depreciation limit percentage that you entered during the setup of the super group.

Transactions: Group Reclassification

A group reclassification occurs when you change the group membership of an asset using the Asset Workbench. The group asset membership is changed when you modify the group asset field, which is found in the Group Asset tabbed region in the Books window.

A group reclassification occur in the following scenarios:

- Add a standalone asset into a group asset
- Transfer a member asset from a source group asset to a target group asset (transfer between group assets)
- Remove a member asset from a group asset

Oracle Assets provides the following two ways to process a group reclassification:

- Asset Workbench
- Mass Change

All group reclassifications of member assets are treated as amortized adjustments to the group asset, and you cannot backdate the group reclassification prior to the last group reclassification date or the last retirement transaction you have performed on this asset.

To transfer a member asset between source group assets, both group assets must have member asset tracking enabled. You cannot transfer a member asset from a source group asset containing member asset without tracking enabled, to a destination group asset with member asset tracking enabled.

You must check the Allow Intercompany Member Asset Assignment check box on the Book Controls window to transfer a member asset between group assets with different balancing segment values.

Transfer Types - Calculate and Enter

Transfer Type - Calculate

When you use the Calculate transfer type, the system will calculate the group reclassification based on the group amortization start date entered. The date in the Group Amortization Start Date field is defaulted to the date placed in service of the member asset. You can update the group amortization start date to any date from the current period date to its date placed in service.

Calculate Prior Period Group Amortization Start Date

When a prior period date is entered as the group amortization start date, the transaction is treated as a backdated group reclassification. This requires calculating the

depreciation expense for the prior periods, and making the appropriate adjustments to the source and destination group assets.

When you make a prior period group reclassification, the system subtracts the depreciation expense from the source group asset and adds a depreciation adjustment expense, or catchup expense, to the destination group asset. This ensures that the financial impact of having the member asset in the wrong group has been reversed.

The journal entries created are as follows:

Account Description	Debit	Credit
Source Group Accumulated Depreciation	<Source Group Depreciation>	
Source Group Depreciation Expense		<Source Group Depreciation>
Destination Group Depreciation Expense	<Destination Group Depreciation>	
Destination Group Accumulated Depreciation		<Destination Group Depreciation>

The destination group asset depreciation expense is calculated using the destination group asset depreciation method. The amount is added to the destination group asset accumulated depreciation balance. This type of transfer is treated as a back dated amortized adjustments for both the source and destination group assets.

Example: Transfer Type Calculate - Between Groups

Asset Information

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 (Cost: 30,000; DPIS: Q3-2000) Asset 2 (Cost: 20,000; DPIS: Q3-2000)

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	20%
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Group Asset B Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group B
Member Assets:	Asset 3 (Cost: 50,000; DPIS: Q1-2000) Asset 4 (Cost: 30,000; DPIS: Q1-2000)
Depreciation Method:	Straight Line 2 Years
Group DPIS / Prorate Date:	01-Jan-2000
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Group Reclassification

Asset Setup Item	Asset Setup Information
Group Reclassification:	Transfer Asset 1 from Group A to Group B
Period Performed:	Q1-2001
Group Amortization Start Date:	Q3-2000

Asset Setup Item	Asset Setup Information
Transfer Type:	Calculate

The table below contains the quarterly cost and calculated amounts for Group Asset A.

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	-	-	-
Q2-2000	-	-	-
Q3-2000	50,000	2,500	2,500
Q4-2000	50,000	2,500	5,000
Q1-2001	20,000	<2,000>	3,000
Q2-2001	20,000	1,000	4,000
Q3-2001	20,000	1,000	5,000
Q4-2001	20,000	1,000	6,000

The table below contains the quarterly cost and calculated amounts for Group Asset B.

Group Asset B

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	80,000	10,000	10,000
Q2-2000	80,000	10,000	20,000
Q3-2000	80,000	10,000	30,000
Q4-2000	80,000	10,000	40,000

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2001	110,000	25,000	65,000
Q2-2001	110,000	15,000	80,000
Q3-2001	110,000	15,000	95,000
Q4-2001	110,000	15,000	110,000

In Q1-2001, depreciation is calculated as follows:

Group A

Periodic Depreciation + Catchup Expense Up to Q3-2000

$$= [(50,000 - 20,000) * 20\% / 4] + [(50,000 - 20,000) * 20\% / 4 * 2 - (2,500 + 2,500)] = <2,000>$$

Group B Periodic Depreciation + Catchup Expense up to Q3-2000

$$= [(110,000 - 20,000) / 6] + [(110,000 - 20,000) / 6 * 2 - (10,000 + 10,000)] = 25,000$$

The system creates journal entries in Q1-2001 as follows:

Account Description	Debit	Credit
Group A Accumulated Depreciation	2,000	
Group A Depreciation Expense		2,000
Group B Depreciation Expense	25,000	
Group B Accumulated Depreciation		25,000

Add a Standalone Asset

When you add a standalone asset into a group asset, the system uses the group asset amortization start date to calculate any required catchup expenses. The catchup expense for a standalone asset is calculated using the depreciation method of the standalone asset. It is deducted from the standalone asset accumulated depreciation balance before it is added to a group asset. The remaining accumulated depreciation balance of the

standalone asset is added to the group asset when it becomes a member asset. Also, the cost of the member asset is added to the cost of the group asset.

The catchup depreciation expense is calculated using the group asset depreciation method. The catchup depreciation amount is added to the group asset accumulated depreciation balance in the current period of the transfer. This type of transfer is treated as a backdated amortized adjustment to the group asset.

The table below contains the annual cost and calculated amounts for the group and member assets.

Example: Transfer Type Calculate - Add A Standalone Asset Into A Group Asset

The following table contains asset setup information used in this example.

Standalone Asset 1 Setup

Asset Setup Item	Asset Setup Information
Asset:	Asset 1 (Cost: 20,000; DPIS: Q3-2000)
Depreciation Method:	Flat Rate of 20% with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Group Asset B Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group B
Member Assets:	Asset 3 (Cost: 50,000; DPIS: Q1-2000), Asset 4 (Cost: 30,000; DPIS: Q1-2000)
Depreciation Method:	Straight Line 2 years
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Group Reclassification

Asset Setup Item	Asset Setup Information
Group Reclassification:	Add Asset 1 to Group B
Period Performed:	Q1-2001
Group Amortization Start Date	Q4-2000
Transfer Type:	Calculate

The table below contains the quarterly cost and calculated amounts for Asset 1.

Member Asset 1

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	-	-	-
Q2-2000	-	-	-
Q3-2000	20,000	1,000	1,000
Q4-2000	20,000	1,000	2,000
Q1-2001	20,000	<1,000>	0
Q3-2001	20,000	-	0
Q4-2001	20,000	-	0

The table below contains the quarterly cost and calculated amounts for Group Asset B.

Group Asset B

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	80,000	10,000	10,000

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q2-2000	80,000	10,000	20,000
Q3-2000	80,000	10,000	30,000
Q4-2000	80,000	10,000	40,000
Q1-2001	100,000	17,600	58,600
Q2-2001	100,000	13,800	72,400
Q3-2001	100,000	13,800	86,200
Q4-2001	100,000	13,800	100,000

In Q1-2001, Group Reclassification is calculated as follows:

Asset 1 Catch Up Expense = $-20,000 * 20\% / 4 = <1,000>$

Asset 1 Accumulated Depreciation Transferred to Group B = $2,000 - 1,000 = 1,000$

Group B Depreciation = Periodic Depreciation + Catchup Expense for Q4-2000 = $[(100,000 - 30,000 - 1,000) / 5] + [(100,000 - 30,000 - 1,000) / 5 - 10,000] = 18,000$

The system creates journal entries in Q1-2001 as follows:

Account Description	Debit	Credit
Asset 1 Accumulated Depreciation	1,000	
Asset 1 Depreciation Expense		1,000

Account Description	Debit	Credit
Asset 1 Accumulated Depreciation	1,000	
Group B Accumulated Depreciation		1,000

Account Description	Debit	Credit
Group B Depreciation Expense	17,600	
Group B Accumulated Depreciation		17,600

If Asset 1 and Group Asset B have different balancing segment values, and you enabled allow intercompany member asset assignments, Oracle Assets creates intercompany balancing journal entries for Q1-2001 as follows:

Account Description	Debit	Credit
Company 01 Asset 1 Accumulated Depreciation	1,000	
Company 01 Asset 1 Depreciation Expense		1,000

Account Description	Debit	Credit
Company 01 Asset 1 Accumulated Depreciation	1,000	
Company 02 Group B Accumulated Depreciation		1,000

Account Description	Debit	Credit
Company 02 Group B Depreciation Expense	17,600	
Company 02 Group B Accumulated Depreciation		17,600

Account Description	Debit	Credit
Company 02 Intercompany AR	1,000	
Company 01 Intercompany AP		1,000

Transfer a Member Asset out of a Group Asset

When you remove the group assignment of a member asset (removing the member asset from the group), the group amortization start date is generally defaulted to the date placed in service of the member asset. However, if the member asset has already performed a group reclassification, the group amortization start date will default to the last group reclassification amortization start date.

You cannot backdate a group reclassification transaction for a member asset before its last group reclassification amortization start date or its last retirement date.

All group reclassifications of member assets are treated as amortized adjustments to the member and the group asset. You cannot perform an expensed adjustment for a standalone asset if it was formerly a member asset, which experienced amortized adjustments while part of a group asset.

Example: Transfer Type Calculate - Remove a Member Asset from Group Asset

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 (cost: 20,000; dpis: Q1-2000), Asset 2 (cost: 30,000; dpis: Q3-2000)
Depreciation Method:	Straight Line 2 years
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Member Asset 2 Setup

Asset Setup Item	Asset Setup Information
Asset:	Asset 2 (cost: 20,000; dpis: Q3-2000)
Depreciation Method:	Straight Line 3 years
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Group Reclassification

Asset Setup Item	Asset Setup Information
Group Reclassification:	Remove Asset 2 from Group B
Period Performed:	Q1-2001
Group Amortization Start Date:	Q3-2000 (Restricted to the DPIS of Asset 2)
Transfer Type:	Calculate

The table below contains the quarterly cost and calculated amounts for Group Asset A.

Group Asset A

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	20,000	2,500	2,500
Q2-2000	20,000	2,500	5,000
Q3-2000	50,000	7,500	12,500
Q4-2000	50,000	7,500	20,000
Q1-2001	20,000	<7,500>	12,500

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q2-2001	20,000	2,500	15,000
Q3-2001	20,000	2,500	17,500
Q4-2001	20,000	2,500	20,000

The table below contains the quarterly cost and calculated amounts for Asset 2.

Asset 2

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	-	-	-
Q2-2000	-	-	-
Q3-2000	30,000	-	0
Q4-2000	30,000	-	0
Q1-2001	30,000	7,500	7,500
Q2-2001	30,000	2,500	10,000
Q3-2001	30,000	2,500	12,500
Q4-2001	30,000	2,500	15,000

In Q1-2001, depreciation is calculated as follows:

Group A Depreciation = Periodic Depreciation + Catchup Expense for Q1-2000 =
 $[(20,000 - 5,000) / 6] + [(20,000 - 5,000) / 6 * 2 - (7,500 + 7,500)] = <7,500>$

Asset 2 Depreciation = $30,000 / 12 * 3 = 7,500$

The system creates journal entries in Q1-2001 as follows:

Account Description	Debit	Credit
Group A Accumulated Depreciation	7,500	
Group A Depreciation Expense		7,500

Account Description	Debit	Credit
Asset 2 Depreciation Expense	7,500	
Asset 2 Accumulated Depreciation		7,500

Calculate - Current Period Group Amortization Start Date

When the group amortization start date is in the current period, the transaction results in a current period transfer of accumulated depreciation. There is no need to adjust depreciation amounts that have already been taken for the member asset or the group asset. The transfer is processed in the current period by removing the calculated accumulated depreciation amount from the source group asset, and adding it to the accumulated depreciation balance of the destination group asset. The journal entries created are as follows:

Source

Account Description	Debit	Credit
Group Accumulated Depreciation	<Source Group Depreciation>	
Group Depreciation Expense		<Source Group Depreciation>

Destination

Account Description	Debit	Credit
Group Depreciation Expense	<Destination Group Depreciation>	
Group Accumulated Depreciation		<Destination Group Depreciation>

Example: Transfer Type Calculate - Between Groups

The following table contains asset setup information used in this example.

Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 (cost: 20,000; dpis: Q1-2000) Asset 2 (cost: 20,000; dpis: Q1-2000)
Depreciation Method:	Flat Rate of 20% with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Asset B Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group B
Member Assets:	Asset 3 (cost: 50,000; dpis: Q1-2000), Asset 4 (cost: 30,000; dpis: Q1-2000)
Depreciation Method:	Straight Line 2 years
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Group Reclassification

Asset Setup Item	Asset Setup Information
Group Reclassification:	Transfer Asset 1 from Group A to Group B
Period Performed:	Q1-2001
Group Amortization Start Date:	Q1-2001
Transfer Type:	Calculate

The table below contains the quarterly cost and calculated amounts for Group Asset A.

Group Asset A

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	40,000	2,000	2,000
Q2-2000	40,000	2,000	4,000
Q3-2000	40,000	2,000	6,000
Q4-2000	40,000	2,000	8,000
Q1-2001	20,000	1,000	5,000
Q2-2001	20,000	1,000	6,000
Q3-2001	20,000	1,000	7,000
Q4-2001	20,000	1,000	8,000

The table below contains the quarterly cost and calculated amounts for Group Asset B.

Group Asset B

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	80,000	10,000	10,000
Q2-2000	80,000	10,000	20,000
Q3-2000	80,000	10,000	30,000
Q4-2000	80,000	10,000	40,000
Q1-2001	100,000	14,000	58,000
Q2-2001	100,000	14,000	72,000
Q3-2001	100,000	14,000	86,000
Q4-2001	100,000	14,000	100,000

In Q1-2001, Group Reclassification is calculated as follows:

Member Asset 1 Accumulated Depreciation Transferred Out = $(40,000 - 20,000) * 20\% / 4 * 4 = 4,000$

Group Asset A Depreciation Expense = $\text{New Cost} * \text{Annual Depreciation Rate} / \text{Periods per Year} = (40,000 - 20,000) * 20\% / 4 = 1,000$

Group Asset B Depreciation Expense = $(\text{New Cost} - \text{Recalculated Accumulated Depreciation}) / \text{Remaining Life} = [(80,000 + 20,000) - 4,000 - 40,000] / 4 = 14,000$

The system creates journal entries in Q1-2001 as follows:

Group Reclassification:

Account Description	Debit	Credit
Group A Accumulated Depreciation	4,000	
Group B Depreciation Expense		4,000

Periodic Depreciation:

Account Description	Debit	Credit
Group A Depreciation Expense	1,000	
Group A Accumulated Depreciation		1,000
Group B Depreciation Expense	14,000	
Group B Accumulated Depreciation		14,000

Transfer Type - Enter

If you use a transfer type of Enter, you must manually enter the accumulated depreciation amount you wish to transfer. You may enter the transfer accumulated depreciation amount on the Depreciation Reserve field in the Group Asset tabbed region on the Books form.

You can optionally enter the Source Prior Year Reserve and Destination Prior Year Reserve amounts if the transfer type is Enter. These Prior Year Reserve amounts are used to calculate the depreciation expenses if you have a depreciation method with NBV as the calculation basis. However, they do not impact depreciation calculation if your depreciation method is Cost basis.

Transfers with a type of Enter can only include accumulated depreciation amounts, and are always treated as current period transfers. No adjustments are made to the depreciation expense already taken for the member or group asset. Oracle Assets simply transfers the accumulated depreciation amount you entered.

For example, a current period transfer is processed when the manually entered accumulated depreciation amount is removed from the source group asset and added to the destination group asset. The resulting journal entries are as follows:

Account Description	Debit	Credit
Source Group Accumulated Depreciation	< Entered Transfer Amount>	
Destination Group Accumulated Depreciation		<Entered Transfer Amount>

Validation / Restriction on Entered Reserve amount

- When removing a member asset out of a group, the entered reserve amount is limited to the recoverable cost of the member asset removed from the group.
- The member asset recoverable cost is calculated according to the following formula:
Member Asset Recoverable Cost = Member Asset Cost - Member Asset Salvage Value
- When adding a standalone asset into a group, the Enter transfer type is disallowed.

A. Example: Transfer Type Enter - Between Groups

The following table contains asset setup information used in this example.

Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 (cost: 20,000; dpis: Q1-2000), Asset 2 (cost: 20,000; dpis: Q1-2000)
Depreciation Method:	Flat Rate of 20% with cost basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Asset B Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group B
Member Assets:	Asset 3 (cost: 50,000; dpis: Q1-2000), Asset 4 (cost: 30,000; dpis: Q1-2000)
Depreciation Method:	Flat Rate of 50% with cost basis Depreciable Basis Rule: Use Recoverable Cost

Asset Setup Item	Asset Setup Information
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Group Reclassification

Asset Setup Item	Asset Setup Information
Group Reclassification:	Transfer Asset 1 from Group A to Group B
Period Performed:	Q1-2001
Transfer Type:	Enter
Accumulated Depreciation:	2,000

The table below contains the quarterly cost and calculated amounts for Group Asset A.

Group Asset A

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	40,000	2,000	2,000
Q2-2000	40,000	2,000	4,000
Q3-2000	40,000	2,000	6,000
Q4-2000	40,000	2,000	8,000
Q1-2001	20,000	1,000	7,000
Q2-2001	20,000	1,000	8,000
Q3-2001	20,000	1,000	9,000
Q4-2001	20,000	1,000	10,000

The table below contains the quarterly cost and calculated amounts for Group Asset B.

Group Asset B

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	80,000	10,000	10,000
Q2-2000	80,000	10,000	20,000
Q3-2000	80,000	10,000	30,000
Q4-2000	80,000	10,000	40,000
Q1-2001	100,000	12,500	54,500
Q2-2001	100,000	12,500	67,000
Q3-2001	100,000	12,500	79,500
Q4-2001	100,000	12,500	92,000

In Q1-2001, depreciation is calculated as follows:

Group A = $(40,000 - 20,000) \times 20\% / 4 = 1,000$

Group B = $(80,000 + 20,000) * 50\% / 4 = 12,500$

The system creates journal entries in Q1-2001 as follows:

Group Reclassification:

Account Description	Debit	Credit
Group A Accumulated Depreciation	2,000	
Group B Accumulated Depreciation		2,000

Periodic Depreciation:

Account Description	Debit	Credit
Group A Depreciation Expense	1,000	
Group A Accumulated Depreciation		1,000

Account Description	Debit	Credit
Group B Depreciation Expense	12,500	
Group B Accumulated Depreciation		12,500

B. Example: Transfer Type Enter - Remove a Member Asset from a Group Asset

The following table contains asset setup information used in this example.

Asset A Setup

Asset Setup Item	Asset Setup Information
Asset:	Group A
Member Assets:	Asset 1 (Cost: 20,000; DPIS: Q1-2000), Asset 2 (Cost: 40,000; DPIS: Q1-2000)
Depreciation Method:	Straight Line 2 years
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Asset 2 Setup

Asset Setup Item	Asset Setup Information
Asset:	Asset 2
Depreciation Method:	Straight Line 2 years
Depreciation Calendar:	Quarterly

Group Reclassification

Note: All group reclassifications of member assets are treated as amortized adjustments to the member and the group asset. You cannot perform an expensed adjustment to a standalone asset if it was formerly a member asset, which experienced amortized adjustments while part of a group asset.

The following table contains asset setup information used in this example.

Group Reclassification

Asset Setup Item	Asset Setup Information
Group Reclassification:	Transfer Asset 2 from Group A to Group B
Period Performed:	Q1-2001
Group Amortization Start Date:	Q1-2001
Transfer Type:	Enter
Accumulated Depreciation:	15,000 (This amount will be limited to Asset 2 Recoverable Cost = 40,000)

The table below contains the quarterly cost and calculated amounts for Group Asset A.

Group Asset A

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	60,000	7,500	7,500
Q2-2000	60,000	7,500	15,000
Q3-2000	60,000	7,500	22,500
Q4-2000	60,000	7,500	30,000
Q1-2001	20,000	1,250	16,250
Q2-2001	20,000	1,250	17,500
Q3-2001	20,000	1,250	18,750
Q4-2001	20,000	1,250	20,000

The table below contains the quarterly cost and calculated amounts for Group Asset 2.

Member Asset 2

Calendar Period	Cost	Depreciation	Accumulated Depreciation
Q1-2000	40,000	-	-
Q2-2000	40,000	-	-
Q3-2000	40,000	-	0
Q4-2000	40,000	-	0
Q1-2001	40,000	6,250	21,250
Q2-2001	40,000	6,250	27,500
Q3-2001	40,000	6,250	33,750
Q4-2001	40,000	6,250	40,000

In Q1-2001, depreciation is calculated as follows:

Group Asset A = (New Cost - Recalculated Accumulated Depreciation) / Remaining Life
= (60,000 - 40,000 - 30,000 + 15,000) / 4 = 1,250

Member Asset 2 = (40,000 - 15,000) / 4 = 6,250

The system creates journal entries in Q1-2001 as follows:

Group Reclassification:

Account Description	Debit	Credit
Group A Accumulated Depreciation	15,000	
Asset 2 Accumulated Depreciation		15,000

Periodic Depreciation:

Account Description	Debit	Credit
Group A Depreciation Expense	1,250	
Group A Accumulated Depreciation		1,250
Asset 2 Depreciation Expense	6,250	
Asset 2 Accumulated Depreciation		6,250

Transactions: Retirements

You can use retirement rules to control how member asset retirement gain and loss is calculated. The retirement rules are set up for the group asset, and apply to all of the member assets assigned to the group asset. The group asset retirement rules cannot be changed after a member asset is assigned to the group asset.

Retirement transactions are performed at the member asset level only. When you retire a member asset, the member asset will inherit the retirement rules from the group asset. The two group asset retirement rule types include the following:

- Do Not Recognize Gain and Loss
- Recognize Gain and Loss at the time of retiring a member asset

You can only retire a member asset in the current period, and you cannot perform a prior period retirement of a member asset. The member asset retirement is based on the retirement date entered, and the retirement prorate date must be in the current period. If you supply a retirement prorate convention, it is ignored and the current period is always taken as the period of retirement.

Do Not Recognize Gain and Loss

When you retire a member asset using the Do Not Recognize Gain And Loss option, the gain and loss are not recognized at the time of the retirement. This type of retirement treatment is available for member assets only, and is not available for individual asset retirement.

For member asset retirements, the proceeds of sales for the retiring asset is added to the group accumulated depreciation, and the cost of removal is deducted from the group asset accumulated depreciation balance. The retired cost of the member asset is subtracted from the group accumulated depreciation balance. Also, the cost of the member asset is retired and deducted from the group asset cost, and the gain and loss are not recognized.

When you complete a member asset retirement using the Do Not recognize Gain and Loss retirement rule, Oracle Assets completes the retirement by automatically completing the following steps:

1. The retirement will result in the following system generated journal entries:

Account Description	Debit	Credit
Book Level Proceeds of Sale (Proceeds)	XX	
Group Accumulated Depreciation (Proceeds)		XX
Group Accumulated Depreciation (Retired Asset Cost)	XX	
Member Asset Cost (Retired Asset Cost)		XX

Account Description	Debit	Credit
Group Accumulated Depreciation (Cost of Removal)	XX	
Book Level Cost of Removal (Cost of Removal)		XX

2. The gain and loss is not recognized.
3. The retiring member asset salvage value will be subtracted from the group asset salvage value if the Use Sum of Member Asset option is enabled. Otherwise, the group asset salvage value will be recalculated using the new group asset cost and group salvage value percentage.

Current Period Retirement: Do Not Recognize

When you retire a member asset, the recognize gain and loss treatment is defaulted from the group asset retirement rules setup.

Example: Do Not Recognize Gain and Loss

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 (Cost = 10,000; DPIS = FY2000) Asset 2 (Cost = 20,000; DPIS = FY2000)
Depreciation Method:	Flat Rate with NBV Basis Depreciation Basis Rule: Transaction Period Basis
Depreciation Rate:	20%
Depreciation Calendar:	Yearly

Asset Setup Item	Asset Setup Information
Retirement Setup:	Recognize Gain and Loss = Do Not Recognize Recapture Excess Reserve = No Limit Proceeds to Cost = No Terminal Gain and Loss = Recognize Immediately

The following table contains asset setup information used in this example.

Retirement of Asset 1

Retiring Asset 1 in Group A in Current Period

Asset Setup Item	Asset Setup Information
Retire Date:	Retiring Asset 1 in FY2002
Cost Retired:	10,000
Proceeds of Sale:	6,000
Cost of Removal:	1,000

The table below contains cost and calculated amounts for the group and member assets.

	FY-2000	FY-2001	FY-2002	FY-2003
Asset 1	10,000	10,000	-	-
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	20,000	20,000
Group A Depreciation	6,000	4,800	2,840	2,272
Group A Accumulated Depreciation	6,000	10,000	8,640	10,912
Group A NBV	24,000	19,200	11,360	9,088

FY 2002 Depreciable NBV Basis = Recoverable Cost - Accumulated Depreciation before Depreciation = 20,000 - (10,800 + 6,000 - 10,000 - 1,000) = 14,200

FY 2002 Depreciation = 14,200 * 20% = 2,840

FY 2002 Accumulated Depreciation = FY2001 accumulated depreciation + proceeds - cost retired - cost of removal + FY2002 depreciation

= 10,800 + 6,000 - 10,000 - 1,000 + 2,840 = 8,640

The system creates the following retirement journal entries:

Account Description	Debit	Credit
Proceeds of Sale	6,000	
Group Accumulated Depreciation		6,000
Group Accumulated Depreciation	10,000	
Asset 1 Cost		10,000
Group Accumulated Depreciation	1,000	
Cost of Removal		1,000

Intercompany Transactions

If the balancing segment value of the retired member asset is different than the balancing segment value of the group asset, the system creates journal entry balancing segment values to balance the journal entry batch posted to General Ledger. The journal entries created include the following:

Account Description	Debit	Credit
Company 01 Proceeds of Sale	6,000	
Company 01 Group Accumulated Depreciation		6,000

Account Description	Debit	Credit
Company 01 Group Accumulated Depreciation	10,000	
Company 02 Asset 1 Cost		10,000
Account Description	Debit	Credit
Company 01 Group Accumulated Depreciation	1,000	
Company 01 Cost of Removal		1,000
Account Description	Debit	Credit
Company 02 Intercompany AR	10,000	
Company 01 Intercompany AP		10,000

Limit Net Proceeds to Cost

When you select the Limit Net Proceeds to Cost option in the group asset Retirement tabbed region, all the member assets are subject to the group asset retirement rule. The Limit Proceeds to Cost option is available only if the Recognize Gain and Loss value is Do Not Recognize.

When the Limit Net Proceeds to Cost option is enabled, the member asset net proceeds amount is limited to the retiring member recoverable cost. The net proceeds (Proceeds of Sale _ Cost of Removal) from the disposition are added to the group asset accumulated depreciation balance until it is equal to the recoverable cost of the retiring member asset. Any additional amounts are recognized as a gain. The gain is posted to the NBV Retired Gain account.

Example: Limit Net Proceeds to Cost: Do Not Recognize Gain and Loss

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 (Cost = 10,000; DPIS = FY2000) Asset 2 (Cost = 20,000; DPIS = FY2000)
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	20%
Depreciation Calendar:	Yearly
Retirement setup:	Recognize Gain and Loss = Do Not Recognize Recapture Excess Reserve = No Limit Proceeds to Cost = Yes Terminal Gain and Loss = Recognize Immediately

The following table contains asset setup information used in this example.

Retirement of Asset 1

Asset Setup Item	Asset Setup Information
Retire Date:	Retiring Asset 1 in FY2002
Cost Retired:	10,000
Gain / Loss recognition:	Do Not Recognize
Proceeds of Sale:	30,000
Cost of Removal:	5,000

The table below contains cost and calculated amounts for the group and member assets.

	FY-2000	FY-2001	FY-2002	FY-2003
Asset 1	10,000	10,000	-	-
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	20,000	20,000
Group A Depreciation	6,000	6,000	4,000	4,000
Group A Accumulated Depreciation	6,000	12,000	16,000	20,000

FY 2002 Depreciation = 20,000 * 20% = 4,000

FY 2002 Accumulated Depreciation = 12,000 - 10,000 + 10,000 + 4,000 = 16,000

The system creates the following retirement journal entries:

Account Description	Debit	Credit
Proceeds of Sale	30,000	
Cost of Removal		5,000
Group Accumulated Depreciation		10,000
NBV Retired Gain		15,000
Group Accumulated Depreciation	10,000	
Asset 1 Cost		10,000

Recapture Excess Reserve

If the Recapture Excess Reserve option is selected on the group asset Retirement tabbed region, all the member assets are subject to the retirement rules selected for the group asset. The Recapture Excess Reserve option allows you to indicate if the excess of the

group asset accumulated depreciation over its recoverable cost should be recaptured and recognized as a gain.

If the Recapture Excess Reserve option is selected, the proceeds from retirement can only be added to the group accumulated depreciation balance until it is equal to the group asset recoverable cost (Cost - Salvage Value); any additional amounts are recognized as a gain. The gain will be posted to the NBV Retired Gain account specified in the Book Controls window.

Note: The Recapture Excess Reserve option is only available if the Over Depreciation field is set to Do Not Allow.

Example: Recapture Excess Reserve: Do Not Recognize Gain and Loss

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 (Cost = 10,000; DPIS = FY2000) Asset 2 (Cost = 20,000; DPIS = FY2000)
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	20%
Depreciation Calendar:	Yearly
Retirement Setup:	Recognize Gain and Loss = Do Not Recognize Recapture Excess Reserve = Yes Limit Proceeds to Cost = No Terminal Gain and Loss = Recognize Immediately

The following table contains asset setup information used in this example.

Retirement of Asset 1

Asset Setup Item	Asset Setup Information
Retire Date:	Retiring Asset 1 in FY2002
Cost Retired:	10,000
Gain / Loss recognition:	Do Not Recognize
Proceeds of Sale:	30,000
Cost of Removal:	5,000

The table below contains cost and calculated amounts for the group and member assets.

	FY-2000	FY-2001	FY-2002
Asset 1	10,000	10,000	-
Asset 2	20,000	20,000	20,000
Group A Cost	30,000	30,000	20,000
Group A Depreciation	6,000	6,000	0
Group A Accumulated Depreciation	6,000	12,000	20,000

FY 2002 Group A Accumulated Depreciation Before Recapture = 12,000 + 30,000 - 10,000 - 5,000 = 27,000

FY 2002 Group A NBV before Recapture = Group Cost - Group Accumulated Depreciation = 20,000 - 27,000 = <7,000>

Recapture = 7,000

Group A Accumulated Depreciation after Recapture = <7,000> + 7,000 = 0

Account Description	Debit	Credit
Proceeds of Sale	30,000	

Account Description	Debit	Credit
Group Accumulated Depreciation		30,000
Group Accumulated Depreciation	10,000	
Asset Cost 1		10,000
Group Accumulated Depreciation	5,000	
Cost of Removal		5,000

The system creates journal entries for retirement as follows:

Account Description	Debit	Credit
Group Accumulated Depreciation	7,000	
NBV Retired Gain		7,000

Recognize Gain and Loss Immediately When Retired

When you use the Recognize Gain and Loss Immediately When Retired Option, the gain and loss are recognized when the member asset is retired, and the cost and accumulated depreciation of the retiring member asset is removed from the group asset. The accumulated depreciation of the retiring member asset must be determined in order to calculate the gain or loss recognized. Included below are the major steps involved in immediately recognizing gains or losses for member asset retirements:

1. To recognize a loss, the system creates the following journal entries:

Account Description	Debit	Credit
Proceeds of Sale	(Proceeds of Sale)	

Account Description	Debit	Credit
Group Accumulated Depreciation	(Retiring Asset Accumulated Depreciation)	
NBV Retired Loss	(Loss)	
Asset Cost		Retiring Asset Cost)
Cost of Removal		(Cost of Removal)

2. To recognize a gain, the system creates the following journal entries:

Account Description	Debit	Credit
Proceeds of Sale	(Proceeds of Sale)	
Group Accumulated Depreciation	(Retiring Asset Accumulated Depreciation)	
Asset Cost		Retiring Asset Cost)
Cost of Removal		(Cost of Removal)
NBV Retired Loss		(Gain)

3. The cost, salvage value and accumulated depreciation of the retired member asset are removed from the group asset.
4. The gain and loss are recognized when the member asset is retired.
5. The system calculates accumulated depreciation for the retiring member asset as follows:
- $$\text{Retiring Member Asset Accumulated Depreciation} = \text{Member Asset Cost} / (\text{Group Asset Cost} * \text{Group Asset Accumulated Depreciation})$$
6. Optionally, you can enter the accumulated depreciation retired for the retired member asset by using the asset Retirement window. The Retiring Reserve Amount field is enabled only if the Recognize Gain and Loss Immediately option is enabled. The accumulated depreciation amount you enter is used to calculate gain and loss on the retiring member asset.

The retiring accumulated depreciation amount is restricted to values between zero and the lesser of the following:

- The recoverable cost for the retiring member.
- The accumulated depreciation balance of the group asset, if member asset tracking is not enabled.

However, if member asset tracking is enabled, the amount is restricted to values between zero and the member asset accumulated depreciation.

Current Period Retirement: Recognize Gain and Loss Immediately When Retired

Example: Recognize Gain and Loss Immediately When Retired: Retiring Asset 1 in Group A

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 (Cost = 10,000; DPIS = FY2000) Asset 2 (Cost = 20,000; DPIS = FY2000)
Depreciation Method:	Flat Rate of with NBV Basis Depreciable Basis Rule: Use Transaction Period Basis
Depreciation Rate:	20%
Depreciation Calendar:	Yearly
Retirement Setup:	Recognize Gain and Loss = Immediately When Retired Recapture Excess Reserve = No Limit Proceeds to Cost = No Terminal Gain and Loss = Recognize Immediately

The following table contains asset setup information used in this example.

Retirement of Asset 1

Asset Setup Item	Asset Setup Information
Retire Date:	Retiring Asset 1 in FY2002

Asset Setup Item	Asset Setup Information
Cost Retired:	10,000
Proceeds of Sale:	6,000
Cost of Removal:	1,000
Retiring Reserve Amount:	Null

The table below contains cost and calculated amounts for the group and member assets.

	FY-2000	FY-2001	FY-2002	FY-2003
Asset 1	10,000	10,000	-	-
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	20,000	20,000
Group A Depreciation	6,000	4,800	2,560	3,072
Group A Accumulated Depreciation	6,000	10,800	9,760	7,712
Group A NBV	24,000	19,200	10,240	12,288

Asset 1 Accumulated Depreciation at FY 2001 = $10,000 / 30,000 * 10,800 = 3,600$

In FY2002, Group A is calculated as follows:

Depreciable Basis in FY 2002 = $20,000 - (10,800 - 3,600) = 12,800$

Depreciation = $12,800 * 20\% = 2,560$

Accumulated Depreciation = FY2001 Accumulated Depreciation - Asset 1 Accumulated Depreciation + FY2002 Depreciation = $10,800 - 3,600 + 2,560 = 9,760$

The system creates journal entries for retiring Asset 1 as follows:

Account Description	Debit	Credit
Proceeds of Sale	6,000	
Group A Accumulated Depreciation	3,600	
NBV Retired Loss	1,400	
Asset 1 Cost		10,000
Cost of Removal		1,000

Intercompany Transaction

If the balancing segment value of the retired member asset is different than the balancing segment value of the group asset, the system creates journal entry balancing segment values to balance the journal entry batch posted to General Ledger. The journal entries created include the following:

Account Description	Debit	Credit
Company 01 Proceeds of Sale	6,000	
Company 01 Group A Accumulated Depreciation	3,600	
Company 01 NBV Retired Loss	1,400	
Company 02 Asset 1 Cost		10,000
Company 01 Cost of Removal		1,000
Company 02 Intercompany AR	10,000	
Company 01 Intercompany AP		10,000

Enter Retiring Reserve Amount

You can optionally enter a retiring accumulated depreciation amount for the retiring member asset. This option is always treated as a current period retirement. The Retiring

Reserve Amount field is available only if the Recognize Gain and Loss Immediately option is selected.

The accumulated depreciation amount you enter will be used to calculate the gain and loss for the retiring member asset. The entered retiring reserve amount is restricted to values ranging from zero to the adjusted cost of the retiring member asset.

Example: Recognize Gain and Loss Immediately When Retired: Entered Retiring Reserve Amount

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 (Cost = 10,000; DPIS = FY2000) Asset 2 (Cost = 20,000; DPIS = FY2000)
Depreciation Method:	Flat Rate with NBV Basis Depreciable Basis Rule: Use Transaction Period Basis
Depreciation Rate:	20%
Depreciation Calendar:	Yearly
Retirement Setup:	Recognize Gain and Loss = Immediately When Retired Recapture Excess Reserve = No Limit Proceeds to Cost = No Terminal Gain and Loss = Recognize Immediately

The following table contains asset setup information used in this example.

Retirement of Asset 1

Asset Setup Item	Asset Setup Information
Retire Date:	Retiring Asset 1 in FY2002
Cost Retired:	10,000
Proceeds of Sale:	6,000

Asset Setup Item	Asset Setup Information
Cost of Removal:	1,000
Retiring Reserve Amount:	8,000

The table below contains cost and calculated amounts for the group and member assets:

	FY-2000	FY-2001	FY-2002	FY-2003
Asset 1	10,000	10,000	-	-
Asset 2	20,000	20,000	20,000	20,000
Group A Cost	30,000	30,000	20,000	20,000
Group A Depreciation	6,000	4,800	3,440	3,072
Group A Accumulated Depreciation	6,000	10,800	6,240	7,712
Group A NBV	24,000	19,200	13,760	12,288

In FY2002:

Group A Depreciable Basis in FY 2002 = 20,000 - (10,800 - 8,000) = 17,200

Depreciation = 17,200 * 20% = 3,440

Accumulated Depreciation = FY2001 Accumulated Depreciation - Enter Accumulated Depreciation for Asset 1 + FY2002 Depreciation = 10,800 - 8,000 + 3,440 = 6,240

The system creates journal entries for the retiring Asset 1:

Account Description	Debit	Credit
Proceeds of Sale	6,000	
Group A Accumulated Depreciation	8,000	

Account Description	Debit	Credit
Asset Cost 1		10,000
Cost of Removal		1,000
NBV Retired Gain		3,000

Terminal Gain and Loss: Retiring the Last Asset in Group Asset

When the member asset being retired or transferred out is the last member asset in the group asset, and no additional asset will be added to the group asset, the remaining accumulated depreciation balance in the group asset is treated as a terminal gain or loss. Terminal gain and loss can be recognized only when the group asset cost becomes zero, after the last member asset in the group asset has been retired. The Recognition of Terminal Gain and Loss option is set up in the group asset Retirement tabbed region.

The three methods available to recognize terminal gain and loss include the following:

1. Recognize Immediately
2. Defer Recognition to End of Fiscal Year
3. Do Not Recognize

Terminal Gain and Loss: Recognize Immediately

When the Recognize Immediately method is used, the terminal gain and loss is recognized immediately in the period it occurs. The net book value of the group asset becomes zero upon recognition of terminal gain and loss.

Example: Terminal Gain and Loss: Recognize Immediately

The following table contains asset setup information used in this example.

Group Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	10%
Depreciation Calendar:	Quarterly
Retirement Setup:	Recognize Gain and Loss = Do Not Recognize Recapture Excess Reserve = No Limit Proceeds to Cost = No Terminal Gain and Loss = Recognize Immediately

The following table contains asset setup information used in this example.

Retirement of Asset 1

Asset Setup Item	Asset Setup Information
Retire Date:	Retiring Asset 2 in Q2-01
Cost Retired:	10,000
Gain and Loss Recognition:	Do Not Recognize
Terminal Gain and Loss:	Recognize Immediately
Proceeds of Sale:	8,000
Cost of Removal:	5,000

Accumulated Depreciation after Terminal Loss is Recognized

The table below contains cost and calculated amounts for the group and member assets.

	Q4-00	Q1-01	Q2-01	Q3-01	Q4-01
Asset 1	10,000	10,000	0	-	-

	Q4-00	Q1-01	Q2-01	Q3-01	Q4-01
Group A Cost	10,000	10,000	0	0	0
Group Depreciation	250	250	0	0	0
Group Accumulated Depreciation	6,000	6,250	0	0	0

Group Accumulated Depreciation before Terminal Gain and Loss = 6,250 + 8,000 - 10,000 - 5,000 = <750>

Terminal Loss = 750

The system creates the following journal entries in Q2-01:

Retirement

Account Description	Debit	Credit
Proceeds of Sale	8,000	
Group Accumulated Depreciation		8,000
Group Accumulated Depreciation	10,000	
Asset Cost 1		10,000
Group Accumulated Depreciation	5,000	
Cost of Removal		5,000

Terminal Loss

Account Description	Debit	Credit
NBV Retired Gain	750	
Group Accumulated Depreciation		750

Terminal Gain and Loss: Defer Recognition to End of Fiscal Year

When you select the Defer Recognition to End of Fiscal Year option, the terminal gain and loss is recognized in the last period of the current fiscal year. The system will store the terminal gain or loss amount with a pending status until it is recognized. If a member asset is added to the group asset before the end of the current fiscal year, which results in a non-zero group asset cost, the terminal gain or loss is no longer valid, and the terminal gain and loss is not recognized.

Example: Terminal Gain and Loss: Defer Recognition to End of Fiscal Year

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1
Depreciation Method:	Flat Rate with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	10%
Depreciation Calendar:	Quarterly
Retirement Setup:	Recognize Gain and Loss = Do Not Recognize Recapture Excess Reserve = No Limit Proceeds to Cost = No Terminal Gain and Loss = Defer Recognition to End of Fiscal Year

The following table contains asset setup information used in this example.

Retirement of Asset 1

Asset Setup Item	Asset Setup Information
Retire Date:	Retiring Asset 1 in Q2-01
Cost Retired:	10,000
Gain and Loss Recognition:	Do Not Recognize
Terminal Gain and Loss:	Defer Recognition to End of Fiscal Year
Proceeds of Sale:	18,000
Cost of Removal:	5,000

The table below contains cost and calculated amounts for the group and member assets.

	Q4-00	Q1-01	Q2-01	Q3-01	Q4-01
Asset 1	10,000	10,000	0	-	-
Group A Cost	10,000	10,000	0	0	0
Group Depreciation	250	250	0	0	0
Group Accumulated Depreciation	6,000	6,250	9,250	9,250	-

Group Accumulated Depreciation before Terminal Gain / Loss = $6,250 + 18,000 - 10,000 - 5,000 = 9,250$

Terminal Gain = 9,250

The system creates the following journal entries:

In Q2-01 Retirement

Account Description	Debit	Credit
Proceeds of Sale	18,000	
Group Accumulated Depreciation		18,000
Group Accumulated Depreciation	10,000	
Asset Cost 1		10,000
Group Accumulated Depreciation	5,000	
Cost of Removal		5,000

In Q4-01 Terminal Gain

Account Description	Debit	Credit
NBV Retired Gain	9,250	
Group Accumulated Depreciation		9,250

Terminal Gain and Loss: Do Not Recognize

Under this method, the terminal gain and loss will not be recognized, and the accumulated depreciation balance will remain in the group asset.

Example: Terminal Gain and Loss: Do Not Recognize

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Group Asset:	Group A

Asset Setup Item	Asset Setup Information
Member Assets:	Asset 1
Depreciation Method:	Flat Rate of with Cost Basis Depreciable Basis Rule: Use Recoverable Cost
Depreciation Rate:	10%
Depreciation Calendar:	Quarterly
Retirement Setup:	Recognize Gain and Loss = Do Not Recognize Recapture Excess Reserve = No Limit Proceeds to Cost = No Terminal Gain and Loss = Do Not Recognize

The following table contains asset setup information used in this example.

Retirement of Asset 1

Asset Setup Item	Asset Setup Information
Retire Date:	Retiring Asset 1 in Q2-01
Cost Retired:	10,000
Gain / Loss recognition:	Do Not Recognize
Terminal Gain / Loss:	Do Not Recognize
Proceeds of Sale:	18,000
Cost of Removal:	5,000

The table below contains cost and calculated amounts for the group and member assets.

	Q4-00	Q1-01	Q2-01	Q3-01	Q4-01
Asset 1	10,000	10,000	0	-	-

	Q4-00	Q1-01	Q2-01	Q3-01	Q4-01
Group A Cost	10,000	10,000	0	0	0
Group Depreciation	250	250	0	0	0
Group Accumulated Depreciation	6,000	6,250	9,250	9,250	9,250

Group Accumulated Depreciation Before Terminal Gain and Loss = 6,250 + 18,000 - 10,000 - 5,000 = 9,250

Terminal Gain = 9,250

The system creates the following journal entries in Q2-01:

Retirement

Account Description	Debit	Credit
Proceeds of Sale	18,000	
Group Accumulated Depreciation		18,000
Group Accumulated Depreciation	10,000	
Asset Cost 1		10,000
Group Accumulated Depreciation	5,000	
Cost of Removal		5,000

Member Asset Tracking

The Member Asset Tracking feature allows you to define how depreciation is calculated and allocated for the group and member assets. You can define the options for member asset tracking when you add a group asset to Oracle Assets.

There are two ways to derive member asset depreciation expense, and include the following:

1. The group asset depreciation calculated is allocated to each member asset based on the ratio of the member asset depreciable basis to the total depreciable basis of all member assets.
2. Depreciation is calculated for each member asset using either the group asset or the member asset depreciation method.

Member asset tracking enables the tracking and storing of member asset amounts, and makes the member asset amounts available for reporting.

Note: Journal entries are made using the group asset level amounts only.

In addition to allocating depreciation expense, the Member Asset Tracking feature allocates other financial amounts to the member assets. Two examples of these transaction allocations include the following:

- The member asset's accumulated depreciation will be transferred when you perform a group reclassification by changing the member asset's group assignment.
- When you perform a member asset retirement, and the retirement option is Recognize Gain and Loss Immediately, Oracle Assets will retire the accumulated depreciation stored at the member asset level.

Note: If you have set up the member asset tracking option for a group asset, you cannot enter a retirement adjustment directly to the group asset or transfer accumulated depreciation to or from the group asset.

Tracking Depreciation of Member Assets

The member asset accumulated depreciation balance is stored and tracked in addition to the group accumulated depreciation balance.

There are two types of tracking methods available for member assets, Descriptions of both methods are included as follows:

1. Depreciation is calculated at the group level only, and the amount is allocated among the member assets in proportion to the depreciable basis of each member asset.
2. Calculate Member Asset Amount: Depreciation is computed for each member asset

using either the group asset or member asset depreciation method. Optionally, the total member assets depreciation is summed and used as the depreciation for the group asset. If the member asset depreciation is not totaled and used as the depreciation for the group asset, the group asset depreciation is calculated using the group asset depreciation method only.

By setting up the member asset tracking rules, Oracle Assets can allocate the calculated group depreciation expense to its member assets or calculate the member asset depreciation expense separately. The depreciation calculated may be stored and tracked at both the member asset and the group asset levels. Only the group asset depreciation amount will be posted to General Ledger. However, when the tracking method is Calculate Member Asset Amount and the Sum Member Asset Depreciation to Group option is checked, the depreciation amount is posted from the member assets.

Set Up Member Asset Tracking

To enable member asset tracking, you must select the tracking method in the Member Asset tabbed region on the Asset Workbench when you add a group asset.

If you need to track member level depreciation amounts, you should select either Allocate Group Amount or Calculate Member Asset Amount as the tracking method option. If you do not select either of these options, member asset tracking is not enabled.

Note: You cannot update the tracking method options of a group asset after the first member asset is assigned.

Tracking Method: Allocate Group Amount

When the tracking method is Allocate Group Amount, you can select the option Allocate to Fully Retired or Reserved Assets.

- **Allocate to Fully Retired or Reserved Assets:** When you select this option, the group asset depreciation amount is allocated to all the member assets, including the fully retired and reserved member assets.

If you do not select the Allocate to Fully Retired or Reserved Assets option, the group asset depreciation amount is not allocated to the fully retired and fully reserved member assets. Next, the system determines if the member asset will be fully reserved after the allocated amount is added. If the allocated amount will result in the member asset becoming fully reserved, the excess amount is subtracted from the group asset depreciation amount, or the excess amount is reallocated to the other member assets. The reallocation of excess amount to the other member assets is controlled by the following options:

- **Distribute Excess:** The excess amount is distributed to the other member assets that are not fully reserved.
- **Reduce Excess:** The excess amount is subtracted from the group asset depreciation

amount.

Note: Override the Member Level Amount: You can override the allocated member asset depreciation amounts by using the Manual Override feature. However, you cannot override both the group and member asset depreciation amounts. If you override the member asset depreciation amounts, the system will replace the group asset depreciation amount with the sum of all the member asset depreciation amounts.

Allocate Group Depreciation Calculation to Member Assets

The following formula is used to allocate the group amount to the member assets.

$$\text{Allocated Amount} = \text{Group Depreciation} * \frac{\text{Depreciable Basis of all Member Assets}}{\text{Depreciable Basis of Group Asset}}$$

Example: Allocation Logic

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2 Asset 3

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with NBV Basis Depreciable Basis Rule: Use Transaction Period Basis
Depreciation Rate:	20%
Group DPIS/Prorate Date:	01-Jan-2000
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Member Asset Tracking Setup

Asset Setup Item	Asset Setup Information
Tracking Method:	Allocate Group Amounts
Allocate to Fully Retired and Reserved Assets:	No
Reduce Excess:	Yes

The table below contains cost and calculated amounts for the group and member assets.

Asset	Asset Cost	Accumulated Depreciation	NBV Depreciable Basis	Rate
Group Asset	35,000	7,000	28,000	20%
Asset 1	20,000	4,000	16,000	-
Asset 2	10,000	2,000	8,000	-
Asset 3	5,000	1,000	4,000	-

Group assets are composed of the three member assets listed below. The calendar is Quarterly.

Group Depreciation (This is calculated in the Depreciation Engine.)

Group Depreciation = $28,000 * 20\% * 1/4 = 1,400$.

1. Calculate Member Asset Depreciable Basis

Group Depreciable Basis = 28,000

Asset 1 = 16,000

Asset 2 = 8,000

Asset 3 = 4,000

2. Allocate Amount

Asset 1 Member Asset = $1,400 * 16,000 / 28,000 = 800$

$$\text{Asset 2 Member Asset} = 1,400 * 8,000 / 28,000 = 400$$

$$\text{Asset 3 Member Asset} = 1,400 - (800 + 400) = 200$$

The table below contains the cost and calculated amounts for the group and member assets after the calculation and allocation of group depreciation to the member assets.

Asset	Asset Cost	Accumulated Depreciation	NBV Depreciable Basis	Rate
Group Asset	35,000	8,400	28,000	20%
Asset 1	20,000	4,800	16,000	-
Asset 2	10,000	2,400	8,000	-
Asset 3	5,000	1,200	4,000	-

Track Method: Calculate Member Asset Amounts

When you use the Calculate Member Asset Amount tracking method, depreciation is calculated for each member asset using either the group or the member asset's depreciation method. The sum of the member depreciation may not equal to the group asset depreciation. However, you may select to replace the group asset depreciation with the sum of the member depreciation.

Depreciate Using Group or Member Methods

You may select to use the group asset or the member asset's depreciation method to calculate the member asset depreciation:

- Group Method: The depreciation method used to calculate the member level depreciation amounts are populated from the definition of the group asset.
- Member Method: The depreciation method used to calculate the member level depreciation amounts are populated from each definition of the members.

Sum Member Asset Depreciation to Group Option

- Sum Member Asset Depreciation to Group: The system will replace the group asset depreciation amount with the sum of all the member level depreciation amounts. If you do not select this option, the group asset depreciation amount is calculated using the depreciation method of the group asset, which may result in the total of the member asset depreciation amounts not equalling the group asset depreciation amount.

Note: Override Member Level Amount: You can override the member level amount using Manual Override. When the Sum Up option is selected, you cannot specify the override amount for the group asset.

Example: Calculate Member Asset Amounts

The following table contains asset setup information used in this example.

Asset Information

Asset Setup Item	Asset Setup Information
Group Asset:	Group A
Member Assets:	Asset 1 Asset 2 Asset 3

The following table contains asset setup information used in this example.

Group Asset A Setup

Asset Setup Item	Asset Setup Information
Depreciation Method:	Flat Rate with NBV Basis Depreciable Basis Rule: Use Transaction Period Basis
Depreciation Rate:	20%
Group DPIS/Prorate Date:	01-Jan-2000
Depreciation Calendar:	Quarterly

The following table contains asset setup information used in this example.

Member Asset Tracking Setup

Asset Setup Item	Asset Setup Information
Tracking Method:	Calculate Member Asset Amount

Asset Setup Item	Asset Setup Information
Depreciation Method all Members:	Flat Rate with NBV Basis Depreciable Basis Rule: Use Transaction Period Basis
Depreciation Rate:	Asset 1 20% Asset 2 30% Asset 3 15%
Depreciate By:	Member Method
Sum Member Asset Depreciation to Group:	No

The table below contains cost and calculated amounts for the group and member assets.

Asset	Asset Cost	Depreciable Basis	Accumulated Depreciation	Rate
Group Asset	35,000	28,000	7,000	20%
Asset 1	20,000	18,000	2,000	10%
Asset 2	10,000	7,000	3,000	30%
Asset 2	5,000	4,250	750	15%

Group Depreciation Amount = $28,000 * 20\% * 1/4 = 1,400$

When you use this tracking method, the group depreciation amount is calculated using the depreciation method of the group asset. The depreciation expense amount of each member asset is calculated individually using the depreciation method of each member asset.

1. Calculate the depreciation expense amounts of the member assets

Asset 1: Depreciation = $18,000 * 10\% * 1/4 = 450$

Asset 2; Depreciation = $7,000 * 30\% * 1/4 = 525$

Asset 3; Depreciation = $4,250 * 15\% * 1/4 = 159$

The table below contains the cost, calculated, and allocated amounts for the group and member assets.

Asset	Asset Cost	Depreciation Expense	Accumulated Depreciation	Rate
Group Asset	35,000	1,400	8,400	20%
Asset 1	20,000	450	2,450	10%
Asset 2	10,000	525	3,525	30%
Asset 2	5,000	159	909	15%

Group Depreciation Enabled Reports

The following RXi enabled reports support group depreciation reporting. If you are using group depreciation, you must use these reports to address your reporting requirements. Group and member asset amounts are available on most of these reports.

The Group Asset report and other balance reports require the Create Accounting process to be run successfully in draft or final mode.

The other exceptions are noted on the reports included below:

- Group Asset Report
- Asset Cost Balance Report*
- Accumulated Depreciation Balance Report***
- Reserve Ledger Report***
- Retirements Report**
- CIP Cost Balance Report*
- Additions by Period Report*
- Mass Additions Report
- Cost Adjustments Report*
- Transfers Report
- What-if Depreciation Analysis
- Cost Clearing Reconciliation Report*

- Mass Reclassification Preview Report
- Mass Reclassification Review Report
- Mass Change Preview Report
- Mass Change Review Report

*The member cost amounts are used in this report. Group asset cost is not displayed to avoid potential user double counting of asset costs.

**This report only displays retired member assets. Group assets do not appear on this report since group asset cannot be retired.

***This report only displays group asset accumulated depreciation amounts. Member asset amounts do not appear on this report since only group asset amounts are maintained and posted to General Ledger. The Reserve Ledger report and Accumulated Depreciation Balance report have a drilldown parameter which, when set, display member asset information.

Group Depreciation Restrictions

- Revaluation: You cannot perform a revaluation to group or member assets. If a revaluation has been performed to a standalone asset, the asset cannot be assigned to a group asset.
- Bonus Depreciation: You cannot use Bonus Depreciation with group or member assets.
- Tax Reserve Adjustment: Tax reserve adjustments are not currently supported for group or member assets. You cannot perform a tax reserve adjustment to a group or member asset. Also, if a tax reserve adjustment has been made to a standalone asset, the asset cannot be assigned to a group asset.
- Group retirement adjustment and group reserve transfer are not supported when tracking is enabled.
- Mass Depreciation Adjustment: Mass depreciation adjustments are not currently supported for group or member assets. You cannot perform a mass depreciation adjustment on a group or member asset. If a mass depreciation adjustment has been made to a standalone asset, the asset cannot be assigned to a group asset.
- Standard Units of Production Depreciation Method: The Unit of Production depreciation method is not currently supported for group or member assets. You cannot assign a unit of production type depreciation method to a group or member asset. Note that Energy Units of Production Depreciation Method is supported for Group and member assets.

- **Expense Adjustment:** Expense adjustment transactions are not currently allowed for group or member assets.
- **Short Fiscal Year:** Short fiscal year accounting is not currently supported for group or member assets.
- **Unplanned Depreciation:** The Unplanned Depreciation feature is not currently supported for a member asset unless you enabled the Member Asset Tracking option for the group asset.
- **Depreciation Ceiling:** Depreciation ceiling are not currently supported for group or member assets.
- **Amortize NBV over Remaining Life:** In general, amortizing NBV over the remaining asset life is not currently supported for group or member assets.
- **Budget Book:** Adding group assets to budget books is not supported.
- **Projection:** Depreciation projections are not currently supported for group assets.
- **Accumulated Current Earnings:** The Accumulated Current Earnings feature in Oracle Assets is not currently supported for a group or member assets.
- **Future Transactions:** Future adjustment and capitalization are not currently supported for group assets. However, future additions, adjustments, and capitalizations are supported for member assets. Also, you can create a future group asset, but you cannot change the defaulted group asset options.
- **Physical Inventory:** The Physical Inventory feature is not currently supported for group assets.

Note: Oracle Assets does not support bonus depreciation for any Group setup other than the Calculate Tracking method, with the Sum Member Asset Depreciation to Group option enabled.

Mass Property

The Mass Property feature provides the ability to treat similar assets placed into service with the same category, book, and fiscal year combination as a single asset. This single asset holds the total cost and units and is called a mass property asset.

Using the Mass Property feature can simplify tracking, reporting, analysis, and retirement of assets, since all like assets from a particular category, book, and fiscal year combination are stored as an individual asset. For some asset categories, there is no need to create and maintain an individual asset for every asset addition made. Instead, you can create one mass property asset for an asset category each fiscal year. As each

new addition occurs, the costs and units are added to the previously created mass property asset. The total cost and units of the mass property asset are then more easily tracked.

Some of the benefits provided by the Mass Property feature include the following:

- Ease of analysis, reporting, and downstream processing of annual additions. One asset per fiscal year is easier to identify and process than a myriad of individual assets.
- Enables downstream average costing of partial unit-based retirements. Each retirement will be a fraction of the asset cost for the fiscal year in direct proportion to the number of units retired.

Creating Mass Property Assets

Mass property assets are usually created automatically via Mass Additions, but they can also be created manually by using the Asset Workbench or QuickAdditions. If you choose to create mass property assets manually, be sure follow the naming convention described below, and set the date placed in service to the first day of the fiscal year. If you do not create mass property assets manually, then the first Mass Addition for a mass property eligible category in a given fiscal year will automatically result in a mass property asset.

Prerequisites

- To create a mass property asset, you must first check the Mass Property Eligible check box in the Default Depreciation Rules window for the asset category and book combination that should use the mass property feature. See: Setting Up Asset Categories, page 11-188

The first asset added via Mass Additions to the mass property enabled category, book, and fiscal year combination becomes the mass property asset for the combination. This mass property asset is the first asset added with a date placed in service falling within the fiscal year of the combination. Oracle Assets processes the mass property asset as follows:

- The date placed in service is reset to the first day of the fiscal year. The original date placed in service (prior to resetting) is defaulted to the Amortization Start Date field, and is used to calculate the depreciation contribution of the initial mass property asset.
- The Asset Description is defaulted with a standard name composed of the following:
$$\text{MP} + \text{YYYY}(\text{fiscal year}) + \text{Asset Category Description}$$
- The new asset number of the mass property asset is reflected in any external systems, such as Projects, that may have pre-specified a different asset number.

When subsequent mass additions are made to the category, book, and fiscal year combination, they are treated as cost and unit adjustments to the previously created mass property asset. Since subsequent asset additions are treated as cost adjustments, the date placed in service is not tracked, but it is used as the amortization start date of the addition.

To enable the Mass Property feature for a category and book combination:

1. Navigate to the Asset Categories window.
2. Query the required category.
3. Query the required book.
4. Select the Default Rules button.
5. Check the Mass Property Eligible check box.
6. Save your work.

Manually Creating Additional Mass Property Assets

Using the Asset Workbench or QuickAdditons, you can create additional mass property assets for a category, book, and fiscal year combination, in spite of the fact it already contains the first mass property asset.

Manually creating additional mass property assets may be needed to accommodate reclassification of specific asset additions, or to segregate certain additions made during the fiscal year in a separate mass property asset. For example, you may need to segregate additions related to an acquisition in the middle of the fiscal year, requiring two initially distinct pools, or mass property assets, to exist in the same category and fiscal year.

Calculating Depreciation

Depreciation for the mass property asset is calculated by summing the depreciation of all the asset additions. The amortization start date is used to calculate depreciation of each individual asset addition. The amortization start date of each asset addition is defaulted from the original date placed in service of the individual asset addition.

Copying Mass Property Assets

Copying from a corporate book to a tax book is not impacted by the Mass Property feature. If the source book has enabled Mass Property, the target book will receive the previously aggregated assets. Alternatively, if the source book did not have Mass Property enabled for a category, copying to a target book with Mass Property enabled will not cause aggregation to occur. The only purpose of having Mass Property enabled for a category and book combination is to allow different treatment of these categories

in distinct corporate books.

Energy Assets

Energy Assets Overview

Oracle Assets addresses the financial and reporting requirements of the oil and gas industry through use of Energy Assets functionality. The oil and gas industry accounts and reports their asset information based on a hierarchy structure. Generally, a two level hierarchy structure is used where a field is a parent and the wells are child assets. All the asset information is captured at the lower level, which is then summarized to a higher level at which operations, queries and reporting are done. Operations include following:

- Depreciation calculation
- Overriding Oracle Assets-calculated depreciation
- Calculating gain and loss on retirement
- Transfer of costs and reserve
- Impairment

Oil and gas companies use unit-of-production and life-based methods with a Net Book Value depreciable basis. The assets in a hierarchy are transferred along with its reserve to another hierarchy. When an asset is transferred, the source asset hierarchy is decreased by the transferred amount(s), and the target asset hierarchy is increased by the transferred amount(s).

Energy Assets uses the following two methods to calculate energy depreciation:

- Energy Units of Production
- Energy Straight-Line

Energy depreciation calculation is based on a depreciation basis defined as Net Book Value (NBV) over the net remaining reserves for the Energy Units of Production method, or the net remaining life for the Energy Straight-Line method.

Apart from the regular depreciation expenses these companies also recognize impairment expense at the parent level.

Hierarchy Structure

Oil and gas companies group assets together by properties, reservoirs, or fields for accumulating and depreciating capitalized costs. Oracle Energy Assets meets these requirements through an Asset Hierarchy structure.

Global Group Depreciation

The asset hierarchy structure is supported using the global group depreciation feature of Energy Assets, which allows you to group, depreciate, and report assets at group level. The global group depreciation supports two levels of asset hierarchies, the group asset level and the member asset level.

In the global group depreciation structure of Oracle Assets, a group is a collection of member assets. The depreciation is calculated and reported at the group level. In addition, you can choose to allocate group depreciation to member assets. There is also an option available to calculate depreciation at the member asset level and then sum up the member depreciations to the group level.

Depreciation expense and accumulated depreciation balances can be tracked for both group and member assets. Essentially, there is a parent-child implied relationship between group and its members. Based on this relationship, you can model a field-to-well type of parent-child relationship using global group depreciation.

For more information on Global Group Depreciation, see Group Depreciation, page 13-1

Auto Create Assets

Asset information is sent to a Mass Additions interface table from Oracle Payables, Joint Venture Accounting (JVA) and other external systems. Energy Assets automates the creation of assets from these lines based on predefined rules. The business process for auto creation of assets is as follows:

- Define Hierarchy
- Setup Quickcodes
- Interface Mass Addition Lines
- Mass Addition Process

Define Hierarchy

In order to automate the asset creation process through the Prepare Mass Additions concurrent program, you need to establish a valid hierarchy relationship based on the asset ownership. The hierarchy is established through the following steps.

- Define Hierarchy Segment
- Define Hierarchy Structure

Define Hierarchy Segment

In Energy Assets, the Asset Key Flexfield should contain a minimum of two segments

that have to be designated as the Hierarchy and Project segments. The Hierarchy Segment contains values that are used to define group and member relationships. Generally, in the oil and gas industry, the hierarchy segment value will be the report center segment value of the accounting flexfield. To map the asset key segments for hierarchy and project segments, you should define the following two QuickCodes:

- ASSETKEY HIERARCHY MAPPING
- ASSETKEY PROJECT MAPPING

The hierarchy segment can be entered in the asset key flexfield either manually by you, or you can define the mapping segment of the hierarchy segment using the Energy Base application through a quick code called ASSETKEY HIERARCHY SOURCE. The Prepare Mass Addition concurrent program will populate the value based on the predefined mapping.

Define Hierarchy Structure

You must define a value set to create a hierarchy structure based on which group and member will be created through the mass addition process.

To create a value set, navigate to Setup > Financials > Flexfields > Validation > Sets

Enter the group and member hierarchy segment value and description as the values of the value set. Select Enabled to enable hierarchy values, and select the Parent check box for all group hierarchy values. To define the range of child values to the group value, click Define Child Ranges.

Once all hierarchy relationships have been defined, click View Hierarchies in the Value Set window to view the defined relationships.

To enter hierarchy values, navigate to Setup > Financials > Flexfields > Validation > Values

Set Up Quickcodes

In addition to the Quickcodes setup in prior steps, the following Quickcodes must be added to enable the Prepare Mass Addition concurrent program to auto create the assets from the mass addition table.

- QuickCode: RULES TO PREPARE MASS ADDITIONS
Meaning: Rules to Prepare Mass Additions
Description: Rules to Prepare Mass Additions
Lookup Codes: CUSTOM ENERGY
- QuickCode: VALUE FOR GROUP ASSET IN ASSET KEY PROJECT SEGMENT
Meaning: Value for Group Asset in Asset Key Project Segment
- QuickCode: GROUP ASSET DEFINITION SEGMENT IN ASSET CATEGORY

Meaning: Group Asset Definition Segment in Asset Category

- QuickCode: VALUE FOR GROUP ASSET IN ASSET CATEGORY

Meaning: Value for Group Asset in Asset Category

- QuickCode: LOCATION MAPPING IN CLEARING ACCOUNT

Meaning: Location segments mapping in Asset Clearing Account

Description: You will define which segments of Asset Clearing Account (Payables CCID) will be used for location derivation.

- QuickCode: LOCATION SEGMENTx MAPPING TO CLEARING ACCOUNT

Meaning: Mapping the segment x to segment x in the clearing account.

- QuickCode: CATEGORY MAPPING FOR CHART OF ACCOUNTS

Meaning: Category Mapping for Chart of Accounts

To setup Quickcodes, navigate to Setup > Asset System > Quickcodes

Interface Mass Addition Lines

You can interface mass addition lines from Oracle Payables or an external system. For information of interfacing mass addition lines, see Overview of the Mass Additions Process, page 3-28.

Mass Additions Process

Energy Assets automates the preparation of mass addition lines and asset creation, through the Prepare Mass Additions concurrent program, to avoid manual intervention in the mass additions process. Upon the preparation of lines, Energy Assets either creates new assets or makes adjustments to existing assets by uniquely identifying the mass addition lines with asset key and category, and relating it to the hierarchy relationship.

The Prepare Mass Additions concurrent program performs the following tasks:

1. Prepare Mass Addition Lines
2. Create Assets

Prepare Mass Addition Lines

The Prepare Mass Additions concurrent program uses lookup values and the basic information provided for specific mass addition lines to create the other asset information. The process supports specific energy business rules where an asset must be uniquely identified using the Asset Key and Category combination.

The Prepare Mass Additions program processes the lines in fa_mass_additions that

have a queue status of NEW or ON HOLD. The process derives the asset key and clearing account combination from the feeder system.

The category is derived by matching the cost clearing account of the line with the cost clearing account defined for different categories. There must be a one-to-one mapping for the cost clearing account and the asset category. Upon deriving the Asset Key and Category, the Prepare Mass Additions process merges the cost of all mass addition lines having same Asset Key ID and Category ID, and derives the depreciation expense account from the asset category. The location is derived from the mapped segment of the Asset Clearing Account (Payables CCID).

If the Prepare Mass Additions program cannot derive the required information, it sets the queue status to ON HOLD, and you can review and make the necessary changes to the line.

Create Assets

After the creation of mass addition lines, Prepare Mass Additions refers to the asset key and category of the lines, along with searching for the group asset ID.

If a group asset ID exists, Energy Assets validates the ID and determines whether any assets exist with the same asset key and category combination. When a matching asset is available, the mass addition line is marked as Cost Adjustment to that asset. If no matching asset is available, the mass addition line is marked as a new addition.

If a group asset ID does not exist, Energy Assets derives the group asset ID by first deriving the group asset key and category using QuickCode values and the hierarchy structure. Then Energy Assets checks whether any group asset exists for the derived asset key and category combination. If a valid group asset exists, the group asset ID is populated in the mass additions line.

When no group asset exists for the derived asset key and category combination, Energy Assets creates a group asset, using the information in the mass addition line.

After deriving the group asset ID, Energy Assets determines whether any asset exists with the same asset key and category combination. If a matching asset is available, the mass addition line is marked as Cost Adjustment to that asset. If no matching asset is available, the mass addition line is marked as a new addition.

Depreciation

Energy Assets uses the following two methods to calculate energy depreciation:

- Energy Units of Production
- Energy Straight-Line

Energy Units Of Production Depreciation

This section consists of the following topics:

- Energy Units Of Production Method Overview
- Energy Units Of Production Method Process
- Energy Units Of Production Method Conditions

Energy Units Of Production Method Overview

The Energy Assets Units of Production depreciation method applies when oil and gas companies have producing properties, such as fields, leases, and wells. Assets are generally structured into two hierarchy levels, where a field is a group asset and the wells are member assets. As the depreciation is calculated at the group asset level, the production or estimated production for these assets is also entered at the group level.

The group asset is marked to depreciate and the depreciation is booked from the group asset level only. Though the member assets are marked not to depreciate, the group asset depreciation can be rolled down to the associated member assets based on their depreciable basis. Depreciation expenses and accumulated depreciation can be tracked for both group and member assets.

The production capacity is entered at the group asset level and can be updated in the future. Production capacity information is processed by Energy Assets for the group asset each period prior to the depreciation run.

Oil and gas companies use the units of production depreciation method based on a depreciation rate defined as Current Period Production over Net Remaining Production Capacity with a NBV depreciable basis, as shown in the following formula:

$$\text{Net Book Value} \times (\text{Production for the Period} / \text{Net Remaining Production Capacity}) = \text{Current Period Depreciation Expense}$$

$$\text{Net Remaining Production Capacity} = \text{Total Capacity} - \text{Production used to date}$$

Additional Information: The NBV is equal to the asset's Cost minus Salvage Value minus Depreciation Reserve.

Energy Units Of Production Method Process

The Energy Units of Production business process consists of the following steps:

1. Define Depreciation Method
2. Enable the Method for Group Asset
3. Enter and Update Production

Define Depreciation Method

To define the Energy Units of Production method, navigate to Setup > Depreciation > Methods.

The following table describes defining depreciation Method details.

Energy Units of Production Depreciation Details

Field or Check box	Description
Method	Enter a name for the method
Description	Enter the description of the method
Method Type	Production
Calculation Basis	NBV
Depreciable Basis Rule	Energy Period End Balance
Depreciate in Year Retired	Select this check box
Exclude Salvage Value	Do not select this check box
Straight Line Method	Do not select this check box

Enable the Method for Group Asset

To enable the units of production method for the group asset, check all the options in the Allow Group Depreciation region in the Accounting Rule tab of Book Controls window.

Enter and Update Production

Before running depreciation for the period, the production for the period has to be entered at the group asset level. To enter the monthly production details of a group asset navigate to Production > Enter.

Energy Units Of Production Method Conditions

The following conditions apply to the Energy Units of Production Depreciation Method.

- All transactions are current period amortizations for assets that are using the Units of Production method with NBV calculation basis; no backdating amortization date is allowed.
- No depreciation will be calculated when the net remaining production capacity (the production capacity minus life-to-date production) is zero.
- When depreciation is calculated at the group level, changing the Depreciation check box at the member level will not impact the group depreciation.
- Member asset addition is treated as a current period amortized cost

- CIP member assets can be assigned to the group asset. However, the CIP cost is not added to the group cost and will not be included in the depreciable basis.
- Group retirement adjustment and group reserve transfer is not supported for the Energy Units of Production and Energy Straight-Line depreciation methods.
- Reinstatement does not calculate missed depreciation expenses for the Energy Period End Balance depreciable basis rule.

Energy Straight-Line Depreciation

This section consists of the following topics:

- Energy Straight-Line Depreciation Overview
- Define Energy Straight-Line Depreciation Method
- Energy Straight-Line Depreciation Conditions

Energy Straight-Line Depreciation Overview

Oil and gas companies depreciate other assets such as pumps, office equipment, and other equipment using the Energy Straight-Line method. Oracle Assets calculates Energy Straight-Line depreciation at both the member and group levels. The formula for calculating depreciation using the Energy Straight-Line method is as follows:

Net Book Value of the Asset/ Remaining Life of the Asset = Depreciation

Additional Information: The Net Book Value is equal to the asset's Cost minus Salvage Value minus Accumulated Depreciation.

Define Energy Straight-Line Depreciation Method

To define the Energy Straight-Line method, navigate to Setup > Depreciation > Methods.

The following table describes Energy Straight-Line Depreciation Details

Energy Straight-Line Depreciation Details

Field or Check box	Description
Method	Enter a Name for the method
Description	Enter the description of the method

Field or Check box	Description
Method Type	Calculated
Calculation Basis	Cost
Depreciable Basis Rule	Energy Period End Balance
Depreciate in Year Retired	Select this check box
Exclude Salvage Value	Do not select this check box
Straight Line Method	Select this check box

Energy Straight-Line Depreciation Conditions

The following conditions apply to the Energy Straight-Line Depreciation Method.

- If you select Calculate Member Asset Amount and Sum Member Asset Depreciation to Group for the tracking method, you cannot perform any adjustments to the group assets.

Impairment Expenses

Energy Assets enables you to enter an impairment expense on the group asset to write off asset cost as impairment incurred. You can enter an impairment expense as an unplanned depreciation for a group asset. When performing the unplanned depreciation you need to enter Type, Amount, and Expense Account. The unplanned depreciation amount is booked as a current period expense in addition to the calculated depreciation expense.

The unplanned depreciation type enables you to indicate the nature of the unplanned depreciation performed. You can use the QuickCode to pre-seed an unplanned depreciation type for Impairment.

For more information on unplanned depreciation, see Unplanned Depreciation, page 7-57.

Authority For Expenditures Reclass

AFE Reclass Overview

Oil and gas companies use the Authority for Expenditures (AFE) application to support budgeting, approval, and tracking expenditures for their capital projects. An AFE is created for each drilling project to track and monitor the project activities, including

cost estimates, project authorization, actual charges, and project status. Upon creation of an AFE, a unique number is assigned and all subsequent tracking happens based on this number.

The cost incurred during the course of a capital project is accounted and reported as Construction In Progress (CIP). At the completion of the project, these costs may either be capitalized or expensed based on the outcome of the project and in accordance with accounting policies.

Energy Assets provides an AFE Reclass process through the Post Transaction Interface concurrent program to capitalize or expense the CIP assets based on the status of the AFE.

AFE Reclass Business Process

The Energy Assets AFE Reclass process consists of the following tasks:

- AFE Setup
- Interface Reclass Information
- AFE Reclass

AFE Setup

You need to setup the hierarchy structure, hierarchy, and Project segment of the asset key flexfield and quick codes. For information on these setups, see Auto Create Assets., page 13-108

The following accounts must be set up in the Asset Category window when defining your asset categories.

Alternate Asset Cost: When an AFE is closed as a Dry Hole or capital abandonment, the AFE reclass process will transfer all CIP assets costs to this account.

Write-off Expense: When an AFE is closed as an Expense, it is updated in the interface table as retirement. The AFE reclass process will retire the CIP assets in the book by charging the NBV retired to this account.

SLA Setups: You can setup the Account Derivation Rules (ADR) to derive the account code combinations based on the transaction types. You can setup ADRs to derive the dry hole cost and write-off expense accounts. In order to derive the Alternate Cost Account, all cost ADRs (not just the one for Capitalization) must have the following conditions:

If dryhole_flag = Y, then use alternate cost account

Else = Use standard cost account

For write-off expense accounts, you must modify the NBV Retired row to look at the retirement type code value, and conditionally use the write-off expense account instead of the standard NBV RETIRED, based on a lookup code.

Interface AFE Reclass Information

The AFE application sends the reclass information to Energy Assets when an AFE is closed and is ready for capitalization. Energy Assets integrates with the AFE application through the interface table FA_TRANSACTION_INTERFACE to receive and store the reclass information.

The following table describes the FA_TRANSACTION_INTERFACE table.

FA_TRANSACTION_INTERFACE Table

Column Name	Data Type	Size	Null	FK To Table Column
TRANSACTION_INTER FACE_ID	NUMBER	15	X	
TRANSACTION_DATE	DATE			
TRANSACTION_TYPE_ CODE	VARCHA R2	30	X	
POSTING_STATUS	VARCHA R2	30	X	
BOOK_TYPE_CODE	VARCHA R2	15	X	FA_BOOK_CONTROLS. BOOK_TYPE_CODE
ASSET_KEY_PROJECT_ VALUE	VARCHA R2	30	X	
ASSET_KEY_HIERARC HY_VALUE	VARCHA R2	30	X	
ASSET_KEY_NEW_HIE RARCHY_VALUE	NUMBER	30	X	
REFERENCE_NUMBER	NUMBER	N/A		
COMMENTS	VARCHA AR2	80		
CONCURRENT_REQUE ST_ID	NUMBER	15		FND_CONCURRENT_REQUESTS .REQUEST_ID
CREATED_BY	NUMBER	15	X	

Column Name	Data Type	Size	Null	FK To Table Column
CREATION_DATE	DATE		X	
LAST_UPDATED_BY	NUMBER	15	X	
LAST_UPDATE_DATE	DATE		X	
LAST_UPDATE_LOGIN	NUMBER	15		

AFE Reclass

The Post Transaction Interface Program performs the following two tasks:

- Reclass CIP Asset
- Report Center Changes

Reclass CIP Asset

The AFE Reclass process is run at an asset book level. The process first selects the CIP assets that need to be capitalized or written off, then picks up the AFE Number from the interface table and matches it with the CIP assets in that asset book. The AFE Number is matched against the project segment value in the asset key flexfield of the asset. If a match is found, then the process will select these CIP assets for AFE reclassification.

Since the data in the interface table is not purged, the Post Transaction Interface Program runs a check on all records in the interface table every time the process is initiated.

The selected assets will be capitalized, written off, or charged to a Dry Hole account based on the status in which the AFE is closed. An AFE can be closed with one of the following statuses:

- Capitalize
- Dry Hole or Capital Abandonment
- Expense

Capitalize

When the project cost is proven to be a producing property, the action status is Capitalize and the CIP asset will be capitalized. The cost is moved from CIP cost account to capitalized cost account. The asset category remains the same even after the capitalization. The CIP asset is capitalized with a date place in service in the current period. The accounting entry will be:

DR--Asset Cost Account--xxx

CR--CIP Cost Account--xxx

The Asset Cost account is set up in the Asset Cost field of the Asset Categories window.

Dry Hole or Capital Abandonment

When the project is proven to be a dry hole, it is treated as a capital abandonment and the action status will be Dry Hole. The CIP cost will still be capitalized, however the capitalized cost is booked to a different cost account, labeled as Alternate Asset Cost.

On capitalization the asset category remains the same and with the current period date placed in service. The accounting entry will be:

DR-- Alternate Asset Cost Account-- xxx

CR--CIP Cost Account--xxx

Expense

When the project cost is proven to be nonproducing, the cost has to be written off as a current period expense and the action status will be Expense. The process will retire the CIP asset in the current period. The CIP cost will be expensed to a write off expense instead of the retired gain or loss account.

Report Center Changes

When the report center populated in the interface table is different from the report center of the CIP asset, the AFE Reclass process will first capitalize the asset and then make the report center changes. The report center changes will be performed only on the selected CIP assets to be capitalized. No report center changes will occur for retiring CIP assets.

Since the report center is used in the cost center segment of the accounting flexfield as well as the hierarchy segment of the Asset Key flexfield, the AFE process will first update the assets hierarchy segment with the new report center value. After updating the asset key, the AFE process performs an asset transfer to change the cost center segment of the capitalized assets.

As the assets are grouped under a hierarchy structure, the change of the report center will require an asset reclass if the new report center belongs to a different hierarchy. The AFE process checks for the hierarchy structure of the new report center on the Hierarchy structure. If a match is found, it assigns the capitalized assets to that group asset. If the group asset does not exist, it automatically creates the group asset, and then assigns the capitalized asset to that group asset.

The following are the accounting entries which are created by this process:

Capitalization CIP asset:

Debit or Credit	Description	Amount
DR	Asset Cost Account (Old Report Center)	xxx

Debit or Credit	Description	Amount
CR	CIP Cost Amount	xxx

Report Center Change (Asset Transfer)

Debit or Credit	Description	Amount
DR	Asset Cost Account (New Report Center)	xxx
CR	Asset Cost Account (Old Report Center)	xxx

or

Capitalization CIP Assets

Debit or Credit	Description	Amount
DR	Alternate Asset Cost Account (Old Report Center)	xxx
CR	CIP Cost Account	xxx

Report Center Change (Asset Transfer)

Debit or Credit	Description	Amount
DR	Alternate Asset Cost Account (New Report Center)	xxx
CR	Alternate Asset Cost Account (Old Report Center)	xxx

Online Inquiries

This chapter covers the following topics:

- Viewing Assets
- Viewing MRC Details for a Transaction
- Performing a Transaction History Inquiry
- Viewing Accounting Lines
- Drilling Down to Oracle Assets from Oracle General Ledger

Viewing Assets

Use the Financial Information windows to view descriptive and financial information for an asset. You can review the transactions, depreciation, and cost history of the asset you select.

To view descriptive and financial information for an asset:

1. Choose Inquiry > Financial Information from the Navigator window.
2. In the Find Assets window, you can find assets by Asset, Detail, Book, Assignment, Source Line, or Lease. You can enter any number of search criteria into the fields.

Find by Asset Detail: Enter asset descriptive information, such as Asset Number, Description, Tag Number, Category, Serial Number, Asset Key, Warranty Number, Asset Type, or Group Asset as your search criteria.

Note: For best performance, query by asset number or tag number since they are unique values.

Find by Book: Enter book information as your search criteria.

Find by Assignment: Enter assignment information as your search

Find by Lease: Enter lease information as your search criteria.

- [illegible]

Choose the **Project Details** button to view detail project information about the asset. The Asset Line Details window includes the following project information for your asset: expenditure type, item date, employee, supplier, quantity, CIP cost, expenditure organization, non-labor resource, and non-labor organization.

- ## 14-2 Oracle Assets User Guide

View Financial Information - 100079

Book	Cost	Recoverable Cost	Net Book Value	YTD Depreciation	Accumulated Depreciation
OPS CORP	24,000.00	24,000.00	0.00	0.00	24,000.00
OPS ACE	24,000.00	24,000.00	24,000.00	0.00	0.00
OPS AMT	24,000.00	24,000.00	24,000.00	0.00	0.00

Original Cost	24,000.00	Method	STL	Capacity	
Salvage Value	0.00	Life Years	4	Months	0
Date in Service	01-JAN-1996	Remaining Life Years	0	Months	0
Prorate Convention	MID-MONTH	Life End Date		YTD Production	
Prorate Date	01-JAN-1996	Basic Rate		LTD Production	
☒ Depreciate		Adjusted Rate		Depr Ceiling	
☐ Investment Tax Credit		Bonus Rule		Revaluation Ceiling	
				Revaluation Reserve	0.00
				YTD Bonus Depreciation	0.00
				LTD Bonus Depreciation	0.00

Period	Total Amount	Depreciation Amount	Adjustment Amount	Bonus Depreciation Amount	Bonus Adjustment Amount	Revaluation Amortization
Dec-99	500.00	500.00	0.00	0.00	0.00	0.00
Dec-96	500.00	500.00	0.00	0.00	0.00	0.00
Nov-96	500.00	500.00	0.00	0.00	0.00	0.00
Oct-96	500.00	500.00	0.00	0.00	0.00	0.00
Sep-96	500.00	500.00	0.00	0.00	0.00	0.00
Aug-96	500.00	500.00	0.00	0.00	0.00	0.00

The View Financial Information window includes the asset you choose in the title, and lists, by depreciation book, financial information for the asset.

Note: You can also view financial information directly from the Asset Workbench by choosing the Financial Inquiry button on the Assets window. However, when you open the View Financial Information window from the Asset Workbench, the Transactions button does not appear and you cannot view transaction history.

The YTD Depreciation field totals depreciation expense and bonus depreciation expense. The Accumulated Depr field totals the accumulated depreciation expense and the bonus reserve. You can also track the bonus depreciation expense and the bonus reserve separately in the YTD Bonus Depr and LTD Bonus Depr fields.

The Depreciation tabbed region contains the depreciation history for this asset.

This tabbed region displays the depreciation expense and the bonus depreciation expense in the Depreciation Expense account, even if you have set up a specific Bonus Depreciation account.

View Financial Information - 100079

Book	Cost	Recoverable Cost	Net Book Value	YTD Depreciation	Accumulated Depreciation
OPS CORP	24,000.00	24,000.00	0.00	0.00	24,000.00
OPS ACE	24,000.00	24,000.00	24,000.00	0.00	0.00
OPS AMT	24,000.00	24,000.00	24,000.00	0.00	0.00

Original Cost	24,000.00	Method	STL	Capacity	
Salvage Value	0.00	Life Years	4	Months	0
Date in Service	01-JAN-1996	Remaining Life Years	0	Months	0
Prorate Convention	MID-MONTH	Life End Date		YTD Production	
Prorate Date	01-JAN-1996	Basic Rate	%	LTD Production	
☒ Depreciate		Adjusted Rate	%	Depr Ceiling	
☐ Investment Tax Credit		Bonus Rule		Revaluation Ceiling	
				Revaluation Reserve	0.00
				YTD Bonus Depreciation	0.00
				LTD Bonus Depreciation	0.00

Reference Number	Transaction Type	Transaction Date	Periods Effective	Entered	Fiscal Year	Cost
124	ADDITION	01-JAN-1996	Jan-96	Jan-96	1996	24,000.00

Transactions

The **Cost History** tabbed region contains the cost history of this asset.

If you change any information except cost for the asset in the period you added it, the **Cost History** tabbed region shows you the **ADDITION/VOID** transaction, not the **ADDITION** transaction.

Transaction History

Reference Number	Transaction Type	Asset Number - Description	Periods Effective	Entered
124	ADDITION	100079 - STANDARD VEHICLE	Jan-96	Jan-96
125	TRANSFER IN	100079 - STANDARD VEHICLE	Jan-96	Jan-96

Book: OPS CORP

☐ Amortized Adjustment

Comments:

Details

Choose **Transactions** to review transaction history of this asset in the Transaction History window. To view individual transaction details for this asset, check a transaction and choose **Details** to open the Transaction Detail window.

You can view the detail accounting lines for the transaction from the View Financial Information and Transaction History windows. The accounting lines are in the form of a balanced accounting entry (i.e., debits equal credits). You can also choose to view the detail accounting as t-accounts.

See: Viewing Accounting Lines, page 14-6

Related Topics

Performing a Transaction History Inquiry, page 14-6

Adjusting Accounting Information, page 5-7

Changing Asset Details, page 5-1

Asset Descriptive Details, page 3-2

Depreciation Rules (Books), page 3-5

Assignments, page 3-11

Source Lines, page 3-13

Viewing MRC Details for a Transaction

If you use Multiple Reporting Currencies (MRC) functionality, and if you are using a responsibility associated with your ledger currency, then you can use the View Currency Details window to see in a single window, transaction amounts in your ledger currency and in all the reporting currencies. If the transaction currency is different from your ledger currency then the amounts are also displayed in the transaction currency.

The window also displays currency conversion details such as the cost, recoverable cost, and the net book value.

For an asset the window displays:

- Cost information
- Depreciation information
- Revaluation information
- Salvage value information
- Bonus depreciation information

To view MRC details:

To open the View Currency Details window, use a responsibility associated with your primary functional currency. Select a transaction in one of the following windows, then either choose the View Accounting option from the Tools menu.

1. From a responsibility associated with your primary functional currency, choose Inquiry-Financial Information from the menu.

2. Query an asset.
3. Choose the Books button to view financial information.
4. In the Financial Information window, choose View accounting.

Related Topics

View Currency Details (*Multiple Reporting Currencies in Oracle Applications Guide or online help*)

Performing a Transaction History Inquiry

Use the Transaction History windows to review all the transactions for any book, accounting period, transaction type, or range of assets.

To perform a transaction history inquiry:

1. Choose Inquiry > Transaction History from the Navigator window.
2. In the Find Transactions window, enter search criteria for your inquiry. You must enter a Book and Reference Number or Asset Numbers to query a transaction history. You can optionally enter other search criteria, including Periods, Transaction Type, and Category.
3. Choose Find. You can see a summary of the transactions for the asset.
4. To view details, check an asset and then choose the Details button.

Note: You can view the detail accounting lines for the transaction in the form of a balanced accounting entry (i.e., debits equal credits). You can also choose to view the detail accounting as t-accounts.

See: Viewing Accounting Lines, page 14-6

Related Topics

Viewing Assets, page 14-1

Adjusting Accounting Information, page 5-7

Viewing Accounting Lines

When you query an asset in Oracle Assets, you can choose to view the detail accounting lines for the queried transaction in the form of a balanced accounting entry (i.e., debits

equal credits). You can also choose to view the detail accounting as t-accounts. Use these features to see how a transaction will affect the account balances in your general ledger.

To view accounting lines:

1. Query the asset for which you want to view accounting lines.
2. Choose View Accounting from the Tools menu to view accounting information in Oracle Subledger Accounting.
3. (Optional) To view the accounting detail as t-accounts, choose the T-Accounts button.

To view accounting lines from the Transaction History window:

1. Query the transaction history of the asset for which you want to view accounting lines.
2. Choose View Accounting from the Tools menu to view accounting information in Oracle Subledger Accounting.

Note: If the transaction you are viewing generated any catchup depreciation expense, the catchup depreciation expense does not appear on the View Transaction Accounting window. To view the depreciation expense, you need to query the financial information for the asset. See: Viewing Assets, page 14-1.

To view accounting events from the Transaction History window:

1. Query the transaction history of the asset for which you want to view accounting events in Oracle Subledger Accounting.
2. Choose View Accounting Events from the Tools menu.

Viewing Accounting for Non-Upgraded Data

To view accounting lines:

1. If your transaction data has not been upgraded to Release 12, choose View Accounting from the Tools menu to view the transaction in the View Transaction Accounting window in Oracle Assets.
2. (Optional) If your organization uses Multiple Reporting Currencies, choose the

Alternate Currency button to view the accounting using an alternate currency. For example, if you are viewing the accounting in your ledger currency (e.g., BEF), you can switch to EUR (reporting currency).

From the poplist that appears after you choose the Alternate Currency button, choose the ledger whose transactions you want to view. The View Invoice Accounting window will change to reflect amounts in the appropriate currency for the chosen ledger.

3. (Optional) To view the accounting detail as t-accounts, choose the T-Accounts button.

To view accounting lines from the Transaction History window:

1. Query the transaction history of the asset for which you want to view accounting lines.
2. Choose View Accounting from the Tools menu.

Note: If the transaction you are viewing generated any catchup depreciation expense, the catchup depreciation expense does not appear on the View Transaction Accounting window. To view the depreciation expense, you need to query the financial information for the asset. See: Viewing Assets, page 14-1

View Accounting Windows

The first time you open the View Invoice Accounting window, the following information will be displayed for the detailed accounting lines:

Transaction Type	Reference Number
Line Type	Account
Debit	Credit

When you select a detailed accounting line, the system displays the following information at the bottom of the View Invoice Accounting window:

Account Description	Transaction Date
Accounting Date	Comments

Transferred to GL

Customizing the View Accounting Window

The View Invoice Accounting window is a *folder*. You can easily customize the information that is displayed in the window.

See: Customizing the Presentation of Data in a Folder, *Oracle Applications User's Guide*

When customizing the View Invoice Accounting window, you can hide the columns that normally appear in the window and you can choose to display any additional columns that are available.

Following is a list of all the hidden columns that you can choose to display:

Account Description	Currency Conversion Rate
Accounting Date	Currency Conversion Type
Asset Book	Currency
Asset Category	Entered Debit
Asset Description	Entered Credit
Asset Key	Line Reference
Asset Number	Transaction Date
Comments	Transferred to GL
Currency Conversion Date	

Related Topics

Drilling Down to Oracle Assets from Oracle General Ledger, page 14-9

Drilling Down to Oracle Assets from Oracle General Ledger

From General Ledger, you can drill down to subledger details from the Account Inquiry, Enter Journals, or View Journals windows for journals that have specific journal sources assigned to them. For example, if a journal source is Assets, you can drill down to the transaction details in Oracle Assets.

When you drill down from General Ledger, the Assets Transaction Accounting window will open. The first time you open this window, the following information will be displayed:

Transaction Type	Reference Number
Transaction Date	Asset Number
Asset Description	Debit
Credit	Line Type

When you select a detailed accounting line, the system displays the following information at the bottom of the related window:

Asset Book	Asset Category
Accounting Date	Comments

When you drill down from General Ledger, the Assets Transaction Accounting window will open. When you select a detailed accounting line, the system displays additional information at the bottom of the related window.

Customizing the Drilldown Windows

The drilldown window is a *folder*. You can easily customize the information that is displayed in the window.

See: Customizing the Presentation of Data in a Folder, *Oracle Applications User's Guide*

When customizing the drilldown window, you can hide the columns that normally appear in the window and you can choose to display any additional columns that are available.

Following is a list of all the hidden columns that you can choose to display:

Account	Currency Conversion Date
Account Description	Currency Conversion Rate
Accounting Date	Currency Conversion Type

Asset Book	Entered Debit
Asset Category	Entered Credit
Asset Key	Entered Currency
Comments	Line Reference
Comments	Transferred to GL
Currency Conversion Date	

Drilling Down Further

From the Assets Transaction Accounting window, you can drill down even further to view detail transactions or you can choose to view the underlying transaction accounting.

To drill down to detail transactions or to view transaction accounting:

1. From the Assets Transaction Accounting window, select a detail accounting line.
2. Choose the Show Transaction button to view detail transactions.
3. Choose the Show Transaction Accounting button to view the transaction accounting.

Related Topics

Viewing Accounting Lines, page 14-6

Oracle Assets Menu Paths

This appendix covers the following topics:

- Oracle Assets Navigation Paths

Oracle Assets Navigation Paths

This table lists each Oracle Assets window and corresponding navigation path, although your system administrator may have customized your navigator.

The following are typical Oracle Assets navigation paths:

Window Name	Navigators Path
Accounting Calendar, <i>Oracle General Ledger User Guide</i>	Setup > Financials > General Ledger > GLCalendar
Add to Asset, page 3-45	Mass Additions > Prepare Mass Additions > Add to Asset
Asset Categories, page 11-188	Setup > Asset System > Asset Categories
Asset Details, page 3-20	Assets > Asset Workbench > Open
Asset Keys, page 11-50	Setup > Asset System > Asset Keys

Assign Security Rules, <i>Oracle Applications Flexfields Guide</i>	Setup > Financials > Flexfields > Descriptive > Security > Assign
	Setup > Financials > Flexfields > Key > Security > Assign
	Setup > Financials > Flexfields > Validation > Security > Assign
Assignments, page 3-26	Assets > Asset Workbench > Assignments
Bonus Rules, page 11-74	Setup > Depreciation > Bonus Rules
Book Controls, page 11-59	Setup > Asset System > Book Controls
Books, page 3-22	Assets > Asset Workbench > Books
Calendars, page 11-53	Setup > Asset System > Calendars
Capital Budget, page 10-3	Budget > Enter
Capitalize CIP Assets, page 5-28	Assets > Capitalize CIP Assets
Ceilings, page 11-178	Setup > Depreciation > Ceilings
Cross-Validation Rules, <i>Oracle Applications Flexfields Guide</i>	Setup > Financials > Flexfields > Key > Rules
Currencies, <i>Oracle General Ledger User Guide</i>	Setup > Currencies > Define
Define Security Rule, <i>Oracle Applications Flexfields Guide</i>	Setup > Financials > Flexfields > Descriptive > Security > Define
	Setup > Financials > Flexfields > Key > Security > Define
	Setup > Financials > Flexfields > Validation > Security > Define
Depreciation Methods, page 11-65	Setup > Depreciation > Methods
Depreciation Projections, page 7-43	Depreciation > Projections
Descriptive Flexfield Segments, <i>Oracle Applications Flexfields Guide</i>	Setup > Financials > Flexfields > Descriptive > Segments

Distribution Sets, page 11-194	Setup > Asset System > Distribution Sets
Enter Periodic Production, page 7-42	Production > Enter
Fiscal Years, page 11-53	Setup > Asset System > Fiscal Years
Fixed Asset Insurance, page 11-209	Assets > Maintenance > Insurance Policy Details
GL Accounts, <i>Oracle General Ledger User Guide</i>	Setup > Financials > General Ledger > Combinations
Investment Tax Credits, page 9-29	Tax > Tax Workbench > Investment Tax Credit
ITC Rates, page 11-179	Setup > Depreciation > ITC Rates
ITC Recapture Rates, page 11-179	Setup > Depreciation > ITC Recapture Rates
Journal Categories, <i>Oracle General Ledger User Guide</i>	Setup > Financials > General Ledger > Journal Categories
Journal Sources, <i>Oracle General Ledger User Guide</i>	Setup > Financials > General Ledger > Journal Sources
Key Flexfield Segments, <i>Oracle Applications Flexfield Guide</i>	Setup > Financials > Flexfields > Key > Segments
Lease Amortization Schedule, page 11-203	Setup > Asset System > Leases > Lease Payments > Amortization Schedule
Lease Details, page 11-202	Setup > Asset System > Leases > Lease Details
Lease Payments, page 11-202	Setup > Asset System > Leases > Lease Payments
Locations, page 11-49	Setup > Asset System > Locations
Maintenance Details, page 5-170	Assets > Maintenance > View Details
Mass Additions, page 3-28	Mass Additions > Prepare Mass Additions
Mass Changes, page 5-7	Mass Transactions > Changes

Mass Depreciation Adjustments, page 9-58	Tax > Mass Depreciation Adjustments
Mass Reclassifications, page 5-2	Mass Transactions > Reclassifications
Mass Retirements, page 6-4	Mass Transactions > Retirements > Create and Reinstatement
Mass Revaluations, page 5-29	Mass Transactions > Revaluations
Mass Transfers, page 5-14	Mass Transactions > Transfers
Merge Mass Additions, page 3-45	Mass Additions > Prepare Mass Additions > Merge
Merge Mass Additions, page 3-45	Mass Additions > Prepare Mass Additions > Merge
Organization, page 11-55	Setup > Security > Organization > Description
Organization Hierarchy, page 11-58	Setup > Security > Organization > Hierarchy
Personal Profile Values, <i>Oracle Applications User's Guide</i>	Other > Profile
Physical Inventory, page 5-152	Physical Inventory > Enter Physical Inventory > Comparison > View
Price Indexes, page 11-187	Setup > Asset System > Price Indexes
Prorate Conventions, page 11-180	Setup > Asset System > Prorate Conventions
Purge Maintenance Schedules, page 5-171	Assets > Maintenance > Purge
QuickAdditions, page 3-18	Assets > Asset Workbench > QuickAdditions
QuickCodes, page 11-50	Setup > Asset System > QuickCodes
Request Set, <i>Oracle Applications System Administration User's Guide</i>	Other > Requests > Set
Reserve Adjustments, page 9-58	Tax > Tax Workbench > Reserve Adjustments

Retirements, page 6-4	Assets > Asset Workbench > Retirements
Run Depreciation, page 7-2	Depreciation > Run Depreciation
Schedule Maintenance Events, page 5-167	Assets > Maintenance > Schedule Events
Security Profile, <i>Oracle Applications System Administration User's Guide</i>	Setup > Security > Security
Segment Values, <i>Oracle Applications Flexfields Guide</i>	Setup > Financials > Flexfields > Descriptive > Values
	Setup > Financials > Flexfields > Key > Values
	Setup > Financials > Flexfields > Validation > Values
Accounting Setup Manager, <i>Oracle General Ledger Reference Guide</i>	Setup > Financials > General Ledger > Accounting Setup Manager > Accounting Setups
Shorthand Aliases, <i>Oracle Applications Flexfields Guide</i>	Setup > Financials > Flexfields > Key > Aliases
Source Lines, page 5-19	Assets > Asset Workbench > Source Lines
Subcomponents, page 3-20	Assets > Asset Workbench > Subcomponents
Submit Requests, <i>Oracle Applications System Administration User's Guide</i>	Other > Requests > Run
System Controls, page 11-48	Setup > Asset System > System Controls
Transaction History, page 14-6	Inquiry > Transaction History
Upload Capital Budget, page 10-3	Budget > Upload
Value Sets, <i>Oracle Applications Flexfields Guide</i>	Setup > Financials > Flexfields > Validation Sets
View Assets, page 14-1	Inquiry > Financial Information
View Requests, <i>Oracle Applications User's Guide</i>	Other > Requests > View

Oracle Assets Profile Options and Profile Option Categories

This appendix covers the following topics:

- Profile Options and Profile Option Categories Overview
- Profile Option Category and Profile Options Descriptions

Profile Options and Profile Option Categories Overview

During implementation, set a value for each Oracle Assets profile option to specify how Oracle Assets controls access to and processes data.

See: Setting User Profile Options, *Oracle Applications System Administrator's Guide - Maintenance*

Profile options are grouped into one or more profile option categories enabling you to view only the profile options that pertain to your application or function.

Oracle Assets Categories

- Account Generation
- Archive and Purge
- Concurrent Processing
- Debug
- Depreciation
- Desktop Integration
- Payables Integration
- Performance

- Security
- Setup

Oracle Assets Profile Options

- FA: Allow Swiss Special Assets
- FA: Annual Rounding
- FA: Archive Table Sizing Factor
- FA: Batch Size
- FA: Cache Sizing Factor
- FA: Custom Generate CCID
- FA: Default DPIS to Invoice Date
- FA: Deprn Single
- FA: Enable Depreciation Override
- FA: Generate Asset Level Account
- FA: Generate Book Level Accounts
- FA: Generate Category Level Accounts
- FA: Generate Depreciation Expense Accounts
- FA: Japan 2007 Tax Reforms Features
- FA: Mass Copy All Cost Adjustments
- FA: Maximum Projection Extent
- FA: Number of Parallel Requests
- FA: Print Debug
- FA: Print Timing Diagnostics
- FA: Security Profile
- FA: Tax Asset Type Category Segment for Japanese Depreciable Assets Tax Report
- FA: Use Threshold

- FA: Use Workflow Account Generation
- FADI: Create Asset Privileges
- FADI: Physical Inventory Privileges

Profile Option Category and Profile Options Descriptions

This section describes profile options by category.

The tables in this section provide profile option information as follows:

- The Default column displays either the default profile option value in italics, or No Default if none exists.
- The User Access column indicates whether you can view or update the profile option.
- The System Administration: Site, Application, Responsibility, and User columns indicate at which levels the system administrator can update these profile options.

The key for each table is:

- Update: You can update the profile option.
- View Only: You can view the profile option but cannot change it.
- No Access: You cannot view or change the profile option.

Account Generation Category

The table below lists the profile options that are used to generate accounts.

Account Generation

Profile Option	Default	User Access	System Administration: Site	System Administration: Application	System Administration: Responsibility	System Administration: User
FA: Custom Generate CCID	No	No Access	No Access	No Access	No Access	No Access
FA: Generate Depreciation Expense Accounts	No default	View Only	No Access	Update	Update	View Only

Profile Option	Default	User Access	System Administration: Site	System Administration: Application	System Administration: Responsibility	System Administration: User
FA: Generate Asset Level Account	No default	View Only	No Access	Update	View Only	View Only
FA:Generate Book Level Accounts	No default	View Only	No Access	Update	View Only	View Only
FA: Generate Category Level Accounts	No default	View Only	No Access	Update	View Only	View Only
FA: Use Workflow Account Generation	Yes	View Only	Update	Update	Update	No Access

FA: Custom Generate CCID

Indicates whether Oracle Assets should call Oracle Workflow or the stub package FA_CUSTOM_GEN_CCID_PKG when generating code combinations. You can customize the FA_CUSTOM_GEN_CCID_PKG stub package.

- **Yes:** Oracle Assets calls the stub package FA_CUSTOM_GEN_CCID_PKG when generating code combinations.
- **No:** Oracle Assets calls Oracle Workflow when generating code combinations.

FA: Generate Expense Account

This profile option allows you to generate the depreciation expense account based on Workflow rules. When you set this profile option to Yes, Generate Accounts reads the profile option and generates the expense account using Workflow rules. If you do not set this profile option or you set it to No, Generate Accounts uses the expense account entered for an asset in the Assignments window.

FA: Generate Asset Level Account

This profile option allows the Generate Accounts program to generate asset level accounts. When you set this profile option to Yes or do not set it, Generate Accounts reads the profile option and generates the asset level account using Workflow rules. If you set this profile option to No, Generate Accounts does not generate asset level

accounts. You should set this profile option to No only if Workflow has been customized so that one or more accounts for a single asset and distribution may change over time.

The default is Yes.

FA: Generate Book Level Accounts

This profile option allows the Generate Accounts program to generate book level accounts. When you set this profile option to Yes or do not set it, Generate Accounts reads the profile option and generates the book level account using Workflow rules. If you set this profile option to No, Generate Accounts does not generate book level accounts. You should set this profile option to No only if Workflow has been customized so that one or more accounts for a single asset and distribution may change over time.

The default is Yes.

FA: Generate Category Level Accounts

This profile option allows the Generate Accounts program to generate category level accounts. When you set this profile option to Yes or do not set it, Generate Accounts reads the profile option and generates the category level account using Workflow rules. If you set this profile option to No, Generate Accounts does not generate category level accounts. You should set this profile option to No only if Workflow has been customized so that one or more accounts for a single asset and distribution may change over time.

The default is Yes.

FA: Use Workflow Account Generation

This profile option controls whether the account generation rules set up in Oracle Workflow are used. If you set the value to Yes, then the account generation rules set up in Oracle Workflow are used. If you set the value to No, then the account derivation rule set up in Oracle Subledger Accounting is used.

Archive and Purge Category

The table below lists the profile options related to the archive and purge function.

Archive and Purge Category

Profile Option	Default	User Access	System Administration: Site	System Administration: Application	System Administration: Responsibility	System Administration: User
FA: Archive Table Sizing Factor	100 KB	View Only	No Access	Update	Update	No Access

FA: Archive Table Sizing Factor

Controls the space allotted for the temporary tables created when you archive and purge a book. The sizing factor specifies how many kilobytes of storage to reserve for the initial extent. The default value is 100 kilobytes. You can update this option if you are archiving a large number of records for a fiscal year.

This profile option is visible to the System Administrator and updatable at the application and responsibility levels. It is visible to, but not updatable by, the user.

The internal name for this profile option is FA_ARCHIVE_TABLE_SIZE.

Concurrent Processing Category

The table below lists the profile options related to concurrent processing.

Concurrent Processing Category

Profile Option	Default	User Access	System Administration: Site	System Administration: Application	System Administration: Responsibility	System Administration: User
FA: Mass Copy All Cost Adjustments	No	View Only	No Access	Update	No Access	No Access
FA: Number of Parallel Requests	1	View Only	No Access	Update	Update	No Access

FA: Mass Copy All Cost Adjustments

Controls whether or not cost adjustments are copied to the tax book in the event that there is a difference between the unvalued costs in the corporate book and the associated tax book. If you set this profile option to Yes, cost adjustments are copied

over regardless of whether the unrevalued costs are the same or different in the corporate book and the associated tax book. If you set this profile option to No, the Mass Copy program will not copy cost adjustments when the unrevalued costs in the corporate book and the associated tax book are different. The default is No.

This profile option can be set at the site or application level.

FA: Number of Parallel Requests

Controls the number of requests you run in parallel for those Oracle Assets programs that can run in parallel. For example, use this profile option to run parallel depreciation processes. When you run the process, Oracle Assets spawns a parent process with several child processes. Note that the Parent ID number is identical to that of the Request ID in the View Concurrent Requests form.

Enter a number between 1 and 15 to specify the maximum number of parallel requests you want to allow. The parent process is not included in this number.

This profile option is visible to the System Administrator and updatable at the application and responsibility levels. It is visible to, but not updatable by, the user.

Debug Category

The table below lists the profile options that control debugging and diagnostic features.

Debug Category

Profile Option	Default	User Access	System Administration: Site	System Administration: Application	System Administration: Responsibility	System Administration: User
FA: Print Debug	No	No Access	No Access	Update	Update	Update

FA: Print Debug

Indicates whether debug tracing messages are printed in concurrent program log files. This profile option is used by Support as a tool to identify a problem with the code.

- **Yes:** Enables printing of debug messages
- **No:** Disables printing of debug messages
- **(No Value):** Equivalent to No

This profile option is visible to the System Administrator and updatable at the application, responsibility, and user levels.

Depreciation Category

The table below lists the profile options related to depreciation.

Depreciation Category

Profile Option	Default	User Access	System Administration: Site	System Administration: Application	System Administration: Responsibility	System Administration: User
FA: Annual Rounding	Always	View Only	Update	No Access	No Access	No Access
FA: Deprn Single	No	View Only	No Access	No Access	No Access	No Access
FA: Enable Depreciation Override	No default	View Only	Update	Update	No Access	No Access
FA: Japan 2007 Tax Reforms Features	No	No	No	Update	No Access	No Access
FA: Use Threshold	No default	Update	No Access	Update	Update	Update

FA: Annual Rounding

Controls whether or not annual rounding is performed for assets.

- **With Restrictions:** End of the year adjustments are performed for assets that have no adjustments, revaluations, retirements, transfers, or additions with accumulated depreciation in the current fiscal year. This is the default.
- **Always:** Annual rounding is performed at the end of the year, even if the assets have been added with accumulated depreciation, adjusted, revalued, reinstated, or transferred in the current fiscal year.
- **(No Value):** Equivalent to With Restrictions

FA: Deprn Single

This profile option controls the caching buffer used when you run depreciation. You can set the buffer to either No (20) or Yes (1). The default is No.

If you set FA: Deprn Single to No, the cache is reset after every 20 assets. If you set FA: Deprn Single to Yes, the cache is reset after every asset.

- **Yes:** Cache is reset after every asset
- **No:** Cache is reset after every 20 assets
- **(No Value):** Equivalent to No

This profile option should always be set to No, unless assets failed previously when running depreciation. In this case, you should set it to Yes temporarily, and rerun depreciation for any set of 20 assets that failed depreciation. When the profile option is set to Yes, the log file provides information on each asset so that you can determine which asset failed. When these assets have depreciated successfully, you should reset the profile option to No. Running depreciation with the profile option set to Yes can slow performance considerably.

FA: Enable Depreciation Override

This profile option controls whether you can override the depreciation amounts calculated by Oracle Assets.

- **Yes:** Enable Depreciation Override
- **No:** Disable Depreciation Override
- **(No Value):** Equivalent to No

This profile option is visible to the System Administrator and updatable at the site and application levels. It is visible to, but not updatable by the responsibility and user levels.

FA: Japan 2007 Tax Reforms Features

To have access to Japan FY 2007 Tax reforms features, set this profile option to Yes.

The following features are available when you set this profile Yes:

- New rates are added to the existing JP-STL depreciation method records
- Guarantee Rate Evaluation Method check box for Formula based depreciation methods
- Dual Rate Evaluation depreciable basis rule
- JP-250DB depreciation method records

FA: Use Threshold

Allows you to decide whether to depreciate assets using a depreciation threshold. This profile option accommodates specific Japanese business rules. In general, your system

should depreciate using the depreciation threshold. The default is Yes.

Desktop Integration Category

The table below lists the profile options related to desktop integration

Desktop Integration Category

Profile Option	Default	User Access	System Administration: Site	System Administration: Application	System Administration: Responsibility	System Administration: User
FADI: Create Asset Privileges	Entry, Upload, Submit	View Only	Update	Update	Update	Update
FADI: Physical Inventory Privileges	Entry, Upload, Submit, Adjust	View Only	Update	Update	Update	Update

FADI: Create Asset Privileges

Allows you to use the Create Assets feature.

FADI: Physical Inventory Privileges

Allows you to use the Physical Inventory feature.

Payables Integration Category

The table below lists the profile options that assist with Oracle Payables integration.

Payables Integration Category

Profile Option	Default	User Access	System Administration: Site	System Administration: Application	System Administration: Responsibility	System Administration: User
FA: Default DPIS to Invoice Date	No	View Only	Update	No Access	No Access	No Access

FA: Default DPIS to Invoice Date

Enables you to use the Future Transactions feature by allowing the default date-placed-in-service to be the invoice date, even when the invoice date is in a future accounting period. If you set this profile option to Yes, Oracle Assets defaults the date-placed-in-service to the invoice date for future transactions. If you set this profile option to No, Oracle Assets does not default the date-placed-in-service to the invoice dates, and you cannot use the Future Transactions feature.

The default is No.

Performance Category

The table below lists performance-related profile options that.

Performance Category

Profile Option	Default	User Access	System Administration: Site	System Administration: Application	System Administration: Responsibility	System Administration: User
FA: Batch Size	200	Update	Update	Update	Update	Update
FA: Cache Sizing Factor	25	View Only	No Access	Update	Update	No Access
FA: Maximum Projection Extent	No default	Update	Update	Update	Update	Update
FA: Print Timing Diagnostics	No Default	No Access	No Access	Update	Update	Update

FA: Batch Size

The batch size used for bulk processing in mass processes.

FA: Cache Sizing Factor

Controls the amount of database information retained in concurrent program for performance improvement. The range is 0 to 25, and the default value is 25; you do not need to update this option.

This profile option is visible to the System Administrator and updatable at the application and responsibility levels. It is visible to, but not updatable by, the user.

FA: Maximum Projection Extent

FA: Print Timing Diagnostics

Indicates whether timing diagnostic messages are printed in concurrent program log files. This profile option is used by Support as a tool to identify a problem with the code.

- **Yes:** Enables printing of timing information
- **No:** Disables printing of timing information
- **(No Value):** Equivalent to No

This profile option is visible to the System Administrator and updatable at the application, responsibility, and user levels.

Security Category

The table below lists the profile options that you use to control security.

Security Category

Profile Option	Default	User Access	System Administration: Site	System Administration: Application	System Administration: Responsibility	System Administration: User
FA: Security Profile	No default	No Access	No Access	No Access	No Access	No Access

FA: Security Profile

Restricts access to the organizations defined in the security profile. This option is seeded at the site level with the view-all security profile created for the Startup Business Group.

Setup Category

The table below lists the profile options that assist you in setting up Oracle Assets.

Setup Category

Profile Option	Default	User Access	System Administration: Site	System Administration: Application	System Administration: Responsibility	System Administration: User
FA: Allow Swiss Special Assets	No default	View Only	No Access	No Access	No Access	No Access
FA: Tax Asset Type Category Segment for Japanese Depreciable Asset Tax Report	No default	View Only	Update	Update	No Access	No Access

FA: Allow Swiss Special Assets

Controls whether you can use the Swiss insurance calculation method. If this profile option is set, when you add insurance details on the Fixed Asset Insurance window, you can check the Special Swiss Assets check box, which signifies that this asset will use the Swiss insurance calculation method.

FA: Tax Asset Type Category Segment for Japanese Depreciable Asset Tax Report

This profile option controls the category segment used for the tax asset type in the Japanese Depreciable Asset Tax Report. You are required to set up this profile option with the category segment number used for the tax asset type definition.

Oracle Assets Function Security

This appendix covers the following topics:

- Function Security in Oracle Assets

Function Security in Oracle Assets

Use function security to control user access to Oracle Assets functions. By default, access to Oracle Assets functionality is NOT restricted; you must ask your system administrator to customize your responsibilities to restrict access. Your system administrator customizes each responsibility at your site by including or excluding registered functions and menus of functions for a responsibility in the Responsibilities form.

For example, your system administrator creates a Fixed Assets Clerk responsibility that allows asset additions in the QuickAdditions form, but does not allow retirements. When you sign on, select the Fixed Assets Clerk responsibility, and open the Asset Workbench, the QuickAdditions button appears, but the Retirements button is hidden.

The following examples are common results that enforcing function security may produce:

- Form or menu does not appear in the Navigator window

Note: Some forms and menus, when excluded from a responsibility, may affect more than one window or function. For example, if you exclude the Depreciation menu, you also exclude the Run Depreciation, Depreciation Projections, and Calculate Gains and Losses windows. Similarly, if you exclude the Tax Workbench, you also exclude the Investment Tax Credits and Reserve Adjustments windows.

- Button is hidden

Note: Some buttons access more than one window or function. For example, use the 'New' button to perform a detail addition (Asset Details, Books, and Assignments windows).

- Field is not updateable

Use function security to control any of the Oracle Assets functions included in the table below:

User Function Name	Restriction(s)
Assets:Open	Change descriptive details in the Asset Details window.
Assets:New	Add assets using the Detail Additions process in the Asset Details, Books, and Assignments windows. NOTE: You also can access these windows separately. So, if you allow detail additions (Assets:New) but not transfers (Assets:Assignments), you can access the Assignments window only when performing a detail addition.
Assets:QuickAdditions	Add assets using the QuickAdditions process in the QuickAdditions window
Assets:Assignments	Perform transfers in the Assignments window
Assets:Books	Perform financial adjustments in any book in the Books window
Assets:Source Lines	View and adjust source lines in the Source Lines window
Assets:Retirements	Retire an asset in the Retirements window
Assets:Reinstatements	Reinstate previous retirements, Undo Retirement, or Undo Reinstatement, depending on the status of the retirement transaction in the Retirements window

User Function Name	Restriction(s)
Assets:Subcomponents	View subcomponents in the Subcomponents window
Assets:Adjust Source Lines	Transfer or partially transfer lines or amounts in the Source Lines window
Assets:Transfer Source Lines	Transfer source lines between assets (Transfer To) in the Source Lines window
Assets:Manual Asset Numbers	Enter an asset number in the Asset Number field of the Detail and QuickAdditions, and Mass Additions windows. This function enforces automatic asset numbering
Assets:Change Number	Update asset number in the Asset Number field of the Asset Detail window
Assets:Change Description	Update asset description in the Description field of the Asset Detail window
Assets:Reclassifications	Perform reclassifications (change the category) in the Category field of the Asset Details window
Assets:Unit Adjustments	Adjust units in the Units field of the Asset Details window
Assets:Unplanned Depreciation	Enter unplanned depreciation for an asset in the Unplanned Depreciation window
Mass Additions:Delete All	Change the status of all mass additions lines to DELETE.
Mass Additions:Hold All	Change the status of all mass additions lines to ON HOLD.
Mass Additions:Post	Change the status of all mass additions lines to POST.
Mass Additions:Split	Split and unsplit mass additions in the Mass Additions window

User Function Name	Restriction(s)
Mass Additions:Add to Asset	Add mass additions to existing assets or remove mass additions from an asset in the Mass Additions window
Mass Additions:Merge	Merge or unmerge mass additions in the Mass Additions window
Mass Additions:Open	Prepare mass additions in the Prepare Mass Additions window
Tax Workbench:Assign ITC	Assign ITC to an asset in the Investment Tax Credits window
Tax Workbench:Adjust Reserve	Adjust tax book accumulated depreciation in the Reserve Adjustments window
Tax Workbench:Add to Tax Book	Add an asset to a tax book

Related Topics

Overview of Function Security, *Oracle Applications System Administrator's Guide*

How Function Security Works, *Oracle Applications System Administrator's Guide*

Implementing Function Security, *Oracle Applications System Administrator's Guide*

Defining a New Menu Structure, *Oracle Applications System Administrator's Guide*

Setting Up Business Events in Oracle Assets

This appendix covers the following topics:

- Business Event System Seed Data for Oracle Assets

Business Event System Seed Data for Oracle Assets

The Oracle Workflow Business Event System, introduced in Release 2.6, allows products to seed business events and event subscriptions. The seeded business events in Oracle Assets are listed below.

You can define subscriptions to seeded events that specify the processing to perform when these events occur.

Asset Addition Event

The Asset Addition Event refers to adding assets via quick additions, detail additions, mass additions, and the Additions API.

- Internal Name-oracle.apps.fa.addition.asset.add
- Generate Function-None
- Owner Name-Oracle Assets
- Owner Tag-OFA
- Customization Level-Limit

To use the Asset Addition business event, navigate to the Add Event Subscriptions form and enter the required information such as system, event filter, and rule function. You use the rule function to define the procedure to be called for this business event. In this procedure, you make references to the required parameters provided by the Asset

Addition Event. These parameters are:

- ASSET_ID
- ASSET_NUMBER
- BOOK_TYPE_CODE

The following table shows the subscription properties and values used in the Asset Addition Event:

Subscription Property	Value
System	<local system>
Event Filter	oracle.apps.fa.addition.asset.add
Rule Data	Key
Rule Function	User-defined (custom procedure)

Asset Retirement Event

The Asset Retirement Event refers to retiring assets via individual and mass retirements, mass external retirements, and the Retirement API.

- Internal Name-oracle.apps.fa.retirement.asset.retire
- Generate Function-None
- Owner Name-Oracle Assets
- Owner Tag-OFA
- Customization Level-Limit

To use the Asset Retirement business event, navigate to the Add Event Subscriptions form and enter the required information such as system, event filter, and rule function. You use the rule function to define the procedure to be called for this business event. In this procedure, you make references to the required parameters provided by the Asset Retirement Event. These parameters are:

- RETIREMENT_ID
- ASSET_ID

- ASSET_NUMBER
- BOOK_TYPE_CODE

The following table shows the subscription properties and values used in the Asset Retirement Event:

Subscription Property	Value
System	<local system>
Event Filter	oracle.apps.fa.addition.asset.add
Rule Data	Key
Rule Function	User-defined (custom procedure)

Asset Transfer Event

The Asset Transfer Event refers to transferring assets via individual and mass transfers, mass external transfers, and the Transfer API.

- Internal Name-oracle.apps.fa.transfer.asset.transfer
- Generate Function-None
- Owner Name-Oracle Assets
- Owner Tag-OFA
- Customization Level-Limit

To use the Asset Transfer business event, navigate to the Add Event Subscriptions form and enter the required information such as system, event filter, and rule function. You use the rule function to define the procedure to be called for this business event. In this procedure, you make references to the required parameters provided by the Asset Transfer Event. These parameters are:

- ASSET_ID
- BOOK_TYPE_CODE

The following table shows the subscription properties and values used in the Asset Transfer Event:

Subscription Property	Value
System	<local system>
Event Filter	oracle.apps.fa.addition.asset.add
Rule Data	Key
Rule Function	User-defined (custom procedure)

Related Topics

To View and Maintain Event Subscriptions, *Oracle Workflow Developer's Guide*.

Oracle Assets Report Extracts

Oracle Assets Tax Accounting Card Extract

This extract displays data required for assets tax reporting. The Asset Tax Accounting Card is a front-end to the Asset Tax Accounting Card extract program. It uses a subset of the parameters supported by the program. In conjunction with the Asset Tax Accounting Card report template, it allows users to select all information about the Asset for the depreciation book and the category according to Tax Code of Russian Federation. The Asset Tax Accounting Card report is submitted via standard request submission (SRS) and is available only from Assets responsibilities.

Parameters

Parameter Name	Description	Displayed	Required	Default Value	List of Values
Asset Book	Asset Book Name	Y	Y	N	Y
Category Flex Structure	Category Flex Structure	N	N	Y	Y
Category	Category to be reported	Y	N	N	Y
Asset Number	Asset Number	Y	N	N	Y

Data Output

The Asset Tax Accounting Card extract generates the following groups:

- MAIN_COMMON_INFO
- COMMON_INFO
- ASSIGN_LOC
- COST_SOURCE
- HIST_COST_CHANGES
- ADJ_COEFF_USAGE_DETAILS
- SUSPEND_DEPRN_DETAILS

< MAIN_COMMON_INFO >

The following table describes data obtained by <Q_COMMON_INFORMATION>.

XML Tag	Description
<MAIN_ASSET_CATEGORY>Vehicle-Owned Luxury-TA-1\ -2 years</MAIN_ASSET_CATEGORY>	Asset Main Category
<MAIN_ASSET_ID>108644</MAIN_ASSET_ ID>	Asset Identifier
<COMPANY_NAME>VISION ENTERPRISES</COMPANY_NAME>	Company Name
<CURRENCY>RUR</CURRENCY>	Currency

< COMMON_INFO >

The following table describes data obtained by <Q_COMMON_INFORMATION>:

XML Tag	Description
<ASSET_NAME>test report</ASSET_NAME>	Asset Description

XML Tag	Description
<ASSET_NUMBER>MATEST2</ASSET_NUMBER>	Asset Number
<DATE_PLACED_IN_SERVICE>2003-06-30T00:00:00.000-07:00</DATE_PLACED_IN_SERVICE>	Date Placed in Service
<STATE_REGISTRATION_FILING_DATE>12-DEC-2005</STATE_REGISTRATION_FILING_DATE>	State Registration Filing Date
<PRORATE_DATE>2003-07-01T00:00:00.000-07:00</PRORATE_DATE>	Prorate Date
<USEFUL_LIFE_MONTHS>13</USEFUL_LIFE_MONTHS>	Useful Life, Months
<ASSET_CATEGORY>Vehicle-Owned Luxury-TA-1\2 years</ASSET_CATEGORY>	Asset Category
<DEPRECIATION_METHOD>NON_LIN_RU</DEPRECIATION_METHOD>	Depreciation Method
<RECOVERABLE_COST>0</RECOVERABLE_COST>	Recoverable Cost
<MONTHLY_AMOUNT_OF_DEPRECIATION>2922.85</MONTHLY_AMOUNT_OF_DEPRECIATION>	Depreciation Amount in Last Depreciated Period
<ACCUMULATED_DEPRECIATION>23382.85</ACCUMULATED_DEPRECIATION>	Accumulated Depreciation
<LAST_DEPRECIATION_PERIOD>08-03</LAST_DEPRECIATION_PERIOD>	Last Depreciation Period

< ASSIGN_LOC >

The following table describes data obtained by <Q_ASSIGNED_LOCATIONS>:

XML Tag	Description
<LOCATION>Germany-NONE-Berlin-Manufacturing</LOCATION>	Location of the Asset
<HOLDER_NAME>Aafjes, Mr. Bert B</HOLDER_NAME>	Employee Name

XML Tag	Description
<EXPENSE_ACCOUNT>0110.000.910200.0000.00000.00000.0110</EXPENSE_ACCOUNT>	Depreciation Expense Account
<UNITS>1</UNITS>	Asset Units

<COST_SOURCE>

The following table describes data obtained by < Q_COST_SOURCE >

XML Tag	Description
<INVOICE_NUMBER>INV140</INVOICE_NUMBER>	Invoice Number
<LINE_NUMBER>1000</LINE_NUMBER>	Line Number
<INVOICE_DESCRIPTION>Invoice Description</INVOICE_DESCRIPTION>	Invoice Description
<ASSET_COST>0</ASSET_COST>	Asset Cost from Invoice Line
<TAX_BOOK_COST>0</TAX_BOOK_COST>	Tax Book Cost

< HIST_COST_CHANGES >

The following table describes data obtained by < Q_HISTORY_COST_CHANGES >

XML Tag	Description
<REFERENCE_NUMBER>128792</REFERENCE_NUMBER>	Reference Number for Cost Transaction Changes
<TRANSACTION_TYPE>Добавление</TRANSACTION_TYPE>	Transaction Type for Cost Changes
<PERIOD>06-03</PERIOD>	Effective Date for Cost Changes
<REFERENCE>1</REFERENCE>	Reference

XML Tag	Description
<COST>0</COST>	Asset Cost

< ADJ_COEFF_USAGE_DETAILS >

The following table describes data obtained by < Q_ADJ_COEFF_USAGE_DETAILS >

XML Tag	Description
<TRANSACTION_ID>128792</TRANSACTION_ID>	Transaction Identifier
<EVENT>Started</EVENT>	Event Type for adjusting coefficient usage details. This is a derived value based on data from Descriptive Flexfield Adjusting Coefficient in FA_FLAT_RATES table. Possible values are N/A, Started, Stopped, and Changed. Each value depends on the result of comparing the adjusting coefficient value for the period in which the reports are run with the adjusting coefficient for the period -1.
<EVENT_DATE>12-DEC-2005</EVENT_DATE>	Data entered manually for adjusting coefficient usage details
<ACCOUNTING_PERIOD_ACS>06-03</ACCOUNTING_PERIOD_ACS>	Effective date for depreciation method changes
<REFERENCE_ACS>test</REFERENCE_ACS>	Data entered manually
<APPLICATION_OF_ADJ_COEFF_ACS>ttt</APPLICATION_OF_ADJ_COEFF_ACS>	Data entered manually
<METHOD>NON_LIN_RU</METHOD>	Depreciation method assigned to each asset
<BASE_RATE_ACS>1.5555000000</BASE_RATE_ACS>	Base Rate %
<ADJUSTING_COEFF_ACS>0.3</ADJUSTING_COEFF_ACS>	Adjusting Coefficient is the value used to calculate Event Type.

< SUSPEND_DEPRN_DETAILS >

The following table describes data obtained by < Q_SUSPEND_DEPRN_DETAILS >

XML Tag	Description
<TYPE_OF_EVENT>Resuming</TYPE_OF_EVENT>	In Suspend Depreciation Details section, report shows different values if depreciation was stopped or reinitiated (for depreciation flag for each asset). For example, Suspending or Resuming
<DATE_STARTED_STOPPED>12-DEC-2005</DATE_STARTED_STOPPED>	Date Started/Stopped
<FIRST_PERIOD>06-03</FIRST_PERIOD>	Effective Date for transaction
<REFERENCE_SD>test</REFERENCE_SD>	Reference
<SUSPEND_REASON>iii</SUSPEND_REASON>	Suspend Reason
<TRANSACTION_ID>128794</TRANSACTION_ID>	Transaction Identifier

Oracle Assets Reserve Ledger Extract

This extract is used to find out the depreciation expense charged by Oracle Assets to a depreciation expense account for any accounting period. It is a modification of the standard Journal Entry Reserve Ledger extract. The only difference is a new column - Net Book Value. This column is a difference between Cost and Depreciation Reserve amounts and is calculated at the Template level.

Parameters

Parameter Name	Description	Displayed	Required	Default Value	List of Values
P_BOOK	Book	Y	Y	N	Y
P_CURRENCY	Set of books currency	Y	Y	N	Y

Parameter Name	Description	Displayed	Required	Default Value	List of Values
P_PERIOD	Period	Y	Y	N	Y

Data Output

The Reserve Ledger extract generates the following groups.

- G_SETUP
- G_DO_INSERT
- G_COMPANY
- G_ACCOUNT
- G_COSTCTR
- G_REPORT

< G_SETUP >

The following table describes data obtained by < Q_SETUP >.

XML Tag	Description
<COMPANY_NAME>VISION ENTERPRISE</COMPANY_NAME>	Company Name
<CATEGORY_FLEX_STRUCTURE>101</CATEGORY_FLEX_STRUCTURE>	Category Flex Structure
<LOCATION_FLEX_STRUCTURE>101</LOCATION_FLEX_STRUCTURE>	Location Flex Structure
<ASSET_KEY_FLEX_STRUCTURE>101</ASSET_KEY_FLEX_STRUCTURE>	Asset Key Flex Structure
<BOOK>OPS CORP</BOOK>	Asset Book
<ACCOUNTING_FLEX_STRUCTURE>101</ACCOUNTING_FLEX_STRUCTURE>	Flex Structure
<CURRENCY_CODE>USD</CURRENCY_CODE>	Currency Code

XML Tag	Description
<PERIOD1>Jan-06</PERIOD1>	Period
<A_PARTIAL_RETIREMENT>P</A_PARTIAL_RETIREMENT>	Partial Retirement
<A_FULL_RETIREMENT>F</A_PARTIAL_RETIREMENT>	Full Retirement
<A_TRANSFER_OUT>T</A_TRANSFER_OUT>	Transfer Out
<A_NON_DEPRECIATE>N</A_NON_DEPRECIATE>	Non Depreciate
<A_RECLASS>R</A_RECLASS>	Category Reclass
<A_BONUS>B</A_BONUS>	Bonus

< G_DO_INSERT >

The following table describes data obtained by < Q_DO_INSERT >

XML Tab	Description
<C_DO_INSERT></C_DO_INSERT>	Source

< G_COMPANY >

The following table describes data obtained by < Q_REPORT >.

XML Tab	Description
<COMP_CODE>01</COMP_CODE>	Company Code
<CO_COST>133890353.66</CO_COST>	Sum of Report Cost
<D_CO_COST>1.3389035366000001E8</D_CO_COST>	Currency format for CO_COST
<CO_DEPRN>554607.52</CO_DEPRN>	Sum of Report Deprecation Amount

XML Tab	Description
<D_CO_DEPRN>554607. 5200000004</D_CO_DEPRN>	Currency format for CO_DEPRN
<CO_YTD_DEPRN>554607. 52</CO_YTD_DEPRN>	Sum of Report Year-To-Date Depreciation
<D_CO_YTD_DEPRN>554607. 5200000004</D_CO_YTD_DEPRN>	Currency Format for Year-To-Date Depreciation
<CO_DEPRN_RESERVE>47098823. 79</CO_DEPRN_RESERVE>	Sum of Report Depreciation Reserve
<D_CO_DEPRN_RESERVE>4. 709882378999992E7</CO_DEPRN_RESERVE>	Currency Format for Depreciation Reserve

< G_ACCOUNT >

The following table describes data obtained by < Q_Report >.

XML Tab	Description
<GL_ACCOUNT>7320</GL_ACCOUNT>	General Ledger Account
<RSV_ACCOUNT>1620</RSV_ACCOUNT>	Reserve Account
<ACCT_COST>8500000</ACCT_COST>	Sum of Report Cost
<D_ACCT_COST>8500000. 0</D_ACCT_COST>	Currency Format for ACCT_COST
<ACCT_DEPRN>0</ACCT_DEPRN>	Sum of Report Deprecation Amount
<D_ACCT_DEPRN>0.0</D_ACCT_DEPRN>	Currency Format for D_ACCT_DEPRN
<ACCT_YTD_DEPRN>0</ACCT_YTD_DEPRN>	Sum of Report Year – To – Date Depreciation
<D_ACCT_YTD_DEPRN>0. 0</D_ACCT_YTD_DEPRN>	Currency Format for Year – To – Date Depreciation
<ACCT_DEPRN_RESERVE>118888. 84</ACCT_DEPRN_RESERVE>	Sum of Report Depreciation Reserve

XML Tab	Description
<D_ACCT_DEPRN_RESERVE>1188888.84</D_ACCT_DEPRN_RESERVE>	Currency Format for Depreciation Reserve

< G_COSTCTR >

The following table describes data obtained by < Q_Report >.

XML Tab	Description
<COST_CENTER>110</COST_CENTER>	Cost Center
< CC_COST>325000</CC_COST>	Sum of Report Cost
<D_CC_COST>325000.0</D_CC_COST>	Currency Format for ACCT_COST
<CC_DEPRN>2275</CC_DEPRN>	Sum of Report Deprecation Amount
<D_CC_DEPRN>2275.0</D_CC_DEPRN>	Currency Format for D_ACCT_DEPRN
<C_YTD_DEPRN 2275</CC_YTD_DEPRN>	Sum of Report Year – To – Date Depreciation
<D_CC_YTD_DEPRN>2275.0</D_CC_YTD_DEPRN>	Currency Format for Year – To – Date Depreciation
<CC_DEPRN_RESERVE>234424.99</CC_DEPRN_RESERVE>	Sum of Report Depreciation Reserve
<D_CC_DEPRN_RESERVE>234424.99</D_CC_DEPRN_RESERVE>	Currency Format for Depreciation Reserve

< G_REPORT >

The following table describes data obtained by < Q_Report >

XML Tab	Description
<ASSET_NUMBER>100625-CAPITALIZABLE SERVICES - CAPITALIZABLE NON-TAXABLE SERVICES</ASSET_NUMBER>	Asset Number

XML Tab	Description
<START_DATE>1998-09-30T00:00:00.000-07:00</START_DATE>	Start Date
<METHOD>STL</METHOD >	Method
<ADJ_RATE>10</ADJ_RATE>	Adjustment Rate
<BONUS_RATE>0< /BONUS_RATE>	Bonus Rate
<PROD>1000</PROD>	Capacity
<LIFE>120</LIFE>	Life
<D_LIFE>10.00</D_LIFE>	Currency format for Life
<COST>3450</COST>	Cost
<DEPRN_AMOUNT>166.67</DEPRN_AMOUNT>	Deprecation Amount
<YTD_DEPRN>166.67</YTD_DEPRN>	Year – To – Date Depreciation
< DEPRN_RESERVE>11833.33</DEPRN_RESERVE>	Depreciation Reserve
<PERCENT>100</PERCENT>	Percent
<T_TYPE>T</T_TYPE>	Transaction Type
<D_COST>20000.0</D_COST>	Currency format for cost
<D_DEPRN>166.67</D_DEPRN>	Currency format for Depreciation
<D_YTD_DEPRN >166.67</D_YTD_DEPRN>	Currency format for Year – To – Date Depreciation
<D_DEPRN_RESERVE>11833.33</D_DEPRN_RESERVE>	Currency format for Depreciation Reserve

Oracle Assets CIP Statistics Extract

This extract provides a list of Fixed Asset Transactions within a specific Period. Some of

the amounts reported in this register are subject to complex calculations.

Parameters

Parameter Name	Description	Displayed	Required	Default Value	List of Values
P_BOOK_NAME	Asset Book	Y	Y	N	Y
P_FROM_PERIOD	Starting Period	Y	Y	N	Y
P_TO_PERIOD	Ending Period	Y	Y	N	Y
Note: From Period and To Period has to be within a fiscal year.					

Data Output

The Assets CIP Statistics extract generates the following groups.

- G_SETUP
- G_SOURCE
- G_COMPANY
- G_ASSET_TYPE
- G_ACCOUNT
- G_COST_CENTER
- G_ASSET G_DETAIL

< G_SETUP >

The following table describes data obtained by < Q_SETUP >.

XML Tag	Description
<COMPANY_NAME>VISION ENTERPRISES</COMPANY_NAME>	Company Name
<BOOK>OPS CORP</BOOK>	Asset Book
<ACCOUNTING_FLEX_STRUCTURE>101</AC COUNTING_FLEX_STRUCTURE>	Account Flex Structure
<DISTRIBUTION_SOURCE_BOOK>OPS CORP</DISTRIBUTION_SOURCE_BOOK>	Distribution Source Book
<PRECISION>.00</PRECISION>	Precision
<CURRENCY_CODE>USD</CURRENCY_CODE>	Currency Code
<PERIOD1>Jan-06</PERIOD1>	From Period
<PERIOD2>Jul-06</PERIOD2>	To Period

< G_SOURCE >

The following table describes data obtained by <Q_ASSET>.

XML Tag	Description
<SOURCE>Manual Transactions</SOURCE>	Source

< G_COMPANY >

The following table describes data obtained by < Q_ASSET >.

XML Tag	Description
<COMP_CODE>01</COMP_CODE>	Company Code

< G_ASSET_TYPE >

The following table describes data obtained by < Q_ASSET >.

XML Tag	Description
<ASSET_TYPE_DESC>Group Asset</ASSET_TYPE_DESC>	Asset Type Description
<ASSET_TYPE>Group Asset</ASSET_TYPE>	Asset Type

< G_ACCOUNT >

The following table describes data obtained by < Q_ASSET >.

XML Tag	Description
<ACCOUNT>1540</ACCOUNT>	Account

< G_COST_CENTER >

The following table describes data obtained by < Q_ASSET >.

XML Tag	Description
<COST_CENTER>110</COST_CENTER>	Cost Center

< G_ASSET >

The following table describes data obtained by < Q_ASSET >.

XML Tag	Description
<ASSET_ORD>108272</ASSET_ORD>	Asset Number
<ASSET>108272 - GRP File Cabinets</ASSET>	Asset

< G_DETAIL >

The following table describes data obtained by **< Q_ASSET >**.

XML Tag	Description
<ORD_BY>2</ORD_BY>	Order By
<VEND_NUM>1013</VEND_NUM>	Vendor Number
<VEND_NAME>Advanced Network Devices</VEND_NAME>	Vendor Name
<INV_NUM>8765/2006</INV_NUM>	Invoice Number
<LINE_NUM>1</LINE_NUM>	Line Number
<DESCRIPTION>Vehicle</DESCRIPTION>	Description
<ORIG_COST>4000</ORIG_COST>	Original Cost
<COST>100</COST>	Cost
<INV_COST>4000</INV_COST>	Invoice
<FLAG>Y</FLAG>	Cost Flag
<TRANSACTION_DATE>2006-07-31T00:00:00.000-07:00</TRANSACTION_DATE>	Transaction Date
<ADDITION_TYPE>LIZING</ADDITION_TYPE>	Addition Type
<INDUSTRY_CODE>03</INDUSTRY_CODE>	Industry Code
<STATISTICAL_CODE>02</STATISTICAL_CODE>	Statistical Code
<TARIFF_NUMBER>78965432</TARIFF_NUMBER>	Tariff Number
<ITEM_NUMBER>456345</ITEM_NUMBER>	Item Number
<RESERVE>00000</RESERVE>	Reserve

Oracle Assets Retirement Tax Register Extract

This extract shows information related to asset retirements, grouping data by gain or loss or identifying free retirements as part of legal requirements of various countries.

Parameters

Parameter Name	Description	Displayed	Required	Default Value	List of Values
P_BOOK_NAME	Asset Book	Y	Y	N	Y
P_FROM_PERIOD	Starting Period	Y	Y	N	Y
P_TO_PERIOD	Ending Period	Y	Y	N	Y
Note: From Period and To Period has to be within a fiscal year.					

Data Output

The Asset Retirement Tax Register extract generates the following groups.

- GAIN
- LOSS
- FREE_OF_CHARGE

< GAIN >

The following table describes data obtained by <Q_GAIN>.

XML Tag	Description
<G_ASSET_NAME>VISION ENTERPRISES</G_ASSET_NAME>	Asset Name
<G_ASSET_ID>120</G_ASSET_ID>	Asset Identifier
<G_LIFE_IN_MONTHS>10</G_LIFE_IN_MONTHS>	Life in months
<LIFE_IN_MONTHS>10</LIFE_IN_MONTHS>	Life in months
<TEST_LIFE_IN_MONTHS>10</TEST_LIFE_IN_MONTHS>	Life in months
<G_ASSET_NUMBER>101</G_ASSET_NUMBER>	Asset Number
<G_DATE_PLACED_IN_SERVICE>Jan-06</G_DATE_PLACED_IN_SERVICE>	Date Placed in service
<G_RETIREMENT_DATE>Jul-06</G_RETIREMENT_DATE>	Retirement Date
<G_ACTUAL_LIFE>10</G_ACTUAL_LIFE>	Actual Life
<G_PROCEEDS_OF_SALE>0</G_PROCEEDS_OF_SALE>	Proceeds of sale
<G_COST_OF_REMOVAL>0</G_COST_OF_REMOVAL>	Cost Of Removal
<G_NET_BOOK_VALUE>9984.12</G_NET_BOOK_VALUE>	Net Book Value
<G_GAIN_AMOUNT>0</G_GAIN_AMOUNT>	Gain Amount
<G_LOSS_AMOUNT>9984.12</G_LOSS_AMOUNT>	Loss Amount
<G_WRITE_OFF_TIME>12.00</G_WRITE_OFF_TIME>	Write Off Time
<G_WRITE_OFF_AMOUNT>120.00</G_WRITE_OFF_AMOUNT>	Write Off Amount

< LOSS >

The following table describes data obtained by <Q_LOSS>.

XML Tag	Description
<L_ASSET_ID>120</L_ASSET_ID>	Asset Identifier
<L_ASSET_NAME>VISION ENTERPRISES</L_ASSET_NAME>	Asset Name
<L_ASSET_NUMBER>101</L_ASSET_NUMBE R>	Asset Number
<L_DATE_PLACED_IN_SERVICE>Jan- 06</L_DATE_PLACED_IN_SERVICE>	Date Placed in service
<L_RETIREMENT_DATE>Jul- 06</L_RETIREMENT_DATE>	Retirement Date
<L_ACTUAL_LIFE>10</L_ACTUAL_LIFE>	Actual Life
<L_PROCEEDS_OF_SALE>0</L_PROCEEDS_ OF_SALE>	Proceeds of sale
<L_COST_OF_REMOVAL>0</L_COST_OF_RE MOVAL>	Cost Of Removal
<L_NET_BOOK_VALUE>9984. 12</L_NET_BOOK_VALUE>	Net Book Value
<L_GAIN_AMOUNT>0</L_GAIN_AMOUNT>	Gain Amount
<L_LOSS_AMOUNT>9984. 12</L_LOSS_AMOUNT>	Loss Amount
<L_WRITE_OFF_TIME>12. 00</L_WRITE_OFF_TIME>	Write Off Time
<L_WRITE_OFF_AMOUNT>120. 00</L_WRITE_OFF_AMOUNT>	Write Off Amount

< FREE_OF_CHARGE >

The following table describes data obtained by <Q_FREE_OF_CHARGE>.

XML Tag	Description
<F_ASSET_NAME>VISION ENTERPRISES</F_ASSET_NAME>	Asset Description
<F_ASSET_ID>120</F_ASSET_ID>	Asset ID

XML Tag	Description
<F_ASSET_NUMBER>101</F_ASSET_NUMBER>	Asset Number
<F_DATE_PLACED_IN_SERVICE>Jan-06</F_DATE_PLACED_IN_SERVICE>	Date Placed in Service
<F_RETIREMENT_DATE>Jul-06</F_RETIREMENT_DATE>	Retirement Date
<F_ACTUAL_LIFE>10</F_ACTUAL_LIFE>	Actual Life
<F_PROCEEDS_OF_SALE>0</F_PROCEEDS_OF_SALE>	Proceeds of sale
<F_COST_OF_REMOVAL>0</F_COST_OF_REMOVAL>	Cost Of Removal
<F_NET_BOOK_VALUE>9984.12</F_NET_BOOK_VALUE>	Net Book Value
<F_GAIN_AMOUNT>0</F_GAIN_AMOUNT>	Gain Amount
<F_LOSS_AMOUNT>9984.12</F_LOSS_AMOUNT>	Loss Amount
<F_WRITE_OFF_TIME>12.00</F_WRITE_OFF_TIME>	Write Off Time
<F_WRITE_OFF_AMOUNT>120.00</F_WRITE_OFF_AMOUNT>	Write Off Amount

Oracle Assets Tofes Yud Alef Extract

This extract satisfies the income tax reporting requirements for each period. It displays financial and descriptive information from each asset.

Parameters

Parameter Name	Description	Displayed	Required	Default Value	List of Values
P_BOOK_NAME	Asset Book	Y	Y	N	Y

Parameter Name	Description	Displayed	Required	Default Value	List of Values
P_LEDGER_ID	Ledger ID	Y	Y	N	Y
P_LEGAL_ENTITY	Legal Entity ID	Y	Y	N	Y
P_BEGIN_PERIOD	Starting Period	Y	Y	N	Y
P_END_PERIOD	Ending Period	Y	Y	N	Y
	Note: From Period and To Period has to be within a fiscal year.				

Data Output

The Tofes Yud Alef-1342-Report (Israel) extract generates the following groups.

- G_ASSET_TOT
- G_RETIRE_TOT
- G_RETIRE_TOT_SUB
- G_SELFCOMPANY

< G_ASSET_TOT >

The following table describes data obtained by < Q_ASSET >.

XML Tag	Description
<ASSET_NO>108070</ASSET_NO>	Asset Number
<ASSET_DESC>Toshiba Laptop</ASSET_DESC>	Asset Description
<MAJOR_CATEGORY>Values have not been entered for one or more required segments.</MAJOR_CATEGORY>	Major Category
<MINOR_CATEGORY>Values have not been entered for one or more required segments.</MINOR_CATEGORY>	Minor Category
<PURCHASE_DATE>2005-11-21T00:00:00.000-08:00</PURCHASE_DATE>	Purchase Date
<DATE_PLACED_IN_SERVICE>2005-11-21T00:00:00.000-08:00</DATE_PLACED_IN_SERVICE>	Date Placed in Service
<ORG_ASSET_COST>2876</ORG_ASSET_COST>	Asset Cost
<YTD_TRANS_AMOUNTS>0</YTD_TRANS_AMOUNTS>	Transaction Amount
<DEPR_OFF_RATE>33.33</DEPR_OFF_RATE>	Depreciation Date
<DEPR_CLAIM_RATE>3.64849899194413576323908600210316459654E01</DEPR_CLAIM_RATE>	Depreciation Claim Rate
<YTD_DEPR_AMT>639.11</YTD_DEPR_AMT>	Year-to-date Depreciation Amount
<ACCUM_DEPR_PRIOR_YR>0</ACCUM_DEPR_PRIOR_YR>	Depreciation up to previous period that was selected to run report

< G_RETIRE_TOT >

The following table describes data obtained by < Q_RETIRE >.

XML Tag	Description
<ASSET_NO>108070</ASSET_NO>	Asset Number
<ASSET_DESC>Toshiba Laptop</ASSET_DESC>	Asset Description
<MAJOR_CATEGORY>Values have not been entered for one or more required segments.</MAJOR_CATEGORY>	Major Category
<MINOR_CATEGORY>Values have not been entered for one or more required segments.</MINOR_CATEGORY>	Minor Category
<PURCHASE_DATE>2005-11-21T00:00:00.000-08:00</PURCHASE_DATE>	Purchase Date
<DATE_PLACED_IN_SERVICE>2005-11-21T00:00:00.000-08:00</DATE_PLACED_IN_SERVICE>	Date Placed In Service
<ORG_ASSET_COST>2876</ORG_ASSET_COST>	Asset Cost
<YTD_TRANS_AMOUNTS>0</YTD_TRANS_AMOUNTS>	Transaction Amount
<DEPR_OFF_RATE>33.33</DEPR_OFF_RATE>	Depreciation Date
<DEPR_CLAIM_RATE>3.64849899194413576323908600210316459654E01</DEPR_CLAIM_RATE>	Depreciation Claim Rate
<YTD_DEPR_AMT>639.11</YTD_DEPR_AMT>	Year-to-Date Depreciation Amount
<ACCUM_DEPR_PRIOR_YR>0</ACCUM_DEPR_PRIOR_YR>	Depreciation up to previous period that was selected to run report

< G_RETIRE_TOT_SUB >

The following table describes data obtained by < Q_RETIRE >.

XML Tag	Description
<ORG_ASSET_COST_SUB>2876</ORG_ASSET_COST_SUB>	Asset Cost
<YTD_TRANS_AMOUNTS_SUBC>0</YTD_TRANS_AMOUNTS_SUB>	Transaction Amount
<DEPR_OFF_RATE_SUB>33.33</DEPR_OFF_RATE_SUB>	Depreciation Date
<DEPR_CLAIM_RATE_SUB>3.64849899194413576323908600210316459654E01</DEPR_CLAIM_RATE_SUB>	Depreciation Claim Rate
<YTD_DEPR_AMOUNT_SUB>639.11</YTD_DEPR_AMOUNT_SUB>	Year to date depreciation Amount
<ACCUM_DEPR_PRIOR_YR_SUB>0</ACCUM_DEPR_PRIOR_YR_SUB>	Depreciation up to previous period than selected to run report

< G_RETIRE_TOT_SUB >

The following table describes data obtained by < Q_RETIRE >.

XML Tag	Description
<COMPANY_NAME>Vison Operations (USA)</COMPANY_NAME>	Company Name
<CURRENCY_CODE>USD</CURRENCY_CODE>	Currency Code
<ENTERPRISE_NAME>Vison Operations</ENTERPRISE_NAME>	Enterprise Name
<TAXPAYER_ID>10</TAXPAYER_ID>	Tax Payer Identifier
<TAX_OFFICER_NUMBER>100</TAX_OFFICER_NUMBER>	Tax Office Number
<BOOK_TYPE_CODE>OPS CORP</BOOK_TYPE_CODE>	Book Type Code
<BOOK_TYPE_NAME>OPERATIONS CORPORATE BOOK</BOOK_TYPE_NAME>	Book Type Name
<TAX_YEAR>2006</TAX_YEAR>	Tax Year

Oracle Assets Depreciation Summary Tax Extract

This extract lets you print a hard copy of the tax register. It displays all recoverable cost and depreciation amount of corresponding depreciation group, during the period assigned to the depreciation book.

Depreciation Summary Tax Extract contains 2 mandatory parameters - Asset Book and Period. Report will run based on the values passed for Asset Book and Period.

Parameters

Parameter Name	Description	Displayed	Required	Default Value	List of Values
Asset Book	Asset Book Name	Y	Y	N	Y
Period	Period from Book	Y	Y	N	Y

Data Output

The Depreciation Summary Tax extract generates the following groups.

- DEPRN_AMOUNT

< DEPRN_AMOUNT >

The following table describes data obtained by < Q_DEPRN_AMOUNT >:

XML Tag	Description
<DEPRN_GROUP>Intangible Assets</DEPRN_GROUP>	Depreciation Group
<RECOV_COST_TA>0</RECOV_COST_TA>	Recoverable Cost/Tangible Assets
<RECOV_COST_ITA>5000</RECOV_COST_ITA>	Recoverable Cost/Tangible Assets
<DEP_AMT_TA_PTD>0</DEP_AMT_TA_PTD>	Depreciation Amount/Tangible Assets/During the Period

XML Tag	Description
<DEP_AMT_TA_YTD>0</DEP_AMT_TA_YTD>	Depreciation Amount/Tangible Assets/During the Year
<DEP_AMT_ITA_PTD>189.4</DEP_AMT_ITA_PTD>	Depreciation Amount/Intangible Assets/During the Period
<DEP_AMT_ITA_YTD>568.2</DEP_AMT_ITA_YTD>	Depreciation Amount/Intangible Assets/During the Year

Oracle Assets Common APIs

This appendix covers the following topics:

- Introduction
- Common Structures

Introduction

Oracle Assets includes a set of APIs that you can use to automate many of the common Oracle Assets transactions. The APIs allow you to perform transactions in Oracle Assets without using the normal interface. You may want to use the Oracle Assets APIs if you have a custom interface or want to perform mass transactions.

This section is intended for users who are well-versed in PL/SQL and who are interested in using the APIs directly rather than using the forms-based Oracle Assets interface.

The Oracle Assets APIs also use common structures, which define the asset as a number of discrete parts that are fundamental to every asset, such as a descriptive part, a financial part, and a distribution part. The APIs use a message structure to deliver information as well as error messages in a compact package

This section contains information on the common shared framework used in the Oracle Assets APIs, and information on how to call them directly.

Alternate Ledger Currency

If you have set up alternate ledger currency, when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Invoice Additions and Adjustments

For invoice additions and cost adjustments, Oracle Assets APIs will properly clear the

correct account and amount, even when multiple cost adjustments, each with a different clearing account, are added simultaneously to an asset.

Related Topics

Common Structures, page F-2

Common Structures

The common structures break an asset down into discrete parts. These different parts are often modified during different transactions that are performed on an asset. You use the set of common structures to collectively describe a particular asset. For example, the ASSET_HDR_REC_TYPE contains an identifier that distinguishes the asset. The ASSET_DESC_REC_TYPE contains fields that describe the asset, such as Asset Number, Tag Number, and Serial Number. The ASSET_FIN_REC_TYPE contains financial information for the asset. The APIs use different structures depending on their functions.

The Oracle Assets APIs use the following 12 common structures:

- TRANS_REC_TYPE
- ASSET_HDR_REC_TYPE
- ASSET_DESC_REC_TYPE
- ASSET_TYPE_REC_TYPE
- ASSET_CAT_REC_TYPE
- ASSET_HIERARCHY_REC_TYPE
- ASSET_FIN_REC_TYPE (ASSET_FIN_TBL_TYPE is a table of this record)
- ASSET_DEPRN_REC_TYPE (ASSET_DEPRN_TBL_TYPE is a table of this record)
- ASSET_DIST_REC_TYPE (ASSET_DIST_TBL_TYPE is a table of this record)
- INV_TRANS_REC_TYPE
- INV_REC_TYPE (INV_TBL_TYPE is a table of this record)
- INV_RATE_REC_TYPE (INV_RATE_TBL_TYPE is a table of this record)

The Oracle Assets APIs use the following asset structures only for a few transactions:

- ASSET_RETIRE_REC_TYPE

- ASSET_RETIRE_DET_REC_TYPE
- ASSET_HR_ATTR_REC_TYPE
- ASSET_HR_OPTIONS_REC_TYPE
- SUBCOMP_REC_TYPE
- PERIOD_REC_TYPE
- RECLASS_OPTIONS_REC_TYPE
- GROUP_RECLASS_OPTIONS_REC_TYPE
- UNPLANNED_DEPRN_REC_TYPE

The following structures are subsets of the previous asset structures:

- STANDARD_WHO_REC_TYPE
- DESC_FLEX_REC_TYPE

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code as shown in the following table.

Argument	Type	Description
TRANSACTION_HEADER_ID	NUMBER(15)	Unique transaction identification number.
TRANSACTION_TYPE_CODE	VARCHAR2(20)	Identifies the type of the transaction.
TRANSACTION_DATE_ENTERED	DATE	Date when the transaction occurred. For additions, it is date placed in service.
TRANSACTION_NAME	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.

Argument	Type	Description
SOURCE_TRANSACTION_ HEADER_ID	NUMBER(15)	Transaction header identification number for corresponding transaction in the associated corporate book.
MASS_REFERENCE_ID	NUMBER(15)	Identifies the concurrent request that invokes the transaction if it is part of a mass transaction.
TRANSACTION_SUBTYPE	VARCHAR2(9)	Detail of the transaction type. For additions or adjustments, this is AMORTIZED or EXPENSED. For retirements and revaluations, it usually takes internal values.
TRANSACTION_KEY	VARCHAR2(1)	General class of transaction.
AMORTIZATION_START_D ATE	DATE	Amortization start date.
DEPRN_OVERRIDE_FLAG	VARCHAR2(1)	Override Status (D - depreciation amount was overridden. B - bonus amount was overridden. A - depreciation and bonus amounts were overridden.
CALLING_INTERFACE	VARCHAR2(30)	Interface that calls the API. This field defaults to CUSTOM.
DESC_FLEX	DESC_FLEX_REC_TYPE	Descriptive flexfield segments.
WHO_INFO	STANDARD_WHO_REC_ TYPE	Standard Who columns.

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code as shown in the following

table.

Argument	Type	Description
ASSET_ID	NUMBER(15)	Asset identification number.
BOOK_TYPE_CODE	VARCHAR2(15)	Book name.
SET_OF_BOOKS_ID	NUMBER(15)	Ledger identification number.
PERIOD_OF_ADDITION	VARCHAR2(1)	Identifies whether the transaction occurs during the period when adding the specific asset.

ASSET_DESC_REC_TYPE Asset Structure

The ASSET_DESC_REC_TYPE asset structure contains descriptive information about the asset, such as the tag number, serial number, and manufacturer name. The following table shows type and value information for each argument.

Argument	Type	Value
ASSET_NUMBER	VARCHAR2(15)	Defaults to the asset ID. Optional OUT parameter.
DESCRIPTION	VARCHAR2(80)	Description of the asset.
TAG_NUMBER	VARCHAR2(15)	Tag number of the asset.
SERIAL_NUMBER	VARCHAR2(35)	Serial number of the asset.
ASSET_KEY_CCID	NUMBER(15)	Identifies an asset key flexfield combination for the asset.
PARENT_ASSET_ID	NUMBER(15)	Identifies a parent asset for subcomponents.
STATUS	VARCHAR2(150)	Describes the status of the asset. (CRL Assets only)

Argument	Type	Value
MANUFACTURER_NAME	VARCHAR2(30)	Name of the manufacturer.
MODEL_NUMBER	VARCHAR2(40)	Model number of the asset.
WARRANTY_ID	NUMBER(15)	Warranty identification number.
LEASE_ID	NUMBER(15)	Lease identification number.
IN_USE_FLAG	VARCHAR2(3)	Indicates whether the asset is in use. YES - In use (default). NO - Not in use
INVENTORIAL	VARCHAR2(3)	YES - Include in physical inventory. NO - Do not include in physical inventory. Defaults as per asset category values
PROPERTY_TYPE_CODE	VARCHAR2(10)	Indicates the property type. Defaults as per asset category values.
PROPERTY_1245_1250_CODE	VARCHAR2(4)	1245 - Personal. 1250 - Real. Defaults as per asset category values.
OWNED_LEASED	VARCHAR2(15)	OWNED - Owned (Default). LEASED - Leased. Defaults as per asset category values.
NEW_USED	VARCHAR2(4)	NEW - New (Default). USED - Used.

Argument	Type	Value
CURRENT_UNITS	NUMBER	Current number of units for the asset.
LEASE_DESC_FLEX	DESC_FLEX_REC_TYPE	Lease descriptive flexfield segments.
GLOBAL_DESC_FLEX	DESC_FLEX_REC_TYPE	Global descriptive flexfield segments.
COMMITMENT	VARCHAR2(150)	Current financial burdens recorded against the asset, such as existing mortgages or pre-notices of mortgages.
INVESTMENT_LAW	VARCHAR2(150)	Incentives available to businesses, depending on the region and the nature of the investor's business. The current incentives are direct subsidy, interest subsidy, leasing subsidy, and tax exemption.

ASSET_TYPE_REC_TYPE Asset Structure

The ASSET_TYPE_REC_TYPE asset structure contains information about the asset type: CIP, capitalized, or expensed. The following table shows type and descriptive information for each argument.

Argument	Type	Description
ASSET_TYPE	VARCHAR2(15)	Indicates whether the asset is CIP, group, capitalized, or expensed.

ASSET_CAT_REC_TYPE Asset Structure

The ASSET_CAT_REC_TYPE asset structure contains information about the asset category, such as the category ID and the category descriptive flexfield. The following table shows type and descriptive information for each argument.

Argument	Type	Description
CATEGORY_ID	NUMBER(15)	Identifies the category the asset belongs to.
CATEGORY_DESC_FLEX	DESC_FLEX_REC_TYPE	Category descriptive flexfield segments.

ASSET_HIERARCHY_REC_TYPE Asset Structure

The ASSET_HIERARCHY_REC_TYPE asset structure contains information about whether the asset belongs to an asset hierarchy. This asset structure applies only to CRL Assets. The following table shows type and descriptive information for the argument.

Argument	Type	Description
PARENT_HIERARCHY_ID	NUMBER(15)	Identifies the hierarchy the asset belongs to. (CRL assets)

ASSET_FIN_REC_TYPE Asset Structure

The ASSET_FIN_REC_TYPE asset structure contains financial information for a given asset. The following table shows type and value information for each argument.

Argument	Type	Value
SET_OF_BOOKS_ID	NUMBER(15)	Ledger identification number.
DATE_PLACED_IN_SERVICE	DATE	Date the asset is placed in service.
DEPRN_START_DATE	DATE	Date the asset starts to depreciate.
DEPRN_METHOD_CODE	VARCHAR2(12)	The name of the depreciation method. Defaults as per asset category values.

Argument	Type	Value
LIFE_IN_MONTHS	NUMBER(4)	Life of the asset in total months. Defaults as per asset category values.
RATE_ADJUSTMENT_FACT OR	NUMBER	Percent of depreciation remaining after a revaluation or an amortized change or if there was no change.
ADJUSTED_COST	NUMBER	Recoverable cost subtracting the depreciation reserve. The value is reset when an amortized adjustment or revaluation is performed.
COST	NUMBER	Current or change in cost of the asset.
ORIGINAL_COST	NUMBER	Original cost of the asset. Defaults to cost.
SALVAGE_VALUE	NUMBER	Asset salvage value. Defaults as per asset category values.
PRORATE_CONVENTION_ CODE	VARCHAR2(10)	Depreciation prorate convention. Defaults as per asset category values.
PRORATE_DATE	DATE	Date for prorating the depreciation.
COST_CHANGE_FLAG	VARCHAR2(3)	Indicates that an adjustment is pending for the asset. The depreciation program recalculates the depreciation reserve from the date of acquiring the asset if this flag is set to YES.
ADJUSTMENT_REQUIRED_ STATUS	VARCHAR2(4)	Indicates that the asset requires an adjustment to depreciation expense for a retroactive transaction.

Argument	Type	Value
CAPITALIZE_FLAG	VARCHAR2(3)	Indicates whether the asset is a capitalized asset.
RETIREMENT_PENDING_FLAG	VARCHAR2(3)	Indicates whether the asset has a retirement pending.
DEPRECIATE_FLAG	VARCHAR2(3)	Indicates whether the asset is depreciating. YES - Asset is depreciating NO - Asset is not depreciating
ITC_AMOUNT_ID	NUMBER(15)	Identifies the ITC rate.
ITC_AMOUNT	NUMBER	Amount of ITC.
RETIREMENT_ID	NUMBER(15)	Identifies the retirement transaction when retiring the asset.
TAX_REQUEST_ID	NUMBER(15)	Concurrent request number for mass copy program.
ITC_BASIS	NUMBER	Cost basis for calculating ITC.
BASIC_RATE	NUMBER	Defaults as per asset category values.
ADJUSTED_RATE	NUMBER	Defaults as per asset category values.
BONUS_RULE	NUMBER	Bonus rule for an asset. Defaults as per asset category values. If a default value is defined, and you want the value to be NULL, you must pass FND_API. G_MISS_CHAR to the Addition API.

Argument	Type	Value
CEILING_NAME	VARCHAR2(30)	Identifies a depreciation ceiling to be used in calculating depreciation. Defaults as per asset category values. If a default value is defined, and you want the value to be NULL, you must pass FND_API.G_MISS_CHAR to the Addition API.
PRODUCTION_CAPACITY	NUMBER	Capacity of a unit of production asset. Defaults as per asset category values.
RECOVERABLE_COST	NUMBER	Cost without salvage value, or depreciation ceiling, whichever is lower.
ADJUSTED_CAPACITY	NUMBER	Capacity of a unit of production asset. The value is reset when amortizing capacity adjustment.
FULLY_RSVD_REVALS_COUNTER	NUMBER(5)	Number of times the asset is revalued as fully reserved.
IDLED_FLAG	VARCHAR2(3)	Reserved for future use.
PERIOD_COUNTER_CAPITALIZED	NUMBER(15)	Period of capitalizing the asset.
PERIOD_COUNTER_FULLY_RESERVED	NUMBER(15)	Period of reserving the asset.
PERIOD_COUNTER_FULLY_RETIRED	NUMBER(15)	Period of retiring the asset.
PRODUCTION_CAPACITY	NUMBER	Capacity of a units of production asset.

Argument	Type	Value
REVAL_AMORTIZATION_B ASIS	NUMBER	Revaluation reserve for calculating the amortization of revaluation reserve. Updated when the revaluing the asset or amortizing the adjustment.
REVAL_CEILING	NUMBER	Upper limit for revaluing asset cost.
UNIT_OF_MEASURE	VARCHAR2(25)	Unit of measure of a units of production asset. Defaults as per asset category values.
UNREVALUED_COST	NUMBER	Cost without regard to any revaluation.
ANNUAL_DEPRN_ROUNDING_FLAG	VARCHAR2(5)	Indicates whether Oracle Assets should subtract year-to-date depreciation from the annual depreciation amount to obtain the depreciation amount for the last period of the fiscal year.
PERCENT_SALVAGE_VALUE	NUMBER	Salvage value percentage amount.
ALLOWED_DEPRN_LIMIT	NUMBER	The default depreciation limit as cost percentage.
ALLOWED_DEPRN_LIMIT_AMOUNT	NUMBER	Depreciation limit amount.
PERIOD_COUNTER_LIFE_COMPLETE	NUMBER(15)	The period of reserving the asset's useful life.
ADJUSTED_RECOVERABLE_COST	NUMBER	Adjusted recoverable cost with special depreciation limits taken into account.
ANNUAL_ROUNDING_FLAG	VARCHAR2(5)	Reserved for future use.

Argument	Type	Value
EOFY_ADJ_COST	NUMBER	Adjusted cost at the end of the fiscal year.
EOFY_FORMULA_FACTOR	NUMBER	Formula factor at the end of the fiscal year.
SHORT_FISCAL_YEAR_FLAG	VARCHAR2(3)	Indicates if an asset is added in a short fiscal year.
CONVERSION_DATE	DATE	Date short tax year asset added to the acquiring company.
ORIG_DEPRN_START_DATE	DATE	Date short tax year asset begin depreciating in the acquired company's books.
REMAINING_LIFE1	NUMBER(4)	Remaining life of the asset as on the conversion date, prorate date or fiscal year start date.
REMAINING_LIFE2	NUMBER(4)	Remaining life of the asset as of the fiscal year start date.
GROUP_ASSET_ID	NUMBER(15)	Group asset identification number. (CRL Asset). If a default value is defined, and you want the value to be NULL, you must pass FND_API.G_MISS_NUM to the Addition API.
OLD_ADJUSTED_COST	NUMBER	The old cost of a formula-based NBV-based asset before an adjustment.
FORMULA_FACTOR	NUMBER	Factor for adjusting the depreciation rate for formula-based NBV-based assets.
GLOBAL_ATTRIBUTE1-20	VARCHAR2(150)	Reserved for country specific functionality.

Argument	Type	Value
GLOBAL_ATTRIBUTE_CATEGORY	VARCHAR2(30)	Reserved for country specific functionality.
DISABLED_FLAG	VARCHAR2(1)	Indicates whether the group asset is disabled. Y - Group asset is disabled. N - Group asset is enabled. Defaults to N.
SALVAGE_TYPE	VARCHAR2(30)	Indicates the way to determine salvage value. AMT - Manually enter the salvage value manually (Not available for group asset). PCT - PERCENT_SALVAGE_VALUE field determines the Salvage value. SUM - Salvage value is determined by sum of member asset's salvage value amount (available only for group asset). Defaults to PCT for group assets.

Argument	Type	Value
DEPRN_LIMIT_TYPE	VARCHAR2(30)	Indicates how depreciation limit is determined . AMT - Manually enter the depreciation limit amount manually (Not available for group asset). PCT - ALLOWED_DEPRN_LIMIT field determines the depreciation limit amount. SUM - Depreciation limit amount is determined using sum of member asset's depreciation limit amount (available only for group asset). NONE - Depreciation limit is not used. Defaults to PCT for group assets.
OVER_DEPRECIATE_OPTIO N	VARCHAR2(30)	Indicates whether group asset should stop depreciating beyond its depreciation limit (recoverable cost if there is no depreciation limit defined). NO - Stop depreciating when the depreciation reserve reaches its depreciation limit. YES - Stop depreciating if depreciation reserve reaches its depreciation limit because of an increase in depreciation expense. DEPRN - Group asset will not stop depreciating. Defaults to NO.
SUPER_GROUP_ID	NUMBER	Super group rule identification number.

Argument	Type	Value
REDUCTION_RATE	NUMBER	Relevant for depreciable basis rule that is assigned to a depreciation method which uses reduction rate.
REDUCE_ADDITION_FLAG	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset additions. This value is relevant for group assets only. Y - Reduction rate is used for member asset additions. N - Reduction rate is not used for member asset additions. Defaults to N.
REDUCE_ADJUSTMENT_FL AG	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset adjustments. This value is relevant for group assets only. Y - Reduction rate is used for member asset adjustments. N - Reduction rate is not used for member asset adjustments. Defaults to N.
REDUCE_RETIREMENT_FL AG	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset retirements. This value is relevant only with group asset. Y - Reduction rate is used for member asset retirements. N - Reduction rate is not used for member asset retirements. Defaults to N.

Argument	Type	Value
RECOGNIZE_GAIN_LOSS	VARCHAR2(30)	Indicates whether a member asset retirement should result in recognizing gain and loss amount. YES - Recognize gain and loss amount. NO - Do not recognize gain and loss amount. Defaults to NO.
RECAPTURE_RESERVE_FLAG	VARCHAR2(1)	Defaults to N.
LIMIT_PROCEEDS_FLAG	VARCHAR2(1)	Defaults to N.
TERMINAL_GAIN_LOSS	VARCHAR2(30)	Indicates whether to recognize gain and loss when the last member asset in a group asset is retired out of the group. YES - Recognize gain and loss amount. NO - Not recognizing gain and loss amount END_OF_YEAR - Different recognition of gain and loss amount until the end of current fiscal year. Defaults to YES.

Argument	Type	Value
TRACKING_METHOD	VARCHAR2(30)	Member assets tracking option value. ALLOCATE - Allocate group depreciation amount across it's member assets. CALCULATE - Uses member assets depreciation instead of group asset's depreciation. Defaults to null.
EXCESS_ALLOCATION_OPTION	VARCHAR2(30)	Indicates whether excess from allocation of group depreciation expense across its member assets is reduced from group depreciation expense or reallocated to its member assets. DISTRIBUTE - Reallocate the excess depreciation expense to its member assets. REDUCE - Reduce the excess from group depreciation expense.

Argument	Type	Value
DEPRECIATION_OPTION	VARCHAR2(30)	Indicates whether member asset's depreciation expense is calculated using group or member asset depreciation information. GROUP - Use group asset depreciation information to calculate member asset depreciation expense. MEMBER - Use member asset depreciation information to calculate member asset depreciation expense. Defaults to GROUP if TRACKING_METHOD is CALCULATE, otherwise defaults to null.
MEMBER_ROLLUP_FLAG	VARCHAR2(1)	Indicates whether group asset depreciation amount is sum of member asset depreciation amount. This value is relevant if TRACKING_METHOD is CALCULATE and the value is not Y if RECOGNIZE_GAIN_LOSS or TERMINAL_GAIN_LOSS is NO. Y - Sum member asset depreciation amount to group. N - Group depreciation amount is calculated using the group asset information. Defaults to N if TRACKING_METHOD is CALCULATE, otherwise defaults to null.

Argument	Type	Value
ALLOCATE_TO_FULLY_RS V_FLAG	VARCHAR2(1)	Indicates whether to allocate group asset's depreciation amount to a reserved member asset. Y - Group depreciation expense is allocated to a reserved member assets. N - Group depreciation expense is not allocated to fully reserved member assets. Defaults to N if TRACKING_METHOD is ALLOCATE, otherwise defaults to null.

The following are relevant to group assets:

- DISABLED_FLAG
- OVER_DEPRECIATE_OPTION
- SUPER_GROUP_ID
- REDUCE_ADDITION_FLAG
- REDUCE_ADJUSTMENT_FLAG
- REDUCE_RETIREMENT_FLAG
- RECOGNIZE_GAIN_LOSS
- RECAPTURE_RESERVE_FLAG
- LIMIT_PROCEEDS_FLAG
- TERMINAL_GAIN_LOSS
- TRACKING_METHOD
- EXCESS_ALLOCATION_OPTION
- DEPRECIATION_OPTION

- MEMBER_ROLLUP_FLAG
- ALLOCATE_TO_FULLY_RSV_FLAG

REDUCTION_RATE is for group and member assets.

ASSET_DEPRN_REC_TYPE Asset Structure

The ASSET_DEPRN_REC_TYPE asset structure contains depreciation information for a given asset. The following table shows type and descriptive information for each argument.

Argument	Type	Description
SET_OF_BOOKS_ID	NUMBER(15)	Ledger identification number.
DEPRN_AMOUNT	NUMBER	Depreciation expense for this depreciation period.
YTD_DEPRN	NUMBER	Year-to-date depreciation expense.
DEPRN_RESERVE	NUMBER	Total depreciation since acquiring the asset.
PRIOR_FY_EXPENSE	NUMBER	Depreciation expense of previous fiscal years.
BONUS_DEPRN_AMOUNT	NUMBER	Bonus depreciation expense for this period.
BONUS_YTD_DEPRN	NUMBER	Bonus year-to-date depreciation expense.
BONUS_DEPRN_RESERVE	NUMBER	Total bonus depreciation since acquiring the asset.
PRIOR_FY_BONUS_EXPENSE	NUMBER	Bonus depreciation expense of previous fiscal years.
REVAL_AMORTIZATION	NUMBER	Amount of revaluation reserve amortized during this period.

Argument	Type	Description
REVAL_AMORTIZATION_BASIS	NUMBER	Revaluation reserve for calculating the amortization of revaluation reserve. The value is updated only when the asset is revalued or has an amortized adjustment.
REVAL_DEPRN_EXPENSE	NUMBER	Depreciation expense portion for revaluating the asset cost.
REVAL_YTD_DEPRN	NUMBER	Year-to-date depreciation expense for revaluation.
REVAL_DEPRN_RESERVE	NUMBER	Period when an asset is revalued: The value is the change in net book value due to revaluation of asset cost, and sometimes the revaluation of depreciation reserve also. For other periods: the value is the revaluation reserve amount after running the depreciation.
PRODUCTION	NUMBER	Current period production for a unit of production asset.
YTD_PRODUCTION	NUMBER	Year-to-date production for a unit of production asset.
LTD_PRODUCTION	NUMBER	Life-to-date production for a unit of production asset.

ASSET_DIST_REC_TYPE Asset Structure

The ASSET_DIST_REC_TYPE asset structure contains information that represents a single source or destination distribution line. All the ASSET_DIST_REC_TYPE records comprising a single transfer transaction are contained in the ASSET_DIST_TBL table. At least one source line and at least one destination line are required for each transfer transaction. The following table shows type and descriptive information for each argument.

Argument	Type	Description
DISTRIBUTION_ID	NUMBER(15)	Unique distribution identification number.
UNITS_ASSIGNED	NUMBER	Number of units assigned to the distribution.
TRANSACTION_UNITS	NUMBER	Number of units involved in the transaction. Negative for the units transferred or retired. Positive for the units transferred or added.
ASSIGNED_TO	NUMBER(15)	Employee identification number.
EXPENSE_CCID	NUMBER(15)	Depreciation expense account identification number.
LOCATION_CCID	NUMBER(15)	Location flexfield identification number.

INV_TRANS_REC_TYPE Invoice Structure

The INV_TRANS_REC_TYPE invoice structure contains invoice transaction information for a given invoice. The following table shows type and descriptive information for each argument.

Argument	Type	Description
INVOICE_TRANSACTION_ID	NUMBER(15)	Unique identification number for the invoice transaction.
TRANSACTION_TYPE	VARCHAR2(20)	Type of invoice transaction. (i. e., INVOICE ADDITION, INVOICE ADJUSTMENT, INVOICE DELETE, INVOICE REINSTATE, INVOICE TRANSFER, MASS ADDITION)

INV_REC_TYPE Invoice Structure

The INV_REC_TYPE invoice structure contains invoice information for a single invoice associated with an asset. The INV_TBL_TYPE is a table of INV_REC_TYPE records. These records contain all invoices that have been applied to the asset. The following table shows type and value information for each argument.

Argument	Type	Value
ASSET_INVOICE_ID	NUMBER(15)	Asset invoice identification number.
FIXED_ASSETS_COST	NUMBER	Cost of asset in Oracle Assets.
PO_VENDOR_ID	NUMBER(15)	Supplier identification number.
PO_NUMBER	VARCHAR2(20)	Purchase order number.
INVOICE_NUMBER	VARCHAR2(50)	Invoice number.
PAYABLES_BATCH_NAME	VARCHAR2(50)	Payables batch name in the invoice
PAYABLES_CODE_COMBINATION_ID	NUMBER(15)	Clearing account number which is posted in accounts payable.
FEEDER_SYSTEM_NAME	VARCHAR2(40)	Name of the feeder system that creates the FA_MASS_ADDITIONS row.
CREATE_BATCH_DATE	DATE	Mass additions batch date when creating this row.
CREATE_BATCH_ID	NUMBER(15)	Mass additions create request identification number for this row.
INVOICE_DATE	DATE	Invoice date from accounts payable.
PAYABLES_COST	NUMBER	Invoice cost from accounts payable.

Argument	Type	Value
POST_BATCH_ID	NUMBER(15)	Mass Additions Post request identification number for this row.
INVOICE_ID	NUMBER(15)	Invoice identification number.
AP_DISTRIBUTION_LINE_NUMBER	NUMBER(15)	Distribution line identification number.
PAYABLES_UNITS	NUMBER	Units from AP_INVOICE_DISTRIBUTIONS row.
DESCRIPTION	VARCHAR2(80)	Invoice line description.
DELETED_FLAG	VARCHAR2(3)	Indicates whether this row is deleted in the CIP Adjustments form. Defaults to NO, which it should be for all addition transactions.
SPLIT_MERGED_CODE	VARCHAR2(3)	Indicates if the invoice line is split or merged.
PARENT_MASS_ADDITION_ID	VARCHAR2(15)	Parent mass addition identification number for the mass addition.
UNREVALUED_COST	NUMBER	Cost without regard to any revaluations.
MERGED_CODE	VARCHAR2(3)	Indicates if the mass addition is a merged parent or child.
SPLIT_CODE	VARCHAR2(3)	Indicates if the mass addition is a split parent or child.
MERGED_PARENT_MASS_ADDITION_ID	NUMBER(15)	Merged parent mass addition ID.
SPLIT_PARENT_MASS_ADDITION_ID	NUMBER(15)	Split parent mass addition ID.

Argument	Type	Value
PROJECT_ASSET_LINE_ID	NUMBER(15)	Identifier of the summarized asset cost line transferred from Oracle Projects to create this line.
PROJECT_ID	NUMBER(15)	Identifier of the project from which the costs are collected, summarized, and transferred from Oracle Projects.
TASK_ID	NUMBER(15)	Identifier of the task from which costs are collected, summarized, and transferred from Oracle Projects. This column is populated only if the costs were summarized by task.
ATTRIBUTE1	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE2	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE3	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE4	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE5	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE6	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE7	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE8	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE9	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE10	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE11	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE12	VARCHAR2(150)	Descriptive flexfield segment.

Argument	Type	Value
ATTRIBUTE13	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE14	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE15	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE_CATEGORY_CODE	VARCHAR2(30)	Descriptive flexfield structure defining column.
YTD_DEPRN	NUMBER	Year-to-date depreciation expense.
DEPRN_RESERVE	NUMBER	Total depreciation taken since beginning of asset life.
BONUS_YTD_DEPRN	NUMBER	Bonus year-to-date depreciation expense.
BONUS_DEPRN_RESERVE	NUMBER	Total bonus depreciation taken since acquiring the asset.
REVAL_AMORTIZATION_BASIS	NUMBER	Revaluation reserve for calculating the amortization of a revaluation reserve. This value is updated when revaluing the asset or amortizing the adjustment.
REVAL_YTD_DEPRN	NUMBER	Year-to-date depreciation expense for revaluation.
REVAL_DEPRN_RESERVE	NUMBER	Period when an asset is revalued: The value is the change in net book value due to revaluation of asset cost, and sometimes the revaluation of depreciation reserve also. For other periods: the value is the revaluation reserve amount after running the depreciation.

Argument	Type	Value
INVOICE_DISTRIBUTION_ID	VARCHAR2(1)	Invoice distribution identifier.
INVOICE_LINE_NUMBER	VARCHAR2(30)	Invoice line number.
PO_DISTRIBUTION_ID	VARCHAR2(30)	Purchase order distribution identifier.
INV_RATE_TBL	INV_RATE_REC_TYPE	If using an alternate ledger currency, you may optionally provide either rates or converted amounts directly for each ledger through this member.

INV_RATE_REC_TYPE Invoice Rate Structure

The INV_RATE_REC_TYPE invoice structure contains rate information for an invoice. Each INV_RATE_REC_TYPE record contains one conversion rate. The INV_RATE_TBL_TYPE is a table of INV_RATE_REC_TYPE records. This table is used by MRC reporting currencies to determine the conversion rates for an asset. The following table shows type and value information for each argument.

Argument	Type	Value
SET_OF_BOOKS_ID	NUMBER(15)	Ledger identification number.
EXCHANGE_RATE	NUMBER	Exchange rate for the currency (required if cost is not specified)
COST	Number	Provide converted cost directly rather than an exchange rate (required if EXCHANGE_RATE is not specified).

ASSET_RETIRE_REC_TYPE Asset Structure

The ASSET_RETIRE_REC_TYPE asset structure contains the public retirement

information of a given asset when it is retired. The following table shows type and value information for each argument.

Argument	Type	Value
RETIREMENT_ID	NUMBER(15)	Retirement identification number. Optional OUT parameter.
RETIREMENT_PRORATE_CONVENTION	VARCHAR2(10)	Prorate convention of the retirement. For example, MID-MONTH.
DATE_RETIRED	DATE	Date when retirement occurred. Default is current date.
UNITS_RETIRED	NUMBER	Number of units retired. Either units_retired or cost_retired must be provided.
COST_RETIRED	NUMBER	Cost retired. Either units_retired or cost_retired must be provided.
PROCEEDS_OF_SALE	NUMBER	Proceeds from the sale of the asset.
COST_OF_REMOVAL	NUMBER	Cost of removing the asset.
RETIREMENT_TYPE_CODE	VARCHAR2(15)	Retirement type.
TRADE_IN_ASSET_ID	NUMBER(15)	Asset identification number of the new asset for which this asset was traded in.
SOLD_TO	VARCHAR2(30)	Name of the party to whom the asset was sold.
REFERENCE_NUM	VARCHAR2(15)	Reference number.

Argument	Type	Value
CALCULATE_GAIN_LOSS	VARCHAR2(1)	Whether to run calculate gain/loss immediately. (Either FND_API.G_TRUE or FND_API.G_FALSE.)
DESC_FLEX	DESC_FLEX_REC_TYPE	Retirement descriptive flexfield information.
RESERVE_RETIRED	NUMBER	Reserve retired amount at the time of member asset retirement.
EOFY_RESERVE	NUMBER	Reserve deducted from the end of fiscal year reserve amount.

ASSET_RETIRE_DET_REC_TYPE Asset Structure

The ASSET_RETIRE_DET_REC_TYPE asset structure contains the detailed retirement information of a given asset that is used internally and is hidden from users. The following table shows type and descriptive information for each argument.

Argument	Type	Description
ASSET_ID	NUMBER(15)	Asset identification number.
BOOK_TYPE_CODE	VARCHAR2(15)	Book name.
TRANSACTION_HEADER_ID_IN	NUMBER(15)	Identification number of the asset transaction which created the row.
TRANSACTION_HEADER_ID_OUT	NUMBER(15)	Identification number of the asset transaction which made the row obsolete.
NBV_RETIRED	NUMBER	Net book value retired.
GAIN_LOSS_AMOUNT	NUMBER	Gain or loss from the retirement.

Argument	Type	Description
GAIN_LOSS_TYPE_CODE	VARCHAR2(15)	Whether the retirement resulted in a gain or a loss.
ITC_RECAPTURED	NUMBER	Investment tax credit recaptured.
ITC_RECAPTURE_ID	NUMBER(15)	Investment tax credit recapture identification number.
STL_METHOD_CODE	VARCHAR2(12)	Straight line method for retirement reporting of 1250 property in a tax book.
STL_LIFE_IN_MONTHS	NUMBER(4)	Straight line life for retirement.
STL_DEPRN_AMOUNT	NUMBER	Straight line depreciation amount for reporting of 1250 property in a tax book.
REVAL_RESERVE_RETIRED	NUMBER	Revaluation reserve retired.
UNREVALUED_COST_RETIRE	NUMBER	Cost retired without any regard to revaluations.
BONUS_RESERVE_RETIRED	NUMBER	Bonus reserve retired.
ROW_ID	NUMBER	Row ID of retirement row.

ASSET_HR_ATTR_REC_TYPE Asset Structure

The ASSET_HR_ATTR_REC_TYPE asset structure contains the hierarchy attributes of a given asset. The following table shows type and descriptive information for each argument.

Argument	Type	Description
CATEGORY_ID	NUMBER(15)	Identifies category to which the hierarchy belongs. (CRL Assets)
SERIAL_NUMBER	VARCHAR2(35)	Serial number of the hierarchy. (CRL Assets)
LEASE_ID	NUMBER(15)	Lease identification number. (CRL Assets)
ASSET_KEY_CCID	NUMBER(15)	Identifies the asset key combination for the hierarchy. (CRL Assets)
DIST_SET_ID	NUMER(15)	Distribution set identification number. (CRL Assets)
LIFE_IN_MONTHS	NUMBER(4)	Life in total months. (CRL Assets)
PRORATE_DATE	DATE	Date for prorating the depreciation. (CRL Assets)

ASSET_HR_OPTIONS_REC_TYPE Asset Structure

The ASSET_HR_OPTIONS_REC_TYPE asset structure contains any changes occurring in the hierarchy options during a transaction that is performed on a given asset. The following table shows type and descriptive information for each argument.

Argument	Type	Description
EVENT_CODE	VARCHAR2(30)	Event that creates the batch: CHANGE_NODE_PARENT - Change Parent of a Node in the Asset Hierarchy CHANGE_NODE_ATTRIBUTE - Change Attribute Value on Node in the Asset Hierarchy CHANGE_NODE_RULE_SET - Change Rule Set on a Node in an Asset Hierarchy CHANGE_ASSET_LEASE - Change Lease on an Asset CHANGE_ASSET_PARENT - Change Parent Of An Asset CHANGE_ASSET_CATEGORY - Change Asset Category on an Asset CHANGE_LEASE_LIFE_END_DATE - Change Life End Date on a Lease CHANGE_CATEGORY_LIFE - Change Life On Asset Category CHANGE_CATEGORY_LIFE_END_DATE - Change Life End Date On Asset Category CHANGE_CATEGORY_RULE_SET - Change Rule Set on Asset Category

Argument	Type	Description
STATUS_CODE	VARCHAR2(2)	Batch status: P - Pending IP - In Process PP - Partially Processed CP - Completely Processed R - Rejected
SOURCE_ENTITY_NAME	VARCHAR2(30)	The type of the source entity: NODE - Parent Node ASSET - Asset LEASE - Lease Number CATEGORY - Asset Category
SOURCE_ENTITY_VALUE	VARCHAR2(30)	The source entity value triggering the event.
SOURCE_ATTRIBUTE_NAME	VARCHAR2(30)	Name of the source attribute: PARENT - Parent Node CATEGORY - Asset Category DISTRIBUTION - Distribution Set SERIAL_NUMBER - Serial Number LEASE_NUMBER - Lease Number ASSET_KEY - Asset Key RULE_SET - Rule Set LEASE_END_DATE - Lease End Date LIFE - Life LIFE_END_DATE - Life End Date

Argument	Type	Description
SOURCE_ATTRIBUTE_OLD_ID	VARCHAR2(30)	Identifier of the source attribute before triggering the event.
SOURCE_ATTRIBUTE_NEW_ID	VARCHAR2(30)	Identifier of the source attribute after triggering the event.
AMORTIZATION_START_DATE	DATE	Date of Amortization.
AMORTIZE_FLAG	VARCHAR2(3)	Indicates whether to use Amortization Date: Y- Amortize N - Expense
DESCRIPTION	VARCHAR2(50)	Description of the batch created.
REJECTION_CODE_REASON	VARCHAR2(30)	Reason the batch was Rejected.
CONCURRENT_REQUEST_ID	NUMBER	Concurrent request ID of the run which created this record.
BATCH_ID	NUMBER	System generated identifier of a batch.

SUBCOMP_REC_TYPE Subcomponent Structure

The SUBCOMP_REC_TYPE subcomponent structure contains any child assets belonging to a given asset. The following table shows type and descriptive information for each argument.

Argument	Type	Description
ASSET_ID	NUMBER(15)	Asset identification number.

Argument	Type	Description
PARENT_FLAG	VARCHAR2(1)	Indicates whether asset is a parent asset. (Defaults to FND_API.G_FALSE)

PERIOD_REC_TYPE Period Structure

The PERIOD_REC_TYPE period structure contains the depreciation period information of a given book. The following table shows type and descriptive information for each argument.

Argument	Type	Description
PERIOD_NAME	VARCHAR2(15)	Depreciation period name.
PERIOD_COUNTER	NUMBER(15)	Period counter of the depreciation calendar.
PERIOD_OPEN_DATE	DATE	Start date of the depreciation period.
PERIOD_CLOSE_DATE	DATE	End date of the depreciation period.
CALENDAR_PERIOD_OPEN_DATE	DATE	Calendar period date when the period begins.
CALENDAR_PERIOD_CLOSE_DATE	DATE	End calendar period date.
DEPRN_RUN	VARCHAR2(1)	Indicates whether depreciation has been run for the period.
PERIOD_NUM	NUMBER(3)	Period number in a fiscal year.
FISCAL_YEAR	NUMBER(4)	Fiscal year
FY_START_DATE	DATE	First day of the fiscal year.

Argument	Type	Description
FY_END_DATE	DATE	Last day of the fiscal year.

RECLASS_OPTIONS_REC_TYPE Reclassification Structure

The RECLASS_OPTIONS_REC_TYPE reclassification structure contains reclass options that may be changed during a reclass transaction for a given asset. The following table shows type and descriptive information for each argument.

Argument	Type	Description
COPY_CAT_DESC_FLAG	VARCHAR2(3)	Indicates whether to copy the category descriptive flexfield information to the new category for the asset. (YES/NO)
COPY_CAT_DESC_FLAG	VARCHAR2(3)	Indicates whether to copy the category descriptive flexfield information to the new category for the asset. (YES/NO)
REDEFAULT_FLAG	VARCHAR2(3)	Indicates whether to inherit the depreciation rules of the new category. (YES/NO)
MASS_REQUEST_ID	NUMBER(15)	Concurrent request identification number.

GROUP_RECLASS_OPTIONS_REC_TYPE Reclassification Structure

The GROUP_RECLASS_OPTIONS_REC_TYPE reclassification structure contains any group reclass options that may be changed during a transaction done on a group asset. The following table shows type and descriptive information for each argument.

Argument	Type	Value
TRANSFER_FLAG	VARCHAR2(3)	Option to transfer reserve or calculate catchup expense. (YES/NO) (CRL Assets)
MANUAL_FLAG	VARCHAR2(3)	Indicates whether system should calculate the amount to transfer or whether a value will be provided. Available when choosing the transfer only option. (YES/NO) (CRL Assets)
MANUAL_AMOUNT	NUMBER	When the manual_flag is YES, this is the amount that you intend to transfer. (CRL Assets) The relationship between the flags is as follows during a group reclass: Group-unit or unit-group: transfer_flag = NO / manual_flag = NO. Group-group: transfer_flag = NO / manual_flag = NO Transfer_flag = YES / manual_flag = YES or NO.
GROUP_RECLASS_TYPE	VARCHAR2(30)	Indicates whether group reclass amounts information is provided by the user or calculated by the system. CALC - System calculates amounts based on AMORTIZATION_START_DATE. MANUAL - User needs to provide amounts
RESERVE_AMOUNT	NUMBER	Reserve amount moved from source to destination.

Argument	Type	Value
SOURCE_EOFY_RESERVE	NUMBER	Reserve amount at the end of previous fiscal year moved from source. This is used to calculate the new depreciable basis for some of FLAT-NBV method.
DESTINATION_EOFY_RESERVE	NUMBER	Reserve amount at the end of previous fiscal year added to destination. This is used to calculate new depreciable basis for some of FLAT-NBV method.

UNPLANNED_DEPRN_REC_TYPE Structure

The UNPLANNED_DEPRN_REC_TYPE structure contains unplanned depreciation information when this type of transaction is performed on a given asset. The following table shows type and descriptive information for each argument.

Argument	Type	Description
CODE_COMBINATION_ID	NUMBER(15)	Account allocated for unplanned depreciation.
UNPLANNED_AMOUNT	NUMBER	Amount allocated for unplanned depreciation.
UNPLANNED_TYPE	VARCHAR2(9)	Type of unplanned depreciation.

STANDARD_WHO_REC_TYPE Structure

The STANDARD_WHO_REC_TYPE structure contains information about the user, such as who updated the transaction. The following table shows type and descriptive information for each argument.

Argument	Type	Description
LAST_UPDATE_DATE	DATE	Standard Who column. (Defaults to SYSDATE)
LAST_UPDATED_BY	NUMBER(15)	Standard Who column. (Defaults to FND_GLOBAL. USER_ID)
CREATED_BY	NUMBER(15)	Standard Who column. (Defaults to FND_GLOBAL. USER_ID)
CREATION_DATE	DATE	Standard Who column. (Defaults to SYSDATE)
LAST_UPDATE_LOGIN	NUMBER(15)	Standard Who column. (Defaults to FND_GLOBAL. LOGIN_ID)

DESC_FLEX_REC_TYPE Structure

The DESC_FLEX_REC_TYPE structure contains descriptive flexfield information. The following table shows type and descriptive information for each argument.

Argument	Type	Description
ATTRIBUTE1	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE2	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE3	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE4	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE5	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE6	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE7	VARCHAR2(150)	Descriptive flexfield segment.

Argument	Type	Description
ATTRIBUTE8	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE9	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE10	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE11	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE12	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE13	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE14	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE15	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE16	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE17	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE18	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE19	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE20	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE21	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE22	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE23	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE24	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE25	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE26	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE27	VARCHAR2(150)	Descriptive flexfield segment.

Argument	Type	Description
ATTRIBUTE28	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE29	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE30	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE_CATEGORY_CODE	VARCHAR2(210)	Descriptive flexfield structure defining column.
CONTEXT	VARCHAR2(210)	Structure defining column for the asset category descriptive flexfield.

Oracle Assets Additions API

This appendix covers the following topics:

- Introduction
- Additions API Description
- Sample Script: Using the Additions API via Invoices
- Sample Script: Using the Additions API with No Invoices
- Sample Script: Using the Additions API via Invoices with Alternative Ledger Currency

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Additions API uses the FA_ADDITION_PUB.DO_ADDITION procedure. You can use this API if you have a custom interface that makes it difficult to use with the existing asset additions interfaces in Oracle Assets.

Oracle Assets also allows you to add assets using any of the following methods:

- **QuickAdditions:** You use the QuickAdditions process to quickly enter ordinary assets when you must enter them manually. You can enter minimal information in the QuickAdditions window, and the remaining asset information defaults from the asset category, book, and the date placed in service.
- **Detail Additions:** You use the Detail Additions process to manually add complex assets which the QuickAdditions process does not handle, for example, assets that have a salvage value or assets with more than one assignments.
- **Mass Additions:** You use the Mass Additions process to add assets automatically from an external source. Create assets from one or more invoice distribution lines in Oracle Payables, CIP asset lines in Oracle Projects, asset information from another assets system, or information from any other feeder system using the interface.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

CIP Assets

If you have checked the Allow CIP Assets check box on the Book Controls window of a tax book, when you add CIP assets using the Additions API, the API automatically adds those CIP assets to that tax book at the same time that they are added to the corporate book.

Passing Null Values

You must pass special values in order to null the values of BONUS_RULE, CEILING_NAME, or GROUP_ASSET_ID. If you pass a NULL value directly for these values, the API will automatically default to the value setup for the category. The following table shows the value that must be passed for the field value to be NULL.

Field	Value to Pass for NULL Field
BONUS_RULE	FND_API.G_MISS_CHAR
CEILING_NAME	FND_API.G_MISS_CHAR
GROUP_ASSET_ID	FND_API.G_MISS_NUM

Related Topics

Additions API Description, page G-2

Sample Script: Using the Additions API via Invoices, page G-30

Sample Script: Using the Additions API with No Invoices, page G-33

Additions API Description

The Additions API procedure is called: FA_ADDITION_PUB.DO_ADDITION ().

The following table provides the arguments, types, value, and descriptions of the elements of the FA_ADDITION_PUB.DO_ADDITION procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2(1)	FND_API. G_RET_STS_ SUCCESS - Addition successful. FND_API. G_RET_STS_ ERROR - Addition fails. FND_API. G_RET_STS_ UNEXP_ERROR - Unexpected error.	Determines the API success.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
P_CALLING_FN	VARCHAR2(30)		Function that calls the API.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Transaction description.
PX_DIST_TRANS_RE C	FA_API_TYPES. DIST_TRANS_REC_ TYPE		Transaction distribution description.
PX_ASSET_HDR_RE C	FA_API_TYPES. ASSET_HDR_REC_ TYPE		Unique identifiers for the assets.
PX_ASSET_DESC_RE C	FA_API_TYPES. ASSET_DESC_REC_ TYPE		Description of the asset.
PX_ASSET_TYPE_RE C	FA_API_TYPES. ASSET_TYPE_REC_ TYPE		Asset type of the asset.
PX_ASSET_CAT_RE C	FA_API_TYPES. ASSET_CAT_REC_ TYPE		Category information of the asset.

Argument	Type	Value	Description
PX_ASSET_HIERARCHY_REC	FA_API_TYPES. ASSET_HIERARCHY_REC_TYPE		Hierarchy information of the asset.
PX_ASSET_FIN_REC	FA_API_TYPES. ASSET_FIN_REC_TYPE		Financial information of the asset.
PX_ASSET_DEPRN_REC	FA_API_TYPES. ASSET_DEPRN_REC_TYPE		Depreciation information of the asset.
PX_ASSET_DIST_TBL	FA_API_TYPES. ASSET_DIST_TBL_TYPE		Distribution information of the asset.
PX_INV_TBL	FA_API_TYPES. INV_TBL_TYPE		Invoices for the asset.

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_HEADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter
TRANSACTION_DATE_ENTERED	Optional	DATE	Defaults to the date placed in service.
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction.
MASS_REFERENCE_ID	Optional	NUMBER(15)	Identifies the concurrent request that invokes the mass transaction.

Argument	Required / Optional	Type	Value
TRANSACTION_SU BTYPE	Optional	VARCHAR2(9)	AMORTIZED - Amortize NBV addition. NULL - Regular addition.
AMORTIZATION_ST ART_DATE	Optional	DATE	Amortization start date
CALLING_INTERFA CE	Optional	VARCHAR2(30)	Defaults to CUSTOM
DESC_FLEX	Optional	DESC_FLEX_REC	Descriptive flexfield segment
WHO_INFO	Required	STANDARD_ WHO_REC	Standard Who columns

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Internal use only for addition to Corporate book. Required for addition to tax book for asset already existing in Corporate book. For a tax addition, the TRANS_REC_TYPE and the ASSET_HDR_REC_TYPE attributes are needed. The values in structures such as ASSET_DESC_REC_TYPE, ASSET_FIN_REC_TYPE, ASSET_TYPE_REC_TYPE, ASSET_CAT_REC_TYPE, etc., defaults from the Corporate book.	NUMBER(15)	IN / OUT parameter.
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book name

ASSET_DESC_REC_TYPE Asset Structure

The ASSET_DESC_REC_TYPE asset structure contains descriptive information about the asset, such as the tag number, serial number, and manufacturer name. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_NUMBER	Optional	VARCHAR2(15)	Defaults to asset_id. Optional OUT parameter.
DESCRIPTION	Required	VARCHAR2(80)	Description of the asset.

Argument	Required / Optional	Type	Value
TAG_NUMBER	Optional	VARCHAR2(15)	Tag number of the asset.
SERIAL_NUMBER	Optional	VARCHAR2(35)	Serial number of the asset.
ASSET_KEY_CCID	Optional	NUMBER(15)	Identifies an asset key flexfield combination for the asset.
PARENT_ASSET_ID	Optional	NUMBER(15)	Identifies a parent asset for subcomponents.
STATUS	Optional	VARCHAR2(150)	Describes the status of the asset. (CRL Assets only)
MANUFACTURER_NAME	Optional	VARCHAR2(30)	Name of the manufacturer.
MODEL_NUMBER	Optional	VARCHAR2(40)	Model number of the asset.
WARRANTY_ID	Optional	NUMBER(15)	Warranty identification number.
LEASE_ID	Optional	NUMBER(15)	Lease identification number.
IN_USE_FLAG	Optional	VARCHAR2(3)	Indicates if the asset is in use. YES - In use (default). NO - Not in use.

Argument	Required / Optional	Type	Value
INVENTORIAL	Optional	VARCHAR2(3)	Defaults to asset category. YES - To include in physical inventory NO - Do not include in physical inventory.
PROPERTY_TYPE_CODE	Optional	VARCHAR2(10)	Indicates the property type. Defaults to asset category.
PROPERTY_1245_1250_CODE	Optional	VARCHAR2(4)	1245 - Personal 1250 - Real. Defaults to asset category.
OWNED_LEASED	Optional	VARCHAR2(15)	OWNED - Owned (Default). LEASED - Leased Defaults to asset category.
NEW_USED	Optional	VARCHAR2(4)	NEW - New (Default) USED - Used
CURRENT_UNITS	Required	NUMBER	Current number of units for the asset.
LEASE_DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Lease descriptive flexfield segments.
GLOBAL_DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Global descriptive flexfield segments.

Argument	Required / Optional	Type	Value
COMMITMENT	Optional	VARCHAR2(150)	Current financial burdens recorded against the asset, such as existing mortgages or pre-notices of mortgages.
INVESTMENT_LAW	Optional	VARCHAR2(150)	Incentives available to businesses, depending on the region and the nature of the investor's business. The current incentives are direct subsidy, interest subsidy, leasing subsidy, and tax exemption.

ASSET_TYPE_REC_TYPE Asset Structure

The ASSET_TYPE_REC_TYPE asset structure contains information about the asset type: CIP, capitalized, or expensed. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_TYPE	Required	VARCHAR2(15)	CAPITALIZED - Capitalized asset (default). CIP - CIP asset EXPENSED - Expensed asset Group - Group asset.

ASSET_CAT_REC_TYPE Asset Structure

The ASSET_CAT_REC_TYPE asset structure contains information about the asset category, such as the category ID and the category descriptive flexfield. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
CATEGORY_ID	Required	NUMBER(15)	Category identifier.
CATEGORY_DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Category descriptive flexfield segments.

ASSET_HIERARCHY_REC_TYPE Asset Structure

The ASSET_HIERARCHY_REC_TYPE asset structure contains information about whether the asset belongs to an asset hierarchy. This asset structure applies only to CRL Assets. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
PARENT_HIERARCHY_ID	Optional	NUMBER(15)	Identifies the hierarchy the asset belongs to. (CRL assets)

ASSET_FIN_REC_TYPE Asset Structure

The ASSET_FIN_REC_TYPE asset structure contains financial information for a given asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
DATE_PLACED_IN_SERVICE	Optional	DATE	Date the asset is placed in service. Defaults to the current period close date for corporate and corporate cost for tax additions.
DEPRN_METHOD_CODE	Optional	VARCHAR2(12)	The name of the depreciation method. Defaults as per asset category values.

Argument	Required / Optional	Type	Value
LIFE_IN_MONTHS	Optional	NUMBER(4)	Life of the asset in total months. Defaults as per asset category values.
COST	Optional (if no invoices were populated)	NUMBER	Current cost of the asset. Defaults to 0 for cost and corporate cost for tax additions
ORIGINAL_COST	Optional	NUMBER	Original cost of the asset. Defaults to cost.
SALVAGE_VALUE	Optional	NUMBER	Asset salvage value. Defaults as per asset category values.
PRORATE_CONVENTION_CODE	Optional	VARCHAR2(10)	Depreciation prorate convention. Defaults as per asset category values.
DEPRECIATE_FLAG	Optional	VARCHAR2(3)	Indicates whether the asset is depreciating. YES - Asset is depreciating. NO - Asset is not depreciating. Defaults as per asset category values.
ITC_AMOUNT_ID	Optional	NUMBER(15)	Identifies the ITC rate.
BASIC_RATE	Optional	NUMBER	Defaults as per asset category values.
ADJUSTED_RATE	Optional	NUMBER	Defaults as per asset category values.

Argument	Required / Optional	Type	Value
BONUS_RULE	Optional	NUMBER	Bonus rule for an asset. Defaults as per asset category values. If a default value is defined, and you want the value to be NULL, you must pass FND_API. G_MISS_CHAR to the Addition API.
CEILING_NAME	Optional	VARCHAR2(30)	Identifies a depreciation ceiling to be used in calculating depreciation. Defaults as per asset category values.. If a default value is defined, and you want the value to be NULL, you must pass FND_API. G_MISS_CHAR to the Addition API.
PRODUCTION_CAP ACITY	Optional	NUMBER	Capacity of a units of production asset. Defaults as per asset category values.
UNIT_OF_MEASURE	Optional	VARCHAR2(25)	Unit of measure of a units of production asset. Defaults as per asset category values.
REVAL_CEILING	Optional	NUMBER	Upper limit for revaluing asset cost.
UNREVALUED_COS T	Optional	NUMBER	Cost without regard to any revaluation.
SHORT_FISCAL_YE AR_FLAG	Optional	VARCHAR2(3)	YES - Asset is in a short fiscal year. NO - Asset is not in a short fiscal year.

Argument	Required / Optional	Type	Value
CONVERSION_DATE	Optional	DATE	Date short tax year asset added to the acquiring company.
ORIG_DEPRN_START_DATE	Optional	DATE	Date short tax year asset begin depreciating in the acquired company's books.
GROUP_ASSET_ID	Optional	NUMBER(15)	Group asset identification number. If a default value is defined, and you want the value to be NULL, you must pass FND_API.G_MISS_NUM to the Addition API.
GLOBAL_ATTRIBUTE1-20	Optional	VARCHAR2(150)	Reserved for country specific functionality.
GLOBAL_ATTRIBUTE_CATEGORY	Optional	VARCHAR2(30)	Reserved for country specific functionality.
DISABLED_FLAG	Optional	VARCHAR2(1)	Indicates whether the group asset is disabled. Y - Group asset is disabled. N - Group asset is enabled. Defaults to N.

Argument	Required / Optional	Type	Value
SALVAGE_TYPE	Optional	VARCHAR2(30)	Indicates the way to determine salvage value: AMT - Manually enter the salvage value manually (Not available for group asset). PCT - PERCENT_SALVAGE_VALUE field determines the Salvage value. SUM - Salvage value is determined by sum of member asset's salvage value amount (available only for group asset). Defaults to PCT for group assets. For non-group assets defaults to percent if percent default is defined in category, else defaults to AMT.

Argument	Required / Optional	Type	Value
DEPRN_LIMIT_TYPE	Optional	VARCHAR2(30)	Indicates how depreciation limit is determined. Defaults as per asset category values. AMT - Manually enter the depreciation limit amount manually (Not available for group asset). PCT - ALLOWED_DEPRN_LIMIT field determines the depreciation limit amount. SUM - Depreciation limit amount is determined using sum of member asset's depreciation limit amount (available only for group asset). NONE - Depreciation limit is not used. Defaults to PCT for group assets.

Argument	Required / Optional	Type	Value
OVER_DEPRECIATE_OPTION	Optional	VARCHAR2(30)	Indicates whether group asset should stop depreciating beyond its depreciation limit (recoverable cost if there is no depreciation limit defined). NO - Stop depreciating when the depreciation reserve reaches its depreciation limit. YES - Stop depreciating if depreciation reserve reaches its depreciation limit because of an increase in depreciation expense. DEPRN - Group asset will not stop depreciating. Defaults to NO.
SUPER_GROUP_ID	Optional	NUMBER	Super group rule identification number.
REDUCTION_RATE	Optional	NUMBER	Relevant for depreciable basis rule that is assigned to a depreciation method which uses reduction rate.

Argument	Required / Optional	Type	Value
REDUCE_ADDITION_FLAG	Optional	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset additions. This value is relevant for group assets only. Y - Reduction rate is used for member asset additions. N - Reduction rate is not used for member asset additions. Defaults to N.
REDUCE_ADJUSTMENT_FLAG	Optional	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset adjustments. This value is relevant for group assets only. Y - Reduction rate is used for member asset adjustments. N - Reduction rate is not used for member asset adjustments. Defaults to N.

Argument	Required / Optional	Type	Value
REDUCE_RETIEMENT_FLAG	Optional	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset retirements. This value is relevant only with group asset. Y - Reduction rate is used for member asset retirements. N - Reduction rate is not used for member asset retirements. Defaults to N.
RECOGNIZE_GAIN_LOSS	Optional	VARCHAR2(30)	Indicates whether a member asset retirement should result in recognizing gain and loss amount. YES - Recognize gain and loss amount. NO - Do not recognize gain and loss amount. Defaults to NO.
RECAPTURE_RESERVE_FLAG	Optional	VARCHAR2(1)	Defaults to N.
LIMIT_PROCEEDS_FLAG	Optional	VARCHAR2(1)	Defaults to N.

Argument	Required / Optional	Type	Value
TERMINAL_GAIN_LOSS	Optional	VARCHAR2(30)	Indicates whether to recognize gain and loss when the last member asset in a group asset is retired out of the group. YES - Recognize gain and loss amount. NO - Not recognizing gain and loss amount END_OF_YEAR - Different recognition of gain and loss amount until the end of current fiscal year. Defaults to YES.
TRACKING_METHOD	Optional	VARCHAR2(30)	Member assets tracking option value. ALLOCATE - Allocate group depreciation amount across it's member assets. CALCULATE - Uses member assets depreciation instead of group asset's depreciation. Defaults to null.

Argument	Required / Optional	Type	Value
EXCESS_ALLOCATION_OPTION	Optional	VARCHAR2(30)	Indicates whether excess from allocation of group depreciation expense across its member assets is reduced from group depreciation expense or reallocated to its member assets. DISTRIBUTE - Reallocate the excess depreciation expense to its member assets. REDUCE - Reduce the excess from group depreciation expense.
DEPRECIATION_OPTION	Optional	VARCHAR2(30)	Indicates whether member asset's depreciation expense is calculated using group or member asset depreciation information. GROUP - Use group asset depreciation information to calculate member asset depreciation expense. MEMBER - Use member asset depreciation information to calculate member asset depreciation expense. Defaults to GROUP if TRACKING_METHOD is CALCULATE, otherwise defaults to null.

Argument	Required / Optional	Type	Value
MEMBER_ROLLUP_FLAG	Optional	VARCHAR2(1)	Indicates whether group asset depreciation amount is sum of member asset depreciation amount. This value is relevant if TRACKING_METHOD is CALCULATE and the value is not Y if RECOGNIZE_GAIN_LOSS or TERMINAL_GAIN_LOSS is NO. Y - Sum member asset depreciation amount to group. N - Group depreciation amount is calculated using the group asset information. Defaults to N if TRACKING_METHOD is CALCULATE, otherwise defaults to null.

Argument	Required / Optional	Type	Value
ALLOCATE_TO_FULLY_RSV_FLAG	Optional	VARCHAR2(1)	Indicates whether to allocate group asset's depreciation amount to a reserved member asset. Y - Group depreciation expense is allocated to a reserved member assets. N - Group depreciation expense is not allocated to fully reserved member assets. Defaults to N if TRACKING_METHOD is ALLOCATE, otherwise defaults to null.

The following are relevant to group assets:

- DISABLED_FLAG
- OVER_DEPRECIATE_OPTION
- SUPER_GROUP_ID
- REDUCE_ADDITION_FLAG
- REDUCE_ADJUSTMENT_FLAG
- REDUCE_RETIREMENT_FLAG
- RECOGNIZE_GAIN_LOSS
- RECAPTURE_RESERVE_FLAG
- LIMIT_PROCEEDS_FLAG
- TERMINAL_GAIN_LOSS

- TRACKING_METHOD
- EXCESS_ALLOCATION_OPTION
- DEPRECIATION_OPTION
- MEMBER_ROLLUP_FLAG
- ALLOCATE_TO_FULLY_RSV_FLAG

REDUCTION_RATE is for group and member assets.

ASSET_DEPRN_REC_TYPE Asset Structure

The ASSET_DEPRN_REC_TYPE asset structure contains depreciation information for a given asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
YTD_DEPRN	Optional	NUMBER	Year-to-date depreciation expense.
DEPRN_RESERVE	Optional	NUMBER	Total depreciation taken since the beginning of the asset's life.
REVAL_DEPRN_RESERVE	Optional	NUMBER	Period when an asset is revalued: The value is the change in net book value due to revaluation of asset cost, and sometimes the revaluation of depreciation reserve also. For other periods: the value is the revaluation reserve amount after running the depreciation.

ASSET_DIST_REC_TYPE Asset Structure

The ASSET_DIST_REC_TYPE asset structure contains information that represents a single source or destination distribution line. All the ASSET_DIST_REC_TYPE records

comprising a single transfer transaction are contained in the ASSET_DIST_TBL_TYPE table. At least one source line and at least one destination line are required for each transfer transaction. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
UNITS_ASSIGNED	Required	NUMBER	Number of units assigned to the distribution.
ASSIGNED_TO	Optional	NUMBER(15)	Employee identification number.
EXPENSE_CCID	Required	NUMBER(15)	Depreciation expense account identification number.
LOCATION_CCID	Required	NUMBER(15)	Location flexfield identification number.

INV_REC_TYPE Invoice Structure

The INV_REC_TYPE invoice structure contains invoice information for a single invoice associated with an asset. The INV_TBL_TYPE is a table of INV_REC_TYPE records. These records contain all invoices that have been applied to the asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
FIXED_ASSETS_COST	Optional (when the record is populated)	NUMBER	Cost of asset in Oracle Assets.
PO_VENDOR_ID	Optional	NUMBER(15)	Supplier identification number.
PO_NUMBER	Optional	VARCHAR2(20)	Purchase order number.
INVOICE_NUMBER	Optional	VARCHAR2(50)	Invoice number.

Argument	Required / Optional	Type	Value
PAYABLES_BATCH_NAME	Optional	VARCHAR2(50)	Payables batch name in the invoice
PAYABLES_CODE_COMBINATION_ID	Optional	NUMBER(15)	Clearing account number which is posted in accounts payable.
FEEDER_SYSTEM_NAME	Optional	VARCHAR2(40)	Name of the feeder system that creates the FA_MASS_ADDITIONS row.
CREATE_BATCH_DATE	Optional	DATE	Mass additions batch date when creating this row.
CREATE_BATCH_ID	Optional	NUMBER(15)	Mass additions create request identification number for this row.
INVOICE_DATE	Optional	DATE	Invoice date from accounts payable.
PAYABLES_COST	Optional	NUMBER	Invoice cost from accounts payable.
POST_BATCH_ID	Optional	NUMBER(15)	Mass Additions Post request identification number for this row.
INVOICE_ID	Optional	NUMBER(15)	Invoice identification number.
AP_DISTRIBUTION_LINE_NUMBER	Optional	NUMBER(15)	Distribution line identification number.
PAYABLES_UNITS	Optional	NUMBER	Units from AP_INVOICE_DISTRIBUTIONS row.

Argument	Required / Optional	Type	Value
DESCRIPTION	Optional	VARCHAR2(80)	Invoice line description.
DELETED_FLAG	Optional	VARCHAR2(3)	Indicates whether this row is deleted in the CIP Adjustments form. Defaults to NO, which it should be for all addition transactions.
PROJECT_ASSET_LINE_ID	Optional	NUMBER(15)	Identifier of the summarized asset cost line transferred from Oracle Projects to create this line.
PROJECT_ID	Optional	NUMBER(15)	Identifier of the project from which the costs are collected, summarized, and transferred from Oracle Projects.
TASK_ID	Optional	NUMBER(15)	Identifier of the task from which costs are collected, summarized, and transferred from Oracle Projects. This column is populated only if the costs were summarized by task.
ATTRIBUTE1	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE2	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE3	Optional	VARCHAR2(150)	Descriptive flexfield segment.

Argument	Required / Optional	Type	Value
ATTRIBUTE4	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE5	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE6	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE7	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE8	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE9	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE10	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE11	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE12	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE13	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE14	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE15	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE_CATEGORY_CODE	Optional	VARCHAR2(30)	Descriptive flexfield structure defining column.
YTD_DEPRN	Optional	NUMBER	Year-to-date depreciation expense.

Argument	Required / Optional	Type	Value
DEPRN_RESERVE	Optional	NUMBER	Total deprecation taken since beginning of asset life.
BONUS_YTD_DEPRN	Optional	NUMBER	Bonus year-to-date depreciation expense.
BONUS_DEPRN_RESERVE	Optional	NUMBER	Total bonus depreciation taken since beginning of asset life.
REVAL_AMORTIZATION_BASIS	Optional	NUMBER	Revaluation reserve for calculating the amortization of a revaluation reserve. This value is updated when the asset is revalued or has an amortized adjustment.
REVAL_YTD_DEPRN	Optional	NUMBER	Year-to-date depreciation expense due to revaluation.
REVAL_DEPRN_RESERVE	Optional	NUMBER	For the period when the asset is revalued, it is change in net book value due to revaluation of asset cost and sometimes revaluation of depreciation reserve. For other periods it is revaluation reserve amount after depreciation run.
INVOICE_DISTRIBUTION_ID	Optional	VARCHAR2(1)	Invoice distribution identifier.
INVOICE_LINE_NUMBER	Optional	VARCHAR2(30)	Invoice line number.

Argument	Required / Optional	Type	Value
PO_DISTRIBUTION_ID	Optional	VARCHAR2(30)	Purchase order distribution identifier.
INV_RATE_TBL	Optional	INV_RATE_REC_TYPE	If using an alternate ledger currency, you may optionally provide either rates or converted amounts directly for each ledger through this member.

INV_RATE_REC_TYPE Invoice Rate Structure

The INV_RATE_REC_TYPE invoice structure contains rate information for an invoice. Each INV_RATE_REC_TYPE record contains one conversion rate. The INV_RATE_TBL_TYPE is a table of INV_RATE_REC_TYPE records. This table is used by alternative ledger currencies to determine the conversion rates for an asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
SET_OF_BOOKS_ID	Required - When using alternative ledger currency.	NUMBER(15)	Ledger identification number.
EXCHANGE_RATE	Optional (required if cost is not specified)	NUMBER	Exchange rate for the currency.
COST	Optional (required if EXCHANGE_RATE is not specified)	Number	Provide converted cost directly rather than an exchange rate.

Sample Script: Using the Additions API via Invoices

The following sample script shows how you can use the Additions API via invoices:

```

set serveroutput on

declare
    l_trans_rec      FA_API_TYPES.trans_rec_type;
    l_dist_trans_rec FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec  FA_API_TYPES.asset_hdr_rec_type;
    l_asset_desc_rec FA_API_TYPES.asset_desc_rec_type;
    l_asset_cat_rec  FA_API_TYPES.asset_cat_rec_type;
    l_asset_type_rec FA_API_TYPES.asset_type_rec_type;
    l_asset_hierarchy_rec FA_API_TYPES.asset_hierarchy_rec_type;
    l_asset_fin_rec  FA_API_TYPES.asset_fin_rec_type;
    l_asset_deprn_rec FA_API_TYPES.asset_deprn_rec_type;
    l_asset_dist_rec FA_API_TYPES.asset_dist_rec_type;
    l_asset_dist_tbl FA_API_TYPES.asset_dist_tbl_type;
    l_inv_tbl        FA_API_TYPES.inv_tbl_type;
    l_inv_rate_tbl   FA_API_TYPES.inv_rate_tbl_type;
    l_inv_rec        FA_API_TYPES.inv_rec_type;

    l_return_status  VARCHAR2(1);
    l_mesg_count     number;
    l_mesg           varchar2(4000);

begin
    dbms_output.enable(10000000);

    FA_SRVR_MSG.Init_Server_Message;

    -- desc info
    l_asset_desc_rec.description := '&description';

    -- cat info
    l_asset_cat_rec.category_id := &category_id

    --type info
    l_asset_type_rec.asset_type := '&ASSET_TYPE';

    -- invoice info
    l_inv_rec.fixed_assets_cost := 2500;
    l_inv_rec.deleted_flag := 'NO';
    l_inv_rec.description :=
l_asset_desc_rec.description;
    l_inv_rec.unrevalued_cost := 5555;
    l_inv_rec.create_batch_id := 1000;
    l_inv_rec.payables_code_combination_id := 13528;
    l_inv_rec.feeder_system_name := 'ACK';
    l_inv_rec.payables_cost := 5555;
    l_inv_rec.payables_units := 1;
    l_inv_rec.po_vendor_id := 1;
    l_inv_rec.inv_indicator := 1;

    l_inv_tbl (1) := l_inv_rec;

    -- fin info
    l_asset_fin_rec.date_placed_in_service := '&DPIS';
    l_asset_fin_rec.depreciate_flag := 'YES';

    -- book / trans info
    l_asset_hdr_rec.book_type_code := '&book';

    -- distribution info
    l_asset_dist_rec.units_assigned := 1;
    l_asset_dist_rec.expense_ccid := &ccid
    l_asset_dist_rec.location_ccid := &location_id
    l_asset_dist_rec.assigned_to := null;

```

```

l_asset_dist_rec.transaction_units :=
l_asset_dist_rec.units_assigned;
l_asset_dist_tbl(1) := l_asset_dist_rec;

-- call the api
fa_addition_pub.do_addition(
  -- std parameters
  p_api_version      => 1.0,
  p_init_msg_list    => FND_API.G_FALSE,
  p_commit           => FND_API.G_FALSE,
  p_validation_level  => FND_API.G_VALID_LEVEL_FULL,
  p_calling_fn       => null,
  x_return_status    => l_return_status,
  x_msg_count        => l_mesg_count,
  x_msg_data         => l_mesg,
  -- api parameters
  px_trans_rec       => l_trans_rec,
  px_dist_trans_rec  => l_dist_trans_rec,
  px_asset_hdr_rec   => l_asset_hdr_rec,
  px_asset_desc_rec  => l_asset_desc_rec,
  px_asset_type_rec  => l_asset_type_rec,
  px_asset_cat_rec   => l_asset_cat_rec,
  px_asset_hierarchy_rec => l_asset_hierarchy_rec,
  px_asset_fin_rec   => l_asset_fin_rec,
  px_asset_deprn_rec => l_asset_deprn_rec,
  px_asset_dist_tbl  => l_asset_dist_tbl,
  px_inv_tbl         => l_inv_tbl
);

dbms_output.put_line(l_return_status);

--dump messages
l_mesg_count := fnd_msg_pub.count_msg;

if l_mesg_count > 0 then

  l_mesg := chr(10) || substr(fnd_msg_pub.get
    (fnd_msg_pub.G_FIRST,
fnd_api.G_FALSE),
    1, 250);

  dbms_output.put_line(l_mesg);

  for i in 1..(l_mesg_count - 1) loop
    l_mesg :=
      substr(fnd_msg_pub.get
        (fnd_msg_pub.G_NEXT,
fnd_api.G_FALSE), 1, 250);

    dbms_output.put_line(l_mesg);
  end loop;

  fnd_msg_pub.delete_msg();

end if;

if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
  dbms_output.put_line('FAILURE');
else
  dbms_output.put_line('SUCCESS');
  dbms_output.put_line('THID' ||
to_char(l_trans_rec.transaction_header_id));
  dbms_output.put_line('ASSET_ID' ||
to_char(l_asset_hdr_rec.asset_id));
  dbms_output.put_line('ASSET_NUMBER' ||
l_asset_desc_rec.asset_number);

```



```
end if;  
end;  
/
```

Sample Script: Using the Additions API with No Invoices

The following sample script shows how you can use the Additions API to test a manual change, when no invoice information is used:

set serveroutput on

```
declare
  l_trans_rec   FA_API_TYPES.trans_rec_type;
  l_dist_trans_rec   FA_API_TYPES.trans_rec_type;
  l_asset_hdr_rec   FA_API_TYPES.asset_hdr_rec_type;
  l_asset_desc_rec   FA_API_TYPES.asset_desc_rec_type;
  l_asset_cat_rec   FA_API_TYPES.asset_cat_rec_type;
  l_asset_type_rec   FA_API_TYPES.asset_type_rec_type;
  l_asset_hierarchy_rec   FA_API_TYPES.asset_hierarchy_rec_type;
  l_asset_fin_rec   FA_API_TYPES.asset_fin_rec_type;
  l_asset_deprn_rec   FA_API_TYPES.asset_deprn_rec_type;
  l_asset_dist_rec   FA_API_TYPES.asset_dist_rec_type;
  l_asset_dist_tbl   FA_API_TYPES.asset_dist_tbl_type;
  l_inv_tbl   FA_API_TYPES.inv_tbl_type;
  l_inv_rate_tbl   FA_API_TYPES.inv_rate_tbl_type;
  l_return_status   VARCHAR2(1);
  l_mesg_count   number;
  l_mesg   varchar2(4000);
begin
  dbms_output.enable(10000000);
  FA_SRVR_MSG.Init_Server_Message;
  -- desc info
  l_asset_desc_rec.description   := '&description';
  l_asset_desc_rec.asset_key_ccid   := null;
  -- cat info
  l_asset_cat_rec.category_id   := &category_id
  --type info
  l_asset_type_rec.asset_type   := '&asset_type';
  -- fin info
  l_asset_fin_rec.cost   := &cost
  l_asset_fin_rec.date_placed_in_service   := '&DPIS';
  l_asset_fin_rec.depreciate_flag   := 'YES';
  -- deprn info
  l_asset_deprn_rec.ytd_deprn   := &ytd
  l_asset_deprn_rec.deprn_reserve   := &reserve
  l_asset_deprn_rec.bonus_ytd_deprn   := 0;
  l_asset_deprn_rec.bonus_deprn_reserve   := 0;
  -- book / trans info
  l_asset_hdr_rec.book_type_code   := '&book';
  -- distribution info
  l_asset_dist_rec.units_assigned   := 1;
  l_asset_dist_rec.expense_ccid   := &ccid
  l_asset_dist_rec.location_ccid   := &location_id
  l_asset_dist_rec.assigned_to   := null;
  l_asset_dist_rec.transaction_units   :=
l_asset_dist_rec.units_assigned;
  l_asset_dist_tbl(1)   := l_asset_dist_rec;
  -- call the api
  fa_addition_pub.do_addition(
    -- std parameters
    p_api_version   => 1.0,
    p_init_msg_list   => FND_API.G_FALSE,
    p_commit   => FND_API.G_FALSE,
    p_validation_level   => FND_API.G_VALID_LEVEL_FULL,
    p_calling_fn   => null,
    x_return_status   => l_return_status,
    x_msg_count   => l_mesg_count,
    x_msg_data   => l_mesg,
    -- api parameters
    px_trans_rec   => l_trans_rec,
    px_dist_trans_rec   => l_dist_trans_rec,
    px_asset_hdr_rec   => l_asset_hdr_rec,
    px_asset_desc_rec   => l_asset_desc_rec,
    px_asset_type_rec   => l_asset_type_rec,
    px_asset_cat_rec   => l_asset_cat_rec,
```

```

px_asset_hierarchy_rec => l_asset_hierarchy_rec,
px_asset_fin_rec      => l_asset_fin_rec,
px_asset_deprn_rec    => l_asset_deprn_rec,
px_asset_dist_tbl     => l_asset_dist_tbl,
px_inv_tbl            => l_inv_tbl
);
--dump messages
l_mesg_count := fnd_msg_pub.count_msg;
if l_mesg_count > 0 then
  l_mesg := chr(10) || substr(fnd_msg_pub.get
    (fnd_msg_pub.G_FIRST,
fnd_api.G_FALSE),
    1, 250);
  dbms_output.put_line(l_mesg);
  for i in 1..(l_mesg_count - 1) loop
    l_mesg :=
      substr(fnd_msg_pub.get
        (fnd_msg_pub.G_NEXT,
          fnd_api.G_FALSE), 1, 250);
    dbms_output.put_line(l_mesg);
  end loop;
  fnd_msg_pub.delete_msg();
end if;
if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
  dbms_output.put_line('FAILURE');
else
  dbms_output.put_line('SUCCESS');
  dbms_output.put_line('THID' ||
to_char(l_trans_rec.transaction_header_id));
  dbms_output.put_line('ASSET_ID' ||
to_char(l_asset_hdr_rec.asset_id));
  dbms_output.put_line('ASSET_NUMBER' ||
l_asset_desc_rec.asset_number);
end if;

end;
/

```

Sample Script: Using the Additions API via Invoices with Alternative Ledger Currency

```

set serveroutput on

declare

    l_trans_rec                FA_API_TYPES.trans_rec_type;
    l_dist_trans_rec          FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec           FA_API_TYPES.asset_hdr_rec_type;
    l_asset_desc_rec          FA_API_TYPES.asset_desc_rec_type;
    l_asset_cat_rec           FA_API_TYPES.asset_cat_rec_type;
    l_asset_type_rec          FA_API_TYPES.asset_type_rec_type;
    l_asset_hierarchy_rec     FA_API_TYPES.asset_hierarchy_rec_type;
    l_asset_fin_rec           FA_API_TYPES.asset_fin_rec_type;
    l_asset_deprn_rec         FA_API_TYPES.asset_deprn_rec_type;
    l_asset_dist_rec          FA_API_TYPES.asset_dist_rec_type;
    l_asset_dist_tbl          FA_API_TYPES.asset_dist_tbl_type;
    l_inv_tbl                 FA_API_TYPES.inv_tbl_type;
    l_inv_rate_tbl            FA_API_TYPES.inv_rate_tbl_type;
    l_inv_rec                 FA_API_TYPES.inv_rec_type;

    l_return_status           VARCHAR2(1);
    l_mesg_count              number;
    l_mesg                    varchar2(4000);

begin

    dbms_output.enable(10000000);

    FA_SRVR_MSG.Init_Server_Message;

    -- desc info
    l_asset_desc_rec.description                := '&description';

    -- cat info
    l_asset_cat_rec.category_id                 := &category_id

    --type info
    l_asset_type_rec.asset_type                 := '&ASSET_TYPE';

    -- invoice info
    l_inv_rec.fixed_assets_cost                 := 2500;
    l_inv_rec.deleted_flag                     := 'NO';
    l_inv_rec.description                     := l_asset_desc_rec.
description;
    l_inv_rec.unrevalued_cost                   := 5555;
    l_inv_rec.create_batch_id                  := 1000;
    l_inv_rec.payables_code_combination_id     := 13528;
    l_inv_rec.feeder_system_name               := 'ACK';
    l_inv_rec.payables_cost                    := 5555;
    l_inv_rec.payables_units                   := 1;
    l_inv_rec.po_vendor_id                     := 1;
    l_inv_rec.inv_indicator                    := 1;

    l_inv_tbl (1)                             := l_inv_rec;

    -- rate info
    l_inv_rec.inv_rate_tbl(1).set_of_books_id  := 102;
    l_inv_rec.inv_rate_tbl(1).exchange_rate    := 2;
    l_inv_rec.inv_rate_tbl(1).cost             := 2001;

    -- fin info

```

```

l_asset_fin_rec.date_placed_in_service      := '&DPIS';
l_asset_fin_rec.depreciate_flag            := 'YES';

-- book / trans info
l_asset_hdr_rec.book_type_code              := '&book';

-- distribution info
l_asset_dist_rec.units_assigned             := 1;
l_asset_dist_rec.expense_ccid              := &ccid
l_asset_dist_rec.location_ccid             := &location_id
l_asset_dist_rec.assigned_to               := null;
l_asset_dist_rec.transaction_units         := l_asset_dist_rec.
units_assigned;
l_asset_dist_tbl(1)                       := l_asset_dist_rec;

-- call the api
fa_addition_pub.do_addition(
  -- std parameters
  p_api_version          => 1.0,
  p_init_msg_list        => FND_API.G_FALSE,
  p_commit               => FND_API.G_FALSE,
  p_validation_level     => FND_API.G_VALID_LEVEL_FULL,
  p_calling_fn          => null,
  x_return_status        => l_return_status,
  x_msg_count            => l_mesg_count,
  x_msg_data            => l_mesg,
  -- api parameters
  px_trans_rec          => l_trans_rec,
  px_dist_trans_rec     => l_dist_trans_rec,
  px_asset_hdr_rec      => l_asset_hdr_rec,
  px_asset_desc_rec     => l_asset_desc_rec,
  px_asset_type_rec     => l_asset_type_rec,
  px_asset_cat_rec      => l_asset_cat_rec,
  px_asset_hierarchy_rec => l_asset_hierarchy_rec,
  px_asset_fin_rec      => l_asset_fin_rec,
  px_asset_deprn_rec    => l_asset_deprn_rec,
  px_asset_dist_tbl     => l_asset_dist_tbl,
  px_inv_tbl            => l_inv_tbl
);

dbms_output.put_line(l_return_status);

--dump messages
l_mesg_count := fnd_msg_pub.count_msg;

if l_mesg_count > 0 then
  l_mesg := chr(10) || substr(fnd_msg_pub.get
                                (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE),
                                1, 250);
  dbms_output.put_line(l_mesg);
  for i in 1..(l_mesg_count - 1) loop
    l_mesg :=
      substr(fnd_msg_pub.get
              (fnd_msg_pub.G_NEXT,
              fnd_api.G_FALSE), 1, 250);

    dbms_output.put_line(l_mesg);
  end loop;

  fnd_msg_pub.delete_msg();
end if;

```

```

        if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
            dbms_output.put_line('FAILURE');
        else
            dbms_output.put_line('SUCCESS');
            dbms_output.put_line('THID' || to_char(l_trans_rec.
transaction_header_id));
            dbms_output.put_line('ASSET_ID' || to_char(l_asset_hdr_rec.
asset_id));
            dbms_output.put_line('ASSET_NUMBER' || l_asset_desc_rec.
asset_number);
        end if;
    end;
/

```

Oracle Assets Adjustments API

This appendix covers the following topics:

- Introduction
- Adjustments API Description
- Adjustment API Usage
- Sample Script: Using the Adjustment API without Invoice Information
- Sample Script: Using the Adjustment API with Invoice Information
- Sample Script: Using the Adjustment API with Invoice Information with Alternative Ledger Currency

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Adjustments API uses the FA_ADJUSTMENT_PUB.DO_ADJUSTMENT procedure. Use this API if you have a custom interface that makes it difficult to use with the existing Oracle Assets interfaces for adjusting assets.

The Adjustments API allows you to automatically adjust the asset to the corporate book, as well as to the dependent tax books.

Oracle Assets also allows you to adjust assets using the following methods: You can adjust assets using the Asset Workbench (using the Source Lines and Books windows), Mass Additions, Mass Change, Mass Copy, and Tax Upload Interface user interfaces.

- **Mass Additions:** Use the Mass Additions process to make cost adjustments to existing assets.
- **Mass Change:** Use the Mass Change process to change financial information for existing assets.
- **Mass Copy:** Use the Mass Copy process to add existing assets to tax books.

- **Cost Adjustments:** Use the Future Transaction Interface to adjust cost and financial information.
- **Tax Upload Interface:** Use the Tax Upload Interface process to change asset information in the tax books.
- **Asset Workbench:** Use the Asset Workbench to make changes to individual assets.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the primary and reporting currencies.

CIP Assets

If you have checked the Allow CIP Assets check box on the Book Controls window of a tax book, when you add CIP assets using the Additions API, the API automatically adds those CIP assets to that tax book at the same time that they are added to the corporate book.

Passing Null Values

You must pass special values in order to null the values of BONUS_RULE, CEILING_NAME, or GROUP_ASSET_ID. If you pass a NULL value directly for these values, the API will automatically default to the value setup for the category. The following table shows the value that must be passed for the field value to be NULL.

Field	Value to Pass for NULL Field
BONUS_RULE	FND_API.G_MISS_CHAR
CEILING_NAME	FND_API.G_MISS_CHAR
GROUP_ASSET_ID	FND_API.G_MISS_NUM

Related Topics

Adjustments API Description, page H-3

Sample Script: Using the Adjustment API without Invoice Information, page H-35

Sample Script: Using the Adjustment API with Invoice Information, page H-37

Adjustments API Description

You call the FA_ADJUSTMENT_PUB.DO_ADJUSTMENT () API to perform adjustment transactions. The following table provides the arguments, types, value, and descriptions of the elements in the FA_ADJUSTMENT_PUB.DO_ADJUSTMENT procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default).	Commits the transaction.
P_VALIDATION_LVL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2		Function that calls the API

Argument	Type	Value	Description
X_RETURN_STAT US	VARCHAR2	FND_API. G_RET_STS_SUCCE S - Transaction is successful. FND_API. G_RET_STS_ERROR - Transaction fails.	Determines the API success.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	FA_API_TYPES. MSG_REC_TYPE		Message stack.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TY PE		Transaction description.
PX_ASSET_HDR_R EC	FA_API_TYPES. ASSET_HDR_RE C_TYPE		Unique identifiers for the assets.
P_ASSET_FIN_REC _ADJ	FA_API_TYPES. ASSET_FIN_REC _TYPE		Financial change information of the asset (delta).
X_ASSET_FIN_REC _NEW	FA_API_TYPES. ASSET_FIN_REC _TYPE		New financial information for the asset.
X_ASSET_FIN_MR C_TBL_NEW	FA_API_TYPES. ASSET_FIN_TBL		Table of new financial information for the asset.
PX_INV_TRANS_R EC	FA_API_TYPES. INV_TRANS_RE C_TYPE		Describes the invoice transaction, if applicable.
PX_INV_REC	FA_API_TYPES. INV_TBL		Invoices table controlling the transaction (delta).

Argument	Type	Value	Description
P_ASSET_DEPRN_ REC_ADJ	FA_API_TYPES. ASSET_DEPRN_ REC_TYPE		Depreciation change information for the asset (delta).
PX_ASSET_DEPRN_ _REC_NEW	FA_API_TYPES. ASSET_DEPRN_ REC_TYPE		New depreciation information for the asset.
PX_ASSET_DEPRN_ _MRC_TBL_NEW	FA_API_TYPES. ASSET_DEPRN_ TBL		New financial information table for the asset.
P_GROUP_RECLA SS_OPTIONS_REC	FA_API_TYPES. GROUP_ RECLASS_ OPTIONS_REC_ TYPE		Information for changing the group members assignments in and out of a group asset.

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_DA TE_ENTERED	Optional	DATE	Previous or current date. Defaults to the end date or AMORTIZATION_ST ART_DATE when AMORTIZATION START_DATE is specified. You can populate either value, but AMORTIZATION_ST ART_DATE takes precedence.

Argument	Required / Optional	Type	Value
SOURCE_TRANSACTION_HEADER_ID	Optional	NUMBER(15)	Defaults to source THID when using autocopy or CIP-IN-TAX.
MASS_REFERENCE_ID	Optional	NUMBER(15)	Defaults to CONC_REQUEST_ID .
TRANSACTION_SUBTYPE	Optional	VARCHAR2(9)	AMORTIZED or EXPENSED. Defaults to EXPENSED.
AMORTIZATION_START_DATE	Optional	DATE	Previous or current date. Defaults to TRANSACTION_DATE_ENTERED when amortized adjustment is specified. You can populate either value, but AMORTIZATION_START_DATE takes precedence.
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction. This field is Comments field in the Asset Workbench.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Interface that calls the API. This field defaults to CUSTOM.
DESC_FLEX	Optional	DESC_FLEX_REC	Descriptive flexfield segments.
WHO_INFO	Optional	STANDARD_WHO_REC	Standard Who columns.

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for an asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	Asset identification number.
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book name.

ASSET_FIN_REC_TYPE Asset Structure

The ASSET_FIN_REC_TYPE asset structure contains financial information for a given asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
DATE_PLACED_IN_SERVICE	Optional	DATE	Date the asset is placed in service.
DEPRN_METHOD_CODE	Optional	VARCHAR2(12)	The name of the depreciation method. Defaults as per asset category values.
LIFE_IN_MONTHS	Optional	NUMBER(4)	Life of the asset in total months. Defaults as per asset category values.
COST	Optional (if no invoices were populated)	NUMBER	Current cost of the asset.
ORIGINAL_COST	Optional	NUMBER	Original cost of the asset. Defaults to cost.

Argument	Required / Optional	Type	Value
SALVAGE_VALUE	Optional	NUMBER	Asset salvage value. Defaults as per asset category values.
PRORATE_CONVENTION_CODE	Optional	VARCHAR2(10)	Depreciation prorate convention. Defaults as per asset category values.
DEPRECIATE_FLAG	Optional	VARCHAR2(3)	Indicates whether the asset is depreciating. YES - Asset is depreciating NO - Asset is not depreciating
ITC_AMOUNT_ID	Optional	NUMBER(15)	Identifies the ITC rate.
BASIC_RATE	Optional	NUMBER	Defaults as per asset category values.
ADJUSTED_RATE	Optional	NUMBER	Defaults as per asset category values.
BONUS_RULE	Optional	NUMBER	Bonus rule for an asset. Defaults as per asset category values. If a default value is defined, and you want the value to be NULL, you must pass FND_API. G_MISS_CHAR to the Addition API.

Argument	Required / Optional	Type	Value
CEILING_NAME	Optional	VARCHAR2(30)	Identifies a depreciation ceiling to be used in calculating depreciation. Defaults as per asset category values. If a default value is defined, and you want the value to be NULL, you must pass FND_API.G_MISS_CHAR to the Addition API.
PRODUCTION_CAPACITY	Optional	NUMBER	Capacity of a units of production asset. Defaults as per asset category values.
UNIT_OF_MEASURE	Optional	VARCHAR2(25)	Unit of measure of a units of production asset. Defaults as per asset category values.
REVAL_CEILING	Optional	NUMBER	Upper limit for revaluing asset cost.
UNREVALUED_COST	Optional	NUMBER	Cost without regard to any revaluation.
SHORT_FISCAL_YEAR_FLAG	Optional	VARCHAR2(3)	YES - Asset is in a short fiscal year. NO - Asset is not in a short fiscal year.
CONVERSION_DATE	Optional	DATE	Date short tax year asset added to the acquiring company.
ORIG_DEPRN_START_DATE	Optional	DATE	Date short tax year asset begin depreciating in the acquired company's books.

Argument	Required / Optional	Type	Value
GROUP_ASSET_ID	Optional	NUMBER(15)	Group asset identification number. (CRL Asset). If a default value is defined, and you want the value to be NULL, you must pass FND_API. G_MISS_NUM to the Addition API.
GLOBAL_ATTRIBUT E1-20	Optional	VARCHAR2(150)	Reserved for country specific functionality.
GLOBAL_ATTRIBUT E_CATEGORY	Optional	VARCHAR2(30)	Reserved for country specific functionality.
DISABLED_FLAG	Optional	VARCHAR2(1)	Indicates whether the group asset is disabled. Y - Group asset is disabled. N - Group asset is enabled. Defaults to N.

Argument	Required / Optional	Type	Value
SALVAGE_TYPE	Optional	VARCHAR2(30)	Indicates the way to determine salvage value. AMT - Manually enter the salvage value manually (Not available for group asset). PCT - PERCENT_SALVAGE_VALUE field determines the Salvage value. SUM - Salvage value is determined by sum of member asset's salvage value amount (available only for group asset). Defaults to PCT for group assets.

Argument	Required / Optional	Type	Value
DEPRN_LIMIT_TYPE	Optional	VARCHAR2(30)	Indicates how depreciation limit is determined . AMT - Manually enter the depreciation limit amount manually (Not available for group asset). PCT - ALLOWED_DEPRN_LIMIT field determines the depreciation limit amount. SUM - Depreciation limit amount is determined using sum of member asset's depreciation limit amount (available only for group asset). NONE - Depreciation limit is not used. Defaults to PCT for group assets.

Argument	Required / Optional	Type	Value
OVER_DEPRECIATE_OPTION	Optional	VARCHAR2(30)	Indicates whether group asset should stop depreciating beyond its depreciation limit (recoverable cost if there is no depreciation limit defined). NO - Stop depreciating when the depreciation reserve reaches its depreciation limit. YES - Stop depreciating if depreciation reserve reaches its depreciation limit because of an increase in depreciation expense. DEPRN - Group asset will not stop depreciating. Defaults to NO.
SUPER_GROUP_ID	Optional	NUMBER	Super group rule identification number.
REDUCTION_RATE	Optional	NUMBER	Relevant for depreciable basis rule that is assigned to a depreciation method which uses reduction rate.

Argument	Required / Optional	Type	Value
REDUCE_ADDITION_FLAG	Optional	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset additions. This value is relevant for group assets only. Y - Reduction rate is used for member asset additions. N - Reduction rate is not used for member asset additions. Defaults to N.
REDUCE_ADJUSTMENT_FLAG	Optional	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset adjustments. This value is relevant for group assets only. Y - Reduction rate is used for member asset adjustments. N - Reduction rate is not used for member asset adjustments. Defaults to N.

Argument	Required / Optional	Type	Value
REDUCE_RETIEMENT_FLAG	Optional	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset retirements. This value is relevant only with group asset. Y - Reduction rate is used for member asset retirements. N - Reduction rate is not used for member asset retirements. Defaults to N.
RECOGNIZE_GAIN_LOSS	Optional	VARCHAR2(30)	Indicates whether a member asset retirement should result in recognizing gain and loss amount. YES - Recognize gain and loss amount. NO - Do not recognize gain and loss amount. Defaults to NO.
RECAPTURE_RESERVE_FLAG	Optional	VARCHAR2(1)	Defaults to N.
LIMIT_PROCEEDS_FLAG	Optional	VARCHAR2(1)	Defaults to N.

Argument	Required / Optional	Type	Value
TERMINAL_GAIN_LOSS	Optional	VARCHAR2(30)	Indicates whether to recognize gain and loss when the last member asset in a group asset is retired out of the group. YES - Recognize gain and loss amount. NO - Not recognizing gain and loss amount END_OF_YEAR - Different recognition of gain and loss amount until the end of current fiscal year. Defaults to YES.
TRACKING_METHOD	Optional	VARCHAR2(30)	Member assets tracking option value. ALLOCATE - Allocate group depreciation amount across it's member assets. CALCULATE - Uses member assets depreciation instead of group asset's depreciation. Defaults to null.

Argument	Required / Optional	Type	Value
EXCESS_ALLOCATION_OPTION	Optional	VARCHAR2(30)	Indicates whether excess from allocation of group depreciation expense across its member assets is reduced from group depreciation expense or reallocated to its member assets. DISTRIBUTE - Reallocate the excess depreciation expense to its member assets. REDUCE - Reduce the excess from group depreciation expense.
DEPRECIATION_OPTION	Optional	VARCHAR2(30)	Indicates whether member asset's depreciation expense is calculated using group or member asset depreciation information. GROUP - Use group asset depreciation information to calculate member asset depreciation expense. MEMBER - Use member asset depreciation information to calculate member asset depreciation expense. Defaults to GROUP if TRACKING_METHOD is CALCULATE, otherwise defaults to null.

Argument	Required / Optional	Type	Value
MEMBER_ROLLUP_FLAG	Optional	VARCHAR2(1)	Indicates whether group asset depreciation amount is sum of member asset depreciation amount. This value is relevant if TRACKING_METHOD is CALCULATE and the value is not Y if RECOGNIZE_GAIN_LOSS or TERMINAL_GAIN_LOSS is NO. Y - Sum member asset depreciation amount to group. N - Group depreciation amount is calculated using the group asset information. Defaults to N if TRACKING_METHOD is CALCULATE, otherwise defaults to null.

Argument	Required / Optional	Type	Value
ALLOCATE_TO_FULLY_RSV_FLAG	Optional	VARCHAR2(1)	Indicates whether to allocate group asset's depreciation amount to a reserved member asset. Y - Group depreciation expense is allocated to a reserved member assets. N - Group depreciation expense is not allocated to fully reserved member assets. Defaults to N if TRACKING_METHOD is ALLOCATE, otherwise defaults to null.

The following are relevant to group assets:

- DISABLED_FLAG
- OVER_DEPRECIATE_OPTION
- SUPER_GROUP_ID
- REDUCE_ADDITION_FLAG
- REDUCE_ADJUSTMENT_FLAG
- REDUCE_RETIREMENT_FLAG
- RECOGNIZE_GAIN_LOSS
- RECAPTURE_RESERVE_FLAG
- LIMIT_PROCEEDS_FLAG
- TERMINAL_GAIN_LOSS

- TRACKING_METHOD
- EXCESS_ALLOCATION_OPTION
- DEPRECIATION_OPTION
- MEMBER_ROLLUP_FLAG
- ALLOCATE_TO_FULLY_RSV_FLAG

REDUCTION_RATE is for group and member assets.

ASSET_DEPRN_REC_TYPE Asset Structure

The ASSET_DEPRN_REC_TYPE asset structure contains depreciation information for a given asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
YTD_DEPRN	Optional	NUMBER	Year-to-date depreciation expense (delta).
DEPRN_RESERVE	Optional	NUMBER	Total depreciation taken since beginning of asset life (delta)
PRIOR_FY_EXPENSE	Optional	NUMBER	Depreciation expense due to previous fiscal years (delta).
BONUS_YTD_DEPRN	Optional	NUMBER	Bonus year-to-date depreciation expense (delta).
BONUS_DEPRN_RESERVE	Optional	NUMBER	Total bonus depreciation taken since beginning of asset life (delta).
PRIOR_FY_BONUS_EXPENSE	Optional	NUMBER	Bonus depreciation expense due to prior fiscal years (delta).

Argument	Required / Optional	Type	Value
REVAL_YTD_DEPR N	Optional	NUMBER	Year-to-date depreciation expense due to revaluation (delta).
REVAL_DEPRN_RES ERVE	Optional	NUMBER	For a period in which this asset was revalued: change in net book value due to revaluation of asset cost and sometimes also revaluation of depreciation reserve. For all other periods: revaluation reserve amount after depreciation run (delta).

INV_TRANS_REC_TYPE Invoice Structure

The INV_TRANS_REC_TYPE invoice structure contains invoice transaction information for a given invoice. The following table shows type and value information for each argument.

The invoice transaction and invoice data are passed in the invoice table. Invoice additions and mass additions are new lines (source) and must be left null. All other arguments are on existing lines and will require the SOURCE_LINE_ID value. Alternative Ledger Currency data should be passed into the rate table on new lines.

Argument	Required / Optional	Type	Value
TRANSACTION_TYPE	Required when invoices are driving the adjustment transaction. Optional for non-invoice adjustments.	VARCHAR2(20)	Type of invoice transaction, such as INVOICE ADDITION, INVOICE ADJUSTMENT, INVOICE DELETE, INVOICE REINSTATE, INVOICE TRANSFER, and MASS ADDITION.

INV_REC_TYPE Invoice Structure

The INV_REC_TYPE invoice structure contains invoice information for a single invoice associated with an asset. The INV_TBL is a table of INV_REC_TYPE records. These records contain all invoices that have been applied to the asset. The following table shows type and value information for each argument.

Note: The below arguments are required when altering existing invoices, not for adding new ones.

Argument	Required / Optional	Type	Value
SOURCE_LINE_ID	Required - when adjusting an existing invoice line, but not required for non-invoice adjustments	NUMBER	Source line identification number.
PO_VENDOR_ID	Optional	NUMBER	Supplier identification number.
FIXED_ASSETS_COST	Optional (only when the record is populated)	NUMBER	Cost of asset in Oracle Assets.

Argument	Required / Optional	Type	Value
DELETED_FLAG	Optional		Defaults to NO for most cases except when deleting an invoice when it defaults to YES.
PO_NUMBER	Optional	NUMBER	Purchase order number.
INVOICE_NUMBER	Optional	VARCHAR2(50)	Invoice number.
PAYABLES_BATCH_NAME	Optional	VARCHAR2(50)	Payables batch name in the invoice
PAYABLES_CODE_COMBINATION_ID	Optional	NUMBER(15)	Clearing account number which is posted in accounts payable.
FEEDER_SYSTEM_NAME	Optional	VARCHAR2(40)	Name of the feeder system that creates the FA_MASS_ADDITIONS row.
CREATE_BATCH_DATE	Optional	DATE	Mass additions batch date when creating this row.
CREATE_BATCH_ID	Optional	NUMBER(15)	Mass additions create request identification number for this row.
INVOICE_DATE	Optional	DATE	Invoice date from accounts payable.
PAYABLES_COST	Required	NUMBER	Invoice cost from accounts payable.
POST_BATCH_ID	Optional	NUMBER(15)	Mass Additions Post request identification number for this row.

Argument	Required / Optional	Type	Value
INVOICE_ID	Optional	NUMBER(15)	Invoice date from accounts payable.
AP_DISTRIBUTION_LINE_NUMBER	Optional	NUMBER(15)	Distribution line identification number.
PAYABLES_UNITS	Optional	NUMBER	Units from AP_INVOICE_DISTRIBUTIONS row.
SPLIT_MERGED_CODE	Optional	VARCHAR2(3)	Indicates if the invoice line is split or merged.
DESCRIPTION	Optional	VARCHAR2(80)	Invoice line description.
PARENT_MASS_ADDITIONS_ID	Optional	VARCHAR2(15)	Parent mass addition identification number for the mass addition.
UNREVALUED_COST	Optional	NUMBER	Cost without revaluations.
MERGED_CODE	Optional	VARCHAR2(3)	Indicates if the mass addition is a merged parent or a merged child.
SPLIT_CODE	Optional	VARCHAR2(3)	Indicates if the mass addition is a split parent or a split child.
MERGED_PARENT_MASS_ADDITIONS_ID	Optional	NUMBER(15)	Merged parent mass addition ID.
SPLIT_PARENT_MASS_ADDITIONS_ID	Optional	NUMBER(15)	Split parent mass addition ID.

Argument	Required / Optional	Type	Value
PROJECT_ASSET_LINE_ID	Optional	NUMBER(15)	Identifier of the summarized asset cost line transferred from Oracle Projects to create this line.
PROJECT_ID	Optional	NUMBER(15)	Identifier of the project from which the costs are collected, summarized, and transferred from Oracle Projects.
TASK_ID	Optional	NUMBER(15)	Identifier of the task from which costs are collected, summarized, and transferred from Oracle Projects. This column is populated only if the costs were summarized by task.
ATTRIBUTE1	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE2	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE3	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE4	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE5	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE6	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE7	Optional	VARCHAR2(150)	Descriptive flexfield segment.

Argument	Required / Optional	Type	Value
ATTRIBUTE8	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE9	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE10	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE11	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE12	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE13	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE14	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE15	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE_CATEGORY_CODE	Optional	VARCHAR2(30)	Descriptive flexfield structure defining column.
YTD_DEPRN	Optional	NUMBER	Year-to-date depreciation expense.
DEPRN_RESERVE	Optional	NUMBER	Total depreciation taken since beginning of asset life.
BONUS_YTD_DEPRN	Optional	NUMBER	Bonus year-to-date depreciation expense.
BONUS_DEPRN_RESERVE	Optional	NUMBER	Total bonus depreciation taken since beginning of asset life.

Argument	Required / Optional	Type	Value
REVAL_AMORTIZATION_BASIS	Optional	NUMBER	Revaluation reserve for calculating the amortization of revaluation reserve. This value is updated when the asset is revalued or has an amortized adjustment.
REVAL_YTD_DEPRN	Optional	NUMBER	Year-to-date depreciation expense due to revaluation.
REVAL_DEPRN_RESERVE	Optional	NUMBER	For the period when the asset is revalued, it is change in net book value due to revaluation of asset cost and sometimes revaluation of depreciation reserve. For other periods it is revaluation reserve amount after depreciation run.
INVOICE_DISTRIBUTION_ID	Optional	VARCHAR2(1)	Invoice distribution identifier.
INVOICE_LINE_NUMBER	Optional	VARCHAR2(30)	Invoice line number.
PO_DISTRIBUTION_ID	Optional	VARCHAR2(30)	Purchase order distribution identifier.
INV_RATE_TBL	Optional	INV_RATE_REC_TYPE	If using an alternate ledger currency, you may optionally provide either rates or converted amounts directly for each ledger through this member.

INV_RATE_REC_TYPE Invoice Rate Structure

The INV_RATE_REC_TYPE invoice structure contains rate information for an invoice. Each INV_RATE_REC_TYPE record contains one conversion rate. The INV_RATE_TBL_TYPE is a table of INV_RATE_REC_TYPE records. This table is used by the alternative ledger currency to determine the conversion rates for an asset. The following table shows type and value information for each argument.

Note: In the case of alternative ledger currency, this table must be populated when performing invoice transactions involving a new invoice line, mass addition or invoice addition. For adjustments/transfers on the source asset, the amounts will be derived within the invoice engine. The rate table should not be populated in non-invoice scenarios as the rate will be derived based on the transaction date.

Argument	Required / Optional	Type	Value
SET_OF_BOOKS_ID	Required - When using alternative ledger currency.	NUMBER(15)	Ledger identification number.
EXCHANGE_RATE	Optional (required if cost is not specified)	NUMBER	Exchange rate for the currency.
COST	Optional (required if EXCHANGE_RATE is not specified)	Number	Provide converted cost directly rather than an exchange rate.

GROUP_RECLASS_OPTIONS_REC_TYPE Reclassification Structure

The GROUP_RECLASS_OPTIONS_REC_TYPE reclassification structure contains any group reclass options that may be changed during a transaction performed on a group asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSFER_FLAG	Optional	VARCHAR2(3)	Option to transfer reserve or calculate catchup expense. (YES/NO) (CRL Assets)
MANUAL_FLAG	Optional	VARCHAR2(3)	Indicates whether system should calculate the amount to transfer or whether a value will be provided. Available when choosing the transfer only option. (YES/NO) (CRL Assets)
MANUAL_AMOUNT	Optional	NUMBER	When the manual_flag is YES, this is the amount that you intend to transfer. (CRL Assets) The relationship between the flags is as follows during a group reclass: Group-unit or unit-group: transfer_flag = NO / manual_flag = NO. Group-group: transfer_flag = NO / manual_flag = NO Transfer_flag = YES / manual_flag = YES or NO.

Argument	Required / Optional	Type	Value
GROUP_RECLASS_TY PE		VARCHAR2(30)	Indicates whether group reclass amounts information is provided by the user or calculated by the system. CALC - System calculates amounts based on AMORTIZATION_START_DATE. MANUAL - User needs to provide amounts
RESERVE_AMOUNT		NUMBER	Reserve amount moved from source to destination.
SOURCE_EOFY_RESE RVE		NUMBER	Reserve amount at the end of previous fiscal year moved from source. This is used to calculate the new depreciable basis for some of FLAT-NBV method.
DESTINATION_EOFY _RESERVE		NUMBER	Reserve amount at the end of previous fiscal year added to destination. This is used to calculate new depreciable basis for some of FLAT-NBV method.

Adjustment API Usage

The following section gives an overview of using the adjustment API in various scenarios including invoice and non-invoice scenarios as well as alternative ledger currency. The same principles apply for adjustments in the period of addition and those after depreciation has been run as well as for all three types of assets: capitalized, CIP,

and expensed.

The invoice transaction and invoice data are passed in the invoice table. Invoice additions and mass additions are new lines (source) and must be left null. All other arguments are on existing lines and will require the SOURCE_LINE_ID value. Alternative Ledger Currency data should be passed into the rate table on new lines.

Important: Do not use the Adjustment API directly to perform an invoice transfer. Instead, use the Public Invoice transfer API which is designed to handle both assets involved.

When calling the new adjustment API, there are four possible ways in which you would call it as shown below:

- Invoice used without alternative ledger currency enabled
- No invoice used and without alternative ledger currency enabled
- Invoice used with alternative ledger currency enabled
- No invoice used with alternative ledger currency enabled

If invoices are involved, either a new invoice or an adjustment / transfer to an existing invoice, then the API will use the information in the invoice table to calculate the change in the asset's financial information. Hence, there is no need to populate the FIN_REC_TYPE. On the other hand, if invoices are not involved, then the change in financial information is passed by directly populating the FIN_REC_TYPE.

In the case of alternative ledger currency, the INV_RATE table must be populated when performing invoice transactions involving a new invoice line, mass addition or invoice addition. For adjustments/transfers on the source asset, the amounts will be derived within the invoice engine. The rate table should not be populated in non-invoice scenarios as the rate will be derived based on the transaction date.

Note: The new transaction APIs operate on the concept of delta/change. Thus, you must populate values in the structures that change for fin, deprn and invoice structures. This is crucial with the amount columns. If you are changing the cost from 50000 to 60000, the cost value in the structure will be 10000. The sign is important as the change results in a decrease in value and you should use the negative sign. Thus, a cost change from 60000 to 50000 would mean that cost would be populated with - 1000.

The adjustments API will treat null values as meaning no change. For non-incremental or amount columns which are being changed from a populated value to null, you must pass either FND_API.G_MISS_NUM, G_MISS_DATE, or G_MISS_CHAR, depending on the data type, in order to tell the API to null out the current value. For example, if you are removing the short tax information in the period of addition.

Cost Adjustments

In the case where invoices are involved as part of the transaction, the amounts in the fin and deprn structures should not be populated as the invoice engine will calculate the total change internally within the API.

Note: When populating structures, you only need to populate the values which are changing and populate financial amounts with the delta change only. You do not need to update the new total.

Calling the Adjustment API without Invoice Information

This section details how to call the API without passing in any invoice related information. This would be used for manual cost changes as well as changes to values like the date placed in service or the depreciation method for the asset. The following are the structures that are available and include details regarding values. It also indicates if values are required.

ASSET_HDR_REC_TYPE

You must populate the ASSET_ID AND BOOK_TYPE_CODE for the transaction. If the book is a corporate book, then the API will automatically process tax books in which the asset already exists and either CIP-in-tax (for CIP assets) or autocopy (for capitalized assets) are enabled. You should NOT populate SET_OF_BOOKS_ID nor period of addition as these are internal values to be calculated by the API itself.

TRANS_REC_TYPE

The TRANSACTION_SUBTYPE will default to EXPENSED so you should populate the TRANSACTION_SUBTYPE with AMORTIZED if you wish to instead amortize the adjustment. If TRANSACTION_SUBTYPE is AMORTIZED, you may optionally provide an amortization start date otherwise the adjustment will be amortized from the open period. TRANSACTION_TYPE_CODE, TRANSACTION_HEADER_ID and TRANSACTION_DATE_ENTERED will be derived within the API as will any other needed values. For expensed adjustments, the transaction date will be the last day of the open period. For amortized adjustments, it will be the amortization start date.

ASSET_FIN_REC_TYPE

When performing an adjustment without any invoice information, you should populate only the fields that are changing in the ASSET_FIN_REC_ADJ structure (such as COST, SALVAGE_VALUE, PRORATE_CONVENTION, etc). You should not populate system derived values such as RATE_ADJUSTMENT_FACTOR, ADJUSTED_COST, RECOVERABLE_COST, DEPRN_START_DATE, OR PRORATE_DATE. All such fields will be calculated internally.

ASSET_DEPRN_REC_TYPE

When adjusting a capitalized asset in the period of addition, the DEPRN_REC_TYPE can be populated for manual transaction. If using invoices, the depreciation related columns in the INV_REC_TYPE should be populated instead. The fields which are available are the year-to-date / accumulates amounts (such as YTD_DEPRN and DEPRN_RESERVE) for core, bonus and revalue historical information.

Related Topics

Sample Script: Using the Adjustment API without Invoice Information, page H-35

Calling the Adjustment API with Invoice Information

This section details how to call the API when the adjustment will be initiated by an addition or change to invoice related information. In addition to those structures noted above, the following structures are now needed for such an adjustment. Additionally, the fin and deprn structure will not be populated in this mode since the API will calculate the total delta based on the sum of all invoices.

The invoice transaction and invoice data are passed in the invoice table. Invoice additions and mass additions are new lines (source) and must be left null. All other arguments are on existing lines and will require the SOURCE_LINE_ID value.

Alternative Ledger Currency data should be passed into the rate table on new lines.

INV_TRANS_REC_TYPE

If you are using invoices, you must populate the TRANSACTION_TYPE_CODE. The INVOICE_TRANSACTION_ID should not be populated and will be derived within the API except in cases where the API is being called for the destination asset involved in a source line transfer.

INV_TBL_TYPE (table of INV_REC_TYPE)

When using invoices in the adjustment, you should populate all desired column with values for new invoice lines, such as MASS ADDITION / INVOICE ADDITION. For adjustments involving existing invoices, including INVOICE ADJUSTMENTS, DELETES, REINSTATES and TRANSFERS. You only need to input the value change in FIXED_ASSETS_COST.

- For example, if a source line currently has \$250000 of cost and you are changing it to 200000, you would populate the INV_REC with -50000.
- If you are deleting a line or reinstating a previously deleted line, you should only populate the DELETED_FLAG with the associated value, and no other columns should be populated.
- For new lines, you should always leave the SOURCE_LINE_ID as null.

- For adjustments on existing source lines, each row in the invoice table should have the SOURCE_LINE_ID populated with the value of the line being altered.

INV_RATE_TBL_TYPE (table of INV_RATE_REC_TYPE)

When sending new invoices in an alternative ledger currency-enabled corporate book, the exchange rates or cost should be provided in this table for each source line and for each associated reporting currency. The unique identifier for each row is the combination of the SET_OF_BOOKS_ID and the INV_INDICATOR. Therefore, you must populate the INV_INDICATOR, THE SET_OF_BOOKS_ID, and the EXCHANGE RATE for each row. The INV_INDICATOR will allow rows in this table to be matched up with their respective rows in the INV_TBL in the invoice engine. This table does not need to be populated when altering existing lines as the invoice engine will derive the correct exchange rate(s) from the existing row(s).

Note: In this table, you must enter values for either EXCHANGE_RATE or COST depending on your choice.

Related Topics

Sample Script: Using the Adjustment API with Invoice Information, page H-37

Calling the Adjustment API for a Group Reclassification

This section details how to call the API when the adjustment will cause a group reclassification in a crl-enabled environment. In addition to those structures noted above, the following structure is now needed for such an adjustment.

Note: Note: You can combine the group reclassification with additional financial changes such as cost and can also use invoices in that transaction.

GROUP_RECLASS_OPTIONS_REC_TYPE

This structure is only applicable to CRL-enabled environments using group depreciation. It must be populated when changing the assignment of an asset into or out of a group. The TRANSFER_FLAG and MANUAL_FLAG are both required in such a scenario and each will either contain YES or NO. When setting the MANUAL_FLAG = YES, you must also provide the MANUAL_AMOUNT.

When set to YES, the TRANSFER_FLAG indicates that the group reclassification will be processed as a current period transaction and that only a reserve amount will be transferred, but that no depreciation will be caught up nor backed out on either the source or destination side. When set to NO, this flag indicates the group reclassification will be treated as a backdated correction and rather than transferring

reserve, depreciation expense will be backed in proportion to the cost of the asset being reclassified.

Specifying a manual amount is currently only permitted when using the TRANSFER option, since the amount signifies the amount of reserve to transfer and can not apply to catchup scenarios. When the MANUAL_FLAG is set to NO, the system will calculate the amounts for either the expense or reserve depending on the value of the TRANSFER_FLAG.

Group reclassifications combinations currently supported are illustrated in the table below:

Old Group	New Group	TRANSFER_FLAG	MANUAL_FLAG
NONE	A	N	No
A	B	No	No
A	B	Yes	Yes
A	B	Yes	No

Sample Script: Using the Adjustment API without Invoice Information

The following example demonstrates the adjustment of an asset without any invoice information and with no reporting currency. In this particular example, we are increasing the cost by \$600000 (i.e. a current cost of 100000 and a new cost of 700000). It populates the needed structures and then calls the Adjustments API. Note that the only the delta cost is populated in the FIN_REC_TYPE as it is the only thing we are changing. All other values are derived internally within the API.

```

set serveroutput on

declare
    l_trans_rec          FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec      FA_API_TYPES.asset_hdr_rec_type;
    l_asset_fin_rec_adj  FA_API_TYPES.asset_fin_rec_type;
    l_asset_fin_rec_new  FA_API_TYPES.asset_fin_rec_type;
    l_asset_fin_mrc_tbl_new FA_API_TYPES.asset_fin_tbl_type;
    l_inv_trans_rec      FA_API_TYPES.inv_trans_rec_type;
    l_inv_tbl            FA_API_TYPES.inv_tbl_type;
    l_inv_rate_tbl       FA_API_TYPES.inv_rate_tbl_type;
    l_asset_deprn_rec_adj FA_API_TYPES.asset_deprn_rec_type;
    l_asset_deprn_rec_new FA_API_TYPES.asset_deprn_rec_type;
    l_asset_deprn_mrc_tbl_new FA_API_TYPES.asset_deprn_tbl_type;
    l_inv_rec            FA_API_TYPES.inv_rec_type;
    l_group_reclass_options_rec FA_API_TYPES.
group_reclass_options_rec_type;

    l_return_status VARCHAR2(1);
    l_mesg_count number := 0;
    l_mesg_len number;
    l_mesg varchar2(4000);

begin
    fnd_profile.put('PRINT_DEBUG', 'Y');
    dbms_output.enable(1000000);
    FA_SRVR_MSG.Init_Server_Message;
    FA_DEBUG_PKG.Initialize;

    -- asset header info
    l_asset_hdr_rec.asset_id := &asset_id;
    l_asset_hdr_rec.book_type_code := '&book_type_code';

    -- fin info
    l_asset_fin_rec_adj.cost := 24000;

    FA_ADJUSTMENT_PUB.do_adjustment
        (p_api_version => 1.0,
         p_init_msg_list => FND_API.G_FALSE,
         p_commit => FND_API.G_FALSE,
         p_validation_level =>
             FND_API.G_VALID_LEVEL_FULL,
         x_return_status => l_return_status,
         x_msg_count => l_mesg_count,
         x_msg_data => l_mesg,
         p_calling_fn => '&description',
         px_trans_rec => l_trans_rec,
         px_asset_hdr_rec => l_asset_hdr_rec,
         p_asset_fin_rec_adj => l_asset_fin_rec_adj,
         x_asset_fin_rec_new => l_asset_fin_rec_new,
         x_asset_fin_mrc_tbl_new => l_asset_fin_mrc_tbl_new,
         px_inv_trans_rec => l_inv_trans_rec,
         px_inv_tbl => l_inv_tbl,
         --px_inv_rate_tbl => l_inv_rate_tbl,
         p_asset_deprn_rec_adj => l_asset_deprn_rec_adj,
         x_asset_deprn_rec_new => l_asset_deprn_rec_new,
         x_asset_deprn_mrc_tbl_new => l_asset_deprn_mrc_tbl_new,
         p_group_reclass_options_rec => l_group_reclass_options_rec);

    --dump messages

    dbms_output.put_line(l_return_status);

    if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then

```

```

fa_debug_pkg.dump_debug_messages(max_msgs=>0);

l_mesg_count := fnd_msg_pub.count_msg;

if l_mesg_count > 0 then
    l_mesg := substr(fnd_msg_pub.get (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE), 1, 512);

    dbms_output.put_line(substr(l_mesg,1, 255));

    for i in 1..l_mesg_count - 1 loop
        l_mesg := substr(fnd_msg_pub.get
            (fnd_msg_pub.G_NEXT, fnd_api.G_FALSE), 1, 512);

        dbms_output.put_line(substr(l_mesg, 1, 255));

    end loop;

    fnd_msg_pub.delete_msg();

end if;

else
    dbms_output.put_line('SUCCESS');
    dbms_output.put_line('THID' ||
to_char(l_trans_rec.transaction_header_id));

end if;

end;
/

```

Sample Script: Using the Adjustment API with Invoice Information

The following example simulates the adjustment of an asset via an invoice line with one associated reporting currency. It populates the needed structures and then calls the Adjustments API. In this case we are adding a new invoice line to the asset with the cost of the invoice being \$5000. Note that the financial structure remains null because as detailed previously in the document, the private invoice API will be responsible for calculating the total change in cost bases on the sum of all the invoice structures.

```

set serveroutput on

declare
    l_trans_rec      FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec  FA_API_TYPES.asset_hdr_rec_type;
    l_asset_fin_rec_adj  FA_API_TYPES.asset_fin_rec_type;
    l_asset_fin_rec_new  FA_API_TYPES.asset_fin_rec_type;
    l_asset_fin_mrc_tbl_new  FA_API_TYPES.asset_fin_tbl_type;
    l_inv_trans_rec  FA_API_TYPES.inv_trans_rec_type;
    l_inv_tbl      FA_API_TYPES.inv_tbl_type;
    l_inv_rate_tbl  FA_API_TYPES.inv_rate_tbl_type;
    l_asset_deprn_rec_adj  FA_API_TYPES.asset_deprn_rec_type;
    l_asset_deprn_rec_new  FA_API_TYPES.asset_deprn_rec_type;
    l_asset_deprn_mrc_tbl_new  FA_API_TYPES.asset_deprn_tbl_type;
    l_inv_rec      FA_API_TYPES.inv_rec_type;
    l_group_reclass_options_rec  FA_API_TYPES.
group_reclass_options_rec_type;

    l_return_status VARCHAR2(1);
    l_mesg_count number;
    l_mesg varchar2(512);

begin
    dbms_output.enable(10000000);

    FA_SRVR_MSG.Init_Server_Message;
    -- asset header info
    l_asset_hdr_rec.asset_id      := &asset_id;
    l_asset_hdr_rec.book_type_code := '&book';

    -- invoice trans
    l_inv_trans_rec.transaction_type := 'INVOICE ADDITION';

    -- invoice info
    l_inv_rec.fixed_assets_cost      := 2500;
    l_inv_rec.deleted_flag           := 'NO';
    l_inv_rec.description            := 'test inv';
    l_inv_rec.unrevalued_cost        := 5555;
    l_inv_rec.create_batch_id        := 1000;
    l_inv_rec.payables_code_combination_id := 13528;
    l_inv_rec.feeder_system_name     := 'ACK';
    l_inv_rec.payables_cost          := 5555;
    l_inv_rec.payables_units         := 1;
    l_inv_rec.po_vendor_id           := 1;
    l_inv_rec.inv_indicator          := 1;

    l_inv_tbl (1) := l_inv_rec;

    FA_ADJUSTMENT_PUB.do_adjustment(
        -- std parameters
        p_api_version => 1.0,
        p_init_msg_list => FND_API.G_FALSE,
        p_commit => FND_API.G_FALSE,
        p_validation_level => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn => null,
        x_return_status => l_return_status,
        x_msg_count => l_mesg_count,
        x_msg_data => l_mesg,
        -- api parameters
        px_trans_rec => l_trans_rec,
        px_asset_hdr_rec => l_asset_hdr_rec,
        p_asset_fin_rec_adj => l_asset_fin_rec_adj,
        x_asset_fin_rec_new => l_asset_fin_rec_new,
        x_asset_fin_mrc_tbl_new => l_asset_fin_mrc_tbl_new,

```

```

px_inv_trans_rec => l_inv_trans_rec,
    px_inv_tbl => l_inv_tbl,
    p_asset_deprn_rec_adj => l_asset_deprn_rec_adj,
    x_asset_deprn_rec_new => l_asset_deprn_rec_new,
    x_asset_deprn_mrc_tbl_new => l_asset_deprn_mrc_tbl_new,
    p_group_reclass_options_rec => l_group_reclass_options_rec
);

--dump messages
l_mesg_count := fnd_msg_pub.count_msg;

if l_mesg_count > 0 then

    l_mesg := chr(10) || substr(fnd_msg_pub.get
                                (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE), 1, 250);
    dbms_output.put_line(l_mesg);

    for i in 1..(l_mesg_count - 1) loop
        l_mesg :=
            substr(fnd_msg_pub.get
                    (fnd_msg_pub.G_NEXT,
                     fnd_api.G_FALSE), 1, 250);

        dbms_output.put_line(l_mesg);
    end loop;

    fnd_msg_pub.delete_msg();

end if;

if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
    dbms_output.put_line('FAILURE');
else
    dbms_output.put_line('SUCCESS');
    dbms_output.put_line('THID' ||
to_char(l_trans_rec.transaction_header_id));
    dbms_output.put_line('ASSET_ID' ||
to_char(l_asset_hdr_rec.asset_id));
end if;

end;
/

For MRC

```

```

set serveroutput on

declare
    l_trans_rec          FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec      FA_API_TYPES.asset_hdr_rec_type;
    l_asset_fin_rec_adj  FA_API_TYPES.asset_fin_rec_type;
    l_asset_fin_rec_new  FA_API_TYPES.asset_fin_rec_type;
    l_asset_fin_mrc_tbl_new FA_API_TYPES.asset_fin_tbl_type;
    l_inv_trans_rec      FA_API_TYPES.inv_trans_rec_type;
    l_inv_tbl            FA_API_TYPES.inv_tbl_type;
    l_inv_rate_tbl       FA_API_TYPES.inv_rate_tbl_type;
    l_asset_deprn_rec_adj FA_API_TYPES.asset_deprn_rec_type;
    l_asset_deprn_rec_new FA_API_TYPES.asset_deprn_rec_type;
    l_asset_deprn_mrc_tbl_new FA_API_TYPES.asset_deprn_tbl_type;
    l_inv_rec            FA_API_TYPES.inv_rec_type;
    l_group_reclass_options_rec FA_API_TYPES.
group_reclass_options_rec_type;

    l_return_status      VARCHAR2(1);
    l_mesg_count         number;
    l_mesg               varchar2(512);

begin
    dbms_output.enable(10000000);

    FA_SRVR_MSG.Init_Server_Message;
    -- asset header info
    l_asset_hdr_rec.asset_id      := &asset_id
    l_asset_hdr_rec.book_type_code := '&book';

    -- invoice trans
    l_inv_trans_rec.transaction_type := 'INVOICE ADDITION';

    -- invoice info
    l_inv_rec.fixed_assets_cost      := 2500;
    l_inv_rec.deleted_flag           := 'NO';
    l_inv_rec.description            := 'test inv';
    l_inv_rec.unrevalued_cost        := 5555;
    l_inv_rec.create_batch_id        := 1000;
    l_inv_rec.payables_code_combination_id := 13528;
    l_inv_rec.feeder_system_name     := 'ACK';
    l_inv_rec.payables_cost          := 5555;
    l_inv_rec.payables_units         := 1;
    l_inv_rec.po_vendor_id           := 1;
    l_inv_rec.inv_indicator          := 1;

    l_inv_tbl (1)                   := l_inv_rec;

    -- rate info
    l_inv_rec.inv_rate_tbl(1).set_of_books_id := 102;
    l_inv_rec.inv_rate_tbl(1).exchange_rate  := 2;
    l_inv_rec.inv_rate_tbl(1).cost           := 2001;

    FA_ADJUSTMENT_PUB.do_adjustment(
        -- std parameters
        p_api_version      => 1.0,
        p_init_msg_list    => FND_API.G_FALSE,
        p_commit           => FND_API.G_FALSE,
        p_validation_level  => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn       => null,
        x_return_status     => l_return_status,
        x_msg_count         => l_mesg_count,
        x_msg_data          => l_mesg,
        -- api parameters

```

```

px_trans_rec          => l_trans_rec,
    px_asset_hdr_rec   => l_asset_hdr_rec,
    p_asset_fin_rec_adj => l_asset_fin_rec_adj,
    x_asset_fin_rec_new => l_asset_fin_rec_new,
    x_asset_fin_mrc_tbl_new => l_asset_fin_mrc_tbl_new,
    px_inv_trans_rec   => l_inv_trans_rec,
    px_inv_tbl         => l_inv_tbl,
    p_asset_deprn_rec_adj => l_asset_deprn_rec_adj,
    x_asset_deprn_rec_new => l_asset_deprn_rec_new,
    x_asset_deprn_mrc_tbl_new => l_asset_deprn_mrc_tbl_new,
    p_group_reclass_options_rec => l_group_reclass_options_rec
);

--dump messages
l_mesg_count := fnd_msg_pub.count_msg;

if l_mesg_count > 0 then
    l_mesg := chr(10) || substr(fnd_msg_pub.get
                                (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE),
                                1, 250);
    dbms_output.put_line(l_mesg);
    for i in 1..(l_mesg_count - 1) loop
        l_mesg :=
            substr(fnd_msg_pub.get
                    (fnd_msg_pub.G_NEXT,
                    fnd_api.G_FALSE), 1, 250);

        dbms_output.put_line(l_mesg);
    end loop;

    fnd_msg_pub.delete_msg();

end if;

if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
    dbms_output.put_line('FAILURE');
else
    dbms_output.put_line('SUCCESS');
    dbms_output.put_line('THID' || to_char(l_trans_rec.
transaction_header_id));
    dbms_output.put_line('ASSET_ID' || to_char(l_asset_hdr_rec.
asset_id));
end if;

end;
/

```

Sample Script: Using the Adjustment API with Invoice Information with Alternative Ledger Currency

The following example simulates the adjustment of an asset via an invoice line with one associated reporting currency. It populates the needed structures and then calls the Adjustments API. In this case we are adding a new invoice line to the asset with the cost of the invoice being \$5000. Note that the financial structure remains null because as detailed previously in the document, the private invoice API will be responsible for calculating the total change in cost bases on the sum of all the invoice structures.

```

set serveroutput on

declare
    l_trans_rec      FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec   FA_API_TYPES.asset_hdr_rec_type;
    l_asset_fin_rec_adj FA_API_TYPES.asset_fin_rec_type;
    l_asset_fin_rec_new FA_API_TYPES.asset_fin_rec_type;
    l_asset_fin_mrc_tbl_new FA_API_TYPES.asset_fin_tbl_type;
    l_inv_trans_rec   FA_API_TYPES.inv_trans_rec_type;
    l_inv_tbl         FA_API_TYPES.inv_tbl_type;
    l_inv_rate_tbl    FA_API_TYPES.inv_rate_tbl_type;
    l_asset_deprn_rec_adj FA_API_TYPES.asset_deprn_rec_type;
    l_asset_deprn_rec_new FA_API_TYPES.asset_deprn_rec_type;
    l_asset_deprn_mrc_tbl_new FA_API_TYPES.asset_deprn_tbl_type;
    l_inv_rec         FA_API_TYPES.inv_rec_type;
    l_group_reclass_options_rec FA_API_TYPES.
group_reclass_options_rec_type;

    l_return_status VARCHAR2(1);
    l_mesg_count number;
    l_mesg varchar2(512);

begin
    dbms_output.enable(10000000);

    FA_SRVR_MSG.Init_Server_Message;
    -- asset header info
    l_asset_hdr_rec.asset_id := &asset_id;
    l_asset_hdr_rec.book_type_code := '&book';

    -- invoice trans
    l_inv_trans_rec.transaction_type := 'INVOICE ADDITION';

    -- invoice info
    l_inv_rec.fixed_assets_cost := 2500;
    l_inv_rec.deleted_flag := 'NO';
    l_inv_rec.description := 'test inv';
    l_inv_rec.unrevalued_cost := 5555;
    l_inv_rec.create_batch_id := 1000;
    l_inv_rec.payables_code_combination_id := 13528;
    l_inv_rec.feeder_system_name := 'ACK';
    l_inv_rec.payables_cost := 5555;
    l_inv_rec.payables_units := 1;
    l_inv_rec.po_vendor_id := 1;
    l_inv_rec.inv_indicator := 1;

    l_inv_tbl (1) := l_inv_rec;

    FA_ADJUSTMENT_PUB.do_adjustment(
        -- std parameters
        p_api_version => 1.0,
        p_init_msg_list => FND_API.G_FALSE,
        p_commit => FND_API.G_FALSE,
        p_validation_level => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn => null,
        x_return_status => l_return_status,
        x_msg_count => l_mesg_count,
        x_msg_data => l_mesg,
        -- api parameters
        px_trans_rec => l_trans_rec,
        px_asset_hdr_rec => l_asset_hdr_rec,
        p_asset_fin_rec_adj => l_asset_fin_rec_adj,
        x_asset_fin_rec_new => l_asset_fin_rec_new,
        x_asset_fin_mrc_tbl_new => l_asset_fin_mrc_tbl_new,

```



```

px_inv_trans_rec => l_inv_trans_rec,
    px_inv_tbl => l_inv_tbl,
    p_asset_deprn_rec_adj => l_asset_deprn_rec_adj,
    x_asset_deprn_rec_new => l_asset_deprn_rec_new,
    x_asset_deprn_mrc_tbl_new => l_asset_deprn_mrc_tbl_new,
    p_group_reclass_options_rec => l_group_reclass_options_rec
);

--dump messages
l_mesg_count := fnd_msg_pub.count_msg;

if l_mesg_count > 0 then

    l_mesg := chr(10) || substr(fnd_msg_pub.get
                                (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE), 1, 250);
    dbms_output.put_line(l_mesg);

    for i in 1..(l_mesg_count - 1) loop
        l_mesg :=
            substr(fnd_msg_pub.get
                    (fnd_msg_pub.G_NEXT,
                     fnd_api.G_FALSE), 1, 250);

        dbms_output.put_line(l_mesg);
    end loop;

    fnd_msg_pub.delete_msg();

end if;

if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
    dbms_output.put_line('FAILURE');
else
    dbms_output.put_line('SUCCESS');
    dbms_output.put_line('THID' ||
to_char(l_trans_rec.transaction_header_id));
    dbms_output.put_line('ASSET_ID' ||
to_char(l_asset_hdr_rec.asset_id));
end if;

end;
/

```

Oracle Assets Asset Description API

This appendix covers the following topics:

- Introduction
- Asset Description API Definition
- Sample Script: Using the Asset Description API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Asset Description API uses the `FA_ASSET_DESC_PUB.UPDATE_DESC()` procedure. You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. You can also update descriptions using the Asset Workbench.

Alternate Ledger Currency

If you have set up alternate ledger currency, when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

Asset Description API Definition, page I-1

Sample Script: Using the Asset Description API, page I-7

Asset Description API Definition

The ASSET Description API procedure is called: `FA_ASSET_DESC_PUB.UPDATE_DESC()`. The following table provides the arguments, types, value, and

descriptions of the elements of the FA_ASSET_DESC_PUB.UPDATE_DESC() procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack FND_API. G_FALSE - Do not initialize the message stack (Default)	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Lowest level of validation possible for a transaction FND_API.G_VALID_LEVEL_FULL - Highest level of validation possible for a transaction (Default)	Check on whether the API should validate the asset.

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2(1)	FND_API. G_RET_STS_ SUCCESS - Transaction was a success FND_API. G_RET_STS_ ERROR - Transaction failed FND_API. G_RET_STS_ UNEXP_ERROR - Unexpected error	Determines whether the API is successful.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
P_CALLING_FN	VARCHAR2(30)		Function calling the API
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_REC	FA_API_TYPES. ASSET_HDR_REC_ TYPE		Unique identifiers for the assets.
PX_ASSET_DESC_REC_NEW	FA_API_TYPES. ASSET_DESC_REC_ TYPE		Description of the asset.
PX_ASSET_CAT_REC_NEW	FA_API_TYPES. ASSET_CAT_REC_ TYPE		Category information of the asset.

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
WHO_INFO	Required	STANDARD_who_rec_type	Standard Who Column

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	OUT parameter
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Populate the book type code.

ASSET_DESC_REC_TYPE Asset Structure

The ASSET_DESC_REC_TYPE asset structure contains descriptive information about the asset, such as the tag number, serial number, and manufacturer name. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_NUMBER	Optional	VARCHAR2(15)	Defaults to the asset ID. Optional OUT parameter.
DESCRIPTION	Required	VARCHAR2(80)	Description of the asset.
TAG_NUMBER	Optional	VARCHAR2(15)	User assigned tag number of asset.
SERIAL_NUMBER	Optional	VARCHAR2(35)	Serial number of the asset.

Argument	Required / Optional	Type	Value
ASSET_KEY_CCID	Optional	NUMBER(15)	Identifies an asset key flexfield combination for the asset.
PARENT_ASSET_ID	Optional	NUMBER(15)	Identifies a parent asset for subcomponents.
MANUFACTURER_NAME	Optional	VARCHAR2(30)	Name of manufacturer.
MODEL_NUMBER	Optional	VARCHAR2(40)	Model number of the asset.
WARRANTY_ID	Optional	NUMBER(15)	Warranty identification number.
LEASE_ID	Optional	NUMBER(15)	Lease identification number.
IN_USE_FLAG	Optional	VARCHAR2(3)	YES - In use (default) NO - Not in use
INVENTORIAL	Optional	VARCHAR2(3)	Defaults to asset category. YES - To include in physical inventory NO - Do not include in physical inventory.
PROPERTY_TYPE_CODE	Optional	VARCHAR2(10)	Defaults to asset category.
PROPERTY_1245_1250_CODE	Optional	VARCHAR2(4)	1245 - Personal 1250 - Real Defaults to asset category.

Argument	Required / Optional	Type	Value
OWNED_LEASED	Optional	VARCHAR2(15)	OWNED - Owned (Default) LEASED - Leased Defaults to asset category.
NEW_USED	Optional	VARCHAR2(4)	NEW - New (Default) USED - Used
LEASE_DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Lease descriptive flexfield segments.
GLOBAL_DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Global descriptive flexfield segments.
COMMITMENT	Optional	VARCHAR2(150)	Current financial burdens recorded against the asset, such as existing mortgages or pre-notices of mortgages.
INVESTMENT_LAW	Optional	VARCHAR2(150)	Incentives available to businesses, depending on the region and the nature of the investor's business. The current incentives are direct subsidy, interest subsidy, leasing subsidy, and tax exemption.

ASSET_CAT_REC_TYPE Asset Structure

The ASSET_CAT_REC_TYPE asset structure contains information about the asset category, such as the category ID and the category descriptive flexfield. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Description
CATEGORY_DESC_FLEX	Required	DESC_FLEX_REC_TYPE	Category descriptive flexfield segments.

Sample Script: Using the Asset Description API

The following sample script shows how you can use the Asset Description API.

```

set serveroutput on;

declare
    l_trans_rec          FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec      FA_API_TYPES.asset_hdr_rec_type;
    l_asset_desc_rec     FA_API_TYPES.asset_desc_rec_type;
    l_asset_cat_rec      FA_API_TYPES.asset_cat_rec_type;

    l_return_status      VARCHAR2(1);
    l_mesg_count         number;
    l_mesg               varchar2(512);

begin
    dbms_output.enable(10000000);

    FA_SRVR_MSG.Init_Server_Message;

    l_asset_hdr_rec.asset_id      := &asset_id;
    l_asset_desc_rec.description  := '&description';
    --l_asset_desc_rec.serial_number := '&serial_number';

    FA_ASSET_DESC_PUB.update_desc(
        -- std parameters
        p_api_version              => 1.0,
        p_init_msg_list            => FND_API.G_FALSE,
        p_commit                   => FND_API.G_FALSE,
        p_validation_level         => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn               => null,
        x_return_status            => l_return_status,
        x_msg_count                => l_mesg_count,
        x_msg_data                 => l_mesg,
        -- api parameters
        px_trans_rec               => l_trans_rec,
        px_asset_hdr_rec           => l_asset_hdr_rec,
        px_asset_desc_rec_new      => l_asset_desc_rec,
        px_asset_cat_rec_new       => l_asset_cat_rec);

    --dump messages
    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then
        l_mesg := chr(10) || substr(fnd_msg_pub.get
                                   (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE),
                                   1, 250);
        dbms_output.put_line(l_mesg);

        for i in 1..(l_mesg_count - 1) loop
            l_mesg :=
                substr(fnd_msg_pub.get
                      (fnd_msg_pub.G_NEXT,
fnd_api.G_FALSE), 1, 250);

            dbms_output.put_line(l_mesg);
        end loop;

        fnd_msg_pub.delete_msg();
    end if;

    if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
        dbms_output.put_line('FAILURE');
    else

```

```
dbms_output.put_line('SUCCESS');
      dbms_output.put_line('ASSET_ID' || to_char(l_asset_hdr_rec.
asset_id));
    end if;

end;
/
```

Oracle Assets CIP Capitalization and Reversal API

This appendix covers the following topics:

- Introduction
- CIP Capitalization API Description
- CIP Reversal API Description
- Standard Types Used For Capitalizations and Reversals
- Sample Script: Using the CIP Capitalization API
- Sample Script: Using the CIP Reversal API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The CIP API uses the FA_CIP_PUB.DO_CAPITALIZATION () procedure to capitalize, and the FA_CIP_PUB.DO_REVERSE () to reverse capitalize. You can use this API if you have a custom interface that makes it difficult to use with the existing Oracle Assets interfaces for adjusting assets.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

CIP Capitalization API Description, page J-2

CIP Reversal API Description, page J-4

Sample Script: Using the CIP Capitalization API, page J-20

Sample Script: Using the CIP Reversal API, page J-22

CIP Capitalization API Description

The CIP Capitalization API procedure is called: `FA_CIP_PUB.DO_CAPITALIZATION()`.

The following table provides the arguments, types, value, and descriptions of the elements of the `FA_CIP_PUB.DO_CAPITALIZATION()` procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Basic information about the API.
P_INIT_MSG_LIST	VARCHAR2	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.

Argument	Type	Value	Description
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2		Function that calls the API
X_RETURN_STATUS	VARCHAR2	FND_API.G_RET_STS_SUCCESS - Indicates a success. FND_API.G_RET_STS_ERROR - Indicates a failed transaction. FND_API.G_RET_STS_UNEXP_ERROR - Indicates an unexpected error.	Determines the API success.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	FA_API_TYPES. MSG_REC_TYPE		The API part that stores messages which is passed to the user.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_REC	FA_API_TYPES. ASSET_HDR_REC_TYPE		Unique identifiers for the assets.

Argument	Type	Value	Description
FX_ASSET_FIN_REC	FA_API_TYPES. ASSET_FIN_REC_ TYPE		Financial information for the transaction

CIP Reversal API Description

The CIP Reversal API procedure is called: FA_CIP_PUB.DO_REVERSE ().

The following table provides the arguments, types, value, and descriptions of the elements of the FA_CIP_PUB.DO_REVERSE () procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Basic information about the API.
P_INIT_MSG_LIST	VARCHAR2	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.

Argument	Type	Value	Description
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2		Function that calls the API
X_RETURN_STATUS	VARCHAR2	FND_API.G_RET_STS_SUCCESS - Addition successful. FND_API.G_RET_STS_ERROR - Addition fails. FND_API.G_RET_STS_UNEXP_ERROR - Unexpected error.	Determines the API success.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	FA_API_TYPES. MSG_REC_TYPE		The API part that stores messages which is passed to the user.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_REC	FA_API_TYPES. ASSET_HDR_REC_TYPE		Unique identifiers for the assets.

Argument	Type	Value	Description
FX_ASSET_FIN_REC	FA_API_TYPES. ASSET_FIN_REC_ TYPE		Financial information for the transaction

Standard Types Used For Capitalizations and Reversals

One of the key benefits of this API is the use of structures instead of lists of scalar parameter types. Using structures instead of scalar parameter types makes it easier for calling interfaces to pass only the information required for the adjustment transaction, and no more.

Attention: Columns that you do not enter directly, and are derived internally, can still be accessed. For example, if you wish to know the TRANSACTION_HEADER_ID (reference number) for the transaction, you can example or copy the contents of PX_TRANS_REC.TRANSACTION_HEADER_ID.

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
SOURCE_TRANSACTION_HEADER_ID	Optional	NUMBER(15)	Defaults to the source THID when using autocopy or CIP-IN-TAX
MASS_REFERENCE_ID	Optional	NUMBER(15)	Defaults to CONC_REQUEST_ID .
TRANSACTION_NAME	Optional	VARCHAR2(20)	Transaction description.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Defaults to CUSTOM

Argument	Required / Optional	Type	Value
DESC_FLEX	Optional	DESC_FLEX_ REC_TYPE	Descriptive flexfield segment
WHO_INFO	Optional	STANDARD_ WHO_REC_TYPE	Standard Who columns

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	OUT parameter.
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Populate the book type code.

ASSET_FIN_REC_TYPE Asset Structure

The ASSET_FIN_REC_TYPE asset structure contains financial information for a given asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
DATE_PLACED_IN_ SERVICE	Required (if no invoices were populated)	DATE	Date the asset is placed in service.
DEPRN_METHOD_C ODE	Optional	VARCHAR2(12)	The name of the depreciation method. Defaults as per the asset category values.

Argument	Required / Optional	Type	Value
LIFE_IN_MONTHS	Optional	NUMBER(4)	Life of the asset in total months. Defaults as per the asset category values.
COST	Required (if no invoices were populated)	NUMBER	Current cost of the asset.
ORIGINAL_COST	Optional	NUMBER	Original cost of the asset. Defaults to cost.
SALVAGE_VALUE	Optional	NUMBER	Asset salvage value. Defaults as per the asset category values.
PRORATE_CONVENTION_CODE	Optional	VARCHAR2(10)	Depreciation prorate convention. Defaults as per the asset category values.
DEPRECIATE_FLAG	Required	VARCHAR2(3)	Indicates whether the asset is depreciating. YES - Asset is depreciating NO - Asset is not depreciating
ITC_AMOUNT_ID	Optional	NUMBER(15)	Identifies the ITC rate.
BASIC_RATE	Optional	NUMBER	Defaults as per the asset category values.
ADJUSTED_RATE	Optional	NUMBER	Defaults as per the asset category values.

Argument	Required / Optional	Type	Value
BONUS_RULE	Optional	NUMBER	Bonus rule for an asset. Defaults as per the asset category values. If a default value is defined, and you want the value to be NULL, you must pass FND_API.G_MISS_CHAR to the Addition API.
CEILING_NAME	Optional	VARCHAR2(30)	Identifies a depreciation ceiling to be used in calculating depreciation. Defaults as per the asset category values. If a default value is defined, and you want the value to be NULL, you must pass FND_API.G_MISS_CHAR to the Addition API.
PRODUCTION_CAPACITY	Optional	NUMBER	Capacity of a units of production asset. Defaults as per the asset category values.
UNIT_OF_MEASURE	Optional	VARCHAR2(25)	Unit of measure of a units of production asset. Defaults as per the asset category values.
REVAL_CEILING	Optional	NUMBER	Upper limit for revaluing asset cost.
UNREVALUED_COST	Optional	NUMBER	Cost without regard to any revaluation.

Argument	Required / Optional	Type	Value
SHORT_FISCAL_YEAR_FLAG	Optional	VARCHAR2(3)	YES - Asset is in a short fiscal year. NO - Asset is not in a short fiscal year.
CONVERSION_DATE	Optional	DATE	Date short tax year asset added to the acquiring company.
ORIG_DEPRN_START_DATE	Optional	DATE	Date short tax year asset begin depreciating in the acquired company's books.
GROUP_ASSET_ID	Optional	NUMBER(15)	Group asset identification number. (CRL Asset). If a default value is defined, and you want the value to be NULL, you must pass FND_API.G_MISS_NUM to the Addition API.
GLOBAL_ATTRIBUTE1-20	Optional	VARCHAR2(150)	Reserved for country specific functionality.
GLOBAL_ATTRIBUTE_CATEGORY	Optional	VARCHAR2(30)	Reserved for country specific functionality.
DISABLED_FLAG	Optional	VARCHAR2(1)	Indicates whether the group asset is disabled. Y - Group asset is disabled. N - Group asset is enabled. Defaults to N.

Argument	Required / Optional	Type	Value
SALVAGE_TYPE	Optional	VARCHAR2(30)	Indicates the way to determine salvage value. AMT - Manually enter the salvage value manually (Not available for group asset). PCT - PERCENT_SALVAGE_VALUE field determines the Salvage value. SUM - Salvage value is determined by sum of member asset's salvage value amount (available only for group asset). Defaults to PCT for group assets.

Argument	Required / Optional	Type	Value
DEPRN_LIMIT_TYPE	Optional	VARCHAR2(30)	Indicates how depreciation limit is determined . AMT - Manually enter the depreciation limit amount manually (Not available for group asset). PCT - ALLOWED_DEPRN_LIMIT field determines the depreciation limit amount. SUM - Depreciation limit amount is determined using sum of member asset's depreciation limit amount (available only for group asset). NONE - Depreciation limit is not used. Defaults to PCT for group assets.
ALLOWED_DEPRN_LIMIT	Optional	NUMBER	The default depreciation limit as a percentage of cost.
ALLOWED_DEPRN_LIMIT_AMOUNT	Optional	NUMBER	Cost without regard to any revaluations.

Argument	Required / Optional	Type	Value
OVER_DEPRECIATE_OPTION	Optional	VARCHAR2(30)	Indicates whether group asset should stop depreciating beyond its depreciation limit (recoverable cost if there is no depreciation limit defined). NO - Stop depreciating when the depreciation reserve reaches its depreciation limit. YES - Stop depreciating if depreciation reserve reaches its depreciation limit because of an increase in depreciation expense. DEPRN - Group asset will not stop depreciating. Defaults to NO.
SUPER_GROUP_ID	Optional	NUMBER	Super group rule identification number.
REDUCTION_RATE	Optional	NUMBER	Relevant for depreciable basis rule that is assigned to a depreciation method which uses reduction rate.

Argument	Required / Optional	Type	Value
REDUCE_ADDITION_FLAG	Optional	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset additions. This value is relevant for group assets only. Y - Reduction rate is used for member asset additions. N - Reduction rate is not used for member asset additions. Defaults to N.
REDUCE_ADJUSTMENT_FLAG	Optional	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset adjustments. This value is relevant for group assets only. Y - Reduction rate is used for member asset adjustments. N - Reduction rate is not used for member asset adjustments. Defaults to N.

Argument	Required / Optional	Type	Value
REDUCE_RETIEMENT_FLAG	Optional	VARCHAR2(1)	Indicates whether reduction rate should be applied for member asset retirements. This value is relevant only with group asset. Y - Reduction rate is used for member asset retirements. N - Reduction rate is not used for member asset retirements. Defaults to N.
RECOGNIZE_GAIN_LOSS	Optional	VARCHAR2(30)	Indicates whether a member asset retirement should result in recognizing gain and loss amount. YES - Recognize gain and loss amount. NO - Do not recognize gain and loss amount. Defaults to NO.
RECAPTURE_RESERVE_FLAG	Optional	VARCHAR2(1)	Defaults to N.
LIMIT_PROCEEDS_FLAG	Optional	VARCHAR2(1)	Defaults to N.

Argument	Required / Optional	Type	Value
TERMINAL_GAIN_LOSS	Optional	VARCHAR2(30)	Indicates whether to recognize gain and loss when the last member asset in a group asset is retired out of the group. YES - Recognize gain and loss amount. NO - Not recognizing gain and loss amount END_OF_YEAR - Different recognition of gain and loss amount until the end of current fiscal year. Defaults to YES.
TRACKING_METHOD	Optional	VARCHAR2(30)	Member assets tracking option value. ALLOCATE - Allocate group depreciation amount across it's member assets. CALCULATE - Uses member assets depreciation instead of group asset's depreciation. Defaults to null.

Argument	Required / Optional	Type	Value
EXCESS_ALLOCATION_OPTION	Optional	VARCHAR2(30)	Indicates whether excess from allocation of group depreciation expense across its member assets is reduced from group depreciation expense or reallocated to its member assets. DISTRIBUTE - Reallocate the excess depreciation expense to its member assets. REDUCE - Reduce the excess from group depreciation expense.
DEPRECIATION_OPTION	Optional	VARCHAR2(30)	Indicates whether member asset's depreciation expense is calculated using group or member asset depreciation information. GROUP - Use group asset depreciation information to calculate member asset depreciation expense. MEMBER - Use member asset depreciation information to calculate member asset depreciation expense. Defaults to GROUP if TRACKING_METHOD is CALCULATE, otherwise defaults to null.

Argument	Required / Optional	Type	Value
MEMBER_ROLLUP_FLAG	Optional	VARCHAR2(1)	Indicates whether group asset depreciation amount is sum of member asset depreciation amount. This value is relevant if TRACKING_METHOD is CALCULATE and the value is not Y if RECOGNIZE_GAIN_LOSS or TERMINAL_GAIN_LOSS is NO. Y - Sum member asset depreciation amount to group. N - Group depreciation amount is calculated using the group asset information. Defaults to N if TRACKING_METHOD is CALCULATE, otherwise defaults to null.

Argument	Required / Optional	Type	Value
ALLOCATE_TO_FULLY_RSV_FLAG	Optional	VARCHAR2(1)	Indicates whether to allocate group asset's depreciation amount to a reserved member asset. Y - Group depreciation expense is allocated to a reserved member assets. N - Group depreciation expense is not allocated to fully reserved member assets. Defaults to N if TRACKING_METHOD is ALLOCATE, otherwise defaults to null.

The following are relevant to group assets:

- DISABLED_FLAG
- OVER_DEPRECIATE_OPTION
- SUPER_GROUP_ID
- REDUCE_ADDITION_FLAG
- REDUCE_ADJUSTMENT_FLAG
- REDUCE_RETIREMENT_FLAG
- RECOGNIZE_GAIN_LOSS
- RECAPTURE_RESERVE_FLAG
- LIMIT_PROCEEDS_FLAG
- TERMINAL_GAIN_LOSS

- TRACKING_METHOD
- EXCESS_ALLOCATION_OPTION
- DEPRECIATION_OPTION
- MEMBER_ROLLUP_FLAG
- ALLOCATE_TO_FULLY_RSV_FLAG

REDUCTION_RATE is for group and member assets.

Sample Script: Using the CIP Capitalization API

The following example demonstrates the capitalization of a CIP asset. It populates the needed structures and then calls the CIP Capitalization API.


```

set serveroutput on

declare
    l_trans_rec FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec FA_API_TYPES.asset_hdr_rec_type;
    l_asset_fin_rec FA_API_TYPES.asset_fin_rec_type;
    l_return_status VARCHAR2(1);
    l_mesg_count number;
    l_mesg varchar2(512);

begin
    dbms_output.enable(1000000);

    FA_SRVR_MSG.Init_Server_Message;

    -- asset header info
    l_asset_hdr_rec.asset_id := &asset_id;
    l_asset_hdr_rec.book_type_code := '&book';

    -- fin info
    l_asset_fin_rec.date_placed_in_service := '&dapis';

    FA_CIP_PUB.do_capitalization(
        -- std parameters
        p_api_version => 1.0,
        p_init_msg_list => FND_API.G_FALSE,
        p_commit => FND_API.G_FALSE,
        p_validation_level => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn => NULL,
        x_return_status => l_return_status,
        x_msg_count => l_mesg_count,
        x_msg_data => l_mesg,
        -- api parameters
        px_trans_rec => l_trans_rec,
        px_asset_hdr_rec => l_asset_hdr_rec,
        px_asset_fin_rec => l_asset_fin_rec
    );

    --dump messages
    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then

        l_mesg := chr(10) || substr(fnd_msg_pub.get
                                   (fnd_msg_pub.G_FIRST,
fnd_api.G_FALSE),1, 250);

        dbms_output.put_line(l_mesg);

        for i in 1..(l_mesg_count - 1) loop
            l_mesg :=
                substr(fnd_msg_pub.get
                      (fnd_msg_pub.G_NEXT,
fnd_api.G_FALSE), 1, 250);

            dbms_output.put_line(l_mesg);
        end loop;

        fnd_msg_pub.delete_msg();

    end if;

    if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then

```

```
dbms_output.put_line('FAILURE');
    else
        dbms_output.put_line('SUCCESS');
        dbms_output.put_line('THID' ||
            to_char(l_trans_rec.transaction_header_id));
    end if;

end;
/
```

Sample Script: Using the CIP Reversal API

The following example demonstrates reversing the capitalization of a CIP asset. It populates the needed structures and then calls the CIP Reversal API.

```

set serveroutput on

declare
    l_trans_rec FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec FA_API_TYPES.asset_hdr_rec_type;
    l_asset_fin_rec FA_API_TYPES.asset_fin_rec_type;
    l_return_status VARCHAR2(1);
    l_mesg_count number;
    l_mesg varchar2(4000);

begin
    dbms_output.enable(1000000);

    FA_SRVR_MSG.Init_Server_Message;

    -- asset header info
    l_asset_hdr_rec.asset_id := &asset_id;
    l_asset_hdr_rec.book_type_code := '&book';

    FA_CIP_PUB.do_reverse(
        -- std parameters
        p_api_version => 1.0,
        p_init_msg_list => FND_API.G_FALSE,
        p_commit => FND_API.G_FALSE,
        p_validation_level => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn => null,
        x_return_status => l_return_status,
        x_msg_count => l_mesg_count,
        x_msg_data => l_mesg,
        -- api parameters
        px_trans_rec => l_trans_rec,
        px_asset_hdr_rec => l_asset_hdr_rec,
        px_asset_fin_rec => l_asset_fin_rec
    );

    --dump messages
    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then
        l_mesg := chr(10) || substr(fnd_msg_pub.get
                                   (fnd_msg_pub.G_FIRST,
fnd_api.G_FALSE), 1, 250);
        dbms_output.put_line(l_mesg);

        for i in 1..(l_mesg_count - 1) loop
            l_mesg :=
                substr(fnd_msg_pub.get
                      (fnd_msg_pub.G_NEXT,
fnd_api.G_FALSE), 1, 250);

            dbms_output.put_line(l_mesg);
        end loop;

        fnd_msg_pub.delete_msg();
    end if;

    if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
        dbms_output.put_line('FAILURE');
    else
        dbms_output.put_line('SUCCESS');
        dbms_output.put_line('THID' ||

```

```
to_char(l_trans_rec.transaction_header_id));  
      end if;  
  
end;  
/
```

Oracle Assets Common Invoice Transfer API

This appendix covers the following topics:

- Introduction
- Common Invoice Transfer API Description
- Sample Script: Using the Invoice Transfer API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Common Invoice Transfer API allows you to transfer source lines, streamline the code and prevent code duplication.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

CIP Assets

If you have checked the Allow CIP Assets check box on the Book Controls window of a tax book, when you add CIP assets using the Additions API, the API automatically adds those CIP assets to that tax book at the same time that they are added to the corporate book.

Related Topics

Common Invoice Transfer API Description, page K-2

Sample Script: Using the Invoice Transfer API, page K-6

Common Invoice Transfer API Description

The Common Invoice Transfer API procedure is called the FA_INV_XFR_PUB.DO_TRANSFER () procedure. The following table provides the arguments, types, value, and descriptions of the elements of the FA_INV_XFR_PUB.DO_TRANSFER () procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default)	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2(1)	FND_API. G_RET_STS_ SUCCESS - Indicates a success. FND_API. G_RET_STS_ ERROR - Indicates a failed transaction. FND_API. G_RET_STS_ UNEXP_ERROR - Indicates an unexpected error.	Determines the API success.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
P_CALLING_FN	VARCHAR2(30)		Function that calls the API
PX_SRC_TRANS_RE C	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_SRC_ASSET_HD R_REC	FA_API_TYPES. ASSET_HDR_REC_T YPE		Unique identifiers of the assets.
PX_DEST_TRANS_R EC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_DEST_ASSET_H DR_REC	FA_API_TYPES. ASSET_HDR_REC_T YPE		Unique identifiers for the assets.
P_INV_TBL	FA_API_TYPES. INV_TBL_TYPE		Invoices for the asset.

TRANS_REC Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_HEADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter
TRANSACTION_DATE_ENTERED	Optional	DATE	Must be similar to the date placed in service, which it defaults to.
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
MASS_REFERENCE_ID	Optional	NUMBER(15)	Identifies the concurrent request that invokes the transaction if it is part of a mass transaction.
TRANSACTION_SUBTYPE	Optional	VARCHAR2(9)	Additional information about the transaction type.
AMORTIZATION_START_DATE	Optional	DATE	Amortization start date.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Defaults to CUSTOM
DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Descriptive flexfield segments.
WHO_INFO	Required	STANDARD_WHO_REC_TYPE	Standard Who columns.

INV_REC Invoice Structure

The INV_REC invoice structure contains invoice information for a single invoice associated with an asset. The INV_TBL is a table of INV_REC_TYPE records. These records contain all invoices that have been applied to the asset. The following table shows type and descriptive information for each argument.

Argument	Required / Optional	Type	Value
FIXED_ASSETS_COST	Required	NUMBER	Cost of asset in Oracle Assets.
SOURCE_LINE_ID	Required	NUMBER(15)	This is the delta amount for each line you wish to transfer. It must be between 0 and the current cost of the line in question.

Sample Script: Using the Invoice Transfer API

```
set serveroutput on

declare

    -- source
    l_src_trans_rec      FA_API_TYPES.trans_rec_type;
    l_src_asset_hdr_rec  FA_API_TYPES.asset_hdr_rec_type;
    l_inv_tbl            FA_API_TYPES.inv_tbl_type;
    l_inv_rec            FA_API_TYPES.inv_rec_type;

    -- destination
    l_dest_trans_rec     FA_API_TYPES.trans_rec_type;
    l_dest_asset_hdr_rec FA_API_TYPES.asset_hdr_rec_type;

    l_return_status varchar2(1);
    l_mesg_count number;
    l_mesg varchar2(4000);

begin

    dbms_output.enable(10000000);

    FA_SRVR_MSG.Init_Server_Message;

    -- get source / destination info
    l_src_asset_hdr_rec.book_type_code := '&book';
    l_dest_asset_hdr_rec.book_type_code := l_src_asset_hdr_rec.
book_type_code;
    l_src_asset_hdr_rec.asset_id      := &source_asset_id;
    l_dest_asset_hdr_rec.asset_id     := &destination_asset_id;

    -- get transaction info
    -- l_src_trans_rec.transaction_subtype := 'INVOICE TRANSFER';
    -- l_dest_trans_rec.transaction_subtype := 'INVOICE TRANSFER';
    -- l_src_trans_rec.transaction_date_entered :=
'&src_transaction_date';
    -- l_dest_trans_rec.transaction_date_entered :=
'&dest_transaction_date';

    -- invoice info - source
    l_inv_rec.source_line_id := &source_line_id;
    l_inv_rec.fixed_assets_cost := &delta_cost_to_transfer;

    -- set up the table for source
    l_inv_tbl (1) := l_inv_rec;

    -- call for source
    FA_INV_XFR_PUB.do_transfer(
        -- std parameters
        p_api_version => 1.0,
        p_init_msg_list => FND_API.G_FALSE,
        p_commit => FND_API.G_FALSE,
        p_validation_level => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn => NULL,
        x_return_status => l_return_status,
        x_msg_count => l_mesg_count,
        x_msg_data => l_mesg,
        -- api parameters
        px_src_trans_rec => l_src_trans_rec,
        px_src_asset_hdr_rec => l_src_asset_hdr_rec,
        px_dest_trans_rec => l_dest_trans_rec,
        px_dest_asset_hdr_rec => l_dest_asset_hdr_rec,
```

```

p_inv_tbl    => l_inv_tbl
);

--dump messages
l_mesg_count := fnd_msg_pub.count_msg;

if l_mesg_count > 0 then
    l_mesg := chr(10) || substr(fnd_msg_pub.get
                                (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE), 1, 250);
    dbms_output.put_line(l_mesg);

    for i in 1..(l_mesg_count - 1) loop
        l_mesg :=
            substr(fnd_msg_pub.get
                    (fnd_msg_pub.G_NEXT, fnd_api.G_FALSE), 1,
250);

        dbms_output.put_line(l_mesg);
    end loop;

    fnd_msg_pub.delete_msg();
end if;

if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
    rollback;
    dbms_output.put_line('FAILURE');
else
    dbms_output.put_line('SUCCESS');
    dbms_output.put_line('THID_SRC' || to_char(l_src_trans_rec.
transaction_header_id));
    dbms_output.put_line('THID_DEST' || to_char(l_dest_trans_rec.
transaction_header_id));

    end if;
end;
/

```

Oracle Assets Deletion API

This appendix covers the following topics:

- Introduction
- Deletion API Description
- Sample Script: Using the Deletion API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. You can use this API to automatically delete the asset not only from the corporate book, but also from dependent tax books.

Note: You can delete assets only when you are adding and their accounts are not yet processed in subledger accounting.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

Deletion API Description, page L-1

Sample Script: Using the Deletion API, page L-3

Deletion API Description

The following table provides the arguments, types, value, and descriptions of the

elements of the FA_DELETION_PUB.do_delete procedure, which is the Deletion API procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MESG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default)	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2(30)		Function calling the API

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2(1)	FND_API. G_RET_STS_ SUCCESS - Indicates a success. FND_API. G_RET_STS_ ERROR - Indicates a failed transaction. FND_API. G_RET_STS_ UNEXP_ERROR - Indicates an unexpected error.	Determines the API success.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
PX_ASSET_HDR_RE C	FA_API_TYPES. ASSET_HDR_REC_T YPE		Unique identifiers for the assets.

ASSET_HDR_REC Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	OUT parameter.
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book name.

Sample Script: Using the Deletion API

The following sample script shows how you can use the Asset Deletion API.

```

set serveroutput on

declare
    l_asset_hdr_rec FA_API_TYPES.asset_hdr_rec_type;
    l_return_status VARCHAR2(1);
    l_mesg_count number := 0;
    l_mesg_len number;
    l_mesg varchar2(4000);

begin
    dbms_output.enable(1000000);

    FA_SRVR_MSG.Init_Server_Message;

    -- asset header info
    l_asset_hdr_rec.asset_id := &asset_id;
    l_asset_hdr_rec.book_type_code := '&BOOK';

    FA_DELETION_PUB.do_delete
    (p_api_version => 1.0,
    p_init_msg_list => FND_API.G_FALSE,
    p_commit => FND_API.G_FALSE,
    p_validation_level => FND_API.G_VALID_LEVEL_FULL,
    x_return_status => l_return_status,
    x_msg_count => l_mesg_count,
    x_msg_data => l_mesg,
    p_calling_fn => null,
    px_asset_hdr_rec => l_asset_hdr_rec
    );

    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then

        l_mesg := chr(10) || substr(fnd_msg_pub.get
        (fnd_msg_pub.G_FIRST,
        fnd_api.G_FALSE),
        1, 250);

        dbms_output.put_line(l_mesg);

        for i in 1..(l_mesg_count - 1) loop
            l_mesg :=
                substr(fnd_msg_pub.get
                (fnd_msg_pub.G_NEXT,
                fnd_api.G_FALSE), 1, 250);

            dbms_output.put_line(l_mesg);
        end loop;

        fnd_msg_pub.delete_msg();

    end if;

    if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
        dbms_output.put_line('FAILURE');
    else
        dbms_output.put_line('SUCCESS');
        dbms_output.put_line('ASSET_ID' ||
        to_char(l_asset_hdr_rec.asset_id));
        dbms_output.put_line('BOOK: ' || l_asset_hdr_rec.book_type_code);
    end if;

```



```
end;  
/
```

Oracle Assets Invoice Description API

This appendix covers the following topics:

- Introduction
- Invoice Description API Definition
- Sample Script: Using the Invoice Description API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Invoice Description API uses the `FA_ASSET_DESC_PUB.UPDATE_INVOICE_DESC()` procedure. You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. You can also update invoice descriptions using the Asset Workbench.

Alternate Ledger Currency

If you have set up alternate ledger currency, when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Updating Values

When populating structures, you only need to populate the values that are changing. Also, you do not need to pass the values that are not changing.

Important: For columns which are being changed from a populated value to NULL. For example, if you are removing the `PO_NUMBER`, you must pass either `FND_API.G_MISS_NUM`, `G_MISS_DATE`, or `G_MISS_CHAR` depending on the data type. This tells the API to null out the current value. Remember, the API will treat null values as

meaning no change.

Related Topics

Invoice Description API Definition, page M-2

Sample Script: Using the Invoice Description API, page M-6

Invoice Description API Definition

The Invoice Description API procedure is called: FA_ASSET_DESC_PUB.
UPDATE_INVOICE_DESC(). The following table provides the arguments, types, value,
and descriptions of the elements of the FA_ASSET_DESC_PUB.
UPDATE_INVOICE_DESC() procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.

Argument	Type	Value	Description
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
X_RETURN_STATUS	VARCHAR2(1)	FND_API.G_RET_STS_SUCCESS - Indicates a success. FND_API.G_RET_STS_ERROR - Indicates a failed transaction. FND_API.G_RET_STS_UNEXP_ERROR - Indicates an unexpected error.	Determines the API success.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
P_CALLING_FN	VARCHAR2(30)		Function that calls the API
PX_TRANS_REC	FA_API_TYPES.TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_REC	FA_API_TYPES.ASSET_HDR_REC_TYPE		Unique identifiers for the assets.
PX_INV_TBL_NEW	FA_API_TYPES.INV_TBL_TYPE		Invoices for the asset.

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
WHO_INFO	Required	STANDARD_WHO_REC	Standard Who Column.

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	OUT parameter
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Populate the book type code.

INV_REC_TYPE Invoice Structure

The INV_REC_TYPE invoice structure contains invoice information for a single invoice associated with an asset. The INV_TBL_NEW is a table of INV_REC_TYPE records. These records contain all invoices that have been applied to the asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
SOURCE_LINE_ID	Required	NUMBER(15)	Source line identification number.
INVOICE_NUMBER	Optional	VARCHAR2(50)	Invoice number

Argument	Required / Optional	Type	Value
AP_DISTRIBUTION_ LINE_NUMBER	Optional	NUMBER(15)	Distribution line identification
DESCRIPTION	Optional	VARCHAR2(80)	Invoice line description.
PO_VENDOR_ID	Optional	NUMBER(15)	Supplier identification number.
PO_NUMBER	Optional	VARCHAR2(20)	Purchase order number.
PAYABLES_BATCH_ NAME	Optional	VARCHAR2(50)	Payables batch name in the invoice
PROJECT_ASSET_LI NE_ID	Optional	NUMBER(15)	Identifier of the summarized asset cost line transferred from Oracle Projects to create this line.
PROJECT_ID	Optional	NUMBER(15)	Identifier of the project from which the costs are collected, summarized, and transferred from Oracle Projects.
TASK_ID	Optional	NUMBER(15)	Identifier of the task from which costs are collected, summarized, and transferred from Oracle Projects. This column is populated only if the costs were summarized by task.
MATERIAL_INDICA TOR	Optional	VARCHAR2(1)	CRL Assets only

Argument	Required / Optional	Type	Value
ATTRIBUTE1-15	Optional	VARCHAR2(150)	Descriptive flexfield segment.
ATTRIBUTE_CATEGORY_CODE	Optional	VARCHAR2(30)	Descriptive flexfield structure defining column.
INVOICE_DISTRIBUTION_ID	Optional	VARCHAR2(1)	Invoice distribution identifier
INVOICE_LINE_NUMBER	Optional	VARCHAR2(30)	Invoice line number
PO_DISTRIBUTION_ID	Optional	VARCHAR2(30)	Purchase order distribution identifier.

Sample Script: Using the Invoice Description API

The following sample script shows how you can use the Invoice Description API.


```

set serveroutput on;
declare
l_count number;
l_return_status varchar2(100);
l_msg_count number:= 0;
l_msg_data varchar2(4000);
l_request_id number;
reclass_err EXCEPTION;
i number := 0;
l_api_version CONSTANT number := 1.0;
l_msg_list VARCHAR2(5) := FND_API.G_FALSE;
l_commit_flag VARCHAR2(5) := FND_API.G_FALSE;
l_validation_level VARCHAR2(5) := FND_API.G_VALID_LEVEL_FULL;
l_debug_flag VARCHAR2(5) := FND_API.G_FALSE;
l_calling_fn VARCHAR2(50) := 'Update Invoice Desc Script';
l_trans_rec FA_API_TYPES.trans_rec_type;
l_asset_hdr_rec FA_API_TYPES.asset_hdr_rec_type;
l_inv_rec FA_API_TYPES.inv_rec_type;
l_inv_tbl_new FA_API_TYPES.inv_tbl_type;
l_asset_id number(15) := to_number(&asset_id);
l_description varchar2(80):= substr('&Description', 1, 80);
l_po_number varchar2(20):= substr('&po_number', 1, 20);
l_book_type_code varchar2(15) := '&book';
temp_str varchar2(640);
begin
dbms_output.disable;
dbms_output.enable(1000000);
dbms_output.put_line('begin');
fa_srvr_msg.init_server_message;
fa_debug_pkg.set_debug_flag(debug_flag => 'YES');
dbms_output.put_line('.');
-- Get standard who info
fnd_profile.get('LOGIN_ID', l_trans_rec.who_info.last_update_login);
fnd_profile.get('USER_ID', l_trans_rec.who_info.last_updated_by);
if (l_trans_rec.who_info.last_updated_by is null) then
l_trans_rec.who_info.last_updated_by := 1111;
end if;
if (l_trans_rec.who_info.last_update_login is null) then
l_trans_rec.who_info.last_update_login := 2222;
end if;
l_trans_rec.who_info.last_update_date := sysdate;
l_trans_rec.who_info.creation_date := l_trans_rec.who_info.
last_update_date;
l_trans_rec.who_info.created_by := l_trans_rec.who_info.last_updated_by;
l_asset_hdr_rec.asset_id := l_asset_id;
l_asset_hdr_rec.book_type_code := l_book_type_code;
-- For asset w/ multiple invoices, will need to loop
l_inv_rec.source_line_id := &source_line_id;
l_inv_rec.description := l_description;
l_inv_rec.po_number := l_po_number;
l_inv_tbl_new(1) := l_inv_rec;
l_return_status:= null;
dbms_output.put_line('calling FA_ASSET_DESC_PUB.update_invoice_desc');
FA_ASSET_DESC_PUB.update_invoice_desc(
-- std parameters
p_api_version => l_api_version,
p_init_msg_list => l_msg_list,
p_commit => l_commit_flag,
p_validation_level => l_validation_level,
x_return_status => l_return_status,
x_msg_count => l_msg_count,
x_msg_data => l_msg_data,
p_calling_fn => l_calling_fn,
px_trans_rec => l_trans_rec,
px_asset_hdr_rec => l_asset_hdr_rec,

```

```

px_inv_tbl_new => l_inv_tbl_new);
-- rollback;
dbms_output.put_line('l_return_status '||l_return_status);
if l_return_status = 'E' then l_msg_count := fnd_msg_pub.count_msg; if
(l_msg_count > 0) then
dbms_output.put_line('l_msg_count '||to_char(l_msg_count));
temp_str := substr(fnd_msg_pub.get(fnd_msg_pub.G_FIRST, fnd_api.G_FALSE)
, 1, 230);
dbms_output.put_line(temp_str);
temp_str:= null;
for I in 1..(l_msg_count -1) loop
temp_str := fnd_msg_pub.get(fnd_msg_pub.G_NEXT, fnd_api.G_FALSE);
dbms_output.put_line(temp_str);
end loop;
else
dbms_output.put_line('dump: NO MESSAGE !');
end if;
return;
end if;
fa_srvr_msg.add_message(
calling_fn => 'upd_invoice_desc.sql',
name => 'FA_SHARED_END_SUCCESS',
token1 => 'PROGRAM',
value1 => 'FA_ASSET_DESC_PUB.do_invoice_desc_update');exception
when reclass_err then
ROLLBACK WORK;
fa_srvr_msg.add_message(
calling_fn => 'reclass.sql',
name => 'FA_SHARED_PROGRAM_FAILED',
token1 => 'PROGRAM',
value1 => 'FA_ASSET_DESC_PUB.do_invoice_desc_update');
l_msg_count := fnd_msg_pub.count_msg;
if (l_msg_count > 0) then
temp_str := fnd_msg_pub.get(fnd_msg_pub.G_FIRST, fnd_api.G_FALSE);
dbms_output.put_line('dump: ' || temp_str);
for I in 1..(l_msg_count -1) loop
temp_str := fnd_msg_pub.get(fnd_msg_pub.G_NEXT, fnd_api.G_FALSE);
dbms_output.put_line('dump: ' || temp_str);
end loop;
else
dbms_output.put_line('dump: NO MESSAGE !');
end if;
when others then
rollback work;
fa_srvr_msg.add_sql_error(
calling_fn => 'fa_reclass_pub.do_reclass');
raise FND_API.G_EXC_UNEXPECTED_ERROR;
end;
/

```

Oracle Assets Reclass API

This appendix covers the following topics:

- Introduction
- Reclass API Description
- Sample Script: Using the Reclass API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Reclass API uses the FA_RECLASS_PUB.DO_RECLASS() procedure. You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets.

Oracle Assets also allows you to reclassify assets using any of the following methods:

- **Asset Workbench:** You can use the Asset Workbench to manually reclassify individual assets.
- **Mass Change:** You can use the Mass Change process to reclassifying groups of assets selected by one or more ranges.

Major Features

The Reclass API provides the following functionality:

Tax Book

The Reclass API automatically reclassifies assets in all the tax books that are associated with the corporate book where the reclassification originated.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an

Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

Reclass API Description, page N-2

Sample Script: Using the Reclass API, page N-6

Reclass API Description

The Reclass API procedure is called: `FA_RECLASS_PUB.DO_RECLASS()`. The following table provides the arguments, types, value, and descriptions of the elements of the `FA_RECLASS_PUB.DO_RECLASS()` procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.

Argument	Type	Value	Description
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2(30)		Function calling the API
X_RETURN_STATUS	VARCHAR2(1)	FND_API.G_RET_STS_SUCCESS - Indicates a success. FND_API.G_RET_STS_ERROR - Indicates a failed transaction. FND_API.G_RET_STS_UNEXP_ERROR - Indicates an unexpected error.	Determines the API success.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_REC	FA_API_TYPES. ASSET_HDR_REC_TYPE		Unique identifiers for the assets.
PX_ASSET_CAT_REC_NEW	FA_API_TYPES. ASSET_CAT_REC_TYPE		Category information of the asset.

Argument	Type	Value	Description
P_RECLASS_OPT_RE C	FA_API_TYPES. RECLASS_OPTIONS _REC_TYPE		

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_HEADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter
TRANSACTION_DATE_ENTERED	Optional	DATE	Must be the same as the date placed in service, which it defaults to.
TRANSACTION_SUBTYPE	Optional	VARCHAR2(9)	The values are AMORTIZED or EXPENSED. If null, the value is EXPENSED. If the amortization_start_date is provided, the value is AMORTIZED.
AMORTIZATION_START_DATE	Optional	DATE	Defaulted to current open period.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Defaults to CUSTOM.
WHO_INFO	Required	STANDARD_WHO_REC_TYPE	Standard Who column

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	Asset identification number.
BOOK_TYPE_CODE	Optional	VARCHAR2(15)	Defaults to the corporate book the asset is attached to.

ASSET_CAT_REC_NEW_TYPE Asset Structure

The ASSET_CAT_REC_NEW_TYPE asset structure contains information about the asset category, such as the category ID and the category descriptive flexfield. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
CATEGORY_ID	Required	NUMBER(15)	The category ID the asset is reclassified to.
CATEGORY_DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Category descriptive flexfield segments.

RECLASS_OPTIONS_REC_TYPE Reclassification Structure

The RECLASS_OPTIONS_REC_TYPE reclassification structure contains reclass options that may be changed during a reclass transaction for a given asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
REDEFAULT_FLAG	Optional	VARCHAR2(3)	Indicates the depreciation rules of the new category must be inherited. (YES/NO)
COPY_CAT_DESC_F LAG	Optional	VARCHAR2(3)	Indicates whether the category descriptive flexfield information must be copied to the new category for the asset. (YES/NO)

Sample Script: Using the Reclass API

The following is a test script that shows how to call the FA_RECLASS_PUB.do_reclass. It spools the output to a file called reclass.lst in the directory it is run from.


```

set serveroutput on;

declare
    l_trans_rec      FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec   FA_API_TYPES.asset_hdr_rec_type;
    l_asset_cat_rec_new FA_API_TYPES.asset_cat_rec_type;
    l_recl_opt_rec     FA_API_TYPES.reclass_options_rec_type;

    l_return_status   VARCHAR2(1);
    l_mesg_count       number;
    l_mesg             varchar2(512);

begin
    dbms_output.enable(1000000);

    FA_SRVR_MSG.Init_Server_Message;

    l_asset_hdr_rec.asset_id      := &asset_id
    l_asset_cat_rec_new.category_id := &new_category_id
    l_recl_opt_rec.copy_cat_desc_flag :=
        UPPER(substr('&copy_category_desc_YES_NO',1,3));
    l_recl_opt_rec.redefault_flag :=
        UPPER(substr('&redefault_deprn_rules_YES_NO',1,3));

    FA_RECLASS_PUB.do_reclass (
        -- std parameters
        p_api_version      => 1.0,
        p_init_msg_list    => FND_API.G_FALSE,
        p_commit           => FND_API.G_FALSE,
        p_validation_level => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn       => NULL,
        x_return_status    => l_return_status,
        x_msg_count        => l_mesg_count,
        x_msg_data         => l_mesg,
        -- api parameters
        px_trans_rec       => l_trans_rec,
        px_asset_hdr_rec   => l_asset_hdr_rec,
        px_asset_cat_rec_new => l_asset_cat_rec_new,
        p_recl_opt_rec     => l_recl_opt_rec );

    --dump messages
    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then

        l_mesg := chr(10) || substr(fnd_msg_pub.get
            (fnd_msg_pub.G_FIRST,
            fnd_api.G_FALSE),
            1, 250);
        dbms_output.put_line(l_mesg);

        for i in 1..(l_mesg_count - 1) loop
            l_mesg :=
                substr(fnd_msg_pub.get
                    (fnd_msg_pub.G_NEXT,
                    fnd_api.G_FALSE), 1, 250);

            dbms_output.put_line(l_mesg);
        end loop;

        fnd_msg_pub.delete_msg();
    end if;

```

```
if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
    dbms_output.put_line('FAILURE');
else
    dbms_output.put_line('SUCCESS');
    dbms_output.put_line('THID' ||
to_char(l_trans_rec.transaction_header_id));
    end if;

end;
/
```

Oracle Assets Reserve Transfer API

This appendix covers the following topics:

- Introduction
- Reserve Transfer API Description
- Sample Script: Using the Reserve Transfer API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. Reserve transfer allows you to move part of the accumulated depreciation from one group asset to another, and is treated as a current period amortized adjustment. You can reserve transfer of a group asset to another group asset only through the user interface.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

Reserve Transfer API Description, page O-1

Sample Script: Using the Reserve Transfer API, page O-6

Reserve Transfer API Description

The Reserve Transfer API procedure is called the FA_RESERVE_TRANSFER_PUB.DO_RESERVE_TRANSFER () procedure. The following table provides the arguments,

types, value, and descriptions of the elements of the FA_RESERVE_TRANSFER_PUB.
DO_RESERVE_TRANSFER () procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MESG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2(1)	FND_API. G_RET_STS_ SUCCESS - Indicates a success. FND_API. G_RET_STS_ ERROR - Indicates a failed transaction. FND_API. G_RET_STS_ UNEXP_ERROR - Indicates an unexpected error.	Determines the API success.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
P_CALLING_FN	VARCHAR2(30)		Function that calls the API.
P_SRC_ASSET_ID	NUMBER		Source asset ID.
P_DEST_ASSET_ID	NUMBER		Destination asset ID.
P_BOOK_TYPE_CODE	VARCHAR2(15)		Book type code.
P_AMOUNT	NUMBER		Asset amount.
PX_SRC_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Asset source transaction record.
PX_DEST_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Asset destination transaction record.

ASSET_SRC_TRANS_REC Transaction Structure

The ASSET_SRC_TRANS_REC transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The

following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_HEADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter
TRANSACTION_DATE_ENTERED	Optional	DATE	Defaults to the date placed in service.
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
MASS_REFERENCE_ID	Optional	NUMBER(15)	Identifies the concurrent request that invokes the transaction if it is part of a mass transaction.
TRANSACTION_SUBTYPE	Optional	VARCHAR2(9)	Additional information about the transaction type.
AMORTIZATION_START_DATE	Optional	DATE	Amortization start date.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Interface that calls the API. This field defaults to CUSTOM.
DESC_FLEX	Optional	DESC_FLEX_RECORD_TYPE	Descriptive flexfield segments.
WHO_INFO	Required	STANDARD_WHO_RECORD_TYPE	Standard Who columns.

ASSET_DEST_TRANS_REC Transaction Structure

The ASSET_DEST_TRANS_REC transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_HEADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter
TRANSACTION_DATE_ENTERED	Optional	DATE	Defaults to the date placed in service.
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
MASS_REFERENCE_ID	Optional	NUMBER(15)	Identifies the concurrent request that invokes the transaction if it is part of a mass transaction.
TRANSACTION_SUBTYPE	Optional	VARCHAR2(9)	Additional information about the transaction type.
AMORTIZATION_START_DATE	Optional	DATE	Amortization start date.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Interface that calls the API. This field defaults to CUSTOM.
DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Descriptive flexfield segments.
WHO_INFO	Required	STANDARD_WHO_REC_TYPE	Standard Who columns.

Sample Script: Using the Reserve Transfer API

```
set serveroutput on

declare
l_book_type_code varchar2(15);
l_src_asset_id number;
l_dest_asset_id number;
l_amount number;
l_src_trans_rec FA_API_TYPES.trans_rec_type;
l_dest_trans_rec FA_API_TYPES.trans_rec_type;
l_return_status VARCHAR2(1);
l_mesg_count number;
l_mesg varchar2(4000);
begin

dbms_output.enable(1000000);

FA_SRVR_MSG.Init_Server_Message;

-- asset header info
l_book_type_code := '&book';
l_src_asset_id := &src_asset_id;
l_dest_asset_id := &dest_asset_id;
l_amount := &amount;

-- call the api
FA_RESERVE_TRANSFER_PUB.do_reserve_transfer(
-- std parameters
p_api_version => 1.0,
p_init_msg_list => FND_API.G_FALSE,
p_commit => FND_API.G_FALSE,
p_validation_level => FND_API.G_VALID_LEVEL_FULL,
p_calling_fn => NULL,
x_return_status => l_return_status,
x_msg_count => l_mesg_count,
x_msg_data => l_mesg,
-- api parameters
p_src_asset_id => l_src_asset_id,
p_dest_asset_id => l_dest_asset_id,
p_book_type_code => l_book_type_code,
p_amount => l_amount,
px_src_trans_rec => l_src_trans_rec,
px_dest_trans_rec => l_dest_trans_rec
);

--dump messages
l_mesg_count := fnd_msg_pub.count_msg;

if l_mesg_count > 0 then
l_mesg := chr(10) || substr(fnd_msg_pub.get
(fnd_msg_pub.G_FIRST,
fnd_api.G_FALSE),
1, 250);

dbms_output.put_line(l_mesg);
for i in 1..(l_mesg_count - 1) loop
l_mesg :=
substr(fnd_msg_pub.get
(fnd_msg_pub.G_NEXT,
fnd_api.G_FALSE), 1, 250);
dbms_output.put_line(l_mesg);
end loop;
```



```

fnd_msg_pub.delete_msg();
end if;
if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
dbms_output.put_line('FAILURE');
else
dbms_output.put_line('SUCCESS');
dbms_output.put_line('TRX_REFERENCE_ID ' ||
to_char(l_src_trans_rec.trx_reference_id));
dbms_output.put_line('SRC_ASSET_ID ' || to_char(l_src_asset_id));
dbms_output.put_line('DEST_ASSET_ID ' || to_char(l_dest_asset_id));
end if;
end;
/

```

Oracle Assets Retirement Adjustment API

This appendix covers the following topics:

- Introduction
- Retirement Adjustment API Description
- Sample Script: Using the Retirement Adjustment API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Retirement Adjustment API allows you to enter the cost of removal and proceeds of sale directly to the group asset.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

Retirement Adjustment API Description, page P-1

Sample Script: Using the Retirement Adjustment API, page P-6

Retirement Adjustment API Description

The Retirement Adjustment API procedure is called:

FA_RETIREMENT_ADJUSTMENT_PUB.DO_RETIREMENT_ADJUSTMENT().

The following table provides the arguments, types, value, and descriptions of the elements of the FA_RETIREMENT_ADJUSTMENT_PUB.

DO_RETIREMENT_ADJUSTMENT() procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2(30)		Function calling the API

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2(1)	FND_API. G_RET_STS_ SUCCESS - Indicates a success. FND_API. G_RET_STS_ ERROR - Indicates a failed transaction. FND_API. G_RET_STS_ UNEXP_ERROR - Indicates an unexpected error.	Determines the API success.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_RE C	FA_API_TYPES. ASSET_HDR_REC_ TYPE		Unique identifiers for the assets.
P_COST_OF_REMOV AL	NUMBER (Defaults to NULL)		
P_PROCEEDS	NUMBER		
P_COST_OF_REMOV AL_CCID	NUMBER (Defaults to NULL)		
P_PROCEEDS_CCID	NUMBER (Defaults to NULL)		

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The

following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
WHO_INFO	Required	STANDARD_WHO_REC_TYPE	Standard Who column.
TRANSACTION_HEADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter
TRANSACTION_DATE_ENTERED	Optional	DATE	Defaults to the date placed in service. Populate if you are performing a prior period retirement, else do nothing or set it to null.
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
MASS_REFERENCE_ID	Optional	NUMBER(15)	Identifies the concurrent request that invokes the transaction if it is part of a mass transaction.
AMORTIZATION_START_DATE	Optional	DATE	Amortization start date.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Defaults to CUSTOM
DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Descriptive flexfield segments.

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	Asset identification number.
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book name.

Sample Script: Using the Retirement Adjustment API

```
set serveroutput on;
declare
l_trans_rec FA_API_TYPES.trans_rec_type;
l_asset_hdr_rec FA_API_TYPES.asset_hdr_rec_type;
l_cost_of_removal number;
l_proceeds_of_sale number;
l_return_status varchar2(100);
l_mesg_count number:= 0;
l_mesg varchar2(4000);
begin
dbms_output.enable(1000000);
FA_SRVR_MSG.Init_Server_Message;
-- Asset Header Info
l_asset_hdr_rec.book_type_code := '&book';
l_asset_hdr_rec.asset_id := &Group_asset_id;
-- Update values
l_cost_of_removal := &cost_of_removal;
l_proceeds_of_sale := &proceeds_of_sale;
FA_RETIREMENT_ADJUSTMENT_PUB.do_retirement_adjustment(
-- std parameters
p_api_version => 1.0,
p_init_msg_list => FND_API.G_FALSE,
p_commit => FND_API.G_FALSE,
p_validation_level => FND_API.G_VALID_LEVEL_FULL,
p_calling_fn => null,
x_return_status => l_return_status,
x_msg_count => l_mesg_count,
x_msg_data => l_mesg,
-- api parameters
px_trans_rec => l_trans_rec,
px_asset_hdr_rec => l_asset_hdr_rec,
p_cost_of_removal => l_cost_of_removal,
p_proceeds => l_proceeds_of_sale);
--dump messages
l_mesg_count := fnd_msg_pub.count_msg;
if l_mesg_count > 0 then
l_mesg := chr(10) || substr(fnd_msg_pub.get
(fnd_msg_pub.G_FIRST,
fnd_api.G_FALSE),
1, 250);
dbms_output.put_line(l_mesg);
for i in 1..(l_mesg_count - 1) loop
l_mesg :=
substr(fnd_msg_pub.get
(fnd_msg_pub.G_NEXT,
fnd_api.G_FALSE), 1, 250);
dbms_output.put_line(l_mesg);
end loop;
fnd_msg_pub.delete_msg();
end if;
if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
dbms_output.put_line('FAILURE');
else
dbms_output.put_line('SUCCESS');
dbms_output.put_line('TRANSACTION_HEADER_ID ' ||
to_char(l_trans_rec.transaction_header_id));
dbms_output.put_line('BOOK_TYPE_CODE ' ||
l_asset_hdr_rec.book_type_code);
end if;
end;
/
```

Oracle Assets Retirement Details API

This appendix covers the following topics:

- Introduction
- Retirement Details API Description
- Sample Script: Using the Retirement Details API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Retirement Details API allows you to change certain details of an existing retirement regardless of interface.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Passing Null Values

You must pass special values in order to null the values of BONUS_RULE, CEILING_NAME, or GROUP_ASSET_ID. If you pass a NULL value directly for these values, the API will automatically default to the value setup for the category. The following table shows the value that must be passed for the field value to be NULL.

Field	Value to Pass for NULL Field
BONUS_RULE	FND_API.G_MISS_CHAR

Field	Value to Pass for NULL Field
CEILING_NAME	FND_API.G_MISS_CHAR
GROUP_ASSET_ID	FND_API.G_MISS_NUM

Related Topics

Retirement Details API Description, page Q-2

Sample Script: Using the Retirement Details API, page Q-7

Retirement Details API Description

The Retirement Details API procedure is called: FA_ASSET_DESC_PUB.UPDATE_RETIREMENT_DESC().

The following table provides the arguments, types, value, and descriptions of the elements of the FA_ASSET_DESC_PUB.UPDATE_RETIREMENT_DESC() procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.

Argument	Type	Value	Description
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
X_RETURN_STATUS	VARCHAR2(1)	FND_API.G_RET_STS_SUCCESS - Indicates a success. FND_API.G_RET_STS_ERROR - Indicates a failed transaction. FND_API.G_RET_STS_UNEXP_ERROR - Indicates an unexpected error.	Determines the API success.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
P_CALLING_FN	VARCHAR2(30)		Function calling the API
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.

Argument	Type	Value	Description
PX_ASSET_HDR_REC	FA_API_TYPES. ASSET_HDR_REC_ TYPE		Unique identifiers for the assets.
PX_ASSET_RETIRE_REC_NEW	FA_API_TYPES. ASSET_RETIRE_REC_ _TYPE		

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_HEADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter
TRANSACTION_DATE_ENTERED	Optional	DATE	Must be the same as the date placed in service, which it defaults to.
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
MASS_REFERENCE_ID	Optional	NUMBER(15)	Identifies the concurrent request that invokes the transaction if it is part of a mass transaction.
AMORTIZATION_START_DATE	Optional	DATE	Amortization start date.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Defaults to CUSTOM

Argument	Required / Optional	Type	Value
DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Descriptive flexfield segments.
WHO_INFO	Required	STANDARD_WHO_REC_TYPE	Standard Who column.

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	Asset identification number.
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book name.

ASSET_RETIRE_REC_TYPE Asset Structure

The ASSET_RETIRE_REC_TYPE asset structure contains the public retirement information of a given asset when it is retired. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
RETIREMENT_ID	Required	NUMBER(15)	Retirement identification number. Optional OUT parameter.
PROCEEDS_OF_SALE	Required	NUMBER	Proceeds from the sale of the asset.
COST_OF_REMOVAL	Required	NUMBER	Cost of removing the asset.

Argument	Required / Optional	Type	Value
RETIREMENT_TYPE_CODE	Optional	VARCHAR2(15)	Retirement type.
RETIREMENT_PRORATE_CONVENTION	Required	VARCHAR2(10)	Prorate format of the retirement. For example, MID - MONTH.
SOLD_TO	Optional	VARCHAR2(30)	Buyer of the asset.
TRADE_IN_ASSET_ID	Optional	NUMBER(15)	Asset identification number of the new asset for which this asset was traded for.
REFERENCE_NUM	Optional	VARCHAR2(15)	Reference number.
DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Retirement descriptive flexfield information.
STL_METHOD_CODE	Optional		
STL_LIFE_IN_MONTHS	Optional		

Sample Script: Using the Retirement Details API

```
set serveroutput on;
declare
l_return_status VARCHAR2(100);
l_mesg_count NUMBER:= 0;
l_mesg VARCHAR2(4000);
l_trans_rec FA_API_TYPES.trans_rec_type;
l_asset_hdr_rec FA_API_TYPES.asset_hdr_rec_type;
l_asset_retire_rec FA_API_TYPES.asset_retire_rec_type;

begin

fnd_profile.put('PRINT_DEBUG', 'Y');

dbms_output.enable(1000000);

FA_SRVR_MSG.Init_Server_Message;
FA_DEBUG_PKG.Initialize;

-- Asset header info
l_asset_hdr_rec.asset_id := &asset_id;
l_asset_hdr_rec.book_type_code := '&book_type_code';

-- Retirement description info
l_asset_retire_rec.retirement_id := &retirement_id;
l_asset_retire_rec.cost_of_removal := &cost_of_removal;
l_asset_retire_rec.proceeds_of_sale := &proceeds_of_sale;
--l_asset_retire_rec.retirement_prorate_convention :=
'&retirement_prorate_convention';

FA_ASSET_DESC_PUB.update_retirement_desc(
p_api_version => 1.0,
p_init_msg_list => FND_API.G_FALSE,
p_commit => FND_API.G_FALSE,
p_validation_level => FND_API.G_VALID_LEVEL_FULL,
p_calling_fn => null,
x_return_status => l_return_status,
x_msg_count => l_mesg_count,
x_msg_data => l_mesg,
px_trans_rec => l_trans_rec,
px_asset_hdr_rec => l_asset_hdr_rec,
px_asset_retire_rec_new => l_asset_retire_rec);

--dump messages

dbms_output.put_line(l_return_status);
if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
fa_debug_pkg.dump_debug_messages(max_mesgs=>0);
l_mesg_count := fnd_msg_pub.count_msg;
if l_mesg_count > 0 then
l_mesg := substr(fnd_msg_pub.get(fnd_msg_pub.G_FIRST, fnd_api.G_FALSE),
1, 512);
dbms_output.put_line(substr(l_mesg,1, 255));
for i in 1..l_mesg_count - 1 loop
l_mesg := substr(fnd_msg_pub.get(fnd_msg_pub.G_NEXT, fnd_api.G_FALSE),
1, 512);
dbms_output.put_line(substr(l_mesg, 1, 255));
end loop;
fnd_msg_pub.delete_msg();
end if;
else
dbms_output.put_line('SUCCESS');
dbms_output.put_line('RETIREMENT_ID ' ||
```

```
to_char(l_asset_retire_rec.retirement_id));  
dbms_output.put_line('BOOK_TYPE_CODE ' ||  
l_asset_hdr_rec.book_type_code);  
end if;  
end;  
/
```

Oracle Assets Retirements and Reinstatements API

This appendix covers the following topics:

- Introduction
- Module: FA_RETIREMENT_PUB.DO_RETIREMENT ()
- Module: FA_RETIREMENT_PUB.UNDO_RETIREMENT ()
- Module: FA_RETIREMENT_PUB.DO_REINSTATEMENT ()
- Module: FA_RETIREMENT_PUB.UNDO_REINSTATEMENT ()
- Sample Scripts for Retirement, Reinstatement and Undo Transaction

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Retirement/Reinstatement APIs uses the FA_RETIREMENT_PUB.DO_RETIREMENT (), FA_RETIREMENT_PUB.UNDO_RETIREMENT (), FA_RETIREMENT_PUB.DO_REINSTATEMENT (), and FA_RETIREMENT_PUB.UNDO_REINSTATEMENT () modules. You can use this API if you have a custom interface that makes it difficult to use with the existing asset retirement interfaces in Oracle Assets.

Oracle Assets also allows you to retire and reinstate assets using any of the following methods:

- **Asset Workbench:** You use the Asset Workbench and the Retirements process to retire and reinstate individual assets.
- **Mass Retirements:** You use the Mass Retirements process to retire and reinstate groups of assets selected by ranges.
- **Mass External Retirements:** You use the Mass External Retirements process to

retire and reinstate groups of external assets selected by ranges.

- **Mass Copy:** Use the Mass Copy process to add existing assets to tax books.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

CIP Assets

If you have checked the Allow CIP Assets check box on the Book Controls window of a tax book, when you add CIP assets using the Additions API, the API automatically adds those CIP assets to that tax book at the same time that they are added to the corporate book.

Module: FA_RETIREMENT_PUB.DO_RETIREMENT ()

You call this API to perform retirement transactions, using the parameters for the API listed below.

Related Topics

Retirement API Description, page R-2

Sample Script: Full Retirement, page R-20

Retirement API Description

The Retirement API procedure is called: FA_RETIREMENT_PUB.DO_RETIREMENT ().

The following table provides the arguments, types, value, and descriptions of the elements of the FA_RETIREMENT_PUB.DO_RETIREMENT procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2(30)		Function calling the API

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2(1)	FND_API. G_RET_STS_ SUCCESS - Indicates a successful transaction. FND_API. G_RET_STS_ ERROR - Indicates a failed transaction. FND_API. G_RET_STS_ UNEXP_ERROR - Indicates an unexpected error.	Determines if the API is successful.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_DIST_TRANS_REC	FA_API_TYPES. DIST_TRANS_REC_ TYPE		Unique identifiers of the asset being added.
PX_ASSET_HDR_REC	FA_API_TYPES. ASSET_HDR_REC_ TYPE		Unique identifiers for the assets.
PX_ASSET_RETIRE_REC	FA_API_TYPES. ASSET_RETIRE_ REC_TYPE		
P_ASSET_DIST_TBL	FA_API_TYPES. ASSET_DIST_TBL_ TYPE		Distribution information of the asset. Required only for partial unit retirements.

Argument	Type	Value	Description
P_SUBCOMP_TBL	FA_API_TYPES. SUBCOMP_TBL_ TYPE		
P_INV_TBL	FA_API_TYPES. INV_TBL_TYPE		Invoices for the asset.

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_HEADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter
TRANSACTION_DATE_ENTERED	Optional	DATE	Defaults to the date placed in service.
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
MASS_REFERENCE_ID	Optional	NUMBER(15)	Identifies the concurrent request that invokes the transaction if it is part of a mass transaction.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Defaults to CUSTOM
WHO_INFO	Required	STANDARD_WHO_REC_TYPE	Standard Who column.

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	Asset identification number.
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book name.

ASSET_RETIRE_REC_TYPE Asset Structure

The ASSET_RETIRE_REC_TYPE asset structure contains the public retirement information of a given asset when it is retired. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
RETIREMENT_ID	Internal use only	NUMBER(15)	Retirement identification number. Optional OUT parameter.
RETIREMENT_PRORATE_CONVENTION	Required	VARCHAR2(10)	Prorate format of the retirement. For example, MID - MONTH.
DATE_RETIRED	Optional	DATE	Date when retirement occurred. Default is current period.
UNITS_RETIRED	Conditionally Required	NUMBER	Number of units retired. Either units_retired or cost_retired must be provided.

Argument	Required / Optional	Type	Value
COST_RETIRED	Conditionally Required	NUMBER	Cost retired. Either units_retired or cost_retired must be provided.
PROCEEDS_OF_SALE	Required	NUMBER	Proceeds from the sale of the asset.
COST_OF_REMOVAL	Required	NUMBER	Cost of removing the asset.
RETIREMENT_TYPE_CODE	Optional	VARCHAR2(15)	Retirement type.
TRADE_IN_ASSET_ID	Optional	NUMBER(15)	Asset identification number of the new asset for which this asset was traded for.
SOLD_TO	Optional	VARCHAR2(30)	Buyer of the asset.
REFERENCE_NUM	Optional	VARCHAR2(15)	Reference number.
CALCULATE_GAIN_LOSS	Optional	VARCHAR2(1)	Immediate calculation of gain/loss. (Either FND_API.G_TRUE or FND_API.G_FALSE.)
DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Retirement descriptive flexfield information.

Argument	Required / Optional	Type	Value
RESERVE_RETIRED	Optional	NUMBER	Reserve retired amount when retiring the member asset if the group asset does not have the CALCULATE tracking method, does not have Sum Member Asset Depreciation to Group option chosen, and if the Recognize Gain Loss option is set to YES.
EOFY_RESERVE	Optional	NUMBER	Reserve deducted from the end of fiscal year reserve amount. This is used to calculate the new depreciable basis for some of FLAT-NBV method.

ASSET_DIST_REC_TYPE Asset Structure

The ASSET_DIST_REC_TYPE asset structure contains information that represents a single source or destination distribution line. All the ASSET_DIST_REC_TYPE records comprising a single transfer transaction are contained in the ASSET_DIST_TBL table. At least one source line and at least one destination line are required for each transfer transaction. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
DISTRIBUTION_ID	Required	NUMBER(15)	Unique distribution identification number.
TRANSACTION_UN ITS	Required	NUMBER	Number of units involved in the transaction.

Argument	Required / Optional	Type	Value
TRANSACTION_HE ADER_ID	Internal use only.	NUMBER(15)	Optional OUT parameter
TRANSACTION_NA ME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
DESC_FLEX	Optional	DESC_FLEX_REC	This structure must be optionally populated for a partial unit retirement

Module: FA_RETIREMENT_PUB.UNDO_RETIREMENT ()

You call this API to undo previous retirement transactions, using the parameters for the API listed below.

Related Topics

Undo Retirement API Description, page R-9

Sample Script: Undo Retirement, page R-27

Undo Retirement API Description

The Undo Retirement API procedure is called: FA_RETIREMENT_PUB.UNDO_RETIREMENT ().

The following table provides the arguments, types, value, and descriptions of the elements of the FA_RETIREMENT_PUB.UNDO_RETIREMENT procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2(30)		Function calling the API

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2(1)	FND_API. G_RET_STS_ SUCCESS - Indicates a successful transaction. FND_API. G_RET_STS_ ERROR - Indicates a failed transaction. FND_API. G_RET_STS_ UNEXP_ERROR - Indicates an unexpected error.	Determines if the API is successful.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_REC	FA_API_TYPES. ASSET_HDR_REC_ TYPE		Unique identifiers for the assets.
PX_ASSET_RETIRE_ REC	FA_API_TYPES. ASSET_RETIRE_ REC_TYPE		

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
WHO_INFO	Required	STANDARD_who_rec_type	Standard Who column.

ASSET_RETIRE_REC_TYPE Asset Structure

The ASSET_RETIRE_REC_TYPE asset structure contains the public retirement information of a given asset when it is retired. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
RETIREMENT_ID	Required	NUMBER(15)	Retirement identification number. Required IN parameter.

Module: FA_RETIREMENT_PUB.DO_REINSTATEMENT ()

You call this API to perform reinstatement transactions, using the parameters for the API listed below.

Related Topics

Reinstatement API Description, page R-12

Sample Script: Reinstatement, page R-24

Reinstatement API Description

The Reinstatement API procedure is called: FA_RETIREMENT_PUB.DO_REINSTATEMENT ().

The following table provides the arguments, types, value, and descriptions of the elements of the FA_RETIREMENT_PUB.DO_REINSTATEMENT procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2(30)		Function calling the API

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2(1)	FND_API. G_RET_STS_ SUCCESS - Indicates a successful transaction. FND_API. G_RET_STS_ ERROR - Indicates a failed transaction. FND_API. G_RET_STS_ UNEXP_ERROR - Indicates an unexpected error.	Determines if the API is successful.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_RE C	FA_API_TYPES. ASSET_HDR_REC_ TYPE		Unique identifiers for the assets.
PX_ASSET_RETIRE_ REC	FA_API_TYPES. ASSET_RETIRE_ REC_TYPE		
P_ASSET_DIST_TBL	FA_API_TYPES. ASSET_DIST_TBL_ TYPE		Distribution information of the asset. Required for partial unit retirements.
P_SUBCOMP_TBL	FA_API_TYPES. SUBCOMP_TBL_ TYPE		

Argument	Type	Value	Description
P_INV_TBL	FA_API_TYPES. INV_TBL_TYPE		Invoices for the asset.

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_HEADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
MASS_REFERENCE_ID	Optional	NUMBER(15)	Identifies the concurrent request that invokes the transaction if it is part of a mass transaction.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Defaults to CUSTOM
WHO_INFO	Required	STANDARD_WHO_REC_TYPE	Standard Who column.
DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Descriptive flexfield segments.

ASSET_RETIRE_REC_TYPE Asset Structure

The ASSET_RETIRE_REC_TYPE asset structure contains the public retirement information of a given asset when it is retired. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
RETIREMENT_ID	Required	NUMBER(15)	Retirement identification number. Required IN parameter.

Module: FA_RETIREMENT_PUB.UNDO_REINSTATEMENT ()

You call this API to undo previous reinstatement transactions, using the parameters for the API listed below.

Related Topics

Undo Reinstatement API Description, page R-16

Sample Script: Undo Reinstatement, page R-29

Undo Reinstatement API Description

The Undo Reinstatement API procedure is called: FA_RETIREMENT_PUB.UNDO_REINSTATEMENT ().

The following table provides the arguments, types, value, and descriptions of the elements of the FA_RETIREMENT_PUB.UNDO_REINSTATEMENT procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Required	Version of the API in use.

Argument	Type	Value	Description
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2(30)		Function calling the API
X_RETURN_STATUS	VARCHAR2(1)	FND_API.G_RET_STS_SUCCESS - Indicates a successful transaction. FND_API.G_RET_STS_ERROR - Indicates a failed transaction. FND_API.G_RET_STS_UNEXP_ERROR - Indicates an unexpected error.	Determines if the API is successful.

Argument	Type	Value	Description
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_REC	FA_API_TYPES. ASSET_HDR_REC_TYPE		Unique identifiers for the assets.
PX_ASSET_RETIRE_REC	FA_API_TYPES. ASSET_RETIRE_REC_TYPE		

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
WHO_INFO	Required	STANDARD_WHO_REC	Standard Who column.

ASSET_RETIRE_REC_TYPE Asset Structure

The ASSET_RETIRE_REC_TYPE asset structure contains the public retirement information of a given asset when it is retired. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
RETIREMENT_ID	Required	NUMBER(15)	Retirement identification number. Required IN parameter.

Sample Scripts for Retirement, Reinstatement and Undo Transaction

This section lists sample driver scripts as examples for the following retirement-related transaction types:

- Full retirement, page R-20
- Partial unit retirement, page R-21
- Reinstatement, page R-24
- Undo retirement, page R-27
- Undo reinstatement, page R-29

Retirement_ID must be provided as a parameter for the following transactions:

- Reinstatement
- Undo retirement
- Undo reinstatement

Sample Script: Full Retirement

```
set serveroutput on;

declare

    l_trans_rec          FA_API_TYPES.trans_rec_type;
    l_dist_trans_rec     FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec      FA_API_TYPES.asset_hdr_rec_type;
    l_asset_retire_rec   FA_API_TYPES.asset_retire_rec_type;
    l_asset_dist_tbl     FA_API_TYPES.asset_dist_tbl_type;
    l_subcomp_tbl        FA_API_TYPES.subcomp_tbl_type;
    l_inv_tbl            FA_API_TYPES.inv_tbl_type;

    l_return_status      VARCHAR2(1);
    l_mesg_count         number;
    l_mesg               varchar2(4000);

begin

    dbms_output.enable(1000000);

    FA_SRVR_MSG.Init_Server_Message;

    -- Get standard who info
    l_asset_hdr_rec.asset_id          := &asset_id;
    l_asset_hdr_rec.book_type_code    := '&book_type_code';
    l_asset_retire_rec.cost_retired   := &CostRetired ;
    --l_asset_retire_rec.proceeds_of_sale := '&Proceeds';
    --l_asset_retire_rec.cost_of_removal := '&CostRemoval';
    --l_asset_retire_rec.retirement_type_code := '&RetirementType';
    l_asset_retire_rec.calculate_gain_loss := FND_API.G_FALSE;

    FA_RETIREMENT_PUB.do_retirement(
        -- std parameters
        p_api_version          => 1.0,
        p_init_msg_list        => FND_API.G_FALSE,
        p_commit               => FND_API.G_FALSE,
        p_validation_level     => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn           => NULL,
        x_return_status         => l_return_status,
        x_msg_count            => l_mesg_count,
        x_msg_data             => l_mesg,
        -- api parameters
        px_trans_rec           => l_trans_rec,
        px_dist_trans_rec      => l_dist_trans_rec,
        px_asset_hdr_rec       => l_asset_hdr_rec,
        px_asset_retire_rec    => l_asset_retire_rec,
        p_asset_dist_tbl       => l_asset_dist_tbl,
        p_subcomp_tbl          => l_subcomp_tbl,
        p_inv_tbl              => l_inv_tbl
    );

    --dump messages
    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then

        l_mesg := chr(10) || substr(fnd_msg_pub.get
                                   (fnd_msg_pub.G_FIRST, fnd_api.
                                   G_FALSE),
                                   1, 250);

        dbms_output.put_line(l_mesg);
    end if;
end;
```

```

        for i in 1..(l_mesg_count - 1) loop
            l_mesg :=
                substr(fnd_msg_pub.get
                    (fnd_msg_pub.G_NEXT,
                     fnd_api.G_FALSE), 1, 250);

            dbms_output.put_line(l_mesg);
        end loop;

        fnd_msg_pub.delete_msg();

    end if;

    if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
        dbms_output.put_line('FAILURE');
        rollback;
    else
        dbms_output.put_line('SUCCESS');
        dbms_output.put_line('RETIREMENT_ID' || to_char
            (l_asset_retire_rec.retirement_id));
    end if;

end;
/

```

Sample Script: Partial Unit Retirement

Partial unit retirement transaction requires API users to provide the API with which distributions of the asset to retire.

```

set serveroutput on;

declare
    l_trans_rec          FA_API_TYPES.trans_rec_type;
    l_dist_trans_rec     FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec      FA_API_TYPES.asset_hdr_rec_type;
    l_asset_retire_rec    FA_API_TYPES.asset_retire_rec_type;
    l_asset_dist_tbl     FA_API_TYPES.asset_dist_tbl_type;
    l_subcomp_tbl        FA_API_TYPES.subcomp_tbl_type;
    l_inv_tbl            FA_API_TYPES.inv_tbl_type;

    l_return_status      varchar2(1);
    l_mesg_count         number;
    l_mesg               varchar2(512);

begin
    dbms_output.enable(1000000);

    fa_srvr_msg.init_server_message;

    l_asset_hdr_rec.asset_id          := &asset_id;
    l_asset_hdr_rec.book_type_code    := '&book';
    l_asset_retire_rec.units_retired  :=
&total_units_to_retire;
    l_asset_retire_rec.calculate_gain_loss := FND_API.G_FALSE;

    l_asset_dist_tbl.delete;

    l_asset_dist_tbl(1).distribution_id := &dist_id;
    l_asset_dist_tbl(1).transaction_units :=
&Negative_units_to_retire_from_Distribution;
    l_asset_dist_tbl(1).units_assigned := null;
    l_asset_dist_tbl(1).assigned_to := null;
    l_asset_dist_tbl(1).expense_ccid := null;
    l_asset_dist_tbl(1).location_ccid := null;

    -- optionally load additional rows into dist table (2,3..)

    FA_RETIREMENT_PUB.do_retirement(
        -- std parameters
        p_api_version      => 1.0,
        p_init_msg_list    => FND_API.G_FALSE,
        p_commit           => FND_API.G_FALSE,
        p_validation_level  => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn       => NULL,
        x_return_status     => l_return_status,
        x_msg_count        => l_mesg_count,
        x_msg_data         => l_mesg,
        -- api parameters
        px_trans_rec       => l_trans_rec,
        px_dist_trans_rec  => l_dist_trans_rec,
        px_asset_hdr_rec   => l_asset_hdr_rec,
        px_asset_retire_rec => l_asset_retire_rec,
        p_asset_dist_tbl   => l_asset_dist_tbl,
        p_subcomp_tbl      => l_subcomp_tbl,
        p_inv_tbl          => l_inv_tbl
    );

    --dump messages
    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then
        l_mesg := chr(10) || substr(fnd_msg_pub.get

```

```

(fnd_msg_pub.G_FIRST, fnd_api.G_FALSE),
    1, 250);
dbms_output.put_line(l_mesg);
for i in 1..(l_mesg_count - 1) loop
    l_mesg :=
        substr(fnd_msg_pub.get
            (fnd_msg_pub.G_NEXT,
             fnd_api.G_FALSE), 1, 250);

    dbms_output.put_line(l_mesg);
end loop;

fnd_msg_pub.delete_msg();

end if;

if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
    dbms_output.put_line('FAILURE');
else
    dbms_output.put_line('SUCCESS');
    dbms_output.put_line('RETIREMENT_ID' || to_char
(l_asset_retire_rec.retirement_id));
end if;

end;
/

```

Sample Script: Reinstatement

```
set serveroutput on;

declare

api_error EXCEPTION;

-- Test asset info
l_retirement_id number := '&Retirement_id';
--l_asset_id number := '&AssetId';
--l_book_type_code varchar2(15) := '&Book';
l_user_id number := '&UserId';
-- USER_ID must properly be set to run calc gain-loss

-- define local record types
l_trans_rec FA_API_TYPES.trans_rec_type;
l_asset_hdr_rec FA_API_TYPES.asset_hdr_rec_type;
l_asset_retire_rec FA_API_TYPES.asset_retire_rec_type;
l_asset_dist_tbl FA_API_TYPES.asset_dist_tbl_type;
l_subcomp_tbl FA_API_TYPES.subcomp_tbl_type;
l_inv_tbl FA_API_TYPES.inv_tbl_type;

-- misc info
l_api_version number := 1;
l_init_msg_list varchar2(1) := FND_API.G_FALSE;
l_commit varchar2(1) := FND_API.G_TRUE;
l_validation_level number := FND_API.G_VALID_LEVEL_FULL;
l_calling_fn varchar2(80) := 'Retirement test wrapper';
l_return_status varchar2(1) := FND_API.G_FALSE;
l_msg_count number := 0;
l_msg_data varchar2(512);

l_count number;
l_request_id number;

i number := 0;

temp_str varchar2(512);
mesg_count number;

begin

dbms_output.disable;
dbms_output.enable(1000000);
dbms_output.put_line('begin');
fa_srvr_msg.init_server_message;
fa_debug_pkg.set_debug_flag(debug_flag => 'YES');

-- Set rollback segment if profile option is set
-- fnd_profile.get('FA_LARGE_ROLLBACK_SEGMENT', rbs_name);
--IF (rbs_name is not NULL) THEN
--sql_stmt := 'SET TRANSACTION USE ROLLBACK SEGMENT ' || rbs_name;
--execute immediate sql_stmt;
-- END IF;

-- Get standard who info
l_request_id := fnd_global.conc_request_id;
fnd_profile.get('LOGIN_ID', l_trans_rec.who_info.last_update_login);
fnd_profile.get('USER_ID', l_trans_rec.who_info.last_updated_by);
if (l_trans_rec.who_info.last_updated_by is null) then
l_trans_rec.who_info.last_updated_by := -1;
end if;
if (l_trans_rec.who_info.last_update_login is null) then
```



```

l_trans_rec.who_info.last_update_login := -1;
end if;

l_trans_rec.who_info.last_update_date := sysdate;
l_trans_rec.who_info.creation_date := l_trans_rec.who_info.
last_update_date;
l_trans_rec.who_info.created_by := l_trans_rec.who_info.
last_updated_by;

l_trans_rec.transaction_type_code := NULL; -- this will be determined
inside API
l_trans_rec.transaction_date_entered := NULL;

--l_asset_hdr_rec.asset_id := l_asset_id;
--l_asset_hdr_rec.book_type_code := l_book_type_code;
--l_asset_hdr_rec.period_of_addition := NULL;
--l_asset_retire_rec.date_retired := NULL; -- will be current period by
default
--l_asset_retire_rec.units_retired := NULL;
l_asset_retire_rec.calculate_gain_loss := FND_API.G_FALSE;
l_asset_retire_rec.retirement_id := l_retirement_id;

fnd_profile.put('USER_ID', l_user_id);

l_asset_dist_tbl.delete;

--l_asset_dist_tbl(1).distribution_id := '&DistId';
--l_asset_dist_tbl(1).transaction_units := '&#-Units';
--l_asset_dist_tbl(1).units_assigned := null;
--l_asset_dist_tbl(1).assigned_to := null;
--l_asset_dist_tbl(1).expense_ccid := null;
--l_asset_dist_tbl(1).location_ccid := null;

FA_RETIREMENT_PUB.do_reinstatement
(p_api_version => l_api_version
,p_init_msg_list => l_init_msg_list
,p_commit => l_commit
,p_validation_level => l_validation_level
,p_calling_fn => l_calling_fn
,x_return_status => l_return_status
,x_msg_count => l_msg_count
,x_msg_data => l_msg_data
,px_trans_rec => l_trans_rec
,px_asset_hdr_rec => l_asset_hdr_rec
,px_asset_retire_rec => l_asset_retire_rec
,p_asset_dist_tbl => l_asset_dist_tbl
,p_subcomp_tbl => l_subcomp_tbl
,p_inv_tbl => l_inv_tbl);

if l_return_status = FND_API.G_FALSE then
raise api_error;
end if;

commit;

-- Dump Debug messages when run in debug mode to log file
if (fa_debug_pkg.print_debug) then
fa_debug_pkg.Write_Debug_Log;
end if;

fa_srvr_msg.add_message(
calling_fn => l_calling_fn,
name => 'FA_SHARED_END_SUCCESS',
token1 => 'PROGRAM',
value1 => 'RETIREMENT_API');

```

```

mesg_count := fnd_msg_pub.count_msg;

if (mesg_count > 0) then
temp_str := fnd_msg_pub.get(fnd_msg_pub.G_FIRST, fnd_api.G_FALSE);
dbms_output.put_line('dump: ' || temp_str);

for I in 1..(mesg_count -1) loop
temp_str := fnd_msg_pub.get(fnd_msg_pub.G_NEXT, fnd_api.G_FALSE);
dbms_output.put_line('dump: ' || temp_str);
end loop;
else
dbms_output.put_line('dump: NO MESSAGE !');
end if;

exception
when api_error then
ROLLBACK WORK;

fa_srvr_msg.add_message(
calling_fn => l_calling_fn,
name => 'FA_SHARED_PROGRAM_FAILED',
token1 => 'PROGRAM',
value1 => l_calling_fn);

mesg_count := fnd_msg_pub.count_msg;
if (mesg_count > 0) then
temp_str := fnd_msg_pub.get(fnd_msg_pub.G_FIRST, fnd_api.G_FALSE);
dbms_output.put_line('dump: ' || temp_str);

for I in 1..(mesg_count -1) loop
temp_str := fnd_msg_pub.get(fnd_msg_pub.G_NEXT, fnd_api.G_FALSE);
dbms_output.put_line('dump: ' || temp_str);
end loop;
else
dbms_output.put_line('dump: NO MESSAGE !');
end if;

end;

```

Sample Script: Undo Retirement

```
set serveroutput on;

declare

    /* define local record types */
    l_trans_rec          FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec      FA_API_TYPES.asset_hdr_rec_type;
    l_asset_retire_rec   FA_API_TYPES.asset_retire_rec_type;
    l_asset_dist_tbl     FA_API_TYPES.asset_dist_tbl_type;
    l_subcomp_tbl        FA_API_TYPES.subcomp_tbl_type;
    l_inv_tbl            FA_API_TYPES.inv_tbl_type;

    l_return_status      varchar2(1) := FND_API.G_FALSE;
    l_mesg_count         number := 0;
    l_mesg               varchar2(512);

begin

    dbms_output.enable(1000000);

    fa_srvr_msg.init_server_message;

    l_asset_retire_rec.retirement_id := &retirement_id;

    FA_RETIREMENT_PUB.undo_retirement(
        -- std parameters
        p_api_version          => 1.0,
        p_init_msg_list        => FND_API.G_FALSE,
        p_commit               => FND_API.G_FALSE,
        p_validation_level     => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn           => null,
        x_return_status         => l_return_status,
        x_mesg_count           => l_mesg_count,
        x_mesg_data            => l_mesg,
        -- api parameters
        px_trans_rec           => l_trans_rec,
        px_asset_hdr_rec       => l_asset_hdr_rec,
        px_asset_retire_rec    => l_asset_retire_rec
    );

    --dump messages
    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then

        l_mesg := chr(10) || substr(fnd_msg_pub.get
                                   (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE),
                                   1, 250);
        dbms_output.put_line(l_mesg);

        for i in 1..(l_mesg_count - 1) loop
            l_mesg :=
                substr(fnd_msg_pub.get
                      (fnd_msg_pub.G_NEXT,
                     fnd_api.G_FALSE), 1, 250);

            dbms_output.put_line(l_mesg);
        end loop;

        fnd_msg_pub.delete_msg();
    end if;
```

```
end if;

    if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
        dbms_output.put_line('FAILURE');
    else
        dbms_output.put_line('SUCCESS');
        dbms_output.put_line('RETIREMENT_ID' || to_char(l_asset_retire_rec.
retirement_id));
    end if;

end;
/
```

Sample Script: Undo Reinstatement

```
set serveroutput on;

declare

    l_trans_rec          FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec      FA_API_TYPES.asset_hdr_rec_type;
    l_asset_retire_rec   FA_API_TYPES.asset_retire_rec_type;
    l_asset_dist_tbl     FA_API_TYPES.asset_dist_tbl_type;
    l_subcomp_tbl        FA_API_TYPES.subcomp_tbl_type;
    l_inv_tbl            FA_API_TYPES.inv_tbl_type;

    l_return_status      varchar2(1) := FND_API.G_FALSE;
    l_mesg_count         number := 0;
    l_mesg               varchar2(512);

begin

    dbms_output.enable(1000000);

    fa_srvr_msg.init_server_message;

    l_asset_retire_rec.retirement_id := &retirement_id;

    FA_RETIREMENT_PUB.undo_reinstatement(
        -- std parameters
        p_api_version      => 1.0,
        p_init_msg_list    => FND_API.G_FALSE,
        p_commit           => FND_API.G_FALSE,
        p_validation_level => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn       => null,
        x_return_status    => l_return_status,
        x_msg_count        => l_mesg_count,
        x_msg_data         => l_mesg,
        -- api parameters
        px_trans_rec       => l_trans_rec,
        px_asset_hdr_rec   => l_asset_hdr_rec,
        px_asset_retire_rec => l_asset_retire_rec
    );

    --dump messages
    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then

        l_mesg := chr(10) || substr(fnd_msg_pub.get
                                   (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE),
                                   1, 250);
        dbms_output.put_line(l_mesg);

        for i in 1..(l_mesg_count - 1) loop
            l_mesg :=
                substr(fnd_msg_pub.get
                      (fnd_msg_pub.G_NEXT,
fnd_api.G_FALSE), 1, 250);

            dbms_output.put_line(l_mesg);
        end loop;

        fnd_msg_pub.delete_msg();
    end if;
end;
```

```
end if;

    if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
        dbms_output.put_line('FAILURE');
    else
        dbms_output.put_line('SUCCESS');
        dbms_output.put_line('RETIREMENT_ID' || to_char(l_asset_retire_rec.
retirement_id));
    end if;

end;
/
```

Oracle Assets Revaluations API

This appendix covers the following topics:

- Introduction
- Revaluations API Description
- Sample Script: Using the Revaluation API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. You can use the Revaluations API to revalue an asset may arise due to various reasons such as fixing or correcting data-entry errors or as part of maintenance of an asset. The Revaluations API allows you to adjust the value of CIP as well as capitalized assets in a highly inflationary economy.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

Revaluations API Description, page S-1

Sample Script: Using the Revaluation API, page S-6

Revaluations API Description

The Revaluations API procedure is called: `FA_REVALUATION_PUB.DO_REVAL ()`.

The following table provides the arguments, types, value, and descriptions of the

elements of the FA_REVALUATION_PUB.DO_REVAL () procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2(1)	FND_API. G_RET_STS_ SUCCESS - Indicates a successful transaction. FND_API. G_RET_STS_ ERROR - Indicates a failed transaction. FND_API. G_RET_STS_ UNEXP_ERROR - Indicates an unexpected error.	Determines if the API is successful.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
P_CALLING_FN	VARCHAR2(30)		Function calling the API
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_RE C	FA_API_TYPES. ASSET_HDR_REC_ TYPE		Unique identifiers for the assets.
PX_ASSET_RETIRE_ REC_NEW	FA_API_TYPES. ASSET_RETIRE_REC_ _TYPE		

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_HEADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter
TRANSACTION_DATE_ENTERED	Optional	DATE	Populate if you are doing a previous period unit adjustment, else do nothing or set it to null. Defaults to the current period.
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
MASS_REFERENCE_ID	Optional	NUMBER(15)	Identifies the concurrent request that invokes the transaction if it is part of a mass transaction.
AMORTIZATION_START_DATE	Optional	DATE	Amortization start date.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Defaults to CUSTOM
DESC_FLEX	Optional	DESC_FLEX_RECORD_TYPE	Descriptive flexfield segments.
WHO_INFO	Required	STANDARD_WHO_RECORD_TYPE	Standard Who columns.

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	Asset identification number.
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book name.

ASSET_REVAL_OPTIONS_REC Revaluation Structure

The ASSET_REVAL_OPTIONS_REC revaluation structure contains revaluation information for a given asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
REVAL_PERCENT	Required		
RUN_MODE	Required		Preview or Run
OVERRIDE_DEFAULTS_FLAG	Optional		Yes or No
REVAL_FULLY_RSVD_FLAG	Optional		Yes or No
LIFE_EXTENSION_FACTOR	Optional		
LIFE_EXTENSION_CILING	Optional		
MAX_FULLY_RSVD_REVALS	Optional		

Sample Script: Using the Revaluation API

```
set serveroutput on

declare

    l_trans_rec                FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec            FA_API_TYPES.asset_hdr_rec_type;
    l_reval_options_rec        FA_API_TYPES.reval_options_rec_type;

    l_return_status            VARCHAR2(1);
    l_mesg_count               number := 0;
    l_mesg_len                number;
    l_mesg                     varchar2(4000);

begin

    fnd_profile.put('PRINT_DEBUG', 'Y');
    dbms_output.enable(1000000);

    FA_SRVR_MSG.Init_Server_Message;
    FA_DEBUG_PKG.Initialize;

    -- asset header info
    l_asset_hdr_rec.asset_id    := &asset_id;
    l_asset_hdr_rec.book_type_code := '&book';
    -- l_trans_rec.transaction_date_entered := sysdate;

    -- reval info
    l_reval_options_rec.reval_percent := &reval_percent;
    l_reval_options_rec.run_mode      := '&run_mode';
    -- fully reserved assets
    -- l_reval_options_rec.reval_fully_rsvd_flag      := 'Y';

    FA_REVALUATION_PUB.do_reval
    (p_api_version              => 1.0,
     p_init_msg_list            => FND_API.G_FALSE,
     p_commit                   => FND_API.G_TRUE,
     p_validation_level         => FND_API.G_VALID_LEVEL_FULL,
     x_return_status            => l_return_status,
     x_msg_count                => l_mesg_count,
     x_msg_data                 => l_mesg,
     p_calling_fn               => null,
     px_trans_rec               => l_trans_rec,
     px_asset_hdr_rec           => l_asset_hdr_rec,
     p_reval_options_rec        => l_reval_options_rec
    );

    dbms_output.put_line(l_return_status);

    if (fa_cache_pkg.fa_print_debug) then
        fa_debug_pkg.dump_debug_messages(max_mesgs => 0);
    end if;

    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then

        l_mesg := chr(10) || substr(fnd_msg_pub.get
                                   (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE),
                                   1, 512);
        dbms_output.put_line(l_mesg);
    end if;
```

```

for i in 1..(l_mesg_count - 1) loop
    l_mesg :=
        substr(fnd_msg_pub.get
            (fnd_msg_pub.G_NEXT,
             fnd_api.G_FALSE), 1, 512);

    dbms_output.put_line(l_mesg);
end loop;

fnd_msg_pub.delete_msg();

end if;

if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
    dbms_output.put_line('FAILURE');
else
    dbms_output.put_line('SUCCESS');
    dbms_output.put_line('THID' || to_char(l_trans_rec.
transaction_header_id));
    dbms_output.put_line('ASSET_ID' || to_char(l_asset_hdr_rec.
asset_id));
end if;

end;
/

```

Oracle Assets Rollback Depreciation API

This appendix covers the following topics:

- Introduction
- Rollback Depreciation API Description
- Sample Script: Using the Depreciation Rollback API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Rollback Depreciation API restores assets to their state prior to running depreciation. The Rollback Depreciation API is called internally when there is a need to rollback depreciation if you have outstanding adjustments or transaction that you need to process for a period for which depreciation has run. However, in some cases you can manually rollback or rerun a depreciation due to a direct change in the embedded formula. Additionally, Subledger Accounting inter-product dependencies insure a need to for tighter integration during rollback of depreciation and the overhead in event processing and accounting impacts due to a blind rollback are expensive and should be avoided if possible.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

Rollback Depreciation API Description, page T-2

Sample Script: Using the Depreciation Rollback API, page T-5

Rollback Depreciation API Description

The Rollback Depreciation API procedure is called the FA_DEPRN_ROLLBACK_PUB.DO_ROLLBACK () procedure. The following table provides the arguments, types, value, and descriptions of the elements of the FA_DEPRN_ROLLBACK_PUB.DO_ROLLBACK () procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MESG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2(1)	FND_API. G_RET_STS_ SUCCESS - Indicates a successful transaction. FND_API. G_RET_STS_ ERROR - Indicates a failed transaction. FND_API. G_RET_STS_ UNEXP_ERROR - Indicates an unexpected error.	Determines if the API is successful.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
P_CALLING_FN	VARCHAR2(30)		Function calling the API
P_CALLING_FN	VARCHAR2(30)		Function calling the API
PX_ASSET_HDR_RE C	FA_API_TYPES. ASSET_HDR_REC_T YPE		Unique identifiers for the assets.

ASSET_HDR_REC Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	Optional OUT parameter

Argument	Required / Optional	Type	Value
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book name.

Sample Script: Using the Depreciation Rollback API

```
set serveroutput on

declare

    l_asset_hdr_rec          fa_api_types.asset_hdr_rec_type;

    l_return_status          VARCHAR2(1);
    l_mesg_count             number;
    l_mesg                   varchar2(4000);

begin

    dbms_output.enable(1000000);

    FA_SRVR_MSG.Init_Server_Message;

    -- asset header info
    l_asset_hdr_rec.asset_id      := &asset_id
    l_asset_hdr_rec.book_type_code := '&book';

    --call the api
    FA_DEPRN_ROLLBACK_PUB.do_rollback
    (p_api_version              => 1.0,
     p_init_msg_list            => FND_API.G_FALSE,
     p_commit                   => FND_API.G_FALSE,
     p_validation_level         => FND_API.G_VALID_LEVEL_FULL,
     p_calling_fn               => null,
     x_return_status            => l_return_status,
     x_msg_count                => l_mesg_count,
     x_msg_data                 => l_mesg,
     px_asset_hdr_rec           => l_asset_hdr_rec);

    --dump messages
    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then

        l_mesg := chr(10) || substr(fnd_msg_pub.get
                                   (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE),
                                   1, 250);
        dbms_output.put_line(l_mesg);

        for i in 1..(l_mesg_count - 1) loop
            l_mesg :=
                substr(fnd_msg_pub.get
                      (fnd_msg_pub.G_NEXT,
fnd_api.G_FALSE), 1, 250);

            dbms_output.put_line(l_mesg);
        end loop;

        fnd_msg_pub.delete_msg();

    end if;

    if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
        dbms_output.put_line('FAILURE');
    else
        dbms_output.put_line('SUCCESS');
    end if;
```

```
end;  
/
```

Oracle Assets Tax Reserve Adjustment API

This appendix covers the following topics:

- Introduction
- Tax Reserve Adjustment API Description
- Sample Script: Using the Tax Reserve Adjustment API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. You can use the Tax Reserve Adjustment API interfaces for adjusting attributes of a single asset. Oracle Assets also allows you to adjust assets using any of the following methods:

- **Manual Adjustments:** You use the Reserve Adjustment form in the Tax Workbench to adjust individual assets.
- **Mass Depreciations Adjustments:** You use the Mass Depreciations Adjustments program to adjust groups of assets selected by ranges.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

Tax Reserve Adjustment API Description, page U-2

Sample Script: Using the Tax Reserve Adjustment API, page U-6

Tax Reserve Adjustment API Description

The Tax Reserve Adjustment API procedure is called: FA_TAX_RSV_ADJ_PUB.DO_TAX_RSV_ADJ ().

The following table provides the arguments, types, value, and descriptions of the elements of the FA_TAX_RSV_ADJ_PUB.DO_TAX_RSV_ADJ () procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.

Argument	Type	Value	Description
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
X_RETURN_STATUS	VARCHAR2(1)	FND_API.G_RET_STS_SUCCESS - Indicates a successful transaction. FND_API.G_RET_STS_ERROR - Indicates a failed transaction. FND_API.G_RET_STS_UNEXP_ERROR - Indicates an unexpected error.	Determines if the API is successful.
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack.
P_CALLING_FN	VARCHAR2(30)		Function calling the API
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_REC	FA_API_TYPES. ASSET_HDR_REC_TYPE		Unique identifiers for the assets.

Argument	Type	Value	Description
P_ASSET_TAX_RSV_ ADJ_REC	FA_API_TYPES. ASSET_TAX_RSV_A DJ_REC_TYPE		

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_HE ADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter
TRANSACTION_NA ME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
MASS_REFERENCE_ ID	Optional	NUMBER(15)	Identifies the concurrent request that invokes the transaction if it is part of a mass transaction.
CALLING_INTERFA CE	Optional	VARCHAR2(30)	Defaults to CUSTOM
DESC_FLEX	Optional	DESC_FLEX_REC_TY PE	Descriptive flexfield segments.
WHO_INFO	Required	STANDARD_WHO_ REC_TYPE	Standard Who column.

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows

type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	Asset identification number.
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book name.

ASSET_TAX_RSV_ADJ_REC Adjustment Structure

The ASSET_TAX_RSV_ADJ_REC adjustment structure contains information for which an asset given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
FISCAL_YEAR	Required	NUMBER(4)	Fiscal year for which reserve adjustment is required.
ADJUSTED_YTD_DE PRN	Required	Date	Delta reserve amount for which adjustment is required.

Sample Script: Using the Tax Reserve Adjustment API

```
set serveroutput on size 999999

declare
l_TRANS_REC          FA_API_TYPES.TRANS_REC_TYPE;
l_ASSET_HDR_REC      FA_API_TYPES.ASSET_HDR_REC_TYPE;
l_ASSET_TAX_RSV_ADJ_REC FA_API_TYPES.ASSET_TAX_RSV_ADJ_REC_TYPE;

l_return_status      VARCHAR2(1);
l_mesg_count         number;
l_mesg               varchar2(4000);

Begin

dbms_output.enable(1000000);

FA_SRVR_MSG.Init_Server_Message;

l_TRANS_REC.TRANSACTION_TYPE_CODE      := 'TAX';
l_TRANS_REC.TRANSACTION_DATE_ENTERED   := sysdate;
l_ASSET_HDR_REC.ASSET_ID                := &asset_id;
l_ASSET_HDR_REC.BOOK_TYPE_CODE          := '&book_type_code';
l_ASSET_TAX_RSV_ADJ_REC.FISCAL_YEAR     := &fiscal_year;
l_ASSET_TAX_RSV_ADJ_REC.adjusted_ytd_deprn := &delta_reserve; --Delta
amount the YTD should be increased or decreased with this run for the
fiscal Year
l_ASSET_TAX_RSV_ADJ_REC.run_mode        := 'RUN';

FA_TAX_RSV_ADJ_PUB.do_tax_rsv_adj(
-- std parameters
p_api_version      => 1.0,
p_init_msg_list    => FND_API.G_FALSE,
p_commit           => FND_API.G_FALSE,
p_validation_level => FND_API.G_VALID_LEVEL_FULL,
p_calling_fn       => NULL,
x_return_status    => l_return_status,
x_msg_count        => l_mesg_count,
x_msg_data         => l_mesg,
-- api parameters
PX_TRANS_REC       => l_TRANS_REC,
PX_ASSET_HDR_REC   => l_ASSET_HDR_REC,
P_ASSET_TAX_RSV_ADJ_REC => l_ASSET_TAX_RSV_ADJ_REC);

--dump messages
l_mesg_count := fnd_msg_pub.count_msg;
if l_mesg_count > 0 then
    l_mesg := chr(10) || substr(fnd_msg_pub.get
(fnd_msg_pub.G_FIRST, fnd_api.G_FALSE), 1, 250);

    dbms_output.put_line(l_mesg);
    for i in 1..(l_mesg_count - 1) loop
        l_mesg := substr(fnd_msg_pub.get
(fnd_msg_pub.G_NEXT,
fnd_api.G_FALSE), 1, 250);

        dbms_output.put_line(l_mesg);
    end loop;

    fnd_msg_pub.delete_msg();

end if;

if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
```

```

dbms_output.put_line('FAILURE');
else
  dbms_output.put_line('SUCCESS');
  dbms_output.put_line('THID' ||
                        to_char(l_TRANS_REC.TRANSACTION_HEADER_ID));
end if;
End;
/

```

Oracle Assets Transfers API

This appendix covers the following topics:

- Introduction
- Transfers API Description
- Transfer API Usage
- Sample Script: Using the Transfer API to Transfer Units

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Transfer API uses the FA_TRANSFER_PUB.DO_TRANSFER procedure. You can use this API if you have a custom interface that makes it difficult to use with the existing asset transfer interfaces in Oracle Assets.

Oracle Assets also allows you to transfer assets using any of the following methods:

- **Asset Workbench:** You use the Asset Workbench process to manually transfer individual assets.
- **Mass Transfer:** You use the Mass Transfer process to transfer groups of assets selected by ranges.

Major Features

The Transfer API provides the following functionality:

Tax Book

The Transfer API automatically transfers assets in all the tax books that are associated with the corporate book where the transfer transaction originated.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

Transfer API Description, page V-2

Sample Script: Using the Transfer API to Transfer Units, page V-6

Transfers API Description

The Transfer API procedure is called: FA_TRANSFER_PUB.DO_TRANSFER ().

The following table provides the arguments, types, value, and descriptions of the elements of the FA_TRANSFER_PUB.DO_TRANSFER procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.
P_INIT_MSG_LIST	VARCHAR2(1)	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.

Argument	Type	Value	Description
P_COMMIT	VARCHAR2(1)	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2(30)		Function calling the API
X_RETURN_STATUS	VARCHAR2(1)	FND_API.G_RET_STS_SUCCESS - Indicates a successful transfer. FND_API.G_RET_STS_ERROR - transfer failed. FND_API.G_RET_STS_UNEXP_ERROR - Unexpected error	Determines if the API is successful.
X_MSG_COUNT	NUMBER		Number of messages on the message stack. Returns number of messages added onto the message stack.
X_MSG_DATA	VARCHAR2(1024)		Message stack. Returns top most message on the message stack.

Argument	Type	Value	Description
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place. Transaction information provided by the user.
PX_ASSET_HDR_REC C	FA_API_TYPES. ASSET_HDR_REC_ TYPE		Asset information provided by user. Unique identifiers for the assets.
PX_ASSET_DIST_TB L	FA_API_TYPES. ASSET_DIST_TBL		Distribution information of the asset.

Transfer API Usage

This section details how to call the API and how to populate parameter structures required by the API. Sample scripts are also included at the end of this document to show you how this can be called in PL/SQL.

There are three structures that need to be populated before calling the API.

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_DA TE_ENTERED	Optional	DATE	Populate if you are doing a previous period transfer, otherwise do nothing or set it to null. Defaults to the current period.

Argument	Required / Optional	Type	Value
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Descriptive flexfield segments.
WHO_INFO	Required	STANDARD_WHO_REC_TYPE	Standard Who columns.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Defaults to CUSTOM
TRANSACTION_HEADER_ID	Internal use only	NUMBER(15)	Optional OUT parameter

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	The asset ID
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book name

ASSET_DIST_REC_TYPE Asset Structure

The ASSET_DIST_REC_TYPE asset structure contains information that represents a single source or destination distribution line. All the ASSET_DIST_REC_TYPE records comprising a single transfer transaction are contained in the ASSET_DIST_TBL table. At least one source line and at least one destination line are required for each transfer transaction. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
DISTRIBUTION_ID	Required if row is source distribution	NUMBER(15)	Unique distribution identification number.
TRANSACTION_UNITS	Required	NUMBER	Number of units involved in the transaction.
ASSIGNED_TO	Optional	NUMBER(15)	Employee identification number.
EXPENSE_CCID	Required if row is destination distribution	NUMBER(15)	Depreciation expense account identification number.
LOCATION_CCID	Required if row is destination distribution	NUMBER(15)	Location flexfield identification number.

Sample Script: Using the Transfer API to Transfer Units

The following example shows how to use Transfer API for transfer transaction. The example shows transfer of two units from an existing distribution of two new distributions, each having one unit.

```

set serveroutput on;

declare
    l_trans_rec          fa_api_types.trans_rec_type;
    l_asset_hdr_rec      fa_api_types.asset_hdr_rec_type;
    l_asset_dist_tbl     fa_api_types.asset_dist_tbl_type;

    l_return_status      VARCHAR2(1);
    l_mesg_count         number;
    l_mesg               varchar2(512);

begin
    dbms_output.enable(1000000);

    fa_srvr_msg.init_server_message;

    -- fill in asset information
    l_asset_hdr_rec.asset_id      := &asset_id;
    l_asset_hdr_rec.book_type_code := '&book';

    -- fill in distribution data for existing distribution lines
    -- affected by this transfer txn. Note: You need to fill in
    -- only affected distribution lines.
    --
    -- For source distribution, you must fill in either existing
    -- distribution id or 2 columns(expense_ccid, location_ccid) or
    -- 3-tuple columns(assigned_to, expense_ccid, and location_ccid)
    -- depending on the makeup of the particular distribution
    -- of the asset.

    l_asset_dist_tbl(1).transaction_units := &trx_unit;

    -- Source
    -- Option A - known dist id
    l_asset_dist_tbl(1).distribution_id := &existing_dist_id;

    -- or
    -- Option B - known dist attributes
    l_asset_dist_tbl(1).assigned_to := &existing_assigned_to;
    l_asset_dist_tbl(1).expense_ccid := &existing_expense_ccid;
    l_asset_dist_tbl(1).location_ccid := &existing_location_id;

    -- Destination
    -- fill in dist info for one or more destination distribution (start
with 2..(3,4,...))
    l_asset_dist_tbl(2).transaction_units := &trx_units2;
    l_asset_dist_tbl(2).assigned_to := &new_assigned_to;
    l_asset_dist_tbl(2).expense_ccid := &new_expense_ccid;
    l_asset_dist_tbl(2).location_ccid := &new_location_id;

    FA_TRANSFER_PUB.do_transfer(
        -- std parameters
        p_api_version      => 1.0,
        p_init_msg_list    => FND_API.G_FALSE,
        p_commit           => FND_API.G_FALSE,
        p_validation_level => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn       => NULL,
        x_return_status     => l_return_status,
        x_msg_count        => l_mesg_count,
        x_msg_data         => l_mesg,
        -- api parameters
        px_trans_rec       => l_trans_rec,
        px_asset_hdr_rec   => l_asset_hdr_rec,

```

```

px_asset_dist_tbl => l_asset_dist_tbl);

--dump messages
l_mesg_count := fnd_msg_pub.count_msg;

if l_mesg_count > 0 then
    l_mesg := chr(10) || substr(fnd_msg_pub.get
                                (fnd_msg_pub.G_FIRST, fnd_api.
G_FALSE),
                                1, 250);
    dbms_output.put_line(l_mesg);

    for i in 1..(l_mesg_count - 1) loop
        l_mesg :=
            substr(fnd_msg_pub.get
                    (fnd_msg_pub.G_NEXT,
                    fnd_api.G_FALSE), 1, 250);

        dbms_output.put_line(l_mesg);
    end loop;

    fnd_msg_pub.delete_msg();

end if;

if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then
    dbms_output.put_line('FAILURE');
else
    dbms_output.put_line('SUCCESS');
    dbms_output.put_line('THID' || to_char(l_trans_rec.
transaction_header_id));
end if;

end;
/

```

Oracle Assets Unit Adjustments API

This appendix covers the following topics:

- Introduction
- Shared Framework
- Unit Adjustment API Description
- Sample Script: Using the Unit Adjustment API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Unit Adjustment API uses the `FA_UNIT_ADJ_PUB.DO_UNIT_ADJUSTMENT()` procedure. You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets.

Major Features

The Unit Adjustment API provides the following functionality:

Tax Book

The Unit Adjustment API automatically adjusts assets in all the tax books that are associated with the corporate book where the unit adjustment transaction originated.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

Unit Adjustment API Description, page W-2

Sample Script: Using the Unit Adjustment API, page W-7

Shared Framework

All transaction APIs use a basic shared framework to simplify the understanding of how the APIs work and to minimize redundancy in coding. In Unit Adjustment API, the common structures used include the following:

- TRANS_REC_TYPE
- ASSET_HDR_REC_TYPE
- ASSET_DIST_TBL_TYPE (table of ASSET_DIST_REC_TYPE)

See Common Structures, page F-2 for description of shared framework and definition of structures listed above.

Unit Adjustment API Description

You must call the FA_UNIT_ADJ_PUB.DO_UNIT_ADJUSTMENT () API to perform adjustment transactions. The following table provides the arguments, types, value, and descriptions of the elements in the FA_UNIT_ADJ_PUB.DO_UNIT_ADJUSTMENT procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Version of the API in use.

Argument	Type	Value	Description
P_INIT_MSG_LIST	VARCHAR2	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2		Function calling the API
X_RETURN_STATUS	VARCHAR2	FND_API.G_RET_STS_SUCCESS - Indicates a successful transaction. FND_API.G_RET_STS_ERROR - Indicates a failed transaction. FND_API.G_RET_STS_UNEXP_ERROR - Indicates an unexpected error.	Determines if the API is successful.

Argument	Type	Value	Description
X_MSG_COUNT	NUMBER		Number of messages on the message stack.
X_MSG_DATA	FA_API_TYPES. MSG_REC_TYPE		The part of the API that stores messages to be passed to the user.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_REC	FA_API_TYPES. ASSET_HDR_REC_TYPE		Unique identifiers for the assets.
PX_ASSET_DIST_TBL	FA_API_TYPES. ASSET_DIST_TBL_TYPE		Distribution information of the asset.

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
TRANSACTION_DATE_ENTERED	Optional	DATE	Populate if you are doing previous period unit adjustment, else do nothing or set it to null. Defaults to current period.
TRANSACTION_NAME	Optional	VARCHAR2(20)	Enter comments for this transaction.
DESC_FLEX	Optional	DESC_FLEX_REC	Enter descriptive flexfield information.

Argument	Required / Optional	Type	Value
WHO_INFO	Optional	STANDARD_WHO_REC_TYPE	Defaults to the following values: LAST_UPDATE_DATE - SYSDATE LAST_UPDATED_BY - FND_GLOBAL.USER_ID CREATED_BY - FND_GLOBAL.USER_ID LAST_UPDATE_LOGIN - FND_GLOBAL.LOGIN_ID
CALLING_INTERFACE	Optional	VARCHAR2(30)	Enter the interface name that calls the API. Defaults to CUSTOM.
TRANSACTION_HEADER_ID	Optional	NUMBER(15)	

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	Asset ID.
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book type code.

ASSET_DIST_REC_TYPE Asset Structure

The ASSET_DIST_REC_TYPE asset structure contains information that represents a

single source or destination distribution line. All the ASSET_DIST_REC_TYPE records comprising a single unit adjustment transaction are contained in the ASSET_DIST_TBL table. At least one source line and at least one destination line are required for each unit adjustment transaction. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
DISTRIBUTION_ID		NUMBER(15)	Unique distribution identification number.
TRANSACTION_UNITS		NUMBER	Number of units involved in the transaction.
ASSIGNED_TO		NUMBER(15)	Employee identification number.
EXPENSE_CCID		NUMBER(15)	Depreciation expense account identification number.
LOCATION_CCID		NUMBER(15)	Location flexfield identification number.

Example 1

The asset has one unit with one distribution line. You now want to adjust to a total of two units, and assign the new unit to a new distribution line. To accomplish this, you need to populate the distribution lines as illustrated in the table below:

Argument	Row 1
DISTRIBUTION_ID	
TRANSACTION_UNITS	1
ASSIGNED_TO	20

Argument	Row 1
EXPENSE_CCID	1234
LOCATION_CCID	7777

The table above shows one new unit being created with new distribution information. Also, DISTRIBUTION_ID, ASSIGNED_TO, EXPENSE_CCID, and LOCATION_ID should all have valid IDs.

Example 2

The asset has a total of two units and two distribution lines, one unit in each distribution line. For this example, you want to increase total units to four, by adding one unit to each existing line. To accomplish this, you need to populate the distribution lines as illustrated in the table below:

Argument	Row 1	Row 2
DISTRIBUTION_ID	1111	2222
TRANSACTION_UNITS	1	1
ASSIGNED_TO		
EXPENSE_CCID		
LOCATION_CCID		

The table above shows one unit being added to distribution #1111 and one unit to distribution #2222.

Sample Script: Using the Unit Adjustment API

The following example shows how to call public Unit Adjustment API for unit adjustment transaction. This example increases total units from two to four, and distributes the two new units to existing distributions.

```

Set serveroutput on
declare
l_return_status varchar2(1);
l_msg_count number:= 0;
l_msg_data varchar2(4000);
l_trans_rec fa_api_types.trans_rec_type;
l_asset_hdr_rec fa_api_types.asset_hdr_rec_type;
l_asset_dist_tbl fa_api_types.asset_dist_tbl_type;
l_asset_id number(15) := to_number(&asset_id);
l_distribution_id number(15):= to_number(&distribution_id);
l_transaction_units number(7) := to_number(&transaction_units);
l_distribution_id2 number(15):= to_number(&distribution_id2);
l_transaction_units2 number(7) := to_number(&transaction_units2);
l_book_type_code varchar2(15) := '&book';

temp_str varchar2(512);

begin
dbms_output.enable(1000000);
fnd_profile.put('PRINT_DEBUG', 'Y');
fa_srvr_msg.init_server_message;
fa_debug_pkg.initialize;

-- fill in asset information
l_asset_hdr_rec.asset_id := l_asset_id;
l_asset_hdr_rec.book_type_code := l_book_type_code;

-- transaction date must be filled in if performing
-- prior period transfer
--l_trans_rec.transaction_date_entered := NULL;

l_asset_dist_tbl.delete;

/*
fill in distribution data for existing distribution lines
affected by this unit adjustment transaction. You need to
fill in only affected distribution lines.
You must fill in either distribution id or
2 columns(expense_ccid,location_ccid) or 3-tuple
columns(assigned_to,expense_ccid, and location_ccid)
depending on the makeup of the particular distribution of
the asset.
*/

l_asset_dist_tbl(1).distribution_id := l_distribution_id;
l_asset_dist_tbl(1).transaction_units := l_transaction_units;

/*
either above 2 lines or below 4 lines must be provided
for affected distribution lines.

l_asset_dist_tbl(1).transaction_units := 1;
l_asset_dist_tbl(1).assigned_to := 11;
l_asset_dist_tbl(1).expense_ccid :=15338;
l_asset_dist_tbl(1).location_ccid := 3; */

l_asset_dist_tbl(2).distribution_id := l_distribution_id2;
l_asset_dist_tbl(2).transaction_units := l_transaction_units2;

l_trans_rec.who_info.last_updated_by := FND_GLOBAL.USER_ID;
l_trans_rec.who_info.last_update_login := FND_GLOBAL.LOGIN_ID;

FA_UNIT_ADJ_PUB.do_unit_adjustment(
p_api_version => 1.0,

```

```

p_init_msg_list => FND_API.G_FALSE,
p_commit => FND_API.G_FALSE,
p_validation_level => FND_API.G_VALID_LEVEL_FULL,
p_calling_fn => NULL,
x_return_status => l_return_status,
x_msg_count => l_msg_count,
x_msg_data => l_msg_data,
px_trans_rec => l_trans_rec,
px_asset_hdr_rec => l_asset_hdr_rec,
px_asset_dist_tbl => l_asset_dist_tbl);

if (l_return_status != FND_API.G_RET_STS_SUCCESS) then

dbms_output.put_line('UNIT ADJUSTMENT failed!');
l_msg_count := fnd_msg_pub.count_msg;

if (l_msg_count > 0) then
temp_str := substr(fnd_msg_pub.get(fnd_msg_pub.G_FIRST,
fnd_api.G_FALSE),1,512);
dbms_output.put_line('Error: '||temp_str);

for I in 1..(l_msg_count -1) loop
temp_str :=
substr(fnd_msg_pub.get(fnd_msg_pub.G_NEXT,
fnd_api.G_FALSE),1,512);
dbms_output.put_line('Error: '||temp_str);
end loop;
end if;
else
dbms_output.put_line('UNIT ADJUSTMENT completed
successfully!');
dbms_output.put_line('THID = ' ||
to_char(l_trans_rec.transaction_header_id));
end if;
fnd_msg_pub.delete_msg();
end;
/

```

Oracle Assets Unplanned Depreciation API

This appendix covers the following topics:

- Introduction
- Unplanned Depreciation API Description
- Sample Script: Using the Unplanned Deprecation API

Introduction

You can use this API if you have a custom interface that makes it difficult to use with the existing interfaces in Oracle Assets. The Unplanned Depreciation API uses the `FA_UNPLANNED_PUB.DO_UNPLANNED ()` procedure. You can use this API if you have a custom interface that makes it difficult to use with the existing Oracle Assets interfaces for adjusting assets.

Alternate Ledger Currency

If you have set up alternate ledger currency , when you add or modify assets using an Oracle Assets API, the API copies the transactions to the reporting currencies automatically. Invoice rounding issues are avoided by using the API to drive the alternate ledger currency accounting for both the ledger and reporting currencies.

Related Topics

Unplanned Depreciation API Description, page X-1

Sample Script: Using the Unplanned Depreciation API, page X-5

Unplanned Depreciation API Description

The Unplanned Depreciation API procedure is called: `FA_UNPLANNED_PUB.DO_UNPLANNED ()`.

The following table provides the arguments, types, value, and descriptions of the elements of the FA_UNPLANNED_PUB.DO_UNPLANNED () procedure.

Each argument has a prefix of P, X, or PX. These prefixes mean the following:

- P - indicates an In argument
- X - indicates an Out argument
- PX - indicates an argument that is both In and Out

Argument	Type	Value	Description
P_API_VERSION	NUMBER	Internal use only	Basic information about the API.
P_INIT_MSG_LIST	VARCHAR2	FND_API.G_TRUE - Initialize the message stack. FND_API.G_FALSE - Do not initialize the message stack (Default).	Determines whether the messages stack should be initialized and cleared.
P_COMMIT	VARCHAR2	FND_API.G_TRUE - Commit automatically. FND_API.G_FALSE - Do not commit automatically (Default)	Commits the transaction.
P_VALIDATION_LEVEL	NUMBER	FND_API.G_VALID_LEVEL_NONE - Low level validation for a transaction. FND_API.G_VALID_LEVEL_FULL - High level validation for a transaction (Default).	Asset validation by the API.
P_CALLING_FN	VARCHAR2		Function calling the API

Argument	Type	Value	Description
X_RETURN_STATUS	VARCHAR2	FND_API. G_RET_STS_ SUCCESS - Indicates a successful transaction. FND_API. G_RET_STS_ ERROR - Indicates a failed transaction. FND_API. G_RET_STS_ UNEXP_ERROR - Indicates an unexpected error.	Determines if the API is successful.
X_MSG_COUNT	NUMBER		
X_MSG_DATA	FA_API_TYPES. MSG_REC_TYPE		The part of the API that stores messages to be passed to the user.
PX_TRANS_REC	FA_API_TYPES. TRANS_REC_TYPE		Describes the transaction taking place.
PX_ASSET_HDR_REC	FA_API_TYPES. ASSET_HDR_REC_TYPE		Unique identifiers for the assets.
P_UNPLANNED_DEPRN_REC	FA_API_TYPES. UNPLANNED_ DEPRN_REC_TYPE		Unplanned information for the transaction

TRANS_REC_TYPE Transaction Structure

The TRANS_REC_TYPE transaction structure contains information about the transaction, such as the transaction header ID and the transaction type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
SOURCE_TRANSACTION_HEADER_ID	Optional	NUMBER(15)	Defaults to source THID when using autocopy or CIP-IN-TAX
MASS_REFERENCE_ID	Optional	NUMBER(15)	Defaults to CONC_REQUEST_ID
TRANSACTION_SUBTYPE	Optional	VARCHAR2(9)	AMORTIZED or EXPENSED (default).
TRANSACTION_NAME	Optional	VARCHAR2(20)	Description of the transaction. This field is the Comments field in the Asset Workbench.
CALLING_INTERFACE	Optional	VARCHAR2(30)	Interface that calls the API. This field defaults to CUSTOM.
DESC_FLEX	Optional	DESC_FLEX_REC_TYPE	Descriptive flexfield segments.
WHO_INFO	Optional	STANDARD_WHO_REC_TYPE	Standard Who columns.

ASSET_HDR_REC_TYPE Asset Structure

The ASSET_HDR_REC_TYPE asset structure contains unique identification information for a given asset, such as the asset ID and book type code. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
ASSET_ID	Required	NUMBER(15)	Asset identification number.
BOOK_TYPE_CODE	Required	VARCHAR2(15)	Book name.

UNPLANNED_DEPRN_REC_TYPE Asset Structure

The UNPLANNED_DEPRN_REC_TYPE structure contains unplanned depreciation information when this type of transaction is performed on a given asset. The following table shows type and value information for each argument.

Argument	Required / Optional	Type	Value
CODE_COMBINATI ON_ID	Required	NUMBER(15)	Account allocated for unplanned depreciation.
UNPLANNED_AMO UNT	Required	NUMBER	Amount of unplanned depreciation.
UNPLANNED_TYPE	Optional	VARCHAR2(9)	Type of unplanned depreciation.

Sample Script: Using the Unplanned Deprecation API

The following example demonstrates the unplanned depreciation of an asset. In this particular example, we are inserting an unplanned amount of \$600,000, regardless of what the current reserve may be. It populates the needed structures and then calls the Unplanned Depreciation API.

```

set serveroutput on

declare
    l_trans_rec FA_API_TYPES.trans_rec_type;
    l_asset_hdr_rec FA_API_TYPES.asset_hdr_rec_type;
    l_unplanned_deprn_rec FA_API_TYPES.unplanned_deprn_rec_type;

    l_return_status VARCHAR2(1);
    l_mesg_count number;
    l_mesg varchar2(4000);

begin
    dbms_output.enable(1000000);

    FA_SRVR_MSG.Init_Server_Message;

    l_asset_hdr_rec.asset_id := &asset_id;
    l_asset_hdr_rec.book_type_code := '&book';

    l_unplanned_deprn_rec.code_combination_id := &ccid;
    l_unplanned_deprn_rec.unplanned_amount := &amount;

    l_trans_rec.transaction_subtype := '&trx_subtype';
    l_unplanned_deprn_rec.unplanned_type := '&unplanned_type';

    FA_UNPLANNED_PUB.do_unplanned(
        -- std parameters
        p_api_version => 1.0,
        p_init_msg_list => FND_API.G_FALSE,
        p_commit => FND_API.G_FALSE,
        p_validation_level => FND_API.G_VALID_LEVEL_FULL,
        p_calling_fn => null,
        x_return_status => l_return_status,
        x_msg_count => l_mesg_count,
        x_msg_data => l_mesg,
        -- api parameters
        px_trans_rec => l_trans_rec,
        px_asset_hdr_rec => l_asset_hdr_rec,
        p_unplanned_deprn_rec => l_unplanned_deprn_rec);

    --dump messages
    l_mesg_count := fnd_msg_pub.count_msg;

    if l_mesg_count > 0 then
        l_mesg := chr(10) || substr(fnd_msg_pub.get
                                   (fnd_msg_pub.G_FIRST, fnd_api.G_FALSE),
1, 250);
        dbms_output.put_line(l_mesg);

        for i in 1..(l_mesg_count - 1) loop
            l_mesg :=
                substr(fnd_msg_pub.get
                      (fnd_msg_pub.G_NEXT, fnd_api.G_FALSE), 1,
250);
            dbms_output.put_line(l_mesg);
        end loop;

        fnd_msg_pub.delete_msg();

    end if;

    if (l_return_status <> FND_API.G_RET_STS_SUCCESS) then

```

```
dbms_output.put_line('FAILURE');
    else
        dbms_output.put_line('SUCCESS');
        dbms_output.put_line('THID' ||
to_char(l_trans_rec.transaction_header_id));
        dbms_output.put_line('ASSET_ID' ||
to_char(l_asset_hdr_rec.asset_id));
        end if;
end;
/
```

Index

A

- Account Analysis report, 8-4
- Account Generator
 - customizing, 11-33
 - Oracle Applications Flexfields Guide, 11-12
 - using in Oracle Assets, 11-25
- Account Generator setup, 11-25
- accounting, 8-4
- accounting lines
 - viewing, 14-6
- accounting rules
 - entering for a book, 11-62
- Account Reconciliation Reserve Ledger Report, 12-41
- accounts
 - Oracle Assets, 8-5
 - setting up for a book, 11-63
- Accum Deprn Balance Report, 12-42
- accumulated depreciation
 - adjusted, 9-45
 - entering, 3-6
- accumulated depreciation account, 11-190
- ACE
 - ACE Assets Update Report, 12-51
 - ACE Depreciation Comparison Report, 12-52
 - ACE Non-Depreciating Assets Exception Report, 12-52
 - ACE Unrecognized Depreciation Method Code Exception Report, 12-52
 - depreciation rules, 9-32
 - overview, 9-31
 - updating an ACE book, 9-33
 - ACE Assets Update Report, 12-51
 - ACE Depreciation Comparison Report, 12-52
 - ACE interface
 - FA_ACE_BOOKS table, 9-36
 - loading ACE table, 9-38
 - manual loading, 9-41
 - overview, 9-36
 - update process, 9-36
 - ACE Non-Depreciating Assets Exception Report, 12-52
 - ACE Unrecognized Depreciation Method Code Exception Report, 12-52
 - additions
 - Additions by Date Placed in Service Report, 12-67
 - Additions by Period Report, 12-68
 - Additions by Responsibility Report, 12-68
 - Additions by Source Report, 12-68
 - Annual Additions Report, 12-69
 - Asset Additions by Cost Center Report, 12-69
 - Asset Additions Report, 12-70
 - Asset Additions Responsibility Report, 12-70
 - Asset Inventory Report, 12-25
 - journal entries, 8-8, 8-22
 - prior period, 7-22
 - setup processes, 3-16
 - Tax Additions Report, 12-61
 - using default salvage value percentage, 7-73
 - Additions by Date Placed in Service Report, 12-67
 - Additions by Period Report, 12-68

- Additions by Responsibility Report, 12-68
- Additions by Source Report, 12-68
- Add to Asset window, 3-
- adjusted rate, 12-26
- adjustments
 - amortized, 3-10, 8-12
 - changing start date, 8-12
 - prior period, 7-23
 - expensed, 8-12
 - journal entries, 8-11
 - using default salvage value percentage, 7-74
- alternative minimum tax, 9-31
- American Jobs Creation Act of 2004
 - depreciation methods, 11-78
 - table-based depreciation methods, 11-79
- amortization schedules, 11-196
 - creating, 11-199, 11-203
- amortization start date, 3-10
- amortized adjustments, 3-10
 - changing start date, 8-12
 - prior period, 7-23
- Annual Additions Report, 12-69
- Archive, Purge, and Restore process
 - archiving data, 7-54
 - purging data, 7-54
 - restoring data, 7-55
- Archive and Purge form, 7-
- Archive and Purge window, 7-55
- archive tables
 - resizing, 7-52
- archiving data, 7-51, 7-55
- Asset Addition event, D-1
- Asset Additions by Cost Center Report, 12-69
- Asset Additions Report, 12-70
- Asset Additions Responsibility Report, 12-70
- Asset Aging Dashboard, 2-10
- Asset Calendars window
 - specifying dates for calendar periods, 11-53
- asset categories, 3-2
 - Asset by Category Report, 12-27
 - Asset Category Listing, 12-32
 - defining, 11-21
 - setting up, 11-188
- Asset Categories window
 - entering default depreciation rules, 11-191
 - entering general ledger accounts, 11-189
 - including assets in physical inventory, 5-154
 - setting up asset categories, 11-188
- Asset Category descriptive flexfield, 11-24
- Asset Category flexfield
 - defining
 - Oracle Applications Flexfields Guide, 11-14
- Asset Category Listing, 12-32
- Asset Ceilings window
 - setting up depreciation ceilings, 11-178
- asset changes, 5-1
 - category
 - journal entries, 8-34
 - depreciation method
 - journal entries, 8-24
 - Financial Adjustments Report, 12-78
 - journal entries, 8-13, 8-24
 - rate
 - journal entries, 8-25, 8-26
- asset clearing account, 11-190
- asset cost account, 11-190
- Asset Cost Balance Report, 12-42
- Asset Cost Dashboard, 2-7
- Asset Description Listing, 12-25
- asset descriptions, 3-2
 - standardizing
 - Asset Description Listing, 12-25
- asset descriptive details
 - asset category, 3-2
 - asset key, 3-2
 - asset number, 3-2
 - asset type, 3-2
 - category descriptive flexfield, 3-2
 - lease information, 3-4
 - parent asset, 3-3
 - tag number, 3-2
 - units, 3-3
- asset details
 - changing, 5-1
- Asset Details window, 3-2, 3- , 3-
 - adding an asset specifying details, 3-20
 - adjusting units for an asset, 5-7
 - correcting current period addition errors, 3-27
 - In Physical Inventory check box, 5-154
 - reclassifying an asset, 5-2
- Asset Disposals Responsibility Report, 12-80
- Asset Fiscal Years window
 - creating fiscal years, 11-53

- asset insurance, 11-209
 - defining, 11-22
- Asset Inventory Report, 12-25
- Asset Key flexfield, 11-36
 - defining
 - Oracle Applications Flexfields Guide, 11-14
 - not using, 11-37
- asset keys, 3-2
 - defining, 11-15, 11-50
- Asset Keys window
 - defining asset keys, 11-50
- Asset Listing by Period, 12-25
- Asset Location Dashboard, 2-12
- Asset Maintenance Report, 12-32, 12-32
- Asset Mass Transactions Dashboard, 2-16
- asset number, 3-2
- Asset Pipeline Dashboard, 2-20
- Asset Reclassification Reconciliation Report, 12-82
- Asset Reclassification Report, 12-82
- Asset Reconciliations Dashboard, 2-4
- Asset Register Report, 12-26
- Asset Retirement event, D-2
- Asset Retirements by Cost Center Report, 12-83
- Asset Retirements Report, 12-84
- assets
 - accounting, 8-4
 - adding, 3-44
 - adding accepting defaults, 3-18
 - assigning, 3-26
 - capitalizing, 3-15
 - CIP, 3-14
 - credit, 7-23
 - depreciating, 7-2, 7-18
 - depreciating beyond useful life, 7-76
 - descriptive details, 3-2
 - entering, 3-18, 3-20
 - manually adding to a tax book, 3-25
 - mass copying to a tax book, 9-22
 - reinstating, 6-10
 - retiring, 6-4
 - setup processes, 3-16
 - transferring, 5-14
 - viewing online, 14-1
- Assets by Category Report, 12-27
- Assets Command Center
 - Asset Aging Dashboard, 2-10
 - Asset Cost Dashboard, 2-7
 - Asset Location Dashboard, 2-12
 - Asset Mass Transactions Dashboard, 2-16
 - Asset Pipeline Dashboard, 2-20
 - Asset Reconciliations Dashboard, 2-4
 - Descriptive Flexfields for search, 4-2
 - overview, 2-2
 - setting up, 4-2
- Assets Command Center Data Load
 - running, 4-3
- asset setup, 3-1, 3-16
- Assets Not Assigned To Any Books Listing, 12-28
- Assets Not Assigned To Any Cost Centers Listing, 12-28
- Assets Transaction Accounting window, 14-10, 14-10, 14-11
- Assets Workbench, 3-
- Asset Tag Listing, 12-27
- Asset Transfer event, D-3
- Asset Transfer Reconciliation Report, 12-80
- Asset Transfers Report, 12-79
- asset type, 3-2
- Asset Warranties window, 11-208
- assignments, 3-11
- Assignments window, 3- , 3-
 - assigning an asset, 3-26
 - transferring a single asset, 5-14
 - window reference, 3-11
- Authority for Expenditures, 13-115

B

- basis reduction rate, 11-180, 12-36
- Bonus Depreciation Rule Listing, 12-33
- bonus depreciation rules
 - defining, 11-74
- Bonus Depreciation Rules window
 - defining bonus depreciation rules, 11-74
- bonus rate, 11-74, 12-33
- bonus rule, 11-74
 - Bonus Depreciation Rule Listing, 12-33
- book controls
 - defining, 11-17
 - setting up, 11-59
- Book Controls window
 - defining depreciation books, 11-59

- entering accounting rules, 11-62
- entering natural accounts, 11-63
- tax rules, 11-64
- books, 3-5
 - asset information for all books
 - Asset Register Report, 12-26
 - Assets Not Assigned To Any Books Listing, 12-28
 - defining, 11-59
- Books window, 3- , 3-
 - adding an asset to a tax book, 3-22
 - changing depreciation information, 5-8
 - changing financial information, 5-8
 - depreciation rules, 3-5
 - entering financial information, 3-22
 - window reference, 3-5
- budgeting
 - budget interface table, 10-7
 - budget open interface, 10-5
 - Budget Report, 12-20
 - Budget-To-Actual Report, 12-20
 - capital budgeting process, 10-5
 - Capital Spending Report, 12-21
 - overview, 10-1
 - Upload Budget process, 10-7
- budgeting for asset acquisition, 10-3
- budget interface
 - SQL*Loader script, 10-8
- Budget Report, 12-20
- budgets
 - deleting, 9-31, 10-3
 - entering, 10-3
 - uploading, 10-4
- Budget-To-Actual Report, 12-20
- business groups
 - integrating with other applications, 11-56
 - organizations, 11-57

C

- calculated method
 - defining, 11-65
- calculating depreciation, 7-18
- Calculating Gains and Losses program, 6-18
- calendar information
 - entering for a book, 11-60
- Calendar Listing, 12-33
- calendar periods
 - specifying dates, 11-53
- calendars, 7-21
 - 4-4-5 depreciation calendar
 - setting up, 11-54
 - Calendar Listing, 12-33
 - defining, 11-16
 - setting up, 11-53
- capacity adjustments, 8-27
- capital budgeting, 10-1
 - process, 10-5
- Capital Budgets window
 - budgeting for asset acquisition, 10-3
- capital gain threshold, 11-193
 - Form 4797 reports, 12-55
- capitalizations
 - journal entries, 8-8, 8-22
- Capitalizations Report, 12-22
- Capitalize CIP Assets form, 3-
- Capitalize CIP Assets window
 - placing CIP assets in service, 5-28
- capitalizing assets, 3-15
- Capital Spending Report, 12-21
- categories
 - Asset Category Listing, 12-32
 - defining, 11-21
 - major category qualifier, 11-42
 - setting up, 11-188
- Category flexfield, 11-24
- Ceiling Listing, 12-33
- CIP assets
 - building, 3-14
 - Capitalizations Report, 12-22
 - CIP Assets Report, 12-23
 - CIP Capitalization Report, 12-23
 - CIP Detail and Summary Reports, 12-42
 - CIP Detail Report, 12-42
 - overview, 3-14
 - placing in service, 5-28
 - tracking in Oracle Projects, 3-14
- CIP Assets Report, 12-23
- CIP Capitalization Report, 12-23
- CIP Clearing account, 11-191
- CIP Cost account, 11-191
- CIP Cost Balance Report, 12-42
- CIP Detail and Summary Reports, 12-42
- concurrent processes

- Upload Tax Book Interface, 9-21
- concurrent programs
 - Create Accounting – Assets, 8-1
- Conversion Assets Report, 12-71
- cost
 - changing for an asset, 5-8
 - Cost Adjustment Report, 12-77
 - Cost Adjustments by Source Report, 12-77
 - Cost Clearing Reconciliation Report, 12-44
 - original, 3-5, 3-6
 - recoverable, 3-6
- Cost Adjustment Report, 12-77
- cost adjustments
 - journal entries, 8-13
- Cost Adjustments by Source Report, 12-77
- cost ceilings, 11-179
 - Ceiling Listing, 12-33
- Cost Clearing Reconciliation Report, 12-44
- Cost Detail and Summary Reports, 12-42
- cost history
 - viewing online, 14-1
- Cost History window, 14-4
- cost of removal, 6-4
- Create Accounting – Assets concurrent program, 8-1
- credit assets, 7-23
- current cost, 3-5
- current period addition errors
 - correcting, 3-27

D

- database indexes
 - Database Index Listing, 12-34
- Database Index Listing, 12-34
- date placed in service, 3-9
- default depreciation limit
 - additions, 7-77
 - depreciation, 7-78
- deferred depreciation
 - determining tax liability, 9-25
 - Recoverable Cost Report, 12-59
- deferred income tax liability
 - determining, 9-27
- Delete Mass Additions Preview Report, 12-72
- deleting a budget, 9-31, 10-3
- depreciable basis, 12-27

- depreciable basis rules, 11-83
 - Polish 30% with a Switch to Declining Classic and Flat Rate, 11-106
 - Polish 30% with a Switch to Flat Rate, 11-109
 - Polish Declining Modified with a Switch to Declining Classic and Flat Rate, 11-110
 - Polish Declining Modified with a Switch to Flat Rate, 11-112
 - Polish Standard Declining with a Switch to Flat Rate, 11-113
 - Polish tax, 11-106
- depreciation
 - accumulated, 3-6
 - Assets Not Assigned To Any Cost Centers Listing, 12-28
 - beyond useful life, 7-76
 - calculating, 7-18
 - category defaults, 7-38
 - CIP member asset, 13-26
 - forecasting using hypothetical parameters, 7-45
 - inheriting depreciation rules, 5-3
 - journal entries, 8-7
 - mass copy, 7-39
 - mass property asset, 13-106
 - member asset tracking, 13-95
 - prior period additions, 7-22
 - prior period transactions, 7-37
 - production amount, 7-37
 - projected production information, 7-37
 - restrictions, 7-38
 - retirements, 7-37, 8-36
 - rolling back, 7-3
 - running, 7-2
 - salvage value, 7-76
 - suspending, 7-22
 - units of production, 7-36
 - unplanned
 - unplanned depreciation, 7-57
 - what-if, 7-45
 - parameters, 7-47
- depreciation books, 3-5
- defining, 11-59
- entering accounts, 11-63
- entering tax rules, 11-64
- depreciation calculation, 7-21
 - adjusting rates, 7-27

- adjustments, 7-22
- allocating annual depreciation across periods, 7-20
- bonus depreciation, 7-27
- calculating annual, 7-20
- calculation basis, 7-19, 7-26
- depreciation rate, 7-19
- double declining table base methods, 7-33
- first year of life, 7-25, 7-30
- flat-rate method, 7-25
- last year of life, 7-33
- middle years of life, 7-33
- projections, 7-23
- prorate calendar, 7-21
- prorate date, 7-18
- prorate period, 7-19
- recoverable cost, 7-22
- remaining years of life, 7-26
- reset recoverable NBV, 7-27
- spreading across expense accounts, 7-20
- table and calculated methods, 7-28
- units of production method, 7-35
- depreciation calendar, 7-21
- depreciation ceilings, 3-7
 - defining, 11-19
 - setting up, 11-178
- depreciation expense
 - Journal Entry Reserve Ledger Report, 12-46
 - Reserve Ledger Report, 12-49
 - Responsibility Reserve Ledger Report, 12-50
 - Tax Reserve Ledger Report, 12-62
- depreciation expense account, 11-190
- Depreciation Formula: Method Name window, 11-69
- depreciation history
 - viewing online, 14-1
- depreciation information
 - changing, 5-7
- depreciation methods
 - American Jobs Creation Act of 2004, 11-78
 - calculated, 11-65
 - defining, 11-18, 11-65
 - entering, 3-8
 - flat-rate, 11-67
 - formula-based, 11-68
 - table-based, 11-66
 - units of production, 11-67
- depreciation methods and rates
 - calculated, 7-28
 - Depreciation Rate Listing, 12-34
 - diminishing value
 - Diminishing Value Report, 12-28
 - Diminishing Value Report, 12-28
 - double declining table base, 7-33
 - flat-rate, 7-25
 - Non-Depreciating Property Report, 12-30
 - table, 7-28
 - units of production, 7-35
- Depreciation Methods window
 - defining additional depreciation methods, 11-65
 - formula-based depreciation, 11-68
- Depreciation Projection Report, 12-38
- depreciation projections, 7-43
 - Depreciation Projection Report, 12-38
 - Hypothetical What-if Report, 12-38
 - What-if Depreciation Report, 12-39
- Depreciation Projections form, 7-
- Depreciation Projections window
 - projecting depreciation expense, 7-43
- Depreciation Rate Listing, 12-34
- depreciation rates
 - entering, 11-66, 11-67
- depreciation reserve
 - Account Reconciliation Reserve Ledger Report, 12-41
 - Conversion Assets Report, 12-71
 - Reserve Adjustments Report, 12-59
- depreciation rules, 3-5
 - inheriting, 5-3
- descriptive flexfields, 3-2
 - Asset Category, 11-24
 - defining
 - Oracle Applications Flexfields Guide, 11-11
- detail additions, 3-16
 - adding an asset specifying details, 3-20
 - distribution set, 3-27
- Detail Additions
 - mass property asset, 13-106
- Diminishing Value Report, 12-28
- distribution sets, 3-11
 - assigning to an asset, 3-27
 - defining, 11-21, 11-194

- entering for a mass addition, 3-47
- Distribution Sets window
 - Defining Distribution Sets, 11-194
- drilldown
 - from General Ledger, 14-9
 - customizing windows, 14-10

E

- employee numbering scheme
 - defining
 - Oracle Payables User's Guide, 11-13
- employees
 - assigning assets to, 3-12
 - defining
 - Oracle Human Resources Management System User's Guide, 11-11
- energy assets
 - assets, 13-107
- energy depreciation, 13-111
- event entities, 8-3
- event model, 8-3
- expense account
 - assigning an asset to, 3-12
- expense ceilings, 11-179
 - Ceiling Listing, 12-33
- expensed assets
 - Expensed Property Report, 12-29
 - mass additions, 3-39
- Expensed Property Report, 12-29

F

- FA_INV_INTERFACE table, 5-154, 7-13
- FA_PRODUCTION_INTERFACE
 - assigning values in, 7-40
- FA: Allow Swiss Special Assets, B-13
- FA: Annual Rounding, B-8
- FA: Archive Table Sizing Factor, B-6
- FA: Batch Sizeprofile optionsFA: Batch Size, B-11
- FA: Cache Sizing Factor, B-11
- FA: Copy All Cost Adjustments, B-6
- FA: Default DPIS to Invoice Date, B-11
- FA: Deprn Single, B-8
- FA: Generate Asset Level Account, B-4
- FA: Generate Book Level Accounts, B-5
- FA: Generate Category Level Accounts, B-5
- FA: Generate Expense Account, B-4

- FA: Japan 2007 Tax Reforms Features, B-9
- FA: Maximum Projection Extent, B-12
- FA: Number of Parallel Requests, B-7
- FA: Print Debug, B-7
- FA: Print Timing Diagnostics, B-12
- FA: Security Profile, B-12
- FA: Use FA_CUSTOM_GEN_CCID_PKG to Generate CCID, B-4
- FA: Use Threshold, B-9
- FA: Use Workflow Account Generation, B-5
- FADI: Create Asset Privileges, B-10
- FADI: Physical Inventory Privileges, B-10
- Financial Adjustments Report, 12-78
- financial information
 - changing, 5-7
 - entering, 3-22
 - viewing, 14-1
- Find Assets window, 3-
- Find Book and Asset Type window, 3-
- fiscal years
 - archiving, purging, and restoring, 7-53
 - defining, 11-16, 11-53
- Fixed Asset Insurance Policy Lines window reference, 11-214
- Fixed Asset Insurance Policy Maintenance window reference, 11-215
- Fixed Asset Insurance window, 11-210
- Fixed Asset Insurance window reference, 11-212
- Fixed Assets Book Report, 12-24
- fixed format reports, 12-2
- flat-rate method
 - defining, 11-67
- forecasting depreciation
 - using the Report Manager, 7-46
- Form 4562 - Depreciation and Amortization Report, 12-52
- Form 4626 - AMT Detail Report, 12-53
- Form 4694 - Casualties and Thefts Report, 12-54
- Form 4797 - Gain From Disposition of 1245/1250 Property Report, 12-55
- Form 4797 - Ordinary Gains and Losses Report, 12-56
- Form 4797 - Sales or Exchanges of Property Report, 12-56
- formula-based methods
 - defining, 11-68
- fully reserved assets

Fully Reserved Assets Report, 12-29
Fully Reserved Assets Report, 12-29
function security in Oracle Assets, C-1

G

group asset, 13-2
 life change, 13-37
Group Asset Report, 12-45
group asset rules, 13-13
group assets
 adjustments, 13-35, 13-44
 assigning member assets to, 13-15
 Book Controls window, 13-3
 changing depreciation rules, 13-35
 changing salvage value, 13-41
 depreciation method change, 13-39
 Detail Additions, 13-4
 finding in Asset Workbench, 13-12
 QuickAdditions, 13-11
 reclassifications, 13-47
 retirements, 13-70
 super groups, 13-45
group depreciation, 13-1
 Group Asset Report, 12-45
 reports, 13-102
 restrictions, 13-103

H

Hypothetical What-if Report, 12-38

I

impairment
 energy, 13-115
importing mass additions, 3-57
income tax liability
 deferred, 9-24
inflated economies
 managing assets in, 5-32
initial mass copy, 9-2
 example, 9-4
 verifying, 9-5
 what gets copied, 9-3
In Physical Inventory check box, 5-153
 overriding the default, 5-154
inquiry

 transaction history, 14-6
insurance, 11-209
 defining, 11-22
 Insurance Data Report, 12-35
 Insurance Value Detail Report, 12-35
Insurance Data Report, 12-35
insurance information
 entering, 11-210
Insurance Value Detail Report, 12-35
integration
 general ledger, 8-5
 Oracle Payables, 3-36
 Oracle Projects, 3-41
interfaces
 ACE, 9-36
 budget, 10-5
 mass additions, 3-56
 physical inventory, 5-154, 7-13
 production, 7-39
interface tables
 FA_ACE_BOOKS, 9-36
 FA_BUDGET_INTERFACE, 10-7
 FA_INV_INTERFACE table, 5-154, 7-13
 FA_MASS_ADDITIONS, 3-65
 FA_PRODUCTION_INTERFACE, 7-40
In Use check box, 3-4
inventory
 physical inventory, 5-151
investment tax credit
 assigning, 9-29
 calculating, 9-29
 Ceiling Listing, 12-33
 claiming on an asset, 3-7
 Investment Tax Credit Report, 12-57
 ITC Rates Listing, 12-36
investment tax credit rates, 11-179
Investment Tax Credit Rates Listing, 12-36
Investment Tax Credit Rates window
 defining ITC rates, 11-179
Investment Tax Credit Recapture Rates window
 defining ITC recapture rates, 11-179
Investment Tax Credit Report, 12-57
investment tax credits
 defining, 11-19
Investment Tax Credits window, 9-
 assigning tax credits, 9-29
invoices, 3-13

- viewing amounts in multiple currencies, 14-5
- ITC ceiling, 11-179
- ITC recapture rates
 - defining, 11-179

J

- Japan depreciation adjustment for DB method in corporate tax book, 11-177
- Japanese Depreciable Assets Tax Reports, 12-62
- journal entries
 - additions, 8-8
 - adjustments, 8-11
 - amortized adjustments
 - retroactive start date, 8-23
 - capitalization, 8-8
 - cost adjustments, 8-13
 - capitalized and CIP source lines, 8-19
 - diminishing value method, 8-16
 - flat-rate method, 8-15
 - life-based method, 8-14
 - UOP method, 8-18
 - depreciation, 8-7
 - reconciling to the general ledger, 8-6
 - retirements and reinstatements, 8-35
 - revaluations, 8-42
 - tax accumulated depreciation adjustments, 8-55
 - transfers and reclassifications, 8-28
- journal entry categories
 - defining
 - Oracle General Ledger User's Guide, 11-13
- Journal Entry Reserve Ledger Report, 12-46
- journal entry sources
 - defining
 - Oracle General Ledger User's Guide, 11-12

L

- leased assets
 - Leased Assets Report, 12-29
- Leased Assets Report, 12-29
- Lease Details window, 11-197
 - entering leases, 11-202
- Lease Payments window, 11-199, 11-200, 11-201
 - creating an amortization schedule, 11-203

- entering payment schedules, 11-203

leases

- amortization schedule, 11-206
- analyzing, 11-195
- defining, 11-202
- entering, 11-21
- information, 3-4
- payment schedules, 11-205
- setting up, 11-197

- Leases GUI descriptive flexfield, 11-11, 11-21

ledgers

- defining
 - Oracle General Ledger Implementation Guide, 11-9
 - multiple, 11-22
- loading asset data, 3-63
- Loading Assets Data, 4-3
- location
 - assigning an asset to, 3-12
- Location flexfield, 11-44
 - defining
 - Oracle Applications Flexfields Guide, 11-14

locations

- defining, 11-15, 11-49
- state qualifier, 11-46
- Locations window
 - defining locations, 11-49

M

maintenance

- Asset Maintenance Reports, 12-32, 12-32
- scheduling, 5-167

- Maintenance Details window, 5-170

mass addition line distributions

- assigning, 3-47
- viewing, 3-47

mass additions, 3-17

- add a mass addition to an existing asset, 3-49
- adding expensed assets, 3-39
- adding to an existing asset, 3-31
- clean up, 3-35
- Cost Clearing Reconciliation Report, 12-44
- create from Oracle Payables, 3-36
- create mass additions from Oracle Projects, 3-41

- creating mass addition lines from Payables
 - Mass Additions Create Report, 12-73
- Delete Mass Additions Preview Report, 12-72
- deleting, 3-54
- deleting mass addition lines, 3-55
- distribution sets, 3-47
- FA_MASS_ADDITIONS table, 3-65
- handling returns, 3-38
- importing, 3-57
- Mass Additions Delete Report, 12-72
- Mass Additions Invoice Merge Report, 12-74
- Mass Additions Invoice Split Report, 12-74
- Mass Additions Posting Report, 12-74
- Mass Additions Purge Report, 12-75
- Mass Additions Status Report, 12-75
- merging mass addition lines, 3-31, 3-50
- placing in a queue, 3-48
- posting, 3-34
- posting mass addition lines, 3-53
- purging audit trail data, 3-55
- reconciling mass addition line to assets, 12-14
- reviewing, 3-30
- splitting, 3-33
- splitting mass addition lines, 3-52
- tracking using reports, 12-14
- undo a merge, 3-51
- undo an addition to an existing asset, 3-50
- undo a previously split mass addition line, 3-52
- Unposted Mass Additions Report, 12-76
- Mass Additions Create Report, 12-73
- Mass Additions Delete Report, 12-72
- Mass Additions form, 3-
- mass additions interface, 3-56
- Mass Additions Invoice Merge Report, 12-74
- Mass Additions Invoice Split Report, 12-74
- mass additions lines
 - reviewing, 3-45
- Mass Additions Posting Report, 12-74
- mass additions process
 - auto prepare mass additions lines, 3-43
 - overview, 3-28
 - queues, 3-29
- Mass Additions Purge Report, 12-75
- Mass Additions Report, 12-75
- Mass Additions Status Report, 12-75
- Mass Additions window
 - including assets in physical inventory, 5-154
 - reviewing mass additions, 3-45
- mass change
 - Mass Change Preview and Review Reports, 12-85, 12-86
 - Mass Change Preview Report, 12-85, 12-86
 - Mass Change Review Report, 12-85, 12-86
 - Mass Changes form, 5-
 - Mass Change window
 - changing financial and depreciation information, 5-9
- mass copy
 - copying transactions, 9-3
 - initial
 - initial mass copy, 9-2
 - mass property assets, 13-106
 - overview, 9-1
 - periodic
 - periodic mass copy, 9-6
 - updating a tax book with assets and transactions, 9-22
 - using default salvage value percentage, 7-74
- mass depreciation adjustment, 9-43
 - determining, 9-45
 - examples, 9-47
 - Mass Depreciation Adjustment Preview and Review Reports, 12-57
- Mass Depreciation Adjustment form, 9-
- Mass Depreciation Adjustment Preview and Review Reports, 12-57
- Mass Depreciation Adjustments window
 - adjusting tax book accumulated depreciation, 9-58
- mass property, 13-104
 - create asset, 13-105
- mass purge
 - FA: Archive Table Sizing Factor, 7-52
 - purging a fiscal year, 7-53
- mass reclassification, 5-2
 - Mass Change Preview and Review Reports, 12-88
- Mass Reclassification Preview Report, 12-88
- Mass Reclassification Review Report, 12-88
- Mass Reclassifications window, 5-2
- mass reinstatement, 6-10
- mass retirements
 - exceptions, 6-2

- Mass Retirements Report, 12-86
 - overview, 6-2
 - statuses, 6-3
- Mass Retirements Report, 12-86
- Mass Retirements window
 - reinstating a mass retirement, 6-10
 - retiring a group of assets, 6-4
- mass revaluation, 5-29
- Mass Revaluation Preview Report, 12-87
- Mass Revaluation Review Report, 12-87
- Mass Revaluations form, 5- , 5-
- Mass Revaluation window
 - revaluing assets, 5-29
- mass transfers, 5-15
 - Mass Transfers Preview Report, 12-86
- Mass Transfers form, 5-
- Mass Transfers Preview Report, 12-86
- Mass Transfers window
 - transferring a group of assets, 5-15
- member asset, 13-2
 - current period adjustment, 13-29
 - prior period cost adjustment, 13-33
- member asset rules, 13-13
- member assets
 - adding cost, 13-17
 - assigning to a group asset, 13-15
 - CIP, 13-24
 - depreciation, 13-26
 - cost adjustment, 13-28
 - prior period addition, 13-19
 - reclassification, 13-47
 - retirements, 13-70
 - gain and loss, 13-71, 13-80
 - intercompany, 13-84
 - retiring reserve, 13-84
 - terminal gain and loss, 13-87
 - tracking, 13-94
 - tracking depreciation, 13-95
- member asset tracking, 13-94
 - set up, 13-96
- menu paths, A-1
- Merge Mass Additions window, 3-
- merging mass addition lines, 3-50
- multiple ledgers, 11-22
- multiple reporting currencies
 - viewing currency details for transactions, 14-5
- Multiple Reporting Currencies, 3-63

N

- navigation paths, A-1
- net book value, 3-8, 12-27
 - Diminishing Value Report, 12-28
- Non-Depreciating Property Report, 12-30

O

- Oracle Human Resources
 - integrating with, 11-55
 - organizations, 11-58
- Oracle Projects
 - creating mass additions from, 3-41
- Oracle Subledger Accounting, 8-1
 - Account Analysis report, 8-4
 - create accounting, 8-1
 - event entities, 8-3
 - event model, 8-3
 - setting up, 11-12
- organizations
 - business group, 11-56
 - classifications, 11-57
 - defining, 11-10
 - Oracle Human Resources Management System User's Guide, 11-10
 - hierarchies, 11-58
 - integrating with other applications, 11-55, 11-56
 - overview, 11-56
- original cost, 3-6
- Override Revaluation Rules window, 5- , 5-
- ownership
 - owned and leased assets, 3-4

P

- parent asset, 3-3
- Parent Asset Report, 12-30
- Parent Asset Transactions Report, 12-79
- partial retirements, 11-131
- payments
 - viewing amounts in multiple currencies, 14-5
- payment schedules, 11-196
 - entering, 11-205
 - setting up, 11-200
- periodic mass copy, 9-6

- example, 9-13
- verifying, 9-13
- what gets copied, 9-11
- Periodic Production window
 - entering production amounts, 7-42
- periods
 - closing, 7-21
- physical inventory, 3-4
 - FA_INV_INTERFACE table, 5-154, 7-13
 - gathering information, 5-153
 - importing data, 5-162, 7-16
 - including assets in, 5-153
 - loading data, 5-154, 5-161, 7-13
 - overview, 5-151
 - Physical Inventory Comparison Report, 12-30
 - Physical Inventory Missing Assets Report, 12-31
 - purging data, 5-166
 - reconciliation, 5-153
 - reconciliation methods, 5-160
 - reconciling, 5-166
 - status codes, 5-159
- Physical Inventory Comparison program, 5-153, 5-163
- Physical Inventory Comparison Report, 12-30
- Physical Inventory Comparison window, 5-165
- Physical Inventory Entries window, 5-162
- Physical Inventory Missing Assets Report, 12-31
- Physical Inventory window, 5-153
 - purging data, 5-166
- Polish tax depreciable basis rules, 11-106
- Polish tax depreciation, 11-104
 - setting up, 11-105
- Polish tax transactions
 - adjusting, 11-115
- posting mass additions to Oracle Assets, 3-53
- Post Mass Additions to Oracle Assets process, 3-34
- Post Mass Additions window
 - posting mass additions to Oracle Assets, 3-53
- price indexes, 11-192
 - defining, 11-20, 11-187
 - Price Index Listing, 12-36
- Price Indexes window
 - defining price indexes, 11-187
- Price Index Listing, 12-36
- proceeds of sale, 6-4
- processes
 - Post Mass Additions to Oracle Assets, 3-34
- production
 - uploading into Oracle Assets, 7-42
- production amounts
 - entering, 7-42
- Production History Report, 12-47
- production interface, 7-39
- production interface SQL*Loader script
 - customizing, 7-40
- profile option categories
 - Account Generation, B-3
 - Archive and Purge, B-5
 - Concurrent Processing, B-6
 - Debug, B-7
 - Depreciation, B-8
 - description, B-3
 - Desktop Integration, B-10
 - Payables Integration, B-10
 - Performance, B-11
 - Security, B-12
 - Setup, B-12
- profile options
 - defining
 - Oracle Applications System Administrator's Guide, 11-22
 - descriptions, B-3
 - FA: Allow Swiss Special Assets, B-13
 - FA: Annual Rounding, B-8
 - FA: Archive Table Sizing Factor, B-6
 - FA: Batch Size, B-
 - FA: Cache Sizing Factor, B-11
 - FA: Copy All Cost Adjustments, B-6
 - FA: Default DPIS to Invoice Date, B-11
 - FA: Deprn Single, B-8
 - FA: Generate Asset Level Account, B-4
 - FA: Generate Book Level Accounts, B-5
 - FA: Generate Category Level Accounts, B-5
 - FA: Generate Expense Account, B-4
 - FA: Japan 2007 Tax Reforms Features, B-9
 - FA: Maximum Projection Extent, B-12
 - FA: Number of Parallel Requests, B-7
 - FA: Print Debug, B-7
 - FA: Print Timing Diagnostics, B-12
 - FA: Security Profile, B-12
 - FA: Use FA_CUSTOM_GEN_CCID_PKG to Generate CCID, B-4

- FA: Use Threshold, B-9
- FA: Use Workflow Account Generation, B-5
- FADI: Create Asset Privileges, B-10
- FADI: Physical Inventory Privileges, B-10
- programs
 - Physical Inventory Comparison, 5-153, 5-163
- project information
 - viewing online, 14-1
- projecting depreciation expense
 - What-if depreciation, 7-43
- Property Tax Report, 12-58
- Prorate Convention Listing, 12-37
- prorate conventions
 - about, 11-181
 - defining, 11-20
 - entering, 3-10
 - mid-quarter convention
 - Capital Spending Report, 12-21
 - Prorate Convention Listing, 12-37
 - specifying dates, 11-180
- Prorate Conventions window
 - specifying dates for prorate conventions, 11-180
- Purge button, 5-166
- Purge Maintenance Schedules window, 5-171
- purging data, 7-51, 7-55

Q

- qualifiers
 - major category qualifier, 11-42
 - state qualifier, 11-46
- queues
 - mass additions, 3-29
- QuickAdditions, 3-16
 - adding an asset accepting defaults, 3-18
 - mass property asset, 13-106
- QuickAdditions window, 3- , 3-
- QuickCodes
 - entering, 11-50
- QuickCodes window
 - entering QuickCodes, 11-50
- QuickCode values
 - defining, 11-16

R

- rate adjustment factor, 12-27, 12-51

- recapture rate, 12-36
- reclassification
 - journal entries, 8-34
- reclassifying assets, 5-2
 - Asset Reclassification Reconciliation Report, 12-82
 - Asset Reclassification Report, 12-82
 - mass reclassification, 5-2
 - Reclass Report, 12-83
- Reclass Report, 12-83
- reconciling to the general ledger, 12-8
 - Accum Deprn Balance Report, 12-42
 - asset cost accounts, 12-8
 - CIP cost accounts, 12-9
 - Cost Clearing Reconciliation Report, 12-44
 - depreciation expense accounts, 12-13
 - journal entries, 8-6
 - Journal Entry Reserve Ledger Report, 12-46
 - reserve accounts, 12-11
 - Reserve Detail and Summary Reports, 12-47
 - Reserve Ledger Report, 12-49
- recoverable cost, 3-6
- Recoverable Cost Report, 12-59
- Reinstated Assets Report, 12-84
- reinstatements, 6-3
 - correcting retirement errors, 6-10
 - journal entries, 8-39
 - prior period, 7-23
 - Reinstated Assets Report, 12-84
 - statuses, 6-3
- Reinstatement window
 - correcting retirement errors (reinstatements), 6-10
- reinstating a mass retirement transaction, 6-10
- report headings
 - common, 12-18
- Report Manager
 - forecasting depreciation, 7-46
- report parameters
 - common, 12-17
- reports
 - Account Reconciliation Reserve Ledger Report, 12-41
 - Accum Deprn Balance Report, 12-42
 - ACE Assets Update Report, 12-51
 - ACE Depreciation Comparison Report, 12-52
 - ACE Non-Depreciating Assets Exception

Report, 12-52
 ACE Unrecognized Depreciation Method
 Code Exception Report, 12-52
 Additions by Date Placed in Service Report, 12-67
 Additions by Period Report, 12-68
 Additions by Responsibility Report, 12-68
 Additions by Source Report, 12-68
 Annual Additions Report, 12-69
 Asset Additions by Cost Center Report, 12-69
 Asset Additions Report, 12-70
 Asset Additions Responsibility Report, 12-70
 Asset Category Listing, 12-32
 Asset Cost Balance Report, 12-42
 Asset Description Listing, 12-25
 Asset Disposals Responsibility Report, 12-80
 Asset Inventory Report, 12-25
 Asset Listing by Period, 12-25
 Asset Maintenance Report, 12-32, 12-32
 Asset Reclassification Reconciliation Report, 12-82
 Asset Reclassification Report, 12-82
 Asset Register Report, 12-26
 Asset Retirements by Cost Center Report, 12-83
 Asset Retirements Report, 12-84
 Assets by Category Report, 12-27
 Assets Not Assigned To Any Books Listing, 12-28
 Assets Not Assigned To Any Cost Centers Listing, 12-28
 Asset Tag Listing, 12-27
 Asset Transfer Reconciliation Report, 12-80
 Asset Transfers Report, 12-79
 Bonus Depreciation Rule Listing, 12-33
 Budget Report, 12-20
 Budget-To-Actual Report, 12-20
 Calendar Listing, 12-33
 Capitalizations Report, 12-22
 Capital Spending Report, 12-21
 Ceiling Listing, 12-33
 CIP Assets Report, 12-23
 CIP Capitalization Report, 12-23
 CIP Cost Balance Report, 12-42
 CIP Detail and Summary Reports, 12-42
 Conversion Assets Report, 12-71
 Cost Adjustment Report, 12-77
 Cost Adjustments by Source Report, 12-77
 Cost Clearing Reconciliation Report, 12-44
 Cost Detail and Summary Reports, 12-42
 country-specific, 12-88
 Database Index Listing, 12-34
 Delete Mass Additions Preview Report, 12-72
 Depreciation Projection Report, 12-38
 Depreciation Rate Listing, 12-34
 Diminishing Value Report, 12-28
 Expensed Property Report, 12-29
 Financial Adjustments Report, 12-78
 Fixed Assets Book, 12-24
 Form 4562 - Depreciation and Amortization Report, 12-52
 Form 4626 - AMT Detail Report, 12-53
 Form 4684 - Casualties and Thefts Report, 12-54
 Form 4797 - Gain From Disposition of 1245/1250 Property Report, 12-55
 Form 4797 - Ordinary Gains and Losses Report, 12-56
 Form 4797 - Sales or Exchanges of Property Report, 12-56
 Fully Reserved Assets Report, 12-29
 Group Asset Report, 12-45
 group depreciation, 13-102
 Hypothetical What-if Report, 12-38
 Insurance Data Report, 12-35
 Insurance Value Detail Report, 12-35
 Investment Tax Credit Report, 12-57
 ITC Rates Listing, 12-36
 Japanese Depreciable Assets Tax, 12-62
 Journal Entry Reserve Ledger Report, 12-46
 Leased Assets Report, 12-29
 Mass Additions Create Report, 12-73
 Mass Additions Delete Report, 12-72
 Mass Additions Invoice Merge Report, 12-74
 Mass Additions Invoice Split Report, 12-74
 Mass Additions Posting Report, 12-74
 Mass Additions Purge Report, 12-75
 Mass Additions Report, 12-75
 Mass Additions Status Report, 12-75
 Mass Change Preview Report, 12-85, 12-86
 Mass Change Review Report, 12-85, 12-86
 Mass Depreciation Adjustment Preview and Review Reports, 12-57
 Mass Reclassification Preview Report, 12-88

- Mass Reclassification Review Report, 12-88
- Mass Retirements Report, 12-86
- Mass Revaluation Preview Report, 12-87
- Mass Revaluation Review Report, 12-87
- Mass Transfers Preview Report, 12-86
- Non-Depreciating Property Report, 12-30
- Parent Asset Report, 12-30
- Parent Asset Transactions Report, 12-79
- Physical Inventory Comparison Report, 12-30
- Physical Inventory Missing Assets Report, 12-31
- Price Index Listing, 12-36
- Production History Report, 12-47
- Property Tax Report, 12-58
- Prorate Convention Listing, 12-37
- Reclass Report, 12-83
- Recoverable Cost Report, 12-59
- Reinstated Assets Report, 12-84
- Reserve Adjustments Report, 12-59
- Reserve Detail and Summary Reports, 12-47
- Reserve Ledger Report, 12-49
- Responsibility Reserve Ledger Report, 12-50
- Retired Assets Without Property Classes Report, 12-59
- Retired Assets Without Retirement Types Report, 12-59
- Retirements Report, 12-85
- Reval Reserve Balance Report, 12-49
- Revaluation Reserve Detail Report, 12-49
- Revalued Asset Retirements Report, 12-60
- running standard reports and listings, 12-2
- standard fixed format, 12-2
- Tax Additions Report, 12-61
- Tax Preference Report, 12-61
- Tax Reserve Ledger Report, 12-62
- Tax Retirements Report, 12-62
- Transaction History Report, 12-63
- Transfers Report, 12-81
- Unplanned Depreciation Report, 12-39
- Unposted Mass Additions Report, 12-76
- using to reconcile to the general ledger, 12-7
- variable format, 12-3
- What-if Depreciation Report, 12-39
- Reserve Adjustments Report, 12-59
- Reserve Adjustments window, 9-
 - adjusting tax book accumulated depreciation, 9-58
- Reserve Detail and Summary Reports, 12-47
- Reserve Ledger Report, 12-49
- responsibility reporting
 - Additions by Responsibility Report, 12-68
 - Asset Additions by Cost Center Report, 12-69
 - Asset Additions Responsibility Report, 12-70
 - Asset Disposals Responsibility Report, 12-80
 - Responsibility Reserve Ledger Report, 12-50
- Responsibility Reserve Ledger Report, 12-50
- Retired Assets Without Property Classes Report, 12-59
- Retired Assets Without Retirement Types Report, 12-59
- retirement conventions
 - about, 11-181
 - defining, 11-20
- retirement errors
 - correcting, 6-10
- retirement requests, 6-19
 - create retirement requests, 6-19
 - importing requests, 6-21
 - processing, 6-20
- retirements
 - Asset Disposals Responsibility Report, 12-80
 - Asset Inventory Report, 12-25
 - Asset Retirements by Cost Center Report, 12-83
 - Asset Retirements Report, 12-84
 - calculating gains and losses, 6-18
 - create retirement requests, 6-19
 - full, 6-5
 - full and partial by units or cost, 6-1
 - journal entries, 8-37
 - mass retirements, 6-2
 - overview, 6-1
 - partial, 6-6, 11-131
 - per diem retirements, 6-3
 - prior period, 7-23
 - journal entries, 8-38
 - requests, 6-19
 - restrictions, 6-1
 - Retired Assets Without Property Classes Report, 12-59
 - Retired Assets Without Retirement Types Report, 12-59
 - retirement requests, 6-19
 - Retirements Report, 12-85

- retiring assets, 6-4
- retiring groups of assets, 6-7
- Revalued Asset Retirements Report, 12-60
- statuses, 6-3
- Tax Retirements Report, 12-62
- retirements and reinstatements
 - journal entries, 8-35
- Retirements GUI descriptive flexfield, 11-11
- Retirements Report, 12-85
- Retirements window, 3- , 6-
 - retiring an asset, 6-4
- retiring assets, 6-4
- returns
 - using mass additions, 3-38
- Reval Reserve Balance Report, 12-49
- revaluation
 - Asset Management in a Highly Inflationary Economy, 5-32
 - journal entries, 8-42
 - Mass Revaluation Preview Report, 12-87
 - Mass Revaluation Review Report, 12-87
 - Reval Reserve Balance Report, 12-49
 - Revaluation Reserve Detail Report, 12-49
 - Revalued Asset Retirements Report, 12-60
- Revaluation Amortization account, 11-190
- revaluation ceiling, 3-8
- revaluation reserve, 3-8
- Revaluation Reserve account, 11-190
- Revaluation Reserve Detail Report, 12-49
- Revalued Asset Retirements Report, 12-60
- revaluing assets, 5-29
- rollback depreciation, 7-3
- Run Comparison window, 5-163
- Run Depreciation form, 7-
- Run Depreciation window
 - running depreciation, 7-2
- russian legal requirements
 - revaluation, 5-149

S

- salvage value, 3-6
 - as a percentage of cost, 7-73
 - depreciating, 7-76
- Schedule Maintenance Events window, 5-168
- security
 - by book, 11-55

- function, C-1
- setting up
 - Oracle Applications System Administrator's Guide, 11-17
- Set Extended Life window, 7-76
- setting up Oracle Assets, 11-2
- Setting Up Oracle Assets Command Center, 4-2
- setup
 - assets, 3-1
- Setup and Configuration Steps
 - Assets Command Center, 4-2
- short tax years
 - adding assets in, 3-100
- Show Merged Distributions check box, 3-11
- source lines, 3-13
 - viewing online, 14-1
- Source Lines window, 3- , 3-
 - changing invoice information for an asset, 5-19
 - transferring invoice lines between assets, 5-18
 - window reference, 3-13
- splitting a mass addition line, 3-52
- SQL*Loader, 3-63, 7-40
 - importing physical inventory data, 5-162, 7-16
- standard reports and listings
 - running, 12-2
- status codes
 - physical inventory, 5-159
- Straight Line for Retirements check box, 11-193
- subcomponents, 3-3
 - Parent Asset Report, 12-30
 - Parent Asset Transactions Report, 12-79
- Subcomponents window, 3- , 3-
- Subledger Accounting, 8-1
- Submit Requests window, 7-3
 - calculating gains and losses for retirements, 6-18
 - determining deferred income tax liability, 9-27
 - initial and periodic mass copy, 9-22
 - running standard reports and listings, 12-2
 - updating an ACE book with accumulated depreciation, 9-33
 - uploading production into Oracle Assets, 7-42
- supplier numbering scheme
 - defining
 - Oracle Payables User's Guide, 11-13
- suppliers
 - defining

- iSupplier Portal Implementation Guide, 11-13
- system controls
 - defining, 11-15
 - specifying, 11-48
- System Controls window
 - specifying system controls, 11-48
- system setup, 11-2

T

- table-based depreciation methods
 - American Jobs Creation Act of 2004, 11-79
- table-based method
 - defining, 11-66
- tag number, 3-2
 - Asset Tag Listing, 12-27
- tax
 - Additions by Date Placed in Service Report, 12-67
 - Annual Additions Report, 12-69
 - Capital Spending Report, 12-21
 - Form 4562 - Depreciation and Amortization Report, 12-52
 - Form 4626 - AMT Detail Report, 12-53
 - Form 4684 - Casualties and Thefts Report, 12-54
 - Form 4797 - Gain From Disposition of 1245/1250 Property Report, 12-55
 - Form 4797 - Ordinary Gains and Losses Report, 12-56
 - Form 4797 - Sales or Exchanges of Property Report, 12-56
 - Property Tax Report, 12-58
 - Reserve Adjustments Report, 12-59
 - Retired Assets Without Property Classes Report, 12-59
 - Retired Assets Without Retirement Types Report, 12-59
 - Revalued Asset Retirements Report, 12-60
 - Tax Additions Report, 12-61
 - Tax Preference Report, 12-61
 - Tax Reserve Ledger Report, 12-62
 - Tax Retirements Report, 12-62
- tax accumulated depreciation adjustments
 - journal entries, 8-55
- Tax Additions Report, 12-61

- tax audits, 9-42
- tax books
 - adding assets to, 3-22
 - adjusting accumulated depreciation, 9-58
 - maintaining, 9-1
- Tax Book Upload interface, 9-15
- tax credits, 9-28
 - assigning, 9-29
- Tax Preference Report, 12-61
- Tax Reserve Ledger Report, 12-62
- Tax Retirements Report, 12-62
- Tax Workbench, 9-
- Transaction History Report, 12-63
- Transaction History window, 14-4
 - performing a transaction history inquiry, 14-6
- transaction types, 12-63
 - list of, 12-63
 - Transaction History Report, 12-63
- transfer date
 - entering, 3-11
- transfers, 5-14
 - Asset Disposals Responsibility Report, 12-80
 - Asset Inventory Report, 12-25
 - Asset Transfer Reconciliation Report, 12-80
 - Asset Transfers Report, 12-79
 - between companies
 - journal entries, 8-30
 - prior period, 8-31
 - prior period, 7-23
 - Transfers Report, 12-81
- transfers and reclassifications
 - journal entries, 8-28
- Transfers Report, 12-81

U

- unit change
 - entering, 3-12
- units, 3-3
 - adjusting, 5-7
- units of measure
 - defining
 - Oracle Inventory User's Guide, 11-10
- units of measure classes
 - defining
 - Oracle Inventory User's Guide, 11-10
- units of production

- depreciation rules, 7-36
- entering production amounts, 7-42
- overview, 7-36
- Production History Report, 12-47
- production interface, 7-39
- units of production method
 - defining, 11-67
- units to assign, 3-12
- unplanned depreciation, 7-57
 - entering, 7-64
 - examples, 7-59
 - function security, 7-57, C-2
 - restrictions, 7-58
 - viewing amounts, 7-58
- Unplanned Depreciation Report, 12-39
- Unplanned Depreciation window, 7-
 - entering unplanned depreciation for an asset, 7-64
- Unposted Mass Additions Report, 12-76
- Upload Budget process, 10-7
- Upload Capital Budgets window
 - budgeting for asset acquisition, 10-3
- Upload Tax Book Interface, 9-21

V

- variable format reports, 12-3
 - Accum Depn Balance Report, 12-42
 - Additions by Date Placed in Service, 12-67
 - Additions by Period Report, 12-68
 - Additions by Responsibility Report, 12-68
 - Asset Cost Balance Report, 12-42
 - Capitalizations Report, 12-22
 - CIP Cost Balance Report, 12-42
 - Cost Adjustment Report, 12-78
 - Cost Clearing Reconciliation Report, 12-45
 - Hypothetical What-if Report, 12-38, 12-38
 - Mass Additions Report, 12-75
 - Physical Inventory Comparison Report, 12-30
 - Physical Inventory Missing Assets Report, 12-31
 - Property Tax Report, 12-58
 - Reclass Report, 12-83
 - Reserve Ledger Report, 12-49
 - Retirements Report, 12-85
 - Reval Reserve Balance Report, 12-49
 - Transfers Report, 12-81

- What-if Depreciation Report, 12-39, 12-40
- view accounting
 - non-upgraded data, 14-7
- View Accounting window, 14-8, 14-9
- View Accounting windows
 - customizing, 14-9
- View Depreciation History window, 14-3
- View Financial Information window, 14-2
- viewing accounting lines, 14-6
- View Transaction Accounting window, 14-6, 14-8, 14-9

W

- warranties
 - defining, 11-21, 11-208
- warranty numbers, 3-4
- Web ADI
 - creating asset additions, 3-93
 - creating physical inventory, 5-167
- what-if depreciation
 - parameters, 7-47
 - projecting depreciation, 7-45
- what-if depreciation analysis
 - Hypothetical What-if Report, 12-38
 - What-if Depreciation Report, 12-39
- What-If Depreciation Analysis window, 7-45
- What-if Depreciation Report, 12-39
- windows
 - Archive and Purge, 7-55
 - Asset Calendars, 11-53
 - Asset Categories, 11-188
 - Asset Ceilings, 11-178
 - Asset Details, 3-2, 3-20, 5-2
 - Asset Fiscal Years, 11-53
 - Asset Keys, 11-50
 - Asset Warranties, 11-208
 - Assignments, 3-26, 5-14
 - Bonus Depreciation Rules, 11-74
 - Book Controls, 11-59
 - Books, 3-22, 5-8
 - Capital Budgets, 10-3
 - Capitalize CIP Assets, 5-28
 - Cost History, 14-4
 - Depreciation Formula: Method Name, 11-69
 - Depreciation Methods, 11-65, 11-68
 - Depreciation Projections, 7-43

- Distribution Sets, 11-194
- Fixed Asset Insurance, 11-210
- Investment Tax Credit Rates, 11-179
- Investment Tax Credit Recapture Rates, 11-179
- Lease Details, 11-202
- Locations, 11-49
- Maintenance Details, 5-170
- Mass Additions, 3-45
- Mass Change, 5-9
- Mass Depreciation Adjustments, 9-58
- Mass Reclassifications, 5-2
- Mass Retirements, 6-4, 6-10
- Mass Revaluation, 5-29
- Mass Transfers, 5-15
- Periodic Production, 7-42
- Physical Inventory, 5-153
- Physical Inventory Comparison, 5-165
- Post Mass Additions, 3-53
- Price Indexes, 11-187
- Prorate Conventions, 11-180
- Purge Maintenance Schedules, 5-171
- QuickCodes, 11-50
- Run Comparison, 5-163
- Run Depreciation, 7-2
- Schedule Maintenance Events, 5-168
- Set Extended Life, 7-76
- Source Lines, 3-13, 5-18
- Submit Requests, 7-3, 12-2
- System Controls, 11-48
- Transaction History, 14-4
- Unplanned Depreciation, 7-64
- Upload Capital Budgets, 10-3
- View Depreciation History, 14-3
- View Financial Information, 14-2
- What-If Depreciation Analysis, 7-45
- workflow
 - business event system, D-1

Y

- year-end processing, 7-21

